PASSBOOK · CA INTERMEDIATE · GROUP II

Paper 5

Auditing and Ethics

Full Lessons

Every lesson as the app's Exam view (all sections except Under the hood), worked examples with their working shown, and the self-check with its answer key at the end of each lesson.

62 lessons in 11 chapters · A4 edition · made 2026-10-20 from the PassBook lessons

The labs (step-through simulators) are not printed: open the lesson in the PassBook app for the interactive version.

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CHAPTER 1

Nature, Objective and Scope of Audit

1.1 What an audit is, why it is needed and its objective

An audit is an independent examination of financial information with a view to expressing an opinion: where it came from, why users rely on it, who appoints the auditor and what it aims at.

In plain words

Kesar finds a stranger's signature in his annual report

Tapri Tea Co. Ltd has been listed since 2024. Its annual report runs to two hundred pages, and Kesar has read exactly one of them: the page signed by someone who does not work for him.

> **Kesar:** Lakshmi-ji, my team made every number in these accounts. Why does your signature sit at the end?
>
> **Lakshmi:** Because your shareholders, your banks and the tax department will believe those numbers only after someone who does not work for you has examined them.
>
> **Bunty:** Ma'am, "audit" comes from the Latin for "to hear". Can Kesar-ji just read the accounts aloud to us?
>
> **Lakshmi:** Auditors did exactly that, centuries ago. Today we ask for evidence, Bunty.

That is the whole idea. Tapri's **management** (Kesar and his directors) prepares the financial statements. An **auditor**, who must be **independent** of them, examines those statements and the evidence behind them and gives an **opinion** in a written report. The people who rely on the statements (investors, shareholders, banks, the government collecting taxes, trade unions bargaining over wages, an insurer settling a fire claim) trust them more because an outsider has looked. In one word, an audit provides **assurance**: confidence.

The auditor wants enough confidence that the accounts as a whole are not wrong by an amount big enough to change a user's decision, whether through honest error or fraud. Why that confidence is high but never total is the next two lessons.

Think of it like

The hygiene inspector at the kulhad café

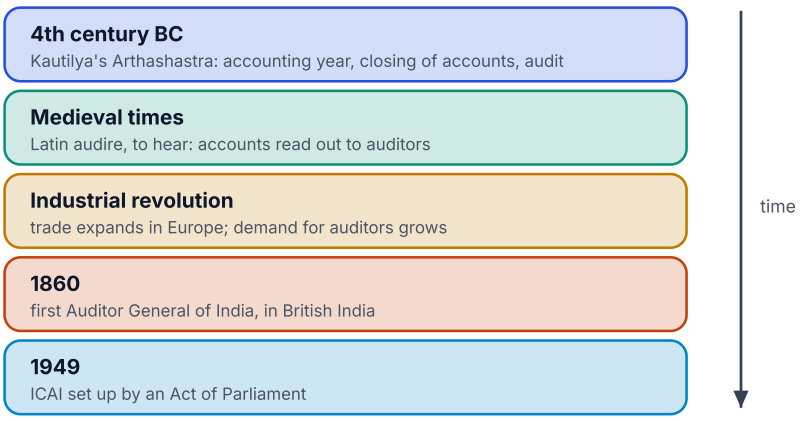
The café runs its own kitchen. An inspector who is not the owner's brother visits, looks hardest at what matters most, checks a sample of the kitchen's practices and publishes a rating. Diners eat with more confidence because of it. The inspector did not cook the food, and the rating is not a promise that nobody will ever get a stomach ache: it is an informed, independent opinion.

Key idea

An audit does not make the accounts; it makes them believable. An independent person examines the financial information and expresses an opinion on it, and that opinion gives every user confidence: high, but never a guarantee.

How it works

1. Kautilya got there first: where auditing came from



The idea, the word, the demand, the State auditor, the profession: read top to bottom (SM 1.4).

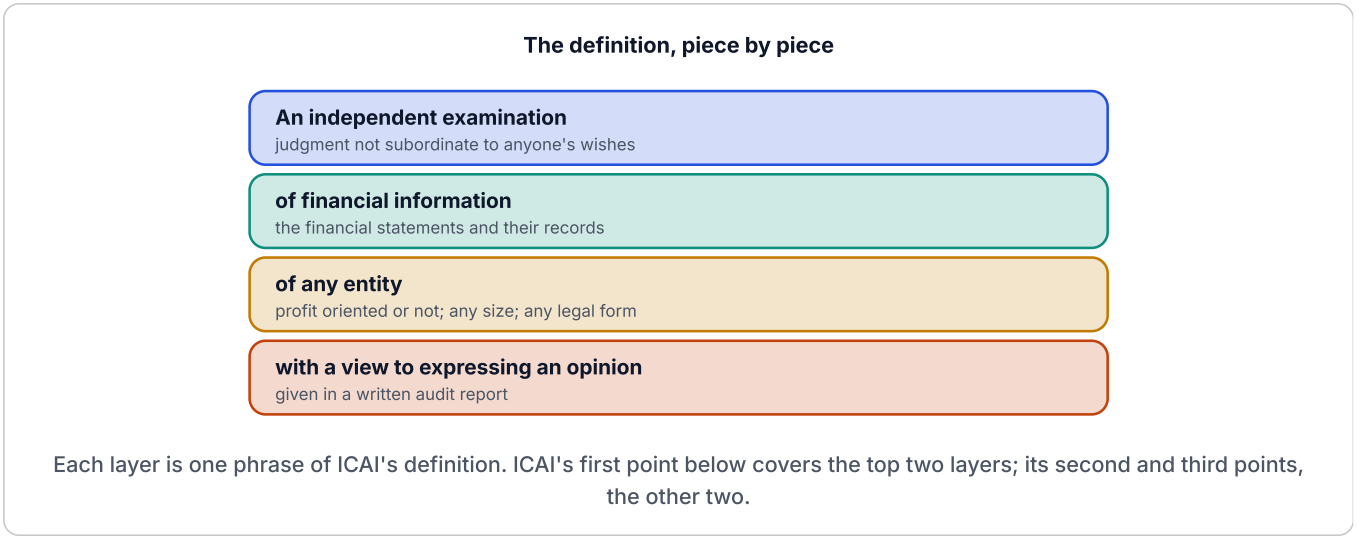
Kautilya's Arthashastra (4th century BC) already speaks of a fixed accounting year, the closing of accounts and their audit, periodical checking and verification, and even misstatements caused by abuse of power. The word "audit" comes from the Latin **audire**, "to hear": medieval auditors heard the accounts read out, to check that employees were not careless and negligent. The industrial revolution in Europe multiplied trade and the demand for auditors. The first Auditor General of India was appointed in 1860, with accounting and auditing functions; today the **Comptroller and Auditor General of India** is an independent constitutional authority auditing government receipts and expenditure. The **Institute of Chartered Accountants of India** was established in 1949 as a statutory body under an Act of Parliament (SM 1.4).

2. What an audit is

Definition

Audit

"An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon" (SM 1.5).



Each layer is one phrase of ICAI's definition. ICAI's first point below covers the top two layers; its second and third points, the other two.

ICAI draws three points out of the definition (SM 1.5–1.6):

1. **It is an independent examination of financial information.** Independence implies that the judgment of a person is not subordinate to the wishes or direction of another person who might have engaged him. The auditor must be independent of the entity whose financial statements are audited, so that he can form an opinion without being affected by any influence; independence increases his ability to act objectively, without biases creeping in. So a CA cannot audit the proprietary concern of his own brother (the relationship by birth subjects him to influence), and he cannot audit a company whose shares he holds (his own money, and so his self-interest, is involved). The threats to independence and their safeguards are in independence, threats and safeguards.
2. **The entity can be any entity.** It need not be profit oriented: an NGO or a charitable trust can be audited. It may be small, medium or large, and of any legal structure: a proprietary concern, a partnership firm, an LLP, a private company, a public company, a society or a trust.
3. **The purpose is to express an opinion on the financial statements.** Preparing and presenting the financial statements is the **responsibility of the management** of the entity; the auditor expresses an opinion on them by means of a **written audit report**. In doing so he has to see that the financial statements would not mislead anybody, by ensuring that (SM 1.6):
   - the accounts have been drawn up with reference to entries in the books of account;
   - the entries in the books of account are adequately supported by sufficient and appropriate evidence;
   - none of the entries in the books of account has been omitted in the process of compilation;
   - the information conveyed by the statements is clear and unambiguous;
   - the financial statement amounts are properly classified, described and disclosed in conformity with accounting standards; and
   - the statement of accounts presents a true and fair picture of the operational results and of the assets and liabilities.

Auditing provides assurance. Its basic nature lies in providing assurance to users: confidence that the financial information in the financial statements can be relied upon. That assurance lends credibility to the financial statements (SM 1.6). What an audit covers, and what it does not, is in scope

of audit; how assurance comes in degrees (an audit's reasonable assurance, a review's limited assurance) is in assurance engagements.

3. What an audit aims at: the objective

SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing" sets the objective. Learn its words exactly (SM 1.8):

> **Definition**
>
> **Objectives of the auditor (SA 200)**
>
> In conducting an audit of financial statements, the objectives of the auditor are:
>
> - (a) to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and
> - (b) to report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

A **misstatement** is a difference between how an item is reported and how the applicable financial reporting framework requires it to be reported, arising from error or fraud (SM 3.4); it is **material** if it could reasonably be expected to influence the economic decisions of users (SM 3.16; SA 320). **Reasonable assurance** is a high level of assurance, but not a guarantee (SM 1.9). The SA 200 lesson takes the objective apart phrase by phrase; the inherent limitations explain why it can never become a guarantee. And the objective is the same for every entity: the basic objective of auditing, the expression of an opinion on the financial statements, does not change with the nature, size or form of the entity (SM 1.40).

4. Why an audit is needed: the benefits

ICAI lists seven benefits, in this order (SM 1.17–1.18):

1. **High quality information.** Audited accounts give users confidence that the information they rely on is qualitative and is the outcome of an exercise carried out by following Auditing Standards recognised globally.
2. **The shareholders' interest is safeguarded.** In a company, shareholders may or may not be involved in its daily affairs, and the financial statements are prepared by management consisting of directors. As owners, the shareholders need an independent mechanism so that the financial information is qualitative and reliable.
3. **A moral check on employees** from committing frauds, for fear of being discovered by audit.
4. **Government authorities** find audited financial statements helpful for determining tax liabilities.
5. **Lenders and bankers** can rely on audited financial statements for their credit decisions: whether to lend or not to lend to a particular entity.
6. **Fraud or error, or both,** may be detected.
7. **Controls are reviewed.** An audit reviews the existence and operation of the various controls in an entity, so it is useful in pointing out deficiencies.

Trick

Seven benefits in ICAI's order

"**Q**uality **S**hareholders **M**ostly **T**ake **L**oans **F**or **C**hai": quality information, shareholders' interest, moral check, tax authorities, lenders, fraud or error, controls. The sentence only fixes the order: each point still needs its one-line reason.

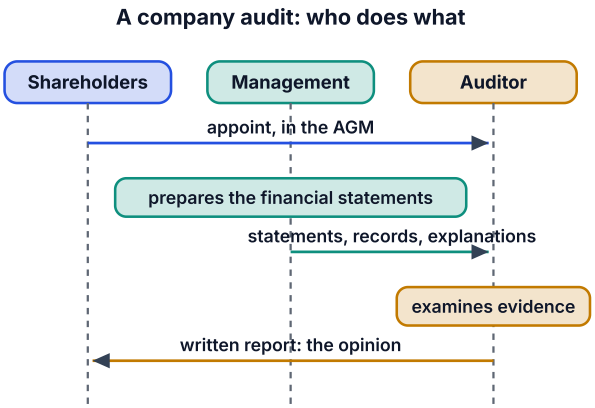
5. Compulsory or voluntary, who appoints, and who gets the report

Mandatory or voluntary (SM 1.18). An audit is not always legally mandatory. Entities like companies are compulsorily required by law to get their accounts audited. Non-corporate entities may be compulsorily required to under tax laws: for example, in India every person must get accounts audited if turnover crosses a certain threshold under income tax law. Some entities, like schools, may need an audit to obtain a grant or assistance from the Government. And many entities get their accounts audited voluntarily, because of the benefits, often under their own internal rules.

Who appoints the auditor (SM 1.18–1.19). Generally the owners, or in some cases constitutional or government authorities, in accordance with the applicable laws and regulations. Who *requires* the audit and who *appoints* the auditor are different questions: the law requires a company's audit, but its members appoint the auditor.

Entity	Auditor appointed by
Company	Members (shareholders), in the Annual General Meeting
Government company in India	Comptroller and Auditor General of India
Partnership firm	Its partners
Some cases under a law or regulation, for example tax laws	A government authority, in accordance with that law

Who receives the report (SM 1.19). The outcome of an audit is a written audit report in which the auditor expresses an opinion. It is submitted to the person making the appointment: for a company, the shareholders; for a firm, the partners who engaged him. The government company rules under the Companies Act, 2013 are in government audit and the C&AG.



The auditor is appointed by, and reports to, the owners (SM 1.18–1.19). Management, whose statements are examined, supplies the statements, records and explanations: it is the examined party, not the addressee of the report.

Worked examples

Worked example **The audit that came with instructions**

Rakesh Sethi, a friend of Kesar, runs Sethi Kulfi Udyog, a proprietary concern in Indore. No law requires its accounts to be audited, but Vindhya Growth Partners, which plans to invest ₹2 crore in the business, wants audited financial statements for 2025-26. Rakesh engages CA Meera Pillai, who has no relationship with him or his business. His engagement e-mail adds two instructions:

(i) "Of this year's sales of ₹1.46 crore, ₹18 lakh is cash collected at food fairs. I personally assure you those figures are right, so test only the sales that came through the bank."

(ii) "My accountant has already drafted the report, saying the accounts are true and fair. Please sign it on your letterhead once you are done; that is all Vindhya needs."

With reference to the meaning of audit, examine whether CA Meera can accept Rakesh's instructions.

MODEL ANSWER

Relevant provision. "An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon." Three points follow from it: (1) the examination is independent: the judgment of the auditor is not subordinate to the wishes or direction of another person who might have engaged him, so that he forms an opinion without being affected by any influence; (2) the entity may be profit oriented or not, of any size, and of any legal structure, including a proprietary concern; (3) the purpose is to express an opinion on the financial statements by means of a written audit report, while their preparation and presentation is the responsibility of management. In doing so the auditor has to see that the financial statements would not mislead anybody by ensuring, among other things, that the entries in the books of account are adequately supported by sufficient and appropriate evidence and that none of them has been omitted in the process of compilation.

Facts of the case. The entity is a proprietary concern having a voluntary audit. The person who engaged CA Meera wants to exclude ₹18 lakh of cash sales from her examination on his personal assurance, and wants her to sign a report drafted by his own accountant.

Analysis. (i) Being a proprietary concern with a voluntary audit does not make it a lesser audit: the meaning of audit covers any entity irrespective of its legal form. If CA Meera left the fair sales untested because Rakesh says so, her judgment on what to examine would be subordinate to the wishes of the person who engaged her, and she could not see that those entries are supported by sufficient and appropriate evidence. Rakesh's assurance is the very thing the audit is meant to examine, not evidence for it. (ii) The opinion is the auditor's own, formed on the examination and expressed in her written report. The accountant's draft is part of the management's side of the work; signing it would replace her opinion with the entity's.

Conclusion. CA Meera cannot accept either instruction. She should decide the nature and extent of her examination herself, including the cash sales at the fairs, and express her own opinion in her own report.

Worked example **Pinky's firm and the bank's condition**

Pinky Mehra, Kesar's cousin, runs Mehra Masala Traders, a partnership firm trading in spices. Her mother is a sleeping partner who never visits the shop. The firm's turnover is below the limit at which income tax law

requires an audit, and no other law requires one. Three salesmen collect cash from shops every day. The firm has applied to a bank for a ₹50 lakh loan to build a warehouse, and the bank wants audited financial statements.

Pinky asks:

(a) Is an audit compulsory for the firm?

(b) Who would appoint the auditor, and to whom would the report go?

(c) Apart from the loan, what would the firm gain from an audit?

Advise Pinky.

MODEL ANSWER

(a) Mandatory or voluntary. An audit is not always legally mandatory. Companies are compulsorily required to get their accounts audited under law; non-corporate entities may be compulsorily required to under tax laws, for example when turnover crosses the threshold under income tax law; some entities, like schools, need an audit to obtain a grant from the Government; and many entities get their accounts audited voluntarily because of its benefits. The firm's turnover is below the income tax threshold and no other law applies, so an audit is not compulsory for it. It would be a voluntary audit, which the bank's condition makes necessary in practice.

(b) Appointment and report. Generally, an auditor is appointed by the owners: in the case of a firm, by its partners. The written audit report, in which the auditor expresses an opinion, is submitted to the person making the appointment. Pinky and her mother, as partners, would appoint the auditor and receive the report.

(c) Benefits. Apart from the loan: (1) high quality information, the outcome of an exercise following globally recognised Auditing Standards; (2) an independent mechanism for the sleeping partner, who is not involved in daily affairs, safeguarding her interest; (3) a moral check on the three salesmen who collect cash, for fear of being discovered; (4) accounts the tax authorities can use in determining the firm's tax liability; (5) accounts this bank and future lenders can rely on for credit decisions; (6) possible detection of fraud or error; (7) a review of its controls, for example over cash collections, pointing out deficiencies.

Exam angle

In the exam

Where these topics appeared, May 2024 to September 2026

In the new-scheme ICAI documents read for this lesson (past papers, RTPs and MTPs, May 2024 to September 2026), these topics appeared in Mock Test Papers, not in the past papers read:

- **Benefits and need of audit:** MTP January 2025 Series II Q2(c) (4 marks: lenders doubt a trading company's accounts; "Elucidate the benefits and need of an audit") and MTP May 2026 Series II Q1(b) (5 marks: a director calls the statutory audit a mere cost). Both Suggested Answers give the seven benefits of SM 1.17–1.18 in ICAI's order, almost word for word. As a 2-mark MCQ: MTP May 2025 Series I MCQ 15 ("which is not a likely benefit of auditing?"; the odd one out claims audited information is connected to future events).
- **Meaning of audit:** MTP September 2026 Series II Q4(c) (4 marks: a charitable trust that thinks independence hardly matters; "explain the meaning of auditing and give an incisive analysis of the principles emerging from its definition"): the definition, its three points, applied.
- **Who appoints:** MTP May 2024 Series I Q2(d) (3 marks): a company owned by the Union and State Governments, so the C&AG appoints (the Companies Act rules are in government audit).
- **The objective:** asked in its SA 200 form: see SA 200.

In the exam

How the marks are earned

The Suggested Answers start from ICAI's own words (the definition, or the list) and only then apply them to the case. In a "benefits" answer each point carries its reason ("a moral check on employees from committing frauds for the fear of being discovered by audit"), not just a label. In a "meaning" answer, the word **independent** must be explained, not merely quoted.

Answer frame

"Explain the meaning of audit" (with an incisive analysis)

1. **Definition**, word for word: "An audit is an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, when such an examination is conducted with a view to expressing an opinion thereon."
2. **Point 1, independence:** judgment not subordinate to the wishes or direction of another person who might have engaged him; opinion formed without influence; objectivity without bias.
3. **Point 2, any entity:** profit oriented or not; any size; any legal form (name a few).
4. **Point 3, purpose:** to express an opinion on the financial statements through a written report; preparation is management's responsibility.
5. **Apply** each point to the facts, then **conclude**.

"Explain the benefits and need of an audit"

The seven points of SM 1.17–1.18 in order, one line each with its reason, then one closing line tying them to the case (the loan, the absent owners, the cash-handling staff).

Loses marks

"Audit is useful: it catches fraud and banks like it."

Two benefits named, no reasons, nothing from the case.

Passes

Five or six benefits as bare labels: quality, shareholders, tax, banks, fraud.

The list is recognisable but thin, and the moral check and controls are missing.

Full marks

All seven in ICAI's order, each with its one-line reason, applied to the case (the lender's credit decision, the sleeping partner, the cash-collecting staff).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the auditor who "prepared and audited" the accounts

Writing that the auditor prepares, or is responsible for, the financial statements. **Fix:** preparation and presentation of the financial statements is the responsibility of management; the auditor expresses an opinion on them in a written report (SM 1.6).

⚠ **Common mistake**

The report addressed to the management

Bunty addresses the draft report of a company "To the Board of Directors". **Fix:** the report is submitted to the person making the appointment: the shareholders of a company, the partners of a firm (SM 1.19).

⚠ **Common mistake**

Benefits in a heap

Listing "fraud detection" first and forgetting the moral check and the review of controls. **Fix:** learn the seven in ICAI's order with the mnemonic, and give each its reason.

Practice

Check yourself

1 Case scenario. CA Rohan Desai holds 500 equity shares of Ujjain Agro Foods Pvt Ltd, a small private company that supplies Tapri. Its directors invite him to be the auditor: "Independence matters only for listed giants. For a small private company like ours, the audit is a formality." Which of the following is correct?

- A CA Rohan may accept, because independence is required only in the audit of a listed company
- B CA Rohan may accept, provided his report discloses that he holds the shares
- C The company can be audited, but not by CA Rohan: holding its shares involves his own self-interest
- D The company need not be audited at all, because the meaning of audit leaves out small entities

2 Who appoints the auditor of a government company in India?

- **A** Its Board of Directors
- **B** Its members in the Annual General Meeting
- **C** The Comptroller and Auditor General of India
- **D** The Registrar of Companies

3 Case scenario. Joshi Brothers Dairy, a partnership firm, announces in April that its accounts will be audited for the first time. One delivery boy had been depositing less than he collected; the shortfalls stop in May, and the auditor does not begin work until August, finds nothing wrong, and reports in September. Which benefit of audit listed in the Study Material does the stopping of the shortfalls illustrate?

- **A** An audit may detect fraud or error
- **B** Audited accounts provide high quality information to their users
- **C** An audit reviews the controls in operation and points out their deficiencies
- **D** An audit acts as a moral check on employees from committing frauds, for fear of being discovered

4 Select all that apply. To see that the financial statements do not mislead anybody, the auditor ensures that:

- **A** none of the entries in the books of account has been omitted in compiling the statements
- **B** the entries in the books are adequately supported by sufficient and appropriate evidence
- **C** every transaction of the year has been personally checked by the auditor
- **D** the amounts are properly classified, described and disclosed in conformity with accounting standards

More than one answer may be right.

5 Mehra Masala Traders, a partnership firm, has its accounts audited because its bank asked for audited statements. The auditor's report is submitted to:

- **A** the bank that asked for the audited accounts
- **B** the partners who appointed the auditor
- **C** the income tax authorities
- **D** the firm's accountant who prepared the accounts

Answers: the answer key at the end of this lesson.

Recap

- **Audit:** an independent examination of financial information of any entity, whether profit oriented or not, and irrespective of its size or legal form, conducted with a view to expressing an opinion

thereon.

- **Independence:** the auditor's judgment is not subordinate to the wishes or direction of anyone who engaged him; no audit of a brother's concern or of a company whose shares he holds.
- Management prepares and presents the financial statements; the auditor expresses an opinion in a written report. The nature of auditing is **assurance**: confidence and credibility for users.
- **Objective (SA 200):** reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error, enabling an opinion; then report and communicate as the SAs require. The same objective for every entity.
- **Seven benefits, in order:** quality information, shareholders' interest, moral check, tax authorities, lenders, fraud or error detected, deficiencies in controls.
- Not always mandatory: companies by law, others under tax laws or for grants, many voluntarily.
- Appointed by the owners (company: members in the AGM; government company: C&AG; firm: partners) or by a government authority under a law; the report goes to whoever appointed the auditor.
- Origin: Kautilya's Arthashastra; *audire*, "to hear"; first Auditor General 1860; ICAI 1949. (Kesar still offers to read his accounts aloud.)

Answer key · Check yourself

1 **C** **The company can be audited, but not by CA Rohan: holding its shares involves his own self-interest**

The definition covers any entity, irrespective of its size or legal form, so the company can be audited, and independence is part of the definition itself. ICAI's own example: a CA who has invested in a company's shares cannot audit it, because his own money, and so his self-interest, is involved (SM 1.5). ICAI's answer is an unconditional no: it offers no disclosure route.

2 **C** **The Comptroller and Auditor General of India**

Company auditors are generally appointed by the members in the AGM, but for government companies the appointment is made by the Comptroller and Auditor General of India, an independent constitutional authority (SM 1.18).

3 **D** **An audit acts as a moral check on employees from committing frauds, for fear of being discovered**

The delivery boy stopped before any audit work began, for fear of discovery: that is the moral check. Nothing was detected, so "may detect fraud or error" is the tempting wrong answer, and no control was reviewed. The other three are in the Study Material's list of seven benefits (SM 1.17–1.18), but not what this fact shows.

4 **A** **none of the entries in the books of account has been omitted in compiling the statements**; **B** **the entries in the books are adequately supported by sufficient and appropriate evidence**; **D** **the amounts are properly classified, described and disclosed in conformity with accounting standards**

Three of the six points of SM 1.6. Checking every transaction is not one of them: an auditor does not test all transactions and balances, but forms his opinion by testing samples (SM 1.14–1.15).

5 **B** **the partners who appointed the auditor**

The report is submitted to the person making the appointment: for a firm, the partners who engaged the auditor (SM 1.19). The bank relies on the audited statements, but it did not appoint the auditor.

1.2 SA 200: overall objectives, reasonable assurance and professional judgment

SA 200's two overall objectives, why reasonable assurance is high but never a guarantee, how evidence and audit risk produce it, and where professional judgment and skepticism do the work.

In plain words

"100% pure", says the premix packet

Tapri's chai premix packet promises "100% pure". Kesar wants the audit report to match.

> **Kesar:** Lakshmi-ji, the packet says "100% pure". Your report should say "100% correct, guaranteed".
>
> **Lakshmi:** My report will say that we obtained reasonable assurance, Kesar-ji. That is high. It is not a guarantee.
>
> **Bunty:** I can make it a guarantee, Ma'am. I will tick all 31 lakh app orders myself.
>
> **Lakshmi:** At thirty seconds an order, that is about thirteen years of office hours, Bunty. And a forged order would still look exactly like a real one.

SA 200 says what every audit is for. Its two objectives: be reasonably sure that the financial statements as a whole contain no misstatement big enough to change a user's decision (honest error or fraud), so that you can say whether they follow the rules they are meant to follow; then report and communicate what you found.

"Reasonably sure" is the heart of it. **Reasonable assurance** is a high level of assurance, but not absolute: not a guarantee. The auditor reaches it by collecting enough good evidence (**sufficient appropriate audit evidence**) to push **audit risk**, the risk of giving the wrong opinion on accounts that are materially wrong, down to an acceptably low level. Never to zero.

No formula decides whether the evidence is enough, which amount is material or which area is risky. Those calls are **professional judgment**: made by an auditor whose training, knowledge and experience let him reach reasonable judgments. Its constant companion is **professional skepticism**: a questioning mind that does not take "trust me" as evidence.

Think of it like

The annual health check-up

A good doctor does not scan every cell in your body. She picks the tests that matter for your age and history (judgment), questions your cheerful "I feel fine" (skepticism), and gives you a report that says nothing significant was found. That report deserves high confidence. It is not a promise that you will never fall ill, and your diet is still your responsibility, just as Tapri's accounts are still Kesar's.

Key idea

Reasonable assurance is a high level of assurance, never a guarantee. It is reached when sufficient appropriate audit evidence has reduced audit risk to an acceptably low level, and deciding when that point has been reached is a matter of professional judgment.

How it works

SA 200, "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", sets the overall objectives that every audit in accordance with the SAs pursues.

1. The two overall objectives

Definition

Overall objectives of the auditor (SA 200)

In conducting an audit of financial statements, the overall objectives of the auditor are (SM 1.8):

- (a) To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and
- (b) To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings.

2. Reading them phrase by phrase

ICAI draws four points out of the objectives (SM 1.8–1.9):

1. The auditor's objective is to obtain a **reasonable assurance** whether the financial statements as a whole are free from material misstatement, whether due to fraud or error. Reasonable assurance is to be distinguished from absolute assurance (section 4 below).
2. Misstatements can occur due to **fraud or error or both**. The auditor seeks reasonable assurance against both, and has to see the effect of misstatements on the financial statements **as a whole, in totality**.
3. Obtaining that reasonable assurance **enables the auditor to express an opinion** on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework.
4. The opinion is **reported and communicated** in accordance with the audit findings, through a written report, as required by the Standards on Auditing.

Two more phrases are defined ideas. A **material misstatement** is a difference between the amount, classification, presentation or disclosure of a reported item and what the framework requires that

could reasonably be expected to influence users' economic decisions (SM 3.4, 3.16). And the framework is defined:

> **Definition**
>
> **Applicable financial reporting framework**
>
> "A framework adopted in the preparation and presentation of the financial statements that is acceptable in view of the nature of the entity and the objective of the financial statements, or that is required by law or regulation" (SM 1.10). For companies in India, the financial reporting framework is provided under Schedule III of the Companies Act, 2013.

Materiality itself, and how the auditor fixes it, are in SA 320 materiality.

3. The purpose behind the objectives

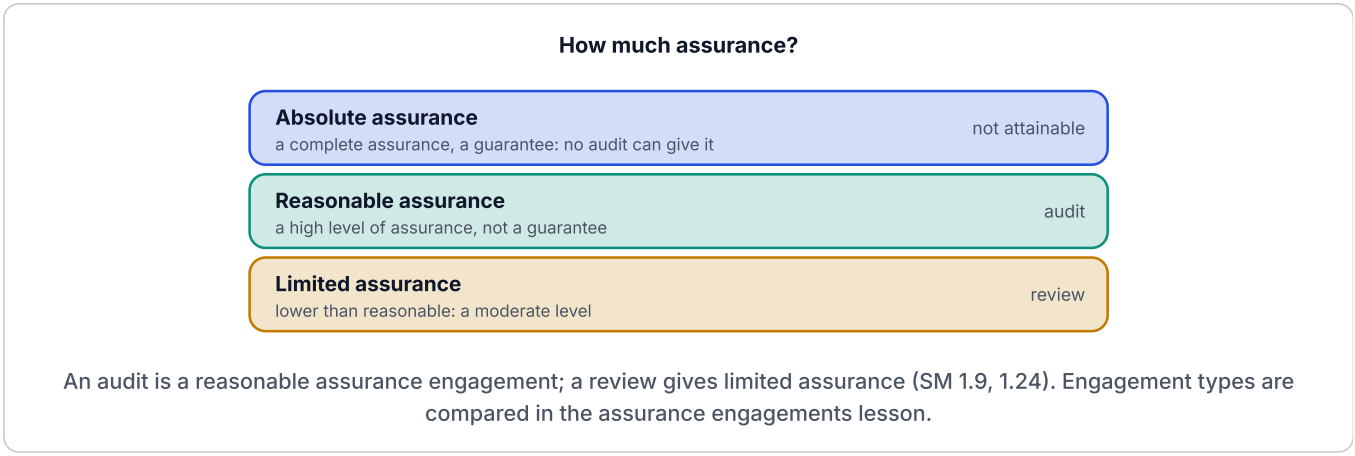
The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework (SM 1.10, 1.40). Users may be shareholders, employees, customers, government and regulatory authorities, bankers and others.

4. Reasonable assurance, not absolute assurance

> **Definition**
>
> **Reasonable assurance and absolute assurance**
>
> **Absolute assurance** is a complete assurance or a guarantee that the financial statements are free from material misstatements. **Reasonable assurance** is not a complete guarantee: although it is a high level of assurance, it is not complete assurance (SM 1.9). In the words of ICAI's model engagement letter, reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists (SM 11.17).

Why it is high. The audit is carried out with professional competence and skills in accordance with the SAs: procedures are applied, evidence is obtained and evaluated, conclusions are drawn and the opinion is formed (SM 1.9).

Why it is not absolute. The auditor is not expected to, and cannot, reduce audit risk to zero, and so cannot obtain absolute assurance that the financial statements are free from material misstatement due to fraud or error. This is because there are inherent limitations of an audit, which result in most of the audit evidence on which the auditor draws conclusions and bases the opinion being **persuasive rather than conclusive** (SM 1.40). The five limitations are in inherent limitations of an audit.



An audit is a reasonable assurance engagement; a review gives limited assurance (SM 1.9, 1.24). Engagement types are compared in the assurance engagements lesson.

The audit and review contrast is developed in assurance engagements.

5. How reasonable assurance is obtained

Definition

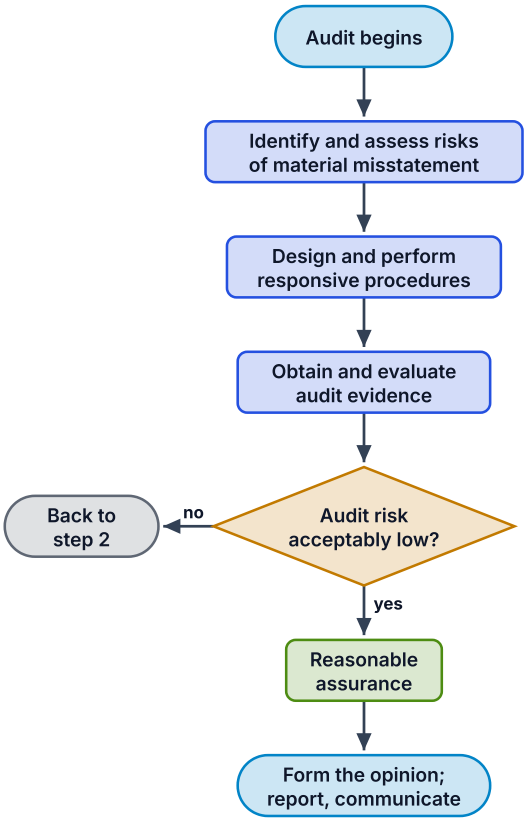
Audit risk

"Audit risk means the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated." It is a function of the risks of material misstatement and detection risk (SM 3.4; components in audit risk: inherent, control and detection risk).

SA 200 states that the auditor shall obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level, and thereby enable the auditor to draw reasonable conclusions on which to base the auditor's opinion (SM 3.4). Put the other way round: **reasonable assurance is obtained when the auditor has obtained sufficient appropriate audit evidence to reduce audit risk to an acceptably low level** (SM 3.23, 4.12). What "sufficient" and "appropriate" mean is SA 500's subject.

1. **Identify and assess the risks of material misstatement**, whether due to fraud or error (SM 8.18).
2. **Design and perform audit procedures responsive to those risks** (SM 8.18).
3. **Obtain and evaluate sufficient appropriate audit evidence** (SM 1.9).
4. **Judge whether audit risk is acceptably low**; if not, obtain more or better evidence. This is professional judgment (SM 4.12).
5. **Form the opinion, then report and communicate** as the SAs require.

SA 200: from risks to reasonable assurance



The answer to "acceptably low?" is a professional judgment (SM 4.12); "no" sends the team back for more or better evidence. Audit risk is brought to an acceptably low level, never to zero (SM 1.40). Green marks the point where reasonable assurance is obtained; grey, the loop back.

Interactive version: PassBook app, lesson SA 200: overall objectives, reasonable assurance and professional judgment

6. The premise: what management accepts

SA 200 explains the **premise**, relating to the responsibilities of management and, where appropriate, those charged with governance, on which an audit in accordance with SAs is conducted (SM 8.15–8.16). Management and, where appropriate, those charged with governance accept responsibility for:

- (a) the **preparation of the financial statements**; and
- (b) **such internal control as management determines is necessary** to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

The auditor's report describes both responsibilities, because that explains to users the premise on which the audit was conducted (SA 700); SA 210 requires the auditor to agree them in an engagement letter or other suitable form of written agreement (SA 210). Preparation and presentation of the financial statements is not part of the scope of an audit (SM 1.13).

7. Professional judgment

Definition

Professional judgment (as the Study Material describes it)

The assessment of risks is a matter of professional judgment, rather than a matter capable of precise measurement. The distinguishing feature of the professional judgment expected of an auditor is that it is exercised by an auditor whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments (SM 3.9).

The Study Material shows the same judgment at work at every stage:

Stage	The judgment	SM
Planning	Which factors are significant in directing the engagement team's efforts	2.11
Risk assessment	Assessing the risks of material misstatement	3.9
Materiality	Determining materiality, choosing the benchmark and its level; affected by the auditor's perception of users' information needs	3.18–3.19
Internal control	Whether a control is relevant to the audit	3.32
Evidence	Whether sufficient appropriate audit evidence has been obtained	4.12
Reporting	Which matters were of most significance in the audit (key audit matters)	8.27

In judging whether the evidence is sufficient and appropriate, the auditor considers matters that SA 200 discusses: **the nature of audit procedures, the timeliness of financial reporting, and the balance between benefit and cost** (SM 4.13). Significant professional judgments are documented: that documentation explains the auditor's conclusions and reinforces the quality of the judgment (SM 6.10; SA 230). And the auditor's report itself states that, as part of an audit in accordance with SAs, the auditor exercises professional judgment and maintains professional skepticism throughout the audit (SM 8.18).

8. Professional skepticism, judgment's partner

Definition

Professional skepticism

"Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence" (SM 11.12).

The auditor shall plan and perform an audit with professional skepticism, recognising that circumstances may exist that cause the financial statements to be materially misstated. It includes being alert to: audit evidence that contradicts other audit evidence; information that brings into question the reliability of documents and responses to inquiries; conditions that may indicate possible fraud; and circumstances that suggest the need for procedures beyond those the SAs require

(SM 11.12). The auditor may accept records and documents as genuine unless he has reason to believe the contrary; but a belief that management is honest does not relieve him of the need to maintain professional skepticism (SM 11.13). The ethics chapter treats it alongside independence (SM 11.12): independence, threats and safeguards.

Worked examples

Worked example **Kesar's three demands**

At the kick-off meeting for the 2025-26 audit of Tapri Tea Co. Ltd, Kesar makes three demands of Iyer & Associates:

(i) "Your report must state that our financial statements are guaranteed free from all errors and frauds. Our investors deserve 100%."

(ii) "To make that possible, your team will check every one of the 31 lakh orders on the TapriNow app."

(iii) "Since you are checking everything, my accounts team will stop the monthly bank and stock reconciliations this year. Whatever you find, we will adjust. Sab adjust ho jayega."

With reference to SA 200, examine whether Kesar's demands are tenable.

MODEL ANSWER

Relevant provision. As per SA 200 "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing", the overall objectives of the auditor are (a) to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework; and (b) to report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings. Reasonable assurance is a high level of assurance, but it is not absolute assurance, which would be a complete assurance or guarantee. The auditor is not expected to, and cannot, reduce audit risk to zero, because the inherent limitations of an audit make most audit evidence persuasive rather than conclusive. SA 200 also explains the premise on which an audit is conducted: management and, where appropriate, those charged with governance accept responsibility for the preparation of the financial statements and for such internal control as management determines is necessary to enable their preparation free from material misstatement, whether due to fraud or error.

Facts of the case. Kesar wants (i) a guarantee in the report, (ii) every one of 31 lakh orders checked, and (iii) the accounts team to stop the monthly reconciliations because the auditors will find and adjust the errors.

Analysis.

(i) The auditor's objective is reasonable assurance, and the opinion is on whether the statements are prepared, in all material respects, in accordance with the framework. A statement that the financial statements are guaranteed free from all errors and frauds would claim absolute assurance, which an audit conducted in accordance with SAs cannot give.

(ii) Checking all 31 lakh orders would not convert reasonable assurance into absolute assurance: audit risk cannot be reduced to zero even then, because the other inherent limitations (management's judgments, collusion, fabricated documents, future events) remain. The auditor seeks assurance about

the financial statements as a whole, and the nature, timing and extent of procedures, and whether the evidence obtained is sufficient and appropriate, are decided by the auditor's professional judgment on the basis of the assessed risks.

(iii) Preparing the financial statements, and maintaining the internal control needed to prepare them free from material misstatement (such as the monthly reconciliations), is management's responsibility. It is the premise on which the audit is conducted, and it does not pass to the auditor because the accounts are audited.

Conclusion. None of the demands is tenable. Iyer & Associates should explain to Kesar that the audit will provide reasonable, not absolute, assurance; that the extent of checking is for the auditor's professional judgment; and that management's responsibilities, to be agreed in the engagement letter under SA 210, remain with management.

Worked example **Bunty asks for a formula**

During the audit of Tapri Cold Chain Pvt Ltd, a subsidiary of Tapri, Bunty raises three points with the engagement partner:

(a) "Please give me the formula that tells us how many cold-storage invoices to check before our evidence becomes sufficient."

(b) "We chose profit before tax as the materiality benchmark and assessed revenue as a high-risk area. Why write down the reasons? The figures are already in the file."

(c) "The plant head has been honest for ten years. We can accept his year-end stock sheets without question."

With reference to the Study Material, explain how professional judgment and professional skepticism apply to each point.

MODEL ANSWER

Relevant provisions.

- Whether sufficient appropriate audit evidence has been obtained to reduce audit risk to an acceptably low level is a matter of professional judgment, in which SA 200's factors (the nature of audit procedures, the timeliness of financial reporting, the balance between benefit and cost) are relevant. The quantity of evidence needed is affected by the assessed risks of misstatement (the higher the assessed risks, the more evidence is likely to be required) and by its quality (the higher the quality, the less may be required).
- As per SA 530, the sample size can be determined by the application of a statistically-based formula or through the exercise of professional judgment; the lower the sampling risk the auditor is willing to accept, the greater the sample size.
- The assessment of risks, and the determination of materiality, are matters of professional judgment rather than of precise measurement, exercised by an auditor whose training, knowledge and experience have assisted in developing the necessary competencies to achieve reasonable judgments.
- As per SA 230, documentation of significant professional judgments serves to explain the auditor's conclusions and to reinforce the quality of the judgment.

- The auditor shall plan and perform the audit with professional skepticism; a belief that management is honest and has integrity does not relieve the auditor of that need.

Analysis.

(a) A formula can answer only part of the question. Under SA 530 a statistically-based formula may be used to determine how many cold-storage invoices to sample, but its inputs, such as the sampling risk the team is willing to accept, follow from the assessed risks of misstatement in cold-storage revenue, and assessing risks is itself a matter of professional judgment. Whether the evidence obtained, from the sample and from all other procedures, is sufficient and appropriate to reduce audit risk to an acceptably low level is decided by the professional judgment of the engagement team, considering the factors SA 200 discusses. No formula makes that decision.

(b) The choice of benchmark and the assessment of revenue as a high-risk area are significant professional judgments. Recording the reasons explains the conclusions to a reviewer and to whoever audits the next year, and reinforces the quality of the judgment; the figures alone do not show why they were chosen.

(c) Past experience of the plant head's honesty need not be disregarded, but it does not relieve the auditor of the need to maintain professional skepticism. Year-end stock sheets prepared by the person responsible for the stock must be critically assessed, and corroborated where the risks call for it, like any other audit evidence.

Conclusion. Bunty wants a formula to make the judgment, would leave significant judgments undocumented and would replace skepticism with trust. A formula may size a sample, but the extent of testing and the sufficiency of the evidence are decided by professional judgment on the assessed risks; the significant judgments should be documented; and the stock sheets should be evaluated with professional skepticism.

Exam angle

In the exam

Where SA 200 appeared, May 2024 to September 2026

Of the new-scheme ICAI documents read for this lesson, 8 examined SA 200's objectives or reasonable assurance and 3 examined professional judgment (MTP May 2026 Series II did both):

- **"Can the auditor give a guarantee?", 3 to 5 marks.** MTP September 2025 Series I Q6(a) (5 marks: a CEO insists on absolute assurance); MTP September 2026 Series I Q1(b) (5 marks: "complete guarantee", and must the auditor also report?); RTP May 2024 Q1 (assistants see audit as a guarantee); RTP January 2026 Q9 (directors want complete assurance); RTP January 2025 Q9 (after a collusion); the September 2024 paper, Q1(c) (3 marks: a clause making the auditor responsible for detecting frauds; the answer opens with the SA 200 objective).
- **MCQs, 2 marks.** MTP September 2024 Series I MCQ 14 (reasonable assurance means a high level of assurance); MTP May 2026 Series II MCQ 3 (misstatements of unknown origin: reasonable assurance against fraud or error, evaluated in aggregate).
- **Professional judgment.** MTP January 2026 Series II Q1(a) (5 marks with audit risk: how training and experience support the judgment); MTP May 2026 Series II MCQ 11 (judgment, not "a precise calculation"); MTP January 2026 Series I Q3(a) (5 marks on evidence, using SA 200's factors).
- **The premise.** MTP May 2025 Series I Q4(a) (5 marks), through SA 700's "Responsibilities of Management" section.
- Old scheme, for practice: May 2022 Q2(c) (3 marks: an opinion without ascertaining whether the statements as a whole are free from material misstatement does not meet SA 200); January 2021 Q1(b) (2 marks: "the auditor is expected to reduce audit risk to zero and can therefore obtain absolute assurance": incorrect).

In the exam

How the marks are earned

Most of the Suggested Answers above quote the objectives in full and the points of SM 1.8–1.9, then apply them ("In the given case ... therefore the contention is not correct"). The phrases that carry marks: "reasonable assurance", "financial statements as a whole", "free from material misstatement, whether due to fraud or error", "in all material respects", "applicable financial reporting framework", "report ... and communicate as required by the SAs".

Trick

Objective (a) in five checkpoints

Reasonable assurance, **W**hole statements, **M**aterial misstatement, **F**raud or error, **F**ramework, in all material respects: "Really Wise Men Fear Frauds". Then add objective (b): report and communicate. The mnemonic only checks that no phrase is missing; write the full sentence.

Answer frame

"Discuss the objectives of the auditor" or "Can the auditor give a guarantee?"

1. **Provision:** "As per SA 200 ..." with objectives (a) and (b) word for word.

2. **The four points:** reasonable, not absolute, assurance (define both); fraud or error, statements as a whole; the opinion in all material respects per the framework; reporting and communication through a written report.
3. **Why not absolute:** audit risk cannot be reduced to zero; inherent limitations; evidence persuasive rather than conclusive.
4. **Facts and conclusion:** "In the given case, … hence the contention of … is not correct."

A case on judgment or skepticism

Provision (SM 3.9 for judgment, SM 4.12–4.13 for sufficiency, SM 6.10 for documentation, SM 11.12–11.13 for skepticism) → facts → what the judgment or the skeptical step is in this case → conclusion.

Loses marks	Passes	Full marks
"No, the auditor cannot give a guarantee because he checks on a test basis." One limitation, no objective, no definition of reasonable assurance.	Objective (a) quoted, "reasonable assurance is high but not absolute", and a one-line conclusion. Objective (b) and the four points are missing.	Both objectives verbatim, the four points, absolute versus reasonable assurance defined, why audit risk cannot be zero, the facts applied, a clear conclusion.

Common mistakes

⚠ **Common mistake**

Hall of Shame: "reasonable assurance means moderate assurance"

Bunty writes that an audit gives "a moderate, reasonable level of assurance". **Fix:** reasonable assurance is a **high** level of assurance; the moderate (limited) level belongs to a review (SM 1.9, 1.24).

⚠ **Common mistake**

Half an objective

Writing only "to express an opinion on the financial statements", or dropping "as a whole", "material", "fraud or error" or objective (b). **Fix:** learn both objectives word for word; each phrase is a mark in ICAI's answers.

⚠ **Common mistake**

"Professional judgment means my opinion"

Treating judgment as a licence to skip work or to decide without evidence. **Fix:** it is exercised by an auditor whose training, knowledge and experience support reasonable judgments, on the evidence obtained, and significant judgments are documented (SM 3.9, 6.10).

⚠ **Common mistake**

The audit that took over management's job

Saying that, once audited, the accounts or the internal controls are the auditor's responsibility. **Fix:** the premise of SA 200: management and, where appropriate, those charged with governance accept responsibility for preparing the statements and for the necessary internal control (SM 8.15).

Practice

Check yourself

1 Case scenario. Midway through Tapri's audit, Bunty asks Lakshmi: "At what point will we actually have reasonable assurance?" Which answer is in line with SA 200?

- **A** When every material balance has been confirmed by a third party
- **B** When management has signed the written representation letter
- **C** When the samples tested so far have shown no misstatement
- **D** When sufficient appropriate audit evidence has been obtained to reduce audit risk to an acceptably low level

2 Which of the following is NOT part of the overall objectives of the auditor under SA 200?

- **A** To obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error
- **B** To express an opinion on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework
- **C** To report on the financial statements, and communicate as required by the SAs, in accordance with the auditor's findings
- **D** To certify that every transaction recorded during the year is free from error

3 Case scenario. Planning Tapri's audit, Bunty fixes materiality at exactly 5% of profit before tax "because SA 320 lays down 5%", and plans to treat every misstatement below that amount as immaterial. Which reply reflects the Study Material?

- **A** He is right: SA 320 prescribes 5% of profit before tax for every company, and nothing below it can be material
- **B** He is partly right: 5% is prescribed, but only for listed companies
- **C** He is wrong: the percentage is a matter of professional judgment, and a smaller misstatement may be material by its nature
- **D** He is wrong: materiality is fixed by management, and the auditor adopts management's figure

4 Select all that apply. Under the premise explained in SA 200, management and, where appropriate, those charged with governance accept responsibility for:

- **A** the preparation of the financial statements
- **B** such internal control as management determines is necessary to enable preparation of financial statements free from material misstatement, whether due to fraud or error
- **C** designing the auditor's procedures
- **D** detecting every misstatement during the audit

More than one answer may be right.

5 Iyer & Associates have found Tapri's CFO honest in six years of audits. This year he explains a ₹3 crore credit note to a distributor as "a volume discount agreed in March". The distributor's balance confirmation shows no such discount, and the credit note's system log shows it was created on 2 April although it is dated 31 March. What does professional skepticism require?

- **A** Accept the explanation: six years of the CFO's honesty are sufficient appropriate audit evidence
- **B** Obtain a written representation from the CFO that the discount was agreed in March, and close the matter
- **C** Treat it as a fraud and issue a disclaimer of opinion straight away
- **D** Treat the contradictions as bringing the explanation into question and investigate further, for example by inspecting the discount agreement and asking the distributor

Answers: the answer key at the end of this lesson.

Recap

- **SA 200** "Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing".
- **Objective (a):** reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error, enabling an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework. **Objective (b):** report and communicate as required by the SAs, in accordance with the findings.
- **Purpose:** to enhance the degree of confidence of intended users in the financial statements.
- **Reasonable assurance** = high, not a guarantee; **absolute assurance** = a complete guarantee, never attainable. Audit risk cannot be reduced to zero; evidence is persuasive rather than conclusive.
- Reasonable assurance is obtained when sufficient appropriate audit evidence has reduced **audit risk** (an inappropriate opinion on materially misstated statements) to an acceptably low level.
- **Premise:** management (and, where appropriate, those charged with governance) accept responsibility for preparing the statements and for the necessary internal control.
- **Professional judgment:** risk assessment, materiality and sufficiency of evidence are judgments, not precise measurements, made by an auditor with the training, knowledge and experience to reach reasonable judgments; significant ones are documented.

- **Professional skepticism:** a questioning mind, alertness to possible misstatement, critical assessment of evidence; honesty in the past does not excuse it. (Bunty's 13-year tick would not have helped either.)

Answer key · Check yourself

1 **D** **When sufficient appropriate audit evidence has been obtained to reduce audit risk to an acceptably low level**

SA 200: the auditor shall obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level, and thereby draw reasonable conclusions on which to base the opinion (SM 1.9, 3.4); reasonable assurance is that high, though not absolute, level. Third-party confirmation of everything is neither required nor enough by itself, a representation letter does not replace other evidence, and a clean sample says nothing about areas not yet covered.

2 **D** **To certify that every transaction recorded during the year is free from error**

The first three are the objectives (SM 1.8). Certifying every transaction is neither the objective nor attainable.

3 **C** **He is wrong: the percentage is a matter of professional judgment, and a smaller misstatement may be material by its nature**

Determining materiality, choosing the benchmark and the percentage are matters of professional judgment (SM 3.18–3.19, 3.21). The Study Material gives 5% of profit before tax only as an example for a profit-oriented manufacturing entity, and says higher or lower percentages may be appropriate (SM 3.21). And the circumstances of some misstatements may make them material even below materiality (SM 3.18).

4 **A** **the preparation of the financial statements**; **B** **such internal control as management determines is necessary to enable preparation of financial statements free from material misstatement, whether due to fraud or error**

SM 8.15–8.16. Designing the procedures is the auditor's job, and detecting every misstatement is no one's promise.

5 **D** **Treat the contradictions as bringing the explanation into question and investigate further, for example by inspecting the discount agreement and asking the distributor**

Skepticism means being alert to audit evidence that contradicts other evidence and to information that brings into question the reliability of responses to inquiries (SM 11.12). Past experience of the CFO's honesty need not be disregarded, but a belief that management is honest does not relieve the auditor of the need to maintain professional skepticism (SM 11.13). Jumping to a disclaimer skips the evidence-gathering that would resolve the matter.

1.3 Inherent limitations of an audit

Why no audit can give absolute assurance: the five built-in limitations (financial reporting, audit procedures, not an investigation, timeliness, future events) and what they never excuse.

In plain words

The ghost potato supplier

June 2026. Tapri's internal auditor finds that all through 2025-26 the samosa factory paid "Shree Ganesh Aloo Traders" for potatoes that never arrived. The stores in-charge stamped each bill "goods received"; the purchase accountant, his partner in the scheme, passed it; the money went by bank transfer to a GST-registered firm in the accountant's cousin's name. In May, Iyer & Associates had signed an unmodified report on the 2025-26 accounts.

> **Kesar:** Lakshmi-ji, you audited us! How did you miss a fake potato supplier?
>
> **Lakshmi:** Every bill had your stores stamp, a valid GST number and a bank payment, Kesar-ji. Two of your own people agreed to lie together.
>
> **Bunty:** Ma'am, I even ticked six of those bills. They looked perfect.
>
> **Lakshmi:** That is what a well-planned fraud looks like, Bunty.

Did the audit fail? Not necessarily. Every audit has limits built into it, its **inherent limitations**, and that is why it gives reasonable assurance and never absolute assurance. There are five:

1. **The accounts rest on management's judgments** and on controls with weaknesses of their own: two employees acting together can defeat the best control.
2. **Audit procedures have practical and legal limits.** The auditor tests samples, cannot force anyone to hand over information and is no expert in forged documents, while a determined fraud is built to look genuine.
3. **An audit is not an investigation:** no power to search premises or take statements on oath.
4. **Information loses relevance with time**, and checking everything would cost more than it is worth.
5. **Nobody can see the future.** A business healthy today may fail tomorrow.

Think of it like

Airport security

Security staff screen every bag, but open only some by hand (test checks). If two airline staff at the gate agree to wave someone through, the gate check fails (collusion). A good forgery fools an officer who is not a document expert (fabricated evidence). Security is not a police raid: it cannot search homes or take statements on oath (not an investigation). Checks must end before the flight leaves (timeliness and cost). And no one at the gate can promise a smooth flight (future events). Airports are much safer for security; they are not risk-free.

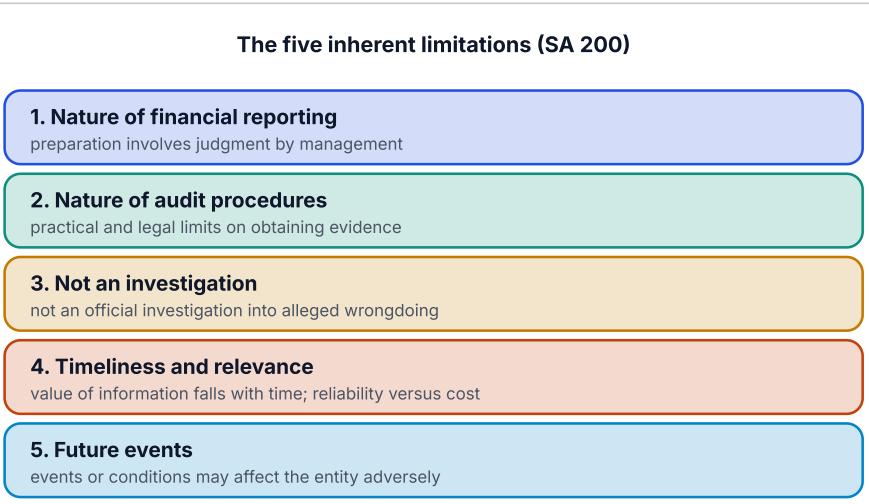
Key idea

The limitations are built into every audit, so audit risk can never be reduced to zero and the assurance is reasonable, not absolute. They explain why a properly planned and performed audit can still miss a misstatement; they never excuse an audit that was not properly performed.

How it works

1. What "inherent" means here

The process of audit suffers from certain **inbuilt limitations** due to which an auditor cannot obtain an absolute assurance that financial statements are free from misstatement due to fraud or error (SM 1.14). In SA 200's words, the auditor is not expected to, and cannot, reduce audit risk to zero because there are inherent limitations of an audit (SM 1.16). They result in most of the audit evidence on which the auditor draws conclusions and bases the opinion being **persuasive rather than conclusive** (SM 1.40). The objective they limit is in SA 200; audit risk itself is in the audit risk lesson.



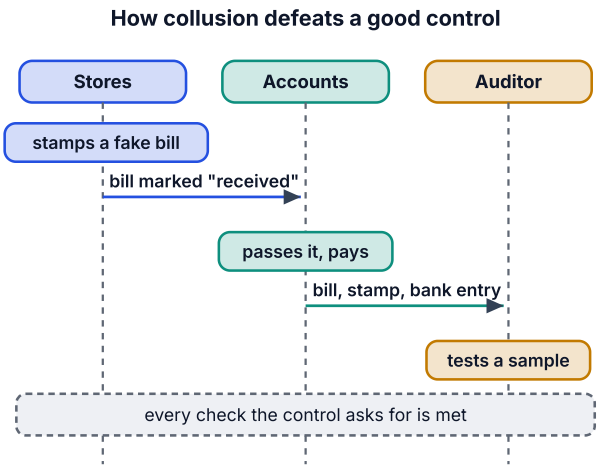
In ICAI's order (SM 1.14–1.17). Together they rule out absolute assurance.

2. The five factors, in ICAI's order

(1) NATURE OF FINANCIAL REPORTING

SA 200: the preparation of financial statements involves judgment by management (SM 1.16).

Preparing financial statements involves many judgments by management, which may involve subjective decisions or a degree of uncertainty, so the auditor may not be able to obtain absolute assurance that they are free from material misstatement due to fraud or error. One of the premises of an audit is that management acknowledges its responsibility for preparing the statements in accordance with the applicable framework and for devising suitable internal controls; but such controls may not have operated to produce reliable information, because of their own limitations. ICAI's example: a control requires every purchase bill to carry the stamp and signature of an authorised person in the "Goods Receiving Section", with the date and time the goods were received, so that only bills for goods actually received are paid. If the accountant and that authorised person collude, the control is overridden; such probable collusion is a limitation of internal control itself (SM 1.14).



The control needs two honest people. When the two collude, every document the auditor examines looks valid: the nature of financial reporting and the nature of audit procedures limit the audit together.

(2) NATURE OF AUDIT PROCEDURES

SA 200: there are practical and legal limitations on the auditor's ability to obtain audit evidence, such as the possibility that management or others may not provide, intentionally or unintentionally, the complete information relevant for preparation and presentation of the financial statements; and fraud may involve sophisticated and carefully organised schemes (SM 1.16).

The Study Material explains each limb (SM 1.14–1.15):

- **Practical limitation:** an auditor does not test all transactions and balances; he forms his opinion by testing samples.
- **Legal limitation:** management may not provide complete information as requested. There is no way by which the auditor can force management to provide it; if it is not provided, **he can only report**.
- **Fraud by management:** management may consist of dishonest people, itself involved in fraud, concealing it by sophisticated and carefully organised schemes that are hard to detect, and may produce fabricated documents to make the evidence look valid. The auditor is **not an expert in authentication of documents**, so he may be led to accept invalid evidence on the basis of unauthentic documents.
- **Related parties:** the entity may have entered into transactions with related parties that are only paper transactions; the auditor may not be aware of the relationships, or the procedures may not detect wrongdoing in such transactions (SA 550 related parties).

(3) NOT IN THE NATURE OF INVESTIGATION

SA 200: an audit is not an official investigation into alleged wrongdoing (SM 1.16).

The auditor has no specific legal powers of search, or of recording statements of witnesses on oath, which an official investigation may need (SM 1.12). Hence he cannot obtain absolute assurance that the statements are free from material misstatement due to fraud or error (SM 1.15). The difference between an audit and an investigation is in the scope of audit.

(4) TIMELINESS OF FINANCIAL REPORTING AND DECREASE IN RELEVANCE OF INFORMATION OVER TIME

SA 200: the relevance of information, and thereby its value, tends to diminish over time, and there is a balance to be struck between the reliability of information and its cost (SM 1.17).

The auditor cannot verify each and every matter. ICAI's example: an auditor in his third year relies on information obtained during the second year's audit; something new may have happened, so the information is not timely and may have lost its reliability (SM 1.15–1.16).

(5) FUTURE EVENTS

SA 200: future events or conditions may affect an entity adversely; adverse events may seriously affect its ability to continue its business (SM 1.16–1.17).

The business may cease to exist because of changes in market conditions, the emergence of new business models or products, or the onset of some adverse event. SA 570 adds that, as described in SA 200, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are **greater for future events or conditions** that may cause an entity to cease to continue as a going concern: the auditor cannot predict them (SM 7.15; SA 570 going concern). Therefore, in view of all five factors, **an auditor cannot provide a guarantee** that the financial statements are free from material misstatements due to frauds or errors (SM 1.16).

3. What the limitations never excuse

A limitation explains a miss; it is not a licence to do less. The Study Material is explicit (for withheld information, the opinion then follows SA 705):

The temptation	What the auditor must still do	SM
"This procedure is difficult, slow or costly"	As explained in SA 200, difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative, or to be satisfied with evidence that is less than persuasive	4.71
"Controls look strong, so test less"	Risk assessment is judgmental and internal control has inherent limitations, including management override: perform substantive procedures for each material class of transactions, account balance and disclosure, irrespective of assessed risks	3.70
"Documents are not my expertise"	Records may be accepted as genuine unless there is reason to believe the contrary; where reliability is doubtful or fraud is indicated, investigate further and modify or add procedures	11.13
"They will not give me the papers"	The auditor cannot force them; he reports, and SA 705 decides the opinion	1.15
"The future is not my job"	The going concern responsibilities remain; but no reference to a material uncertainty is not a guarantee that the entity will continue	7.15

Two sentences from ICAI's own report and engagement letter say the same thing, and both earn marks when quoted:

- The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control (SM 8.18).

- Because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance with SAs (SM 11.19).

Worked examples

Worked example **Two misses, one excuse**

CA Vikram Rathore signed an unmodified report on the 2025-26 financial statements of Bhoomi Agro Exports Pvt Ltd, a supplier of Tapri's premix tea, on 28 May 2026. In September 2026 two matters come to light.

(1) The fixed deposit of ₹4.5 crore shown in the balance sheet had been encashed in January 2026. The deposit receipt produced to CA Vikram was forged by the finance director, and the reply to the balance confirmation that CA Vikram had himself sent to the bank, and received directly from it, also confirmed the deposit: it had been signed by a branch officer who was part of the finance director's scheme.

(2) An export receivable of ₹2.8 crore from a Dubai buyer, unpaid for 14 months at 31 March 2026, became irrecoverable when the buyer was declared bankrupt in August 2026. At the audit, the buyer's reply to CA Vikram's confirmation request had described the balance as "disputed", and he had accepted the CFO's oral assurance that it would be paid in full.

The board says the audit failed on both counts. CA Vikram replies that both are inherent limitations of an audit: "a fraud designed to deceive me, and a future event".

Examine CA Vikram's reply with reference to the inherent limitations of an audit.

MODEL ANSWER

Relevant provision. The process of audit suffers from certain inbuilt limitations, due to which an auditor cannot obtain an absolute assurance that financial statements are free from misstatement due to fraud or error. As per SA 200, the auditor is not expected to, and cannot, reduce audit risk to zero, because of inherent limitations arising from (1) the nature of financial reporting, (2) the nature of audit procedures, (3) the audit not being in the nature of an investigation, (4) the timeliness of financial reporting and the decrease in relevance of information over time, and (5) future events. Under the nature of audit procedures, fraud may involve sophisticated and carefully organised schemes, fabricated documents may be produced to make evidence look valid, and the auditor is not an expert in authentication of documents. Future events or conditions may affect an entity adversely after the audit. But the limitations do not excuse an audit that was not properly performed: the auditor may accept records and documents as genuine unless he has reason to believe the contrary, and in cases of doubt about the reliability of information the auditor shall investigate further and modify or add procedures; difficulty, time or cost is not a valid basis to be satisfied with audit evidence that is less than persuasive.

Facts of the case. (1) The deposit was supported by a forged receipt and by a confirmation that the auditor controlled, falsified by collusion between the finance director and a bank officer. (2) At the reporting date the receivable was 14 months overdue and the debtor's own reply disputed it; the auditor relied on an oral assurance from management.

Analysis.

- *Matter (1)* falls within the inherent limitations. The scheme was sophisticated, carefully organised and involved collusion with a third party, so that both the document and the external evidence looked valid. CA Vikram, not being an expert in authentication of documents, had no reason to believe the

receipt was not genuine, and he had kept control over the confirmation process. As an audit is not an investigation, he had no power to examine the bank officer on oath.

- *Matter (2)* does not. The bankruptcy in August was a future event, but the misstatement it revealed existed at 31 March: the overdue period and the "disputed" reply were evidence, available at the audit, that the receivable might not be recoverable in full. An oral assurance from the CFO against that evidence is evidence less than persuasive, and the doubt about reliability required further investigation and further procedures. Calling it a "future event" does not cure an audit that did not respond to the evidence before it.

Conclusion. CA Vikram's reply is justified for the fixed deposit, provided the audit was otherwise properly planned and performed in accordance with SAs: there is an unavoidable risk that such a fraud is not detected. It is not justified for the export receivable: that was a failure to obtain sufficient appropriate audit evidence, not an inherent limitation of the audit.

Worked example **Six notes from Chambal Bottlers**

CA Farah Siddiqui is auditing Chambal Bottlers Pvt Ltd, which bottles Tapri's iced tea, for 2025-26. Her planning notes say:

(a) Management estimates the useful life of the new ₹12 crore bottling line at 15 years; the manufacturer's brochure gives "10 to 20 years, depending on use".

(b) The company sold through 9,20,000 online orders during the year; the team will examine 120 of them.

(c) The CFO will not share the billing system's change logs, calling them "commercially sensitive".

(d) An anonymous e-mail alleges that the purchase head takes cash from a glass-bottle supplier; a director asks CA Farah to "question the supplier's staff on oath and settle it".

(e) The team plans to value year-end inventory using the stock-ageing report prepared for its November interim visit.

(f) A writ petition that could cancel the lease of the company's only factory site is pending in the High Court, and the judgment is not expected until after the audit report.

Identify the inherent limitation of audit that each note illustrates, and state in each case what the limitation does not excuse.

MODEL ANSWER

The process of audit suffers from inbuilt limitations due to which an auditor cannot obtain absolute assurance that the financial statements are free from misstatement due to fraud or error. The notes illustrate them as follows:

Note	Inherent limitation	What it does not excuse
(a) Useful life of 15 years	Nature of financial reporting: preparation involves judgments by management, with subjective decisions or a degree of uncertainty	Evaluating whether management's estimate is reasonable
(b) 120 of 9,20,000 orders	Nature of audit procedures: a practical limitation. The opinion is formed by testing samples, not every transaction	Determining a sample size sufficient to reduce sampling risk to an acceptably low level (SA 530)
(c) Change logs withheld	Nature of audit procedures: a legal limitation. The auditor cannot force management to provide information; he can only report	Considering the effect on the audit and the opinion under SA 705
(d) "Question them on oath"	Not in the nature of investigation: the auditor has no powers to record statements on oath	Treating the e-mail as an indication of possible fraud: investigating further and modifying or adding procedures
(e) November ageing report	Timeliness and decrease in relevance of information over time: something new may have happened, so the information may have lost its reliability	Obtaining evidence as at the year end
(f) Pending writ	Future events: future events or conditions may adversely affect the entity's ability to continue its business	Evaluating going concern under SA 570; the report is not a guarantee of the entity's future

Because of these limitations the audit provides reasonable, not absolute, assurance; none of them permits the auditor to omit a necessary procedure or to accept evidence that is less than persuasive.

Exam angle

In the exam

Where it appeared, May 2024 to September 2026

Inherent limitations were examined in 9 of the new-scheme ICAI documents read for this lesson:

- **Past paper:** May 2024 Q2(c) (3 marks: a pager plant shut down after mobile phones arrived; shareholders blame the auditor; "List down the factors giving rise to the inherent limitations ..."). The Suggested Answer gives all five factors with the Study Material's explanations.
- **MTPs:** May 2024 Series I Q2(c) (3 marks: one example each of a practical and a legal limitation); May 2024 Series II Q4(c) (3 marks: the nature of financial reporting); May 2025 Series II Q5(c) (4 marks: "not expected to, and cannot, reduce audit risk to zero ... Explain", answered with SA 200's short form of the five); January 2026 Series II Q5(a) (5 marks: collusion between an accountant and the goods-receiving person).
- **RTPs:** January 2025 Q9 (collusion, with SA 200's objectives); May 2026 Q9 (delayed documents, unsupported "special procurement", denied related parties, uniform-looking documents, test checks).
- **Through other topics:** MTP September 2026 Series I Q5(c) (4 marks: going concern; the answer quotes SA 200 on the greater effect of inherent limitations for future events); the May 2026 paper, Q6(a) (5 marks: the auditor's responsibilities in an engagement letter, ending with the "unavoidable risk" sentence).
- Old scheme: January 2021 Q1(b) (2 marks, correct or incorrect: "the auditor is expected to reduce audit risk to zero": incorrect).

In the exam

How the marks are earned

Most Suggested Answers open with "The process of audit suffers from certain inbuilt limitations due to which an auditor cannot obtain an absolute assurance ...", then give the five headings in ICAI's order, each with its one-line explanation, and in a case map the facts to the headings. A 3-mark "list" wants all five; a case wants the two or three that fit, explained against the facts, and a conclusion.

Trick

Five limitations in order

"**F**ine **A**uditors **N**ever **T**rust **F**utures": Financial reporting, Audit procedures, Not an investigation, Timeliness, Future events. ICAI's order, so the answer reads the way the Suggested Answer does.

Answer frame

"List / explain the inherent limitations of audit" (3 to 4 marks)

1. Opening: the process of audit suffers from inbuilt limitations, so absolute assurance is impossible; the auditor is not expected to, and cannot, reduce audit risk to zero (SA 200).
2. The five headings in order, each with one line: judgment in financial reporting (and controls' own limits); practical and legal limits on evidence (samples, information withheld, sophisticated fraud); not an official investigation; relevance falls over time, reliability versus cost; future events.
3. One closing line: hence the auditor cannot provide a guarantee.

A case ("the auditor should have caught it")

Provision (opening + the relevant factors) → **facts** (what the control was, how it failed, what the auditor did) → **analysis** (map each fact to a factor) → **conclusion** (reasonable, not absolute, assurance; fault depends on whether the audit was properly planned and performed in accordance with SAs).

Loses marks	Passes	Full marks
"Audit is done on test check basis, so the auditor cannot detect all frauds." One limitation, no SA 200, no facts.	The five headings listed correctly, but no explanation and nothing from the case. A list answer earns some marks; a case answer, little.	The opening sentence, the five headings with their one-line explanations, the facts mapped (collusion, samples, documents), and a conclusion with the "properly planned and performed" condition.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the internal-control list in an audit answer

Asked for the inherent limitations of an audit, Bunty writes "human judgment, lack of understanding, collusion, management override, small entities". That is the list for **internal control** (SM 3.30–3.31). **Fix:** write the five audit factors of SA 200; mention control limitations only inside the first factor.

⚠ **Common mistake**

"Cost is an inherent limitation, so I skipped the stock count"

Fix: as explained in SA 200, difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative, or to be satisfied with evidence that is less than persuasive (SM 4.71). The cost limitation is about not verifying every matter, not about skipping necessary procedures.

⚠ **Common mistake**

"An audit is not an investigation, so fraud is not my concern"

Fix: the objective covers material misstatement "whether due to fraud or error". "Not an investigation" refers to the audit's purpose and the auditor's lack of powers of search and examination on oath; doubts about documents or indications of fraud still require further investigation within the audit (SM 1.12, 11.13).

Practice

Check yourself

1 Case scenario. Tapri estimates that 6% of the ₹14 crore owed to it by franchisees will not be collected. Depending on how the cafés trade next year, a reasonable estimate could lie anywhere from 4% to 9%, and no audit procedure can remove that uncertainty. Which inherent limitation of an audit does this illustrate?

- **A** Future events
- **B** Nature of financial reporting
- **C** Not in the nature of investigation
- **D** Nature of audit procedures: a practical limitation

2 The managing director refuses to give the auditor certain documents, and the auditor has no power to compel him. This is an example of:

- **A** A practical limitation on obtaining audit evidence
- **B** A legal limitation on obtaining audit evidence
- **C** A limitation arising from future events
- **D** No limitation, because the auditor can seize the documents

3 Select all that apply. Which of the following are inherent limitations of an audit under SA 200?

- **A** The preparation of financial statements involves judgment by management
- **B** Fraud may involve sophisticated and carefully organised schemes
- **C** An audit is not an official investigation into alleged wrongdoing
- **D** The difficulty, time or cost of a particular procedure
- **E** The auditor's lack of independence from the entity

More than one answer may be right.

4 Case scenario. Iyer & Associates signed Tapri's unmodified report for 2025-26 on 20 May 2026. Which of these later discoveries illustrates the inherent limitation "future events"?

- **A** In July, it emerges that ₹2 crore of premix counted at 31 March had been marked "damaged" on the count sheets but was valued at cost
- **B** In July, the auditors realise that a supplier confirmation they relied on had been obtained two years earlier
- **C** In July, a cyclone floods the Paradip warehouse and destroys stock and machinery that were in good condition at 31 March
- **D** In July, it emerges that the CFO had hidden a related party relationship with fabricated documents

5 A bank in Singapore charges ₹40,000 for each balance confirmation. For Tapri's ₹6 crore deposit with it, Bunty proposes to accept a photocopy of the bank statement given by Tapri's finance team instead, because "there is a balance to be struck between the reliability of information and its cost". Is he right?

- A Yes: the balance between reliability and cost is an inherent limitation, so the cheaper evidence is enough
- B Yes, provided management also gives a written representation that the deposit exists
- C No, because a photocopy is never audit evidence
- D No: difficulty, time or cost is not in itself a valid basis to be satisfied with audit evidence that is less than persuasive

Answers: the answer key at the end of this lesson.

Recap

- **Inherent limitations:** inbuilt limits of the audit process, due to which an auditor cannot obtain absolute assurance that the financial statements are free from misstatement due to fraud or error.
- **SA 200:** the auditor is not expected to, and cannot, reduce audit risk to zero; most audit evidence is persuasive rather than conclusive.
- **(1) Nature of financial reporting:** management's judgments; controls with their own limits (collusion at the goods-receiving stamp).
- **(2) Nature of audit procedures:** practical (samples) and legal (cannot force information; can only report) limits; sophisticated fraud and fabricated documents; not an expert in authentication; paper related party transactions.
- **(3) Not an investigation:** no powers of search or of statements on oath. **(4) Timeliness:** relevance falls over time; reliability versus cost. **(5) Future events:** the entity may be adversely affected later.
- Hence no guarantee: there is an unavoidable risk that some material misstatements are not detected even in an audit properly planned and performed in accordance with SAs.
- **Never an excuse:** difficulty, time or cost does not justify omitting a procedure with no alternative (SM 4.71). (Bunty's 20 working days of ticking would not have caught the potato man either.)

Answer key · Check yourself

1 **B Nature of financial reporting**

Preparation of financial statements involves many judgments by management, which may involve subjective decisions or a degree of uncertainty (SM 1.14): that is the nature of financial reporting. "Future events" is the tempting answer, but that limb is about events that may adversely affect the entity and its ability to continue its business, not the uncertainty inside an estimate.

2 **B A legal limitation on obtaining audit evidence**

SM 1.15: there is no way the auditor can force management to provide complete information; he can only report. That is ICAI's example of a legal limitation. Testing samples is the practical one.

3 **A The preparation of financial statements involves judgment by management**; **B Fraud may involve sophisticated and carefully organised schemes**; **C An audit is not an official investigation into alleged wrongdoing**

The first three are in SA 200's list (SM 1.16). Difficulty, time or cost is not in itself a valid basis for omitting a procedure (SM 4.71). Independence is part of the very meaning of audit (SM 1.5): an auditor who is not independent should not be doing the audit at all, so it is no limitation of a properly conducted one.

4 **C In July, a cyclone floods the Paradip warehouse and destroys stock and machinery that were in good condition at 31 March**

Only the cyclone is an event after the audit that adversely affects the entity (SM 1.16). The damaged premix was visible in evidence at the audit, so it is a miss, not a limitation. The old confirmation is the timeliness limitation, and relying on it is not excused. Fabricated documents and hidden related parties fall under the nature of audit procedures.

5 **D No: difficulty, time or cost is not in itself a valid basis to be satisfied with audit evidence that is less than persuasive**

SM 4.71, quoting SA 200: difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative, or to be satisfied with audit evidence that is less than persuasive. A photocopy is evidence, only less reliable than the original or a confirmation received directly; the cost limitation is about not verifying every matter, not about accepting weaker evidence for a material balance.

1.4 Scope of audit, engagement types and qualities of an auditor

What an audit of financial statements covers and what it never does (another expert's work, authenticating documents, investigations), what an engagement is, and the qualities ICAI expects of an auditor.

In plain words

Kesar's wish list

It is the planning meeting for the 2025-26 audit of Tapri Tea Co. Ltd. Kesar has brought a list for Iyer & Associates.

> **Kesar:** Lakshmi-ji, four small jobs this year. Certify that the new kulhad kiln will last twenty years. Write up the accounts yourselves, my accountant is on leave. Find out which franchisee is hiding sales. And skip the notes to accounts. Nobody reads them.
>
> **Lakshmi:** Three of those are not audit work, Kesar-ji. The fourth is audit work, and it is the one you want me to skip.
>
> **Bunty:** Ma'am, I thought an auditor checks everything?
>
> **Lakshmi:** An auditor checks everything the opinion needs, Bunty. That is called the scope.

Scope means the range or reach of something. An audit exists to make users (shareholders, banks, the government, employees) more confident in the financial statements, and it does that through one thing: the auditor's **opinion** on whether those statements are prepared, in all material respects, in accordance with the rules that apply to them. So whatever that opinion needs is inside the scope: the audit must reach every part of the business that feeds the statements, the auditor must be satisfied that the records behind them can be relied on, and the statements must disclose properly what they should. The notes to accounts are part of the statements, so Kesar's "skip the notes" asks Lakshmi to skip her job.

Some things are outside, however useful they sound. Writing the accounts is management's job. Judging how long a kiln will last needs an engineer. Proving that a signature is genuine needs a document expert. Hunting for a suspected fraud is an **investigation**, a different assignment with a narrow, special purpose.

Two more ideas complete the picture. An **engagement** is the formal agreement under which an auditor agrees to provide the service, written down in an **engagement letter**. And the person doing all this needs more than accounting: ICAI lists the personal qualities of a good auditor, starting with tact and ending with reliability.

Think of it like

The health check-up and the biopsy

An annual health check-up looks at every system that matters to your health, checks that the lab reports are reliable, and ends with the doctor's opinion. The doctor does not service your car, verify your degree certificate or tell the police who stole your wallet. If a lump is found, a biopsy follows: one specific test for one suspected problem. The check-up is the audit (general and broad); the biopsy is the investigation (specific and narrow).

Key idea

The scope of an audit is set by its purpose, an opinion on the financial statements as a whole. Everything that opinion needs (coverage of all relevant aspects, reliable and sufficient records, proper disclosure) is inside; preparing the statements, other professions' work, authenticating documents and investigations are outside.

How it works

1. Scope starts from the purpose

Scope refers to range or reach of something. The purpose of an audit is to **enhance the degree of confidence of intended users** in the financial statements. Users may be shareholders, employees, customers, government and regulatory authorities, bankers and others. That confidence is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework (SM 1.10).

Definition

Applicable financial reporting framework

A framework adopted in the preparation and presentation of the financial statements that is acceptable in view of the nature of the entity and the objective of the financial statements, or that is required by law or regulation. For companies in India, the financial reporting framework is provided under Schedule III of the Companies Act, 2013 (SM 1.10).

2. What the scope includes: three points and the opinion

The Study Material lists these points, in this order (SM 1.10–1.11):

1 **Coverage of all aspects of entity.** Audit of financial statements should be organised adequately to cover all aspects of the entity relevant to the financial statements being audited.

2 **Reliability and sufficiency of financial information.** The auditor should be reasonably satisfied that information contained in underlying accounting records and other source data (like bills, vouchers, documents) is reliable and a sufficient basis for preparation of financial statements. He judges this by making a study and assessment of accounting systems and internal controls and by carrying out appropriate tests, enquiries and procedures.

3 **Proper disclosure of financial information.** The auditor should decide whether relevant information is properly disclosed in the financial statements, keeping in mind the applicable statutory requirements. He does so by ensuring that the financial statements properly summarise the transactions and events recorded therein and by considering the judgments made by management in preparing them.

4 **Expression of an opinion on financial statements**, the fourth tick in ICAI's overview of the scope (SM 1.12).

Management's judgments, the auditor's evaluation. Management, which is responsible for preparing and presenting the financial statements, makes many judgments: choosing appropriate accounting policies, such as the method of charging depreciation on fixed assets or the method of valuing inventories. The auditor evaluates selection and consistent application of accounting policies by management: whether the selection is proper, and whether the chosen policy has been applied consistently on a period-to-period basis (SM 1.11).

"All aspects" is not "every transaction". Coverage means organising the audit so that nothing relevant to the financial statements is left out; it does not mean checking every voucher. The auditor does not test all transactions and balances, he forms his opinion by testing samples (SM 1.14–1.15). In the Study Material's Case Study 1, the student who concluded from "coverage of all aspects" that each and every transaction is verified is marked wrong, and so is the friend who agreed with him (SM 1.20–1.22).

An audit looks at the past. Financial statements are prepared on the basis of historical financial information, so the audit of financial statements is also based on historical financial information (SM 1.11). Purchases and sales shown in the statements are examples: they are transactions that have already occurred.

Definition

Historical financial information

Information expressed in financial terms in relation to a particular entity, derived primarily from that entity's accounting system, about economic events occurring in past time periods or about economic conditions or circumstances at points in time in the past (SM 1.11).

Forecasts and projections are prospective financial information: assurance on them is a different engagement, covered in assurance engagements.

3. What the scope does not include

ICAI's overview marks four things with a cross (SM 1.12–1.13):

- **Responsibility of preparation and presentation of financial statements.** That is the responsibility of the management of the entity; the auditor expresses an opinion on them (SM 1.6).
- **Duties outside the scope of competence of the auditor.** The auditor is not expected to perform duties which fall outside the domain of his competence. The physical condition of certain assets, like sophisticated machinery, cannot be determined by him; nor is he expected to determine the

suitability and life of civil structures like buildings. These need different skill sets, those of qualified engineers in their fields.

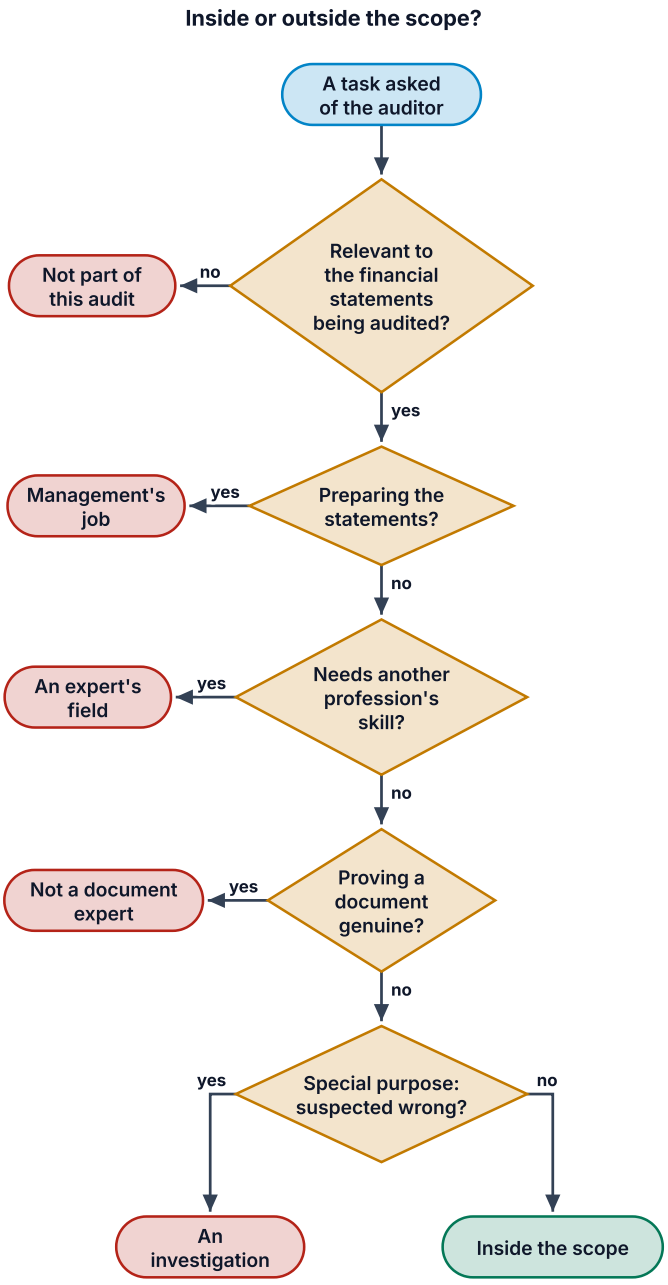
- **Expertise in authentication of documents.** An auditor is not an expert in authentication of documents, so the genuineness of documents cannot be authenticated by him.
- **Investigation.** An audit is not an official investigation into alleged wrongdoing. The auditor does not have any specific legal powers of search or of recording statements of witnesses on oath, which may be necessary for an official investigation.

"Not an expert in documents" is not "accept anything". The exclusion means the auditor cannot certify that a document is genuine. He may accept records and documents as genuine unless he has reason to believe the contrary; but he must consider the reliability of the information he uses as evidence, and where there is doubt about its reliability or an indication of possible fraud, the SAs require him to investigate further and determine what modifications or additions to audit procedures are necessary to resolve the matter (SM 11.13). And a missing document is not an authentication question at all: whether the records are a reliable and sufficient basis for the statements is an inclusion.

What the scope includes and excludes

Included in the scope (✓)	Not included (×)
Coverage of all aspects of the entity relevant to the financial statements	Preparation and presentation of the financial statements
Reliability and sufficiency of financial information	Duties outside the auditor's competence
Proper disclosure of financial information	Expertise in authentication of documents
Expression of an opinion on the financial statements	Investigation

Reproduce this table from memory: questions ask for the inclusions, the exclusions, or one of each applied to a case.



Rose: outside the scope of the audit (the four exclusions of SM 1.12–1.13, after the first question). Green: inside, where the auditor covers it, tests its reliability and sufficiency and checks its disclosure.

4. Audit and investigation are different things

Definition

Investigation

"Investigation is a critical examination of the accounts with a special purpose." For example, if fraud is suspected and the auditor is specifically called upon to check the accounts to find whether fraud really exists, it takes the character of investigation (SM 1.12).

The objective of audit, on the other hand, is to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error,

thereby enabling the auditor to express an opinion. The scope of audit is general and broad whereas scope of investigation is specific and narrow (SM 1.12).

Audit and investigation

Point	Audit	Investigation
What it is	Independent examination of financial information, to express an opinion	Critical examination of the accounts with a special purpose
Objective	Reasonable assurance that the statements as a whole are free from material misstatement	Whatever the special purpose is, e.g. whether a suspected fraud exists
Scope	General and broad	Specific and narrow
Legal powers of search or recording statements on oath	The auditor has none	May be necessary for an official investigation
Assurance	A reasonable assurance engagement	Not a reasonable assurance engagement (SM 1.41)

ICAI's own example (SM 1.13, 1.41): after a fire at a plant, an insurance company appoints a CA to verify the books and the circumstances surrounding the loss. The appointment has a specific objective, to determine the genuineness of the loss and any issue affecting the insurer's liability: it is an investigation, and the CA's report is not an audit report.

5. What is an engagement?

Engagement means an arrangement to do something. In the context of auditing, it means a formal agreement between auditor and client under which auditor agrees to provide auditing services, and it takes the shape of an **engagement letter** (SM 1.17). The letter records, among other things, the objective and scope of the audit of the financial statements and the responsibilities of the auditor and of management (SM 11.16); the rules for agreeing those terms are in SA 210.

External audit engagements. Their purpose is to enhance the degree of confidence of intended users of financial statements, and they are reasonable assurance engagements. In India, companies are required to get their annual accounts audited by an external auditor; non-corporate entities may choose to have their accounts audited by an external auditor because of the benefits of an audit (SM 1.17).

Not every engagement a CA accepts is an audit. The Study Material's other types, each with its own family of Standards, are taken apart in assurance engagements and the engagement standards:

Engagement	What it gives the user	Standards
Audit of financial statements	Reasonable assurance (high)	SAs
Review of financial statements	Limited assurance (lower than audit)	SREs
Examination of prospective financial information; report on controls	Assurance on matters other than historical financial information	SAEs
Agreed-upon procedures; compilation	Related services: no assurance in a compilation	SRSs

6. Qualities of an auditor

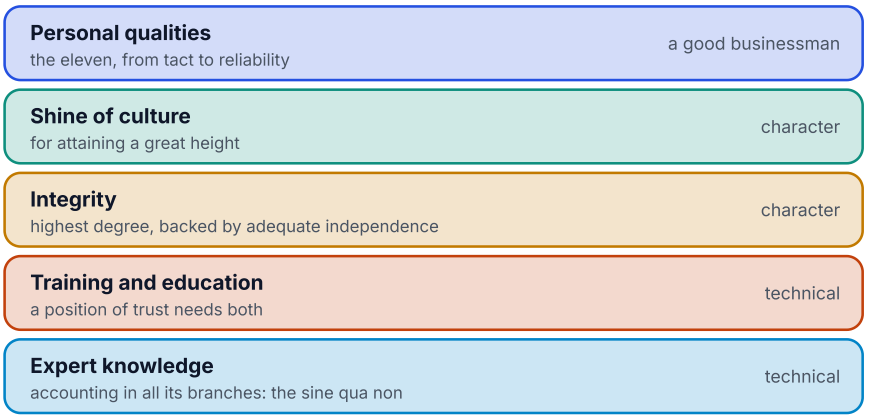
An auditor is concerned with reporting on the financial matters of business and other institutions. Financial matters are inherently beset with the problems of human fallibility: errors and frauds are frequent. So the Study Material lists the qualities an auditor should have, in this order (SM 1.27–1.28):

Tact, caution, firmness, good temper, integrity, discretion, industry, judgment, patience, clear headedness and reliability. In short, all those personal qualities that go to make a good businessman contribute to the making of a good auditor. (*Industry* here means diligence, hard work; *discretion*, knowing what to say, to whom, and what to keep confidential.)

Then, in the Study Material's order:

- He must have the **shine of culture** for attaining a great height.
- He must have the **highest degree of integrity backed by adequate independence**.
- He holds a **position of trust**, so he must have the basic human qualities apart from the technical requirement of **professional training and education**.
- He is called upon constantly to critically review financial statements, and it is useless to attempt that task unless **his own knowledge is that of an expert**.
- An **exhaustive knowledge of accounting in all its branches is the sine qua non** (the indispensable condition) of the practice of auditing: he must know thoroughly all accounting principles and techniques.

What ICAI asks of an auditor



Read top to bottom in the Study Material's order (SM 1.27–1.28). The bottom layer is the one ICAI calls indispensable.

Trick

Eleven qualities in ICAI's order

"**T**apri's **C**hai **F**eels **G**ood **I**n **D**elhi, **I**ndore, **J**aipur, **P**atna, **C**hennai and **R**anchi": tact, caution, firmness, good temper, integrity, discretion, industry, judgment, patience, clear headedness, reliability. The sentence fixes only the initials and the order: the two I's are integrity, then industry; the two C's caution, then clear headedness.

Worked examples

Worked example **The notes nobody reads**

Desai & Co. are the statutory auditors of Kaveri Kulhad Works Pvt Ltd, a supplier of clay cups to Tapri, for 2025-26. Management objects to three of the engagement partner's requests, each time with a different argument:

(i) The partner plans to cover the Khurja unit, which makes 30% of the company's output and keeps its accounts on spreadsheets that are added to the head office figures at the year end. Management: "Audit the Indore head office books. Khurja is only a production unit, and its figures are merged into ours anyway."

(ii) Freight of ₹62 lakh is booked from the transporter's monthly statements; no lorry receipts or delivery records are kept. Management: "The transporter is reputed. And auditors are not experts in authentication of documents, so whether his statements are genuine is not your concern."

(iii) The company has mortgaged its factory land as security for a bank loan taken by a firm owned by the managing director's brother. Nothing about it appears in the notes to accounts. Management: "No money came to us and there is no entry in our books, so there is nothing here for the auditor."

Examine each of management's contentions with reference to the scope of an audit of financial statements.

MODEL ANSWER

Relevant provision. The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements, by expressing an opinion on whether they are prepared, in all material respects, in accordance with the applicable financial reporting framework. The scope of audit of financial statements includes:

1. **Coverage of all aspects of entity**: the audit should be organised adequately to cover all aspects of the entity relevant to the financial statements being audited.
2. **Reliability and sufficiency of financial information**: the auditor should be reasonably satisfied that information in the underlying accounting records and other source data (bills, vouchers, documents) is reliable and a sufficient basis for preparing the financial statements, judged by a study and assessment of accounting systems and internal controls and by appropriate tests, enquiries and procedures.
3. **Proper disclosure of financial information**: the auditor should decide whether relevant information is properly disclosed, keeping in mind the applicable statutory requirements, by ensuring that the financial statements properly summarise the transactions and events and by considering the judgments made by management.

An auditor is not an expert in authentication of documents, so the genuineness of documents cannot be authenticated by him; this does not relieve him of the duty to be reasonably satisfied about the reliability and sufficiency of the information.

Facts and analysis.

(i) The Khurja unit's figures form part of the company's financial statements, whatever the unit is called. Confining the work to the head office books would leave an aspect of the entity relevant to the financial statements uncovered; the audit must be organised to cover it.

(ii) The point is not whether the transporter's statements are genuine but whether ₹62 lakh of freight, supported only by the transporter's own statements with no lorry receipts or delivery records, rests on records that are a reliable and sufficient basis for the financial statements. That is exactly what the

auditor must judge, through a study and assessment of the accounting system and internal controls and appropriate tests, enquiries and procedures. The authentication exclusion does not apply.

(iii) The mortgage of the company's own land to secure another firm's loan is relevant information about the company's assets and obligations. The absence of an entry in the books does not take it outside the audit: whether relevant information is properly disclosed, keeping in mind the applicable statutory requirements, is itself part of the scope.

Conclusion. None of management's contentions is correct. All three matters fall well within the scope of the audit of financial statements: (i) coverage of all aspects of the entity, (ii) reliability and sufficiency of financial information, (iii) proper disclosure of financial information.

Worked example **Four favours for the audit committee**

Tapri's audit committee asks Iyer & Associates to include the following in the 2025-26 statutory audit. State, with reasons, whether each falls within the scope of the audit of financial statements.

(a) Estimating whether the roof of the Sanwer cold-storage building can safely carry a second tier of solar panels.

(b) Checking that the ₹4.20 crore of capital advances paid to a related party are presented and described in the financial statements as the framework requires.

(c) After a police complaint about a ₹65 lakh cash shortage at the Ujjain depot, establishing whether the depot manager took the money.

(d) Assessing whether the sales register generated by the café billing software can be relied upon as the basis for revenue.

MODEL ANSWER

(a) Outside the scope. The auditor is not expected to perform duties which fall outside the domain of his competence. Determining the suitability and life of civil structures like buildings requires different skill sets, those of qualified engineers. The committee should engage a structural engineer.

(b) Within the scope. Proper disclosure of financial information is part of the scope: the auditor decides whether relevant information is properly disclosed in the financial statements, keeping in mind the applicable statutory requirements.

(c) Outside the scope of the audit. Investigation is a critical examination of the accounts with a special purpose; where fraud is suspected and the examination is specifically meant to find out whether it really exists, it takes the character of investigation. An audit is not an official investigation into alleged wrongdoing, and the auditor has no legal powers of search or of recording statements of witnesses on oath. The scope of audit is general and broad, that of investigation specific and narrow. The committee may commission an investigation as a separate assignment; it cannot be made part of the audit.

(d) Within the scope. The auditor must be reasonably satisfied that the information in the underlying accounting records is reliable and a sufficient basis for the financial statements, which he judges through a study and assessment of accounting systems and internal controls and appropriate tests, enquiries and procedures.

Hence (b) and (d) fall within the scope of the audit; (a) and (c) do not.

Exam angle

In the exam

Where the scope of audit appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, the scope of audit was examined in 9 of them:

- **"Does this matter fall within the scope of audit?", a case**: RTP May 2025 Q9 (an undisclosed change in the inventory valuation method); RTP September 2025 Q9 (unreported project revenue, unsupported vouchers, an undisclosed change in depreciation method); September 2026 Q4(c), 4 marks (an undisclosed consumer claim, plus "state the important points in relation to the scope"; answers not yet published).
- **Outside the scope, and audit versus investigation**: MTP May 2026 Series I Q1(b), 5 marks; MTP September 2024 Series I Q2(c), 4 marks (a board member objects to calling a fraud probe an "audit"); September 2024 Q1(c), 3 marks (a fraud-detection clause in the appointment letter).
- **Multiple choice, 2 marks**: September 2025 MCQ 2 (which falls within the scope); May 2026 MCQ 8 (which falls outside: the physical condition and life of buildings and machinery); MTP September 2025 Series I MCQ 15.

In the exam

Qualities of an auditor

No new-scheme paper, RTP or MTP among those read asked it. The old scheme did, for 4 marks, in MTP July 2021 and MTP December 2021 (both Series I, Q2(b)), opening with Lord Justice Lindley's words in the London and General Bank case. Those answers attribute the list of qualities to Dicksee and add knowledge of law and taxation; the current Study Material gives the list without attribution. Write the Study Material's version: the eleven qualities, the shine of culture, integrity with independence, position of trust, expert knowledge, accounting as the sine qua non.

In the exam

How the marks are earned

ICAI's suggested answers list the relevant inclusions (or exclusions) in the Study Material's words, sometimes after a line on the purpose of the audit (RTP May 2025), apply each to the facts and close with a verdict on the contention: "well within the scope of audit", "management's contention is not correct". In audit-versus-investigation answers, the sentence "The scope of audit is general and broad whereas scope of investigation is specific and narrow" appears every time.

Answer frame

A case: "Does the matter fall within the scope of audit?"

1. **Provision**: the purpose of an audit (enhancing the degree of confidence of intended users through an opinion), then the inclusion that decides the case, in the Study Material's words (coverage, reliability and sufficiency, proper disclosure), or the exclusion (competence, authentication, investigation).
2. **Facts**: "In the given case, ...", with the figures.
3. **Analysis**: link each fact to its inclusion or exclusion.
4. **Conclusion**: "Hence, the matter falls well within the scope of audit; management's contention is not correct", or the reverse.

"Explain the matters which fall outside the scope of an audit"

The four, each with ICAI's example: preparation and presentation (management's responsibility); duties outside competence (sophisticated machinery, civil structures: engineers); authentication of documents (not an expert); investigation (no powers of search or of recording statements on oath; general and broad versus specific and narrow).

Three answers to "The notes nobody reads"

Loses marks

"The auditor checks everything, so all three are in scope."

A conclusion with no provision, and a wrong idea of coverage.

Passes

The three inclusions listed, then "so all three are within the scope".

The provision is right, but the facts are not linked to it.

Full marks

Purpose, the three inclusions in ICAI's words, each matter tied to its inclusion (Khurja: coverage; freight: reliability and sufficiency, not authentication; mortgage: disclosure), each of management's arguments answered, and a verdict on every contention.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's every-voucher audit

Bunty reads "coverage of all aspects of entity" and plans to tick all 48,000 sales invoices. **Fix:** coverage means organising the audit to cover every aspect relevant to the financial statements; the auditor tests samples and does not verify each and every transaction (SM 1.14–1.15, Case Study 1).

⚠ **Common mistake**

"Notes and disclosures are the company secretary's business"

Treating an omitted disclosure as outside the audit because there is no entry in the books. **Fix:** proper disclosure of financial information is one of the three inclusions, judged against statutory requirements too.

⚠ **Common mistake**

Calling a fraud hunt an audit

Answering "yes, the auditor must find the fraud" when the board asks for a special-purpose check of suspected wrongdoing. **Fix:** that is an investigation; an audit is not an official investigation, and its scope is general and broad, not specific and narrow.

⚠ **Common mistake**

The auditor who certifies the machine

Agreeing to certify the condition or remaining life of plant, or the genuineness of a signature. **Fix:** both are outside the auditor's competence or expertise; the work belongs to engineers or document experts.

⚠ **Common mistake**

"Not an expert, so not my problem"

Using the authentication exclusion to wave through a doubtful document, or a missing one. **Fix:** the auditor does not certify genuineness, but where there is doubt about the reliability of evidence he must investigate further and modify or add procedures (SM 11.13); and a missing lorry receipt is a question of reliability and sufficiency of financial information, which is inside the scope.

Practice

Check yourself

1 Case scenario. Vouching Tapri's 2025-26 packaging purchases, Bunty finds that three invoices from a new supplier, together ₹48 lakh, carry the same signature in three different inks, and the supplier's GSTIN cannot be found on the GST portal. He ticks them anyway: "We are not experts in authentication of documents, Ma'am, so this is outside our scope." What should Iyer & Associates do?

- A Accept the invoices: an auditor may accept documents as genuine, and authentication is outside the scope of audit
- B State in the audit report that the three invoices are forged
- C Investigate further and determine what modifications or additions to audit procedures are needed, because there is doubt about the reliability of the evidence
- D Stop the audit and refer the matter to the police, because an audit is not an official investigation

2 "The audit should cover all aspects of the entity." What does ICAI mean by this?

- A The audit should be organised to cover all aspects of the entity relevant to the financial statements being audited
- B Every transaction and balance must be verified
- C Every department must be examined, whether or not it affects the accounts
- D The auditor must take over the preparation of any statement management has not completed

3 Which of the following fall outside the scope of an audit of financial statements? Select all that apply.

- A Testing whether the samosa line's fryers still meet the maker's temperature specification
- B Evaluating whether management has applied its inventory valuation policy consistently with last year
- C Recording a witness's statement on oath about missing stock
- D Preparing and presenting the financial statements

More than one answer may be right.

4 Which of the following statements about audit and investigation is NOT correct?

A Investigation is a critical examination of the accounts with a special purpose

B Because an audit is not an investigation, the auditor's objective does not extend to misstatements caused by fraud

C The scope of audit is general and broad, whereas the scope of investigation is specific and narrow

D The auditor has no specific legal powers of search or of recording statements of witnesses on oath

5 Which quality does the Study Material call the sine qua non of the practice of auditing?

A Tact in dealing with management

B Legal powers to call for documents

C Knowledge of engineering for verifying machinery

D An exhaustive knowledge of accounting in all its branches

Answers: the answer key at the end of this lesson.

Recap

- Purpose of audit: enhance the degree of confidence of intended users, by an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework (Schedule III for companies).
- Scope includes coverage of all aspects of the entity relevant to the financial statements, reliability and sufficiency of financial information, proper disclosure of financial information, and the opinion.
- The auditor evaluates selection and consistent application of accounting policies; management chooses them.
- Audit is based on historical financial information.
- Scope excludes: preparation and presentation (management); duties outside competence (machinery, buildings); authentication of documents; investigation.
- Investigation: a critical examination of the accounts with a special purpose. Audit general and broad, investigation specific and narrow.
- Engagement: a formal agreement under which the auditor agrees to provide auditing services, in an engagement letter; external audit engagements are reasonable assurance engagements.
- Qualities: tact, caution, firmness, good temper, integrity, discretion, industry, judgment, patience, clear headedness, reliability; integrity backed by independence; accounting knowledge the sine qua non. (Kesar's kiln still needs an engineer.)

Answer key · Check yourself

1 **C Investigate further and determine what modifications or additions to audit procedures are needed, because there is doubt about the reliability of the evidence**

The auditor may accept records and documents as genuine only unless he has reason to believe the contrary; with doubt about reliability or an indication of possible fraud, the SAs require him to investigate further (SM 11.13). He still does not certify the invoices as genuine or forged (authentication is outside his expertise), and nothing here turns the audit into an investigation.

2 **A The audit should be organised to cover all aspects of the entity relevant to the financial statements being audited**

Coverage is about organising the audit, limited to what is relevant to the financial statements. The auditor works on samples, and preparation stays management's responsibility.

3 **A Testing whether the samosa line's fryers still meet the maker's temperature specification; C Recording a witness's statement on oath about missing stock; D Preparing and presenting the financial statements**

The fryers' physical condition needs an engineer (outside the auditor's competence), statements on oath belong to an official investigation, and preparation is management's job. Evaluating the selection and consistent application of accounting policies is part of proper disclosure, inside the scope.

4 **B Because an audit is not an investigation, the auditor's objective does not extend to misstatements caused by fraud**

The objective of an audit is reasonable assurance that the financial statements as a whole are free from material misstatement, whether due to fraud or error (SM 1.8, 1.12). What the audit is not is a special-purpose examination of a suspected fraud. The other three are the Study Material's own statements (SM 1.12).

5 **D An exhaustive knowledge of accounting in all its branches**

The auditor must know thoroughly all accounting principles and techniques (SM 1.28). The auditor has no legal powers of an investigator, and engineering lies outside his competence.

1.5 Auditing and its relationship with other disciplines

Why auditing is interdisciplinary: what the auditor borrows from accounting, law, economics, behavioural science, statistics and mathematics, data processing, financial management and production, in ICAI's words.

In plain words

Bunty's longest day

Bunty thinks an audit is a pile of vouchers and a red pen. So Lakshmi gives him one day at Tapri Tea Co. Ltd with a different job every hour.

> **Bunty:** Ma'am, the GST notices, the store manager, the delivery app's servers and the samosa line? I came to audit the accounts.
>
> **Lakshmi:** All of those end up in the accounts, Bunty. You cannot check a number if you do not understand where it came from.
>
> **Kesar:** *(passing by)* Take him to the samosa line first. Nobody understands my business on an empty stomach.

By evening Bunty has used accounting (to read the statements), law (to see whether the GST demand needs a provision or a note), people skills (the store manager answered every question except the one about the cash drawer), statistics (to pick 60 delivery invoices out of 48,000 so the sample says something about all of them), mathematics (to recheck the count of 12,400 kulhads in the warehouse), economics (milk prices rose all year, so why did Tapri's margins not fall?), financial management (the working capital ratios), data processing (the app's records are the books now) and production knowledge (how many samosas a kilo of potatoes really makes).

That is what ICAI means when it calls auditing **interdisciplinary**: it draws from many subjects and uses them. ICAI singles out one of them: the financial statements are the result of the accounting process, so a sound knowledge of accounting principles is a fundamental requirement.

Think of it like

The judge at the cooking contest

A good judge knows recipes, the food-safety rules and the price of tomatoes this month. She notices which contestant is nervous about the fridge, tastes one spoon from each pot instead of the whole pot, reads the oven's digital log and knows how a kitchen line runs. She is judging the dish, but she needs all of that to judge it well.

Key idea

Auditing draws from accountancy, law, behavioural science, statistics, economics and financial management (and, in ICAI's chart, data processing and production). Each gives the auditor a tool; a sound knowledge of accounting principles is the one requirement ICAI calls fundamental.

How it works

1. ICAI's statement

Auditing is interdisciplinary in nature. It draws from diverse subjects including accountancy, law, behavioural science, statistics, economics and financial management, and makes use of these subjects (SM 1.6). The Study Material's chart puts auditing at the centre of eight disciplines (SM 1.7):



The eight disciplines of ICAI's chart (SM 1.7), one colour each, read clockwise from Accounting in the order the Study Material explains them below.

2. What each discipline gives the auditor

The Study Material explains the links in two places: a paragraph (SM 1.6–1.7) and a one-line statement for each discipline (SM 1.7–1.8). Learn the one-liners; use the paragraph to explain them.

1. **Auditing and Accounting.** Auditing reviews the financial statements which are nothing but a result of the overall accounting process. Since the audit of financial statements is concerned with financial information, a sound knowledge of accounting principles is a fundamental requirement for an auditor to conduct the audit and express an opinion (SM 1.6–1.7). At Tapri: judging whether the elaichi premix stock is valued correctly needs the accounting rules for inventory first.
2. **Auditing and Law.** An auditor should have a good knowledge of business laws affecting the entity. Good knowledge of business laws and various taxation laws helps the auditor to understand the financial statements in a better way, in accordance with applicable laws (SM 1.6–1.7). At Tapri: whether a GST demand is a liability, a provision or a note starts as a question of law.
3. **Auditing and Economics.** The auditor is expected to be familiar with the overall economic environment of the client: knowledge of economics helps him understand the economic environment in which the specific business is operating (SM 1.7). At Tapri: a year of rising milk prices makes unchanged margins a question, not a comfort.

4. **Auditing and Behavioural Science.** Knowledge of human behaviour is essential for an auditor to effectively discharge his duties. During the audit, the auditor has to interact with a lot of persons, seeking information and making inquiries, which can be done only with knowledge of human behaviour (SM 1.7–1.8). At Tapri: the store manager who answers every question but one.
5. **Auditing and Statistics & Mathematics.** The auditor is expected to have knowledge of **statistical sampling** for meaningful conclusions and of **mathematics for verification of inventories**. It is not possible for an auditor to check each and every transaction, so auditors use statistical methods to draw samples in a scientific manner (SM 1.7–1.8; SA 530 audit sampling). At Tapri: 60 invoices chosen from 48,000 so that the result speaks for all of them.
6. **Auditing and Data Processing.** EDP auditing is developing as a discipline in itself (SM 1.8). At Tapri: orders, payments and refunds live in the delivery app before they reach the ledger (internal control in an IT environment).
7. **Auditing and Financial Management.** The auditor is expected to have knowledge of financial techniques such as working capital management, funds flow, ratio analysis and capital budgeting. He needs them for applying some of the audit procedures and carrying out the audit effectively; knowledge of financial markets, part of the study of financial management, is also expected of a professional auditor (SM 1.7–1.8). At Tapri: ratios that move against the trend point the audit at an area (analytical procedures; ratio analysis in Paper 6A).
8. **Auditing and Production.** A good auditor is one who understands the client and his business functions, such as production, cost system and marketing (SM 1.8). At Tapri: knowing how many samosas a kilo of potatoes yields tells you whether the wastage figure is believable (cost and financial accounting in Paper 4).

3. The summary to write in an exam

Discipline	The link, in ICAI's words
Accounting	Auditing reviews the financial statements, the result of the overall accounting process
Law	Good knowledge of business laws affecting the entity
Economics	Familiar with the overall economic environment of the client
Behavioural science	Knowledge of human behaviour, to discharge duties effectively
Statistics & mathematics	Statistical sampling for meaningful conclusions; mathematics for verifying inventories
Data processing	EDP auditing, developing as a discipline in itself
Financial management	Working capital management, funds flow, ratio analysis, capital budgeting
Production	Understands the client's business functions: production, cost system, marketing

Reproduce this table from memory, in this order.

Worked examples

Worked example **The dairy that needed four kinds of knowledge**

Sahyadri Dairy Producer Co. Ltd buys milk from 14,000 farmers at 220 village collection centres and turns it into ghee, paneer and flavoured milk. During the 2025-26 audit, the auditors notice:

(1) The company has received a GST show-cause notice disputing the tax rate it applied to flavoured milk.

(2) Milk procurement prices rose sharply after a drought, while competing dairies cut their selling prices; yet the company's gross margin is the same as last year.

(3) The quantity of ghee obtained from each 100 litres of milk is reported higher than in any earlier year.

(4) Unsold paneer at the year end is carried at cost, although its shelf life is a few days.

For each observation, identify the discipline other than auditing on which the auditor must draw, and explain, with reference to the case, why the auditor is expected to have a working knowledge of it.

MODEL ANSWER

Auditing is interdisciplinary in nature: it draws from diverse subjects and makes use of them. In the given case, the matters noticed cannot be evaluated through mere verification of the accounting records.

(1) GST show-cause notice: Auditing and Law. An auditor should have a good knowledge of business laws affecting the entity; knowledge of business laws and taxation laws helps him understand the financial statements in accordance with applicable laws. The notice can be evaluated, for its effect on liabilities and disclosures, only with an understanding of the tax law involved.

(2) Unchanged margin in a drought year: Auditing and Economics. The auditor is expected to be familiar with the overall economic environment of the client. Rising procurement prices after a drought and price cuts by competitors would ordinarily squeeze margins; an unchanged gross margin in that environment needs explanation, and the auditor should design his procedures in that light.

(3) Record ghee yield: Auditing and Production. A good auditor understands the client and his business functions, such as production, cost system and marketing. Knowledge of how ghee is produced from milk lets him judge whether a record yield is plausible or whether output, and hence inventory and profit, may be overstated.

(4) Paneer carried at cost: Auditing and Accounting. Auditing reviews the financial statements, which are the result of the overall accounting process, so a sound knowledge of accounting principles is a fundamental requirement. Whether paneer with a shelf life of a few days can be carried at cost is an accounting question about the valuation of inventories.

Hence, to form an opinion in this case, the auditor needs working knowledge of law, economics, production and accounting in addition to auditing.

Worked example **Bunty's four claims**

State, with reasons, whether each of Bunty's statements is correct or incorrect.

(i) "Statistics is for researchers. I pick the vouchers that look interesting."

(ii) "Tax laws are the tax consultant's job; the auditor only checks the accounts."

(iii) "Since the financial statements are the result of the accounting process, a sound knowledge of accounting principles is a fundamental requirement for the auditor."

(iv) "Knowing how the factory runs is the cost accountant's business, not the auditor's."

MODEL ANSWER

(i) Incorrect. It is not possible for an auditor to check each and every transaction, so auditors use statistical methods to draw samples in a scientific manner. The auditor is expected to have knowledge of statistical sampling for meaningful conclusions.

(ii) Incorrect. An auditor should have a good knowledge of business laws affecting the entity. Good knowledge of business laws and various taxation laws helps the auditor to understand the financial statements in a better way, in accordance with applicable laws.

(iii) Correct. Auditing reviews the financial statements, which are nothing but a result of the overall accounting process. Since the audit is concerned with financial information, a sound knowledge of accounting principles is a fundamental requirement to conduct the audit and express an opinion.

(iv) Incorrect. A good auditor is one who understands the client and his business functions, such as production, cost system and marketing.

Exam angle

In the exam

Where the relationship with other disciplines appeared

In the ICAI documents read for this lesson, it was examined in 4 of them, once in the new scheme:

- **New scheme, case, 4 marks**: May 2026 Q4(c). An infrastructure company with contractor disputes, pressure on site managers, automated data processing and aggressive working capital management; "explain why an auditor is expected to have working knowledge of disciplines other than auditing", for Statistics & Mathematics, Financial Management, Data Processing and Behavioural Science. ICAI's answer gives each discipline's one-line link from the Study Material, then ties it to a fact of the case.
- **Old scheme**: MTP November 2019 Series I Q2(b), 4 marks ("The relationship between auditing and law is very close one"); RTP November 2020 Q2(b) (accounting and auditing); RTP November 2021 Q2(a) (knowledge of human behaviour).

In the exam

Old answers, new syllabus

The old-scheme answers draw on the old Study Material and add points the current one does not make (logic, ethics, language, the internal auditor's dealings with people, the law of contracts and negotiable instruments). For January 2027, write the current Study Material's points: the eight one-liners above, with the paragraph's explanation.

Answer frame

"Explain why the auditor needs knowledge of X, Y and Z" (a case)

1. One opening line: auditing is interdisciplinary in nature; it draws from diverse subjects and makes use of them.
2. For each discipline asked: its one-line link in the Study Material's words ("Auditing and Behavioural Science: knowledge of human behaviour is essential for an auditor to effectively discharge his duties").
3. Then the fact of the case it explains, and what the auditor does with it.
4. A closing line: mere verification of the records is not enough to form the opinion.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the essay that forgot the case

Writing a page on "auditing is a vast subject" and never mentioning the contractor disputes or the working capital practice. **Fix:** in May 2026 the marks were for each discipline's link *and* the fact it explains: two sentences per discipline.

⚠ **Common mistake**

Statistics without mathematics

Writing only "sampling" under Statistics & Mathematics. **Fix:** ICAI's line has two halves: statistical sampling for meaningful conclusions, and mathematics for verification of inventories.

⚠ **Common mistake**

Six disciplines, or the link made up from the name

Listing only the six subjects of the opening paragraph and forgetting data processing and production, which the chart and the one-liners add; or inventing a link from the subject's name ("Economics: the auditor should know demand and supply"). **Fix:** learn the eight one-liners in ICAI's words ("familiar with the overall economic environment of the client"), and keep their emphasis: knowledge of accounting principles is called a fundamental requirement, and knowledge of human behaviour is called essential.

Practice

Check yourself

1 Case scenario. During the audit of Tapri's cold-chain division, Bunty must decide how many of 9,600 temperature-log entries to test and how to choose them so that the result can be applied to all the entries. Which discipline is he drawing on?

- A Behavioural science
- B Statistics, through statistical sampling
- C Economics
- D Production

2 Which statement does the Study Material make about data processing?

- A It is outside the scope of an audit of financial statements
- B It concerns only the internal auditor
- C EDP auditing is developing as a discipline in itself
- D It replaces the need for knowledge of accounting

3 Which knowledge does the Study Material call a fundamental requirement for an auditor of financial statements?

- A Knowledge of financial markets
- B Knowledge of statistical sampling
- C Knowledge of human behaviour
- D A sound knowledge of accounting principles

4 Which of these does the Study Material list under financial management as techniques an auditor should know? Select all that apply.

- A Working capital management
- B Ratio analysis
- C Statistical sampling
- D Capital budgeting

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Auditing is interdisciplinary: it draws from accountancy, law, behavioural science, statistics, economics and financial management; ICAI's chart adds data processing and production.

- Accounting: auditing reviews financial statements, the result of the accounting process; sound knowledge of accounting principles is the fundamental requirement.
- Law: good knowledge of business laws (and taxation laws) affecting the entity.
- Economics: the overall economic environment of the client.
- Behavioural science: human behaviour, because the auditor seeks information and makes inquiries of many people.
- Statistics and mathematics: statistical sampling for meaningful conclusions; mathematics for verification of inventories.
- Data processing: EDP auditing is developing as a discipline in itself. Financial management: working capital, funds flow, ratios, capital budgeting, and financial markets.
- Production: understand the client's business functions, production, cost system, marketing. (Kesar's samosa line counts.)

Answer key · Check yourself

1 **B Statistics, through statistical sampling**

The auditor cannot check every item, so statistical methods draw samples in a scientific manner and give meaningful conclusions.

2 **C EDP auditing is developing as a discipline in itself**

The one-liner is "EDP auditing in itself is developing as a discipline in itself" (SM 1.8).

3 **D A sound knowledge of accounting principles**

The audit is concerned with financial information, which is the result of the accounting process (SM 1.6). The others are expected of the auditor (knowledge of human behaviour is even called essential), but the "fundamental requirement" is a sound knowledge of accounting principles.

4 **A Working capital management**; **B Ratio analysis**; **D Capital budgeting**

Working capital management, funds flow, ratio analysis and capital budgeting are the financial management techniques; sampling belongs to statistics.

1.6 Assurance engagements and the engagement and quality control standards

What an assurance engagement is and its five elements, how audit, review and engagements on prospective information differ in assurance, and which ICAI Standards (SAs, SREs, SAEs, SRSs, SQC 1) govern each.

In plain words

Three envelopes from Dev

Dev Malhotra, Tapri's CFO, walks into Iyer & Associates with three envelopes.

> **Dev:** Lakshmi, the annual audit as usual. A quick look at the June quarter before we publish it. And a stamp on our three-year café forecast for an investor. I have already discounted every rupee in it.
>
> **Lakshmi:** *(sighing)* The present value of that stamp is lower than you think, Dev. And these are three different engagements, not three audits.
>
> **Bunty:** Ma'am, a CA signs at the bottom of all three. What is the difference?
>
> **Lakshmi:** How much confidence the signature carries, Bunty, and how much work stands behind it.

Each request asks a CA to look at information someone else prepared and tell other people how far they can trust it. That is an **assurance engagement**. Three parties are always involved: the CA (the **practitioner**), the people who prepared the information (the **responsible party**, here Tapri's management) and the people who will rely on the report (the **intended users**: shareholders, the investor, a bank).

The difference is one of degree. The **audit** of the annual financial statements performs extensive procedures and gives **reasonable assurance**, a high level. A **review** of the quarter performs fewer procedures and gives **limited assurance**, lower than an audit. The forecast is about the future, which no one can verify yet: the CA can only check whether its assumptions are not unreasonable and whether it is properly prepared and presented, and say that nothing suggests otherwise, a moderate level of assurance.

ICAI has a family of Standards for each kind of work: **Standards on Auditing** for audits, **Standards on Review Engagements** for reviews, **Standards on Assurance Engagements** for assurance on anything other than past financial information, and **Standards on Related Services** for jobs that give no assurance, such as compiling accounts for a client. Over all of them sits **SQC 1**, which makes the firm itself keep a system of quality control.

Think of it like

Buying a flat

A structural engineer's full inspection before you buy is the audit: thorough, and you can rely on it. A friend who is an engineer walking through for an hour is the review: useful, but less comfort. The builder's brochure promising possession in 2028 is prospective information: an expert can tell you whether its assumptions look reasonable, never that the keys will arrive on time. And the clerk who fills in your loan form is a related service: helpful, but nobody is vouching for anything.

Key idea

An assurance engagement is a practitioner's conclusion that raises the confidence of intended users, other than the responsible party, in a subject matter measured against criteria. Audit gives reasonable (high) assurance, review limited (lower) assurance, prospective information only moderate assurance; related services give none. SAs, SREs, SAEs and SRSs are the Engagement Standards; SQC 1 applies to all of them.

How it works

1. What an assurance engagement is

Definition

Assurance engagement

"Assurance engagement" means an engagement in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria (SM 1.22).

It means that the practitioner gives an opinion about specific information due to which users of information are able to make confident decisions, knowing well that the chance of the information being incorrect is diminished (SM 1.22). An audit is one type of assurance engagement, in which the auditor gives an opinion on whether the financial statements give a true and fair view; but assurance engagements are not restricted to audit alone (SM 1.22).

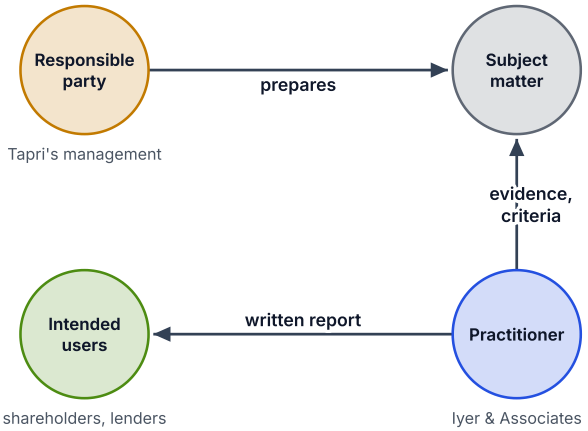
2. The five elements

The following elements comprise an assurance engagement, in this order (SM 1.23–1.24):

1. **A three party relationship involving a practitioner, a responsible party and intended users.** A **practitioner** is the person who provides the assurance. The term practitioner is broader than auditor: audit is related to historical information, whereas a practitioner may provide assurance not necessarily related to historical financial information. A **responsible party** is the party responsible for preparation of the subject matter. **Intended users** are the persons for whom the assurance report is prepared; they may use it in making decisions.
2. **An appropriate subject matter**: the information to be examined by the practitioner, for example the financial information contained in financial statements in an audit of financial statements.
3. **Suitable criteria**: the benchmarks used to evaluate the subject matter, like standards, guidance, laws, rules and regulations.

4. **Sufficient appropriate evidence.** The practitioner performs an assurance engagement to obtain sufficient appropriate evidence; it is on the basis of evidence that conclusions are arrived at and an opinion is formed. "Sufficient" relates to the **quantity** of evidence, "appropriate" to its **quality**: evidence that gives the auditor more comfort is qualitative and so appropriate. Evidence should be both.
5. **A written assurance report in appropriate form**, containing a conclusion that conveys the assurance about the subject matter. The written assurance report is the outcome of an assurance engagement.

The three party relationship in Tapri's audit



Three parties and the subject matter, which in Tapri's audit is the financial statements. The practitioner evaluates the subject matter against suitable criteria (for a company, the applicable financial reporting framework), obtains sufficient appropriate evidence and reports in writing to the intended users, who are users other than the responsible party.

3. Audit and review: the same information, different degrees

Audit is a **reasonable assurance engagement**: it provides reasonable assurance. **Review** is a **limited assurance engagement**: it provides a lower level of assurance than audit. Review involves fewer procedures and gathers sufficient appropriate evidence on the basis of which limited conclusions can be drawn. Both "audit" and "review" are related to financial statements prepared on the basis of historical financial information (SM 1.24).

Assurance engagements provide assurance to users; the difference is of degree. Reasonable assurance, as in an audit, is a high level of assurance; limited assurance, as in a review, is lower than audit, only a moderate level (SM 1.24):

Reasonable assurance engagement and limited assurance engagement (SM 1.25)

Reasonable assurance engagement	Limited assurance engagement
Provides a high level of assurance	Provides a lower level of assurance than a reasonable assurance engagement
Performs elaborate and extensive procedures to obtain sufficient appropriate evidence	Performs fewer procedures as compared to a reasonable assurance engagement
Draws reasonable conclusions on the basis of sufficient appropriate evidence	Involves obtaining sufficient appropriate evidence to draw limited conclusions
Example: an audit engagement	Example: a review engagement

Reproduce this table from memory, row by row: it is ICAI's own answer to "distinguish". Note the third row: a review still obtains sufficient appropriate evidence; what is limited is the conclusion.

4. Assurance on matters other than historical financial information

Besides reasonable and limited assurance engagements, there is another kind of assurance, related to matters other than historical financial information: prospective financial information, or assurance on internal controls in an entity (SM 1.25).

Definition

Prospective financial information

"Prospective financial information" means financial information based on assumptions about events that may occur in the future and possible actions by an entity. It can be in the form of a forecast or projection or combination of both (SM 1.25).

Historical and prospective financial information (SM 1.11, 1.25)

Point	Historical financial information	Prospective financial information
What it is	Expressed in financial terms, about economic events, conditions or circumstances of past periods	Based on assumptions about the occurrence of future events and possible actions by an entity
Rooted in	Past events that have already occurred	Future events
Example	Purchases and sales in the financial statements	A forecast or projection
Engagements	Audit (SAs) and review (SREs)	Examination under the SAEs

What the practitioner does with a forecast (SM 1.26). In assurance reports involving prospective financial information, the practitioner obtains sufficient appropriate evidence that:

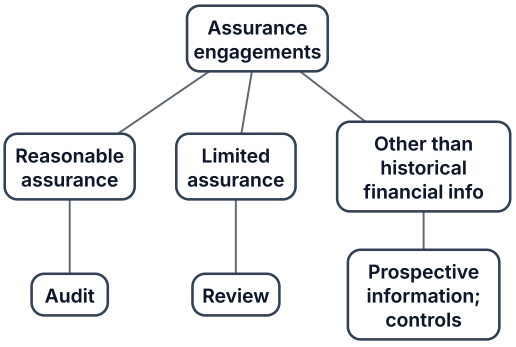
- management's assumptions on which the prospective financial information is based are **not unreasonable**;
- the prospective financial information is **properly prepared** on the basis of the assumptions;
- it is **properly presented**; and
- all material assumptions are **adequately disclosed**.

Evidence may be available to support the assumptions, but such evidence is itself generally future-oriented. The auditor is therefore **not in a position to express an opinion as to whether the results shown will be achieved**. So the practitioner provides a report assuring that **nothing has come to the practitioner's attention to suggest that these assumptions do not provide a reasonable basis for the projection**. Hence such an engagement provides only a **"moderate" level of assurance** (SM 1.26).

5. The map of assurance engagements

Example of assurance engagement	Type of assurance engagement (SM 1.26)
Audit of financial statements	Reasonable assurance engagement
Review of financial statements	Limited assurance engagement
Examination of prospective financial information	Assurance regarding reasonability of assumptions forming the basis of projections and related matters
Report on controls operating at an organisation	Assurance regarding design and operation of controls

Assurance engagements (SM 1.27)



The Study Material's three kinds. The first two deal with historical financial information; the third with forecasts and projections, or with the operation of controls.

6. The engagement and quality control standards

The following Standards issued under the authority of the ICAI Council are collectively known as **Engagement Standards** (SM 1.28):

1. **Standards on Auditing (SAs)**, which apply in audit of historical financial information.

2. **Standards on Review Engagements (SREs)**, which apply in review of historical financial information.
3. **Standards on Assurance Engagements (SAEs)**, which apply in assurance engagements other than audits and review of historical financial information.
4. **Standards on Related Services (SRSs)**, which apply in agreed upon procedures to information, compilation engagements and other related service engagements.

The purpose of issue of these standards is to establish high quality standards and guidance in the areas of financial statement audits and in other types of assurance services (SM 1.28). Engagement Standards deal with the responsibilities of the auditor or practitioner (SM 1.31).

Standards on Auditing apply in the context of an audit of financial statements by an independent auditor, in audit of historical information. They establish high quality benchmarks and cover all significant aspects of an audit, from the overall objectives of the independent auditor, audit documentation, planning, identifying and assessing risks of material misstatement, audit sampling and audit evidence to forming an opinion and reporting. Examples: SA 200 (Overall Objectives of the Independent Auditor and the Conduct of an Audit in accordance with Standards on Auditing), SA 230 (Audit Documentation), SA 315 (Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment), SA 500 (Audit Evidence), Revised SA 700 (Forming an Opinion and Reporting on Financial Statements) (SM 1.29).

Standards on Review Engagements apply in the context of review of financial statements. Review provides lower assurance than audit because it involves fewer procedures; since it also provides assurance, it too involves obtaining sufficient appropriate evidence, for example when an auditor performs a review of interim financial information of an entity. Examples: SRE 2400 (Revised) Engagements to Review Historical Financial Statements; SRE 2410 Review of Interim Financial Information Performed by the Independent Auditor of the Entity. Both SAs and SREs apply to engagements involving historical financial information (SM 1.29–1.30).

Standards on Assurance Engagements apply in assurance engagements dealing with subject matters other than historical financial information: they do not include audit or review of historical financial information. Example: an examination of prospective financial information; or the engagement may relate to non-financial matters like the design and operation of internal control in an entity. Examples: SAE 3400 The Examination of Prospective Financial Information; SAE 3420 Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus (SM 1.30).

Standards on Related Services apply in (SM 1.30–1.31):

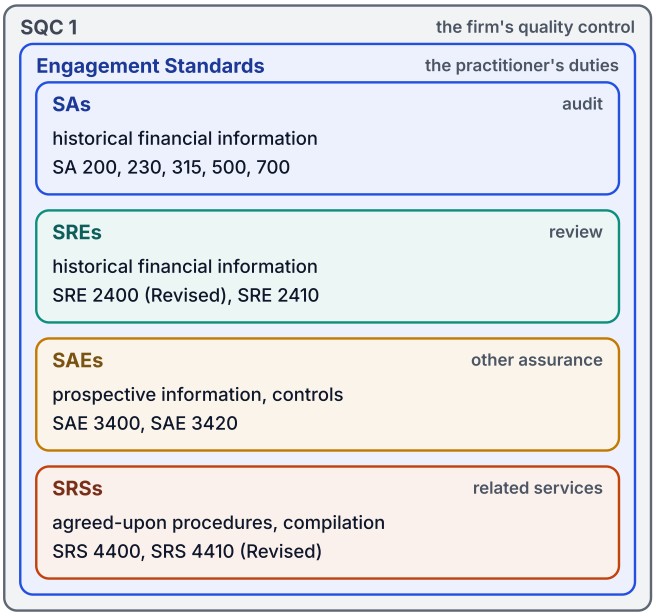
- **Agreed-upon procedures** regarding financial information. Such an engagement may require the auditor to perform certain procedures on individual items of financial data (accounts payable, accounts receivable, purchases from related parties, sales and profits of a segment of an entity), on a financial statement (say, a balance sheet) or even on a complete set of financial statements.
- **Compilation engagements**, in which the practitioner is called upon to assist management with the preparation and presentation of historical financial information **without obtaining assurance** on

that information. The practitioner issues a report clearly stating that it is not an assurance engagement and no opinion is being expressed.

Examples: SRS 4400 Engagements to perform agreed-upon procedures regarding financial information; SRS 4410 (Revised) Compilation engagements.

Standards on Quality Control (SQCs) have been issued to establish standards and provide guidance regarding a firm's responsibilities for its system of quality control for the conduct of audit and review of historical financial information and for other assurance and related service engagements. **SQC 1** requires auditors and practitioners to establish a system of quality control so that the firm and its personnel comply with professional standards and regulatory and legal requirements, and that reports issued are appropriate. SQCs are to be applied for all services covered by Engagement Standards (SM 1.31). Its full title says as much: SQC 1 "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements" (SM 11.25; SQC 1 and SA 220).

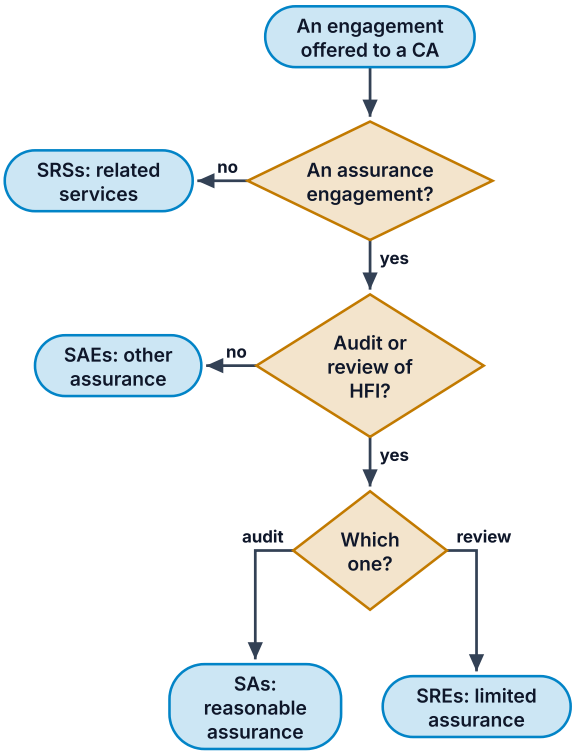
The engagement and quality control standards



The outer box contains everything inside it: SQC 1 applies to the firm for every engagement the four families of Engagement Standards cover (SM 1.28–1.31).

7. Which Standard applies?

Choosing the family of Standards



HFI: historical financial information. SRSs cover agreed-upon procedures and compilation engagements; SAEs cover, for example, prospective financial information and controls. Whichever end the engagement reaches, SQC 1 also applies to the firm.

8. Why Standards are needed

The Study Material gives five reasons (SM 1.31–1.32):

1. Standards ensure carrying out of audit against established benchmarks at par with global practices.
2. Standards improve quality of financial reporting, thereby helping users to make diligent decisions.
3. Standards promote uniformity, as audit of financial statements is carried out following these Standards.
4. Standards equip professional accountants with professional knowledge and skill.
5. Standards ensure audit quality.

9. Following the Standards, and departing from a procedure

It is the duty of professional accountants to see that Standards are followed in engagements undertaken by them. Ordinarily they are to be followed; but a situation may arise in which a specific procedure required by a Standard would be ineffective in a particular engagement. Then (SM 1.32):

1 **Document** how the alternative procedures performed achieve the purpose of the required procedure.

2 **Document the reason for the departure**, unless it is clear.

3 **The report should draw attention** to such departures.

4 Remember that **a mere disclosure in the report does not absolve** a professional accountant from complying with applicable Standards.

Worked examples

Worked example **Four assignments, four families**

Iyer & Associates receive the following requests in September 2026. For each, identify the nature of the engagement, the Engagement Standards issued by ICAI that apply (with the Standard named in the Study Material, where there is one), and the level of assurance, if any. Also state whether SQC 1 applies.

(a) Shubh Labh Foods LLP, a Tapri franchisee, wants its annual financial statements reviewed for a landlord who is also an investor. The firm is not its auditor and will perform fewer procedures than an audit.

(b) Mehra Masala Traders, a partnership firm run by Kesar's cousin Pinky, has lost its accountant. It asks the firm to prepare its financial statements for the year from the trial balance and records, without giving any assurance on them.

(c) Kulhad Crafts Ltd asks the firm to recompute, for twelve months, the commission it paid each of its 40 sales agents at 3% of the agent's sales, and to report the differences found.

(d) TapriNow Pvt Ltd, Tapri's delivery-app subsidiary, is converting into a public company for a public issue; its prospectus includes pro forma financial information showing the effect of acquiring a rival delivery app; the merchant banker wants a CA's report on its compilation.

MODEL ANSWER

Relevant provision. Engagement Standards issued under the authority of the ICAI Council comprise Standards on Auditing (audit of historical financial information), Standards on Review Engagements (review of historical financial information), Standards on Assurance Engagements (assurance engagements other than audit and review of historical financial information) and Standards on Related Services (agreed-upon procedures, compilation and other related services). Standards on Quality Control are to be applied for all services covered by Engagement Standards.

Request	Nature	Standards	Assurance
(a) Review of the LLP's annual financial statements	Review of historical financial information	SREs: SRE 2400 (Revised)	Limited
(b) Preparing Mehra Masala Traders' financial statements	Compilation engagement	SRSs: SRS 4410 (Revised)	None: a related service
(c) Recomputing agents' commission	Agreed-upon procedures regarding financial information	SRSs: SRS 4400	None: a related service
(d) Pro forma information in a prospectus	Assurance engagement other than audit or review of historical financial information	SAEs: SAE 3420	Assurance on the compilation

Analysis.

(a) A review performs fewer procedures than an audit but still obtains sufficient appropriate evidence, on which limited conclusions are drawn: a limited assurance engagement, lower than the reasonable assurance of an audit.

(b) Assisting management with the preparation and presentation of historical financial information without obtaining assurance is a compilation engagement. Iyer & Associates' report must state clearly that it is not an assurance engagement and that no opinion is expressed.

(c) Performing specified procedures on an individual item of financial data (the agents' commission) is an engagement to perform agreed-upon procedures regarding financial information: a related service, not an assurance engagement.

(d) The Study Material names SAE 3420, Assurance Engagements to Report on the Compilation of Pro Forma Financial Information Included in a Prospectus, as a Standard on Assurance Engagements.

Conclusion. SQC 1 applies to all four: it is applied for all services covered by Engagement Standards, including compilations and agreed-upon procedures, and requires the firm to have a system of quality control so that the firm and its personnel comply with professional standards and legal requirements and its reports are appropriate.

Worked example **The forecast that grows like a hockey stick**

Kesar wants equity from Narmada Growth Partners to expand Tapri's highway cafés, the chain it runs at petrol pumps. Tapri prepares a three-year forecast and engages CA Farah Sheikh to report on it. The historical

figures and the forecast are given below:

Year	Cafés	Revenue per café (₹ lakh)	Revenue (₹ crore)
2023-24 (actual)	120	27.0	32.40
2024-25 (actual)	140	28.5	39.90
2025-26 (actual)	160	30.0	48.00
2026-27 (forecast)	240	40.0	96.00
2027-28 (forecast)	320	55.0	176.00
2028-29 (forecast)	400	75.0	300.00

Kesar asks CA Farah to "certify that Tapri's highway-café revenue will reach ₹300 crore in 2028-29".

Required:

(i) Which Engagement Standards apply, and what level of assurance can the report give?

(ii) Can CA Farah give the certificate Kesar wants? What must she obtain evidence about, and what will her report say?

(iii) Comment, with workings, on the forecast's assumption about revenue per café.

MODEL ANSWER

(i) Standards and assurance. A forecast is prospective financial information: financial information based on assumptions about events that may occur in the future and possible actions by an entity. Its examination is an assurance engagement on a matter other than historical financial information, governed by the Standards on Assurance Engagements (SAE 3400, The Examination of Prospective Financial Information), with SQC 1 applying to the firm. Such an engagement provides only a moderate level of assurance.

(ii) The certificate. Prospective financial information relates to future events. Evidence may be available to support the assumptions, but such evidence is itself generally future-oriented, so the practitioner is not in a position to express an opinion as to whether the results shown will be achieved. CA Farah cannot certify that revenue will reach ₹300 crore.

She will obtain sufficient appropriate evidence that management's assumptions are not unreasonable (which includes testing their consistency with the actual results), that the forecast is properly prepared on the basis of the assumptions, that it is properly presented, and that all material assumptions are adequately disclosed. Her report will state that nothing has come to her attention to suggest that the assumptions do not provide a reasonable basis for the forecast.

(iii) Revenue per café. Working note:

Year	Revenue per café (₹ lakh)	Growth on previous year
2024-25 (actual)	28.5	5.6%
2025-26 (actual)	30.0	5.3%
2026-27 (forecast)	40.0	33.3%
2027-28 (forecast)	55.0	37.5%
2028-29 (forecast)	75.0	36.4%

- Revenue per café grew about 5.4% a year over the two actual years; the forecast assumes about 35.7% a year, 2.5 times in three years.
- Total revenue rises 6.25 times, from ₹48 crore to ₹300 crore (about 84.2% a year), against about 20–23% a year in the actual years.
- At the historical growth of about 5.4% a year, 400 cafés would earn about ₹35.14 lakh each in 2028-29, a revenue of about ₹140.5 crore. About ₹159.5 crore of the ₹300 crore therefore rests on the revenue-per-café assumption alone.

This assumption is inconsistent with the actual results. CA Farah must obtain sufficient appropriate evidence supporting it (for example, the basis for the jump in sales per café) and see that it is adequately disclosed. Unless it is supported, she could not report that nothing has come to her attention to suggest that the assumptions do not provide a reasonable basis for the forecast.

Worked example

The refund-controls report

TapriNow Pvt Ltd, Tapri's subsidiary, runs the TapriNow delivery app. Its payment partner, PayKaro Ltd, asks for an independent report on whether TapriNow's controls over customer refunds were suitably designed and operated during 2025-26, measured against the control requirements in the partner agreement. Iyer & Associates are engaged. TapriNow's internal audit team, which has already tested the controls, offers its working papers.

Bunty drafts the planning note: "Three parties: Iyer & Associates, TapriNow's internal audit team and PayKaro. Subject matter: TapriNow's financial statements. Evidence: we can rely on the internal audit team's conclusion that the controls work."

Identify the elements of this assurance engagement, correcting Bunty's note where needed, and state which Engagement Standards apply.

MODEL ANSWER

Relevant provision. An assurance engagement is one in which a practitioner expresses a conclusion designed to enhance the degree of confidence of the intended users other than the responsible party about the outcome of the evaluation or measurement of a subject matter against criteria. Its elements are a three party relationship, an appropriate subject matter, suitable criteria, sufficient appropriate evidence and a written assurance report in appropriate form.

Elements in the case.

1. **Three party relationship.** Practitioner: Iyer & Associates, who provide the assurance. Responsible party: the management of TapriNow, responsible for the subject matter, the refund controls it designed and operates. Intended users: PayKaro Ltd, for whom the report is prepared. The internal audit team is part of TapriNow, the responsible party's own organisation, not a separate party: Bunty's list is incorrect.
2. **Subject matter.** The design and operation of the refund controls during 2025-26, not the financial statements: Bunty's note is incorrect.
3. **Suitable criteria.** The control requirements set out in the partner agreement, the benchmark against which the controls are evaluated.
4. **Sufficient appropriate evidence.** Iyer & Associates must obtain sufficient (enough in quantity) and appropriate (of good quality) evidence on which to base their conclusion. The internal audit team's conclusion comes from within the responsible party; it does not replace the evidence the practitioner must obtain, so Bunty's last line is also incorrect.
5. **Written assurance report.** A written report in appropriate form, containing a conclusion that conveys the assurance about the design and operation of the controls.

Standards. Assurance regarding the design and operation of controls is an assurance engagement on a matter other than historical financial information: the Standards on Assurance Engagements apply, together with SQC 1 for the firm.

Exam angle

In the exam

Where these topics appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, assurance engagements and the engagement standards were examined in 15 of them:

- **Prospective and historical financial information, 4–5 marks**: January 2025 Q2(a), 5 marks ("explain the key differences ... how does this distinction impact the level of assurance"); MTP January 2025 Series I Q2(c), 4 marks (applicable Standard and level of assurance for a revenue projection); MTP September 2025 Series II Q5(b), 5 marks.
- **Which Standard applies, and reasonable versus limited**: January 2026 Q1(b), 5 marks (a compilation and an examination of prospective information, then the difference between reasonable and limited assurance, 3 marks); MTP May 2025 Series I Q5(c), 4 marks; MTP May 2024 Series II Q1(d), 3 marks (features of a limited assurance engagement); RTP May 2024 Q2 (SAs versus SREs).
- **Engagement Standards and their purpose**: May 2025 Q2(a), 5 marks ("mention any three standards ... collectively known as Engagement Standards", 3 marks, and their purpose, 2 marks).
- **Meaning, elements, three parties**: RTP September 2026 Q9 (meaning, identify the parties, discuss the elements); MTP September 2024 Series II Q2(a), 5 marks (three examples showing different assurance); RTP September 2024 Q9 (are assurance engagements restricted to audit?).
- **Multiple choice, 2 marks**: the three party relationship (January 2026 MCQ 6, a CSR report; RTP January 2026 MCQ 4, where bankers and income tax authorities are the distractors); agreed-upon procedures, answered "Standards on Related Services and SQC 1" (MTP January 2025 Series I MCQ 15; MTP September 2024 Series II MCQ 14); projections, answered "Standards on Assurance Engagements" (MTP May 2025 Series II MCQ 14; September 2026 MCQ 10, answers not yet published); the statement that is NOT true: "a limited assurance engagement involves obtaining only limited evidence" (MTP September 2026 Series II MCQ 15).

In the exam

The traps

Three wrong options that recur in ICAI's MCQs and in the Study Material's Case Study 2: a limited assurance engagement obtains "only limited evidence" (it obtains sufficient appropriate evidence and draws limited conclusions); the third party is the bankers, the income tax authorities or the internal audit staff (it is the intended users); SQC 1 does not apply because no audit report is issued, or the work follows the SRSs "and SA 220" (SQC 1 applies to every service covered by Engagement Standards; SA 220 applies to audits only).

Answer frame

"Which Standards apply, and what assurance?" (a case)

1. **Provision**: the four families of Engagement Standards, with where each applies, and "SQCs are to be applied for all services covered by Engagement Standards".
2. **Facts**: what is examined (historical or prospective; financial or controls) and whether a conclusion giving assurance is expressed.
3. **Analysis**: the family; the Standard the Study Material names, if any (SRE 2400 (Revised), SRE 2410, SAE 3400, SAE 3420, SRS 4400, SRS 4410 (Revised)); the level of assurance.

4. **Conclusion**: "Hence, the Standards on ... are relevant; SQC 1 applies".

"Distinguish reasonable and limited assurance engagements"

The four rows of ICAI's table: level of assurance; procedures (elaborate and extensive, or fewer); conclusions (reasonable, or limited, both on sufficient appropriate evidence); example (audit, or review).

"Distinguish historical and prospective financial information" and its effect on assurance

Definitions (past events that have occurred; assumptions about future events and possible actions), then the four things the practitioner obtains evidence on, why no opinion on achievement is possible (future-oriented evidence), the "nothing has come to the practitioner's attention" report, and "moderate".

"Discuss the elements of an assurance engagement"

The five in ICAI's order, one line each, with the three parties defined.

Common mistakes

⚠ **Common mistake**

Hall of Shame: "limited assurance, so limited evidence"

Bunty writes that a review needs less than sufficient appropriate evidence. **Fix:** a limited assurance engagement involves obtaining **sufficient appropriate evidence** to draw **limited conclusions**; it performs fewer procedures (SM 1.25). This was the wrong statement in MTP September 2026 Series II MCQ 15.

⚠ **Common mistake**

The bank as the third party

Naming the practitioner, management and "the bank" or "the income tax authorities" as the three parties. **Fix:** the third party is the **intended users**, the persons for whom the report is prepared, other than the responsible party.

⚠ **Common mistake**

SQC 1 only for audits

Saying SQC 1 does not apply to a compilation because no opinion is issued. **Fix:** SQCs are to be applied for all services covered by Engagement Standards, related services included (SM 1.31; Case Study 2 answer (c), SM 1.36).

⚠ **Common mistake**

Certifying the future

Writing that the practitioner confirms a forecast "will be achieved" or checks only its arithmetic. **Fix:** he obtains evidence that the assumptions are not unreasonable, the forecast is properly prepared and presented and material assumptions are disclosed; he cannot give an opinion on achievement.

⚠ **Common mistake**

"Assurance means historical financial information"

Fix: assurance engagements are not restricted to audit, nor to historical financial information: prospective information and controls are subject matters of assurance engagements too (SM 1.25, 1.38–1.40).

Practice

Check yourself

1 Case scenario. Tapri borrows ₹50 crore under a green loan whose agreement lists the only kinds of spending allowed: solar panels, electric delivery vans and effluent treatment. Tapri's management prepares a statement of how the money was spent, and the lender asks Iyer & Associates for an assurance report on that statement. Bunty is labelling the elements of the engagement. Which pairing is correct?

A Subject matter: the loan agreement's list of allowed spending; criteria: management's statement of spending

B Subject matter: management's statement of how the ₹50 crore was spent; criteria: the loan agreement's list of allowed spending

C Subject matter: the vendor invoices and bank statements; criteria: the lender's credit policy

D Subject matter: Iyer & Associates' report; criteria: SQC 1

2 Case scenario. Iyer & Associates, Tapri's statutory auditors, are asked to review Tapri's June-quarter financial results before they are published. Which Standard named in the Study Material fits, and with what result?

A SRE 2400 (Revised); reasonable assurance, as in the annual audit

B SA 700 (Revised); an audit opinion on the quarter

C SRE 2410; limited assurance, lower than an audit, on sufficient appropriate evidence

D SRE 2410; limited assurance, so sufficient appropriate evidence is not needed

3 Bunty photocopies 400 delivery challans for a sample of 20 refunds and announces: "Four hundred pages, Ma'am. My evidence is now appropriate." Which statement is correct?

A He is right: more evidence is more appropriate evidence

B "Appropriate" relates to the quantity of evidence and "sufficient" to its quality

C Only audits need appropriate evidence; a review needs only sufficient evidence

D "Sufficient" relates to the quantity of evidence and "appropriate" to its quality; volume speaks only to sufficiency, and evidence must be both

4 A practitioner examining a five-year projection obtains evidence on several matters. Which of these is NOT one of them?

- **A** Management's assumptions are not unreasonable
- **B** The projected results will be achieved
- **C** The projection is properly prepared on the basis of the assumptions
- **D** All material assumptions are adequately disclosed

5 Which are collectively known as the Engagement Standards? Select all that apply.

- **A** Standards on Auditing
- **B** Standards on Review Engagements
- **C** Standards on Related Services
- **D** Standards on Quality Control

More than one answer may be right.

6 Case scenario. With the board meeting two days away, the audit team skips a procedure an SA requires for Tapri's audit, simply because time has run out, and the senior proposes a line in the audit report mentioning it. Which is correct?

- **A** Acceptable: drawing attention to the departure in the report is enough
- **B** Acceptable, provided the reason for the departure is documented
- **C** Not acceptable: the Study Material allows a departure where a required procedure would be ineffective in the engagement, with alternative procedures documented as achieving its purpose; a mere disclosure in the report does not absolve the auditor from complying
- **D** Not acceptable, and the auditor must withdraw from the engagement

Answers: the answer key at the end of this lesson.

Recap

- Assurance engagement: a practitioner expresses a conclusion designed to enhance the degree of confidence of intended users other than the responsible party about the evaluation or measurement of a subject matter against criteria.
- Five elements: a three party relationship (practitioner, responsible party, intended users), an appropriate subject matter, suitable criteria, sufficient appropriate evidence and a written assurance report in appropriate form.
- Audit: reasonable assurance (high), elaborate and extensive procedures. Review: limited assurance (lower), fewer procedures, still sufficient appropriate evidence, limited conclusions.
- Prospective financial information: based on assumptions about future events and possible actions; evidence on assumptions not unreasonable, proper preparation, presentation and disclosure; no opinion on achievement; "nothing has come to our attention"; moderate assurance.

- Engagement Standards: SAs (audit of HFI), SREs (review of HFI), SAEs (other assurance), SRSs (agreed-upon procedures, compilation). Purpose: high quality standards and guidance.
- SQC 1: firm's system of quality control; applies to all services covered by Engagement Standards.
- Standards needed for benchmarks at par with global practice, better reporting, uniformity, knowledge and skill, audit quality.
- Departure: document how alternatives achieve the purpose, and the reason unless clear; report draws attention; disclosure does not absolve. (Dev's stamp stays undiscounted.)

Answer key · Check yourself

1 **B Subject matter: management's statement of how the ₹50 crore was spent; criteria: the loan agreement's list of allowed spending**

The subject matter is the information to be examined; the criteria are the benchmarks used to evaluate it (standards, guidance, laws, rules, regulations: here the agreement's terms) (SM 1.23). Invoices and bank statements are evidence, the report is the fifth element, and SQC 1 is the firm's quality control.

2 **C SRE 2410; limited assurance, lower than an audit, on sufficient appropriate evidence**

SRE 2410 is "Review of Interim Financial Information Performed by the Independent Auditor of the Entity" (SM 1.29). A review is a limited assurance engagement, but it still involves obtaining sufficient appropriate evidence; what is limited is the conclusion (SM 1.25, 1.29).

3 **D "Sufficient" relates to the quantity of evidence and "appropriate" to its quality; volume speaks only to sufficiency, and evidence must be both**

SM 1.23: "Sufficient" relates to quantity, "appropriate" to quality (the evidence that gives more comfort is qualitative and so appropriate), and evidence should be both sufficient and appropriate, in every assurance engagement.

4 **B The projected results will be achieved**

Evidence about the future is itself future-oriented, so no opinion on achievement is possible; the report says nothing has come to the practitioner's attention to suggest the assumptions do not provide a reasonable basis.

5 **A Standards on Auditing; B Standards on Review Engagements; C Standards on Related Services**

The four Engagement Standards are SAs, SREs, SAEs and SRSs. SQCs are separate: they deal with the firm's system of quality control and apply to all services the Engagement Standards cover.

6 **C Not acceptable: the Study Material allows a departure where a required procedure would be ineffective in the engagement, with alternative procedures documented as achieving its purpose; a mere disclosure in the report does not absolve the auditor from complying**

It is the duty of professional accountants to see that Standards are followed. A departure arises when a specific procedure would be ineffective; then the auditor documents how the alternative procedures achieve its purpose and the reason for departure (unless clear), and the report draws attention to it. Shortage of time is not that situation, and disclosure alone never absolves (SM 1.32).

CHAPTER 2

Audit Strategy, Audit Planning and Audit Programme

2.1 SA 300: planning, overall audit strategy and audit plan

Why SA 300 makes the auditor plan, the preliminary engagement activities, how the overall audit strategy (scope, timing, direction) guides the audit plan (nature, timing, extent), and what must be documented when plans change.

In plain words

Same biscuits, different audit

It is October, and Iyer & Associates hold their first planning meeting for the 2025-26 audit of Tapri Tea Co. Ltd. Kesar has dropped in, uninvited, with a box of biscuits.

> **Kesar:** Lakshmi-ji, last year you finished us in six weeks. Same team, same weeks, same biscuits. Why a planning meeting?
>
> **Lakshmi:** Because this year you opened twelve cafés in Pune, moved all billing to the new delivery app and changed your inventory software in August.
>
> **Bunty:** So we just add twelve cafés to last year's file, ma'am?
>
> **Lakshmi:** No, Bunty. We decide again what matters, who looks at it, and when. And we keep deciding until the day we sign.

That is **planning an audit**. Before it plans anything, the firm asks three questions: should we continue with this client, are we still independent of it, and has the client agreed the terms? These are the **preliminary engagement activities**.

Then come two layers of planning. The **overall audit strategy** is the big picture: which areas need the most attention (the delivery-app revenue, the new inventory system), who audits them (an experienced senior, an IT expert), and when (an interim visit in January, cut-off checks on 31 March). The **audit plan** is the detail beneath it: which procedures, when, and on how many items.

Neither is framed and hung on the wall. When something unexpected turns up, both change, and the auditor records what changed and why.

Think of it like

The captain's game plan

Before a Test series the captain picks the squad, decides who opens, and when the spinners will play: that is the overall audit strategy. Before each session he sets the field for each batter and decides the bowling changes: that is the audit plan. When the pitch starts turning on day two, both change, and the coach's notebook says why.

Key idea

The overall audit strategy sets the scope, timing and direction of the audit and guides the audit plan; the audit plan sets the nature, timing and extent of the audit procedures. Planning is a continual and iterative process that ends only with the audit, and both the strategy and the plan remain the auditor's responsibility.

How it works

1. The objective, and why planning pays

SA 300, "Planning an Audit of Financial Statements": the objective of the auditor is to plan the audit so that it will be performed in an effective manner (SM 2.4). Adequate planning benefits the audit of financial statements in several ways, including (SM 2.4):

1. Helping the auditor to devote appropriate attention to important areas of the audit.
2. Helping the auditor identify and resolve potential problems on a timely basis.
3. Helping the auditor properly organize and manage the audit engagement so that it is performed in an effective and efficient manner.
4. Assisting in the selection of engagement team members with appropriate levels of capabilities and competence to respond to anticipated risks, and the proper assignment of work to them.
5. Facilitating the direction and supervision of engagement team members and the review of their work.
6. Assisting, where applicable, in coordination of work done by others such as experts.

Therefore planning ensures that audit risk is reduced to an acceptably low level: proper planning reduces the risk of an inappropriate opinion (SM 2.4).

2. Planning never stops

Planning is **not a discrete phase** of an audit, but rather a continual and iterative process that often begins shortly after (or in connection with) the completion of the previous audit and continues until the completion of the current audit engagement (SM 2.5).

Planning does consider the timing of activities that must be completed before further audit procedures. Before the risks of material misstatement are identified and assessed, it considers such matters as (SM 2.5):

1. The analytical procedures to be applied as risk assessment procedures.
2. Obtaining a general understanding of the legal and regulatory framework applicable to the entity and how the entity is complying with that framework.
3. The determination of materiality.
4. The involvement of experts.
5. The performance of other risk assessment procedures.

Definition

Risk assessment procedures

Audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels (SM 2.6). They are taught in SA 315; materiality in SA 320.

Who plans. The engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members. Their experience and insight enhance the effectiveness and efficiency of the planning process (SM 2.6).

Talking to management. The auditor may decide to discuss elements of planning with the entity's management to facilitate the conduct and management of the audit engagement. When discussing matters included in the overall audit strategy or audit plan, care is required in order not to compromise the effectiveness of the audit (SM 2.6). The overall audit strategy and the audit plan, however, **remain the auditor's responsibility**: it is the auditor who establishes the strategy and develops the plan (SM 2.15–2.16).

3. The elements of planning

The elements of planning are of two kinds: (I) preliminary engagement activities and (II) planning activities (SM 2.7).

The elements of planning



Amber: the preliminary engagement activities; blue: the overall audit strategy; sky blue: the audit plan (SM 2.7, 2.9, 2.14).

(I) PRELIMINARY ENGAGEMENT ACTIVITIES

Should the relationship continue, and are ethical requirements, including independence, still complied with? They include (SM 2.7–2.9):

(A) Performing procedures regarding the continuance of the client relationship and the audit engagement. Appropriate acceptance and continuance procedures should have been followed and their conclusions should be appropriate. The firm obtains the information it needs before accepting a

new client, continuing an existing engagement, or accepting a new engagement with an existing client: for example, the integrity of principal owners and key management, the competence of the engagement team, and the implications of matters arising in the current and previous engagements. In initial engagements, the predecessor auditor should be communicated with where there has been a change of auditors (SM 2.8; the opening balances of such an engagement are SA 510).

(B) Evaluating compliance with ethical requirements, including independence. The auditor shall continuously evaluate compliance with ethical requirements, including independence ("independence" means that the judgment of a person is not subordinate to the wishes or direction of another person who might have engaged him). The engagement partner remains alert for non-compliance by team members and, in consultation with others in the firm, determines the appropriate action (SM 2.8).

The engagement partner shall form a conclusion on compliance with the independence requirements that apply to the engagement. In doing so, the engagement partner shall (SM 2.8):

- (i) obtain relevant information from the firm to identify and evaluate circumstances and relationships that create threats to independence;
- (ii) evaluate information on identified breaches, if any, of the firm's independence policies and procedures, to determine whether they create a threat to independence for the audit engagement; and
- (iii) take appropriate action to eliminate such threats or reduce them to an acceptable level by applying safeguards or, if considered appropriate, withdraw from the audit engagement, where withdrawal is permitted by law or regulation. The engagement partner shall promptly report to the firm any inability to resolve the matter, for appropriate action.

(Threats and safeguards: independence, threats and safeguards.)

(C) Establishing an understanding of the terms of engagement. It is in the interests of both the entity and the auditor that the auditor sends an audit engagement letter before the commencement of the audit, to help avoid misunderstandings with respect to the audit (SA 210; SM 2.9).

Performing preliminary engagement activities assists the auditor in identifying and evaluating events or circumstances that may affect the auditor's ability to plan and perform the audit engagement (SM 2.9).

Interactive version: PassBook app, lesson SA 300: planning, overall audit strategy and audit plan

(II-A) ESTABLISHING THE OVERALL AUDIT STRATEGY

The auditor shall establish an overall audit strategy that sets the **scope, timing and direction** of the audit, and that guides the development of the audit plan (SM 2.9). The process of establishing it assists the auditor to determine, subject to the completion of the risk assessment procedures, such matters as (SM 2.10):

- (i) **The resources to deploy** for specific audit areas, such as the use of appropriately experienced team members for high-risk areas or the involvement of experts on complex matters.

- (ii) **The amount of resources** to allocate to specific audit areas, such as the number of team members assigned to observe the inventory count at material locations, the extent of review of other auditors' work in group audits, or the audit budget in hours to allocate to high-risk areas.
- (iii) **When** these resources are to be deployed, such as at an interim audit stage or at key cut-off dates.
- (iv) **How** such resources are managed, directed and supervised, such as when team briefing and debriefing meetings are expected to be held, how engagement partner and manager reviews are expected to take place (on-site or off-site), and whether to complete engagement quality control reviews.

In establishing the overall audit strategy, the auditor shall take five factors into consideration (SM 2.10–2.13):

Factor (in ICAI's order)	ICAI's examples
(a) Identify the characteristics of the engagement that define its scope	Financial reporting framework; business segments, and specialised knowledge needed; industry regulators' reporting requirements; expected use of evidence from previous audits
(b) Ascertain the reporting objectives, to plan the timing of the audit and the nature of communications required	Entity's reporting timetable; meetings with management on the audit work; expected type and timing of reports; communications on the status of work; team meetings and timing of reviews
(c) Consider the factors that, in the auditor's professional judgment, are significant in directing the engagement team's efforts	Volume of transactions (is relying on internal control more efficient?); changes in industry regulations and reporting requirements; changes in accounting standards; changes in the legal environment
(d) Consider the results of preliminary engagement activities and, where applicable, knowledge from the partner's other engagements for the entity	Previous results of testing internal control, deficiencies and action taken; how the team is reminded to keep a questioning mind and professional skepticism
(e) Ascertain the nature, timing and extent of resources necessary to perform the engagement	Selecting the team and assigning work; experienced members for higher-risk areas; budgeting more time for them

Preliminary identification of material classes of transactions, account balances and disclosures helps here (SM 2.11), and overall materiality is determined when establishing the strategy (SM 3.20).

(II-B) DEVELOPING THE AUDIT PLAN

Once the strategy is established, an audit plan is developed to address the matters identified in it, through the efficient use of the auditor's resources. Understanding the client's business is one of the important principles in developing it: without adequate knowledge of the business, a proper audit is not possible (SM 2.13).

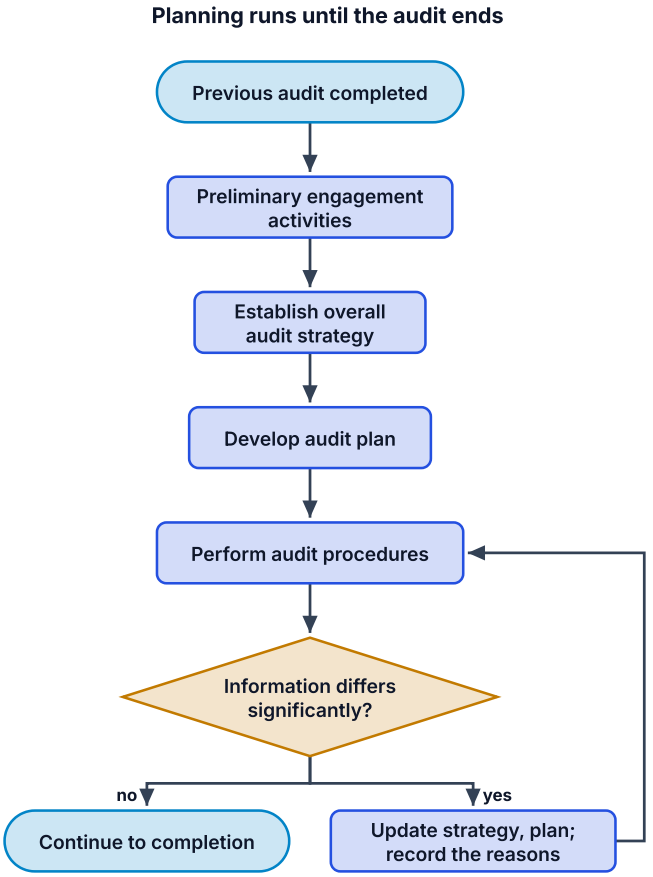
The auditor shall develop an audit plan that shall include a description of (SM 2.13–2.14):

- (i) the nature, timing and extent of planned **risk assessment procedures**;
- (ii) the nature, timing and extent of planned **further audit procedures at the assertion level**; and
- (iii) **other planned audit procedures** that are required to be carried out so that the engagement complies with SAs.

The audit plan is **more detailed** than the overall audit strategy: it sets the nature, timing and extent of procedures to be performed by team members, including matters such as sample size. It develops over the course of the audit: risk assessment procedures are planned early, further audit procedures depend on their outcome, and some further procedures may begin before all the others are planned (SM 2.14; responses are SA 330).

4. Strategy and plan: one conversation, not two documents

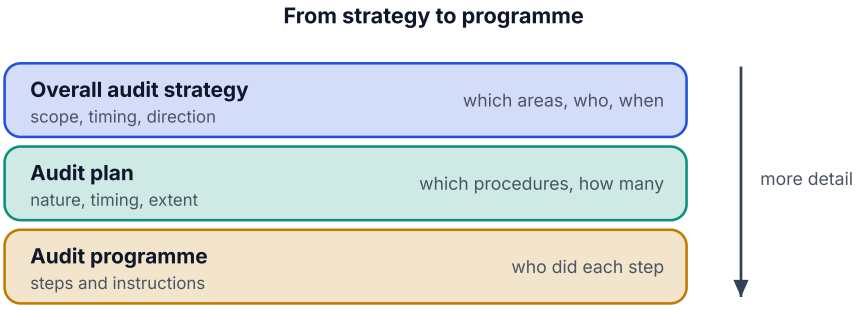
The strategy sets the broad overall approach; the plan describes how it is going to be implemented (SM 2.15). The establishment of the overall audit strategy and the detailed audit plan are not necessarily discrete or sequential processes, but are closely inter-related since changes in one may result in consequential changes to the other (SM 2.15).



Planning often begins shortly after the previous audit is completed and continues until the current audit is completed; a significant change is made to the strategy and the plan, and recorded with its reasons (SM 2.5, 2.16, 2.17).

Point	Overall audit strategy	Audit plan
Sets	Scope, timing and direction of the audit	Nature, timing and extent of audit procedures
Level	Broad overall approach	More detailed
Content	Resources: which, how much, when, how managed	Risk assessment, further and other planned procedures
Order	Established first; guides the plan	Developed from it; may change it

One level further down sits the audit programme, the step-by-step instructions to assistants.



Each level implements the one above: the written audit programme sets out the procedures needed to implement the audit plan (SM 2.21).

5. Changes during the audit

The auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. Unexpected events, changes in conditions, or the audit evidence obtained may require modifying them, and thereby the planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks: for example, when audit evidence from detailed checking contradicts the evidence from testing internal controls (SM 2.16).

6. Planning direction, supervision and review

The auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work. These vary depending on many factors, including (SM 2.16–2.17):

1. The size and complexity of the entity.
2. The area of the audit.
3. The assessed risks of material misstatement.
4. The capabilities and competence of the individual team members performing the audit work.

7. Documentation

The auditor shall document (SM 2.17):

- (a) **the overall audit strategy**: a record of the key decisions considered necessary to properly plan the audit and to communicate significant matters to the engagement team;
- (b) **the audit plan**: a record of the planned nature, timing and extent of risk assessment procedures and further audit procedures at the assertion level, which can be reviewed and approved before the procedures are performed; standard audit programs or completion checklists may be used, tailored to the engagement; and
- (c) **any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes**: this explains why they were made and the strategy and plan finally adopted, and reflects the appropriate response to them.

Documentation in general is SA 230.

Worked examples

Worked example **Lakshmi's planning notebook**

Lakshmi's notebook for the 2025-26 audit of Tapri Tea Co. Ltd has seven entries:

1. A confirmation from the firm that no partner or team member holds Tapri shares, and a review of a breach of the firm's independence policy reported by one article assistant.
2. Of the 1,400-hour audit budget, 490 hours go to the delivery-app revenue and the new inventory software, with an IT expert for the software.
3. An interim visit in the third week of January, and cut-off work on 31 March at the Indore and Pune warehouses.
4. Analytical procedures comparing each café's monthly sales and wastage with last year's, to identify unusual movements that may indicate risks of material misstatement, before those risks are assessed.
5. Cut-off testing of 40 dispatches either side of 31 March, and confirmation requests to the 25 largest distributors.
6. Tapri's quarterly results timetable under its listing obligations, and a meeting with Dev to agree the expected type and timing of the reports to be issued.
7. The engagement letter for 2025-26, sent before the audit commences.

Classify each entry as a preliminary engagement activity, part of the overall audit strategy or part of the audit plan under SA 300, giving reasons.

MODEL ANSWER

Relevant provision. As per SA 300, preliminary engagement activities cover client continuance, ethical requirements including independence, and the terms of engagement. The overall audit strategy sets the scope, timing and direction of the audit: which resources, how much, when and how managed, considering among other factors the reporting objectives. The audit plan describes the nature, timing and extent of planned risk assessment procedures, further audit procedures at the assertion level, and other procedures required by SAs.

Facts and analysis.

Entry	Element	Reason
1. Shareholdings, independence breach	Preliminary engagement activity	Evaluating compliance with ethical requirements, including independence
2. 490 hours, IT expert	Overall audit strategy	Amount of resources and resources to deploy for high-risk areas
3. January visit, 31 March cut-off	Overall audit strategy	When resources are deployed
4. Café-wise analytical review	Audit plan	Planned risk assessment procedures (analytical procedures applied as risk assessment procedures)
5. Cut-off and confirmations	Audit plan	Planned further audit procedures at the assertion level
6. Results timetable, reports	Overall audit strategy	Reporting objectives of the engagement
7. Engagement letter	Preliminary engagement activity	Understanding of the terms of engagement

Conclusion. Entries 1 and 7 are preliminary engagement activities; entries 2, 3 and 6 belong to the overall audit strategy; entries 4 and 5 belong to the audit plan. The strategy and plan entries are documented under SA 300, with any significant change and its reasons.

Worked example **The fire at the Dewas samosa factory**

Iyer & Associates' audit plan for Tapri, approved in November 2025, relies on Tapri's controls over café cash sales and provides for one inventory count at the Dewas samosa factory on 31 March 2026. On 18 February 2026, a fire destroys part of the factory's frozen stock and one cold store, and an insurance claim is lodged. In the same week, tests of details on cash sales at six cafés reveal shortages that the earlier tests of controls had not indicated.

> **Bunty:** Ma'am, the plan was approved in November. If we change it now, the file will show we planned badly.
>
> **Lakshmi:** Is that SA 300 talking, Bunty, or your fear of my review notes?

Lakshmi also proposes to send Bunty, a first-year article assistant, alone to Dewas to handle the post-fire inventory work.

Required:

(i) Is Bunty's view correct?

(ii) What does SA 300 require to be documented?

(iii) Comment on sending Bunty alone to Dewas.

MODEL ANSWER

(i) Relevant provision. As per SA 300, planning is a continual and iterative process, and the auditor shall update and change the overall audit strategy and the audit plan as necessary during the course of the audit. As a result of unexpected events, changes in conditions, or the audit evidence obtained, the auditor may need to modify them and the planned nature, timing and extent of further audit procedures, based on the revised consideration of assessed risks; for example, when evidence from detailed checking contradicts evidence from testing internal controls.

Facts and analysis. The fire is an unexpected event affecting the existence and valuation of inventory, the cold store and the insurance claim receivable. The cash shortages are audit evidence from detailed checking that contradicts the evidence from tests of controls. Both are information that differs significantly from the information available in November.

Conclusion. Bunty's view is **not correct**. The strategy and the plan must be revised: for example, more procedures on the remaining Dewas inventory and the insurance claim, and less reliance on café cash controls with more substantive procedures on cash sales.

(ii) The auditor shall document the overall audit strategy, the audit plan, and **any significant changes made during the audit engagement to the overall audit strategy or the audit plan, and the reasons for such changes**. That record explains why the changes were made and the strategy and plan finally adopted, and reflects the appropriate response to the significant changes. A file showing the changes and their reasons is evidence of good planning, not bad.

(iii) As per SA 300, the auditor shall plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work, which vary with the size and complexity of the entity, the area of the audit, the assessed risks of material misstatement, and the capabilities and competence of the individual team members. The post-fire inventory is now a higher-risk area, and Bunty is a first-year assistant. Sending him alone is not appropriate: an experienced team member should lead the work, with closer direction, supervision and review of Bunty's part of it.

Worked example **Dev's two money-saving ideas**

Dev Malhotra, Tapri's CFO, wants this year's audit fee cut. He sends Iyer & Associates two suggestions:

(a) "Partner hours are your most expensive hours. Let Bunty and the two seniors who did last year's fieldwork plan this year's audit among themselves. Lakshmi can skip the planning discussion and look at the file in May, before she signs."

(b) "Tell us the dates of the surprise cash counts at the kulhad cafés, so that the café managers keep the cash ready and your team does not have to wait."

Comment on each suggestion with reference to SA 300.

MODEL ANSWER

(a) Relevant provision. As per SA 300, the engagement partner and other key members of the engagement team shall be involved in planning the audit, including planning and participating in the discussion among engagement team members. Their involvement draws on their experience and insight, thereby enhancing the effectiveness and efficiency of the planning process. The auditor shall also plan the nature, timing and extent of direction and supervision of engagement team members and the review of their work, which vary with, among other factors, the assessed risks of material misstatement and the capabilities and competence of the individual team members.

Facts and analysis. Dev proposes that planning be left to a first-year article assistant and two seniors, and that the engagement partner only look at the file at the end. This year's audit has new risks (billing moved to the delivery app, new inventory software). Leaving the engagement partner out of planning loses exactly the experience SA 300 relies on, and a single look at the file before signing is not planned direction, supervision and review.

Conclusion. The suggestion is not acceptable. Lakshmi, as engagement partner, and the other key members must be involved in planning and in the team discussion; a fee saving cannot override SA 300.

(b) Relevant provision. As per SA 300, the auditor may discuss elements of planning with the entity's management to facilitate the conduct and management of the audit engagement. When discussing matters included in the overall audit strategy or audit plan, care is required in order not to compromise the effectiveness of the audit.

Facts and analysis. Telling management in advance of a visit to test controls facilitates the audit and does not compromise its effectiveness (SM 2.32). A surprise cash count is different: unless cash balances are checked by surprise, there can be no certainty that the cash produced for inspection was in fact held by the custodian, so the check is made without notice of the visit to the entity or its staff (SM 5.46). Once the dates are known, the count shows only what the managers chose to have ready.

Conclusion. Lakshmi may discuss other elements of planning with Dev, such as the timing of the interim visit and the reports expected, but should not disclose the dates of the surprise cash counts.

Exam angle

In the exam

Where SA 300 appeared, May 2024 to September 2026

SA 300 was examined in some form in 29 of the ICAI documents read for this lesson (8 past papers, 7 RTPs and 14 MTP papers), often twice in one paper.

- **Descriptive, 3 to 5 marks.** New regulation as a strategy factor, and a planned inquiry under SA 300: January 2025 Q1(a). Documenting strategy, plan and changes: January 2025 Q5(a), RTP September 2026 Q10, MTP January 2026 Series II Q2(c). Preliminary engagement activities: January 2026 Q2(b), RTP May 2024 Q3, RTP January 2026 Q10. Key members planning; discussing with management: January 2026 Q5(c). Significant factors directing the team: May 2024 Q2(d), May 2026 Q6(c) (an OR option, 4 marks). Matters before risk assessment: May 2024 Q3(a). Reporting objectives: May 2025 Q6(c). Strategy-plan relationship: September 2024 Q2(d). Deploying people: September 2024 Q4(a). Supervision factors and changes: September 2025 Q5(a), RTP January 2025 Q10. Strategy factors: September 2026 Q6(c) (answers not yet published). Characteristics defining the scope: MTP January 2026 Series II Q1(c). Benefits: RTP September 2025 Q10. Independence conclusion: RTP September 2024 Q10. Management drafting the strategy: MTP May 2025 Series II Q2(c).
- **Multiple choice, 2 marks each.** Not in the audit plan (the resources): September 2024 MCQ 14. "Not inter-related" is the wrong statement: May 2025 MCQ 15. Matching elements of planning: May 2026 MCQ 7. Documenting changes and reasons: RTP January 2026 MCQ 1. Continual and iterative: RTP May 2026 MCQ 7. Partner's strategy versus the detailed plan: MTP September 2026 Series II MCQ 1.

In the exam

How the marks are earned

ICAI's suggested answers quote SA 300 first ("sets the scope, timing and direction", "continual and iterative process", "remain the auditor's responsibility"), list the points in the Study Material's order, apply them to the facts and end with a one-line conclusion ("Thus, the planned inquiry is in line with SA 300"). The lists (six benefits, five pre-risk-assessment matters, four resource matters, five strategy factors, three plan contents, four supervision factors, three documentation items) earn marks point by point.

Careful

One key to read carefully

In May 2026 MCQ 7, ICAI's key matched "determination of materiality" with the audit plan, while the Study Material says overall materiality is determined when establishing the overall audit strategy (SM 3.20) and lists it among the matters planning considers before risks are assessed (SM 2.5). In a descriptive answer, follow the Study Material's words; in a matching MCQ, eliminate with the items that are clear (strategy: number and location of branches; programme: a detailed plan of applying procedures).

Trick

STD and NTE

The **strategy** decides **S**cope, **T**iming and **D**irection; the **plan** decides **N**ature, **T**iming and **E**xtent of procedures. Condition: both contain "timing" with different meanings. The strategy's timing is when resources are deployed (interim stage, cut-off dates); the plan's timing is when each procedure is performed.

Trick

Five strategy factors: "Scope, Reports, Significance, Past, People"

(a) scope of the engagement, (b) reporting objectives, (c) significant factors directing the team's efforts, (d) results of preliminary engagement activities and past knowledge, (e) people and other resources needed. The order is ICAI's; the words are only a hook.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 300, Planning an Audit of Financial Statements, ..." and only the requirement the case needs (strategy factors, plan contents, changes, supervision, documentation, responsibility).
2. **Facts of the case**: "In the given case, ..." the facts that trigger the requirement.
3. **Analysis**: which element of planning it is, and why (scope, timing and direction, or nature, timing and extent).
4. **Conclusion**: "Thus, ... is (not) in line with SA 300", plus what the auditor should do.

"Explain the relationship between the overall audit strategy and the audit plan"

The five points ICAI's answers give (SM 2.15), each a mark:

1. Strategy sets the broad overall approach; the plan addresses the matters identified in the strategy.
2. Strategy determines scope, timing and direction; the plan describes how the strategy is implemented.
3. The plan is more detailed: the nature, timing and extent of procedures by team members; it develops over the course of the audit.
4. Once the strategy is established, the plan is developed, using the auditor's resources efficiently.
5. They are not necessarily discrete or sequential processes but closely inter-related: a change in one may change the other.

Three answers to "the client's finance head will write the strategy"

The question type of SM Illustration 2 and MTP May 2025 Series II Q2(c).

Loses marks

"Not allowed, the auditor must be independent."

No SA 300 requirement, no conclusion.

Passes

"As per SA 300 the overall audit strategy is the auditor's responsibility, so the offer should be declined."

Provision and conclusion; the discussion-with-management rule is missing.

Full marks

The responsibility rule (the auditor establishes the strategy and develops the plan), the permission to discuss elements of planning without compromising effectiveness, the facts (the finance head's own figures are under audit), the conclusion (the auditor should have prepared both).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the plan laminated in November

Bunty treats the November plan as final after the fire. **Fix:** planning is continual and iterative; update the strategy and plan as necessary and document each significant change with its reasons.

⚠ **Common mistake**

Putting resources in the audit plan

Writing "the audit plan contains the team, budgeted hours and an IT expert". **Fix:** resources (which, how much, when, how managed) belong to the **overall audit strategy**; the plan describes the nature, timing and extent of procedures. September 2024 MCQ 14 turns on this.

⚠ **Common mistake**

"Management may prepare the strategy if the auditor reviews it"

Fix: the overall audit strategy and the audit plan remain the auditor's responsibility. The auditor may only *discuss elements* of planning with management, with care not to compromise the effectiveness of the audit.

⚠ **Common mistake**

Documenting two things out of three

Listing "strategy and plan" as SA 300's documentation. **Fix:** three items: the overall audit strategy, the audit plan, and any significant changes made during the engagement to either, with the reasons for them.

Practice

Check yourself

1 Case scenario. CA Farah Siddiqui, auditing Narmada Agro Ltd, decides to assign two seniors experienced in derivatives to the commodity-hedging area, to involve a valuer for biological assets, and to hold partner reviews on-site in the last week of April. These decisions are part of:

- A Preliminary engagement activities
- B The overall audit strategy
- C The audit plan
- D Documentation required only by SA 230

2 Which of these entries belongs in Tapri's overall audit strategy rather than in its audit plan?

- **A** Testing 40 dispatches either side of 31 March for cut-off
- **B** An inquiry of in-house legal counsel to identify risks of material misstatement
- **C** Sending confirmation requests to the 25 largest distributors
- **D** Whether an engagement quality control review will be completed, and when partner reviews will take place

3 According to SA 300, when does planning take place?

- **A** Only after the engagement letter is signed and before fieldwork starts
- **B** Only after the risks of material misstatement have been assessed
- **C** Often from shortly after the completion of the previous audit until the completion of the current audit
- **D** Only in an initial audit engagement

4 Which of the following does SA 300 require the auditor to document? Select all that apply.

- **A** The overall audit strategy
- **B** The audit plan
- **C** Significant changes made during the audit to the strategy or plan, and the reasons for them
- **D** Management's written approval of the audit plan

More than one answer may be right.

5 Tapri's management asks to discuss the timing of the interim visit and the reports Iyer & Associates expect to issue. Lakshmi should:

- **A** Refuse, because planning matters are confidential to the auditor
- **B** Give management the complete audit plan, including the procedures and sample sizes
- **C** Discuss these elements of planning to facilitate the audit, taking care not to compromise its effectiveness
- **D** Let management approve the strategy, since it knows the business best

Answers: the answer key at the end of this lesson.

Recap

- Objective of SA 300: plan the audit so that it will be performed in an effective manner; planning reduces audit risk to an acceptably low level.
- Six benefits: important areas, problems solved on time, organised audit, right team, direction-supervision-review, coordination with experts.

- Planning is continual and iterative, from shortly after the previous audit to the completion of the current one; before risks are assessed it considers analytical procedures, legal framework, materiality, experts and other risk assessment procedures.
- Preliminary engagement activities: client continuance, ethical requirements including independence, understanding of the terms of engagement.
- Overall audit strategy: scope, timing and direction; decides which resources, how much, when, and how managed; five factors (scope, reporting objectives, significant factors, preliminary results, resources).
- Audit plan: nature, timing and extent of planned risk assessment procedures, further audit procedures at the assertion level, and other procedures required by SAs; more detailed than the strategy.
- Both remain the auditor's responsibility; update them as necessary; plan direction, supervision and review by entity size and complexity, audit area, assessed risks and team competence.
- Document the strategy, the plan and significant changes with reasons. (A captain who never changes the field on a turning pitch loses the Test.)

Answer key · Check yourself

1 **B The overall audit strategy**

Which resources to deploy for high-risk and complex areas, and how reviews take place, are strategy matters (SM 2.10). The audit plan describes procedures, not people.

2 **D Whether an engagement quality control review will be completed, and when partner reviews will take place**

How resources are managed, directed and supervised, including reviews, is a strategy matter. The other three are planned procedures: the audit plan.

3 **C Often from shortly after the completion of the previous audit until the completion of the current audit**

Planning is not a discrete phase but a continual and iterative process (SM 2.5).

4 **A The overall audit strategy**; **B The audit plan**; **C Significant changes made during the audit to the strategy or plan, and the reasons for them**

The three items are in SM 2.17. SA 300 requires no approval by management: the strategy and the plan remain the auditor's responsibility (the documented plan is a record that can be reviewed and approved before the procedures are performed).

5 **C Discuss these elements of planning to facilitate the audit, taking care not to compromise its effectiveness**

SA 300 permits discussing elements of planning, with care (SM 2.6). Refusing everything is the commonest wrong answer; handing over the whole plan, or the approval, goes too far.

2.2 The audit programme

What an audit programme is, why one programme cannot fit every business, how it is constructed and kept up to date, the evidence it prescribes, and its advantages and disadvantages.

In plain words

Bunty gets a recipe card

On his second day on the Tapri audit, Bunty is handed one sheet of paper headed "Sales: kulhad cafés, Pune". It lists five steps: vouch some app orders with the café's bills, trace them into the books, agree the payment aggregator's statements to the bank, compare invoices with the GST data, look at refunds after 31 March. Each step has a column for how many items to check, how to pick them, and a blank box marked "Done by".

> **Bunty:** Ma'am, it is like the recipe cards in the café kitchen!
>
> **Lakshmi:** Exactly. Follow it, and sign each step you do.
>
> **Bunty:** And if I see something the card does not mention?
>
> **Lakshmi:** Then you tell me the same day. A cook who smells sour milk does not keep stirring because the card says "add milk".

That sheet is an **audit programme**: the detailed, written list of audit steps for each area, with instructions on how far to check and who did what. It is how the audit plan reaches the people who do the work.

Businesses differ, so one programme cannot be used for every client in every circumstance. It starts as a **standard programme** of the minimum essential work, and grows or shrinks as the auditors learn the client. It must be **reviewed periodically**: a programme that ignores this year's new billing app is an old recipe for a new dish. And the assistant must keep an **open mind** beyond it.

Think of it like

The café recipe card

Every Tapri kitchen uses the same card for masala chai, so a new cook makes it right on the first day, and the manager can see which cook made which batch. But the samosa card from Indore will not work in a Kolkata café that sells fish chops, the card must change when the supplier changes the tea, and a cook who notices the milk has turned must say so even though the card is silent.

Key idea

An audit programme is a detailed plan of applying the audit procedures, with instructions, for one engagement. It must be written, tailored to the business, reviewed periodically, followed and signed by the assistants, who are encouraged to report significant matters beyond it.

How it works

1. What an audit programme is

It is desirable that in respect of each audit, and more particularly for bigger audits, an audit programme should be drawn up (SM 2.18). The Study Material describes it three ways:

> **Definition**
>
> **Audit programme**
>
> 1. A list of examination and verification steps to be applied, set out in such a way that the inter-relationship of one step to another is clearly shown, and designed keeping in view the assertions discernible in the statements of account produced for audit, or on the basis of an appraisal of the accounting records of the client.
> 2. A series of verification procedures to be applied to the financial statements and accounts of a given entity for the purpose of obtaining sufficient evidence to enable the auditor to express an informed opinion on financial statements.
> 3. In other words, a detailed plan of applying the audit procedures in the given circumstances with instructions for the appropriate techniques to be adopted for accomplishing the audit objectives (SM 2.18).

As a basic feature, an audit programme not only lists the tasks to be carried out but also contains a few relevant instructions, like the **extent of checking** and the **sampling plan** (SM 2.20). It sits below the overall audit strategy and the audit plan: the written programme sets out the procedures needed to implement the audit plan (SM 2.21).

2. One programme cannot fit every business

Businesses vary in nature, size and composition; work which is suitable to one business may not be suitable to others; the efficiency and operation of internal controls and the exact nature of the service to be rendered by the auditor also vary from assignment to assignment. On account of such variations, evolving one audit programme applicable to all businesses under all circumstances is not practicable (SM 2.19). It is still necessary to specify in detail the nature of work to be done, so that no time is wasted on matters not pertinent to the engagement and any special matter or specific situation can be taken care of (SM 2.19).

3. A standard programme, and an open mind

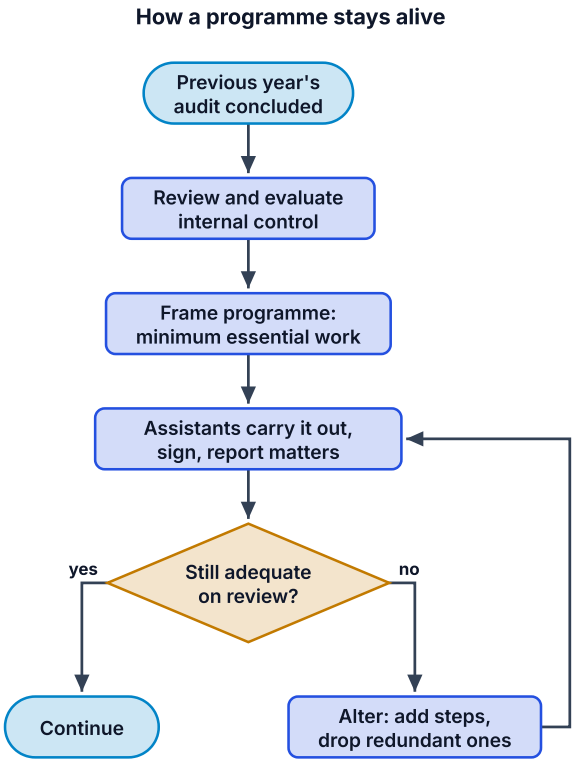
To start with, having regard to the nature, size and composition of the business, the dependability of the internal control and the given scope of work, the auditor should frame a programme providing for the **minimum essential work**: a **standard programme**. As experience is gained, the programme may be altered to cover situations left out originally but found relevant; work that proves beyond doubt to be unnecessary or irrelevant may be dropped (SM 2.19).

The assistant should be encouraged to **keep an open mind** beyond the programme given to him, and instructed to note and report significant matters coming to his notice to his seniors or to the partners or proprietor of the firm (SM 2.19).

4. Periodic review

There should be **periodic review** of the audit programme to assess whether it continues to be adequate for obtaining requisite knowledge and evidence about the transactions. Unless this is done, a change in the client's business policy may not be adequately known, audit work may be carried on the basis of an **obsolete programme**, and, for this negligence, the whole audit may be held as negligently conducted and the auditor may have to face legal consequences (SM 2.19).

The utility of the programme is retained and enhanced only by keeping the programme, and the client's operations and internal control, under periodic review, so that inadequacies or redundancies are removed. So long as the programme is not officially changed by the principal, every assistant deputed on the job should unfailingly carry out the detailed work according to its instructions. This does not make the programme rigid, provided the periodic review keeps it up to date and the assistants are encouraged to observe all salient features of the client's accounting functions (SM 2.20).



Planning, and with it the programme, ideally starts at the conclusion of the previous year's audit and is reconsidered as the audit progresses (SM 2.20); periodic review removes inadequacies and redundancies (SM 2.19–2.20).

5. Constructing the programme

The audit planning ideally commences at the conclusion of the previous year's audit and, along with the related programme, should be reconsidered for modification as the audit progresses, based on the auditor's review of internal control, its preliminary evaluation and the results of compliance and substantive procedures (SM 2.20). The auditor can formulate the entire programme only after a satisfactory understanding of the internal control system and its actual operation; otherwise the programme may become unwieldy and unnecessarily heavy, and the object of the audit may be lost in the mass of entries and vouchers (SM 3.44; internal control and its evaluation).

While developing the programme the auditor may conclude that relying on certain internal controls is effective and efficient, or decide not to rely on them where there are more efficient ways of obtaining sufficient appropriate audit evidence. The auditor should also consider the timing of procedures, the coordination of any assistance expected from the client, the availability of assistants, and the involvement of other auditors or experts. The auditor normally has flexibility in deciding when to perform procedures, but in some cases has **no discretion as to timing**: for example, when observing the taking of inventories by client personnel, or verifying the securities and cash balances at the year-end (SM 2.20).

For the purpose of programme construction, the following points should be kept in mind (SM 2.20–2.21):

1. Stay within the scope and limitation of the assignment.
2. Prepare a written audit programme setting forth the procedures that are needed to implement the audit plan.
3. Determine the evidence reasonably available and identify the best evidence for deriving the necessary satisfaction.
4. Apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation.
5. Include the audit objectives for each area and sufficient details which serve as a set of instructions for the assistants involved in audit and help in controlling the proper execution of the work.
6. Consider all possibilities of error.
7. Co-ordinate the procedures to be applied to related items.

6. Designed to provide audit evidence

Audit evidence is the information used by the auditor in arriving at the conclusions on which the auditor's opinion is based (see SA 500). Evidence is the very basis of the opinion, and the programme provides for it by prescribing procedures and techniques; choosing the best evidence for each assertion is a matter of expert knowledge and experience (SM 2.22). The auditor picks up evidence of these broad types (SM 2.22):

Broad type of evidence	Broad type of evidence
(a) Documentary examination	(f) State of internal controls and internal checks
(b) Physical examination	(g) Inter-relationship of the various accounting data
(c) Statements and explanations of management, officials and employees	(h) Subsidiary and memorandum records
(d) Statements and explanations of third parties	(i) Minutes
(e) Arithmetical calculations by the auditor	(j) Subsequent action by the client and by others

ICAI's examples (SM 2.23): for cash in hand, the best evidence is a **count**; for an investment pledged with a bank, the **banker's certificate**; for book debts, the client's ledger, invoices, debit notes, credit

notes and monthly statements sent to customers are all evidence, some corroborative and others complementary, and balance confirmation gives greater satisfaction. The auditor places appropriate weight on each piece of evidence and prescribes the priority of verification. "Available" evidence does not mean only what the client has: the auditor should know what normally should be available for the transaction, having regard to the circumstances and usage (SM 2.23).

7. Advantages and disadvantages

Advantages (SM 2.23–2.24), in ICAI's order:

- (a) It provides the assistant carrying out the audit with a total and clear set of instructions of the work generally to be done.
- (b) It is essential, particularly for major audits, to provide a total perspective of the work to be performed.
- (c) Selection of assistants for the jobs on the basis of capability becomes easier when the work is rationally planned, defined and segregated.
- (d) Without a written, pre-determined programme, work is carried out on some "mental" plan, with the danger of ignoring or overlooking certain books and records; under a properly framed programme that danger is significantly less and the audit proceeds systematically.
- (e) The assistants, by putting their signature on the programme, accept responsibility for the work carried out by them individually, and if necessary the work done may be traced back to the assistant.
- (f) The principal can control the progress of the various audits in hand by examining the audit programmes initiated by the assistants for completed work.
- (g) It serves as a guide for audits to be carried out in the succeeding year.
- (h) A properly drawn up audit programme serves as **evidence in the event of any charge of negligence** being brought against the auditor: it may be of considerable value in establishing that he exercised the reasonable skill and care expected of a professional auditor.

Disadvantages (SM 2.24), most of which can be removed by concrete steps:

- (a) The work may become mechanical, and particular parts of the programme may be carried out without any understanding of their object in the whole audit scheme.
- (b) The programme often tends to become rigid and inflexible, following set grooves: the business may change, but the old programme is still carried on; changes in staff or internal control may make precautions necessary at points different from those originally decided upon.
- (c) Inefficient assistants may **take shelter behind the programme**, defending deficiencies in their work on the ground that it contained no instruction on the matter.
- (d) A hard and fast audit programme may kill the initiative of efficient and enterprising assistants.

The cure for all four (SM 2.24): imaginative supervision of the work carried on by the assistants; a receptive attitude of the auditor towards the assistants; and assistants encouraged to observe matters objectively and bring significant matters to the notice of the supervisor or principal. Against rigidity in particular, the Study Material adds periodic review to keep the programme up to date (SM 2.20).

Formats and formulas

ICAI's layout of an audit programme

Reproduce this layout from memory: the header block, then the five columns, in this order (SM 2.25).

Header	Entry
Name of concern	(entity)
Financial year	(year)
Prepared by	(name, with date)
Reviewed by	(name, with date)
Approved by	(name, with date)

Serial number	Nature of procedure	Extent of check	Basis of sample	Done by
(a)	Vouch a few invoices			
(b)	Trace into account books			
(c)	...			

ICAI's own extract (sales of a manufacturer, SM 2.25) lists: vouch a few sales invoices; trace them into the account books; verify a few invoices with e-way bills on the e-way bill portal; trace a few invoices into the stock records to ensure sold quantities were reduced from stock; trace a few invoices into the buyers' accounts. The extract in ICAI's January 2025 paper (case scenario 1) shows the columns filled in: "10%" for extent of check, "Random Sampling" for basis of sample, and the assistant's initial under "Done by".

Worked examples

Worked example **Draft the programme for app-delivery sales**

Tapri Tea Co. Ltd's Pune cafés recorded 62,400 delivery-app orders in 2025-26. Each order produces a POS bill at the café; the payment aggregator settles the money to Tapri's bank account and sends a monthly settlement report; Tapri files its GST returns monthly. Cancelled orders are refunded through the aggregator. Lakshmi has decided, on her evaluation of internal control, to check 2% of orders in detail and 1% against the GST data, both by random sampling, to agree every month's settlement, and to examine every April refund above ₹5,000.

Draft the audit programme for these sales in ICAI's format, prepared by Bunty (Varun Khanna) and reviewed by Neha Kulkarni (senior).

MODEL ANSWER

Header	Entry
Name of concern	Tapri Tea Co. Ltd: Pune cafés
Financial year	2025-26
Prepared by	Varun Khanna (with date)
Reviewed by	Neha Kulkarni (with date)
Approved by	CA Lakshmi Iyer (with date)

Sr.	Nature of procedure	Extent of check	Basis of sample	Done by
(a)	Vouch orders to POS bills	2% (1,248)	Random	VK
(b)	Trace bills to ledgers	1,248	Same sample	VK
(c)	Agree settlements to bank	12 months	100%	NK
(d)	Match invoices to GST data	1% (624)	Random	VK
(e)	Trace April refunds	Over ₹5,000	All	NK

The steps in full. (a) Vouch app orders with the café POS bills and delivery records. (b) Trace the same bills into the sales account and the aggregator's account. (c) Agree the aggregator's monthly settlement reports with the bank receipts. (d) Verify invoices with the GST returns data. (e) Trace refunds made in April to cancelled orders and credit notes, for every refund above ₹5,000.

Working note. 2% of 62,400 = 1,248 orders; 1% of 62,400 = 624 invoices.

The programme applies the construction points: it stays within the sales area, is written, prescribes the best evidence available for each step (the aggregator's and bank's records are third-party evidence), coordinates related items (steps (a) and (b) use the same sample; refunds after the year-end test cut-off of sales), and gives the extent and basis of every check as instructions to the assistants. Each assistant signs the steps he or she performs.

Worked example

The 46-page programme

After last year's audit, Neha Kulkarni, the senior on the Tapri audit, decides that no assistant will ever again say "it was not in my programme". She rewrites the programme for café sales into 46 pages. It covers every procedure she can think of, including eleven steps on export sales and foreign-currency receipts (the cafés sell only in India), and it ends with an instruction:

> **Neha:** Do exactly what is written, nothing more and nothing less. Anything not written here is not your concern.

In the second week, Bunty notices that the new billing app lets a café manager change the amount of a bill after the customer has paid, and that such changes are not shown on the daily sales report. He tells Neha.

She reminds him of her instruction: it is not in the programme, so it is not his concern.

Required:

(i) Comment on Neha's approach with reference to the construction of an audit programme and its disadvantages.

(ii) Bunty wonders whether to drop the matter. Advise him, and state what the engagement partner should do.

MODEL ANSWER

(i) Relevant provision. For the purpose of programme construction, the auditor should, among other points, apply only those steps and procedures which are useful in accomplishing the verification purpose in the specific situation, and include the audit objectives for each area with sufficient details to serve as instructions to the assistants. The disadvantages of an audit programme include that the work may become mechanical, the programme may become rigid and inflexible, and a hard and fast programme may kill the initiative of efficient and enterprising assistants. These are removed by imaginative supervision of the work of the assistants, a receptive attitude of the auditor towards them, and encouraging them to observe matters objectively and bring significant matters to the notice of the supervisor or principal. The assistant should keep an open mind beyond the programme and report significant matters to his seniors or the partners.

Facts and analysis. Eleven steps on export sales, which the cafés do not have, are not useful in the specific situation. "Nothing more and nothing less" makes the work mechanical and kills the initiative of assistants, and "anything not written is not your concern" is the opposite of the open mind the assistants must keep. A longer programme does not cure taking shelter behind the programme; supervision and a receptive attitude do.

Conclusion. Neha's approach is not proper. The programme should be tailored to the cafés' actual business, and the assistants encouraged to observe and report.

(ii) Relevant provision. The assistant should be instructed to note and report significant matters coming to his notice to his seniors or to the partners or proprietor of the firm. As experience is gained, the programme may be altered to take care of situations which were left out originally but are found relevant; so long as it is not officially changed by the principal, the assistants carry out the work according to its instructions.

Facts and analysis. Bills changed after payment, and not shown on the daily sales report, may conceal cash sales that were taken and not recorded. This is a significant matter that the programme did not foresee. Reporting it to the senior was right; the senior's refusal does not end Bunty's duty, because significant matters may be reported to the partners of the firm.

Conclusion. Bunty should not drop the matter: he should bring it to the notice of the engagement partner, Lakshmi, and meanwhile carry out the programme as it stands. Lakshmi should officially alter the programme to add procedures, for example examining the app's record of bills changed after payment and comparing those bills with the payments received, consider the matter in assessing the risks and the controls over café sales, and, through imaginative supervision, make sure the assistants are encouraged, not discouraged, to report what they observe.

Exam angle

In the exam

Where the audit programme appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, the audit programme was examined in 23 documents (7 past papers, 3 RTPs and 13 MTP papers).

- **Descriptive, 4 or 5 marks.** Matters to consider in preparing a programme, and whether one programme fits two different companies: May 2024 Q1(a) (4 marks); RTP May 2025 Q10; MTP September 2026 Series I Q2(c) (4 marks). Last year's programme handed over unchanged after major business changes (periodic review): September 2024 Q5(a) (4 marks); MTP September 2024 Series II, MTP May 2026 Series I, MTP September 2025 Series II. One programme for different businesses: MTP May 2026 Series II, MTP September 2026 Series II. Advantages: RTP May 2026 Q10 (from eight facts, one per advantage), MTP January 2025 Series I, MTP May 2025 Series I. Disadvantages and their removal: May 2026 Q2(b) (any three disadvantages, 3 marks; how to minimise them, 2 marks), MTP September 2024 Series I (4 marks). The evidence an audit programme should look for, and the best evidence for cash in hand and for investments pledged with a bank: September 2025 Q1(a) (3 + 2 marks). Draft a programme: RTP May 2024 Q4 and MTP May 2025 Series II (purchases of paper by a GST-registered maker of packing boxes), MTP September 2025 Series I (NGO donations).
- **Multiple choice, 2 marks each.** An extract with "Nature of procedure, Extent of check, Basis of sample, Done by" is part of the audit programme: January 2025 MCQ 3. Evaluation of internal control is an important part of the audit programme: May 2025 MCQ 9. Without studying internal control the programme becomes unwieldy and heavy: May 2026 MCQ 1. "Detailed plan of applying audit procedures" is the audit programme: May 2026 MCQ 7. One programme for four clients in different industries is not practicable: MTP May 2025 Series I MCQ 1. A programme as evidence against negligence: MTP January 2026 Series II MCQ 14. Last year's programme kept unchanged after the audit began, though it missed part of the business: September 2026 MCQ 2 (answers not yet published).

In the exam

How the marks are earned

The suggested answers list the Study Material's points in its order (seven construction points, eight advantages, four disadvantages and the cure), then add the "not practicable for all businesses" or "periodic review" paragraph, and end with a conclusion on the facts ("Thus, CA P is correct in emphasising a different audit programme"). In a "draft a programme" question the marks are for the header block and the five-column table with relevant procedures.

Trick

Seven construction points: "Scope, Written, Best, Useful, Objectives, Errors, Co-ordinate"

Stay within scope; written programme; best evidence; only useful steps; objectives and instructions for each area; all possibilities of error; co-ordinate related items. The order is ICAI's.

Answer frame

"Is the auditor right to use another client's (or last year's) programme?"

1. **Provision**: evolving one audit programme for all businesses under all circumstances is not practicable (nature, size, composition, internal control, nature of service vary); the programme

needs periodic review, or an obsolete programme may make the whole audit negligently conducted.

2. **Points for construction**: list the seven.
3. **Facts**: how the two businesses (or this year and last) differ.
4. **Conclusion**: "Thus, CA ... is (not) correct; a separate (revised) audit programme should be prepared."

"Advantages and disadvantages": a two-column answer

Advantages (8)	Disadvantages (4)
Clear instructions; total perspective; easier selection of assistants; no "mental plan"; responsibility by signature; principal controls progress; guide for next year; evidence against negligence	Mechanical work; rigid and inflexible; shelter for inefficient assistants; kills initiative. Cure: imaginative supervision, receptive attitude, assistants encouraged to report

Common mistakes

⚠ **Common mistake**

Hall of Shame: the programme photocopied from last year

The firm reuses last year's programme for a client that has since diversified. **Fix:** periodic review is required; an obsolete programme can make the whole audit "negligently conducted" (SM 2.19).

⚠ **Common mistake**

"It was not in my programme"

Treating the programme as the limit of the job. **Fix:** assistants keep an open mind beyond the programme and report significant matters; taking shelter behind the programme is a disadvantage the auditor must cure.

⚠ **Common mistake**

Confusing the programme with the audit plan

Answering "the extract showing extent of check and done by is the audit plan". **Fix:** the audit plan describes the nature, timing and extent of planned procedures; the written **audit programme** sets out the procedures, with instructions, needed to implement it (SM 2.21). January 2025 MCQ 3 turns on this.

Practice

Check yourself

1 Case scenario. CA Rohan Bhatt drafts the purchases programme for Sarafa Stationers Pvt Ltd, an Indore trader that buys only from local wholesalers and returns goods to them every week. His draft has steps on forward exchange contracts and customs duty on imports, and no step on purchase returns or debit notes. Which points of programme construction has he ignored?

- **A** Stay within the scope and limitation of the assignment; prepare a written audit programme
- **B** Determine the evidence reasonably available; co-ordinate the procedures to be applied to related items
- **C** None: a programme should include every procedure that could be relevant to any business
- **D** Apply only those steps useful in the specific situation; consider all possibilities of error

2 Which statement about the disadvantages of an audit programme is correct, as per the Study Material?

- **A** They cannot be removed, so a written programme is best avoided in a large audit
- **B** They are removed by making the programme so detailed that no matter is left without an instruction
- **C** They may be eliminated by imaginative supervision, a receptive attitude towards the assistants, and encouraging the assistants to bring significant matters to notice
- **D** They are removed by allowing each assistant to skip the steps he considers unnecessary

3 For which of these may the auditor have no discretion as to the timing of the procedure?

- **A** Vouching purchase invoices
- **B** Observing the client's inventory count and verifying cash balances at the year-end
- **C** Reviewing the minutes of board meetings
- **D** Recalculating depreciation

4 An audit programme prescribes procedures to obtain evidence. Which of the following are among the broad types of evidence the Study Material lists? Select all that apply.

- **A** Inter-relationship of the various accounting data
- **B** Minutes
- **C** The auditor's general impression of management's honesty
- **D** Subsequent action by the client and by others

More than one answer may be right.

5 Step (d) of Bunty's programme asks him to recompute the GST on every sampled café bill. The billing app computes GST automatically, and he has found no error in the first 200 bills, so he thinks the step is unnecessary. The programme has not been changed. What should he do?

A Carry out the step as instructed, and tell his senior his view so that the principal can decide whether to change the programme

B Skip the step, because work that proves unnecessary may be dropped

C Skip the step and record his reason in the working papers

D Ask the café manager to certify that the app computes GST correctly

Answers: the answer key at the end of this lesson.

Recap

- Audit programme: a detailed plan of applying the audit procedures in the given circumstances, with instructions for the techniques to accomplish the audit objectives; it includes the extent of checking and the sampling plan.
- One programme for all businesses is not practicable (nature, size, composition, internal control and service vary).
- Start with a standard programme of minimum essential work; add relevant steps and drop irrelevant ones; assistants keep an open mind and report significant matters.
- Review it periodically, or an obsolete programme can make the whole audit negligently conducted; until the principal changes it, assistants follow it unfailingly.
- Construction: scope; written; best evidence; useful steps only; objectives and instructions; all possibilities of error; co-ordinate related items. No discretion on timing for inventory counts and year-end cash and securities.
- Evidence: the programme prescribes procedures for the best evidence of each assertion, drawn from ten broad types (documentary and physical examination to subsequent action by the client and others); cash in hand: count; investment pledged with a bank: banker's certificate.
- Eight advantages, ending with evidence against a charge of negligence; four disadvantages (mechanical, rigid, shelter, kills initiative), cured by imaginative supervision, a receptive attitude and encouraging assistants to report.
- ICAI's layout: name, year, prepared, reviewed, approved; then serial number, nature of procedure, extent of check, basis of sample, done by. (Sour milk gets reported, recipe card or no recipe card.)

Answer key · Check yourself

1 **D Apply only those steps useful in the specific situation; consider all possibilities of error**

Import and forward-contract steps are not useful for a trader who buys locally, and the weekly purchase returns are a possibility of error the draft ignores (SM 2.21). The third option is exactly what the construction points rule out.

2 **C They may be eliminated by imaginative supervision, a receptive attitude towards the assistants, and encouraging the assistants to bring significant matters to notice**

SM 2.24. A longer, harder programme makes rigidity and the loss of initiative worse; an assistant may not skip steps until the principal officially changes the programme (SM 2.20); and for major audits a programme is essential (SM 2.23).

3 **B Observing the client's inventory count and verifying cash balances at the year-end**

SM 2.20 gives these two examples; for most procedures the auditor has flexibility in timing.

4 **A Inter-relationship of the various accounting data; B Minutes; D Subsequent action by the client and by others**

SM 2.22 lists ten broad types, from documentary examination to subsequent action by the client and by others. An impression is not evidence; statements and explanations of management, officials and employees are.

5 **A Carry out the step as instructed, and tell his senior his view so that the principal can decide whether to change the programme**

So long as the programme is not officially changed by the principal, every assistant should unfailingly carry out the work according to its instructions (SM 2.20). Unnecessary work may be dropped (SM 2.19), but by the principal's change, not by the assistant's choice.

CHAPTER 3

Risk Assessment and Internal Control

3.1 Audit risk: inherent, control and detection risk

Why an auditor can sign a wrong opinion, the three risks behind it, the one risk the auditor controls, and how ICAI asks you to spot each in a case.

In plain words

How does a CA sign a clean report on fake sales?

Bunty reads the news at his desk: a regulator has acted against the auditor of a listed snack company whose profits were pumped up with fake sales. The report was clean.

> **Bunty:** Ma'am, how does a CA miss crores of fake sales?
>
> **Lakshmi:** Three things had to go wrong, Bunty. The sales figure was easy to fake. The company's own checks did not stop it. And the auditor's tests did not catch it.
>
> **Bunty:** And if any one of them had worked?
>
> **Lakshmi:** No news story. Also, no Bunty reading the news at 11 a.m.

The chance that an auditor gives a clean opinion on accounts that are materially wrong is **audit risk**. It is built from three smaller risks:

- **Inherent risk**: the item itself is easy to get wrong, before anyone checks it (a complex calculation, an industry where companies keep failing).
- **Control risk**: the company's own checks (its **internal control**) fail to stop the error or to catch and fix it in time.
- **Detection risk**: the auditor's own tests fail to find it.

The first two belong to the company. Together they are the **risk of material misstatement**: the chance that the accounts are wrong before the audit starts. Only the third is in the auditor's hands, so when the accounts are likely to be wrong, the auditor must test harder to keep audit risk acceptably low. It never reaches zero.

Think of it like

Three strainers for sour milk

Milk can arrive sour, more often in May than in December (inherent risk). Tapri's cook sniffs every can, unless the morning rush makes him skip it (control risk). The food inspector tastes a few cups and may pick only the good ones (detection risk). A customer drinks sour chai only when all three fail. The inspector cannot change the weather or the cook. He can only taste more cups, taste them across the whole day, and send his best taster. That is all an auditor can do about detection risk too.

Key idea

Audit risk is a function of the risk of material misstatement (inherent risk and control risk, the entity's risks) and detection risk (the auditor's). The auditor can influence only detection risk, so the higher the assessed risk of material misstatement, the lower detection risk must be kept, through more and better audit evidence.

How it works

1. Audit risk

Definition

Audit risk

Audit risk means the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated (SM 3.4).

It means the auditor expresses an **unmodified opinion** when the financial statements are materially misstated. Not only would the auditor's reputation be damaged; the auditor could invite regulatory action from the professional body and probable legal action by intended users. To avoid this, SA 200 requires the auditor to obtain sufficient appropriate audit evidence to reduce audit risk to an acceptably low level, and so draw reasonable conclusions on which to base the opinion (SM 3.4). **Audit risk is a function of the risks of material misstatement and detection risk.**

2. Misstatement, and the risk of material misstatement

Definition

Misstatement

A difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud (SM 3.4).

The Study Material's examples of misstatements (SM 3.5):

1. Charging an item of capital expenditure to revenue, or vice versa.
2. A disclosure that differs from what the applicable financial reporting framework requires.
3. Selection or application of inappropriate accounting policies.
4. An accounting estimate that differs from what is appropriate under the framework.
5. Intentional booking of fake expenses in the statement of profit and loss.
6. Overstating receivables by not writing off irrecoverable debts.
7. Overstating or understating inventories.

Definition

Risk of material misstatement

As per SA 200, the risk that the financial statements are materially misstated prior to audit: a probability of frauds or errors in the financial statements before the audit (SM 3.4).

It exists at **two levels** (SM 3.5):

- **The overall financial statement level**: risks that relate pervasively to the financial statements as a whole and potentially affect many assertions.
- **The assertion level**, for classes of transactions, account balances and disclosures: assessed to determine the nature, timing and extent of further audit procedures needed for sufficient appropriate audit evidence.

At the assertion level the risk of material misstatement has **two components, inherent risk and control risk**. Both are the entity's risks: they exist independently of the audit and are influenced by the client, not by the auditor (SM 3.5).

3. Inherent risk: the item is slippery

Definition

Inherent risk

The susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, either individually or when aggregated with other misstatements, before consideration of any related controls (SA 200; SM 3.6).

- It is **higher for some assertions** than for others, for example for complex calculations.
- Inherent risk factors are considered while designing tests of controls and substantive procedures. Whether the auditor's assessment is lower or higher, each category covers a range of degrees of inherent risk: the auditor may assess two assertions as lower while recognising that one has less inherent risk than the other.
- It is important to consider the reason for each identified inherent risk, even if the risk is lower, when designing tests of controls and substantive procedures.
- **External circumstances** giving rise to business risks may also influence it: technological developments might make a product obsolete. Factors in the entity and its environment may also influence the inherent risk of a specific assertion (SM 3.6).
- Examples (SM 3.6): an accounting standard gives guidance on a complex issue that management might not understand; a large number of business failures in the entity's industry.

4. Control risk: the entity's guard is asleep

> Definition
>
> **Control risk**
>
> The risk that a misstatement that could occur in an assertion about a class of transaction, account balance or disclosure and that could be material, either individually or when aggregated with other misstatements, will not be prevented, or detected and corrected, on a timely basis by the entity's internal control (SA 200; SM 3.7).

There is an **inverse relation** between control risk and the efficiency of internal control: when the efficiency of internal control is high, control risk is low, and when it is low, control risk is high (SM 3.7). The Study Material's examples are controls that exist on paper and may not be followed (SM 3.7):

- cash and cheque books to be kept in a locked safe with access for authorised personnel only;
- fire extinguishers and smoke detectors to be in place and working at all times, to reduce the risk of fire damage to inventories (they may have expired, or may not work);
- only items of expenditure below ₹10,000 to be routed through the imprest system of petty cash.

How internal control is built is covered in internal control: components and limitations.

5. Detection risk: the auditor's own blind spot

> Definition
>
> **Detection risk**
>
> The risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a misstatement that exists and that could be material, either individually or when aggregated with other misstatements (SA 200; SM 3.7).

Detection risk comprises (SM 3.8):

- **Sampling risk**: the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure; the sample was not representative of the population.
- **Non-sampling risk**: the risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk, such as applying an inappropriate audit procedure.

Examples (SM 3.8): sizeable work-in-progress inventories are expected, but the auditor does not attend the inventory count and relies on alternative audit procedures; revenue is audited on a sample that may not be representative of overall revenue.

The auditor can only influence detection risk. Inherent and control risk belong to the entity, so the auditor must reduce detection risk to keep audit risk low. Detection risk may be reduced by **increasing the area of checking, testing larger samples and including competent and experienced persons in the engagement team** (SM 3.8). Sampling itself is in SA 530: audit sampling.

6. What audit risk does not include

- The **auditor's business risks**, such as loss from litigation, adverse publicity or other events arising in connection with the audit.
- The risk that the auditor expresses an opinion that the financial statements are materially misstated **when they are not**. This risk is ordinarily insignificant (SM 3.8).

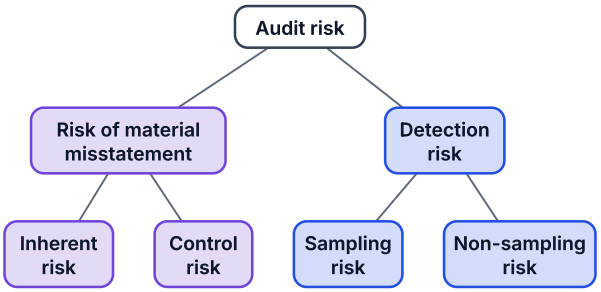
7. Judgment, not a calculator

The assessment of risks is based on audit procedures to obtain the necessary information and on evidence obtained throughout the audit. It is a matter of professional judgment, rather than a matter capable of precise measurement, exercised by an auditor whose training, knowledge and experience have developed the competence to make reasonable judgments (SM 3.9).

Standards on Auditing do not ordinarily refer to inherent risk and control risk separately, but to a **combined assessment of the "risks of material misstatement"**. The auditor may make separate or combined assessments, depending on preferred audit techniques or methodologies and practical considerations, expressed in quantitative terms (such as percentages) or in non-quantitative terms. In any case, the need to make appropriate risk assessments is more important than the approach used. Hence, writing AR for audit risk, RMM for the risks of material misstatement, IR, CR and DR for inherent, control and detection risk (SM 3.10):

$$AR = RMM \times DR \qquad AR = IR \times CR \times DR$$

The components of audit risk

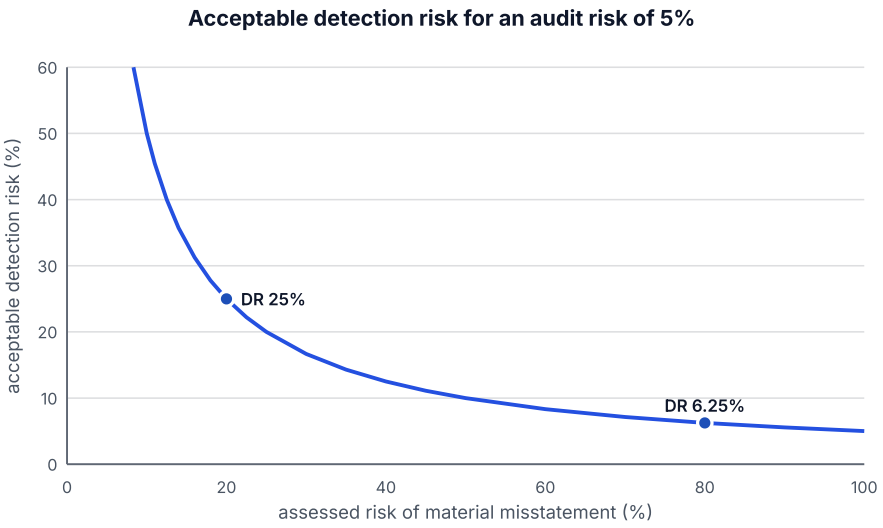


Violet: the entity's risks, which exist before and apart from the audit. Blue: the auditor's risk, the only branch the auditor can change (SM 3.9).

Interactive version: PassBook app, lesson Audit risk: inherent, control and detection risk

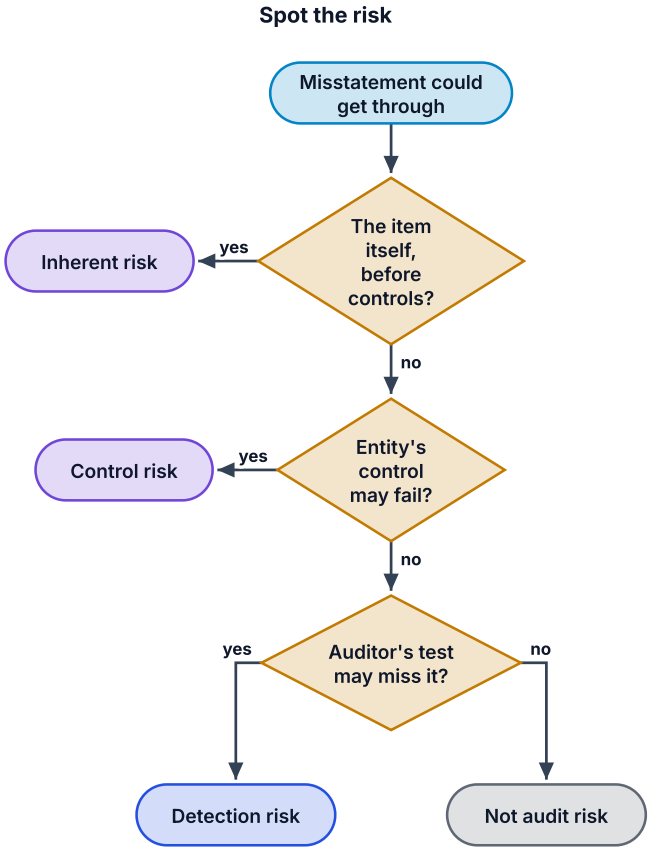
Why detection risk must fall as the other risks rise

Hold audit risk at the level the auditor accepts, and the formula leaves only one lever. The figures below are illustrative: ICAI asks you to identify and explain these risks, not to compute them.



Detection risk = 5% ÷ (inherent risk × control risk). With inherent risk at 80%: strong controls (control risk 25%, so RMM 20%) let the auditor accept a 25% detection risk; no reliance on controls (100%, so RMM 80%) leaves only 6.25%, which means far more substantive work.

Which risk is it? The question every MCQ asks



Start at the sky-blue box. Violet ends: the entity's risks; blue end: the auditor's risk; grey end: what the SAs exclude, such as the auditor's litigation loss or adverse publicity.

Worked examples

Worked example **TapriNow and its festival cashbacks**

In 2025-26 TapriNow, Tapri Tea Co. Ltd's delivery app, earned revenue of ₹84 crore from about 31 lakh orders. Iyer & Associates note:

(i) Orders carry layered festival cashbacks and loyalty points, and a new 12-month "chai subscription" whose revenue must be spread over the subscription period. The accounts team is applying the revenue standard to subscriptions for the first time.

(ii) Policy requires the regional manager's approval in the app for any cashback above ₹200 on one order. The approval step was switched off for six weeks during Diwali "to avoid delays".

(iii) Bunty tested 25 orders, all from April, and, misreading the policy, accepted subscription receipts as revenue on receipt.

Identify and explain the risk in each of (i), (ii) and (iii), and state how the auditor should respond to (iii).

MODEL ANSWER

(i) Inherent risk. As per SA 200, inherent risk is the susceptibility of an assertion about a class of transaction, account balance or disclosure to a misstatement that could be material, before consideration of any related controls. It is higher for complex calculations, and where an accounting standard gives guidance on a complex issue that management may not understand. Layered cashbacks and first-time recognition of subscription revenue over a period make revenue susceptible to material misstatement even before controls are considered: the inherent risk is high.

(ii) Control risk. Control risk is the risk that a misstatement that could be material will not be prevented, or detected and corrected, on a timely basis by the entity's internal control. The approval control exists but did not operate for six weeks in the busiest season, so unapproved cashbacks could misstate revenue undetected: control risk is high for that period.

(iii) Detection risk. Detection risk is the risk that the procedures performed by the auditor to reduce audit risk to an acceptably low level will not detect a material misstatement. It comprises sampling risk and non-sampling risk. A sample of 25 orders from April alone may not represent 31 lakh orders across the year, especially the Diwali weeks: **sampling risk**. Treating subscription receipts as revenue on receipt is an erroneous conclusion from an inappropriate procedure, not caused by sampling: **non-sampling risk**.

Response. The auditor can influence only detection risk, and with high inherent and control risk it must be kept low: increase the area of checking (the whole year, and the Diwali weeks specifically), test a larger sample, and assign competent and experienced persons who understand the revenue policy.

Worked example **The debtors who paid too fast**

Tapri's premix division reports these figures:

Particulars	2024-25 (₹ crore)	2025-26 (₹ crore)
Revenue (all on credit)	72.00	70.20
Trade receivables at 31 March	11.84	4.81
Inventory at 31 March	9.60	15.60

The CFO explains: "We moved our distributors to 30-day terms in January, and they paid up before the year end." Bunty proposes: "The CFO has explained it, so let us assess inherent risk as low, test the credit-terms control, and skip the debtors work this year."

Required:

(a) Compute the trade receivables collection period for both years (closing receivables, 365-day year), and list possible reasons, genuine and otherwise, for the movements in the table.

(b) Comment on Bunty's proposal with reference to the components of audit risk.

MODEL ANSWER

(a) Collection period.

Year	Working	Days
2024-25	11.84 ÷ 72.00 × 365	60
2025-26	4.81 ÷ 70.20 × 365	25

Revenue fell by 2.5%, receivables fell from 60 days to 25 days of revenue, and inventory rose by 62.5% (₹9.60 crore to ₹15.60 crore).

- *Genuine reasons*: the change to 30-day terms; a collection drive before the year end; receivables discounted or factored with a bank.
- *Possible misstatements*: receipts of April recorded as received in March (cut-off); receivables reduced by unsupported credit notes or write-offs; goods dispatched to distributors but not invoiced, which would lower revenue and receivables and, if the dispatches were not removed from stock records, also explain the rise in inventory; receivables reclassified under another head or set off against amounts payable without a right to do so.

(b) Relevant provision. Audit risk is a function of the risks of material misstatement and detection risk. The risk of material misstatement at the assertion level comprises inherent risk and control risk; both are the entity's risks, which exist independently of the audit and are not influenced by the auditor. The auditor can only influence detection risk, and must reduce it to keep audit risk at a low level, by increasing the area of checking, testing larger samples and including competent and experienced persons in the engagement team. The assessment of risks is a matter of professional judgment based on the audit procedures performed and the evidence obtained. Irrespective of the assessed risks, the auditor shall design and perform substantive procedures for each material class of transactions, account balance and disclosure.

Facts and analysis.

1. *An explanation does not lower inherent risk.* The unusual movements are indicators of risks of material misstatement in the occurrence and cut-off of receipts, the completeness of revenue and the valuation of inventory. The CFO's explanation is a representation to be corroborated (the January circular to distributors, the revised agreements, receipts in the bank statements of March and April), not evidence that the risk is low.
2. *A control test is not enough.* Testing the credit-terms control may give evidence about control risk, but not about whether receipts, revenue and inventory are correctly recorded at the year end; and substantive procedures on material receivables cannot be skipped.
3. *Detection risk must be kept low.* With the risk of material misstatement high, the team should test cut-off of receipts and dispatches around 31 March, confirm balances with distributors, examine credit notes and write-offs, match dispatch records with invoices, and assign experienced persons to these areas.

Conclusion. Bunty's proposal is not proper. The auditor cannot change the entity's risks by accepting an explanation; the only lever is detection risk, and here it must be kept low.

Worked example

Kesar's two worries

Kesar tells Lakshmi: "Your audit risk is two things: that I sue your firm if you qualify my accounts, and that you call my accounts wrong when they are right." Comment.

MODEL ANSWER

Audit risk is the risk that the auditor gives an inappropriate audit opinion when the financial statements are materially misstated. It is a technical term related to the process of auditing. It does not refer to the auditor's business risks, such as loss from litigation, adverse publicity or other events arising in connection with the audit. For the purposes of the SAs, it also does not include the risk that the auditor might express an opinion that the financial statements are materially misstated when they are not; this risk is ordinarily insignificant. Neither of Kesar's worries is audit risk: the first is a business risk of the auditor, and the second is expressly excluded.

Exam angle

In the exam

Where these risks appeared, May 2024 to September 2026

In the 32 new-scheme Paper 5 documents searched (past papers, RTPs and MTPs), a question on audit risk or its components appeared in 19.

- **Descriptive, 4 or 5 marks.** Inherent risk applied to a case: MTP May 2026 Series I Q1(a), MTP September 2026 Series II Q1(b). Control risk with examples: MTP September 2026 Series I Q1(a). Detection risk: RTP May 2024 Q5; MTP September 2024 Series I Q1(b); MTP September 2025 Series II Q4(c) (4 marks); September 2026 exam Q4(a) (answers not yet published). What audit risk includes and excludes: MTP January 2026 Series II Q1(a), MTP September 2024 Series II Q4(b). Examples of misstatement: RTP January 2026 Q11.
- **Multiple choice, 2 marks each**, mostly "identify the type of risk": control risk (MTP May 2025 Series I MCQ 5, RTP January 2026 MCQ 6, MTP January 2026 Series II MCQ 11, September 2026 MCQ 7); inherent risk (MTP May 2026 Series II MCQ 2); sampling and non-sampling risk (May 2026 MCQ 2, September 2025 MCQ 3); audit risk and the financial statement level (MTP January 2026 Series I MCQs 10–12); misstatement (MTP May 2024 Series II MCQ 3); first audits, where audit risk or detection risk is high (MTP May 2024 Series I MCQ 1, RTP May 2024 MCQ 1.1); which risks are not audit risks (January 2026 MCQ 15, and the Study Material's case study in MTP May 2025 Series II MCQ 12).

In the exam

How the marks are earned

Suggested answers give the SA 200 definition word for word, the Study Material's explanation and examples, then the facts and a conclusion ("the view of the audit assistant is not correct"); for detection risk, also its two parts and the three ways to reduce it.

Trick

Item, client, checker

Inherent risk lives in the **item** (before any control), **C**ontrol risk in the **client's** controls, **D**etection risk in what the auditor **does**. Ask "whose failure is it?". Condition: the misstatement could be material; the auditor's business risks are not audit risk.

Answer frame

"Identify and explain the risk" in a case

1. **Name the risk** and give its SA 200 definition in ICAI's words.
2. **Explain it** with the Study Material's points (inherent risk: higher for complex calculations, external circumstances; control risk: inverse relation with efficiency of internal control; detection risk: sampling and non-sampling).
3. **Apply it to the facts**: "In the given case, ..."
4. **Conclude**, and add the consequence: "Hence detection risk must be kept low by increasing the area of checking, testing larger samples and using competent and experienced staff."

"Distinguish between inherent, control and detection risk"

Point	Inherent risk	Control risk	Detection risk
Key words	Susceptibility of an assertion, "before consideration of any related controls"	Not "prevented, or detected and corrected, on a timely basis" by internal control	Auditor's procedures "will not detect" a material misstatement
Owner	Entity	Entity	Auditor
Auditor can change it?	No, only assess it	No, only assess it	Yes
Moves with	Complexity, external circumstances	Inversely with efficiency of internal control	Area of checking, sample size, staff competence
Example	Complex calculation; failing industry	Locked-safe rule not followed	Unrepresentative sample

Common mistakes

⚠ **Common mistake**

Hall of Shame: the definition swap

Writing "control risk is the susceptibility of an account balance to misstatement, assuming there were no related internal controls". That is the definition of **inherent** risk; ICAI's own Test Your Knowledge marks this statement incorrect (SM 3.81–3.82). **Fix:** "susceptibility ... before consideration of controls" is inherent risk; "not prevented, or detected and corrected, on a timely basis by internal control" is control risk.

⚠ **Common mistake**

"The risk is high, so keep detection risk high"

Fix: they move in opposite directions. High risk of material misstatement means detection risk must be kept low, which means more and better evidence (MTP September 2024 Series I).

⚠ **Common mistake**

The auditor who promises to cut control risk

Writing that the auditor "reduces inherent or control risk". **Fix:** those are the entity's risks, influenced by the client and not by the auditor (SM 3.5); the auditor assesses them and can reduce only detection risk.

⚠ **Common mistake**

Counting the lawsuit

Fix: litigation, adverse publicity, and calling correct accounts wrong are not audit risk for the SAs.

Practice

Check yourself

1 Case scenario. Tapri has opened a gifting unit that sells silver-plated kulhads in bundled festival gift boxes. Which of these facts indicates control risk rather than inherent risk?

- **A** The silver-plated kulhads are small, valuable and easy to steal
- **B** Revenue includes complex bundled offers whose prices must be split between products
- **C** The unit is new and its business model is untested
- **D** The storekeeper who issues the kulhads also updates the stock register, and nobody compares the register with the stock

2 An auditor accepts an audit risk of 4% and assesses inherent risk at 80% and control risk at 50%. Using the Study Material's formula, what is the acceptable detection risk, in per cent?

Answer: _____

3 Which of the following is included in audit risk for the purposes of the SAs?

- **A** The risk of loss to the audit firm from litigation after the audit
- **B** The risk that the auditor reports a misstatement in financial statements that are not misstated
- **C** The risk that the auditor expresses an unmodified opinion on financial statements that are materially misstated
- **D** The risk of adverse publicity from auditing a controversial client

4 Bunty: "The risk of material misstatement in revenue is high, so we can keep detection risk high too." Is he right?

- **A** Yes, both risks always move together
- **B** No, detection risk must be kept low so that a material misstatement does not remain undetected
- **C** Yes, if management gives a written representation
- **D** No, detection risk must be eliminated altogether

5 Which of these reduce detection risk? Select all that apply.

- **A** Increasing the area of checking
- **B** Testing larger samples
- **C** Including competent and experienced persons in the engagement team
- **D** Asking management to strengthen internal control before the audit

More than one answer may be right.

6 Which of these situations in Tapri's audit is an example of sampling risk, rather than non-sampling risk?

- A A properly selected random sample of 60 invoices happened to contain none of the misstated ones, so it suggested that revenue was fine
- B The assistant accepted as valid six confirmation replies that came through the CFO's e-mail
- C The assistant recomputed depreciation using last year's rates instead of this year's
- D The team ran an existence test on revenue when the assessed risk was completeness

Answers: the answer key at the end of this lesson.

Recap

- Audit risk: the risk that the auditor gives an inappropriate opinion when the financial statements are materially misstated. It is a function of the risk of material misstatement and detection risk.
- Risk of material misstatement: misstated before audit; at the financial statement level and the assertion level; components inherent risk and control risk, both the entity's.
- Inherent risk: susceptibility to material misstatement before considering controls; higher for complex calculations and in failing industries.
- Control risk: internal control will not prevent, or detect and correct, a material misstatement on time; inverse to the efficiency of internal control.
- Detection risk: the auditor's procedures will not detect it; sampling and non-sampling risk; the only one the auditor can influence.
- Reduce detection risk: wider checking, larger samples, competent and experienced staff.
- Not audit risk: the auditor's business risks; calling correct accounts wrong. Assessment is judgment, not measurement.
- Audit risk = inherent risk × control risk × detection risk. (Sour chai needs all three strainers to fail.)

Answer key · Check yourself

1 **D The storekeeper who issues the kulhads also updates the stock register, and nobody compares the register with the stock**

Control risk is the risk that a misstatement will not be prevented, or detected and corrected, on a timely basis by the entity's internal control: here the same person issues and records, and no one checks. The other three make the assertions susceptible to misstatement before any controls are considered, which is inherent risk (SM 3.5–3.6).

2 **10**

Audit risk = inherent risk × control risk × detection risk, so detection risk = 4% ÷ (80% × 50%) = 4% ÷ 40% = 10%.

3 **C** **The risk that the auditor expresses an unmodified opinion on financial statements that are materially misstated**

Audit risk is the risk of an inappropriate opinion when the financial statements are materially misstated. The auditor's business risks and the opposite error are excluded.

4 **B** **No, detection risk must be kept low so that a material misstatement does not remain undetected**

With audit risk held acceptably low, a high risk of material misstatement leaves room only for a low detection risk. It can never be eliminated.

5 **A** **Increasing the area of checking**; **B** **Testing larger samples**; **C** **Including competent and experienced persons in the engagement team**

The first three are the Study Material's ways to reduce detection risk. Stronger internal control would lower control risk, which belongs to the entity.

6 **A** **A properly selected random sample of 60 invoices happened to contain none of the misstated ones, so it suggested that revenue was fine**

Sampling risk is the risk that the conclusion based on a sample differs from the conclusion if the whole population were tested: the sample was not representative (SM 3.8). The other three are erroneous conclusions for reasons not related to sampling (accepting unreliable evidence, applying the wrong rates, using an inappropriate procedure): non-sampling risk.

3.2 SA 320: materiality and performance materiality

What makes a misstatement material, how the auditor sets materiality from a benchmark and a percentage, why performance materiality sits lower, and when both are revised and documented.

In plain words

The ₹38 bus ticket and the ₹45,000 shortage

Lakshmi is planning the audit of Tapri Tea Co. Ltd. Bunty has brought a spreadsheet with 14,000 rows.

> **Bunty:** Ma'am, should I check every row? Even the ₹38 bus ticket?
>
> **Lakshmi:** No. First decide what size of mistake would change the mind of someone reading these accounts.
>
> **Kesar:** Then a ₹45,000 shortage at the Pune café is nothing, na? Sab adjust ho jayega.
>
> **Lakshmi:** If the café manager stole it, Kesar-ji, it is not nothing.

A misstatement is **material** when it could reasonably change the economic decisions people take on the basis of the accounts. Before the audit starts, the auditor sets a rupee figure for this, called **materiality**, usually a percentage of a figure users watch closely (the **benchmark**, such as profit before tax). The figure tells the auditor where to dig and how deep.

It is a guide, not a wall. Small errors can add up, so the auditor also sets a lower working figure, **performance materiality**, as a safety margin. And some items are material by **nature**, whatever their size: a small fraud, or a disclosure the law requires.

Think of it like

The weighing scale at the kirana store

A shopkeeper selling rice does not care if a scoop is two grains light. He cares if the bag is 50 grams short, because the customer would. So he keeps his scale a little tighter than 50 grams, since several slightly short scoops make one short bag. Materiality is the 50 grams; performance materiality is the tighter setting. And one weevil in the rice matters, however little it weighs.

Key idea

Materiality is the size (or nature) of misstatement that could influence users' economic decisions. The auditor sets it by judgment from a benchmark and a percentage, sets performance materiality lower to cover misstatements that add up, applies both from planning to the opinion, revises them when circumstances change, and documents them.

How it works

1. When is a misstatement material?

> Definition
>
> **Material misstatement**
>
> Misstatements, including omissions, are considered to be material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements (SA 320; SM 3.16).

An audit seeks reasonable assurance that the financial statements as a whole are free from material misstatement, so it is geared towards the significant risks of material misstatement (SM 3.16). **Materiality is not always a matter of relative size**: a small amount lost through the fraud of certain employees can indicate a serious flaw in internal control that needs immediate attention to avoid greater losses (SM 3.17).

2. What SA 320 covers

SA 320 deals with the auditor's responsibility to apply the concept of materiality in planning and performing an audit of financial statements. The concept is also applied in evaluating the effect of identified misstatements on the audit and of uncorrected misstatements on the financial statements, and in forming the opinion (SM 3.17).

Financial reporting frameworks generally explain that (SM 3.17):

- misstatements, including omissions, are material if they, individually or in the aggregate, could reasonably be expected to influence users' economic decisions;
- judgments about materiality are made in the light of surrounding circumstances, and are affected by the **size or nature** of a misstatement, or both; and
- judgments are based on the **common financial information needs of users as a group**; the possible effect on specific individual users, whose needs may vary widely, is not considered.

If the applicable financial reporting framework does not discuss materiality, these characteristics provide the auditor with the frame of reference.

3. What planning materiality is used for

Judgments about the size of misstatements that will be material provide a basis for (SM 3.18):

- (a) determining the nature, timing and extent of risk assessment procedures;
- (b) identifying and assessing the risks of material misstatement; and
- (c) determining the nature, timing and extent of further audit procedures.

The materiality determined when planning **does not necessarily establish an amount below which uncorrected misstatements, individually or in aggregate, will always be evaluated as immaterial**. The circumstances of some misstatements may cause the auditor to evaluate them as material even if they are below materiality. Although it is not practicable to design audit procedures to detect misstatements that could be material solely because of their nature, the auditor considers not only

the size but also the nature of uncorrected misstatements, and the particular circumstances of their occurrence, when evaluating their effect (SM 3.18).

The auditor applies professional judgment in determining materiality, choosing the benchmark and its level; materiality forms the basis for determining the audit scope and the levels of testing (SM 3.18).

The significance of an item is viewed from different perspectives: its impact on the profit and loss, or on the balance sheet, or on the total of the category of expenditure or income to which it pertains, and its comparison with the corresponding figure for the previous year (SM 3.18).

A statutory disclosure requirement makes an item material irrespective of its amount (SM 3.18–3.19). The Study Material's examples from Division I of Schedule III to the Companies Act, 2013:

- any item of income or expenditure exceeding one per cent of the revenue from operations or ₹1,00,000, whichever is higher, is disclosed separately;
- the notes disclose the shares held by each shareholder holding more than 5 per cent shares, with the number of shares held.

> ⚠ **Careful**
>
> The Schedule III figures are as stated in the Study Material. Verify against the Study Material and Statutory Update for your attempt.

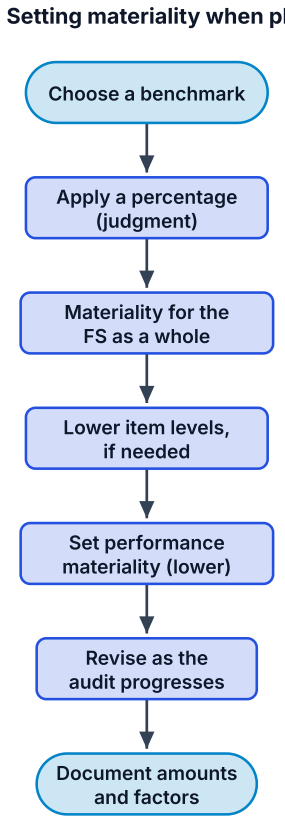
4. A matter of professional judgment

The auditor's determination of materiality is a matter of professional judgment, affected by the auditor's perception of users' financial information needs. It is reasonable to assume that users (SM 3.19):

- (a) have a reasonable knowledge of business and economic activities and accounting, and a willingness to study the financial statements with reasonable diligence;
- (b) understand that financial statements are prepared, presented and audited to levels of materiality;
- (c) recognise the uncertainties inherent in amounts based on estimates, judgment and future events; and
- (d) make reasonable economic decisions on the basis of the information in the financial statements.

5. Setting the figures when planning

When establishing the overall audit strategy, the auditor shall determine **materiality for the financial statements as a whole**. If particular classes of transactions, account balances or disclosures exist for which misstatements of lesser amounts could reasonably be expected to influence users, the auditor shall also determine the **materiality level or levels** for them (SM 3.20).



FS: financial statements. Item levels: lower materiality levels for particular classes of transactions, account balances or disclosures. Each box is a judgment the auditor documents (SM 3.20–3.23).

6. Choosing the benchmark and the percentage

A percentage is often applied to a chosen benchmark as a starting point. **Factors that may affect the identification of an appropriate benchmark** (SM 3.20):

1. The elements of the financial statements (assets, liabilities, equity, revenue, expenses).
2. Whether there are items on which users' attention tends to be focused (for evaluating financial performance, users may focus on profit, revenue or net assets).
3. The nature of the entity, where it is in its life cycle, its industry and economic environment, its ownership structure and the way it is financed (an entity financed solely by debt: users may emphasise assets and claims on them more than earnings).
4. The relative volatility of the benchmark.

Examples of benchmarks include categories of reported income such as profit before tax, total revenue, gross profit and total expenses, total equity or net asset value. **Profit before tax from continuing operations** is often used for profit-oriented entities; when it is volatile, other benchmarks such as gross profit or total revenues may be more appropriate (SM 3.20–3.21).

The **relevant financial data** for the benchmark ordinarily include prior periods' results and financial positions, the period-to-date results and position, and budgets or forecasts for the current period, adjusted for significant changes in the entity's circumstances (such as a significant business acquisition) and in its industry or economic environment. If profit before tax shows an exceptional

decrease or increase, the auditor may determine materiality from a **normalised profit before tax from continuing operations based on past results** (SM 3.21).

The **percentage** is also judgment, and it is related to the benchmark: a percentage applied to profit before tax from continuing operations will normally be higher than one applied to total revenue. The auditor may consider **5% of profit before tax from continuing operations** appropriate for a profit-oriented manufacturer, and **1% of total revenue or total expenses** for a not-for-profit entity; higher or lower percentages may be appropriate in other circumstances (SM 3.21).

7. Lower levels for particular items

Factors indicating that particular classes of transactions, account balances or disclosures need materiality levels below materiality for the financial statements as a whole (SM 3.22):

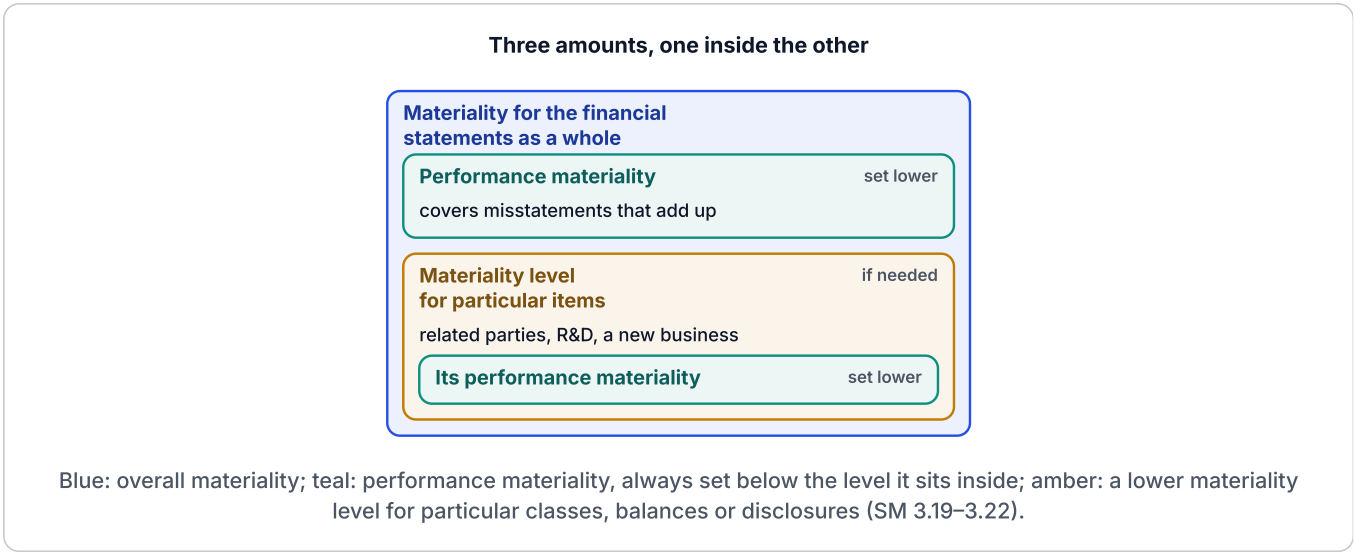
1. Whether law, regulations or the framework affect users' expectations about the measurement or disclosure of certain items, such as related party transactions and the remuneration of management and those charged with governance.
2. The key disclosures in the entity's industry, such as research and development costs for a pharmaceutical company.
3. Whether attention is focused on a particular aspect of the business that is separately disclosed, such as a newly acquired business.

8. Performance materiality: the safety margin

It is difficult to design tests for individual material misstatements, and misstatements are likely to be material in aggregate (SM 3.19).

> **Definition**
>
> **Performance materiality**
>
> The amount or amounts set by the auditor at less than materiality for the financial statements as a whole to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality for the financial statements as a whole. If applicable, performance materiality also refers to the amount or amounts set by the auditor at less than the materiality level or levels for particular classes of transactions, account balances or disclosures (SM 3.19).

Set below overall materiality, it lowers the risk that the auditor fails to identify misstatements that are material when added together (SM 3.20).



Blue: overall materiality; teal: performance materiality, always set below the level it sits inside; amber: a lower materiality level for particular classes, balances or disclosures (SM 3.19–3.22).

9. Revising as the audit progresses

Materiality (and any lower levels) may need revision because of a **change in circumstances** during the audit (for example, a decision to dispose of a major part of the business), **new information**, or a change in the auditor's understanding from further audit procedures. If actual results are likely to be substantially different from the anticipated results used initially, the auditor revises materiality. If a **lower** materiality is appropriate, the auditor shall determine whether to revise performance materiality, and whether the nature, timing and extent of further audit procedures remain appropriate (SM 3.22).

10. Materiality and audit risk, throughout the audit

Materiality and audit risk are considered throughout the audit, in particular when (SM 3.23):

- (a) identifying and assessing the risks of material misstatement;
- (b) determining the nature, timing and extent of further audit procedures; and
- (c) evaluating the effect of uncorrected misstatements, if any, on the financial statements and in forming the opinion.

There is an **inverse relationship between materiality and the degree of audit risk**: the higher the materiality level, the lower the audit risk, and vice versa (SM 3.81). At the end of the audit, uncorrected misstatements are evaluated under SA 450, after reassessing materiality to confirm that it remains appropriate in the context of the actual financial results (SM 7.26).

Formats and formulas

∑ **Formula**

Materiality for the financial statements as a whole

$$\text{Materiality} = \text{Benchmark} \times \text{Percentage}$$

A starting point, not a mechanical rule: a percentage is often applied to a chosen benchmark as a starting point (SM 3.20). Benchmark: the figure users focus on, from relevant financial data, normalised if exceptional. Percentage: professional judgment (for example 5% of profit before tax from continuing operations, 1% of total revenue or expenses for a not-for-profit entity) (SM 3.20–3.21).

The materiality working paper

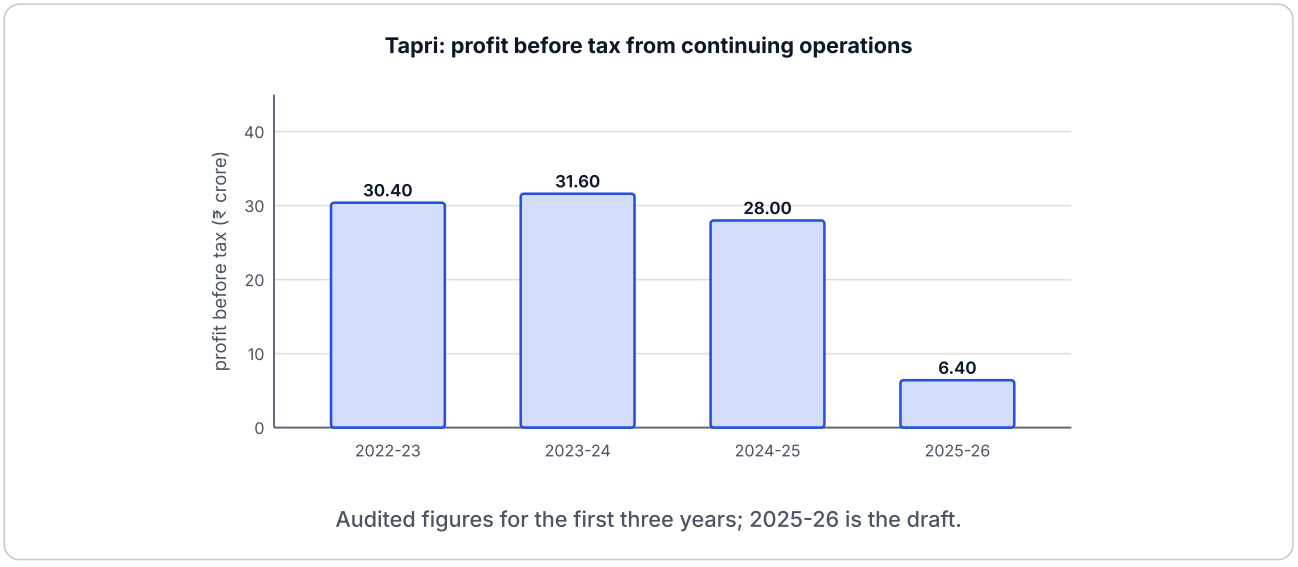
The audit documentation shall include these amounts **and the factors considered in their determination** (SM 3.23). *Reproduce the four items from memory, in this order.*

Item to document	What it records
(a) Materiality for the financial statements as a whole	Benchmark, percentage, amount, reasons
(b) Materiality level(s) for particular classes, balances or disclosures, if applicable	The items, amounts, reasons
(c) Performance materiality	Amount(s), reasons
(d) Any revision of (a) to (c) as the audit progressed	What changed, revised amounts

Worked examples

Worked example **Tapri's fire-hit year**

Iyer & Associates are planning the 2025-26 audit of Tapri Tea Co. Ltd, a profit-oriented manufacturer. Revenue from operations has grown steadily, from ₹660 crore in 2022-23 to ₹900 crore in 2025-26 (draft). Profit before tax from continuing operations, in ₹ crore, is shown in the chart below. The 2025-26 figure is after a one-off loss of ₹28.50 crore from a fire at the Indore premix warehouse.



Audited figures for the first three years; 2025-26 is the draft.

The CFO suggests 5% of this year's profit before tax, "to be safe"; Bunty suggests 1% of revenue, "because revenue is stable".

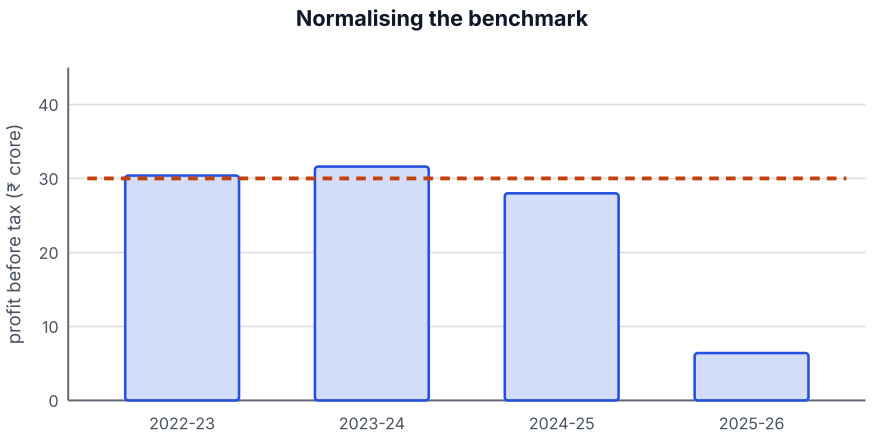
Required:

(i) Advise Lakshmi on the benchmark and compute materiality for the financial statements as a whole at 5% of it.

(ii) Comment on the two suggestions.

(iii) Lakshmi's manager proposes performance materiality of ₹2.00 crore. Comment.

THE WORKING



Orange dashed line: the normalised profit before tax, ₹30.00 crore, the average of the three past years. The 2025-26 bar is depressed by the one-off fire loss.

(i) Benchmark. As per SA 320, profit before tax from continuing operations is often used for profit-oriented entities. Where circumstances give rise to an exceptional decrease or increase in that profit, materiality may more appropriately be determined using a normalised profit before tax from continuing operations based on past results. Tapri's 2025-26 profit is depressed by a one-off fire loss, so a normalised figure is appropriate. Taking the average of the three past years (Lakshmi's judgment of a reasonable normalisation):

Working	₹ crore
Profit before tax, 2022-23	30.40
Profit before tax, 2023-24	31.60
Profit before tax, 2024-25	28.00
Total	**90.00**
Normalised profit before tax (90.00 ÷ 3)	30.00
Materiality at 5%	**1.50**

Materiality for the financial statements as a whole: **₹1.50 crore** (₹1,50,00,000).

(ii) The suggestions. 5% of this year's ₹6.40 crore gives ₹0.32 crore, a figure driven by a one-off loss rather than by the performance users judge Tapri on. Bunty's 1% of revenue (₹9.00 crore) uses the Study Material's example for a not-for-profit entity; revenue is considered where profit is volatile, but here one event, not the business, depressed it. For a profit-oriented manufacturer, normalised profit before tax is more appropriate.

(iii) Performance materiality. Performance materiality is the amount set by the auditor **at less than** materiality for the financial statements as a whole, to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality. ₹2.00 crore exceeds materiality of ₹1.50 crore, so it cannot be performance materiality. A lower amount, set by professional judgment, should be used and documented with the factors considered.

Worked example **Kesar's three "small" things**

For 2025-26, Iyer & Associates have set materiality for Tapri's financial statements as a whole at ₹1.50 crore and performance materiality at ₹1.05 crore; reassessed against the draft results, the ₹1.50 crore is still appropriate. Near completion:

(a) Three misstatements remain uncorrected, each overstating profit: the March electricity bill not provided for (₹0.34 crore), an exchange loss on a dollar loan not recognised (₹0.41 crore), and depreciation not charged on a new kiln since October (₹0.37 crore). Last year's audit had also left uncorrected a ₹0.31 crore understatement of the gratuity provision, still in the closing provision. Kesar: "₹1.12 crore is far below your ₹1.50 crore. Ignore."

(b) Advertising of ₹0.30 crore has been booked under "Miscellaneous expenses", which now shows ₹0.45 crore against ₹0.14 crore last year. Profit is not affected. Kesar: "Miscellaneous is miscellaneous."

(c) The note on remuneration paid to the managing director understates it by ₹3 lakh.

Comment, with reasons, on whether each is material and what Lakshmi should do.

MODEL ANSWER

Relevant provision. As per SA 320, misstatements, including omissions, are material if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements; judgments about materiality are affected by the size or nature of a misstatement, or both. Materiality determined at planning does not establish an amount below which uncorrected misstatements will always be evaluated as immaterial. Performance materiality is set below materiality to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds materiality. The significance of an item may be judged by its impact on the profit and loss, the balance sheet or the total of its category, and by comparison with the previous year's figure. A lower materiality may apply to particular disclosures where law affects users' expectations, such as the remuneration of management. Under SA 450, the auditor considers the size and nature of uncorrected misstatements and the effect of uncorrected misstatements of prior periods; and if the aggregate of misstatements accumulated approaches materiality, the auditor shall determine whether the overall audit strategy and audit plan need to be revised.

(a) Approaching materiality.

Item	₹ crore
Electricity not provided	0.34
Exchange loss not recognised	0.41
Depreciation not charged	0.37
Current-year uncorrected	**1.12**
Prior-year gratuity understatement	0.31
Total effect on the closing financial statements	**1.43**

The current-year items alone exceed performance materiality, and with the prior-year item the total is ₹1.43 crore, only ₹0.07 crore below materiality. The margin left for misstatements not yet detected is

very small, so Lakshmi cannot simply "ignore" the items. She should request management to correct them (and understand its reasons if it refuses), determine whether the audit plan needs revision and further procedures are required before concluding, and communicate the uncorrected misstatements to those charged with governance.

(b) Material to its category. The misclassification does not change profit, but viewed against its category it makes up two-thirds of the reported "Miscellaneous expenses" (₹0.30 crore of ₹0.45 crore) and turns a figure of ₹0.15 crore, similar to last year's ₹0.14 crore, into one more than three times last year's. Judged from the perspective of the category and the comparison with the previous year, it is significant and should be corrected.

(c) Material by its nature. Law and regulation affect users' expectations about the disclosure of the remuneration of management, so a much lower materiality applies to it than to the financial statements as a whole. A ₹3 lakh understatement of the managing director's remuneration is material despite its size and must be corrected.

Interactive version: PassBook app, lesson SA 320: materiality and performance materiality

Worked example

Kesar sells the cold chain

Suppose instead that in January 2026, during the audit, Tapri's board decides to dispose of the cold-chain division, a major part of the business, and Lakshmi now estimates normalised profit before tax from continuing operations at ₹26.00 crore. Advise her under SA 320.

MODEL ANSWER

As per SA 320, materiality for the financial statements as a whole (and any lower levels) may need to be revised as a result of a change in circumstances during the audit, such as a decision to dispose of a major part of the entity's business, new information, or a change in the auditor's understanding of the entity. If actual results are likely to be substantially different from the anticipated results used initially, the auditor revises materiality. If the auditor concludes that a lower materiality is appropriate, the auditor shall determine whether it is necessary to revise performance materiality, and whether the nature, timing and extent of further audit procedures remain appropriate.

Applying the same 5% to ₹26.00 crore gives a revised materiality of **₹1.30 crore**, lower than the ₹1.50 crore set at planning. Lakshmi should therefore determine whether performance materiality must be lowered and whether the further audit procedures remain appropriate (for example, larger samples), and document the revision and the factors considered.

Exam angle

In the exam

Where SA 320 appeared, May 2024 to September 2026

In the 32 new-scheme Paper 5 documents searched, a question on materiality appeared in 10.

- **Descriptive, 4 or 5 marks.** Benchmark factors, often with examples: MTP May 2026 Series II Q1(a) (5 marks), MTP January 2025 Series II Q4(c) (4 marks; also old-scheme November 2020 Q2(b)). The auditor's responsibility under SA 320 and the framework's three points, with aggregation and "users as a group": MTP September 2026 Series II Q2(b) (5 marks). Assumptions about users: MTP September 2024 Series II Q2(c) (4 marks). "Materiality is considered only at planning": MTP September 2024 Series II Q4(b).
- **Multiple choice, 2 marks.** Normalised profit before tax for an exceptional year: September 2026 MCQ 3. Profit before tax for a company with steady profits: MTP September 2024 Series I MCQ 7. Misstatements below materiality individually but material together: MTP September 2024 Series II MCQ 6, MTP September 2026 Series I MCQ 11. Materiality applied in planning, performing and evaluating: MTP May 2026 Series I MCQ 14, MTP September 2026 Series I MCQ 14. Documenting performance materiality "set at less than" materiality: RTP January 2026 MCQ 3. Branch materiality: MTP May 2024 Series I MCQ 2.2.

In the exam

The traps

Benchmark factors were the descriptive question asked most often in the documents read (two MTPs and an old-scheme paper): write all four, in order, with examples. ICAI's suggested answer in MTP May 2026 Series II splits the third factor into two bullets (nature, life cycle, industry and economy; ownership structure and financing); either layout covers the same points. MCQ distractors put performance materiality at or above materiality, let management choose the benchmark, or confine materiality to planning, or ignore an exceptional year.

Trick

EFNV for the benchmark factors

Elements, **F**ocus of users, **N**ature of the entity (life cycle, industry, ownership, financing), **V**olatility. "Every Firm Needs Value." Condition: these are factors for the benchmark for the financial statements as a whole, not for the lower levels for particular items, which have their own three factors.

Answer frame

A case on materiality

1. **Provision**: the SA 320 definition, plus the rule the case needs (benchmark factors, nature over size, statutory disclosure, revision, performance materiality).
2. **Facts**: the amounts and their comparison with materiality, or the nature of the item.
3. **Analysis**: size, nature, aggregate, statutory requirement.
4. **Conclusion**: "material / not material", and the consequence (evaluate under SA 450, revise performance materiality, document).

"Distinguish materiality from performance materiality"

Point	Materiality	Performance materiality
Meaning	Misstatements that could reasonably influence users' economic decisions	Amount set below materiality
Purpose	Frame for the whole audit and the opinion	Reduces to an appropriately low level the probability that uncorrected and undetected misstatements together exceed materiality
Level	Benchmark × percentage	Less than materiality (or than a lower level)
Documented	Yes, with factors	Yes, with factors

Common mistakes

⚠ **Common mistake**

Hall of Shame: "below materiality, so ignore it"

Bunty clears three misstatements one by one because each is under ₹1.50 crore. **Fix:** materiality is "individually or in the aggregate"; add them up. And a small fraud or a missing statutory disclosure is material by nature.

⚠ **Common mistake**

Materiality set once and forgotten

Fix: it is applied in planning, performing and evaluating, and revised when circumstances or the auditor's understanding change (SM 3.22–3.23).

⚠ **Common mistake**

Using this year's profit in a freak year

Fix: an exceptional decrease or increase calls for a normalised profit before tax from continuing operations based on past results (SM 3.21).

⚠ **Common mistake**

Performance materiality above materiality

Fix: by definition it is set **at less than** materiality for the financial statements as a whole. An amount at or above it is not performance materiality.

Practice

Check yourself

1 Case scenario. Ganga Agro Ltd's profit before tax from continuing operations for the last three years was ₹18 crore, ₹20 crore and ₹22 crore. This year a one-off flood loss cut it to ₹2 crore. CA Rao uses a normalised profit before tax equal to the three-year average and 5% as the percentage. What is materiality for the financial statements as a whole, in ₹ lakh?

Answer: _____

2 Case scenario. Suppose that in January 2026 Lakshmi lowered Tapri's materiality from ₹1.50 crore to ₹1.30 crore and performance materiality from ₹1.05 crore to ₹0.90 crore, after the board decided to sell the cold-chain division. Her file shows only the two January figures. Which of the following is correct?

- **A** The file is incomplete: it must show materiality, any levels for particular items, performance materiality and every revision as the audit progressed, with the factors considered in determining them
- **B** The file is complete, because only the amounts in use at the end of the audit matter
- **C** The file is complete, provided the opinion is unmodified
- **D** The file is incomplete only because it must also show the materiality used by the previous year's auditor

3 Which of the following is NOT a factor affecting the identification of an appropriate benchmark?

- **A** The relative volatility of the benchmark
- **B** Items on which users' attention tends to be focused
- **C** Management's preference for a benchmark that gives the highest materiality
- **D** How the entity is financed

4 Halfway through fieldwork, the misstatements Lakshmi's team has accumulated total ₹1.38 crore, against materiality of ₹1.50 crore; revenue and inventory testing are still to be done. What does SA 450 require now?

- **A** Nothing yet: the total is still below materiality
- **B** Asking management to agree to a higher materiality of ₹2 crore
- **C** A qualified opinion, since the total is close to materiality
- **D** Determining whether the overall audit strategy and audit plan need to be revised, since the aggregate approaches materiality

5 Which of these are in line with SA 320? Select all that apply.

- A A percentage applied to profit before tax from continuing operations will normally be higher than one applied to total revenue
- B The auditor may assume that users understand that financial statements are prepared, presented and audited to levels of materiality
- C Users are assumed to have no knowledge of business or accounting, so materiality must be set as low as possible
- D A lower materiality may be set for disclosures such as the remuneration of management, where law affects users' expectations
- E Performance materiality may be set above materiality when controls are strong

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Material: misstatements, including omissions, that individually or in the aggregate could reasonably be expected to influence users' economic decisions. Size or nature, or both; users as a group.
- Planning materiality guides risk assessment procedures, the assessment of risks and further audit procedures; it is not a bright line.
- Statutory disclosure items are material irrespective of amount; a small fraud can be material by nature.
- Benchmark factors: elements, users' focus, nature of the entity (life cycle, industry, ownership, financing), volatility. Profit before tax from continuing operations is common; normalise an exceptional year.
- Example percentages: 5% of profit before tax (profit-oriented manufacturer); 1% of revenue or expenses (not-for-profit).
- Performance materiality: set below materiality, to reduce to an appropriately low level the probability that uncorrected plus undetected misstatements exceed materiality.
- Revise for changed circumstances, new information or better understanding; if lower, revisit performance materiality and further procedures.
- Document materiality, item levels, performance materiality and revisions, with factors. (Mind the weevil, not the grain.)

Answer key · Check yourself

1 **100**

Average = (18 + 20 + 22) ÷ 3 = ₹20 crore; 5% = ₹1 crore = ₹100 lakh. The flood year's ₹2 crore is exceptional and not used.

2 **A** **The file is incomplete: it must show materiality, any levels for particular items, performance materiality and every revision as the audit progressed, with the factors considered in determining them**

SA 320's documentation covers (a) materiality for the financial statements as a whole, (b) levels for particular classes, balances or disclosures if applicable, (c) performance materiality and (d) any revision of (a) to (c) as the audit progressed, with the factors considered (SM 3.23). The original figures and the reason for the revision (the decision to dispose of a major part of the business) belong in the file.

3 **C** **Management's preference for a benchmark that gives the highest materiality**

The benchmark is the auditor's judgment based on users' needs; management's preference is not a factor.

4 **D** **Determining whether the overall audit strategy and audit plan need to be revised, since the aggregate approaches materiality**

The auditor shall determine whether the overall audit strategy and audit plan need to be revised if the aggregate of misstatements accumulated during the audit approaches materiality, or if their nature suggests other misstatements may exist (SM 7.24–7.25). Materiality is the auditor's judgment, not something negotiated with management, and no opinion is formed halfway through.

5 **A** **A percentage applied to profit before tax from continuing operations will normally be higher than one applied to total revenue**; **B** **The auditor may assume that users understand that financial statements are prepared, presented and audited to levels of materiality**; **D** **A lower materiality may be set for disclosures such as the remuneration of management, where law affects users' expectations**

The first is SM 3.21's relationship between the percentage and the benchmark; the second is one of the four assumptions about users (who have a reasonable knowledge of business and accounting, SM 3.19); the fourth is a factor for particular classes of transactions, balances or disclosures (SM 3.22). Performance materiality is always set at less than materiality (SM 3.19).

3.3 SA 315: risk assessment procedures and understanding the entity

How the auditor learns the business, uses inquiries, analytical procedures, observation and inspection to find what could go wrong, and spots the significant risks that need special attention.

In plain words

Bunty wants to tick vouchers on day one

Iyer & Associates have taken on the audit of Tapri Cold Chain Pvt Ltd, Tapri's refrigerated-delivery company. Bunty arrives with a fresh pen.

> **Bunty:** Ma'am, where are the purchase vouchers? I will start ticking.
>
> **Lakshmi:** Ticking what, Bunty? Do you know what this company sells, who owes it money, what its trucks are worth, or why its profit jumped?
>
> **Bunty:** ...Not yet.
>
> **Lakshmi:** Then your tick means nothing yet.

Before testing anything, the auditor must **understand the entity**: its industry and regulation, how it is owned, run and financed, its accounting policies, its goals and the business risks behind them, how its performance is measured, and its internal control. The auditor learns this by **risk assessment procedures**: asking people (inquiry), comparing numbers and ratios (analytical procedures), and watching and reading (observation and inspection).

From that understanding the auditor **identifies and assesses the risks of material misstatement**: what could go wrong, how likely, how big, and whether it spreads across the whole set of accounts or sits in one assertion. Some risks are **significant risks** (fraud, unusual related party deals, wildly uncertain estimates) and get special attention. All of this is the map; the digging comes next, under SA 330.

Think of it like

The doctor before the prescription

A good doctor asks about your history (inquiry), checks your blood report against last year's (analytical procedures) and examines you (observation and inspection) before writing a prescription. The consultation itself cures nothing, but no prescription is safe without it. Risk assessment procedures are the consultation; the audit tests that follow are the prescription.

Key idea

SA 315: understand the entity and its environment, including internal control, through risk assessment procedures (inquiry, analytical procedures, observation and inspection), so as to identify and assess the risks of material misstatement at the financial statement and assertion levels. These procedures are the basis for the responses, but by themselves they never give sufficient appropriate audit evidence for the opinion.

How it works

1. The objective

As per SA 315, "Identifying and Assessing the Risks of Material Misstatement through Understanding the Entity and its Environment", the objective of the auditor is to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels, through understanding the entity and its environment, including the entity's internal control, thereby providing a basis for designing and implementing responses to the assessed risks of material misstatement (SM 3.12).

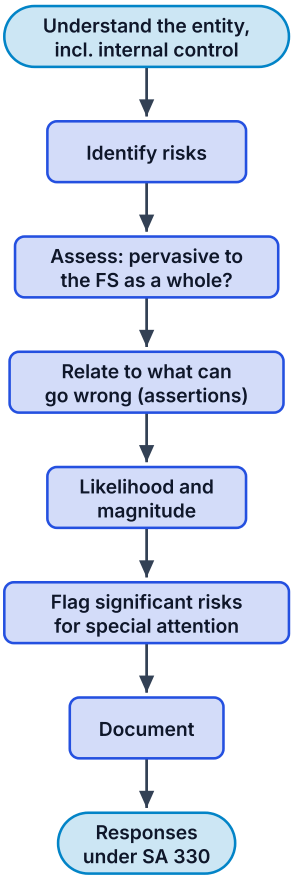
2. Identifying and assessing the risks

(i) The auditor shall identify and assess the risks of material misstatement at (a) the financial statement level and (b) the assertion level for classes of transactions, account balances and disclosures, to provide a basis for designing and performing further audit procedures (SM 3.12).

(ii) For this purpose the auditor shall (SM 3.12–3.13):

- (a) **identify** risks throughout the process of obtaining an understanding of the entity and its environment, including relevant controls that relate to the risks, and by considering the classes of transactions, account balances and disclosures in the financial statements;
- (b) **assess** the identified risks, and evaluate whether they relate more pervasively to the financial statements as a whole and potentially affect many assertions;
- (c) **relate** the identified risks to what can go wrong at the assertion level, taking account of relevant controls that the auditor intends to test; and
- (d) **consider the likelihood** of misstatement, including the possibility of multiple misstatements, and whether the potential misstatement is of a magnitude that could result in a material misstatement.

SA 315 from understanding to response



FS: financial statements. Risk assessment procedures feed every step; the understanding is updated throughout the audit (SM 3.12–3.13, 3.28, 3.41, 3.64).

3. Risk assessment procedures

Definition

Risk assessment procedures

The audit procedures performed to obtain an understanding of the entity and its environment, including the entity's internal control, to identify and assess the risks of material misstatement, whether due to fraud or error, at the financial statement and assertion levels (SM 3.13).

The auditor shall perform them to provide a basis for identifying and assessing the risks. They **do not by themselves provide sufficient appropriate audit evidence** on which to base the opinion, and the risks they look for include both error and fraud (SM 3.13). The risk assessment procedures **shall include** (SM 3.13):

- (a) **inquiries** of management and of others within the entity who in the auditor's judgment may have information likely to assist in identifying risks of material misstatement due to fraud or error;
- (b) **analytical procedures**; and
- (c) **observation and inspection**.

(a) Inquiries. Much of the information comes from management and those responsible for financial reporting, but others give a different perspective (SM 3.14):

Inquiry directed to	May provide information about
Internal audit personnel	Internal audit procedures on the design and effectiveness of internal control, and whether management has responded to the findings
Employees initiating, processing or recording complex or unusual transactions	The appropriateness of the selection and application of accounting policies
In-house legal counsel	Litigation, compliance with laws, known or suspected fraud, warranties, post-sales obligations, arrangements with business partners, the meaning of contracts
Marketing or sales personnel	Changes in marketing strategies, sales trends, contractual arrangements with customers
Risk management function	Operational and regulatory risks that may affect financial reporting
Information systems personnel	System changes, system or control failures, other information system-related risks

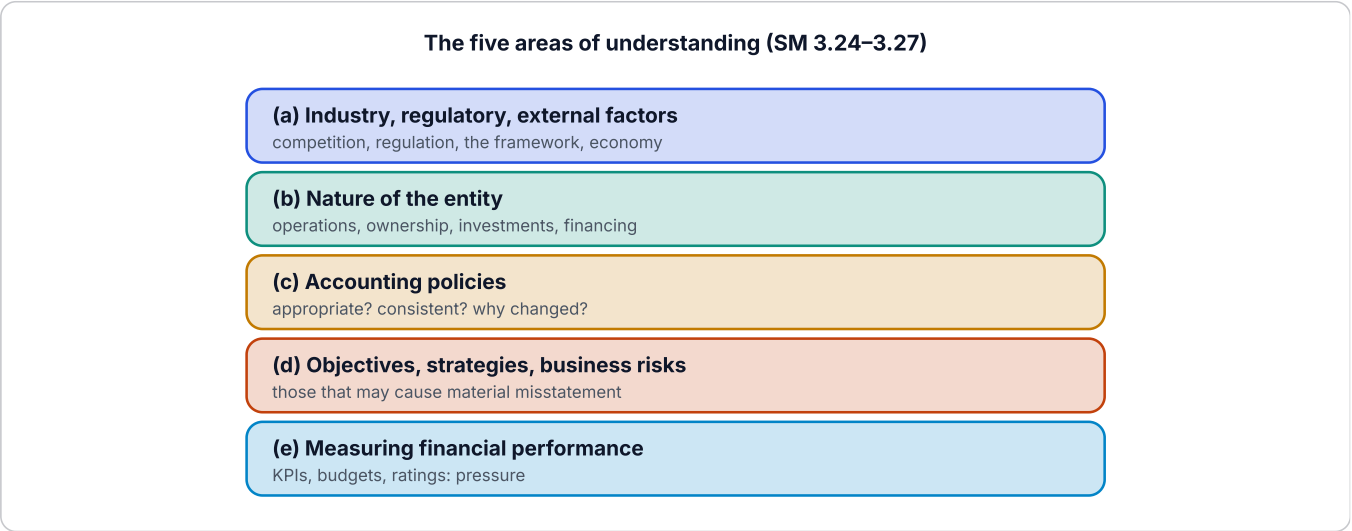
(b) Analytical procedures performed as risk assessment procedures may identify aspects of the entity of which the auditor was unaware, and may use both financial and non-financial information (for example, the relationship between sales and square footage of selling space or volume of goods sold). They may identify unusual transactions or events, amounts, ratios and trends with audit implications, especially risks of misstatement due to fraud. On data aggregated at a high level they give only a broad initial indication, to be read with the other information gathered (SM 3.14–3.15).

(c) Observation and inspection support inquiries and give information about the entity: observing or inspecting the entity's operations; documents (business plans and strategies), records and internal control manuals; reports by management (quarterly management reports, interim financial statements) and by those charged with governance (minutes of board meetings); and the entity's premises and plant facilities (SM 3.15).

Information from these procedures may be used as **audit evidence** to support the risk assessment, and may also give evidence about assertions and the operating effectiveness of controls; the auditor may perform substantive procedures or tests of controls concurrently because it is efficient (SM 3.15–3.16).

4. What the auditor must understand

SA 315 states that the auditor shall obtain an understanding of the following (SM 3.24–3.27):



- **(a)** Industry conditions (the competitive environment, supplier and customer relationships, technological developments) can create risks from the nature of the business or the degree of regulation (SM 3.24–3.25).
- **(b)** The nature of the entity shows whether it has a complex structure, such as subsidiaries, which often introduces risks, and its relationships with owners, which helps in judging whether **related party transactions** have been identified and accounted for (SM 3.25). Matters to consider include business operations (revenue sources, products or services, location of production facilities, key customers and suppliers), investment activities (capital investment, planned or recent acquisitions), financing (major subsidiaries, debt structure) and financial reporting (accounting principles, revenue recognition practices) (SM 3.26).
- **(c)** The auditor shall evaluate whether the accounting policies are appropriate for the business and consistent with the framework and the policies used in the industry (SM 3.26).
- **(d) Business risk** is broader than the risk of material misstatement, though it includes it, and may arise from change or complexity. Most business risks eventually have financial consequences, but the auditor has no responsibility to identify or assess all of them (SM 3.26). Examples: industry developments (no expertise to deal with them); new products (increased product liability); expansion (demand not accurately estimated) (SM 3.27).
- **(e)** Performance measures create pressures that may motivate management to improve the business or **to misstate the financial statements**, including through fraud. Examples the auditor may use: key performance indicators (financial and non-financial), key ratios, trends and operating statistics; period-on-period analyses; budgets, forecasts, variance analyses and departmental reports; credit rating agency reports (SM 3.27).

The understanding also includes the entity's **internal control** relevant to the audit, through its five components: the control environment, the entity's risk assessment process, the information system and communication, control activities, and monitoring of controls (SM 3.32). They are covered in internal control: components and limitations.

5. Why it matters, and why it never stops

Understanding the entity helps the auditor plan the audit and identify areas requiring special attention; without adequate knowledge of the client's business, a proper audit is not possible (SM 3.27–3.28). It is **a continuous, dynamic process** of gathering, updating and analysing information throughout the audit, and a frame of reference for judgments such as (SM 3.28): assessing risks of material misstatement; determining materiality under SA 320; considering accounting policies; identifying areas needing special consideration (related party transactions, the going concern assumption, the business purpose of transactions); developing expectations for analytical procedures; and evaluating the sufficiency and appropriateness of evidence, including management's representations.

6. Significant risks

As part of the risk assessment, the auditor shall determine whether any identified risk is, in the auditor's judgment, a **significant risk**. The auditor shall consider at least (SM 3.41–3.42):

- (a) whether the risk is a risk of fraud;
- (b) whether it relates to recent significant economic, accounting or other developments (such as changes in the regulatory environment) and so needs specific attention;
- (c) the complexity of transactions;
- (d) whether it involves significant transactions with related parties;
- (e) the degree of subjectivity in measuring the financial information, especially measurements with a wide range of measurement uncertainty; and
- (f) whether it involves significant transactions outside the normal course of business, or that otherwise appear unusual.

Significant risks often relate to **significant non-routine transactions** (unusual in size or nature, so infrequent) or **judgmental matters** (estimates with significant measurement uncertainty). They are inherent risks (audit risk) with both a higher likelihood and a higher magnitude of potential misstatement. Always significant: risks of material misstatement due to fraud, and significant related party transactions outside the normal course of business (SM 3.42).

Risks of material misstatement may be **greater for significant non-routine transactions** because of (SM 3.42):

- greater management intervention to specify the accounting treatment;
- greater manual intervention for data collection and processing;
- complex calculations or accounting principles;
- the nature of non-routine transactions, which may make it difficult for the entity to implement effective controls over the risks.

They may be **greater for significant judgmental matters** that require accounting estimates, because (SM 3.42–3.43):

- accounting principles for accounting estimates or revenue recognition may be subject to differing interpretation;

- required judgment may be subjective or complex, or require assumptions about the effects of future events (for example, judgment about fair value).

7. Documenting the risks

The auditor shall document (SM 3.64):

- (a) the discussion among the engagement team and the significant decisions reached;
- (b) key elements of the understanding of each aspect of the entity and its environment and of each internal control component, the sources of information, and the risk assessment procedures performed;
- (c) the identified and assessed risks of material misstatement at the financial statement level and at the assertion level; and
- (d) the risks identified, and related controls about which the auditor has obtained an understanding.

Worked examples

Worked example **The kulhads that did not add up**

Every cup of chai at a Tapri café is served in one kulhad, issued to the café from Tapri's central store; Tapri's own norm allows 4 extra kulhads per 100 cups for breakage. While planning the 2025-26 audit, Lakshmi's team puts the year's point-of-sale data for three cafés next to the store's issue records:

Café	Sales per POS (₹ lakh)	Cups sold per POS (lakh)	Kulhads issued (lakh)
Bhopal	96.00	4.80	5.00
Ujjain	88.00	4.40	5.72
Raipur	102.00	5.10	4.59

Required:

(i) Compute the kulhads issued per 100 cups sold at each café and compare them with Tapri's norm.

(ii) Identify the procedure the team is performing, and state the risks of material misstatement that the Ujjain and Raipur results may indicate.

(iii) State the other risk assessment procedures the team should now perform at Ujjain and Raipur, and how the results will be used.

MODEL ANSWER

(i) Working.

Café	Kulhads ÷ cups × 100	Against the norm of 104
Bhopal	5.00 ÷ 4.80 × 100 = 104.2	In line
Ujjain	5.72 ÷ 4.40 × 100 = 130.0	26 more kulhads per 100 cups than the norm allows
Raipur	4.59 ÷ 5.10 × 100 = 90.0	Fewer kulhads than cups sold, which cannot happen if every cup needs one

All three cafés sell at ₹20 a cup (96.00 ÷ 4.80, 88.00 ÷ 4.40, 102.00 ÷ 5.10), so the price is not the explanation.

(ii) The procedure and the risks. The team is performing **analytical procedures as risk assessment procedures**. As per SA 315, these may include both financial and non-financial information (for example, the relationship between sales and the volume of goods sold), may identify unusual transactions, amounts, ratios and trends that might indicate matters with audit implications, and may assist in identifying risks of material misstatement, especially due to fraud. Where they use data aggregated at a high level, they give only a broad initial indication.

- *Ujjain*: more cups served than cups billed may mean sales not rung up and cash kept back (**completeness** of revenue, with a risk of fraud), or kulhads issued to the café but stolen or wasted (**accuracy** of inventory records).
- *Raipur*: more cups billed than kulhads received may mean sales recorded that did not take place, for example to meet a target (**occurrence** of revenue, again a possible fraud risk), or kulhads obtained outside the central store and not recorded (**completeness** of purchases and liabilities), or issues from the store not recorded (**existence** of the store's inventory).

(iii) Further risk assessment procedures, and their use. Risk assessment procedures also include (a) **inquiries** of management and of others within the entity, such as the café managers and counter staff about how sales are rung up and whether kulhads are bought locally, and information systems personnel about any change or failure in the POS system; and (b) **observation and inspection**, such as observing a café's counter during a busy evening and inspecting the store's issue notes and internal audit's café reports. Risk assessment procedures by themselves do not provide sufficient appropriate audit evidence on which to base the opinion. The results, read together with the other information gathered, are the basis for assessing the risks at Ujjain and Raipur and for designing further audit procedures under SA 330.

Worked example **Four items on Lakshmi's risk list**

During the 2025-26 audit of Tapri Tea Co. Ltd, the team lists:

(a) Tapri sold its old Indore depot land to Kesar's brother-in-law's company at well below the market price. Tapri does not normally sell land.

(b) Monthly payroll for 3,400 employees, processed by the same system as last year.

(c) A provision for returns of unsold Diwali gift hampers, estimated by management over a wide range of possible outcomes.

(d) The senior management bonus doubles if the year's profit crosses ₹40 crore, and the draft profit is ₹40.3 crore.

Advise which of these are significant risks under SA 315, giving reasons.

MODEL ANSWER

Relevant provision. As per SA 315, the auditor shall determine whether any identified risk is, in the auditor's judgment, a significant risk, considering at least: whether it is a risk of fraud; whether it relates to recent significant developments; the complexity of transactions; whether it involves significant transactions with related parties; the degree of subjectivity in measurement, especially with a wide range of measurement uncertainty; and whether it involves significant transactions outside the normal course of business or that otherwise appear unusual. Risks of material misstatement due to fraud, and significant related party transactions outside the normal course of business, are always significant risks.

(a) A significant transaction with a related party, outside the normal course of business and at an unusual price: **always a significant risk**.

(b) Routine, recurring and processed by an unchanged system: none of the six factors applies. In the auditor's judgment, **not a significant risk**, though the auditor still assesses it and designs further audit procedures for it.

(c) A judgmental matter: an accounting estimate with a high degree of subjectivity and a wide range of measurement uncertainty. In the auditor's judgment it is **likely to be a significant risk**.

(d) The bonus threshold creates pressure to reach the profit target, and profit is just above it. Performance measures that create such pressure may motivate management to misstate the financial statements, including through fraud (SM 3.27). The auditor should consider whether this is a **risk of material misstatement due to fraud**; if it is, it is **always a significant risk**. Such pressure on senior management may also be a risk at the financial statement level.

The significant risks so identified require special audit consideration, and the assessed risks are documented (SM 3.41, 3.64).

Worked example **Bunty's two shortcuts**

Bunty tells Lakshmi: "I have audited three tea companies, so I do not need to study Tapri's business. And I finished understanding the entity in April, so Kesar's new café chain in Nepal, opened in October, does not change my plan." Comment.

MODEL ANSWER

Both views are incorrect. As per SA 315, the auditor shall obtain an understanding of the entity and its environment, including its internal control, to identify and assess the risks of material misstatement. This understanding helps the auditor plan the audit and identify areas requiring special attention; without adequate knowledge of the client's business, a proper audit is not possible, and experience of other entities in the same industry does not replace it.

Obtaining this understanding is also a continuous, dynamic process of gathering, updating and analysing information throughout the audit. A foreign operation opened during the year changes the nature of the entity, its structure and its business risks, and may give rise to new risks of material misstatement. Bunty must update the understanding and the risk assessment, and the planned further audit procedures with it.

Exam angle

In the exam

Where SA 315 appeared, May 2024 to September 2026

In the 32 new-scheme Paper 5 documents searched, a question on SA 315 appeared in 8.

- **Descriptive, 4 or 5 marks.** How the auditor identifies and assesses risks (the objective and the four "shall" steps): September 2025 exam Q1(b) (5 marks), MTP May 2024 Series I Q5(b) (4 marks). Inquiries of internal audit, legal counsel, marketing and IS personnel: May 2024 exam Q2(a) (4 marks). Analytical procedures as risk assessment procedures, and whether the opinion can rest on them: MTP January 2025 Series I Q1(c). Factors for a significant risk: MTP September 2025 Series I Q6(b) (5 marks). Why risks are greater for non-routine transactions: MTP May 2026 Series I Q6(c) (4 marks).
- **Multiple choice, 2 marks.** Inquiries of internal audit, legal counsel and IT heads are risk assessment procedures: MTP September 2025 Series I MCQ 1. What is not part of understanding the entity: RTP May 2024 MCQ 5. Evaluating contradictory information and corroborating inquiry: MTP September 2026 Series II MCQs 2 and 3. Ratio changes as risk indicators: RTP May 2024 MCQ 1.3, and the Study Material's Test Your Understanding 4 and 5 (a listing next year).

In the exam

The marks

Lists carry the marks: the three procedures, the five areas of understanding, the six significant-risk factors, the two "always significant" risks, the four documentation items. Write them in ICAI's order and add one line applying each to the facts.

Trick

FRCRSU for the significant-risk factors

Fraud, **R**ecent developments, **C**omplexity, **R**elated parties, **S**ubjectivity in measurement, **U**nusual or outside the normal course. "Fraud Ruins Clean Reports, So Understand." Condition: "at least" these; the decision is the auditor's judgment, except that fraud risks and significant related party transactions outside the normal course are always significant.

Answer frame

"How will the auditor identify and assess the risks?"

1. Objective of SA 315, in its words.
2. Identify and assess at two levels: financial statement and assertion.
3. The four steps: identify, assess (pervasive?), relate to assertions, consider likelihood and magnitude.
4. Through risk assessment procedures (inquiry, analytical procedures, observation and inspection) and the understanding of the entity.
5. Conclusion: this provides the basis for further audit procedures under SA 330.

"Is this a significant risk?"

Provision (the six factors and the two "always" cases) → facts → the factor(s) the facts trigger → conclusion, with "special audit consideration" as the consequence.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the opinion built on ratios

Writing that analytical procedures at planning "confirm the revenue". **Fix:** risk assessment procedures by themselves do not provide sufficient appropriate audit evidence for the opinion; they are the basis for further procedures.

⚠ **Common mistake**

Understanding the entity "done" at planning

Fix: it is a continuous, dynamic process throughout the audit (SM 3.28).

⚠ **Common mistake**

Listing every business risk

Fix: the auditor considers business risks that may result in risks of material misstatement; there is no responsibility to identify or assess all business risks (SM 3.26).

⚠ **Common mistake**

Calling every large item a significant risk

Fix: size alone is not the test; apply the six factors. Significant risks often relate to significant non-routine transactions or judgmental matters (SM 3.42), and fraud risks and significant related party transactions outside the normal course always are significant.

Practice

Check yourself

1 Case scenario. While planning the audit of Kulhad Crafts Ltd, CA Neha Kapoor asks the in-house legal counsel about pending suits, compares this year's monthly sales with last year's, and walks through the factory floor. What are these procedures?

- **A** Tests of controls
- **B** Substantive procedures
- **C** Risk assessment procedures: inquiry, analytical procedures, and observation and inspection
- **D** Procedures required only for a first-year audit

2 Which of the following is always a significant risk under SA 315?

- **A** A large volume of routine sales transactions
- **B** A significant transaction with a related party outside the normal course of business
- **C** Depreciation on a straight-line basis
- **D** Any account balance above materiality

3 Revenue rises from ₹80 crore to ₹100 crore while closing receivables rise from ₹10 crore to ₹25 crore. What is this year's receivables turnover (revenue ÷ closing receivables), in times?

Answer: _____

4 An audit manager says: "Our analytical review at planning showed revenue is in line with industry trends, so no further work on revenue is needed." Which is correct?

- **A** Correct, analytical procedures are substantive evidence in all cases
- **B** Incorrect, risk assessment procedures by themselves do not provide sufficient appropriate audit evidence for the opinion
- **C** Correct, if the company is listed
- **D** Incorrect, analytical procedures cannot be used at planning

5 Under SA 315, the auditor shall obtain an understanding of which of the following? Select all that apply.

- **A** Relevant industry, regulatory and other external factors, including the financial reporting framework
- **B** The entity's selection and application of accounting policies, and reasons for changes
- **C** The measurement and review of the entity's financial performance
- **D** All business risks of the entity, whether or not they affect the financial statements

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- SA 315 objective: identify and assess the risks of material misstatement (fraud or error) at the financial statement and assertion levels, through understanding the entity and its environment, including internal control, as a basis for responses.
- Steps: identify; assess (pervasive?); relate to what can go wrong at the assertion level; consider likelihood and magnitude.
- Risk assessment procedures: inquiries, analytical procedures, observation and inspection. Never sufficient evidence on their own.
- Understand: (a) industry, regulatory, external factors; (b) nature of the entity; (c) accounting policies; (d) objectives, strategies, related business risks; (e) measurement and review of performance; plus internal control.
- Understanding is continuous and dynamic, a frame of reference for the whole audit.
- Significant risk factors: fraud, recent developments, complexity, related parties, subjectivity, unusual or outside the normal course. Always significant: fraud risks; significant related party transactions outside the normal course.
- Document: team discussion, key elements of the understanding and sources, assessed risks at both levels, risks and related controls. (No prescription before the consultation.)

Answer key · Check yourself

1 **C Risk assessment procedures: inquiry, analytical procedures, and observation and inspection**

SA 315 requires risk assessment procedures to include inquiries, analytical procedures, and observation and inspection; they are performed in every audit.

2 **B A significant transaction with a related party outside the normal course of business**

Fraud risks and significant related party transactions outside the normal course of business are always significant risks. Size alone does not make a risk significant.

3 **4**

100 ÷ 25 = 4 times, against 80 ÷ 10 = 8 times last year: the turnover has halved while revenue grew only 25%. A sharp fall is a risk indicator for the existence and valuation of receivables.

4 **B Incorrect, risk assessment procedures by themselves do not provide sufficient appropriate audit evidence for the opinion**

Analytical procedures are a required risk assessment procedure, but they only provide the basis for further audit procedures.

5 **A Relevant industry, regulatory and other external factors, including the financial reporting framework**; **B The entity's selection and application of accounting policies, and reasons for changes**; **C The measurement and review of the entity's financial performance**

The auditor understands objectives, strategies and related business risks that may result in risks of material misstatement, not all business risks.

3.4 Internal control: components, limitations and evaluation

What internal control is under SA 315, its five components, why it gives only reasonable assurance, which controls matter to the auditor, and the four ways to record and evaluate it.

In plain words

The café where Raju does everything

At Tapri's busiest kulhad café in Bhopal, one man, Raju, takes the orders, collects the cash, writes the day's sales book and deposits the money when he finds time. Kesar trusts him completely. Lakshmi does not trust the arrangement.

> **Kesar:** Raju has been with me since the first tapri. Nobody checks Raju.
>
> **Lakshmi:** That is exactly what worries me, Kesar-ji. If nobody checks Raju, my team has to check everything Raju touched.
>
> **Bunty:** So the café's own checks decide how much work we do?
>
> **Lakshmi:** Now you are thinking like an auditor.

Internal control is the set of guardrails a business builds for itself: who may approve, who records, who holds the cash, who checks, and whether anyone notices when a check stops working. Tapri's board, managers and staff design and run it. The auditor does not build it; the auditor **understands** it, because it shows where the accounts could go wrong and how much testing each area needs.

Good guardrails have five parts: the culture at the top, a way of spotting risks, a system that carries transactions to the accounts, the day-to-day checks, and someone watching whether those checks still work. Even the best set gives only **reasonable** assurance: people make mistakes, two people can collude, and the boss can walk round any rule. To understand the system, the auditor records it as a **narrative**, a **check list**, an **internal control questionnaire** or a **flow chart**.

Think of it like

The exam hall

A board exam hall runs on internal control. The principal's "no cheating, ever" attitude is the control environment; deciding which centres are most at risk of leaks is risk assessment; roll lists and the notice board are the information system and communication; invigilators checking admit cards, and keeping the paper-setter apart from the evaluator, are control activities; the flying squad checking whether invigilators invigilate is monitoring. It still fails when two invigilators collude, or the principal opens the sealed packet early.

Key idea

Internal control is designed, implemented and maintained by those charged with governance, management and other personnel, and gives only reasonable assurance. The auditor understands and evaluates the internal control relevant to the audit, to design the nature, timing and extent of further audit procedures. Maintaining it is never the auditor's job.

How it works

1. What internal control is

Definition

Internal control (SA 315)

"The process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about the achievement of an entity's objectives with regard to reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, and compliance with applicable laws and regulations. The term "controls" refers to any aspects of one or more of the components of internal control." (SM 3.29–3.30)

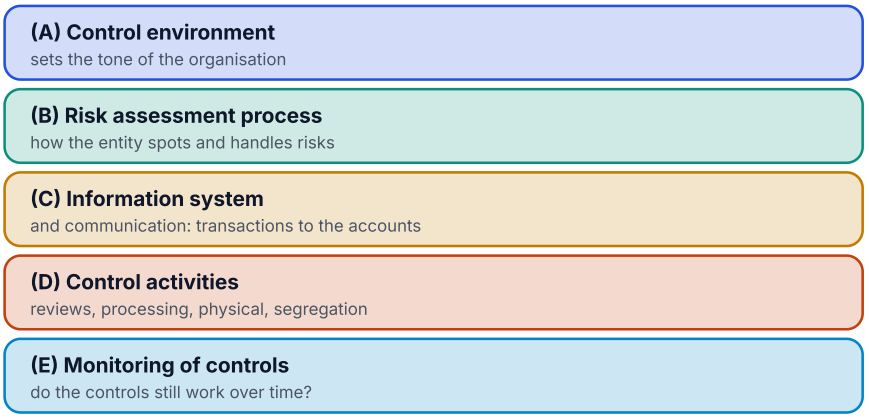
So internal control addresses business risks that threaten the entity's objectives concerning (SM 3.30): the reliability of financial reporting; the effectiveness and efficiency of operations; compliance with applicable laws and regulations; and safeguarding of assets. How it is designed and maintained **varies with the entity's size and complexity**.

The auditor shall obtain an understanding of internal control relevant to the audit (SM 3.32). It assists the auditor in (SM 3.30): (i) identifying types of potential misstatements; (ii) identifying factors that affect the risks of material misstatement; and (iii) designing the nature, timing and extent of further audit procedures. Weak controls mean higher **control risk**, one of the two components of the risk of material misstatement.

2. The five components

The division of internal control into five components gives auditors a useful framework to consider how its different aspects may affect the audit (SM 3.32):

The five components of internal control (SM 3.32)



ICAI's order, (A) to (E). The strengths of the control environment provide the foundation for the other four components (SM 3.33).

(A) THE CONTROL ENVIRONMENT

The auditor shall obtain an understanding of the control environment and, as part of it, shall **evaluate whether** (SM 3.33): (i) management has created and maintained a **culture of honesty and ethical behaviour**; and (ii) the strengths in the control environment elements collectively provide an

appropriate foundation for the other components. It includes the governance and management functions and the attitudes, awareness and actions of those charged with governance and management; it **sets the tone of an organisation**, influencing the control consciousness of its people.

Elements that may be relevant (SM 3.33–3.35):

Element	What the auditor looks at
(a) Communication and enforcement of integrity and ethical values	Codes of conduct; removing temptations to act dishonestly
(b) Commitment to competence	Competence levels for jobs and the skills they need
(c) Participation by those charged with governance	Independence from management, experience, involvement, scrutiny
(d) Management's philosophy and operating style	Attitude to financial reporting, policies, estimates, business risks
(e) Organisational structure	Framework to plan, execute, control and review activities
(f) Assignment of authority and responsibility	Authorisation hierarchies, reporting relationships
(g) Human resource policies and practices	Recruitment, training, appraisal, promotion, remedial action

The effectiveness of controls cannot rise above the integrity and ethical values of the people who create, administer and monitor them (SM 3.33).

Not an absolute deterrent to fraud (SM 3.35). A satisfactory control environment is a positive factor when the auditor assesses the risks of material misstatement and may help reduce the risk of fraud, but it is not an absolute deterrent to fraud. Conversely, deficiencies in it may undermine other controls, in particular against fraud: management's failure to commit resources to IT security may allow improper changes to programs or data, or unauthorised transactions. The control environment in itself does not prevent, or detect and correct, a material misstatement; it influences the auditor's evaluation of other controls, such as monitoring and specific control activities.

(B) THE ENTITY'S RISK ASSESSMENT PROCESS

The auditor shall obtain an understanding of whether the entity has a process for (SM 3.36): (a) **identifying** business risks relevant to financial reporting objectives; (b) **estimating** the significance of the risks; (c) **assessing** the likelihood of their occurrence; and (d) **deciding** about actions to address those risks. If the process is appropriate, it assists the auditor in identifying risks of material misstatement. Risks arise or change through new technology, new business models, products or activities, or changes in the operating environment; whether the process suits the circumstances is a matter of judgment.

(C) THE INFORMATION SYSTEM AND COMMUNICATION

The auditor shall obtain an understanding of the information system, including the related business processes, relevant to financial reporting, including (SM 3.36–3.37):

- (a) the classes of transactions significant to the financial statements;

- (b) the procedures by which they are initiated, recorded, processed, corrected as necessary, transferred to the general ledger and reported;
- (c) the related accounting records, supporting information and specific accounts;
- (d) how the system captures events and conditions significant to the financial statements;
- (e) the financial reporting process used to prepare the financial statements; and
- (f) controls surrounding journal entries.

An information system consists of infrastructure (physical and hardware components), software, people, procedures and data. The auditor shall also understand how the entity **communicates** financial reporting roles and responsibilities: policy manuals, accounting and financial reporting manuals, memoranda, and electronically, orally and through the actions of management (SM 3.37).

(D) CONTROL ACTIVITIES

> **Definition**
>
> **Control activities**
>
> The policies and procedures that help ensure that management directives are carried out (SM 3.37).

The auditor understands only those control activities relevant to the audit: those over significant classes of transactions, account balances and disclosures and the relevant assertions. They generally include (SM 3.37) **performance reviews** (actual against budgets), **information processing** (arithmetical accuracy checks, program change controls), **physical controls** (security of assets) and **segregation of duties** (different people authorise, record and hold custody). Raju, in the Bhopal café, records the sales and holds the cash: two of the three jobs segregation keeps apart.

(E) MONITORING OF CONTROLS

The auditor shall obtain an understanding of the major activities the entity uses to monitor internal control over financial reporting (SM 3.37). Monitoring assesses the effectiveness of internal control performance over time and takes remedial action; it considers whether controls are **operating as intended** and **modified as appropriate for changes in conditions**. Management monitors through ongoing activities built into regular supervision, separate evaluations, or both, and may use communications from external parties such as customer complaints and regulator comments (SM 3.38).

3. Limitations: why the guardrails can still fail

The Study Material lists six inherent limitations (SM 3.30–3.31):

Limitation	What it means
(i) Only reasonable assurance	However effective, controls give only reasonable assurance about financial reporting objectives
(ii) Human judgment in decision-making	Judgment can be faulty; human error, e.g. in designing or changing a control
(iii) Lack of understanding the purpose	An exception report is not used because the reviewer does not understand it or fails to act
(iv) Collusion among people	Two or more people collude, or management overrides: side agreements with customers; credit-limit edit checks overridden or disabled
(v) Judgments by management	Management chooses the nature and extent of controls and of the risks it assumes
(vi) Small entities	Segregation of duties impracticable; owner-manager oversight may compensate, but the owner can override more easily

The auditor takes the small-entity override risk into account when identifying risks of material misstatement due to fraud (SM 3.31). See also inherent limitations of an audit.

4. Which controls matter to the audit

Not all of an entity's controls are relevant to the auditor's risk assessment; whether a control, alone or with others, is relevant is a matter of **professional judgment** (SM 3.32, 3.38). Factors include (SM 3.39): materiality; the significance of the related risk; the size of the entity; the nature of its business, including organisation and ownership; the diversity and complexity of its operations; legal and regulatory requirements; the circumstances and the component of internal control; the nature and complexity of its systems, including service organisations; and whether, and how, the control prevents, or detects and corrects, material misstatement. The Study Material's examples (SM 3.39–3.40):

Control	Relevant?	Why
Passwords over cash disbursement programs and data	May be	Safeguarding, relevant to reliable financial reporting
Price list and sales volume data used to recompute revenue	May be	Completeness and accuracy of information, if the auditor uses it
Preventing excessive use of materials in production	Generally no	Operations objective only
An airline's automated flight-schedule controls	Ordinarily no	Efficiency of operations

Where a statute requires the auditor to report on specific aspects of internal control, the review is broader and more detailed (SM 3.40); for companies, see internal financial controls.

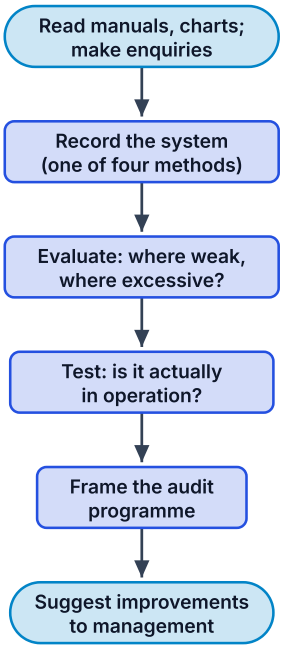
Design, then implementation (SM 3.40–3.41). Evaluating **design** asks whether the control is capable of effectively preventing, or detecting and correcting, material misstatements; **implementation** means the control exists and the entity is using it. Design comes first, since there is little point in assessing the implementation of an ineffective control; an improperly designed control may be a significant deficiency. The auditor inquires, observes, inspects documents and traces transactions; inquiry alone is not sufficient. Whether the control worked all year is testing internal control.

5. Evaluating the internal control system

The examination and evaluation of the internal control system is **an indispensable part of the overall audit programme** (SM 3.43). The review of internal controls will enable the auditor to know (SM 3.43–3.44):

1. whether errors and frauds are likely to be located in the ordinary course of operations;
2. whether an adequate internal control system is in use and operating as planned by management;
3. whether an effective internal auditing department is operating;
4. whether any administrative control bears on the audit (weak control over worker recruitment may let dummy names into the wages sheet);
5. whether the controls adequately safeguard the assets;
6. how far management is discharging its function of correct recording of transactions;
7. how reliable the reports, records and certificates to management can be;
8. the extent and depth of examination needed in different areas of accounting;
9. the appropriate audit technique and procedure in the circumstances;
10. the areas where control is weak and where it is excessive; and
11. whether worthwhile suggestions can be given to improve the system.

From the manual to the audit programme



The auditor can formulate the entire audit programme only after a satisfactory understanding of the internal control system and its actual operation (SM 3.44–3.46, 3.52).

Without this, the programme becomes "unwieldy and unnecessarily heavy"; the worst case is a system installed but not actually in operation (SM 3.44–3.45). Where controls are weak, the auditor may add a procedure or extend tests: observing wages distribution when dummy workers may be paid, or confirming trade receivables exactly at the year-end with larger coverage (SM 3.45).

6. Four ways to record and evaluate the system

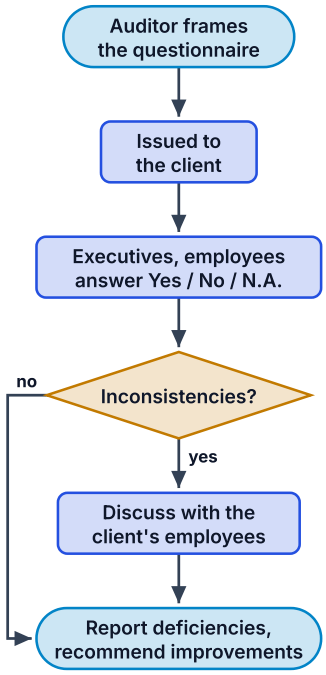
The auditor first determines the controls laid down by management, by reading manuals, studying organisation charts and flow charts and making enquiries, and makes written notes (SM 3.46). Then one of these is used (SM 3.46–3.51):

Method	What it is	Remember
(A) Narrative record	A complete and exhaustive description of the system as found in operation, after actual testing and observation	Where no formal control system exists; suits small business
(B) Check list	Instructions or questions that audit staff follow or answer, initialling each	Yes / No / N.A.; studied by the Principal, Manager or Senior
(C) Internal control questionnaire	A comprehensive series of questions on internal control	The most widely used method
(D) Flow chart	A graphic presentation of each part of the system	The most concise way of recording the review

- **Narrative record, disadvantages** (SM 3.47): it is difficult (i) to comprehend the system in operation, (ii) to identify weaknesses or gaps, and (iii) to incorporate changes from reshuffling of manpower.

- **Check list** (SM 3.47): an on-the-job requirement, framed having regard to the desirable elements of control.
- **Questionnaire, advantages** (SM 3.47): oversight or omission of significant review procedures is less likely; evaluation can be done at one time or in sections; the review is easier on an interim basis; it gives an orderly means of disclosing control defects.
- **Flow chart** (SM 3.51): minimises narrative explanation; gives a bird's eye view of the system, the flow of transactions and their integration, so weaknesses can be spotted and improvements suggested.

How an internal control questionnaire is used



Questions are framed so that Yes denotes a satisfactory position and No suggests a weakness, with space to explain each No; the review is generally made annually (SM 3.48, 3.50).

Formats and formulas

The questionnaire and the check list

Reproduce these layouts from memory. When ICAI asks you to draft questions, frame each so that "Yes" is the satisfactory answer.

No.	Question	Answer	Remarks
1	Are purchase orders pre-numbered?	Yes / No / N.A.	Explain every "No"

No.	Instruction or question	Answer	Initials
1	Are tenders called before placing orders?	Yes / No / N.A.	

The questionnaire is answered by the client's staff; the check list is followed and initialled by the auditor's own staff (SM 3.47–3.48). The Study Material's check list examples: tenders called before orders; purchases on written orders; standardised and pre-numbered purchase order forms; inventory control accounts kept by persons with nothing to do with custody, receipt, inspection or purchase of inventory (SM 3.47).

The Study Material's questionnaire extracts, in brief

ICAI has asked students to match questions to their area, so know what each area covers (SM 3.48–3.50):

- **Purchases**: centralised purchase department; approved suppliers, with more than one source for important materials; requisitions signed by authorised persons; competitive quotations; pre-numbered orders signed by authorised staff; materials received only in the Receiving Department, by people who cannot issue orders or approve invoices; materials inspected and counted, weighed or measured on receipt; pre-numbered Goods Received Notes.
- **Creditors**: invoices routed direct to Accounts and entered in a bill register; all invoices processed; quantities and values per invoices reconciled with receipts into stock records; invoices matched with GRNs and purchase orders and checked for prices, freight and terms; advance payments authorised; duplicate invoices marked; suppliers' statements compared with ledgers and differences followed up; unpaid creditors listed and reconciled.
- **Inventories**: stocks in assigned areas; comprehensive insurance (an uninsured risk only by a senior official's decision); a record of policies, reviewed periodically; an official deciding the value insured and reviewing adequacy; perpetual records for raw materials, work-in-progress, finished goods and stores, reconciled with accounts; shortages and excesses reported, investigated and adjusted with written approval; norms for stock levels.
- **Fixed assets**: capital budgets approved; authority to spend restricted to specified officials; the same controls as other purchases; spending kept within the amount authorised; periodic verification under a written procedure, with reports showing damaged or obsolete items; discrepancies investigated and records corrected with appropriate authority.

Worked examples

Worked example **Bunty's misfiled working papers**

Bunty has filed five working papers from Tapri's 2025-26 internal control review, each under a component heading. Lakshmi returns all five.

Paper	Bunty filed it under
(a) Minutes in which the audit committee, all independent directors, question the CFO on why the café breakage estimate was changed, and ask for the evidence behind it	Monitoring of controls
(b) Tapri's accounting manual and a monthly memo telling café managers what they must record before the day-end close, and who signs off	Control environment
(c) The ERP check that rejects any café sales entry whose total does not equal the sum of its lines	Information system
(d) Management's review of 1,800 customer complaints about wrong cashback amounts on the app, used to find where the cashback controls had stopped working, and the fixes made	Risk assessment process
(e) A finance committee paper on how the new e-invoicing rules could cause errors in recording revenue, estimating how significant and how likely each is, and deciding to add a daily reconciliation	Control activities

Identify the correct component for each paper, and explain why Bunty's heading is wrong.

MODEL ANSWER

Relevant provision. As per SA 315, the auditor shall obtain an understanding of internal control relevant to the audit, which has five components: (A) the control environment; (B) the entity's risk assessment process; (C) the information system, including related business processes, relevant to financial reporting, and communication; (D) control activities relevant to the audit; and (E) monitoring of controls.

(a) Control environment. Participation by those charged with governance (their independence from management, their experience and stature, the extent of their involvement and scrutiny of activities) is an element of the control environment. Monitoring assesses whether controls operate effectively over time; the audit committee questioning the CFO is governance oversight, part of the tone of the organisation.

(b) Information system and communication. The auditor shall understand how the entity communicates financial reporting roles and responsibilities, which may take forms such as policy manuals, accounting and financial reporting manuals and memoranda. The control environment concerns attitudes, awareness and actions, not the channels through which reporting responsibilities are communicated.

(c) Control activities. Information processing controls, such as checks of arithmetical accuracy, are control activities: policies and procedures that help ensure management directives are carried out. The information system is the set of procedures by which transactions are initiated, recorded, processed and reported; a check built into it that stops an incorrect entry is a control activity, not the system itself.

(d) Monitoring of controls. Monitoring is a process to assess the effectiveness of internal control performance over time, including whether controls are operating as intended, and taking necessary remedial actions; management may use communications from external parties, such as customer complaints, which may indicate problems. The risk assessment process looks forward at business risks; this paper looks back at controls that failed.

(e) The entity's risk assessment process. The auditor understands whether the entity has a process for identifying business risks relevant to financial reporting objectives, estimating their significance, assessing the likelihood of their occurrence and deciding about actions to address them. The paper does all four. The reconciliation it decides on will be a control activity once in place, but the paper itself is the risk assessment process at work.

Conclusion. Each component must be identified from what the activity does, not from the words it uses. The understanding helps the auditor identify types of potential misstatements and design the nature, timing and extent of further audit procedures.

Worked example **Limitation, or no control at all?**

Six lapses came to light at Tapri and its circle during 2025-26:

(a) At the Nagpur delivery hub, the supervisor who approves fuel claims and the clerk who records them agreed between themselves to pass fake claims worth ₹9.6 lakh.

(b) Scrap from the Dewas samosa factory (empty oil tins, used sacks) is sold for cash with no weighbridge slip, no scrap register, and nobody comparing scrap sales with production.

(c) After a cost study, the board decided that café petty-cash vouchers below ₹2,000 need no second review.

(d) The CFO had the IT team reopen March, a closed period, so that he could post a ₹1.2 crore expense into April "just this once".

(e) At Mehra Masala Traders, the four-person firm run by Kesar's cousin Pinky, Pinky collects the cash, records it and banks it herself.

(f) At the Indore flagship café, a trained cashier who reads the cash-shortage report every day mis-keyed a refund of ₹4,500 as ₹45,000 in the Diwali rush.

Kesar: Six failures, Lakshmi-ji. Controls fail anyway, so why have them? And your audit should have caught them all.

Lakshmi: Let us take them one at a time, Kesar-ji.

For each lapse, state whether it illustrates an inherent limitation of internal control (naming it) or is simply a control that does not exist, and what it means for the auditor.

MODEL ANSWER

Relevant provision. As per SA 315, internal control, no matter how effective, can provide an entity with only reasonable assurance about achieving its financial reporting objectives, because of its inherent limitations: human judgment in decision-making can be faulty, and breakdowns can occur because of human error; information produced for control may not be used because the reviewer does not understand its purpose; controls can be circumvented by the collusion of two or more people or by inappropriate management override; management makes judgments on the nature and extent of the controls it implements and the risks it assumes; and in smaller entities segregation of duties is often not practicable, although owner-manager oversight may compensate, while the owner-manager may be more able to override controls. A deficiency in internal control, on the other hand, exists if a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements on a timely basis, or if the control is missing.

Facts and analysis.

Lapse	Limitation or missing control	For the auditor
(a) Fuel claims	Collusion among people	Controls can be circumvented; consider the fraud risk in claims
(b) Scrap sales	No limitation: the control is missing	A deficiency in internal control; evaluate it and respond in the scrap sales area
(c) Petty cash under ₹2,000	Judgments by management	A choice of the extent of control and risk; considered in risk assessment
(d) Reopened March	Inappropriate management override	Taken into account in identifying risks of material misstatement due to fraud
(e) Pinky does it all	Small entity: segregation not practicable	Owner oversight may compensate, but she can override more easily
(f) ₹45,000 refund	Human judgment: breakdown through human error	Even a well-run control gives only reasonable assurance

Lapse (b) is different in kind from the other five. There, a control existed and was defeated or had its limits chosen; at Dewas there was never a control to defeat. Calling it an inherent limitation would hide a deficiency that the auditor must evaluate and respond to.

Conclusion. Five of the lapses show that internal control gives only reasonable assurance, not that it is useless; the sixth is a missing control. Maintaining internal control is the responsibility of management and those charged with governance, not of the auditor. Because internal control has inherent limitations, including management override, the auditor never relies on controls alone: substantive procedures are performed for each material class of transactions, account balance and disclosure (SM 3.70; SA 330).

Worked example **Bunty's first questionnaire**

Lakshmi wants Tapri's own executives and employees to answer a set of questions on the controls over buying, paying for, storing and capitalising goods. Bunty drafts the first six:

1. Do café managers sometimes buy milk from suppliers who are not on the approved list?
2. Are duplicate supplier invoices marked immediately on receipt, to avoid payment against them?
3. Can the person who receives besan at the factory gate also approve the supplier's invoice?
4. Are differences between the perpetual stock records and the physical counts left unadjusted until the year-end?
5. Are the cold-chain fleet's refrigerated trucks verified physically at intervals, under a written procedure?
6. Is capital expenditure on new kulhad cafés incurred only within a capital budget approved in advance?

> **Bunty:** Six questions, Ma'am. Tapri's staff will love them.
>
> **Lakshmi:** I am sure they will, Bunty. The question is whether I will.

Required: (i) Name the method Lakshmi wants and state two of its advantages. (ii) State the area of the Study Material's questionnaire (purchases, creditors, inventories or fixed assets) to which each question belongs, and reframe every question in which a "Yes" would indicate a weakness.

MODEL ANSWER

(i) The **internal control questionnaire**: a comprehensive series of questions concerning internal control, the most widely used form for collecting information about its existence, operation and efficiency. It is issued to the client and filled in by the concerned executives and employees. Advantages (any two): oversight or omission of significant review procedures is less likely; the evaluation can be completed at one time or in sections, and more easily on an interim basis; it gives an orderly means of disclosing control defects.

(ii) Questions are generally framed so that a "Yes" denotes a satisfactory position and a "No" suggests weakness, with an explanation of each "No". Questions 1, 3 and 4 are framed the other way round.

No.	Area	Reframed question
1	Purchases	Are purchases made only from approved suppliers, from a list maintained for this purpose?
2	Creditors	Correctly framed
3	Purchases	Are persons connected with the receipt of materials denied authority to issue purchase orders or to approve invoices?
4	Inventories	Are shortages and excesses found in perpetual inventory counts investigated, and adjusted in the stock records and accounts with the written approval of a responsible official?
5	Fixed assets	Correctly framed
6	Fixed assets	Correctly framed

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the 14 ICAI documents read for this lesson, the components, limitations or evaluation of internal control were examined 19 times.

- **Components, 4 or 5 marks.** Identify the component from facts (monitoring; segregation of duties): September 2024 Q3(a). Is a satisfactory control environment an absolute deterrent to fraud? January 2025 Q1(c). The other control environment elements, given two: September 2026 Q6(b), 5 marks (answers not yet published). What the control environment includes, and its elements: RTP January 2025 Q11. The entity's risk assessment process: MTP September 2024 Series I Q5(b). The information system areas, with the risk assessment process accepted as an alternate answer: May 2026 Q2(a).
- **Limitations.** Explain the limitations behind five lapses: MTP September 2025 Series II Q1(a), 5 marks; collusion as a limitation inside an inherent-limitations-of-audit case: RTP January 2025 Q9.
- **Methods.** Name the method and draft questions on creditors: MTP September 2025 Series I Q1(a), 5 marks. Draft a questionnaire for an insurance department: MTP May 2024 Series II Q2(d), 3 marks.
- **MCQs, 2 marks each.** Four on one case (evaluation is part of the audit programme; check list; narrative record; questionnaire): May 2025 MCQs 9–12. Match questionnaire items to purchases, creditors, inventories and fixed assets: September 2025 MCQ 7. Name the method from its description: MTP January 2025 Series II MCQ 14 (questionnaire), MTP May 2025 Series II MCQ 9 (check list), MTP September 2025 Series II MCQ 13 and MTP January 2026 Series II MCQ 12 (flow chart).

In the exam

How the marks are earned

The suggested answers name the component or method, describe it in the Study Material's words ("culture of honesty and ethical behaviour", "operating as intended", "most widely used", "bird's eye view") and tie it to the facts. Learn the seven control environment elements, four risk assessment steps and six limitations in the Study Material's order.

Trick

Five components: "Every Rupee Is Carefully Monitored"

Environment (control), **R**isk assessment process, **I**nformation system and communication, **C**ontrol activities, **M**onitoring of controls: ICAI's order, A to E.

Answer frame

"Identify the component of internal control"

1. **Name it**: "CA X is gaining an understanding of the [component] component of internal control."
2. **Describe it** in the Study Material's words: what the auditor shall understand or evaluate for that component.
3. **Tie it to the facts**: which fact shows it.
4. **Why it helps**: identifying potential misstatements and designing the nature, timing and extent of further procedures.

"Can a satisfactory control environment prevent fraud?"

The points, from SM 3.35:

Point	What to write
Positive factor	In assessing the risks of material misstatement
But	May reduce the risk of fraud; not an absolute deterrent
Conversely	Deficiencies undermine other controls (IT security example)
By itself	Does not prevent, or detect and correct, a misstatement
Conclusion	"Fraud cannot happen" is not a correct assurance

"Explain the limitations of internal control"

Name and explain each limitation in the Study Material's words, match each lapse to one, and conclude that internal control gives only reasonable assurance. A bare list of names does not get full marks.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the auditor who maintains internal control

Bunty writes "the statutory auditor is responsible for maintaining the internal control system". **Fix:** management is, because internal control is designed, implemented and maintained by those charged with governance and management (SM 3.82). The auditor understands and evaluates it.

⚠ **Common mistake**

"Strong culture, so no fraud"

Fix: a satisfactory control environment is "not an absolute deterrent to fraud", and by itself it does not prevent, or detect and correct, a misstatement (SM 3.35).

⚠ **Common mistake**

Mixing up control activities and monitoring

Segregation of duties labelled "monitoring". **Fix:** control activities are the checks themselves; monitoring asks whether those checks are operating as intended over time and are modified for changes (SM 3.37–3.38).

⚠ **Common mistake**

A narrative record for a listed giant

Fix: the narrative record suits small businesses and cases with no formal control system, and makes weaknesses hard to identify (SM 3.46–3.47). A large entity's formal systems call for the questionnaire (the most widely used method) or a flow chart (the most concise record).

⚠ **Common mistake**

The questionnaire where "Yes" means trouble

"Do staff ever buy from unapproved suppliers?" **Fix:** frame each question so that "Yes" denotes a satisfactory position and "No" suggests a weakness, with space to explain every "No" (SM 3.48).

Practice

Check yourself

1 Case scenario. CA Neha's assistant has drafted a 60-question internal control questionnaire for Zafran Dairy, a firm run by its owner with three staff and no written procedures of any kind. Which of the following is correct?

- **A** The questionnaire is right, because it is the most widely used method
- **B** A narrative record suits better: a description of the system as found in operation, recommended where no formal control system exists and for small businesses
- **C** No evaluation of internal control is needed for so small an entity
- **D** A flow chart must be used, because it is the most concise method

2 Tapri's finance head compares each café's actual monthly sales with its budget and investigates every variance over 10%. Which component of internal control does this belong to?

- **A** Control environment
- **B** Monitoring of controls
- **C** Control activities
- **D** The entity's risk assessment process

3 Which of the following is NOT one of the Study Material's limitations of internal control?

- **A** Collusion among two or more people
- **B** Management's judgments on the nature and extent of controls
- **C** The auditor examines only a sample of the transactions
- **D** Lack of understanding of a control's purpose

4 Select all statements that are correct about the control environment.

- **A** The auditor shall evaluate whether management has created and maintained a culture of honesty and ethical behaviour
- **B** A satisfactory control environment is an absolute deterrent to fraud
- **C** It sets the tone of an organisation, influencing the control consciousness of its people
- **D** It may influence the auditor's evaluation of the effectiveness of other controls

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Internal control (SA 315): a process by those charged with governance, management and others; reasonable assurance on financial reporting, operations, safeguarding of assets and compliance.
- Understanding it helps identify potential misstatements and risk factors, and design further audit procedures.
- Five components, A to E: control environment; risk assessment process; information system and communication; control activities; monitoring of controls.
- Control environment: culture of honesty and a foundation for the rest; seven elements; not an absolute deterrent to fraud.
- Six limitations: reasonable assurance only, human judgment, not understanding the purpose, collusion and override, management's judgments, small entities.
- Relevance of a control is the auditor's judgment; design is evaluated before implementation; inquiry alone is not enough.
- Evaluation is an indispensable part of the audit programme: narrative record, check list, questionnaire (most widely used), flow chart (most concise).
- Management maintains internal control; the auditor evaluates it. (Raju may keep the café, but not the cash, the book and the bank slip all at once.)

Answer key · Check yourself

1 **B A narrative record suits better: a description of the system as found in operation, recommended where no formal control system exists and for small businesses**

The narrative record "may be recommended in cases where no formal control system is in operation and would be more suited to small business" (SM 3.46). Some understanding of internal control is always required.

2 **C Control activities**

Performance reviews (reviews of actual performance against budgets) are control activities (SM 3.37). Monitoring asks whether the controls themselves keep operating as intended over time.

3 **C The auditor examines only a sample of the transactions**

Testing samples is an inherent limitation of an audit (SM 1.14–1.15), not one of the six limitations of internal control.

4 **A The auditor shall evaluate whether management has created and maintained a culture of honesty and ethical behaviour**; **C It sets the tone of an organisation, influencing the control consciousness of its people**; **D It may influence the auditor's evaluation of the effectiveness of other controls**

It may reduce the risk of fraud but is not an absolute deterrent; the rest are the Study Material's words (SM 3.33, 3.35).

3.5 Testing internal control: walkthroughs, tests of controls and reporting

How the auditor checks that controls actually worked through the year: walkthroughs, the four kinds of test, what deviations mean, and how control deficiencies are assessed and reported.

In plain words

"The manual says so, Ma'am"

Bunty has marked Tapri's bank reconciliation control "effective". His evidence: the finance manual says reconciliations are prepared every month and reviewed by the senior accountant.

> **Bunty:** Ma'am, the manual says it is done every month. Control effective. Tick.
>
> **Lakshmi:** A manual is a promise, Bunty. Show me twelve reconciliations, who signed them, and redo one yourself.
>
> **Bunty:** Redo it? Myself?
>
> **Lakshmi:** That is reperformance. The best evidence you will ever get.

Understanding a control tells the auditor what it is meant to do and that it exists. It does not show that the control **worked all year**. **Tests of controls** do that, in four ways: **ask** people (inquiry), **watch** them (observation), **look** at the papers or screens the control leaves behind (inspection), and **redo** it (reperformance). A **walkthrough** follows one transaction from start to finish to see the controls along its path.

Tests find slips, called **deviations**. The auditor asks why, makes sure the testing covers the troubled period, and if the control cannot be trusted, does more substantive work. At the end, every finding is weighed: deficiencies go to management in an **internal controls memo** or **management letter**, and significant ones go **in writing** to those charged with governance.

Think of it like

The kitchen inspection

A hygiene inspector reads the policy on the wall (design) and sees that a hand-wash basin exists (implementation). Then the real work: asking the cook (inquiry), watching the lunch rush (observation, true only for that hour), reading the cleaning log signed each night (inspection) and swabbing the counter herself (reperformance). Following one order from the waiter's pad to the plate is her walkthrough. Small lapses go in a note to the manager; serious ones go in writing to the owner.

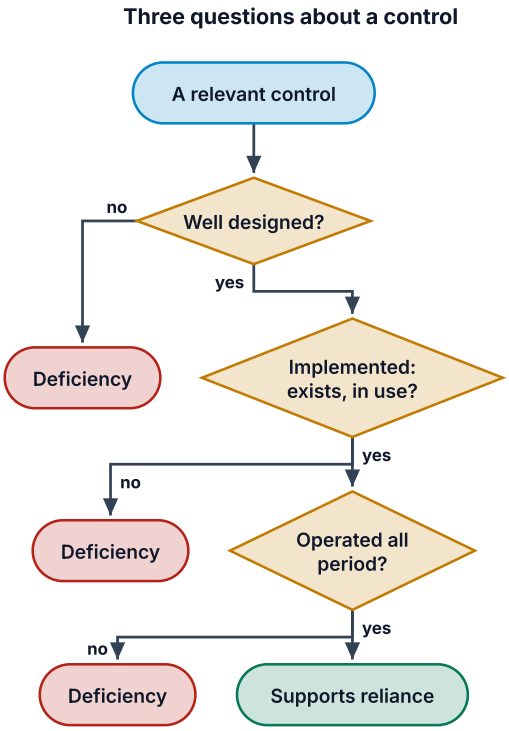
Key idea

Tests of controls are performed to obtain audit evidence about the effectiveness of the design of the internal control system and of its operation throughout the period. Inquiry alone is never sufficient. Deviations can change the assessment of control risk, and with it the nature, timing and extent of substantive procedures.

How it works

1. Understanding is not testing

When obtaining an understanding, the auditor evaluates the **design** of a control (is it capable of effectively preventing, or detecting and correcting, material misstatements?) and its **implementation** (does it exist, and is the entity using it?). Obtaining that understanding is **not sufficient to test operating effectiveness**, unless some automation provides for the consistent operation of the control: evidence about a manual control at a point in time says nothing about other times in the period. Because of the inherent consistency of IT processing, determining that an automated control has been implemented **may serve as a test of its operating effectiveness**, depending on the auditor's assessment and testing of controls such as those over program changes (SM 3.40–3.41).



The first two questions belong to understanding the control (SM 3.40); tests of controls answer the third (SM 3.52). Rose ends: a deficiency in internal control, since the control cannot prevent, or detect and correct, misstatements on a timely basis (SM 3.65). Green end: evidence that supports reliance.

When tests of controls are compulsory (reliance intended, or substantive procedures alone insufficient), and their extent and timing, are set by SA 330.

2. What tests of controls are

After assimilating the internal control system, the auditor examines whether, and how far, it is actually in operation. This is done on a **selective basis**, and can be planned so that all the important areas are covered over a period of, say, **three years** (SM 3.52). Tests of controls are performed to obtain audit evidence about the effectiveness of the (SM 3.52):

- (i) **design** of the accounting and internal control system; and
- (ii) **operation** of the internal control **throughout the period**.

They include tests of elements of the control environment, where its strengths are used to reduce control risk. Procedures performed to obtain the understanding may also serve as tests of control: understanding the cash system through inquiry and observation may give evidence that the bank reconciliation process works. The auditor may use that evidence, provided it is sufficient to support a control risk assessment at less than a high level (SM 3.52).

3. The procedures that test a control

Tests of control may include (SM 3.53):

Procedure	Example in the Study Material	At Tapri
Inspection of documents supporting transactions and other events	Verifying that a transaction has been authorised	Purchase invoices carry the purchase manager's approval
Inquiries about, and observation of, controls that leave no audit trail	Who actually performs each function, not merely who is supposed to	Who really counts the café cash at closing
Re-performance: the auditor's independent execution of procedures or controls originally performed as part of internal control	Reconciliation of bank accounts	Bunty prepares March's bank reconciliation himself
Testing controls over specific computerised applications or the IT function	Access or program change controls	Who can change the ERP's price master

4. Which test, and in what combination

There are basically four types of audit tests: **inquiry, observation, inspection and reperformance** (SM 3.58).

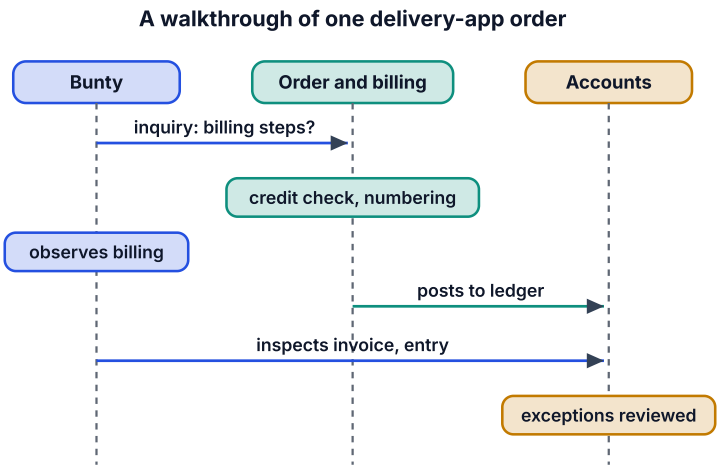
Test	What the Study Material says
Inquiry	The most efficient test, but gives the least audit evidence; always combine it with another method; `inquiry alone is not sufficient` (SM 3.59)
Observation	Pertinent only at the point in time at which it is made (SM 3.67)
Inspection	Inquiry combined with inspection generally gives the most effective and efficient audit evidence (SM 3.59); where operating effectiveness is evidenced by documentation, the auditor may inspect it (SM 3.67)
Reperformance	The most effective test, giving the best audit evidence; but very time consuming, and least efficient most of the time (SM 3.59)

Inquiry combined with inspection or reperformance may provide more assurance than inquiry and observation (SM 3.67). Which test to use, when and in what combination is a matter of **professional judgment**, varying with the risk assessment, the control environment, the desired level of evidence, the history of errors or misstatements, the complexity of the business and the assertions being addressed. The auditor documents the nature of the test (or combination) applied and the judgments in the audit file (SM 3.59).

5. The walkthrough

When testing in an automated environment, the more common methods are (SM 3.59):

- obtain an understanding of how an automated transaction is processed by doing a **walkthrough of one end-to-end transaction**, using a combination of inquiry, observation and inspection;
- observe how a user processes transactions under different scenarios; and
- inspect the configuration defined in an application.



One transaction followed end to end, using inquiry, observation and inspection at each step (SM 3.59). The steps at Tapri are illustrative.

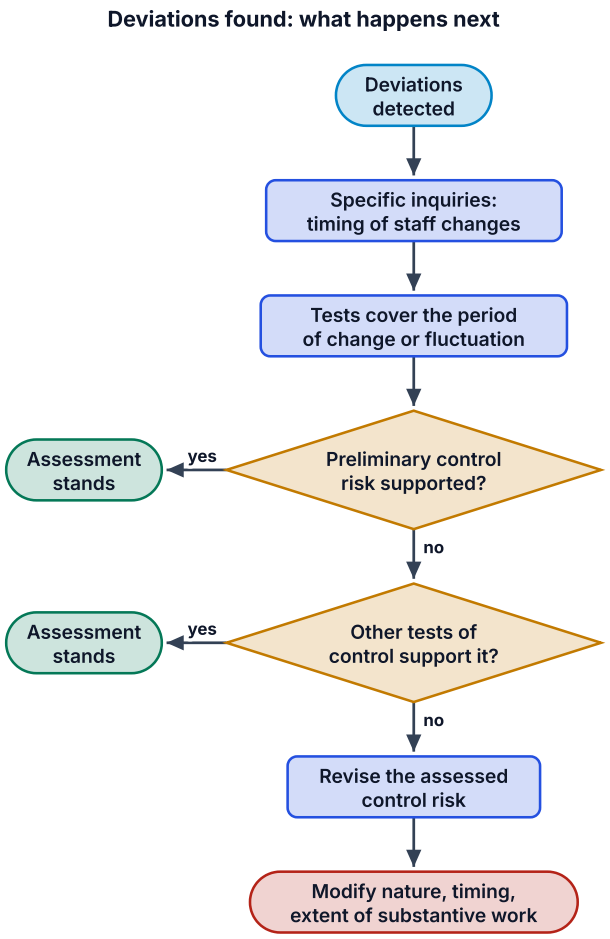
Where general IT controls do not exist or are ineffective, the auditor assesses the impact of IT risks and the complexity of the automated environment, and plans alternative audit procedures in order to rely on system-based information (SM 3.59); see internal control in an IT environment.

In the Study Material's audit approach for an automated environment, walkthroughs belong to the second of four stages, **understand and evaluate** (understanding the design of controls by performing walkthroughs of the end-to-end process), followed by these two (SM 3.61):

Test for operating effectiveness	Reporting
Assess the nature, timing and extent (NTE) of controls testing	Evaluate control deficiencies
Assess the reliability of source data; completeness of population	Significant deficiencies, material weaknesses
Test key reports and spreadsheets	Remediation of control weaknesses
Sample testing	Internal controls memo (ICM) or management letter
Consider the competence and independence of the staff performing controls testing	Auditor's report

6. When the test finds deviations

While testing, the auditor considers **how** the controls were applied, the **consistency** with which they were applied during the period, and **by whom**. Effective operation recognises that some deviations may have occurred. They may be caused by **changes in key personnel, significant seasonal fluctuations in the volume of transactions, and human error** (SM 3.53).



SM 3.53–3.54. Green ends: the preliminary assessment of control risk is kept; rose end: it is revised and the planned substantive procedures change.

Based on the results, the auditor evaluates whether the controls are designed and operating as contemplated in the **preliminary assessment of control risk**. If the deviations mean that assessment is not supported, the auditor amends it, **unless audit evidence from other tests of control supports it**, and modifies the nature, timing and extent of planned substantive procedures. Before the conclusion of the audit, the auditor considers, on the results of substantive procedures and other evidence, whether the assessment of control risk is confirmed (SM 3.53–3.54). A control that is not working as planned cannot prevent misstatements: it represents a **control deficiency** (SM 3.85).

7. Assessing and reporting the findings

At the conclusion of each audit there may be findings or exceptions in the IT environment and IT controls that need to be assessed and reported to management and those charged with governance (the Board of Directors, the Audit Committee). Points to consider (SM 3.65):

- Are there any weaknesses in IT controls?
- What is the impact of these weaknesses on the overall audit?
- Report deficiencies to management: **internal controls memo or management letter**.
- Communicate **in writing** any **significant deficiencies** to those charged with governance.

The auditor assesses each finding or exception to determine its impact on the audit and whether it results in a deficiency in internal control. This involves professional judgment on **quantitative and qualitative** measures; each finding is looked at **individually and in the aggregate** with other findings (SM 3.65).

Definition

Deficiency in internal control

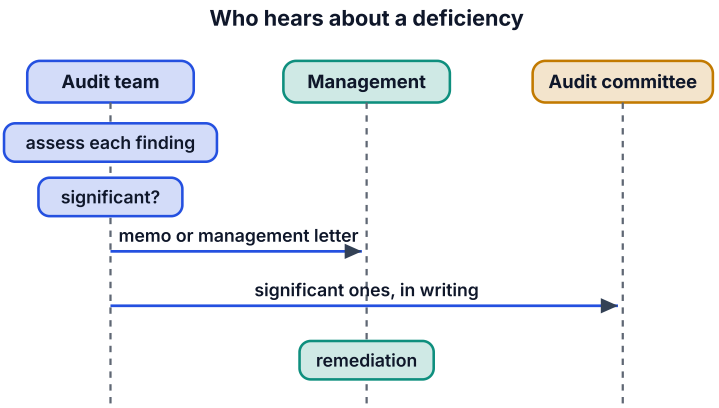
Exists when (i) a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis; or (ii) a control necessary to prevent, or detect and correct, misstatements on a timely basis is missing (SM 3.65, 7.46).

Definition

Significant deficiency in internal control (SA 265)

A deficiency or combination of deficiencies in internal control that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance (SM 7.46–7.47).

Its significance depends not only on whether a misstatement has occurred, but on the **likelihood** that one could occur and its potential **magnitude**: a significant deficiency may exist even though no misstatement was found (SM 7.47). Under SA 265 the auditor communicates significant deficiencies **in writing to those charged with governance on a timely basis**, and to management at an appropriate level both those (in writing, unless inappropriate) and other deficiencies of sufficient importance. The written communication describes the deficiencies and explains their **potential effects**, with enough context, including that the audit considered internal control to design procedures, not to express an opinion on its effectiveness (SM 7.49). The detail is in SA 260 and SA 265.



Those charged with governance (here the audit committee) receive significant deficiencies in writing on a timely basis; management receives those and other deficiencies worth its attention (SM 3.65, 7.49).

8. A favourite: tests of controls over sales, for trade receivables

It is important to carry out tests of controls for checking the effectiveness of internal control over sales as part of the debtors' audit. The points to be considered in respect of trade receivables (SM 5.37–5.38):

1. Only bona fide sales lead to trade receivables.
2. All such sales are made to approved customers.
3. All such sales are properly recorded in the books of account.
4. Once recorded, the debtors can be settled only by receipt of cash or on the authority of a responsible official.
5. Segregation of duties at every point in the sales transaction (accounting for debtors, collecting payments, sending reminders).
6. Debtors are collected on time.
7. If not collected in time, reminders are sent and legal action taken if required.
8. Balances are regularly reviewed.
9. A proper system of follow-up exists and, if necessary, adequate provision for bad debts is made by preparing an adequate ageing schedule.

After these tests, the auditor decides on the procedures to verify the debtors' balances (SM 5.38); see audit of receivables.

Worked examples

Worked example **Four tests in one afternoon**

At Tapri Tea Co. Ltd, for 2025-26, Iyer & Associates intend to rely on the controls over purchases and café cash:

(a) Bunty takes 25 paid supplier invoices and himself repeats the three-way match of purchase order, goods received note and invoice that Tapri's accounts clerk performed before each payment.

(b) Lakshmi asks him to find out who actually counts the cash at the Bhopal café at closing time, a step that leaves no paper behind.

(c) He inspects 40 purchase orders for the purchase manager's signature of approval.

(d) The firm's IT specialist examines the ERP's log of changes to the price master and the list of users permitted to make them.

Required: (i) Identify the test of control in each case. (ii) Which test gives the best audit evidence, which the least, and how should the weakest be used?

MODEL ANSWER

Relevant provision. After assimilating the internal control system, the auditor examines whether and how far it is actually in operation. Tests of controls are performed to obtain audit evidence about the effectiveness of (i) the design of the accounting and internal control system and (ii) the operation of internal control throughout the period.

(i)(a) Re-performance: the auditor's independent execution of procedures or controls that were originally performed as part of the entity's internal control, here the three-way match before payment, to ensure they were correctly performed by the entity.

(b) Inquiries about, and observation of, internal controls which leave no audit trail: determining who actually performs each function and not merely who is supposed to perform it.

(c) Inspection of documents supporting transactions to gain audit evidence that internal controls have operated properly, here verifying that each purchase was authorised.

(d) Testing of internal control operating on specific computerised applications or over the overall information technology function, here access and program change controls over the price master.

(ii) Re-performance is the most effective test and gives the best audit evidence, but it could be very time consuming and least efficient most of the time. Inquiry is the most efficient test but gives the least audit evidence, so it should always be used in combination with another method: inquiry alone is not sufficient. Generally, inquiry combined with inspection gives the most effective and efficient audit evidence. Which test to use, when and in what combination is a matter of professional judgment, documented in the audit file.

Worked example **Diwali, and the deposits that waited**

Tapri's control: each café's cash is deposited in the bank on the next working day, and the area manager signs the deposit slip after matching it with the day's sales report. Iyer & Associates intend to rely on this control. Bunty tests 60 café-days spread over the year: 51 comply. All 9 deviations fall between 20 October and 15 November 2025 at the Bhopal and Indore cafés, when both area managers were transferred and festival sales doubled. Of the 60 café-days, 12 fall in that window.

Required: (i) What do the deviations represent? (ii) How should the auditor proceed?

MODEL ANSWER

(i) The deviation rate is 9 ÷ 60 = 15% for the year, but 9 ÷ 12 = 75% in the festival window and 0 ÷ 48 outside it. In that window the control was not working as planned: it could not prevent, or detect and correct, misstatement of cash and bank, so it represents a **deficiency in internal control**.

(ii) Relevant provision. While obtaining evidence about the effective operation of controls, the auditor considers how they were applied, the consistency with which they were applied during the period and by whom. Deviations may be caused by changes in key personnel, significant seasonal fluctuations in the volume of transactions and human error. When deviations are detected, the auditor makes specific inquiries, particularly about the timing of staff changes in key internal control functions, and ensures that the tests of control appropriately cover such a period of change or fluctuation. The auditor evaluates whether the controls are designed and operating as contemplated in the preliminary assessment of control risk; if not, the assessed control risk is revised and the nature, timing and extent of planned substantive procedures are modified.

Application. Both causes named in the Study Material are present: the transfer of the two area managers and the festival surge. Bunty's sample already covers the window with 12 café-days; Iyer & Associates should confirm through inquiry exactly when the new managers took charge, and test whether the control resumed afterwards.

Conclusion. For Bhopal and Indore in the festival period, the control cannot support the preliminary assessment of control risk unless other tests of control support it. The auditor should revise control risk for that period and modify the substantive procedures, for example by testing cash sales and bank deposits for those cafés and weeks in detail, and report the deficiency to management, considering under SA 265 whether it is significant.

Worked example **Four findings, three letters**

At the close of Tapri's 2025-26 audit, Iyer & Associates list four findings on café cash and the books:

(a) At 3 of the 40 cafés visited, petty cash is counted at closing by the café manager alone; the shortages found there total ₹2,400.

(b) Since October 2025, nobody in the finance team has reviewed the monthly café cash reports, which would show such shortages.

(c) Last year's audit communicated to the audit committee, as a significant deficiency, that journal entries above ₹10 lakh are posted without a second approval. Nothing has changed: 14 such entries were posted in the last week of March 2026.

(d) The monthly bank reconciliation review in January found a duplicate supplier payment of ₹4,20,000, which was recovered in February.

Required:

(i) State, with reasons, whether each finding (alone or with another) is a deficiency in internal control, a significant deficiency, or neither.

(ii) How, and to whom, should Iyer & Associates communicate them?

MODEL ANSWER

Relevant provision. As per SA 265, a deficiency in internal control exists when a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis, or a control necessary to do so is missing. A significant deficiency is a deficiency or combination of deficiencies that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance. Its significance depends not only on whether a misstatement has actually occurred, but also on the likelihood that one could occur and its potential magnitude. Matters the auditor may consider include the susceptibility to loss or fraud of the related asset, the interaction of the deficiency with other deficiencies, and the importance of the controls to the financial reporting process (such as controls over the period-end process and non-recurring journal entries); management's failure to implement remedial action on significant deficiencies previously communicated is an indicator of a significant deficiency.

(i) Classification.

Finding	Classification	Reason
(a) Single-person count	Deficiency	One person counting cannot prevent or detect a shortage; small amounts alone
(b) No review since October	Deficiency	The detective control over café cash is not operating
(a) and (b) together	Significant deficiency	Neither prevention nor detection over cash, an asset highly susceptible to loss or fraud, across the cafés
(c) Journal entry approval	Significant deficiency	Previously communicated and not remedied; a period-end control over large non-recurring entries
(d) Duplicate payment	Neither	The control detected and corrected the misstatement on a timely basis: it worked

The small size of the shortages in (a) does not settle the matter: significance turns on the likelihood and potential magnitude of misstatement, judged with the interaction of (a) and (b).

(ii) Communication. The auditor shall communicate in writing the significant deficiencies (the combination of (a) and (b), and (c)) to those charged with governance, here the audit committee, on a timely basis, and also communicate them in writing to management at an appropriate level of responsibility. The written communication shall include a description of the deficiencies and an explanation of their potential effects, and enough information for the audit committee and management to understand its context: that the purpose of the audit was to express an opinion on the financial statements; that the audit included consideration of internal control in order to design appropriate audit procedures, not to express an opinion on its effectiveness; and that the matters reported are limited to the deficiencies identified during the audit that the auditor concluded are of sufficient importance to report. For (c), the communication should also note that the deficiency was reported last year and remains unremedied. Finding (d) needs no communication as a deficiency.

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the 9 ICAI documents read for this lesson, testing internal control or reporting findings was examined 12 times.

- **The four tests and walkthroughs, 4 or 5 marks.** Re-performance of a bank reconciliation, plus the other procedures in tests of control: September 2024 Q2(a), 4 marks. The four audit tests in an automated environment and the role of judgment: January 2025 Q6(c) (an OR question), 4 marks. Ways of testing in an automated environment and the most effective combination: May 2026 Q4(a), 5 marks. Testing methods and what to do when general IT controls are ineffective: MTP May 2026 Series II Q6(c), 4 marks. Inspection as a test of controls (evidence of authorisation): MTP January 2026 Series II Q3(a).
- **Reporting findings, 4 marks.** Points to consider in assessing and reporting IT findings: September 2025 Q6(c). Assess and report findings and deficiencies in an automated environment: MTP September 2026 Series I Q6(c).
- **Tests of controls over sales for receivables, 4 or 5 marks**: MTP May 2024 Series II Q4(a), May 2025 Q4(c), MTP September 2026 Series I Q5(b), each answered with the Study Material's nine points.
- **Communicating deficiencies.** A one-line description of significant deficiencies is not proper: MTP May 2024 Series II Q6(b). Significant deficiencies must go in writing to those charged with governance, not an oral briefing: MTP January 2026 Series II MCQ 15.

In the exam

How the marks are earned

"What kind of test?" questions are answered by naming the test and quoting its definition with the Study Material's example (bank reconciliation for re-performance; authorisation for inspection). The automated-environment questions are answered with the four tests, the inquiry/reperformance trade-off, "inquiry combined with inspection gives the most effective and efficient audit evidence", the judgment factors, documentation, and the three common methods, walkthrough first.

Trick

Ask, watch, look, redo

Inquiry, observation, inspection, reperformance. ICAI ranks only the two ends: **ask** is the cheapest and weakest (never alone), **redo** the strongest and dearest. **Watch** proves only the moment you watched; **ask + look** is the usual best buy. Which one to use in a given case is still the auditor's judgment.

Answer frame

"What test of control is the auditor performing?"

1. **Purpose**: tests of controls give evidence about the effectiveness of the design and of the operation of internal control throughout the period.
2. **Name the test** and give its definition with the Study Material's example.
3. **Apply** it to the facts.

4. **Add the other procedures** (inspection; inquiry and observation; re-performance; tests of computerised controls) if asked.

"How are findings assessed and reported?"

Step	What to write
Consider	Weaknesses in IT controls? Impact on the overall audit?
Assess	Each finding: impact on the audit; is it a deficiency (definition)?
Judge	Quantitative and qualitative; individually and in the aggregate
Report	Management: internal controls memo or management letter
Escalate	Significant deficiencies: in writing to those charged with governance

Common mistakes

⚠ **Common mistake**

Hall of Shame: the manual that tested itself

Bunty reads the procedure manual and calls the control effective. **Fix:** understanding design and implementation is not a test of operating effectiveness; the auditor needs evidence that the control operated throughout the period (SM 3.41, 3.52).

⚠ **Common mistake**

"The staff said they always do it"

Fix: inquiry is the most efficient test but gives the least evidence; inquiry alone is not sufficient, so combine it with observation, inspection or reperformance (SM 3.59).

⚠ **Common mistake**

"No misstatements found, so the controls work"

Fix: the absence of misstatements detected by substantive procedures does not provide evidence that controls are effective (SM 3.69).

⚠ **Common mistake**

The one-line management letter

"Controls over sales are not followed." **Fix:** a written communication of significant deficiencies describes them and explains their potential effects, with enough context to understand it (SM 7.49).

Practice

Check yourself

1 Case scenario. CA Farhan tests Rangoli Snacks Ltd's control that the stores manager approves every material issue. He asks the stores manager how issues are approved, then watches the issues made on one morning, and concludes the control operated effectively for the whole year. Which of the following is correct?

- **A** Proper: inquiry and observation together are sufficient
- **B** Not proper: one morning's observation proves only that morning; he should also inspect approved issue notes across the year
- **C** Proper: tests of controls need not cover the whole period
- **D** Not proper: he should have relied on inquiry alone, the most efficient test

2 Which test of control gives the best audit evidence but is usually the least efficient?

- **A** Inquiry
- **B** Observation
- **C** Inspection
- **D** Reperformance

3 Tests of control at a café chain found deviations in 6 of 40 café-days sampled. What deviation rate did the sample show (in %)?

Answer: _____

4 Select all that the Study Material names as possible causes of deviations from prescribed controls.

- **A** Changes in key personnel
- **B** Significant seasonal fluctuations in volume of transactions
- **C** Human error
- **D** An unmodified audit opinion in the previous year

More than one answer may be right.

5 Case scenario. Lakshmi finds that anyone in Tapri's accounts team can change a supplier's bank account details in the ERP without approval. Her tests find no misstatement. Bunty says: "No misstatement, so it cannot be a significant deficiency." Which of the following is correct?

- **A** Bunty is right: a deficiency is significant only if it has caused a misstatement
- **B** Bunty is right, unless management agrees that the deficiency is significant
- **C** Bunty is wrong: significance depends also on the likelihood and potential magnitude of a misstatement, so a significant deficiency may exist even though no misstatement has been identified
- **D** Bunty is wrong: every deficiency in internal control is a significant deficiency

Answers: the answer key at the end of this lesson.

Recap

- Tests of controls give evidence about the effectiveness of the design and the operation of internal control throughout the period; planned selectively, important areas covered over, say, three years.
- Understanding design and implementation is not a test of operating effectiveness, except that an implemented automated control may serve as one if program change controls are effective.
- Procedures: inspection (authorisation), inquiry and observation (controls with no audit trail), re-performance (bank reconciliation), tests of computerised controls (access, program change).
- Inquiry: most efficient, least evidence, never alone. Reperformance: best evidence, least efficient. Inquiry plus inspection: generally the most effective and efficient.
- Walkthrough: one end-to-end transaction traced with inquiry, observation and inspection.
- Deviations (staff changes, seasonal volume, human error): specific inquiries, cover the period, revise control risk if needed and modify substantive procedures.
- Report deficiencies to management in an internal controls memo or management letter; significant deficiencies in writing to those charged with governance.
- (Bunty now redoes one reconciliation before he ticks twelve.)

Answer key · Check yourself

1 **B Not proper: one morning's observation proves only that morning; he should also inspect approved issue notes across the year**

Observation covers only that morning (SM 3.67), and tests of controls look for evidence of operation throughout the period (SM 3.52). Inquiry alone is never sufficient (SM 3.59).

2 **D Reperformance**

Reperformance is the most effective test and gives the best evidence, but is very time consuming (SM 3.59).

3 **15**

6 ÷ 40 = 0.15, so 15%. A rate alone does not settle reliance: the auditor also asks why, and whether the tests cover the period of change.

4 **A Changes in key personnel; B Significant seasonal fluctuations in volume of transactions; C Human error**

The three causes are named at SM 3.53; the auditor then makes specific inquiries, particularly about the timing of staff changes.

5 **C** **Bunty is wrong: significance depends also on the likelihood and potential magnitude of a misstatement, so a significant deficiency may exist even though no misstatement has been identified**

SM 7.47: the significance of a deficiency depends not only on whether a misstatement has actually occurred, but also on the likelihood that one could occur and its potential magnitude. Unapproved changes to suppliers' bank details expose every payment to diversion, an asset highly susceptible to loss or fraud. Whether a deficiency is significant is the auditor's professional judgment, not management's, and not every deficiency is significant.

3.6 Internal control in an IT environment

What changes when the books live in an ERP: the IT risks, the three types of control (general IT, application and IT-dependent), when manual controls still suit better, and the audit approach.

In plain words

"The computer does everything now"

Tapri has moved its accounts, inventory, billing and payroll onto one integrated ERP, joined to the delivery app. Kesar is delighted.

> **Kesar:** Lakshmi-ji, now the computer does everything. No human, no error. Audit khatam in two days?
>
> **Lakshmi:** A computer repeats a mistake perfectly, Kesar-ji. Ten lakh times before lunch.
>
> **Bunty:** And if somebody changes the program?
>
> **Lakshmi:** Then all ten lakh entries are wrong in exactly the same way.

An **automated environment** is a business where processes, operations, accounting and even decisions run on computer systems. It is faster, more accurate and handles huge volumes, but it brings its own risks: wrong processing, people getting into data they should not touch, someone editing the database directly, a "super user" who can change anything, an untested program change, or data simply lost.

So the auditor looks for three kinds of control. **General IT controls** are the IT department's rules that protect every system at once: running the data centre and backups, controlling program changes, controlling who gets access, and developing systems properly. **Application controls** are checks built into each business application: a mandatory field, an invoice-number sequence check, a credit limit. **IT-dependent controls** are people acting on system reports, like a manager chasing the overdue debtors on an ERP printout. The last two can be trusted only if the general IT controls work.

Think of it like

The railway

The signalling system, track maintenance and the rule that only certified engineers may change the timetable software protect every train: those are general IT controls. Each train's automatic door lock and speed governor are application controls. The station master who reads the departure board the system prints and then waves the green flag performs an IT-dependent control. If the signalling is faulty, nothing a train does automatically can be trusted, and the station master is reading the wrong board.

Key idea

Automated application controls and IT-dependent controls are effective and reliable only if general IT controls are effective. When IT risks are not mitigated, the auditor cannot rely on system data or automated controls, and must test more, not less.

How it works

1. The automated environment

An automated environment is a business environment where the processes, operations, accounting and even decisions are carried out using computer systems, also known as Information Systems (IS) or Information Technology (IT) systems. Its fundamental principle is to carry out business with less manual intervention and more system-driven processing (SM 3.54). Key features (SM 3.54):

- enables faster business operation;
- accuracy in data processing and computation;
- ability to process large volumes of transactions;
- integration amongst business operations;
- better security and controls;
- less prone to human errors;
- provides latest information; and
- connectivity and networking capability.

More automation, more complexity. The complexity of a business environment depends on its level of automation: the more automated, the more complex it is likely to be. A company using an integrated ERP (SAP, Oracle) is considered more complex to audit than one using off-the-shelf accounting software (SM 3.54).

2. Understanding and documenting it

The auditor is required to understand the entity and its business, **including IT**: how the IT department is organised, IT activities, IT dependencies, and the relevant risks and controls. Points to consider (SM 3.55):

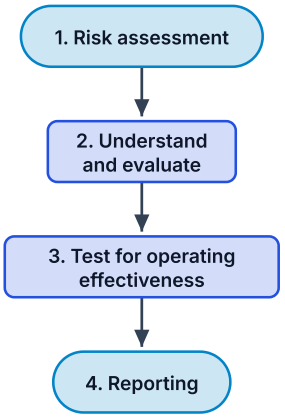
1. information systems being used (one or more application systems, and what they are);
2. their purpose (financial and non-financial);
3. location of IT systems: local or global;
4. architecture: desktop based, client-server, web application, cloud based;
5. version (functions and risks can vary between versions of the same application);
6. interfaces within systems, where multiple systems exist;
7. in-house or packaged;
8. outsourced activities (IT maintenance and support); and
9. key persons (CIO, CISO, administrators).

The understanding obtained should be **documented** (SM 3.55).

3. The audit approach in an automated environment

The Study Material sets out the audit in four stages (SM 3.61):

Audit approach in an automated environment (SM 3.61)



What the auditor does at each stage is in the two tables below.

Stage one: risk assessment	Stage two: understand and evaluate
Identify significant accounts and disclosures	Document the business processes using flowcharts or narratives
Qualitative and quantitative considerations	Prepare risk and control matrices (RCM)
Relevant financial statement assertions (FSA)	Understand the design of controls by walkthroughs of the end-to-end process
Identify likely sources of misstatement	Process-wide considerations: entity level controls, segregation of duties
Consider the risk arising from use of IT systems	IT general controls and application controls

Stage three: test for operating effectiveness	Stage four: reporting
Assess the nature, timing and extent (NTE) of controls testing	Evaluate control deficiencies
Assess the reliability of source data; completeness of population	Significant deficiencies, material weaknesses
Test key reports and spreadsheets	Remediation of control weaknesses
Sample testing	Internal controls memo (ICM) or management letter
Consider the competence and independence of the staff performing controls testing	Auditor's report

How the tests are done and how findings are reported are explained in testing internal control.

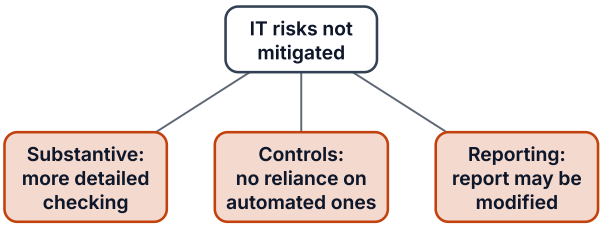
4. Risks arising from the use of IT systems

Having understood the systems, the auditor considers the risks that arise from their use (SM 3.55–3.56):

1. inaccurate processing of data, processing inaccurate data, or both;
2. unauthorised access to data;
3. direct data changes (backend changes);
4. excessive access or privileged access (super users);
5. lack of adequate segregation of duties;
6. unauthorised changes to systems or programs;
7. failure to make necessary changes to systems or programs; and
8. loss of data.

5. If those risks are not mitigated

Unmitigated IT risks: three impacts on the audit (SM 3.56)



Each impact means more audit work or a different report; the third arises from the regulatory requirement to report on internal financial controls of companies.

- **Impact on substantive checking.** Data obtained from the systems cannot be relied on, so all information, data and reports have to be tested thoroughly for **completeness and accuracy**: increased substantive (detailed) checking.
- **Impact on controls.** No reliance on automated controls, system calculations and accounting procedures built into applications; additional audit work.
- **Impact on reporting.** Because of the regulatory requirements on internal financial controls for companies, it may lead to modification of the auditor's report in some instances (SM 3.56).

6. Three types of control

Controls in an automated environment are (SM 3.56): **(A) general IT controls, (B) application controls and (C) IT-dependent controls.**

(A) GENERAL IT CONTROLS

Definition

General IT controls

Policies and procedures that relate to many applications and support the effective functioning of application controls (SM 3.56).

They are implemented to mitigate IT-specific risks and applied commonly across multiple IT systems, applications and business processes; hence they are known as pervasive or indirect controls (SM 3.57). They commonly include controls over four areas (SM 3.57–3.58):

Area	Objective: to ensure that	Includes
(a) Data centre and network operations	production systems are processed to meet financial reporting objectives	Managing computer operations, scheduling and running batch jobs, monitoring, storing and retaining backups, performance monitoring, BCP and DRP
(b) Program change	modified systems continue to meet financial reporting objectives	Change management process; recording, managing and tracking change requests; making and testing changes
(c) Access security	access to programs and data is authenticated and authorised to meet financial reporting objectives	Security organisation and management, security policies and procedures, application, data, operating system, network and physical security
(d) Application system acquisition, development and maintenance	systems are developed, configured and implemented to meet financial reporting objectives	Management of development, project initiation, analysis and design, construction, testing and quality assurance

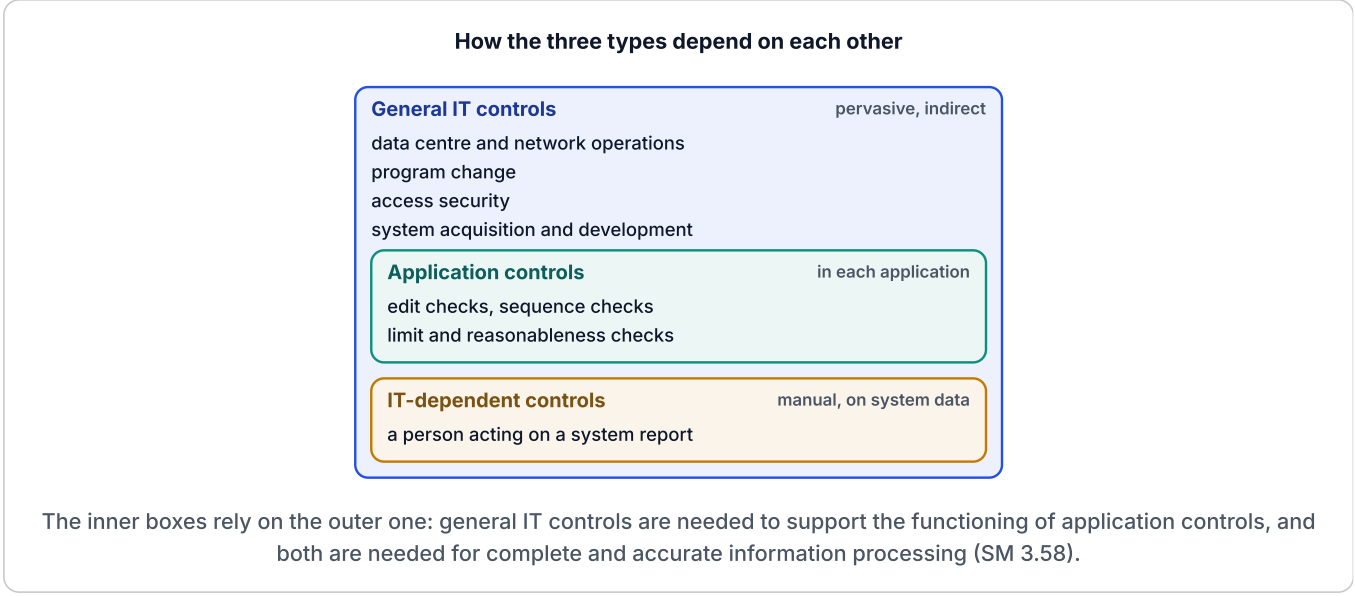
BCP is the business continuity plan and DRP the disaster recovery plan, which deal with recovery from failures (SM 3.57).

(B) APPLICATION CONTROLS

Application controls include both **automated and manual** controls that operate at a **business process level**. Automated application controls are embedded in IT applications such as ERPs and help ensure the **completeness, accuracy and integrity** of data in those systems. Examples: edit checks and validation of input data, sequence number checks, user limit checks, reasonableness checks, and mandatory data fields (SM 3.58).

(C) IT-DEPENDENT CONTROLS

These are basically **manual controls that use data, information or a report produced by IT systems**. Although performed manually, their design and effectiveness depend on the **reliability of the source data**. Because of this inherent dependency on IT, the effectiveness and reliability of automated application controls and IT-dependent controls **require the general IT controls to be effective** (SM 3.58).



The inner boxes rely on the outer one: general IT controls are needed to support the functioning of application controls, and both are needed for complete and accurate information processing (SM 3.58).

General IT controls vs application controls (SM 3.58): the two categories are **interrelated**. General IT controls are needed to support the functioning of application controls, and both are needed to ensure complete and accurate information processing through IT systems.

7. Testing in an automated environment, in brief

The four audit tests (inquiry, observation, inspection, reperformance), the walkthrough of one end-to-end transaction, observing a user under different scenarios and inspecting an application's configuration are in testing internal control (SM 3.58–3.59). Two IT-specific points:

- Where general IT controls are **not existing, or existing but ineffective**, the auditor assesses the impact of IT risks and the complexity of the automated environment and **plans alternative audit procedures** in order to rely on system-based information (SM 3.59).
- Because of the inherent consistency of IT processing, determining that an automated control has been implemented may serve as a test of its operating effectiveness, depending on the auditor's assessment and testing of controls such as those over program changes (SM 3.41).

8. Manual and automated elements

An entity's internal control contains manual elements and often automated ones; their characteristics matter to the risk assessment. Controls in a **manual system** include approvals and reviews of transactions, and reconciliations and follow-up of reconciling items; with automated procedures, electronic records replace paper documents. Controls in **IT systems** combine automated controls (embedded in computer programs) and manual controls, which may be independent of IT, may use information produced by IT, or may be limited to monitoring IT and automated controls and handling exceptions (SM 3.59–3.60).

Manual elements may be more suitable where judgment and discretion are required, such as (SM 3.60):

- large, unusual or non-recurring transactions;
- circumstances where errors are difficult to define, anticipate or predict;

- changing circumstances that require a control response outside the scope of an existing automated control; and
- monitoring the effectiveness of automated controls.

Manual elements may be less suitable for (SM 3.60):

- high volume or recurring transactions, or situations where errors that can be anticipated or predicted can be prevented, or detected and corrected, by automated control parameters; and
- control activities where the specific ways to perform the control can be adequately designed and automated.

Manual elements may be **less reliable** than automated ones: they can be more easily bypassed, ignored or overridden and are more prone to simple errors and mistakes, so their consistency of application cannot be assumed. The entity responds to the risks from IT or from manual elements by establishing effective controls suited to its information system (SM 3.60–3.61).

Worked examples

Worked example **One credit limit, three controls**

Tapri enforces its distributors' credit limits in three ways:

(a) The ERP blocks any sales order that would take a distributor above the credit limit recorded in the customer master.

(b) Every Monday, the credit manager reviews an ERP report of distributors above 90% of their limit and telephones each one before further supplies are released.

(c) For the Diwali season, the regional head approves on paper, case by case, orders above the limit for 14 festival distributors, after reading each distributor's signed financial statements and payment record in its physical file.

During the walkthrough, Bunty finds that the ERP's nightly batch job, which posts the day's invoices and receipts to distributor balances, failed on 11 nights in March 2026, and that nobody reviews the batch log.

Required:

(i) Identify the type of control in (a), (b) and (c), and the area of general IT control in which Bunty's finding falls.

(ii) Explain how the types of control are related, and what Bunty's finding means for the auditor's reliance on each of (a), (b) and (c).

MODEL ANSWER

(i) Types. Controls in an automated environment are categorised as general IT controls, application controls and IT-dependent controls.

Control	Type	Why
(a) Order block	Application control (automated)	A limit check embedded in the ERP at the business process level
(b) Monday review	IT-dependent control	A manual control using a report produced by the IT system
(c) Diwali approvals	Manual control, independent of IT	A judgment on each case, using paper records
Bunty's finding	General IT control: data centre and network operations	Scheduling and running batch jobs, and monitoring them

Control (c) is the kind of situation in which manual elements may be more suitable: changing circumstances that need a control response outside the scope of the existing automated control, where judgment and discretion are required.

(ii) Relationship and reliance. General IT controls are policies and procedures that relate to many applications and support the effective functioning of application controls; the two are interrelated, and both are needed to ensure complete and accurate information processing. IT-dependent controls, though performed manually, depend on the reliability of the source data, so the effectiveness of automated application controls and IT-dependent controls requires the general IT controls to be effective.

- *Control (a)*: the block compares each order with a balance that, on 11 nights, was not updated. The control may have operated exactly as programmed against incomplete data, so the auditor cannot rely on it for March without alternative procedures.
- *Control (b)*: the report the credit manager reviewed was drawn from the same balances, so its completeness and accuracy, and therefore the review, cannot be relied on either.
- *Control (c)*: it does not use the ERP balances. Its reliability depends on how it was performed, so the auditor tests it directly, for example by inspecting the 14 approvals and the files behind them. Being manual, it can be more easily bypassed or overridden, and its consistency of application cannot be assumed.

Where general IT controls are ineffective, the auditor assesses the impact of the IT risks and plans alternative audit procedures. Here that includes testing the completeness and accuracy of the receivables balances for March directly (more substantive checking), and evaluating the batch-monitoring failure as a control deficiency for reporting.

Worked example **When the foundation cracks**

For 2025-26, Iyer & Associates planned to rely on two things in Tapri's ERP: the automated three-way match of purchase order, goods received note and supplier invoice before payment, and the system-generated inventory ageing used to provide for slow-moving stock. During the walkthrough, Bunty finds that the ERP vendor's support engineer has a permanent administrator login, which he used on 2 April 2026 to edit 31 March stock quantities directly in the database "so that a report would balance", and that two changes to the purchase module were moved into the live system without testing.

Advise Iyer & Associates on the risks involved, their impact on the audit and the course of action.

MODEL ANSWER

Relevant provision. Risks arising from the use of IT systems include unauthorised access to data, direct data changes, excessive access, and unauthorised changes to systems or programs. General IT controls, such as access security and program change, support the effective functioning of application controls, and the effectiveness and reliability of automated application controls and IT-dependent controls require general IT controls to be effective. If IT risks are not mitigated, data from the systems cannot be relied on and must be tested thoroughly for completeness and accuracy (increased substantive checking); automated controls, system calculations and accounting procedures cannot be relied on; and, given the reporting requirements on internal financial controls, the auditor's report may be modified. Where general IT controls are not existing or are ineffective, the auditor assesses the impact of IT risks and the complexity of the automated environment and plans alternative audit procedures to rely on system-based information.

Facts and analysis. Risks from the list have materialised: excessive or privileged access (a permanent administrator login held by an outsider), which gave unauthorised access to data and allowed a direct data change to year-end stock quantities; and changes to the purchase module moved into the live system without testing, by-passing the change management process. Access security has failed, and so has program change control, whose objective is to ensure that modified systems continue to meet financial reporting objectives. The three-way match is an automated application control and the inventory ageing is a system report used for an IT-dependent control: neither can be relied on while these general IT controls are ineffective.

Conclusion. Iyer & Associates should not rely on the automated three-way match; instead they should extend substantive procedures over purchases and payments, for example by vouching a larger sample of payments to purchase orders, goods received notes and invoices. They should test the inventory ageing report for completeness and accuracy before using it, or rebuild it independently from transaction data, and test the year-end stock quantities directly, starting with the edits of 2 April. The deficiencies should be communicated to management and, if significant, in writing to those charged with governance, and their effect on the auditor's reporting on internal financial controls considered.

Worked example

The land deal and the "fully digital" board

Kesar wants Tapri to "go fully digital": the ERP should approve every payment that meets policy limits, and the board's manual review should be scrapped, including for the ₹42 crore purchase of land for a new factory near Pithampur. Comment, with reference to manual and automated elements of internal control.

MODEL ANSWER

Relevant provision. Manual elements in internal control may be more suitable where judgment and discretion are required, such as for large, unusual or non-recurring transactions; where errors are difficult to define, anticipate or predict; in changing circumstances requiring a control response outside an existing automated control; and in monitoring the effectiveness of automated controls. Manual elements may be less suitable for high volume or recurring transactions, where predictable errors can be prevented, or detected and corrected, by automated control parameters.

Analysis. Tapri's daily café sales and routine supplier payments are high-volume and recurring: automated controls suit them. The land purchase is large, unusual and non-recurring, and its terms call for judgment about value, title and approvals that an automated limit check cannot exercise.

Conclusion. Kesar's plan is not appropriate in full. Routine transactions may be controlled by automated controls, but the land purchase should remain subject to manual review and approval by the board, and someone must still manually monitor whether the automated controls are working.

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the 9 new-scheme ICAI documents read for this lesson, the topic was examined 9 times.

- **Types of control, 3 or 4 marks.** Mention the types of control and classify access security, sequence number checks, data centre and network operations and mandatory data fields: May 2025 Q1(b), 4 marks. Classify reasonableness checks, data centre and network operations, application system acquisition, development and maintenance, and program change controls: MTP May 2024 Series I Q6(d), 3 marks.
- **General IT controls in depth.** Objectives and activities of access security and program change: RTP May 2025 Q11. A control "to ensure that production systems are processed to meet financial reporting objectives" is a data centre and network operations control, not an application control: January 2025 MCQ 5.
- **The automated environment.** How to understand and evaluate it after a shift to a fully automated ERP: January 2026 Q3(c), 4 marks (the answer lists the nine points of SM 3.55 and the "understand and evaluate" column of SM 3.61). Testing methods, and the course of action where general IT controls are ineffective: MTP May 2026 Series II Q6(c), 4 marks.
- **Manual elements.** When are manual elements more suitable? May 2024 Q3(c), 3 marks.
- **Impact of IT risks.** In what ways IT-related risks can affect the audit: RTP May 2024 Q6 (the answer gives the three impacts, on substantive checking, controls and reporting).
- **MCQ.** Unauthorised access to an inventory system by production supervisors indicates control risk: MTP January 2026 Series II MCQ 11.

In the old scheme, the impact of unmitigated IT risks on the audit was asked in November 2020 Q3(d), 3 marks. The Study Material's own MCQs test the same points: automation makes the business environment more complex; "processing of large volumes of data" is not an IT risk; validation of input data is not a general IT control (SM 3.79–3.81).

In the exam

How the marks are earned

The Suggested Answers to classification questions are a two-column table with one type against each control: name the type precisely ("General IT controls", "Application controls") and, where asked, the area. Descriptive answers reproduce the Study Material's lists in its order: the nine points for understanding the automated environment, the four general IT control areas with their objective ("to ensure that ... to meet financial reporting objectives"), and the manual-element circumstances, opening with "where judgment and discretion are required".

Trick

Spot the general IT control

If a control protects **many applications at once** (backups, data centre, who may change programs, who may log in, how systems are built), it is a **general IT control**. If it sits **inside one application's transaction screen** (a field, a sequence, a limit, a reasonableness range), it is an **application control**. If a **person** acts on a **system report**, it is **IT-dependent**. Condition: application controls can also be manual at the business-process level (SM 3.58), so read what the control does, not just who does it.

Answer frame

"Discuss the relationship between general IT controls and application controls"

1. **Define general IT controls**: policies and procedures relating to many applications that support the effective functioning of application controls; pervasive or indirect; four areas.
2. **Define application controls**: automated or manual at the business process level; embedded in applications; completeness, accuracy, integrity; examples.
3. **The relationship**: interrelated; general IT controls are needed to support application controls; both needed for complete and accurate processing.
4. **Consequence**: if general IT controls fail, application controls and IT-dependent controls cannot be relied on.

"How would you understand and evaluate the automated environment?"

Part	What to write
Requirement	Understand the entity and its business, including IT: IT organisation, activities, dependencies, risks, controls
Points	The nine points: systems used, purpose, location, architecture, version, interfaces, in-house or packaged, outsourcing, key persons
Evaluate	Flowcharts or narratives, RCM, walkthroughs, entity level controls and segregation of duties, general IT and application controls
Close	Document the understanding

Common mistakes

⚠ **Common mistake**

Hall of Shame: the computer that cannot err

Writing that an automated environment is simpler and needs less audit work. **Fix:** the more automated the environment, the more complex it is likely to be (SM 3.54, 3.79), and if IT risks are not mitigated the auditor does more substantive checking, not less (SM 3.56).

⚠ **Common mistake**

Calling an input validation a general IT control

Fix: edit checks and validation of input data are application controls; general IT controls are the four pervasive areas (SM 3.57–3.58). ICAI's own MCQ uses exactly this trap (SM 3.80).

⚠ **Common mistake**

Forgetting that IT-dependent controls depend on IT

A manager's review of a system report is "manual", so Bunty ignores IT. **Fix:** its effectiveness depends on the reliability of the source data and so on effective general IT controls (SM 3.58).

Practice

Check yourself

1 Case scenario. Ojas Foods Ltd bills through an integrated ERP. CA Sneha finds that any of its 40 sales staff can edit the ERP's discount master, and that the edits are not logged. The company asks her to rely on the ERP's automated check that blocks any invoice with a discount above the master's limit. Which of the following is correct?

- A She can rely on the check, since automated controls operate consistently
- B She should not rely on it while access security over the master is ineffective; she should plan alternative procedures and increase substantive checking of discounts
- C She should rely on it, because application controls do not depend on general IT controls
- D She should issue a disclaimer of opinion at once

2 Case scenario. In Tapri's ERP review, Bunty lists four findings. Which single finding would most likely prevent the auditor from relying on all of Tapri's automated application controls at once?

- A The café billing module does not flag invoice numbers out of sequence
- B The purchase screen lets a user save an order without a delivery date
- C The threshold of one reasonableness check on daily sales is set too high
- D Any of the six programmers can move an untested change into the live ERP

3 Which statement about manual elements of internal control is correct?

- **A** They are more reliable than automated elements because humans use judgment
- **B** They may be more suitable for large, unusual or non-recurring transactions
- **C** They are most suitable for high-volume recurring transactions
- **D** Their consistency of application can be assumed

4 Select all the risks arising from the use of IT systems, as the Study Material lists them, that these facts at Tapri show: the Pune café manager, who left in January, still logs in to the ERP; the ERP's tax table was not updated when a GST rate changed; and the IT head can create a vendor, approve its invoices and release its payments.

- **A** Unauthorised access to data
- **B** Failure to make necessary changes to systems or programs
- **C** Lack of adequate segregation of duties
- **D** Loss of data
- **E** Direct data changes (backend changes)

More than one answer may be right.

5 Tapri's IT head tells Lakshmi: "Our change board approves and tests every change before it goes live, so our access security is strong." Which of the following is correct?

- **A** He is right: approving changes is part of access security
- **B** He is right, provided every change request is also logged
- **C** He has described program change controls; access security is meant to ensure that access to programs and data is authenticated and authorised
- **D** He has described an application control, since changes are made to applications

Answers: the answer key at the end of this lesson.

Recap

- Automated environment: business run on IS/IT systems; faster, accurate, high volume, integrated; more automation means more complexity (ERP more complex than off-the-shelf software).
- Understand IT: nine points (systems, purpose, location, architecture, version, interfaces, in-house or packaged, outsourcing, key persons), and document it.
- Eight IT risks: inaccurate processing (or inaccurate data), unauthorised access to data, direct (backend) data changes, excessive or privileged access (super users), lack of segregation of duties, unauthorised program changes, failure to make necessary program changes, loss of data.
- Unmitigated IT risks: more substantive checking, no reliance on automated controls, possibly a modified report (internal financial controls).

- Three types: general IT controls (pervasive or indirect: data centre and network operations, program change, access security, system acquisition, development and maintenance), application controls, IT-dependent controls.
- General IT controls support application controls; both are needed for complete and accurate processing; ineffective general IT controls mean alternative procedures.
- Manual elements suit judgment: large, unusual or non-recurring items, unpredictable errors, changing circumstances, monitoring automated controls.
- (The computer repeats its mistakes perfectly; the auditor's job is to find out whether anyone can change the program.)

Answer key · Check yourself

1 **B She should not rely on it while access security over the master is ineffective; she should plan alternative procedures and increase substantive checking of discounts**

Access security is a general IT control, and automated application controls require general IT controls to be effective (SM 3.58): a limit check is only as good as the limit anyone can change. With them ineffective, the auditor plans alternative procedures (SM 3.59) and increases substantive checking (SM 3.56). Nothing yet points to a disclaimer.

2 **D Any of the six programmers can move an untested change into the live ERP**

Program change is a general IT control: general IT controls relate to many applications and support the effective functioning of application controls, which is why they are called pervasive (SM 3.56–3.57). A weakness there undermines every automated control the changes could touch. The other three are weaknesses in single application controls (sequence check, mandatory field, reasonableness check) and affect only their own area.

3 **B They may be more suitable for large, unusual or non-recurring transactions**

Manual elements suit judgment and discretion; they are less reliable because they can be bypassed, ignored or overridden, and their consistency cannot be assumed (SM 3.60).

4 **A Unauthorised access to data; B Failure to make necessary changes to systems or programs; C Lack of adequate segregation of duties**

A leaver's live login is unauthorised access; the unchanged tax table is a failure to make necessary changes; one person creating, approving and paying vendors is a lack of segregation of duties (SM 3.55–3.56). Nothing in the facts shows data being lost or edited directly in the database.

5 **C He has described program change controls; access security is meant to ensure that access to programs and data is authenticated and authorised**

Program change controls ensure that modified systems continue to meet financial reporting objectives, through the change management process and making and testing changes; access security ensures that access to programs and data is authenticated and authorised (SM 3.57–3.58). Both are general IT controls, and strength in one says nothing about the other.

3.7 Digital audit and data analytics

How auditors use data analytics and CAATs (spreadsheets, IDEA, ACL) on a client's electronic records, the seven uses ICAI lists, and what "digital audit" means from planning to opinion.

In plain words

Bunty and the eighteen lakh invoices

Tapri's delivery app raised 18,42,316 sales invoices in 2025-26. Bunty has a plan, a pencil and his famous tick.

> **Bunty:** Ma'am, I will vouch 200 invoices. My fastest tick takes four seconds.
>
> **Lakshmi:** And the other eighteen lakh? Load the file. Let the software read every line; you read the exceptions.
>
> **Bunty:** It can find duplicate payments too?
>
> **Lakshmi:** In seconds. Deciding what they mean is still your job.

Companies now hold enormous amounts of data in their IT systems. **Data analytics** is the set of processes, tools and techniques used to dig meaningful information out of that data. Businesses use it to sell more and run better; auditors use the same ideas. The auditor's tools are called **CAATs** (Computer Assisted Auditing Techniques): spreadsheets and specialised audit software such as **IDEA** and **ACL**. With them the auditor can check that a data file is complete, pick samples, rebuild balances from transactions, redo calculations such as depreciation, analyse journal entries, investigate fraud and measure what a weak control has cost.

Digital audit goes one step wider: the auditor uses artificial intelligence, data analytics and other new technology all through the audit, from planning to the final opinion, to understand the business better and spot risks sooner.

Think of it like

The rice and the thali

Checking a sack of rice for stones by tasting one spoonful is sampling. Spreading the whole sack on a thali under a bright lamp is data analytics: every grain is seen. But someone still has to look at each dark grain and decide whether it is a stone or just a burnt grain of rice. That someone is the auditor.

Key idea

Data analytics lets the auditor work through large volumes of electronic records, but its results are only as good as the completeness of the data it is run on, and every exception still needs the auditor's judgment and follow-up.

How it works

1. Data analytics

Definition

Data analytics

"The combination of processes, tools and techniques that are used to tap vast amounts of electronic data to obtain meaningful information" (SM 3.61).

In today's digital age companies rely more and more on IT systems and networks, and the data in them is enormous. Companies benefit from data analytics through increased profitability, better customer service, competitive advantage and more efficient operations; **auditors can use similar tools and techniques in the audit process and obtain good results** (SM 3.61).

2. CAATs and their seven uses

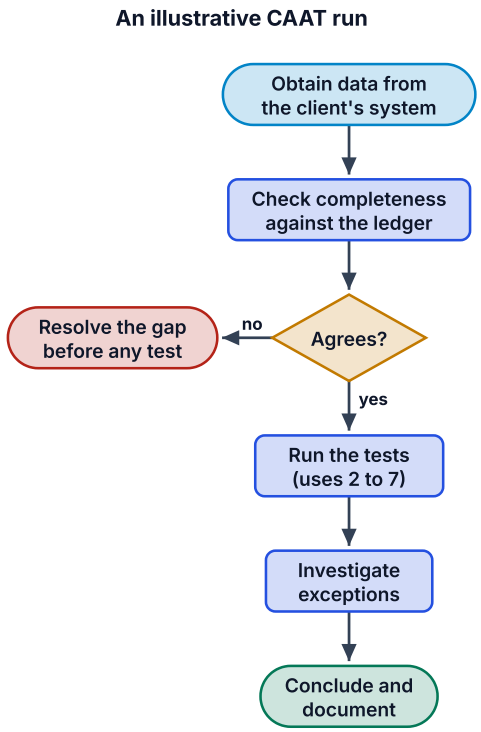
Definition

Computer Assisted Auditing Techniques (CAATs)

The tools and techniques that auditors use in applying the principles of data analytics (SM 3.62).

Data analytics can be used in testing electronic records and data residing in IT systems, using **spreadsheets and specialised audit tools viz. IDEA and ACL**, to perform the following, in ICAI's order (SM 3.62):

Use	At Tapri, for example
1. Check completeness of data and population used in either tests of controls or substantive audit tests	Total the sales extract and agree it to the revenue ledger before testing it
2. Selection of audit samples: random sampling, systematic sampling	Pick 60 invoices from 18,42,316 by a fixed interval from a random start
3. Re-computation of balances: reconstruction of trial balance from transaction data	Rebuild trade receivables from opening balance, sales, receipts and credit notes
4. Reperformance of mathematical calculations: depreciation, bank interest calculation	Recompute depreciation on every asset in the register
5. Analysis of journal entries	List manual entries posted on Sundays, by unusual users, or back-dated
6. Fraud investigation	Find vendors paid twice for the same invoice
7. Evaluating impact of control deficiencies	Find every entry posted through a leaver's login



The uses are ICAI's (SM 3.62); the order of a run is illustrative. Rose end: no test starts until the population is complete, because every later test relies on it and system data that cannot be relied on must be tested for completeness and accuracy (SM 3.56, 3.61). Green end: the work concludes.

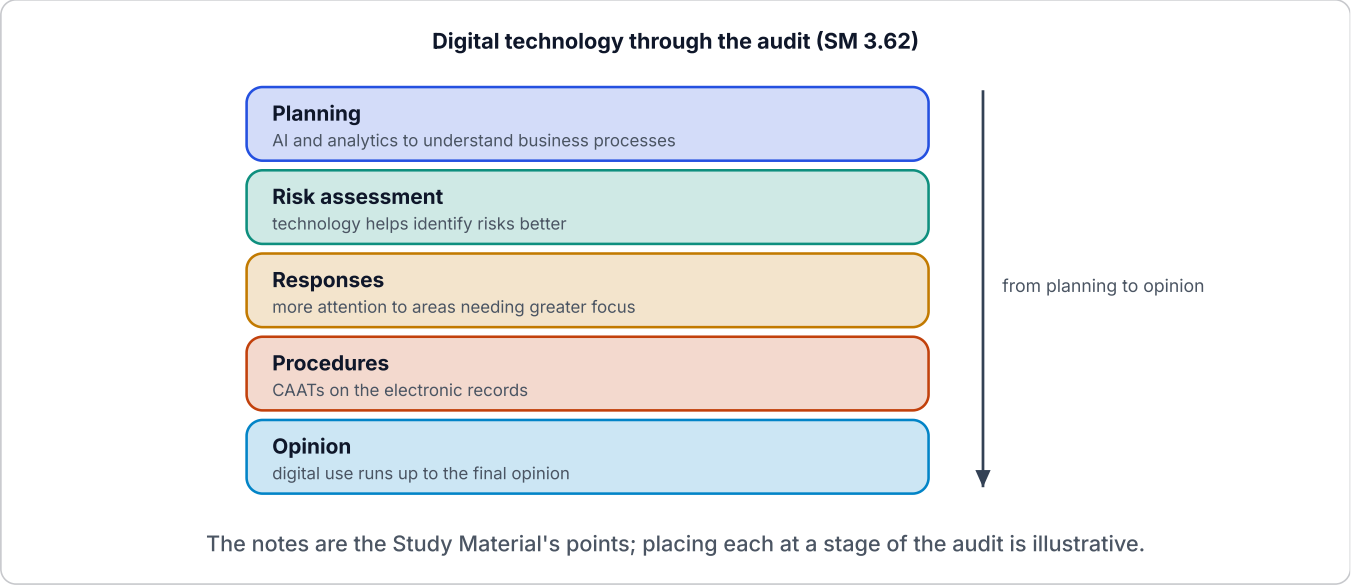
Two links to other topics:

- **Sampling.** Systematic selection divides the number of sampling units in the population by the sample size to get an interval, picks a starting point within the first interval and then every interval-th unit after it; a computerised random number generator makes the start more truly random (SM 4.62). See SA 530.
- **Analytical procedures.** Predictive analytical procedures using data analytics can be used to address completeness, valuation or measurement, and occurrence (SM 4.107). See SA 520.

3. Digital audit

Entities are embracing digitisation to keep pace with changing times; new technologies help them revamp operations and rethink how business is done, and companies are restructuring their business models driven by technology. **Automation is key to digitisation** (SM 3.62). In such an environment (SM 3.62):

- auditors use digital technology right from planning to the expression of the final opinion;
- they use **artificial intelligence, data analytics and other latest technologies** to understand business processes better;
- with such tools, they can conduct the audit better and **devote more attention to areas requiring greater focus**; and
- digital audit helps auditors **better identify risks** using technology.



4. Reliable data, audit trails and competence

- **The data must be reliable first.** If IT risks are not mitigated, system data, information and reports have to be tested thoroughly for completeness and accuracy (SM 3.56); testing in an automated environment includes assessing the reliability of source data and the completeness of the population (SM 3.61). See internal control in an IT environment.
- **Large volumes, quickly.** Audit trails throw up large volumes of data, and automated tools can be used to analyse them (SM 4.28); see audit trail.
- **Competence.** SQC 1 requires that, before accepting an engagement, the firm considers its competence (including capabilities, time and resources) to perform it: a firm with no experience and no trained personnel should not accept audits that require extensive use of technology and data analytics (SM 11.35, 11.44; SQC 1 and SA 220).

Worked examples

Worked example **The dashboard that came gift-wrapped**

At the planning meeting for Tapri's 2025-26 audit, Tapri's head of data, Nandini Bhatia, presents "Audit Ready", a dashboard her team has built on the ERP. Its three tiles read: "Sales complete: 100%", "Duplicate vendor payments: 0" and "Unusual journal entries: none".

> **Kesar:** Lakshmi-ji, Nandini has done your data analytics for you. Skip the planning analytics, use her tiles, and test a few things at the year end. Digital audit, done.

Comment on Kesar's proposal, with reference to the use of digital technology and data analytics in an audit.

MODEL ANSWER

Relevant provision. Data analytics is the combination of processes, tools and techniques used to tap vast amounts of electronic data to obtain meaningful information; the tools and techniques auditors use in applying its principles are Computer Assisted Auditing Techniques (CAATs). Using spreadsheets and specialised audit tools viz. IDEA and ACL on the electronic records and data residing in IT systems, the auditor can check completeness of data and population used in tests of controls or substantive tests,

select audit samples, re-compute balances, reperform mathematical calculations, analyse journal entries, investigate fraud and evaluate the impact of control deficiencies. In a digitised business environment, auditors use digital technology right from planning to the expression of the final opinion: artificial intelligence, data analytics and other latest technologies help them understand business processes better, devote more attention to areas requiring greater focus, and better identify risks. Testing in an automated environment includes assessing the reliability of source data and the completeness of the population. As per SA 500, when using information produced by the entity, the auditor shall evaluate whether it is sufficiently reliable for his purposes, including obtaining audit evidence about its accuracy and completeness.

Facts of the case. The dashboard is information produced by the entity: its conclusions are the client's, built by the client's team from the client's data. Kesar proposes that the auditor replace her own analytics with it and drop technology from planning.

Analysis.

1. *The tiles are conclusions, not evidence.* "Sales complete", "no duplicate payments" and "no unusual journals" are the very matters Lakshmi's procedures are meant to test. She cannot accept them without evaluating their reliability, which means obtaining the underlying data, agreeing it to the ledger and testing how the dashboard's rules were built.
2. *The population comes first.* Lakshmi's own first step is to check the completeness of the data and population she will test. A "100%" tile computed by the client does not do that for her.
3. *Her own analytics.* Running her own duplicate-payment and journal entry analyses on the full data is how CAATs serve the audit (fraud investigation; analysis of journal entries); the exceptions they produce are then investigated by the audit team.
4. *Planning.* Digital technology is used from planning onwards. Analytics at the planning stage helps the auditor understand Tapri's processes and identify risks, so that attention goes to the areas needing greater focus. Leaving technology to "a few things at the year end" loses exactly that.

Conclusion. Kesar's proposal is not acceptable. Lakshmi may use the dashboard as information about the business, and may even test it and then use it, but she must perform her own data analytics from planning onwards on data whose completeness and accuracy she has established. The judgments, the evaluation of the evidence and the opinion remain the auditor's.

Worked example **Bunty's CAAT run**

Bunty runs IDEA on Tapri's 2025-26 data. His results:

No.	Test	Result
1	Total of the sales extract against the revenue ledger	Extract ₹4,12,36,48,210; ledger ₹4,12,41,02,610
2	60 invoices selected from 18,42,316	Interval 30,705, random start
3	Trade receivables rebuilt from transactions (₹ crore): opening 38.20 + credit sales 165.40 − receipts 158.92 − credit notes 2.14	Rebuilt ₹42.54 crore; ledger ₹42.54 crore
4	Depreciation on delivery e-bikes: opening WDV ₹2,40,00,000, no additions or disposals, policy rate 25% WDV	ERP charged ₹72,00,000
5	Interest on a ₹5 crore fixed deposit at 7.25% for 9 months	Booked ₹27,18,750
6	Same vendor, invoice number and amount paid twice	4 pairs: ₹2,18,400, ₹1,96,000, ₹3,04,700, ₹2,15,500
7	Manual journal entries to revenue, back-dated into March after the year-end close	7 entries, ₹1.86 crore

Required: (i) Identify the use of data analytics in each test. (ii) Comment on the results and the auditor's next steps.

MODEL ANSWER

No.	Use of data analytics	Comment and next step
1	Check completeness of data and population	The extract is short by ₹4,54,400. The population is incomplete: resolve the gap with Tapri before any test relies on it
2	Selection of audit samples (systematic)	18,42,316 ÷ 60 = 30,705 (rounded down); ensure the invoices are not ordered in a pattern matching the interval
3	Re-computation of balances	38.20 + 165.40 − 158.92 − 2.14 = 42.54: agrees with the ledger
4	Reperformance of calculations	25% of ₹2,40,00,000 = ₹60,00,000, so depreciation is overstated by ₹12,00,000 (the ERP applied 30%): a misstatement, and a question about the rate master and program change controls
5	Reperformance of calculations	₹5,00,00,000 × 7.25% × 9 ÷ 12 = ₹27,18,750: agrees
6	Fraud investigation	Duplicate payments of ₹9,34,600: recover, investigate for fraud, test the duplicate-invoice control
7	Analysis of journal entries	Back-dated revenue entries of ₹1.86 crore: examine supporting evidence, cut-off and who posted them

Conclusion. Data analytics has located the exceptions; it has not resolved them. Items 1, 4, 6 and 7 need audit evidence, possible adjustments and communication of the control deficiencies found; the seventh use, evaluating the impact of control deficiencies, would measure what the wrong rate master or the missing duplicate-invoice check has cost across all assets and vendors. Items 3 and 5 support the related balances.

Exam angle

In the exam

What ICAI asked

In the 3 new-scheme ICAI documents read for this lesson, this topic was examined 3 times; in the 5 old-scheme documents read, 6 times.

- **New scheme.** Tools and techniques used in applying data analytics, and the areas where auditors can use it: RTP September 2024 Q11. Analyse the functions an auditor can perform using data analytics tools and techniques: MTP May 2025 Series II Q6(b), 5 marks. Explain the use of digital technology in the conduct of an audit, for a company digitising its operations: September 2024 Q5(c), 3 marks.
- **Old scheme** (Paper 6, similar wording): functions using data analytics, November 2020 Q3(b), 4 marks; how data analytics tests electronic records with spreadsheets and audit tools, May 2023 Q2(d), 3 marks; explain CAATs and data analytics (with other terms such as database), MTP November 2022 Series II Q2(d), 3 marks, and RTP May 2023 Q13; the full form of CAAT, RTP May 2023 MCQ 4; "evaluating impact of control deficiencies" as a use of data analytics, RTP May 2022 MCQ 1.5.
- The Study Material's own theoretical question asks in what areas data analytics can be useful in an automated environment (SM 3.81).

In the exam

How the marks are earned

The Suggested Answers read for this lesson follow the Study Material's order: the meaning of data analytics (MTP May 2025 Series II; RTP September 2024 starts directly with CAATs), CAATs as the auditor's tools, "spreadsheets and specialised audit tools viz., IDEA and ACL", then the uses as a list. RTP September 2024 prints journal entries and fraud investigation as one bullet ("Analysis of journal entries of fraud investigation"); the Study Material (SM 3.62) and MTP May 2025 Series II list them separately, so write all seven. For digital audit, the answer is the Study Material's paragraph: digitisation, technology used from planning to the final opinion, AI and data analytics to understand business processes, more attention to areas requiring greater focus, better identification of risks.

Trick

Seven uses: "Complete Samples Rebuild, Redo, Journal, Fraud, Fix"

Completeness of population; **S**ample selection; **R**e-computation of balances; **R**eperformance of calculations; **J**ournal entry analysis; **F**raud investigation; impact of control de**f**iciencies ("Fix"). ICAI's order, all seven.

Answer frame

"Analyse the functions an auditor can perform using data analytics"

1. **Meaning** of data analytics, in the Study Material's words, with its opening point: companies benefit (increased profitability, better customer service, competitive advantage, more efficient operations), and auditors can use similar tools and techniques in the audit process and obtain good results.
2. **Tools**: CAATs; testing of electronic records and data residing in IT systems using spreadsheets and specialised audit tools viz. IDEA and ACL.
3. **The seven uses**, in order, each with its example (random or systematic sampling; trial balance reconstruction; depreciation and bank interest).

"Explain the use of digital technology in the conduct of an audit"

The points, from SM 3.62:

Point	What to write
Context	Entities digitise; business models restructured around technology; automation is key
When	Right from planning to the expression of the final opinion
What	Artificial intelligence, data analytics and other latest technologies
Why	Understand business processes better; conduct the audit better
Result	More attention to areas requiring greater focus; risks identified better

Common mistakes

⚠ **Common mistake**

Hall of Shame: the incomplete file, perfectly tested

Bunty runs every test on a sales extract that is ₹4,54,400 short of the ledger. **Fix:** the first use in ICAI's list is checking completeness of data and population used in tests; until the population agrees, every later result is unreliable (SM 3.62, 3.61).

⚠ **Common mistake**

"The software found nothing, so there is nothing"

Fix: analytics locates exceptions; the auditor still investigates them and obtains audit evidence. CAATs are tools for applying data analytics in the audit process, not a substitute for it (SM 3.62).

⚠ **Common mistake**

Writing only "IDEA and ACL"

Fix: name CAATs, and both kinds of tool: spreadsheets and specialised audit tools such as IDEA and ACL (SM 3.62).

Practice

Check yourself

1 Case scenario. CA Rhea, auditor of Kanha Dairy Ltd, uses ACL to rebuild the closing trade receivables balance from the year's opening balance, sales invoices, receipts and credit notes, and compares it with the ledger. Which use of data analytics is this?

- A Check completeness of data and population
- B Re-computation of balances
- C Reperformance of mathematical calculations
- D Evaluating impact of control deficiencies

2 Tapri's ERP let café staff give discounts above the approved limit without a supervisor's approval from October to March. Bunty runs IDEA over every invoice of those six months to total the excess discounts given. Which use of data analytics is this?

- A Fraud investigation
- B Analysis of journal entries
- C Evaluating impact of control deficiencies
- D Re-computation of balances

3 A population of 18,42,316 invoices is to be sampled systematically for 60 items. What is the sampling interval, rounded down to a whole number?

Answer: _____

4 Select all the uses of data analytics listed in the Study Material.

- **A** Selection of audit samples
- **B** Analysis of journal entries
- **C** Issuing the auditor's report automatically
- **D** Fraud investigation

More than one answer may be right.

5 According to the Study Material, digital technology is used by auditors at which stage of the audit?

- **A** Only in testing electronic records
- **B** Only in planning
- **C** Right from planning to the expression of the final opinion
- **D** Only after the audit report, for follow-up

Answers: the answer key at the end of this lesson.

Recap

- Data analytics: the combination of processes, tools and techniques used to tap vast amounts of electronic data to obtain meaningful information.
- CAATs: the tools and techniques auditors use to apply data analytics; spreadsheets and specialised audit tools viz. IDEA and ACL.
- Seven uses: completeness of data and population; sample selection (random, systematic); re-computation of balances (trial balance from transactions); reperformance of calculations (depreciation, interest); journal entry analysis; fraud investigation; impact of control deficiencies.
- Completeness of the population comes before any test that relies on it.
- Digital audit: AI, data analytics and latest technology from planning to final opinion; better understanding of processes, more focus on key areas, better risk identification.
- Analytics finds exceptions; the auditor still investigates them and forms the opinion. (The thali shows every grain; only you can tell the stone from the burnt rice.)

Answer key · Check yourself

1 **B** **Re-computation of balances**

Reconstructing a balance from transaction data is re-computation of balances (SM 3.62). Reperformance of calculations is for computations such as depreciation or bank interest.

2 **C** **Evaluating impact of control deficiencies**

The weakness is already known; the test measures what it cost across the whole population, which is evaluating the impact of a control deficiency (SM 3.62). Fraud investigation would follow up particular suspicious discounts the test turns up.

3 **30705**

18,42,316 ÷ 60 = 30,705.27, so an interval of 30,705 with a random start within the first 30,705 (SM 4.62).

4 **A Selection of audit samples**; **B Analysis of journal entries**; **D Fraud investigation**

The seven uses are completeness of population, sample selection, re-computation of balances, reperformance of calculations, journal entry analysis, fraud investigation and evaluating the impact of control deficiencies (SM 3.62). The opinion is always the auditor's.

5 **C Right from planning to the expression of the final opinion**

Digital technology is used from planning to the final opinion, to understand business processes and identify risks better (SM 3.62).

3.8 SA 330: the auditor's responses to assessed risks

How the auditor answers the risks found under SA 315: overall responses, further audit procedures, when tests of controls are compulsory, and why substantive procedures are never skipped.

In plain words

The risk map is ready. Now what?

Lakshmi's team has finished the SA 315 work on Tapri Tea Co. Ltd: a list of what could go wrong, where, and how badly.

> **Bunty:** Ma'am, so now we just test everything harder?
>
> **Lakshmi:** Harder where it is risky, Bunty. Lighter where it is not. And never zero.
>
> **Bunty:** What if their controls are excellent?
>
> **Lakshmi:** Then prove it, if you want to lean on them. Excellence on a slide is not audit evidence.

SA 330 is about the **response**. If a risk spreads across the whole set of accounts (a management under pressure to show profit, a weak control environment), the auditor responds **overall**, at the level of the whole audit: for example, who is put on the team and how closely their work is directed and supervised. If a risk sits in a particular assertion (Diwali sales recorded early, slow stock valued at cost), the auditor designs **further audit procedures** for it, choosing their **nature** (which test), **timing** (when) and **extent** (how much).

Further audit procedures come in two kinds. **Tests of controls** check whether the company's controls actually worked throughout the year; they are needed when the auditor wants to rely on those controls, or when there is no other way to get enough evidence. **Substantive procedures** look for misstatements directly, either by checking details (vouching transactions, verifying balances) or by analytical comparison. Some substantive work is required for every material item, whatever the risk. The rule running through all of it: the higher the assessed risk, the more persuasive the evidence must be.

Think of it like

Weather forecast, then packing

A cyclone warning for the whole city changes everything: you postpone the trip and send your most experienced driver. That is an overall response. Showers forecast for one suburb at 4 p.m. need an umbrella there at 4 p.m.: the right tool (nature), at the right time (timing), in the right quantity (extent). And if you plan to rely on the hotel's generator, you check that it actually starts, not just that the brochure mentions it.

Key idea

SA 330: respond to financial statement level risks with overall responses, and to assertion level risks with further audit procedures whose nature, timing and extent are based on the assessed risk. Test controls when relying on them or when substantive procedures alone cannot give sufficient appropriate evidence; perform substantive procedures for every material class of transactions, account balance and disclosure regardless; and obtain more persuasive evidence the higher the risk.

How it works

1. What SA 330 deals with, and its objective

SA 330, "The Auditor's Responses to Assessed Risks", deals with the auditor's responsibility to design and implement responses to the risks of material misstatement identified and assessed in accordance with SA 315 in a financial statement audit (SM 3.65).

Definition

Objective of the auditor (SA 330)

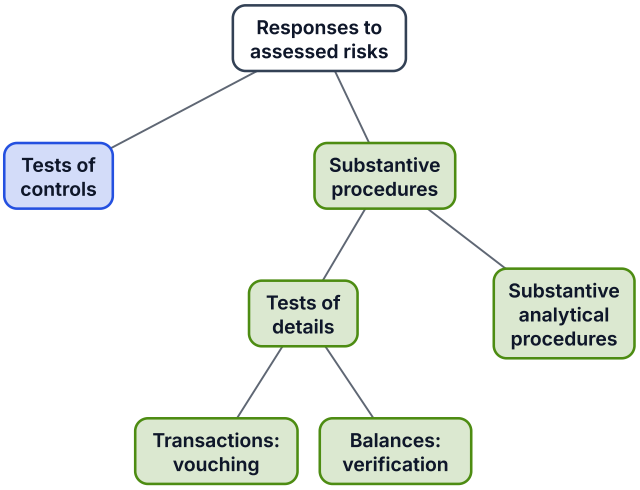
To obtain sufficient appropriate audit evidence about the assessed risks of material misstatement, through designing and implementing appropriate responses to those risks (SM 3.66).

2. Two levels of response

SA 330 states that (SM 3.66):

- (a) the auditor shall design and implement **overall responses** to address the assessed risks of material misstatement at the **financial statement level**;
- (b) the auditor shall design and perform **further audit procedures** whose nature, timing and extent are based on and are responsive to the assessed risks of material misstatement at the **assertion level**.

The auditor's responses to assessed risks (SM 3.72)



Blue: procedures that test whether controls operated effectively; green: procedures that look for misstatements directly. These are the further audit procedures at the assertion level.

3. Designing further audit procedures

In designing the further audit procedures to be performed, the auditor shall (SM 3.66):

- (a) consider the reasons for the assessment given to the risk of material misstatement at the assertion level for each class of transactions, account balance and disclosure, including:
  - (i) the likelihood of material misstatement due to the particular characteristics of the class, balance or disclosure (the **inherent risk**); and
  - (ii) whether the risk assessment takes account of relevant controls (the **control risk**), thereby requiring evidence that the controls are operating effectively (that is, the auditor intends to rely on them in determining the nature, timing and extent of substantive procedures); and
- (b) **obtain more persuasive audit evidence the higher the auditor's assessment of risk**.

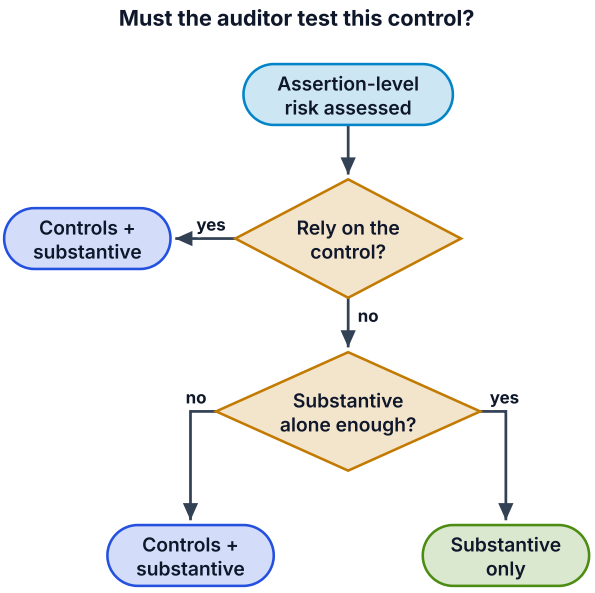
Interactive version: PassBook app, lesson SA 330: the auditor's responses to assessed risks

4. Tests of controls: when they are compulsory

The auditor shall design and perform tests of controls to obtain sufficient appropriate audit evidence as to the operating effectiveness of relevant controls **when** (SM 3.66):

- (a) the auditor's assessment of risks of material misstatement at the assertion level includes an expectation that the controls are operating effectively (that is, the auditor **intends to rely** on their operating effectiveness in determining the nature, timing and extent of substantive procedures); **or**
- (b) **substantive procedures alone cannot provide sufficient appropriate audit evidence** at the assertion level.

In designing and performing tests of controls, the auditor shall obtain **more persuasive audit evidence the greater the reliance** placed on the effectiveness of a control. A **higher level of assurance** may be sought when the approach consists primarily of tests of controls, in particular where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures (SM 3.67).



Start at the sky-blue box. Blue ends: tests of controls are compulsory (SM 3.66). Green end: no reliance and substantive work enough. Every route includes substantive procedures for each material class, balance and disclosure (SM 3.70).

5. Nature and extent of tests of controls

In designing and performing tests of controls, the auditor shall (SM 3.67):

- (a) perform other audit procedures **in combination with inquiry** to obtain evidence about operating effectiveness, including: (i) how the controls were applied at relevant times during the period; (ii) the consistency with which they were applied; and (iii) by whom or by what means they were applied;
- (b) determine whether the controls to be tested depend upon other controls (**indirect controls**) and, if so, whether evidence about the effective operation of those indirect controls is needed.

Inquiry alone is not sufficient to test operating effectiveness. Inquiry combined with **inspection or reperformance** may provide more assurance than inquiry and **observation**, since an observation is pertinent only at the point in time at which it is made. The nature of the control decides the procedure: if effectiveness is evidenced by documentation, the auditor may inspect it. When more persuasive evidence is needed, the extent of testing may be increased (SM 3.67).

Matters the auditor may consider in determining the **extent** of tests of controls (SM 3.68):

1. The frequency of the performance of the control by the entity during the period.
2. The length of time during the audit period that the auditor is relying on the control.
3. The expected rate of deviation from a control.
4. The relevance and reliability of the evidence to be obtained regarding the control's operating effectiveness at the assertion level.
5. The extent to which audit evidence is obtained from tests of other controls related to the assertion.

6. Timing, and evidence from earlier audits

The auditor shall test controls for the particular time, or throughout the period, for which the auditor intends to rely on them. Evidence at a point in time may be enough, for example for controls over the entity's physical inventory counting at the period end; reliance over a period needs tests that show the control operated at relevant times during that period, which may include tests of the entity's monitoring of controls (SM 3.68).

To decide whether to use evidence about operating effectiveness from **previous audits**, and how long before retesting, the auditor shall consider (SM 3.68–3.69):

- (a) the effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls and its risk assessment process;
- (b) the risks arising from the characteristics of the control, including whether it is manual or automated;
- (c) the effectiveness of general IT controls;
- (d) the effectiveness of the control and its application, including deviations noted in previous audits and personnel changes that significantly affect its application;
- (e) whether the lack of a change in a particular control poses a risk due to changing circumstances; and
- (f) the risks of material misstatement and the extent of reliance on the control.

The auditor shall establish the **continuing relevance** of that evidence by obtaining evidence about whether significant changes in those controls have occurred since the previous audit (SM 3.69).

7. Evaluating operating effectiveness, and deviations

The auditor shall evaluate whether misstatements detected by substantive procedures indicate that controls are not operating effectively. The absence of misstatements detected by substantive procedures does not provide audit evidence that controls related to the assertion are effective. A material misstatement detected by the auditor's procedures is a strong indicator of a significant deficiency in internal control (SM 3.69).

When **deviations** from controls the auditor intends to rely on are detected, the auditor shall make specific inquiries to understand them and their potential consequences, and shall determine whether (SM 3.69–3.70):

- (a) the tests of controls performed provide an appropriate basis for reliance on the controls;
- (b) additional tests of controls are necessary; or
- (c) the potential risks of misstatement need to be addressed using substantive procedures.

8. Substantive procedures: never skipped

Irrespective of the assessed risks of material misstatement, the auditor shall design and perform substantive procedures for each material class of transactions, account balance, and disclosure. This reflects that (i) the auditor's assessment of risk is judgmental and may not identify all risks of

material misstatement; and (ii) there are inherent limitations to internal control, including management override (SM 3.70).

> **Definition**
>
> **Substantive procedures**
>
> Audit procedures designed to detect material misstatements at the assertion level. They comprise (i) tests of details (of classes of transactions, account balances and disclosures) and (ii) substantive analytical procedures (SM 3.70).

Tests of details are tests of transactions (**vouching**) and tests of balances (**verification**). A purchase may be vouched with the purchase invoice, goods received note and inward gate entry register, establishing the authenticity of recorded transactions. Verifying a fixed asset establishes its existence at the balance sheet date, for example by reviewing the entity's plan for physical verification and obtaining evidence that management performed it (SM 3.70).

Substantive analytical procedures are analytical procedures (evaluations of financial information through analysis of plausible relationships among financial and non-financial data, with investigation of inconsistent fluctuations) used as substantive procedures. Widely recognised ratios (such as profit margins for types of retail entities) can support the reasonableness of recorded amounts, and a prediction of total rental income from rates, units and vacancy rates can be persuasive enough to remove the need for tests of details. They are generally more applicable to **large volumes of transactions that tend to be predictable over time** (SM 3.71). How to perform them is in SA 520: analytical procedures.

Depending on the circumstances, the auditor may determine that (SM 3.71):

- performing **only substantive analytical procedures** will be sufficient to reduce audit risk to an acceptably low level (for example, where the risk assessment is supported by evidence from tests of controls);
- **only tests of details** are appropriate; or
- **a combination** of the two is most responsive to the assessed risks.

Because the risk assessment takes account of internal control, the extent of substantive procedures may need to be **increased when the results of tests of controls are unsatisfactory**. The extent of tests of details is ordinarily thought of as the sample size, though other selective means of testing may be more effective (SM 3.71).

Worked examples

Worked example **Last year's ticks**

In the 2024-25 audit, Iyer & Associates tested two of Tapri's controls and found them effective:

(A) the delivery app's automated cashback cap, which blocks any cashback above ₹200 on an order unless a regional manager approves it in the app; and

(B) the finance controller's monthly manual review of the bank reconciliations, where last year's test of 25 reviews found 2 deviations.

For 2025-26, app revenue again carries a high assessed risk of material misstatement, and Lakshmi intends to rely on both controls. The walkthrough shows that the app vendor rewrote the cashback module in November 2025 (general IT controls over program change were found effective), and that the finance controller left in June 2025, since when a newly recruited accountant has done the reviews. Bunty proposes: "Both controls were fine last year. Let us use last year's tests and save a week."

Required:

(i) State what the auditor shall consider in deciding whether to use audit evidence about the operating effectiveness of controls obtained in previous audits.

(ii) Advise Lakshmi on each control.

MODEL ANSWER

(i) Relevant provision. As per SA 330, in determining whether it is appropriate to use audit evidence about the operating effectiveness of controls obtained in previous audits, and if so the length of time that may elapse before retesting a control, the auditor shall consider: (a) the effectiveness of other elements of internal control, including the control environment, the entity's monitoring of controls and its risk assessment process; (b) the risks arising from the characteristics of the control, including whether it is manual or automated; (c) the effectiveness of general IT controls; (d) the effectiveness of the control and its application by the entity, including the nature and extent of deviations noted in previous audits, and whether there have been personnel changes that significantly affect its application; (e) whether the lack of a change in a particular control poses a risk due to changing circumstances; and (f) the risks of material misstatement and the extent of reliance on the control. If the auditor plans to use such evidence, the auditor shall establish its continuing relevance by obtaining audit evidence about whether significant changes in those controls have occurred since the previous audit.

(ii) Facts and analysis.

- *Control (A), the cashback cap.* An automated control backed by effective general IT controls would ordinarily favour the use of earlier evidence. But establishing continuing relevance reveals a significant change: the module was rewritten in November 2025, so last year's tests say nothing about the control as it now operates. With a high assessed risk and heavy reliance, Lakshmi must test the control in the current audit, covering the period after the change, and obtain evidence of how it operated before the change.
- *Control (B), the bank reconciliation review.* It is a manual control, it showed deviations last year (2 of 25), and the person performing it changed in June 2025, a personnel change that significantly affects how it is applied. Each of these points against using last year's evidence; together they rule it out. Lakshmi should test the review for 2025-26, with tests that cover both the old and the new reviewer.

Conclusion. Bunty's proposal is not appropriate for either control. Both must be tested in the 2025-26 audit; and whatever the results, substantive procedures are still performed for each material class of transactions and account balance.

Worked example

Seven missing signatures

Tapri's policy requires the purchase manager's approval on every purchase order. Iyer & Associates intend to rely on this control. Of 60 purchase orders tested across the year, 7 have no approval, all from August and September, when the purchase manager had resigned and the post was vacant. Separately, substantive tests of 40 purchase invoices found no misstatement. Bunty concludes: "No misstatements, so the approval control is effective. We can rely on it." Comment and advise the auditor.

MODEL ANSWER

Relevant provision. As per SA 330, when deviations from controls upon which the auditor intends to rely are detected, the auditor shall make specific inquiries to understand these matters and their potential consequences, and shall determine whether (a) the tests of controls performed provide an appropriate basis for reliance; (b) additional tests of controls are necessary; or (c) the potential risks of misstatement need to be addressed using substantive procedures. Further, the absence of misstatements detected by substantive procedures does not provide audit evidence that controls related to the assertion being tested are effective.

Facts of the case. 7 of 60 orders (11.67%) lack approval; all fall in the two months when the post was vacant.

Analysis. Deviations may be caused by changes in key personnel; when they are detected, the auditor makes specific inquiries, particularly about the timing of staff changes in key internal control functions, and ensures that the tests of controls appropriately cover that period (SM 3.53). Bunty's conclusion is not correct: clean substantive results do not prove that the control worked.

Conclusion. The auditor should inquire into the vacancy and how purchases were authorised in August and September; decide whether the control can still be relied on for the other ten months, whether additional tests of controls are needed, and, for the two months at least, address the risk with substantive procedures (for example, larger samples of purchases from that period vouched to goods received notes and invoices). Where the deviations show that the assessed level of control risk needs revision, the nature, timing and extent of planned substantive procedures are modified (SM 3.53).

Worked example

The rider payouts that ran ahead

Tapri pays its delivery riders ₹18 for each delivery, with no other incentive under the rider agreement. The app recorded 31,00,000 orders in 2025-26, of which 6% were self-pickups needing no rider. Rider payouts recorded in the accounts are ₹5,61,30,000. Lakshmi considers a difference of up to ₹10,00,000 acceptable without investigation, and has already tested the app's controls over order data.

Required:

(i) Name the procedure, and compute the expected rider payouts and the difference.

(ii) What should Lakshmi do next?

THE WORKING

(i) This is a **substantive analytical procedure**: a reasonableness test that predicts an expense from non-financial data for the period (the number of deliveries) and the rate per delivery, using data whose reliability Lakshmi has evaluated through her tests of the app's controls.

Working	Amount
Orders recorded	31,00,000
Deliveries needing a rider (31,00,000 × 94%)	29,14,000
Expected payouts (29,14,000 × ₹18)	**₹5,24,52,000**
Recorded payouts	₹5,61,30,000
Difference (recorded – expected)	**₹36,78,000**

(ii) The difference of ₹36,78,000 (7.01% of the expectation) is far above the ₹10,00,000 Lakshmi can accept without investigation. As per SA 520, she shall investigate it by (a) inquiring of management and obtaining appropriate audit evidence relevant to management's responses, evaluated against her understanding of the entity and other evidence obtained (for example, if management cites a festival incentive, the approved scheme and the payout records for those days); and (b) performing other audit procedures as necessary, such as tests of details of payout files against delivery records, if management cannot explain the difference or the explanation is not adequate. Payouts higher than deliveries justify are also a possible fraud indicator (payments to riders who did not deliver). Until the difference is explained by appropriate evidence, the expectation does not corroborate the recorded amount.

Exam angle

In the exam

Where SA 330 appeared, May 2024 to September 2026

The syllabus asks only for an "Overview and Introduction" of SA 330. In the 32 new-scheme Paper 5 documents searched, a question on it appeared in 10.

- **Descriptive, 4 or 5 marks.** When tests of controls must be performed, the effect of greater reliance, and when higher assurance is sought: MTP January 2025 Series I Q4(b) (5 marks), MTP January 2026 Series I Q1(a) (5 marks, a bank's core banking system). Matters in determining the extent of tests of controls: RTP September 2025 Q11. Reperformance and other tests of controls: September 2024 exam Q2(a) (4 marks).
- **Multiple choice, 2 marks.** A whole case on responses (high risk, contradictory inquiries, tests of controls failing, then substantive procedures): RTP May 2026 MCQs 1–5. Choosing tests of details, substantive analytical procedures or both by judgment: MTP May 2026 Series I MCQ 13, MTP September 2026 Series I MCQ 13. What further audit procedures comprise: MTP September 2026 Series II MCQ 12. The Standard that deals with designing such tests: MTP May 2024 Series I MCQ 3.2. 100% examination as a test of details but not as a test of controls: MTP January 2025 Series I MCQ 1, September 2025 MCQ 4.

In the exam

What earns the marks

The two "when" conditions for tests of controls, word for word, joined by "or"; "more persuasive audit evidence the greater the reliance"; "higher level of assurance … where it is not possible or practicable to obtain sufficient appropriate audit evidence only from substantive procedures"; and "irrespective of the assessed risks … substantive procedures for each material class of transactions, account balance, and disclosure".

Trick

Rely or can't-do-without

Tests of controls are compulsory in exactly two cases: you **rely** on the control, or you **can't do without** it (substantive procedures alone cannot give sufficient appropriate evidence). Substantive procedures are compulsory in one case: **always**, for every material class, balance and disclosure. Condition: "compulsory" here means required by SA 330; the auditor may still choose to test other controls.

Answer frame

"When shall the auditor perform tests of controls?" in a case

1. **Provision**: the two circumstances (reliance intended; substantive procedures alone insufficient), and "more persuasive evidence the greater the reliance".
2. **Facts**: why the case falls in one of them (high volume, automation, no documents; or planned reliance).
3. **Analysis**: what the tests must cover (how, how consistently, by whom or by what means; throughout the period of reliance; inquiry not alone), and the higher assurance where the approach is mainly tests of controls.
4. **Conclusion**: tests of controls required, and substantive procedures still required for each material item.

"Distinguish tests of controls from substantive procedures"

Point	Tests of controls	Substantive procedures
Purpose	Evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements	Detect material misstatements at the assertion level
When required	When relying on controls, or when substantive procedures alone cannot give sufficient appropriate evidence	Always, for each material class of transactions, account balance and disclosure
Forms	Inquiry combined with inspection, observation or reperformance	Tests of details (vouching, verification) and substantive analytical procedures
Effect of results	Deviations may change reliance and the substantive plan	Misstatements found may indicate that controls are not effective

Common mistakes

⚠ **Common mistake**

Hall of Shame: "the controls are strong, so no substantive procedures"

Fix: substantive procedures are required for each material class of transactions, account balance and disclosure irrespective of the assessed risk. Strong controls may reduce their extent, never to nothing.

⚠ **Common mistake**

No misstatements found, so the controls work

Fix: the absence of misstatements detected by substantive procedures is not evidence that controls are effective (SM 3.69). Test the controls.

⚠ **Common mistake**

Testing a control by asking about it

Fix: inquiry alone is not sufficient to test operating effectiveness; combine it with inspection or reperformance, which may give more assurance than inquiry and observation, since an observation is pertinent only at the point in time at which it is made (SM 3.67).

⚠ **Common mistake**

Writing "tests of controls are always compulsory"

Fix: they are required in two circumstances only. Outside them the auditor may choose not to test controls, but then the risk assessment cannot be reduced for the effective operation of controls (SM 4.58).

Practice

Check yourself

1 Case scenario. Payroll at Tapri's Dewas factory is processed manually, with full paper records. Lakshmi does not intend to rely on payroll controls; she plans extensive tests of details on wages, which she expects to give sufficient appropriate evidence. Is she required to test the payroll controls?

- A Yes: SA 330 requires tests of controls for every material area in every audit
- B No: tests of controls are required only when the risk assessment expects controls to operate effectively, or when substantive procedures alone cannot provide sufficient appropriate evidence, and neither applies
- C Yes: wages are material, so their controls must be tested
- D No: controls in a manual system are never tested

2 Which of the following is required by SA 330 irrespective of the assessed risks of material misstatement?

- **A** Tests of controls for every control in the entity
- **B** Substantive analytical procedures for every account
- **C** Substantive procedures for each material class of transactions, account balance and disclosure
- **D** Reperformance of all reconciliations

3 An auditor intends to rely on a sales approval control for the whole year. Which test gives the least evidence about its operation throughout the year?

- **A** Inspecting approval evidence on a sample of invoices across all months
- **B** Reperforming the approval check on a sample of invoices across the year
- **C** Observing the approval process on one day in March, with inquiry
- **D** Inquiry combined with inspection of the approval log for the year

4 Tapri's Dewas factory employs 180 workers throughout 2025-26 at ₹21,500 a month each, with a 6% increase from 1 October 2025. What annual wages does a substantive analytical procedure predict, in ₹ lakh (to two decimals)?

Answer: _____

5 Deviations are found in a control the auditor intends to rely on. Which must the auditor determine? Select all that apply.

- **A** Whether the tests of controls performed provide an appropriate basis for reliance
- **B** Whether additional tests of controls are necessary
- **C** Whether the potential risks of misstatement need to be addressed using substantive procedures
- **D** Whether the client should be asked to restate the prior year

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Objective: sufficient appropriate audit evidence about the assessed risks, through appropriate responses.
- Financial statement level risks: overall responses. Assertion level risks: further audit procedures whose nature, timing and extent respond to the risk.
- Design: consider why the risk was assessed (inherent risk; control risk), and get more persuasive evidence the higher the risk.
- Tests of controls required when relying on controls, or when substantive procedures alone cannot give sufficient appropriate evidence; more persuasive evidence the greater the reliance; inquiry

alone never enough. (Check that the generator starts before you rely on it.)

- Extent of tests of controls: frequency, period of reliance, expected deviation, relevance and reliability, evidence from other controls.
- Deviations: specific inquiries, then decide reliance, more tests of controls, or substantive procedures. Clean substantive results do not prove controls work.
- Substantive procedures for every material class, balance and disclosure, always: tests of details (vouching, verification) and substantive analytical procedures, alone or combined.

Answer key · Check yourself

1 **B No: tests of controls are required only when the risk assessment expects controls to operate effectively, or when substantive procedures alone cannot provide sufficient appropriate evidence, and neither applies**

SA 330 requires tests of controls (a) when the auditor's assessment includes an expectation that controls are operating effectively, or (b) when substantive procedures alone cannot provide sufficient appropriate audit evidence at the assertion level (SM 3.66). Here she places no reliance on the controls and the paper records allow sufficient substantive evidence. She must still understand the relevant controls for her risk assessment, and the substantive procedures on material wages remain mandatory.

2 **C Substantive procedures for each material class of transactions, account balance and disclosure**

The two reasons: risk assessment is judgmental and may miss risks; internal control has inherent limitations, including management override.

3 **C Observing the approval process on one day in March, with inquiry**

An observation is pertinent only at the point in time at which it is made; inquiry with inspection or reperformance across the period gives more assurance.

4 **478.32 to 478.34**

April to September: 180 × ₹21,500 × 6 = ₹2,32,20,000. October to March: 180 × ₹21,500 × 1.06 × 6 = ₹2,46,13,200. Total ₹4,78,33,200 = ₹478.33 lakh. A known number of employees at fixed rates of pay is the Study Material's own example of a predictable relationship (SM 4.110).

5 **A Whether the tests of controls performed provide an appropriate basis for reliance; B Whether additional tests of controls are necessary; C Whether the potential risks of misstatement need to be addressed using substantive procedures**

After specific inquiries into the deviations, SA 330 lists exactly these three determinations.

CHAPTER 4

Audit Evidence

4.1 SA 500: sufficient appropriate audit evidence

What counts as audit evidence, why "sufficient" means quantity and "appropriate" means quality, how reliability is judged, and what SA 500 asks when evidence comes from management's expert or disagrees with itself.

In plain words

Four hundred photocopies of one voice

March has ended at Tapri Tea Co. Ltd, and Iyer & Associates are testing a large sale booked on 31 March to Chai Junction Distributors, a firm run by Kesar's brother-in-law. Bunty arrives with a box file and a proud tick on the cover.

> **Bunty:** Ma'am, 400 pages! Every delivery challan, photocopied, and the sales team's summary sheet.
>
> **Lakshmi:** Who made the challans?
>
> **Bunty:** Our client's dispatch office.
>
> **Lakshmi:** Then you have four hundred copies of one voice, Bunty. Evidence. Where is the evidence?

Audit evidence is the information the auditor uses to reach the conclusions on which the opinion rests. Lakshmi's problem is not the *amount* of paper but its *quality*: every page was made by the client, none is an original, and nobody outside Tapri has said anything. One letter from Chai Junction, sent straight to the auditor, saying "we received these goods and owe this amount", would say more than the whole box, and Lakshmi would still read it with extra care, because Chai Junction belongs to the MD's brother-in-law.

So evidence is judged on two scales. **Sufficiency** is the quantity: is there enough, given how big and how risky the item is? **Appropriateness** is the quality, in two parts. **Relevance**: does it bear on the question being asked? (A challan shows goods left the warehouse; it says nothing about whether the customer owes the money.) **Reliability**: can it be trusted, given who produced it, in what form, and under what controls?

Think of it like

The third umpire

Ten fielders shouting "howzat" is a lot of evidence, all of it oral and all from one interested team. One replay from an independent camera settles the run-out, and no number of extra shouts makes up for a blurry replay. The umpire also needs the right replay: perfect footage of the bowler's front foot is useless for a run-out at the other end.

Key idea

Audit evidence must be sufficient (more of it when the item is material, risky or from a large, mixed population) and appropriate (relevant to the assertion tested, and reliable given its source, nature and circumstances). More evidence may not make up for poor quality.

How it works

SA 500, "Audit Evidence", applies to all the audit evidence obtained during the course of the audit (SM 4.32).

1. The objective

The objective of the auditor is to design and perform audit procedures in such a way as to enable the auditor to obtain sufficient appropriate audit evidence to draw reasonable conclusions on which to base the auditor's opinion (SM 4.4–4.5).

2. What counts as audit evidence

Definition

Audit evidence

The information used by the auditor in arriving at the conclusions on which the auditor's opinion is based. Audit evidence includes both information contained in the accounting records underlying the financial statements and other information. (SM 4.5)

- **Accounting records** include the records of initial accounting entries and supporting records, such as cheques and records of electronic fund transfers; invoices; contracts; the general and subsidiary ledgers, journal entries and other adjustments to the financial statements that are not reflected in journal entries; and records such as work sheets and spreadsheets supporting cost allocations, computations, reconciliations and disclosures (SM 4.5–4.6).
- **Other information** authenticates the accounting records and supports the auditor's rationale behind the true and fair presentation: for example minutes of meetings, written confirmations from trade receivables and trade payables, and manuals containing details of internal control (SM 4.6).

Evidence is **cumulative**: primarily from procedures performed during the audit, but also from other sources such as previous audits. Besides other sources inside and outside the entity, the entity's **accounting records are an important source**, and some information may have been prepared using the work of a management's expert. It includes information that **supports** management's assertions and information that **contradicts** them, and in some cases the absence of information (for example, management's refusal to provide a requested representation) also constitutes audit evidence (SM 4.12).

3. Types: by nature and by source

Basis	Type	Study Material's examples
Nature	Visual	Observing physical verification of inventory conducted by the client's staff
Nature	Oral	Discussion with the management and various officers of the client
Nature	Documentary	Fixed deposit certificate, loan agreement, sales bill
Source	Internal: originates within the organisation being audited	Sales invoice, copies of sales challan and forwarding notes, goods received note, inspection report, copies of cash memo, debit and credit notes
Source	External: originates outside the client's organisation	Purchase invoice, supplier's challan and forwarding note, debit notes and credit notes coming from parties, quotations, confirmations

(SM 4.6–4.7.) Most evidence is internal, and since the client controls its origination the auditor stays alive to manipulation. External evidence is generally more reliable, but if the auditor doubts the independence of a third party (an invoice of an associated concern, say), greater vigilance is needed. As an ordinary rule, match internal and external evidence as far as practicable (SM 4.7).

4. Appropriateness: relevance and reliability

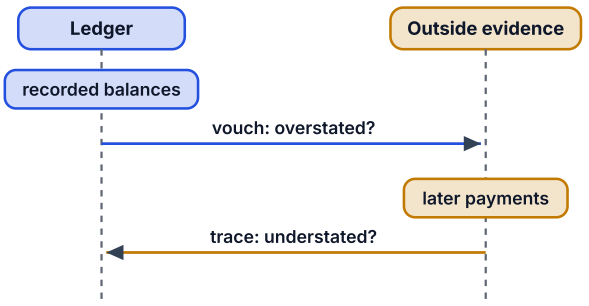
Definition

Relevance

Relevance deals with the logical connection with, or bearing upon, the purpose of the audit procedure and, where appropriate, the assertion under consideration. The relevance of information to be used as audit evidence may be affected by the direction of testing. (SM 4.8)

To test **overstatement** in the existence or valuation of accounts payable, testing the *recorded* payables may be relevant; to test **understatement**, it is not, but testing subsequent disbursements, unpaid invoices, suppliers' statements and unmatched receiving reports may be (SM 4.9).

Accounts payable: where the test starts decides what it can find



Blue: start from the recorded payables to look for overstatement. Amber: start from evidence outside the ledger (later payments, unpaid invoices, suppliers' statements, unmatched receiving reports) to find payables never recorded (understatement). An item missing from the ledger can never be picked from the ledger.

A procedure may be relevant to some assertions and not others: documents for collections from receivables after the period end may give evidence of existence and valuation, but not necessarily

cut-off; evidence of the existence of inventory is no substitute for evidence of its valuation (SM 4.9). The assertions are set out in financial statement assertions and audit procedures.

Definition

Reliability

The reliability of information to be used as audit evidence, and therefore of the audit evidence itself, is influenced by its source and its nature, and the circumstances under which it is obtained, including the controls over its preparation and maintenance where relevant. (SM 4.10)

Generalisations about reliability have exceptions: external information may be unreliable if the source is not knowledgeable, and a management's expert may lack objectivity. With that warning, the Study Material gives five, in this order (SM 4.10):

Five generalisations about reliability

Basis	More reliable	Less reliable
Source	**Obtained from independent sources outside the entity**	**Generated inside the entity**
Internal evidence	**Related controls over its preparation and maintenance are effective**	**The same evidence, controls not effective**
How obtained	**Directly by the auditor (observing a control being applied)**	**Indirectly or by inference (inquiring about the control)**
Form	**Documentary, on paper, electronic or other medium**	**Oral (a later account of a meeting)**
Original or copy	**Original documents**	**Photocopies, facsimiles, or documents filmed or digitised**

Green: the more reliable form; rose: the less reliable (SM 4.10). A contemporaneously written record of a meeting beats a later oral account of it; copies depend on the controls over their preparation and maintenance.

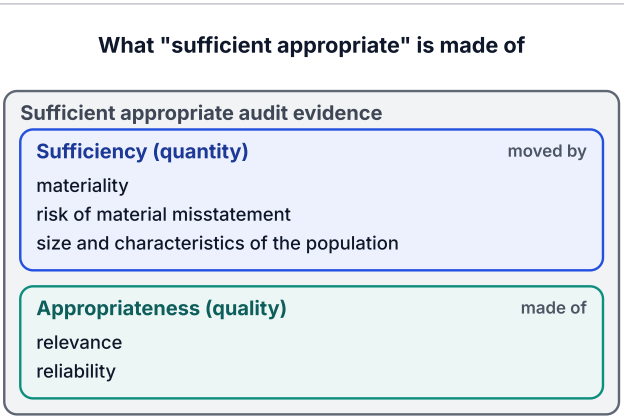
5. Sufficiency, and the three factors that move it

Definition

Sufficiency and appropriateness

Sufficiency is the measure of the quantity of audit evidence. Appropriateness is the measure of the quality of audit evidence; that is, its relevance and its reliability in providing support for the conclusions on which the auditor's opinion is based. (SM 4.11)

The two are **interrelated**: the higher the assessed risks, the more evidence is likely to be required; the higher the quality, the less may be required (SM 4.11). Obtaining more audit evidence, however, may not compensate for its poor quality (SM 4.136).



Blue: sufficiency, with the three factors that affect the auditor's judgment of it (SM 4.13–4.14). Teal: appropriateness, made of relevance and reliability (SM 4.11). The two are interrelated.

Factor (SM 4.13–4.14)	Less evidence	More evidence
Materiality of classes of transactions, account balances and disclosures to users	Less material assertion	More material assertion
Risk of material misstatement before audit (inherent and control risk)	Lower risk	Higher risk
Size and characteristics of the population (number of items)	Smaller, more homogeneous	Larger, more heterogeneous

Inherent and control risk are built in the audit risk lesson; materiality in SA 320.

6. Designing procedures, and where evidence comes from

The auditor shall design and perform audit procedures that are appropriate in the circumstances for obtaining sufficient appropriate audit evidence (SM 4.12): **inspection, observation, confirmation, recalculation, reperformance and analytical procedures**, often in combination, in addition to **inquiry**. Each is explained in the assertions lesson.

Some evidence is obtained by testing the accounting records, for example through analysis and review, reperforming procedures followed in the financial reporting process, and reconciling related types and applications of the same information; the auditor may thus find the records internally consistent and in agreement with the financial statements (SM 4.14). **More assurance is ordinarily obtained from consistent audit evidence obtained from different sources or of a different nature than from items of audit evidence considered individually**: an independent source (third-party confirmations, analysts' reports, data about competitors) may increase the assurance from internal evidence such as records, minutes or a management representation (SM 4.14–4.15). Evidence from previous audits may be appropriate where the auditor performs procedures to establish its continuing relevance (SM 4.19).

7. Information produced by the entity, and management's experts

When using **information produced by the entity**, the auditor shall evaluate whether it is sufficiently reliable, including as necessary (a) obtaining audit evidence about its accuracy and completeness, and (b) evaluating whether it is sufficiently precise and detailed for the auditor's purposes (SM 4.29).

Definition

Management's expert

An individual or organisation possessing expertise in a field other than accounting or auditing, whose work in that field is used by the entity to assist the entity in preparing the financial statements. (SM 4.32)

When evidence has been prepared using a management's expert's work, the auditor shall, to the extent necessary, having regard to the significance of that work for the auditor's purposes (SM 4.32):

1. **Evaluate** the competence, capabilities and objectivity of that expert;
2. **Obtain an understanding** of the work of that expert; and
3. **Evaluate the appropriateness** of that expert's work as audit evidence for the relevant assertion.

The nature, timing and extent of those audit procedures may be affected by such matters as (SM 4.28–4.29):

- the nature and complexity of the matter to which the management's expert relates;
- the risks of material misstatement in the matter;
- the availability of alternative sources of audit evidence;
- the nature, scope and objectives of the management's expert's work;
- whether the management's expert is employed by the entity, or is a party engaged by it to provide relevant services;
- the extent to which management can exercise control or influence over the work of the management's expert;
- whether the management's expert is subject to technical performance standards or other professional or industry requirements;
- the nature and extent of any controls within the entity over the management's expert's work;
- the auditor's knowledge and experience of the management's expert's field of expertise; and
- the auditor's previous experience of the work of that expert.

8. Selecting items, and evidence that disagrees

When designing tests of controls and tests of details, the auditor shall determine means of selecting items for testing that are effective in meeting the purpose of the audit procedure: (a) selecting all items (100% examination); (b) selecting specific items; and (c) audit sampling, alone or in combination (SM 4.29–4.30).

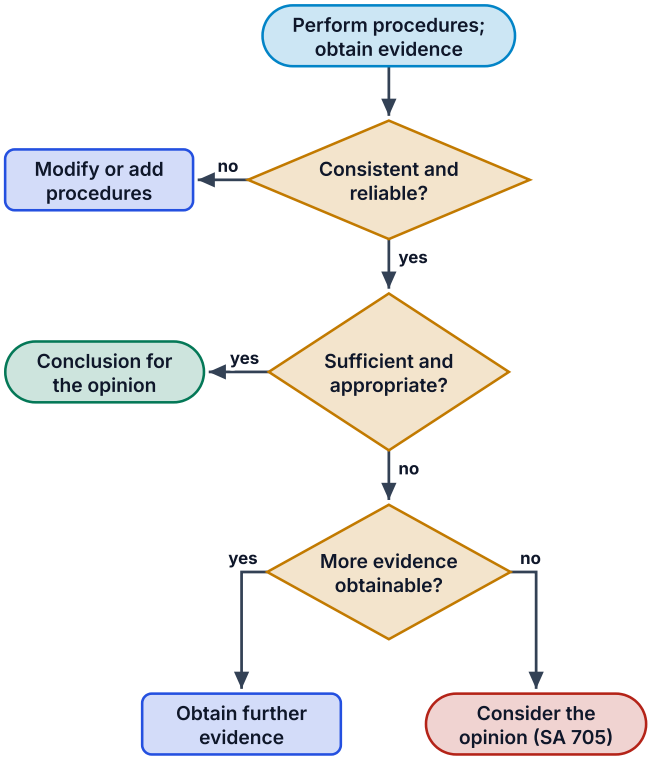
- **Selecting all items.** 100% examination of a population (or a stratum within it) is unlikely in tests of controls but more common for tests of details. It may be appropriate when the population constitutes a small number of large value items; when there is a significant risk and other means do not provide sufficient appropriate audit evidence; or when the repetitive nature of a calculation

or other process performed automatically by an information system makes a 100% examination cost effective (SM 4.30).

- **Selecting specific items**, guided by the auditor's understanding of the entity, the assessed risks of material misstatement and the characteristics of the population. Judgmental selection is subject to non-sampling risk. Specific items may include high value or key items (suspicious, unusual, particularly risk-prone, or with a history of error); all items over a certain amount, to verify a large proportion of the total; and items to obtain information about the nature of the entity or its transactions (SM 4.30–4.31).
- **Audit sampling**, designed to enable conclusions to be drawn about an entire population on the basis of testing a sample drawn from it (SM 4.31): SA 530.

If evidence from one source is inconsistent with that from another, or the auditor doubts the reliability of information, **the auditor shall determine what modifications or additions to audit procedures are necessary to resolve the matter, and shall consider the effect of the matter, if any, on other aspects of the audit** (SM 4.31). Whether enough evidence has been obtained to reduce audit risk to an acceptably low level is a matter of **professional judgment**, and reaching it gives **reasonable assurance** (SM 4.12, 4.32).

What the auditor does with each piece of evidence



After "modify or add" (and considering the effect on other aspects of the audit) or "obtain further evidence", the auditor performs those procedures and evaluates again. "Sufficient and appropriate?" means enough relevant, reliable evidence to reduce audit risk to an acceptably low level, a matter of professional judgment (SM 4.12, 4.31). Green: the normal end; rose: evidence cannot be obtained, which SA 705 deals with.

Worked examples

Worked example **Bunty's box file**

Iyer & Associates audit Tapri Tea Co. Ltd for 2025-26; overall materiality is ₹1.50 crore. On 31 March 2026 Tapri recorded sales of ₹18.60 crore to Chai Junction Distributors, a firm run by the MD's brother-in-law. Bunty's file holds photocopies of Tapri's own delivery challans, a summary prepared by the sales team, and a note of the sales head's oral assurance that "Chai Junction has accepted everything". The originals, with the transporter's acknowledgements, are "somewhere in the Indore warehouse". Bunty concludes "evidence sufficient: 400 pages".

Comment on Bunty's conclusion with reference to SA 500, and advise the audit team.

MODEL ANSWER

Relevant provision. As per SA 500, the auditor shall obtain sufficient appropriate audit evidence. Sufficiency is the measure of the quantity of audit evidence, affected by the assessed risks and by its quality; appropriateness is the measure of its quality, that is, its relevance and reliability. Reliability is increased when evidence is obtained from independent sources outside the entity, in documentary rather than oral form, and as original documents rather than photocopies. Where the independence of a third party is in doubt, greater vigilance is needed. More evidence may not compensate for poor quality.

Facts of the case. A year-end sale of ₹18.60 crore, over twelve times materiality, to a party related to the MD; only internal photocopies and an oral assurance on file.

Analysis. The item is material and its risk is high (size, year-end timing, related party), so more and better evidence is needed. All the documents are internal copies and the assurance is oral: low reliability, however many pages. Tapri's own challans can at most show despatch and its date; they are not relevant to whether the distributor accepted the goods and owes the amount. Nothing comes from an independent source.

Conclusion. Bunty's conclusion is not correct: the file is voluminous but not sufficient appropriate audit evidence. The team should inspect the original challans with transporter acknowledgements, obtain a confirmation sent by Chai Junction directly to the auditor (with greater vigilance, the party being related), trace receipts after the year end to bank statements, and examine sales returns after the year end. If the evidence remains inconsistent or doubtful, the auditor shall modify or add procedures and consider the effect on other aspects of the audit.

Worked example **The actuary's report from October**

Iyer & Associates audit Tapri Tea Co. Ltd for 2025-26; overall materiality is ₹1.50 crore. Tapri's provision for gratuity at 31 March 2026 is ₹6.40 crore. It rests on a report by Rakesh Mehra, an actuary in his first year of practice and the son of Kesar's sister. The report is dated 10 October 2025 and was prepared at the request of Narmada Co-operative Bank for its loan due diligence: it values the obligation as at 30 September 2025, using a discount rate the bank specified. Dev rolled the figure forward to 31 March 2026 by adding six months' service cost, which he estimated himself.

Advise Iyer & Associates under SA 500 on using the report as audit evidence for the provision at 31 March 2026.

MODEL ANSWER

Relevant provision. As per SA 500, when information to be used as audit evidence has been prepared using the work of a management's expert, the auditor shall, to the extent necessary, having regard to the significance of that expert's work for the auditor's purposes: (a) evaluate the competence, capabilities and objectivity of that expert; (b) obtain an understanding of the work of that expert; and (c) evaluate the appropriateness of that expert's work as audit evidence for the relevant assertion (SM 4.32). The nature, timing and extent of the procedures may be affected by matters such as the risks of material misstatement, the nature, scope and objectives of the expert's work, the extent to which management can exercise control or influence over that work, and whether the expert is subject to technical performance standards or other professional requirements (SM 4.28–4.29).

Facts and analysis.

1. **A management's expert.** Actuarial valuation is expertise in a field other than accounting or auditing, used by Tapri to prepare its financial statements, so Rakesh Mehra is a management's expert.
2. **Competence, capabilities and objectivity.** His family relationship with the managing director threatens his objectivity, and his first year of practice bears on his competence and capabilities. Both must be evaluated, and the threat to objectivity increases the work needed.
3. **Understanding of the work.** Its scope and objectives were set by the bank for due diligence, its date is 30 September 2025, and its key assumption, the discount rate, was specified by the bank rather than chosen for Tapri's financial statements.
4. **Appropriateness for the relevant assertion.** The provision must be valued at 31 March 2026. A report on another date, for another purpose, does not provide that evidence, and Dev's roll-forward is management's own estimate, not the expert's work, so it needs evidence of its own. The provision is more than four times materiality.

Conclusion. The October report is not appropriate audit evidence for the 31 March 2026 provision as it stands. Iyer & Associates should ask management for a valuation as at 31 March 2026 prepared for the financial statements, and perform the three SA 500 steps on it, to an extent that reflects the provision's significance and the threat to the expert's objectivity. If no such evidence can be obtained, the provision lacks sufficient appropriate audit evidence, and the effect on the opinion is considered under SA 705.

Worked example **Four statements from the article room**

State, with reasons, whether each statement is correct or incorrect.

(a) Kesar's refusal to give a written representation is not audit evidence, because no document was received.

(b) The point-of-sale system's café-wise sales report can be used as audit evidence without further work, because it was produced by Tapri's system and not by the auditors.

(c) Where the audit evidence obtained is of high quality, less of it may be required.

(d) Evidence from last year's audit can never be used in this year's audit.

MODEL ANSWER

(a) Incorrect. Audit evidence comprises information that supports and that contradicts management's assertions; in some cases the absence of information, for example management's refusal to provide a requested representation, is used by the auditor and therefore also constitutes audit evidence (SM 4.12).

(b) Incorrect. When using information produced by the entity, the auditor shall evaluate whether the information is sufficiently reliable for the auditor's purposes, including, as necessary, obtaining audit evidence about its accuracy and completeness and evaluating whether it is sufficiently precise and detailed (SM 4.29). The report becomes audit evidence only after that evaluation.

(c) Correct. Sufficiency and appropriateness are interrelated: the quantity needed is affected by the quality, and the higher the quality, the less may be required (SM 4.11). More evidence, however, may not compensate for poor quality.

(d) Incorrect. Audit evidence obtained from previous audits may, in certain circumstances, provide appropriate audit evidence where the auditor performs audit procedures to establish its continuing relevance (SM 4.19).

Exam angle

In the exam

Where SA 500 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 500 was examined in 17 questions across 10 documents.

- **Descriptive, 4 or 5 marks.** The five generalisations about reliability: MTP January 2025 Series I Q5(b) (5 marks). How the auditor obtains sufficient appropriate audit evidence, answered with the SM 4.12 paragraph: MTP January 2026 Series I Q3(a) (5 marks). Relevance and the direction of testing, on the accounts payable example: MTP January 2026 Series I Q1(c) (4 marks). Using a management's expert: an actuary for gratuity, September 2024 Q5(b) (4 marks); chartered engineers valuing inventory, MTP September 2024 Series I Q1(c) (4 marks). Selecting specific items for testing (the factors, and the items that may be selected): May 2024 Q4(a) (4 marks).
- **Multiple choice, 2 marks each.** Definition, and accounting records versus other information: MTP January 2026 Series I MCQs 1–3. The factor that does *not* affect sufficiency: September 2025 MCQ 6 (nature and source of evidence), RTP January 2025 MCQ 5. Internal or external: May 2025 MCQ 13 (a purchase invoice is not internal); RTP September 2026 MCQ 8 (bank statements and shipping bill data downloaded from official portals, and supplier quotations in the company's inbox, stay external; the company's own delivery challans are internal). Weak records and oral explanations: MTP May 2026 Series II MCQ 6. An independent source for completeness: RTP September 2026 MCQ 7. 100% examination unlikely for tests of controls but proper for tests of details on automated, repetitive calculations: September 2025 MCQ 4, MTP January 2025 Series I MCQ 1.

In the exam

How the marks are earned

Descriptive answers reproduce the Study Material's sentences and lists in its order: the definition; "sufficiency is the measure of the quantity"; "appropriateness is the measure of the quality; that is, its relevance and its reliability"; the five generalisations; the three factors with "less evidence ... more evidence".

Trick

SQ-AQ, and MRP

Sufficiency = **Q**uantity, moved by **M**ateriality, **R**isk and **P**opulation ("MRP", the price tag on how much evidence you buy). **A**ppropriateness = **Q**uality = **R**elevance + **R**eliability. Quality can reduce the quantity needed; quantity may not repair quality.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 500, ..." only what the case needs (sufficiency, appropriateness, the reliability generalisation that applies, management's expert).
2. **Facts of the case**: the source, form and origin of the evidence; the size and risk of the item.
3. **Analysis**: relevant to the assertion? Reliable, and why? Enough, given materiality and risk?
4. **Conclusion**: "Hence, the evidence is (not) sufficient appropriate audit evidence; the auditor should ...", naming the further procedures.

"Explain sufficiency of audit evidence and the factors affecting it" (5 marks)

1. Sufficiency is the measure of the quantity of audit evidence.
2. Quantity needed is affected by assessed risks (higher risk, more evidence) and by quality (higher quality, less may be required); more evidence may not compensate for poor quality.
3. Materiality: less material, less evidence; more material, more.
4. Risk of material misstatement (inherent and control risk): lower risk, less; higher risk, more.
5. Size and characteristics of the population: smaller and homogeneous, less; larger and heterogeneous, more.

"Distinguish sufficiency and appropriateness"

Point	Sufficiency	Appropriateness
Measures	Quantity	Quality
Made of	Enough evidence	Relevance and reliability
Affected by	Materiality, risk of material misstatement, population	Source, nature, circumstances, controls
Link	Higher quality, less may be required	Quantity may not compensate for poor quality

Common mistakes

Common mistake

Hall of Shame: the 400-page box file

Weighing the file instead of reading it. **Fix:** quantity asks "is there enough?", quality asks "is it relevant and reliable?". More copies of internal documents add no independence.

⚠ **Common mistake**

"External, therefore reliable"

Fix: an external source may not be knowledgeable, a related party may not be independent (greater vigilance), and a management's expert may lack objectivity (SM 4.7, 4.10).

⚠ **Common mistake**

The purchase invoice filed as internal evidence

Fix: classify by where evidence originates, not where it is filed. The supplier's invoice to Tapri is external, even after it is scanned into Tapri's system (SM 4.7, 4.127).

⚠ **Common mistake**

"Nature of evidence" added to the sufficiency factors

Fix: the three factors are materiality, risk of material misstatement, and size and characteristics of the population. Source and nature go to reliability. ICAI's September 2025 MCQ 6 was built on this trap.

Practice

Check yourself

1 Case scenario. CA Farah Ansari audits Gwalior Kulhad Works Pvt Ltd and wants evidence that its ₹3.2 crore bank balance exists at 31 March. Which of the following is the most reliable audit evidence?

- A A photocopy of the bank statement handed over by the accountant
- B The accountant's oral explanation that the balance agrees with the bank
- C A confirmation of the balance sent by the bank directly to CA Farah
- D The company's cash book, which shows the same balance

2 Case scenario. After two cash shortages at the Bhopal café, Iyer & Associates raise their assessment of the risk of material misstatement for Tapri's café cash sales from moderate to high. What follows for the audit evidence on cash sales?

- A Less evidence is needed, since each cash sale is a small amount
- B The quantity of evidence is unchanged, since sufficiency depends only on materiality
- C More audit evidence is likely to be required; its quality also matters, since the higher the quality, the less may be required
- D A written representation from the café manager can replace the additional evidence

3 Which of the following constitute audit evidence under SA 500? Select all that apply.

- **A** Minutes of meetings of the board of directors
- **B** Management's refusal to provide a requested written representation
- **C** Information that contradicts management's assertions
- **D** Only the information that supports management's assertions

More than one answer may be right.

4 Case scenario. Tapri has recorded café sales of ₹4.20 crore for the last week of March 2026. Bunty wants evidence that these recorded sales actually took place. Which procedure gives relevant evidence for that purpose?

- **A** Selecting entries from the sales ledger for the week and agreeing them to point-of-sale reports, bank deposits and card settlements
- **B** Tracing a sample of the week's daily point-of-sale reports into the sales ledger
- **C** Recalculating the total of the sales ledger for March
- **D** Obtaining the accountant's written statement that all sales have been recorded

5 Bunty is testing café expense claims against photocopied bills filed by the café managers. Which change improves the APPROPRIATENESS of his evidence rather than its sufficiency?

- **A** Doubling his sample from 40 claims to 80
- **B** Extending the test from three months to the whole year
- **C** Adding six more cafés to the test
- **D** Inspecting the original bills, or confirming a sample of them with the vendors, instead of the photocopies

Answers: the answer key at the end of this lesson.

Recap

- Audit evidence: information used by the auditor in arriving at the conclusions on which the opinion is based; accounting records plus other information.
- Objective: design and perform procedures to obtain sufficient appropriate audit evidence to draw reasonable conclusions on which to base the opinion.
- Sufficiency = quantity; appropriateness = quality = relevance + reliability. Higher risk needs more; higher quality needs less; more may not compensate for poor quality.
- Sufficiency factors: materiality, risk of material misstatement, size and characteristics of the population.
- Reliability rises with independent outside sources, effective controls, direct evidence, documentary form and originals (with exceptions).
- Evidence includes contradicting information and, sometimes, the absence of information.

- Management's expert: evaluate competence, capabilities and objectivity; understand the work; evaluate it as evidence for the assertion.
- Inconsistent or doubtful evidence: modify or add procedures; consider the effect on the rest of the audit. (Four hundred photocopies of one voice are still one voice.)

Answer key · Check yourself

1 **C** **A confirmation of the balance sent by the bank directly to CA Farah**

A direct written response from an independent outside source is the most reliable. The photocopy depends on controls over its preparation, the explanation is oral, and the cash book is the very record being tested.

2 **C** **More audit evidence is likely to be required; its quality also matters, since the higher the quality, the less may be required**

The quantity of audit evidence needed is affected by the auditor's assessment of the risks of misstatement (the higher the assessed risks, the more evidence is likely to be required) and by its quality (SM 4.11). A representation does not provide sufficient appropriate evidence on its own.

3 **A** **Minutes of meetings of the board of directors**; **B** **Management's refusal to provide a requested written representation**; **C** **Information that contradicts management's assertions**

Evidence includes supporting and contradicting information, other information such as minutes, and sometimes the absence of information.

4 **A** **Selecting entries from the sales ledger for the week and agreeing them to point-of-sale reports, bank deposits and card settlements**

Relevance runs in a direction: to test whether recorded sales occurred, start from the recorded entries and look for evidence that each sale happened. Tracing source reports into the ledger tests completeness instead, the mirror image of the payables example in SM 4.9.

5 **D** **Inspecting the original bills, or confirming a sample of them with the vendors, instead of the photocopies**

Sufficiency is the measure of the quantity of audit evidence; appropriateness, of its quality, that is its relevance and reliability (SM 4.11). Originals are more reliable than photocopies, and evidence from independent sources outside the entity is more reliable; a bigger sample of photocopies adds quantity, and more evidence may not compensate for poor quality.

4.2 Financial statement assertions and audit procedures

The claims hidden in every line of the financial statements (assertions), the seven procedures auditors use to test them, and why each procedure proves some assertions and not others.

In plain words

Six promises in one line

Bunty is reading Tapri Tea Co. Ltd's draft balance sheet. One line says "Inventories ₹38 crore".

> **Lakshmi:** What is that line telling you, Bunty?
>
> **Bunty:** That Tapri has ₹38 crore of stock, ma'am.
>
> **Lakshmi:** It is telling you at least six things. Which one will you test first?
>
> **Bunty:** Is that a trick question?

It is not. By printing that line, management is claiming that the stock **exists**; that Tapri **owns** it (a supplier's coffee premix lying in Tapri's godown on consignment is not in it); that **all** of Tapri's stock is in it, including tea lying with a blender; that it is at the **right amount** (cost, or less if it will not sell for cost); that it belongs to **this year**; and that it is **properly described** in the notes. These claims, stated or merely implied, are management's **assertions**, and the auditor's work is to test them one by one.

The tests are **audit procedures**: looking at documents and assets, watching people work, writing to outsiders, redoing calculations and controls, comparing figures, and asking. The catch is that each procedure proves some assertions and not others. Counting the cartons in the Dewas warehouse proves they exist. It proves nothing about who owns them or what they are worth.

Think of it like

The matrimonial biodata

"Software engineer in Bengaluru, owns a flat, six feet tall, non-smoker." Every line is an assertion, and a careful family tests each differently. Meeting him settles the height. A letter from the employer settles the job. The sale deed settles the flat (and shows it is his, not his uncle's). Asking the neighbour about smoking is the weakest test of all. Seeing that he is six feet tall tells you nothing about the flat.

Key idea

Financial statements are bundles of management's assertions. The auditor picks, for each assertion, a procedure that can actually prove it: evidence for one assertion (existence) is no substitute for evidence about another (ownership, valuation, cut-off).

How it works

1. What an assertion is

Definition

Assertions

Representations by management, explicit or otherwise, that are embodied in the financial statements, as used by the auditor to consider the different types of potential misstatements that may occur. (SM 4.23)

In representing that the financial statements are in accordance with the applicable financial reporting framework, management implicitly or explicitly makes assertions about the recognition, measurement, presentation and disclosure of their elements. The auditor uses them, when obtaining evidence from substantive procedures, in three categories (SM 4.23–4.25):

(a) Classes of transactions and events for the period

Assertion	Meaning (SM 4.24)
Occurrence	Transactions and events that have been recorded have occurred and pertain to the entity
Completeness	All transactions and events that should have been recorded have been recorded
Accuracy	Amounts and other data relating to recorded transactions and events have been recorded appropriately
Cut-off	Transactions and events have been recorded in the correct accounting period
Classification	Transactions and events have been recorded in the proper accounts

(b) Account balances at the period end

Assertion	Meaning (SM 4.24–4.25)
Existence	Assets, liabilities and equity interests exist
Rights and obligations	The entity holds or controls the rights to assets, and liabilities are the obligations of the entity
Completeness	All assets, liabilities and equity interests that should have been recorded have been recorded
Valuation and allocation	Assets, liabilities and equity interests are included at appropriate amounts and any resulting valuation or allocation adjustments are appropriately recorded

(c) Presentation and disclosure

Assertion	Meaning (SM 4.25)
Occurrence and rights and obligations	Disclosed events, transactions and other matters have occurred and pertain to the entity
Completeness	All disclosures that should have been included have been included
Classification and understandability	Financial information is appropriately presented and described, and disclosures are clearly expressed
Accuracy and valuation	Financial and other information are disclosed fairly and at appropriate amounts

Reproduce the three headings and their assertions in this order: they are marked as ICAI lists them. The auditor may express the assertions differently, for example combining those about transactions with those about balances, provided all these aspects are covered (SM 4.25).

2. The second list: assertions by caption

Chapter 5 of the Study Material, which applies assertions to each item of the financial statements, groups them by caption (SM 5.4–5.10). ICAI's questions use both vocabularies, so know how they line up:

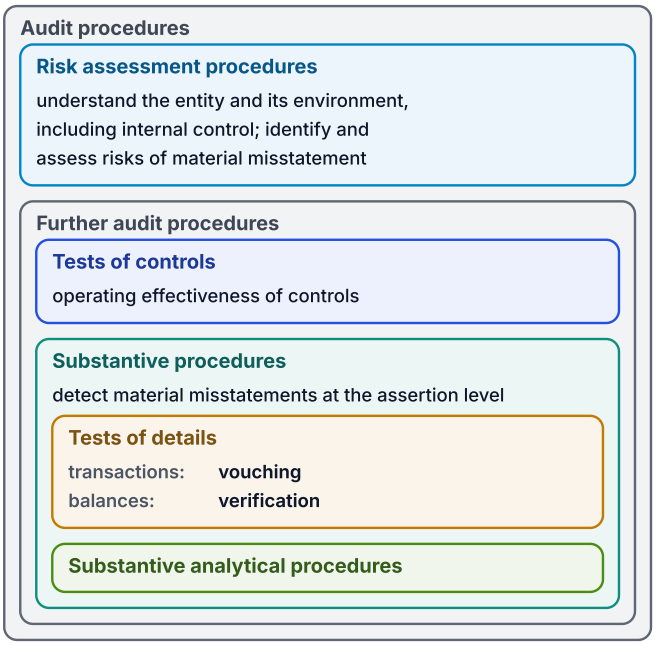
Income statement captions (revenue and expense)	Balance sheet captions (assets, liabilities, equity)
Occurrence	Existence
Completeness	Completeness
Cut-off	Cut-off
Measurement (recorded accurately at appropriate amounts)	Valuation
Presentation and disclosure	Rights and obligations
	Presentation and disclosure

The Study Material does not map one list onto the other, but "measurement" (recorded accurately at appropriate amounts) covers what Chapter 4 calls "accuracy", and "valuation" what it calls "valuation and allocation"; in a question, use the word of the list the question uses. Cut-off is a separate assertion because the substantive procedures to verify it are typically different from those for the other components of completeness (SM 5.6). Inventory held by the entity as a consignee is excluded (completeness; rights and obligations), while inventory held by a third party on the entity's behalf is included (SM 5.8–5.9). The audit of each caption is in audit of inventories, receivables and cash and its sibling lessons.

3. The procedures: where tests come from

Audit evidence is obtained by performing **risk assessment procedures** and **further audit procedures**: **tests of controls** (when required by the SAs or chosen by the auditor) and **substantive procedures**, which include tests of details and substantive analytical procedures (SM 4.15, 4.20–4.22).

The family of audit procedures (SM 4.22)



Sky blue: risk assessment procedures; blue: tests of controls; teal: substantive procedures, split into tests of details (amber: transactions, vouching; balances, verification) and substantive analytical procedures (green).

Definition

Tests of controls and substantive procedures

A **test of controls** is an audit procedure designed to evaluate the operating effectiveness of controls in preventing, or detecting and correcting, material misstatements at the assertion level. A **substantive procedure** is an audit procedure designed to detect material misstatements at the assertion level; substantive procedures comprise tests of details (of classes of transactions, account balances and disclosures) and substantive analytical procedures. (SM 4.21–4.22)

4. The seven procedures, in ICAI's order

Audit procedures to obtain audit evidence can include (SM 4.15–4.19):

Procedure	What it is	Study Material's examples and limits
Inspection	Examining records or documents, internal or external, in paper, electronic or other media, or a physical examination of an asset	Records for evidence of authorisation (a test of controls). Inspecting a tangible asset gives reliable evidence of existence, not necessarily of rights and obligations or valuation; a stock or bond certificate shows existence, not necessarily ownership or value
Observation	Looking at a process or procedure being performed by others	Inventory counting by the entity's staff. Limited to the point in time observed, and being observed may change how people act
External confirmation	Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), on paper or electronic or other medium	Balances; terms of agreements; the absence of a "side agreement" (SA 505)
Recalculation	Checking the mathematical accuracy of documents or records, manually or electronically	Checking whether euro sales invoices were converted into rupees correctly (Case Study 2, SM 4.118–4.119)
Reperformance	The auditor's independent execution of procedures or controls originally performed as part of the entity's internal control	Re-performing the bank reconciliation; re-performing the ageing of receivables
Analytical procedures	Evaluations of financial information made by a study of plausible relationships among both financial and non-financial data, including investigating fluctuations that are inconsistent or deviate from predicted amounts	Gross profit ratio compared with past years and the industry (SA 520)
Inquiry	Seeking information of knowledgeable persons, financial and non-financial, within or outside the entity; from formal written to informal oral	Used throughout the audit; responses may need corroboration or written representations

Two rules carry marks. First, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls (SM 4.19). Second, the same procedure may be a risk assessment procedure, a test of controls or a substantive procedure, depending on the context in which the auditor applies it (SM 4.19).

5. Matching the procedure to the assertion

What a procedure proves, and what it does not

Procedure	Proves	Not necessarily
Inspecting a tangible asset	**Existence**	**Rights and obligations; valuation**
Inspecting a share or bond certificate	**Existence**	**Ownership; value**
Documents for collections after the period end	**Existence; valuation**	**Cut-off**
Customer's confirmation of a receivable	**Existence; rights**	**Valuation (will it be recovered?)**

Green: what the procedure can prove; rose: what it does not necessarily prove (SM 4.9, 4.16, 4.123, 4.127). Evidence for one assertion is no substitute for evidence about another.

The direction of a test matters too: starting from the recorded items tests whether they are overstated (occurrence, existence), while finding unrecorded items needs a test that starts outside the records, as the accounts payable example in SA 500 shows (SM 4.9).

Worked examples

Worked example **Bunty's year-end checklist**

Identify and explain the assertion Iyer & Associates are testing in each procedure at Tapri Tea Co. Ltd for 2025-26.

(i) Selecting kulhad carton lines from the 31 March inventory records and counting those cartons at the Dewas warehouse.

(ii) Checking that twelve espresso machines, lying in Tapri's cafés on a sale-or-return trial from Brew-Tech Equipment Pvt Ltd, are not included in Tapri's property, plant and equipment.

(iii) Checking that samosa despatches of 29 to 31 March are invoiced in March and those of 1 April are not.

(iv) Recomputing the allowance for doubtful trade receivables from the ageing of the 31 March balances and Tapri's provisioning policy.

(v) Tracing March goods received notes to the purchase ledger.

MODEL ANSWER

(i) Existence. Assets, liabilities and equity interests exist. Starting from the records and finding the cartons in the warehouse shows that recorded inventory is physically there. (Counting cartons on the floor and looking for them in the records would test completeness instead.)

(ii) Rights and obligations. The entity holds or controls the rights to the assets it records. Machines on sale-or-return remain the supplier's until Tapri accepts them, so they must not be recorded as Tapri's assets.

(iii) Cut-off. Transactions and events have been recorded in the correct accounting period. Despatches either side of 31 March must fall in the right year.

(iv) Valuation and allocation. Assets are included at appropriate amounts, and any resulting valuation or allocation adjustments are appropriately recorded. The allowance is the valuation adjustment that brings receivables to the amount expected to be collected; the procedure is recalculation.

(v) Completeness. All transactions that should have been recorded have been recorded. Starting from goods received and looking for them in the ledger finds purchases left out; starting from the ledger could not.

Worked example **Name the procedure**

Identify the audit procedure in each situation.

(i) Lakshmi watches the Indore café staff count the cash at closing time on 31 March.

(ii) For 25 days of March, Bunty independently performs the Bhopal café's end-of-day reconciliation of cash in the till with the point-of-sale report, and compares his results with the manager's.

(iii) Bunty checks the totals and GST computed on 40 sales invoices.

(iv) The State Bank branch replies directly to Iyer & Associates confirming Tapri's loan balance.

(v) Lakshmi compares the cafés' milk purchases with cups sold, month by month.

MODEL ANSWER

(i) Observation: looking at a process or procedure being performed by others; it is evidence for that point in time only.

(ii) Reperformance: the auditor's independent execution of a control (the daily cash-to-sales reconciliation) originally performed as part of the entity's internal control.

(iii) Recalculation: checking the mathematical accuracy of documents or records.

(iv) External confirmation: audit evidence obtained as a direct written response to the auditor from a third party.

(v) Analytical procedure: evaluation of financial information through a study of plausible relationships between financial data (milk purchases) and non-financial data (cups sold).

Worked example **Bunty's two shortcuts**

(a) Bunty asked the head accountant whether bank reconciliations are prepared every month, as management's policy requires. The accountant said yes, and Bunty recorded "control operating effectively".

(b) Bunty saw Tapri's 120 delivery vans in the depot yard and recorded "vans: existence, ownership and value verified".

Comment on Bunty's conclusions.

MODEL ANSWER

Relevant provision. As per SA 500, inquiry alone ordinarily does not provide sufficient audit evidence of the absence of a material misstatement at the assertion level, nor of the operating effectiveness of controls. Inspection of tangible assets may provide reliable audit evidence of their existence, but not necessarily about the entity's rights and obligations or the valuation of the assets.

Facts of the case. (a) The only evidence is an oral reply from the person responsible for the control. (b) The only procedure is physical inspection.

Analysis. (a) The oral reply must be corroborated: inspect the monthly reconciliations for preparation and review, and reperform one or more of them. (b) Seeing the vans shows they exist. Ownership needs inspection of registration certificates and purchase invoices in Tapri's name (and whether any van is hypothecated to a lender); valuation needs the cost records and a recalculation of depreciation.

Conclusion. Both conclusions go beyond the evidence. Bunty should record (a) "inquired; corroboration pending" and (b) "existence verified", and perform the further procedures above before concluding on the control and on rights, obligations and valuation.

Exam angle

In the exam

Where assertions and procedures appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, this topic was examined in 27 questions across 10 documents, most of them 2-mark MCQs inside case scenarios.

- **Name the assertion (MCQs).** MTP May 2024 Series II MCQs 1.1, 1.3–1.5 (employee benefits; allowance for doubtful debtors is valuation; invoices in a director's name fail rights and obligations; foreign currency balance restated is valuation). MTP January 2025 Series I MCQs 2–4 (answer "Measurement, Measurement", Chapter 5's word; consignee stock is completeness and rights and obligations). MTP January 2026 Series II MCQs 4–5 (occurrence against completeness). MTP September 2026 Series I MCQs 2 and 6 (loan restated at closing rate: valuation and allocation; original fixed deposit receipts: existence). RTP September 2026 MCQs 2, 4 and 6 (inadequate provision for doubtful debts; purchases near the year end untested, a cut-off risk; foreign currency loan restated, valuation). RTP January 2025 MCQ 8 (ageing analysis for doubtful debts: valuation).
- **Match four procedures to four assertions.** May 2026 MCQ 5, on receivables: ICAI's key pairs the confirmation requests with existence, the ageing review with valuation, the matching of invoices and despatch records around the reporting date with cut-off, and the remaining procedure (invoices selected from the ageing report and compared with supporting documents) with completeness. Place the pairs you are sure of first; the last one falls into place.
- **Name the procedure.** MTP May 2025 Series II Q1(c) (4 marks: inspection, observation, recalculation, analytical procedures). MTP September 2026 Series I MCQs 1 and 3 (reading published annual reports is inspection; confirmations are substantive). RTP January 2025 MCQs 2 and 4. MTP January 2026 Series II Q3(a) (5 marks: inspection, its reliability, and the assertions a physical inspection does not prove); MTP May 2026 Series II MCQ 13.
- **Descriptive "identify and explain".** MTP May 2025 Series II Q2(a) (5 marks, five procedures to five assertions; the suggested answer names each assertion and quotes its meaning in Chapter 5's words); its Q6(c) OR (4 marks, occurrence of purchases). MTP January 2026 Series I Q2(a) (5 marks): what the completeness assertion requires for inventory (stock with a third-party transporter included, consignment goods excluded) and the procedures to verify it.

In the exam

How the marks are earned

Name the assertion, then quote its meaning in ICAI's words ("Existence: assets, liabilities and equity interests exist"), then one line linking it to the facts. For procedures, name the procedure and give its definition. One-word answers lose most of the marks.

Trick

Which way is the test pointing?

From the books to the evidence: "is what is recorded real?" (occurrence, existence). From the evidence to the books: "is everything real recorded?" (completeness). The Study Material's accounts payable example (SM 4.9) is this rule. Holds for tests of details; cut-off is tested at the year-end boundary in both directions. In a matching MCQ, settle the unambiguous pairs first (May 2026 MCQ 5, above).

Answer frame

"Identify and explain the assertion" (1 mark a part)

1. **Name** the assertion in the Study Material's term (Chapter 4's list, or Chapter 5's where the question uses captions).
2. **Quote** its meaning: "Cut-off: transactions and events have been recorded in the correct accounting period."
3. **Apply**: one sentence on why the procedure tests it.

"Distinguish tests of controls and substantive procedures"

Point	Tests of controls	Substantive procedures
Designed to	Evaluate the operating effectiveness of controls	Detect material misstatements at the assertion level
Looks for	Performance of the control, and deviations	Misstatements in the assertion
Comprise	One kind of further audit procedure	Tests of details (transactions: vouching; balances: verification) and substantive analytical procedures
When	When required by the SAs or when the auditor has chosen to do so	For each material class of transactions, account balance and disclosure, irrespective of the assessed risks (SM 3.70)

How the two are planned and combined is SA 330.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the van that was counted, so it must be ours

Fix: physical inspection gives reliable evidence of existence, not necessarily of ownership (rights and obligations) or amount (valuation); those need documents and calculations (SM 4.16).

⚠ **Common mistake**

Occurrence and completeness swapped

Occurrence asks whether *recorded* transactions happened; completeness asks whether *all* transactions were recorded. **Fix:** "no ghost employees on the payroll" is occurrence; "every employee's cost is accounted for" is completeness.

⚠ **Common mistake**

Reperformance called recalculation

Fix: recalculation checks arithmetic; reperformance independently redoes a procedure or control the entity performed (a reconciliation, an ageing).

⚠ **Common mistake**

Inquiry treated as proof

Fix: inquiry alone ordinarily does not give sufficient evidence of the absence of material misstatement or of the operating effectiveness of controls; corroborate it.

Practice

Check yourself

1 Case scenario. At Tapri's Dewas warehouse, Lakshmi watches the count teams follow the count instructions, while Bunty counts 30 cartons himself and agrees them to the count sheets. Which statement is correct?

- **A** Lakshmi is performing inspection and Bunty observation
- **B** Lakshmi is performing observation, which is limited to the point in time observed; Bunty's test counts are inspection of the inventory
- **C** Both are inquiries, because the count teams explain their work
- **D** Both procedures establish that Tapri owns the inventory counted

2 Which of the following are assertions about classes of transactions and events for the period? Select all that apply.

- **A** Occurrence
- **B** Cut-off
- **C** Existence
- **D** Classification

More than one answer may be right.

3 Bunty asks the cashier whether cash is counted every evening, and she says yes. What follows?

- **A** The control is operating effectively; inquiry is sufficient
- **B** Inquiry alone ordinarily does not provide sufficient evidence of operating effectiveness; it must be corroborated, for example by inspecting the count sheets or observing a count
- **C** A written representation from the cashier completes the evidence
- **D** Inquiry is not an audit procedure, so the reply is ignored

4 Physically inspecting Tapri's 120 delivery vans gives reliable evidence of:

- **A** Their existence only
- **B** Their existence and Tapri's ownership
- **C** Their existence and valuation
- **D** Existence, ownership and valuation

5 A confirmation received directly from a customer is LEAST likely to give evidence that the receivable:

- A Exists
- B Is a right of the company
- C Will be recovered in full
- D Is agreed by the customer

Answers: the answer key at the end of this lesson.

Recap

- Assertions: representations by management, explicit or otherwise, embodied in the financial statements, used by the auditor to consider potential misstatements.
- Transactions: occurrence, completeness, accuracy, cut-off, classification. Balances: existence, rights and obligations, completeness, valuation and allocation. Disclosure: occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation.
- Chapter 5 captions: income statement (occurrence, completeness, cut-off, measurement, presentation and disclosure); balance sheet (existence, completeness, cut-off, valuation, rights and obligations, presentation and disclosure).
- Procedures: inspection, observation, external confirmation, recalculation, reperformance, analytical procedures, inquiry.
- Further audit procedures: tests of controls and substantive procedures (tests of details: transactions, balances; substantive analytical procedures).
- Inquiry alone ordinarily does not prove the absence of misstatement or that controls operated.
- Inspecting an asset proves existence, not necessarily ownership or value. (Seeing that he is six feet tall tells you nothing about the flat.)

Answer key · Check yourself

1 **B Lakshmi is performing observation, which is limited to the point in time observed; Bunty's test counts are inspection of the inventory**

Observation is looking at a process performed by others; physically examining an asset is inspection. Neither proves ownership.

2 **A Occurrence; B Cut-off; D Classification**

Existence is an assertion about account balances at the period end. The transaction assertions are occurrence, completeness, accuracy, cut-off and classification.

3 **B Inquiry alone ordinarily does not provide sufficient evidence of operating effectiveness; it must be corroborated, for example by inspecting the count sheets or observing a count**

Inquiry is a procedure, but on its own it ordinarily cannot prove that a control operated.

4 **A** **Their existence only**

Inspection of tangible assets gives evidence of existence, not necessarily of rights and obligations or valuation (SM 4.16).

5 **C** **Will be recovered in full**

A confirmation shows the balance exists and is owed, not that it will be collected: recoverability is valuation (SM 4.123, 4.127).

4.3 SA 610: using the work of internal auditors

When the external auditor may use the internal audit function's work or its people, the three tests (objectivity, competence, a systematic approach), and why the opinion stays the external auditor's alone.

In plain words

The cupboard Bunty found

It is February, the audit of Tapri Tea Co. Ltd is behind schedule, and Bunty has found a cupboard. Inside are twelve binders from Tapri's **internal audit** department: tests of purchase controls, surprise cash counts at the kulhad cafés, an ageing of every receivable.

> **Bunty:** Ma'am, they have done half our audit already. We copy their conclusions, sign, and go home before Holi.
>
> **Lakshmi:** Whose name goes at the bottom of the audit report, Bunty?
>
> **Bunty:** Iyer & Associates, Ma'am.
>
> **Lakshmi:** Then whose evidence has to be good enough?

That exchange is SA 610 in miniature. Internal auditors check a company's controls, risks and governance for its management and board. Their work can help the statutory auditor (the **external auditor**), but they are **not independent** of the company in the way the external auditor must be, and only the external auditor signs the opinion.

So SA 610 allows two kinds of help: using the **work** internal audit has done (its tests and reports), or borrowing its **people** to perform audit procedures under the external auditor's direction, called **direct assistance**. First the internal audit function faces three tests: is it **objective** (free to report what it finds), **competent** (skilled and properly staffed), and **systematic and disciplined** (planned, documented, reviewed)? Fail any one and its work cannot be used at all. Pass all three and the external auditor still uses less of it wherever the judgment is heavy or the risk is high.

Think of it like

The food inspector and the kitchen's logbook

A food-safety inspector can look at a café kitchen's own temperature logbook. If the person keeping it reports to the owner, has had no training and fills it in from memory every Saturday, the inspector ignores it. If a trained supervisor reporting to head office keeps it at fixed hours, the inspector may use it for the routine fridges and still checks the risky ones personally. Either way, the inspection report carries the inspector's name.

Key idea

Using internal auditors never shares the opinion: the external auditor has sole responsibility for the audit opinion expressed. Their work is usable only if objectivity, competence and a systematic and disciplined approach are all present; the more judgment or risk an area involves, the less of it is used.

How it works

SA 610, "Using the Work of Internal Auditors", deals with the external auditor's responsibilities if using the work of internal auditors (SM 4.35). Here it is in the Study Material's order.

1. What an internal audit function is

> **Definition**
>
> **Internal audit function**
>
> A function of an entity that performs assurance and consulting activities designed to evaluate and improve the effectiveness of the entity's governance, risk management and internal control processes (SM 4.33).

Its objectives and scope typically include (SM 4.33–4.34):

1. **Activities relating to governance**: assessing the governance process on ethics and values, performance management and accountability, communicating risk and control information, and communication among those charged with governance, external and internal auditors, and management.
2. **Activities relating to risk management**: identifying and evaluating significant exposures to risk, contributing to better risk management and internal control (including the financial reporting process), and procedures to assist in detecting fraud.
3. **Activities relating to internal control**: *evaluation of internal control* (reviewing controls, evaluating their operation, recommending improvements); *examination of financial and operating information* (including detailed testing of transactions, balances and procedures); *review of operating activities* (economy, efficiency and effectiveness, including non-financial activities); *review of compliance with laws and regulations* and with management policies and directives.

Not on the list: expressing an independent opinion on the financial statements. That is the external auditor's job alone (SM 4.122, Test Your Knowledge MCQ 1).

2. Three ways the external auditor may use it

The objectives of internal audit and of the external auditor differ, but internal audit may perform similar procedures. If so, the external auditor may use the function in one or more of these ways (SM 4.34–4.35):

1. To obtain information relevant to the external auditor's **assessments of the risks of material misstatement** due to error or fraud.
2. Unless prohibited, or restricted to some extent, by law or regulation: after appropriate evaluation, to use **work performed by the internal audit function** during the period **in partial substitution** for audit evidence to be obtained directly.
3. Unless prohibited, or restricted to some extent, by law or regulation: to use internal auditors to perform audit procedures **under the direction, supervision and review** of the external auditor (**direct assistance**).

3. Scope, and the rule that never bends

SA 610 covers (a) using the work of the internal audit function in obtaining audit evidence and (b) using internal auditors to provide direct assistance. Nothing in it **requires** the external auditor to use that work to change the nature or timing, or reduce the extent, of the external auditor's own procedures: that remains the external auditor's decision in establishing the overall audit strategy (SM 4.35).

The external auditor has **sole responsibility** for the audit opinion expressed, and it is **not reduced** by using the function's work or direct assistance. Neither the function nor its internal auditors are independent of the entity as SA 200 requires of the external auditor. So SA 610 sets the conditions for using their work, and the work effort needed to show it is adequate, to prevent over or undue use of it (SM 4.35).

4. The objectives

Where the entity has an internal audit function and the external auditor expects to use its work to modify the nature or timing, or reduce the extent, of procedures performed directly, or to use internal auditors for direct assistance, the objectives of the external auditor are (SM 4.36):

- (a) to determine whether the work of the internal audit function or direct assistance from internal auditors can be used, and if so, in which areas and to what extent; and having made that determination:
- (b) if using the work of the internal audit function, to determine whether that work is adequate for purposes of the audit; and
- (c) if using internal auditors to provide direct assistance, to appropriately direct, supervise and review their work.

5. Evaluating the function: three tests

The external auditor shall determine whether the work of the internal audit function can be used by evaluating (SM 4.36):

- (A) the extent to which the function's **organisational status and relevant policies and procedures support the objectivity** of the internal auditors;
- (B) the **level of competence** of the function; and
- (C) whether the function applies a **systematic and disciplined approach, including quality control**.

This is professional judgment, and the first two are particularly important in deciding whether, and how much, to use (SM 4.36–4.37).

Definition

Objectivity

The ability to perform those tasks without allowing bias, conflict of interest or undue influence of others to override professional judgments (SM 4.37).

Definition

Competence of the internal audit function

The attainment and maintenance of knowledge and skills of the function as a whole at the level required to enable assigned tasks to be performed diligently and in accordance with applicable professional standards (SM 4.38).

The factors that may affect each test (SM 4.37–4.39):

Objectivity

1. Whether the function's organisational status, including its authority and accountability, supports its ability to be free from bias, conflict of interest or undue influence of others; for example, whether it reports to those charged with governance or an officer with appropriate authority, or, if it reports to management, whether it has direct access to those charged with governance.
2. Whether those charged with governance oversee employment decisions related to the function (for example, the remuneration policy).
3. Whether management or those charged with governance place any constraints or restrictions on it (for example, on communicating its findings to the external auditor).
4. Whether it is free of conflicting responsibilities, such as managerial or operational duties outside internal audit.

Competence

1. Whether it is adequately and appropriately resourced relative to the size of the entity and the nature of its operations.
2. Whether there are established policies for hiring, training and assigning internal auditors to internal audit engagements.
3. Whether the internal auditors have adequate technical training and proficiency in auditing.
4. Whether they possess the required knowledge of the entity's financial reporting and the applicable financial reporting framework.

Systematic and disciplined approach

1. The existence, adequacy and use of documented internal audit procedures or guidance (risk assessments, work programmes, documentation and reporting), commensurate with the entity's size and circumstances.
2. Whether it has appropriate quality control policies and procedures.

A systematic and disciplined approach to planning, performing, supervising, reviewing and documenting is what distinguishes internal audit from other monitoring control activities in the entity (SM 4.38–4.39).

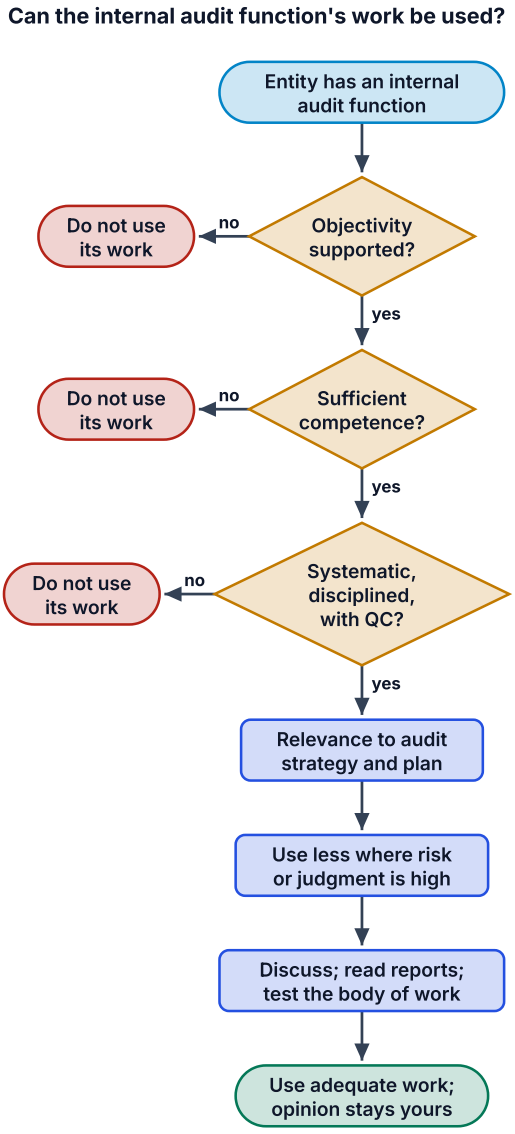
Objectivity and competence may be viewed as a continuum. The better the support for objectivity and the higher the competence, the more likely the work is used, and in more areas. But neither makes up for the other: strong support for objectivity cannot compensate for a lack of sufficient

competence, and high competence cannot compensate for status and policies that do not adequately support objectivity (SM 4.38).

6. When the work cannot be used

The external auditor shall **not** use the work of the internal audit function if the external auditor determines that (SM 4.39):

- (a) the function's organisational status and relevant policies and procedures do not adequately support the objectivity of internal auditors;
- (b) the function lacks sufficient competence; or
- (c) the function does not apply a systematic and disciplined approach, including quality control.



Rose: a failed test, after which none of the function's work is used. Green: the work found adequate is used, and the external auditor keeps sole responsibility for the opinion. QC: quality control.

7. Which areas, and how much

To decide the areas and extent, the external auditor shall consider the nature and scope of the work performed, or planned, by the function and its relevance to the overall audit strategy and audit plan (SM 4.39–4.40). Examples of work that can be used (SM 4.40):

1. Testing of the operating effectiveness of controls.
2. Substantive procedures involving limited judgment.
3. Observations of inventory counts.
4. Tracing transactions through the information system relevant to financial reporting.
5. Testing of compliance with regulatory requirements.

The external auditor shall make **all significant judgments** and, to prevent undue use, shall plan to use less of the work of the function and perform more of the work directly (SM 4.40):

- (a) the more judgment is involved in (i) planning and performing relevant audit procedures and (ii) evaluating the audit evidence gathered;
- (b) the higher the assessed risk of material misstatement at the assertion level, with special consideration given to risks identified as significant;
- (c) the less the function's organisational status and relevant policies and procedures adequately support the objectivity of the internal auditors; and
- (d) the lower the level of competence of the function.

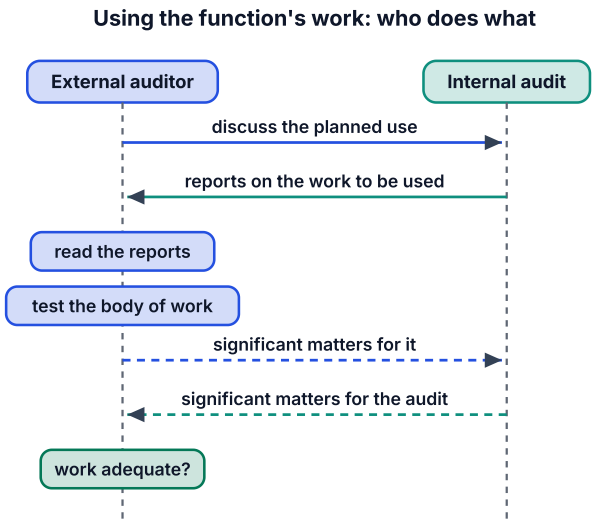
8. Using the work

If the external auditor plans to use the function's work, the external auditor shall (SM 4.40–4.41):

- (A) **discuss** the planned use of its work with the function, as a basis for coordinating their activities;
- (B) **read the reports** of the function on that work, to understand the nature and extent of its procedures and its findings;
- (C) **perform sufficient audit procedures on the body of work as a whole** that the external auditor plans to use, to determine its adequacy for purposes of the audit.

The discussion may usefully address (SM 4.41): (1) the timing of the work; (2) its nature; (3) the extent of audit coverage; (4) materiality for the financial statements as a whole (and, if applicable, for particular classes of transactions, account balances or disclosures) and performance materiality; (5) proposed methods of item selection and sample sizes; (6) documentation of the work performed; (7) review and reporting procedures.

Coordination is effective when, for example (SM 4.41): discussions take place at appropriate intervals throughout the period; the external auditor informs the function of significant matters that may affect it; and the external auditor is advised of, and has access to, relevant internal audit reports and is told of significant matters that may affect the external auditor's work.



The three "shall" steps (discuss, read the reports, perform procedures on the body of work) come first; the dashed arrows are the two-way flow of significant matters that makes coordination effective.

9. Direct assistance

Definition

Direct assistance

The use of internal auditors to perform audit procedures under the direction, supervision and review of the external auditor (SM 4.42).

Law or regulation may prohibit direct assistance. If not prohibited, and the external auditor plans to use it, the external auditor shall evaluate the existence and significance of **threats to objectivity** and the **level of competence** of the internal auditors who will provide it; the evaluation of threats shall include **inquiry of the internal auditors** about interests and relationships that may threaten their objectivity (SM 4.42).

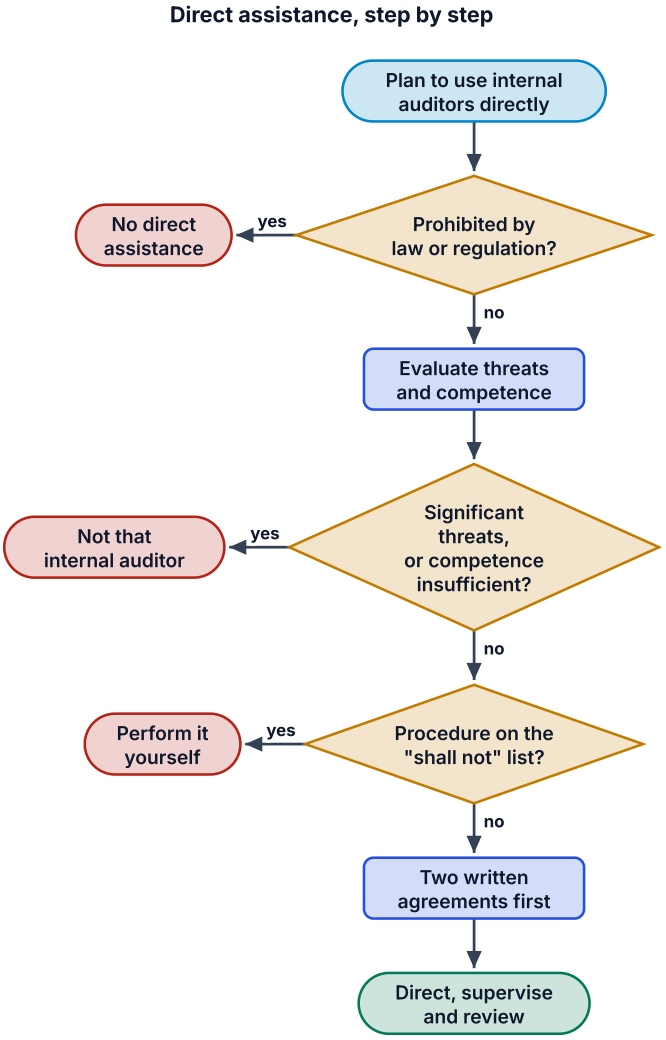
The external auditor **shall not use an internal auditor** for direct assistance if (SM 4.42): (a) there are significant threats to the objectivity of the internal auditor; or (b) the internal auditor lacks sufficient competence to perform the proposed work.

The external auditor **shall not use internal auditors** for direct assistance to perform procedures that (SM 4.42–4.43):

- (a) involve making significant judgments in the audit;
- (b) relate to higher assessed risks of material misstatement where the judgment required in performing the relevant audit procedures or evaluating the audit evidence gathered is more than limited;
- (c) relate to work with which the internal auditors have been involved and which has already been, or will be, reported to management or those charged with governance by the internal audit function; or
- (d) relate to decisions the external auditor makes under SA 610 regarding the internal audit function and the use of its work or direct assistance.

Prior to using internal auditors for direct assistance, the external auditor shall (SM 4.43):

- (a) obtain written agreement from an **authorised representative of the entity** that the internal auditors will be allowed to follow the external auditor's instructions, and that the entity will not intervene in the work the internal auditor performs for the external auditor; and
- (b) obtain written agreement from the **internal auditors** that they will keep confidential specific matters as instructed by the external auditor and inform the external auditor of any threat to their objectivity.



The "shall not" list: significant judgments; higher assessed risks needing more than limited judgment; work the internal auditors were involved in that internal audit has reported or will report; decisions about the use of internal audit itself. Rose: where direct assistance stops; green: where it proceeds.

Work versus people, side by side

Point	Use of the work	Direct assistance
What is used	Work the function has done or plans to do	Internal auditors performing the external auditor's procedures
Who directs it	The function's own programme	The external auditor directs, supervises and reviews
What is evaluated	The function: objectivity, competence, systematic approach	Each internal auditor: threats to objectivity (with inquiry), competence
Steps	Discuss; read reports; test the body of work	Two written agreements first

Worked examples

Worked example **Malwa Namkeen's loyal internal auditor**

CA Rohan Desai audits Malwa Namkeen Ltd, a Ratlam snack maker that supplies Tapri. Its two-person internal audit team is headed by the CFO's nephew, who reports to the CFO, has no access to the audit committee, and gets his increments from the CFO. He also prepares the monthly bank reconciliations and approves vendor payments above ₹5 lakh. There are no documented audit programmes, and the CFO insists that findings are "cleared by him" before the statutory auditor sees them. The team's purchase-controls testing for 2025-26 is detailed and neatly typed, so CA Rohan wants to rely on it and halve his own tests of controls over purchases.

Advise CA Rohan, with reference to SA 610.

MODEL ANSWER

Relevant provision. As per SA 610, the external auditor shall determine whether the work of the internal audit function can be used by evaluating (a) the extent to which its organisational status and relevant policies and procedures support the objectivity of the internal auditors; (b) its level of competence; and (c) whether it applies a systematic and disciplined approach, including quality control. Objectivity factors include whether the function reports to, or has direct access to, those charged with governance; whether they oversee its remuneration; whether management restricts the communication of its findings to the external auditor; and whether it is free of conflicting operational duties. The external auditor shall not use the work if any of the three is absent; competence cannot compensate for inadequate support for objectivity.

Facts of the case. The head of internal audit reports to the CFO, who sets his increments, with no access to the audit committee; he prepares bank reconciliations and approves payments; the CFO clears findings before the auditor sees them; there are no documented procedures.

Analysis. The organisational status does not support objectivity; the CFO's clearance is a constraint on communicating findings to the external auditor; the operational duties mean the function would be testing its own work; and without documented procedures there is no systematic and disciplined approach. Neat working papers do not cure any of this.

Conclusion. CA Rohan shall not use the work of the internal audit function. He should perform the tests of controls over purchases himself, with the nature, timing and extent his own risk assessment requires.

Worked example **Kesar lends Lakshmi his internal auditors**

For the 2025-26 audit of Tapri Tea Co. Ltd, Lakshmi has evaluated Tapri's internal audit function, headed by Meenal Joshi, CA, who reports to the audit committee. No law prohibits direct assistance. Lakshmi plans to use three of Meenal's team (Farhan, Pallavi and Joseph), under her direction, for:

(i) recalculating depreciation on the 1,240 café assets in the fixed asset register;

(ii) estimating the impairment loss on the loss-making samosa factory at Dewas, which Lakshmi has identified as a significant risk;

(iii) re-testing the vendor master-file controls that internal audit tested in October and reported on to the audit committee;

(iv) deciding which internal audit reports Iyer & Associates will rely on;

(v) for café cash sales, which Lakshmi has assessed as a higher risk, agreeing the daily sales summaries of 60 cafés she has selected to the bank deposit slips and listing every difference for her to evaluate.

On inquiry, Pallavi tells Lakshmi that her husband manages the Bhopal cafés, 12 of which are in the sample for (v). Kesar signs a letter lending the team, with one line added in his own hand: "Meenal sees whatever they do for you before you do, and she may drop cafés that are closed for renovation." Advise Lakshmi on which tasks may be assigned, to whom, and what she must have before the team starts.

MODEL ANSWER

Relevant provision. As per SA 610, the external auditor shall evaluate the existence and significance of threats to the objectivity of the internal auditors who will provide direct assistance (including inquiry of them about interests and relationships) and their level of competence, and shall not use an internal auditor for direct assistance if there are significant threats to that internal auditor's objectivity. The external auditor shall not use internal auditors for procedures that (a) involve making significant judgments; (b) relate to higher assessed risks of material misstatement where the judgment required in performing the procedures or evaluating the evidence is more than limited; (c) relate to work they have been involved in that internal audit has reported, or will report, to management or those charged with governance; or (d) relate to the external auditor's decisions about internal audit under SA 610. Prior to using them, the external auditor shall obtain written agreement from an authorised representative of the entity that the internal auditors will be allowed to follow the external auditor's instructions and that the entity will not intervene in their work for the external auditor, and written agreement from the internal auditors that they will keep specified matters confidential and inform the external auditor of any threat to their objectivity.

Facts and analysis.

Task	Assign?	Reason
(i) Recalculating depreciation	Yes	Limited judgment
(ii) Dewas impairment estimate	No	Significant judgment, significant risk
(iii) Vendor master re-test	No	Own work, already reported to the audit committee
(iv) Choosing reports to rely on	No	A decision under SA 610 itself
(v) Agreeing cash summaries	Yes, not Pallavi	Higher risk, limited judgment

Task (v) relates to a higher assessed risk, but condition (b) bars such work only where the judgment required is more than limited. Agreeing summaries to deposit slips is mechanical, and Lakshmi evaluates every difference herself. Pallavi's husband manages 12 of the cafés being tested: that is a significant threat to her objectivity, so she shall not provide direct assistance.

Kesar's letter is not the agreement SA 610 requires. Its added line does the opposite: Meenal previewing the team's work for Lakshmi, and dropping cafés from Lakshmi's sample, is the entity intervening in work performed for the external auditor.

Conclusion. Lakshmi may assign tasks (i) and (v) to Farhan and Joseph, after evaluating their competence and inquiring about their interests and relationships, and must perform (ii), (iii) and (iv) herself. Before they start she shall obtain (a) a written agreement from an authorised representative of Tapri, without Kesar's added line, that the internal auditors will follow her instructions and Tapri will not intervene in their work for her, and (b) written agreements from Farhan and Joseph that they will keep specified matters confidential and inform her of any threat to their objectivity. She then directs, supervises and reviews their work; the opinion remains Iyer & Associates' sole responsibility.

Worked example

The payroll test that stopped in September

CA Hemant Bhatt is the statutory auditor of Narmada Kulhad Works Ltd, an unlisted company that makes some of the clay cups Tapri's cafés serve in, for 2025-26. He evaluated its internal audit function (two Chartered Accountants reporting to the audit committee, documented work programmes, files reviewed by the head of internal audit) and concluded that its work can be used.

Internal audit tested the payroll controls over the company's 4,800 contract potters for April to September 2025, on 25 workers picked by the payroll supervisor. Its report runs to nine pages; Hemant read the one-page summary ("controls operating effectively"). Page 6 records wages paid in July to three potters who had already left, "since recovered". Hemant performed no tests of payroll controls of his own for the year and placed internal audit's file in his working papers as his evidence.

Comment on Hemant's approach with reference to SA 610, and state what he should do.

MODEL ANSWER

Relevant provision. As per SA 610, once the external auditor has determined that the work of the internal audit function can be used, he shall determine the areas and extent of its use by considering the nature and scope of the work performed by the function and its relevance to the overall audit strategy and audit plan, and he shall make all significant judgments in the engagement. If he plans to use the work, he shall (A) discuss the planned use of its work with the function as a basis for coordinating their activities; (B) read the reports of the function relating to that work, to obtain an understanding of the nature and extent of the procedures it performed and the related findings; and (C) perform sufficient audit procedures on the body of work as a whole that he plans to use, to determine its adequacy for the purposes of the audit. Matters for discussion include the timing and nature of the work, the extent of audit coverage, and the proposed methods of item selection and sample sizes. His sole responsibility for the audit opinion is not reduced by using the work.

Facts and analysis.

1. *Evaluation of the function*: done, and its status, competence and approach support use. This first step was correct.
2. *Extent and relevance*: the work covers six months of a twelve-month period. Nothing in it supports the operation of the controls from October to March, so it cannot replace his evidence for the whole year.
3. *Discussion*: there was none, so timing, coverage, item selection and sample size were never agreed; a sample picked by the payroll supervisor, whose controls were being tested, is a selection method he could not have accepted without evaluating it.
4. *Reading the reports*: reading only the summary missed the payments to three potters who had left. That finding bears on whether the control operated effectively and on his own assessment of the risk of fraud in payroll.
5. *Procedures on the body of work*: none were performed. Filing internal audit's file is not evidence that the work is adequate.

Conclusion. Hemant has not complied with SA 610. He should discuss the work with internal audit, read the full report and evaluate the July exceptions, perform procedures on the work he uses (for example, re-performing part of internal audit's testing on items he selects), and obtain his own evidence for October to March, through tests of controls or substantive procedures as his risk assessment requires. The responsibility for the opinion remains his alone.

Exam angle

In the exam

Where SA 610 appeared, May 2024 to September 2026

SA 610 was examined in 9 of the ICAI documents read for this lesson:

- **Descriptive, 3 to 5 marks.** Sole responsibility, and what to consider before relying on internal audit (a partner blamed the internal auditor for a wrong ageing): January 2025 Q4(a) (5 marks). When to use less of the work: January 2026 Q6(b) (5 marks). Effective coordination: May 2024 Q3(d) (3 marks). Direct assistance, the "shall not" procedures and the written agreements: September 2026 Q1(b) (3 + 2 marks; the facts suggested management's written approval alone was enough; answers not yet published) and RTP January 2025 Q12. Checking an ageing's accuracy (assignable) versus evaluating the provision on it (not): MTP May 2024 Series I Q6(a) (4 marks).
- **Multiple choice, 2 marks.** Relying on internal audit instead of performing procedures is wrong because the statutory auditor has sole responsibility for the opinion: MTP May 2025 Series I MCQ 4. Going concern evaluation is not for direct assistance: MTP September 2025 Series I MCQ 2. A control failure is internal audit's to report, and no extensive reliance on an internal auditor not reporting to higher management when risk is high: MTP September 2025 Series II MCQs 3 and 4.

In the exam

How the marks are earned

The suggested answers open with "As per SA 610", quote the list the question needs in the Standard's words and order, apply it to each fact and end with a clear yes or no. Phrases that carry marks: "sole responsibility for the audit opinion expressed", "organisational status and relevant policies and procedures", "systematic and disciplined approach, including quality control", "more than limited judgment", "direction, supervision and review".

Trick

JROC: when to do more yourself

Judgement more, **R**isk higher, **O**bjectivity support weaker, **C**ompetence lower: each moves work back to the external auditor. Condition: JROC decides *how much* to use once all three tests are passed; failing a test means none is used.

Trick

SHOD: the four closed doors of direct assistance

Significant judgments, **H**igher risk needing more than limited judgment, **O**wn work already reported, **D**ecisions about internal audit itself. Typical assignable work: recalculating, tracing, checking the accuracy of a listing.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 610, ...", only the list the question needs: the three tests; the "shall not use" conditions; JROC; SHOD; the written agreements. For "what should the auditor consider

before relying on internal audit", ICAI's answer (January 2025 Q4(a)) gave the three objectives and then the three tests.

2. **Facts of the case**: who internal audit reports to, its other duties, staffing and methods, the area's risk and judgment.
3. **Analysis**: each fact against each condition, one line each.
4. **Conclusion**: can the work (or the person) be used, for what, and what must be done first; sole responsibility where the question invites it.

Three answers to "Can Lakshmi give the Dewas impairment estimate to internal audit?"

Loses marks

"No, because internal auditors are not independent."

True, but not SA 610's reason; no provision, no facts.

Passes

"No. SA 610 does not allow direct assistance on higher-risk areas."

Half the condition: higher-risk work is barred only "where the judgment required is more than limited" (task (v) is higher risk and still assignable).

Full marks

The "shall not" conditions in full, the facts (a significant risk; estimating an impairment loss is a significant judgment), the conclusion, and that routine tasks may still be assigned after the written agreements.

Common mistakes

⚠ **Common mistake**

Hall of Shame: "the internal auditor is responsible"

Blaming internal audit for an error the external auditor signed off. **Fix:** the external auditor has sole responsibility for the opinion; using internal audit's work or people never reduces it.

⚠ **Common mistake**

The brilliant team that reports to the CFO

"Highly qualified, so we rely on it, although it reports to the CFO and approves payments." **Fix:** neither objectivity nor competence compensates for the other. If status and policies do not adequately support objectivity, the work shall not be used.

⚠ **Common mistake**

Direct assistance on the judgment calls

Giving internal auditors a provision, an estimate or going concern because they "know the business". **Fix:** significant judgments, and higher assessed risks where the judgment required is more than limited, stay with the external auditor.

⚠ **Common mistake**

Management's nod instead of two written agreements

Fix: before direct assistance, obtain written agreement from an authorised representative of the entity (follow instructions; no intervention) **and** from the internal auditors (confidentiality; report threats to objectivity).

Practice

Check yourself

1 Case scenario. At Sanchi Dairy Ltd, the head of internal audit reports to the CFO but meets the audit committee alone every quarter; the team is well staffed and trained, and follows documented work programmes with review. The statutory auditor has identified revenue recognition as a significant risk. Which of the following is correct?

- A The work cannot be used, because internal audit reports to management
- B The work may be used, but for revenue the auditor should plan to use less of it and perform more directly
- C The work may be used extensively everywhere, because all three tests are passed
- D The auditor must use internal audit's revenue work once the tests are passed

2 Case scenario. Tapri's internal audit team tested the café cash-handling controls in December and reported on them to the audit committee. Lakshmi now wants three auditors from that team to provide direct assistance on the 2025-26 audit; the written agreements are in place and she has found no threats to their objectivity. Which task may she NOT give them?

- A Agreeing additions in the fixed asset register to purchase invoices she has selected
- B Casting the March sales register and agreeing its total to the general ledger
- C Recalculating interest on the term loans from the sanction letters
- D Testing the café cash-handling controls they examined in December

3 Before using internal auditors for direct assistance, which written agreements does SA 610 require? Select all that apply.

- A From an authorised representative of the entity: the internal auditors may follow the external auditor's instructions
- B From an authorised representative of the entity: the entity will not intervene in their work for the external auditor
- C From the internal auditors: they will keep specified matters confidential and report threats to their objectivity
- D From those charged with governance: they accept joint responsibility for the opinion

More than one answer may be right.

4 An internal audit function's status strongly supports objectivity, but its staff have no training in auditing and no knowledge of the financial reporting framework. What follows?

- A Strong objectivity compensates, so the work can be used in limited areas
- B The work can be used if the external auditor documents the reasons
- C The work shall not be used, because the function lacks sufficient competence
- D The work can be used only for direct assistance

5 Which is a factor in evaluating competence, not objectivity?

- A Whether those charged with governance oversee its remuneration policy
- B Whether it has operational duties outside internal audit
- C Whether there are established policies for hiring, training and assigning internal auditors
- D Whether management restricts it from sharing findings with the external auditor

Answers: the answer key at the end of this lesson.

Recap

- SA 610 uses of internal audit: risk assessment information; its work in partial substitution for direct evidence; direct assistance (the last two unless law or regulation prohibits or restricts them).
- The external auditor has sole responsibility for the opinion; using internal audit never reduces it, and SA 610 never requires its use.
- Three tests: objectivity supported by status and policies; competence; a systematic and disciplined approach including quality control. Fail one, and none of the work is used.
- Objectivity and competence are a continuum, but neither compensates for the other.
- Use less and do more directly the more judgment, the higher the risk, the weaker the objectivity, the lower the competence (JROC).
- Using the work: discuss it, read the reports, perform sufficient procedures on the body of work.
- Direct assistance: evaluate threats (with inquiry) and competence; never for significant judgments, higher risks needing more than limited judgment, their own reported work, or decisions about internal audit itself (SHOD); two written agreements first.
- Bunty's cupboard can save time, not responsibility.

Answer key · Check yourself

1 **B The work may be used, but for revenue the auditor should plan to use less of it and perform more directly**

Reporting to management with direct access to those charged with governance can support objectivity, so the tests are passed. But the higher the assessed risk, especially a significant risk, the less of the work is used. SA 610 never requires its use.

2 **D Testing the café cash-handling controls they examined in December**

Direct assistance shall not be used for procedures relating to work the internal auditors were involved in that internal audit has already reported, or will report, to management or those charged with governance. The other three need only limited judgment and may be assigned under her direction, supervision and review.

3 **A From an authorised representative of the entity: the internal auditors may follow the external auditor's instructions; B From an authorised representative of the entity: the entity will not intervene in their work for the external auditor; C From the internal auditors: they will keep specified matters confidential and report threats to their objectivity**

One agreement from the entity (two promises) and one from the internal auditors. Responsibility for the opinion is never shared.

4 **C The work shall not be used, because the function lacks sufficient competence**

Objectivity cannot compensate for a lack of sufficient competence. Direct assistance also needs competent internal auditors.

5 **C Whether there are established policies for hiring, training and assigning internal auditors**

Hiring, training and assigning policies are a competence factor; the other three are objectivity factors.

4.4 Internal financial controls and ICFR

What internal financial controls are, who answers for them under the Companies Act, 2013, which companies' auditors must report on them, and why IFC is wider than internal control over financial reporting.

In plain words

Kesar reads the small print

It is May, and Tapri Tea Co. Ltd's board is approving the annual report. Kesar, pen in hand, stops at the Directors' Responsibility Statement: the directors "had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively".

> **Kesar:** Adequate *and* working? I am signing that? Dev, what are these internal financial controls? The lock on the cash box?
>
> **Dev:** The lock, the purchase approvals, the GST calendar, the fraud hotline. Everything that keeps the money and the numbers honest.
>
> **Kesar:** And Lakshmi-ji writes about them also?
>
> **Dev:** In a separate annexure to her report. The present value of skipping that is very negative.

Internal financial controls (IFC) are the policies and procedures a company puts in place to make five things happen: reliable financial reporting, effective and efficient operations, compliance with laws, safe assets, and the prevention and detection of fraud. The Companies Act, 2013 makes four groups answer for them: the directors (in a listed company, they say so in the Directors' Responsibility Statement), the audit committee (it evaluates them), the independent directors (they satisfy themselves that financial controls are robust), and the statutory auditor (who reports whether they are adequate and operating effectively). Management and directors build and run the controls; the auditor checks and reports.

There is also a narrower term. **Internal control over financial reporting (ICFR)** is only the part of the controls that keeps the financial statements right. When an auditor gives an opinion on ICFR, it is a second opinion, separate from the opinion on the financial statements.

Think of it like

The school and the report card

A school runs many controls: attendance registers, lab safety rules, fee receipts, exam invigilation. Together they are its internal controls. A few of them make sure the marks printed on each report card are correct: double marking, checked totals, a locked marks register. Those few are the report card controls. A parent can ask "is the school well run?" or the narrower "can I trust this report card?": IFC answers the first question, ICFR the second.

Key idea

IFC is a wider term; ICFR is narrower, restricted to internal controls over financial reporting. Directors and management have primary responsibility for internal financial controls; the auditor evaluates, validates and reports on their design and operating effectiveness, in a report separate from the opinion on the financial statements.

How it works

1. What internal financial controls are

Definition

Internal financial controls (IFC)

The policies and procedures put in place by companies for ensuring (SM 3.63):

- reliability of financial reporting;
- effectiveness and efficiency of operations;
- compliance with applicable laws and regulations;
- safeguarding of assets;
- prevention and detection of frauds.

The Companies Act, 2013 has placed a greater emphasis on the effective implementation of, and reporting on, internal controls for a company, and uses the term "internal financial controls" at several places to cast responsibilities (SM 3.63).

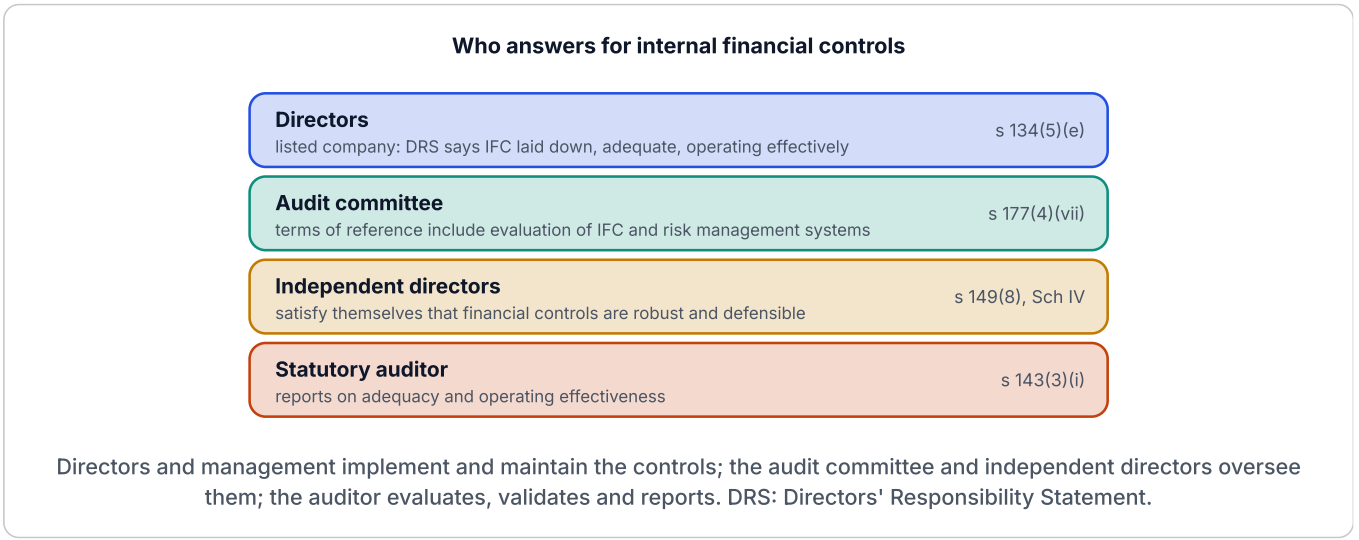
2. Four provisions, four responsibilities

Reproduce this table from memory: provision, party, responsibility (SM 3.63–3.64).

Provision of the Companies Act, 2013	Nature of responsibility
Section 134(5)(e): directors	In the case of listed companies, the Directors' Responsibility Statement shall state that the directors had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively.
Section 143(3)(i): auditor	The auditor's report shall state whether the company has an adequate internal financial controls system in place and the operating effectiveness of such controls (not applicable to certain private companies, below).
Section 177(4)(vii): audit committee	Every audit committee shall act in accordance with the terms of reference specified in writing by the Board, which shall, inter alia, include evaluation of internal financial controls and risk management systems.
Section 149(8): independent directors	The company and independent directors shall abide by Schedule IV, the Code for Independent Directors, under which independent directors shall satisfy themselves on the integrity of financial information and that financial controls and the systems of risk management are robust and defensible.

The directors and management have **primary responsibility** for implementing and maintaining an effective internal controls framework; auditors are expected to **evaluate, validate and report on the**

design and operating effectiveness of internal financial controls (SM 3.64).

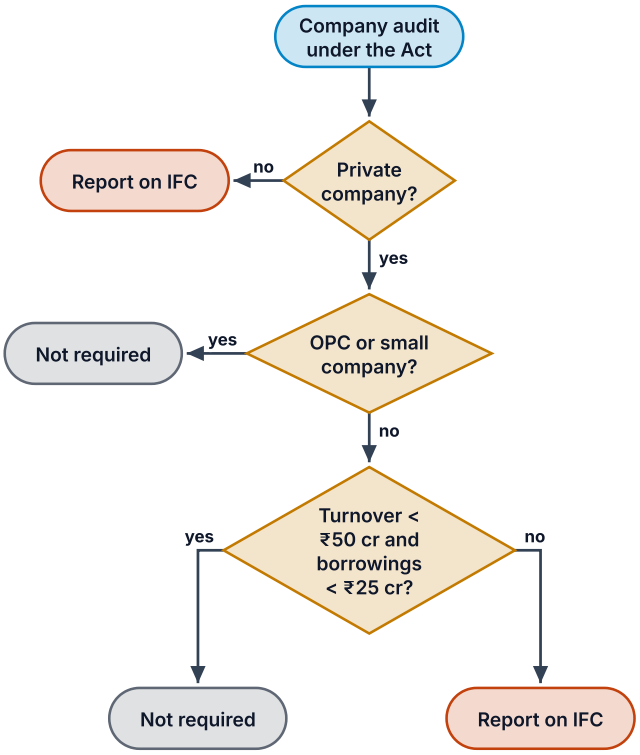


3. The auditor's report, and who is exempt

Under section 143(3)(i), the auditor's report shall state whether the company has adequate internal financial controls **with reference to financial statements** in place and the operating effectiveness of such controls (SM 8.70). The requirement does **not** apply to a **private company** which is (SM 3.63–3.64, 8.70):

- (i) a One Person Company; or
- (ii) a small company; or
- (iii) a company having turnover less than ₹50 crore as per its latest audited financial statements **and** aggregate borrowings from banks or financial institutions or any body corporate at any point of time during the financial year less than ₹25 crore.

Must the auditor report on IFC under section 143(3)(i)?



Orange: the auditor reports on IFC; grey: the exemption applies. Turnover is as per the latest audited financial statements; borrowings are from banks, financial institutions or any body corporate, at any point of time during the year, and both limits must be met.

⚠ **Careful**

The section 143(3)(i) exemption and its limits are stated as the Study Material gives them. The small-company limits in section 2(85) were raised (paid-up capital not exceeding ₹10 crore and turnover not exceeding ₹100 crore) by notification G.S.R 880(E) of 1 December 2025; ICAI lists this under Paper 2, and Paper 5 answers follow the Study Material. Verify against the Study Material and Statutory Update for your attempt.

4. Where IFC shows up in the auditor's report

The illustrative company auditor's report in the Study Material mentions internal financial controls three times:

1. **Management's responsibility**: the Board's responsibility includes the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements (SM 8.16–8.17).
2. **Auditor's responsibilities**: after "obtain an understanding of internal control relevant to the audit...", the report adds that under section 143(3)(i) the auditor is also responsible for expressing an opinion on whether the company has adequate internal financial controls system in place and the operating effectiveness of such controls (SM 8.29).
3. **Report on Other Legal and Regulatory Requirements**, clause (i): "With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating

effectiveness of such controls, refer to our separate Report in 'Annexure A'" (SM 8.32).

For banks registered as companies, the statutory central auditors give a report on the adequacy and operating effectiveness of internal controls over financial reporting in terms of section 143(3)(i), normally as an annexure to the main audit report, as per ICAI's Guidance Note on Audit of Internal Financial Controls over Financial Reporting (SM 10.7).

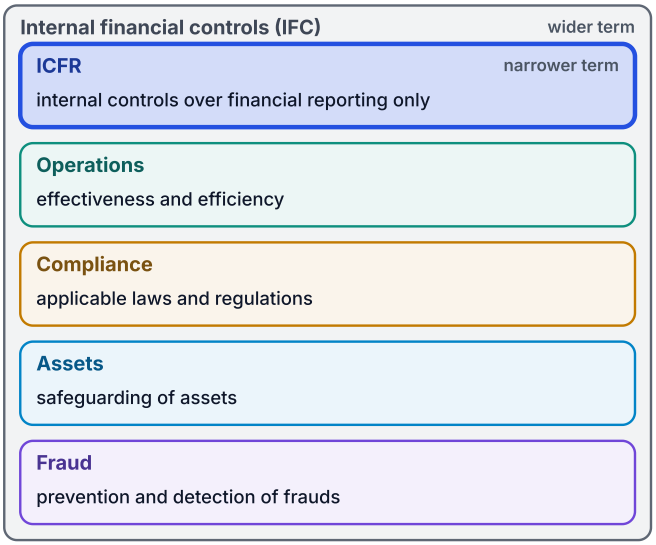
Information technology adds a reason to care: if IT-related risks are not addressed, then, because of the regulatory requirements on internal financial controls, the auditor's report may have to be modified in some instances (SM 3.56). The controls themselves are in internal control in an IT environment.

5. IFC versus ICFR

The Study Material draws the distinction this way (SM 4.43):

- **Internal financial controls** refers to the policies and procedures put in place by companies for ensuring reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations, safeguarding of assets and prevention and detection of frauds.
- **Internal control over financial reporting** is required where auditors are required to express an opinion on the effectiveness of an entity's internal controls over financial reporting; such opinion is in addition to and distinct from the opinion expressed by the auditor on the financial statements.
- Therefore "internal financial control" is a **wider** term, whereas "internal controls over financial reporting" is a **narrower** term, restricted to the entity's internal controls over financial reporting only.

IFC holds ICFR



Highlighted: ICFR, the part of IFC restricted to financial reporting. Simplified: in practice one control can serve more than one purpose.

Distinguish IFC and ICFR

Point	Internal financial controls	Internal control over financial reporting
Meaning	Policies and procedures for five purposes	Internal controls over financial reporting only
Scope	Wider term	Narrower term
Purposes	Financial reporting, operations, compliance, assets, frauds	Reliable financial reporting
Where it matters	The Companies Act, 2013 uses the term to cast responsibilities on directors, the audit committee, independent directors and the auditor	Where auditors must express an opinion on its effectiveness: that opinion is in addition to and distinct from the opinion on the financial statements

Worked examples

Worked example **Five companies, one clause**

Iyer & Associates audit the following companies for 2025-26. None is a small company unless stated. State, with reasons, whether the auditor's report must include reporting under section 143(3)(i) of the Companies Act, 2013.

(a) Tapri Tea Co. Ltd, listed on NSE and BSE.

(b) Kulhad Cups Pvt Ltd: turnover ₹46 crore as per its latest audited financial statements; its bank cash credit peaked at ₹27.50 crore in October 2025 and stood at ₹18 crore on 31 March 2026.

(c) Masala Route Pvt Ltd: turnover ₹38 crore as per its latest audited financial statements; its only borrowing, a bank term loan, never exceeded ₹12 crore during the year.

(d) Kesar Ventures (OPC) Pvt Ltd, which holds Kesar's personal trademarks.

(e) Narmada Cold Chain Ltd, an unlisted public company with turnover of ₹20 crore and no borrowings.

MODEL ANSWER

Relevant provision. As per section 143(3)(i) of the Companies Act, 2013, the auditor's report shall state whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls. This does not apply to a private company which is a One Person Company, or a small company, or a company having turnover less than ₹50 crore as per its latest audited financial statements and aggregate borrowings from banks, financial institutions or any body corporate at any point of time during the financial year less than ₹25 crore.

Company	Reporting under 143(3)(i)	Reason
(a) Tapri	Required	A public company: the exemption is only for private companies
(b) Kulhad Cups	Required	Turnover below ₹50 crore, but borrowings reached ₹27.50 crore during the year
(c) Masala Route	Not required	Private; turnover below ₹50 crore and borrowings below ₹25 crore throughout
(d) Kesar Ventures	Not required	A One Person Company
(e) Narmada Cold Chain	Required	A public company, whatever its size

Conclusion. The auditor reports on internal financial controls for (a), (b) and (e). In (b), the year-end balance of ₹18 crore is irrelevant: the test is borrowings at any point of time during the year, and both conditions must be met for the exemption.

Worked example **Minutes that need correcting**

Bunty is reading the minutes of Tapri's audit committee meeting of 14 February 2026. Three lines catch his eye:

1. "Internal financial controls are management's business. The committee will not take up their evaluation; the statutory auditors report on them anyway."
2. "Independent directors have no role in internal financial controls; their job is to attend board meetings and vote."
3. "Dev will draft the Directors' Responsibility Statement saying the controls are adequate and operating effectively. Since Tapri listed only in 2024, the statement is optional this year."

Required: Comment on each line with reference to the Companies Act, 2013 as explained in the Study Material, and state who has the primary responsibility for internal financial controls.

MODEL ANSWER

The Companies Act, 2013 has placed a greater emphasis on the effective implementation and reporting on the internal controls of a company, and casts responsibilities through the term "internal financial controls" (SM 3.63).

1. **Incorrect.** Under section 177(4)(vii), every audit committee shall act in accordance with the terms of reference specified in writing by the Board, which shall, inter alia, include evaluation of internal financial controls and risk management systems. The auditor's report under section 143(3)(i), on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls, does not take the place of the committee's own evaluation.
2. **Incorrect.** Under section 149(8), the company and independent directors shall abide by Schedule IV, the Code for Independent Directors, under which independent directors shall satisfy themselves on the integrity of financial information and that financial controls and the systems of risk management are robust and defensible.
3. **Incorrect.** Under section 134(5)(e), in the case of listed companies, the Directors' Responsibility Statement shall state that the directors had laid down internal financial controls to be followed by the company and that such internal financial controls are adequate and were operating effectively. Tapri is listed, so the statement is required, however recently it listed; and it is the directors' statement, whoever drafts it.

Primary responsibility. The directors and management have the primary responsibility for implementing and maintaining an effective internal controls framework; the auditor evaluates, validates and reports on the design and operating effectiveness of internal financial controls (SM 3.64).

Worked example **Bunty's three claims**

State, with reasons, whether each of Bunty's statements is correct or incorrect.

(i) "IFC and ICFR mean the same thing, so the two terms can be used interchangeably."

(ii) "Since we report on Tapri's internal financial controls, our opinion on the financial statements already covers the controls; there is no separate opinion."

(iii) "Under the Companies Act, 2013, the statutory auditor is primarily responsible for Tapri's internal financial controls."

MODEL ANSWER

(i) Incorrect. Internal financial controls are the policies and procedures put in place by companies for ensuring reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations, safeguarding of assets and prevention and detection of frauds. Internal control over financial reporting is restricted to the entity's internal controls over financial reporting only. IFC is the wider term and ICFR the narrower one.

(ii) Incorrect. Where auditors are required to express an opinion on the effectiveness of an entity's internal controls over financial reporting, that opinion is in addition to and distinct from the opinion on the financial statements. In the company auditor's report, clause (i) of the Report on Other Legal and Regulatory Requirements refers to a separate report (Annexure A) on the adequacy and operating effectiveness of these controls.

(iii) Incorrect. The directors and management have the primary responsibility for implementing and maintaining an effective internal controls framework; the directors of a listed company also state in the Directors' Responsibility Statement that the controls are adequate and operating effectively (section 134(5)(e)). The auditor evaluates, validates and reports on their design and operating effectiveness under section 143(3)(i).

Exam angle

In the exam

Where IFC appeared

In the documents read for this lesson, IFC was examined in 3 new-scheme papers and 6 earlier-scheme ones (Paper 6, Auditing and Assurance).

- **New scheme.** The four responsibilities (directors, independent directors, audit committee) by section number: May 2024 Q1(c) (3 marks). A case MCQ, "which of the following does not fall within the nature of responsibility": the distractor was a board-appointed expert certifying that IFC is commensurate with the business: September 2024 MCQ 3, repeated almost word for word as May 2026 MCQ 14 (2 marks each).
- **Study Material MCQs.** Who maintains effective IFC: management (SM 3.79–3.81, Test Your Knowledge MCQ 3). Which is not an objective of IFC policies: "assessing audit risk" (SM 4.122, 4.127, MCQ 3).
- **Earlier scheme.** Distinguish IFC and ICFR: January 2021 Q3(b) (4 marks). IFC reporting and interim financial statements: November 2019 Q1(a), MTP July 2021 Series II Q4(a), MTP May 2023 Series II Q1(v). Meaning, the reporting requirement and its applicability: RTP May 2022 Q14. The auditor reports on internal financial controls, not internal controls in general: MTP November 2020 Series I Q1.

In the exam

How the marks are earned

For the responsibilities question, ICAI's answer is the Study Material's table reproduced: section number, then the responsibility in the Act's words. For "distinguish", the marks are for the meaning of each, the "in addition to and distinct from" point and the "wider versus narrower" conclusion.

Trick

134, 177, 149, 143: who does what

134 the board *states*, **177** the audit committee *evaluates*, **149** independent directors *satisfy themselves*, **143** the auditor *reports*. Conditions: the section 134(5)(e) statement is for listed companies; the section 143(3)(i) report is not required for the exempt private companies.

Answer frame

"Explain the responsibilities under the Companies Act, 2013 for IFC"

1. Opening line: the Act places greater emphasis on effective implementation and reporting on internal controls, and uses "internal financial controls" to cast responsibilities.
2. The four provisions, each with its party and the responsibility in the Act's words (the table in section 2 above).
3. Closing line: directors and management have primary responsibility; auditors evaluate, validate and report on design and operating effectiveness.

"Is reporting under section 143(3)(i) required?"

1. The provision and the three exemptions, in full.
2. The facts: public or private; OPC or small; turnover as per the latest audited financial statements; the highest borrowings at any point of time during the year.
3. Conclusion for each company, saying which test fails.

Common mistakes

Common mistake

Hall of Shame: the year-end borrowing balance

Bunty exempts a private company because its bank loan is ₹18 crore on 31 March, though it touched ₹27.50 crore in October. **Fix:** the limit is for borrowings at any point of time during the financial year, and turnover and borrowings must both be below their limits.

Common mistake

Exempting a small public company

"Turnover is only ₹20 crore, so no IFC reporting." **Fix:** the exemptions are for private companies only. A public company, listed or not, gets IFC reporting whatever its size.

Common mistake

Making the auditor the owner of the controls

Fix: directors and management implement and maintain internal financial controls; the auditor evaluates, validates and reports on them.

Practice

Check yourself

1 Case scenario. Indore Kulfi Pvt Ltd is not a One Person Company or a small company. Its turnover as per its latest audited financial statements is ₹44 crore. Its borrowings from a bank were ₹9 crore on 1 April 2025, ₹26 crore in December 2025 and ₹14 crore on 31 March 2026. Which statement about reporting under section 143(3)(i) is correct?

- **A** Not required, because turnover is below ₹50 crore
- **B** Not required, because year-end borrowings are below ₹25 crore
- **C** Required, because borrowings exceeded ₹25 crore at a point of time during the year
- **D** Required only if the company is a subsidiary of a public company

2 Case scenario. Bunty's draft of Tapri's separate report under section 143(3)(i) reads: "In our opinion, the Company has effective internal financial controls over all its operations and over its compliance with laws and regulations." What is wrong with it?

- **A** Nothing: internal financial controls cover operations and compliance, so the auditor reports on all of them
- **B** It should report only on the design of the controls, not on whether they operated effectively
- **C** It should be part of the opinion paragraph on the financial statements, not a separate report
- **D** Section 143(3)(i) asks whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls, not about controls over all operations and compliance

3 Which statement on IFC and ICFR is correct?

- **A** ICFR is the wider term and includes compliance with laws and regulations
- **B** IFC is the wider term; ICFR is restricted to internal controls over financial reporting only
- **C** The auditor's opinion on ICFR is part of the opinion on the financial statements
- **D** The two terms mean the same thing

4 Case scenario. Tapri's payroll team must check, every month, that provident fund and ESI contributions are deposited by their statutory due dates, and the head of HR signs off the check. Which purpose of internal financial controls does this control primarily serve?

- **A** Reliability of financial reporting
- **B** Safeguarding of assets
- **C** Compliance with applicable laws and regulations
- **D** Prevention and detection of frauds

Answers: the answer key at the end of this lesson.

Recap

- IFC: policies and procedures for reliable financial reporting, effective and efficient operations, compliance with laws, safeguarding of assets, and prevention and detection of frauds.
- Section 134(5)(e): in listed companies, the Directors' Responsibility Statement says IFC was laid down, is adequate and was operating effectively.
- Section 177(4)(vii): the audit committee evaluates IFC and risk management systems. Section 149(8) with Schedule IV: independent directors satisfy themselves that financial controls are robust and defensible.
- Section 143(3)(i): the auditor reports on adequate IFC with reference to financial statements and their operating effectiveness, in a separate report (Annexure A).
- Exempt: private companies that are OPCs, small companies, or have turnover below ₹50 crore (latest audited) and borrowings below ₹25 crore at all times in the year.
- Directors and management have primary responsibility; auditors evaluate, validate and report.
- IFC is the wider term; ICFR the narrower; an ICFR opinion is in addition to and distinct from the opinion on the financial statements.

Answer key · Check yourself

1 **C Required, because borrowings exceeded ₹25 crore at a point of time during the year**

The exemption needs turnover below ₹50 crore and borrowings below ₹25 crore at any point of time during the year. December's ₹26 crore breaks the second condition.

2 **D Section 143(3)(i) asks whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls, not about controls over all operations and compliance**

The reporting is with reference to financial statements (SM 8.70): the narrower internal control over financial reporting, though the term internal financial controls is wider (SM 4.43). The report covers adequacy and operating effectiveness, and it is in addition to and distinct from the opinion on the financial statements, given in a separate annexure (SM 8.32).

3 **B IFC is the wider term; ICFR is restricted to internal controls over financial reporting only**

IFC covers five purposes; ICFR only financial reporting. An opinion on ICFR is in addition to and distinct from the opinion on the financial statements.

4 **C Compliance with applicable laws and regulations**

Depositing statutory contributions on time is a matter of complying with the law. The five purposes of internal financial controls are reliability of financial reporting, effectiveness and efficiency of operations, compliance with applicable laws and regulations, safeguarding of assets, and prevention and detection of frauds (SM 3.63).

4.5 SA 530: audit sampling

How an auditor tests less than 100% of a population and still concludes on all of it: population and sampling unit, statistical or not, sample design and size, the five selection methods, and evaluating deviations and misstatements.

In plain words

Bunty orders pizza for 4.8 lakh invoices

Tapri Tea Co. Ltd's cafés raised 4,80,000 sales invoices in 2025-26. Bunty has a plan.

> **Bunty:** Ma'am, I will check every one. I have ordered pizza for the team.
>
> **Lakshmi:** At four minutes an invoice that is 32,000 hours, Bunty. We will sign this report in 2031.
>
> **Bunty:** Then which ones do we check?
>
> **Lakshmi:** Enough of them, picked so that every invoice had a chance. Then the sample speaks for all of them.

That is **audit sampling**: applying audit procedures to less than 100% of a **population** (here, the invoices) so that every item has a chance of selection, and concluding about the whole population from the sample. It works only if the sample is **representative**: closely similar to the population, not necessarily the same.

Three choices decide it: **how many** (more when the auditor wants more assurance or expects more errors); **which ones** (at random, at an interval or by rupee value, never just the first page or the easy-to-find files); and **what the results mean** (each error is investigated, projected and evaluated). The risk that even a well-picked sample tells a different story from the population is **sampling risk**.

Think of it like

Tasting the chai

Kesar's mother tastes one spoon from a whole handi of chai, after stirring it: every part of the pot had a chance of reaching the spoon (random selection). A spoon off the top of an unstirred pot tells you about the top (block sampling). A sugar layer at the bottom gets tasted separately (stratification). And one salty spoon is checked again before the pot is blamed.

Key idea

A sample earns the right to speak for the population only if it is representative: an appropriate, complete population; a size that reduces sampling risk to an acceptably low level; a selection that gives every sampling unit a chance; and results that are investigated, projected and evaluated.

How it works

1. Meaning, objective and scope

> **Definition**
>
> **Audit sampling**
>
> The application of audit procedures to less than 100% of items within a population of audit relevance such that all sampling units have a chance of selection in order to provide the auditor with a reasonable basis on which to draw conclusions about the entire population. (SM 4.137; also SM 4.45, which speaks of an "equal chance")

The objective of the auditor when using audit sampling is to provide a reasonable basis for the auditor to draw conclusions about the population from which the sample is selected (SM 4.45).

SA 530 applies when the auditor has decided to use audit sampling. It deals with the auditor's use of statistical and non-statistical sampling when designing and selecting the audit sample, performing tests of controls and tests of details, and evaluating the results from the sample (SM 4.45–4.46). It complements SA 500, which lists sampling as one means of selecting items (SM 4.46). Sampling is not obligatory, but an auditor who relies on part checking should use techniques with a recognised basis (SM 4.44–4.45). It is used in tests of controls (to find deviations) and tests of details (to find misstatements) (SM 4.48).

2. Population, sampling unit and a representative sample

> **Definition**
>
> **Population and sampling unit**
>
> **Population** refers to the entire set of data from which a sample is selected and about which the auditor wishes to draw conclusions. The individual items that make up the population are known as **sampling units**. (SM 4.46–4.47)

The population must be (SM 4.46–4.47):

1. **Appropriate** for the specific audit objective, including the direction of testing: to test overstatement of receivables the population could be the receivables listing; to test understatement of payables it is not the payables listing but subsequent disbursements, unpaid invoices, suppliers' statements and unmatched receiving reports.
2. **Complete**: to conclude that a control operated throughout the period, the population must include all relevant items throughout the entire period.
3. **Reliable**: the auditor obtains evidence that the information on which sampling is performed is sufficiently complete and accurate.

The sampling unit suits the objective: for the validity of receivables, customer balances or individual invoices. Whatever the approach, the sample must be representative and large enough to give statistically meaningful results (SM 4.47).

3. Sampling risk and non-sampling risk

Detection risk comprises sampling risk and non-sampling risk (SM 3.8; audit risk).

> **Definition**
>
> **Sampling risk and non-sampling risk**
>
> **Sampling risk** is the risk that the auditor's conclusion based on a sample may be different from the conclusion if the entire population were subjected to the same audit procedure: the sample was not representative of the population. **Non-sampling risk** is the risk that the auditor reaches an erroneous conclusion for any reason not related to sampling risk, for example by applying an inappropriate audit procedure. (SM 3.8)

Sampling risk can lead to two types of erroneous conclusions (SM 4.137–4.138):

Erroneous conclusion	Test of controls	Test of details	Affects
(i) Too optimistic	Controls are more effective than they actually are	No material misstatement exists when in fact it does	**Audit effectiveness**: more likely to lead to an inappropriate opinion; the auditor is primarily concerned with this type
(ii) Too pessimistic	Controls are less effective than they actually are	A material misstatement exists when in fact it does not	**Audit efficiency**: usually leads to additional work to show the initial conclusion was wrong

4. Statistical or non-statistical sampling

> **Definition**
>
> **Statistical sampling**
>
> An approach to sampling that has the random selection of the sample items; and the use of probability theory to evaluate sample results, including measurement of sampling risk characteristics. A sampling approach that does not have these features is non-statistical sampling. (SM 4.48)

Statistical sampling is **more scientific** (SM 4.49): (1) it uses mathematical laws of probability to determine the sample size; (2) it has wide application where the population is a large number of similar items (compliance testing, trade receivables' confirmation, payroll checking, vouching of invoices and petty cash vouchers); (3) there is no personal bias, so results are evaluated and projected more reliably. For huge numbers of transactions it is always recommended, with random sampling as the method (SM 4.49).

Under **non-statistical sampling**, sample size and composition come from the auditor's personal experience and knowledge (say March, June and September this year, other months next year; or the ten highest values). It is simple, but criticised as neither objective nor scientific: personal bias cannot be eliminated, and the closeness of the sample to the population cannot be measured (SM 4.49–4.50).

The choice between the two is the auditor's judgment, and **sample size is not a valid criterion to distinguish between them** (SM 4.51).

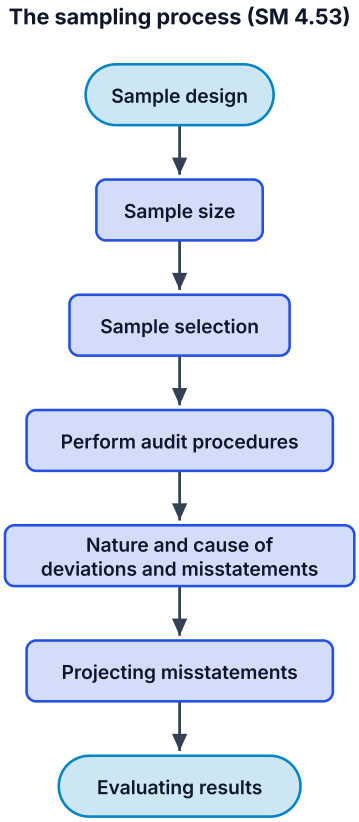
Advantages of statistical sampling (SM 4.52), in ICAI's order:

1. The amount of testing (sample size) does not increase in proportion to the increase in the size of the area (universe) tested.
2. The sample selection is more objective and thereby more defensible.
3. It provides a means of estimating the minimum sample size associated with a specified risk and precision.
4. It provides a means for deriving a "calculated risk" and corresponding precision (sampling error), the probable difference in result from using a sample instead of examining all the records.
5. It may provide a better description of a large mass of data than a complete examination, since non-sampling errors such as processing and clerical mistakes are not as large.
6. It is widely accepted as more scientific, without personal bias, with results evaluated and projected more reliably.

Statistical sampling may not be appropriate when another approach is necessary or gives satisfactory information in less time or effort, for instance **when exact accuracy is required or for legal requirements**, or when the audit staff do not know the technique (SM 4.52).

Factors in deciding the extent of checking on a sampling plan (SM 4.51): (i) size of the organisation under audit; (ii) state of the internal control; (iii) adequacy and reliability of books and records; (iv) tolerable error range; (v) degree of the desired confidence. Satisfactory internal control allows a much smaller sample (SM 4.51).

5. The sampling process



The seven stages in the Study Material's order. The requirements of each are set out below.

6. Sample design, stratification and value-weighted selection

The three requirements (SM 4.53): when designing an audit sample, **the auditor shall consider the purpose of the audit procedure and the characteristics of the population** from which the sample will be drawn; the auditor **shall determine a sample size sufficient to reduce sampling risk to an acceptably low level**; and the auditor **shall select items for the sample in such a way that each sampling unit in the population has a chance of selection**.

The auditor defines exactly what is a deviation or misstatement, so that all, and only, the conditions relevant to the purpose are evaluated. In a confirmation of receivables for existence, a payment made by the customer before the confirmation date but received by the client shortly after it is not a misstatement; and a wrong posting between customer accounts, which does not affect the total, may not be treated as a misstatement for this procedure, though it may matter elsewhere (the risk of fraud, the allowance for doubtful accounts) (SM 4.53–4.54). The auditor also obtains evidence that the population is complete (SM 4.54).

For tests of controls (testing internal control) the auditor assesses the **expected rate of deviation**; if it is unacceptably high, the auditor will normally decide not to perform tests of controls. For tests of details the auditor assesses the **expected misstatement**; if it is high, 100% examination or a large sample may be appropriate (SM 4.54).

Definition

Stratification

The process of dividing a population into sub-populations, each of which is a group of sampling units which have similar characteristics (often monetary value). (SM 4.66)

The objective of stratification is to reduce the variability of items within each stratum and therefore allow sample size to be reduced without increasing sampling risk (SM 4.55). For tests of details the population is often stratified by monetary value, or by a risk characteristic (receivables by age, for the allowance for doubtful accounts). Results from a stratum are projected only to that stratum; to conclude on the population, the results of all strata are combined. If 20% of items make up 90% of the value, the auditor concludes on that 90% separately from the remaining 10% (SM 4.55–4.56).

Value-weighted selection makes the sampling unit each monetary unit (rupee) of the population and examines the balances that contain the selected units: larger items get a greater chance of selection, samples can be smaller, and the conclusion is in monetary amounts (SM 4.56).

Interactive version: PassBook app, lesson SA 530: audit sampling

7. Sample size

The auditor shall determine a sample size sufficient to reduce sampling risk to an acceptably low level: **the lower the risk the auditor is willing to accept, the greater the sample size** (SM 4.56). Size may come from a statistical formula or professional judgment; each factor has a similar effect under either approach (SM 4.56–4.57).

Tests of controls (SM 4.57–4.58): the factors are considered together, assuming the auditor does not change the nature or timing of tests of controls or the approach to substantive procedures.

Factor (tests of controls)	Effect on sample size
Increase in the extent to which the risk assessment takes into account relevant controls (more reliance on operating effectiveness)	Increase
Increase in the tolerable rate of deviation	Decrease
Increase in the expected rate of deviation of the population	Increase
Increase in the desired level of assurance that the tolerable rate is not exceeded by the actual rate	Increase
Increase in the number of sampling units in the population	Negligible effect

Tests of details (SM 4.58–4.60): considered together, assuming the auditor does not change the approach to tests of controls or the nature or timing of substantive procedures.

Factor (tests of details)	Effect on sample size
Increase in the assessed risk of material misstatement	Increase
Increase in the use of other substantive procedures directed at the same assertion	Decrease
Increase in the desired level of assurance that tolerable misstatement is not exceeded by actual misstatement	Increase
Increase in tolerable misstatement	Decrease
Increase in the amount of misstatement the auditor expects to find	Increase
Stratification of the population, when appropriate	Decrease
Number of sampling units in the population	Negligible effect (but under monetary unit sampling, a larger monetary value increases sample size unless offset by a proportional increase in materiality)

Definition

Tolerable misstatement and tolerable rate of deviation

Tolerable misstatement: a monetary amount set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the monetary amount set by the auditor is not exceeded by the actual misstatement in the population. **Tolerable rate of deviation**: a rate of deviation from prescribed internal control procedures set by the auditor in respect of which the auditor seeks to obtain an appropriate level of assurance that the rate set is not exceeded by the actual rate of deviation in the population. (SM 4.67)

Interactive version: PassBook app, lesson SA 530: audit sampling

8. Selecting the items: five methods

The auditor shall select items so that each sampling unit has a chance of selection. With statistical sampling each unit has a known probability of selection; with non-statistical sampling judgment is used, but the sample must still be representative and free of bias (SM 4.60).

Method (SM 4.60–4.64)	How it works	Watch out
Random: simple random	Each unit has an equal chance; random number tables or a random number generator	Suits a homogeneous population within a reasonable range
Random: stratified	Divide the population into strata; take a sample (different proportions) from each, randomly	An extension of simple random sampling for a diversified population
Systematic (interval)	Units in the population ÷ sample size = sampling interval; pick a starting point in the first interval, then every interval-th unit	The interval must not match a pattern in the population; use more than one random starting point
Monetary unit	Value-weighted selection: sample size, selection and evaluation give a conclusion in monetary amounts	Larger items are more likely to be picked
Haphazard	No structured technique, but no conscious bias or predictability (not avoiding hard-to-find items, not always the first or last entry on a page)	Not appropriate when using statistical sampling
Block	A block of contiguous items, e.g. the first 200 sales invoices of September	Rarely appropriate for inferences about the whole population; risk of bias and a pattern the client can notice

∑ **Formula**

Sampling interval (systematic selection)

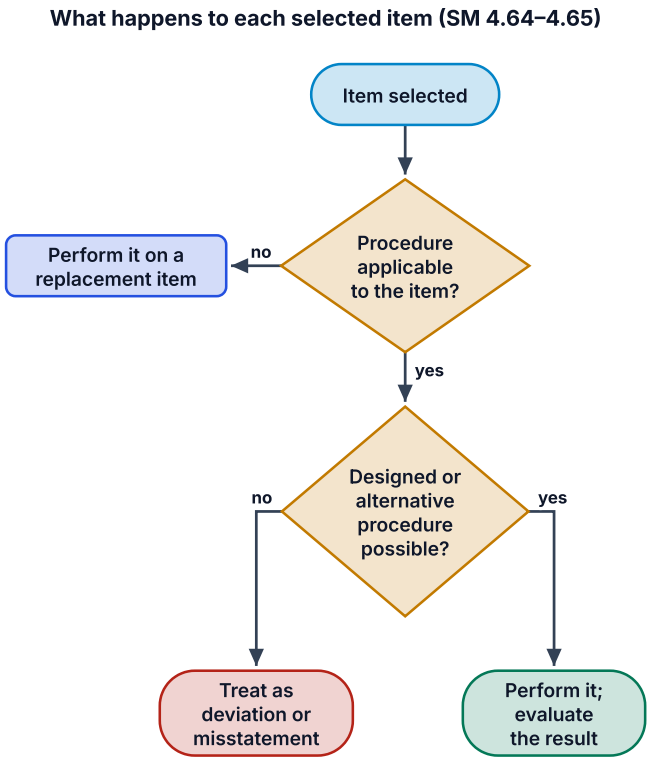
$$\text{Sampling interval} = \frac{\text{Units in the population}}{\text{Sample size}}$$

From a starting point within the first interval, every interval-th sampling unit is selected (SM 4.62).

Interactive version: PassBook app, lesson SA 530: audit sampling

9. Performing the procedures

The auditor shall perform procedures appropriate to the purpose on each selected item. If a procedure is not applicable to an item, it is performed on a **replacement item** (a properly cancelled cheque picked while testing payment authorisation is replaced). If neither the designed procedure nor a suitable alternative (such as subsequent cash receipts for an unanswered positive confirmation) can be applied, for example because documents are lost, the item is treated as a **deviation** or a **misstatement** (SM 4.64–4.65).



Green: the normal path; rose: an item the auditor cannot test counts against the population: a deviation in a test of controls, a misstatement in a test of details.

10. Deviations, anomalies, projection and evaluation

- **Nature and cause.** The auditor shall investigate the nature and causes of any deviations or misstatements and evaluate their possible effect on the purpose of the procedure and on other areas of the audit. A common feature (type of transaction, location, product line, period) may call for extending procedures to all items with it; deviations may indicate fraud (SM 4.65).
- **Anomaly**: a misstatement or deviation that is demonstrably not representative of misstatements or deviations in a population. In extremely rare circumstances the auditor may treat one as an anomaly, but only after obtaining a high degree of certainty, through additional procedures, that it does not affect the remainder of the population (SM 4.65–4.66).
- **Projection.** For tests of details the auditor shall project misstatements found in the sample to the population, for a broad view of their scale (not necessarily the amount to record). An anomaly may be excluded from the projection, but its effect, if uncorrected, is considered in addition. For tests of controls no explicit projection is necessary: **the sample deviation rate is also the projected deviation rate** for the population (SM 4.66).
- **Evaluation.** The auditor shall evaluate (a) the results of the sample and (b) whether the use of audit sampling has provided a reasonable basis for conclusions about the population that has been tested (SM 4.66).

Worked examples

Worked example **The café that was sampled 120 times**

Tapri's 40 flagship cafés each send a daily cash-sales summary. For the 120 days from December to March there are 4,800 summaries, filed in a fixed rotation: café 1, café 2, ... café 40, then café 1 again the next day. Bunty wants 120 summaries by systematic selection and picks a random start of 17.

Required:

(i) Compute the sampling interval and list the first four and the last item selected.

(ii) Comment on the sample with reference to SA 530.

(iii) Advise how the selection should be made.

THE WORKING

(i) Sampling interval = number of sampling units in the population ÷ sample size = 4,800 ÷ 120 = **40**. Items selected: 17, 57, 97, 137, ... and the 120th is 17 + 40 × 119 = **4,777**.

(ii) Under systematic selection the auditor must determine that the sampling units are not structured so that the sampling interval corresponds with a particular pattern in the population. The rotation repeats every 40 items and the interval is 40, so all 120 summaries are café 17's. The sample is not representative of the 40 cafés.

(iii) More than one random starting point reduces this risk, but here four starts (17, 52, 91, 138) with an interval of 160 still reach only cafés 11, 12, 17 and 18. Better: random selection over items 1 to 4,800, or stratify by café (40 strata) and pick three summaries from each at random, so every café is covered.

Worked example **Bunty's three shortcuts**

Comment on each of the following with reference to SA 530.

(a) To save time, Bunty tests the first 200 purchase invoices of April and concludes on purchases for the whole year.

(b) Selecting "haphazardly", Bunty skips the invoices stored in the basement because they are hard to reach.

(c) In his sample of 60 sales invoices, one has a wrong GST rate. Bunty calls it an anomaly and leaves it out, without further work.

MODEL ANSWER

(a) Block sampling selects a block of contiguous items. It would rarely be an appropriate selection technique when the auditor intends to draw valid inferences about the entire population, because items in a sequence share characteristics that differ from items elsewhere. April's first 200 invoices are not representative of twelve months: no reasonable basis for a conclusion on the year.

(b) Haphazard selection uses no structured technique, but the auditor avoids any conscious bias or predictability, such as avoiding difficult-to-locate items, so that all items have a chance of selection. Skipping the basement is exactly that bias.

(c) The auditor shall investigate the nature and cause of every misstatement. An anomaly is accepted only in extremely rare circumstances, after obtaining a high degree of certainty through additional procedures that it is not representative of the population. Without that work it is included in the projection; and if the wrong rate has a common feature (a product, a location), procedures are extended to all items with that feature.

Worked example **Two results, two conclusions**

(a) **Test of controls.** Purchase orders above ₹5 lakh must be approved by Tapri's CFO. Iyer & Associates test 60 orders, with a tolerable rate of deviation of 4%, and find 3 unapproved orders.

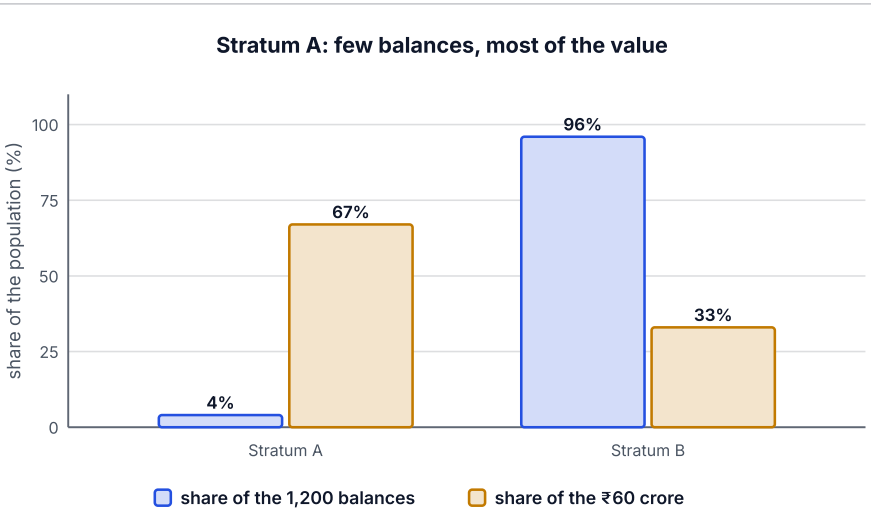
(b) **Test of details.** Tapri's institutional receivables (hotels, airlines and offices) comprise 1,200 balances of ₹60.00 crore. The auditors tested all 48 balances above ₹50 lakh (stratum A, ₹40.20 crore) and found overstatements of ₹18 lakh. From the other 1,152 balances (stratum B, ₹19.80 crore) a random sample of 72 balances worth ₹1.32 crore showed overstatements of ₹4.40 lakh. Tolerable misstatement is ₹75 lakh.

Required: evaluate each result. For (b), project the stratum B misstatement in proportion to the value sampled.

THE WORKING

(a) For tests of controls no explicit projection is needed: the sample deviation rate, 3 ÷ 60 = **5%**, is also the projected deviation rate for the population. It exceeds the tolerable rate of 4%, so the sample does not support the planned reliance on the control. The auditor shall investigate the nature and cause of the deviations (SA 530). Under SA 330 the auditor makes specific inquiries into the deviations and determines whether the tests of controls provide an appropriate basis for reliance, whether additional tests of controls are necessary, or whether the risks need to be addressed using substantive procedures; where the assessed control risk must be revised, the nature, timing and extent of planned substantive procedures for purchases are modified (SM 3.53–3.54, 3.69–3.70).

(b) Stratum A is 4.0% of the items (48 of 1,200) but 67.0% of the value (₹40.20 crore of ₹60.00 crore).



Blue: share of the number of balances; amber: share of the rupee value. Testing all of stratum A covers two-thirds of the value with 48 balances.

Stratum	Value (₹ lakh)	Found (₹ lakh)	For the stratum (₹ lakh)
A: 48 balances above ₹50 lakh, all tested	4,020	18.00	18.00 actual
B: 1,152 balances; sample of 72 worth ₹132 lakh	1,980	4.40	66.00 projected
Total	**6,000**		**84.00**

Working: stratum B = 1,980 × 4.40 ÷ 132 = ₹66 lakh (a 3.33% rate). Each stratum's result is projected only to that stratum; the strata are then combined.

The combined ₹84 lakh exceeds the tolerable misstatement of ₹75 lakh, so the sample does not provide a reasonable basis for concluding that receivables are not materially misstated. The auditor investigates the nature and causes of the misstatements, may request management, on the basis of this projection, to examine the receivables and correct the misstatements, and then performs additional procedures to determine whether misstatements remain (SM 7.25; SA 450 evaluates the misstatements).

Conventions: the Study Material requires projection but prescribes no method; this example projects in proportion to rupee value sampled (a count-based projection would differ). It requires the auditor to evaluate whether sampling has provided a reasonable basis for conclusions (SM 4.66) without a numerical test; comparing projected with tolerable misstatement is how ICAI's MTP September 2024 Series I MCQ 9 frames that evaluation.

Exam angle

In the exam

Where SA 530 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 530 was examined in 16 questions across 10 documents.

- **Descriptive, 3 to 5 marks.** Statistical sampling "more scientific": September 2024 Q3(d) (3 marks); with random sampling for over a lakh of sales, September 2025 Q4(c) (4 marks). Systematic sampling, its pattern risk and multiple starts, plus "the first 150 accounts" as block sampling: May 2026 Q1(b) (5 marks) and MTP September 2024 Series II Q1(b) (5 marks). Desired assurance and stratification as sample-size factors: MTP May 2026 Series I Q3(a) (5 marks). Projecting misstatements: November 2020 (old scheme) Q2(c) (3 marks).
- **Multiple choice, 2 marks each.** Naming the method: RTP January 2025 MCQ 1; MTP May 2025 Series II MCQ 3 (every 11th of 550 creditors); MTP September 2025 Series I MCQs 4–5 (population 100, interval 5, sample 20). Sample-size factors: September 2025 MCQ 5; MTP September 2024 Series I MCQ 8. Sampling and non-sampling risk: September 2025 MCQ 3, May 2026 MCQ 2. Anomalies: May 2026 MCQ 3; MTP September 2024 Series I MCQ 9 (projected plus anomalous misstatement as the best estimate; its wrong options say that a sample whose projected misstatement exceeds tolerable misstatement still "provides a reasonable basis").

In the exam

A key to know: "transactions exceeding ₹8,000"

In RTP January 2025 MCQ 1, the four selections were random number tables, no structured method, "transactions exceeding ₹8,000" and "the first 200 sales invoices of July", and ICAI's key reads random, haphazard, **monetary unit** and block sampling. In the Study Material, examining all items whose recorded values exceed a certain amount is one of SA 500's ways of *selecting specific items* (SM 4.31), while monetary unit sampling is value-weighted selection of individual monetary units (SM 4.56, 4.63). If an MCQ forces a choice among sampling methods for a value-based selection, monetary unit sampling is the option ICAI keyed; in a descriptive answer, use the Study Material's terms.

In the exam

How the marks are earned

Theory answers reproduce the Study Material's lists in order: "more scientific" (three points), the six advantages, the factor tables with "increase / decrease". Method questions want the name, a one-line description and the caution (pattern for systematic, inferences for block, bias for haphazard).

Trick

Sample size: worry up, tolerance down

Anything that makes the auditor **want more assurance or expect more errors** (more reliance on controls, higher expected deviation or misstatement, higher risk of material misstatement, higher desired assurance) **increases** the sample. Anything that makes the auditor **tolerate more or rely on something else** (higher tolerable rate or misstatement, other substantive procedures on the same assertion, stratification) **decreases** it. Population size: negligible for large populations (except monetary unit sampling's value effect).

Answer frame

A selection-method case (5 marks)

1. **Name** the method: "CA R is using systematic (interval) sampling."
2. **Explain** it with the case's numbers: "interval = 1,000 ÷ 100 = 10; every 10th account from the start."
3. **Caution**: the interval must not correspond with a pattern in the population.
4. **Remedy**: more than one random starting point.
5. **Second method**: "the first 150 accounts" is block sampling, rarely appropriate for conclusions on the population.

"Distinguish statistical and non-statistical sampling"

Point	Statistical	Non-statistical
Selection	Random selection of sample items	Auditor's experience and knowledge
Evaluation	Probability theory, including measurement of sampling risk	Judgment; closeness to the population cannot be measured
Bias	No personal bias	Personal bias cannot be eliminated
Strength	Objective and defensible; sampling risk and precision can be measured	Simplicity in operation
Leans on	Wide application to large populations of similar items	The auditor's experience and knowledge of the client's business to evaluate the findings

Common to both: the sample must be representative, and sample size is not a valid criterion to distinguish the two (SM 4.47, 4.51).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the 120 samples of café 17

Fix: check the population's structure before using an interval; use multiple random starts, random selection or stratification.

⚠ **Common mistake**

"Stratified sampling is for homogeneous populations"

Fix: the reverse: it divides a heterogeneous population into homogeneous sub-populations (SM 4.55, 4.128).

⚠ **Common mistake**

Projecting a stratum's result to the whole population

Fix: results from a stratum are projected only to that stratum; the strata are then combined (SM 4.55–4.56, 4.129).

⚠ **Common mistake**

Calling the first misstatement an anomaly

Fix: an anomaly needs a high degree of certainty, from additional procedures, that it is not representative; otherwise project it.

Practice

Check yourself

1 Tapri's Ujjain depot has 2,750 goods received notes for the year. Iyer & Associates want a systematic sample of 110. What is the sampling interval?

Answer: _____

2 Case scenario. CA Neha Bose audits Narmada Snacks Ltd. For testing credit approvals she raises the tolerable rate of deviation from 3% to 6%, and decides to place more reliance on the operating effectiveness of the credit controls in her risk assessment. Which statement about sample size is correct?

- **A** Both changes increase the sample size
- **B** Both changes reduce the sample size
- **C** The higher tolerable rate reduces the sample size, while greater reliance on controls increases it
- **D** Neither change affects the sample size, which depends on the size of the population

3 Which of the following is correct about stratification?

- **A** It is used for a homogeneous population
- **B** Its objective is to reduce the variability of items within each stratum, allowing sample size to be reduced without increasing sampling risk
- **C** The result from one stratum can be projected directly to the whole population
- **D** It increases the sample size needed for a given sampling risk

4 In a test of controls, Bunty finds 2 deviations in a sample of 50. What is the projected deviation rate for the population, in per cent?

Answer: _____

5 Which of the following is the auditor primarily concerned with, among the erroneous conclusions sampling risk can lead to?

- **A** Concluding that controls are more effective than they are, or that no material misstatement exists when it does
- **B** Concluding that controls are less effective than they are
- **C** Concluding that a material misstatement exists when it does not
- **D** Choosing an inappropriate audit procedure

Answers: the answer key at the end of this lesson.

Recap

- Audit sampling: procedures on less than 100% of a population, all sampling units having a chance of selection, to give a reasonable basis for conclusions about the whole.
- Population must be appropriate (direction of testing), complete and reliable; the sample must be representative.
- Sampling risk: the sample's conclusion differs from the population's; type (i) hurts effectiveness (the main concern), type (ii) efficiency. Non-sampling risk: any other reason.
- Statistical sampling: random selection plus probability theory to evaluate results; sample size does not distinguish it.
- Process: design, size, selection, procedures, nature and cause, projection, evaluation.
- Size up: more reliance on controls, higher expected errors, higher risk, more assurance. Size down: higher tolerable rate or misstatement, other substantive procedures, stratification.
- Methods: random (simple, stratified), systematic (interval = population ÷ sample size; watch for patterns), monetary unit, haphazard (no conscious bias), block (rarely appropriate).
- Untestable item: deviation or misstatement. Anomaly only with a high degree of certainty. Tests of controls: sample deviation rate = projected rate. (Stir the chai before you taste it.)

Answer key · Check yourself

1 **25**

2,750 ÷ 110 = 25: a start between 1 and 25, then every 25th note.

2 **C The higher tolerable rate reduces the sample size, while greater reliance on controls increases it**

A higher tolerable rate of deviation decreases the sample; more reliance on controls increases the extent of tests of controls (SM 4.57). Population size has little effect for large populations.

3 **B Its objective is to reduce the variability of items within each stratum, allowing sample size to be reduced without increasing sampling risk**

Stratification suits a heterogeneous population; each stratum's result is projected only to that stratum.

4 **4**

The sample deviation rate is also the projected rate: 2 ÷ 50 = 4% (SM 4.66).

5 **A Concluding that controls are more effective than they are, or that no material misstatement exists when it does**

The first type affects effectiveness and is more likely to lead to an inappropriate opinion; the second affects efficiency; a wrong procedure is non-sampling risk.

4.6 SA 501: inventory, litigation and segment information

The three items SA 501 singles out, and the special evidence each needs: attending the inventory count, writing to the entity's lawyers about litigation, and checking how segment information was built.

In plain words

Three things that do not sit still

It is 31 March 2026 and Tapri Tea Co. Ltd's year is ending in three different ways at once. At the Dewas warehouse, forklifts are moving premix cartons in and out. At the samosa factory, half-made samosas sit in trays at four stages of folding. And on Lakshmi's desk is a court notice: BrewBucks has sued Tapri for ₹45 crore over its new "BrewBhai" cold coffee.

> **Bunty:** Ma'am, the stock sheet says ₹38 crore, the legal file says "no material litigation", and the segment note is neatly typed. I have ticked all three.
>
> **Lakshmi:** Did you see the stock? Did you ask the lawyers? Do you know how the segments were split?
>
> **Bunty:** *(quietly)* I saw the spreadsheet, Ma'am.

Most items in the accounts are audited with the ordinary tools of SA 500. SA 501 picks out three that need **specific considerations**, because the ordinary tools fail on them:

- **Inventory**: a spreadsheet cannot prove that cartons exist or are not rotten. So the auditor attends the physical count, watches it, inspects the stock and counts some of it.
- **Litigation and claims**: management may simply not mention the lawsuit. So the auditor searches for cases and, where there is a risk, writes directly to the company's external lawyers.
- **Segment information** (figures split by product line or region): the split can be done in ways that flatter one business. So the auditor understands and tests the method used.

Each item has its own question. For inventory: does it **exist**, and in what **condition**? For litigation: is the list **complete**? For segments: is the information **presented and disclosed** as the framework requires?

Think of it like

The annual health check-up

A routine check-up covers most things with a stethoscope and a few questions. But the eyes get a chart on the wall, the heart an ECG and the blood a lab report, because asking "how are your eyes?" proves nothing. SA 501 is the auditor's specialist tests for three organs: the count for inventory, the lawyer's letter for litigation, the method check for segments.

Key idea

SA 501's objective is sufficient appropriate audit evidence about the existence and condition of inventory, the completeness of litigation and claims, and the presentation and disclosure of segment information. Each has its own procedure. For inventory and litigation, the Standard itself says what happens when even alternative procedures fail: the opinion is modified under SA 705.

How it works

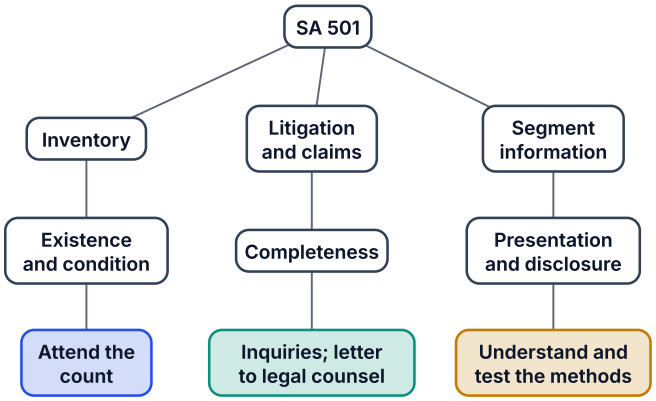
SA 501, "Audit Evidence: Specific Considerations for Selected Items", deals with specific considerations by the auditor in obtaining sufficient appropriate audit evidence with respect to certain aspects of inventory, litigation and claims involving the entity, and segment information in an audit of financial statements (SM 4.68).

1. The objective

The objective of the auditor is to obtain sufficient appropriate audit evidence regarding the (SM 4.68):

- (A) existence and condition of inventory;
- (B) completeness of litigation and claims involving the entity; and
- (C) presentation and disclosure of segment information in accordance with the applicable financial reporting framework.

SA 501: three items, three questions, three key procedures



Each item (top row) has its own assertion (middle row) and its own key procedure (bottom row).

2. Inventory: attend the count

When inventory is **material** to the financial statements, the auditor shall obtain sufficient appropriate audit evidence regarding its existence and condition by (SM 4.68–4.69):

1. **attendance at physical inventory counting**, unless impracticable, to:
   - (i) evaluate management's instructions and procedures for recording and controlling the results of the entity's physical inventory counting;
   - (ii) observe the performance of management's count procedures;
   - (iii) inspect the inventory; and

    - (iv) perform test counts; and
2. **performing audit procedures over the entity's final inventory records** to determine whether they accurately reflect actual inventory count results.

Attendance at physical inventory counting involves (SM 4.69): (a) inspecting the inventory to ascertain its existence and evaluate its condition, and performing test counts; (b) observing compliance with management's instructions and the performance of procedures for recording and controlling the results of the count; and (c) obtaining audit evidence as to the reliability of management's count procedures. These may serve as tests of controls or substantive procedures, depending on the auditor's risk assessment, planned approach and the specific procedures carried out.

3. Planning the attendance

Learn this list in order: ICAI asks it as "which matters are missing" (SM 4.69–4.70). Matters relevant in planning attendance at physical inventory counting include, for example:

- (a) the nature of inventory;
- (b) stages of completion of work in progress;
- (c) the risks of material misstatement related to inventory;
- (d) the nature of the internal control related to inventory;
- (e) whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting;
- (f) the timing of physical inventory counting;
- (g) whether the entity maintains a perpetual inventory system;
- (h) the locations at which inventory is held, including the materiality of the inventory and the risks of material misstatement at different locations, in deciding at which locations attendance is appropriate; and
- (i) whether the assistance of an auditor's expert is needed to obtain sufficient appropriate audit evidence.

4. When the count does not happen on the day, or at all

Count at a date other than the date of the financial statements. In addition to the procedures above, the auditor shall perform audit procedures to obtain evidence about whether **changes in inventory between the count date and the date of the financial statements** are properly recorded. Relevant matters: whether the perpetual inventory records are properly adjusted; the reliability of those records; and the reasons for significant differences between the physical count and the perpetual records (SM 4.70).

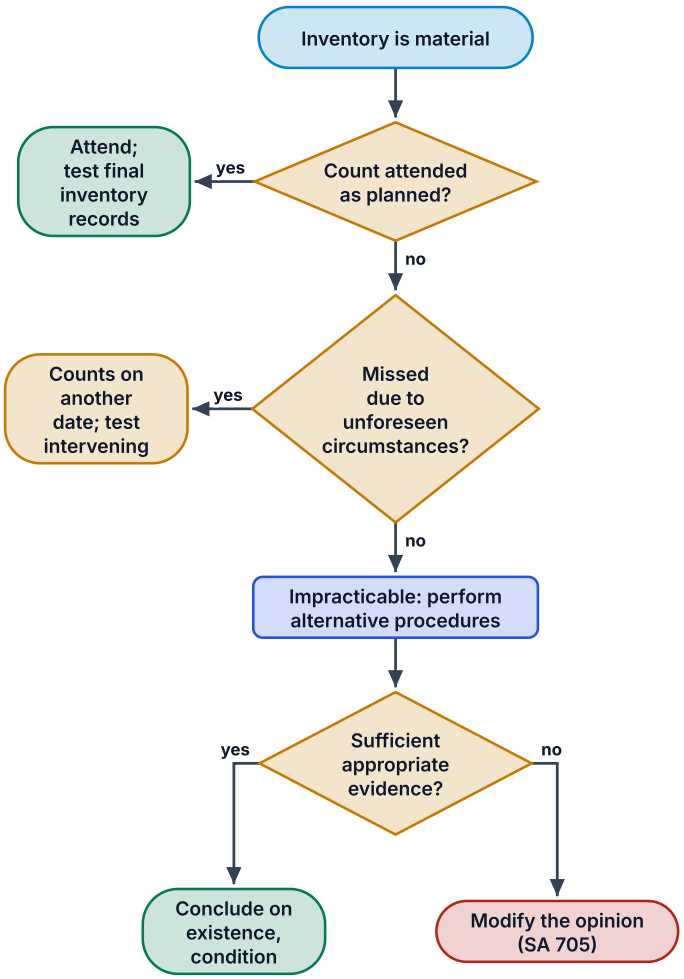
Unable to attend due to unforeseen circumstances. The auditor shall **make or observe some physical counts on an alternative date**, and perform audit procedures on **intervening transactions** (SM 4.70).

Attendance impracticable. The auditor shall perform **alternative audit procedures** to obtain sufficient appropriate audit evidence regarding existence and condition. If that is not possible, the

auditor shall **modify the opinion** in accordance with SA 705 (SM 4.70–4.71).

- Impracticability may arise from the nature and location of the inventory, for example where it is held in a location that may pose threats to the safety of the auditor (SM 4.71).
- General inconvenience to the auditor is not sufficient to support a decision that attendance is impracticable. As SA 200 explains, the matter of difficulty, time or cost involved is not in itself a valid basis for omitting an audit procedure for which there is no alternative, or for being satisfied with audit evidence that is less than persuasive (SM 4.71).
- An alternative procedure may be, for example, inspecting documentation of the subsequent sale of specific inventory items acquired or purchased before the count (SM 4.71). Where alternatives cannot provide the evidence, SA 705 requires a modified opinion because of the scope limitation (SA 705).

Inventory is material: the auditor's route



Green: evidence obtained; amber: the alternative-date route; rose: no evidence, so a scope limitation under SA 705. If the count is held on a date other than the year end, the auditor also tests the changes between the count date and the year end.

5. Inventory held by a third party

When inventory under the custody and control of a third party is material, the auditor shall obtain sufficient appropriate audit evidence regarding its existence and condition by performing **one or**

both of (SM 4.71):

- (a) requesting **confirmation from the third party** as to the quantities and condition of inventory held on behalf of the entity;
- (b) performing **inspection or other audit procedures** appropriate in the circumstances.

Other audit procedures may include, for example (SM 4.72): inspecting documentation regarding inventory held by third parties, such as warehouse receipts; requesting confirmation from other parties when inventory has been pledged as collateral; attending, or arranging for another auditor to attend, the third party's physical counting, if practicable; obtaining another auditor's report, or a service auditor's report, on the adequacy of the third party's internal control for ensuring that inventory is properly counted and adequately safeguarded.

6. Litigation and claims: find them

The auditor shall design and perform audit procedures to **identify** litigation and claims involving the entity which may give rise to a risk of material misstatement, including (SM 4.72–4.73):

- (a) **inquiry of management** and, where applicable, others within the entity, including **in-house legal counsel**;
- (b) **reviewing minutes** of meetings of those charged with governance and **correspondence** between the entity and its external legal counsel; and
- (c) **reviewing legal expense accounts**.

Other procedures may include using information from the risk assessment procedures performed to understand the entity and its environment. Evidence obtained to identify litigation may also bear on its valuation or measurement; SA 540 deals with litigation and claims requiring accounting estimates (SM 4.73).

7. Litigation and claims: ask the lawyers

If the auditor assesses a risk of material misstatement regarding litigation or claims that have been identified, or when audit procedures performed indicate that other material litigation or claims may exist, the auditor shall, in addition to the procedures required by other SAs, **seek direct communication with the entity's external legal counsel**. The auditor shall do so through a **letter of inquiry** requesting the external legal counsel to communicate directly with the auditor (SM 4.73).

- If law, regulation or the respective legal professional body **prohibits** the external legal counsel from communicating directly with the auditor, the auditor shall perform **alternative audit procedures** (SM 4.74).
- If it is considered unlikely that the external legal counsel will respond appropriately to a **letter of general inquiry** (for example, if the counsel's professional body prohibits response to such a letter), the auditor may seek direct communication through a **letter of specific inquiry** (SM 4.74).

Definition

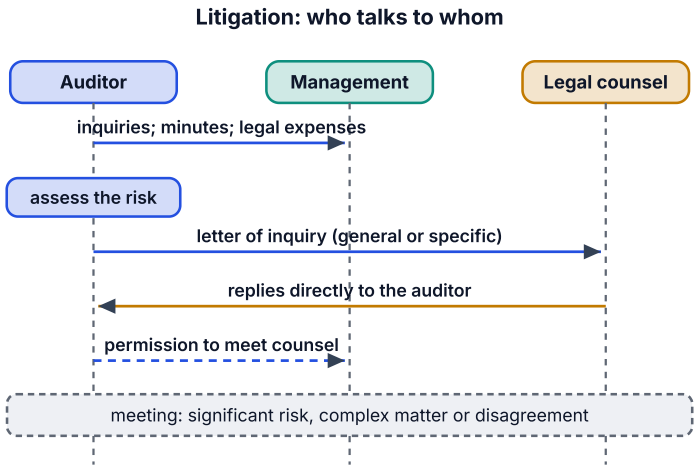
Letter of specific inquiry

A letter of specific inquiry includes (SM 4.74):

- (a) a list of litigation and claims;
- (b) where available, management's assessment of the outcome of each of the identified litigation and claims and its estimate of the financial implications, including costs involved; and
- (c) a request that the entity's external legal counsel confirm the reasonableness of management's assessments and provide the auditor with further information if the list is considered by the external legal counsel to be incomplete or incorrect.

Meeting the lawyers. The auditor may also judge it necessary to meet the external legal counsel to discuss the likely outcome, for example where (i) the matter is a significant risk; (ii) the matter is complex; or (iii) there is disagreement between management and the external legal counsel. Such meetings ordinarily require management's permission and are held with a representative of management in attendance (SM 4.74).

When the door is shut. If (a) management refuses permission to communicate or meet with the external legal counsel, or the counsel refuses to respond appropriately to the letter of inquiry, or is prohibited from responding; **and** (b) the auditor is unable to obtain sufficient appropriate audit evidence by performing alternative audit procedures, the auditor shall **modify the opinion** in accordance with SA 705 (SM 4.74–4.75).



Inquiries and reviews identify the cases; the letter goes from the auditor and the reply comes straight back to the auditor. The dashed request is for a meeting, which ordinarily needs management's permission and has a representative of management present.

8. Segment information

Definition

Segment information

Information about different types of products and services of an enterprise and its operations in different geographical areas (SM 4.76).

The auditor shall obtain sufficient appropriate audit evidence regarding the presentation and disclosure of segment information in accordance with the applicable financial reporting framework by (SM 4.76):

- (a) **obtaining an understanding of the methods used by management** in determining segment information, and (i) evaluating whether such methods are likely to result in disclosure in accordance with the framework; and (ii) where appropriate, testing the application of such methods; and
- (b) performing **analytical procedures or other audit procedures** appropriate in the circumstances.

The auditor's responsibility for segment information is **in relation to the financial statements taken as a whole**. So the auditor is not required to perform the procedures that would be necessary to express an opinion on the segment information presented on a standalone basis (SM 4.76).

Matters that may be relevant in understanding management's methods include, for example (SM 4.76–4.77): (1) sales, transfers and charges between segments, and elimination of inter-segment amounts; (2) comparisons with budgets and other expected results, for example operating profits as a percentage of sales; (3) the allocation of assets and costs among segments; (4) consistency with prior periods, and the adequacy of the disclosures with respect to inconsistencies.

Worked examples

Worked example **Where should the team stand on 31 March?**

For the 31 March 2026 count at Tapri Tea Co. Ltd, overall materiality is ₹1.50 crore and inventories in the draft balance sheet total ₹38 crore, held as follows:

Location	Inventory (₹ crore)
Dewas warehouse (premix, kulhads)	14.60
Siliguri warehouse (tea)	9.80
Indore samosa factory (WIP and finished)	5.10
Frosty Chain Logistics, Pune: third-party cold store (frozen samosas)	4.20
40-city cafés	4.30
Total	**38.00**

All locations count on 31 March. Further facts:

- Dewas holds ₹2.10 crore of old elaichi premix that has not sold since December 2025.
- The Siliguri tea lies in 18 grades, whose quality and condition are judged by tasting.
- Samosa work in progress at Indore passes through four stages: dough, filling, frying and packing.
- Each café holds about ₹10.75 lakh of stock, counted by its own manager using written instructions from head office. Perpetual inventory records are kept at the warehouses and the factory, not at the cafés.

Required:

(i) Applying the matters that SA 501 treats as relevant in planning attendance at physical inventory counting, advise Iyer & Associates at which locations to attend the count and what to plan for each.

(ii) How should Iyer & Associates obtain evidence about the frozen samosas held by Frosty Chain?

MODEL ANSWER

(i) Relevant provision. As per SA 501, matters relevant in planning attendance at physical inventory counting include the nature of inventory; stages of completion of work in progress; the risks of material misstatement related to inventory; the nature of the internal control related to inventory; whether adequate procedures are expected to be established and proper instructions issued for physical inventory counting; the timing of counting; whether the entity maintains a perpetual inventory system; the locations at which inventory is held, including the materiality of the inventory and the risks of material misstatement at different locations, in deciding at which locations attendance is appropriate; and whether the assistance of an auditor's expert is needed (SM 4.69–4.70).

Analysis by location.

Location (₹ crore)	Share	What matters	Plan
Dewas (14.60)	38.4%	Largest; obsolete premix	Attend; inspect condition of slow-moving premix
Siliguri (9.80)	25.8%	Grades judged by tasting	Attend; consider an auditor's expert
Indore (5.10)	13.4%	Four stages of WIP	Attend; see how stage is recorded
Cafés (4.30)	11.3%	40 small sites, no perpetual records	Attend a sample chosen for risk
Frosty Chain (4.20)	11.1%	Third-party custody	See (ii)

Each café's ₹10.75 lakh is about 7% of materiality, but together the cafés hold ₹4.30 crore, nearly three times materiality, counted by managers without perpetual records to compare with. Iyer & Associates should evaluate the head-office count instructions before 31 March, attend a sample of cafés selected for risk (for example, the largest and those with past count differences) and perform test counts there. For every location they should understand the internal control over inventory and obtain management's count instructions in advance, to evaluate whether adequate procedures have been established.

(ii) Frosty Chain. As per SA 501, when inventory under the custody and control of a third party is material, the auditor shall obtain sufficient appropriate audit evidence regarding its existence and condition by one or both of: requesting confirmation from the third party as to the quantities and condition of inventory held on behalf of the entity; and performing inspection or other appropriate procedures. ₹4.20 crore is well above overall materiality of ₹1.50 crore, so it is material: Iyer & Associates should request Frosty Chain's confirmation of quantities and condition and, as appropriate, inspect warehouse receipts, attend (or arrange another auditor to attend) Frosty Chain's count if practicable, or obtain a service auditor's report on Frosty Chain's controls over counting and safeguarding.

Worked example **Bunty's three count-day dramas**

State, with reasons, what the auditor should do in each case.

(a) Tapri's Siliguri warehouse was to be counted on 31 March 2026, but a landslide closed the only road and the team could reach it only on 6 April. The 6 April count found 1,92,400 kg of tea. From 1 April up to the 6 April count, receipts were 18,600 kg and dispatches 27,300 kg. The perpetual records show 2,03,500 kg at 31 March; average cost is about ₹480 per kg.

(b) Bunty wants to skip the Dewas count because the date clashes with three other clients' counts. "We will rely on the stock register, Ma'am. It is just inconvenient."

(c) Konkan Salt Works Ltd, another client, holds raw salt of ₹2.60 crore (9% of its total assets) at a port jetty where a gas leak has made the area unsafe; the authorities bar outsiders until July, after the report is due. Materiality is ₹80 lakh. No subsequent sale or other documents can be matched to the specific stock.

MODEL ANSWER

(a) Unforeseen circumstances. As per SA 501, if the auditor is unable to attend physical inventory counting due to unforeseen circumstances, the auditor shall make or observe some physical counts on an alternative date and perform audit procedures on intervening transactions. The team should observe the 6 April count, test the receipts and dispatches between 1 and 6 April, and roll the count back to 31 March:

Working	Quantity (kg)
Count on 6 April	1,92,400
Less: receipts, 1–6 April	(18,600)
Add: dispatches, 1–6 April	27,300
Derived quantity at 31 March	**2,01,100**
Perpetual records at 31 March	2,03,500
Difference	**2,400**

The records exceed the derived quantity by 2,400 kg, about ₹11,52,000 at ₹480 per kg. The auditor should investigate the reasons for the difference and ensure the records are adjusted.

(b) Inconvenience. As per SA 501, the matter of general inconvenience to the auditor is not sufficient to support a decision that attendance is impracticable; as explained in SA 200, difficulty, time or cost is not in itself a valid basis for omitting a procedure for which there is no alternative. Bunty's plan is not acceptable: the Dewas warehouse holds ₹14.60 crore of inventory, and the team must be scheduled to attend.

(c) Impracticable, no alternatives. As per SA 501, if attendance is impracticable (for example, a location posing threats to the auditor's safety), the auditor shall perform alternative audit procedures; if it is not possible to obtain sufficient appropriate audit evidence by alternative procedures, the auditor shall modify the opinion in accordance with SA 705. The possible effect, ₹2.60 crore, exceeds materiality of ₹80 lakh, but is confined to one item at 9% of total assets, so it is material but not pervasive: a **qualified opinion** ("except for the possible effects"), with the reasons in the Basis for Qualified Opinion section.

Worked example

The fee note from Mumbai

Tapri's list of litigation and claims for 2025-26 shows two consumer cases of ₹6 lakh each. Overall materiality is ₹1.50 crore. Reviewing the legal expense account, Bunty finds fees of ₹28 lakh paid to Kapadia & Co., Advocates, Mumbai, with the narration "BrewBhai: defence strategy". The January 2026 board minutes record the in-house counsel's warning that BrewBucks "is expected to file a suit for about ₹45 crore over the BrewBhai brand". Dev says: "Nothing has been filed. Our lawyers say we will win. No need to bother them."

Required: Advise Lakshmi on (i) what these findings mean and what SA 501 requires her to do; (ii) whether she should also meet Kapadia & Co.; and (iii) what she must do if Kapadia & Co. reply that their professional body prohibits them from communicating directly with auditors.

MODEL ANSWER

(i) The findings. As per SA 501, the auditor shall design and perform audit procedures to identify litigation and claims which may give rise to a risk of material misstatement, including inquiry of management and others within the entity, including in-house legal counsel; reviewing minutes of meetings of those charged with governance and correspondence between the entity and its external legal counsel; and reviewing legal expense accounts (SM 4.73). Two of those procedures, the legal expense account and the board minutes, point to a claim of about ₹45 crore that management's list leaves out. When audit procedures indicate that other material litigation or claims may exist, the auditor shall seek direct communication with the entity's external legal counsel, through a letter of inquiry requesting the counsel to communicate directly with the auditor (SM 4.73). Dev's view that "nothing has been filed" does not remove that requirement: Lakshmi should also inspect BrewBucks' notices and Tapri's correspondence with Kapadia & Co., and consider whether the matter needs provision or disclosure.

(ii) A meeting. The auditor may judge it necessary to meet the external legal counsel, for example where the matter is a significant risk or is complex, or where management and the external legal counsel disagree (SM 4.74). A threatened claim of ₹45 crore, thirty times materiality, over a brand Tapri still sells, may well be a significant risk, so a meeting may be needed. Such meetings ordinarily require management's permission and are held with a representative of management in attendance.

(iii) Prohibition. If law, regulation or the respective legal professional body prohibits the entity's external legal counsel from communicating directly with the auditor, the auditor shall perform alternative audit procedures (SM 4.74): for example, inspecting the notices and the counsel's correspondence and fee notes, obtaining the in-house counsel's assessment and reading later board minutes. If the counsel is prohibited from responding and Lakshmi cannot obtain sufficient appropriate audit evidence by alternative procedures, she shall modify the opinion in accordance with SA 705 (SM 4.74–4.75).

Worked example

Must Bunty audit each segment?

Tapri reports three segments: packaged premix, cafés, and food manufacturing. The premix segment sells to the cafés at internal transfer prices, and head-office costs are allocated to all three. Bunty plans to "audit each segment separately and give it its own opinion". Guide him on the auditor's responsibility and the procedures.

MODEL ANSWER

As per SA 501, the auditor's responsibility regarding the presentation and disclosure of segment information is in relation to the financial statements taken as a whole; the auditor is not required to perform audit procedures that would be necessary to express an opinion on the segment information presented on a standalone basis. Bunty's plan goes beyond what SA 501 requires.

The auditor shall obtain sufficient appropriate audit evidence regarding the presentation and disclosure of segment information by obtaining an understanding of the methods used by management in determining it, evaluating whether those methods are likely to result in disclosure in accordance with the applicable framework and, where appropriate, testing their application; and by performing analytical procedures or other procedures appropriate in the circumstances. Here the relevant matters include the premix sales to cafés and the elimination of inter-segment amounts; the allocation of head-office costs and of assets among the segments; comparisons with budgets, such as operating profit as a percentage of sales by segment; and consistency with prior periods, with adequate disclosure of any inconsistency.

Exam angle

In the exam

Where SA 501 appeared, May 2024 to September 2026

SA 501 was examined in 11 of the new-scheme ICAI documents read for this lesson:

- **Litigation, 3 to 5 marks.** The letter of specific inquiry and what happens if management refuses access to the lawyers: May 2024 Q2(b) (4 marks), January 2026 Q1(c) (3 + 1 marks). When to send a specific rather than a general letter, and its contents: MTP September 2025 Series II Q6(c) (4 marks). Counsel prohibited from answering general inquiries: MTP January 2025 Series II Q5(b) (5 marks). Pending litigation and the report: January 2025 Q4(c) (4 marks).
- **Inventory, 4 to 5 marks or an MCQ.** Any five planning matters: May 2025 Q6(a) (5 marks). Two planning matters missing from a list: MTP May 2024 Series I Q4(b) (4 marks). One unit counted on 15 March, and a planned visit to another unit cancelled because of local disturbances: September 2025 Q1(c) (4 marks). Inventory with job workers or third parties: MTP May 2025 Series II Q3(c) (4 marks). Count impracticable after a natural calamity and no alternatives: modify under SA 705, not a representation or an Emphasis of Matter: September 2024 MCQ 1.
- **Segments, 2 to 5 marks.** The auditor's responsibility and the procedures on management's methods: January 2025 Q1(b) (2 + 3 marks). Which is not an auditor's duty (allocating every item to a segment): MTP September 2026 Series I MCQ 5.

In the exam

How the marks are earned

The suggested answers quote SA 501's list in its order (the three identification procedures; the three contents of the specific letter; the nine planning matters; the two third-party procedures), then apply it. In "which matters are missing" questions, only the missing items score, each with a line on why it matters to the facts.

Trick

ICS: SA 501's objective in three letters

Inventory: existence and condition; **C**laims (litigation): completeness; **S**egments: presentation and disclosure. Each item comes with its own assertion: a question asking "which assertion" a lawyer's letter tests wants completeness.

Trick

Unforeseen versus impracticable

Unforeseen (the team could not reach the count): **another date, plus intervening transactions**. Impracticable (the stock cannot safely or sensibly be attended): **alternative procedures, else SA 705**. Inconvenient: **neither: attend**.

Answer frame

A case question on SA 501

1. **Relevant provision**: "As per SA 501, ...", the requirement for the item in the facts, in the Standard's words.
2. **Facts of the case**: which item, whether it is material, what happened (count missed, impracticable, held by a third party; a suit not disclosed; a refusal).
3. **Analysis**: which branch of SA 501 applies, and whether alternative procedures can still give the evidence.
4. **Conclusion**: the procedure to perform, or the SA 705 consequence when evidence cannot be obtained.

Three answers to "Management refuses access to the lawyers. What should the auditor do?"

Loses marks

"Qualify the report."

Skips the alternative procedures and says nothing about which opinion.

Passes

"Perform alternative procedures; if no evidence, modify the opinion under SA 705."

The rule, without the facts or the letter of inquiry.

Full marks

When direct communication is required, the letter of inquiry (and the specific letter's three contents if asked), the refusal rule with both conditions, alternative procedures, and SA 705 as the consequence.

Common mistakes

Common mistake

Hall of Shame: "count every carton"

Writing that the auditor counts all the inventory. **Fix:** the auditor attends management's count: evaluates instructions, observes, inspects (existence and condition) and performs **test** counts, then tests the final records.

⚠ **Common mistake**

Too busy to attend

Calling attendance "impracticable" because of other engagements, travel or cost. **Fix:** general inconvenience is not sufficient; difficulty, time or cost is not a valid basis to omit a procedure with no alternative.

⚠ **Common mistake**

The representation that replaces the count

Accepting a written representation, or adding an Emphasis of Matter paragraph, when the count could not be attended and alternatives failed. **Fix:** that is a scope limitation; modify the opinion under SA 705.

⚠ **Common mistake**

A standalone opinion on segments

Fix: the responsibility is in relation to the financial statements taken as a whole; no procedures for a standalone segment opinion are required.

Practice

Check yourself

1 Case scenario. Cotton bales of Godavari Textiles Ltd worth ₹6 crore (material) lie in a warehouse run by Krishna Warehousing, which has issued warehouse receipts for them. The bales are pledged to Indore Co-operative Bank as collateral for a cash credit loan. Which of the following meets SA 501?

- A Requesting Krishna Warehousing's confirmation of the quantity and condition of the bales, inspecting the warehouse receipts and requesting confirmation from the bank that holds the pledge
- B Relying on the stock statement the company files with the bank, since the bank has an interest in the bales
- C Obtaining a written representation from management on the quantity and value of the bales
- D Requesting Krishna Warehousing to confirm the value of the bales; their quantity and condition need no evidence

2 Which of the following is NOT one of the procedures SA 501 lists for identifying litigation and claims?

- A Inquiry of management and in-house legal counsel
- B Reviewing minutes of meetings of those charged with governance and correspondence with external legal counsel
- C Reviewing legal expense accounts
- D Obtaining a standalone legal opinion on every contract the entity has signed

3 A letter of specific inquiry to external legal counsel includes which of the following? Select all that apply.

- **A** A list of litigation and claims
- **B** Where available, management's assessment of each outcome and its estimate of the financial implications, including costs
- **C** A request to confirm the reasonableness of management's assessments and to say if the list is incomplete or incorrect
- **D** The auditor's own draft opinion for the counsel to approve

More than one answer may be right.

4 Case scenario. Lakshmi evaluated Tapri's count instructions a week before 31 March. At the Dewas count, Bunty spends the whole day recounting 600 cartons himself and never watches how the count teams work, record their sheets or control the movement of goods. Which purpose of attendance at the count has the team neglected?

- **A** Evaluating management's instructions and procedures for recording and controlling the count
- **B** Inspecting the inventory
- **C** Observing the performance of management's count procedures
- **D** Performing test counts

5 Regarding segment information, the auditor's responsibility under SA 501 is:

- **A** To express a separate opinion on each segment
- **B** In relation to the financial statements taken as a whole
- **C** Limited to checking the arithmetic of the segment note
- **D** To ensure every asset and liability is allocated to a reportable segment

Answers: the answer key at the end of this lesson.

Recap

- SA 501 objective: evidence on existence and condition of inventory, completeness of litigation and claims, and presentation and disclosure of segment information.
- Material inventory: attend the count (evaluate instructions, observe, inspect, test count) unless impracticable, and test the final inventory records.
- Count on another date: test changes to the year end. Unforeseen absence: counts on an alternative date plus intervening transactions. Impracticable: alternative procedures, else modify under SA 705.
- General inconvenience is not impracticability; difficulty, time or cost is not in itself a valid basis to omit a procedure for which there is no alternative.

- Third-party inventory: confirmation of quantities and condition, inspection or other procedures, or both.
- Litigation: inquiries (including in-house counsel), minutes and lawyer correspondence, legal expense accounts; on a risk, a letter of inquiry to external counsel, specific if a general one will not be answered.
- Refusal of access to counsel plus failed alternatives: modify under SA 705.
- Segments: understand and test management's methods, plus analytical procedures; the responsibility is for the financial statements as a whole. (Bunty's spreadsheet is not a warehouse.)

Answer key · Check yourself

1 **A Requesting Krishna Warehousing's confirmation of the quantity and condition of the bales, inspecting the warehouse receipts and requesting confirmation from the bank that holds the pledge**

For material inventory in a third party's custody, SA 501 requires confirmation of quantities and condition from the third party, inspection or other appropriate procedures, or both; other procedures include inspecting warehouse receipts and requesting confirmation from other parties when inventory has been pledged as collateral (SM 4.71–4.72). The stock statement is the company's own document, a representation is not enough on its own, and the custodian confirms quantity and condition, not value.

2 **D Obtaining a standalone legal opinion on every contract the entity has signed**

The three listed procedures are inquiry, review of minutes and correspondence, and review of legal expense accounts.

3 **A A list of litigation and claims; B Where available, management's assessment of each outcome and its estimate of the financial implications, including costs; C A request to confirm the reasonableness of management's assessments and to say if the list is incomplete or incorrect**

These are the three contents in SA 501.

4 **C Observing the performance of management's count procedures**

Attendance at physical inventory counting is to evaluate management's instructions and procedures, observe the performance of management's count procedures, inspect the inventory and perform test counts (SM 4.68–4.69). The instructions were evaluated in advance and Bunty's recounts are test counts with inspection, but nobody observed the count teams at work.

5 **B In relation to the financial statements taken as a whole**

No standalone segment opinion; the auditor understands and evaluates management's methods and performs analytical or other procedures.

4.7 SA 505: external confirmations

How the auditor gets written evidence straight from third parties: keeping control of the requests, positive and negative confirmations, what to do when management refuses, and how to read the replies.

In plain words

The confirmations that came home

Bunty has a brilliant idea for Tapri Tea Co. Ltd's receivables. He gives Tapri's accounts team a list of thirty distributors and asks them to "get balance confirmations and forward them". Two days later, twenty-eight neat replies arrive, all agreeing to the rupee, every one forwarded from sales@tapritea.in.

> **Bunty:** Ma'am, 28 out of 30 agree! The receivables are confirmed.
>
> **Lakshmi:** Who chose the distributors, Bunty? Who wrote the letters? Who sent them, and where did the replies go?
>
> **Bunty:** Tapri's team, Ma'am. They know the customers better.
>
> **Lakshmi:** And they also know what answer we want.

An **external confirmation** is evidence the auditor gets as a **direct written reply from a third party**, such as a customer, a bank or a supplier. It is strong evidence because it comes from outside the company and straight to the auditor. Both halves matter: once the request or the reply passes through the company's hands, it is no longer evidence from an independent source. So SA 505 makes the auditor **keep control** of the whole process: what to confirm, whom to ask, how the request is worded and addressed, and sending it and any follow-ups.

There are two kinds of request. A **positive** request asks the third party to reply either way ("yes, we owe ₹1.10 crore" or "no, we owe ₹62 lakh"), or to fill in the figure. A **negative** request asks for a reply **only if** the third party disagrees. Silence is cheap: it may mean "agreed", or it may mean the letter is lying unopened in a drawer. So negative requests give much weaker evidence, and SA 505 allows them as the only substantive procedure only in four narrow conditions. Replies then fall into four groups: agreement, an unreliable reply, no reply, or a reply showing a difference (an **exception**).

Think of it like

The wedding RSVP

Card A says "Please reply by 10 May whether you will attend." Card B says "Reply only if you cannot come." With card A, every reply tells you something, and a missing reply tells you to phone. With card B, silence from a hundred guests might mean a hundred guests, or a hundred cards lost in the post. And either way, you post the cards yourself and have the replies sent to your own address, not to the cousin who keeps saying everyone is coming.

Key idea

SA 505's core rule: the auditor shall maintain control over external confirmation requests, from choosing the information and the confirming party to designing, addressing, sending and following up. A reply that passes through the entity is not a direct response to the auditor. Negative confirmations give significantly less persuasive evidence than positive ones.

How it works

SA 505, "External Confirmations", deals with the auditor's use of external confirmation procedures to obtain audit evidence in accordance with the requirements of SA 500 (SM 4.77).

1. Why confirmations are strong evidence

SA 500 says the reliability of audit evidence is influenced by its source and nature, and depends on the circumstances in which it is obtained. Its generalisations include (SM 4.77):

- audit evidence is more reliable when it is obtained from independent sources outside the entity;
- audit evidence obtained directly by the auditor is more reliable than audit evidence obtained indirectly or by inference;
- audit evidence is more reliable when it exists in documentary form, whether paper, electronic or other medium.

So, depending on the circumstances, external confirmations received directly by the auditor from confirming parties may be more reliable than evidence generated internally by the entity (SM 4.77). The **objective** of the auditor, when using external confirmation procedures, is to design and perform such procedures to obtain relevant and reliable audit evidence (SM 4.78). Which assertions a confirmation proves (existence of a receivable, yes; its valuation, no) is covered in assertions and audit procedures.

2. The vocabulary

Definition

External confirmation

Audit evidence obtained as a direct written response to the auditor from a third party (the confirming party), in paper form, or by electronic or other medium (SM 4.78).

Term	Meaning (SM 4.78)
Positive confirmation request	A request that the confirming party respond directly to the auditor indicating whether the confirming party agrees or disagrees with the information in the request, or providing the requested information
Negative confirmation request	A request that the confirming party respond directly to the auditor only if the confirming party disagrees with the information provided in the request
Non-response	A failure of the confirming party to respond, or fully respond, to a positive confirmation request, or a confirmation request returned undelivered
Exception	A response that indicates a difference between information requested to be confirmed, or contained in the entity's records, and information provided by the confirming party

The exception needs to be assessed against the entire population after analysing the reason for the difference (SM 4.78).

3. Keeping control of the requests

When using external confirmation procedures, the auditor shall maintain control over external confirmation requests, including (SM 4.79–4.80):

- (a) **determining the information** to be confirmed or requested;
- (b) **selecting the appropriate confirming party**;
- (c) **designing the confirmation requests**, including determining that requests are properly addressed and contain return information for responses to be sent directly to the auditor; and
- (d) **sending the requests**, including follow-up requests when applicable, to the confirming party.

(a) The information. Confirmations are frequently used for account balances and their elements. They may also confirm terms of agreements, contracts or transactions between the entity and other parties, or the absence of certain conditions, such as a "side agreement" (SM 4.80).

(b) The confirming party. Responses give more relevant and reliable evidence when sent to a confirming party the auditor believes is knowledgeable about the information; for example, a financial institution official who knows the transactions or arrangements concerned (SM 4.80).

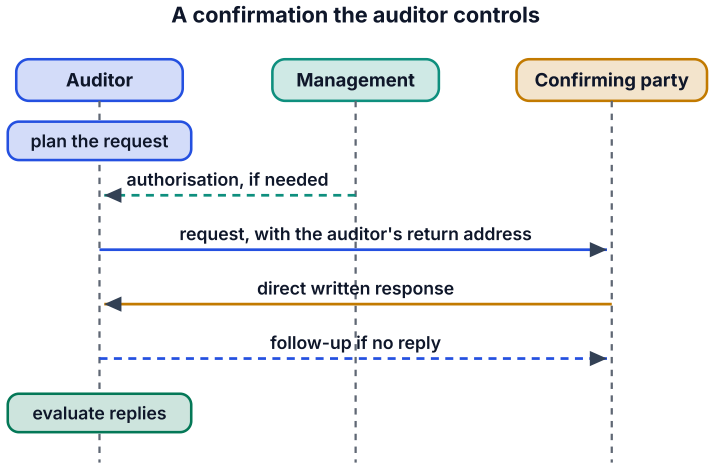
(c) Designing the request. The design may directly affect the response rate and the reliability and nature of the evidence. Factors to consider include (SM 4.80–4.81):

1. the assertions being addressed;
2. specific identified risks of material misstatement, including fraud risks;
3. the layout and presentation of the confirmation request;
4. prior experience on the audit or similar engagements;
5. the method of communication (for example, in paper form, or by electronic or other medium);
6. management's authorisation or encouragement to the confirming parties to respond to the auditor (confirming parties may only be willing to respond to a request containing management's authorisation);

7. the ability of the intended confirming party to confirm or provide the requested information (for example, an individual invoice amount versus the total balance).

A positive request asks the confirming party to reply in all cases, and a response is ordinarily expected to give reliable evidence. But the party may reply without verifying that the information is correct. The auditor can reduce this risk by using positive requests that **do not state the amount** and ask the party to fill it in; such "blank" requests may, however, get **lower response rates** because they need more effort (SM 4.81). Determining that requests are **properly addressed** includes testing the validity of some or all of the addresses before the requests are sent (SM 4.81).

(d) Follow-up. When a reply has not been received within a reasonable time, the auditor may send an additional request; for example, after re-verifying the accuracy of the original address (SM 4.82).



Planning the request covers the information, the confirming party, the design and a check of the address. Management's only part is the dashed authorisation or encouragement to respond, which the auditor includes in the request because some confirming parties reply only to a request containing it. The request leaves from the auditor and the reply comes back to the auditor; nothing passes through the entity.

4. When management refuses

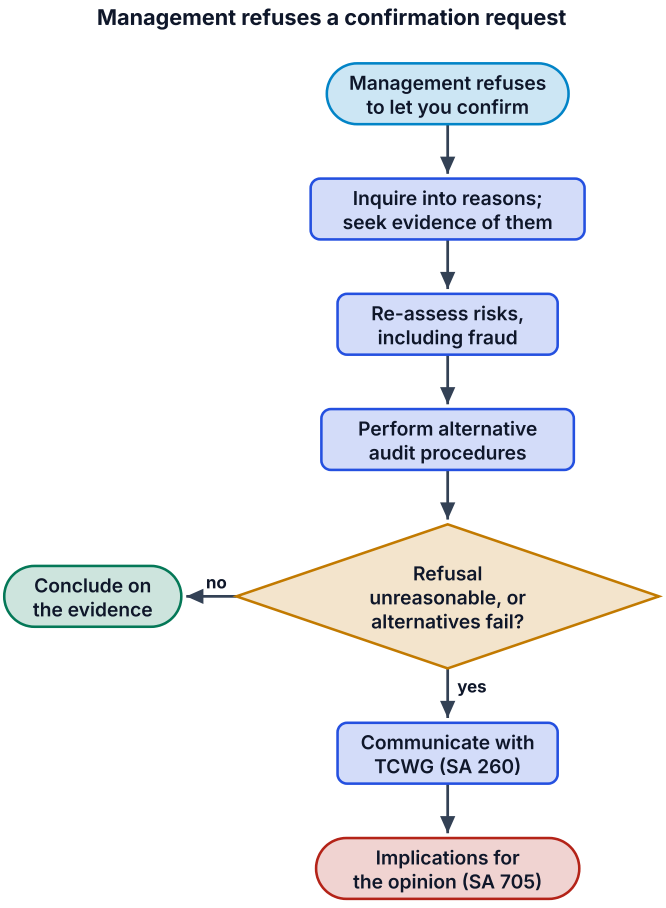
If management refuses to allow the auditor to send a confirmation request, the auditor shall (SM 4.82):

- (a) **inquire** as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness;
- (b) **evaluate the implications** of the refusal on the auditor's assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and
- (c) **perform alternative audit procedures** designed to obtain relevant and reliable audit evidence.

If the auditor concludes that the refusal is **unreasonable**, or the auditor is **unable to obtain relevant and reliable audit evidence from alternative procedures**, the auditor shall communicate with those charged with governance in accordance with SA 260. The auditor shall also determine the implications for the audit and the auditor's opinion in accordance with SA 705 (SM 4.82–4.83).

Why the reasons matter (SM 4.83–4.84):

- A refusal is a limitation on the evidence the auditor may wish to obtain. A **common reason** advanced is the existence of a legal dispute or ongoing negotiation with the intended confirming party, the resolution of which may be affected by an untimely confirmation request.
- The auditor seeks evidence of the validity and reasonableness of the reasons because of the risk that management may be attempting to **deny access to evidence that may reveal fraud or error**.
- The auditor may revise the assessment of the risks of material misstatement at the assertion level and modify planned procedures; for example, if management's request not to confirm is unreasonable, this may indicate a **fraud risk factor** to be evaluated under SA 240.
- **Alternative audit procedures**, for example: for accounts receivable, examining specific subsequent cash receipts, shipping documentation and sales near the period end; for accounts payable, examining subsequent cash disbursements or correspondence from third parties, and other records such as goods received notes (audit of trade payables).



TCWG: those charged with governance. Green: the refusal is reasonable and alternative procedures gave relevant and reliable evidence; rose: either condition fails, so the matter goes to TCWG and SA 705 decides the effect on the opinion.

5. Negative confirmations

Negative confirmations provide **less persuasive** audit evidence than positive confirmations. So the auditor shall not use negative confirmation requests as the **sole substantive audit procedure** to

address an assessed risk of material misstatement at the assertion level **unless all of the following are present** (SM 4.85):

- (a) the auditor has assessed the risk of material misstatement as **low** and has obtained sufficient appropriate audit evidence regarding the **operating effectiveness of controls** relevant to the assertion;
- (b) the population comprises a **large number of small, homogeneous** account balances, transactions or conditions;
- (c) a **very low exception rate** is expected; and
- (d) the auditor is **not aware of circumstances** or conditions that would cause recipients to disregard such requests.

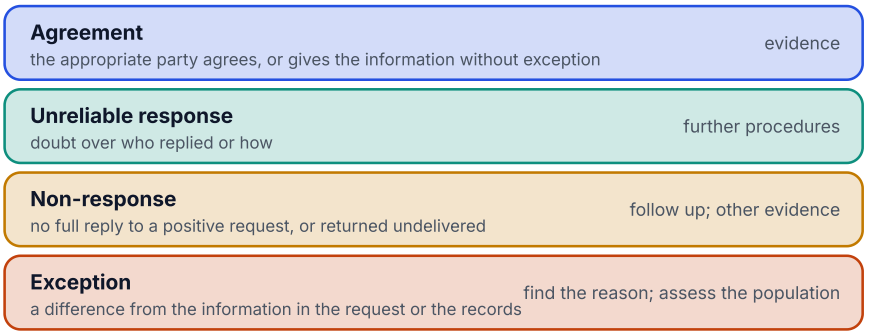
Why silence is weak (SM 4.85): the failure to receive a response to a negative request does not explicitly indicate that the intended confirming party received the request or verified the information in it. So a failure to respond to a negative request gives significantly less persuasive evidence than a response to a positive request. Confirming parties are also more likely to respond indicating disagreement when the information is **not in their favour**, and less likely to respond otherwise. Holders of bank deposit accounts, for example, are more likely to respond if they believe their balance is understated in the request; negative requests to them may help in considering whether balances are **understated**, but are unlikely to be effective for **overstatement**.

6. Evaluating the evidence

The auditor shall evaluate whether the results of the external confirmation procedures provide relevant and reliable audit evidence, or whether performing further audit procedures is necessary (SM 4.86). The results of individual requests may be categorised as:

- (a) a response by the appropriate confirming party indicating agreement with the information provided in the request, or providing requested information without exception;
- (b) a response deemed unreliable;
- (c) a non-response; or
- (d) a response indicating an exception.

This evaluation, taken with the other procedures performed, helps the auditor conclude whether sufficient appropriate audit evidence has been obtained or whether further audit procedures are necessary, as SA 330 requires (SM 4.86; SA 330).



The Study Material's four categories, with what each means. On the right, the usual next step: the Study Material requires the auditor to evaluate whether the results are relevant and reliable evidence or further audit procedures are necessary.

Worked examples

Worked example **Bunty takes back the pen**

Having learnt from the forwarded replies, Bunty runs Tapri's 2025-26 confirmations himself. He selects 30 distributors from the receivables ledger, and then:

(i) takes their e-mail addresses from Tapri's customer master file, in which a sales executive changed four of the addresses in March 2026;

(ii) sends positive requests stating each balance and asking for a one-word reply, "Confirmed";

(iii) sends the requests from Iyer & Associates' own e-mail, asking for replies to come directly to him; and

(iv) records the six distributors who do not reply within ten days as "agreed", without any follow-up.

Comment on each step with reference to SA 505, and state what Bunty should do.

MODEL ANSWER

Relevant provision. As per SA 505, "External Confirmations", when using external confirmation procedures, the auditor shall maintain control over external confirmation requests, including (a) determining the information to be confirmed or requested; (b) selecting the appropriate confirming party; (c) designing the confirmation requests, including determining that requests are properly addressed and contain return information for responses to be sent directly to the auditor; and (d) sending the requests, including follow-up requests when applicable, to the confirming party (SM 4.79–4.80).

Facts and analysis.

1. **Addresses.** Determining that requests are properly addressed includes testing the validity of some or all of the addresses before the requests are sent (SM 4.81). Addresses changed by a sales executive shortly before the year-end are exactly the ones to test, for example against the distributors' own letterheads, earlier correspondence or a telephone call, because a reply from a wrong address would not come from the confirming party.
2. **Design.** A positive request asks the confirming party to reply in all cases. There is a risk that a confirming party replies without verifying that the information is correct; the auditor may reduce it by not stating the amount and asking the party to fill it in, though such "blank" requests may lower the response rate (SM 4.81). A request inviting a one-word "Confirmed" increases that risk.
3. **Sending and return.** Sending the requests from the firm's own e-mail, with replies coming directly to the auditor, is in line with SA 505.
4. **No reply.** A failure to respond to a positive request is a non-response, not an agreement. The auditor may send a follow-up request, having re-verified the address (SM 4.82), and shall evaluate whether the results provide relevant and reliable audit evidence or further audit procedures are necessary (SM 4.86): for receivables, for example, examining specific subsequent cash receipts, shipping documentation and sales near the period end (SM 4.84).

Conclusion. Bunty should test the four changed addresses (and a sample of the others) before sending, consider blank requests for the riskier balances, send follow-up requests to the six non-responding distributors, and perform other procedures on any that still do not reply. Only the replies received directly from properly addressed confirming parties count as external confirmations.

Worked example **Kesar blocks one confirmation**

Lakshmi selects Annapurna Retail Pvt Ltd, which owes Tapri ₹3.20 crore, for a positive confirmation; overall materiality is ₹1.50 crore. Kesar refuses: "Annapurna is a sensitive relationship. A letter from the auditors will offend them." Lakshmi finds no dispute, suit or negotiation with Annapurna on record. The whole balance consists of four invoices dated 30 and 31 March 2026. Annapurna was registered in January 2026 at an address it shares with a company owned by Kesar's brother-in-law. By 20 May 2026 nothing has been received from it, and the dispatch notes for the four invoices are signed only by Tapri's own driver.

How should Lakshmi proceed under SA 505, and what follows if her alternative procedures do not provide the evidence she needs?

MODEL ANSWER

Relevant provision. As per SA 505, if management refuses to allow the auditor to send a confirmation request, the auditor shall (a) inquire as to management's reasons for the refusal, and seek audit evidence as to their validity and reasonableness; (b) evaluate the implications of the refusal on the assessment of the relevant risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and (c) perform alternative audit procedures designed to obtain relevant and reliable audit evidence. If the auditor concludes that the refusal is unreasonable, or is unable to obtain relevant and reliable audit evidence from alternative procedures, the auditor shall communicate with those charged with governance in accordance with SA 260, and determine the implications for the audit and the opinion in accordance with SA 705 (SM 4.82–4.83).

Facts and analysis.

1. **The reason.** A common reason for a refusal is a legal dispute or an ongoing negotiation whose resolution an untimely request may affect (SM 4.83). Here there is none: "a sensitive relationship" is unsupported, so the refusal appears unreasonable. An unreasonable request not to confirm may indicate a fraud risk factor that requires evaluation under SA 240 (SM 4.83).
2. **The risk.** A new customer at an address linked to the managing director's brother-in-law (a possible related party, to be considered under SA 550), a balance made up only of year-end invoices, and no receipts afterwards point to a higher risk that the sales and the receivable did not occur. Lakshmi should revise her assessment of the risks for this balance and her further procedures.
3. **Alternative procedures.** For receivables these include examining specific subsequent cash receipts, shipping documentation and sales near the period end (SM 4.84). None helps here: there are no receipts, the only shipping evidence is Tapri's own, and the sales near the period end are the very invoices in doubt.

Conclusion. Lakshmi should communicate the matter to Tapri's audit committee under SA 260, and determine the implications for the audit and her opinion under SA 705. The ₹3.20 crore balance is more than twice materiality; if it remains unsupported but its possible effect is confined to this balance and not pervasive, a qualified opinion would be expected.

Worked example **Thirty replies, four kinds**

Iyer & Associates sent positive confirmation requests, with the amounts stated, to 30 of Tapri's distributors, with balances totalling ₹24.60 crore. Results after one follow-up:

Result	Requests	Balance per Tapri (₹ crore)
Agreed, directly to the auditor	21	15.82
Replied with a lower balance	3	2.43
No reply even after follow-up	4	5.20
Replies from Gmail addresses not matching the distributors' records	2	1.15
Total	**30**	**24.60**

The three lower replies: Kaveri Distributors (₹1.10 crore per Tapri) shows ₹48 lakh less, a payment Tapri received on 2 April; Malabar Chai Agencies (₹78 lakh) shows ₹22 lakh less, for goods dispatched on 30

March and received on 3 April; Shree Ganesh Traders (₹55 lakh) shows ₹35 lakh less, rejecting goods as sub-standard.

Classify the results as SA 505 does and state the further action for each.

MODEL ANSWER

Relevant provision. As per SA 505, the auditor shall evaluate whether the results of the external confirmation procedures provide relevant and reliable audit evidence, or whether further audit procedures are necessary. Results may be categorised as (a) a response indicating agreement, or providing requested information without exception; (b) a response deemed unreliable; (c) a non-response; (d) a response indicating an exception. A non-response includes a failure to respond to a positive request; an exception is a response indicating a difference between the information requested and that provided by the confirming party, and is to be assessed against the entire population after analysing the reason for the difference.

Category	Requests	₹ crore	Further action
(a) Agreement	21	15.82	Relevant and reliable evidence of existence
(d) Exception	3	2.43	Analyse each difference
(c) Non-response	4	5.20	Alternative procedures
(b) Unreliable	2	1.15	Verify the source; further procedures

Analysis.

1. **Exceptions (difference ₹1.05 crore).** Kaveri (₹48 lakh) and Malabar (₹22 lakh) are timing differences of ₹70 lakh: verify the 2 April receipt in the bank statement and the transporter's records for the 30 March dispatch. Shree Ganesh's ₹35 lakh is a dispute: it may be a misstatement (sales returns or a provision), so its cause must be investigated and its effect assessed against the whole receivables population; where the 30 were an audit sample, SA 530 requires the misstatement to be projected to the population (SA 530).
2. **Non-responses (₹5.20 crore, 21.1% of the value tested).** No evidence yet: perform alternative procedures such as examining subsequent cash receipts, shipping documentation and sales near the period end.
3. **Unreliable responses (₹1.15 crore).** Replies from addresses that do not match the distributors' records cannot be relied on: re-verify the addresses, send fresh requests to the verified addresses, and consider whether this indicates a fraud risk.

Conclusion. Only the 21 agreements (₹15.82 crore, 64.3% of the value tested) are relevant and reliable evidence as they stand; the remaining ₹8.78 crore needs the procedures above before Iyer & Associates can conclude, under SA 330, that sufficient appropriate audit evidence has been obtained.

Worked example **One condition short?**

State with reasons whether negative confirmation requests may be the sole substantive procedure in each case. In each, Iyer & Associates have assessed the risk of material misstatement as low and have tested the relevant controls and found them operating effectively.

(a) Tapri holds security deposits from 1,850 café franchisees, averaging ₹40,000 each (₹7.40 crore in all). A very low exception rate is expected. But since February 2026, 600 franchisees have refused to open e-mails from Tapri's domain during a dispute over a new royalty policy, and the requests would go out under Tapri's letterhead.

(b) 2,400 small kiosks owe Tapri about ₹15,000 each (₹3.60 crore in all). The franchisees' dispute does not affect them, but last year's confirmation of the same balances found differences in 9% of the replies.

(c) 900 employees owe Tapri festival advances of ₹15,000 each (₹1.35 crore). Differences have been rare in past years, and Iyer & Associates know of nothing that would make the employees disregard a request.

MODEL ANSWER

Relevant provision. As per SA 505, negative confirmations provide less persuasive audit evidence than positive confirmations, so the auditor shall not use negative confirmation requests as the sole substantive audit procedure to address an assessed risk of material misstatement at the assertion level unless all of the following are present: (a) the risk of material misstatement is assessed as low and sufficient appropriate evidence has been obtained regarding the operating effectiveness of controls relevant to the assertion; (b) the population comprises a large number of small, homogeneous account balances, transactions or conditions; (c) a very low exception rate is expected; and (d) the auditor is not aware of circumstances or conditions that would cause recipients to disregard such requests (SM 4.85).

(a) Not permitted. Conditions (a) to (c) are present, but about a third of the franchisees (600 of 1,850, 32%) are known to be ignoring Tapri's messages: a circumstance that would cause recipients to disregard the requests, so condition (d) fails. Their silence would mean nothing.

(b) Not permitted. A 9% difference rate last year is not "a very low exception rate", so condition (c) fails. Positive requests, with other substantive procedures, are needed.

(c) Permitted. All four conditions are present: low risk with controls tested, 900 small and similar balances, a very low exception rate expected and no reason for the employees to disregard requests. Even so, a non-reply to a negative request gives significantly less persuasive evidence than a reply to a positive request.

Exam angle

In the exam

Where SA 505 appeared, May 2024 to September 2026

SA 505 was examined in 11 of the ICAI documents read for this lesson.

- **Negative confirmations, the favourite.** Which request suits many small retail debtors with low risk and effective controls, and the conditions: May 2025 Q4(a) (1 + 4 marks). Conditions, and whether negative confirmations are as persuasive as positive ones: MTP September 2024 Series I Q4(a) (5 marks). Negative requests to a few large high-risk balances are inappropriate: MTP September 2024 Series II MCQ 1. Confirming parties respond more readily when the information is not in their favour: September 2025 MCQ 9.
- **Management's refusal, 4 to 5 marks.** The three steps, TCWG and SA 705: MTP January 2025 Series II Q1(b) (5 marks), MTP September 2025 Series I Q1(c) (4 marks).
- **Definitions and evaluation.** Name the term for five definitions: RTP January 2026 Q12. A positive request answered with a different amount is an exception: September 2024 Q6(c). Classifying 25 results: MTP May 2026 Series I Q4(c). Evaluating mixed results (agreements, a doubtful email reply, non-responses, a dispute) and the four categories: MTP September 2026 Series II Q1(a) (5 marks). Confirmations obtained through the client are not in line with SA 505: RTP September 2024 MCQ 3.

In the exam

How the marks are earned

The suggested answers quote SA 505's list in order (the four elements of control; the three refusal steps; the four negative-confirmation conditions; the four result categories), then apply it to the facts. In "do you agree" questions the conclusion must say *why*, for example "significantly less persuasive audit evidence than a response to a positive confirmation request".

Trick

ISDS: keep control

Information, **S**electing the party, **D**esigning (properly addressed, replies to the auditor), **S**ending (with follow-ups). If any of the four sits with the client, control is lost.

Trick

Negative only if: Low, Large, Little, Listening

Low risk with controls tested, a **large** number of small homogeneous items, **little** exception expected, recipients **listening** (no reason to ignore the request). All four, or no negative requests as the sole substantive procedure.

Answer frame

A case question on SA 505

1. **Relevant provision**: "As per SA 505, External Confirmations, ...", the list the facts call for.
2. **Facts of the case**: who controlled the requests; the type of request; the population and risk; the refusal and its reason; the replies.

3. **Analysis**: element by element, condition by condition, reply by reply.
4. **Conclusion**: proper or not; which request type; justified refusal or TCWG and SA 705; what further procedures.

"Is the CFO's refusal justified?"

Loses marks

"No. The auditor must always confirm."

Ignores SA 505's steps and the legitimate reasons.

Passes

"The auditor inquires into the reasons and performs alternative procedures."

Two of the three steps; no test of reasonableness.

Full marks

All three steps; the common reason (legal dispute or negotiation) and the fraud risk; a conclusion on the facts; and what follows if the refusal is unreasonable or alternatives fail (TCWG under SA 260, SA 705).

Common mistakes

⚠ **Common mistake**

Hall of Shame: replies forwarded by the client

Accepting confirmations that came back through the entity's mailbox. **Fix:** the response must be a direct written response to the auditor; the auditor sends the requests and receives the replies.

⚠ **Common mistake**

Silence counted as agreement

Treating unanswered negative requests as "confirmed". **Fix:** a failure to respond to a negative request does not show the request was received or the information verified; it is significantly less persuasive evidence.

⚠ **Common mistake**

Negative requests for the big balances

Fix: negative requests can be the sole substantive procedure only with low risk and tested controls, many small homogeneous items, a very low expected exception rate, and no reason for recipients to ignore them.

⚠ **Common mistake**

Every exception is a misstatement

Fix: analyse the reason first: payments and goods in transit are timing differences; disputes may be misstatements, to be assessed against the whole population.

Practice

Check yourself

1 Case scenario. CA Ira Sen audits Rangoli Retail Ltd, which has 4,000 small customer balances from walk-in credit sales. She has assessed the risk of material misstatement as low, found the controls over receivables operating effectively, expects very few differences and knows of nothing that would make customers ignore a request. Which approach is most appropriate?

- **A** Positive requests with blank amounts to all 4,000 customers
- **B** Negative confirmation requests, which may here be the sole substantive procedure
- **C** No confirmation, since the balances are small
- **D** Negative requests, with every non-reply treated as an exception

2 An auditor sends a positive confirmation stating ₹6,40,000; the customer replies directly that it owes ₹5,90,000. This is:

- **A** A non-response
- **B** A response deemed unreliable
- **C** A response indicating an exception
- **D** A negative confirmation

3 Management refuses to let the auditor confirm a supplier's balance. Which of these does SA 505 require? Select all that apply.

- **A** Inquire into the reasons and seek evidence of their validity and reasonableness
- **B** Evaluate the implications for the assessed risks, including fraud risk, and for other procedures
- **C** Perform alternative audit procedures, such as examining subsequent cash disbursements and goods received notes
- **D** Issue a disclaimer of opinion immediately

More than one answer may be right.

4 Which of the following is NOT a factor SA 505 lists for designing confirmation requests?

- **A** The assertions being addressed
- **B** Management's authorisation or encouragement to the confirming parties to respond
- **C** The ability of the confirming party to confirm the requested information
- **D** The audit fee agreed for the engagement

5 Negative confirmation requests sent to holders of bank deposit accounts are most useful for testing whether deposit balances are:

- A Understated
- B Overstated
- C Properly classified
- D Properly presented in the notes

Answers: the answer key at the end of this lesson.

Recap

- External confirmation: audit evidence obtained as a direct written response to the auditor from a third party, on paper or by electronic or other medium.
- Positive: reply in all cases (agree, disagree or fill in); negative: reply only if disagreeing; non-response: no or incomplete reply to a positive request, or returned undelivered; exception: a difference.
- Control: determine the information, select the confirming party, design (properly addressed, replies to the auditor), send and follow up.
- Blank positive requests reduce agree-without-checking, but lower response rates.
- Refusal: inquire and test the reasons, re-assess risks (including fraud), perform alternatives; if unreasonable or alternatives fail, TCWG under SA 260 and SA 705.
- Negative requests as the sole substantive procedure only if: low risk with controls tested, many small homogeneous items, very low expected exceptions, no reason to disregard.
- Results: agreement, unreliable, non-response, exception; evaluate, then decide on further procedures (SA 330).
- If the reply went to sales@client, it confirmed nothing.

Answer key · Check yourself

1 **B Negative confirmation requests, which may here be the sole substantive procedure**

All four conditions for negative requests are present. Non-replies to negative requests are not exceptions; they are simply weak evidence.

2 **C A response indicating an exception**

A difference between the information requested and that provided by the confirming party is an exception, to be investigated and assessed against the population.

3 **A Inquire into the reasons and seek evidence of their validity and reasonableness; B Evaluate the implications for the assessed risks, including fraud risk, and for other procedures; C Perform alternative audit procedures, such as examining subsequent cash disbursements and goods received notes**

The three steps come first. Only if the refusal is unreasonable or alternatives fail does the auditor go to those charged with governance and SA 705, which decides the opinion.

4 **D** **The audit fee agreed for the engagement**

The factors are the assertions, identified risks, layout, prior experience, method of communication, management's authorisation, and the party's ability to confirm.

5 **A** **Understated**

Holders tend to respond when a balance looks too low to them (not in their favour), so negative requests help with understatement, not overstatement.

4.8 SA 510: opening balances in initial engagements

Why a first-year auditor must obtain evidence on the balances the year started with, the three-step procedure SA 510 prescribes, and when the problem leads to a qualified, adverse or disclaimer of opinion.

In plain words

Whose tick is it anyway?

Iyer & Associates have taken on two new audits for 2025-26. **Tapri Cold Chain Pvt Ltd**, Tapri's refrigerated-delivery company, was audited last year by another firm, Joshi Kale & Co. **Mehra Masala Traders**, the spice firm run by Kesar's cousin Pinky, has never been audited at all: its bank now wants audited accounts.

> **Bunty:** Ma'am, the opening balances are just last year's closing balances. Joshi Kale & Co. already audited them. Tick, done.
>
> **Lakshmi:** Their tick, Bunty. Our report. If last year's stock was wrong, whose evidence do we show?
>
> **Bunty:** But last year is over.
>
> **Lakshmi:** Last year's closing stock is this year's cost of sales. It is very much this year.

Both jobs are **initial audit engagements**: the first audit of an entity by this auditor, either because nobody audited the previous year or because a different firm did. The **opening balances** are the amounts the year starts with: last year's closing figures, together with the commitments and contingencies that existed on day one.

Lakshmi's point is that opening balances do not stay in the past. Opening inventory becomes part of this year's cost of goods sold; opening receivables are collected, or written off, this year; the accounting policies used to build those balances must be the policies used this year too. A wrong opening figure quietly distorts this year's profit, and the new auditor signs the report on this year.

So the new auditor collects evidence that the opening balances do not contain misstatements that materially affect this year, and that the accounting policies behind them have been applied consistently (or that any change is properly accounted for and disclosed). The predecessor's audited accounts help; this year's own audit work helps; where neither is enough, the auditor performs specific procedures. If the evidence cannot be had, or shows a problem nobody fixes, the opinion is modified.

Think of it like

The meter reading on moving day

When you move into a rented flat, you note the electricity meter on day one. The previous tenant's last bill is a good start (the predecessor's audited accounts), and the units used in your first month confirm it (this year's audit procedures). If nobody read the meter when the last tenant left, you read it now and work backwards from the units used since (the stock roll-back). Skip all three, and the last tenant's summer of air-conditioning lands on your bill.

Key idea

Opening balances are not last year's problem: they flow into this year's profit. A predecessor's audit helps the new auditor get evidence about them; it never replaces getting it.

How it works

SA 510, "Initial Audit Engagements – Opening Balances", deals with the auditor's responsibilities relating to opening balances when conducting an initial audit engagement. Opening balances include, besides the amounts in the financial statements, matters requiring disclosure that existed at the beginning of the period, such as contingencies and commitments. When the financial statements include comparative information, SA 710 also applies (SM 4.87).

1. Three definitions

Definition

Initial audit engagement

An engagement in which either (i) the financial statements for the prior period were not audited; or (ii) the financial statements for the prior period were audited by a predecessor auditor (SM 4.87).

Definition

Opening balances

Those account balances that exist at the beginning of the period. Opening balances are based upon the closing balances of the prior period and reflect the effects of transactions and events of prior periods and accounting policies applied in the prior period. They also include matters requiring disclosure that existed at the beginning of the period, such as contingencies and commitments (SM 4.87).

Definition

Predecessor auditor

The auditor from a different audit firm, who audited the financial statements of an entity in the prior period and who has been replaced by the current auditor (SM 4.87).

"From a different audit firm" matters: if the same firm audited last year, this is not an initial audit engagement.

2. The objective

In conducting an initial audit engagement, the objective of the auditor with respect to opening balances is to obtain sufficient appropriate audit evidence about whether (SM 4.88):

- (a) opening balances contain misstatements that materially affect the current period's financial statements; and
- (b) appropriate accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, or changes thereto are properly accounted for

and adequately presented and disclosed in accordance with the applicable financial reporting framework.

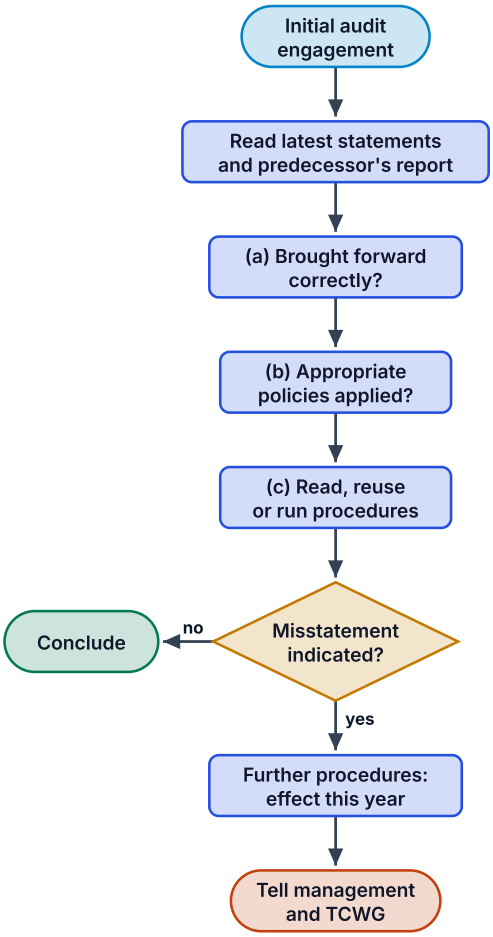
3. What the auditor does

The auditor shall read the most recent financial statements, if any, and the predecessor auditor's report thereon, if any, for information relevant to opening balances, including disclosures (the Study Material's answer to Test Your Knowledge Q8, SM 4.131; ICAI's suggested answers open with it too). The auditor shall then obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial statements by (SM 4.88):

- (a) determining whether the prior period's closing balances have been correctly brought forward to the current period or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss;
- (b) determining whether the opening balances reflect the application of appropriate accounting policies; and
- (c) performing one or more of the following:
  - (i) where the prior year financial statements were audited, perusing the copies of the audited financial statements including the other relevant documents relating to the prior period financial statements;
  - (ii) evaluating whether audit procedures performed in the current period provide evidence relevant to the opening balances; or
  - (iii) performing specific audit procedures to obtain evidence regarding the opening balances.

If the auditor obtains audit evidence that the opening balances contain misstatements that could materially affect the current period's financial statements, the auditor shall perform such additional audit procedures as are appropriate to determine the effect on the current period's financial statements. If the auditor concludes that such misstatements exist in the current period's financial statements, the auditor shall communicate them with the appropriate level of management and those charged with governance (SM 4.89).

SA 510: the auditor's path through opening balances



(c) needs at least one of: reading the predecessor's audited statements and schedules, reusing evidence from this year's procedures, or running specific procedures. TCWG: those charged with governance; communication follows when misstatements are found to exist in this year's financial statements.

4. What decides how much work

The nature and extent of audit procedures necessary to obtain sufficient appropriate audit evidence regarding opening balances depend on such matters as (SM 4.89):

- The accounting policies followed by the entity.
- The nature of the account balances, classes of transactions and disclosures and the risks of material misstatement in the current period's financial statements.
- The significance of the opening balances relative to the current period's financial statements.
- Whether the prior period's financial statements were audited and, if so, whether the predecessor auditor's opinion was modified.

5. Procedures, balance by balance

Predecessor auditor. If the prior period's financial statements were audited by a predecessor auditor, the auditor may be able to obtain sufficient appropriate audit evidence regarding the opening balances by perusing the copies of the audited financial statements including other relevant documents such as supporting schedules. Ordinarily, the current auditor can place reliance on the

closing balances contained in the financial statements for the preceding period, except when during the performance of audit procedures for the current period the possibility of misstatements in opening balances is indicated (SM 4.89). By type of balance (SM 4.90):

Balance	Evidence
Receivables, payables	Collection or payment this year
Inventories	Extra procedures: this year's closing count says little
PPE, investments, long-term debt	Underlying records; third-party confirmation for debt and investments

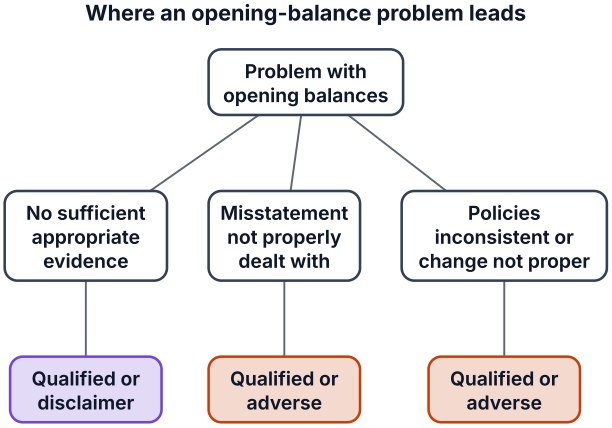
- **Current assets and liabilities.** Some evidence comes from the current period's audit procedures: the collection (payment) of opening accounts receivable (accounts payable) during the current period gives some evidence of their existence, rights and obligations, completeness and valuation at the beginning of the period.
- **Inventories.** The current period's procedures on the closing inventory provide little evidence about inventory on hand at the beginning of the period, so one or more of these may be needed: observing a current physical inventory count and reconciling it to the opening inventory quantities; performing audit procedures on the valuation of the opening inventory items; performing audit procedures on gross profit and cut-off.
- **Non-current assets and liabilities** (property, plant and equipment, investments, long-term debt): some evidence by examining the accounting records and other information underlying the opening balances; in certain cases by confirmation with third parties (long-term debt and investments); in other cases, additional procedures.

6. Consistency of accounting policies

The auditor shall obtain sufficient appropriate audit evidence about whether the accounting policies reflected in the opening balances have been consistently applied in the current period's financial statements, and whether changes in them have been properly accounted for and adequately presented and disclosed (SM 4.91).

7. Reporting

SA 510 sends three problems to SA 705 (SM 4.91):



Violet: the pair for missing evidence; orange: the pair for a misstatement or a policy problem the auditor has evidence of. Which one of each pair depends on whether the effects are pervasive (SA 705).

1. Unable to obtain sufficient appropriate audit evidence regarding the opening balances: **qualified opinion or disclaimer of opinion**, as appropriate, in accordance with SA 705.
2. The opening balances contain a misstatement that materially affects the current period's financial statements, and its effect is not properly accounted for or not adequately presented or disclosed: **qualified opinion or adverse opinion**, as appropriate.
3. The current period's accounting policies are not consistently applied in relation to opening balances, or a change in accounting policies is not properly accounted for or not adequately presented or disclosed: **qualified opinion or adverse opinion**, as appropriate.

Formats and formulas

Why an opening figure is a this-year figure

∑ Formula

Cost of goods sold

$$\text{Cost of goods sold} = \text{Opening inventory} + \text{Purchases} - \text{Closing inventory}$$

Every rupee of overstatement in opening inventory is a rupee of overstated cost of goods sold, and so a rupee of understated profit, this year.

Tapri Cold Chain's 2025-26 figures (₹ crore) show it. Suppose ₹0.90 crore of the ₹15 crore opening stock of frozen snacks had in fact spoiled before 31 March 2025:

Particulars	As recorded	If opening stock was right
Opening inventory	15.00	14.10
Add: purchases	117.00	117.00
Less: closing inventory	33.00	33.00
Cost of goods sold	**99.00**	**98.10**

This year's cost of goods sold is overstated, and its profit understated, by ₹0.90 crore, though the error was made last year.

The reporting grid

Reproduce this from memory: each row is a separate requirement in SA 510.

Problem with opening balances	Opinion (SA 705)
Sufficient appropriate evidence cannot be obtained	Qualified or disclaimer
Material misstatement not properly accounted for, presented or disclosed	Qualified or adverse
Policies not consistently applied, or a change not properly accounted for, presented or disclosed	Qualified or adverse

Worked examples

Worked example **Tapri Cold Chain: what the old file shows**

Iyer & Associates are the new statutory auditors of Tapri Cold Chain Pvt Ltd for 2025-26; Joshi Kale & Co. audited 2024-25 and gave an unmodified opinion. Materiality for 2025-26 is ₹40 lakh. Perusing the audited 2024-25 financial statements and their supporting schedules, Bunty notes:

(a) The audited balance sheet shows trade receivables of ₹20.00 crore at 31 March 2025, but the 2025-26 ledger opens at ₹20.45 crore. A journal of 3 April 2025, narrated "to correct last year's posting", reversed a credit note of ₹45 lakh issued to a customer in March 2025 and credited the amount to 2025-26 revenue.

(b) An insurance claim filed in April 2025 says that a compressor failure on 28 March 2025 spoiled frozen snacks costing ₹2.30 crore. The opening inventory of ₹15 crore still includes them at cost.

(c) The opening balance includes a term loan of ₹12 crore from Narmada Co-operative Bank.

Required: State what SA 510 requires Iyer & Associates to do about each matter, and the possible effect on their report.

MODEL ANSWER

Relevant provision. As per SA 510, the auditor shall obtain sufficient appropriate audit evidence about whether the opening balances contain misstatements that materially affect the current period's financial

statements by determining whether the prior period's closing balances have been correctly brought forward or, when appropriate, any adjustments have been disclosed as prior period items in the current year's Statement of Profit and Loss; determining whether the opening balances reflect the application of appropriate accounting policies; and perusing the prior period's audited financial statements, evaluating current-period procedures, or performing specific procedures (SM 4.88). Ordinarily the auditor can rely on the closing balances of the audited prior period, except when the possibility of misstatements in opening balances is indicated (SM 4.89). If misstatements that could materially affect the current period are found, the auditor performs additional procedures to determine their effect and communicates them to the appropriate level of management and those charged with governance (SM 4.89). A misstatement in opening balances that materially affects the current period and is not properly accounted for or not adequately presented or disclosed leads to a qualified or adverse opinion (SM 4.91).

(a) Receivables not brought forward. The opening balance differs from the audited closing balance by ₹45 lakh, more than materiality. Iyer & Associates should inspect the credit note and the customer's correspondence and, if useful, confirm the balance with the customer. If the March 2025 credit note was valid, the reversal overstates 2025-26 revenue and receivables by ₹45 lakh. If it was a genuine error of 2024-25, its correction belongs in the current year's Statement of Profit and Loss as a disclosed prior period item, not in revenue.

(b) Inventory: a misstatement indicated. The claim shows that ₹2.30 crore of the opening inventory had been spoiled before 31 March 2025, so reliance on the audited closing balance is no longer enough. Carried at cost, the spoiled stock overstates opening inventory and so overstates 2025-26 cost of goods sold by ₹2.30 crore, more than five times materiality. Iyer & Associates should examine the claim, the insurer's survey and the count records, and determine the effect on the current period.

(c) The term loan. For long-term debt, evidence about the opening balance may be obtained by examining the accounting records and other information underlying it, and through confirmation with the bank (SM 4.90).

Effect on the report. Iyer & Associates should communicate the misstatements in (a) and (b) to management and those charged with governance. If they are not properly accounted for or adequately presented and disclosed, they would lead to a qualified opinion or, if pervasive, an adverse opinion under SA 705. If sufficient appropriate audit evidence cannot be obtained about any opening balance, the opinion would be qualified or disclaimed (SM 4.91).

Worked example **Pinky's turmeric that was never there**

Mehra Masala Traders, a partnership firm, appoints Iyer & Associates for its first audit, for 2025-26; its 2024-25 financial statements were not audited, and nobody counted the stock on 31 March 2025. Iyer & Associates attended the count on 31 March 2026. Turmeric is the main item:

Turmeric	Quantity (kg)
Counted on 31 March 2026	18,400
Sold during 2025-26	2,26,000
Purchased during 2025-26	2,30,500
Opening stock per the firm's records	16,200

Opening turmeric is valued at ₹180 per kg, which agrees with March 2025 purchase invoices; the other opening items reconcile. The draft Statement of Profit and Loss shows sales ₹4,20,00,000, purchases ₹3,40,00,000, opening inventory ₹46,00,000, closing inventory ₹52,00,000 and other expenses ₹58,00,000. Materiality is ₹1,40,000.

Required:

(i) State the procedures that give evidence about the opening inventory here.

(ii) Compute any difference in the opening turmeric and its effect on the 2025-26 Statement of Profit and Loss.

(iii) Pinky refuses to show the difference as a prior period item: "The net profit does not change, na?" Advise Iyer & Associates on their report.

MODEL ANSWER

(i) Procedures. As per SA 510, in the case of inventories the current period's audit procedures on the closing inventory provide little audit evidence regarding inventory on hand at the beginning of the period, so additional procedures may be necessary: observing a current physical inventory count and reconciling it to the opening inventory quantities; performing audit procedures on the valuation of the opening inventory items; and performing audit procedures on gross profit and cut-off. Since the prior period was not audited, there is no predecessor's work to peruse: the evidence must come from this year's procedures and specific procedures on the opening balances.

(ii) Working note: rolling the count back to 1 April 2025

Turmeric	kg
Counted on 31 March 2026	18,400
Add: sold during the year	2,26,000
Less: purchased during the year	2,30,500
Opening stock supported by the roll-back	**13,900**
Opening stock per records	16,200
Difference	**2,300**

Value of the difference: 2,300 kg × ₹180 = **₹4,14,000**, against materiality of ₹1,40,000: material.

Statement of Profit and Loss, 2025-26 (₹)	As drafted	Corrected
Sales	4,20,00,000	4,20,00,000
Cost of goods sold	3,34,00,000	3,29,86,000
Gross profit	86,00,000	90,14,000
Other expenses	58,00,000	58,00,000
Profit before prior period item	28,00,000	32,14,000
Prior period item: opening stock overstated	–	(4,14,000)
Net profit	**28,00,000**	**28,00,000**

Cost of goods sold as drafted = 46,00,000 + 3,40,00,000 − 52,00,000. Corrected opening inventory = 46,00,000 − 4,14,000 = 41,86,000. The opening stock overstatement belongs to 2024-25 but has passed through this year's cost of goods sold, understating this year's gross profit (20.48% of sales instead of 21.46%) by ₹4,14,000.

(iii) Relevant provision. As per SA 510, the auditor determines whether, when appropriate, adjustments to the prior period's closing balances have been disclosed as prior period items in the current year's Statement of Profit and Loss. If the opening balances contain a misstatement that materially affects the current period's financial statements, and its effect is not properly accounted for or not adequately presented or disclosed, the auditor shall express a qualified opinion or an adverse opinion, as appropriate, in accordance with SA 705.

Analysis. Net profit is unchanged, but this year's results are misstated by ₹4,14,000, nearly three times materiality, and the prior period item is not disclosed. The effect is confined to cost of goods sold and gross profit: material, not pervasive.

Conclusion. If the firm does not present the difference as a prior period item, Iyer & Associates should express a **qualified opinion**, describing and quantifying the matter in the Basis for Qualified Opinion section. Since the prior period was not audited, the report should also state in an Other Matter paragraph that the corresponding figures are unaudited (SA 710); that statement does not relieve the auditor of the evidence on opening balances obtained above.

Exam angle

In the exam

Where SA 510 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 510 was asked 8 times in 7 new-scheme documents:

- **The new auditor who relies on the predecessor**, 4 or 5 marks: MTP September 2025 Series II Q1(c) (4 marks); MTP May 2026 Series II Q3(a) (5 marks: examine the approach, state the procedures). The Study Material's own Test Your Knowledge has the same case (Q8, SM 4.125).
- **Procedures to verify opening balances**: RTP May 2024 Q9 (also the old-scheme May 2022 paper, Q3(c), 3 marks); inventory only, MTP May 2024 Series II Q2(c) (3 marks).
- **Factors deciding the nature and extent**: MTP January 2026 Series II Q4(a) (5 marks, a predecessor's qualification on receivables); MTP September 2026 Series II Q2(c) (4 marks).
- **Objective**: RTP January 2026 Q13 (a partnership firm whose prior year was unaudited).
- **MCQ**: MTP May 2026 Series II MCQ 10 (first year, no predecessor working papers, a policy change: obtain evidence on opening balances and consistency of policies).

In the exam

How the marks are earned

ICAI's suggested answers open with the definition of an initial audit engagement (both limbs), apply it to the facts ("since the previous year's financial statements were audited by another auditor, the present engagement is an initial audit engagement"), then reproduce the (a), (b), (c)(i)–(iii) procedure in the Standard's words, including the opening line about reading the predecessor's report. Reporting questions are marked on the pairs: **qualified or disclaimer** for missing evidence, **qualified or adverse** for a misstatement or inconsistent policies.

Trick

Carried, consistent, corroborated

(a) **Carried** forward correctly; (b) **consistent**, appropriate policies; (c) **corroborated** by one or more of "read, reuse, run": read the predecessor's audited statements, reuse this year's evidence, run specific procedures. Condition: (a) and (b) are always required; (c) needs at least one of its three, and "read" exists only where the prior year was audited.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 510, an initial audit engagement is...", both limbs, then the requirement the case needs (objective, the (a)–(c) procedure, the factors, or the reporting pair).
2. **Facts of the case**: who audited last year, or that nobody did; which balances are significant; any modified predecessor opinion.
3. **Analysis**: is it an initial engagement? Which procedure gives evidence for each balance? Is there missing evidence, a misstatement, or a policy problem?
4. **Conclusion**: "Hence, the approach of ... is not correct", or the opinion: qualified or disclaimer; qualified or adverse.

"Distinguish: prior period not audited vs audited by a predecessor"

Point	Prior period not audited	Predecessor audited it
Initial audit engagement?	Yes	Yes
Procedure (c)(i) available?	No	Yes: peruse the audited statements and schedules
Evidence mainly from	This year's procedures and specific procedures	Predecessor's statements, then this year's procedures
Other Matter paragraph (SA 710, corresponding figures)	States that the corresponding figures are unaudited	Only if law permits a reference to the predecessor's report and the auditor decides to make it

Three answers to "the new auditor relied on the predecessor"

Loses marks

"Not correct, because the auditor must verify opening balances."

Right conclusion, no definition, no procedure.

Passes

Defines an initial audit engagement, applies it to the facts, concludes "not correct".

The procedure is missing.

Full marks

Definition with both limbs; facts applied; reading the predecessor's report; the (a), (b), (c)(i)–(iii) procedure; conclusion.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's borrowed tick

"Audited by the predecessor, so no work." **Fix:** an engagement after a predecessor is an initial audit engagement by definition. Perusing the predecessor's audited statements is one way to get evidence, inside procedure (c); it is not an exemption from (a), (b) and (c).

⚠ **Common mistake**

The closing count that "proves" opening stock

Using the 31 March 2026 count as evidence of 1 April 2025 stock. **Fix:** this year's closing inventory procedures give little evidence of opening inventory; reconcile the current count back to opening quantities, test opening valuation, and test gross profit and cut-off.

⚠ **Common mistake**

Mixing up the reporting pairs

Writing "adverse" for missing evidence, or "disclaimer" for a known misstatement. **Fix:** missing evidence: qualified or disclaimer. Misstatement, or inconsistent policies: qualified or adverse.

⚠ **Common mistake**

The new partner who thought the audit was "initial"

A new engagement partner at Iyer & Associates takes over a client the firm audited last year and calls it an initial audit engagement. **Fix:** a predecessor auditor is one "from a different audit firm". If the same firm audited the prior period, there is no predecessor auditor and no initial audit engagement; it is initial only if the prior period was unaudited or audited by another firm.

Practice

Check yourself

1 Case scenario. Kesar's Tapri acquires Bhopal Rusk Co. Pvt Ltd in 2025-26. Its 2024-25 accounts were audited by CA Nitin Rao; Iyer & Associates are appointed for 2025-26. Bunty finds that the opening receivables of ₹2.10 crore were all collected by June 2025 and that the predecessor's report was unmodified. Which of the following is correct?

- A It is not an initial audit engagement, because the prior period was audited
- B The predecessor's unmodified report is sufficient appropriate audit evidence for all opening balances, so no procedures are needed
- C It is an initial audit engagement; the collections are evidence about the opening receivables, but opening inventory and other balances still need evidence under SA 510
- D Opening receivables must be confirmed again with each debtor as at 1 April 2025, since collections give no evidence

2 Which of the following is NOT one of the matters on which the nature and extent of audit procedures for opening balances depend?

- A The accounting policies followed by the entity
- B The significance of the opening balances relative to the current period's financial statements
- C Whether the predecessor auditor's opinion was modified
- D The audit fee agreed with the entity for the current year

3 In a first audit, the auditor concludes that the entity changed its inventory valuation method this year without properly accounting for or disclosing the change, and the effect is material but not pervasive. The opinion should be:

- A Disclaimer of opinion
- B Qualified opinion
- C Unmodified opinion with an Other Matter paragraph
- D Adverse opinion, whatever the size of the effect

4 Select all the procedures SA 510 lists for opening inventory when the current period's closing procedures give little evidence.

- **A** Observing a current physical inventory count and reconciling it to the opening inventory quantities
- **B** Performing audit procedures on the valuation of the opening inventory items
- **C** Performing audit procedures on gross profit and cut-off
- **D** Obtaining a written representation from management in place of other procedures

More than one answer may be right.

5 An auditor cannot obtain sufficient appropriate audit evidence about opening balances, and the possible effects could be material and pervasive. Which opinion?

- **A** Adverse opinion
- **B** Qualified opinion
- **C** Disclaimer of opinion
- **D** Unmodified opinion with an Emphasis of Matter paragraph

Answers: the answer key at the end of this lesson.

Recap

- Initial audit engagement: the prior period was not audited, or was audited by a predecessor auditor (from a different audit firm).
- Opening balances: balances at the start of the period, built from last year's closing balances and policies, including contingencies and commitments existing then.
- Objective: evidence whether opening balances contain misstatements that materially affect this year, and whether policies are consistently applied or changes properly accounted for and disclosed.
- Procedure: read the latest statements and predecessor's report; then (a) brought forward correctly, (b) appropriate policies, (c) one or more of: peruse audited statements, use this year's procedures, perform specific procedures.
- Nature and extent depend on: policies; nature of balances and risks; significance of opening balances; whether audited and whether the predecessor's opinion was modified.
- Receivables and payables: this year's collections and payments. Inventory: current count rolled back, valuation, gross profit and cut-off. Non-current items: underlying records; confirmations for long-term debt and investments.
- Reporting: no evidence: qualified or disclaimer; misstatement not properly dealt with, or policies inconsistent: qualified or adverse.
- Misstatements found: additional procedures, then communicate to management and those charged with governance. (Read the meter on moving day.)

Answer key · Check yourself

1 **C It is an initial audit engagement; the collections are evidence about the opening receivables, but opening inventory and other balances still need evidence under SA 510**

The prior period was audited by an auditor from a different firm: an initial audit engagement. Collections during the year give some evidence of existence, rights and obligations, completeness and valuation of opening receivables; inventory needs its own procedures.

2 **D The audit fee agreed with the entity for the current year**

SA 510 lists the accounting policies, the nature of the balances and the risks of material misstatement, the significance of the opening balances, and whether the prior period was audited (and the predecessor's opinion modified). The fee is not one of them.

3 **B Qualified opinion**

A change in accounting policies not properly accounted for or disclosed leads to a qualified or adverse opinion under SA 705; with material but not pervasive effects, qualified.

4 **A Observing a current physical inventory count and reconciling it to the opening inventory quantities**; **B Performing audit procedures on the valuation of the opening inventory items**; **C Performing audit procedures on gross profit and cut-off**

The three listed procedures are the Study Material's (SM 4.90). A written representation does not replace evidence.

5 **C Disclaimer of opinion**

Missing evidence leads to qualified or disclaimer; pervasive possible effects make it a disclaimer. Adverse is for a known misstatement.

4.9 SA 550: related parties

Who counts as a related party, why some related party transactions carry a higher risk of material misstatement, and what SA 550 asks the auditor to inquire about, understand and inspect.

In plain words

The family rate

Bunty is testing Tapri Tea Co. Ltd's purchases for 2025-26 and finds three things. Tapri buys its chai masala from Mehra Masala Traders, the firm run by Kesar's cousin Pinky, at ₹340 a kilo when other suppliers quote ₹300. Chai Junction Distributors, run by Kesar's brother-in-law, uses a Tapri warehouse and pays no rent. And Tapri's two subsidiaries borrow from Tapri without any written terms.

> **Bunty:** Ma'am, is this fraud?
>
> **Lakshmi:** Not by itself, Bunty. Families do business. The question is whether the accounts tell the reader who the family is and what the deals were.
>
> **Kesar:** Pinky is family. The family rate is a gesture of love.
>
> **Lakshmi:** Then the notes to accounts will be a love letter, Kesar-ji. With amounts.

A **related party** is someone close enough to the entity to bend its decisions, or to have its decisions bent for them: a person or entity that controls or significantly influences the entity, an entity the entity itself controls or influences, or one under common control with it. **Related party transactions** are the deals between them.

Most such deals are ordinary business and carry no more risk than any other. But some are riskier: they may not be at normal market terms (Pinky's ₹40 a kilo extra, or a warehouse for free), they may run through tangled structures, or the accounting system may simply not notice them. The financial statements must identify, account for and disclose them as the reporting framework requires, and the auditor has to find them first.

So the auditor asks management who the related parties are, how they are related and what was done with them; learns what controls management has for identifying and approving such deals; and keeps an eye open for undisclosed relationships while reading documents throughout the audit.

Think of it like

The selector's nephew

When a selector's nephew makes the team, nobody assumes he cannot bat. But the scorecard should say who his uncle is, and the committee should check his runs twice. Most such selections are fair. The dangerous ones are those nobody mentions, which is why the first job is to find out who is whose nephew.

Key idea

A related party transaction is not wrong in itself. The risk is that it is hidden, or not on normal terms; so the auditor first identifies the relationships, then tests and checks the disclosure of the transactions.

How it works

1. Scope

SA 550, "Related Parties", deals with the auditor's responsibilities regarding related party relationships and transactions when performing an audit of financial statements. Specifically, it applies in relation to risks of material misstatement associated with related party relationships and transactions (SM 4.92).

2. Who is a related party

Definition

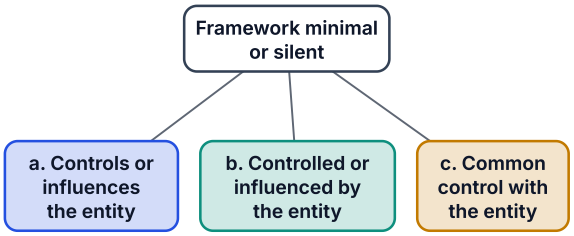
Related party

A party that is either (SM 4.92):

- (i) a related party as defined in the applicable financial reporting framework; or
- (ii) where the applicable financial reporting framework establishes minimal or no related party requirements:
  - a. a person or other entity that has control or significant influence, directly or indirectly through one or more intermediaries, over the reporting entity;
  - b. another entity over which the reporting entity has control or significant influence, directly or indirectly through one or more intermediaries; or
  - c. another entity that is under common control with the reporting entity through having: (i) common controlling ownership; (ii) owners who are close family members; or (iii) common key management.

However, entities that are under common control by a state (i.e., a national, regional or local government) are not considered related unless they engage in significant transactions or share resources to a significant extent with one another.

Route (ii): who is related when the framework is silent



Route (i), the framework's own definition, comes first; this tree applies only where the framework sets minimal or no related party requirements. Under c, common control comes through common controlling ownership, owners who are close family members, or common key management; entities controlled by the same state are not related unless they transact or share resources significantly.

3. Control and significant influence

Many financial reporting frameworks explain that (SM 4.93):

> **Definition**
>
> **Control**
>
> The power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

> **Definition**
>
> **Significant influence**
>
> The power to participate in the financial and operating policy decisions of an entity, but not control over those policies. It may be gained by share ownership, statute or agreement.

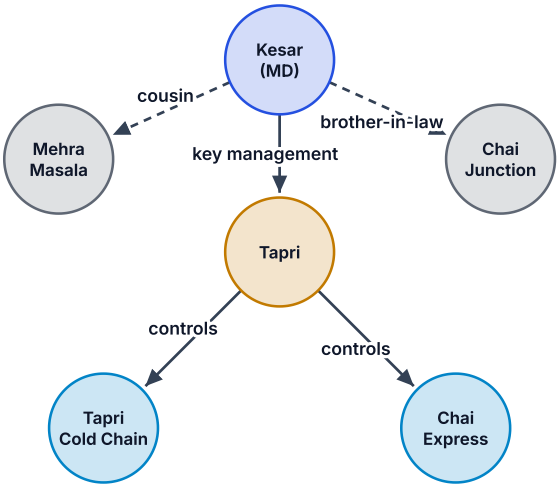
The existence of the following relationships may indicate the presence of control or significant influence (SM 4.93):

- (i) direct or indirect equity holdings or other financial interests in the entity;
- (ii) the entity's holdings of direct or indirect equity or other financial interests in other entities;
- (iii) being part of those charged with governance or key management (those members of management who have the authority and responsibility for planning, directing and controlling the activities of the entity);
- (iv) being a close family member of any person referred to in (iii);
- (v) having a significant business relationship with any person referred to in (iii).

4. Dominant influence and special-purpose entities

Related parties, by virtue of their ability to exert control or significant influence, may be in a position to exert **dominant influence** over the entity or its management; considering such behaviour is relevant when identifying and assessing the risks of material misstatement due to fraud (SM 4.93). A **special-purpose entity** may be a related party because the entity may in substance control it, even if the entity owns little or none of its equity (SM 4.94).

Tapri's related-party map, as Bunty first draws it



Solid edges: Kesar's place in key management, which may indicate control or significant influence (SM 4.93), and Tapri's control of its two subsidiaries (limb b of the definition). Dashed edges: family links of key management; whether those firms are related parties is decided by the applicable financial reporting framework's definition, so the auditor inquires and finds out rather than assumes either way.

5. Why some related party transactions are riskier

Many related party transactions are in the normal course of business. In such circumstances, they may carry no higher risk of material misstatement of the financial statements than similar transactions with unrelated parties. However, the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks of material misstatement than transactions with unrelated parties. For example (SM 4.94):

- (A) Related parties may operate through an extensive and complex range of relationships and structures, with a corresponding increase in the complexity of related party transactions.
- (B) Information systems may be ineffective at identifying or summarising transactions and outstanding balances between an entity and its related parties.
- (C) Related party transactions may not be conducted under normal market terms and conditions; for example, some related party transactions may be conducted with no exchange of consideration.

6. Understanding the entity's related party relationships and transactions

Inquiries of management. The auditor shall inquire of management regarding (SM 4.94–4.95):

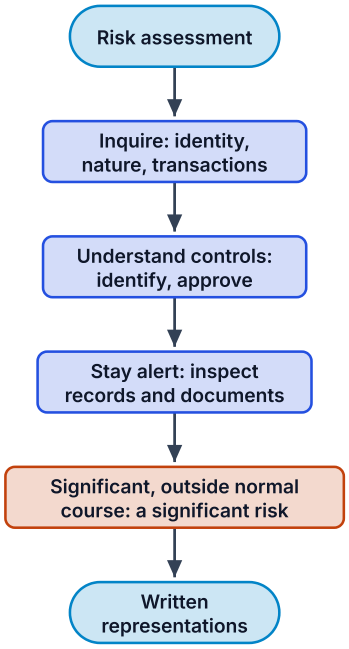
- (a) the identity of the entity's related parties, including changes from the prior period;
- (b) the nature of the relationships between the entity and these related parties; and
- (c) whether the entity entered into any transactions with these related parties during the period and, if so, the type and purpose of the transactions.

Understanding controls. The auditor shall inquire of management and others within the entity, and perform other risk assessment procedures considered appropriate, to obtain an understanding of the controls, if any, that management has established to (SM 4.95):

- (a) identify, account for, and disclose related party relationships and transactions in accordance with the applicable financial reporting framework;
- (b) authorise and approve significant transactions and arrangements with related parties; and
- (c) authorise and approve significant transactions and arrangements outside the normal course of business.

Staying alert. During the audit, the auditor should maintain alertness for related party information while reviewing records and documents (SM 4.96). The records listed in section 8 below are where it turns up.

What the auditor does about related parties



The first three steps are SA 550's (SM 4.94–4.96). Significant related party transactions outside the normal course of business are always significant risks under SA 315 (SM 3.42), and SA 580 asks for written representations on related parties (SM 7.37).

7. Smaller entities

The control environment in smaller entities is likely to be different from larger entities. Those charged with governance may not include an outside member, and the role of governance may be undertaken directly by the owner-manager where no other owner exists. Control activities are likely to be less formal, and there may be no documented processes for dealing with related party relationships and transactions. An owner-manager may mitigate some of the risks, or potentially increase them, through active involvement in all the main aspects of the transactions. For such entities the auditor may obtain the understanding through inquiry of management combined with

other procedures, such as observation of management's oversight and review activities, and inspection of available relevant documentation (SM 4.95–4.96).

8. Records that reveal related parties

Reproduce at least ten of these: ICAI asks for the list. The auditor may inspect the following records or documents that may provide information about related party relationships and transactions (SM 4.96):

1. Entity income tax returns.
2. Information supplied by the entity to regulatory authorities.
3. Shareholder registers to identify the entity's principal shareholders.
4. Statements of conflicts of interest from management and those charged with governance.
5. Records of the entity's investments and those of its pension plans.
6. Contracts and agreements with key management or those charged with governance.
7. Significant contracts and agreements not in the entity's ordinary course of business.
8. Specific invoices and correspondence from the entity's professional advisors.
9. Life insurance policies acquired by the entity.
10. Significant contracts re-negotiated by the entity during the period.
11. Internal auditors' reports.
12. Documents associated with the entity's filings with a securities regulator (e.g., prospectuses).

Worked examples

Worked example **The LLP Tapri says it barely owns**

In 2025-26 Tapri contributed ₹5 lakh, 1% of the capital, to Sigdi Ventures LLP; the other 99% was contributed by Kesar's nephew, Arjun Mehra, its designated partner. Sigdi's only business is running Tapri's delivery fleet, and Tapri decides its routes, prices and staffing. Tapri also advanced Sigdi ₹4.50 crore, free of interest and with no repayment date. Kesar says: "We own 1%. Sigdi is not a related party, so Note 38 needs nothing about it."

Required: Advise Iyer & Associates under SA 550 on (i) whether Sigdi Ventures LLP may be a related party of Tapri, and (ii) the inquiries and other procedures they should perform.

MODEL ANSWER

(i) Relevant provision. As per SA 550, "Related Parties", a related party is a party that is a related party as defined in the applicable financial reporting framework or, where the framework establishes minimal or no requirements, a person or entity that has control or significant influence over the reporting entity, another entity over which the reporting entity has control or significant influence, or another entity under common control with it (SM 4.92). Control is the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities; relationships that may indicate control or significant influence include financial interests in other entities, being part of key management, and being a close family member of key management (SM 4.93). In some circumstances, a special-purpose entity may be a related party because the entity may in substance control it, even if the entity owns little or none of its equity (SM 4.94).

Facts and analysis. Tapri owns 1% but decides Sigdi's routes, prices and staffing, which is the power to govern its operating and financial policies, and funds it with ₹4.50 crore; the other 99% belongs to the managing director's nephew. Sigdi may therefore be a related party in substance, and Kesar's 1% test is not decisive. The advance, with no interest and no repayment date, is not on normal market terms: such transactions may give rise to higher risks of material misstatement (SM 4.94). And related parties able to exert dominant influence over the entity or its management are relevant when assessing the risks of material misstatement due to fraud (SM 4.93–4.94).

(ii) Inquiries and procedures. Iyer & Associates shall inquire of management regarding the identity of Tapri's related parties, including changes from the prior period; the nature of the relationships; and whether Tapri entered into transactions with them during the period and, if so, their type and purpose (SM 4.94–4.95). They shall also understand the controls management has established to identify, account for and disclose related party relationships and transactions; to authorise and approve significant transactions and arrangements with related parties; and to authorise and approve significant transactions and arrangements outside the normal course of business (SM 4.95). They should inspect the LLP agreement and the advance agreement (significant contracts not in the ordinary course of business), statements of conflicts of interest from management and those charged with governance, the board minutes approving the advance, and information supplied to regulatory authorities, staying alert for related party information throughout the audit (SM 4.96).

Conclusion. Kesar's view should not be accepted on the strength of the 1% holding. If the evidence shows that Tapri controls Sigdi in substance, the relationship, the advance and the fleet transactions must be identified, accounted for and disclosed in Note 38 as the framework requires.

Worked example **The family rate, in rupees**

In 2025-26 Tapri bought 2,00,000 kg of chai masala from Mehra Masala Traders at ₹340 per kg; unrelated suppliers quoted ₹300 per kg for the same grade. Chai Junction Distributors used a Tapri warehouse all year without paying rent; similar warehouses let for ₹2,50,000 a month. Sales to nine distributor LLPs set up by Kesar's relatives are recorded as sales to ordinary customers, because Tapri's ERP has no related party flag. Under the applicable financial reporting framework, Mehra Masala Traders, Chai Junction Distributors and the nine LLPs are related parties of Tapri. Overall materiality is ₹1.50 crore.

Required:

(i) Compute how far the masala purchases and the warehouse arrangement depart from market terms.

(ii) Comment on Bunty's view that "₹1.10 crore is below materiality, so nothing to do".

(iii) How should Iyer & Associates identify the sales to the nine LLPs, and any other related party transactions, when Tapri's ERP cannot flag them?

MODEL ANSWER

(i) Working note

Item	Amount (₹)
Masala paid: 2,00,000 kg × ₹340	6,80,00,000
At market: 2,00,000 kg × ₹300	6,00,00,000
Paid above market	**80,00,000**
Warehouse rent forgone: ₹2,50,000 × 12	**30,00,000**
Total departure from market terms	**1,10,00,000**

(ii) Bunty's view is not correct. ₹1.10 crore is below overall materiality of ₹1.50 crore, but materiality is not only a number: for classes of transactions such as related party transactions, where law, regulation or the financial reporting framework affects users' expectations about measurement or disclosure, misstatements of lesser amounts may reasonably be expected to influence users' decisions (SA 320). Related party transactions not conducted under normal market terms, including one with no exchange of consideration, may also give rise to higher risks of material misstatement (SM 4.94). The auditor should evaluate whether these relationships and transactions are identified, accounted for and disclosed as the framework requires.

(iii) Identifying the LLP sales. Information systems that are ineffective at identifying or summarising transactions and outstanding balances with related parties are themselves a reason for higher risk (SM 4.94), so the work cannot rely on the ERP. Iyer & Associates shall inquire of management about the identity of the related parties, the nature of the relationships and the type and purpose of the transactions, and understand the controls (here largely manual) for identifying, accounting for and disclosing them (SM 4.94–4.95). With the names of the nine LLPs, they can match the customer master and the sales and receivables ledgers to that list. To find any parties management has not named, they should inspect records such as the shareholder register, statements of conflicts of interest from management and those charged with governance, contracts with key management, significant contracts not in the ordinary course of business, the entity's income tax returns and information supplied to regulators, and stay alert for related party information throughout the audit (SM 4.96).

Exam angle

In the exam

Where SA 550 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 550 was asked 8 times in 8 new-scheme documents, plus an old-scheme paper:

- **Records or documents that reveal related parties**, 5 marks: MTP September 2024 Series I Q6(b); MTP May 2025 Series II Q6(a); MTP September 2025 Series II Q3(a) ("list any ten"). As an MCQ: January 2025 MCQ 7, where "inventory records" is the suggestion that is not correct.
- **Inquiries of management and understanding controls**, 5 marks: MTP January 2026 Series II Q1(b) (a restructuring brings new related parties); September 2026 Q5(a) (transactions with no exchange of consideration; suggested answers not yet published).
- **Higher risks, with examples**, 4 marks: MTP September 2026 Series I Q3(c) ("do they always involve a higher risk?"); old-scheme November 2023 paper, Q3(d) (3 marks).
- **MCQ on documentation**: MTP September 2025 Series I MCQ 11 (what should not be documented: "transactions at close length basis").
- The Study Material's Test Your Knowledge adds an MCQ: many related party transactions mean a **higher** risk that management overrides controls (SM 4.122, answer (b)).

In the exam

The traps

- "Related party transactions always carry a higher risk" is wrong: ICAI's answer starts with "Many related party transactions are in the normal course of business..." and only then gives the three examples.
- "All entities under common control by a state are related parties" is wrong (old-scheme November 2019 Q1(c)).
- A list of records is marked item by item in ICAI's wording: "statements of conflicts of interest", "significant contracts re-negotiated", "life insurance policies acquired by the entity".

Trick

C-I-N for the higher-risk examples

Complex structures; **I**nformation systems that miss them; **N**ot at normal market terms (even no consideration). Condition: these are the Study Material's examples of when risk *may* be higher; open the answer by saying that transactions in the normal course may carry no higher risk.

Answer frame

"Explain the risks; do related party transactions always carry higher risk?"

1. **Normal course first**: many related party transactions are in the normal course of business and may carry no higher risk than similar transactions with unrelated parties.
2. **However**: the nature of related party relationships and transactions may, in some circumstances, give rise to higher risks.
3. **Three examples**, in ICAI's words: complex relationships and structures; information systems ineffective at identifying or summarising; not under normal market terms, some with no exchange

of consideration.

4. **Facts applied**: match each example to the case.
5. **Conclusion**: not always; here the risk is higher, so the auditor exercises professional skepticism and responds.

"What should the auditor inquire and understand?"

Inquire of management about	Understand controls to
(a) Identity of related parties, with changes from the prior period	(a) Identify, account for and disclose related parties and transactions
(b) Nature of the relationships	(b) Authorise and approve significant related party transactions
(c) Transactions in the period: type and purpose	(c) Authorise and approve significant transactions outside the normal course

Common mistakes

⚠ **Common mistake**

Hall of Shame: "related party means fraud"

Bunty flags every transaction with a subsidiary as suspicious. **Fix:** many related party transactions are in the normal course of business and carry no higher risk; the risk rises with complexity, weak information systems and non-market terms.

⚠ **Common mistake**

"Below materiality, so ignore it"

Fix: for related party transactions, users' expectations about disclosure may make smaller amounts material (SM 3.22); and the disclosure itself is what users rely on.

⚠ **Common mistake**

Taking management's list as the evidence

Fix: inquiry of management is the start, not the end. Understand the controls, then stay alert and inspect the records SA 550 lists; obtain written representations at the end.

⚠ **Common mistake**

Mixing the two lists of (a), (b), (c)

Students merge the three inquiries with the three control objectives. **Fix:** inquiries are about *who, how related, what transactions*; controls are about *identify and disclose, approve related party deals, approve deals outside the normal course*.

Practice

Check yourself

1 Case scenario. Iyer & Associates audit Indore Dairy Fresh Ltd. Its managing director's husband owns Kanha Cartons Pvt Ltd, which supplies all its packaging at the price list it gives every customer, through the dairy's normal purchase process. Bunty wants to assess every transaction with Kanha Cartons as a significant risk "because it is a related party". Which of the following is most appropriate?

- **A** Bunty is right: every related party transaction is a significant risk
- **B** Transactions in the normal course of business on normal terms may carry no higher risk; the auditor identifies the relationship, considers the controls and checks that it is accounted for and disclosed as the framework requires
- **C** The relationship can be ignored because the prices are the same as for other customers
- **D** The auditor should disclaim an opinion because the managing director has an interest

2 Case scenario. Iyer & Associates suspect that Tapri's CFO has an interest in Saffron Packaging Pvt Ltd, a new supplier. Which record is most likely to show such a relationship directly?

- **A** The CFO's statement of conflicts of interest given to the board
- **B** The goods received notes for packaging bought from Saffron Packaging
- **C** The stock register for packaging materials
- **D** The arithmetic of Saffron Packaging's purchase invoices

3 Madhya Pradesh Water Works Ltd and Malwa Road Transport Corporation are both wholly owned by the same state government. They have no transactions with each other and share no resources. Under SA 550, are they related parties?

- **A** Yes: common control by any party makes entities related
- **B** No: entities under common control by a state are not related unless they engage in significant transactions or share resources to a significant extent
- **C** Yes, but only if one of them is listed
- **D** No: government companies are outside SA 550 altogether

4 Select all the matters about which SA 550 requires the auditor to inquire of management.

- **A** The identity of the entity's related parties, including changes from the prior period
- **B** The nature of the relationships between the entity and these related parties
- **C** Whether the entity entered into transactions with them during the period and, if so, their type and purpose
- **D** Whether the related parties' own financial statements have been audited

More than one answer may be right.

5 Under SA 550's definition, when the framework sets minimal requirements, which of the following is a related party of the reporting entity?

A A bank that has lent the entity a large term loan on normal terms

B A competitor in the same city

C An entity under common control with the reporting entity through common key management

D A customer that buys 15% of the entity's output on normal terms

Answers: the answer key at the end of this lesson.

Recap

- Related party: as defined in the framework; if the framework is minimal, a party that controls or significantly influences the entity, an entity it controls or influences, or one under common control (ownership, close family owners, key management).
- Entities under common control by a state are not related unless they transact or share resources significantly.
- Control: power to govern financial and operating policies to obtain benefits. Significant influence: power to participate in those decisions, not control; by share ownership, statute or agreement.
- Many related party transactions are normal and carry no higher risk; higher risk can arise from complex structures, ineffective information systems, or non-market terms (even no consideration).
- Inquire: identity (and changes), nature of relationships, transactions (type and purpose).
- Understand controls to: identify, account for and disclose; approve significant related party transactions; approve significant transactions outside the normal course.
- Stay alert while reviewing records: tax returns, regulatory filings, shareholder registers, conflict-of-interest statements, contracts with key management, unusual or re-negotiated contracts, internal audit reports.
- Significant related party transactions outside the normal course are always significant risks; obtain written representations. (Check the nephew's runs twice.)

Answer key · Check yourself

1 **B Transactions in the normal course of business on normal terms may carry no higher risk; the auditor identifies the relationship, considers the controls and checks that it is accounted for and disclosed as the framework requires**

SA 315 makes significant related party transactions outside the normal course of business always significant risks; a transaction in the normal course on normal terms may carry no higher risk than one with an unrelated party. It is still disclosed as the framework requires.

2 **A The CFO's statement of conflicts of interest given to the board**

Statements of conflicts of interest from management and those charged with governance are among the records the Study Material lists as sources of related party information (SM 4.96). Receipt notes, stock records and invoice arithmetic evidence the purchases themselves, not who stands behind the supplier.

3 **B No: entities under common control by a state are not related unless they engage in significant transactions or share resources to a significant extent**

The state-control exception applies; it would end if they transacted significantly or shared resources significantly.

4 **A The identity of the entity's related parties, including changes from the prior period; B The nature of the relationships between the entity and these related parties; C Whether the entity entered into transactions with them during the period and, if so, their type and purpose**

Those are the three inquiries (SM 4.94–4.95). The audit status of the related parties' own accounts is not one of them.

5 **C An entity under common control with the reporting entity through common key management**

Common control through common controlling ownership, owners who are close family members, or common key management makes an entity related. A lender, competitor or customer is not related merely by doing business.

4.10 SA 520: analytical procedures

How auditors test numbers against what they should be: the meaning and objectives of SA 520, its use at planning, testing and completion, the four requirements for substantive analytical procedures, and how to investigate a difference.

In plain words

Where did the milk go?

Tapri Tea Co. Ltd's 40 flagship cafés bought ₹8.10 crore of milk in 2025-26. Bunty is ready to vouch 2,400 milk bills. Lakshmi has a calculator instead.

> **Lakshmi:** How many cups did the cafés sell, Bunty?
>
> **Bunty:** 96 lakh, ma'am. The recipe card says 120 ml of milk a cup.
>
> **Lakshmi:** Then the milk should cost about ₹7 crore. Where did the other ₹1 crore go?
>
> **Kesar:** Customers like extra milk. Sab adjust ho jayega.

Lakshmi has not checked a single bill, yet she knows where to look. She built an **expectation** from a plausible relationship (cups sold × milk per cup × price) between **non-financial data** (cups, millilitres) and **financial data** (the price), compared it with the **recorded amount**, and found a difference too big to ignore. That is an **analytical procedure**.

The difference is not yet a misstatement. It is a question. Perhaps milk prices rose in the monsoon, perhaps the cafés waste more than the recipe card admits, perhaps someone is paying a milk vendor for milk that never came. The auditor asks management, then checks the answer against evidence, and does more work if the answer does not hold up.

Auditors use such procedures three times: at **planning** to spot risky areas, during **testing** as evidence in their own right (**substantive analytical procedures**), and at **completion** to check that the financial statements as a whole make sense.

Think of it like

The electricity bill at home

Your family knows roughly what the electricity bill should be: higher in May when the AC runs, lower in December. Nobody reads every unit on the meter. When the December bill doubles, you ask around first (did someone leave the geyser on?), and if the answers do not explain it, you check the meter. Expect, compare, investigate.

Key idea

An analytical procedure compares a recorded amount with what it should be, given a plausible relationship. Its power depends on how good the expectation is; and a significant difference must be investigated (inquiry, then corroborating evidence), never simply accepted or simply booked as an error.

How it works

1. What analytical procedures are

> **Definition**
>
> **Analytical procedures**
>
> Evaluations of financial information through analysis of plausible relationships among both financial and non-financial data. Analytical procedures also encompass such investigation as is necessary of identified fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount. (SM 4.98)

Routine checks cannot be depended on to disclose all mistakes or manipulation: in the Study Material's rent example, every monthly payment agrees with the rent agreement, and only a comparison with rents in similar locations reveals the inconsistency (SM 4.97–4.98).

Analytical procedures include **comparisons** of the entity's financial information with (SM 4.99–4.100):

- comparable information for prior periods;
- anticipated results of the entity, such as budgets or forecasts, or expectations of the auditor, such as an estimation of depreciation;
- similar industry information, such as the entity's ratio of sales to accounts receivable against industry averages or other entities of comparable size in the same industry.

They also include consideration of **relationships** (SM 4.100):

- among elements of financial information expected to conform to a predictable pattern based on the entity's experience, such as gross margin percentages;
- between financial information and relevant non-financial information, such as payroll costs to number of employees.

Methods range from simple comparisons to complex analyses using advanced statistical techniques, and may be applied to consolidated financial statements, components and individual elements of information (SM 4.100). The major types are: comparison of client and industry data; of client data with similar prior period data; with client-determined expected results; with auditor-determined expected results; and with expected results using non-financial data (SM 4.100–4.101).

2. Scope and objectives of SA 520

SA 520 deals with the auditor's use of analytical procedures as substantive procedures ("substantive analytical procedures"), and as procedures near the end of the audit that assist the auditor when forming an overall conclusion on the financial statements (SM 4.101). The objectives of the auditor are (SM 4.101):

- (a) to obtain relevant and reliable audit evidence when using substantive analytical procedures; and
- (b) to design and perform analytical procedures near the end of the audit that assist the auditor when forming an overall conclusion as to whether the financial statements are consistent with the

auditor's understanding of the entity.

Analytical procedures as risk assessment procedures at planning are dealt with under SA 315 (SM 3.13); SA 520 covers the other two uses.

3. Purpose, and the Study Material's "overall tests"

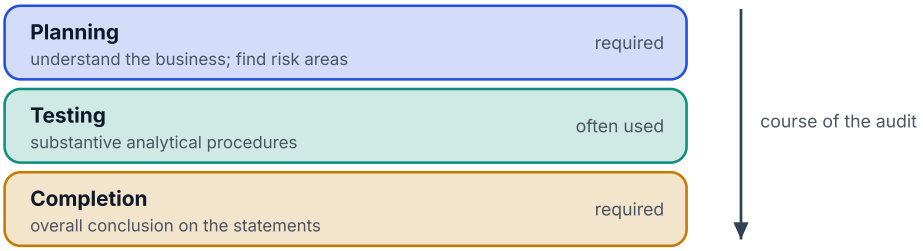
Analytical procedures use comparisons and relationships to assess whether account balances or other data appear reasonable (SM 4.101). They help detect an unusual state of affairs and mistakes: a fall in the gross profit ratio compared with the previous year calls for further enquiry, as it may be due to pilferage of inventories, misappropriation of a part of the sale proceeds, or a change in the cost of sales without a corresponding increase in the sales price (SM 4.102). The same "overall tests" extend to:

- inter-firm comparison (the Statement of Profit and Loss of another entity in the same trade under similar circumstances) and comparison with the previous period, to find reasons for changes in profit;
- expense ratios to sales compared with the previous year; if differences are material, the auditor ascertains the reasons and assesses whether the accounts have been manipulated to inflate or suppress profits;
- independent verification of items with a direct relationship: import cost from the ad-valorem duty paid, a sugar mill's quantity sold from the GST paid, a manager's commission from net profit, a selling agent's commission from sales (SM 4.102–4.104).

Unusual or unexpected relationships may help the auditor identify risks of material misstatement, especially risks due to fraud (SM 4.104).

4. Timing: planning, testing, completion

Analytical procedures through the audit (SM 4.104, 4.114)



Experienced auditors use analytical procedures in all stages of the audit (SM 4.104). Planning: understand the business, find areas of potential risk, plan the nature, timing and extent of other procedures. Completion: are the financial statements consistent with the auditor's understanding of the entity?

In planning, analytical procedures help the auditor understand the client's business and identify areas of potential risk, by indicating aspects and developments of which the auditor was unaware; this helps determine the nature, timing and extent of other procedures (SM 4.104).

5. Substantive analytical procedures, and when they fit

Substantive procedures at the assertion level may be tests of details, substantive analytical procedures, or a combination. The choice rests on the auditor's judgment of the expected effectiveness and efficiency of the available procedures in reducing audit risk at the assertion level to an acceptably low level. The auditor may inquire of management about the availability and reliability of the information needed, and may use analytical data prepared by management if satisfied it is properly prepared (SM 4.105). The factors to consider (SM 4.105–4.107):

Factor	What the Study Material says
Availability of data	Reliable and relevant data facilitates effective analytical procedures
Disaggregation	The degree of disaggregation in the data directly affects its usefulness in detecting misstatements
Account type	Income statement accounts tend to be more predictable (accumulated transactions over a period); balance sheet accounts are a net effect at a point in time or subject to more management judgment
Source	Numerous, similar, routine transactions (sales, purchases) are more predictable; non-routine and estimation transactions (research, advertisement) are harder to predict
Predictability	More appropriate when a balance or relationship is predictable (sales and cost of sales; receivables and cash receipts): one that may reasonably be expected to exist and continue over time
Nature of assertion	May be more effective for some assertions (completeness, valuation) than others (rights and obligations); predictive data analytics can address completeness, valuation or measurement and occurrence
Inherent risk, or "what can go wrong"	Higher inherent risk may call for tests of details; for significant risks, evidence solely from substantive analytical procedures is unlikely to be sufficient

6. The four techniques

Technique (SM 4.107–4.109)	What it is	Examples
Trend analysis	Comparison of current data with the prior period balance or a trend in two or more prior period balances	Salary over several years: an unusual increase may indicate payments to fake employees
Ratio analysis	Relationships between accounts; useful for asset and liability accounts as well as revenue and expense; compared over time, within the group or with the industry	Receivables or inventory turnover; freight as a percentage of sales; gross profit ratio
Reasonableness tests	Do not rely on prior periods but on non-financial data for the audit period; more applicable to income statement accounts and certain accruals or prepayments	Interest expense against interest-bearing obligations; raw material consumption to production; rental revenue from occupancy
Structural modelling	A statistical model built from financial and/or non-financial data of prior periods to predict current balances	Linear regression

7. The four requirements when performing them

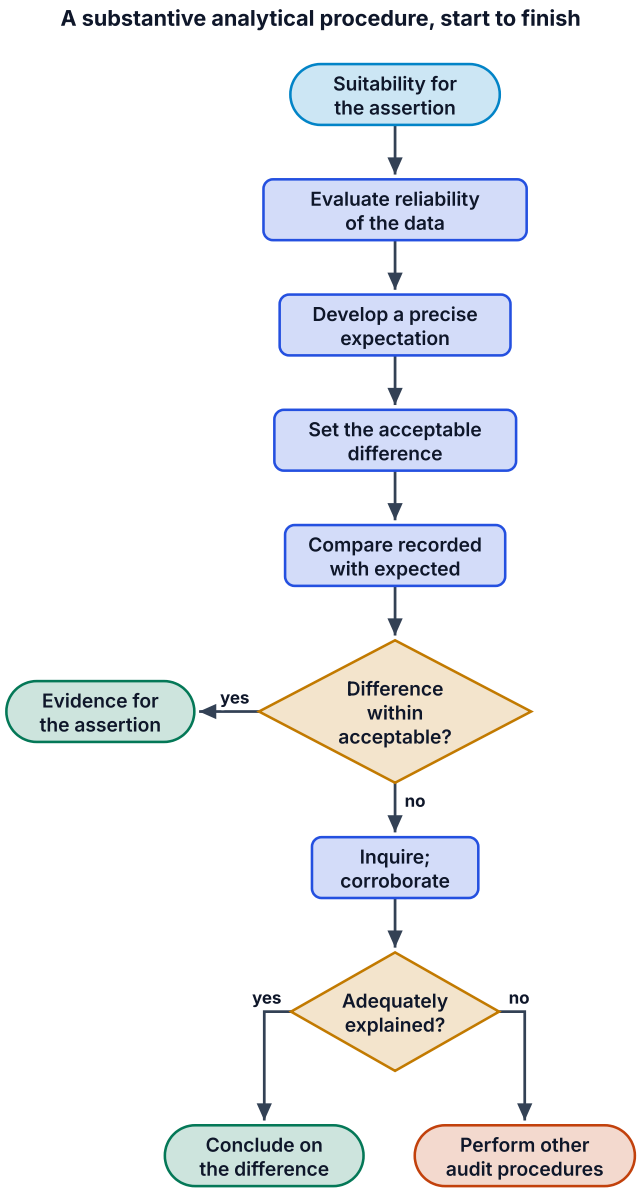
When designing and performing substantive analytical procedures, alone or with tests of details, as substantive procedures in accordance with SA 330, the auditor shall (SM 4.109–4.110):

1. **Determine the suitability** of particular substantive analytical procedures for given assertions, taking account of the assessed risks of material misstatement and tests of details, if any, for these assertions;

2. **Evaluate the reliability of data** from which the auditor's expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation;

3. **Develop an expectation** of recorded amounts or ratios and evaluate whether the expectation is sufficiently precise to identify a misstatement that, individually or when aggregated with other misstatements, may cause the financial statements to be materially misstated; and

4. **Determine the amount of any difference** of recorded amounts from expected values that is acceptable without further investigation.



The first four boxes are SA 520's four requirements; the last steps are its investigation requirement (SM 4.114). Green: the procedure gives evidence; orange: management cannot explain, or the explanation and its evidence are not adequate.

Suitability (SM 4.110–4.111). Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time; they assume relationships exist and continue in the absence of known conditions to the contrary; even an unsophisticated model may work (a known number of employees at fixed rates of pay can estimate total payroll with high accuracy, reducing tests of details). Different procedures give different assurance: predicting rental income from rates, number of apartments and vacancy rates can provide persuasive evidence and may eliminate the need for tests of details, provided the elements are verified; comparing gross margin percentages to confirm revenue gives less persuasive evidence, useful as corroboration. If controls over sales order processing are weak, more reliance goes on tests of details for receivables. A procedure may also be combined with tests of details on the same assertion: an analysis of the ageing of receivables alongside tests of subsequent cash receipts for valuation.

Reliability of data (SM 4.112–4.113). Relevant matters:

1. **Source**: information may be more reliable from independent sources outside the entity;
2. **Comparability**: broad industry data may need to be supplemented to be comparable to an entity that produces and sells specialised products;
3. **Nature and relevance**: for example, whether budgets have been established as results to be expected rather than as goals to be achieved;
4. **Controls over preparation** designed to ensure completeness, accuracy and validity, for example over the preparation, review and maintenance of budgets.

The auditor may test the operating effectiveness of controls over the information (controls over recording unit sales, tested with controls over sales invoicing), or consider whether the information was itself subjected to audit testing (SM 4.112–4.113; SA 500 on information produced by the entity).

Precision of the expectation (SM 4.113) depends on: (i) the accuracy with which expected results can be predicted (gross profit margins are more consistent than discretionary expenses such as research or advertising); (ii) the degree to which information can be disaggregated (sections of an operation or components of a diversified entity rather than the entity as a whole); (iii) the availability of financial and non-financial information (budgets, forecasts, units produced or sold), and its reliability.

Acceptable difference (SM 4.113–4.114) is influenced by materiality and consistency with the desired level of assurance. SA 330 requires more persuasive evidence the higher the assessed risk, so **as the assessed risk increases, the difference acceptable without investigation decreases**.

8. Investigating the results

If analytical procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant amount, the auditor shall investigate such differences by (SM 4.114):

- (i) **inquiring of management and obtaining appropriate audit evidence relevant to management's responses**, evaluating the responses against the auditor's understanding of the entity and other audit evidence; and
- (ii) **performing other audit procedures as necessary in the circumstances**, for example when management cannot explain, or the explanation with its evidence is not adequate.

9. The overall conclusion

Analytical procedures near the end of the audit are intended to corroborate conclusions formed on individual components or elements of the financial statements, helping the auditor draw reasonable conclusions on which to base the opinion. If they identify a previously unrecognised risk of material misstatement, SA 315 requires the auditor to revise the risk assessment and modify the further planned audit procedures (SM 4.114–4.115).

Worked examples

Worked example **Where did the milk go?**

Tapri's 40 flagship cafés recorded milk purchases of ₹8,10,00,000 for 2025-26. Iyer & Associates obtain:

- cups of chai sold, from the point-of-sale system (its controls over unit sales were tested along with sales invoicing): 96,00,000;
- milk per cup, from the standard recipe: 120 ml, with a normal wastage allowance of 5%;
- the milk supply contract rate: ₹58 a litre for the year.

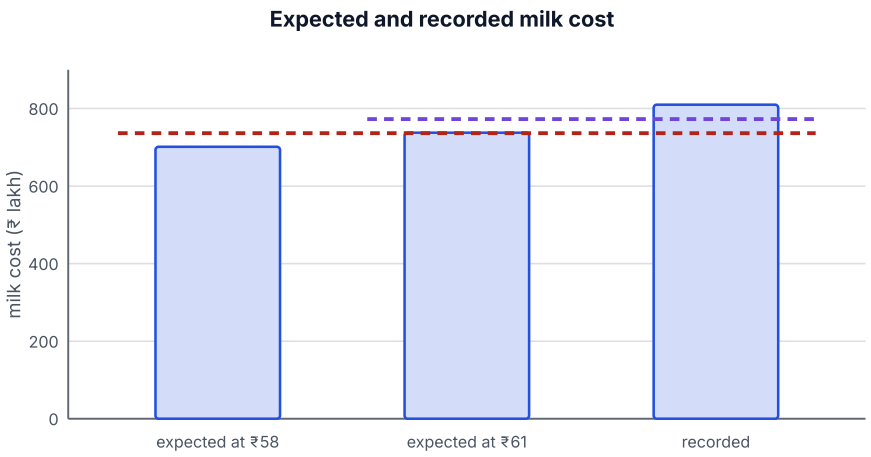
The acceptable difference without further investigation is set at ₹35,00,000.

Required:

(i) Compute the expected milk cost and the difference from the recorded amount.

(ii) Kesar explains that milk "cost more in the monsoon". Purchase records show an average of ₹61 a litre. Evaluate the explanation and state what the auditor should do next.

THE WORKING



Bars: expected at ₹58 (₹701.57 lakh), expected at ₹61 (₹737.86 lakh), recorded (₹810.00 lakh). Rose dashed line: expected at ₹58 plus the ₹35 lakh acceptable difference (₹736.57 lakh). Violet dashed line: expected at ₹61 plus the same ₹35 lakh (₹772.86 lakh). The recorded cost is above both.

(i) Expected litres = 96,00,000 cups × 0.120 litre × 1.05 = **12,09,600 litres**. Expected cost = 12,09,600 × ₹58 = **₹7,01,56,800**. Difference = ₹8,10,00,000 − ₹7,01,56,800 = **₹1,08,43,200**, 15.46% of the expectation and well above the acceptable ₹35,00,000. It must be investigated.

(ii) As per SA 520, the auditor shall investigate by inquiring of management and obtaining appropriate audit evidence relevant to management's responses, and by performing other audit procedures as necessary. At the evidenced average of ₹61, expected cost = 12,09,600 × ₹61 = ₹7,37,85,600; the remaining difference is ₹72,14,400, still above ₹35,00,000. The explanation accounts for only part of the difference. The auditor should perform other audit procedures: compare quantities invoiced with goods received notes at the cafés, test purchases from each vendor (especially any new vendor) with tests of details, examine wastage records against the 5% allowance, and evaluate whether the unexplained amount is a misstatement.

Worked example **Two cafés, one gross profit**

Tapri's two Indore cafés sell the same menu at the same prices:

Café	Year	Sales (₹ lakh)	Gross profit (₹ lakh)
Vijay Nagar	2024-25	360.00	223.20
Vijay Nagar	2025-26	380.00	193.80
Palasia	2024-25	310.00	192.20
Palasia	2025-26	330.00	204.60

Comment on what the auditor should infer and do, with reference to SA 520.

MODEL ANSWER

Relevant provision. As per SA 520, analytical procedures are evaluations of financial information through analysis of plausible relationships, and encompass investigation of fluctuations that are inconsistent with other relevant information or differ from expected values by a significant amount. A fall in the gross profit ratio may be due to pilferage of inventories, misappropriation of a part of the sale proceeds, or a change in the cost of sales without a corresponding increase in the sales price. The auditor shall investigate by inquiring of management, obtaining audit evidence relevant to the responses, and performing other procedures as necessary.

Facts and analysis. Gross profit ratios: Vijay Nagar 62.0% in 2024-25 and 51.0% in 2025-26; Palasia 62.0% in both years. At last year's ratio Vijay Nagar's gross profit would be ₹235.60 lakh, so ₹41.80 lakh is unexplained. A general rise in costs would have hit Palasia, with the same menu and prices, too: it did not. The relationship is inconsistent with other relevant information (intra-firm comparison).

Conclusion. The fall points to a cause specific to Vijay Nagar, such as pilferage of inventories, misappropriation of a part of the sale proceeds, or a rise in that café's cost of sales (wastage, a different supplier) not matched by its prices; the analytical procedure only signals where to look. The auditor should inquire of the café and regional management, corroborate the answers (stock records and physical count against consumption, daily cash and card collections against the point-of-sale record, discounts and complimentary items), extend tests of details there, and consider the implications for the risk of fraud and for controls at other cafés.

Worked example **Four sources for one expectation**

To develop an expectation of café chai revenue for 2025-26 as a substantive analytical procedure, Bunty considers four sources of data:

(a) cups sold, from the point-of-sale system, whose controls over the recording of unit sales the team tested this year, together with the controls over sales invoicing, and found operating effectively;

(b) the café managers' own monthly "cups sold" spreadsheets, kept by the managers whose bonuses depend on sales;

(c) the Tea Board's chai consumption statistics for Madhya Pradesh for calendar year 2025; and

(d) the board-approved 2025-26 budget, built café by café from the previous year's actual sales and approved prices, and described in the board minutes as "the results we expect".

Advise Bunty on whether each source can be relied on, with reference to SA 520.

MODEL ANSWER

Relevant provision. As per SA 520, the auditor shall evaluate the reliability of data from which the expectation of recorded amounts or ratios is developed, taking account of source, comparability, and nature and relevance of information available, and controls over preparation (SM 4.110). Information may be more reliable when obtained from independent sources outside the entity; broad industry data may need to be supplemented to be comparable; budgets are relevant when established as results to be expected rather than as goals to be achieved; and controls over the preparation of the information matter. When such controls are effective, the auditor generally has greater confidence in the reliability of the information (SM 4.112–4.113).

Analysis.

1. **(a) POS cups sold.** Internal, but the controls over recording unit sales were tested with those over invoicing and found effective, as SA 520 contemplates. It can be relied on.
2. **(b) Managers' spreadsheets.** Prepared outside any tested control by the very people whose bonuses depend on the sales being tested, and so open to bias. They should not be used unless their data is itself tested, for example agreed to the POS records.
3. **(c) Tea Board statistics.** An independent source, but for a different period (a calendar year, not Tapri's financial year) and for a whole state's consumption, not one chain's sales. Not comparable as they stand; at most a broad check after adjustment.
4. **(d) The budget.** Built as results to be expected from actuals and approved prices, not as goals to be achieved, so its nature suits an expectation. Its reliability still depends on the controls over its preparation and review, which the auditor should consider before relying on it.

Conclusion. Bunty should build the expectation on (a), may use (d) as a cross-check once the controls over its preparation are considered, should not use (b) without testing it, and should treat (c) as background only.

Exam angle

In the exam

Where SA 520 appeared

In the ICAI documents read for this lesson, analytical procedures were examined in 22 questions across 17 documents (9 new-scheme, 8 old-scheme past papers).

- **New scheme, descriptive 3 to 5 marks.** Rental income predicted from apartments, rent and vacancy: why it is a substantive analytical procedure, when such procedures are more applicable, and how they give persuasive evidence: MTP January 2026 Series I Q4(a) (5 marks). Reliability of data (aggressive budgets, general industry data, untested IT reports): MTP May 2026 Series II Q1(c) (4 marks). Purpose of analytical procedures with expense ratios: MTP September 2026 Series I Q1(c) (4 marks). Analytical procedures on the overall reasonableness of purchase quantity and price: May 2024 Q4(d) (3 marks), and November 2019 (old scheme) Q3(d); the May 2024 suggested answer is Chapter 5's list for purchases (consumption analysis, stock composition analysis, creditors and stock turnover ratios, quantitative reconciliation of stock; SM 5.103–5.104).
- **New scheme, MCQs.** Matching four procedures to trend, reasonableness, ratio and structural modelling: May 2026 MCQ 9. Hostel income from occupancy and fee as a reasonableness test, then investigating a variance: MTP May 2026 Series I MCQs 5–6. Receivables up 48% against credit sales up 12%: inquire, evaluate, perform further procedures: MTP September 2026 Series II MCQ 4. Salary compared over years and with employee numbers is a substantive analytical procedure: RTP January 2025 MCQ 2. Interpreting branch inventory turnover: MTP May 2024 Series I MCQ 2.3.
- **Old scheme, 3 marks each.** Techniques: January 2021 Q5(c). Investigating inconsistencies: July 2021 Q2(d), November 2023 Q5(c). Account type, predictability, nature of assertion: November 2020 Q2(d). Examples of relationships: November 2022 Q4(d). Reliability of data: May 2023 Q4(c), November 2019 Q4(d). Correct-or-incorrect statements on the definition, scope and timing: November 2019, May 2022, November 2022 and May 2023 Q1.

In the exam

How the marks are earned

Write the definition with "plausible relationships among both financial and non-financial data". In case questions, name the technique, state the investigation requirement in its two limbs (inquiry with corroborating evidence; other procedures) and conclude. Factor and reliability questions want the Study Material's list in order, each with its one-line example.

Trick

Trend looks back, reasonableness looks sideways

Trend analysis compares with **prior periods**. A **reasonableness test** uses **non-financial data of the same period** (rooms, rates, units) and ignores prior periods. **Ratio analysis** relates **one account to another**. **Structural modelling** fits a **statistical model** to past data. Holds for the Study Material's four techniques.

Answer frame

"Identifies inconsistencies: what should the auditor do?" (3 or 4 marks)

1. **Provision**: "As per SA 520, if analytical procedures identify fluctuations or relationships that are inconsistent with other relevant information or that differ from expected values by a significant

amount, the auditor shall investigate such differences by:"

2. **(i) Inquiry and evidence**: inquiring of management and obtaining appropriate audit evidence relevant to management's responses, evaluated against the auditor's understanding of the entity and other evidence.
3. **(ii) Other procedures**: performing other audit procedures as necessary, for example when management cannot explain or the explanation is not adequate.
4. **Application**: "In the given case, CA ... should ...".

"Distinguish trend analysis and reasonableness tests"

Point	Trend analysis	Reasonableness test
Basis	Prior period balances or a trend of several periods	Non-financial data for the audit period
Relies on past periods	Yes	No
Best for	Accounts that move in a pattern over time	Income statement accounts, certain accruals and prepayments
Example	Salary over five years	Interest expense against interest-bearing obligations

Common mistakes

⚠ **Common mistake**

Hall of Shame: booking the difference as the error

The milk is ₹1.08 crore over the expectation, so Bunty proposes a ₹1.08 crore adjustment. **Fix:** a difference is a signal, not a misstatement. Investigate first: inquiry with corroborating evidence, then other procedures.

⚠ **Common mistake**

Accepting "milk cost more in the monsoon"

Fix: management's response needs audit evidence; then re-test the expectation with it. The ₹61 rate still left ₹72 lakh unexplained.

⚠ **Common mistake**

"Analytical procedures are for planning only"

Fix: required at planning and at completion, and often used in testing (SM 4.104, 4.129).

⚠ **Common mistake**

"Substantive analytical procedures suit small volumes"

Fix: they are generally more applicable to large volumes of transactions that tend to be predictable over time; and for significant risks, evidence solely from them is unlikely to be sufficient (SM 4.107, 4.110).

Practice

Check yourself

1 Tapri's average interest-bearing borrowings for 2025-26 were ₹24 crore at 9.5% a year. What interest expense, in ₹ lakh, should the auditor expect?

Answer: _____

2 Case scenario. CA Ira Menon plans to use a substantive analytical procedure as the main evidence for the revenue of Sahyadri Event Halls Pvt Ltd, which hosts about 40 weddings a year, each priced separately after negotiation; the controls over its booking records are weak. Which is correct?

- **A** Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time; with a few separately negotiated events and weak controls, she should place more reliance on tests of details
- **B** A substantive analytical procedure suits this revenue well because it is material
- **C** A prediction from the number of weddings and the average price will be precise enough to replace tests of details
- **D** A substantive analytical procedure may replace tests of details whenever management gives a written representation

3 At which stages of an audit are analytical procedures used? Select all that apply.

- **A** Planning, to identify areas of potential risk
- **B** Testing, as substantive analytical procedures
- **C** Completion, to form an overall conclusion
- **D** Only after the auditor's report, to plan the next year

More than one answer may be right.

4 Substantive analytical procedures may be LEAST effective in providing evidence for which assertion?

- **A** Completeness
- **B** Valuation
- **C** Rights and obligations
- **D** Occurrence

5 The auditor's assessment of the risk of material misstatement for revenue rises from moderate to high. What happens to the difference acceptable without further investigation?

- **A** It increases, because more evidence will be gathered anyway
- **B** It decreases, because more persuasive evidence is required as assessed risk increases
- **C** It is unaffected; only materiality sets it
- **D** It becomes zero, so every difference is a misstatement

Answers: the answer key at the end of this lesson.

Recap

- Analytical procedures: evaluations of financial information through analysis of plausible relationships among both financial and non-financial data, including investigating significant or inconsistent fluctuations.
- Objectives: relevant and reliable evidence from substantive analytical procedures; an overall conclusion near the end on consistency with the auditor's understanding.
- Used at planning (required), testing (often), completion (required).
- Factors: availability of data, disaggregation, account type, source, predictability, nature of assertion, inherent risk.
- Techniques: trend analysis, ratio analysis, reasonableness tests, structural modelling.
- Four requirements: suitability; reliability of data; a sufficiently precise expectation; the acceptable difference (smaller as risk rises).
- Investigate: inquiry with evidence for the responses; other procedures as necessary. A new risk at completion means revising the assessment (SA 315). (Where did the milk go? Ask, then check.)

Answer key · Check yourself

1 **228**

₹24 crore × 9.5% = ₹2.28 crore = ₹228 lakh. A reasonableness test built from the period's own data.

2 **A Substantive analytical procedures are generally more applicable to large volumes of transactions that tend to be predictable over time; with a few separately negotiated events and weak controls, she should place more reliance on tests of details**

SA 520's suitability test looks at the nature of the transactions and the assessed risk: large volumes that are predictable over time suit substantive analytical procedures, and where controls are weak the auditor may place more reliance on tests of details (SM 4.110–4.111). Forty negotiated prices give no stable relationship from which a precise expectation can be built.

3 **A Planning, to identify areas of potential risk; B Testing, as substantive analytical procedures; C Completion, to form an overall conclusion**

Required at planning and completion, often used in testing (SM 4.104).

4 **C Rights and obligations**

The Study Material's example: more effective for completeness or valuation than for rights and obligations (SM 4.106–4.107).

5 **B It decreases, because more persuasive evidence is required as assessed risk increases**

SA 330 requires more persuasive evidence the higher the risk, so the acceptable difference decreases (SM 4.114).

4.11 Audit trail

What an audit trail (edit log) is, why entities and auditors value it, what it costs, and what the company auditor reports on accounting software with an audit trail feature under Rule 11.

In plain words

Who changed the discount at 11:52 pm?

On the night of 31 March, a sales voucher for a bulk order of Tapri premix shows a discount of ₹48,000. Bunty finds it while testing cut-off.

> **Bunty:** Ma'am, the bill says ₹4,800 discount, but the books say ₹48,000. Maybe a typing mistake?
>
> **Lakshmi:** Ask the software, not the people. Open the edit log.
>
> **Bunty:** *(scrolling)* Edited at 11:52 pm by a sales executive... and approved by the same login three minutes later.
>
> **Lakshmi:** Now it is not a typing mistake. It is a question with a name and a time on it.

That edit log is an **audit trail**: a step-by-step record that traces an entry in the books back to the bill it came from, with every change on the way: who, when, and what. For the entity it is a control: it discourages fraud and errors and shows who did what when something goes wrong. For the auditor it is evidence: did the controls actually work, and was the person who entered or approved a transaction allowed to?

A company's auditor also reports whether its accounting software has such a feature, whether it worked all year for all transactions, was not tampered with, and was preserved.

Think of it like

The CCTV over the cash counter

A shop's CCTV does not stop a cashier pocketing a note, but everyone behaves better knowing it records, and when the till is short the owner can rewind and see who opened the drawer at 9:14. Recordings take storage and someone has to watch them, so smart shops use software that flags the odd moments. An auditor trusts a shop with working, untouched recordings more than one whose camera was "off for repairs" last week.

Key idea

An audit trail is a documented flow of a transaction from the source document to the financial statements, with a record of system and user activity. It reduces fraud, material errors and unauthorised use, helps fix responsibility and rebuild events, and lets the auditor verify whether controls operated effectively and transactions were performed by authorised persons, which increases the reliability of audit evidence.

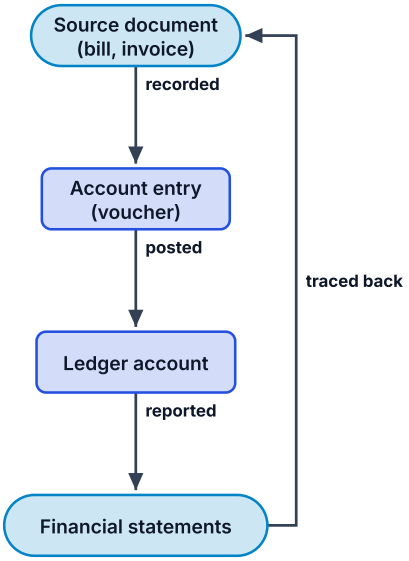
How it works

1. What an audit trail is

> **Definition**
>
> **Audit trail**
>
> An audit trail is a documented flow of a transaction. It is used to investigate how a source document was translated into an account entry and from there inserted into the financial statements of an entity. It is used as audit evidence to establish authentication and integrity of a transaction (SM 4.27–4.28).

It is a step-by-step record by which accounting, trade details or other financial data can be traced to their source, and it is used to verify and track many types of transactions, including accounting and financial transactions. Audit trails also maintain a record of **system and user activity**: in banks, for example, an audit trail keeps track of log-on activity, recording log-on attempts and the device used (SM 4.28).

Tracing a transaction both ways



The audit trail shows how a source document became an account entry and then a figure in the financial statements, and lets the auditor trace a figure back to its source, with every change logged on the way (SM 4.27–4.28).

2. Why an entity keeps one

Audit trails (or **audit logs**) act as record-keepers that document evidence of certain events, procedures or operations, because their purpose is to reduce fraud, material errors, and unauthorized use (SM 4.28). They:

- help to **enhance internal controls and data security**;
- help in **fixing responsibility**, for example by tracking the activities of users;
- help in **rebuilding events** when a problem occurs, and in thorough analysis of problem areas: audit trail analysis can specify the reason for the problem;

- help in ensuring the **operation of the system as intended**, and so help entities in their regular system operations (SM 4.28).

The cost. Audit trails involve costs: not only system expenditure but also the time involved in analysing the data they make available. Automated tools can be used to analyse the large volume of data thrown up by audit trails (SM 4.28; digital audit and data analytics).

3. Why the auditor values one

Systems which have a feature of audit trail `inspire confidence in auditors` (SM 4.28). An audit trail:

1. helps the auditor verify whether the **controls devised by management were operating effectively** or not;
2. aids in verifying whether a transaction was indeed **performed by a person authorised** to do it;
3. enhances data security and can be used by the auditor while performing audit procedures, thus **increasing the reliability of audit evidence** obtained (SM 4.28; SA 500).

The opposite case shows its value: for internal controls that **leave no audit trail**, the auditor must rely on inquiries about, and observation of, the controls, for example to determine who actually performs each function and not merely who is supposed to perform it (SM 3.53; testing internal control).

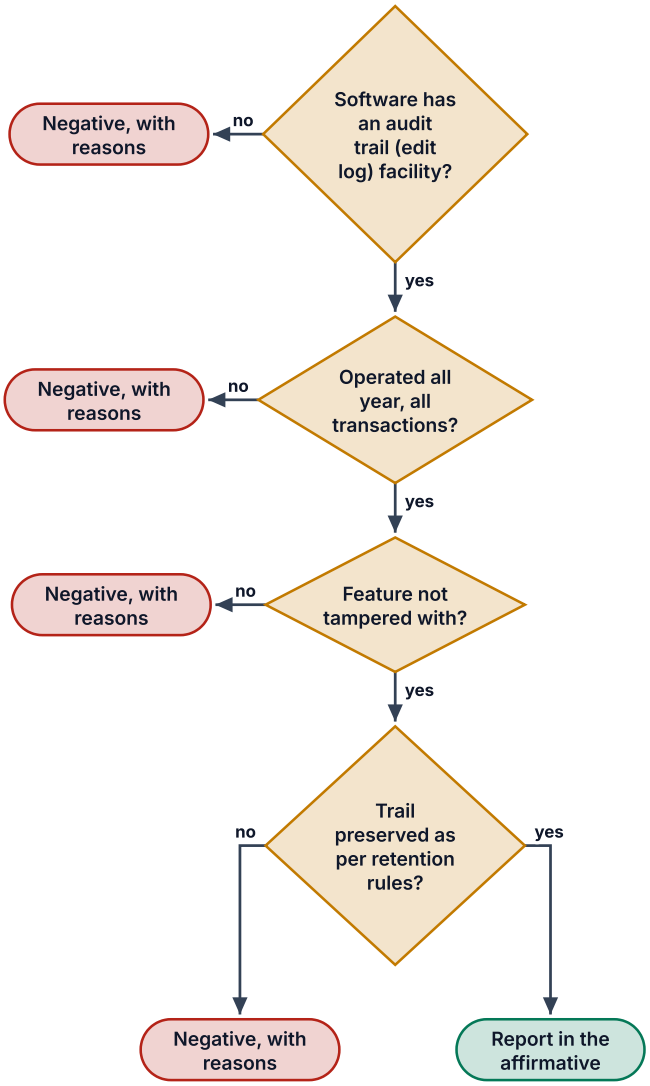
4. What the company auditor reports

Under section 143(3)(j) of the Companies Act, 2013, the auditor's report states the other matters prescribed in Rule 11 of the Companies (Audit and Auditors) Rules, 2014. One of them is (SM 8.72; illustrative report at SM 8.33):

> Whether the company has used such accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

Where any of the matters required to be included in the audit report is answered in the negative or with a qualification, the report shall state the reasons for it, in terms of section 143(4) (SM 8.72). The report on Rule 11 matters is covered with the other section 143 matters in company auditor's reporting.

The four questions behind the Rule 11 audit-trail line



Green: all four limbs satisfied; rose: any limb fails, and the report states the reasons (section 143(4); SM 8.72).

⚠ **Careful**

Version-sensitive

The wording above is the Study Material's (SM 8.72), which lists this matter last among the Rule 11 matters; ICAI's November 2023 paper cites it as Rule 11(g). The Study Material gives only the reporting requirement: it does not set out which entities must keep their books in such software, or the retention period for the trail. Verify against the Study Material and Statutory Update for your attempt.

Worked examples

Worked example **The edit log of 2025-26**

Tapri's policy requires discounts above ₹10,000 to be approved by a regional manager, and no voucher of a financial year to be altered after the books are closed on 30 April. While auditing Tapri's 2025-26 financial

statements, Iyer & Associates obtain the following extract from the edit log of Tapri's accounting software (the login cafe.mgr17 belongs to a café manager):

When (2026)	User	Action	Voucher: change
12 Feb, 10:05	it.admin	Trail switched off	–
15 Feb, 18:40	it.admin	Trail switched on	–
31 Mar, 22:14	sales.exec9	Edited	SV-90457: discount ₹6,200 → ₹62,000
31 Mar, 22:20	cafe.mgr17	Approved	SV-90457
6 May, 11:20	acc.head	Edited	JV-7741 dated 28 Mar: ₹2,10,000 → ₹1,20,000

Required:

(i) What does the extract tell the auditor, and how should the auditor use it?

(ii) How does it affect the auditor's report under Rule 11 of the Companies (Audit and Auditors) Rules, 2014?

MODEL ANSWER

(i) Relevant provision. An audit trail is a documented flow of a transaction, used as audit evidence to establish the authentication and integrity of a transaction; it helps in fixing responsibility and rebuilding events. It helps the auditor verify whether controls devised by management were operating effectively, and whether a transaction was performed by a person authorised to do it.

Facts and analysis.

1. **SV-90457**: on the last evening of the year, a discount was raised to ten times the amount on the bill (₹6,200 to ₹62,000) and approved six minutes later by a café manager, although the policy requires a regional manager's approval for discounts above ₹10,000. The transaction was not approved by a person authorised to do it, so the approval control did not operate; the trail fixes responsibility on the logins sales.exec9 (edit) and cafe.mgr17 (approval).
2. **JV-7741**: a voucher dated 28 March 2026 was altered on 6 May 2026, after the books were closed on 30 April, contrary to the policy. The trail shows who altered it and by how much (₹90,000).
3. **12 to 15 February 2026**: the audit trail was switched off for 3 days, 8 hours and 35 minutes. Changes made in that period are not logged at all.

Conclusion. The auditor should rebuild the events from the trail: obtain the original bill and the reasons for the discount on SV-90457, and the reasons and approval for altering JV-7741; treat the failed controls as deficiencies and reconsider reliance on the related controls; and perform additional procedures on the transactions recorded between 12 and 15 February, for which no edit log exists. Significant findings are communicated to management and those charged with governance.

(ii) Relevant provision. The auditor's report shall state whether the company has used accounting software with an audit trail (edit log) facility, operated throughout the year for all transactions, not tampered with, and preserved as per the statutory requirements for record retention. Where a matter is answered in the negative or with a qualification, the report shall state the reasons (section 143(4)).

Conclusion. The feature was not operated throughout the year: it was switched off from 12 February 2026 10:05 to 15 February 2026 18:40. The auditor cannot report in the affirmative on that limb, and should report the matter, stating the period and the reasons. Whether the switching-off also amounts to tampering with the feature is a further question for the auditor's evaluation.

Worked example **Kesar's cost-cutting memo**

Kesar sends Tapri's IT head a memo with three instructions on the edit log of the accounting software:

1. Switch the edit log off for the three festival weeks every year, when the servers are busiest.
2. Every April, delete the logs that are more than twelve months old, "since nobody reads them".
3. Stop the IT team's weekly review of the logs, which takes two people a full day.

> **Kesar:** Storage costs money, people cost money. Sab adjust ho jayega.

Advise Kesar on each instruction, with reference to the purpose and cost of audit trails and to the auditor's reporting under Rule 11 of the Companies (Audit and Auditors) Rules, 2014.

MODEL ANSWER

Relevant provision. Audit trails act as record-keepers whose purpose is to reduce fraud, material errors and unauthorised use; they enhance internal controls and data security, help fix responsibility, rebuild events and ensure that the system operates as intended. They involve costs, not only of system expenditure but also of the time involved in analysing the data they make available; automated tools can be used to analyse the large volume of data thrown up by audit trails. The auditor's report states whether the company has used accounting software with an audit trail (edit log) facility, operated throughout the year for all transactions recorded in the software, not tampered with, and preserved as per the statutory requirements for record retention; a negative or qualified answer states the reasons (section 143(4)).

Analysis.

1. **Switching off in festival weeks.** These are the weeks of the highest volumes and the most discounts, when unauthorised changes are most likely to go unnoticed. The facility would not be operated throughout the year for all transactions, and the auditor could not report in the affirmative on that limb.
2. **Deleting old logs.** The trail must be preserved as per the statutory requirements for record retention, whatever Kesar's view of who reads it; the retention period comes from those requirements, not from management's convenience. Deleted logs have not been preserved, and the auditor's report would say so, with reasons.
3. **Stopping the review.** The time spent analysing the data is a cost the Study Material recognises; its answer is automated tools that analyse the volume and flag unusual changes, not abandoning the review, without which the trail can neither fix responsibility nor rebuild events in time.

Conclusion. Kesar should withdraw instructions 1 and 2 and replace the manual weekly review with automated analysis of the logs. Capacity problems are solved with servers and tools, not by switching off a control.

Exam angle

In the exam

Where the audit trail appeared

Audit trail was asked directly in 5 of the ICAI documents read for this lesson; several more use the phrase "controls which leave no audit trail" in tests-of-controls answers (for example, September 2024 Q2(a)).

- **Reporting, 3 to 5 marks.** The Rule 11 reporting requirements for software with an audit trail (edit log) facility: November 2023 (old scheme) Q2(d), 3 marks; the suggested answer lists the facility and its three limbs (operated throughout the year for all transactions, not tampered with, preserved). An auditor wanting software that tracks user activity and changes to entries: what is he looking for, and what does he report? MTP November 2023 Series II (old scheme) Q3(d), 3 marks. The Rule 11 matters other than the intermediaries representations: September 2026 Q3(a), 5 marks (answers not yet published); RTP November 2023 (old scheme) carried the full Rule 11 list as a Study Material update.
- **Multiple choice, 2 marks.** Are audit trails useful only for auditors, and must an LLP keep its accounts in software with an audit trail? MTP January 2025 Series I MCQ 7: ICAI's key is that audit trails are useful for businesses as well as auditors, and that keeping accounts in such software is not compulsory for LLPs.
- **In the Study Material**, Test Your Knowledge asks for the advantages of the feature for auditors (SM 4.125).

In the exam

How the marks are earned

For "advantages for the auditor", write the three SM points (controls operating effectively; transaction performed by an authorised person; reliability of evidence) after the definition. For the reporting question, quote the Rule 11 line and split it into its limbs. In a case, name the feature ("audit trail (edit log)") before reporting on it.

Answer frame

"Discuss the advantages of an audit trail feature for the auditor"

1. **Definition**: a documented flow of a transaction, from the source document to the account entry to the financial statements; audit evidence of authentication and integrity.
2. **For the entity**: reduces fraud, material errors and unauthorised use; enhances internal control and data security; fixes responsibility; rebuilds events.
3. **For the auditor**: inspires confidence; verifies whether controls operated effectively; whether a transaction was performed by an authorised person; increases the reliability of evidence.
4. **Cost, and the answer to it**: system expenditure and analysis time; automated tools.

"What are the reporting requirements?"

Software with an audit trail (edit log) facility, and: (1) operated throughout the year for all transactions; (2) feature not tampered with; (3) trail preserved as per statutory record retention requirements. A negative or qualified answer states the reasons (section 143(4)).

Common mistakes

Common mistake

Hall of Shame: "the audit trail is the auditor's working papers"

Confusing the entity's audit trail with audit documentation. **Fix:** the audit trail is a record kept in the entity's system of how transactions flowed and who changed what; audit documentation is the auditor's own record of procedures, evidence and conclusions.

Common mistake

Reporting only "the software has an audit trail"

Fix: the Rule 11 line has more limbs: operated throughout the year for all transactions, not tampered with, and preserved as per record retention requirements. A feature that exists but was switched off for a week fails the "operated throughout the year for all transactions" limb.

Common mistake

"Audit trails are only for auditors"

Fix: their purpose is the entity's: reducing fraud, material errors and unauthorised use, enhancing internal control and data security, fixing responsibility and rebuilding events. The auditor benefits as a user of that evidence.

Practice

Check yourself

1 Case scenario. CA Ira Menon audits Bhopal Biscuit Works Ltd. Its accounting software records every change to sales and purchase vouchers with the user and the time, all year, and the feature was never tampered with and the logs are preserved. The IT team, however, never enabled the feature for journal vouchers, which are also recorded in the software. Which statement is correct for her report under Rule 11?

- A She reports in the affirmative, because the feature existed and operated all year
- B She reports in the affirmative, because journal vouchers are not transactions with outside parties
- C Rule 11 requires no reporting on accounting software
- D She cannot report in the affirmative that the feature operated for all transactions recorded in the software, and must state the reasons

2 Which of the following is NOT a benefit of an audit trail described in the Study Material?

- A Helping fix responsibility by tracking the activities of users
- B Rebuilding events when a problem occurs
- C Removing the need for the auditor to test internal controls
- D Helping verify whether a transaction was performed by an authorised person

3 According to the Study Material, an audit trail is used as audit evidence to establish:

- A the valuation and allocation of every asset
- B the authentication and integrity of a transaction
- C the going concern status of the entity
- D the independence of the auditor

4 For a control that leaves no audit trail, such as who actually counts the café cash at closing, the auditor's test of control is mainly:

- A Inspection of the edit log
- B Inquiry about, and observation of, the control
- C External confirmation from the bank
- D Recalculation of the cash book totals

Answers: the answer key at the end of this lesson.

Recap

- Audit trail: a documented flow of a transaction, from source document to account entry to financial statements; audit evidence of the authentication and integrity of a transaction.

- It is also a record of system and user activity (in banks, log-on attempts and the device used).
- Purpose: to reduce fraud, material errors and unauthorised use; it enhances internal control and data security, fixes responsibility, rebuilds events and shows whether the system operates as intended.
- Cost: system expenditure and analysis time; automated tools analyse the volume.
- For the auditor: confidence; checks whether controls operated effectively and whether transactions were performed by authorised persons; more reliable evidence.
- Rule 11 reporting: software with an audit trail (edit log) facility, operated throughout the year for all transactions, not tampered with, preserved as per retention requirements; reasons for any negative answer (section 143(4)).
- Controls that leave no audit trail are tested by inquiry and observation. (A camera "off for repairs" is itself a finding.)

Answer key · Check yourself

1 **D She cannot report in the affirmative that the feature operated for all transactions recorded in the software, and must state the reasons**

The line requires the feature to have been operated throughout the year for all transactions recorded in the software; journal vouchers are among them. A negative or qualified answer states the reasons (SM 8.72). Each limb is checked separately: existence, operation for the whole year and all transactions, no tampering, preservation.

2 **C Removing the need for the auditor to test internal controls**

An audit trail helps the auditor test whether controls operated effectively; it does not replace the testing.

3 **B the authentication and integrity of a transaction**

SM 4.28: "used as audit evidence to establish authentication and integrity of a transaction".

4 **B Inquiry about, and observation of, the control**

SM 3.53: controls that leave no audit trail are tested by inquiry and observation, to find who actually performs each function.

CHAPTER 5

Audit of Items of Financial Statements

5.1 Audit of revenue and other income

How the auditor tests sales (occurrence, completeness, cut-off, measurement), builds a sales expectation, verifies interest, dividends and mutual fund gains, and checks Schedule III disclosure.

In plain words

The best March in Tapri's history

It is the first week of April 2026, and Kesar is delighted. His new "Chai Champions" distributor scheme, launched in time for the March wedding season, has made March the biggest month ever for masala premix.

> **Kesar:** Lakshmi-ji, ₹1.52 crore of premix in one month! Put that in your report.
>
> **Lakshmi:** Before anyone celebrates, Bunty: the March invoices, the transporters' delivery receipts, the scheme letters and every credit note issued in April.
>
> **Bunty:** *(already ticking)* Ma'am, the invoices all look perfect.
>
> **Lakshmi:** Invoices are Tapri's own paper, Bunty. They always look perfect.

Revenue is the number management most wants to be large, so it is where the auditor looks hardest. For every rupee of sales the auditor asks five questions, the **assertions** for income statement items (see financial statement assertions):

- Did the sale really happen, to a real customer? (**occurrence**)
- Has every sale been recorded? (**completeness**)
- Is it in the right year? (**cut-off**)
- Is it at the right amount, after discounts? (**measurement**)
- Is it shown under the right heading in the notes? (**presentation and disclosure**)

Other income (interest on fixed deposits, dividends, gains on mutual funds) is income from outside the main business. Its audit is calmer: the auditor recomputes it and agrees it to statements from the bank, the tax department and the mutual fund.

Think of it like

The wedding caterer's bill

A caterer bills a family for 500 plates. The family checks that 500 guests actually ate (occurrence), that the sweets counter is billed too (completeness), that the sangeet's plates are not added to the reception bill of the next day (cut-off), that the rate per plate is the agreed one less the discount (measurement), and that the bill shows food, décor and service separately (presentation). The auditor reads Tapri's sales with the same suspicion, and Kesar is the caterer.

Key idea

In revenue the first danger is **overstatement**: sales that never happened, or that belong to the next year. So the auditor's sharpest tests are for occurrence and cut-off, and other income is verified by recomputing it and agreeing it to third-party records.

How it works

1. Why sales get extra attention

The sales and collections cycle is the set of processes that begins when a customer purchases goods or services and ends when the entity receives complete payment against the sales. Sales is one of the most important items in the financial statements, with a considerable effect on the profit generated and on closing stock; and **as per SA 315, the risk of material misstatement in case of revenue items is generally high** (SM 5.91). So the auditor tests sales transactions, and the internal controls over them, to ensure that the entity is not materially misstating its revenues or receivables (see SA 315).

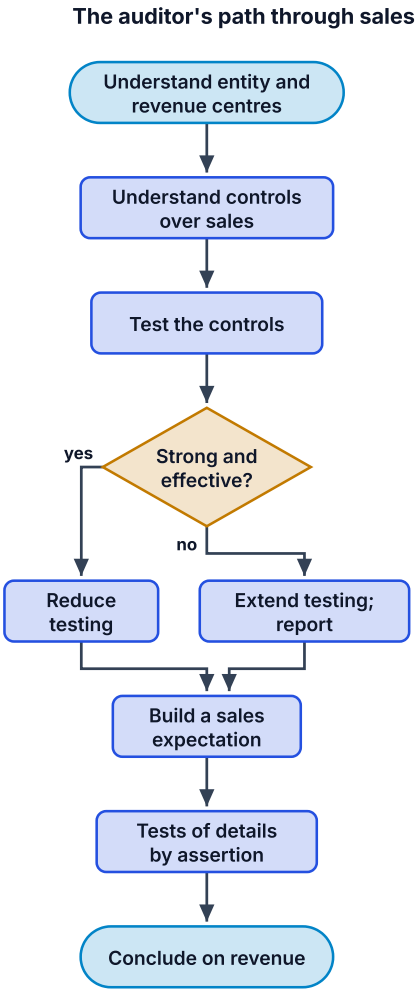
2. The approach, in ICAI's order

1. **Understand the organisation and its revenue centres**: the type of services or products, their demand, the major selling product or service, new product lines, discontinued products, major customers, and sales terms (credit or cash) (SM 5.92).

2. **Understand the management control (internal control) over sales**: whether segregation of duties exists, who checks the credit limit, who authorises sales orders, who raises the invoice, when and how goods are despatched or services provided, who collects and records amounts received from debtors, who ensures that risks and rewards pass to the customer, and how sales are recognised in the system (SM 5.92).

3. **Test the controls** to see how strong and reliable they are. Common controls: pre-numbered sales invoices, proper authority for approval of orders, execution of sales orders, authorisation of customer purchase orders above a limit, and authorisation of receivables write-offs. The auditor examines a random sample of customer purchase orders, invoices and customer statements (for example, that every number in a sequence is accounted for). Strong, effective controls let the auditor reduce substantive testing; deficiencies are communicated as per SA 265 (SM 5.92–5.93).

4. **Perform substantive procedures, which are a must**: substantive analytical procedures (sales trend analysis, comparison with the previous period, category-wise sales analysis and, most important of all, **building a sales expectation** and comparing it with the client's records), then tests of details for each assertion (SM 5.93).

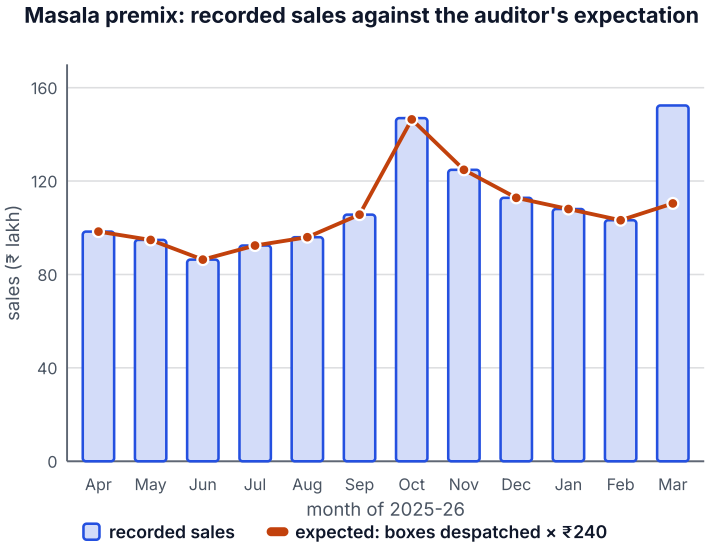


Controls decide how much substantive work is needed, never whether it is needed: substantive procedures on sales are a must (SM 5.93). Deficiencies found are reported as per SA 265.

3. Building a sales expectation

The auditor needs the sales prices over the year, the monthly average sales price per product or service and the discount policy, then multiplies: if product X sells at ₹10 on average and 1,500 units were sold in a month, expected sales are ₹15,000. Variances are discussed with the client (discounts, or sales wrongly booked), and the auditor must understand how sales discounts and sales returns are accounted for and how they affect gross sales (SM 5.93).

Bunty did this for Tapri's 1-kg masala premix box, average net price ₹240, using the boxes despatched as per the stock records:



Blue bars: sales recorded in the books; orange line: boxes despatched as per stock records × the average net price of ₹240. Every month agrees within ₹0.60 lakh except March, where recorded sales of ₹152.40 lakh exceed the expectation of ₹110.40 lakh by ₹42 lakh (38%).

October's ₹0.60 lakh is explained: Kesar's Diwali gift edition (he launches a product every festival) sold above the average price. March's ₹42 lakh is not: recorded sales with no boxes behind them point at the occurrence and cut-off tests below. An analytical procedure raises the question; tests of details answer it (see SA 520).

4. Tests of details, assertion by assertion

The Study Material groups the procedures under the assertion they prove (SM 5.94–5.96). Learn them in this order.

Occurrence: recorded sales represent goods shipped or services performed during the period. Ensure revenue is not overstated:

- Check whether a single sales invoice is recorded twice, or a cancelled sales invoice is also recorded.
- Test check a few invoices with their entries in the sales journal.
- Obtain confirmation from a few customers to ensure the genuineness of sales transactions.
- Check whether any fictitious customers and sales have been recorded.
- Check whether any shipments were made without the consent and agreement of the customer, especially at the year end, to inflate sales.
- Check whether unearned revenue has been recorded as earned.
- Check whether any substantial uncertainty exists about collectability.
- Check whether customer obligations are contingent on other actions (financing, resale, etc.).

Then: review the **sequence of sales invoices**; review **journal entries for unusual transactions**; calculate the **ratio of sales returns to sales**, compare it with the previous year and enquire into the reasons; and check sales returns with the sales invoice, challan, credit note and stock register.

Completeness: all sales made during the period were recorded, with no understatement or overstatement.

- Perform **cut-off procedures**, so that revenue is recognised in the current period and sales were not tampered with towards the period end. Cut-off errors usually arise when revenue is recognised on the date the sales invoice is generated rather than the date the risks and rewards are transferred to the buyer; the auditor must understand the specific cut-off risk of each engagement.
- Verify **credit notes issued after the period**: sales staff may book fictitious sales before the year end to meet targets and cancel them with a post-year-end credit note.
- **Trace from the shipping documents to the sales journal.**
- Check that quantities appear in the sales register, and reconcile total sales or goods despatched as per stock records, financial records and statutory records such as GST.
- Review GST returns and reconcile them with revenue in the statement of profit and loss; test the reasonability of GST by applying the applicable rate to gross sales and analyse any variance.

Measurement: sales are measured as per the applicable accounting standards and correctly journalised, summarised and posted.

- Trace a few transactions from inception to completion (**examination in depth**): from the sales order to the receipt of the receivable, checking every document and all incentives and discounts, as per the entity's revenue recognition policy.
- For export sales, ensure compliance with AS 11.
- Understand the client's operations and related GAAP issues, for example point-of-sale recognition against percentage of completion.
- Compare the rate of sales to related parties, and review them for collectability, proper authorisation, and whether they were reasonable and at arm's length (see SA 550).

5. Other income

Any income not linked to the entity's core business operations is generally classified as **other income**: for example, interest on surplus funds in fixed deposits (the entity not being a bank or financial

institution), interest on loans to third parties or within the group, and returns on mutual fund investments (SM 5.97). Its recognition rules decide its audit:

Item	Recognised (SM 5.97)	Audit procedure (SM 5.97–5.99)
Interest on fixed deposits	On a time proportion basis, on the amount outstanding at the applicable rate	List of deposits with rate and days; recompute; trace year-end deposits to bank confirmations; bank's confirmation of interest; reconcile with Form 26AS
Dividends	Only when (i) the right to receive payment is established; (ii) the economic benefits are probable; (iii) the amount can be measured reliably	Verify that it is recognised only when the right to receive payment is established
Gain or loss on mutual funds	On transfer of title from the entity; redemption price less carrying value	Obtain the mutual fund statement and trace the gain or loss in the books to it

For fixed deposits, the five procedures in order: (1) obtain a listing of deposits opened during the period with the applicable rate and the number of days outstanding; (2) verify the arithmetical accuracy by recomputing (deposit × rate × days); (3) trace deposits outstanding at the period end to the direct confirmations from the banks; (4) obtain a confirmation of interest income from the bank and reconcile it to the entity's calculation; (5) obtain Form 26AS (tax withheld by the bank) and reconcile the interest shown in it to the calculation (SM 5.97–5.98).

Formats and formulas

The notes ICAI asks you to list

Reproduce these lists from memory, in this order; each head is a mark in a "state the disclosure" question.

Revenue from operations (Schedule III, Part II; SM 5.96–5.97):

(A) Company other than a finance company	(B) Finance company
(a) Sale of products	(a) Interest
(b) Sale of services	(b) Other financial services
(ba) Grants or donations received (section 8 companies only)	
(c) Other operating revenues	
Less: (d) Excise duty	

Revenue under each head is disclosed separately in the notes, to the extent applicable. The auditor also checks that brokerage and discount on sales, other than the usual trade discount, are disclosed, and that related party transactions are disclosed.

Other income shall be classified as (SM 5.99):

1. Interest income (in case of a company other than a finance company);
2. Dividend income;

3. Net gain or loss on sale of investments;
4. Other non-operating income (net of expenses directly attributable to such income).

Undisclosed income (Additional Information, SM 5.99): details of any transaction not recorded in the books that has been surrendered or disclosed as income during the year in tax assessments under the Income Tax Act, 1961 (search, survey or any other relevant provision), unless there is immunity for disclosure under any scheme; and whether the previously unrecorded income and related assets have been properly recorded in the books during the year.

The arithmetic the auditor redoes

∑ **Formula**

Sales expectation

$$\text{Expected sales} = \text{Units sold} \times \text{Average net price}$$

Units come from despatch or stock records; the price is the monthly average net price per unit, after the discount policy.

∑ **Formula**

Interest on a fixed deposit

$$\text{Interest} = \text{Deposit} \times \text{Rate} \times \frac{\text{Days outstanding}}{365}$$

Days outstanding: the days the deposit was held during the year.

∑ **Formula**

Gain or loss on redemption of mutual fund units

$$\text{Gain or loss} = \text{Redemption price} - \text{Carrying value}$$

Carrying value of the units redeemed; recognised only on transfer of title from the entity.

∑ **Formula**

Sales return ratio

$$\text{Sales return ratio} = \frac{\text{Sales returns}}{\text{Sales}} \times 100$$

Compared with the previous year; a sharp rise asks whether earlier sales were real.

Worked examples

Worked example **The Chai Champions quarter**

Iyer & Associates are auditing Tapri Tea Co. Ltd for 2025-26. Revenue from operations is ₹900 crore and overall materiality is ₹1.50 crore. Tapri's accounting policy recognises revenue when the risks and rewards of ownership pass to the buyer, net of discounts and incentives. Kesar's "Chai Champions" distributor scheme ran from 1 January to 31 March 2026. Bunty finds:

(i) A distributor whose purchases in the quarter exceed ₹1.50 crore earns a rebate of 6% on all its purchases of the quarter, settled by credit notes in April. Thirty-eight distributors qualified, with purchases in the quarter of ₹75 crore. Nothing has been accounted for at 31 March; Dev says the rebate "belongs to April, when the credit notes go out".

(ii) To open the Assam market, premix invoiced at ₹2.30 crore (cost ₹1.61 crore) was delivered on 26–31 March 2026 to four new distributors, under letters saying that they will pay only for what they resell by 30 June 2026 and may send back the rest. Their stock statements at 31 March show none of it resold. The ₹2.30 crore is in March sales.

(iii) Export sales of ₹3.40 crore to a Dubai retailer were shipped on 27 March 2026 on terms under which the risks and rewards pass on shipment. They are recorded at the exchange rate of the date of shipment, and the receivable is restated at the closing rate.

Required:

(a) Which assertion does each item test?

(b) State the audit procedures Iyer & Associates should perform on items (i) and (ii).

(c) Comment on the effect on the financial statements and, if management refuses to adjust, on the auditor's report.

MODEL ANSWER

(a) Assertions.

- (i) **Measurement**: sales must be measured as per the applicable accounting standards, taking into consideration all the incentives and discounts (SM 5.95–5.96).
- (ii) **Occurrence**: whether unearned revenue has been recorded as earned, and whether the customers' obligations are contingent on other actions such as resale (SM 5.94).
- (iii) **Cut-off and measurement**: whether the risks and rewards passed before the year end, and compliance with AS 11 for export sales (SM 5.95–5.96).

(b) Procedures. As per the Study Material's procedures for sales:

1. **Item (i).** Obtain the scheme circular and its approval; understand how the entity accounts for sales discounts and how they affect gross sales (SM 5.93); recompute each distributor's purchases in the quarter and the rebate from the sales ledger; trace a few transactions from the sales order to settlement, considering all incentives and discounts (examination in depth); trace the credit notes issued in April to the computation; and check that brokerage and discount on sales other than the usual trade discount are disclosed (SM 5.97).
2. **Item (ii).** Read the letters; obtain confirmations from the four distributors of the terms and of the stock they hold; check whether the shipments at the year end were made with the consent and agreement of the customers, whether their obligations are contingent on resale, and whether

unearned revenue has been recorded as earned; review returns and credit notes after the year end; and, as for goods sent out on sale or return, verify that goods lying with the distributors at the year end are included in closing inventory (SM 5.94, 5.125).

What the tests show

Item	Finding	Revenue (₹ crore)
(i) Rebate	**Earned, not accounted**	4.50 over
(ii) Assam	**Payment depends on resale**	2.30 over
(iii) Dubai	Risks passed on 27 March	nil
Revenue overstated		**6.80**

Rose cells: the reason each of the first two items misstates 2025-26 revenue; amber: the total, above overall materiality of ₹1.50 crore.

(c) Effect.

- (i) The distributors earned the rebate on purchases made by 31 March, so it reduces 2025-26 revenue whenever the credit notes are issued: 6% × ₹75 crore = ₹4.50 crore. Revenue from operations is overstated by ₹4.50 crore, and the amount due to the distributors (a liability, or a reduction of their receivable balances) is unrecorded.
- (ii) The distributors pay only for what they resell and may return the rest: in substance the goods are on sale or return, and the risks and rewards have not passed. Revenue and trade receivables are overstated by ₹2.30 crore, closing inventory is understated by the cost of ₹1.61 crore, and profit is overstated by ₹0.69 crore.
- (iii) The risks and rewards passed on 27 March, before the year end: correctly recorded, subject to the AS 11 checks.

Revenue from operations is overstated by ₹6.80 crore and profit before tax by ₹5.19 crore (₹4.50 crore + ₹0.69 crore), both above materiality of ₹1.50 crore. The auditor should ask management to correct the misstatements. If they are not corrected, they are material; but they are confined to revenue, receivables, inventory and the amount due to distributors, and are not a substantial proportion of the financial statements (₹6.80 crore is under 1% of revenue): not pervasive. The auditor should express a **qualified opinion** as per SA 705.

Worked example **Dev's fixed deposits**

Dev Malhotra presents Tapri's "Other income" for 2025-26 as one figure of ₹1,17,65,000. His working shows:

Deposit (₹)	Rate; days	In books (₹)
FD-1: 5,00,00,000	7.30%; 365	36,50,000
FD-2: 3,00,00,000	6.57%; 182	19,71,000
FD-3: 2,00,00,000	7.30%; 76	3,04,000

FD-1 was held all year, FD-2 was opened on 1 October 2025 and FD-3 on 15 January 2026; all three are outstanding at the year end. The working also includes:

- an interim dividend of Malwa Dairy Ltd, declared by its board on 10 February 2026 and received on 5 March 2026: ₹20,00,000 in books;
- a final dividend of Malwa Dairy Ltd, recommended by its board on 20 May 2026: ₹30,00,000 in books;
- a gain on mutual fund units redeemed on 24 March 2026 for ₹2,06,40,000, carrying value ₹1,98,00,000: ₹8,40,000 in books.

Required:

(a) Recompute other income and show its classification as per Schedule III.

(b) State the audit procedures for interest on fixed deposits.

THE WORKING

Working note 1: interest on fixed deposits (deposit × rate × days ÷ 365)

Deposit	Computation	Interest (₹)
FD-1	5,00,00,000 × 7.30% × 365/365	36,50,000
FD-2	3,00,00,000 × 6.57% × 182/365	9,82,800
FD-3	2,00,00,000 × 7.30% × 76/365	3,04,000
Total		**49,36,800**

FD-2 has been taken for a full year although it was outstanding for 182 days: interest is overstated by ₹19,71,000 − ₹9,82,800 = ₹9,88,200. Interest is recognised on a time proportion basis.

Working note 2: dividends. The interim dividend was declared during the year, so the right to receive it was established: ₹20,00,000 is correctly recognised. The final dividend was only recommended by Malwa's board on 20 May 2026; dividends are recommended by the board and declared by the shareholders, so at 31 March 2026 no right to receive payment existed. ₹30,00,000 is not income of 2025-26.

Working note 3: mutual fund. Title passed on 24 March 2026; gain = ₹2,06,40,000 − ₹1,98,00,000 = ₹8,40,000, correctly recorded.

(a) Other income as per Schedule III

Head	₹
(a) Interest income	49,36,800
(b) Dividend income	20,00,000
(c) Net gain on sale of investments	8,40,000
Other income	**77,76,800**

Other income in the books is overstated by ₹1,17,65,000 − ₹77,76,800 = ₹39,88,200, and showing it as one consolidated figure does not meet the classification Schedule III requires.

(b) Procedures for interest on fixed deposits. Obtain a listing of deposits opened during the period with the applicable rate and the number of days outstanding; recompute the interest (deposit × rate × days); trace deposits outstanding at the year end (here all three) to the direct confirmations from the banks; obtain a confirmation of interest income from each bank and reconcile it to the entity's calculation; and reconcile the interest shown in Form 26AS to the calculation. Here the bank confirmations and Form 26AS would show ₹49,36,800, exposing the error in FD-2.

Worked example

Where did the scrap go?

Tapri's samosa factory sells scrap (empty oil tins, damaged cartons) to local dealers. Last year scrap was 3.2% of the 4,80,000 kg of packing material consumed and sold at ₹31 per kg. This year consumption is the same and the process unchanged, but recorded scrap is 1.9% of consumption, sold at ₹24 per kg, while dealers' market rates are steady.

Required: How will you vouch and verify the sale of scrap? Comment on the trends.

MODEL ANSWER

Vouching and verification of the sale of scrap (SM 5.130):

1. Review the internal control as regards generation, storage and disposal of scrap.
2. Check whether the organisation maintains a reasonable record of the generation of scrap.
3. Analyse the raw material used, production and the generation pattern of scrap, and compare with the figures of the earlier year.
4. Check the rates at which scrap has been sold and compare them with the previous year.
5. Vouch sales with the invoices raised, advertisements for tender and rate contracts with scrap dealers.
6. Ensure a proper control procedure exists to identify scrap and good units, so that they are not mixed up and sold as scrap.
7. Make an overall assessment of the value realised from scrap as to its reasonableness.

Comment on the trends. At last year's yield and rate, scrap would be 15,360 kg (3.2% of 4,80,000 kg) worth ₹4,76,160; the books show 9,120 kg (1.9%) sold for ₹2,18,880. With the same consumption and process and steady market rates, both the fall in quantity and the fall in rate are unexplained. The auditor should obtain explanations from management, examine the scrap generation records, dealer contracts and tender papers, and consider whether part of the scrap sales is unrecorded, an indicator of possible fraud to be dealt with under the auditor's responsibilities relating to fraud.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson (listed in the report), revenue and other income were examined in these ways:

- **Descriptive, 3 to 5 marks.** Interest on fixed deposits: MTP January 2026 Series II Q5(b) (5 marks, interest "significantly higher than the previous year" with no bank confirmations) and old-scheme November 2020 Q4(a) (4 marks). Fictitious sales, "revenue not overstated": MTP September 2025 Series I Q2(a) (5 marks) and RTP May 2026 Q14 (occurrence of revenue). Recognition of interest, dividend and mutual fund gains: old-scheme January 2021 Q4(c) (3 marks). Dividend income recognition and undisclosed income: September 2026 Q3(c) (2 + 2 marks; suggested answers not yet published). Sale of scrap: old-scheme May 2023 Q3(c) (3 marks). Goods on sale or return: old-scheme November 2020 Q4(d) (3 marks).
- **Identify the assertion, 1 mark each.** "Sales are recorded correctly in the books based on the invoices; discounts have been properly adjusted": measurement (January 2025 Q4(b)(iii)).
- **Case with a number.** MTP September 2024 Series II Q1(a) (5 marks): dividend and interest credited net of tax and shown as one "Other income" figure; the answer grosses them up and reclassifies them under Schedule III.
- **Multiple choice, 2 marks.** Revenue billed on 30 March but despatched on 2 April: defer to April (MTP September 2025 Series II MCQ 6). Revenue from operations of a test-centre company, with interest disclosed apart (MTP May 2024 Series I MCQ 1.4).

Trick

Which way do you trace?

Occurrence starts from the books and goes out to the evidence (invoice to despatch, confirmation). **Completeness** starts from the evidence and comes into the books (shipping documents to the sales journal). Condition: this is the direction of testing; cut-off tests look both ways around the year end.

Answer frame

"How will you verify sales / other income?"

1. **Open with the assertion** in the Study Material's words: "Recorded sales represent goods shipped or services performed during the period (occurrence)".
2. **List the procedures** under each assertion asked, in the Study Material's order (occurrence: duplicate or cancelled invoices, test check with the sales journal, confirmations, fictitious customers...).
3. **Apply them to the facts**: name the document the case points at (gate register, credit notes after the year end, Form 26AS).
4. **Close with disclosure** if the question allows: the Schedule III heads.

A case question

1. **Relevant provision**: the procedure or recognition rule ("Dividends are recognised only when the right to receive payment is established...").
2. **Facts of the case**: dates, amounts, who did what.

3. **Analysis**: which assertion fails; compute the correct figure.
4. **Conclusion**: the correct treatment and, if material and uncorrected, the effect on the opinion.

Three answers to "verify interest on fixed deposits" (5 marks)

Loses marks

"Check the bank statements and the interest certificate."

One vague line; no recomputation, no confirmation, no 26AS.

Passes

"Obtain a list of FDs, recompute interest, get the bank's interest certificate."

Three of the five points, none applied to the case.

Full marks

All five points in order (listing with rate and days; recomputation; confirmation of year-end deposits; bank's confirmation of interest; Form 26AS), then a line applying them to the case (the deposits outstanding at the year end, the jump over last year).

Common mistakes

⚠ **Common mistake**

Hall of Shame: the invoice that travelled faster than the truck

Treating the invoice date as the date of sale. **Fix:** revenue belongs to the period in which the risks and rewards pass to the buyer; compare the invoice date with the gate register, lorry receipts or delivery proof.

⚠ **Common mistake**

The dividend that arrived before it was declared

Booking a dividend recommended after the year end, or booking dividend net of tax deducted. **Fix:** recognise a dividend only when the right to receive payment is established, the benefits are probable and the amount is reliable; record it gross, the tax deducted being recoverable.

⚠ **Common mistake**

One line called "Other income"

Lumping interest, dividends and investment gains into one figure. **Fix:** Schedule III classifies other income as interest income, dividend income, net gain or loss on sale of investments, and other non-operating income (net of directly attributable expenses).

⚠ **Common mistake**

Stopping at the analytical procedure

"Sales are in line with expectations, so revenue is fine", or "March is 38% above expectation, so revenue is overstated". **Fix:** an analytical procedure points to where to look; the conclusion comes from the tests of details that follow.

Practice

Check yourself

1 Case scenario. Kulhad Crafts Ltd recognises revenue when the risks and rewards of ownership pass to the buyer. Its contract with Rangoli Stores says that they pass when the goods are unloaded at Rangoli's Guwahati warehouse. Clay cups invoiced at ₹18 lakh left Kulhad's factory on 28 March 2026 and were unloaded at Guwahati on 3 April 2026. Which of the following is correct for the 2025-26 accounts?

- **A** Recognise ₹18 lakh in 2025-26, because the goods were invoiced and despatched before the year end
- **B** Recognise ₹18 lakh in 2025-26 and disclose the date of delivery in the notes
- **C** Recognise half in each year, because the goods were on the road across the year end
- **D** Recognise ₹18 lakh in 2026-27; at 31 March the cups are Kulhad's goods in transit, included in its closing inventory

2 Tapri's deposit of ₹2,50,00,000 at 7.30% p.a. was outstanding for 146 days of 2025-26. What interest income (₹) should be recognised for the year? (Use a 365-day year.)

Answer: _____

3 An auditor traces a sample of lorry receipts and gate-out entries of March into the sales journal. Which assertion is this procedure chiefly designed to test?

- **A** Occurrence
- **B** Completeness
- **C** Measurement
- **D** Presentation and disclosure

4 Which of the following are conditions for recognising dividend income in the statement of profit and loss? Select all that apply.

- **A** The entity's right to receive payment of the dividend is established
- **B** It is probable that the economic benefits associated with the dividend will flow to the entity
- **C** The amount of the dividend can be measured reliably
- **D** The dividend has been received in the entity's bank account

More than one answer may be right.

5 Tapri lets out the terrace of one café for advertising hoardings and earns ₹6 lakh, with ₹1 lakh of directly attributable maintenance. Under which head of "Other income" in Schedule III is it shown, and at what amount?

- A Revenue from operations: sale of services, ₹6 lakh
- B Other income: interest income, ₹5 lakh
- C Other income: other non-operating income (net of directly attributable expenses), ₹5 lakh
- D Other income: other non-operating income, ₹6 lakh, with the expense under other expenses

Answers: the answer key at the end of this lesson.

Recap

- Revenue: the risk of material misstatement is generally high (SA 315); the main fear is overstatement.
- Approach: understand the entity and revenue centres → understand and test controls → substantive analytical procedures (build a sales expectation: units × average price) → tests of details.
- Occurrence: duplicate or cancelled invoices, customer confirmations, fictitious customers, year-end shipments without consent, invoice sequence, unusual journals, sales return ratio.
- Completeness and cut-off: invoice date is not the sale date; check post-year-end credit notes; trace shipping documents to the sales journal; reconcile with stock records and GST returns. (Kesar's best March is only as good as the gate register.)
- Other income: FD interest on time proportion (recompute; bank confirmation; Form 26AS); dividends only when the right to receive is established; mutual fund gain on transfer of title.
- Schedule III: revenue from operations (products, services, grants for section 8 companies, other operating revenues, less excise duty); other income (interest, dividend, net gain on investments, other non-operating income net of direct expenses).

Answer key · Check yourself

1 **D Recognise ₹18 lakh in 2026-27; at 31 March the cups are Kulhad's goods in transit, included in its closing inventory**

The contract ties the passing of risks and rewards to unloading, on 3 April, so the sale belongs to 2026-27. Neither the invoice date nor the despatch date decides it: recognising revenue on the date the invoice is generated rather than when the risks and rewards transfer is the cut-off error the Study Material warns about (SM 5.95).

2 **730000**

₹2,50,00,000 × 7.30% × 146/365 = ₹7,30,000. Interest is recognised on a time proportion basis.

3 **B Completeness**

Tracing from shipping documents to the sales journal tests whether every despatch has been recorded: completeness. Occurrence runs the other way, from recorded invoices out to evidence of shipment.

4 **A** **The entity's right to receive payment of the dividend is established**; **B** **It is probable that the economic benefits associated with the dividend will flow to the entity**; **C** **The amount of the dividend can be measured reliably**

All three conditions in the Study Material must hold. Receipt in the bank is not one of them: a dividend declared before the year end and paid after it is still income of the year.

5 **C** **Other income: other non-operating income (net of directly attributable expenses), ₹5 lakh**

It is not Tapri's core business, so it is other income; the fourth head is "other non-operating income (net of expenses directly attributable to such income)": ₹6 lakh − ₹1 lakh = ₹5 lakh.

5.2 Audit of expenses

How the auditor tests purchases, employee benefits, depreciation and other expenses: the controls, the assertion-wise procedures, the six vouching attributes and the Schedule III disclosures.

In plain words

Kesar's favourite ledger

Every company has one ledger its founder loves. At Tapri it is "Miscellaneous expenses".

> **Kesar:** Lakshmi-ji, why so many questions? Put all of it in miscellaneous. Sab adjust ho jayega.
>
> **Lakshmi:** Miscellaneous is where expenses go to hide, Kesar-ji. Bunty, open it.
>
> **Bunty:** *(reading the bills this time, before ticking them)* Ma'am, ₹31 lakh, and half of it has no proper head at all.
>
> **Lakshmi:** Then every rupee of it answers six questions.

Tapri's statement of profit and loss has four big kinds of expense: **purchases** (tea leaves, milk powder, cardamom), **employee benefits** (salaries of staff in 40 cities, their provident fund, gratuity and bonus), **depreciation and amortisation** (kilns, fryers, the delivery app) and **other expenses** (café rent, power, insurance, legal fees, travel).

Revenue is usually at risk of being too big; an expense can go wrong in more ways. It can be **fake** (a vendor who does not exist, an employee nobody has met), **personal** (the sweets for a family wedding billed as "staff welfare"), from **another year**, **capital** dressed as revenue (a new fryer booked as "repairs") or revenue dressed as capital, or under the **wrong head**. It can also be **missing**: a month's salary or a bonus nobody provided for. The auditor's tests are built to catch each of these.

Think of it like

The flatmates' expense sheet

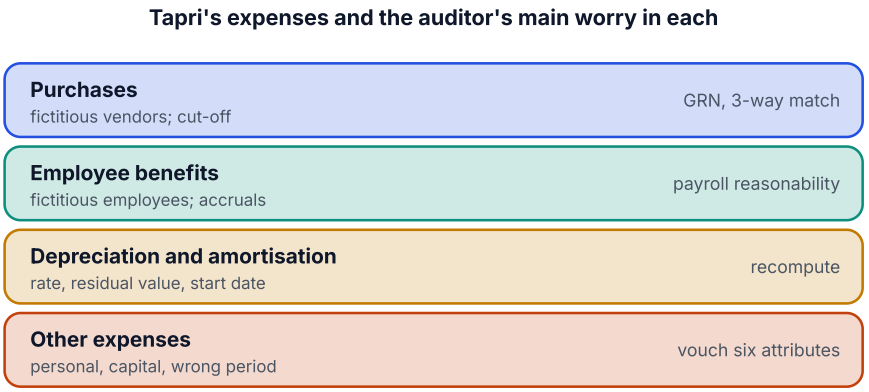
Four flatmates split costs, and one of them keeps the sheet. Before paying your share you check that each item was actually bought (a real bill), was bought this month, is for the flat and not for his girlfriend's birthday, is a running cost and not the new TV he will take with him, sits under the right column (groceries, not "misc"), and was agreed by everyone. Those are the six questions the Study Material asks of every expense voucher.

Key idea

An expense can be wrong in both directions: recorded but not real (**occurrence**), or real but missing (**completeness** and **cut-off**), besides wrongly measured or shown under the wrong head. Purchases and payroll lean on controls and an expectation the auditor builds; depreciation is recomputed; other expenses are vouched against six attributes.

How it works

1. Four captions, four worries



For purchases and employee benefits the Study Material uses the same approach as for sales (see the audit of revenue): understand the business and its control points, test the controls (if they are effective, the auditor can reduce substantive testing), examine a random sample of transactions, and perform substantive procedures, which are a must, including substantive analytical procedures that set an expectation and compare it with the client's records (SM 5.99–5.100, 5.104–5.105).

2. Purchases

The purchases and disbursement cycle begins when an order for goods or services is placed on the requirement of the production or user department and ends when the entity receives the product and pays the vendor in full (SM 5.99).

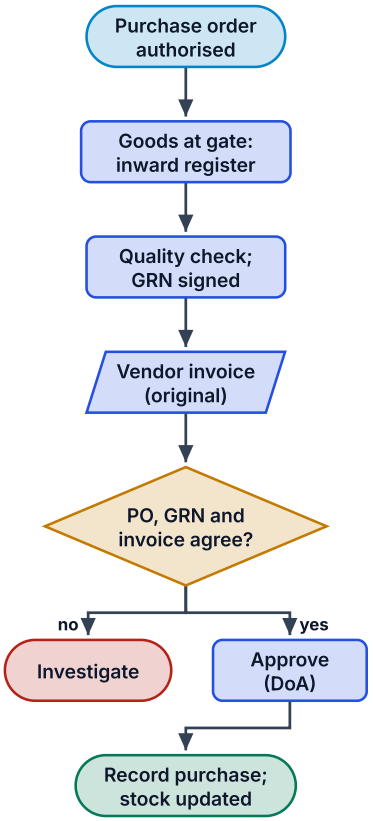
1. **Understand** the production centres: the goods and services procured, sources (domestic or overseas), general availability, terms and conditions, major vendors, credit period, quality checks, purchase terms (credit or cash) (SM 5.99–5.100).

2. **Identify the control points**: segregation of duties; competitive quotes; a purchase committee that authorises the price; who issues and authorises purchase orders; how goods are received and acknowledged; who checks quality, quantity and specifications and prepares the **Goods Receipt Note (GRN)**; who approves the vendor invoice; whether a **2-way or 3-way match** (purchase order, GRN and vendor invoice) exists; how purchases are recognised in the system (SM 5.100).

3. **Test the controls**: competitive quotations for shortlisting vendors, numbered purchase orders, purchase order authorisation above a limit, GRN on receipt, quality inspection, 2-way or 3-way match, authorisation of purchase invoices, appropriate authority to recognise purchases. The sample is examined with purchase orders, GRNs, purchase invoices, the inward gate entry register and vendor reconciliations or statements (SM 5.100).

4. **Set a purchase expectation** in relation to the sales of the period: at a purchase price of ₹100 and 15,000 units received, expected purchases are ₹15,00,000; for a variance the auditor checks details such as discounts received or a change in the purchase price of some orders (SM 5.100).

The 3-way match behind a genuine purchase



Each box is a document the auditor asks for when testing occurrence: the purchase order, the gate inward entry, the GRN, the original invoice and its approval as per the delegation of authority (DoA). Green: the purchase may be recorded; rose: a mismatch to investigate.

Occurrence: recorded purchases represent goods actually received or services availed during the period (SM 5.101):

- Whether any **fictitious vendors** have been booked or purchases recorded, by reviewing the vendor selection process and performing procedures to ensure the vendors exist.
- Whether the goods were received at the factory gate, with an entry in the **security gate inward register**.
- Whether quality inspection of goods was done.
- Whether a **GRN** was prepared and signed by an appropriate client personnel.
- Whether the purchase invoice was approved as per the delegation of authority and a 3-way or 2-way match was done.
- Whether the stock record has been updated by the stores personnel.

Special considerations (SM 5.101–5.102): the invoice should be the **original** (not a photocopy or carbon copy); it should be booked only once the risk and reward of ownership has been transferred (with specific consideration of terms such as F.O.B. and C.I.F.); it should be in the name of the entity (or the appropriate branch); input tax should be booked in the input tax ledger and agreed to the tax returns; purchases from related parties or allied concerns need approval of the Board (appropriate authority), sample verification and analytical procedures on price to confirm arm's length; the

auditor should judge whether a purchase should be **capitalised or expensed**; and journal entries should be reviewed for unusual transactions.

Completeness and measurement: all purchases were recorded, with no understatement or overstatement (SM 5.102–5.104). In addition to the occurrence procedures:

- Perform a **cut-off test**: examine material inward records (say the last 5 transactions at the period end) to check that all corresponding invoices are entered in the purchases book.
- Ensure correct accounting of **goods in transit** as per the agreed terms on transfer of risk and reward.
- Obtain a **written representation** that all purchases of the year have been properly recorded.
- Perform analytical procedures on the overall reasonableness of purchase quantity and price: **consumption analysis** (raw material consumed as per the manufacturing account compared with previous years and closing stock), **stock composition analysis** (raw materials as a percentage of total stock, compared with the previous year), **ratios** (creditors turnover and stock turnover against previous years), and a review of the **quantitative reconciliation** of closing stock with opening stock, purchases and consumption.

3. Employee benefits expense

Employee benefits expenses, commonly called payroll expenses, represent the aggregate sum an entity pays to its employees for their labour or efforts, along with associated expenses such as perquisites and benefits, post-employment benefits (gratuity, superannuation, leave encashment, provident fund contribution) and expenses on their hiring, welfare and training. In many industries it is the biggest expense (SM 5.104). Payroll documents themselves are covered in attendance and payroll (Paper 4).

The auditor tests the controls around the payment process (attendance records, employee master, authorisation and approval of monthly payroll processing and disbursement, computation of deductions such as payroll taxes, accrual of gratuity, leave encashment and bonus), examines a random sample with appointment letters, appraisal letters, attendance records, HR policies and the employee master, and performs substantive analytical procedures: monthly expense reasonability, comparison with the previous period, and an expectation compared with the business operations and the industry trend (SM 5.104–5.105).

The procedures, in ICAI's order (SM 5.105–5.107):

1. Understand the process of capturing attendance. Against the risk of **fictitious employees**, meet employees in person on a sample basis, or ask payroll to share the bank details or identity proofs of a sample of employees.
2. Obtain the list of employees at the period end with a **monthly movement** split between new hires, leavers and continuing employees.
3. For a random sample of **new hires**, check from the appointment letter that the first and later months' salary was processed as per the agreed terms.
4. For a random sample of **resigned employees**, check the full and final computation: all dues, including gratuity and leave encashment, paid, and the employee's acknowledgement obtained.

5. From the 12 monthly salary registers compile a **payroll reasonability**: average salary per employee per month, compared with the previous year and the preceding month; variances may come from annual increments, a senior employee joining or leaving, or a bonus pay-out.
6. Verify that **accruals or provisions** have been made for all employee benefits and obligations such as bonus, gratuity and leave encashment.
7. Where **PF and ESI** apply, compile a reasonability by applying the rate to the basic wages, compare with the books and analyse variances; check the monthly challans to see that each month's liability was deposited within the timelines.
8. Perform analytical procedures such as **production per employee** (units produced per employee against previous years and industry trends), asking management to explain significant variations.

4. Depreciation and amortisation

Depreciation is the systematic allocation of the depreciable value of an item of PPE over its useful life; **amortisation** is the systematic allocation of the depreciable amount of an intangible asset over its useful life (SM 5.107). The auditor considers these attributes (SM 5.107–5.108):

- the entity's accounting policy for depreciation and amortisation, and whether it is as per the Companies Act, 2013 and the applicable accounting standards;
- whether the policy is applied consistently year on year, with any change adequately disclosed;
- whether depreciation is calculated after adjusting the **residual value** from the cost;
- whether the charges are valid, accurately calculated and recorded, and recorded in the appropriate period;
- whether each part of an item of PPE with a cost significant in relation to the total is **depreciated separately** (for example the airframe and engines of an aircraft), and with the most appropriate method for each component.

The procedures (SM 5.108–5.110):

1. Understand the entity's process of charging depreciation and amortisation.
2. Obtain the **fixed asset register**. There is a risk of capitalising revenue expenses to raise profit, or charging capital expenditure to revenue to reduce it: check the nature of assets. There is a risk of fake assets: physically verify at least the material ones. Obtain the list of additions and deletions with their approvals.
3. For a sample selected on materiality, verify the rates and the calculations; obtain management's list of components.
4. Ensure intangibles such as patents, goodwill and copyrights are properly amortised.
5. Ensure depreciation is charged from the date the asset is **ready to use**, not from the date of actual usage: depreciation begins when the asset is available for use, that is, in the location and condition necessary for it to be capable of operating in the manner intended by management.
6. Ensure depreciation on the revalued amount is properly accounted from the revaluation reserve.
7. For depreciation as per the Income-tax Act, 1961, tally additions with those as per the Companies Act, 2013 and the opening WDV with the tax audit schedule of the preceding assessment year.

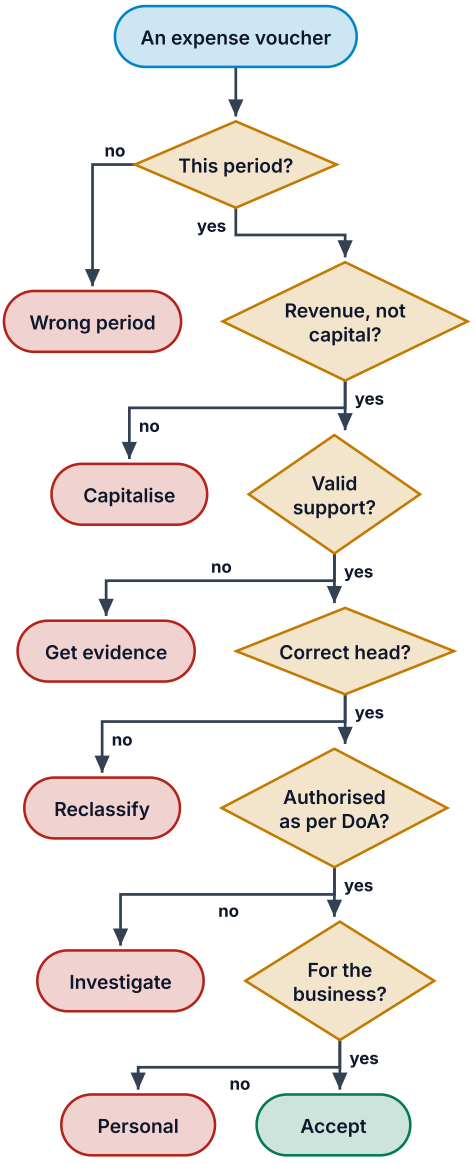
8. Recompute the year's depreciation; ensure charges follow the useful lives, residual values are verified, and changes in useful lives are applied **prospectively**.

The assets themselves belong to the audit of PPE and intangibles.

5. Other expenses

Rent, power and fuel, repairs and maintenance, insurance, travelling, legal and professional and miscellaneous expenses are essential and incidental to running the business. The auditor may analyse monthly trends for expenses like rent and power and fuel, but generally prefers to **vouch** other expenses to verify these six attributes (SM 5.110–5.111):

Vouching an expense: the six attributes



The six attributes in the Study Material's order: current period, revenue not capital, valid supporting documents (travel tickets, insurance policy, third-party invoice), correct expense head, authorised as per the delegation of authority (DoA) matrix, business and not personal. Rose: the voucher fails that attribute; green: it passes all six.

The procedures by expense (SM 5.111–5.113):

Expense	What the auditor does
Rent	Month-wise schedule with the rent agreements; recorded for all 12 months at the agreed amount; the **escalation clause**, to see if rent was required to be recorded on a straight-line basis; agreement in the entity's name, for premises used in its business
Power and fuel	Month-wise schedule with power bills, all 12 months; month-wise units consumed × rate, checking each bill's arithmetic; units consumed linked to finished goods produced, with reasons for variances in monthly trends
Insurance	Summary of policies with their validity period; expense correctly split between prepaid and expense for the period, by number of days
Legal and professional	Month-wise and consultant-wise summary; monthly retainers recorded for all 12 months; vouch a sample of non-recurring items; be cautious, as legal expenses **may highlight a dispute** for which no provision has been made and which was not discussed with the auditor
Travel, repairs, printing and stationery, miscellaneous	Vouch a sample for the six attributes; where possible, prepare a monthly summary and compare trends

Finally, analytical procedures such as **expenditure per unit of production**, compared with previous years and industry trends, with reasons from management for significant variations.

Formats and formulas

The disclosures to verify

Reproduce these lists in this order: "state the disclosures" questions give a mark a head.

Caption	Disclosure the auditor ensures (SM 5.104, 5.107, 5.110, 5.113)
Purchases (Schedule III, Part II)	Purchases of stock-in-trade specifically disclosed; changes in inventories of finished goods, stock-in-trade and work-in-progress specifically disclosed; related party transactions disclosed in the notes
Employee benefits expense (Schedule III, Part II)	Showing separately (i) salaries and wages, (ii) contribution to provident and other funds, (iii) expense on Employee Stock Option Scheme (ESOP) and Employee Stock Purchase Plan (ESPP), (iv) staff welfare expenses
Depreciation and amortisation	Accounting policy; useful lives of assets as per Schedule II to the Companies Act, 2013; residual value; depreciation method
Other expenses	Classified under rent; insurance; power and fuel; repairs and maintenance (building, plant and machinery, others); legal and professional; printing and stationery; travel expenses; miscellaneous expenses

Corporate Social Responsibility (Additional Information, for a company covered under section 135; SM 5.113–5.114):

- (a) amount required to be spent by the company during the year;
- (b) amount of expenditure incurred;
- (c) shortfall at the end of the year;

- (d) total of previous years' shortfall;
- (e) reason for shortfall;
- (f) nature of CSR activities;
- (g) details of related party transactions, for example a contribution to a trust controlled by the company in relation to CSR expenditure;
- (h) where a provision is made with respect to a liability incurred by entering into a contractual obligation, the movements in the provision during the year shown separately.

Crypto currency or virtual currency (Additional Information; SM 5.114): (a) profit or loss on transactions involving it; (b) amount held at the reporting date; (c) deposits or advances from any person for trading or investing in it.

> ⚠ **Careful**
>
> **Version-sensitive**
>
> CSR and Schedule III requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic the auditor redoes

> Σ **Formula**
>
> **Payroll reasonability**
>
> $$\text{Average salary} = \frac{\text{Salary expense for the month}}{\text{Employees on the payroll}}$$
>
> Per employee per month, compared with the previous year and the preceding month.

> Σ **Formula**
>
> **PF (or ESI) reasonability**
>
> $$\text{Expected contribution} = \text{Basic wages} \times \text{Applicable rate}$$
>
> The rate is the one applicable to the entity, as given in the question.

> Σ **Formula**
>
> **Depreciation, straight-line method**
>
> $$\text{Annual depreciation} = \frac{\text{Cost} - \text{Residual value}}{\text{Useful life}}$$
>
> Charged from the date the asset is available for use.

∑ Formula

Insurance expense for the period

$$\text{Expense} = \text{Premium} \times \frac{\text{Days of cover in the period}}{\text{Days of cover in the policy}}$$

The rest of the premium is prepaid.

Worked examples

Worked example **The payroll that came in under budget**

Tapri's kulhad café division had an average of 1,200 employees in 2024-25 and a salary and wages expense of ₹57,60,00,000. In 2025-26 the average headcount is 1,250 and the salary and wages recorded are ₹59,40,00,000. HR confirms an annual increment of 8% for all staff from 1 April 2025 and no other change in pay structure. Salaries are paid on the 7th of the following month. Basic wages are half of salary and wages, and the PF contribution recorded, ₹3,56,40,000, is 12% of the basic wages recorded; take that rate as the applicable one. The bonus for 2025-26, payable in October 2026, is estimated by HR at ₹2,16,00,000; Dev will "book it when it is paid". The PF challans show that the contributions for June and July 2025 were deposited in October 2025.

> **Kesar:** Salaries below budget, in a year of increments! Give the café managers a medal.

Required:

(a) Prepare a payroll reasonability and comment.

(b) Which assertions are affected, and by how much is employee benefits expense misstated?

(c) State the further audit procedures.

MODEL ANSWER

(a) Payroll reasonability

Average salary per employee per month

Particulars	2024-25	2025-26
Salary and wages (₹)	57,60,00,000	59,40,00,000
Average headcount	1,200	1,250
Average per employee per month (₹)	40,000	39,600
Expected at 8% increment (₹)		43,200
Expected expense: 43,200 × 1,250 × 12 (₹)		64,80,00,000
Shortfall (₹)		**5,40,00,000**

Headcount rose about 4% and every employee got 8% more, yet the average salary fell 1%. Rose: the shortfall that needs explanation.

The shortfall of ₹5,40,00,000 is exactly one month's expected salary (₹43,200 × 1,250): the recorded expense is what eleven months cost. With salaries paid on the 7th of the following month, the likely cause is that the March 2026 salary, paid on 7 April 2026, was not accrued. The auditor confirms this from the March salary register and the April bank payment. The PF reasonability on the recorded figures agrees (12% × ₹29,70,00,000 = ₹3,56,40,000), but it inherits the same gap: PF on the March salary is also missing.

(b) Assertions and misstatement. Completeness (all employee benefit expenses of the period recorded) and **cut-off** (expenses reported in the correct accounting period) are affected; occurrence is not in doubt here, since the problem is expense left out, not expense that should not be there.

Omitted from 2025-26	₹
March 2026 salary	5,40,00,000
PF on it: 50% × ₹5,40,00,000 × 12%	32,40,000
Bonus for 2025-26, not provided	2,16,00,000
Employee benefits expense understated	**7,88,40,000**

Salary payable, PF payable and the provision for bonus are understated by the same amounts. The late deposit of June and July PF does not misstate the expense, but it is a delay in depositing a statutory due, to be listed for reporting under CARO 2020.

(c) Further procedures. As per the Study Material, the auditor should: understand the attendance process and, against the risk of fictitious employees, meet a sample of employees or obtain their bank details and identity proofs; obtain the list of employees with the monthly movement of new hires, leavers and continuing employees; check the salary of a sample of new hires with their appointment letters, and the full and final settlements of a sample of leavers; compile the reasonability month by month from all 12 salary registers, which locates the missing month; verify that accruals or provisions are made for bonus, gratuity and leave encashment; recompute PF and ESI on basic wages and verify the monthly challans and their timeliness; and perform a production-per-employee analysis (SM 5.105–5.107). The uncorrected amount is accumulated with other misstatements and evaluated.

Worked example **Kesar's miscellaneous drawer**

Bunty vouches five items in Tapri's expenses for 2025-26:

(i) In the fixed asset register, additions include ₹6,40,000 of "Café improvements": repainting 16 cafés and replacing cracked floor tiles.

(ii) ₹1,85,000 under "Printing and stationery" for Diwali menu cards, supported only by the café manager's handwritten note of the amount; there is no printer's invoice.

(iii) Insurance premium of ₹14,60,000 paid on 1 January 2026 for cover up to 31 December 2026, fully charged as expense.

(iv) Rent of the Bhopal café: a three-year lease from 1 April 2025 at ₹2,00,000 a month in year 1, rising 10% a year; ₹24,00,000 charged. Tapri's accounting policy records lease rent on a straight-line basis over the lease term.

(v) Two bills from the same law firm under "Legal and professional": ₹3,50,000 for defending a consumer case filed by a customer scalded at a café, for which no provision has been made and which was never mentioned to the auditor; and ₹2,40,000 for drafting Kesar's personal will.

Required: Comment on each item, stating the attribute it affects and the correct treatment.

MODEL ANSWER

While vouching other expenses the auditor verifies whether the expenditure pertained to the current period, qualified as revenue and not capital expenditure, had valid supporting documents, was classified under the correct head, was authorised as per the delegation of authority matrix, and related to the entity's business and not personal expenditure (SM 5.111).

(i) Repainting and replacing cracked tiles maintain the cafés; they create no new asset. The revenue-or-capital attribute fails in reverse: revenue expenditure has been capitalised as PPE, the risk the Study Material names (capitalising expenses of a revenue nature to increase profit), checked from the nature of the additions in the fixed asset register (SM 5.108). Charge ₹6,40,000 to repairs and maintenance (building) and reverse any depreciation charged on it: profit and PPE are overstated by ₹6,40,000, less that depreciation.

(ii) A handwritten note of the amount is not a valid supporting document: the attribute "valid supporting documents like a third-party invoice" fails. The auditor should ask for the printer's invoice and evidence of delivery; if none exists, doubt whether the expense was incurred at all, examine its authorisation and extend the vouching of that café's expenses.

(iii) Cover in 2025-26 is 1 January to 31 March 2026, 90 days of 365. Expense = ₹14,60,000 × 90/365 = ₹3,60,000; prepaid insurance = ₹11,00,000. Charging the full premium overstates the expense by ₹11,00,000: the current period attribute fails.

(iv) Rent over the lease: ₹2,00,000, ₹2,20,000 and ₹2,42,000 a month, an average of ₹2,20,666.67. The straight-line charge for 2025-26 is 12 × ₹2,20,666.67 = ₹26,48,000; ₹24,00,000 was charged, so rent is understated by ₹2,48,000. The escalation clause required a straight-line charge under Tapri's policy.

(v) The ₹3,50,000 fee is a valid business expense, but it highlights a dispute for which no provision has been made and which was not brought to the auditor's attention. The auditor should enquire of management, obtain the legal expert's assessment of the likelihood of a liability (probable, possible or remote), and consider whether a provision or a contingent liability disclosure is required (see provisions and contingent liabilities). The ₹2,40,000 for Kesar's will is personal expenditure, not related to Tapri's business: it should not be charged as Tapri's expense, and the auditor should examine who authorised it and take it up with management and those charged with governance.

Worked example **The van fleet that aged overnight**

Dev's depreciation schedule for 2025-26 has two items Bunty cannot agree.

(i) Tapri's delivery van fleet cost ₹2,40,00,000 on 1 April 2023; residual value ₹24,00,000; useful life 8 years; straight-line method. After new city emission rules, management re-estimated on 1 April 2025 that the total useful life will be only 6 years, residual value unchanged. Dev has charged ₹54,00,000 for 2025-26: "(₹2,16,00,000 ÷ 6) × 3 years, less the ₹54,00,000 charged in the first two years".

(ii) A new samosa fryer line costing ₹1,46,00,000 (residual value ₹6,00,000; useful life 10 years; straight-line; depreciation in months) was delivered on 10 April 2025. Installation and trial runs were completed on 1 August

2025, when it was ready for use, and it has run full shifts since. Dev has charged twelve months' depreciation, "from the month it arrived".

Required: Comment on each treatment and compute the correct depreciation for 2025-26.

MODEL ANSWER

(i) Change in useful life. The auditor ensures that depreciation is computed **prospectively** whenever there is a change in the useful lives of PPE, and that residual values are properly verified (SM 5.110). The revised estimate applies to the carrying amount over the remaining life; the first two years are not reopened.

Particulars	₹
Original annual depreciation: (2,40,00,000 − 24,00,000) ÷ 8	27,00,000
Carrying amount at 1 April 2025: 2,40,00,000 − 2 × 27,00,000	1,86,00,000
Correct charge for 2025-26: (1,86,00,000 − 24,00,000) ÷ 4 remaining years	40,50,000
Charged by Dev	54,00,000
Depreciation overstated	**13,50,000**

Dev's method recomputes the first two years on the new life (₹36,00,000 a year instead of ₹27,00,000) and puts their catch-up of ₹18,00,000 into 2025-26 on top of ₹36,00,000: that is retrospective, not prospective.

(ii) Date from which depreciation begins. Depreciation of an asset begins when it is available for use, that is, when it is in the location and condition necessary for it to be capable of operating in the manner intended by management (SM 5.109). Arrival on 10 April did not make the line usable; installation and trials did, on 1 August 2025.

Particulars	₹
Annual depreciation: (1,46,00,000 − 6,00,000) ÷ 10	14,00,000
Correct charge: 8 months (August to March)	9,33,333
Charged by Dev: 12 months	14,00,000
Depreciation overstated	**4,66,667**

Conclusion. Neither treatment is proper. Depreciation for 2025-26 is overstated by ₹18,16,667 (₹13,50,000 + ₹4,66,667), so profit and the carrying amount of PPE are understated by the same amount. The auditor also checks that the useful lives disclosed reflect the revised estimate (SM 5.110).

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson (listed in the report):

- **Descriptive, 3 to 5 marks.** Occurrence of purchases, "any five points": MTP May 2026 Series I Q2(a) (5 marks). Employee benefit expense procedures, "any five points": MTP May 2026 Series I Q5(b) (5 marks; the answer adds a detailed variance analysis where the expense has risen). Analytical procedures for purchase quantity and price: May 2024 Q4(d) (3 marks) and MTP September 2025 Series II Q5(c) (4 marks). Rent expense: MTP September 2025 Series II Q6(b) (5 marks). Depreciation attributes for an aircraft with a single rate and an undisclosed change in amortisation method: MTP January 2026 Series I Q6(b) (5 marks). CSR disclosures, "any four such matters": May 2025 Q6(c) (4 marks, an internal choice).
- **Capital charged to revenue as a misstatement**: machinery parts that extend useful life charged to repairs, January 2026 Q4(a) (1 + 4 marks).
- **Multiple choice, 2 marks.** Trend analysis of a 43% salary rise, fictitious employees, and occurrence against completeness of employee benefits: MTP January 2026 Series II MCQs 1–5. Bifurcating employee benefits into salaries, PF, ESOP and staff welfare: the **disclosure** assertion (September 2024 MCQ 2). Depreciation "from the date of actual usage" as the incorrect statement (May 2025 MCQ 8). An air conditioner under repairs: the revenue-not-capital attribute (MTP May 2026 Series I MCQ 7). A director's foreign travel: bills in the company's name and business purpose (MTP January 2026 Series I MCQ 5).
- **Identify the assertion, 1 mark.** "Employee benefit expenses do not include the cost of any unauthorised personnel": occurrence (January 2025 Q4(b)(i)).

Trick

The vouching mantra: "Period, Capital, Paper, Head, Boss, Business"

This period? Revenue, not capital? Valid paper? Right head? Authorised by the right boss (delegation of authority)? For the business, not personal? Condition: it covers the Study Material's six attributes for other expenses; purchases and payroll have their own procedure lists.

Answer frame

"Explain the audit procedures for [purchases / employee benefits / rent]"

1. **Name the assertion** where the question does ("to verify the occurrence of purchases").
2. **List the Study Material's procedures in its order**, one line each, with the document named (gate inward register, GRN, appointment letter, rent agreement).
3. **Apply to the case**: the weak controls, the increase, the escalation clause.
4. **Conclude**: if the evidence is satisfactory the assertion is addressed; otherwise the reporting consequences.

A "comment on the treatment" case

1. **Provision**: the attribute or rule (six attributes; ready for use; straight-line rent under the policy).
2. **Facts**: the item and its amount.
3. **Analysis**: which attribute fails; compute the correct figure.

4. **Conclusion**: the correct treatment and the misstatement.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's tick on the paint bill

Ticking an invoice because it exists, without asking what it bought or where it was booked: a painter's bill is a perfectly valid document, and still wrong in the fixed asset register. **Fix:** a valid document is one attribute of six; "revenue, not capital" (in both directions) and "for the business" are separate questions.

⚠ **Common mistake**

Depreciation from the wrong day

Charging depreciation from the day the machine arrived, or from the day it got busy. **Fix:** depreciation begins when the asset is available for use (in the location and condition to operate as management intends): not before installation and trials are complete, and not later just because orders arrive late.

⚠ **Common mistake**

Reading the payroll reasonability one way only

Hunting only for padded payrolls, and waving through an average salary that fell in a year of increments. **Fix:** occurrence asks whether recorded expense is real and relates to the entity's personnel (overstatement); completeness and cut-off ask whether all the period's expense, accruals included, has been recorded (understatement). A shortfall against the expectation is as much a finding as an excess.

⚠ **Common mistake**

Legal fees vouched and forgotten

Vouching a legal bill and moving on. **Fix:** legal expenses may reveal a dispute with no provision; follow it into provisions and contingent liabilities.

Practice

Check yourself

1 Case scenario. Ujjain Kulhad Works Ltd charges ₹14,40,000 of rent for 2025-26 for a flat in Indore. Every month's payment is supported by a rent receipt. The rent agreement is in the name of the managing director's wife, and the flat is where the managing director's family lives. Which of the following is correct?

- A The current-period attribute fails: rent should be recorded only for the months actually paid
- B The expense is under the wrong head: it should be shown under "Repairs and maintenance"
- C The agreement is not in the company's name and the premises are not used for its business: this is personal expenditure, not the company's rent
- D Nothing fails, since each month's payment has a valid rent receipt

2 The samosa factory's power bill for February 2026 is recorded at ₹10,80,000. The meter shows 1,20,000 units at ₹8.25 per unit, and the fixed charge is ₹45,000 a month. What difference (₹) should the auditor ask the client to explain?

Answer: _____

3 Which procedure does the Study Material give to address the risk that payroll includes fictitious employees?

- **A** Compare the total salary expense with last year's
- **B** Meet a sample of employees in person, or ask the payroll department for the bank details or identity proofs of a sample of employees
- **C** Obtain a written representation from the HR head that all employees are genuine
- **D** Recompute the PF contribution at the applicable rate on basic wages

4 Which of the following are procedures the Study Material lists for the occurrence of purchases? Select all that apply.

- **A** Whether the goods were received at the factory gate, with an entry in the security gate inward register
- **B** Whether a goods receipt note was prepared and signed by an appropriate client personnel
- **C** Whether the purchase invoice was approved as per the delegation of authority and a 3-way or 2-way match done
- **D** Examining the last 5 inward transactions at the period end to check that their invoices are in the purchases book

More than one answer may be right.

5 Case scenario. At Kulhad Crafts Ltd the average salary per employee per month has fallen from ₹30,000 to ₹28,000, although headcount is steady and HR confirms a 5% increment for everyone. Which conclusion should the auditor draw first?

- **A** No concern: an expense lower than expected is conservative
- **B** Fictitious employees are the main risk, so the occurrence assertion is in doubt
- **C** The fall is explained by the increment, so no further work is needed
- **D** Some employee benefit expense of the year may be unrecorded (a month not accrued, a bonus not provided): completeness and cut-off are in doubt

Answers: the answer key at the end of this lesson.

Recap

- Purchases: control points (quotes, PO, GRN, 2-way or 3-way match, invoice approval); occurrence: fictitious vendors, gate inward register, quality check, signed GRN, approval and match, stock record; original invoice, risk and reward, input tax, related parties at arm's length, capitalise or expense.

- Purchases completeness: cut-off on the last 5 inward transactions, goods in transit, written representation; analytics: consumption, stock composition, ratios, quantitative reconciliation.
- Employee benefits are tested against fictitious employees (meet a sample, bank details or identity proofs) and against omissions; monthly movement; new hires and leavers; average salary per employee per month, read both ways; accruals for bonus, gratuity, leave encashment; PF and ESI reasonability and challans; production per employee.
- Depreciation: residual value deducted; significant components separately; from the date available for use (not delivery, not first use); on revalued amount from revaluation reserve; change in useful life prospectively.
- Other expenses, six attributes: current period, revenue not capital, valid documents, correct head, authorised as per DoA, business not personal. (Kesar's personal will fails the sixth.)
- Disclosures: employee benefits in four parts; other expenses under eight heads; CSR (a) to (h); crypto (a) to (c).

Answer key · Check yourself

1 **C The agreement is not in the company's name and the premises are not used for its business: this is personal expenditure, not the company's rent**

For rent the auditor verifies whether the agreement is in the name of the entity and whether the expense pertains to premises used for running its business (SM 5.111), and every voucher must relate to the business and not be personal. A receipt for each month proves payment, not that the expense is the company's: a valid document is one attribute of six.

2 **45000**

Recomputed bill: 1,20,000 × ₹8.25 + ₹45,000 = ₹9,90,000 + ₹45,000 = ₹10,35,000. Difference: ₹10,80,000 − ₹10,35,000 = ₹45,000 (perhaps the fixed charge counted twice). The Study Material asks for a month-wise summary of units and rate to check each bill's arithmetic (SM 5.112).

3 **B Meet a sample of employees in person, or ask the payroll department for the bank details or identity proofs of a sample of employees**

SM 5.105 answers the risk of fictitious employees with meeting employees in person on a sample basis, or the bank details or identity proofs of a sample. A comparison of totals cannot point to a person, a representation is not a substitute, and the PF check tests the rate, not whether people exist.

4 **A Whether the goods were received at the factory gate, with an entry in the security gate inward register; B Whether a goods receipt note was prepared and signed by an appropriate client personnel; C Whether the purchase invoice was approved as per the delegation of authority and a 3-way or 2-way match done**

The last option is the cut-off test, listed under completeness: it starts from the goods and looks for the invoice. Occurrence starts from the recorded purchase and looks for the goods.

5 **D Some employee benefit expense of the year may be unrecorded (a month not accrued, a bonus not provided): completeness and cut-off are in doubt**

At ₹30,000 plus 5% the expectation is ₹31,500; the books show ₹28,000. A shortfall points to expense left out, not to expense that should not be there. The reasonability is compared with the previous year and the preceding month and the variance is analysed (SM 5.106).

5.3 Audit of share capital, reserves and borrowings

How the auditor verifies share capital (sections 52, 53, 54, 66 and 68), reserves and surplus, and borrowings, with the procedures by assertion and the Schedule III disclosures.

In plain words

Three kinds of money in Tapri's balance sheet

Tapri, listed since 2024, raised more money this year for its cold-chain fleet. Kesar has ideas about spending it.

> **Kesar:** ₹60 crore over the face value, Lakshmi-ji. Premium! Our own money, and I have ideas for every rupee.
>
> **Lakshmi:** The Companies Act keeps a short list for that money, Kesar-ji. Each idea will have to find its name on it.
>
> **Bunty:** And an idea that is not on the list, Ma'am?
>
> **Lakshmi:** Stays an idea.

This side of the balance sheet holds three kinds of money: **share capital** (what the owners put in), **reserves and surplus** (profits kept back, plus items such as securities premium) and **borrowings** (money from banks, debenture holders and depositors that must be repaid).

Each is audited for a different fear. Share capital and reserves are hedged in by the Companies Act, 2013, so the auditor checks **legality and authority**: authorised, within the authorised capital, at a lawful price, and used only as the law permits. Borrowings are liabilities, so the fear is **omission**: a loan left out, a covenant broken, next year's instalment shown as long-term.

Think of it like

The dhaba, the gullak and the sahukar

A dhaba owner has three tins of money: what the family put in (capital), the gullak of savings from good seasons (reserves), and the sahukar's loan (borrowings). An honest accountant checks that the family's money was put in as agreed, that the gullak is opened only for what the family allowed, and above all that every sahukar's loan is in the book with its interest and conditions, because a forgotten sahukar always comes back.

Key idea

For share capital and reserves the auditor's question is "was it authorised and lawful?" (resolutions, Memorandum, sections 52 to 54, 66 and 68). For borrowings it is "is every claim recorded, and correctly classified?" (board minutes, loan agreements, confirmations from lenders, covenants).

How it works

1. The assertions for these captions

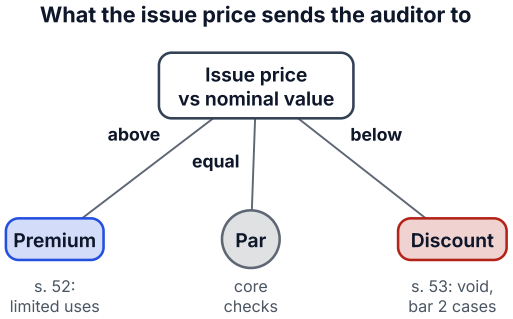
Balance sheet captions carry the assertions of existence, completeness, cut-off, valuation, rights and obligations, and presentation and disclosure (SM 5.8–5.10; see assertions). The Study Material arranges the procedures below under existence, completeness, valuation and disclosure.

2. Share capital: the core procedures

Applications and allotment need careful attention: each party must have performed its part of the contract in time, and underwriting contracts are verified (SM 5.11–5.12). To establish **existence, completeness and valuation** of share capital (SM 5.12–5.13):

1. Tally the period-end share capital (authorised, issued and paid up) to the previous year's audited financial statements.
2. If there is **no change**, obtain a written confirmation or representation from the **Company Secretary** that the capital structure did not change.
3. If there is a change, verify that paid-up capital is **within the authorised capital**, examining the Memorandum of Association (MOA).
4. Obtain certified copies of the board and shareholders' **resolutions** authorising the increase or decrease in authorised or paid-up capital.
5. For a **fresh issue**, check compliance with the Companies Act, 2013 on return of allotment, minimum subscription, minimum application money, a separate bank account, and underwriting commission (section 40).
6. Check that **no shares were issued at a discount** (section 53).
7. Check whether shares were issued for cash or for **consideration other than cash** (to promoters for services, underwriters for commission).
8. Check compliance with SEBI regulations and guidelines.
9. Verify the forms filed with the MCA (SH-7, notice of alteration of share capital; PAS-3, return of allotment) and the RBI (FC-GPR, for FDI by a non-resident), agreeing the number of securities and issue price.
10. On an increase, verify that the fee and stamp duty payable to the MCA were accurately calculated.

3. The issue price: premium, par or discount



Blue: an issue at a premium, lawful, with the premium's uses restricted by section 52; grey: at par, the core procedures only; rose: at a discount, void except sweat equity (section 54) and the RBI-scheme conversion of debt for creditors.

Shares issued at a premium (section 52). When shares are issued at a premium, for cash or otherwise, the premium is transferred to a **securities premium account**; the Act prescribes no restriction or condition on issuing at a premium. The provisions on reduction of share capital apply as if the securities premium account were paid-up share capital (SM 5.13–5.14). The account may be applied:

- (a) towards the issue of unissued shares to members as fully paid **bonus shares**;
- (b) in writing off the **preliminary expenses** of the company;
- (c) in writing off the **expenses of, or the commission paid or discount allowed on, any issue of shares or debentures**;
- (d) in providing for the **premium payable on redemption** of redeemable preference shares or debentures;
- (e) for the **purchase of its own shares** or other securities under section 68 (buy-back).

A class of companies that may be prescribed, whose financial statements comply with the accounting standards prescribed for that class under section 133, may apply it only (a) in paying up unissued equity shares as fully paid bonus shares; (b) in writing off the expenses of, or commission paid or discount allowed on, any issue of equity shares; or (c) for buy-back under section 68 (SM 5.14–5.15). The auditor verifies (i) that the premium has been transferred to the securities premium account and (ii) that any application of it is only for the purposes mentioned (SM 5.15).

Shares issued at a discount (section 53) (SM 5.15–5.16):

- (1) A company shall not issue shares at a discount, except sweat equity shares under section 54.
- (2) Any share issued at a discounted price shall be **void**.
- (2A) Notwithstanding (1) and (2), a company may issue shares at a discount to its **creditors** when its debt is converted into shares under a statutory resolution plan or debt restructuring scheme in accordance with RBI guidelines, directions or regulations under the RBI Act, 1934 or the Banking (Regulation) Act, 1949.
- (3) On default, the company and every officer in default are liable to a penalty which may extend to the amount raised at a discount or **five lakh rupees, whichever is less**, and the company must

refund all monies received with interest at twelve per cent per annum from the date of issue.

The auditor checks the movement in share capital, and for every issue reads the minutes of directors' and shareholders' meetings authorising it and the issue price, to verify that no shares were issued at a discount, and whether any discounted issue to creditors falls within (2A) (SM 5.16).

Sweat equity shares (section 54). "Sweat equity shares" mean equity shares issued by the company to **employees or directors** at a **discount** or for **consideration other than cash**, for providing know-how or making available rights in the nature of intellectual property rights or value additions, by whatever name called. The auditor verifies that they are **of a class of shares already issued**, and that:

- (a) the issue is authorised by a **special resolution**;
- (b) the resolution specifies the number of shares, the current market price, the consideration, if any, and the class or classes of directors or employees to whom they are issued;
- (c) omitted;
- (d) if listed, they are issued as per SEBI regulations, and if not, as per the rules prescribed.

The holders rank **pari passu** with other equity shareholders (SM 5.16–5.17).

Reduction of capital (section 66) and buy-back (section 68). Accumulated losses, assets of doubtful value or surplus capital may require a reduction. The auditor examines compliance with section 66: a **special resolution** at a properly convened meeting, authority in the Articles, no default on deposits, and the **Tribunal's order** filed with the Registrar (all eleven checks under "Under the hood"). Section 66 does not apply to a buy-back, which must comply with section 68 (SM 5.18–5.20).

4. Reserves and surplus

Reserves are the amounts appropriated out of profits that are not intended to meet any liability, contingency, commitment or diminution in the value of assets known to exist at the balance sheet date. They are a vital source of internal finance (SM 5.24).

Two kinds of reserve



Green: revenue reserves, profits available for distribution or for purposes like these; orange: capital reserves, usable only for limited purposes (SM 5.24–5.25).

A capital reserve can generally be used for writing down fictitious assets or losses or (subject to the Articles) for issuing bonus shares if it is **realised**; but securities premium and the capital redemption reserve can be used only for the purposes in sections 52 and 55 respectively (SM 5.24–5.25).

The procedures for **existence, completeness and valuation** (SM 5.25–5.26):

- Trace and tally the opening balance to the previous year's audited financial statements.
- Trace the movement in the profit and loss balance to the surplus or deficit as per the statement of profit and loss, and in the statement of changes in equity.
- Verify the **board's resolution recommending** the dividend and the **shareholders' resolution declaring** it. Under AS 4 (Revised) or Ind AS 10, dividends proposed or declared after the balance sheet date are **not a liability** at that date, but are disclosed.
- For securities premium, obtain the board's resolution for the issue above nominal value, and see that any utilisation is only for section 52 purposes.

5. Borrowings

Liabilities are the financial obligations of an enterprise other than owners' funds; verifying them is as important as verifying assets, since an omitted, understated or overstated liability means the statements are not true and fair. **Borrowings** are monies from external sources such as bank loans, debentures and public fixed deposits (SM 5.27).

Existence: all borrowings represent valid claims by banks or other third parties (SM 5.28):

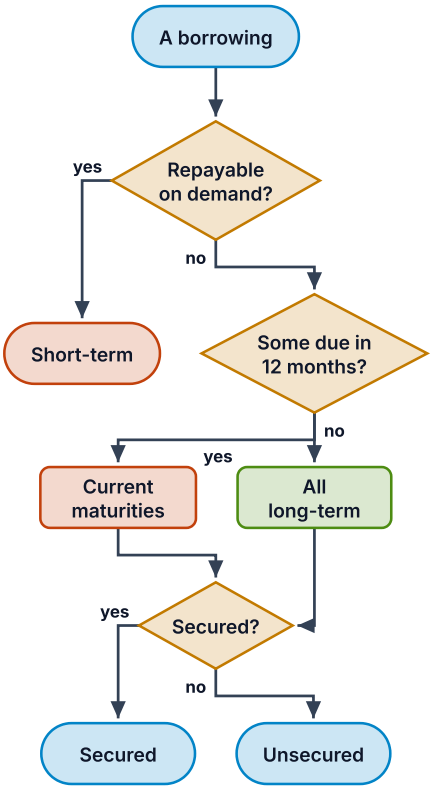
1. Review **board minutes** for approval of new lending agreements and bond issues; significant debt commitments must be approved by the board.
2. Agree the details recorded (interest rate, nature, repayment terms) to the **loan agreement**; verify that borrowing limits imposed by agreements are not exceeded.
3. Obtain independent **balance confirmations** (SA 505) for all borrowings from the lenders.
4. Agree leases and hire purchase creditors to the underlying contracts.
5. For **debentures**, examine the **trust deed** for terms and dates of redemption, borrowing restrictions and compliance with covenants.
6. When debt is retired, ensure a **discharge** is received on the assets securing it.
7. Obtain a **written representation** that all recorded liabilities are valid claims by the lenders.

Completeness: all borrowings are accounted for on a timely basis (SM 5.28–5.30): obtain a schedule of short-term and long-term borrowings (opening, new debt and renewals, repaid, closing); look for additional debt in board minutes, significant contracts, lenders' confirmations and subsequent cash disbursements; trace closing balances to the ledger; review **transactions after the period end** for unrecorded liabilities (a fresh loan near the year end). The **direct confirmations** ask for all relevant information (interest rates, due dates, collateral and security), non-replies get reminders, and differences are reconciled and test-checked (see SA 505).

Valuation: the liability is recorded at the correct amount (SM 5.30–5.32):

- Accounting policies and methods for recording debt are appropriate and consistently applied; agree loan balances and payables to the loan agreement.
- Recompute interest and any discount or premium on redemption, and the amortisation of premium or discount.
- For foreign currency loans, check the closing exchange rate and recompute the restatement (AS 11).
- Read the loan and debt agreements: test compliance with **loan covenants**; where a provision has not been complied with, determine whether the debt should be classified as **current**; if the lender has waived enforcement, **obtain confirmation of the waiver from the lender**.
- Examine due dates for proper classification between long-term and short-term, and verify any instalments of long-term loans falling due within twelve months that are disclosed.
- Examine restrictive covenants and default provisions and ensure their disclosure.
- Examine the documents evidencing **charges**, and compliance with the statute on creation and registration of charges, and their disclosure.
- If the value of the security falls below the loan outstanding, examine whether the loan is classified as secured only to the extent of the market value of the security.
- Examine hire purchase agreements for the amounts outstanding and the security.
- Review borrowings from **related parties** for compliance with AS 18 or Ind AS 24.
- Verify that liabilities for bills discounted, bills negotiated and cheques discounted are correctly reflected and disclosed.
- Verify that the amount borrowed is within the **borrowing powers** in the Articles and Memorandum, and that the restrictions on the board's powers in **section 180** are not contravened; check compliance with sections 185 and 186.
- Examine the **purpose** of the borrowing and that it is not used against the interest of the company.
- For deposits accepted, examine compliance with the directives of the RBI or other appropriate authority.

Where a borrowing goes in the balance sheet



Orange: amounts under short-term borrowings (loans repayable on demand, and the instalments of a long-term loan falling due within 12 months, split out as current maturities); green: a loan wholly long-term. Every borrowing is further sub-classified as secured (stating the nature of security) or unsecured, and loans guaranteed by directors or others are disclosed in aggregate. A covenant breach may also make a long-term loan current.

Formats and formulas

These lists are what "state the disclosure requirements of Schedule III" questions ask for. Reproduce them in this order.

Share capital (Schedule III, Part I; SM 5.20–5.22)

For each class of share capital (different classes of preference shares treated separately):

- (a) the number and amount of shares authorised;
- (b) the number of shares issued, subscribed and fully paid, and subscribed but not fully paid;
- (c) par value per share;
- (d) a reconciliation of the number of shares outstanding at the beginning and at the end of the reporting period;
- (e) the rights, preferences and restrictions attaching to each class, including restrictions on the distribution of dividends and the repayment of capital;
- (f) shares held by the holding company or ultimate holding company, including shares held by their subsidiaries or associates, in aggregate;
- (g) shares held by each shareholder holding **more than 5 per cent** shares, specifying the number;

- (h) shares reserved for issue under options and contracts or commitments for the sale of shares or disinvestment, with terms and amounts;
- (i) for the five years immediately preceding the balance sheet date: (A) shares allotted as fully paid-up under contracts without payment in cash; (B) shares allotted as fully paid bonus shares; (C) shares bought back, each by aggregate number and class;
- (j) terms of securities convertible into equity or preference shares, with the earliest date of conversion, in descending order from the farthest date;
- (k) calls unpaid (showing the aggregate value of calls unpaid by directors and officers);
- (l) forfeited shares (amount originally paid-up);
- (m) **shareholding of promoters**:

Shares held by promoters at the end of the year:

S. No.	Promoter name	No. of shares	% of total shares	% change in year
	Total			

Details are given separately for each class; the percentage change is on the number at the beginning of the year (or at the date of a first issue during the year). If an issue for a specific purpose is not fully used at the balance sheet date, a note shows how the unutilised amount is used or invested.

Reserves and surplus (Schedule III, Part I; SM 5.26–5.27)

- (i) Classified as: (a) capital reserves; (b) capital redemption reserve; (c) securities premium; (d) debenture redemption reserve; (e) revaluation reserve; (f) share options outstanding account; (g) other reserves (nature, purpose and amount of each); (h) surplus, that is, the balance in the statement of profit and loss showing allocations and appropriations such as dividend, bonus shares and transfers to and from reserves (additions and deductions since the last balance sheet shown under each head).
- (ii) A reserve specifically represented by earmarked investments is termed a "**fund**".
- (iii) A debit balance in the statement of profit and loss is shown as a **negative figure under "Surplus"**; the balance of reserves and surplus, after adjusting it, is shown under "Reserves and Surplus" even if the result is negative.

Borrowings (Schedule III, Part I; SM 5.32–5.34)

Long-term borrowings	Short-term borrowings
(a) Bonds or debentures	(a) Loans repayable on demand: from banks; from other parties
(b) Term loans: from banks; from other parties	(b) Loans and advances from related parties
(c) Deferred payment liabilities	(c) Deposits
(d) Deposits	(d) Other loans and advances (specify nature)
(e) Loans and advances from related parties	
(f) Long-term maturities of finance lease obligations	
(g) Other loans and advances (specify nature)	

For both: **secured and unsecured**, with the nature of security; the aggregate of loans **guaranteed by directors or others** under each head; the period and amount of **default** in repaying loans and interest. Long-term only: bonds or debentures (rate, redemption or conversion particulars) in descending order of maturity from the farthest date (for instalments, the first instalment's date); redeemed bonds or debentures that can be reissued; terms of repayment of term loans. Short-term only: **current maturities of long-term borrowings** separately. Other long-term liabilities: trade payables and others. Bank borrowings not used for their specific purpose: where they were used.

Additional regulatory information (SM 5.35–5.37): (1) for borrowings on the security of current assets, whether the **quarterly returns or statements** of current assets filed with the banks agree with the books, and if not, a summary of the reconciliation and reasons for material discrepancies; (2) if the company is a declared **wilful defaulter**, the date of declaration and details of defaults; (3) charges or satisfaction **yet to be registered with the Registrar** beyond the statutory period, with details and reasons; (4) **utilisation of borrowed funds and share premium** passed through intermediaries to ultimate beneficiaries (or received from funding parties): dates, amounts, details, and a declaration of compliance with FEMA, 1999 and the Companies Act and of no violation of the Prevention of Money-Laundering Act, 2002.

⚠ **Careful**

Version-sensitive

Sections, penalties and Schedule III requirements here are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic

∑ **Formula**

Securities premium on an issue

$$\text{Premium} = \quad \text{Shares} \times (\text{Price} - \text{Face value})$$

∑ Formula

Current maturities of a term loan

$$\text{Current maturities} = \quad \text{Instalments due in 12 months}$$

Shown under short-term borrowings; the rest stays long-term.

Worked examples

Worked example **Tapri's cold-chain issue**

Tapri's authorised capital is ₹50 crore in equity shares of ₹10 each; 4,50,00,000 shares were issued and fully paid at 1 April 2025. In 2025-26 Tapri made a preferential issue of 40,00,000 equity shares of ₹10 each at ₹160 per share, fully paid, with issue expenses of ₹1.50 crore. Kesar proposes to use the securities premium to:

(i) write off the issue expenses;

(ii) pay the final dividend of ₹18 crore;

(iii) issue fully paid bonus shares in the ratio 1:10 on the enlarged capital;

(iv) provide for the premium of ₹2 crore payable on redemption of its debentures in 2027.

Required:

(a) Compute the share capital and securities premium arising on the issue.

(b) State the procedures Iyer & Associates should apply to the issue.

(c) Comment on each proposal.

MODEL ANSWER

(a) Computation

Particulars	Shares	₹ crore
Capital before the issue (₹10 each)	4,50,00,000	45.00
Preferential issue (₹10 each)	40,00,000	4.00
Paid-up capital after the issue	**4,90,00,000**	**49.00**
Securities premium: 40,00,000 × (₹160 − ₹10)		60.00

Paid-up capital of ₹49 crore is within the authorised capital of ₹50 crore.

(b) Procedures. Verify paid-up capital against the authorised capital in the MOA; obtain certified copies of the resolutions authorising the issue and its price; check Companies Act compliances (return of allotment, minimum application money, separate bank account) and SEBI regulations; check it is not at a discount; verify Form PAS-3 for the number of shares and price; verify the fee and stamp duty; and see that ₹60 crore is transferred to the securities premium account (section 52).

(c) The proposals. As per section 52, securities premium may be applied only for bonus shares, preliminary expenses, expenses of or commission or discount on an issue of shares or debentures, premium on redemption of preference shares or debentures, and buy-back (a prescribed class: equity bonus shares, expenses of an equity issue, buy-back).

1. **Issue expenses of ₹1.50 crore**: permitted (on both lists).
2. **Dividend of ₹18 crore**: **not permitted**; it is not a section 52 purpose.
3. **Bonus 1:10**: a permitted use, but 49,00,000 bonus shares (₹4.90 crore) take paid-up capital to ₹53.90 crore, above the authorised ₹50 crore. Authorised capital must first be increased by altering the capital clause of the MOA (an ordinary resolution, with notice to the Registrar in Form SH-7); the auditor verifies this.
4. **Premium on redemption of debentures, ₹2 crore**: **permitted** (use (d) of section 52); it is not on the prescribed class's shorter list, so the auditor confirms that Tapri is not of that class before accepting it.

After (i), (iii) and (iv), securities premium is ₹60.00 − ₹1.50 − ₹4.90 − ₹2.00 = ₹51.60 crore.

Worked example **Sharbat's two discounts**

Kesar's cousin runs Sharbat Ventures Ltd, an unlisted public company whose only shares so far are equity shares of ₹100 each with equal voting rights. In 2025-26 it made two issues below face value:

(i) Under a debt restructuring scheme drawn up by its lenders in accordance with the directions of the Reserve Bank of India, ₹6 crore owed to Pragati Bank was converted into 8,00,000 equity shares of ₹100 each, an issue price of ₹75 per share.

(ii) On 1 October 2025 it allotted 40,000 "Class B" equity shares of ₹100 each, carrying differential voting rights, a class it had never issued before, at ₹60 per share paid in cash, to its chief technology officer, a director, for making available the rights in its recipe-ordering app. A special resolution states the number of shares, the current market price, the consideration and the class of director.

Required: Advise the statutory auditor on both issues, computing the amounts involved for any issue that is not valid.

MODEL ANSWER

Relevant provisions. As per section 53, a company shall not issue shares at a discount except sweat equity shares under section 54; any share issued at a discounted price is void. Notwithstanding this, a company may issue shares at a discount to its creditors when its debt is converted into shares under a statutory resolution plan or debt restructuring scheme in accordance with RBI guidelines, directions or regulations. On default, the company and every officer in default are liable to a penalty up to the amount raised through the issue at a discount or ₹5 lakh, whichever is less, and the company must refund all monies received with interest at 12% per annum from the date of issue. As per section 54, sweat equity shares are equity shares issued to employees or directors at a discount or for consideration other than cash, for know-how, intellectual property rights or value additions; the auditor verifies that they are **of a class of shares already issued**, that a special resolution with the prescribed particulars authorises them, and (if unlisted) that the prescribed rules are followed (SM 5.15–5.17).

(i) Conversion of Pragati Bank's debt. Pragati Bank is a creditor, and its debt of ₹6 crore (8,00,000 × ₹75) is converted under a debt restructuring scheme in accordance with RBI directions: the issue falls within the exception for creditors and is **valid**, although at a discount of ₹25 per share (₹2 crore in all). The auditor verifies the scheme and its basis in the RBI directions, reads the minutes of the directors' and shareholders' meetings authorising the issue and its price, agrees the number of shares and price to Form PAS-3, and checks that the debt is no longer shown as a borrowing.

(ii) Class B shares to the director. The recipient, the consideration and the resolution meet section 54, but the Class B shares are not of a class already issued, so the issue is **not** sweat equity. Nor is it a conversion of debt for a creditor. Shares issued at a discount outside these two exceptions are **void**:

- monies to be refunded: 40,000 × ₹60 = ₹24,00,000, with interest at 12% per annum from 1 October 2025: ₹24,00,000 × 12% × 6/12 = ₹1,44,000 to 31 March 2026;
- penalty on the company and every officer in default: up to the lesser of ₹24,00,000 and ₹5,00,000, that is, ₹5,00,000.

The auditor should see that the ₹24,00,000 is shown as a liability to be refunded with interest, not as share capital, and consider the reporting consequences if it is not.

Worked example **Narmada Bank's letters**

Tapri's borrowings at 31 March 2026, as per the books:

(i) a term loan of ₹120 crore from Narmada Bank, secured by hypothecation of the cold-chain vehicles, repayable in 24 equal quarterly instalments of ₹5 crore from 30 June 2026; interest accrued but not due ₹1.80 crore;

(ii) a cash credit of ₹35 crore from Narmada Bank, repayable on demand and secured by hypothecation of stocks and book debts; the stock statement filed with the bank for the quarter ended 31 March 2026 shows inventories of ₹46 crore, against ₹38 crore in the books;

(iii) a foreign currency term loan of USD 20,00,000 from Lakeshore Bank, recorded at ₹83.20 per USD; the closing rate is ₹86.40 per USD;

(iv) the term loan agreement requires debt-equity not above 1.5; at 31 March 2026 it is 1.62, and Dev says the bank has orally agreed not to act.

Required:

(a) How should these be classified and disclosed?

(b) What should the auditor do about the covenant, and to confirm that the borrowings exist and are complete?

MODEL ANSWER

(a) Classification and disclosure

Tapri's borrowings note at 31 March 2026

Head	Item	₹ crore
Long-term borrowings	Term loan, Narmada Bank (secured)	100.00
Long-term borrowings	Foreign currency term loan at ₹86.40	17.28
Short-term borrowings	Current maturities of term loan	20.00
Short-term borrowings	Cash credit, repayable on demand (secured)	35.00
Other current liabilities	Interest accrued but not due	1.80

Amber: amounts under short-term borrowings. The foreign currency loan is shown as long-term on the assumption that none of it falls due within 12 months.

1. **Term loan**: the instalments due on 30 June, 30 September and 31 December 2026 and 31 March 2027 (₹20 crore) are current maturities, shown separately under short-term borrowings; ₹100 crore is a long-term term loan from a bank, secured, with the nature of security and terms of repayment stated. Interest accrued but not due goes to other current liabilities.
2. **Cash credit**: short-term borrowings, "loans repayable on demand from banks", secured, with the nature of security. Being a borrowing on the security of current assets, the additional regulatory information must state whether the quarterly statements filed with the bank agree with the books; here they do not (₹46 crore against ₹38 crore, a difference of ₹8 crore), so a summary of the reconciliation and the reasons for the material discrepancy must be disclosed. The auditor obtains that reconciliation and verifies the reasons: a statement that overstates inventory may also have let Tapri draw more from the bank than its security supports.
3. **Foreign currency loan**: check the closing rate and recompute the restatement as per AS 11: USD 20,00,000 × ₹86.40 = ₹17.28 crore against ₹16.64 crore recorded, ₹64 lakh more.

(b) The auditor's work

1. **Covenant**: the entity is not in compliance. An oral assurance is not evidence: obtain **confirmation of the waiver from the lender**; without it, determine whether the term loan should be classified as current, and ensure the covenant and default are disclosed.
2. **Existence**: board minutes, loan agreements (rates, terms, limits), independent balance confirmations from both banks under SA 505 (asking for interest rates, due dates, collateral and security), and a written representation that recorded liabilities are valid claims.
3. **Completeness**: the schedule of borrowings (opening, new, repaid, closing) traced to the ledger; unrecorded debt sought in minutes, contracts, confirmations and post-year-end transactions.

4. **Compliance**: charges registered; borrowing powers and section 180; use for the stated purpose.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson (listed in the report):

- **Descriptive, 4 or 5 marks.** Uses of securities premium: MTP May 2025 Series I Q5(b) (5 marks). Section 53, shares at ₹95 on a face value of ₹100: May 2024 Q5(a) (4 marks); at a discount to creditors: old-scheme May 2023 Q3(b) (4 marks). Sweat equity: May 2026 Q5(a) (1 + 4 marks). Share capital procedures after a fresh issue: MTP September 2026 Series I Q6(a) (5 marks). Borrowings as valid claims: September 2025 Q5(b) (5 marks). Bank borrowings with a confirmation differing from the ledger: September 2024 Q2(b) (4 marks). A cash credit guaranteed by directors: RTP May 2024 Q12.
- **Multiple choice, 2 marks.** Premium cannot write off a debit balance of profit and loss (September 2024 MCQ 7). Sweat equity to employees and directors, at a discount, of a class already issued: all correct (May 2025 MCQ 5). Securities premium is a capital reserve; a debit balance is negative "Surplus" (May 2025 MCQ 6). Special resolution for sweat equity and for reduction (MTP May 2025 Series I MCQ 3). No change in capital: the Company Secretary's written confirmation (MTP May 2025 Series II MCQ 4). Uses of revenue and capital reserves (September 2026 MCQ 5; answers not yet published).

Trick

"Bonus, Preliminary, Expenses, Redemption, Buy-back"

Section 52's five uses in order: **B**onus shares, **P**reliminary expenses, **E**xpenses/commission/discount on issue, **R**edemption premium, **B**uy-back. A prescribed class keeps only the first B (equity bonus), E (equity issues) and the last B. Condition: dividends and losses are never on the list.

Answer frame

A section-based case (premium, discount, sweat equity)

1. **Relevant provision**: the section, in the Study Material's words (the list of uses; "void"; the penalty and refund; the conditions).
2. **Facts of the case**: price, recipients, resolution, amounts.
3. **Analysis**: is the use or issue within the section? Compute premium, refund, interest, penalty where asked.
4. **Conclusion**: valid or not, and what the auditor verifies or reports.

"What procedures to verify borrowings?"

Answer by assertion, as the Study Material does: existence, completeness, valuation, then the Schedule III disclosure.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the dividend paid from premium

"Premium is the company's own money, so it can pay dividends." **Fix:** securities premium is applied only for the section 52 purposes; dividends and losses are not among them.

⚠ **Common mistake**

"Discount is allowed if the shareholders agree"

Fix: shares at a discount are void, whatever the shareholders resolve, except sweat equity shares and the RBI-scheme conversion of debt into shares for creditors.

⚠ **Common mistake**

The whole term loan as long-term

Fix: instalments falling due within twelve months are current maturities, shown separately under short-term borrowings; a covenant breach without the lender's written waiver may make the loan current.

Practice

Check yourself

1 Case scenario. Malwa Bakers Ltd, which is not of the prescribed class, has a securities premium of ₹3 crore. Its board proposes four uses of it. Which ONE does section 52 permit?

- A Paying an interim dividend of ₹1 crore to equity shareholders
- B Writing off ₹40 lakh of discount allowed on its issue of debentures
- C Transferring ₹2 crore to general reserve "to strengthen the balance sheet"
- D Writing off the loss of ₹90 lakh on the sale of its old bakery

2 Sharbat Ventures Ltd raised ₹3,60,000 through an issue of shares at a discount that is void under section 53. What is the maximum penalty (₹) on the company under section 53?

Answer: _____

3 Case scenario. Tapri buys back 10,00,000 of its shares. Bunty starts looking for the Tribunal's order confirming the reduction of capital and the special resolution under section 66. Which of the following is correct?

- A Bunty is right: every fall in share capital needs the Tribunal's order under section 66
- B Bunty is right, but only the Registrar's certificate under section 66 is needed for a buy-back
- C Section 66 does not apply to a buy-back of its own securities under section 68; the auditor checks compliance with section 68 instead
- D A buy-back is valid only if the Articles authorise a reduction of capital under section 66

4 Case scenario. Kulhad Crafts Ltd has a term loan of ₹8 crore from a bank, secured by a charge on its kiln shed. Floods damaged the shed, and a registered valuer puts its market value at ₹5 crore at 31 March 2026; the bank holds no other security. How should the auditor expect the loan to be shown?

A As a secured loan of ₹8 crore, since the charge is registered

B As an unsecured loan of ₹8 crore, since the security is impaired

C As a secured loan of ₹8 crore, with a note that the security has fallen in value

D As secured to the extent of ₹5 crore, the market value of the security, and unsecured for the remaining ₹3 crore

5 A term loan of ₹60 crore is repayable in 12 equal half-yearly instalments, the first due 30 September 2026. How much (₹ crore) is shown as current maturities of long-term borrowings at 31 March 2026?

Answer: _____

Answers: the answer key at the end of this lesson.

Recap

- Share capital is tallied to last year's audited statements, with the Company Secretary's written confirmation when nothing changed; after a change: within authorised capital (MOA), resolutions, fresh-issue compliances, no discount, cash or non-cash consideration, SEBI, MCA forms (SH-7, PAS-3), fees and stamp duty.
- Section 52: premium goes to a securities premium account and is used only for bonus shares, preliminary expenses, issue expenses or commission or discount, redemption premium and buy-back; a prescribed class keeps only equity bonus, equity issue expenses and buy-back.
- Section 53: shares at a discount are void, except sweat equity and RBI-scheme debt conversion for creditors; penalty up to the amount raised or ₹5 lakh, whichever is less; refund with 12% interest.
- Section 54: sweat equity to employees or directors, at a discount or for non-cash consideration; special resolution with particulars; class already issued; pari passu. Section 66 reduction: special resolution and Tribunal's order.
- Reserves: revenue reserves distributable; capital reserves not free (premium: section 52; CRR: section 55); a debit balance of profit and loss is negative "Surplus"; dividends proposed after the year end are disclosed, not a liability.
- Borrowings: existence (minutes, agreements, confirmations, trust deed, discharge, representation); completeness (schedule, later transactions); valuation (interest, closing rate, covenants and written waivers, current maturities, charges, section 180). (The sahukar always comes back.)

Answer key · Check yourself

1 **B Writing off ₹40 lakh of discount allowed on its issue of debentures**

Section 52's uses are bonus shares, preliminary expenses, the expenses of, commission paid or discount allowed on any issue of shares or debentures, premium on redemption, and buy-back. Discount on debentures is the third. Dividends, transfers to free reserves and losses are not on the list.

2 **360000**

The penalty may extend to the amount raised through the issue at a discount or ₹5 lakh, whichever is less: the lesser of ₹3,60,000 and ₹5,00,000 is ₹3,60,000. Writing "₹5 lakh" for every case is the usual slip. (The company must also refund the monies with interest at 12% per annum.)

3 **C Section 66 does not apply to a buy-back of its own securities under section 68; the auditor checks compliance with section 68 instead**

Section 66(6) exempts a buy-back under section 68 from the reduction provisions, so the auditor ensures compliance with the specific requirements of section 68 (SM 5.19–5.20).

4 **D As secured to the extent of ₹5 crore, the market value of the security, and unsecured for the remaining ₹3 crore**

Where the value of the security falls below the loan outstanding, the auditor examines whether the loan is classified as secured only to the extent of the market value of the security (SM 5.31).

5 **10**

Each instalment is ₹60 crore ÷ 12 = ₹5 crore. Due within 12 months: 30 September 2026 and 31 March 2027, two instalments = ₹10 crore.

5.4 Audit of trade payables, provisions and other liabilities

How the auditor searches for unrecorded liabilities (confirmations, cut-off, subsequent payments, statutory dues), values payables and provisions, and checks the MSME, ageing and AS 29 disclosures.

In plain words

The drawer of April invoices

Tapri's purchases of cardamom went up this year, yet its trade payables at 31 March fell by ₹6 crore. Bunty thinks this is good news.

> **Bunty:** Ma'am, payables are down. Tapri must be paying faster!
>
> **Lakshmi:** If an asset fell, I would ask whether it was lost. When a liability falls, I ask who we forgot.
>
> **Kesar:** *(from the doorway)* The Kerala bills came in April, Lakshmi-ji. April's headache.
>
> **Lakshmi:** Then April's headaches are the first file I open, Kesar-ji.

With assets the auditor fears **overstatement**: stock or debtors that do not exist. With liabilities the usual fear is the reverse, **understatement**: a supplier's bill kept in a drawer, a tax payable left out, a lawsuit nobody mentioned. Fewer liabilities make the balance sheet look stronger and profit higher, so the auditor goes looking for what is **missing**: asking suppliers directly, matching goods received before the year end with bills recorded, and reading what was paid in April.

Provisions are liabilities that can be measured only by a substantial degree of estimation, such as warranties or a court case. There the question is not only "is it recorded?" but "is the estimate reasonable?": the auditor tests management's working, the expert's report and the lawyer's view.

Think of it like

The kirana store's udhaar khata

To find out what a family really owes, do not ask the family: ask the shopkeeper, whose khata records every packet given on credit. Better still, do not tell him the family's figure and ask him to agree; ask him to tell you what his khata says. That is a creditor's confirmation with the balance left blank, and the Study Material calls it the preferable form.

Key idea

For liabilities, the auditor hunts for what is **not** in the books: confirmations from creditors (even those with small balances but large purchases), cut-off between goods received and invoices recorded, and payments and bills after the year end. For provisions, the auditor tests the **estimate**.

How it works

1. Which liabilities, and why they matter

Liabilities other than borrowings (see borrowings) include trade payables and other current liabilities, deferred payment credits and provisions. A liability is current if it is due to be paid within

twelve months and held primarily for the purpose of being traded in the entity's normal operating cycle; for example short-term debt and dividends. Verification of liabilities is as important as that of assets, since any liability omitted, understated or overstated means the financial statements would not show a true and fair view (SM 5.71–5.72).

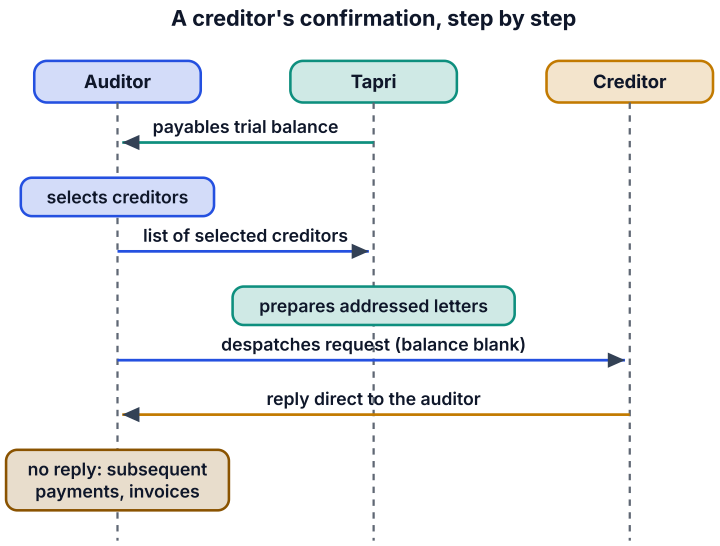
2. Existence of trade payables and other current liabilities

The procedures (SM 5.72–5.74):

1. Check that **controls** ensure that no purchase or expense invoice is recorded more than once, and that payable balances are automatically recorded in the general ledger when the expense is recorded.
2. Obtain the **accounts payable ageing report** and trace its balances to the general ledger; investigate reconciling items; examine journal entries, especially large ones.
3. **Direct confirmation**: contact vendors directly and independently to confirm the amounts payable at the period end. This should necessarily be done for all significant payable balances and for parties from whom material purchases were made during the period, even if their period-end balance is not significant.
4. If there are **related party payables**, review whether they were properly authorised and the transactions reasonable and at arm's length.
5. Review a **trend line** of purchases or expenses and accounts payable, or a comparison of the two over time, for unusual trends, and enquire about the reasons.

How the confirmation procedure is run (SM 5.72–5.74; see SA 505):

- The auditor uses it **with the consent of the entity**. If management asks the auditor not to seek confirmation from certain trade payables, the auditor considers whether there are **valid grounds**, and in appropriate cases reconsiders the nature, timing and extent of procedures, including the degree of planned reliance on management's representations.
- Balances may be confirmed **as at the balance sheet date, or as at another date reasonably close to it**, decided by the auditor **in consultation with the company**.
- The request may show the balance and ask whether the creditor agrees, or show **no balance** and ask the creditor to state the balance as per its records. **The form with no balance is preferable.**
- The method of selecting creditors is **not revealed** to the company until the trial balance of the payables ledger is handed over. The entity prepares properly addressed letters for the creditors selected; the auditor keeps strict control over their correctness and despatch (or fills in names, addresses and amounts on authorised letters and mails them directly); replies and undelivered letters come back **to the auditor, not to the client**.
- **Discrepancies** may bear on accounts outside the sample: the entity investigates and reconciles them, and the auditor considers further tests on the payables as a whole.
- **Where no reply is received**, perform additional testing: test **subsequent payments** to those creditors; agree the balance to the underlying **vendor invoices**; prepare a detailed analysis of the balance, ensuring it consists of identifiable transactions that actually occurred (examination in depth).



The selection stays with the auditor until the trial balance is handed over; the letters are prepared by the entity but despatched under the auditor's control; replies and undelivered letters return to the auditor.

3. Completeness: the search for unrecorded liabilities

The procedures (SM 5.74–5.76):

1. **Cut-off**: for the **last 5 invoices** received or recorded at the reporting date and included in trade payables, the goods should have been received or the risks and rewards transferred to the entity; and **all goods received before the year end** should be booked as purchases and included in trade creditors.
2. Test purchases and expenses on a **sample from the payables ledgers** with their supporting documents, for correct amounts and dates.
3. **Match purchase invoice dates to gate entry (inward) dates**, including invoices received after the period, to see whether they belong to the period under audit.
4. **Review subsequent expense vouchers**: all material vouchers recorded after the balance sheet date, to see whether they relate to the audit period.
5. **Advances from customers / revenue received in advance**: obtain a customer-wise listing with ageing and nature; enquire about disputes and any additional liability; verify the documents on which the advance was received.
6. **Statutory dues** (TDS, GST, luxury tax, professional tax, PF and ESI payable): prepare a **reasonability** against sales, purchases or employee benefit expenses. For example, the last month's GST liability is computed by applying the applicable rate to sales, and the last month's PF by applying the rate to the employee benefit expense; variances are explained by the client and documented. Verify the **challans for deposits made after the period end** for all statutory liabilities at the balance sheet date, and analyse differences from the liability recorded.
7. Prepare a complete list of statutory dues and consider the reporting requirements under CARO 2020.

4. Valuation

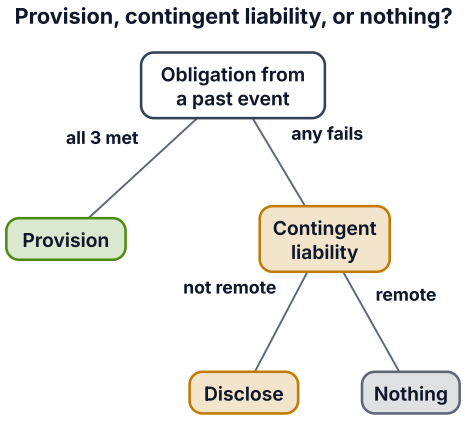
The procedures (SM 5.76–5.77):

- Review the company's process for identifying old creditor balances or liabilities to be **written back**: consistency with last year's method and its appropriateness to the business.
- Obtain the **ageing** of payables and the list of vendors with **disputes** and customer claims under litigation, and compare with the previous year.
- Check that **write-backs** of balances no longer payable are **approved by an appropriate, authorised member of senior management**, for example the CEO or MD.
- Check that **foreign currency payables** are restated properly as per AS 11.
- Understand management's process for identifying the **principal and interest unpaid to Micro, Small and Medium Enterprise suppliers** at the year end; test-check it to decide whether the auditor can rely on it.

5. Provisions

A **provision** is a liability which can be measured only by using a substantial degree of estimation. It is recognised when (i) an entity has a **present obligation** (legal or constructive) as a result of a past event; (ii) it is **probable** that an outflow of resources embodying economic benefits will be required to settle it; and (iii) a **reliable estimate** can be made of the amount. If these conditions are not met, no provision is recognised. Examples: provisions for litigation and for warranties (SM 5.85).

A **contingent liability** is a possible obligation from past events whose existence will be confirmed only by uncertain future events not wholly within the entity's control; or a present obligation not recognised because an outflow is not probable or the amount cannot be measured with sufficient reliability (SM 5.85). Its audit is the subject of the audit of contingent liabilities.



The three conditions: a present obligation, a probable outflow, a reliable estimate. Green: all three met, recognise a provision. Amber: any one fails (including a merely possible obligation), a contingent liability, disclosed unless the possibility of an outflow is remote (grey: no disclosure) (SM 5.85, 5.89).

The procedures for provisions (SM 5.85–5.87):

1. **Existence**: obtain a list of all provisions and compare it with the ledger balances.

2. **Completeness**: inspect the underlying agreements, such as agreements with customers for **warranty** commitments, and any legal and other claims on the entity (**litigations**).
3. **Valuation**: obtain management's working and basis for each provision and verify that it is complete and accurate.
4. Where required, obtain the **expert's report**, calculation and working: for a complex warranty, some entities use an **actuary**; for a matter under legal dispute, obtain the **legal expert's assessment** of the likelihood of a liability devolving on the entity (**probable, possible or remote**). Verify the expert's assumptions against the data shared by management.
5. When using the work of a **management's expert**, as per SA 500 the auditor:
   - evaluates the expert's **competence, capabilities and objectivity**: employed by the entity or an outside party; independent of the entity; the auditor's previous experience of the expert's work; the expert's knowledge, qualification, membership of a professional body or industry association;
   - obtains an **understanding of the expert's work**: whether the auditor has the expertise to evaluate it; the assumptions and methods used; the internal or external data used;
   - evaluates the **appropriateness of the work as audit evidence** for the assertion: relevance and reasonableness of the findings; relevance, completeness and accuracy of the source data.
6. Obtain a **written representation** from management that it has made all the provisions required by the recognised accounting principles (see SA 580).

Formats and formulas

Reproduce these in ICAI's order: they are asked as "state the disclosures the auditor should verify".

Trade payables (Schedule III, Part I; SM 5.77–5.79)

Micro and small enterprises: whether the notes disclose

1. the principal amount and the interest due on it (shown separately) remaining unpaid to any supplier at the end of each accounting year;
2. the amount of interest paid by the buyer in terms of section 16 of the MSMED Act, 2006, with the amount of payments made to the supplier beyond the appointed day during the year;
3. the interest due and payable for the period of delay in making payment (paid, but beyond the appointed day during the year) but without adding the interest specified under the Act;
4. the interest accrued and remaining unpaid at the end of each accounting year;
5. the further interest remaining due and payable even in succeeding years, until the date the interest dues above are actually paid to the small enterprise, for disallowance as a deductible expenditure under section 23 of the Act.

Trade payables ageing schedule (amounts in ₹), outstanding for the following periods **from the due date of payment**:

Particulars	Below 1 yr	1–2 yrs	2–3 yrs	Above 3 yrs	Total
(i) MSME					
(ii) Others					
(iii) Disputed dues – MSME					
(iv) Disputed dues – Others					

Where no due date of payment is specified, the periods run from the date of the transaction; **unbilled dues** are disclosed separately.

Other current liabilities: whether the amounts disclosed are classified as (SM 5.79–5.80):

1. current maturities of finance lease obligations;
2. interest accrued but not due on borrowings;
3. interest accrued and due on borrowings;
4. income received in advance;
5. unpaid dividends;
6. application money received for allotment of securities and due for refund, and interest accrued thereon;
7. unpaid matured deposits and interest accrued thereon;
8. unpaid matured debentures and interest accrued thereon;
9. others (specify nature).

Share application money (item 6) includes advances towards allotment of share capital. The auditor checks that the notes disclose (SM 5.79–5.80):

- the terms and conditions, including the number of shares proposed to be issued, the amount of premium, if any, and the period before which the shares shall be allotted;
- whether the company has sufficient authorised capital to cover the share capital resulting from allotment of shares out of such money;
- the period for which the money has been pending beyond the period for allotment stated in the document inviting applications, with the reason it is pending.

Share application money not exceeding the issued capital and to the extent not refundable is shown under the head **Equity**; the amount refundable (in excess of subscription, or where the minimum subscription requirements are not met) is shown separately under **"Other current liabilities"**.

Provisions (Schedule III and AS 29; SM 5.87–5.89)

Long-term provisions and **short-term provisions**: each classified as (a) provision for employee benefits; (b) others (specify nature).

Contingent liabilities and commitments (to the extent not provided for):

- Contingent liabilities: (a) claims against the company not acknowledged as debt; (b) guarantees; (c) other money for which the company is contingently liable.
- Commitments: (a) estimated amount of contracts remaining to be executed on capital account and not provided for; (b) uncalled liability on shares and other investments partly paid; (c) other commitments (specify nature).

AS 29, for each class of provision:

- the carrying amount at the beginning and end of the period;
- additional provisions made in the period, including increases to existing provisions;
- amounts used (incurred and charged against the provision) during the period;
- unused amounts reversed during the period;
- a brief description of the nature of the obligation and the expected timing of outflows;
- an indication of the uncertainties about the amount or timing (with the major assumptions about future events, where necessary);
- the amount of any expected reimbursement, stating any asset recognised for it.

For each class of contingent liability, unless the possibility of an outflow is remote: a brief description and, where practicable, an estimate of its financial effect, an indication of the uncertainties, and the possibility of any reimbursement; if any of this is not practicable to give, that fact is stated.

⚠ **Careful**

Version-sensitive

Schedule III disclosures (including the Additional Regulatory Information in "Under the hood") and the MSMED Act references are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

The arithmetic

∑ **Formula**

Statutory dues reasonability (last month)

$$\text{Expected GST} = \quad \text{Sales of the month} \quad \times \text{Applicable rate}$$

The same check for PF uses the employee benefit expense; variances are explained and documented.

∑ **Formula**

Provision movement (AS 29)

$$\text{Closing} = \quad \text{Opening} + \text{Additions} \quad - \text{Used} - \text{Reversed}$$

Worked examples

Worked example **Five slips at the year end**

Iyer & Associates audit Tapri for 2025-26; overall materiality is ₹1.50 crore, and closing inventory is the physical count in Tapri's warehouses on 31 March 2026. Bunty's cut-off test covers the last goods receipt notes (GRNs) of the year and the last invoices recorded in trade payables. INV-9902 (Assam tea) is on terms "delivered at Tapri's Indore warehouse", so risks and rewards pass on delivery; INV-9907 (premix pouches) is "ex-works", so they pass when the goods leave the supplier's factory, which these did on 30 March. Bunty's findings are in the table below; of these, only GRNs 4473 and 4475 are not included in 2025-26 trade payables:

Ref	Goods received	Invoice date	₹
GRN 4471	27 Mar	27 Mar	38,40,000
GRN 4473	30 Mar	2 Apr	61,00,000
GRN 4475	31 Mar	4 Apr	46,50,000
INV-9902	3 Apr	29 Mar	52,60,000
INV-9907	2 Apr	30 Mar	74,90,000

Separately, Dev asks the auditors not to send a confirmation request to Khurja Clay Crafts, one of Tapri's kulhad suppliers: "We are negotiating a price-escalation claim with them, and a letter from the auditors now would weaken our position." And Malabar Spice Traders, who supplied ₹11 crore of spices during the year but show a year-end balance of only ₹4 lakh, have not replied to the confirmation request.

Required:

(a) Comment on the cut-off findings and their effect on trade payables.

(b) How should the auditor deal with Dev's request?

(c) What should the auditor do about Malabar Spice Traders?

MODEL ANSWER

(a) Cut-off. As per the Study Material, for the last invoices recorded in trade payables the goods should have been received or the risks and rewards of ownership transferred in favour of the entity; all goods received before the year end should be booked as purchases and included in trade creditors; and

purchase invoice dates are matched to gate entry dates to check that purchases are recorded in the correct period (SM 5.75). Applying these tests:

Cut-off findings

Ref	Finding	Payables (₹)
GRN 4471	Correctly recorded	nil
GRN 4473	Received, not recorded	**61,00,000 under**
GRN 4475	Received, not recorded	**46,50,000 under**
INV-9902	Recorded, risk not passed	**52,60,000 over**
INV-9907	Recorded, risk passed	nil

Rose: the three misstatements. Payables are understated by ₹1,07,50,000 and overstated by ₹52,60,000, two separate errors and not one net figure.

- **GRNs 4473 and 4475**: the goods were received before the year end, but their April invoices were not recorded. Purchases and trade payables are understated by ₹1,07,50,000; as the goods were in the 31 March count, profit is overstated by the same amount.
- **INV-9902**: recorded as a 2025-26 purchase although the goods arrived on 3 April and the risks and rewards passed only on delivery. Purchases and trade payables are overstated by ₹52,60,000; as the goods were not in the count, profit is understated by the same amount.
- **INV-9907**: correctly recorded, since the risks and rewards passed on 30 March when the goods left the supplier's factory. The auditor should check that these goods in transit are included in closing inventory (audit of inventories).
- **GRN 4471**: correctly recorded.

Each misstatement is below overall materiality, but they must not be netted off (net ₹54,90,000) and ignored. The auditor should ask management to correct them, extend the cut-off testing (invoices received and expense vouchers recorded after the year end) to see whether the errors are more widespread, and accumulate any uncorrected misstatements for evaluation.

(b) Dev's request. The direct confirmation procedure is employed with the consent of the entity; where management requests the auditor not to seek confirmation from certain trade payables, the auditor should consider whether there are valid grounds for the request, and may need to reconsider the nature, timing and extent of audit procedures, including the degree of planned reliance on management's representations (SM 5.72–5.73). As per SA 505, the auditor shall (i) inquire as to management's reasons for the refusal and seek audit evidence as to their validity and reasonableness; (ii) evaluate the implications of the refusal on the assessment of the risks of material misstatement, including the risk of fraud, and on the nature, timing and extent of other audit procedures; and (iii) perform alternative audit procedures designed to obtain relevant and reliable audit evidence (SM 4.82–4.84).

An ongoing negotiation with the confirming party is a common reason advanced for such a request and may be valid, so the auditor should see evidence of it, such as the correspondence on the price-escalation claim. If the reason is accepted, the alternative procedures for payables include examining subsequent cash disbursements, correspondence from third parties and other records such as goods received notes. The claim itself may mean an additional liability, so the auditor should also consider whether a provision or a contingent liability disclosure is needed. If the auditor concludes that the refusal is unreasonable (which may indicate a fraud risk factor to be evaluated under SA 240), or cannot

obtain relevant and reliable audit evidence from alternative procedures, the auditor shall communicate with those charged with governance in accordance with SA 260 and determine the implications for the audit and the opinion in accordance with SA 705.

(c) Malabar Spice Traders. Confirmation is necessary for parties from whom material purchases were made during the period, even if the period-end balance is not significant (SM 5.72). Where no reply is received, the auditor should perform additional testing: test payments made to Malabar after the year end; agree the balance to the underlying vendor invoices; and prepare a detailed analysis of the balance, ensuring it consists of identifiable transactions that actually occurred (examination in depth) (SM 5.74). A small balance after ₹11 crore of purchases also calls for a review of the purchases-to-payables trend and of the cut-off for this supplier.

Worked example **The compressor that promised too much**

Tapri sells "ChaiMate" vending machines to offices with a one-year warranty. The warranty provision at 1 April 2025 was ₹60 lakh; claims of ₹48 lakh were paid against it during the year and the unused balance lapsed with the warranty period. In 2025-26 Tapri sold 24,000 machines, all fitted with a new compressor. Management has provided ₹28,80,000 for their warranty (a 2% failure rate × ₹6,000 average repair cost); the 2% comes from the compressor maker's brochure, which promises "up to 60% fewer failures" than the old model. Kesar: "New compressor, new life." The repair register for the old model shows failure rates of 4.8%, 5.1% and 5.1% over the last three years; no test reports or claims history exist yet for the new compressor. Tapri's legal counsel has also assessed three other matters:

(i) a show-cause notice from a food-safety authority over a mislabelled batch of premix: a penalty is probable and, based on the authority's past orders, counsel estimates it at ₹38 lakh;

(ii) a guarantee of ₹1.50 crore given to Narmada Bank for a franchisee's term loan: the franchisee pays its instalments, but its café is making losses, and counsel considers an outflow possible but not probable;

(iii) a claim of ₹25 lakh by a former landlord for "loss of goodwill" after Tapri vacated a café when its lease expired: counsel considers an outflow remote.

Required:

(a) State the audit procedures for these provisions.

(b) Comment on management's warranty estimate and prepare the warranty provision movement for disclosure on the basis of the evidence.

(c) State the treatment of the three other matters.

MODEL ANSWER

(a) Procedures. Obtain a list of all provisions and compare it with the ledger balances; inspect the underlying agreements, such as the warranty terms with customers, and the legal and other claims on Tapri; obtain management's working and basis for each provision and verify that it is complete and accurate; where required, obtain the expert's report, calculation and working, and the legal expert's assessment of whether each liability is probable, possible or remote, and verify the underlying assumptions with the data shared by management; evaluate the competence, capabilities and objectivity of any management's expert, understand the expert's work and evaluate its appropriateness as audit evidence (SA 500); and obtain a written representation that all provisions required by the recognised accounting principles have been made (SM 5.85–5.87).

(b) The warranty estimate. The only data available, the repair register, supports a failure rate of about 5% (average of 4.8%, 5.1% and 5.1%). The 2% rests on a brochure's "up to" claim, with no test reports or claims history: the assumption is not supported by the data shared by management. The auditor should ask management to support it (for example with the compressor maker's test data or an expert's evaluation) or to revise the estimate. On the evidence available, the provision for 2025-26 sales is 24,000 × 5% × ₹6,000 = ₹72,00,000, so the provision recorded is understated by ₹43,20,000; if not corrected, this is a misstatement to be evaluated. Movement on the evidence-based estimate:

ChaiMate warranty provision, 2025-26

Particulars	₹ lakh
Carrying amount at 1 April 2025	60.00
Add: additional provision (24,000 × 5% × ₹6,000)	72.00
Less: amounts used (claims paid)	48.00
Less: unused amounts reversed	12.00
Carrying amount at 31 March 2026	**72.00**

The four AS 29 movement lines; amber: the closing provision, ₹60 + ₹72 − ₹48 − ₹12 = ₹72 lakh (₹28.80 lakh as booked by management).

The note also gives a brief description of the obligation and the expected timing of outflows (within the one-year warranty), the uncertainties about the amount and timing with the major assumptions (failure rate and repair cost), and the amount of any expected reimbursement, for example from the compressor maker.

(c) Other matters. (i) A present obligation, a probable outflow and a reliable estimate: a **provision of ₹38 lakh**, with the AS 29 disclosures. (ii) The guarantee is an obligation, but an outflow is not probable: **no provision**; disclose a contingent liability under "Guarantees" with its nature and, where practicable, an estimate of its financial effect (₹1.50 crore), an indication of the uncertainties and the possibility of any reimbursement. (iii) The outflow is remote: **neither a provision nor a disclosure** (SM 5.85, 5.88–5.89).

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson (listed in the report), the topic was asked in these forms:

- **Trade payables, one assertion at a time (4–5 marks).** Existence, with invoices recorded close to the year end, and why verifying liabilities is as important as verifying assets: MTP January 2026 Series II Q2(a) (5 marks). Completeness, "which assertion ... and what audit procedures": MTP September 2024 Series II Q5(b) (5 marks). Valuation: January 2026 Q6(c) (4 marks, an internal choice) and RTP May 2025 Q13. The Suggested Answers reproduce the Study Material's points in its order.
- **Disclosures (3–5 marks).** MSME disclosures under Schedule III: May 2026 Q4(b) (5 marks). Ratios and the rules for disclosing them: September 2024 Q2(c) (3 marks) and RTP May 2024 Q13 (an extract of ratios to be tested for the 25% explanation). Benami property where the property is not in the books: RTP May 2024 Q11.
- **Provisions (3–4 marks).** "Any five" procedures for provisions and contingent liabilities: MTP May 2026 Series I Q5(c) (4 marks). Existence, completeness and valuation of provisions: old-scheme May 2023 Q3(d) (3 marks); its Suggested Answer files some points under a different assertion from the Study Material's table, so learn the points, and when the question names the assertions, follow the Study Material's grouping.
- **Management refuses a confirmation.** Old-scheme May 2023 Q3(a) (4 marks), answered with SA 505's three steps, then SA 260 and SA 705.
- **Multiple choice, 2 marks each.** Confirmation date close to the year end, decided in consultation with management (MTP January 2025 Series II MCQ 2); a written representation is not an appropriate procedure for non-replying creditors (MCQ 3); verifying a board resolution is not a valid alternative procedure for a non-response (MTP September 2025 Series II MCQ 8).
- **A trap in a 4-mark case.** A trade receivables note drawn up with the payables ageing rows (MSME, Others), "point out discrepancies": MTP May 2024 Series II Q3(a). The receivables schedule has different periods and rows.

Trick

Payables' four rows, receivables' four rows

Payables ageing rows: MSME, Others, Disputed MSME, Disputed Others; periods: below 1 year, 1–2, 2–3, above 3 years. **Receivables** rows: undisputed good, undisputed doubtful, disputed good, disputed doubtful; periods add "less than 6 months" and "6 months to 1 year". Condition: both run from the due date of payment (or the transaction date if none), with unbilled dues separate.

Answer frame

"Explain the procedures for [existence / completeness / valuation] of trade payables"

1. **State the assertion** in the Study Material's words ("Trade payables and liability balances that were supposed to be recorded have been recognised": completeness).
2. **List that assertion's procedures** in ICAI's order (for completeness: cut-off on the last 5 invoices, sample from ledgers, invoice dates against gate entry, subsequent vouchers, customer advances, statutory dues reasonability and challans, CARO list).
3. **Apply them to the facts**: invoices near the year end, the creditor who did not reply, the dispute.

4. **Close** with the conclusion and, where asked, the disclosure (MSME, ageing).

"Management refuses a confirmation request"

1. **Provision**: consent of the entity and valid grounds (SM 5.72–5.73); SA 505's three steps: reasons and their validity, effect on risk (including fraud), alternative procedures.
2. **Facts**: the reason given (a dispute, a negotiation) and the size of the balance or purchases.
3. **Analysis**: is the reason supported by evidence; which alternative procedures (subsequent payments, correspondence, goods received notes).
4. **Conclusion**: if the refusal is unreasonable or evidence cannot be obtained, communicate with those charged with governance (SA 260) and consider the opinion (SA 705).

A provision case

1. **Provision**: the three recognition conditions; the expert and representation procedures.
2. **Facts**: the obligation, the probability, the estimate.
3. **Analysis**: provision, contingent liability disclosure, or nothing; compute the movement.
4. **Conclusion**: the treatment and the AS 29 disclosure.

Common mistakes

⚠ **Common mistake**

Hall of Shame: celebrating a fall in payables

Treating lower trade payables as good news without asking why. **Fix:** for liabilities the risk is understatement; test cut-off, invoices and payments after the year end, and confirm with creditors from whom material purchases were made.

⚠ **Common mistake**

Confirming only the big balances

Fix: confirmations go to all significant balances **and** to parties with material purchases during the year, even if their year-end balance is small: a small balance after large purchases is itself a warning.

⚠ **Common mistake**

Hall of Shame: "They cancel out, Ma'am"

Netting an unrecorded March purchase against an April purchase wrongly booked in March, and calling the cut-off clean because the net figure is small. **Fix:** each is a separate misstatement of purchases and trade payables (and usually of profit); ask for both to be corrected, extend the cut-off test, and accumulate whatever remains uncorrected.

⚠ **Common mistake**

A representation in place of a reply

Accepting management's written representation when a creditor does not reply. **Fix:** perform the alternative procedures: subsequent payments, vendor invoices, detailed analysis of the balance.

⚠ **Common mistake**

Providing for everything the lawyer mentions

Fix: provide only when there is a present obligation, a probable outflow and a reliable estimate; disclose a contingent liability when the outflow is possible; do nothing when it is remote.

Practice

Check yourself

1 Case scenario. CA Meera Joshi audits Ujjain Kulhad Works Ltd. She plans to send creditors letters showing the balance as per the company's books and asking them to sign if they agree. Her senior suggests another way. Which statement is correct as per the Study Material?

- **A** Letters showing the balance are preferable, as creditors reply faster when the figure is given
- **B** The form with no balance, asking the creditor to state the balance as per its records, is preferable
- **C** Confirmations should be addressed and despatched by the company, with replies returned to the accounts department
- **D** Only creditors with significant year-end balances need be selected

2 Tapri's taxable sales for March 2026 are ₹40,00,00,000; take the applicable GST rate as 5%. GST payable recorded for March is ₹1,82,00,000. What variance (₹) should the auditor ask the client to explain?

Answer: _____

3 Which of the following should be recognised as a provision?

- **A** A claim the legal expert considers remote
- **B** A tax demand under appeal where an outflow is only possible
- **C** A warranty obligation on machines sold during the year, with probable claims reliably estimated from the repair register
- **D** A possible obligation whose existence depends on a court ruling next year

4 Case scenario. Indore Packaging Co. replies to Tapri's confirmation request stating a balance of ₹21,65,000; Tapri's ledger shows ₹18,40,000. Overall materiality is ₹1.50 crore. Which of the following is correct as per the Study Material?

- **A** Ignore the ₹3,25,000 difference, as it is far below materiality
- **B** Adjust Tapri's books to the creditor's figure, since evidence from a third party is more reliable
- **C** Replace Indore Packaging Co. with another creditor so that the sample is not disturbed
- **D** Ask Tapri to investigate and reconcile the difference, and consider whether it bears on balances outside the sample and what further tests trade payables as a whole need

5 In Schedule III's trade payables ageing schedule, which of the following is a required row?

A Undisputed trade payables considered doubtful

B Disputed dues – MSME

C Outstanding for less than 6 months

D Payables to related parties

Answers: the answer key at the end of this lesson.

Recap

- The main risk for liabilities is understatement, and verifying them is as important as verifying assets; an omitted liability makes the balance sheet look stronger and profit higher.
- Existence rests on direct confirmation of all significant balances and of parties with material purchases, even if their balance is small; also controls against double recording, the ageing report traced to the ledger, related party payables at arm's length, and the purchases-to-payables trend.
- The confirmation form with no balance is preferable, and replies come to the auditor, not the client; the entity consents; a "do not confirm" request needs valid grounds (SA 505: reasons, risk, alternative procedures); the date is at or near the year end, set in consultation; selection is not revealed; discrepancies are reconciled; non-replies: subsequent payments, invoices, detailed analysis.
- Completeness: last 5 invoices (goods received or risks and rewards passed) and goods received before the year end; invoice dates against gate entries; subsequent vouchers; customer advances; statutory dues reasonability and later challans; CARO list. (Kesar's April bills are March's liability.)
- Valuation: write-back process and approval by senior management (CEO/MD); ageing and disputes; forex restatement (AS 11); MSME principal and interest process.
- Provisions: present obligation + probable outflow + reliable estimate; working, expert (actuary, legal: probable, possible, remote), SA 500 evaluation of a management's expert, written representation; AS 29 movement and narrative disclosures.
- Disclosures: MSME (five items), payables ageing (four rows, from due date, unbilled separately), other current liabilities (nine heads), share application money refundable under other current liabilities; ARI: benami property, struck off companies, eleven ratios with reasons for changes over 25%.

Answer key · Check yourself

1 **B The form with no balance, asking the creditor to state the balance as per its records, is preferable**

The Study Material prefers the form with no balance. Replies must come to the auditor, not the client, and parties with material purchases are confirmed even if their balance is small.

2 **1800000**

Expected GST = ₹40,00,00,000 × 5% = ₹2,00,00,000. Variance = ₹2,00,00,000 – ₹1,82,00,000 = ₹18,00,000, to be explained and, if satisfactory, documented.

3 **C** **A warranty obligation on machines sold during the year, with probable claims reliably estimated from the repair register**

A provision needs a present obligation from a past event, a probable outflow and a reliable estimate; the warranty meets all three. The others are contingent liabilities to disclose, or (if remote) nothing.

4 **D** **Ask Tapri to investigate and reconcile the difference, and consider whether it bears on balances outside the sample and what further tests trade payables as a whole need**

Discrepancies revealed by confirmations may have a bearing on accounts not in the original sample: the entity investigates and reconciles them, and the auditor considers further tests on trade payables as a whole (SM 5.74). The difference may be a cut-off item (goods or an invoice in transit) or an unrecorded liability, so it is neither ignored nor booked blindly.

5 **B** **Disputed dues – MSME**

The rows are MSME, Others, Disputed dues – MSME and Disputed dues – Others. "Considered doubtful" rows and the "less than 6 months" period belong to the trade receivables schedule.

5.5 Audit of property, plant, equipment and intangibles

How the auditor proves that PPE and intangible assets exist, are completely recorded, belong to the entity, are carried at the right cost less depreciation, and are disclosed as Schedule III requires.

In plain words

The kiln that came with a playback singer

Tapri Tea Co. Ltd has bought the biggest machine in its history: an automated kiln at the new Dewas plant that fires 60,000 clay kulhads a day. Kesar celebrated with a ribbon-cutting, a playback singer and a newspaper campaign. Then he sent every bill to accounts with one instruction.

> **Kesar:** It is all for the kiln, no? Put everything in the kiln. Sab adjust ho jayega.
>
> **Bunty:** *(ticking the singer's invoice)* Ma'am, it says "kiln inauguration". So it is kiln cost.
>
> **Lakshmi:** Bunty, can the singer fire a kulhad?
>
> **Bunty:** No, ma'am.
>
> **Lakshmi:** Then she is not part of the kiln.

That exchange is most of the audit of **property, plant and equipment (PPE)**: the land, buildings, plant, furniture, vehicles, office equipment and computers a business holds to use, not to sell.

Intangible assets (software, brands, designs, licences, goodwill) face the same questions with one twist: you cannot touch an app. So the auditor proves that an intangible exists by showing that it is **in use**.

Think of it like

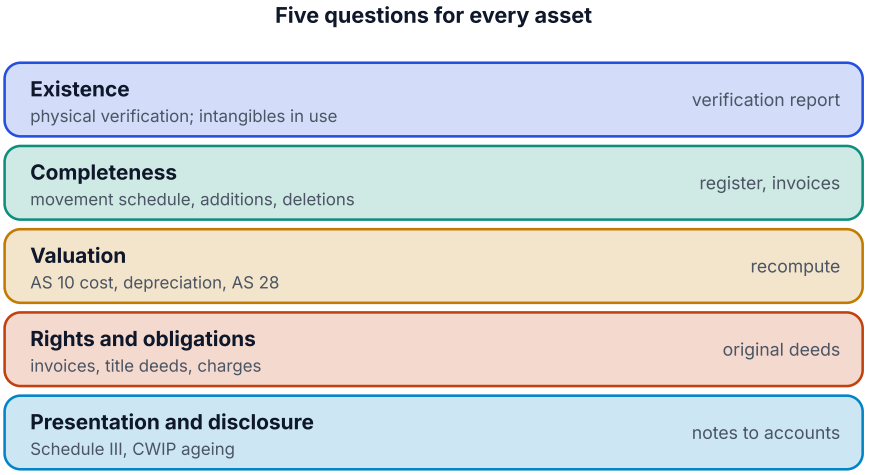
Buying a flat in Indore

Before you call a flat yours, you visit it (it exists), read the sale deed in your name (you own it; if your home-loan bank keeps the original deed, the bank confirms it holds it), count stamp duty in the price but not the housewarming party (the right cost), and check the society's register (disclosure). An auditor does the same for every building, kiln and app, and also asks how much value has worn away (depreciation).

Key idea

For PPE and intangible assets the auditor proves five things: the asset **exists** (physically verified, or for an intangible, in active use); every addition and deletion is **completely** recorded; the entity has **rights** to it (invoices and title deeds in its name, charges known); it is **valued** at cost as AS 10 or AS 26 allows, less depreciation or amortisation and impairment; and it is **disclosed** as Schedule III requires.

How it works



The Study Material's procedures for PPE and for intangible assets are both arranged by these assertions (SM 5.58–5.71).

1. What may be capitalised: AS 10

First the auditor analyses whether expenditure on PPE is capital or revenue in nature (SM 5.56). The test is AS 10 (Revised).

Definition

Recognition criteria for PPE

The cost of an item of property, plant and equipment should be recognised as an asset if, and only if: (a) it is probable that future economic benefits associated with the item will flow to the enterprise, and (b) the cost of the item can be measured reliably. An enterprise evaluates under this recognition principle all its costs on PPE at the time they are incurred. These include costs incurred (a) initially to acquire or construct an item; and (b) subsequently to add to, replace part of, or service it (SM 5.56–5.57).

An item that qualifies is **measured at its cost**. The cost comprises (SM 5.57):

1. its **purchase price**, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates;
2. any **costs directly attributable** to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management;
3. the **initial estimate of the costs of dismantling, removing the item and restoring the site** on which it is located, referred to as decommissioning, restoration and similar liabilities, the obligation for which an enterprise incurs either when the item is acquired or as a consequence of having used the item during a particular period for purposes other than to produce inventories during that period.

Examples of directly attributable costs (SM 5.57–5.58):

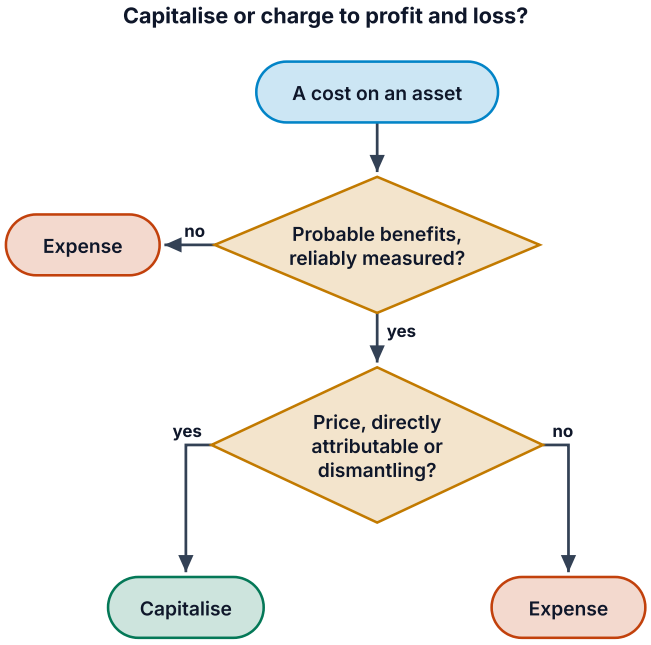
- (a) costs of employee benefits (as defined in AS 15, Employee Benefits) arising directly from the construction or acquisition of the item of property, plant and equipment;
- (b) costs of site preparation;

- (c) initial delivery and handling costs;
- (d) installation and assembly costs;
- (e) costs of testing whether the asset is functioning properly, after deducting the net proceeds from selling any items produced while bringing the asset to that location and condition (such as samples produced when testing equipment); and
- (f) professional fees.

Examples of costs that are not costs of an item of PPE (SM 5.58):

- (a) costs of opening a new facility or business, such as inauguration costs;
- (b) costs of introducing a new product or service (including costs of advertising and promotional activities);
- (c) costs of conducting business in a new location or with a new class of customer (including costs of staff training); and
- (d) administration and other general overhead costs.

The expenses have to be analysed and properly classified: revenue expenses, like regular repairs on assets, are charged off to the Statement of Profit and Loss (SM 5.58).



Green: add to the cost of the asset; orange: charge to the Statement of Profit and Loss. The second question covers the purchase price (with non-refundable taxes, after trade discounts), the directly attributable costs and the initial dismantling and restoration estimate; inauguration, launch advertising, staff training, general overheads and regular repairs fail it.

2. Existence: physical verification

To establish the existence of PPE as at the period-end, the auditor (SM 5.58–5.59):

1. **Reviews the entity's plan** for performing physical verification of PPE: whether it is performed by its own staff or by a third party, and the policy on periodicity (annually, or once in two or three years).

2 **Examines evidence of appropriate supervision** of those performing the physical verification.

3 **Obtains the physical verification report**, backed by the working sheets, and assesses whether all items of PPE are properly **tagged** and carry identification marks or numbers, and whether the working papers capture the identification numbers of the assets verified.

4 **Reconciles** the items physically verified with the **fixed asset register** as at the date or period of verification, specifically verifying that additions up to the date of verification have been updated in the register.

5 **Verifies the discrepancies** noted and how they have been dealt with in the books and financial statements: for example, identified shortages and assets not in working condition or not in active use should be accounted for as **deletions** in the books after approval by management, and depreciation should have ceased to be charged after the date of deletion.

3. Completeness: the movement schedule, additions and deletions

The completeness assertion here is that additions to PPE during the period have been recorded, and that PPE belonging to third parties is not included but PPE owned and controlled by the entity and lying with a third party is (SM 5.59). The auditor verifies the PPE movement schedule that management compiles for each class of asset (building, plant and machinery and so on), tallies the closing balances to the books, checks its arithmetical accuracy and tallies the opening balances to the previous year's audited financial statements (SM 5.59):

∑ **Formula**

The PPE movement schedule

$$\text{Opening balance} + \text{Additions} - \text{Deletions} = \text{Closing balance}$$

Class by class; the same identity applies to intangibles (SM 5.67).

For **additions**, the auditor obtains management's listing of all additions and (SM 5.60–5.61):

- for all material additions, verifies whether the expenditure meets the criteria of PPE as per AS 10 (Revised), covering costs incurred initially to acquire or construct an item and costs incurred subsequently to add to, replace part of, or service it, and that the cost of the item is as per AS 10 (Revised);
- checks that spare parts, stand-by equipment and servicing equipment are recognised as PPE only when they meet its definition (otherwise they are classified as inventory), and that the entity is not recognising the costs of **day-to-day servicing** in the carrying amount of an item;
- tests the purchase invoice, installation certificate or report or other similar documentation to verify the **date of addition**, for the samples of additions selected;
- verifies whether the additions have been **approved by authorised personnel**;
- verifies whether proper internal processes and procedures, like inviting **competitive quotations or floating tenders**, were followed before finalising the vendor for procuring PPE or awarding a

work contract for capital projects, by checking the supporting documents of the samples selected.

For **deletions** the auditor (SM 5.61) understands from management the reason and rationale for the deletion (for example, a new purchase of a similar asset once the old asset was no longer fit to be used in the production process) and the manner of disposal; obtains management's approval and the **discard note** authorising disposal of the asset from its active use; verifies the process followed for the sale of discarded PPE (for example, inviting competitive quotes, tenders, and the basis of calculating the sale proceeds); and verifies that management has accurately recorded the deletion (original cost and accumulated depreciation up to the date of disposal) and the resulting gain or loss on disposal.

4. Valuation: depreciation and impairment

PPE loses value through efflux of time, use and obsolescence. That loss is a cost of earning the period's revenue; unless it is charged as depreciation, profit is wrong and PPE is shown at higher amounts (SM 5.61). The auditor should (SM 5.61–5.62):

- verify that depreciation is charged on **all** items of PPE, unless an item is non-depreciable, like freehold land;
- assess that the **depreciation method** reflects the pattern in which the asset's future economic benefits are expected to be consumed: straight line, diminishing value or units of production, as applicable;
- verify that management has made an **impairment assessment** as per AS 28, Impairment of Assets.

How the charge itself is recomputed (rates, residual value, components, the date the asset is ready for use) is in the audit of depreciation and amortisation.

5. Rights and obligations: whose kiln is it?

The assertion: the entity has valid legal ownership rights over the PPE claimed to be held by it and recorded in the financial statements. In addition to the completeness procedures on additions, the auditor (SM 5.62):

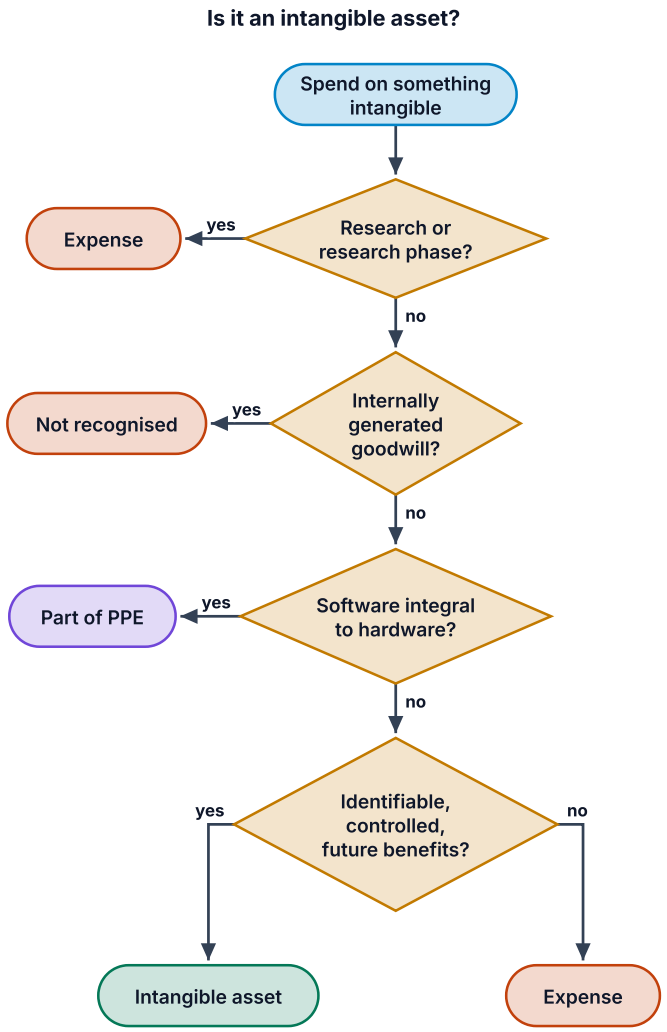
1. verifies that all PPE purchase invoices are **in the name of the entity**, which entitles it to legal title;
2. for all additions to land and building, checks the **conveyance deed or sale deed** to see whether the entity is the legal and valid owner;
3. insists on and verifies the **original title deeds** of all immovable properties held at the balance sheet date;
4. where a property is given as security for borrowings and the original deeds are not with the entity, asks management to obtain a **confirmation from the lenders** that they hold the original title deeds as security;
5. verifies the **register of charges** to see whether any charge has been created against the PPE.

6. Intangible assets: the asset you cannot tap

> **Definition**
>
> **Intangible asset**
>
> An identifiable non-monetary asset, without physical substance, held for use in the production or supply of goods or services, for rental to others, or for administrative purposes (SM 5.65).

Common examples are computer software, patents, copyrights, motion picture films, customer lists, mortgage servicing rights, fishing licences, import quotas, franchises, customer or supplier relationships, customer loyalty, market share and marketing rights; goodwill is another example, which either arises on acquisition or may be internally generated (SM 5.66). Not all of them meet the definition of an intangible asset, that is, **identifiability, control over a resource and expectation of future economic benefits** flowing to the enterprise; expenditure on an item that does not is recognised as an expense when incurred. Four rules settle most exam cases (SM 5.66, 5.68):

- **Internally generated goodwill** should not be recognised as an asset (AS 26).
- The **physical substance** containing an intangible (a compact disk for software, legal documentation for a licence or patent, film for a motion picture) usually costs little, so though tangible it is commonly treated as part of the intangible asset.
- Where an asset has inseparable intangible and tangible elements, judgment decides which is predominant. Software that is an **integral part of the related hardware** (for a computer-controlled machine tool that cannot operate without that specific software, or a computer's operating system) is treated as a **fixed asset**; software that is not an integral part of the related hardware is an **intangible asset**.
- No intangible asset arises from **research** (or the research phase of an internal project): research expenditure is an expense when incurred.



Green: recognise as an intangible asset (AS 26); violet: treat with the hardware as a fixed asset; orange: no asset. The compact disk carrying software goes with the software.

The procedures follow the same assertions as PPE (SM 5.66–5.69):

- **Existence.** Since an intangible has no physical substance, verify that it is **in active use** in the production or supply of goods or services, for rental to others or for administration. For software, verify the sale of the related goods or services during the period in which it was used; for designs or drawings, verify production data showing that the products are being produced and sold. An intangible **not in active use** should have been deleted in the books after management's approval, and amortisation should have ceased beyond the date of deletion.
- **Completeness** (all additions recorded appropriately). Verify the movement in the intangible assets schedule compiled by management, class-wise (software, designs and drawings, goodwill and so on): opening balances + additions − deletions = closing balances; tally the closing balances to the books and check its arithmetical accuracy. Obtain a listing of all additions and:
  - for all material additions, verify whether the expenditure meets the criterion for recognition of an intangible asset as per AS 26;
  - ensure that no intangible asset arising from **research** (or from the research phase of an internal project) is recognised: that expenditure is an expense when incurred;

- check the certificate or report or other similar documentation to verify the **date of use** of the intangible, which could be linked to the date of commencement of commercial production or economic use, for all additions;
- verify whether the additions (acquisitions) have been approved by appropriate personnel;
- verify whether proper internal processes, like inviting competitive quotations or proper tenders, were followed before finalising the vendor, by testing those documents on a sample basis;
- for **deletions**, as for PPE: understand the reason, rationale and manner of disposal; obtain management's approval and the **disposal note** authorising disposal of the asset from its active use; verify the process followed for the sale of the discarded asset; and verify the accurate recording of the original cost, accumulated amortisation up to the date of disposal and the resulting gain or loss.

- **Valuation.** The value of intangible assets may diminish due to efflux of time, use or obsolescence; unless amortisation is charged, profit is wrong and the assets are shown at higher amounts. Verify that amortisation is charged on all intangible assets; that the amortisation method reflects the pattern in which the asset's future economic benefits are expected to be consumed; and whether management has done an impairment assessment, applying AS 28 to review the carrying amount and determine the recoverable amount and any impairment loss.
- **Rights and obligations.** In addition to the completeness procedures on additions, verify that all expense invoices and purchase contracts are in the name of the entity, which entitles it to legal title.

Formats and formulas

The movement schedule the auditor checks

Reproduce this layout; "opening + additions − deletions = closing" and the two tallies carry the marks.

Tapri's plant and equipment for 2025-26, in ₹ crore (illustrative):

Particulars	Gross block	Accumulated depreciation	Net block
Opening, tallied to 2024-25 audited statements	86.40	31.20	55.20
Add: additions / depreciation for the year	6.25	7.85	
Less: deletions	1.10	0.95	
Closing, tallied to the books	**91.55**	**38.10**	**53.45**

Schedule III: the PPE note (SM 5.63)

Learn the classification in this order; "state the disclosures" questions mark each head.

1. **Classification**: (a) Land; (b) Buildings; (c) Plant and Equipment; (d) Furniture and Fixtures; (e) Vehicles; (f) Office equipment; (g) Others (specify nature).
2. **Assets under lease** separately specified under each class of asset.

3. A **reconciliation of the gross and net carrying amounts** of each class at the beginning and end of the reporting period, showing additions, disposals, acquisitions through business combinations, the amount of change due to revaluation (if the change is 10% or more in the aggregate of the net carrying value of each class) and other adjustments, and the related depreciation and impairment losses or reversals, disclosed separately.
4. Where sums have been **written off on a reduction of capital or revaluation**, or **added on revaluation**, every subsequent balance sheet shows the reduced or increased figures and, by a note, the amount of the reduction or increase with its date, for the first **five years** after it.

Schedule III: the intangible assets note (SM 5.70)

1. **Classification**: (a) Goodwill; (b) Brands/trademarks; (c) Computer software; (d) Mastheads and publishing titles; (e) Mining rights; (f) Copyrights, and patents and other intellectual property rights, services and operating rights; (g) Recipes, formulae, models, designs and prototypes; (h) Licences and franchise; (i) Others (specify nature).
2. The **reconciliation** of gross and net carrying amounts, as for PPE (10% revaluation test for each class of intangible assets).
3. The **five-year note** on write-offs and revaluation, as for PPE.

Additional Regulatory Information (SM 5.64–5.65, 5.71)

(i) Title deeds of immovable property not held in the name of the company. Details of all immovable property (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) whose title deeds are not held in the name of the company; where the property is jointly held with others, details are given to the extent of the company's share. Columns, in order: relevant line item in the Balance Sheet (PPE, investment property, PPE retired from active use and held for disposal: land and building each; others); description of item of property; gross carrying value; title deeds held in the name of; whether the holder is a promoter, director, relative of a promoter or director, or employee of a promoter or director (as defined in the Companies Act, 2013); property held since which date; reason for not being held in the name of the company (also indicate if in dispute).

(ii) Revaluation. Whether the revaluation of PPE is based on the valuation by a **registered valuer** as defined under rule 2 of the Companies (Registered Valuers and Valuation) Rules, 2017.

(iii) Capital work-in-progress (CWIP). (a) The ageing schedule below, whose total shall tally with CWIP in the balance sheet; (b) for CWIP whose completion is overdue or has exceeded its cost compared to its original plan, a completion schedule (Project 1, Project 2 … against "to be completed in" less than 1 year, 1–2 years, 2–3 years, more than 3 years), with details of projects where activity has been suspended given separately.

CWIP ageing schedule (amount in CWIP for a period of)					
CWIP (₹)	< 1 year	1–2 years	2–3 years	> 3 years	Total
Projects in progress					
Projects temporarily suspended					

(iv) Intangible assets under development. The same ageing schedule and completion schedule, the total tallying with intangible assets under development in the balance sheet (SM 5.71).

> ⚠ **Careful**
>
> Schedule III requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

Worked examples

Worked example **The kiln's real cost**

Tapri Tea Co. Ltd installed a kulhad kiln at its Dewas plant in 2025-26. Management capitalised ₹4,88,40,000, made up of:

Item	Amount (₹)
Kiln, list price ₹3,60,00,000 less 5% trade discount	3,42,00,000
Basic customs duty	34,20,000
IGST on import (input tax credit taken)	68,40,000
Freight and transit insurance to Dewas	6,50,000
Site levelling and foundation	8,20,000
Installation and assembly by the supplier	5,80,000
Salaries of Tapri engineers, for the installation only	2,40,000
Clay and fuel used in trial firing	3,10,000
Consulting engineer's fees	1,50,000
Inauguration ceremony	4,50,000
Launch advertising	7,00,000
Training of plant staff	1,80,000
Head office administration overheads allocated	3,00,000
Total	**4,88,40,000**

The 40,000 kulhads fired in trials were sold for ₹60,000, credited to other income. The kiln stands on leased land, which the lease requires Tapri to restore; management's initial estimate of dismantling and restoration is ₹9,00,000, not recorded anywhere.

Required:

(i) Compute the cost at which the kiln should be recognised.

(ii) State the amount by which PPE is misstated, and reconcile it.

THE WORKING

As per AS 10 (Revised), cost comprises the purchase price (with import duties and non-refundable purchase taxes, less trade discounts and rebates), the directly attributable costs and the initial estimate of dismantling and restoration costs.

(i) Cost of the kiln as per AS 10 (Revised)

Element	Amount (₹)
Purchase price after trade discount	3,42,00,000
Import duty (non-refundable)	34,20,000
Initial delivery and handling	6,50,000
Site preparation	8,20,000
Installation and assembly	5,80,000
Employee benefits arising directly from the acquisition	2,40,000
Testing, ₹3,10,000 less proceeds of trial output ₹60,000	2,50,000
Professional fees	1,50,000
Initial estimate of dismantling and site restoration	9,00,000
Cost to be recognised	**4,12,10,000**

Working notes

1. IGST of ₹68,40,000 is recoverable as input tax credit; only non-refundable taxes form part of cost. It is a balance with government authorities.
2. Inauguration ₹4,50,000, launch advertising ₹7,00,000, staff training ₹1,80,000 and allocated overheads ₹3,00,000 (together ₹16,30,000) are not costs of PPE; they are charged to the Statement of Profit and Loss.
3. The ₹60,000 from trial output reduces the cost of testing; it is not other income.
4. The dismantling estimate is part of cost; its other side is a provision (see provisions).

(ii) Misstatement

Reconciliation	Amount (₹)
Capitalised by management	4,88,40,000
Less: IGST, input tax credit	(68,40,000)
Less: trial output proceeds	(60,000)
Less: costs that are not PPE	(16,30,000)
Add: dismantling and restoration estimate	9,00,000
Cost as per AS 10 (Revised)	**4,12,10,000**

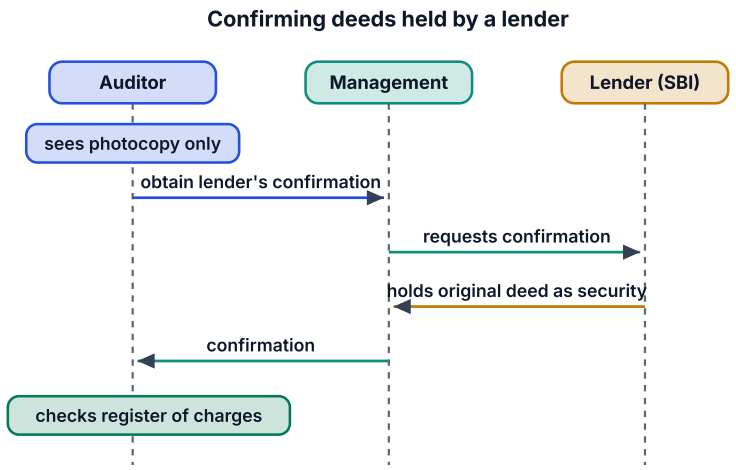
PPE is overstated by ₹76,30,000 (₹4,88,40,000 − ₹4,12,10,000). Profit is overstated by ₹16,30,000 + ₹60,000 = ₹16,90,000 before the depreciation effect; other current assets are understated by ₹68,40,000 and provisions by ₹9,00,000. The auditor should ask management to correct the misstatement and, if it is not corrected, evaluate it under SA 450.

Worked example **The deed in the bank's locker**

In 2025-26 Tapri bought an Indore warehouse for ₹12.60 crore and mortgaged it to State Bank of India, which holds the original sale deed; the accounts team shows Bunty a photocopy. The fixed asset register also holds café land at Bhopal (gross carrying value ₹2.80 crore), registered since 2019 in the name of Kesar Mehra, promoter and managing director, "because the seller wanted to deal with him". Physical verification could not find 14 deep fryers at the Jaipur café (cost ₹9.80 lakh). The café manager says they were scrapped on 30 September 2025, with no approval or discard note; they are still in the register, with accumulated depreciation of ₹6.60 lakh at 31 March 2026, including ₹0.70 lakh charged for the six months after scrapping.

Advise Iyer & Associates on the procedures to establish Tapri's rights over its PPE, and on how the Bhopal land and the missing fryers should be dealt with.

MODEL ANSWER



Where property given as security has its original deed with the lender, management obtains the lender's confirmation; the charge in favour of the bank should also appear in the register of charges.

Relevant provision. To establish rights and obligations over PPE, the auditor should verify that purchase invoices are in the entity's name; check the conveyance or sale deed for additions to land and building; insist on and verify the original title deeds of all immovable properties; where a property is given as security and the original deeds are not with the entity, request management to obtain the lenders' confirmation that they hold them; and verify the register of charges. Schedule III requires, as Additional Regulatory Information, details of immovable property whose title deeds are not held in the company's name. Shortages found on physical verification are accounted for as deletions after management's approval, and depreciation ceases after the date of deletion.

Facts of the case. The Indore deed is with SBI; the Bhopal land stands in the promoter-director's name; 14 fryers, scrapped on 30 September 2025, remain in the books at a net carrying amount of ₹3.20 lakh (₹9.80 lakh − ₹6.60 lakh), still depreciated.

Analysis.

1. **Indore warehouse.** A photocopy is not sufficient: the auditor should check the sale deed for Tapri's name, ask management to obtain SBI's confirmation that it holds the original deed as security, and verify the charge in the register of charges.
2. **Bhopal land.** The title deed is not in Tapri's name, so the land must be disclosed as Additional Regulatory Information: line item PPE (land); description; gross carrying value ₹2.80 crore; held in the name of Kesar Mehra, a promoter and director; held since 2019; the reason, and whether it is in dispute.
3. **Missing fryers.** Shortages are accounted for as deletions after management's approval: the auditor asks for that approval and the discard note, and verifies that the deletion is recorded as at 30 September 2025: cost ₹9.80 lakh and accumulated depreciation up to that date, ₹5.90 lakh (₹6.60 lakh − ₹0.70 lakh), removed, giving a loss on disposal of ₹3.90 lakh; the ₹0.70 lakh charged after the date of deletion is reversed. PPE and profit are overstated by ₹3.20 lakh (₹3.90 lakh − ₹0.70 lakh).

Conclusion. Iyer & Associates should obtain the lender's confirmation and verify the register of charges, require the Bhopal disclosure and the deletion of the fryers; uncorrected, these are misstatements to be evaluated for their effect on the opinion. As Tapri is listed, the same evidence supports reporting on title deeds and physical verification under CARO 2020.

Worked example **Five intangibles, one of them honest**

Tapri's intangible assets note for 2025-26 shows these additions and balances:

(i) ₹1.60 crore paid to an outside developer for a new version of the TapriNow delivery app, launched on 1 August 2025.

(ii) ₹45 lakh of laboratory trials to find out whether stevia can replace sugar in the chai premix (the project has not gone beyond finding out).

(iii) ₹28 lakh for the software that runs Tapri's kulhad vending machines, which cannot operate without it.

(iv) ₹50 crore of "Tapri brand goodwill", recorded on management's own valuation with a credit to capital reserve.

(v) The "ChaiPoints" loyalty app (cost ₹36 lakh, bought 1 October 2023, amortised at ₹12 lakh a year), switched off on 30 September 2025 but amortised for the full year.

Comment on each item, and state the procedures Iyer & Associates should perform to verify the existence and the valuation of Tapri's intangible assets.

MODEL ANSWER

Relevant provision. As per AS 26, an intangible asset is an identifiable non-monetary asset without physical substance held for use in the production or supply of goods or services, for rental to others or for administrative purposes. Research expenditure is an expense when incurred; internally generated goodwill should not be recognised; software that is an integral part of the related hardware is a fixed asset, other software an intangible asset. An intangible not in active use should be deleted after management's approval, with amortisation ceasing beyond the date of deletion.

Facts and analysis.

1. **Delivery app, ₹1.60 crore.** Acquired software, not integral to any hardware, identifiable, controlled and bringing future benefits: correctly an intangible asset (computer software), amortised from 1 August 2025.
2. **Stevia trials, ₹45 lakh.** Research phase of an internal project: an expense. Profit and intangible assets are overstated by ₹45 lakh.
3. **Vending machine software, ₹28 lakh.** The machines cannot operate without it: it belongs in PPE with the machines.
4. **Brand goodwill, ₹50 crore.** Internally generated goodwill should not be recognised; the entry is reversed from intangible assets and capital reserve.
5. **ChaiPoints, switched off.** Not in active use since 30 September 2025: a deletion should be recorded after management's approval. At that date accumulated amortisation was ₹24 lakh (24 months at ₹1 lakh), so the carrying amount of ₹12 lakh is written off as a loss on deletion. The correct charge for the year is ₹6 lakh amortisation plus ₹12 lakh loss = ₹18 lakh, against ₹12 lakh charged: profit and intangible assets are overstated by ₹6 lakh.

Procedures.

- **Existence.** An intangible asset has no physical substance, so verify whether each one is in active use in the production or supply of goods or services, for rental to others or for administrative purposes. For the delivery app, verify the sale of the related goods during the period through the orders placed on it. For ChaiPoints, which is not in active use, verify that the deletion has been recorded after management's approval and that amortisation has ceased beyond the date of deletion.
- **Valuation.** Verify that amortisation is charged on all intangible assets (the delivery app from 1 August 2025); that the amortisation method reflects the pattern in which each asset's future economic benefits are expected to be consumed; and whether management has done an impairment assessment, applying AS 28 to review the carrying amount and determine the recoverable amount and any impairment loss.

Conclusion. Only item (i) is correct; items (ii) to (v) should be corrected as above.

Exam angle

In the exam

Where this topic appeared, May 2024 to September 2026

In the 16 ICAI documents read for this lesson that examined it (listed in the report):

- **Capitalise or expense, 4 or 5 marks.** Costs that are not PPE (May 2024 Q5(b)); testing ₹1,80,000 and inauguration ₹1,00,000 with the recognition criteria and elements of cost (January 2026 Q4(b)); site preparation, installation and fees against training and advertising (MTP January 2026 Series I Q5(b)); dismantling an obsolete plant to set up a new one at the same place, which ICAI's answer treated as part of the new plant's cost (September 2024 Q4(b)).
- **Rights and obligations, 4 or 5 marks.** A mortgaged new property (MTP January 2025 Series I Q5(c)); all PPE in the entity's name (MTP May 2025 Series I Q1(a)); "name the assertion and the procedure" for ₹20 crore of additions (RTP January 2026 Q14).
- **Valuation, 4 or 5 marks.** With "comment on the significance" (MTP September 2024 Series I Q6(c), an internal choice; Series II Q6(a)).
- **Intangibles, 4 or 5 marks.** Software under PPE and research as an asset, plus completeness of additions (January 2025 Q3(a)); research, software and a discarded package with no disposal note (MTP January 2026 Series II Q6(b)); deletions (September 2026 Q6(c), an internal choice; answers not yet published).
- **How marks are earned.** ICAI's answers name the assertion first ("Relevant assertion ... is Rights and Obligation"), list the Study Material's procedures in its order, then apply them; in capitalise-or-expense cases, a line of rule and a line of conclusion per item.
- **Multiple choice, 2 marks.** An intangible not in active use (January 2025 MCQ 14); research, integral and standalone software (January 2026 MCQ 3); items not recognised as intangibles (May 2025 MCQ 7); a CD carrying software (MTP May 2024 Series I MCQ 1.2); an unchanged gross block, so vouching additions is "not likely to be relevant" (RTP May 2024 MCQ 1.2).

Trick

"Price, Path, Pull-down": what goes into PPE

Price: purchase price with import duty and non-refundable taxes, less trade discounts. **Path**: every cost directly attributable to getting the asset to its location and working condition (site, delivery, installation, testing net of sale proceeds, professional fees, the employees who built it). **Pull-down**: the initial estimate of dismantling and restoring the site. Anything that is not one of the three (inauguration, advertising, training, general overheads, regular repairs) is an expense. Condition: it applies to the cost at recognition under AS 10; later costs are tested against the same recognition criteria.

Answer frame

"How should the auditor verify [assertion] for PPE?"

1. **Name the assertion** and what it means here ("the entity has valid legal ownership rights over the PPE recorded").
2. **List the procedures** of SM 5.58–5.63 for it, in the Study Material's order and words.
3. **Apply them**: the mortgaged property gets the lender's confirmation and the register of charges; the new plant the AS 10 cost test.
4. **Conclude**: what the auditor obtains, and what follows if it cannot.

PPE against intangibles, assertion by assertion

Assertion	PPE	Intangible assets
Existence	Physical verification, tagging, reconciliation with the register	Active use: related sales or production data
Completeness	Movement schedule; AS 10 test of additions	Movement schedule; AS 26 test; no research
Valuation	Depreciation on all but freehold land; AS 28	Amortisation on all; AS 28
Rights	Invoices, title deeds, lender confirmation, charges	Invoices and contracts in the entity's name

Common mistakes

⚠ **Common mistake**

Hall of Shame: the singer capitalised with the kiln

Bunty reasons that a cost "for the kiln" is a cost of the kiln. **Fix:** only the purchase price, costs directly attributable to bringing the asset to its location and working condition, and the dismantling estimate join PPE. Inauguration, advertising, training and overheads are expenses however close to the asset they sit.

⚠ **Common mistake**

Proving an app exists by looking at the server

Inspecting a compact disk or a login screen does not prove that an intangible asset exists. **Fix:** existence of an intangible is shown by active use: the sales of the goods or services in which the software was used, or production data for a design.

⚠ **Common mistake**

Accepting the photocopy of a mortgaged deed

Fix: insist on the original title deeds; where the property is given as security and the bank holds them, ask management to obtain the lender's confirmation, and check the register of charges.

⚠ **Common mistake**

Treating all software as intangible

Fix: software that is an integral part of its hardware (the machine cannot operate without it, or an operating system) goes with the hardware as a fixed asset; only software that is not integral is an intangible asset.

Practice

Check yourself

1 Case scenario. Ujjain Kulhad Works Ltd runs its kiln from a shed it occupies under a lease agreement duly executed in its favour. It also bought a godown jointly with a sister concern, sharing 60:40, and the title deed stands in the sister concern's name alone. Its own head office building is registered in its own name. Which of the following is correct about the Additional Regulatory Information on title deeds not held in the name of the company?

- **A** The leased shed and the godown are both reported, the godown at its full gross carrying value
- **B** Only the godown is reported, to the extent of the company's 60% share
- **C** Only the leased shed is reported, because the company does not own it
- **D** Nothing is reported, because the company paid for the godown and occupies the shed

2 Which of the following is NOT a cost of an item of property, plant and equipment under AS 10 (Revised)?

- **A** Professional fees of the engineer who supervised the installation
- **B** Cost of testing the machine, after deducting proceeds from samples sold
- **C** Cost of training the operators of the new plant
- **D** Salaries of the entity's own staff who worked only on constructing the asset

3 Tapri's Guwahati plant is under construction (projects in progress). Its CWIP at 31 March 2026 consists of amounts incurred on 14 August 2022 (₹1.10 crore), 20 December 2023 (₹0.85 crore), 10 June 2024 (₹1.40 crore), 25 February 2025 (₹1.00 crore) and 5 November 2025 (₹3.05 crore). Ageing each amount from the date it was incurred, what amount (₹ crore, two decimals) goes in the "1–2 years" column of the CWIP ageing schedule?

Answer: _____

4 An auditor wants to verify the existence of computer software shown under intangible assets. Which procedure does the Study Material prescribe?

- **A** Physically inspect the compact disk on which the software was delivered
- **B** Obtain the developer's invoice in the entity's name
- **C** Verify that the software is in active use, through the sale of the related goods or services during the period
- **D** Recompute the amortisation charged for the year

5 Which of the following are classes of intangible assets in Schedule III? Select all that apply.

- A Recipes, formulae, models, designs and prototypes
- B Mastheads and publishing titles
- C Research expenditure on internal projects
- D Licences and franchise

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- PPE cost = purchase price (import duties and non-refundable taxes in, trade discounts out) + directly attributable costs + initial dismantling and restoration estimate.
- Not PPE: inauguration, launch advertising, staff training for a new location, general overheads, regular repairs.
- Existence: verification plan, supervision, tagging, reconciliation with the fixed asset register; shortages deleted after approval, depreciation stops.
- Completeness: opening + additions − deletions = closing, tallied both ways; additions tested for AS 10, date, approval, quotations; deletions for approval, discard note, sale process, gain or loss.
- Rights: invoices and deeds in the entity's name, original title deeds, lender's confirmation for pledged deeds, register of charges.
- Valuation: depreciation on all PPE except freehold land, method matching the pattern of benefits, AS 28 impairment.
- Intangibles: existence by active use; nothing from research; no internally generated goodwill; integral software is a fixed asset.
- Schedule III adds title deeds not in the company's name, registered-valuer revaluation and CWIP ageing. (The singer still cannot fire a kulhad.)

Answer key · Check yourself

1 **B** **Only the godown is reported, to the extent of the company's 60% share**

Properties where the company is the lessee under a duly executed lease are excluded; the head office deed is in the company's name; a jointly held property is reported to the extent of the company's share (SM 5.64).

2 **C** **Cost of training the operators of the new plant**

Staff training is a cost of business in a new location or with a new class of customer; the other three are directly attributable costs.

3 **2.40**

At 31 March 2026 the June 2024 (about 1.8 years) and February 2025 (about 1.1 years) amounts are 1–2 years old: ₹1.40 + ₹1.00 = ₹2.40 crore. December 2023 goes in "2–3 years", 2022 in "more than 3 years", November 2025 in "less than 1 year"; the total, ₹7.40 crore, tallies with CWIP in the balance sheet.

4 **C Verify that the software is in active use, through the sale of the related goods or services during the period**

Without physical substance, existence is shown by active use. The invoice tests rights and obligations and the recomputation tests valuation.

5 **A Recipes, formulae, models, designs and prototypes; B Mastheads and publishing titles; D Licences and franchise**

Research expenditure is an expense when incurred, never an intangible asset. The other three are among Schedule III's nine classes.

5.6 Audit of inventories, receivables, cash and loans and advances

How the auditor tests the assets that move every day: receivables confirmed and aged, cash counted by surprise and banks reconciled, inventories counted and valued, loans and advances confirmed, and each disclosed as Schedule III requires.

In plain words

The cash that was waiting in an envelope

On 31 March Bunty is sent to count the cash at Tapri's Indore café.

> **Bunty:** Ma'am, the café cash tallied to the rupee. The cashier even had it ready in an envelope.
>
> **Lakshmi:** Ready? Who told him we were coming?
>
> **Bunty:** I did. I phoned to make sure he would be there.
>
> **Lakshmi:** Then you counted a performance, Bunty. Cash is counted by surprise, and every till at the same time.

The kiln in Dewas will still be there next week. Tapri's **current assets** will not: ₹38 crore of chai premix, kulhads and frozen samosas is sold and replaced every few weeks, ₹64 crore of receivables from supermarkets and airlines is collected and re-billed, cash moves through cafés in 40 cities and 22 bank accounts, and loans and advances (to franchisees, staff, the GST department) come and go. Assets that move are tested at a **point in time**, and wherever possible with **evidence from outsiders**: count it, confirm it, reconcile it.

Think of it like

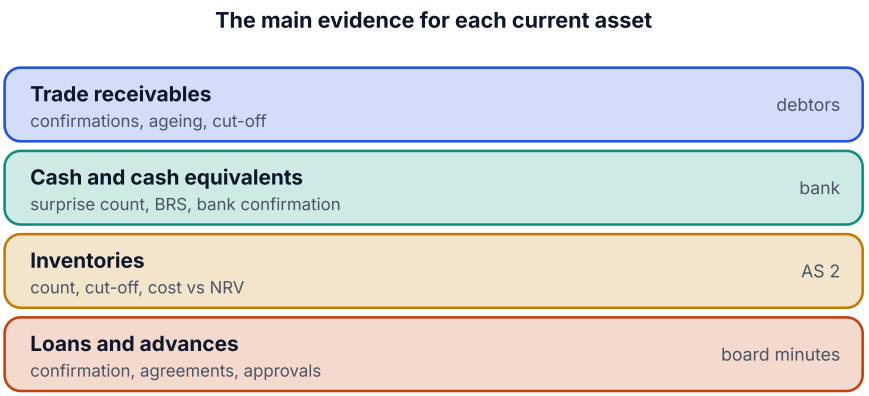
Checking your roommate's money

Your roommate says he has ₹2,000 in his wallet, ₹5,000 owed by three friends, a cupboard of snacks and ₹3,000 lent to his cousin. You count the wallet now, before he can borrow from the snack money (surprise, simultaneous count); you message the three friends yourself, not through him (direct confirmation); you open the cupboard and check the expiry dates (count, and value at no more than they will fetch); and you ask to see the cousin's IOU (the loan agreement and acknowledgement).

Key idea

Current assets are proved at the balance sheet date: **receivables and loans** by direct confirmation and a recoverability review, **cash** by a surprise count of all balances together and by bank reconciliations and bank confirmations, **inventories** by attending the count and valuing at the lower of cost and net realisable value, and each is **disclosed** as Schedule III requires.

How it works



The Study Material gives each caption its own table of procedures, assertion by assertion (SM 5.37–5.56, 5.80–5.84).

1. Trade receivables: "they owe us, really?"

Receivables (debtors) arise when an invoice is raised and unpaid; amounts not recoverable are written off as bad and charged to profit and loss (SM 5.37). The auditor first **tests the controls over sales**, considering these points (SM 5.37–5.38):

1. Only bona fide sales lead to trade receivables.
2. All such sales are made to approved customers.
3. All such sales are properly recorded in the books of accounts.
4. Once recorded, debtors can be settled only by receipt of cash or on the authority of a responsible official.
5. Segregation of duties at every point in the sales transaction (accounting for debtors, collecting the payments, sending reminders and so on).
6. Debtors are collected on time.
7. In case debtors are not collected in time, reminders are sent and legal action is taken if required.
8. Balances are regularly reviewed.
9. A proper system of follow-up exists and, if necessary, adequate provision for bad debts is made by preparing an adequate ageing schedule of the debtors.

Existence (SM 5.38–5.41):

- check whether controls ensure that invoices cannot be recorded more than once and that receivable balances are automatically recorded in the general ledger from the original invoice;
- ask for a period-end accounts receivable **ageing report** and trace the balance as per the report to the general ledger;
- check whether realisation is recorded invoice-wise; if not, check that money received from debtors is adjusted chronologically, invoice-wise and on a FIFO basis (the previous bill adjusted first); if realisation is made on account, verify whether the company has obtained confirmations from the debtors;
- if any large balance is due for a long time, ask for the reasons and justification;

- **direct confirmation**: contact customers directly and ask them to confirm the unpaid receivables at the period end; necessarily for all significant balances, while some random customers with smaller outstanding invoices are also selected;
- confirmations are sought with the entity's consent; if management asks the auditor not to confirm certain balances, consider whether there are valid grounds and, where appropriate, reconsider the nature, timing and extent of procedures and the planned reliance on management's representations;
- the date: (a) the balance sheet date, or (b) any other selected date reasonably close to it, decided by the auditor in consultation with the company; the form: (a) **with the balance** as per the company, the customer responding whether or not it agrees, or (b) **without any balance**, the customer responding with the balance as per its records; the use of the form without any balance is preferable;
- the method of selecting the debtors to be circularised is not revealed to the company until the trial balance of the debtors' ledger is handed over; the selected list is given to the entity to prepare properly addressed request letters; the auditor maintains strict control over their correctness and proper despatch, and **confirmations and undelivered letters are returned to the auditor, not the client**;
- discrepancies revealed by the confirmations or by additional tests may bear on accounts outside the original sample: the company is asked to investigate and reconcile them;
- **no reply**: alternative procedures, such as agreeing the balance to cash received subsequently, or preparing a detailed analysis of the balance, ensuring it consists of identifiable transactions and confirming that those revenue transactions actually occurred;
- review related party receivables for collectability, proper authorisation and whether their value was reasonable and at arm's length; check that receivables for other than sales or services are not included in the list;
- analytical procedures: review a trend line of sales and receivables, or compare the two over time, for unusual trends, and measure the average collection period; enquire of management into changes in trends and document the answers in the working papers.

Completeness and cut-off (SM 5.41–5.43):

- **cut-off**: for invoices of the last few days (the last 5 days of the year) included in debtors, the goods were dispatched and are not lying with the company; on a test check basis, all goods dispatched before the year end are invoiced and included, and none dispatched after it;
- test invoices from the ageing report for correct amounts, customers and dates;
- match invoice dates to the shipping or dispatch log, including invoices issued after the period;
- examine **bill and hold** sales for whether a sale took place;
- review the receiving log for inordinately large customer returns after the period end (goods pushed out to inflate profit);
- review discounts and incentives against policy and industry trends;
- review credit memos during and after the period for authorisation and period, and the reason for any deduction against a bill.

Valuation (SM 5.43–5.44):

- review the process for the allowance for doubtful accounts: consistent with last year, appropriate to the business;
- obtain the ageing report (debit and credit balances) and the list of debtors under litigation, compared with the previous year;
- identify doubtful debtors not provided for and discuss why with management, testing further where disputes exist;
- check that provisions are at appropriate rates, given recoverability;
- prepare a schedule of movements in the provision and write-offs; compare bad debt expense to sales with prior years;
- check that write-offs are approved by an appropriate authority (the Board of Directors in a company).

Disclosure (SM 5.44): check that foreign currency trade receivables are restated properly as per AS 11; that related party transactions regarding receivables are properly disclosed as per AS 18 or Ind AS 24; ensure that transactions with parties covered under section 189 (Register of Contracts or Arrangements in which Directors are interested) of the Companies Act, 2013 are reported properly in CARO 2020; and the Schedule III disclosures in Formats below. The mechanics of confirmations are in SA 505.

> ⚠ **Careful**
>
> The section 189 point is given as SM 5.44 states it. CARO 2020's own clause (iii), as the Study Material reproduces it (SM 8.76–8.77), covers loans, advances in the nature of loans, guarantees, security and investments given to companies, firms, LLPs or any other parties, and does not mention section 189. Write the point as SM 5.44 gives it in a receivables answer. Verify against the Study Material and Statutory Update for your attempt.

2. Cash and cash equivalents: count it before it walks

Cash in hand, stamps, balances in current and margin money accounts, cash credit accounts (debit balance), fixed deposits and cheques in hand are the most liquid assets: readily convertible into cash, with insignificant value risk, and prone to misappropriation, so `utmost professional skepticism` is needed (SM 5.45).

Existence and completeness (SM 5.46–5.49):

1. **Surprise check.** Count cash on the last day of the year and again some time after the close, without notice to the entity or its staff: otherwise there is no certainty that the cash produced was in fact held by the custodian.

2. **All balances together.** Cashier, petty cashier, branch cashier and imprest balances with employees are counted simultaneously, as far as practicable, so that a shortage in one is not made good from another.

3 **Cashier present and signing.** The cashier attends the count and signs the statement of the balance with its denominations; if absent, he may hold the auditor responsible for any shortage.

4 **Rough cash book.** Test its entries, or the separate record of daily balances, against the Cash Book.

5 **Slips, chits and IOUs** for temporary advances to employees counted as cash: approved by an authorised official and recorded in the appropriate accounts.

6 **Cash sensitivity analysis.** Summarise receipts and payments month by month, look for variations, and ask management to explain them.

7 **Bank reconciliation statements (BRS)** for all bank accounts at the period end: understand the process and periodicity, and ensure each BRS is signed by authorised personnel so that responsibility can be assigned.

8 **Bank confirmations.** Confirm directly with banks and financial institutions all period-end balances: current, deposit, EEFC, cash credit and restrictive use accounts (dividend, escrow); the company reconciles discrepancies and seeks written explanations from the banks.

Verifying the BRS (SM 5.47–5.48):

- tally the balance as per the bank book to the bank confirmation or statement;
- **cheques issued but not presented**: check material items to the bank book and to the next period's bank statements; a cheque that has become **stale (3 months or more since issue) should not appear in the BRS but be taken back to liabilities**;
- **cheques deposited but not credited**: check bank-acknowledged deposit slips and the next period's statements; for cheques not cleared beyond a reasonable time, seek explanations and, if unsatisfactory, verify that revenue recognition for those parties was in order and as per the revenue recognition policy;
- **amounts debited or credited by the bank but not accounted for**: if material, management should record them; if it does not, the auditor shall consider qualifying the report.

The auditor should emphasise confirmation of **100% of bank balances**. In remote cases of no reply: agree the balance to the bank statement received by the company or to an online login in the auditor's presence, or send a team member to the branch with the entity's personnel (SM 5.49). **Valuation**: bank accounts in foreign currency are restated at closing exchange rates (SM 5.49).

3. Inventories: count, cut off, cost or NRV

Inventories are assets (a) held for sale in the ordinary course of business, (b) in the process of production for such sale, or (c) materials or supplies to be consumed in production or in rendering services. Under AS 2 they are valued at the **lower of cost and net realisable value**, on a basis applied consistently, with any change in policy disclosed (SM 5.50).

Existence (SM 5.50–5.52): review the entity's plan for the inventory count; ensure that consigned goods have been segregated; **participate in the count** with management. The auditor's test counts should include:

- observing that employees are adhering to the agreed plan;
- assuring that there is appropriate supervision of the count procedure;
- assuring that all items are properly **tagged**;
- observing that proper amounts are shown on tags;
- determining that tags and summary sheets are controlled and reconciled;
- reconciling test counts with tags and summary sheets, with discrepancies, if any, summarised and agreed with client personnel;
- staying alert at all times, and specifically cautious about empty boxes and obsolete items;
- performing **cut-off** testing by documenting the last 5–10 receiving reports and shipping documents as of the period end;
- ensuring the exclusion of third-party stock and of damaged or obsolete stock;
- ensuring the accounting of all stock sheets;
- investigating any significant differences between the physical stock take and the stock records, and asking the entity's personnel to sign all stock count sheets and agree the variances observed, to avoid any conflicts.

When the entity uses a **periodic** system, the count is undertaken at the end of the period; with a **perpetual** system and proper, adequate records, inventory may be counted at interim dates. Confirm or investigate any inventory of the entity lying with a third party (specifically relevant where the entity gets job work done). The count itself is the subject of SA 501.

Completeness: only the inventories held by the entity are recorded, none belonging to third parties, but including the entity's inventories lying with a third party (SM 5.52–5.53):

- perform analytical procedures (comparison with industry averages, budgets, prior years, trend analysis): compute the **inventory turnover ratio** (COGS / average inventory); perform vertical analysis (inventory / total assets); compare budgetary expectations with actuals;
- examine non-financial information about inventory, such as weights and other measurements;
- perform purchase and sales cut-off tests: trace shipping documents (bills of lading and receiving reports, warehouse records and inventory records) to the accounting records immediately before and after the year end;
- for tagged inventory, perform tests for omitted transactions and tests for invalid transactions;
- verify the clerical and arithmetical accuracy of inventory listings;
- reconcile physical inventory amounts with perpetual records;
- reconcile physical counts with general ledger control totals;
- reconcile inventories that belong to the client but are held with third parties, like transporters, warehouses and port authorities;

- check that goods received on a consignment basis have been properly segregated from other items of inventory.

Rights and obligations: the entity has valid legal ownership rights over the inventories it records (SM 5.53):

- vouch recorded purchases to the underlying documentation (purchase requisition, purchase order, receiving report, vendor invoice and cancelled cheque or payment file);
- evaluate the consigned goods;
- examine client correspondence, sales and receivables records, purchase documents;
- determine the existence of **collateral agreements**;
- review consignment agreements;
- review material purchase commitment agreements;
- examine invoices for evidence of ownership: they shall be **in the name of the client**;
- obtain confirmation for significant items of inventory;
- for inventory held by a third party, insist on obtaining a **declaration from the third party on its business letterhead**, signed by its authorised personnel, confirming that the items belong to the entity and are held by the third party on behalf of and for the benefit of the entity.

Valuation (SM 5.54–5.56):

- management may value inventory on a first-in first-out (FIFO) or weighted average basis, depending on how the business operates: consider the reasonableness of the method adopted;
- **raw materials and consumables**: ascertain what elements of cost are included (carriage inward, non-refundable duties); if standard costs are used, enquire into the basis of the standards, how they are compared with actual costs and how variances are analysed and treated; test-check cost prices with purchase invoices received in the month(s) before the count; follow up the valuation of all damaged or obsolete inventories noted at the count, to establish a realistic net realisable value;
- **work in progress**: ascertain how the stages of production or value additions are measured and the basis of any estimates; ascertain what elements of cost are included and, if overheads are included, the basis, compared with the entity's costing and financial data; ensure that material costs exclude any abnormal wastage factors;
- **finished goods and goods for resale**: enquire what costs are included and how they were established, and ensure that the overheads included are based on normal costs and appear reasonable; ensure that inventories are valued at net realisable value if they are likely to fetch less than cost and, for any such item, that the related work in progress and raw materials have also been written down;
- **obsolete, damaged and slow-moving items**: ascertain their possible realisable value; ask the client for the inventory ageing split and follow up items noted as damaged or obsolete at the count; compare recorded costs with replacement costs; examine vendor price lists to see whether recorded cost is less than current prices; calculate the inventory turnover ratio (obsolete inventory may be revealed if it is significantly lower); in manufacturing, test overhead allocation rates and

ensure that only direct labour, direct material and overhead are included; verify the correct application of the lower of cost and net realisable value.

4. Loans and advances and other current assets

Loans and advances include those to related parties, security deposits, capital advances, and amounts recoverable in cash or in kind or for value to be received (rates, taxes and insurance paid in advance). Other current assets are mainly balances with statutory or government authorities (SM 5.80).

- **Existence** (SM 5.80–5.81): direct confirmation procedures similar to those for receivables, the only difference being that, in addition to the principal, interest receivable, if any, under the agreed terms may also be included in the balance to be confirmed.
- **Completeness** (SM 5.81–5.82):
  - obtain a list of all advances and other current assets and compare them with the balances in the ledger;
  - verify loan agreements and the parties' acknowledgements of outstanding loans; a material loan or advance is granted only if authorised by the **Memorandum and Articles of Association** in the case of a company, and the loans must be within the competence of the persons who advanced them (directors in a company, partners in a firm, trustees in a trust);
  - inspect the **minutes of the board** to confirm that all material loans and advances were approved;
  - verify that the loan has been acknowledged by the party, inspect any security deposited against due repayment, and ascertain whether loans are being recovered regularly as per the agreed instalments;
  - review related party loans and advances for proper authorisation and whether their value was reasonable and at arm's length;
  - for balances with statutory authorities like **GST input credit**, prepare a reasonability by applying the applicable rate to the purchases and expenses, ask for the reasons for any variance with the asset recorded, and verify that the amount in the books tallies with the claim in the GST returns filed.
- **Valuation** (SM 5.82–5.83):
  - assess the allowance for doubtful accounts, reviewing the process for consistency with last year's method and its fitness for the business;
  - obtain the ageing report of loans and advances and the list of those under litigation, compared with the previous year;
  - identify those that appear doubtful and discuss with management why they are not provided for;
  - assess write-offs, preparing a schedule of movements on the provision accounts and the amounts written off;
  - check that write-offs or other reductions in recoverable balances are approved by the authorised and appropriate senior authority;
  - check that foreign currency loans, advances and other current assets are restated properly as per AS 11.

Formats and formulas

∑ Formula

Inventory turnover ratio

$$\text{Inventory turnover ratio} = \frac{\text{Cost of goods sold}}{\text{Average inventory}}$$

A significantly lower ratio than before may reveal obsolete inventory (SM 5.52, 5.55).

Schedule III disclosures to verify

Each caption's list in this order; "state the disclosures" questions mark each point.

Trade receivables (SM 5.44–5.45): (i) the ageing schedule below; (ii) sub-classified as secured, considered good; unsecured, considered good; doubtful; (iii) allowance for bad and doubtful debts disclosed under the relevant heads; (iv) debts due by directors or other officers, severally or jointly with others, or by firms or private companies in which a director is a partner, director or member, stated separately.

Trade receivables ageing schedule (₹)

Particulars	< 6 m	6 m–1 yr	1–2 yrs	2–3 yrs	> 3 yrs	Total
(i) Undisputed, good						
(ii) Undisputed, doubtful						
(iii) Disputed, good						
(iv) Disputed, doubtful						

Columns: outstanding for the period from the due date of payment (m: months; yr: year). Rows in full: undisputed trade receivables, considered good; undisputed, considered doubtful; disputed, considered good; disputed, considered doubtful. Where no due date is specified, the ageing runs from the date of the transaction. Unbilled dues are disclosed separately (SM 5.44–5.45).

Cash and cash equivalents (SM 5.49–5.50): (i) classified as balances with banks; cheques, drafts on hand; cash on hand; others; (ii) earmarked balances (for example, unpaid dividend) stated separately; (iii) balances held as margin money or security against borrowings, guarantees or other commitments disclosed separately; (iv) repatriation restrictions stated; (v) bank deposits with more than 12 months' maturity disclosed separately.

Inventories (SM 5.56): classified as raw materials; work-in-progress; finished goods; stock-in-trade (goods acquired for trading); stores and spares; loose tools; others (specify nature); **goods-in-transit disclosed under each sub-head**; mode of valuation stated.

Loans and advances (SM 5.83–5.84):

Long-term	Short-term
Capital advances; loans and advances to related parties (details); other loans and advances (specify nature)	Loans and advances to related parties (details); others (specify nature)
Sub-classified: secured, considered good; unsecured, considered good; doubtful	The same
Allowance for bad and doubtful loans and advances under the relevant heads	The same
Due by directors or officers, or by firms or private companies in which a director is a partner, director or member, stated separately	The same

Additional Regulatory Information (SM 5.84): for loans or advances in the nature of loans to **promoters, directors, KMPs and related parties** (as defined in the Companies Act, 2013), severally or jointly, that are (a) **repayable on demand** or (b) **without specifying any terms or period of repayment**: for each type of borrower, the amount outstanding and its percentage to the total loans and advances in the nature of loans.

> ⚠ **Careful**
>
> Schedule III and Companies Act references are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

Worked examples

Worked example **Tapri's receivables, aged**

Tapri Tea Co. Ltd's trade receivables at 31 March 2026 (₹ lakh):

Customer and invoice	Status	Amount
Annapurna Retail Ltd, due 15 March 2026	Undisputed, good	120
Annapurna Retail Ltd, due 10 November 2025	Undisputed, good	45
SkyHigh Airlines, due 30 June 2025 (quality claim)	Disputed, good	60
Chai Adda franchise, Nagpur, due 31 January 2025	Undisputed, doubtful	18
Royal Rajputana Hotels, invoiced 5 August 2023, no due date	Disputed, doubtful	9
Canteen board, due 20 December 2022	Disputed, doubtful	6

Chai worth ₹14 lakh was supplied to SkyHigh in March 2026 but not yet billed.

Required:

(i) Prepare the trade receivables ageing schedule as required by Schedule III.

(ii) State the procedures Iyer & Associates should perform to verify that these receivables are valued appropriately.

THE WORKING

Ageing schedule, 31 March 2026 (₹ lakh)

Particulars	< 6 m	6 m–1 yr	1–2 yrs	2–3 yrs	> 3 yrs	Total
(i) Undisputed, good	165	–	–	–	–	165
(ii) Undisputed, doubtful	–	–	18	–	–	18
(iii) Disputed, good	–	60	–	–	–	60
(iv) Disputed, doubtful	–	–	–	9	6	15
Total	**165**	**60**	**18**	**9**	**6**	**258**

m: months; yr: year. Unbilled dues of ₹14 lakh are disclosed separately, outside the schedule.

Working notes

1. Each amount is aged from its due date to 31 March 2026: 16 days and about 4.7 months (< 6 months); about 9 months (6 months – 1 year); about 14 months (1–2 years); about 3.3 years (> 3 years).
2. Royal Rajputana has no due date, so it is aged from the date of the transaction, 5 August 2023: about 2.7 years (2–3 years).
3. The ₹14 lakh not yet billed is an unbilled due, disclosed separately.
4. The schedule's total, ₹258 lakh, is the billed receivables before any allowance; the allowance for the doubtful ₹33 lakh (₹18 + ₹15) is disclosed under the relevant heads.

(ii) Valuation procedures. Iyer & Associates should review the process by which Tapri derives the allowance for doubtful accounts, compare its method with last year's and judge whether it suits the business; obtain the ageing report (debit and credit balances) and the list of debtors under litigation (Royal Rajputana, the canteen board, SkyHigh's claim), compared with the previous year; identify debtors that appear doubtful but are not provided for (SkyHigh's ₹60 lakh disputed balance "considered good" needs the correspondence on the quality claim and further testing) and discuss them with management; check that provisions are made at appropriate rates given recoverability; prepare a schedule of movements in the provision and write-offs, and compare bad debt expense to sales with prior years; and check that any write-off is approved by the Board of Directors.

Worked example **The BRS with a ghost cheque**

Tapri's HDFC Bank current account at Indore shows ₹18,46,300 in the bank book and ₹17,59,800 in the bank statement at 31 March 2026. Accounts' BRS lists:

- cheques issued but not presented: ₹3,20,000 to a milk supplier, dated 26 March 2026 (cleared on 4 April 2026); ₹2,40,000 to a transporter, dated 10 December 2025, not yet presented;
- cheques deposited but not credited: ₹5,60,000 deposited on 30 March 2026 (credited on 2 April 2026); ₹1,10,000 from a franchisee, deposited on 18 February 2026, still not credited;

- bank charges of ₹18,500 and interest of ₹42,000 shown in the statement but not in the books.

Required:

(i) State what the auditor should verify for each reconciling item.

(ii) Compute the bank book balance after the adjustments the auditor should require, and show that it reconciles with the bank statement.

THE WORKING

(i) Verification

1. Tally the bank book balance to the bank statement or confirmation, and confirm the balance directly with HDFC Bank.
2. **₹3,20,000**: trace to the bank book and to the April statement; cleared on 4 April, so a genuine reconciling item.
3. **₹2,40,000**: more than 3 months have lapsed since 10 December 2025, so the cheque is **stale**. It should not appear in the BRS: the amount is taken back to liabilities (the transporter is still owed).
4. **₹5,60,000**: check the deposit slip acknowledged by the bank and the credit on 2 April.
5. **₹1,10,000**: uncleared for six weeks, beyond a reasonable time. Seek management's explanation; if it is unsatisfactory, verify that revenue recognition for the franchisee was in order and as per Tapri's revenue recognition policy.
6. **Charges and interest**: management should record them; if material and not recorded, the auditor should consider qualifying the report.

(ii) Adjusted bank book and revised BRS

Particulars	Amount (₹)
Balance as per bank book	18,46,300
Add: stale cheque taken back to liabilities	2,40,000
Add: interest credited by the bank	42,000
Less: bank charges	(18,500)
Adjusted balance as per bank book	**21,09,800**
Add: cheque issued but not presented	3,20,000
Less: cheques deposited but not credited (₹5,60,000 + ₹1,10,000)	(6,70,000)
Balance as per bank statement	**17,59,800**

The ₹1,10,000 stays a reconciling item only until the explanation is obtained; if the cheque was dishonoured, the receivable is reinstated and the bank book reduced.

Worked example **Kesar's cousin lends to the family**

Mehra Spices Pvt Ltd, run by Kesar's cousin Sunil Mehra, has these loans in the nature of loans outstanding at 31 March 2026 (₹ lakh):

Borrower	Terms	Amount
Neha Mehra, promoter	Repayable on demand	18
Arjun Mehra, director	8 quarterly instalments	12
Arjun Mehra jointly with his wife	No terms or period	9
Rakesh Jain, CFO (a KMP)	No terms or period	6
Mehra Agro LLP, a related party	Repayable on demand	25
Unrelated distributors	Fixed repayment terms	80

Kesar's cousin argues that the joint loan "is the wife's, really", and that the director's instalment loan is "family money, so obviously it goes in".

Advise the auditor on the Additional Regulatory Information required by Schedule III.

MODEL ANSWER

Relevant provision. Schedule III requires disclosure where loans or advances in the nature of loans are granted to promoters, directors, KMPs and related parties (as defined under the Companies Act, 2013), either severally or jointly with any other person, that are (a) repayable on demand or (b) without specifying any terms or period of repayment: for each type of borrower, the amount outstanding and its percentage to the total loans and advances in the nature of loans.

Facts and analysis. Total loans in the nature of loans: ₹18 + ₹12 + ₹9 + ₹6 + ₹25 + ₹80 = ₹150 lakh.

1. Neha Mehra's and Mehra Agro LLP's loans are repayable on demand, and Rakesh Jain's has no terms: all three are reported.
2. The joint loan is reported under directors: the requirement covers loans to a director "jointly with any other person", and it has no terms.
3. Arjun Mehra's own loan has a repayment schedule, so it is not reported, however "family" the money; nor are the distributors' loans. Both stay in the total.

Type of borrower	Outstanding (₹ lakh)	% of total loans
Promoters	18	12.00
Directors	9	6.00
KMPs	6	4.00
Related parties	25	16.67

Conclusion. The auditor should ensure that this table appears in the notes. Percentages: 18/150, 9/150, 6/150 and 25/150 × 100. The auditor should also verify that each loan was authorised by the Memorandum and Articles and approved by the board, is acknowledged by the borrower, and is confirmed directly with the interest receivable.

Exam angle

In the exam

Where this topic appeared, May 2024 to September 2026

In the ICAI documents read for this lesson (listed in the report):

- **Receivables.** Four of the test-of-controls points (May 2025 Q4(c), 4 marks); matching four receivable procedures to existence, completeness, cut-off and valuation, where ICAI's key puts testing invoices from the ageing report under completeness, as the Study Material does (May 2026 MCQ 5); management refusing confirmations, of debtors that are 60% of total assets (January 2025 Q3(c), 4 marks, answered through SA 705) and of a significant receivables balance (MTP September 2025 Series I Q1(c), 4 marks, answered through SA 505); receivables up 48% against credit sales up 12% (MTP September 2026 Series II MCQs 4–7); over 60% of receivables beyond 180 days with no confirmations or subsequent-receipts check (RTP September 2026 MCQ 2).
- **Cash.** The procedures for existence and completeness of cash at a head office, branch, petty cash and imprest (September 2026 Q4(b), 5 marks; answers not yet published); verifying the BRS (MTP September 2024 Series I Q4(c), 4 marks; MTP September 2026 Series II Q3(a), 5 marks), with the stale-cheque rule in both answers.
- **Inventories.** Ownership (MTP January 2025 Series I Q6(c), 4 marks); obsolete and damaged items (MTP January 2025 Series II Q4(a), 5 marks); the completeness assertion (MTP January 2026 Series I Q2(a), 5 marks); valuation of finished goods and goods for resale (MTP May 2026 Series II Q5(b), 5 marks). Each answer is the Study Material's list for that assertion, nearly verbatim.
- **Loans and advances.** Loans to a promoter, director, KMP and related party with percentages to the total (May 2024 Q4(c), 3 marks); a GST refund receivable: classification and procedures (MTP May 2024 Series I Q5(a), 4 marks).

Trick

"Count, Confirm, Cut off, Cost"

Every current asset question is answered by some of these four: **count** (cash by surprise and simultaneously; inventory at the count), **confirm** (debtors, banks, loans, third-party stock), **cut off** (last days' invoices and dispatches; receiving and shipping documents), **cost** (lower of cost and NRV; allowance for doubtful debts). Condition: it organises the procedures; the answer must still use the Study Material's list for the assertion asked.

Answer frame

"State the audit procedures to verify [assertion] of [current asset]"

1. One line on the assertion ("all inventories owned by the entity, including those lying with third parties, and none belonging to others, are recorded").
2. The Study Material's procedures for that caption and assertion, in its order and words, as points.
3. One line applying them to the case (the job worker gets a declaration on its letterhead; the stale cheque goes back to liabilities).
4. A conclusion on the evidence, and the reporting consequence if it cannot be obtained.

Three answers to "How will you verify cash balances at three locations?"

Loses marks

"Count the cash and tally it with the cash book."

No surprise, no simultaneous count, no signature, no IOUs.

Passes

"Count cash by surprise at all locations together; get the cashier's signature; check IOUs are authorised."

Three points; misses rough cash book, sensitivity analysis and the second count after the year end.

Full marks

All the steps in the Study Material's order, each applied to the head office, branch, petty cash and imprest balances, ending with what the auditor does about a shortage or an unapproved IOU.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the cash count Bunty announced

Phoning ahead turns a count into a rehearsal. **Fix:** count cash by surprise, on the last day and again after the close without notice, and count every balance (cashier, petty cash, branch, imprest) simultaneously.

⚠ **Common mistake**

Leaving a stale cheque in the BRS

A cheque issued 3 months or more ago, left as "issued but not presented", keeps the bank balance understated and the creditor shown as paid. **Fix:** remove it from the BRS and take it back to liabilities.

⚠ **Common mistake**

Confirmations through the client

Letting replies come back to the client's office, or using only the "agree / disagree" form. **Fix:** the auditor controls despatch, replies and undelivered letters return to the auditor, and the form without the balance is preferable.

⚠ **Common mistake**

Writing down finished goods but not their raw materials

Fix: when finished goods are valued at net realisable value below cost, verify that the related work in progress and raw materials have also been written down.

Practice

Check yourself

1 Case scenario. Rewa Rotis Ltd holds cash at its factory office and in the till of its city outlet. The auditor counts the factory cash at 6 pm on 31 March, then phones the outlet manager to "keep the till ready" and counts it at noon on 1 April. The outlet manager signs the count sheet; the factory cashier, who had left for the day, does not. Which of the following is correct?

- **A** The procedure is adequate, because both balances were counted within 24 hours of the year end
- **B** The only flaw is that the outlet till should have been counted before the factory cash
- **C** The counts were neither by surprise nor simultaneous, so a shortage in one balance could be made good from the other; and the absent factory cashier may later hold the auditor responsible for any shortage
- **D** Cash counts are unnecessary when the cash book has been checked with the rough cash book

2 Kulhad Crafts Ltd's cost of goods sold for the year is ₹96 crore; inventory was ₹14 crore at the start and ₹18 crore at the end of the year. What is the inventory turnover ratio (times)?

Answer: _____

3 For confirming trade receivables, which form of request does the Study Material prefer?

- **A** The form showing the balance as per the company, asking the debtor to agree or disagree
- **B** The form without any balance, asking the debtor to state the balance as per its records
- **C** A request sent by the company's sales team to its own contacts
- **D** A written representation from management in place of confirmations

4 A cheque issued to a supplier on 12 November 2025 has not been presented by 31 March 2026. How should it be treated?

- **A** Shown in the BRS as a cheque issued but not presented
- **B** Removed from the BRS and taken back to liabilities
- **C** Written off to the Statement of Profit and Loss
- **D** Shown under cash and cash equivalents as cheques on hand

5 Bhopal Biscuits Ltd's inventory includes goods lying with a job worker. Which procedures help verify completeness and rights over these goods? Select all that apply.

- **A** Obtain a declaration on the job worker's letterhead, signed by its authorised personnel, that the goods belong to the company and are held on its behalf
- **B** Reconcile the company's inventories held with third parties
- **C** Exclude the goods from inventory because they are not on the company's premises
- **D** Confirm or investigate the inventory lying with the third party

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Receivables: confirm all significant balances directly, the form without balance preferred, replies to the auditor; no reply means subsequent receipts or a transaction analysis.
- Cash: count by surprise on the last day and again after the close, all balances simultaneously, cashier signing; verify every BRS; confirm 100% of bank balances.
- Inventories: attend the count, test cut-off, confirm third-party stock by a signed declaration, value at the lower of cost and NRV.
- Receivables also: test sales controls; cut-off on the last 5 days; allowance reviewed with the ageing and litigation lists; write-offs approved by the board.
- Ageing schedule: undisputed or disputed, good or doubtful, from the due date (else the transaction date); unbilled dues separately.
- Stale cheque (3 months or more) leaves the BRS and goes back to liabilities; unrecorded bank items adjusted or the report qualified.
- Loans and advances: confirmations with interest, agreements, MOA/AOA authority, board minutes; GST credit by reasonability and returns. Loans on demand or without terms to promoters, directors, KMPs and related parties: amount and percentage to total loans. (Never phone the cashier first.)

Answer key · Check yourself

1 **C The counts were neither by surprise nor simultaneous, so a shortage in one balance could be made good from the other; and the absent factory cashier may later hold the auditor responsible for any shortage**

The Study Material requires surprise checks without notice, simultaneous counting of all balances as far as practicable, and the cashier's presence and signature. The rough cash book test is an extra procedure, not a substitute.

2 **6**

Average inventory = (₹14 + ₹18) / 2 = ₹16 crore; ₹96 / ₹16 = 6 times. If the ratio was 8 last year, the auditor follows up for obsolete or slow-moving items.

3 **B The form without any balance, asking the debtor to state the balance as per its records**

The form without the balance makes the debtor look up its own records; the auditor controls despatch and receipt in either case.

4 **B Removed from the BRS and taken back to liabilities**

More than 3 months have passed since issue, so it is stale: it does not appear in the BRS and the amount owed returns to liabilities.

5 **A Obtain a declaration on the job worker's letterhead, signed by its authorised personnel, that the goods belong to the company and are held on its behalf; B Reconcile the company's inventories held with third parties; D Confirm or investigate the inventory lying with the third party**

Goods with a job worker belong to the entity and must be included; the declaration, the reconciliation and the confirmation are all Study Material procedures.

5.7 Audit of contingent liabilities

How the auditor hunts for liabilities that are not in the ledger, grades each claim, guarantee and dispute as probable, possible or remote with expert evidence, and checks the Schedule III and AS 29 disclosure.

In plain words

The lawsuit nobody mentioned

Tapri's legal department hands Iyer & Associates a list of two pending cases. Bunty, for once, reads the vouchers before ticking them.

> **Kesar:** Lakshmi-ji, no court has said we owe a rupee. Why write anything in the accounts?
>
> **Lakshmi:** Because a court might, Kesar-ji. Readers are entitled to know what might.
>
> **Bunty:** Ma'am, the list has two cases, but the legal fees ledger pays a lawyer for a third: "Sharma vs Tapri", ₹1.2 crore.
>
> **Lakshmi:** Now you are auditing, Bunty.

A **contingent liability** is a liability that may or may not become real, depending on a future event the company does not control: the court's verdict, the tribunal's decision on an appeal, a franchisee repaying the bank loan that Tapri guaranteed. Because nothing has been paid or settled, it sits in **no ledger**. That is the auditor's whole problem: vouching entries can never find an entry that was never made. So the audit of contingent liabilities is a **search** (agreements, litigation, minutes, lawyers' bills, the lawyers themselves) followed by a **judgment** on each item found: is an outflow **probable** (then it is a provision, recorded in the books), **possible** (then it is a contingent liability, disclosed in the notes) or **remote** (then nothing is said)?

Think of it like

Standing guarantor for a friend's bike loan

You have paid nothing, and you may never pay anything. But when your father asks whether you owe money to anyone, the honest answer mentions the guarantee: "nothing yet, but up to ₹80,000 if Rohan stops paying". That sentence is a contingent liability note. And if Rohan has already stopped paying and the bank has written to you, it is no longer a footnote: it is a debt you must plan for, which is a provision.

Key idea

Contingent liabilities are found, not vouched. The auditor searches for every claim, guarantee and dispute, obtains evidence (often a legal expert's assessment) of whether an outflow is probable, possible or remote, and checks that probable obligations are provided for, possible ones are disclosed as Schedule III and AS 29 require, and remote ones are left out.

How it works

1. Provision or contingent liability?

The Study Material defines both side by side (SM 5.85).

Definition

Provision

A provision is a liability which can be measured only by using a substantial degree of estimation. A provision is recognised when (SM 5.85):

- (i) an entity has a present obligation (legal or constructive) as a result of a past event;
- (ii) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- (iii) a reliable estimate can be made of the amount of the obligation.

If these conditions are not met, no provision is recognised. Examples: provision for litigation, provision for warranties.

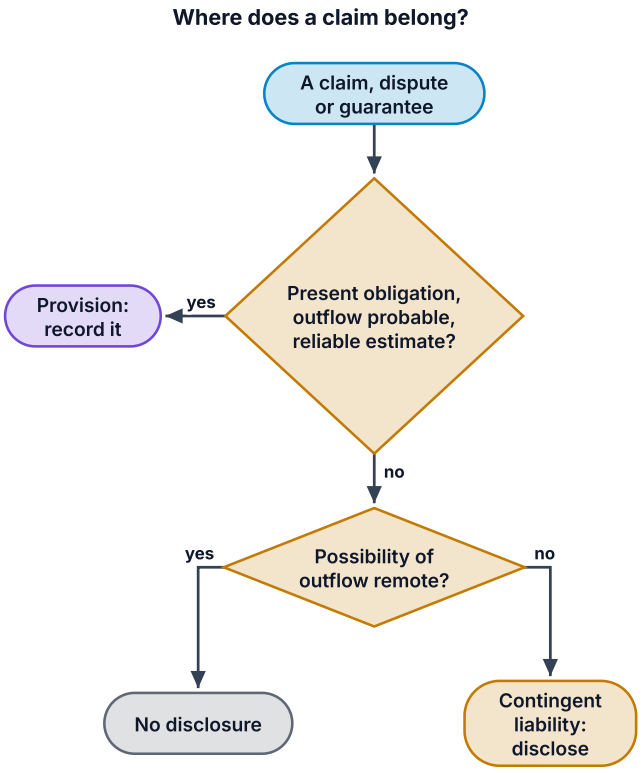
Definition

Contingent liability

A contingent liability is (SM 5.85):

- (i) a **possible obligation** that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- (ii) a **present obligation** that arises from past events but is not recognised because:
  - it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
  - the amount of the obligation cannot be measured with sufficient reliability.

A contingent liability is disclosed **unless the possibility of any outflow in settlement is remote** (SM 5.89). So every claim the auditor finds lands in one of three places:



Violet: recognise a provision (see the audit of provisions). Amber: disclose as a contingent liability, by Schedule III class and with the AS 29 particulars. Grey: no disclosure. The middle question is answered with evidence, usually a legal expert's assessment of whether the outflow is probable, possible or remote (SM 5.86).

The audit of the provisions themselves (their working, Schedule III heads and the AS 29 movement of each class) is in the audit of provisions and other liabilities; this lesson follows the items that fail the first question.

2. The procedures in the Study Material

The Study Material gives one table for provisions and contingent liabilities together (SM 5.85–5.87). ICAI examines it in that joint form, so learn it in this order:

1. **Existence.** Obtain a list of all provisions and compare them with the balances in the ledger.
2. **Completeness.** Inspect the underlying agreements, such as agreements with customers, to assess warranty commitments, and any legal and other claims on the entity, that is, litigations.
3. **Valuation: the working.** Obtain management's working and the basis for each provision, and verify that it is complete and accurate.

4 **Valuation: the expert.** Where required, obtain the expert's report, calculation and working: for a warranty involving complex calculations, an **actuarial valuation report**; for any matter under legal dispute, the **assessment made by a legal expert** of the likelihood of a liability devolving on the entity, that is, whether it is **probable, possible or remote**. Then verify the expert's underlying assumptions with the data shared by management.

5 **Evaluate the management's expert** as SA 500 requires (below).

6 **Written representation** from management that it has made all the provisions which were required to be made as per the recognised accounting principles.

Using the work of a management's expert (SA 500; SM 5.86–5.87). The audit evidence the auditor should obtain:

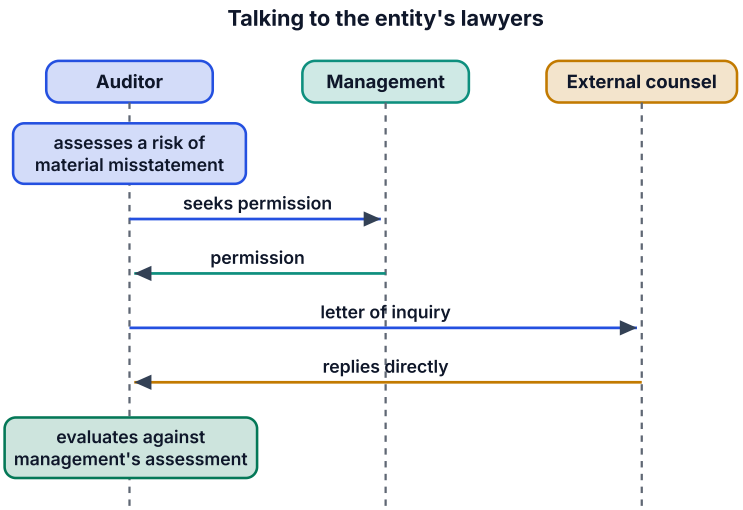
- evaluate the **competence, capabilities and objectivity** of that expert: whether the expert is employed by the entity or is an outside party; whether the expert is independent in respect of the entity; the auditor's previous experience of the work of the expert; the knowledge of the expert, his qualification, membership of a professional body or industry association;
- obtain an **understanding of the work** of that expert: whether the auditor has the expertise to evaluate the work of the expert; evaluating the assumptions and methods used; evaluating the nature of internal or external data used by the expert;
- evaluate the **appropriateness of the expert's work as audit evidence** for the relevant assertion: the relevance and reasonableness of the expert's findings or conclusions; evaluating the relevance, completeness and accuracy of the source data used by the expert.

3. Searching for litigation: SA 501

Most contingent liabilities are claims and litigation, and SA 501 tells the auditor how to find them. The auditor shall design and perform procedures to identify litigation and claims that may give rise to a risk of material misstatement, including (SM 4.72–4.73):

- (a) **inquiry of management** and, where applicable, others within the entity, including in-house legal counsel;
- (b) **reviewing minutes** of meetings of those charged with governance and **correspondence** between the entity and its external legal counsel;
- (c) **reviewing legal expense accounts** (which is how Bunty found "Sharma vs Tapri").

If the auditor assesses a risk of material misstatement regarding identified litigation or claims, or procedures indicate that other material litigation or claims may exist, the auditor shall seek **direct communication with the entity's external legal counsel**, through a letter of inquiry requesting the counsel to communicate directly with the auditor (SM 4.73).



If counsel is unlikely to answer a letter of general inquiry, the auditor may send a letter of specific inquiry. If management refuses permission, or counsel refuses or is prohibited from responding, and alternative procedures give no sufficient appropriate evidence, the auditor modifies the opinion under SA 705 (SM 4.74–4.75).

A **letter of specific inquiry** includes (SM 4.74): (a) a list of litigation and claims; (b) where available, management's assessment of the outcome of each and its estimate of the financial implications, including costs; and (c) a request that the counsel confirm the reasonableness of management's assessments and give further information if the list is incomplete or incorrect. The auditor may also need to **meet** the counsel, for example where the matter is a significant risk, is complex, or management and counsel disagree; such meetings ordinarily need management's permission and are held with a representative of management present. If law, regulation or the counsel's professional body prohibits direct communication, the auditor performs alternative procedures.

4. Two more sources of evidence

- **Subsequent events** (SA 560). A legal claim settled after the balance sheet date (for example, outside the court at a reduced amount, where a provision was made) gives evidence of conditions that existed at the balance sheet date and requires adjustment (SM 7.4–7.5). The Study Material's own case: a claim made after the year end for injury caused by goods shipped during the year, with management agreeing to an out-of-court settlement before the report, requires adjustment in the financial statements (SM 7.13, 7.57–7.58).
- **Written representations** (SA 580). Beyond the representation that all required provisions have been made, the auditor may request representations that liabilities, **both actual and contingent**, have been recognised, measured, presented or disclosed in accordance with the framework (SM 7.33). A representation supplements the evidence above; it never replaces the search.

Formats and formulas

Schedule III: "Contingent liabilities and commitments (to the extent not provided for)" (SM 5.88)

Reproduce the heads in this order; the class decides where each item goes.

(i) Contingent liabilities	(ii) Commitments
(a) Claims against the company not acknowledged as debt	(a) Estimated amount of contracts remaining to be executed on capital account and not provided for
(b) Guarantees	(b) Uncalled liability on shares and other investments partly paid
(c) Other money for which the company is contingently liable	(c) Other commitments (specify nature)

AS 29: what each class of contingent liability must say (SM 5.89)

Unless the possibility of any outflow in settlement is remote, for **each class** of contingent liability at the balance sheet date, a brief **description of its nature** and, where practicable:

1. an **estimate of its financial effect**;
2. an **indication of the uncertainties** relating to any outflow; and
3. the **possibility of any reimbursement**.

Where any of this is not disclosed because it is not practicable, that fact should be stated.

> ⚠ **Careful**
>
> Schedule III and AS 29 requirements are stated as the Study Material gives them. Verify against the Study Material and Statutory Update for your attempt.

Worked examples

Worked example **Tapri's claims register, sorted**

At 31 March 2026 Tapri Tea Co. Ltd's legal and claims register and contract files show (₹ crore):

(a) A GST demand of 3.40, under appeal before the Appellate Tribunal; tax counsel considers an outflow possible, not probable.

(b) A guarantee given to a bank for a loan of 5.00 to Chai Adda Pvt Ltd, a franchisee, which is repaying on schedule.

(c) "Sharma vs Tapri", a consumer case claiming 1.20 for a scalding from a cracked kulhad, missing from the legal department's list of pending cases and found by the auditors in the legal expenses ledger; Tapri's lawyer considers it probable that 0.40 will be awarded and the possibility of any higher award remote.

(d) A supplier's claim of 0.12 for late-payment interest, disputed by Tapri; legal advice: an outflow is possible.

(e) A notice from a rival café owner claiming 2.00 for defamation; counsel considers the possibility of any outflow remote.

(f) The Guwahati plant contract: 6.50 remains to be executed on capital account and is not provided for.

(g) Partly paid shares in an associate: uncalled liability 0.75.

Required:

(i) State how each item should be treated, and prepare the note on contingent liabilities and commitments.

(ii) State the evidence Iyer & Associates should obtain for items (a), (c) and (e).

MODEL ANSWER

(i) Treatment

Item	Treatment	Head
(a) GST demand, 3.40	Contingent liability: outflow possible	Claims not acknowledged as debt
(b) Guarantee, 5.00	Contingent liability: depends on the franchisee	Guarantees
(c) Consumer case	Provision of 0.40: present obligation, probable, reliably estimated; nothing more, as a higher award is remote	Provisions, not this note
(d) Supplier claim, 0.12	Contingent liability: outflow possible	Claims not acknowledged as debt
(e) Defamation notice	No disclosure: outflow remote	None
(f) Capital contract, 6.50	Commitment	Contracts on capital account
(g) Uncalled on shares, 0.75	Commitment	Uncalled liability on partly paid shares

Contingent liabilities and commitments (to the extent not provided for), ₹ crore:

Particulars	Amount
(i) Contingent liabilities	
(a) Claims against the company not acknowledged as debt (3.40 + 0.12)	3.52
(b) Guarantees	5.00
(c) Other money for which the company is contingently liable	–
Total contingent liabilities	**8.52**
(ii) Commitments	
(a) Estimated amount of contracts remaining to be executed on capital account and not provided for	6.50
(b) Uncalled liability on shares and other investments partly paid	0.75
Total commitments	**7.25**

For each class the note also gives, as AS 29 requires, a brief description of the nature (the GST appeal, the supplier's interest claim, the guarantee to Chai Adda's bank) and, where practicable, the estimate of

financial effect, the uncertainties relating to any outflow and the possibility of any reimbursement.

(ii) Evidence

- **(a) GST demand.** The demand order, the appeal filed and its status; tax counsel's assessment of the likelihood (possible); evaluation of counsel's competence, capabilities and objectivity, of the assumptions and of the source data used.
- **(c) Consumer case.** Found through the legal expense account, so the auditor should ask why it was missing from the list, extend the search (minutes, correspondence with counsel) and seek direct communication with Tapri's external counsel by a letter of inquiry; obtain the lawyer's assessment supporting the ₹0.40 crore provision and the remote possibility of more.
- **(e) Defamation notice.** The notice and counsel's assessment that the possibility of outflow is remote, evaluated like any expert's work; no disclosure follows if the assessment is reasonable.

Finally, a written representation that all required provisions have been made and that liabilities, actual and contingent, are recognised or disclosed as the framework requires.

Worked example **The caterer who would not let the auditor call its lawyers**

CA Farhan Qureshi audits Dum Dum Caterers Ltd, an airline caterer in Kolkata, for 2025-26. The legal expense account shows fees paid every month to a labour law firm. Inquiry reveals that 140 dismissed workers have claimed ₹3.60 crore of back wages before the labour court. The financial statements neither provide for nor disclose the claim. Management refuses to give its own assessment of the outcome, and refuses permission for Farhan to write to or meet the law firm: "Our lawyers are confidential, and it will scare the bank." No other procedure gives evidence of the likely outcome. Overall materiality is ₹1 crore; total assets are ₹80 crore; nothing else is affected.

Advise CA Farhan Qureshi.

MODEL ANSWER

Relevant provision. As per SA 501, the auditor shall design and perform procedures to identify litigation and claims, including inquiry of management, reviewing minutes and correspondence with external legal counsel, and reviewing legal expense accounts. If the auditor assesses a risk of material misstatement regarding identified litigation or claims, the auditor shall seek direct communication with the entity's external legal counsel through a letter of inquiry. If management refuses permission to communicate or meet with the counsel, and the auditor is unable to obtain sufficient appropriate audit evidence by alternative procedures, the auditor shall modify the opinion in accordance with SA 705. As per AS 29, a contingent liability is disclosed unless the possibility of outflow is remote; a provision is recognised when an outflow is probable and reliably estimable. As per SA 705, when, after acceptance, management imposes a limitation on the scope of the audit, the auditor shall request its removal and, if refused, communicate with those charged with governance and determine whether alternative procedures can provide sufficient appropriate audit evidence.

Facts of the case. A labour claim of ₹3.60 crore, found through the legal expense account, is neither provided for nor disclosed. Management will neither assess it nor allow contact with its lawyers, and no alternative evidence exists. Materiality is ₹1 crore; the claim is 4.5% of total assets.

Analysis. The claim is a risk of material misstatement: depending on its likely outcome it needs a provision (if probable) or disclosure as a contingent liability (unless remote), and either is material at 3.6 times overall materiality. Direct communication with external counsel is required, and its refusal by management is a management-imposed limitation on the scope of the audit. Farhan should request management to remove it and, if it refuses, inform those charged with governance; since no alternative procedure gives evidence of the likely outcome, sufficient appropriate audit evidence about the claim cannot be obtained. The possible effects are material but confined to one claim of ₹3.60 crore in a balance sheet of ₹80 crore: they are not pervasive.

Conclusion. CA Farhan Qureshi should express a **qualified opinion** ("except for the possible effects of the matter described in the Basis for Qualified Opinion section"), describing in that section the unprovided and undisclosed labour claim and the reasons for the inability to obtain evidence. A written representation from management cannot replace the counsel's evidence. The circumstances and the wording of the modification are first communicated to those charged with governance.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson (listed in the report):

- **Procedures, 4 marks.** "State the audit procedures (any five points) generally required to be undertaken while auditing provisions and contingent liabilities", on a warranty provision, a consumer litigation provision and a tax demand under appeal disclosed as a contingent liability (MTP May 2026 Series I Q5(c)). The answer is the Study Material's joint list (SM 5.85–5.86), point by point.
- **SA 501, 3 to 5 marks.** While reviewing contingent liabilities, management's explanations of significant litigation are unconvincing: the contents of a letter of specific inquiry (3 marks) and the auditor's responsibility if management refuses permission to communicate with counsel (1 mark) (January 2026 Q1(c)). Counsel's professional rules prohibit replies to a general inquiry: the other option (MTP January 2025 Series II Q5(b), 5 marks).
- **Scope of audit, 4 marks.** A material consumer claim of ₹50 lakh not disclosed, with management arguing that a possible future outcome is outside the auditor's responsibility (September 2026 Q4(c); answers not yet published).
- **Multiple choice, 2 marks.** A ₹10 lakh tax litigation below materiality but with doubtful disclosure: a letter of inquiry to external counsel **with management's permission** (RTP September 2026 MCQ 3). Old scheme: the definition of a possible obligation (MTP May 2022 Series II), and a court claim the company's lawyers say it is not likely to lose, as a contingent liability (RTP November 2023 MCQ 5).
- **Disclosure.** AS 29 particulars for each class of contingent liability (old-scheme MTPs July 2021, Series I and II).

Trick

"Probable provides, possible prints, remote rests"

A **probable** outflow with a present obligation and a reliable estimate is **provided** in the books; a **possible** one is **printed** in the notes as a contingent liability; a **remote** one **rests**, with no disclosure. Condition: "probable" also needs the present obligation and the reliable estimate; a present obligation that cannot be measured reliably is printed, not provided.

Answer frame

"How will you verify contingent liabilities?"

1. One line: contingent liabilities are not recorded, so the audit is a search plus an assessment.
2. The Study Material's joint list in order: list of provisions against the ledger; agreements, warranty commitments and legal claims; management's working; the expert's report (actuary, legal expert: probable, possible or remote); evaluation of the management's expert under SA 500; the written representation.
3. The SA 501 search: inquiry, minutes and correspondence with counsel, legal expense accounts; direct communication with external counsel.
4. Disclosure: the Schedule III heads and the AS 29 particulars.

A case on an undisclosed claim

Step	What to write
Relevant provision	AS 29 (provision or contingent liability, disclosed unless remote); SA 501 (search, direct communication with counsel, refusal leads to SA 705)
Facts of the case	The claim, its amount, materiality, what management has done or refused
Analysis	Probable, possible or remote, on what evidence; material or not; pervasive or not
Conclusion	The treatment management must adopt and, if it does not or evidence is denied, the modification

Common mistakes

⚠ **Common mistake**

Hall of Shame: vouching the litigation list and stopping there

Bunty ticks the two cases on management's list and signs off completeness. **Fix:** the list is where the search starts, not ends. Inquiry, minutes, correspondence with counsel and the legal expense accounts are how unlisted claims are found.

⚠ **Common mistake**

Calling every claim a contingent liability

A claim with a probable outflow and a reliable estimate is a **provision**, recorded in the books; disclosing it only as a contingent liability understates liabilities. **Fix:** ask the three recognition questions first; only what fails them is disclosed, and then only if not remote.

⚠ **Common mistake**

Disclosing the remote ones "to be safe"

Fix: AS 29 requires disclosure unless the possibility of outflow is remote. A remote claim is left out; the auditor's work is to check that "remote" is supported by the expert's assessment.

⚠ **Common mistake**

Putting capital commitments under contingent liabilities

Fix: contracts remaining to be executed on capital account and uncalled liability on partly paid shares are **commitments**, a separate head in the same Schedule III note.

Practice

Check yourself

1 Case scenario. Kanpur Kettles Ltd has guaranteed a ₹4 crore bank loan taken by its associate, which is repaying every instalment on time. The company's notes are silent on the guarantee. Which of the following is correct?

- **A** A provision of ₹4 crore should be recognised
- **B** It should be disclosed as a contingent liability under "Guarantees"
- **C** It should be disclosed under commitments as "Other commitments"
- **D** No disclosure is required because the associate is not in default

2 Which of the following is NOT one of the procedures SA 501 requires to identify litigation and claims?

- **A** Inquiry of management and others within the entity, including in-house legal counsel
- **B** Reviewing minutes of meetings of those charged with governance and correspondence with external legal counsel
- **C** Reviewing legal expense accounts
- **D** Obtaining a list of cases filed against the entity from the court registry

3 Raipur Rolls Ltd's register at 31 March 2026 (₹ lakh): an income-tax demand under appeal, 80 (outflow possible); a customer's claim, 25 (outflow probable, reliably estimated at 25); a vendor's disputed claim, 15 (outflow possible); a capital contract still to be executed, 60; a claim of 40 that counsel considers remote. What amount (₹ lakh) goes under "Claims against the company not acknowledged as debt"?

Answer: _____

4 Kesar wants the note to say "There are no contingent liabilities". Which statement is correct?

- **A** The note is a negative statement, so the auditor has nothing to verify
- **B** It is an expressed negative assertion, and the auditor must obtain evidence that no contingent liabilities exist
- **C** Such a note is prohibited by Schedule III
- **D** A written representation from Kesar alone is sufficient evidence for it

5 For each class of contingent liability (outflow not remote), which particulars does AS 29 require, where practicable? Select all that apply.

- **A** An estimate of its financial effect
- **B** An indication of the uncertainties relating to any outflow
- **C** The possibility of any reimbursement
- **D** The carrying amount at the beginning and end of the period

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Contingent liability: a possible obligation that uncertain future events outside the entity's control will confirm, or a present obligation not recognised (outflow not probable, or not reliably measurable).
- Present obligation, probable outflow, reliable estimate: provision. Possible: disclose. Remote: nothing.
- Procedures: list against the ledger, agreements and claims, management's working, the expert's report (probable, possible, remote), SA 500 evaluation, written representation.
- SA 501 search: inquiry (including in-house counsel), minutes and correspondence with external counsel, legal expense accounts; then a letter of inquiry to external counsel, with management's permission.
- Refusal of permission and no alternative evidence: modify the opinion under SA 705.
- Schedule III: claims not acknowledged as debt; guarantees; other money contingently liable. Commitments: capital contracts, uncalled liability on partly paid shares, others.
- AS 29, each class: nature, and where practicable the financial effect, uncertainties and reimbursement; if impracticable, say so. ("Nothing has happened yet" is exactly when the note is needed.)

Answer key · Check yourself

1 **B It should be disclosed as a contingent liability under "Guarantees"**

Any outflow depends on a future event outside the company's control (the associate's default) and is not probable, so no provision; Schedule III lists guarantees as a class of contingent liability, to be disclosed.

2 **D Obtaining a list of cases filed against the entity from the court registry**

SA 501 names the first three. Direct communication with external counsel follows when a risk of material misstatement is assessed.

3 **95**

80 + 15 = 95. The customer's claim is a provision, the capital contract a commitment, and the remote claim is not disclosed.

4 **B It is an expressed negative assertion, and the auditor must obtain evidence that no contingent liabilities exist**

"No contingent liability" is an expressed negative assertion (SM 4.27). The search procedures apply in full; a representation supplements them but never replaces them.

5 **A An estimate of its financial effect**; **B An indication of the uncertainties relating to any outflow**; **C The possibility of any reimbursement**

The carrying amount at the beginning and end of the period belongs to the disclosure for each class of provision. A contingent liability gets a brief description of its nature plus the three particulars.

CHAPTER 6

Audit Documentation

6.1 SA 230: audit documentation

What SA 230 requires the auditor to record, the "experienced auditor" test, what to leave out, assembling the final audit file within about 60 days, retention for seven years, significant matters, the completion memorandum and who owns the file.

In plain words

"I checked it, ma'am. I just did not write it down."

Lakshmi is reviewing the Tapri file before signing. The working paper for the cold-chain receivables says only "Checked. OK. – B".

> **Lakshmi:** Checked what, Bunty? Which balances, against what, and what did you find?
>
> **Bunty:** Ma'am, I checked the big ones against the confirmations. All fine. I remember.
>
> **Lakshmi:** Your memory will not be in the file when the regulator opens it in two years. As far as the file is concerned, you did not check anything.

Audit documentation (also called **working papers**) is the auditor's written record of three things: the audit procedures performed, the relevant audit evidence obtained, and the conclusions reached. It must be complete enough that an experienced auditor who has never seen this audit could pick up the file and understand what was done, what was found, and why the auditor concluded what he did, including who did each piece of work and who reviewed it.

It is written as the audit goes, not afterwards. Once the report is signed, the team has a short time (ordinarily not more than 60 days) to put the final file in order, which is tidying, not new auditing. Then the file is locked: nothing is deleted for at least seven years. And the file belongs to the auditor, not to the client.

Think of it like

The hospital case sheet

A patient's case sheet lets the doctor on the next shift, who has never met the patient, see which tests were done, what they showed, what was concluded, and which doctor did what, without phoning anyone. Notes scribbled after discharge are less reliable than notes made at the bedside. The hospital keeps the case sheet; the patient may be given copies of parts of it.

Key idea

Audit documentation is the record of audit procedures performed, relevant audit evidence obtained and conclusions reached. It must let an experienced auditor with no previous connection with the audit understand the work, the evidence and the significant judgments; it is prepared on a timely basis, assembled into the final file ordinarily within 60 days of the report, kept for at least seven years, and is the property of the auditor.

How it works

1. Scope, definition and objective

SA 230, "Audit Documentation", deals with the auditor's responsibility to prepare audit documentation for an audit of financial statements; it is adapted as necessary when applied to audits of other historical financial information. The specific documentation requirements of other SAs do not limit the application of this SA, and laws or regulations may establish additional requirements (SM 6.3).

> **Definition**
>
> **Audit documentation**
>
> The record of audit procedures performed, relevant audit evidence obtained, and conclusions the auditor reached (terms such as "working papers" or "work papers" are also sometimes used) (SM 6.4).

The objective of the auditor is to prepare documentation that provides (SM 6.4):

- (a) a sufficient and appropriate record of the basis for the auditor's report; and
- (b) evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements.

Nature. Audit documentation provides (a) evidence of the auditor's basis for a conclusion about the achievement of the overall objectives of the auditor, and (b) evidence that the audit was planned and performed in accordance with SAs and applicable legal and regulatory requirements (SM 6.4–6.5).

2. Six purposes

Audit documentation serves the following purposes (SM 6.5):

1. Assisting the engagement team to plan and perform the audit.
2. Assisting members of the engagement team to direct and supervise the audit work, and to discharge their review responsibilities.
3. Enabling the engagement team to be accountable for its work.
4. Retaining a record of matters of continuing significance to future audits.
5. Enabling the conduct of quality control reviews and inspections in accordance with SQC 1.
6. Enabling the conduct of external inspections in accordance with applicable legal, regulatory or other requirements.

3. Form, content and extent: the experienced auditor test

The auditor shall prepare audit documentation that is sufficient to enable **an experienced auditor, having no previous connection with the audit**, to understand (SM 6.5–6.6):

- (a) the nature, timing and extent of the audit procedures performed;
- (b) the results of the audit procedures performed and the audit evidence obtained; and
- (c) significant matters arising during the audit, the conclusions reached thereon, and significant professional judgments made in reaching those conclusions.

In documenting the nature, timing and extent of audit procedures performed, the auditor shall record (SM 6.6):

- (a) the identifying characteristics of the specific items or matters tested;
- (b) who performed the audit work and the date such work was completed; and
- (c) who reviewed the audit work performed and the date and extent of such review.

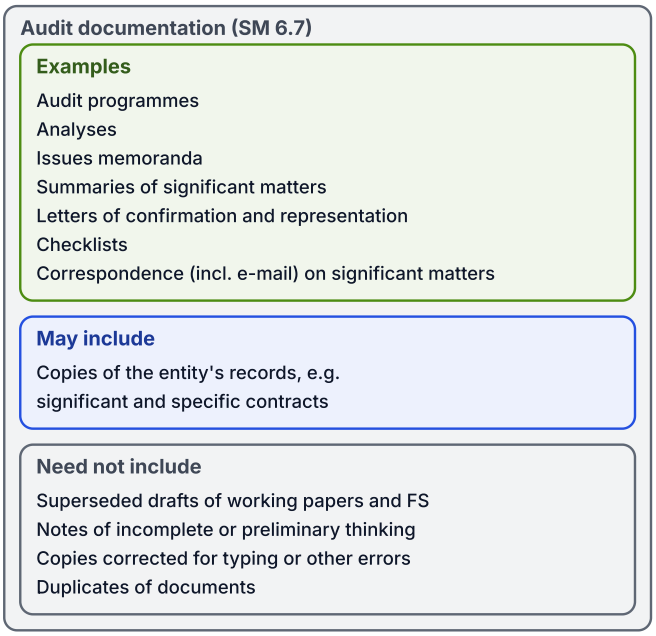
The auditor shall also document **discussions of significant matters** with management, those charged with governance and others, including the nature of the significant matters discussed and when and with whom the discussions took place. If the auditor identified information that is **inconsistent with the auditor's final conclusion** regarding a significant matter, the auditor shall document how the auditor addressed the inconsistency (SM 6.6).

The form, content and extent of audit documentation depend on factors such as (SM 6.6):

1. The size and complexity of the entity.
2. The nature of the audit procedures to be performed.
3. The identified risks of material misstatement.
4. The significance of the audit evidence obtained.
5. The nature and extent of exceptions identified.
6. The need to document a conclusion or the basis for a conclusion not readily determinable from the documentation of the work performed or audit evidence obtained.
7. The audit methodology and tools used.

4. What goes in, and what can stay out

Audit documentation may be recorded **on paper or on electronic or other media** (SM 6.6).



Green: ICAI's examples of audit documentation; blue: what the auditor may add; grey: what need not be kept. Audit documentation is not a substitute for the entity's accounting records.

The auditor may include copies of the entity's records (for example, significant and specific contracts and agreements) as part of audit documentation, but audit documentation is not a substitute for the entity's accounting records (SM 6.7).

5. Timely preparation

The auditor shall prepare audit documentation **on a timely basis**. Preparing sufficient and appropriate documentation on a timely basis helps to enhance the quality of the audit and facilitates the effective review and evaluation of the audit evidence obtained and conclusions reached before the auditor's report is finalised. Documentation prepared after the audit work has been performed is likely to be less accurate than documentation prepared at the time such work is performed (SM 6.8).

6. The audit file and its final assembly

Definition

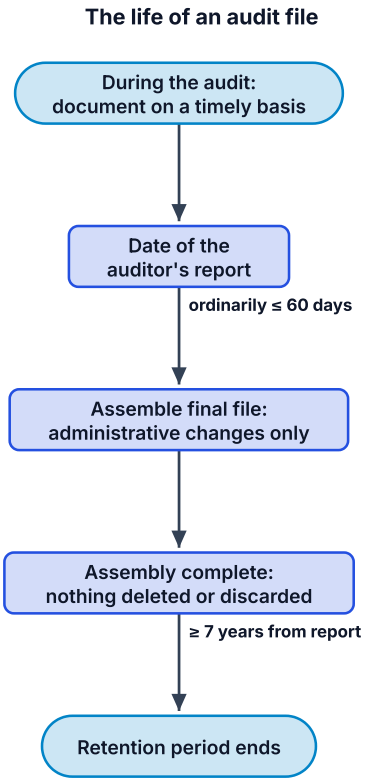
Audit file

One or more folders or other storage media, in physical or electronic form, containing the records that comprise the audit documentation for a specific engagement (SM 6.8).

The auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report (SM 6.9):

- SQC 1 requires firms to establish policies and procedures for the timely completion of the assembly of audit files.

- An appropriate time limit for completing the assembly is ordinarily **not more than 60 days after the date of the auditor's report**. Completing the assembly after that date is an **administrative process** that does not involve the performance of new audit procedures or the drawing of new conclusions.
- Changes may be made to the documentation during the final assembly process **if they are administrative in nature**, for example: deleting or discarding superseded documentation; sorting, collating and cross-referencing working papers; signing off on completion checklists relating to the file assembly process; documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team **before the date of the auditor's report**.
- After the assembly of the final audit file has been completed, the auditor shall **not delete or discard** audit documentation of any nature before the end of its retention period.
- SQC 1 requires firms to establish policies and procedures for the retention of engagement documentation. The retention period for audit engagements ordinarily is **no shorter than seven years** from the date of the auditor's report or, if later, the date of the group auditor's report.



No new audit procedures or new conclusions after the report date during assembly; the retention period runs at least seven years from the date of the auditor's report, or of the group auditor's report if later (SM 6.8–6.9).

Interactive version: PassBook app, lesson SA 230: audit documentation

7. Significant matters and significant professional judgments

Judging the significance of a matter requires an objective analysis of the facts and circumstances. Examples of **significant matters** include (SM 6.10):

- Matters that give rise to significant risks.
- Results of audit procedures indicating (a) that the financial statements could be materially misstated, or (b) a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses to those risks.
- Circumstances that cause the auditor significant difficulty in applying necessary audit procedures.
- Findings that could result in a modification to the audit opinion or the inclusion of an Emphasis of Matter paragraph in the auditor's report.

An important factor in determining the form, content and extent of documentation of significant matters is **the extent of professional judgment exercised** in performing the work and evaluating the results. Documentation of significant professional judgments serves to explain the auditor's conclusions and to reinforce the quality of the judgment; such matters are of particular interest to those reviewing the documentation, including those carrying out subsequent audits when reviewing matters of continuing significance (for example, a retrospective review of accounting estimates) (SM 6.10).

It is appropriate to document the use of professional judgment, where the matters and judgments are significant, in circumstances such as (SM 6.10–6.11):

- the rationale for the auditor's conclusion when a requirement provides that the auditor "shall consider" certain information or factors, and that consideration is significant in the context of the engagement;
- the basis for the auditor's conclusion on the reasonableness of areas of subjective judgments (for example, the reasonableness of significant accounting estimates);
- the basis for the auditor's conclusions about the authenticity of a document when further investigation (such as using an expert or confirmation procedures) is undertaken in response to conditions that caused the auditor to believe the document may not be authentic.

8. The completion memorandum

The auditor may consider it helpful to prepare and retain, as part of the audit documentation, a summary (sometimes known as a **completion memorandum**) that describes the significant matters identified during the audit and how they were addressed. Such a summary may facilitate effective and efficient review and inspection of the audit documentation, particularly for large and complex audits; may assist the auditor's consideration of the significant matters; and may help the auditor consider whether there is any individual relevant SA objective that the auditor cannot achieve that would prevent the auditor from achieving the overall objectives of the auditor (SM 6.11).

9. Who owns the file

SQC 1 provides that, unless otherwise specified by law or regulation, **audit documentation is the property of the auditor**. The auditor may, at his discretion, make portions of, or extracts from, audit

documentation available to clients, provided such disclosure does not undermine the validity of the work performed or, in the case of assurance engagements, the independence of the auditor or of his personnel (SM 6.11).

Formats and formulas

What every working paper must let a reader see

Build each working paper so that these items are visible on its face (SM 6.6).

Item on the working paper	SA 230 requirement it meets
Items tested, by identifying characteristic	Identifying characteristics of the items or matters tested
Prepared by, and date completed	Who performed the work and the date it was completed
Reviewed by, date, extent of review	Who reviewed it, and the date and extent of review
Results, evidence, conclusion	Results of procedures, evidence obtained, conclusions
Discussions: what, when, with whom	Discussions of significant matters

The two numbers

∑ **Formula**

The assembly deadline and the retention period

Assembly of final file complete: ordinarily not more than **60 days** after the date of the auditor's report.

Retention: ordinarily no shorter than **7 years** from the date of the auditor's report or, if later, the group auditor's report.

Worked dates for a report dated 22 May 2026: assembly ordinarily by **21 July 2026** (60 days: 9 days of May, 30 of June, 21 of July); retention at least until **22 May 2033**.

Worked examples

Worked example **Assembly week at Iyer & Associates**

Iyer & Associates signed the auditor's report on Tapri Tea Co. Ltd's 2025-26 financial statements on 22 May 2026. On 2 July 2026 the team assembles the final audit file and proposes to:

(a) cross-reference the receivables working papers to the lead schedule;

(b) discard three superseded drafts of the inventory note;

(c) add a memo recording a distributor's balance confirmation that was received on 19 May 2026 and discussed and agreed with Lakshmi on 20 May 2026;

(d) send a fresh confirmation request to a distributor who never replied, and file the reply with a new conclusion on that balance;

(e) sign off the file-assembly checklist.

The assembly is completed on 3 July 2026. On 15 September 2026, Kesar asks the firm to delete from the file the working paper recording a discussion about the old elaichi premix stock, "because it embarrasses us".

Advise Iyer & Associates on each proposal and on Kesar's request, with reference to SA 230.

MODEL ANSWER

Relevant provision. As per SA 230, the auditor shall assemble the audit documentation in an audit file and complete the administrative process of assembling the final audit file on a timely basis after the date of the auditor's report, ordinarily not more than 60 days after that date. Assembly is an administrative process that does not involve the performance of new audit procedures or the drawing of new conclusions. Administrative changes may be made during assembly, such as deleting or discarding superseded documentation; sorting, collating and cross-referencing working papers; signing off on completion checklists relating to the file assembly process; and documenting audit evidence that the auditor has obtained, discussed and agreed with the relevant members of the engagement team before the date of the auditor's report. After assembly is complete, the auditor shall not delete or discard audit documentation of any nature before the end of its retention period, ordinarily no shorter than seven years from the date of the auditor's report.

Facts and analysis. 2 July 2026 is the 41st day after the report date of 22 May 2026, within the ordinary 60-day limit (21 July 2026).

Proposal	Allowed?	Reason
(a) Cross-referencing	Yes	Administrative
(b) Discarding superseded drafts	Yes	Administrative
(c) Memo on the 19 May confirmation	Yes	Evidence obtained, discussed and agreed before the report date
(d) New confirmation and conclusion	No	A new audit procedure and a new conclusion, not part of assembly
(e) Signing off the assembly checklist	Yes	Administrative

Kesar's request. The assembly was completed on 3 July 2026. The documentation cannot be deleted before the end of the retention period, at least until 22 May 2033. Moreover, the documentation is the property of the auditor, not of the client.

Conclusion. Iyer & Associates may carry out (a), (b), (c) and (e); completing the assembly on 3 July 2026 is within the ordinary limit of 21 July 2026. They should not carry out (d) as part of the assembly, and they should decline Kesar's request.

Worked example **Five pages from the Tapri file**

Before signing the 2025-26 report, Lakshmi reviews five items in the Tapri audit file:

(a) A balance confirmation from Malwa Distributors, received through Tapri's sales office, agrees with the book balance of ₹18.60 lakh but is on a letterhead whose address differs from the distributor's registered

address. The team sent a fresh request directly to the registered address and asked a forensic expert to examine the first reply.

(b) Tests of controls over cash sales at six cafés found deviations in 11 of the 60 items tested. The team revised its assessment of the risks of material misstatement for café cash sales and extended its substantive procedures.

(c) The provision of ₹1.90 crore for expired premix stock, a significant accounting estimate, rests on management's assumption that 30% of the stock will be sold in the festival season.

(d) Tapri's legal counsel replied that an outflow on a food-safety show-cause notice is probable; Dev's note to the audit team calls it remote. The team's final conclusion follows counsel's reply.

(e) Bunty's notes from the first week, guessing that "the samosa factory must be overvalued" (later found baseless), and four photocopies of the same lease deed of the Dewas factory.

> **Bunty:** Ma'am, can I at least throw away my first-week notes? They are embarrassing.
>
> **Lakshmi:** Embarrassing is not the test, Bunty. SA 230 is.

Advise Lakshmi, with reference to SA 230, what the file must contain for each item, and what may be left out.

MODEL ANSWER

Relevant provision. As per SA 230, the auditor shall prepare audit documentation sufficient to enable an experienced auditor, having no previous connection with the audit, to understand the nature, timing and extent of the procedures performed, their results and the audit evidence obtained, and significant matters arising during the audit, the conclusions reached thereon and the significant professional judgments made in reaching them. Examples of significant matters include results of audit procedures indicating a need to revise the auditor's previous assessment of the risks of material misstatement and the auditor's responses. It is appropriate to document professional judgment, where significant, including the basis for the auditor's conclusion on the reasonableness of significant accounting estimates, and the basis for the auditor's conclusions about the authenticity of a document when further investigation, such as using an expert or confirmation procedures, is undertaken. If the auditor identified information inconsistent with the final conclusion on a significant matter, the auditor shall document how the inconsistency was addressed. The auditor need not include notes that reflect incomplete or preliminary thinking, or duplicates of documents.

Facts and analysis.

Item	What the file must show
(a) Doubtful confirmation	The basis for the conclusion on the reply's authenticity: the fresh request, the expert's examination, their results and the conclusion
(b) Control deviations	A significant matter: the deviations found, the revised risk assessment and the extended procedures with their results
(c) Premix provision	A significant judgment: the basis for concluding that the ₹1.90 crore estimate, and its 30% assumption, is reasonable
(d) Counsel and Dev	How the inconsistency between Dev's note and the final conclusion was addressed
(e) Notes and copies	May be left out: preliminary notes and duplicates; one copy of the lease may be kept as a significant contract

Conclusion. For (a) to (d) the file must also record the identifying characteristics of the items tested, who performed the work and when, and who reviewed it, when and to what extent; any discussion of these matters with management is documented with its nature, date and participants. Bunty's notes and the three extra copies of the lease need not be kept. A completion memorandum may summarise items (a) to (d) and how they were addressed.

Exam angle

In the exam

Where SA 230 appeared, May 2024 to September 2026

SA 230 was examined in 26 of the ICAI documents read for this lesson (7 past papers, 8 RTPs and 11 MTP papers).

- **Assembly, timing and retention, 3 to 4 marks.** Paper-only files, assembly three months after the report, four-year retention: May 2024 Q1(d) (3 marks), repeated in MTP May 2026 Series II. Assembly in March for an August report: May 2025 Q1(c)(ii) (2 marks). Timely preparation versus the 60-day limit: RTP May 2024 Q14. Papers added with the current date six months later: RTP January 2025 Q14. Assembly forgotten for six months, changes and retention: RTP January 2026 Q15. Administrative changes within 60 days: MTP January 2025 Series II Q1(c).
- **What to include, 3 to 5 marks.** Draft inventory sheets kept in the file: September 2024 Q3(b) (4 marks). Items that need not be included, and whether the client is entitled to the file: January 2026 Q3(b) (3 + 2 marks). Documenting a discussion with management, and four examples: September 2025 Q4(a) (3 + 2 marks). What an experienced auditor must be able to understand: September 2026 Q2(b)(ii) (3 marks; answers not yet published); RTP May 2025 Q14.
- **Significant matters and the memorandum, 2 to 4 marks.** Examples of significant matters: May 2026 Q3(c) (4 marks), RTP September 2024 Q14. Completion memorandum: May 2025 Q1(c)(i) (2 marks), RTP May 2024 Q15, RTP September 2026 Q15. Factors for form, content and extent: RTP September 2025 Q15. Purposes: RTP May 2026 Q15.
- **Multiple choice, 2 marks each.** A draft engagement letter need not be included: September 2024 MCQ 9. Retention seven years and no deletion after assembly are the correct statements: January 2026 MCQ 10. The two objectives: September 2026 MCQ 9 (answers not yet published). Notes reflecting preliminary thinking need not be included: RTP May 2025 MCQ 6. Paper or electronic form: RTP September 2025 MCQ 5. Which changes are allowed at assembly: RTP January 2025 MCQ 6. Extent of professional judgment drives documentation of significant matters: MTP September 2026 Series II MCQ 6.

In the exam

How the marks are earned

The suggested answers quote SA 230 or SQC 1 in its words ("administrative process", "not more than 60 days", "no shorter than seven years", "experienced auditor, having no previous connection with the audit", "property of the auditor"), apply each limb to the facts with the dates, and conclude in one line ("Thus, the approach of team member Y is not correct"). In "list" questions, the Study Material's lists (six purposes, seven factors, seven examples, four exclusions, four administrative changes, four significant-matter examples) earn a mark per point.

Trick

60 and 7, counted from the same day

Both limits run from the **date of the auditor's report**: assembly within 60 days of it, retention for at least 7 years from it (or from the group auditor's report, if later). Neither runs from the year-end or from the completion of fieldwork. Both are "ordinarily", as the firm's SQC 1 policies set them.

Answer frame

A case question on the audit file

1. **Provision**: SA 230 (and SQC 1) in its words: timely preparation; assembly as an administrative process ordinarily within 60 days of the report; administrative changes only; no deletion after assembly; retention at least seven years; property of the auditor.
2. **Facts with dates**: count the days from the date of the auditor's report.
3. **Analysis**: limb by limb, allowed or not and why.
4. **Conclusion**: "Thus, the action of CA … is not valid / is in order."

"State the matters the documentation must enable an experienced auditor to understand"

Must understand (three)	Must record for nature, timing and extent (three)
Nature, timing and extent of procedures performed	Identifying characteristics of items tested
Results of procedures and evidence obtained	Who performed the work, and the date completed
Significant matters, conclusions and significant judgments	Who reviewed it, and the date and extent of review

Add: discussions of significant matters (what, when, with whom) and how any inconsistency with the final conclusion was addressed.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the memo dated today, about last May

Writing up missing work months after the report and putting the current date on it, or filing it as if done before. **Fix:** documentation is prepared on a timely basis; assembly after the report date is administrative only and draws no new conclusions. Back-filling papers puts a question mark on the quality of the whole audit.

⚠ **Common mistake**

"The 60 days are for preparing the documentation"

Fix: documentation is prepared during the audit, on a timely basis. The 60 days are only for the administrative assembly of the final file after the report date (RTP May 2024 Q14 turns on this).

⚠ **Common mistake**

Keeping every draft "to be safe"

Fix: superseded drafts of working papers and financial statements, notes of preliminary thinking, copies corrected for typing errors and duplicates need not be included; the final versions and the significant matters must be.

⚠ **Common mistake**

"The client paid for it, so the file is the client's"

Fix: unless law or regulation says otherwise, audit documentation is the property of the auditor. Extracts may be given at the auditor's discretion, if that does not undermine the validity of the work or the auditor's independence.

Practice

Check yourself

1 Case scenario. Kesar asks Iyer & Associates for (i) a copy of their schedule reconciling Tapri's fixed asset register with the books, and (ii) the full working papers on the sampling plan and the risks they intend to focus on next year. Which response is correct?

- A Both must be given: the client has paid for the audit, so the documentation is the client's
- B Neither may ever be given: audit documentation is confidential to the auditor
- C (i) may be given at the auditor's discretion; (ii) should be declined because its disclosure could undermine the validity of the work
- D (ii) may be given but (i) may not, because reconciliations are the entity's accounting records

2 Iyer & Associates' report on the financial statements of Tapri Cold Chain Pvt Ltd, a subsidiary, is dated 30 April 2026. The group auditor's report on Tapri's consolidated financial statements is dated 22 May 2026. Ordinarily, by when should the final audit file for Tapri Cold Chain be assembled, and until when must it be kept?

- A By 29 June 2026; until at least 22 May 2033
- B By 21 July 2026; until at least 22 May 2033
- C By 29 June 2026; until at least 30 April 2033
- D By 31 March 2027; until at least 31 March 2034

3 Case scenario. While assembling the final audit file for Tapri's 2025-26 audit, Bunty wants to slim it down by leaving out one item. Which item may he leave out without breaching SA 230?

- A The e-mail exchange with Dev on why the useful life of the delivery vans was extended from five to eight years
- B The list of the 25 trade receivable balances selected for confirmation
- C The checklist on compliance with the SAs, signed off by the audit manager
- D His first version of the confirmation summary, in which two balances were mistyped, since replaced by the corrected version

4 Which of the following must the auditor record in documenting the nature, timing and extent of audit procedures performed? Select all that apply.

- **A** The identifying characteristics of the specific items tested
- **B** Who performed the work and the date it was completed
- **C** Who reviewed the work, and the date and extent of the review
- **D** Management's approval of the procedures performed

More than one answer may be right.

5 Thirty days after the report date, an audit senior files a memo recording a new conclusion reached from procedures performed that week. Under SA 230 this is:

- **A** Allowed, because it is within 60 days of the report date
- **B** Not part of the assembly of the final file, which is an administrative process involving no new procedures or new conclusions
- **C** Allowed, if the engagement partner signs it
- **D** Required, because documentation must be complete before the retention period starts

Answers: the answer key at the end of this lesson.

Recap

- Audit documentation: the record of audit procedures performed, relevant audit evidence obtained, and conclusions reached ("working papers").
- Objective: a sufficient and appropriate record of the basis for the report, and evidence that the audit was planned and performed in accordance with SAs and law.
- Six purposes: plan and perform; direct, supervise and review; accountability; matters of continuing significance; SQC 1 reviews; external inspections.
- The experienced auditor test: nature, timing and extent; results and evidence; significant matters, conclusions and judgments. Record items tested, who did it and when, who reviewed it, when and how far; discussions of significant matters; how inconsistencies were addressed.
- Paper or electronic; not a substitute for the entity's records; drafts, preliminary notes, corrected copies and duplicates need not be kept.
- Prepare on a timely basis; assemble the final file ordinarily within 60 days of the report (administrative changes only); no deletion afterwards; retain at least 7 years from the report date (or the group auditor's report, if later).
- Completion memorandum: significant matters and how they were addressed. The file is the auditor's property; extracts at discretion. (The case sheet stays with the hospital.)

Answer key · Check yourself

1 **C (i) may be given at the auditor's discretion; (ii) should be declined because its disclosure could undermine the validity of the work**

Audit documentation is the property of the auditor, who may make portions or extracts available to clients if that does not undermine the validity of the work or the auditor's independence (SM 6.11). Knowing next year's sample and focus would undermine it.

2 **A By 29 June 2026; until at least 22 May 2033**

Assembly: ordinarily not more than 60 days after the date of the auditor's report on these financial statements (30 April + 60 days = 29 June 2026). Retention: no shorter than seven years from the date of the auditor's report or, if later, the date of the group auditor's report, so from 22 May 2026.

3 **D His first version of the confirmation summary, in which two balances were mistyped, since replaced by the corrected version**

SA 230 does not require superseded drafts, notes of incomplete or preliminary thinking, previous copies of documents corrected for typographical or other errors, or duplicates of documents (SM 6.7). The first version is a previous copy corrected for typing errors. The e-mail is correspondence concerning a significant matter and the checklist is one of ICAI's examples of audit documentation (SM 6.7); the list records the identifying characteristics of the items tested (SM 6.6).

4 **A The identifying characteristics of the specific items tested**; **B Who performed the work and the date it was completed**; **C Who reviewed the work, and the date and extent of the review**

The three items in SM 6.6. Management has no role in approving the auditor's procedures.

5 **B Not part of the assembly of the final file, which is an administrative process involving no new procedures or new conclusions**

The 60 days allow administrative changes only; the commonest mistake is to treat the period as time to finish the audit.

CHAPTER 7

Completion and Review

7.1 SA 560: subsequent events

The auditor's duty for events after the balance sheet date in three windows: search until the report is signed, act on facts learnt before the accounts are issued, and act again, even to prevent reliance, after issue.

In plain words

Three windows after 31 March

Tapri Tea Co. Ltd's year ends on 31 March 2026. Iyer & Associates will sign their report on 28 May 2026, and the annual report goes out to shareholders on 26 June 2026. Bunty thinks the audit froze on 31 March.

> **Bunty:** Ma'am, the balance sheet is as at 31 March. Why are we reading May's board minutes?
>
> **Lakshmi:** Because on 18 April, Kadak Distributors went insolvent owing Tapri ₹3.20 crore. Was that money good on 31 March?
>
> **Bunty:** ...Probably not.
>
> **Lakshmi:** Then 31 March was wrong, and April told us.

Subsequent events are events occurring between the date of the financial statements and the date of the auditor's report, and facts that become known to the auditor after the date of the auditor's report.

They come in two kinds. Some give evidence about conditions that **already existed** on 31 March: Kadak was already sinking when the year ended; April only revealed it. Those change the numbers. Others reflect conditions that **arose later**: a fire at the samosa factory on 6 May did not exist on 31 March, so the 31 March figures stay, but readers may need to be told.

The auditor's duty changes with the calendar. Until the report is signed, the auditor must go looking for such events. After signing, the auditor no longer has to look, but if a fact turns up that would have changed the report, the auditor must act on it. And if the accounts have already gone out to the world, acting can mean making sure everyone who received them is told, or stopping people from relying on the report.

Think of it like

The blood test

A blood sample is drawn on 31 March and the report is printed on 28 May. If the lab learns in April that the sample already showed an infection, the report is corrected: the condition existed on the day of the test. If the patient breaks a leg on 6 May, the blood report stays the same, though the doctor's letter mentions it. And if the report has already been posted when the lab finds the error, the lab phones everyone who got a copy.

Key idea

Dates decide duties. Before the report date, the auditor must search for subsequent events; after it, the auditor need not search, but must act on any fact that would have changed the report.

How it works

1. Two types of events

Financial statements may be affected by certain events that occur after the date of the financial statements. Financial reporting frameworks ordinarily identify two types of events (SM 7.4–7.5):

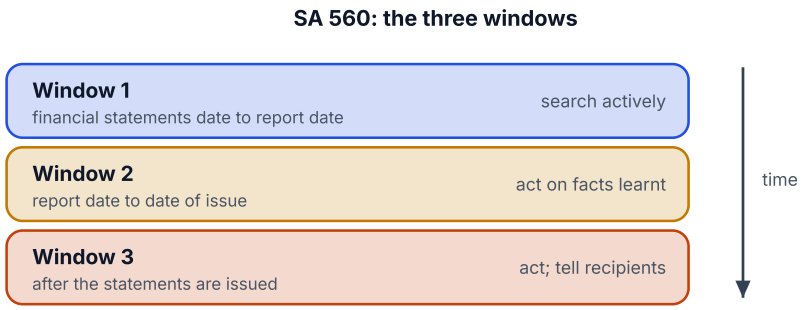
Type of event	Examples
(a) Evidence of conditions that **existed** at the date of the financial statements	Insolvency of a major debtor before the report date; a legal claim, already provided for, settled out of court at a reduced amount
(b) Evidence of conditions that **arose after** the date of the financial statements	Issue of new share capital; planned merger; destruction of substantial inventories by fire before the report date

The Study Material's examples already point to the treatment: the insolvency gives evidence on "the recoverability of the money due from debtor as on date of the financial statements", and the settlement "evidence on adjustment in provision amount" (SM 7.4–7.5). ICAI's answers then treat type (a) as requiring **adjustment** of the financial statements (the Study Material's answer to Test Your Understanding 1, SM 7.57) and type (b) as leaving the amounts unchanged but requiring **disclosure** (RTP May 2024 Q16), where it is of such importance that non-disclosure would affect users' ability to make proper evaluations or decisions (MTP January 2026 Series I Q6(c)).

2. The objectives

The objectives of the auditor are to (SM 7.5):

- (a) obtain sufficient appropriate audit evidence about whether events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements are appropriately reflected in those financial statements; and
- (b) respond appropriately to facts that become known to the auditor after the date of the auditor's report, that, had they been known to the auditor at that date, may have caused the auditor to amend the auditor's report.



Tapri 2025-26: Window 1 runs from 31 March to 28 May 2026, Window 2 from 28 May to 26 June, Window 3 after 26 June. Only Window 1 carries a duty to perform procedures; in Windows 2 and 3 the duty starts when a fact becomes known.

3. Window 1: up to the date of the auditor's report

The auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified. The auditor is not, however, expected to perform additional audit procedures on matters to which previously applied audit procedures have provided satisfactory conclusions (SM 7.6).

The procedures shall cover the period from the date of the financial statements to the date of the auditor's report, or as near as practicable thereto. The auditor shall take into account the risk assessment in determining their nature and extent, which shall include (SM 7.6):

- (a) obtaining an understanding of any procedures management has established to ensure that subsequent events are identified;
- (b) inquiring of management and, where appropriate, those charged with governance as to whether any subsequent events have occurred which might affect the financial statements;
- (c) reading minutes, if any, of the meetings of the entity's owners, management and those charged with governance, that have been held after the date of the financial statements, and inquiring about matters discussed at any such meetings for which minutes are not yet available;
- (d) reading the entity's latest subsequent interim financial statements, if any.

Such information may also be obtained from accounting records pertaining to the period after the date of the financial statements, reading the entity's latest available budgets, etc. When the procedures identify events that require adjustment or disclosure, the auditor shall determine whether each such event is appropriately reflected in the financial statements (SM 7.6).

Written representation. The auditor shall request management and, where appropriate, those charged with governance, to provide a written representation in accordance with SA 580 that all events occurring subsequent to the date of the financial statements and for which the applicable financial reporting framework requires adjustment or disclosure have been adjusted or disclosed (SM 7.7).

Definition

Date the financial statements are issued

The date that the auditor's report and audited financial statements are made available to third parties. It generally depends on the regulatory environment of the entity; in some circumstances it may be the date they are filed with a regulatory authority. Since audited financial statements cannot be issued without an auditor's report, the date of issue must be at or later than the date of the auditor's report, and at or later than the date the auditor's report is provided to the entity (SM 7.7).

4. Window 2: after the report, before the statements are issued

The auditor has no obligation to perform any audit procedures regarding the financial statements after the date of the auditor's report. However, when, after the date of the auditor's report but before the date the financial statements are issued, a fact becomes known to the auditor that, had it been known at the date of the auditor's report, may have caused the auditor to amend the report, the auditor shall (SM 7.7):

- (a) discuss the matter with management and, where appropriate, those charged with governance;
- (b) determine whether the financial statements need amendment and, if so,
- (c) inquire how management intends to address the matter in the financial statements.

If management amends the financial statements, the auditor shall (SM 7.7–7.8):

- (a) carry out the audit procedures necessary in the circumstances on the amendment;
- (b) extend the audit procedures on subsequent events to the date of the new auditor's report, and provide a new auditor's report on the amended financial statements. The new auditor's report shall not be dated earlier than the date of approval of the amended financial statements.

Amendment restricted to the subsequent event. When law, regulation or the financial reporting framework does not prohibit management from restricting the amendment to the effects of the subsequent event, and those approving the financial statements are not prohibited from restricting their approval to that amendment, the auditor is permitted to restrict the procedures on subsequent events to that amendment. The auditor shall then either (SM 7.8):

- (a) amend the auditor's report to include an additional date restricted to that amendment, indicating that the procedures on subsequent events are restricted solely to the amendment described in the relevant note; or
- (b) provide a new or amended report with an Emphasis of Matter or Other Matter paragraph conveying that the procedures on subsequent events are restricted solely to that amendment.

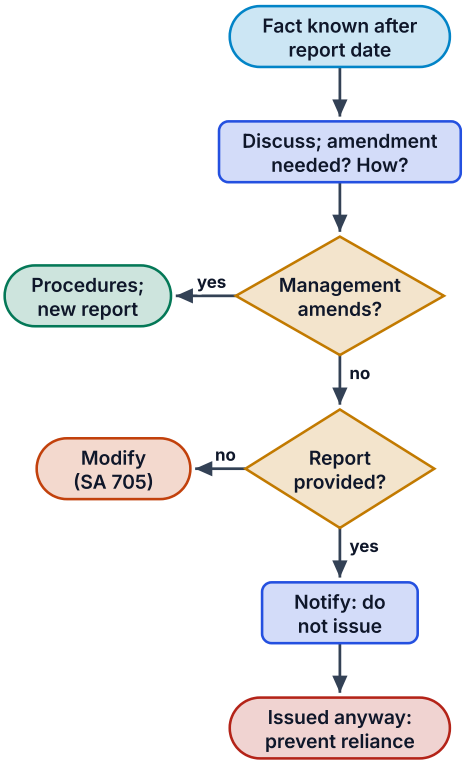
Where law, regulation or the framework does not require management to issue amended financial statements, the auditor need not provide an amended or new report (SM 7.8).

If management does not amend when the auditor believes amendment is needed (SM 7.8–7.9):

- (a) if the auditor's report has **not yet been provided** to the entity, the auditor shall modify the opinion as required by SA 705 and then provide the report;

- (b) if the report **has already been provided**, the auditor shall notify management and, unless all of those charged with governance are involved in managing the entity, those charged with governance, not to issue the financial statements to third parties before the necessary amendments have been made. If they are nevertheless issued without the amendments, the auditor shall take appropriate action to seek to prevent reliance on the auditor's report.

Window 2: a fact turns up after the report is signed



"New report": extend the subsequent-events procedures to its date, which is no earlier than the approval of the amended statements, unless the amendment may lawfully be restricted to the event (then an additional date, or an Emphasis of Matter or Other Matter paragraph). Notice goes to management and to those charged with governance unless all of them manage the entity.

5. Window 3: after the statements are issued

After the financial statements have been issued, the auditor has no obligation to perform any audit procedures regarding them. However, when a fact becomes known that, had it been known at the date of the auditor's report, may have caused the auditor to amend the report, the auditor shall (SM 7.9):

- (a) discuss the matter with management and, where appropriate, those charged with governance;
- (b) determine whether the financial statements need amendment and, if so,
- (c) inquire how management intends to address the matter in the financial statements.

If management amends the financial statements, the auditor shall (SM 7.9–7.10):

- (a) carry out the audit procedures necessary in the circumstances on the amendment;

- (b) review the steps taken by management to ensure that anyone in receipt of the previously issued financial statements together with the auditor's report thereon is informed of the situation;
- (c) unless the amendment may lawfully be restricted to the subsequent event: extend the audit procedures to the date of the new auditor's report, date the new report no earlier than the date of approval of the amended financial statements, and provide a new auditor's report on the amended financial statements;
- (d) where the amendment may be so restricted: amend the auditor's report, or provide a new report, as in Window 2.

The new or amended report shall include an **Emphasis of Matter paragraph or Other Matter paragraph** referring to a note to the financial statements that more extensively discusses the reason for the amendment of the previously issued financial statements, and to the earlier report provided by the auditor (SM 7.10).

If management does not inform the recipients and does not amend, the auditor shall notify management and, unless all of those charged with governance are involved in managing the entity, those charged with governance, that the auditor will seek to prevent future reliance on the auditor's report. If, despite such notification, they do not take these necessary steps, the auditor shall take appropriate action to seek to prevent reliance on the auditor's report (SM 7.10).

Formats and formulas

Window 2 and Window 3, side by side

Reproduce this from memory: "distinguish" questions are marked row by row.

Step	Window 2: before issue	Window 3: after issue
Duty to search	None	None
On learning a fact	Discuss; determine; inquire	Same three steps
Management amends	Procedures on amendment; new report	Same, plus review steps to inform recipients
New report adds	Only if restricted: additional date, or Emphasis or Other Matter paragraph	Always: Emphasis or Other Matter paragraph on the note and the earlier report
Management will not amend	Not provided: modify (SA 705). Provided: notify not to issue	Notify that the auditor will seek to prevent future reliance
Last resort	Issued anyway: act to prevent reliance	Still no steps: act to prevent reliance

Dating rules

- The original report is dated no earlier than the date on which the auditor has obtained sufficient appropriate audit evidence, including evidence that the statements have been prepared and that those with recognised authority have taken responsibility for them (SM 8.22).
- A new report on amended financial statements is dated **no earlier than the date of approval of the amended financial statements** (SM 7.8, 7.9).

- A restricted amendment gets an **additional date** in the report, restricted to that amendment (SM 7.8).

Worked examples

Worked example **Bunty's April–May list**

Iyer & Associates are finalising the audit of Tapri Tea Co. Ltd for 2025-26; the report is to be signed on 28 May 2026. Overall materiality is ₹1.50 crore. Reading the April and May board minutes and the April management accounts, and inquiring of Dev Malhotra, the CFO, Bunty lists:

1. On 24 April 2026, Tapri sold its entire stock of the discontinued "Elaichi Gold" premix, carried at its cost of ₹3.40 crore at 31 March, to a bulk buyer for ₹1.90 crore, incurring selling costs of ₹12 lakh. The premix had stopped selling in January 2026.
2. On 8 May 2026, cut-off testing found that goods invoiced and recorded as sales of ₹1.15 crore on 31 March 2026 were dispatched only on 3 April; they had been counted in the closing inventory.
3. Gujarat Kirana Mart, a distributor, owed Tapri ₹2.80 crore at 31 March, all within its 30-day credit period, and paid ₹1.10 crore of it on the due dates in April. On 9 May 2026 a cyclone destroyed its only warehouse and its uninsured stock; it filed for insolvency on 22 May and expects to pay nothing to unsecured creditors.
4. On 15 May 2026, the board approved an agreement to acquire all the shares of Kulhad Express Pvt Ltd for ₹18 crore.

Classify each event, state what the financial statements should show, and state the auditor's responsibilities.

MODEL ANSWER

Relevant provision. As per SA 560, the auditor shall perform audit procedures designed to obtain sufficient appropriate audit evidence that all events occurring between the date of the financial statements and the date of the auditor's report that require adjustment of, or disclosure in, the financial statements have been identified, and shall determine whether each such event is appropriately reflected. Financial reporting frameworks ordinarily identify two types of events: those that provide evidence of conditions that existed at the date of the financial statements, and those that provide evidence of conditions that arose after that date.

Working note

Event	Amount (₹)	Type	Treatment
1. Premix: 3,40,00,000 − (1,90,00,000 − 12,00,000)	1,62,00,000	Existed at 31 March	Adjust: write down to net realisable value
2. Sales recorded before dispatch	1,15,00,000	Existed at 31 March	Adjust: reverse the sale and the receivable
3. Gujarat Kirana: 2,80,00,000 − 1,10,00,000	1,70,00,000	Arose after	Disclose; no adjustment
4. Acquisition of Kulhad Express	18,00,00,000	Arose after	Disclose

Analysis.

1. The April sale gives evidence of the net realisable value of the premix at 31 March: it had stopped selling in January, so the fall in value existed at the year-end. The inventory is written down from its cost of ₹3.40 crore to ₹1.78 crore (₹1.90 crore less selling costs of ₹0.12 crore), a write-down of ₹1.62 crore, which exceeds materiality. The financial statements require adjustment.
2. The cut-off error existed at 31 March: the goods were still Tapri's inventory on that date. Sales and trade receivables are overstated by ₹1.15 crore, and so is profit, since the goods are also in closing inventory. It is below materiality on its own but must be corrected or accumulated as a misstatement, and with item 1 it makes ₹2.77 crore. Bunty's finding also calls for extending cut-off testing, as it may not be the only such error.
3. An insolvency soon after the year-end ordinarily gives evidence that the debt was doubtful at the year-end, so the auditor must test the facts, not the label. Here the distributor paid within its credit terms, including ₹1.10 crore in April, and its failure was caused by the cyclone of 9 May. The receivable was recoverable at 31 March; the condition arose after that date. No adjustment is made to the 31 March amount, but the loss of ₹1.70 crore still owed, above materiality, should be disclosed. Had the evidence shown overdue amounts or financial difficulty at 31 March, the event would require adjustment.
4. The acquisition agreement arose after the year-end and is disclosed, not adjusted.

Auditor's responsibilities. The auditor's procedures should cover the period up to 28 May 2026 or as near as practicable, and include understanding management's procedures for identifying subsequent events, inquiring of management and those charged with governance, reading minutes of meetings held after 31 March (and inquiring about meetings whose minutes are not yet available) and reading the latest interim financial statements. The auditor should obtain evidence for each conclusion above (the sale invoice and selling costs; dispatch records; the distributor's payment record and insolvency filing) and request a written representation that all events requiring adjustment or disclosure have been adjusted or disclosed.

Conclusion. Events 1 and 2 require adjustment; events 3 and 4 require disclosure. If management does not adjust for them, the uncorrected misstatements (₹1.62 crore for the premix alone, ₹2.77 crore in all) are material and would require a modified opinion under SA 705; so would a failure to disclose the ₹1.70 crore loss.

Worked example **The judgment nobody mentioned**

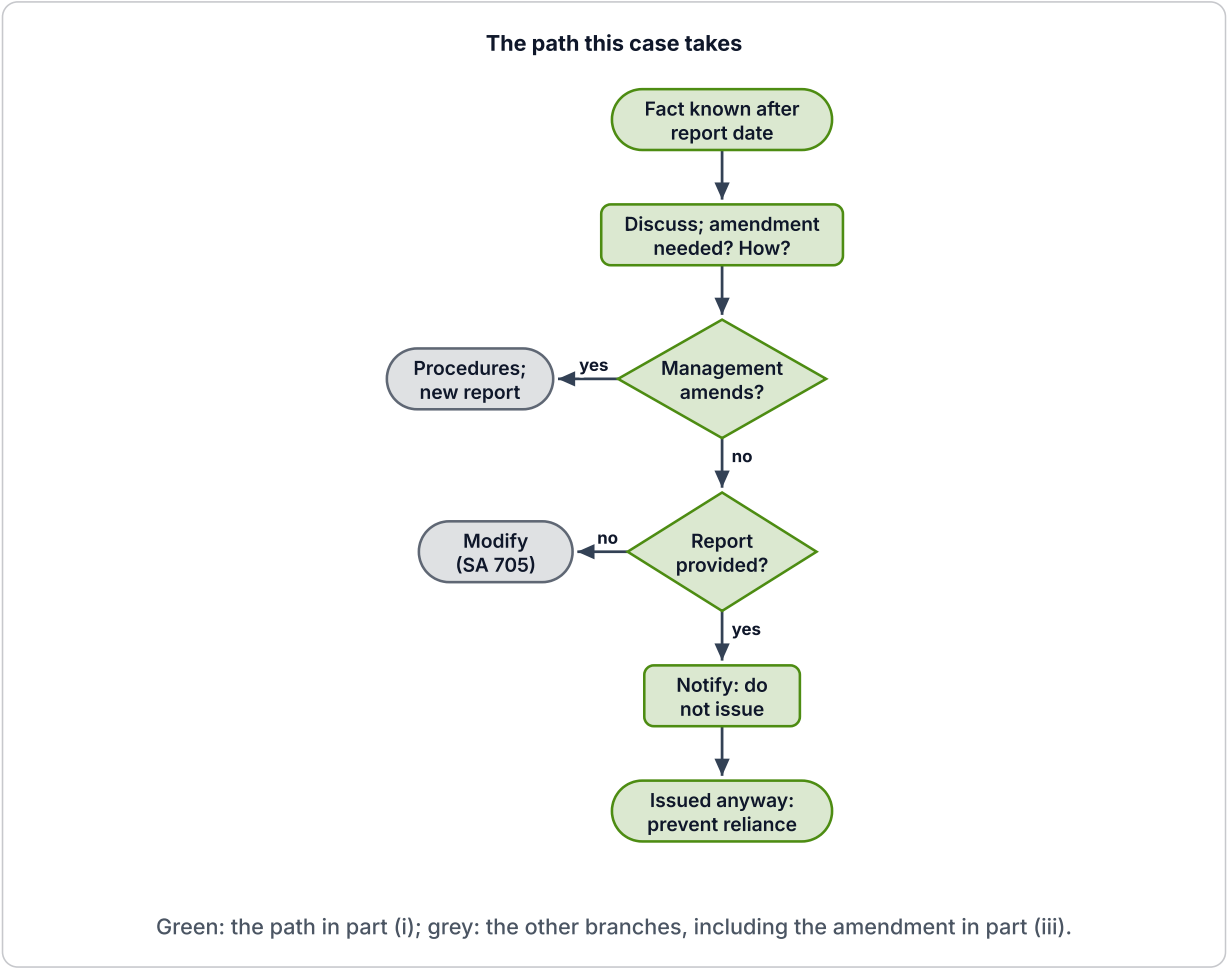
Iyer & Associates signed and handed over their unmodified report on Tapri's 2025-26 financial statements on 28 May 2026; the annual report is to be issued on 26 June 2026. On 9 June, Lakshmi reads in a newspaper that on 25 May 2026 the Commercial Court decreed damages of ₹5.60 crore against Tapri in a trademark suit filed in 2024 by Masala Chaiwala LLP. Tapri's financial statements show the suit only as a contingent liability. Tapri's legal team received a copy of the decree on 26 May; on 28 May, Kesar and Dev signed a written representation that all events after the date of the financial statements requiring adjustment or disclosure had been adjusted or disclosed. Kesar now refuses to amend: "The report is signed. Sab adjust ho jayega next year."

(i) Advise Iyer & Associates.

(ii) What does the 28 May representation mean for the audit?

(iii) What if the board instead amends the financial statements only for the judgment, as the law permits?

MODEL ANSWER



Green: the path in part (i); grey: the other branches, including the amendment in part (iii).

(i) Relevant provision. As per SA 560, the auditor has no obligation to perform audit procedures after the date of the auditor's report. However, when, after that date but before the date the financial statements are issued, a fact becomes known that, had it been known at the date of the report, may have caused the auditor to amend it, the auditor shall discuss the matter with management and, where appropriate, those charged with governance, determine whether the financial statements need amendment and, if so, inquire how management intends to address the matter. If management does not amend and the report has already been provided to the entity, the auditor shall notify management and, unless all of those charged with governance are involved in managing the entity, those charged with governance, not to issue the financial statements to third parties before the necessary amendments; if they are nevertheless issued without them, the auditor shall take appropriate action to seek to prevent reliance on the report.

Facts and analysis. The judgment existed on 25 May, before the report date, but became known to the auditor only on 9 June, before the issue date: Window 2. The decree relates to an infringement before 31 March, so it gives evidence of a condition that existed at the year-end; ₹5.60 crore is well above materiality of ₹1.50 crore. Had it been known, the report would have been amended. The financial statements need amendment; management refuses; the report has been provided.

Conclusion. Iyer & Associates should notify Kesar and Tapri's board (whose members are not all in management) **not to issue** the financial statements to third parties before the necessary amendment. If Tapri issues them anyway, the firm should take appropriate action to seek to prevent reliance on its report.

(ii) The decree was in management's hands two days before it represented that all subsequent events requiring adjustment or disclosure had been adjusted or disclosed, so the written representation is inconsistent with other audit evidence. The representation never replaced the procedures: although

written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal (SM 7.29). As per SA 580, if written representations are inconsistent with other audit evidence, the auditor shall perform audit procedures to attempt to resolve the matter; if it remains unresolved, the auditor shall reconsider the assessment of the competence, integrity, ethical values or diligence of management, and determine the effect that this may have on the reliability of representations and audit evidence in general. If she concludes that the written representations are not reliable, Lakshmi shall take appropriate actions, including determining the possible effect on the opinion in any new report in accordance with SA 705, having regard to the requirement of a disclaimer of opinion (SM 7.37). The other representations in the 28 May letter, and the evidence that rests on management's word, have to be re-evaluated in that light.

(iii) If the amendment is lawfully restricted to the judgment, the auditor carries out the procedures necessary on the amendment and may restrict the subsequent-events procedures to it, and then either amends the report to include an **additional date** restricted to that amendment, or provides a new or amended report with an **Emphasis of Matter or Other Matter paragraph** conveying that the procedures on subsequent events are restricted solely to the amendment described in the relevant note. Without such a restriction, the procedures are extended to the date of a new report, dated no earlier than the approval of the amended financial statements.

Worked example **Three pieces of news for CA Meera Joshi**

CA Meera Joshi audited Chai Junction Distributors, a partnership firm whose three partners all run the business, for 2024-25. She set materiality at ₹20 lakh. The financial statements, with her unmodified report, were given to the firm's bank on 15 July 2025. In September 2025 she learns that:

(a) on 20 August 2025, a fire at the firm's Ujjain godown destroyed uninsured stock costing ₹40 lakh;

(b) the closing stock of ₹2.30 crore at 31 March 2025 included ₹62 lakh of goods held on consignment for Tapri, a fact that existed when she signed her report; and

(c) on 2 September 2025, the partners decided to convert the firm into an LLP.

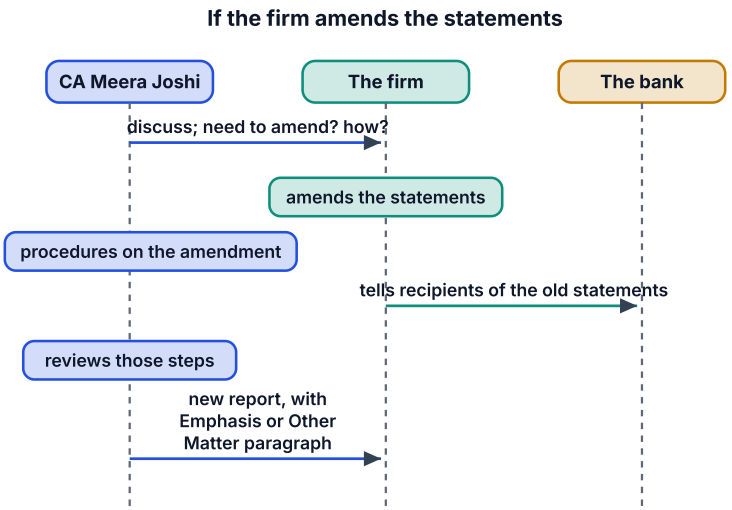
Advise CA Meera Joshi on her responsibilities under SA 560 for each matter. For (b), state also what she must do if the partners will neither amend the financial statements nor tell the bank.

MODEL ANSWER

Relevant provision. As per SA 560, after the financial statements have been issued, the auditor has no obligation to perform any audit procedures regarding them. However, when, after they have been issued, a fact becomes known to the auditor that, had it been known at the date of the auditor's report, may have caused the auditor to amend the report, the auditor shall discuss the matter with management and, where appropriate, those charged with governance, determine whether the financial statements need amendment and, if so, inquire how management intends to address the matter.

(a) and (c): no duty under SA 560. The fire and the decision to convert occurred after the date of her report and after the statements were issued. They are not facts that existed at the date of the report, so they could not have caused her to amend it. SA 560 places no responsibility on her for the 2024-25 statements; both belong to 2025-26 and will be dealt with in that year's financial statements and audit.

(b): a fact that existed. Inventory is overstated by ₹62 lakh, 27% of the stock shown and more than three times materiality of ₹20 lakh. Had she known it, she would have amended her report, so SA 560's post-issue requirements apply.



The new report is dated no earlier than the approval of the amended statements, after extending the subsequent-events procedures to that date; its paragraph refers to the note explaining the amendment and to the earlier report.

Her responsibilities for (b), in order:

1. Discuss the matter with the partners (management) and, where appropriate, those charged with governance; determine whether the financial statements need amendment and, if so, inquire how they intend to address it.
2. If the firm amends: carry out the procedures necessary on the amendment; review the steps taken to ensure that anyone in receipt of the previously issued statements and report, here the bank, is informed; extend the procedures to the date of the new report, dated no earlier than the approval of the amended statements; and provide a new report with an Emphasis of Matter or Other Matter paragraph referring to the note that explains the amendment and to her earlier report.
3. If the partners neither amend nor tell the bank: notify them that she will seek to prevent future reliance on her report. All three partners manage the firm, so there is no separate body of those charged with governance to notify. If they still take no steps, she shall take appropriate action to seek to prevent reliance on her report.

Exam angle

In the exam

Where SA 560 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 560 was asked 13 times in 12 new-scheme documents:

- **Procedures in Window 1**: MTP May 2026 Series II Q3(b) and MTP September 2026 Series I Q3(b) (5 marks each); RTP September 2025 Q16; RTP May 2024 Q16 (a fire before the report is signed: procedures and responsibilities).
- **Classifying the two types**: MTP January 2026 Series I Q6(c) (4 marks: an insolvent debtor and a planned merger). MCQs: September 2025 MCQ 12 (a legal claim settled for less is *not* a condition that arose after); MTP September 2024 Series II MCQ 5 (a fire after the year-end: disclose).
- **Window 2**: MTP January 2026 Series II Q6(c) (4 marks); RTP September 2025 MCQ 7 (first step: discuss and determine whether amendment is needed); September 2026 Q2(a) (5 marks: management refuses to amend, report provided or not, and the meaning of "date the financial statements are issued"; answers not yet published).
- **Window 3**: January 2026 Q5(a) (5 marks: "two months after the issue of auditor's report").
- **MCQs on the duty itself**: January 2025 MCQ 4 (reading minutes of meetings held only *up to* 31 March is the procedure not as per SA 560); MTP January 2025 Series II MCQ 10.

In the exam

How the marks are earned

ICAI's suggested answers first fix the window ("after the date of the auditor's report but before the date the financial statements are issued"), state that there is no obligation to perform procedures after the report date, then list the steps in order: discuss, determine, inquire; if amended, procedures, (review of steps to inform recipients), new report and its date; if not, the SA 705 modification or the notification, and finally "appropriate action to seek to prevent reliance on the auditor's report".

Trick

Discuss, Determine, Inquire: "DDI" opens Windows 2 and 3

Both post-report windows start with the same three verbs in this order. Condition: only when a fact becomes known that, had it been known at the report date, may have caused the auditor to amend the report; there is no duty to go looking.

Answer frame

A case on a subsequent event

1. **Fix the window** from the dates: event or fact before the report date (Window 1), after the report but before issue (Window 2), or after issue (Window 3).
2. **Relevant provision** for that window, in SA 560's words.
3. **Facts**: type of event (existed at the year-end, or arose after), amount against materiality, management's response, whether the report has been provided.
4. **Analysis**: adjust or disclose; which branch of the window applies.

5. **Conclusion**: the steps in order, ending with the opinion, the new report's date and paragraph, or the action to prevent reliance.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's minutes that stop on 31 March

Bunty reads every board minute up to the year-end and none after. **Fix:** SA 560 requires reading minutes of meetings held **after** the date of the financial statements, and inquiring about meetings whose minutes are not yet available (ICAI's January 2025 MCQ 4).

⚠ **Common mistake**

Adjusting for the fire

Writing down 31 March inventory for a May fire. **Fix:** the fire is a condition that arose after the year-end: disclose it if significant; adjust only for events that give evidence of conditions existing at the year-end.

⚠ **Common mistake**

"Once signed, the auditor has no duty"

Fix: there is no duty to perform procedures after the report date, but a duty to respond to facts that become known and would have changed the report, in both Window 2 and Window 3.

⚠ **Common mistake**

Keeping the old date on the new report

Fix: a new report on amended financial statements is dated no earlier than the date of approval of the amended statements, after extending the subsequent-events procedures to that date (or carries an additional date restricted to a lawful restricted amendment).

Practice

Check yourself

1 Case scenario. Iyer & Associates are auditing Tapri for 2025-26; the report will be signed on 28 May 2026. On 2 May, a court upholds a customer's claim, pending since 2024 and not provided for, at ₹2.10 crore. Materiality is ₹1.50 crore. Which of the following is correct?

- A It arose after 31 March, so it only needs disclosure
- B It gives evidence of a condition that existed at 31 March: the financial statements should be adjusted
- C The auditor has no responsibility, since it happened after the balance sheet date
- D Mention it in an Other Matter paragraph instead of adjusting

2 After the report date but before the financial statements are issued, the auditor learns a fact that requires amendment. Management refuses, and the auditor's report has **not yet** been provided to the entity. The auditor shall:

- **A** Modify the opinion as required by SA 705 and then provide the report
- **B** Notify management not to issue the financial statements to third parties
- **C** Provide the unmodified report and add an Emphasis of Matter paragraph
- **D** Withdraw from the engagement without reporting

3 Case scenario. Tapri's board met on 12 May and 26 May 2026. When Iyer & Associates are ready to sign on 28 May, Bunty has read the 12 May minutes, but the minutes of the 26 May meeting are still being drafted. What does SA 560 require for the 26 May meeting?

- **A** Nothing: SA 560 requires reading only the minutes that are available at the report date
- **B** Postponing the report until the 26 May minutes are approved and read
- **C** A written representation that the meeting discussed nothing relevant, in place of any other step
- **D** Inquiry about the matters discussed at the 26 May meeting

4 A new auditor's report on amended financial statements in Window 2 (no restriction of the amendment) shall be dated:

- **A** The same date as the original report
- **B** The date the fact became known to the auditor
- **C** No earlier than the date of approval of the amended financial statements
- **D** The date the financial statements are issued to third parties

5 After the financial statements have been issued, management amends them for a fact the auditor discovered. Select all that SA 560 requires of the auditor.

- **A** Carry out the audit procedures necessary on the amendment
- **B** Review the steps taken by management to ensure that anyone in receipt of the previously issued statements and report is informed
- **C** Include an Emphasis of Matter or Other Matter paragraph referring to the note explaining the amendment and to the earlier report
- **D** Re-perform the entire audit of the year from the beginning

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Subsequent events: events between the date of the financial statements and the date of the auditor's report, and facts known to the auditor after the report date.

- Two types: conditions that existed at the year-end (insolvent debtor, claim settled for less: adjust) and conditions that arose after (fire, share issue, merger: disclose).
- Objectives: evidence that events up to the report date are appropriately reflected; respond to facts learnt after the report date that may have changed it.
- Window 1 procedures: understand management's procedures; inquire; read minutes of meetings after the year-end; read latest interim statements; written representation.
- Date the financial statements are issued: when the report and statements are made available to third parties; at or after the report date and the date the report is provided to the entity.
- Windows 2 and 3 open with discuss, determine, inquire. Amended: procedures on it; new report dated no earlier than approval (or an additional date for a restricted amendment).
- Window 2, not amended: report not provided, modify (SA 705); provided, notify not to issue; issued anyway, act to prevent reliance.
- Window 3: review steps to inform recipients; Emphasis or Other Matter paragraph; if no steps, notify that the auditor will seek to prevent future reliance, then act. (The lab phones everyone who got a copy.)

Answer key · Check yourself

1 **B It gives evidence of a condition that existed at 31 March: the financial statements should be adjusted**

The claim relates to events before the year-end; the judgment is evidence of the obligation existing at 31 March, above materiality: adjust. A later disclosure or an Other Matter paragraph does not replace an adjustment.

2 **A Modify the opinion as required by SA 705 and then provide the report**

Not yet provided: modify and then provide. Notification not to issue applies when the report has already been provided.

3 **D Inquiry about the matters discussed at the 26 May meeting**

SA 560 requires reading minutes of meetings held after the date of the financial statements and inquiring about matters discussed at any such meetings for which minutes are not yet available (SM 7.6). The report need not wait for the minutes, and a written representation is obtained in addition to the procedures, not in place of them.

4 **C No earlier than the date of approval of the amended financial statements**

The auditor extends the procedures to the new report's date, which cannot precede approval of the amended statements.

5 **A Carry out the audit procedures necessary on the amendment; B Review the steps taken by management to ensure that anyone in receipt of the previously issued statements and report is informed; C Include an Emphasis of Matter or Other Matter paragraph referring to the note explaining the amendment and to the earlier report**

Those three are the post-issue requirements, with the extension of procedures to the new report's date. A complete re-audit is not required.

7.2 SA 570: going concern

What the going concern basis means, who assesses it, the events that cast doubt on it, the procedures that follow, and the five ways the conclusion changes the auditor's report.

In plain words

Will the shop open tomorrow?

Iyer & Associates also audit Mehra Mithai Ltd, the sweets company of Kesar's cousin. It has made losses two years running, its ₹20 crore of debentures fall due on 30 September 2026 with no refinancing in place, and its sugar supplier now insists on cash on delivery.

> **Bunty:** Ma'am, the plant and machinery are in the books at ₹18 crore, cost less depreciation. That is fine, na?
>
> **Lakshmi:** Fine if the factory runs next year. If it shuts, who pays ₹18 crore for a halwa line?
>
> **Kesar:** *(on the phone)* My cousin will manage. I have told him I will help.
>
> **Lakshmi:** "I will help" is a feeling, Kesar-ji. I need an arrangement.

Accounts are normally prepared on the **going concern basis**: the assumption that the business will carry on for the foreseeable future, with neither the intention nor the need to close down or shrink drastically. On that basis, the factory is worth what it will earn over its working life. If the business is about to close, the same factory is worth only what a buyer will pay for it now, and the accounts must be prepared on a liquidation basis.

Management must assess whether the entity can continue as a going concern. The **auditor** obtains evidence about whether management's use of the going concern basis is appropriate, and concludes whether there is a **material uncertainty**: events or conditions that may cast significant doubt on the entity's ability to continue, serious enough that readers must be told about them. Those two conclusions, and whether the uncertainty is properly disclosed, decide what the auditor's report says.

One more thing: the auditor cannot see the future. A report that says nothing about going concern is not a guarantee that the business will survive.

Think of it like

The new sofa

If you will live in your flat for years, the sofa you just bought is worth what it gives you over those years. If you are moving out next week, it is worth what a buyer on a resale site will pay. Same sofa, two values: the going concern basis is the first, the liquidation basis the second. And if you might move out, depending on whether your landlord renews the lease, your flatmates deserve to be told: that is the material uncertainty.

Key idea

Two questions decide the report: is the going concern basis appropriate, and does a material uncertainty exist? If it does, the third question is whether the financial statements disclose it adequately.

How it works

1. Meaning and significance

Going concern is one of the fundamental accounting assumptions. The enterprise is normally viewed as a going concern, that is, as continuing in operation for the foreseeable future. It is assumed that the enterprise has neither the intention nor the necessity of liquidation or of curtailing materially the scale of the operations (SM 7.13). General purpose financial statements are prepared using the going concern basis of accounting, unless management either intends to liquidate the entity or to cease operations, or has no realistic alternative but to do so.

When the use of the going concern basis is appropriate, assets and liabilities are recorded on the basis that the entity will be able to realise its assets and discharge its liabilities in the normal course of business. When an enterprise is not viewed as a going concern, the financial statements are prepared on liquidation basis: inventories may need to be written down, and assets may have to be recorded at the likely prices they will fetch (SM 7.14).

Mehra Mithai's main assets show the difference (₹ crore; liquidation values as estimated by a valuer):

Asset	Going concern basis	Liquidation basis
Plant and machinery	18.00	6.50
Goodwill of the acquired brand	12.00	0.00
Inventories	2.40	1.10
Trade receivables	1.80	1.40
Total	**34.20**	**9.00**

₹25.20 crore, or 73.7% of these assets, depends on the single assumption that the business carries on.

2. Management's responsibility

The preparation of the financial statements requires management to assess the entity's ability to continue as a going concern even if the financial reporting framework does not include an explicit requirement to do so. The assessment involves making a judgment, at a particular point in time, about inherently uncertain future outcomes. Relevant to that judgment (SM 7.14–7.15):

- The degree of uncertainty increases significantly the further into the future an event or condition or its outcome occurs.
- The size and complexity of the entity, the nature and condition of its business and the degree to which it is affected by external factors affect the judgment.
- Any judgment about the future is based on information available at the time it is made; subsequent events may produce outcomes inconsistent with judgments that were reasonable at the time.

3. The auditor's responsibilities and objectives

The auditor's responsibilities are to obtain sufficient appropriate audit evidence regarding, and conclude on, the appropriateness of management's use of the going concern basis of accounting, and

to conclude, based on the evidence, whether a material uncertainty exists about the entity's ability to continue as a going concern. These responsibilities exist even if the framework does not explicitly require management to make a specific assessment (SM 7.15).

However, as described in SA 200, the potential effects of inherent limitations on the auditor's ability to detect material misstatements are greater for future events or conditions; the auditor cannot predict them. Accordingly, the absence of any reference to a material uncertainty about the entity's ability to continue as a going concern in an auditor's report cannot be viewed as a guarantee as to the entity's ability to continue as a going concern (SM 7.15).

The objectives of the auditor are (SM 7.15):

- (a) to obtain sufficient appropriate audit evidence regarding and conclude on the appropriateness of management's use of the going concern basis of accounting in the preparation of the financial statements;
- (b) to conclude, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern; and
- (c) to report in accordance with this SA.

4. Risk assessment: look for events or conditions

When performing risk assessment procedures under SA 315, the auditor shall consider whether events or conditions exist that may cast significant doubt on the entity's ability to continue as a going concern, and shall determine whether management has already performed a preliminary assessment (SM 7.16):

- (a) if it has, discuss the assessment with management and determine whether management has identified such events or conditions, individually or collectively, and, if so, management's plans to address them; or
- (b) if it has not, discuss with management the basis for the intended use of the going concern basis, and inquire whether such events or conditions exist.

The auditor shall remain alert throughout the audit for audit evidence of such events or conditions.

Events or conditions that, individually or collectively, may cast significant doubt (SM 7.17–7.18).
ICAI asks for these by category; learn them as three lists.

Financial

- Net liability or net current liability position.
- Fixed-term borrowings approaching maturity without realistic prospects of renewal or repayment; or excessive reliance on short-term borrowings to finance long-term assets.
- Indications of withdrawal of financial support by creditors.
- Negative operating cash flows indicated by historical or prospective financial statements.
- Adverse key financial ratios.

- Substantial operating losses or significant deterioration in the value of assets used to generate cash flows.
- Arrears or discontinuance of dividends.
- Inability to pay creditors on due dates.
- Inability to comply with the terms of loan agreements.
- Change from credit to cash-on-delivery transactions with suppliers.
- Inability to obtain financing for essential new product development or other essential investments.

Operating

- Management intentions to liquidate the entity or to cease operations.
- Loss of key management without replacement.
- Loss of a major market, key customer(s), franchise, license, or principal supplier(s).
- Labour difficulties.
- Shortages of important supplies.
- Emergence of a highly successful competitor.

Other

- Non-compliance with capital or other statutory or regulatory requirements, such as solvency or liquidity requirements for financial institutions.
- Pending legal or regulatory proceedings against the entity that may, if successful, result in claims that the entity is unlikely to be able to satisfy.
- Changes in law or regulation or government policy expected to adversely affect the entity.
- Uninsured or underinsured catastrophes when they occur.

5. Evaluating management's assessment

The auditor shall evaluate management's assessment of the entity's ability to continue as a going concern; it is a key part of the auditor's consideration of management's use of the going concern basis (SM 7.18).

- It is not the auditor's responsibility to rectify the lack of analysis by management. When there is a history of profitable operations and a ready access to financial resources, management may make its assessment without detailed analysis, and the auditor's evaluation may be made without detailed evaluation procedures if the auditor's other procedures are sufficient to conclude on the appropriateness of the basis.
- In other circumstances, the evaluation may include the process management followed, the assumptions on which the assessment is based, and management's plans for future action and whether they are feasible in the circumstances.
- The auditor shall cover the same period as that used by management, as required by the framework, or by law or regulation if it specifies a longer period. If management's assessment

covers less than **twelve months from the date of the financial statements**, the auditor shall request management to extend it to at least twelve months from that date (SM 7.19).

6. Additional procedures when events or conditions are identified

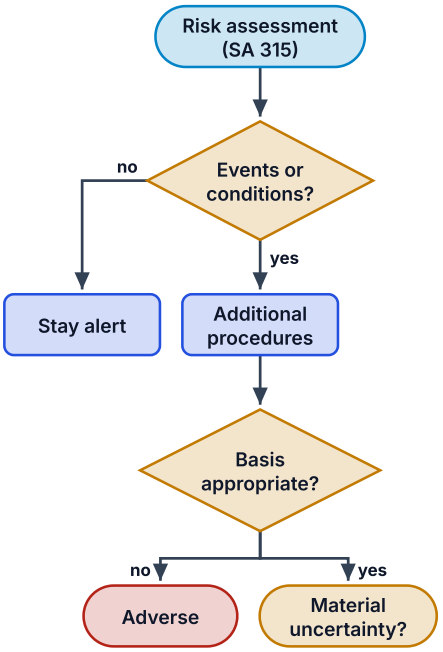
If events or conditions have been identified that may cast significant doubt, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists, through performing additional audit procedures, including consideration of mitigating factors. These procedures shall include (SM 7.19–7.20):

- (a) where management has not yet performed an assessment, requesting management to make its assessment;
- (b) evaluating management's plans for future actions in relation to its going concern assessment, whether the outcome of these plans is likely to improve the situation and whether they are feasible in the circumstances;
- (c) where the entity has prepared a cash flow forecast, and analysis of the forecast is a significant factor in evaluating management's plans: (i) evaluating the reliability of the underlying data generated to prepare the forecast; and (ii) determining whether there is adequate support for the assumptions underlying the forecast;
- (d) considering whether any additional facts or information have become available since the date on which management made its assessment;
- (e) requesting written representations from management and, where appropriate, those charged with governance, regarding their plans for future actions and the feasibility of these plans.

Examples of such procedures (SM 7.20):

- Analysing and discussing cash flow, profit and other relevant forecasts with management.
- Analysing and discussing the entity's latest available interim financial statements.
- Reading the terms of debentures and loan agreements and determining whether any have been breached.
- Reading minutes of the meetings of shareholders, those charged with governance and relevant committees for reference to financing difficulties.
- Inquiring of the entity's legal counsel regarding litigation and claims and the reasonableness of management's assessments of their outcome and financial implications.
- Confirming the existence, legality and enforceability of arrangements to provide or maintain financial support with related and third parties, and assessing their financial ability to provide additional funds.
- Evaluating the entity's plans to deal with unfilled customer orders.
- Performing audit procedures regarding subsequent events (SA 560) to identify those that mitigate or otherwise affect going concern.
- Confirming the existence, terms and adequacy of borrowing facilities.
- Obtaining and reviewing reports of regulatory actions.
- Determining the adequacy of support for any planned disposals of assets.

SA 570: the auditor's path



"Stay alert": remain alert throughout the audit and evaluate management's assessment. "Additional procedures": (a) to (e) above. A material uncertainty leads to the report tree in section 8. Management's assessment must cover at least twelve months from the date of the financial statements; if management will not make or extend it, a qualified opinion or a disclaimer may be appropriate.

7. The auditor's conclusions

The auditor shall evaluate whether sufficient appropriate audit evidence has been obtained regarding, and shall conclude on, the appropriateness of management's use of the going concern basis of accounting, and shall conclude whether, in the auditor's judgment, a material uncertainty exists (SM 7.20–7.21).

Definition

Material uncertainty

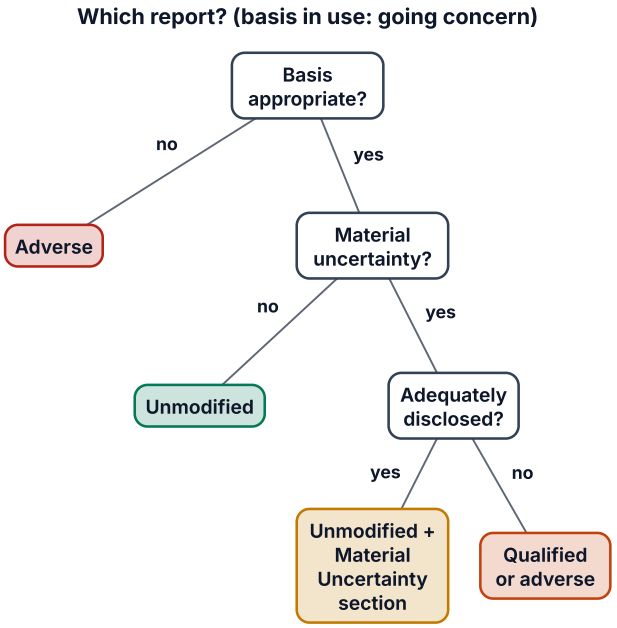
A material uncertainty exists when the magnitude of its potential impact and likelihood of occurrence is such that, in the auditor's judgment, appropriate disclosure of the nature and implications of the uncertainty is necessary (SM 7.21).

Disclosures when a material uncertainty exists. If the basis is appropriate but a material uncertainty exists, the auditor shall determine whether the financial statements (SM 7.21):

- (a) adequately disclose the principal events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and management's plans to deal with them; and
- (b) disclose clearly that there is a material uncertainty related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern and, therefore, that it may be unable to realise its assets and discharge its liabilities in the normal course of business.

Disclosures when no material uncertainty exists. If events or conditions have been identified but the auditor concludes that no material uncertainty exists, the auditor shall evaluate whether, in view of the requirements of the framework, the financial statements provide adequate disclosures about these events or conditions (SM 7.21).

8. Implications for the auditor's report



Green: unmodified, though the auditor still evaluates disclosure of the events or conditions; amber: unmodified with a separate "Material Uncertainty Related to Going Concern" section; orange: qualified or adverse; rose: adverse. Management unwilling to make or extend its assessment: a qualified opinion or disclaimer may be appropriate.

1. **Basis inappropriate.** If the financial statements have been prepared using the going concern basis but, in the auditor's judgment, its use is inappropriate, the auditor shall express an **adverse opinion** (SM 7.21–7.22).
2. **Basis appropriate, material uncertainty adequately disclosed.** The auditor shall express an **unmodified opinion** and the report shall include a separate section under the heading **"Material Uncertainty Related to Going Concern"** to (a) draw attention to the note in the financial statements that discloses such matters; and (b) state that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the auditor's opinion is not modified in respect of the matter (SM 7.22).
3. **Basis appropriate, material uncertainty not adequately disclosed.** The auditor shall (a) express a **qualified opinion or adverse opinion**, as appropriate, in accordance with SA 705; and (b) in the Basis for Qualified (Adverse) Opinion section, state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter (SM 7.22).
4. **Management unwilling to make or extend its assessment** when requested. The auditor shall consider the implications for the report: a **qualified opinion or a disclaimer of opinion** may be appropriate, because it may not be possible to obtain sufficient appropriate audit evidence regarding the use of the going concern basis (SM 7.22–7.23).

Interactive version: PassBook app, lesson SA 570: going concern

Formats and formulas

The reporting grid

Reproduce this from memory: each row is a requirement of SA 570.

Situation	Opinion	Also in the report
Basis inappropriate	Adverse	–
Material uncertainty, adequately disclosed	Unmodified	"Material Uncertainty Related to Going Concern" section
Material uncertainty, not adequately disclosed	Qualified or adverse	Statement in the Basis for Qualified (Adverse) Opinion section
Events or conditions, no material uncertainty	Unmodified	– (auditor evaluates their disclosure)
Management will not make or extend assessment	Qualified or disclaimer may be appropriate	–

The "Material Uncertainty Related to Going Concern" section

Its two contents are listed in point 2 above: (a) draw attention to the note; (b) state that a material uncertainty exists and that the opinion is not modified in respect of it (SM 7.22). Neither an Emphasis of Matter paragraph (SA 706) nor a key audit matter (SA 701) is a substitute for this reporting (SM 8.50, 8.54).

Worked examples

Worked example **Mehra Mithai's sweet nothings**

Mehra Mithai Ltd's draft financial statements for 2025-26 show a loss of ₹6.80 crore (₹5.10 crore last year), current assets of ₹14.20 crore against current liabilities of ₹21.60 crore, and operating cash flow of ₹(3.10) crore. Its 14% debentures of ₹20 crore are due for redemption on 30 September 2026; no refinancing has been agreed. The dividend was skipped, and the sugar mill now supplies only on cash on delivery.

Management prepares the accounts on the going concern basis and gives this cash forecast for 2026-27 (₹ crore):

Item	Amount
Opening cash	0.60
Operating cash flow (turnaround expected)	0.40
Sale of the acquired brand (offer letter received)	9.00
New term loan (application under consideration)	12.00
Redemption of debentures	(20.00)
Debenture interest to 30 September	(1.40)
Closing cash	**0.60**

Kesar has told his cousin, orally, that he will "help if needed".

Required:

(i) Identify the events or conditions that may cast significant doubt on going concern.

(ii) State the additional audit procedures Iyer & Associates should perform.

(iii) Recompute the closing cash if the loan is not sanctioned, and if operating cash flow repeats this year's figure. Does a material uncertainty exist?

(iv) How should the auditor report if the uncertainty is (a) adequately disclosed; (b) not disclosed?

MODEL ANSWER

(i) Events or conditions. As per SA 570, the following, individually or collectively, may cast significant doubt on the entity's ability to continue as a going concern:

- **Financial:** net current liability position of ₹7.40 crore (current ratio 0.66); fixed-term borrowings (₹20 crore debentures) approaching maturity without realistic prospects of renewal or repayment yet; negative operating cash flows; substantial operating losses in two years; discontinuance of dividends; change from credit to cash-on-delivery transactions with a supplier.

(ii) Additional procedures. Since events or conditions have been identified, the auditor shall perform additional procedures, including consideration of mitigating factors, to determine whether a material uncertainty exists:

1. Evaluate management's plans (brand sale, new loan, turnaround): whether their outcome is likely to improve the situation and whether they are feasible.
2. As the forecast is significant to that evaluation: evaluate the reliability of the underlying data, and determine whether there is adequate support for the assumptions, in particular a positive operating cash flow of ₹0.40 crore after a negative ₹3.10 crore this year. The forecast also shows no interest or repayment on the ₹12 crore term loan it assumes.
3. Determine the adequacy of support for the planned disposal of the brand (the offer letter, its terms and the buyer's ability to pay); confirm the existence, terms and adequacy of the borrowing facility applied for; read the debenture trust deed and loan agreements for breaches; read board and shareholder minutes for financing difficulties.

4. Confirm the existence, legality and enforceability of any arrangement for financial support from related and third parties, and assess their financial ability to provide funds. Kesar's oral promise is not, without more, such an arrangement.
5. Consider whether additional facts have become available since management's assessment, including subsequent events; request written representations from management and those charged with governance on their plans and their feasibility.

(iii) Working note: the forecast under the auditor's sensitivities (₹ crore)

Scenario	Closing cash
Management's forecast	0.60
Loan not sanctioned: 0.60 − 12.00	(11.40)
Operating cash flow as in 2025-26: 0.60 − 0.40 − 3.10	(2.90)
Both	(14.90)

Each closing figure = 0.60 opening + operating cash flow + 9.00 brand sale + loan − 20.00 redemption − 1.40 interest. Management does not intend to liquidate, and its plans, if achieved, meet the redemption: the going concern basis can be appropriate. But the outcome depends on a loan not yet sanctioned and a sale not yet completed, and either failure leaves the company unable to redeem. The magnitude of the potential impact and its likelihood are such that disclosure is necessary: **a material uncertainty exists**.

(iv)(a) Adequately disclosed. The auditor shall express an **unmodified opinion** with a separate section headed "Material Uncertainty Related to Going Concern", drawing attention to the note that discloses the matter and stating that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the opinion is not modified in respect of the matter.

(iv)(b) Not disclosed. The auditor shall express a **qualified or adverse opinion**, as appropriate, in accordance with SA 705, and in the Basis for Qualified (Adverse) Opinion section state that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the financial statements do not adequately disclose this matter. If, after the procedures, the auditor concluded that the basis itself was inappropriate, the opinion would be **adverse**.

Worked example **The assessment that went stale, and the rival that did not sink Tapri**

(a) Tapri Cold Chain Pvt Ltd, Tapri's subsidiary, made losses in 2024-25 and 2025-26, and its current liabilities exceed its current assets by ₹7.40 crore at 31 March 2026. Its board approved management's going concern assessment, covering the twelve months to 31 March 2027, on 25 April 2026. The assessment assumes that Narmada Co-operative Bank will renew the company's ₹15 crore working capital limit in full in June 2026. On 20 May 2026, nine days before the auditor's report is due, the bank writes that it will renew only ₹9 crore. Management's response: "Our assessment was approved in April. A May letter cannot reopen it."

(b) BrewBucks opened 60 coffee bars in Tapri's ten largest cities during 2025-26, and Tapri's sales at its existing cafés there fell by 12%. Given Tapri's profits, its cash of ₹85 crore and its undrawn bank limits, Iyer &

Associates conclude that no material uncertainty exists. Bunty notes in the file: "No material uncertainty, so going concern needs no mention anywhere."

Required: Advise Iyer & Associates under SA 570 on (a) management's response and the further audit work, and (b) Bunty's note.

MODEL ANSWER

Relevant provision. As per SA 570, if events or conditions have been identified that may cast significant doubt on the entity's ability to continue as a going concern, the auditor shall obtain sufficient appropriate audit evidence to determine whether or not a material uncertainty exists, through performing additional audit procedures, including consideration of mitigating factors. These include evaluating management's plans for future actions, whether their outcome is likely to improve the situation and whether they are feasible; where a cash flow forecast is significant, evaluating the reliability of the underlying data and whether there is adequate support for the assumptions; **considering whether any additional facts or information have become available since the date on which management made its assessment**; and requesting written representations regarding the plans and their feasibility (SM 7.19–7.20). If events or conditions have been identified but the auditor concludes that no material uncertainty exists, the auditor shall evaluate whether, in view of the requirements of the applicable financial reporting framework, the financial statements provide adequate disclosures about these events or conditions (SM 7.21).

(a) Facts and analysis. The losses and the net current liability position of ₹7.40 crore are financial events or conditions in SA 570's list, so the additional procedures apply. Management's response is **not correct**: the bank's letter of 20 May is additional information that has become available since the assessment was approved on 25 April, and the auditor must consider it. It removes ₹6 crore (₹15 crore – ₹9 crore) of the funding on which the assessment rests. Iyer & Associates should:

1. ask management how it will meet the ₹6 crore gap (for example, funds from Tapri, another lender, or a sale of assets), and evaluate whether those plans are likely to improve the situation and are feasible;
2. evaluate the reliability of the data in the cash flow forecast and whether its other assumptions are adequately supported;
3. confirm the existence, terms and adequacy of the borrowing facilities with the bank; if the plan relies on Tapri's support, confirm the existence, legality and enforceability of that arrangement and assess Tapri's financial ability to provide the funds; read board minutes for references to financing difficulties;
4. request written representations from management and, where appropriate, those charged with governance, about the plans and their feasibility.

On that evidence they conclude whether a material uncertainty exists, and then evaluate the disclosure and report under SA 570.

(b) Facts and analysis. The emergence of a highly successful competitor is an operating event or condition in SA 570's list. The conclusion that no material uncertainty exists means that the report carries no "Material Uncertainty Related to Going Concern" section; it does not end the auditor's work on disclosure. Bunty's note is **not correct**: Iyer & Associates shall evaluate whether, in view of the requirements of the applicable financial reporting framework, the financial statements provide adequate disclosures about BrewBucks' expansion and its effects.

Exam angle

In the exam

Where SA 570 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 570 was asked 20 times in 17 new-scheme documents:

- **Events or conditions**: May 2025 Q2(b) (5 marks, five operating examples); MTP May 2024 Series I Q2(a) (4 marks, four financial). MCQs: September 2024 MCQ 10 ("shortage of important supplies" is not *financial*); September 2025 MCQ 11 (sort eight events into the three categories).
- **Additional procedures**, 5 marks: MTP January 2025 Series II Q1(a); MTP September 2025 Series I Q3(b); RTP May 2024 Q17 (purpose of a twelve-month cash flow forecast, two procedures on it).
- **Evaluating management's assessment**: RTP September 2026 Q16 (no detailed analysis; a nine-month assessment).
- **Meaning, significance, responsibilities**: MTP January 2026 Series II Q3(b) (5 marks); MTP September 2024 Series I Q2(a) (5 marks: a loss-making start-up that meets its commitments: basis appropriate); MTP September 2026 Series I Q5(c) (4 marks: is an unmodified report a guarantee?); September 2026 Q1(c) (4 marks; answers not yet published).
- **Reporting**: RTP September 2024 Q16 and September 2024 MCQ 11 (adequately disclosed: unmodified with the section); MTP May 2024 Series I Q3(b) and January 2026 MCQ 11 (not adequately disclosed: qualified or adverse); MTP January 2026 Series I MCQ 15 (management refuses to assess: qualified or disclaimer); MTP May 2026 Series II MCQs 8–9 (a case on the auditor's primary focus and judgment over a "no rule requires it" argument); January 2025 MCQ 15.

In the exam

The traps

- **The category trap.** Shortage of important supplies, labour difficulties and loss of key management are *operating*; arrears of dividends and cash-on-delivery suppliers are *financial*; non-compliance with regulatory requirements and pending litigation are *other*.
- **"Net loss means not a going concern"** is false (Study Material case study MCQ 2; MTP September 2024 Series I Q2(a)).
- **Its own section, never Key Audit Matters.** In January 2025 MCQ 15, management says the going concern assumption "will not be suitable" and that the uncertainty will be "suitably disclosed" in the notes. No option offered an adverse opinion; three options put the matter under Key Audit Matters, and ICAI's key is (A), a separate "Material Uncertainty Related to Going Concern" section under SA 570. Keep the two rules of SM 7.22 apart in your own answers: an appropriate basis with an adequately disclosed material uncertainty gives that section; statements prepared on the going concern basis when its use is inappropriate get an adverse opinion.

Trick

Three questions, five reports

"Basis appropriate?" No: **adverse**. "Material uncertainty?" No: **unmodified**. "Adequately disclosed?" Yes: **unmodified + Material Uncertainty section**; No: **qualified or adverse**. And the odd one out: management will not assess: **qualified or disclaimer**. Condition: the first branch assumes the statements were prepared on the going concern basis.

Answer frame

A case on going concern

1. **Relevant provision**: the part of SA 570 the case turns on (events or conditions, additional procedures, the twelve-month rule, or the reporting requirement), in the Standard's words.
2. **Facts**: list the events or conditions with their category and figures; management's plans and assessment period; the disclosure made.
3. **Analysis**: is the basis appropriate? Do mitigating factors and feasible plans remove the doubt, or does a material uncertainty remain? Is it adequately disclosed?
4. **Conclusion**: the opinion and the report element ("Material Uncertainty Related to Going Concern" section, or the statement in the Basis section), or the procedure demanded.

Common mistakes

⚠ **Common mistake**

Hall of Shame: Bunty's "qualified, because of going concern doubts"

Bunty qualifies every report with a material uncertainty. **Fix:** an adequately disclosed material uncertainty leaves the opinion **unmodified**, with a separate "Material Uncertainty Related to Going Concern" section. Modification follows only inadequate disclosure, an inappropriate basis, or management's refusal to assess.

⚠ **Common mistake**

Using an Emphasis of Matter paragraph for a material uncertainty

Fix: SA 570 prescribes its own separate section; an Emphasis of Matter paragraph, or a key audit matter, is not a substitute (SM 8.50, 8.54).

⚠ **Common mistake**

Twelve months from the wrong date

Fix: management's assessment must cover at least twelve months from the **date of the financial statements**; if shorter, the auditor requests an extension.

⚠ **Common mistake**

"The clean report promised survival"

Fix: the absence of a reference to a material uncertainty cannot be viewed as a guarantee of the entity's ability to continue: inherent limitations are greater for future events.

Practice

Check yourself

1 Case scenario. The state pollution control board has claimed ₹38 crore from Shipra Agro Chemicals Ltd for river contamination; the company's net worth is ₹22 crore, and the tribunal hears the case in September 2026. Iyer & Associates conclude that the going concern basis is appropriate but that a material uncertainty exists. Note 41 describes the claim and management's plan to contest it, but nowhere states that a material uncertainty exists or that the company may be unable to realise its assets and discharge its liabilities in the normal course of business. Which of the following is correct?

- **A** A qualified or adverse opinion, as appropriate, with the Basis section stating that a material uncertainty exists and that the financial statements do not adequately disclose this matter
- **B** An unmodified opinion with a "Material Uncertainty Related to Going Concern" section, since the claim and the plans are disclosed
- **C** An unmodified opinion with an Emphasis of Matter paragraph on Note 41
- **D** A disclaimer of opinion, because the outcome of the hearing cannot be predicted

2 Case scenario. Tapri's head of samosa production resigned in January 2026; in February a production head with ten years' experience at a large snack maker joined in his place. In listing events or conditions that may cast significant doubt on going concern, how should Iyer & Associates treat the resignation?

- **A** As an operating event or condition: loss of key management counts whatever happens next
- **B** As a financial event or condition, because recruiting a replacement costs money
- **C** Not as "loss of key management without replacement": the post was filled, so that condition does not exist
- **D** As an event that alone requires a "Material Uncertainty Related to Going Concern" section

3 Case scenario. Tapri's management assessed its ability to continue as a going concern for the fifteen months from 1 April 2026 to 30 June 2027, to take in a debenture redemption due in June 2027. What period should Iyer & Associates' evaluation of the assessment cover?

- **A** The twelve months to 31 March 2027, since that is the minimum SA 570 requires
- **B** The twelve months from the date of the auditor's report
- **C** Only the period up to the date of the auditor's report, since later events are for next year's audit
- **D** The same fifteen months to 30 June 2027 that management used

4 Select all the additional audit procedures SA 570 requires when events or conditions casting significant doubt are identified.

- A Where management has not yet made an assessment, requesting it to make one
- B Evaluating management's plans for future actions and their feasibility
- C Requesting written representations regarding those plans and their feasibility
- D Obtaining a guarantee from the auditor's firm that the entity will survive

More than one answer may be right.

5 The financial statements are prepared on the going concern basis, but the board resolved in May to close the business, and the auditor concludes the basis is inappropriate. The opinion is:

- A Qualified opinion
- B Unmodified with a "Material Uncertainty Related to Going Concern" section
- C Adverse opinion
- D Disclaimer of opinion

Answers: the answer key at the end of this lesson.

Recap

- Going concern: the entity continues in operation for the foreseeable future, with neither the intention nor the necessity of liquidation or of materially curtailing operations; otherwise, the liquidation basis.
- Management assesses; the auditor obtains evidence on the appropriateness of the basis, concludes on material uncertainty, and reports. No reference to a material uncertainty is not a guarantee.
- Events or conditions: financial (net current liabilities, maturing debt, negative cash flows, losses, dividend arrears, cash-on-delivery suppliers), operating (key management, major market or customer, labour, supplies, competitor), other (regulatory non-compliance, litigation, law changes, uninsured catastrophes).
- Management's assessment covers at least twelve months from the date of the financial statements, or the auditor requests an extension.
- Additional procedures: request an assessment; evaluate plans; test the forecast's data and assumptions; consider new information; written representations.
- Material uncertainty: potential impact and likelihood such that disclosure of its nature and implications is necessary.
- Basis inappropriate: adverse. Uncertainty adequately disclosed: unmodified + "Material Uncertainty Related to Going Concern" section. Not adequately disclosed: qualified or adverse. Management will not assess: qualified or disclaimer may be appropriate.
- Kesar's "I will help" is a feeling, not an arrangement: confirm support is enforceable and affordable.

Answer key · Check yourself

1 **A A qualified or adverse opinion, as appropriate, with the Basis section stating that a material uncertainty exists and that the financial statements do not adequately disclose this matter**

Adequate disclosure needs both the principal events or conditions with management's plans **and** a clear statement that a material uncertainty exists (SM 7.21). Note 41 has only the first, so SA 570 requires a qualified or adverse opinion under SA 705, with the Basis for Qualified (Adverse) Opinion section stating the material uncertainty and the inadequate disclosure (SM 7.22). The separate section is for adequately disclosed uncertainties; an Emphasis of Matter paragraph is never the vehicle.

2 **C Not as "loss of key management without replacement": the post was filled, so that condition does not exist**

SA 570's operating example is "loss of key management **without replacement**" (SM 7.17). A prompt, experienced replacement removes that condition. The auditor still considers all events and conditions individually and collectively, and none of them leads straight to a report section.

3 **D The same fifteen months to 30 June 2027 that management used**

In evaluating management's assessment, the auditor shall cover the same period as that used by management (SM 7.19). Twelve months from the date of the financial statements is the minimum the assessment must cover: had it covered less, the auditor would request management to extend it.

4 **A Where management has not yet made an assessment, requesting it to make one**; **B Evaluating management's plans for future actions and their feasibility**; **C Requesting written representations regarding those plans and their feasibility**

(a), (b), (e) of the five required procedures, with (c) the forecast and (d) new information. The auditor never guarantees survival.

5 **C Adverse opinion**

An inappropriate use of the going concern basis requires an adverse opinion; there is nothing uncertain to disclose about a decided closure.

7.3 SA 450: evaluating misstatements

How the auditor collects every misstatement above the clearly trivial, asks management to correct them, judges what stays uncorrected against reassessed materiality, and tells, asks and documents before forming the opinion.

In plain words

Bunty's galti register

It is May 2025 and Iyer & Associates are in the last weeks of the 2024-25 audit of Tapri Tea Co. Ltd. Bunty has been keeping a spreadsheet of every mistake the team has found. He calls it the galti register.

> **Bunty:** Ma'am, the register has 41 rows! Even a ₹3,200 taxi bill booked as staff welfare.
>
> **Lakshmi:** The taxi bill comes off the list, Bunty. Anything under ₹5 lakh is clearly trivial on this audit.
>
> **Kesar:** And the rest are also small, na? Sab adjust ho jayega next year.
>
> **Lakshmi:** Small ones add up, Kesar-ji. And next year's accounts will inherit whatever you leave in this year's.

A **misstatement** is a difference between what the accounts show and what the financial reporting framework requires: a wrong amount, a wrong head, a missing disclosure. Every audit finds some. What matters at the end is what happens to them.

So the auditor keeps one running list of every misstatement found, leaving out only those so tiny they are **clearly trivial**. The list is shown to management early, with a request to correct **all** of it. Management usually corrects most. Whatever it refuses to correct is an **uncorrected misstatement**, and the auditor must then decide whether those leftovers matter: one by one and added together, by their size and by their nature, against a materiality figure checked afresh against the actual results. The board's watchdogs (**those charged with governance**) are told, management signs a statement that it believes the leftovers do not matter, and the whole story goes into the audit file.

Think of it like

The wedding card proofreader

Before a wedding card goes to print, the proofreader marks every typo except a stray double space. He hands the list to the family and asks them to fix all of it. If Mausi insists her name stays "Suneeta", he still judges whether the leftover typos, alone or together, spoil the card, and a wrong wedding date spoils it however small the typo. Then the family signs "we accept the remaining typos" with the list stapled to it. The signature does not make a wrong date right.

Key idea

Accumulate every misstatement above the clearly trivial, ask management to correct all of them, and judge whatever stays uncorrected, individually and in aggregate, by size and nature, against materiality reassessed on the actual results. Then tell those charged with governance, obtain a written representation with the list attached, and document.

How it works

Where SA 450 sits

Definition

Misstatement

A difference between the amount, classification, presentation, or disclosure of a reported financial statement item and the amount, classification, presentation, or disclosure that is required for the item to be in accordance with the applicable financial reporting framework. Misstatements can arise from error or fraud (SM 3.4).

Definition

Uncorrected misstatements

Those misstatements that the auditor has accumulated during the audit and that have not been corrected (SM 7.24).

Before forming an opinion, the auditor evaluates the effects of identified misstatements on the audit, and of uncorrected misstatements on the financial statements, after consideration of materiality (SM 7.23). SA 450, "Evaluation of Misstatements Identified during the Audit", deals with that responsibility (SM 7.24). Its numbers come from SA 320 materiality; its conclusion feeds SA 700, whose opinion must take into account whether uncorrected misstatements are material, individually or in aggregate (SM 8.5).

Objective. The objective of the auditor is to evaluate (SM 7.24):

- (a) the effect of identified misstatements on the audit; and
- (b) the effect of uncorrected misstatements, if any, on the financial statements.

The requirements, in the Study Material's order

1 **Accumulate.** The auditor shall accumulate misstatements identified during the audit, other than those that are clearly trivial. A misstatement may arise from an inaccuracy in gathering or processing data, or from the omission of an amount or a disclosure. ICAI's example: machinery repair expenses of ₹5 lakh wrongly capitalised, overstating profit (SM 7.24).

2 **Consider them as the audit progresses.** The auditor shall determine whether the **overall audit strategy and audit plan need to be revised** if (a) the nature of identified misstatements and the circumstances of their occurrence indicate that other misstatements may exist that, aggregated with those accumulated, could be material; or (b) the aggregate of misstatements accumulated approaches materiality determined under SA 320 (SM 7.24–7.25).

3 **Management may be asked to examine.** The auditor may request management to examine a class of transactions, account balance or disclosure, to understand the cause of a misstatement, determine the actual misstatement and make adjustments; for example, based on the auditor's projection of misstatements. If management has done so and corrected the misstatements detected, the auditor shall perform **additional audit procedures** to determine whether misstatements remain (SM 7.25).

4 **Communicate and request correction.** The auditor shall communicate on a timely basis **all** misstatements accumulated with the appropriate level of management, unless prohibited by law or regulation, and shall request management to correct those misstatements (SM 7.25).

5 **If management refuses.** The auditor shall obtain an understanding of management's reasons for not making the corrections and take that understanding into account when evaluating whether the financial statements as a whole are free from material misstatement (SM 7.25).

6 **Reassess materiality first.** Prior to evaluating the effect of uncorrected misstatements, the auditor shall reassess materiality determined under SA 320 to confirm whether it remains appropriate in the context of the entity's **actual financial results** (SM 7.25–7.26).

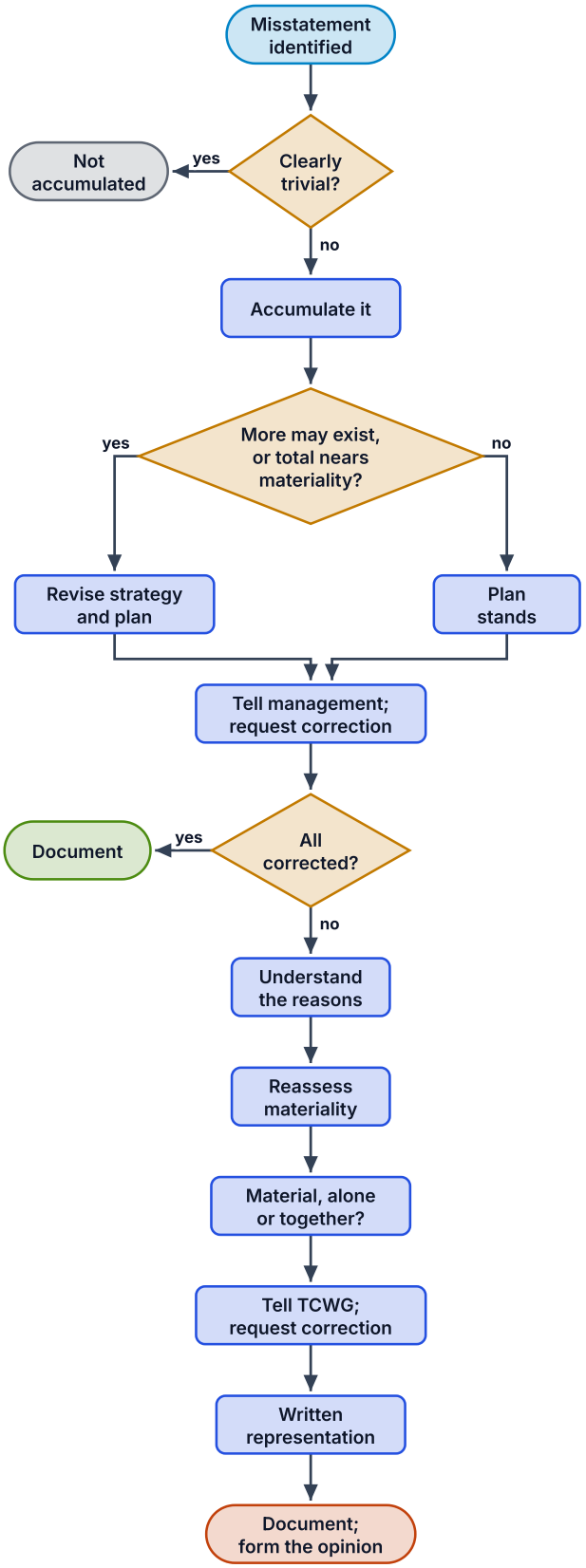
7 **Evaluate.** The auditor shall determine whether uncorrected misstatements are material, individually or in aggregate, considering (a) their size and nature, both in relation to particular classes of transactions, account balances or disclosures and the financial statements as a whole, and the particular circumstances of their occurrence; and (b) the effect of uncorrected misstatements related to **prior periods** on the relevant classes, balances or disclosures and the financial statements as a whole (SM 7.26).

8 **Communicate with those charged with governance.** Unless prohibited by law or regulation, the auditor shall communicate uncorrected misstatements and the effect they, individually or in aggregate, may have on the opinion; the communication shall identify **material uncorrected misstatements individually**; the auditor shall request that they be corrected; and the auditor shall also communicate the effect of uncorrected misstatements related to prior periods (SM 7.26).

9 **Written representation.** The auditor shall request a written representation from management and, where appropriate, those charged with governance whether they believe the effects of uncorrected misstatements are immaterial, individually and in aggregate, to the financial statements as a whole. A **summary of such items** shall be included in or attached to the written representation (SM 7.26).

10 **Document.** The audit documentation shall include the three items listed under Formats below (SM 7.27).

SA 450 from first find to the opinion



TCWG: those charged with governance. "Material, alone or together?" weighs size and nature, and the effect of prior-period uncorrected misstatements. Green: the end when everything is corrected; orange: the end when something stays uncorrected, where the conclusion goes to the opinion under SA 700 and SA 705.

Why tell management early, and why correct even the small ones

Timely communication to the appropriate level of management enables management to evaluate whether the items are misstatements, inform the auditor if it disagrees, and take action as necessary. **Correction of all misstatements**, including those communicated by the auditor, enables management to maintain accurate books and records and reduces the risks of material misstatement of future financial statements because of the cumulative effect of immaterial uncorrected misstatements related to prior periods (SM 7.25). That is Lakshmi's "next year's accounts will inherit" line.

Size is not the only test

Materiality fixed at planning is not an amount below which uncorrected misstatements will always be immaterial: the circumstances of some misstatements may make them material even below it, so the auditor considers their size, their **nature** and the particular circumstances of their occurrence (SM 3.18). A required statutory disclosure is material whatever its amount (SM 3.18), and a small amount lost through fraud can point to a serious flaw in internal control (SM 3.17).

Formats and formulas

Reproduce both from memory: each is a frequent short question.

The audit documentation under SA 450 (SM 7.27)

1. The amount below which misstatements would be regarded as **clearly trivial**;
2. **All misstatements accumulated** during the audit and whether they have been corrected; and
3. The auditor's **conclusion** as to whether uncorrected misstatements are material, individually or in aggregate, and the **basis** for that conclusion.

The SA 450 line in ICAI's illustrative representation letter (SM 7.36)

"The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)"

The rest of that letter is in SA 580: written representations.

> **Note**
>
> The Study Material gives no percentage for "clearly trivial". The amount is the auditor's judgment, and it must be documented. It is not materiality: misstatements above it are accumulated even when each is far below materiality, because they may add up.

Worked examples

Worked example **The register at mid-audit**

Iyer & Associates set materiality for Tapri's 2024-25 financial statements as a whole at ₹1.60 crore (5% of the profit before tax expected at planning, ₹32.00 crore) and treat misstatements below ₹5 lakh as clearly trivial.

In the first fortnight of the final audit, Bunty's register shows:

Item found	Effect	₹ crore
(a) Taxi bill of ₹3,200 booked as staff welfare instead of conveyance	Classification	0.0003
(b) March 2025 electricity bills of the 9 Pune cafés not provided for	Expenses and liabilities understated	0.30
(c) Repairs to the samosa factory's fryers capitalised as plant	Profit and plant overstated	0.45
(d) Depreciation on delivery scooters charged at the wrong rate	Depreciation understated	0.12
(e) March 2025 credit note to a franchisee not recorded	Revenue and receivables overstated	0.35

The year-end accrual of café expenses is done city by city by the same accounts clerk. Tapri has cafés in 40 cities.

Required: Advise Lakshmi under SA 450 on

(i) which items go on the list of accumulated misstatements;

(ii) whether the overall audit strategy and audit plan need revision;

(iii) what she may ask management to do, and what she must do afterwards; and

(iv) what she must communicate now, and to whom.

MODEL ANSWER

Relevant provision. As per SA 450, the auditor shall accumulate misstatements identified during the audit, other than those that are clearly trivial. The auditor shall determine whether the overall audit strategy and audit plan need to be revised if the nature of identified misstatements and the circumstances of their occurrence indicate that other misstatements may exist that, when aggregated with misstatements accumulated, could be material, or if the aggregate of accumulated misstatements approaches materiality. The auditor may request management to examine a class of transactions, account balance or disclosure; if management corrects the misstatements detected, the auditor shall perform additional audit procedures to determine whether misstatements remain. The auditor shall communicate on a timely basis all accumulated misstatements with the appropriate level of management, unless prohibited by law or regulation, and request their correction.

(i) The list. Item (a), ₹3,200, is below the ₹5 lakh clearly trivial amount and is not accumulated. Items (b) to (e) are accumulated:

Accumulated misstatement	₹ crore
(b) Pune electricity not provided	0.30
(c) Fryer repairs capitalised	0.45
(d) Scooter depreciation understated	0.12
(e) Franchisee credit note not recorded	0.35
Total accumulated	**1.22**

All four overstate profit, so they add up: ₹1.22 crore is 76% of materiality of ₹1.60 crore.

(ii) Revision. Both conditions are present. The aggregate, ₹1.22 crore, approaches materiality. And the nature and circumstances of item (b), a failure of a city-wise accrual process run by one clerk, indicate that the other 39 cities may have the same misstatement, which together with the ₹1.22 crore could be material. Lakshmi should revise the audit plan, for example by extending the search for unrecorded liabilities to all cities.

(iii) Management's examination. Lakshmi may request management to examine the March 2025 bills of all cafés, to understand the cause, determine the actual amount of the misstatement and make appropriate adjustments. If management does so and corrects what it finds, she shall perform additional audit procedures to determine whether misstatements remain.

(iv) Communication. She shall communicate items (b) to (e), on a timely basis, to the appropriate level of management (here Dev Malhotra, the CFO), and request management to correct all of them. Timely communication lets management evaluate whether the items are misstatements, say so if it disagrees, and act; correcting all of them keeps the books accurate and reduces the risk that immaterial uncorrected misstatements accumulate into future periods.

Worked example

Kesar refuses three corrections

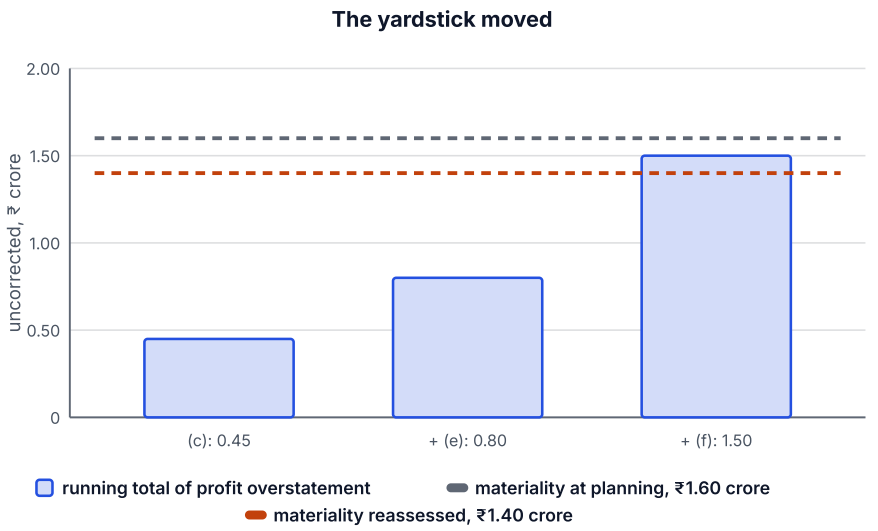
Two weeks later, management has examined all 40 cities and corrected unprovided electricity of ₹0.62 crore (Pune's ₹0.30 crore included) and the scooter depreciation. Lakshmi's further procedures found no other unprovided bills. The final accounts show profit before tax of ₹28.00 crore, against the ₹32.00 crore expected at planning. Kesar refuses the following:

Uncorrected item	Kesar's reason	₹ crore
(c) Fryer repairs capitalised	"The fryers will last longer now"	0.45
(e) Franchisee credit note	"He will buy more next year"	0.35
(f) No provision against Chaiwala Junction, a franchisee declared insolvent in April 2025, owing Tapri	"Insolvent after 31 March, so next year's problem"	0.70
(g) An advance to a supplier who closed down in 2023-24, left uncorrected last year, still in other current assets	"Auditors passed it last year"	0.55
(h) Kesar's own performance bonus booked as miscellaneous expenses and left out of the managerial remuneration note	"Miscellaneous is a perfectly good head"	0.06

Kesar offers to sign a representation that all of this is immaterial: "Each item is below your ₹1.60 crore. Sign a clean report."

Required: Advise Lakshmi on the materiality of the uncorrected misstatements, and on what she must do before signing the report.

MODEL ANSWER



Blue bars: the uncorrected current-year items added one by one (running totals under each bar). The total, ₹1.50 crore, sits below the planning figure (grey dashed) but above materiality reassessed on the actual results (orange dashed).

Relevant provision. As per SA 450, if management refuses to correct misstatements, the auditor shall obtain an understanding of management's reasons and take it into account. Prior to evaluating uncorrected misstatements, the auditor shall reassess materiality to confirm whether it remains appropriate in the context of the entity's actual financial results. The auditor shall determine whether uncorrected misstatements are material, individually or in aggregate, considering their size and nature and the particular circumstances of their occurrence, and the effect of uncorrected misstatements related to prior periods. The auditor shall communicate uncorrected misstatements and their possible effect on the opinion to those charged with governance, identifying material ones individually and requesting their correction, request a written representation (with a summary of the items attached), and document the matter.

Facts of the case. Five items remain uncorrected; Kesar's reasons are on record; actual profit before tax is ₹28.00 crore against ₹32.00 crore planned.

Analysis.

Materiality reassessed. Actual profit before tax is substantially below the planning figure. At the same 5%, materiality on the actual results is 5% × ₹28.00 crore = **₹1.40 crore**, not ₹1.60 crore. (Lakshmi uses the reported profit; on the profit after the uncorrected items, ₹26.50 crore, it would be ₹1.325 crore, and the conclusion would not change.) She should also consider whether performance materiality and the further audit procedures remain appropriate (SM 3.22).

Size, in aggregate. Items (c), (e) and (f) each overstate profit before tax:

Effect on profit before tax	₹ crore
(c) Fryer repairs capitalised	0.45
(e) Franchisee credit note	0.35
(f) Provision against the insolvent franchisee	0.70
Total overstatement	**1.50**

No item is material on its own, but together they exceed reassessed materiality of ₹1.40 crore: they are **material in aggregate**. Kesar's reason for (f) does not hold: an insolvency declared after the year end but before the report gives evidence on the recoverability of the amount due at 31 March (SM 7.4; SA 560).

Prior periods. Item (g) does not touch this year's profit, but it overstates other current assets and equity by ₹0.55 crore, adding to the ₹1.50 crore by which items (c), (e) and (f) overstate assets and equity: ₹2.05 crore in all. "Passed last year" is the cumulative effect SA 450 warns about.

Nature. Item (h), ₹6 lakh, is tiny, but the remuneration of management is an item where law, regulation or the framework shapes users' expectations, so that misstatements of lesser amounts than overall materiality could influence them (SM 3.22); and a disclosure the law requires is material irrespective of its amount (SM 3.18).

Conclusion.

1. The uncorrected misstatements are **material**: (c), (e) and (f) in aggregate against reassessed materiality, (h) by nature, and (g) adds to the overstatement of the balance sheet.
2. Lakshmi should communicate them to those charged with governance (Tapri's audit committee), identifying the material ones individually, explaining the effect they may have on the opinion, including the effect of the prior-period item (g), and requesting their correction.
3. She should request the written representation, with a summary of the uncorrected items attached. Kesar's signature records management's belief; it does not make the items immaterial, because written representations do not on their own provide sufficient appropriate audit evidence.
4. She should document the clearly trivial amount, every misstatement accumulated and whether it was corrected, and her conclusion with its basis.
5. If the items stay uncorrected, the financial statements are materially misstated. The effects are confined to particular items (plant, receivables, other current assets, profit and one note) and are not a substantial proportion of the financial statements, so they are material but not pervasive: a **qualified opinion** under SA 705. A clean report is not possible.

Exam angle

In the exam

Where SA 450 appeared, May 2024 to September 2026

In the documents read for this lesson, SA 450 was examined in 8, usually in a short descriptive part or one MCQ.

- **Documentation, 3 or 4 marks**: May 2024 Q6(c) (3 marks); MTP September 2025 Series II Q6(c) (4 marks, with the content of the written representation on uncorrected misstatements).
- **Communicating with management and a refusal to correct, 4 marks**: MTP May 2024 Series I Q1(b), a revenue understatement under AS 9: communicate, why timely communication is useful, and what to do if management refuses.
- **Multiple choice, 2 marks.** The written representation is on uncorrected (not corrected) misstatements: September 2026 MCQ 8 (answers not yet published). Uncorrected misstatements each below materiality but material together: MTP September 2024 Series II MCQ 6. Aggregate approaching materiality and management refusing to adjust: evaluate individually and in aggregate and consider the report, MTP May 2026 Series I MCQ 11 (repeated as MTP September 2026 Series I MCQ 11). Materiality applied in evaluating uncorrected misstatements, re-evaluated at completion: MTP May 2026 Series I MCQ 14 (repeated in MTP September 2026 Series I). The SA 450 line of the representation letter: January 2026 Q2(a).

In the exam

The traps

MCQ distractors offer a representation on **corrected** misstatements, a threshold such as "5% of turnover" that SA 450 does not contain, "ignore it, it is below materiality", and "management refused, so automatically qualify". The Study Material's Test Your Knowledge MCQ 3 turns on one word: the representation is that the effects are **immaterial**, not material.

Trick

ACCORD: the SA 450 sequence

Accumulate (above clearly trivial), **C**onsider revising the strategy and plan, **C**ommunicate to management and ask for correction, **O**btain the reasons for any refusal, then reassess materiality and evaluate the uncorrected items (individually and in aggregate, size and nature, prior periods), **R**eport to those charged with governance and request the representation, **D**ocument. Condition: the order is the Study Material's; the reassessment of materiality always comes before the evaluation of uncorrected misstatements, and the evaluation hides inside the "O": do not drop it.

Answer frame

A case question on misstatements

1. **Relevant provision**: "As per SA 450, ...", only the requirements the facts need (accumulation, revision of the plan, communication, refusal, reassessment, evaluation, those charged with governance, representation, documentation).
2. **Facts of the case**: list the misstatements with amounts and say which are corrected.
3. **Analysis**: clearly trivial? Reassessed materiality? Individually, in aggregate (show the total), by nature, and the prior-period effect.

4. **Conclusion**: material or not, then what the auditor must do next, and the effect on the opinion if they stay uncorrected (SA 705).

"State the documentation required under SA 450"

Three points, in order: the clearly trivial amount; all misstatements accumulated and whether corrected; the conclusion on whether uncorrected misstatements are material, individually or in aggregate, with its basis. Three marks are often exactly these three lines.

"Discuss the auditor's responsibility to communicate with management"

Point	What earns the mark
What and when	All accumulated misstatements, on a timely basis, to the appropriate level of management, unless prohibited by law or regulation
Request	Request management to correct those misstatements
Why timely	Lets management evaluate whether the items are misstatements, inform the auditor if it disagrees, and act
Why correct all	Accurate books and records; lower risk of material misstatement in future periods from the cumulative effect of immaterial uncorrected prior-period misstatements
If refused	Understand management's reasons and take them into account in evaluating the financial statements as a whole

Common mistakes

⚠ **Common mistake**

Hall of Shame: "each one is below materiality, so none matters"

Bunty clears three uncorrected items one at a time. **Fix:** SA 450 asks whether they are material "individually or in aggregate": add them up, and weigh their nature too.

⚠ **Common mistake**

The yardstick nobody re-read

Judging leftovers against the materiality set at planning when actual profit came in far lower. **Fix:** reassess materiality against the actual financial results *before* evaluating uncorrected misstatements.

⚠ **Common mistake**

"We passed it last year"

Ignoring an uncorrected misstatement from the prior period because it was immaterial then. **Fix:** consider the effect of prior-period uncorrected misstatements on this year's balances and the financial statements as a whole, and communicate it to those charged with governance.

⚠ **Common mistake**

Treating the representation as the evidence

"Management has confirmed the uncorrected misstatements are immaterial, so they are." **Fix:** the representation records management's belief with the list attached; the auditor still reaches and documents a conclusion, and a written representation does not on its own provide sufficient appropriate audit evidence.

Practice

Check yourself

1 Case scenario. CA Rekha set materiality for Narmada Agro Ltd at ₹45 lakh: 5% of the profit before tax of ₹9 crore expected at planning. The final accounts show a profit before tax of ₹7 crore, and she keeps the 5%. Two misstatements remain uncorrected, both overstating profit: a March cold-storage rent bill of ₹21 lakh not provided for, and fertiliser stock of ₹16 lakh counted twice. Nothing else is outstanding. Which of the following is correct?

- **A** The misstatements are immaterial, as their total of ₹37 lakh is below materiality of ₹45 lakh
- **B** The misstatements are material in aggregate, as materiality reassessed on the actual results is ₹35 lakh, and their effect on the opinion should be considered
- **C** The misstatements are immaterial, as SA 450 judges each misstatement on its own and each is below materiality
- **D** The misstatements are material, so CA Rekha should pass the correcting entries herself

2 Materiality for Sabarmati Snacks Ltd is ₹1.50 crore, and misstatements below ₹3 lakh are clearly trivial. The misstatements found so far, all overstating profit, are ₹2.5 lakh, ₹40 lakh, ₹1.8 lakh, ₹55 lakh and ₹35 lakh. What is the total of the accumulated misstatements, in ₹ lakh?

Answer: _____

3 Which of the following must the audit documentation under SA 450 include? Select all that apply.

- **A** The amount below which misstatements would be regarded as clearly trivial
- **B** All misstatements accumulated during the audit and whether they have been corrected
- **C** The conclusion on whether uncorrected misstatements are material, individually or in aggregate, and its basis
- **D** Management's reasons for every misstatement it corrected

More than one answer may be right.

4 Management of Ganga Foods Ltd refuses to correct two misstatements the auditor has communicated. What does SA 450 require the auditor to do first?

- **A** Express a qualified opinion
- **B** Withdraw from the engagement
- **C** Obtain an understanding of management's reasons and take it into account in evaluating whether the financial statements as a whole are free from material misstatement
- **D** Accept the refusal, since preparing the financial statements is management's responsibility

5 The SA 450 paragraph in the draft representation letter of Kaveri Textiles Ltd reads: "The effects of uncorrected misstatements are immaterial to the financial statements as a whole." Nothing is attached. What should the auditor ask management to change?

- **A** Nothing: the paragraph meets SA 450 as it stands
- **B** It should cover the effects individually and in the aggregate, and a summary of the uncorrected items should be included in or attached to it
- **C** It should state that the effects are material, so that management accepts responsibility for them
- **D** It should list the corrected misstatements, with management's reasons for correcting each

Answers: the answer key at the end of this lesson.

Recap

- Misstatement: a difference in amount, classification, presentation or disclosure from what the framework requires; from error or fraud.
- Objective: evaluate the effect of identified misstatements on the audit, and of uncorrected misstatements on the financial statements.
- Accumulate all misstatements except the clearly trivial; revise the strategy and plan if more may exist or the total approaches materiality.
- Tell management on a timely basis, request correction of all; if refused, understand the reasons.
- Reassess materiality on the actual results, then judge uncorrected items individually and in aggregate, by size and nature, with the prior-period effect.
- Tell those charged with governance (material items individually), request correction; obtain a written representation with the list attached.
- Document: the clearly trivial amount, every misstatement and whether corrected, the conclusion and its basis.
- Small ones add up, and old ones carry forward. (Mausi's name can stay; the wedding date cannot.)

Answer key · Check yourself

1 **B The misstatements are material in aggregate, as materiality reassessed on the actual results is ₹35 lakh, and their effect on the opinion should be considered**

Before evaluating uncorrected misstatements, materiality is reassessed on the actual results: 5% × ₹7 crore = ₹35 lakh. Together the items overstate profit by ₹21 lakh + ₹16 lakh = ₹37 lakh: below the ₹45 lakh set at planning, above the reassessed ₹35 lakh. SA 450 asks "individually or in aggregate". Correcting the accounts is management's job, not the auditor's.

2 **130**

The ₹2.5 lakh and ₹1.8 lakh items are clearly trivial and are not accumulated: ₹40 + ₹55 + ₹35 = ₹130 lakh. That is about 87% of materiality of ₹150 lakh: the aggregate approaches materiality, so the auditor determines whether the overall audit strategy and audit plan need to be revised.

3 **A The amount below which misstatements would be regarded as clearly trivial; B All misstatements accumulated during the audit and whether they have been corrected; C The conclusion on whether uncorrected misstatements are material, individually or in aggregate, and its basis**

These are the Study Material's three items. Management's reasons are obtained for misstatements it refuses to correct, not for those it corrects.

4 **C Obtain an understanding of management's reasons and take it into account in evaluating whether the financial statements as a whole are free from material misstatement**

A refusal is not by itself a modification: the auditor understands the reasons, reassesses materiality, evaluates the uncorrected items and only then concludes on the opinion.

5 **B It should cover the effects individually and in the aggregate, and a summary of the uncorrected items should be included in or attached to it**

SA 450 asks whether management believes the effects of uncorrected misstatements are immaterial, individually and in aggregate, to the financial statements as a whole, and a summary of such items shall be included in or attached to the representation. ICAI's illustrative letter attaches "a list of the uncorrected misstatements".

7.4 SA 580: written representations

What written representations are and why they are necessary but never sufficient evidence, the two management must give, the others the auditor may ask for, their date, period and form, and what follows a refusal.

In plain words

"Your team has seen every voucher, Lakshmi-ji"

It is 28 May 2026. The audit of Tapri Tea Co. Ltd is finished, the board is approving the accounts, and Lakshmi slides a two-page letter across the table, typed on Tapri's letterhead and waiting for a signature.

> **Kesar:** Lakshmi-ji, your team has seen every voucher. Why should I sign a letter also?
>
> **Lakshmi:** Because no voucher can show me the vouchers you did not give us, Kesar-ji.
>
> **Bunty:** Ma'am, once he signs, can we skip the stock count?
>
> **Lakshmi:** No, Bunty. A signature is evidence. It is not proof.

A **written representation** is that letter: management's written statement to the auditor, confirming certain matters or supporting other evidence. It counts as audit evidence, some of which the auditor cannot get any other way: only management can say that it gave the auditor everything and recorded every transaction. But it is never enough on its own: a written promise still sits beside vouchers, counts and confirmations.

Two representations are compulsory: that management has prepared the financial statements as its responsibility requires, and that it has given the auditor all information and recorded all transactions. If management refuses them, or the auditor comes to doubt management's integrity so much that they cannot be believed, the audit cannot end in an opinion: the auditor **disclaims**. The letter is dated as close as possible to the report, never after it, and covers every period the report covers.

Think of it like

The consent form before surgery

The hospital has your X-rays and blood reports, yet the surgeon still asks you to sign a form saying you have disclosed every medicine you take and every allergy you have. No test can reveal what you did not mention. The form does not replace the X-ray. You sign it on the morning of the operation, not a month earlier, because things change. And if you refuse to sign, there is no operation.

Key idea

Written representations are necessary audit evidence but never sufficient on their own. The two about management's responsibilities (preparing the financial statements; providing all information and recording all transactions) are compulsory: if they are not provided, or are unreliable because of doubt about management's integrity, the auditor disclaims an opinion.

How it works

1. What a written representation is

> **Definition**
>
> **Written representation**
>
> A written statement by management provided to the auditor to confirm certain matters or to support other audit evidence. Written representations in this context do not include financial statements, the assertions therein, or supporting books and records (SM 7.28).

SA 580, "Written Representations", deals with the auditor's responsibility to obtain written representations from management and, where appropriate, those charged with governance (SM 7.29).

2. Why they are audit evidence, and why they are not enough

Audit evidence is all the information the auditor uses in arriving at the conclusions on which the opinion is based (SA 500). So (SM 7.29):

- Written representations are **necessary information** that the auditor requires in connection with the audit; so, similar to responses to inquiries, written representations are audit evidence.
- They are an important source of audit evidence. If management modifies or does not provide the requested representations, it may alert the auditor to the possibility that one or more significant issues may exist.
- A request for **written**, rather than oral, representations in many cases prompts management to consider the matters more rigorously, enhancing the quality of the representations.
- But although they provide necessary audit evidence, they **do not provide sufficient appropriate audit evidence on their own** about any of the matters with which they deal.
- And reliable written representations do not affect the nature or extent of other audit evidence the auditor obtains about management's responsibilities or about specific assertions.

3. The objectives

The objectives of the auditor are (SM 7.29–7.30):

- (a) to obtain written representations from management and, where appropriate, those charged with governance that they believe that they have fulfilled their responsibility for the preparation of the financial statements and for the completeness of the information provided to the auditor;
- (b) to support other audit evidence relevant to the financial statements or specific assertions in them by means of written representations, if determined necessary by the auditor or required by other SAs; and
- (c) to respond appropriately to written representations provided, or if those requested are not provided.

From whom. The auditor shall request written representations from management with appropriate responsibilities for the financial statements and knowledge of the matters concerned (SM 7.30).

4. The two representations about management's responsibilities

(I) Preparation of the financial statements. The auditor shall request management to provide a written representation that it has fulfilled its responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation, as set out in the terms of the audit engagement (SM 7.30).

(II) Information provided and completeness of transactions. The auditor shall request management to provide a written representation that (SM 7.31):

- (a) it has provided the auditor with all relevant information and access as agreed in the terms of the audit engagement; and
- (b) all transactions have been recorded and are reflected in the financial statements.

Management may ask its own experts first. Management may make inquiries of others who participate in preparing the financial statements, including people with specialised knowledge: an **actuary** responsible for actuarially determined measurements, **staff engineers** with knowledge of environmental liability measurements, and **internal counsel** for provisions for legal claims (SM 7.31).

"To the best of our knowledge and belief." Management may include qualifying language to that effect. It is reasonable for the auditor to accept such wording if the auditor is satisfied that the representations are being made by those with appropriate responsibilities and knowledge of the matters included. To reinforce informed representations, the auditor may ask management to confirm in them that it has made such inquiries as it considered appropriate (SM 7.31).

Why these two are necessary. Other audit evidence that management has fulfilled these responsibilities is not sufficient without management's confirmation that it believes it has done so, because the auditor cannot judge solely on other evidence whether management has prepared the financial statements and provided information on the basis of the agreed acknowledgement of its responsibilities. For example, the auditor could not conclude that management has provided all relevant information agreed in the terms of the engagement without asking, and receiving confirmation, that it has (SM 7.32).

Reconfirming the acknowledgement. These representations draw on the responsibilities management acknowledged in the terms of the engagement (SA 210). The auditor may also ask management to reconfirm its acknowledgement and understanding of those responsibilities. This is particularly appropriate when (SM 7.32):

- those who signed the terms of the audit engagement on behalf of the entity no longer have the relevant responsibilities;
- the terms of the audit engagement were prepared in a previous year;
- there is any indication that management misunderstands those responsibilities; or
- changes in circumstances make it appropriate to do so.

Management's responsibilities shall be described in these representations in the manner in which they are described in the terms of the audit engagement (SM 7.32).

5. Other written representations

Required by other SAs. Other SAs require the auditor to request written representations (in ICAI's illustrative letter: SA 450, SA 550 and SA 560). If, in addition, the auditor determines that one or more are necessary to support other audit evidence, the auditor shall request them (SM 7.33).

About the financial statements. Such representations supplement, but do not form part of, the representation on management's responsibilities. They may include (SM 7.33):

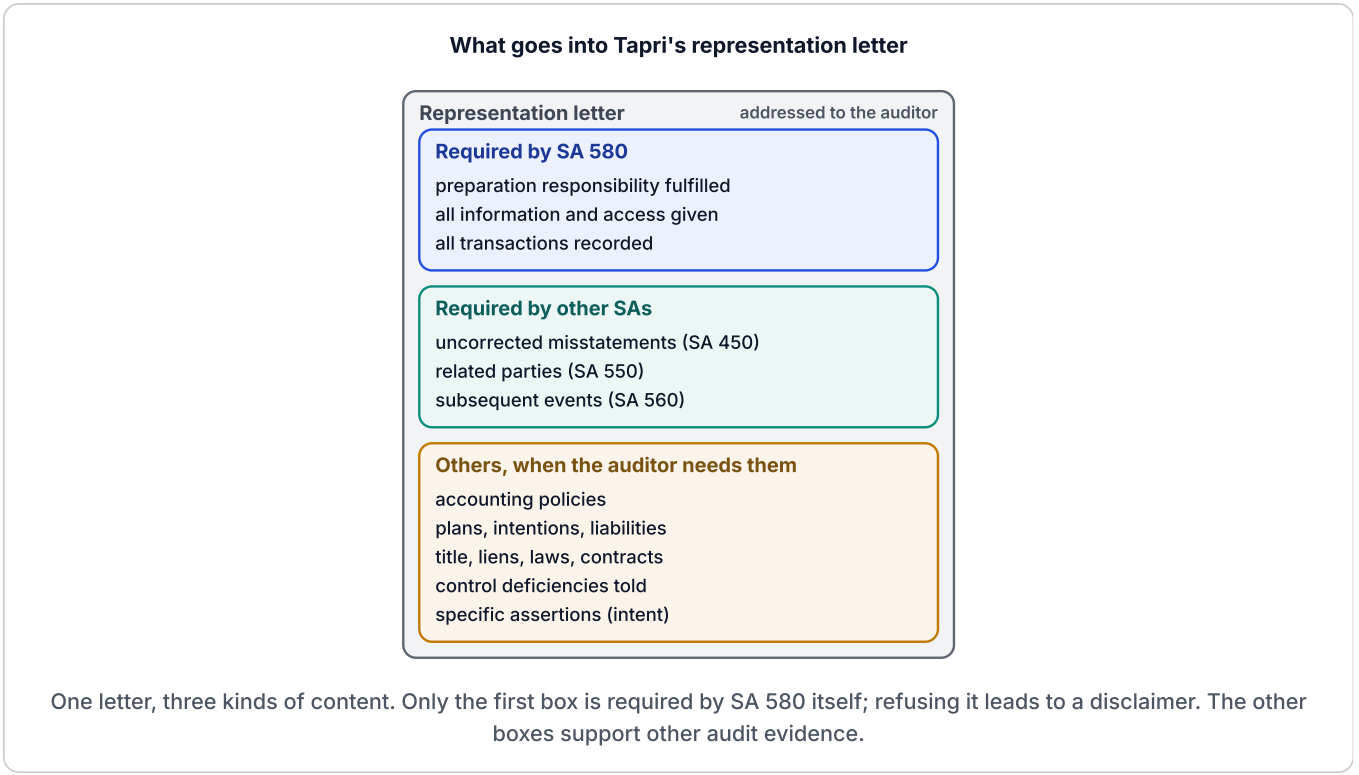
- whether the selection and application of accounting policies are appropriate; and
- whether matters such as the following, where relevant under the framework, have been recognised, measured, presented or disclosed in accordance with it:
  - plans or intentions that may affect the carrying value or classification of assets and liabilities;
  - liabilities, both actual and contingent;
  - title to, or control over, assets, the liens or encumbrances on assets, and assets pledged as collateral; and
  - aspects of laws, regulations and contractual agreements that may affect the financial statements, including non-compliance.

About information provided. The auditor may ask for a representation that management has communicated to the auditor all deficiencies in internal control of which it is aware (SM 7.33).

About specific assertions. When obtaining evidence about, or evaluating, management's **judgments and intentions**, the auditor may consider (SM 7.34):

- the entity's past history in carrying out its stated intentions;
- the entity's reasons for choosing a particular course of action;
- the entity's ability to pursue a specific course of action; and
- the existence or lack of any other information obtained during the audit that may be inconsistent with management's judgment or intent.

The auditor may also request representations about specific assertions, to support an understanding of management's judgment or intent, or of the completeness of an assertion. For example, if management's intent is important to the valuation basis for investments, sufficient appropriate evidence may not be obtainable without a written representation about its intentions; even then, the representation does not on its own provide sufficient appropriate evidence for that assertion (SM 7.34).



One letter, three kinds of content. Only the first box is required by SA 580 itself; refusing it leads to a disclaimer. The other boxes support other audit evidence.

6. Date, period and form

Date. The date of the written representations shall be as near as practicable to, but not after, the date of the auditor's report. Because they are necessary audit evidence, the opinion cannot be expressed, and the report cannot be dated, before the date of the written representations. And because the auditor is concerned with events up to the date of the report that may require adjustment or disclosure, they are dated as near to it as practicable (SM 7.34).

Period. They shall be for all financial statements and period(s) referred to in the auditor's report, because management needs to reaffirm that its earlier representations for prior periods remain appropriate. Where current management was not present during all the periods, and says it cannot represent for them, that does not diminish its responsibilities for the financial statements as a whole: the requirement to request representations covering the whole of the relevant period(s) still applies (SM 7.34–7.35).

Form. The written representations shall be in the form of a **representation letter addressed to the auditor**. If law or regulation requires management to make written public statements about its responsibilities, and the auditor determines that they provide some or all of the required representations, those matters need not be repeated in the letter (SM 7.35).

7. When representations are doubtful, or refused

Doubt about reliability. If the auditor has concerns about the competence, integrity, ethical values or diligence of management, or about its commitment to or enforcement of these, the auditor shall determine the effect of those concerns on the reliability of representations and audit evidence in general. If representations are **inconsistent with other audit evidence**, the auditor shall perform audit procedures to attempt to resolve the matter; if it remains unresolved, the auditor shall reconsider the assessment of management's competence, integrity, ethical values or diligence and determine the effect on reliability. If the auditor concludes the representations are not reliable, the

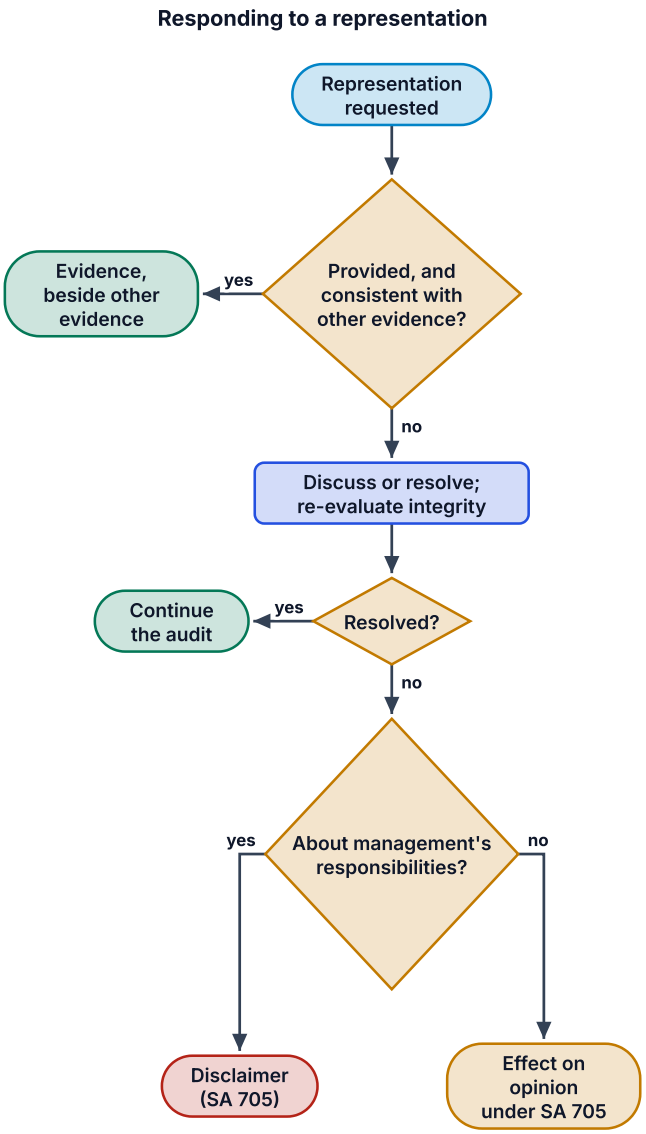
auditor shall take appropriate actions, including determining the possible effect on the opinion under SA 705, having regard to the requirement of disclaimer (SM 7.37).

Representations not provided. If management does not provide one or more of the requested representations, the auditor shall (SM 7.38):

- (a) discuss the matter with management;
- (b) re-evaluate the integrity of management and evaluate the effect that this may have on the reliability of representations and audit evidence in general; and
- (c) take appropriate actions, including determining the possible effect on the opinion under SA 705, having regard to the requirement of disclaimer.

When the disclaimer is required. The auditor shall disclaim an opinion in accordance with SA 705 if (SM 7.38):

- (a) the auditor concludes that there is sufficient doubt about the integrity of management such that the representations about management's responsibilities (preparing the financial statements; information provided and completeness of transactions) are not reliable; or
- (b) management does not provide those representations.



"Discuss or resolve": a representation not provided is discussed with management; one inconsistent with other evidence calls for procedures to resolve it. Either way, management's integrity is re-evaluated. Green: the matter ends normally. Rose: the disclaimer SA 580 requires when the representations on management's responsibilities are not provided, or not reliable because of sufficient doubt about management's integrity. Amber: for other representations, the effect on the opinion is determined under SA 705, having regard to the disclaimer requirement.

Formats and formulas

ICAI's illustrative representation letter (SM 7.35–7.37)

Reproduce the headings and the bullets in this order: January 2026 asked for the "Financial Statements" part for 5 marks.

On the letterhead of the entity

To Iyer & Associates, Chartered Accountants. Date: 28th May, 2026.

Dear Sir,

This representation letter is provided in connection with your audit of the financial statements of Tapri Tea Co. Ltd for the year ended March 31, 2026 for the purpose of expressing an opinion as to

whether the financial statements give a true and fair view in accordance with the applicable accounting standards in India.

We confirm that (to the best of our knowledge and belief, having made such inquiries as we considered necessary for the purpose of appropriately informing ourselves):

Financial Statements

- We have fulfilled our responsibilities, as set out in the terms of the audit engagement dated [date], for the preparation of the financial statements in accordance with financial reporting Standards, in particular, the financial statements give a true and fair view in accordance with the applicable accounting standards in India.
- Significant assumptions used by us in making accounting estimates, including those measured at fair value, are reasonable.
- Related party relationships and transactions have been appropriately accounted for and disclosed in accordance with the requirements of applicable accounting standards in India. (SA 550)
- All events subsequent to the date of the financial statements and for which applicable accounting standards in India require adjustment or disclosure have been adjusted or disclosed. (SA 560)
- The effects of uncorrected misstatements are immaterial, both individually and in the aggregate, to the financial statements as a whole. A list of the uncorrected misstatements is attached to the representation letter. (SA 450)

Information provided

- We have provided you with:
  - Access to all information of which we are aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;
  - Additional information that you have requested from us for the purpose of the audit; and
  - Unrestricted access to persons within the entity from whom you determined it necessary to obtain audit evidence.
- All transactions have been recorded in the accounting records and are reflected in the financial statements.
- We have disclosed to you the results of our assessment of the risk that the financial statements may be materially misstated as a result of fraud.
- We have disclosed to you all information in relation to fraud or suspected fraud that we are aware of and that affects the entity and involves:
  - Management;
  - Employees who have significant roles in internal control; or
  - Others where the fraud could have a material effect on the financial statements.
- We have disclosed to you all information in relation to allegations of fraud, or suspected fraud, affecting the entity's financial statements communicated by employees, former employees, analysts, regulators or others.

- We have disclosed to you all known instances of non-compliance or suspected non-compliance with laws and regulations whose effects should be considered when preparing financial statements.
- We have disclosed to you the identity of the entity's related parties and all the related party relationships and transactions of which we are aware. (SA 550)

Chief Financial Officer

> **Tip**
>
> SA 580's own two representations are the first bullet under "Financial Statements" and the first two under "Information provided". The rest supports other evidence.

Worked examples

Worked example **Dev edits the letter**

Iyer & Associates will sign the auditor's report on Tapri's 2025-26 financial statements on 28 May 2026. On the morning of 28 May, Dev Malhotra, the CFO, returns the draft representation letter signed and dated that day, with two edits:

(i) The first representation now reads: "The financial statements have been prepared by the accounts department and audited by Iyer & Associates." Dev's note: "Shorter, and it says who did what."

(ii) He has added: "The balance of ₹2.60 crore due from Sagar Hotels Pvt Ltd, outstanding for 210 days, is fully recoverable." His note: "So your team can stop chasing the hotel for a confirmation and a payment plan."

Required: Comment on Dev's edits and advise Lakshmi under SA 580.

MODEL ANSWER

(i) The responsibilities representation. As per SA 580, the auditor shall request management to provide a written representation that it has fulfilled its responsibility for the preparation of the financial statements in accordance with the applicable financial reporting framework, including, where relevant, their fair presentation, as set out in the terms of the audit engagement; management's responsibilities shall be described in the manner in which they are described in the terms of the audit engagement (SM 7.30, 7.32). Dev's sentence does neither: it says who prepared the statements and, by naming the auditors, suggests that the responsibility is shared with them. That is an indication that management misunderstands its responsibilities, a circumstance in which it is particularly appropriate to ask management to reconfirm its acknowledgement and understanding of those responsibilities in the written representations (SM 7.32). Lakshmi should restore the required wording. If management does not provide it, she shall discuss the matter with management, re-evaluate management's integrity and the effect on the reliability of representations and audit evidence in general, and, this being a representation about management's responsibilities, disclaim an opinion in accordance with SA 705 (SM 7.38).

(ii) The receivable. The auditor may request other written representations to support other audit evidence (SM 7.33), but although written representations provide necessary audit evidence, they do not provide sufficient appropriate audit evidence on their own about any of the matters with which they deal (SM 7.29). A balance outstanding for 210 days needs evidence of its recoverability: the team should continue its procedures, such as the confirmation, receipts after the year-end, correspondence with the hotel and its payment plan. If that evidence is inconsistent with the representation, Lakshmi shall perform audit procedures to attempt to resolve the matter and, if it remains unresolved, reconsider her assessment of management's competence, integrity, ethical values or diligence and its effect on the reliability of representations and audit evidence in general (SM 7.37). Any shortfall in the allowance for the balance is a misstatement to be evaluated.

Conclusion. The first edit must be reversed, failing which a disclaimer of opinion follows. The second may stay as a supporting representation, but it does not end the team's work on the Sagar Hotels balance.

Worked example **Farah inherits a mistake**

Iyer & Associates audit Brahmaputra Leaf Ltd, a tea estate supplying Tapri, for 2025-26. Its managing director resigned on 30 September 2025, and Ms. Farah Khan took charge on 1 October. Two matters arise at the end of the audit:

(a) Green-leaf purchases of ₹1.40 crore made in 2024-25 were left out of that year's books. They are recorded in 2025-26 and separately disclosed as a prior period item in the statement of profit and loss. Farah signs the representation letter for the whole of 2025-26 but deletes the specific representation on this item: "That was the old MD's mistake. I will not sign for it."

(b) Bonds of ₹6.00 crore are shown as long-term investments; their market value at 31 March 2026 is ₹5.10 crore. Farah readily signs a representation that the company will hold them to maturity in 2031. The records show that the company sold bonds of this kind before maturity in each of the last three years to pay plucking-season wages, and its cash flow forecast shows a shortfall of ₹2.00 crore in July 2026.

Required: Advise the auditor on (a) and (b) under SA 580.

MODEL ANSWER

(a) The prior period item. As per SA 580, the auditor shall request written representations for all periods referred to in the auditor's opinion, and, as SA 710 requires, shall also obtain a specific written representation regarding any prior period item that is separately disclosed in the current year's statement of profit and loss (SM 8.59). Current management may assert that it was not in place when the matter arose, but this fact does not diminish its responsibilities for the financial statements as a whole, and the requirement to request the representations from it still applies (SM 7.35). The representation is requested from Farah, who may make the inquiries she needs to give it. If she does not provide it, the auditor shall discuss the matter with management; re-evaluate the integrity of management and evaluate the effect that this may have on the reliability of representations and audit evidence in general; and take appropriate actions, including determining the possible effect on the opinion in the auditor's report in accordance with SA 705, having regard to the requirement of disclaimer of opinion (SM 7.38).

(b) The bonds. Their classification as long-term investments rests on management's intention. When evaluating judgments and intentions, the auditor may consider the entity's past history in carrying out its stated intentions, its reasons for choosing a particular course of action, its ability to pursue that course, and any other information obtained during the audit that may be inconsistent with management's judgment or intent (SM 7.34). Here the past history (sales before maturity in each of the last three years) and the ability (a shortfall of ₹2.00 crore in July 2026) both point the other way. Where management's intent is important to the valuation basis for investments, a written representation about that intention may be necessary, but it does not provide sufficient appropriate audit evidence on its own for that assertion (SM 7.34). As it is inconsistent with other audit evidence, the auditor shall perform audit procedures to attempt to resolve the matter, for example by asking how the July shortfall will be funded and reading the board minutes. If the matter remains unresolved, the auditor shall reconsider the assessment of management's competence, integrity, ethical values or diligence and determine the effect on the reliability of representations and audit evidence in general (SM 7.37).

Conclusion. (a) The specific representation is required from current management; if it is not provided, the auditor proceeds as above. (b) The signature does not settle the bonds: if the intention is not supported, neither is their classification as long-term nor the valuation basis that rests on it, with market value ₹0.90 crore (₹6.00 crore – ₹5.10 crore) below cost. That is a possible misstatement to be evaluated under SA 450 and, if material, SA 705.

Worked example **"Read our annual report instead"**

Iyer & Associates will sign their report on Tapri's 2025-26 financial statements on 28 May 2026. Two weeks earlier, Dev tells Lakshmi that Tapri will not sign a representation letter this year: "Our annual report contains a statement by the directors, required by law, that they are responsible for preparing the financial statements and that the statements give a true and fair view. It is public and signed, so it is stronger than your private letter. Anything else, Kesar will confirm orally at the closing meeting."

Required: Advise Lakshmi under SA 580.

MODEL ANSWER

Relevant provision. As per SA 580, the written representations shall be in the form of a representation letter addressed to the auditor. If law or regulation requires management to make written public statements about its responsibilities, and the auditor determines that such statements provide some or all of the representations required regarding management's responsibilities, the relevant matters covered by such statements need not be included in the representation letter (SM 7.35). The written representations shall be dated as near as practicable to, but not after, the date of the auditor's report (SM 7.34).

Facts and analysis.

1. **The directors' statement.** Lakshmi must determine whether it provides any of the required representations. At most it covers the representation on the preparation of the financial statements, and only if it matches management's responsibilities as described in the terms of the audit engagement (SM 7.32); the matters it covers may then be left out of the letter.
2. **What it does not cover.** It says nothing of the second required representation: that management has provided the auditor with all relevant information and access as agreed in the terms of the audit engagement, and that all transactions have been recorded and are reflected in the financial statements (SM 7.31). Nor does it give the representations other SAs require, such as those on subsequent events (SA 560), uncorrected misstatements (SA 450) and related parties (SA 550) (SM 7.36). These must be in a letter addressed to Iyer & Associates.
3. **Kesar's oral confirmation.** Responses to inquiries are audit evidence, but SA 580 asks for representations in writing, and a request for written, rather than oral, representations may prompt management to consider the matters more rigorously (SM 7.29). An oral confirmation is not a written representation.

Conclusion. Lakshmi should request a representation letter addressed to the firm and dated as near as practicable to, but not after, 28 May 2026, leaving out only the matters she determines the directors' statement covers. If Tapri still does not provide the representations about management's responsibilities, she shall discuss the matter with management, re-evaluate management's integrity, and disclaim an opinion in accordance with SA 705 (SM 7.38).

Exam angle

In the exam

Where SA 580 appeared, May 2024 to September 2026

In the documents read for this lesson, SA 580 was examined in 16, in every form ICAI uses.

- **Date and period with a change of management, 4 or 5 marks**: May 2024 Q2(b) (4 marks), MTP January 2025 Series II Q6(c) (4 marks), May 2026 Q1(c) (4 marks), MTP May 2026 Series II Q6(a) (5 marks; a letter 20 days early, refused for the half-year before new management): the most repeated SA 580 question in the documents read. The date alone: RTP September 2024 Q15 (a day before the report: appropriate).
- **The contents, 4 or 5 marks.** The letter's "Financial Statements" matters: January 2026 Q2(a) (5 marks). Other representations: May 2025 Q5(b) (5 marks). The responsibilities representations: MTP May 2024 Series II Q2(a) (4 marks); why they are necessary: RTP January 2026 Q16; when to reconfirm: MTP September 2025 Series I Q4(c) (4 marks). Judgments and intentions: MTP September 2026 Series II Q4(b) (5 marks).
- **Reliability**: a representation on non-compliance contradicted by evidence, MTP January 2025 Series I Q1(a) (5 marks). Specialists and "best of its knowledge and belief": MTP May 2026 Series I Q6(a) (5 marks).
- **Multiple choice, 2 marks.** Necessary but not sufficient evidence: May 2025 MCQ 14. Qualifying language acceptable: MTP September 2024 Series II MCQ 8, MTP May 2025 Series II MCQ 5. Representation not provided, the action **not** to take ("treat it as a disagreement and qualify"): May 2026 MCQ 4. Refusal of the responsibilities representations: September 2026 MCQ 6 (answers not yet published).

In the exam

How the marks are earned

ICAI's suggested answers quote the requirement nearly word for word ("as near as practicable to, but not after", "does not diminish such persons' responsibilities") and apply it to the facts in a sentence or two. In change-of-management questions, the date and its reason, the period and its reason, and the conclusion on management's stand each earn marks. On a continued refusal, MTP May 2026 Series II Q6(a) ends "the auditor should consider appropriate modification in the audit report"; for the representations on management's responsibilities, SA 580 itself names that modification: a disclaimer of opinion (SM 7.38).

Trick

Two must-haves, one must-not

The **two must-haves** are the responsibilities representations: preparation, and information plus completeness. Refused or unreliable for integrity reasons: **disclaimer**, never "qualified". The **one must-not** is the date: never after the report. Condition: other representations that are refused lead to SA 705's judgment on the opinion, not automatically to a disclaimer.

Answer frame

A case question on written representations

1. **Relevant provision**: "As per SA 580, ...", the requirement the facts turn on (date, period, form, qualifying language, the two required representations, reliability, refusal, disclaimer).
2. **Facts of the case**: who refused or wrote what, and on what date.

3. **Analysis**: is it one of the two responsibilities representations? Is the date within the rule? Does a change of management change anything (it does not)? Is there an inconsistency to resolve?
4. **Conclusion**: what management must provide, what the auditor must do (discuss, re-evaluate integrity), and the opinion if it is not provided (disclaimer, for the responsibilities representations).

"Explain the date of and period covered by written representations"

Point	What earns the mark
Date	As near as practicable to, but not after, the date of the auditor's report
Why	Necessary evidence: the opinion cannot be expressed, nor the report dated, before it; and events up to the report date matter
Period	All financial statements and period(s) referred to in the report
Why	Management reaffirms that earlier representations for prior periods remain appropriate
New management	Not being present does not diminish its responsibilities for the financial statements as a whole; the requirement still applies

Common mistakes

⚠ **Common mistake**

Hall of Shame: the qualified opinion for a missing letter

Management refuses the representation that it has fulfilled its responsibility for preparing the financial statements, and Bunty writes "qualified opinion, disagreement with management". **Fix:** for the two responsibilities representations, SA 580 requires a **disclaimer of opinion** in accordance with SA 705. ICAI's May 2026 MCQ 4, on a refused representation about receivables, lists Bunty's answer as the action not to take even there.

⚠ **Common mistake**

"Management has confirmed it, so no more work"

Treating a written representation as sufficient evidence. **Fix:** written representations are necessary audit evidence but do not provide sufficient appropriate audit evidence on their own; reliable ones do not reduce other evidence the auditor obtains.

⚠ **Common mistake**

"We were not here then"

Accepting representations from new management for only part of the year. **Fix:** representations cover all periods referred to in the report; a change of management does not diminish the responsibilities of current management for the financial statements as a whole.

Practice

Check yourself

1 Case scenario. CA Meera signed and dated her auditor's report on Malwa Biscuits Ltd on 12 August 2026, having been told the representation letter "is on its way". The directors signed the letter the next day and dated it 13 August 2026. Which of the following is correct?

- **A** It is acceptable: a gap of one day is immaterial
- **B** It is acceptable, since the letter is addressed to the auditor and covers all periods in the report
- **C** It is not acceptable: written representations shall not be dated after the auditor's report, because the opinion cannot be expressed, and the report cannot be dated, before the date of the written representations
- **D** It is not acceptable: the letter should be dated at least 15 days before the report

2 Which of the following representations is required by SA 580 itself, so that its refusal leads to a disclaimer of opinion?

- **A** Significant assumptions used in accounting estimates are reasonable
- **B** All transactions have been recorded and are reflected in the financial statements
- **C** Management intends to hold the investments to maturity
- **D** All deficiencies in internal control known to management have been communicated

3 Which of the following statements about written representations is correct? Select all that apply.

- **A** They are audit evidence, similar to responses to inquiries
- **B** A request for written rather than oral representations may prompt management to consider the matters more rigorously
- **C** Reliable written representations reduce the other audit evidence the auditor needs
- **D** They include the financial statements and the supporting books of account

More than one answer may be right.

4 Case scenario. Shree Spices Ltd's representation letter opens "to the best of our knowledge and belief". Because the CFO is travelling, it is signed by the office administrator, who had no part in preparing the financial statements and does not know the matters represented. Which is correct?

- **A** Accept it: qualifying language is always acceptable
- **B** Accept it: any officer of the company may sign the representations
- **C** Do not accept it as it stands: the qualifying wording is acceptable only if the auditor is satisfied that the representations are made by those with appropriate responsibilities and knowledge of the matters, so request them from such management
- **D** Reject it for the words "to the best of our knowledge and belief", whoever signs it

5 Indus Pipes Ltd's engagement letter was signed in 2023 by its then CFO, who has since left; a new CFO took charge in 2025. What may the auditor do about management's responsibilities when obtaining the written representations for 2025-26?

A Nothing more: the 2023 letter binds the company until the auditor changes

B Ask management to reconfirm, in the written representations, its acknowledgement and understanding of those responsibilities

C Ask the former CFO to sign the 2025-26 letter, since he signed the terms

D Obtain a fresh engagement letter instead, which makes the written representations unnecessary

Answers: the answer key at the end of this lesson.

Recap

- Written representation: a written statement by management to the auditor to confirm certain matters or support other evidence; not the financial statements, assertions or books.
- Necessary audit evidence, like responses to inquiries; never sufficient on its own; reliable ones do not reduce other evidence.
- Objectives: obtain the responsibilities representations, support other evidence, respond appropriately to representations given or refused.
- The two required representations: responsibility for preparing the financial statements fulfilled; all information and access provided and all transactions recorded.
- "To the best of our knowledge and belief" is acceptable if made by those with appropriate responsibilities and knowledge.
- Date as near as practicable to, but not after, the report date; cover all periods in the report, even after a change of management; form: a letter addressed to the auditor.
- Inconsistent: resolve, then reconsider integrity. Refused: discuss, re-evaluate integrity, SA 705.
- Disclaimer when the responsibilities representations are refused, or unreliable because of sufficient doubt about management's integrity. (No signature, no surgery.)

Answer key · Check yourself

1 **C It is not acceptable: written representations shall not be dated after the auditor's report, because the opinion cannot be expressed, and the report cannot be dated, before the date of the written representations**

SA 580: as near as practicable to, but not after, the date of the auditor's report. Here the opinion was expressed before necessary audit evidence existed. No "15 days" rule exists; an early letter would also miss events up to the report date.

2 **B All transactions have been recorded and are reflected in the financial statements**

The two required representations are on preparation of the financial statements, and on information provided and completeness of transactions. The others support other evidence.

3 **A They are audit evidence, similar to responses to inquiries; B A request for written rather than oral representations may prompt management to consider the matters more rigorously**

Reliable representations do not reduce other evidence, and the definition excludes financial statements, assertions and books.

4 **C Do not accept it as it stands: the qualifying wording is acceptable only if the auditor is satisfied that the representations are made by those with appropriate responsibilities and knowledge of the matters, so request them from such management**

The words are not the problem; the signatory is. SA 580 requires representations from management with appropriate responsibilities for the financial statements and knowledge of the matters concerned, and accepts "to the best of our knowledge and belief" on that condition.

5 **B Ask management to reconfirm, in the written representations, its acknowledgement and understanding of those responsibilities**

Reconfirmation is particularly appropriate when those who signed the terms no longer have the relevant responsibilities, or the terms were prepared in a previous year: both apply here. Representations come from current management, and nothing replaces the two required ones.

7.5 SA 260 and SA 265: communicating with those charged with governance

Who those charged with governance are, what SA 260 makes the auditor tell them and how, and which control deficiencies SA 265 sends in writing to them and to management, with what content.

In plain words

Kesar wants to be the post office

Iyer & Associates are planning the 2025-26 audit of Tapri Tea Co. Ltd. Tapri is listed, so its board has an **audit committee**, chaired by an independent director, Mrs. Rukmini Nair.

> **Kesar:** Lakshmi-ji, whatever you want to tell the board, tell me. I will pass it on.
>
> **Lakshmi:** Some things I must tell the audit committee myself, Kesar-ji. A few of them are about management.
>
> **Bunty:** *(whispering)* Ma'am, for the control weaknesses, can I just write "controls are weak"?
>
> **Lakshmi:** One line tells them nothing, Bunty. What is weak, what could go wrong, and why they are hearing it from us.

Those charged with governance are the people who oversee where the company is going and whether it is accountable, including how its accounts are prepared: at Tapri, the board and its audit committee. Management runs the company; they watch over it.

SA 260 makes the auditor talk with them, both ways, all through the audit. At the start the auditor explains what an audit does and does not do, and how and when it will be done, including the biggest risks. During and at the end, the auditor reports what it found that matters to them: doubtful accounting choices, difficulties, disputes, what may change the report. For a listed company, the auditor also confirms its independence and lists its fees. And the committee tells the auditor what it knows.

SA 265 deals with one kind of finding: weaknesses in **internal control** (the entity's own checks). The serious ones, **significant deficiencies**, go in writing, on time, to those charged with governance and to management, saying what is wrong, what it could lead to, and that the audit was not designed to give an opinion on internal control.

Think of it like

The structural engineer and the housing society

A housing society hires an engineer to certify its building. He tells the society's committee, not just the builder, what he will check and when, and asks them about the leaks they have noticed. At the end he tells them what he found. For a cracked beam he does not say "building weak": he writes what is cracked, what could happen, and that he inspected to certify the building, not to vouch for every pipe. The builder gets a copy too, unless the builder is the problem.

Key idea

SA 260: two-way communication with those charged with governance, throughout the audit, on the auditor's responsibilities, the planned scope and timing, significant findings and, for listed entities, independence; in writing where oral would not be adequate, and always documented. SA 265: significant deficiencies in internal control go in writing, on a timely basis, to those charged with governance and to management, with a description, their potential effects and their context.

How it works

Part A: SA 260, communication with those charged with governance

WHY TWO-WAY COMMUNICATION MATTERS

An effective two-way communication is important in assisting (SM 7.39–7.40):

- (a) the auditor and those charged with governance in understanding matters related to the audit in context, and in developing a constructive working relationship, while maintaining the auditor's independence and objectivity;
- (b) the auditor in obtaining from those charged with governance information relevant to the audit (for example, understanding the entity and its environment, identifying sources of audit evidence, and information about specific transactions or events); and
- (c) those charged with governance in fulfilling their responsibility to oversee the financial reporting process, thereby reducing the risks of material misstatement.

WHO THEY ARE

Definition

Those charged with governance

The person(s) or organization(s) (e.g., a corporate trustee) with responsibility for overseeing the strategic direction of the entity and obligations related to the accountability of the entity. This includes overseeing the financial reporting process. For some entities, those charged with governance may include management personnel, for example, executive members of a governance board of a private or public sector entity, or an owner-manager (SM 7.40).

Governance structures vary with culture, law, size and ownership (SM 7.40–7.41):

- some entities have a supervisory board separate from the executive board; in others, one board does both;
- sometimes those charged with governance hold positions integral to the entity's legal structure, such as company directors;
- some or all of them may be involved in managing the entity, or they may be different persons from management;
- in most entities governance is the collective responsibility of a governing body: a board of directors, supervisory board, partners, proprietors, committee of management, trustees or equivalent; in some smaller entities one person, such as an owner-manager or a sole trustee;

- where the structure is not clearly defined (some family-owned entities and not-for-profit organisations), the auditor may need to discuss and agree with the engaging party the persons with whom to communicate. The understanding of governance obtained under SA 315 is relevant, and the appropriate persons may vary with the matter.

SCOPE AND OBJECTIVES

SA 260 deals with the auditor's responsibility to communicate with those charged with governance in an audit of financial statements. The objectives of the auditor are (SM 7.41):

- (a) to communicate clearly the responsibilities of the auditor in relation to the financial statement audit, and an overview of the planned scope and timing of the audit;
- (b) to obtain from those charged with governance information relevant to the audit;
- (c) to provide them with timely observations arising from the audit that are significant and relevant to their responsibility to oversee the financial reporting process; and
- (d) to promote effective two-way communication.

The auditor shall **determine the appropriate person(s)** within the entity's governance structure with whom to communicate (SM 7.42).

WHAT MUST BE COMMUNICATED

(a) The auditor's responsibilities, including that (SM 7.42):

- the auditor is responsible for forming and expressing an opinion on the financial statements prepared by management with the oversight of those charged with governance; and
- the audit does not relieve management or those charged with governance of their responsibilities.

(b) Planned scope and timing: an overview, which includes communicating the **significant risks** identified by the auditor (SM 7.43).

(c) Significant findings from the audit (SM 7.43):

1. The auditor's views about **significant qualitative aspects** of the entity's accounting practices, including accounting policies, accounting estimates and financial statement disclosures; when applicable, explaining why a significant accounting practice that is acceptable under the framework is not considered most appropriate to the entity's particular circumstances.
2. **Significant difficulties**, if any, encountered during the audit.
3. Unless all of those charged with governance are involved in managing the entity: (i) significant matters arising during the audit that were discussed, or subject to correspondence, with management; and (ii) the **written representations** the auditor is requesting.
4. Circumstances that affect the **form and content of the auditor's report**, if any.
5. Any other significant matters arising during the audit that, in the auditor's professional judgment, are relevant to the oversight of the financial reporting process.

(d) Independence, for listed entities. The auditor shall communicate (SM 7.43–7.44):

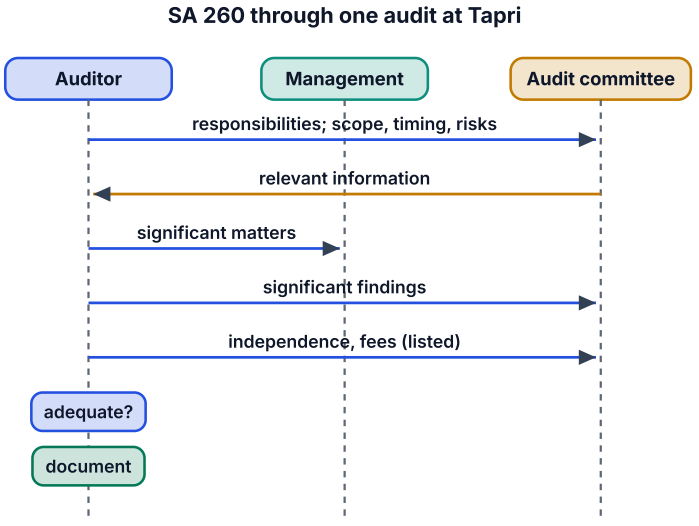
- (a) a statement that the engagement team and others in the firm as appropriate, the firm and, when applicable, network firms have complied with relevant ethical requirements regarding

independence; and

- (b)(i) all relationships and other matters between the firm, network firms and the entity that, in the auditor's professional judgment, may reasonably be thought to bear on independence, including **total fees** charged during the period for audit and non-audit services provided by the firm and network firms to the entity and components controlled by it, allocated to categories that help those charged with governance assess the effect of the services on independence; and (ii) the related **safeguards** applied to eliminate identified threats or reduce them to an acceptable level.

HOW: THE COMMUNICATION PROCESS

- The auditor shall communicate the **form, timing and expected general content** of communications (SM 7.44).
- Significant findings go **in writing** if, in the auditor's professional judgment, oral communication would not be adequate; written communications need not include all matters that arose during the audit (SM 7.44).
- Independence, for listed entities, is communicated in writing (SM 7.44).
- Communication shall be on a **timely** basis (SM 7.44).
- **Adequacy.** The auditor shall evaluate whether the two-way communication has been adequate for the purpose of the audit. If not, the auditor shall evaluate the effect on the assessment of the risks of material misstatement and on the ability to obtain sufficient appropriate audit evidence, and take appropriate action (SM 7.44).
- **Documentation.** Matters communicated orally are included in the audit documentation, with **when and to whom** they were communicated; for written communications, a copy is retained (SM 7.45).



Arrows run both ways: the committee is a source of evidence as well as an audience. Significant findings go in writing where oral communication would not be adequate; independence and fees (listed entities) always in writing. The last two boxes are the auditor's own steps: evaluate whether the two-way communication was adequate, then document (oral matters with when and to whom; a copy of written ones).

Part B: SA 265, communicating deficiencies in internal control

WHY, AND WHAT SA 265 COVERS

Communicating significant deficiencies in writing to those charged with governance reflects the importance of these matters and assists them in fulfilling their oversight responsibilities (SM 7.45). SA 265 deals with the auditor's responsibility to communicate appropriately to those charged with governance and management the deficiencies in internal control the auditor has identified in an audit. The auditor obtains an understanding of internal control relevant to the audit to design appropriate procedures, **not to express an opinion on its effectiveness**, and may identify deficiencies at any stage of the audit (SM 7.46; see internal control and testing it).

Objective. To communicate appropriately to those charged with governance and management deficiencies in internal control that the auditor has identified during the audit and that, in the auditor's professional judgment, are of sufficient importance to merit their respective attentions (SM 7.46).

TWO DEFINITIONS

Definition

Deficiency in internal control

This exists when (i) a control is designed, implemented or operated in such a way that it is unable to prevent, or detect and correct, misstatements in the financial statements on a timely basis; or (ii) a control necessary to prevent, or detect and correct, misstatements in the financial statements on a timely basis is missing (SM 7.46).

Definition

Significant deficiency in internal control

A deficiency or combination of deficiencies in internal control that, in the auditor's professional judgment, is of sufficient importance to merit the attention of those charged with governance (SM 7.46–7.47).

Significance depends not only on whether a misstatement has actually occurred, but also on the **likelihood** that one could occur and its potential **magnitude**. So significant deficiencies may exist even though the auditor has not identified misstatements during the audit (SM 7.47).

MATTERS THE AUDITOR MAY CONSIDER IN JUDGING SIGNIFICANCE (SM 7.47–7.48)

- The likelihood of the deficiencies leading to material misstatements in the financial statements in the future.
- The susceptibility to loss or fraud of the related asset or liability.
- The subjectivity and complexity of determining estimated amounts, such as fair value accounting estimates.
- The financial statement amounts exposed to the deficiencies.
- The volume of activity that has occurred or could occur in the account balance or class of transactions exposed to the deficiency or deficiencies.
- The importance of the controls to the financial reporting process, for example:

- General monitoring controls (such as oversight of management).
- Controls over the prevention and detection of fraud.
- Controls over the selection and application of significant accounting policies.
- Controls over significant transactions with related parties.
- Controls over significant transactions outside the entity's normal course of business.
- Controls over the period-end financial reporting process (such as controls over non-recurring journal entries).

- The cause and frequency of the exceptions detected as a result of the deficiencies in the controls.
- The interaction of the deficiency with other deficiencies in internal control.

INDICATORS OF SIGNIFICANT DEFICIENCIES (SM 7.48)

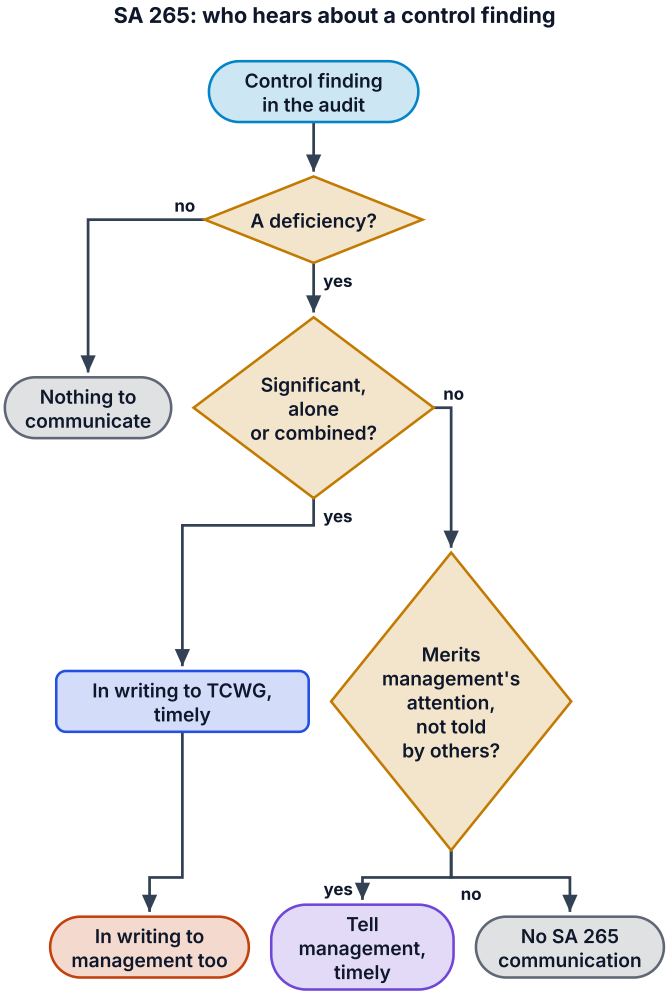
- Evidence of ineffective aspects of the control environment, such as:
  - Indications that significant transactions in which management is financially interested are not being appropriately scrutinised by those charged with governance.
  - Identification of management fraud, whether or not material, that was not prevented by the entity's internal control.
  - Management's failure to implement appropriate remedial action on significant deficiencies previously communicated.
- Absence of a risk assessment process within the entity where such a process would ordinarily be expected to have been established.
- Evidence of an ineffective entity risk assessment process, such as management's failure to identify a risk of material misstatement that the auditor would expect the entity's risk assessment process to have identified.
- Evidence of an ineffective response to identified significant risks (e.g., absence of controls over such a risk).
- Misstatements detected by the auditor's procedures that were not prevented, or detected and corrected, by the entity's internal control.
- Disclosure of a material misstatement due to error or fraud as prior period items in the current year's Statement of Profit and Loss.
- Evidence of management's inability to oversee the preparation of the financial statements.

DETERMINING AND COMMUNICATING

The auditor shall determine, on the basis of the audit work performed, whether one or more deficiencies have been identified and, if so, whether, individually or in combination, they constitute significant deficiencies (SM 7.48). Then (SM 7.49):

- **To those charged with governance**: significant deficiencies, **in writing, on a timely basis**.
- **To management** at an appropriate level of responsibility, on a timely basis: (a) **in writing**, the significant deficiencies communicated or to be communicated to those charged with governance, unless it would be inappropriate to communicate directly to management in the circumstances; and (b) other deficiencies identified that have not been communicated to management by other

parties and that, in the auditor's judgment, are of sufficient importance to merit management's attention.



TCWG: those charged with governance. Orange: a significant deficiency goes in writing to TCWG and, unless that would be inappropriate in the circumstances, in writing to management at an appropriate level. Violet: other deficiencies worth management's attention, not already reported to it by others.

Formats and formulas

What the written communication of significant deficiencies must contain (SM 7.49)

Reproduce the two contents and the three explanations, in this order.

The auditor shall include:

- (a) a **description** of the deficiencies and an explanation of their **potential effects**; and
- (b) **sufficient information** to enable those charged with governance and management to understand the context of the communication.

In particular, the auditor shall explain that:

- (i) the **purpose** of the audit was for the auditor to express an opinion on the financial statements;

- (ii) the audit included consideration of internal control relevant to the preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but **not for the purpose of expressing an opinion on the effectiveness of internal control**; and
- (iii) the matters being reported are **limited** to those deficiencies that the auditor has identified during the audit and has concluded are of sufficient importance to merit being reported to those charged with governance.

SA 260 and SA 265 side by side

Point	SA 260	SA 265
Deals with	Communication with those charged with governance in an audit	Communicating identified internal control deficiencies to those charged with governance and management
Direction	Two-way	Auditor to them
What	Responsibilities; scope and timing; significant findings; independence (listed)	Significant deficiencies; other deficiencies worth management's attention
Form	Written where oral is not adequate; independence (listed) in writing	Significant deficiencies always in writing
Timing	Timely	Timely

Worked examples

Worked example **Who hears what at Tapri**

In the 2025-26 audit of Tapri Tea Co. Ltd (listed):

- The cold-chain division delayed giving its records to the audit team by five weeks, despite repeated requests.
- Tapri depreciates its delivery scooters on the straight-line method, acceptable under the framework, though the scooters lose most of their usefulness in their first two years.
- Lakshmi and Dev Malhotra, the CFO, exchanged emails over the provision for a food-safety case; Lakshmi is requesting written representations on it.
- Besides the audit fee of ₹1.20 crore, Iyer & Associates charged Tapri ₹0.25 crore for the tax audit and ₹0.08 crore for certificates to lenders.

Kesar, the managing director, wants everything told to him orally "to save the committee's time".

Required: Advise Lakshmi under SA 260 on (i) with whom to communicate; (ii) the significant findings to communicate; (iii) the independence communication; and (iv) the form and documentation.

MODEL ANSWER

(i) With whom. As per SA 260, the auditor shall determine the appropriate person(s) within the entity's governance structure with whom to communicate. Tapri's board, through its audit committee, oversees the financial reporting process; Kesar is part of management. Not all of those charged with governance manage Tapri, so Lakshmi should communicate with the audit committee, not through Kesar alone.

(ii) Significant findings. SA 260 requires communication of the auditor's views about significant qualitative aspects of accounting practices, explaining, when applicable, why a significant practice acceptable under the framework is not considered most appropriate in the entity's circumstances; significant difficulties encountered; and, unless all of those charged with governance are involved in managing the entity, significant matters discussed or corresponded on with management and the written representations requested; circumstances affecting the form and content of the report; and other significant matters relevant to oversight. Here:

1. **Qualitative aspects**: the straight-line method for scooters, with Lakshmi's explanation of why it is not the most appropriate given how quickly they lose usefulness.
2. **Significant difficulties**: the five-week delay in access to the cold-chain records.
3. **Matters discussed with management**: the email correspondence with Dev on the food-safety provision; and the **written representations** she is requesting.
4. Any circumstance that will affect the form and content of her report, if one arises.

(iii) Independence. Tapri is listed, so Lakshmi shall communicate, in writing, a statement that the engagement team, others in the firm as appropriate and the firm have complied with relevant ethical requirements regarding independence; all relationships and other matters that may reasonably be thought to bear on independence, including the total fees for the period allocated to categories (audit ₹1.20 crore, tax audit ₹0.25 crore, certification ₹0.08 crore: ₹1.53 crore in all); and the related safeguards applied.

(iv) Form and documentation. Lakshmi shall communicate the form, timing and expected general content of her communications and communicate on a timely basis. Kesar's preference does not decide the form: significant findings go in writing where, in her judgment, oral communication would not be adequate, and the independence matters go in writing. She shall document matters communicated orally, with when and to whom, and keep copies of written communications. She shall also evaluate whether the two-way communication has been adequate for the purpose of the audit.

Worked example **Bunty's confident letter**

During the 2025-26 audit, Bunty finds:

(a) The 340 manual journal entries posted in March 2026, totalling ₹48.60 crore, were prepared and approved by the same senior accountant; the system allows posting with no second approval. Bunty tested 40 of them and found no misstatement.

(b) The head office petty cash of ₹20,000 is counted only by the cashier who holds it.

(c) Kesar approves his own travel claims (₹18 lakh in the year); the audit committee does not review them.

Bunty drafts a letter addressed only to Dev Malhotra, the CFO, adding that "Dev can share it with the audit committee if he wishes". It reads: "Our audit found Tapri's internal controls to be effective, except for two matters. First, the head office petty cash is counted only by the cashier who holds it, so a shortage could go

unnoticed. Second, the managing director approves his own travel claims and nobody reviews them, so personal expenses could be charged to the company. The March journal entries were tested and no misstatement was found, so they are not reported."

Required: Identify what is wrong with Bunty's draft and advise Lakshmi under SA 265 on what should be communicated, to whom and in what form.

MODEL ANSWER

Relevant provision. As per SA 265, a deficiency in internal control exists when a control is designed, implemented or operated in such a way that it cannot prevent, or detect and correct, misstatements on a timely basis, or when a necessary control is missing. A significant deficiency is a deficiency, or combination of deficiencies, that in the auditor's professional judgment is of sufficient importance to merit the attention of those charged with governance; its significance depends on the likelihood and potential magnitude of misstatement, so it may exist even though no misstatement has been identified. Significant deficiencies shall be communicated in writing, on a timely basis, to those charged with governance and, in writing, to management unless inappropriate in the circumstances; other deficiencies meriting management's attention, not communicated by others, go to management. The written communication shall describe the deficiencies, explain their potential effects, give sufficient information for context, and explain the purpose and limits of the audit.

Analysis.

- **(a) Journal entries.** A necessary control, independent review of period-end manual entries, is missing: a deficiency. Controls over the period-end financial reporting process, such as controls over non-recurring journal entries, are among the matters the Study Material lists as important to financial reporting; the amount exposed (₹48.60 crore) is large and the control also guards against fraud. Bunty's clean sample does not make it insignificant. In Lakshmi's judgment it is a **significant deficiency**.
- **(b) Petty cash.** The control is designed so that it cannot detect a misstatement by the person it should check: a deficiency. With ₹20,000 exposed, it is not of sufficient importance to merit the committee's attention, but it merits management's: communicate it to management on a timely basis.
- **(c) Kesar's claims.** Significant transactions in which management is financially interested, not appropriately scrutinised by those charged with governance, are an indicator of a significant deficiency in the control environment: a **significant deficiency**. Lakshmi should consider whether communicating directly to management would be inappropriate in the circumstances; it goes in writing to the audit committee in any case.

Bunty's draft. It is not proper, although each item it reports is described with its effect:

1. **Audience and form.** The significant deficiencies, (a) and (c), shall be communicated by the auditor in writing to those charged with governance, here the audit committee, on a timely basis. A letter to the CFO that he may pass on if he wishes does not discharge this. They also go in writing to management unless that would be inappropriate in the circumstances, which Lakshmi considers for (c) because it concerns the managing director's own claims.
2. **An opinion on internal control.** "Our audit found Tapri's internal controls to be effective" expresses an opinion the audit does not give. The letter shall instead explain that the purpose of the audit was for the auditor to express an opinion on the financial statements; that the audit included consideration of internal control relevant to the preparation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of internal control; and that the matters being reported are limited to

those deficiencies identified during the audit that the auditor has concluded are of sufficient importance to merit being reported to those charged with governance.

3. **The omitted deficiency.** Leaving out (a) because the sample found no misstatement is wrong: significance depends not only on whether a misstatement has actually occurred but also on its likelihood and potential magnitude. (a) shall be described with its potential effect, for example that unreviewed period-end entries could misstate profit, by fraud or error, without detection.
4. **A misplaced item.** (b) is not a significant deficiency: it goes to management as another deficiency meriting its attention, not into the communication to those charged with governance.

Conclusion. Lakshmi should communicate (a) and (c) in writing, on a timely basis, to the audit committee, each described with its potential effects and with sufficient information for context, including the three explanations in point 2; communicate them in writing to management as well, unless that is inappropriate for (c); and communicate (b) to management. Highlighting the importance of each control, the letter may suggest that responsibility be fixed for adhering to it.

Exam angle

In the exam

Where SA 260 and SA 265 appeared, May 2024 to September 2026

In the documents read for this lesson, SA 260 was examined in 4 and SA 265 in 11, almost always as a descriptive part of 4 or 5 marks.

- **SA 260.** Who are those charged with governance: January 2025 Q5(b) (5 marks). Significant findings to communicate: MTP September 2025 Series II Q3(b) (5 marks; difficulties, and a practice acceptable but not most appropriate), MTP September 2026 Series II Q5(b) (5 marks). Independence for a listed entity with joint auditors: May 2026 Q5(c) (4 marks). The Study Material's case study MCQ 5: oral matters are documented with when and to whom.
- **SA 265, definitions and judgment.** Deficiency and significant deficiency: September 2025 Q2(a) (5 marks). Matters to consider for significance: MTP September 2024 Series I Q5(a) (5 marks). Indicators: MTP May 2025 Series I Q3(b) and Series II Q3(b) (5 marks each). Objective and communication: MTP January 2026 Series I Q3(b) (5 marks), RTP May 2026 Q16.
- **SA 265, the one-liner.** A significant deficiency reported in one sentence is not proper communication: September 2024 Q6(a) OR (4 marks, related party transactions), MTP May 2024 Series II Q6(b) (4 marks, sales), RTP May 2025 Q15 (inventory verification; the Study Material's Test Your Understanding 6).
- **Multiple choice.** Significant deficiencies go in writing to those charged with governance, not an oral briefing: MTP January 2026 Series II MCQ 15. Content of the communication, without an opinion on internal control: RTP May 2024 MCQ 2.4.

In the exam

How the marks are earned

The one-liner questions are answered in ICAI's suggested answers in one pattern: the communication must describe the deficiency, explain its potential effects and give enough information for context; the one-liner does neither, so it "is not proper"; then the potential effect for the facts (misstatement of inventories, of related party transactions), ending with the suggestion that responsibility be fixed for adhering to the control.

Trick

RSF + I, and the three Ps

SA 260's matters: **R**esponsibilities, **S**cope and timing (with significant risks), **F**indings, plus **I**ndependence for listed entities. SA 265's three explanations: **P**urpose (an opinion on the financial statements), **P**artial look (internal control considered to design procedures, not to opine on it), **P**icked items (only the deficiencies identified and judged worth reporting). Condition: the three Ps belong to the written communication of significant deficiencies.

Answer frame

A one-liner question ("Is the communication proper?")

1. **Provision**: SA 265's definition of significant deficiency, and the required content: description, potential effects, sufficient information for context (and the three explanations).
2. **Facts**: quote the one-liner.
3. **Analysis**: it states the deficiency but explains no effect and gives no context.
4. **Conclusion**: "not proper"; then write the missing parts for the facts, and suggest fixing responsibility for the control.

"What significant findings should be communicated?"

The five points in the Study Material's order: qualitative aspects (with "acceptable but not most appropriate"); significant difficulties; unless all of them manage the entity, matters discussed with management and written representations requested; circumstances affecting the report; other significant matters relevant to oversight. Apply each to the facts in a line.

"Explain the independence communication for a listed entity"

The statement of compliance (engagement team, firm, network firms); all relationships and other matters bearing on independence, with total fees for audit and non-audit services by category; the safeguards applied. In writing.

Common mistakes

Common mistake

Hall of Shame: "controls are weak"

Reporting a significant deficiency in one line. **Fix:** describe it, explain its potential effects, give enough information for context, and explain the purpose and limits of the audit.

Common mistake

"No misstatement found, so not significant"

Fix: significance depends on the likelihood and potential magnitude of misstatement, not only on whether one occurred: a significant deficiency may exist although the auditor found no misstatement.

⚠ **Common mistake**

Telling only the managing director

Treating management as the only audience. **Fix:** SA 260 asks the auditor to determine the appropriate persons within the governance structure; matters such as those discussed with management and the written representations requested go to those charged with governance unless all of them manage the entity, and significant deficiencies go to them in writing.

⚠ **Common mistake**

An opinion on internal control by accident

Writing "internal control is effective except for..." in the letter. **Fix:** the communication must say the audit considered internal control to design procedures, **not** to express an opinion on its effectiveness.

Practice

Check yourself

1 Case scenario. Last year the auditor of Malabar Spices Ltd reported in writing to its audit committee a significant deficiency: the same clerk records supplier invoices and releases payments. This year nothing has changed; the finance head says "we are working on it". Extended testing of payments found no misstatement. Which of the following is correct under SA 265?

- A Nothing need be communicated this year: the committee already knows, and no misstatement was found
- B An oral reminder to the finance head is enough, since the matter was reported in writing last year
- C Management's failure to implement appropriate remedial action on a significant deficiency previously communicated is itself an indicator of a significant deficiency; it is communicated in writing to those charged with governance on a timely basis
- D The deficiency ceases to be significant once management acknowledges it

2 Case scenario. Rana Fabrics Pvt Ltd has two directors, the brothers who own it and run it day to day; there is no other governance body. Which of the following significant findings is the auditor NOT required to communicate to those charged with governance under SA 260?

- A Significant difficulties encountered during the audit
- B The auditor's views about significant qualitative aspects of the entity's accounting practices
- C The written representations the auditor is requesting
- D Circumstances that affect the form and content of the auditor's report

3 In the audit of a listed company, which must the auditor's independence communication include? Select all that apply.

- **A** A statement that the engagement team, the firm and network firms have complied with relevant ethical requirements regarding independence
- **B** Total fees for audit and non-audit services, allocated to appropriate categories
- **C** The safeguards applied to eliminate threats or reduce them to an acceptable level
- **D** An opinion on the effectiveness of the company's internal control

More than one answer may be right.

4 Case scenario. CA Joshi, auditor of Konkan Ports Ltd (listed), emails her significant findings to the audit committee. She tells the committee chair over the phone about a significant difficulty in getting records, and about her firm's independence and fees. Which of the following does SA 260 require? Select all that apply.

- **A** Retain a copy of the email as part of the audit documentation
- **B** Document the matters told over the phone, with when and to whom they were communicated
- **C** Communicate the independence matters in writing
- **D** Have the chair sign a note of every oral communication

More than one answer may be right.

5 Case scenario. Shanti Trust, a family-run charitable trust, has no defined governance structure. With whom should its auditor communicate under SA 260?

- **A** Only the accountant who keeps the books
- **B** The persons the auditor discusses and agrees with the engaging party, using the understanding of governance obtained under SA 315
- **C** Nobody, as SA 260 applies only to companies
- **D** The donors, since they provide the funds

Answers: the answer key at the end of this lesson.

Recap

- Those charged with governance: the persons overseeing the entity's strategic direction and accountability, including the financial reporting process; they may include management (an owner-manager).
- SA 260 objectives: communicate responsibilities and the planned scope and timing; obtain relevant information; give timely significant observations; promote two-way communication.
- Communicate: responsibilities; scope and timing (with significant risks); significant findings (five points); independence and fees for listed entities.
- Process: form, timing and content agreed; in writing where oral is not adequate (independence always, for listed entities); timely; adequacy evaluated; oral matters documented with when and to

whom.

- Deficiency: a control unable to prevent, or detect and correct, misstatements on time, or a necessary control missing. Significant: important enough to merit the attention of those charged with governance.
- Significance rests on likelihood and magnitude: it can exist with no misstatement found.
- Significant deficiencies: in writing, timely, to those charged with governance and (unless inappropriate) management; other deficiencies worth it, to management.
- Letter content: description and potential effects; context; the three Ps. (The engineer writes "cracked beam", never "building weak".)

Answer key · Check yourself

1 **C Management's failure to implement appropriate remedial action on a significant deficiency previously communicated is itself an indicator of a significant deficiency; it is communicated in writing to those charged with governance on a timely basis**

Significance rests on the likelihood and potential magnitude of misstatement, not on whether one was found; the unremedied deficiency, identified again in this audit, goes in writing to those charged with governance, and in writing to management unless that would be inappropriate.

2 **C The written representations the auditor is requesting**

Significant matters discussed with management, and the written representations requested, are communicated "unless all of those charged with governance are involved in managing the entity". Here both directors manage the company, so they already know. The other three findings are communicated in every case.

3 **A A statement that the engagement team, the firm and network firms have complied with relevant ethical requirements regarding independence; B Total fees for audit and non-audit services, allocated to appropriate categories; C The safeguards applied to eliminate threats or reduce them to an acceptable level**

The first three are SA 260's listed-entity requirements; an opinion on internal control is what SA 265 says the audit does not give.

4 **A Retain a copy of the email as part of the audit documentation; B Document the matters told over the phone, with when and to whom they were communicated; C Communicate the independence matters in writing**

Written communication: a copy is retained. Oral communication: documented with when and to whom. For a listed entity, independence is communicated in writing, so a phone call does not discharge it. SA 260 asks for no signature from the chair.

5 **B The persons the auditor discusses and agrees with the engaging party, using the understanding of governance obtained under SA 315**

Where the appropriate persons are not clearly identifiable, the auditor may need to discuss and agree them with the engaging party.

CHAPTER 8

Audit Report

8.1 SA 700: forming an opinion and the auditor's report

How the auditor concludes that the financial statements are true and fair, and the fourteen elements of the written report, heading by heading, in ICAI's order.

In plain words

The one-line report

Bunty hands Lakshmi his draft report on Tapri Tea Co. Ltd.

> **Bunty:** Ma'am, done. "Accounts checked. All OK. Bunty."
>
> **Kesar:** Make it "true and fair, subject to management's explanations". Sab adjust ho jayega.
>
> **Lakshmi:** This page is all the shareholders will ever see of our work. And "subject to" is a phrase a clean opinion never uses.

SA 700 gives the auditor two jobs. The first is **deciding**: has the audit given **reasonable assurance** (high, but not a guarantee) that the accounts as a whole are free from material misstatement? That needs enough good evidence, uncorrected errors too small to matter, and a step back to judge the accounts as a whole. Yes: an **unmodified opinion**, the clean report. No: SA 705.

The second is **telling**: a written report with fixed headings in a fixed order, recognisable anywhere.

Think of it like

The doctor's fitness certificate

A doctor examines you, then writes a certificate in a set form: who it is for, the verdict, the tests done, a signature with registration number, place and date. "Fit, subject to what the patient told me" is no certificate, and it is never dated before the check-up.

Key idea

An unmodified opinion is earned, not assumed: reasonable assurance from sufficient appropriate evidence, immaterial uncorrected misstatements and an evaluation of the statements as a whole. The report says so under SA 700's headings, opinion first, dated no earlier than the evidence is complete.

How it works

SA 700 (Revised), "Forming an Opinion and Reporting on Financial Statements", deals with the auditor's responsibility to form an opinion on the financial statements, and with the form and content of the auditor's report issued as a result of an audit (SM 8.4).

Its requirements aim at an appropriate balance between the need for **consistency and comparability** in auditor reporting globally and the need to increase the value of auditor reporting by making the information in the report **more relevant to users**. The SA promotes consistency, but recognises the

need for **flexibility** to accommodate the particular circumstances of individual jurisdictions. Consistency, when the audit is conducted in accordance with SAs, promotes credibility in the global marketplace by making more readily identifiable those audits conducted in accordance with globally recognised standards; it also helps to promote the user's understanding and to identify unusual circumstances when they occur (SM 8.4).

1. The objectives

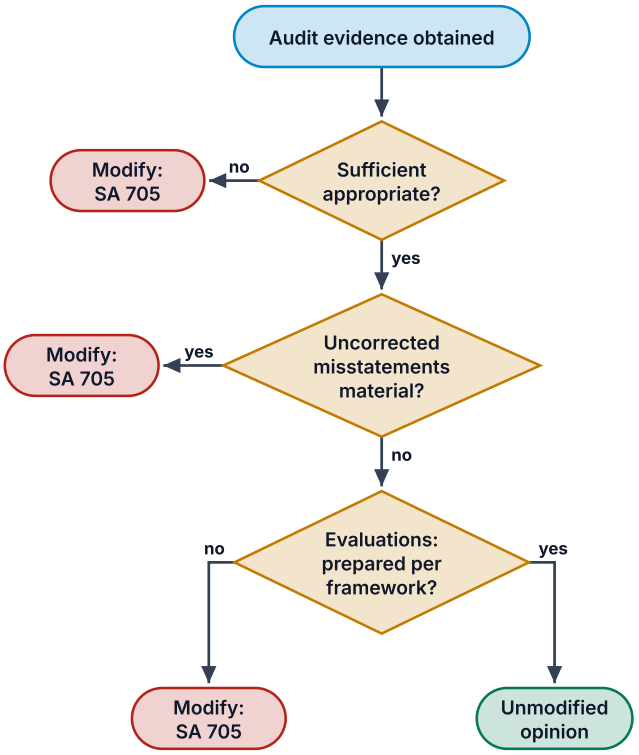
The objectives of the auditor are (SM 8.4): (a) to form an opinion on the financial statements based on an evaluation of the conclusions drawn from the audit evidence obtained; and (b) to express clearly that opinion through a written report. (ICAI's MTP September 2026 answer adds "that also describes the basis for that opinion".)

2. Forming the opinion

The auditor shall form an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework. To do so, the auditor shall conclude whether **reasonable assurance** has been obtained that the financial statements as a whole are free from material misstatement, whether due to fraud or error. That conclusion shall take into account (SM 8.5):

- (a) whether sufficient appropriate audit evidence has been obtained;
- (b) whether uncorrected misstatements are material, individually or in aggregate; and
- (c) the evaluations.

Forming the opinion under SA 700



Green: the clean opinion; rose: each answer that blocks reasonable assurance sends the auditor to SA 705, where the nature of the matter and its pervasiveness pick the modified opinion.

Interactive version: PassBook app, lesson SA 700: forming an opinion and the auditor's report

3. The evaluations: qualitative aspects and bias

The auditor shall evaluate whether the statements are prepared in accordance with the framework's requirements, including the **qualitative aspects of the entity's accounting practices, including indicators of possible bias in management's judgments** (SM 8.5–8.6):

1. Management makes a number of judgments about the amounts and disclosures in the financial statements.
2. SA 260 (Revised) contains a discussion of the qualitative aspects of accounting practices.
3. In considering them, the auditor may become aware of possible bias in management's judgments, and may conclude that the cumulative effect of a **lack of neutrality**, together with the effect of uncorrected misstatements, causes the financial statements as a whole to be materially misstated. Indicators of a lack of neutrality include:
   - (i) **the selective correction of misstatements** brought to management's attention during the audit, for example correcting those that increase reported earnings but not those that decrease them; and
   - (ii) **possible management bias in the making of accounting estimates**.
4. SA 540 addresses possible management bias in accounting estimates. Its indicators are not misstatements of individual estimates, but may affect the evaluation of whether the financial

statements as a whole are free from material misstatement.

4. Specific evaluations

In particular, the auditor shall evaluate whether (SM 8.6):

- (a) the financial statements adequately disclose the significant accounting policies selected and applied;
- (b) the policies selected and applied are consistent with the applicable framework and are appropriate;
- (c) the accounting estimates made by management are reasonable;
- (d) the information presented is relevant, reliable, comparable and understandable;
- (e) the financial statements provide adequate disclosures to enable the intended users to understand the effect of material transactions and events on the information conveyed in the financial statements; and
- (f) the terminology used, including the title of each financial statement, is appropriate.

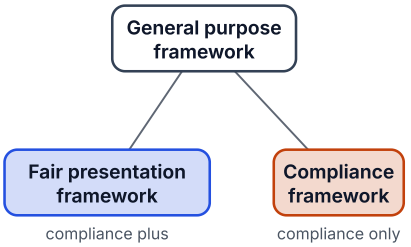
Under a **fair presentation framework**, the auditor shall also evaluate whether the statements achieve fair presentation, considering (a) their overall presentation, structure and content, and (b) whether they, including the notes, represent the underlying transactions and events in a manner that achieves fair presentation. Finally, the auditor shall evaluate whether the statements adequately refer to or describe the applicable framework (SM 8.7).

Definition

Fair presentation framework and compliance framework

General purpose financial statements are financial statements prepared in accordance with a general purpose framework. A **general purpose framework** is a financial reporting framework designed to meet the common financial information needs of a wide range of users; it may be a fair presentation framework or a compliance framework. A **fair presentation framework** requires compliance with the framework and (i) acknowledges, explicitly or implicitly, that management may need to give disclosures beyond those specifically required, or (ii) acknowledges explicitly that management may need to depart from a requirement, only in extremely rare circumstances. A **compliance framework** requires compliance but has neither acknowledgement (SM 8.7–8.8).

Two kinds of general purpose framework



Both require compliance with the framework. The "plus": only the fair presentation framework acknowledges extra disclosures (or, in extremely rare cases, departures) to achieve fair presentation.

5. Form of opinion

The auditor shall express an **unmodified opinion** when the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable framework; otherwise the opinion is modified under SA 705 (SM 8.8–8.9).

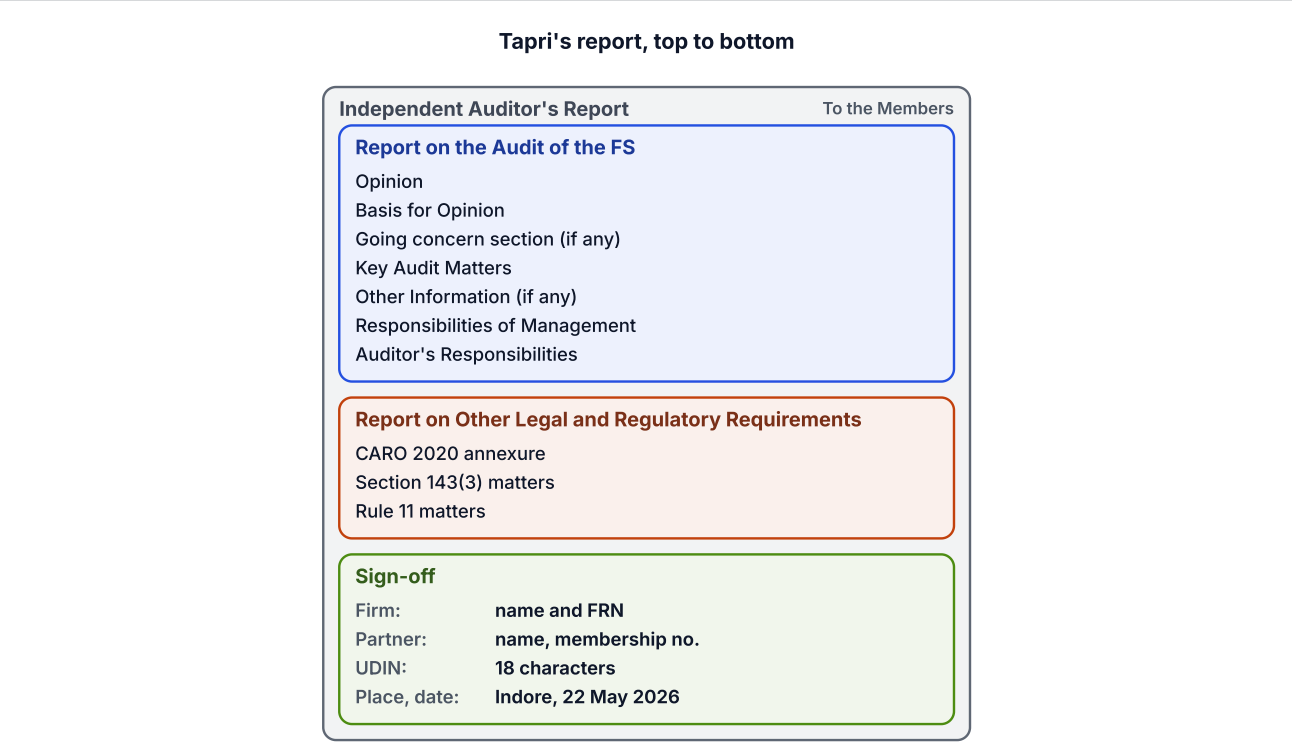
Interactive version: PassBook app, lesson SA 700: forming an opinion and the auditor's report

6. The report: fourteen elements in a fixed order

The report **shall be in writing**. SA 700 requires specific headings, intended to make an auditor's report on an audit conducted in accordance with SAs more recognisable (SM 8.9).

No.	Element	What SA 700 requires
1	Title	Clearly an independent auditor's: "Independent Auditor's Report"
2	Addressee	As the engagement requires: company "To the Members of ..."; firm, its partners
3	Auditor's Opinion	First section, heading "Opinion"
4	Basis for Opinion	Directly after the Opinion
5	Going Concern	Where applicable, as per SA 570 (Revised)
6	Key Audit Matters	Listed entities, or as law requires or the auditor decides: SA 701
7	Other Information	Where applicable, as per SA 720 (Revised)
8	Responsibilities for the Financial Statements	"Responsibilities of Management for the Financial Statements"
9	Auditor's Responsibilities for the Audit of the Financial Statements	Three groups of statements
10	Location of that description	Body, appendix, or an authority's website
11	Other Reporting Responsibilities	"Report on Other Legal and Regulatory Requirements"
12	Signature of the Auditor	Partner's name, firm, membership number, FRN, UDIN
13	Place of Signature	Ordinarily the city where signed
14	Date of the Auditor's Report	No earlier than sufficient appropriate evidence is obtained

An Emphasis of Matter or Other Matter paragraph, when one is needed, goes in a separate section of its own under SA 706.



Blue: the Report on the Audit of the Financial Statements; orange: the law's extra reporting, which follows it; green: the sign-off (signature, place, date). Based on ICAI's illustrative report for a listed company (SM 8.25–8.33).

7. The elements that carry the marks

Opinion. The section shall also (a) identify the entity; (b) state that the financial statements have been audited; (c) identify the title of each statement; (d) refer to the notes, including the summary of significant accounting policies; and (e) specify the date of, or period covered by, each statement. An unmodified opinion uses, unless law or regulation requires otherwise, one of two **equivalent** phrases: the statements "**present fairly, in all material respects**" or "**give a true and fair view**", in accordance with the framework. Phrases such as "**with the foregoing explanation**" or "**subject to**" are not appropriate: they suggest a conditional opinion or a weakening or modification of it (SM 8.10–8.11).

Basis for Opinion, directly following the Opinion, shall (SM 8.12):

1. state that the audit was conducted in accordance with Standards on Auditing;
2. refer to the section of the report that describes the auditor's responsibilities under the SAs;
3. include a statement that the auditor is independent of the entity in accordance with the relevant ethical requirements and has fulfilled the auditor's other ethical responsibilities; and
4. state whether the auditor believes that the evidence obtained is sufficient and appropriate to provide a basis for the opinion.

It provides important context about the auditor's opinion, so it appears even when the opinion is unmodified (SM 8.100).

Responsibilities of Management for the Financial Statements shall describe management's responsibility for (SM 8.15):

- (a) preparing the financial statements in accordance with the applicable financial reporting framework, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error (because of the possible effects of fraud on other aspects of the audit, materiality does not apply to management's acknowledgement of its responsibility for the design, implementation and maintenance of internal control to prevent and detect fraud); and
- (b) assessing the entity's ability to continue as a going concern and whether the use of the going concern basis of accounting is appropriate, as well as disclosing, if applicable, matters relating to going concern. The explanation shall include a description of when the use of the going concern basis of accounting is appropriate.

Describing both responsibilities explains to users the premise of SA 200 on which an audit is conducted; SA 210 requires them to be agreed in an engagement letter or other written agreement. When those responsible for oversight of the financial reporting process differ from management, this section shall also identify them, and its heading shall also refer to "Those Charged with Governance" or an appropriate term (SM 8.15–8.16).

Auditor's Responsibilities for the Audit of the Financial Statements has three groups of statements (SM 8.17–8.20):

1 **The aim.** The section shall state (a) that the objectives of the auditor are to (i) obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and (ii) issue an auditor's report that includes the auditor's opinion; (b) that reasonable assurance is a high level of assurance, but is **not a guarantee** that an audit conducted in accordance with SAs will always detect a material misstatement when it exists; and (c) that misstatements can arise from fraud or error, and either (i) describe that they are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements, or (ii) provide a definition or description of materiality in accordance with the applicable framework.

2 **The work.** It shall further (a) state that, as part of an audit in accordance with SAs, the auditor exercises professional judgment and maintains professional skepticism throughout the audit; and (b) describe an audit by stating that the auditor's responsibilities are: (i) to identify and assess the risks of material misstatement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain sufficient appropriate audit evidence (the risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control); (ii) to obtain an understanding of internal control relevant to the audit in order to design procedures appropriate in the circumstances; (iii) to evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management; (iv) to conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the evidence obtained, whether a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern; (v) under a fair presentation framework, to evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether they represent the underlying transactions and events in a manner that achieves fair presentation. (c) When SA 600 applies, it describes the division of responsibility, indicating the extent to which components audited by other auditors are included (for example the number of branches or subsidiaries they audited).

3 **The talking.** It also shall (a) state that the auditor communicates with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control identified during the audit; (b) for listed entities, state that the auditor provides those charged with governance with a statement of compliance with relevant ethical requirements regarding independence, and communicates all relationships and other matters that may reasonably be thought to bear on independence and, where applicable, related safeguards; and (c) for listed entities and others whose key audit matters are communicated under SA 701, state that from the matters communicated with those charged with governance the auditor determines the key audit matters, and describes them unless law or regulation precludes public disclosure.

This description sits **within the body** of the report, **in an appendix** referred to in the report, or, where law, regulation or national auditing standards expressly permit, at a specific reference to **a website of an appropriate authority** (SM 8.20).

Other reporting responsibilities (SM 8.21):

- Responsibilities in addition to those under the SAs shall be addressed in a separate section headed "**Report on Other Legal and Regulatory Requirements**" (or as appropriate to its content), unless they address the same topics as the elements required by the SAs, in which case they may be presented in the same section.
- If presented in the same section, the report shall clearly differentiate them from the reporting required by the SAs.
- If there is a separate section, the SA elements go under the heading "**Report on the Audit of the Financial Statements**", and the "Report on Other Legal and Regulatory Requirements" follows it.

For a company, that second part carries the reporting under the Companies Act, 2013 and CARO 2020.

Signature, place and date. The engagement partner signs in his personal name and, where a firm is appointed, in the firm's name, with his **membership number**, the **firm registration number** and the **UDIN** (SM 8.21–8.23). The place is ordinarily the city of signing. The date is **no earlier than** the date on which the auditor has obtained sufficient appropriate evidence, including evidence that (i) all the statements, including the notes, have been prepared and (ii) those with the recognised authority have asserted that they have taken responsibility for them. The date tells users that the auditor has considered the effect of events and transactions of which the auditor became aware and that occurred up to that date; events after it fall under SA 560 (SM 8.22).

UDIN (Unique Document Identification Number): a system-generated 18-digit alphanumeric number, introduced by ICAI to curb non-CAs posing as CAs and forging CAs' signatures; it helps secure documents issued by practising CAs. Mandatory for all certificates from 1st February 2019; generated on the UDIN portal by CAs holding a full-time certificate of practice; stated on audit reports and certificates (SM 8.22–8.23, 8.100).

Formats and formulas

Opinion and Basis for Opinion, ready to draft

Reproduce from memory (ICAI's Illustrations 3 and 4, SM 8.12–8.13, 8.26–8.27).

Opinion. We have audited the standalone financial statements of Tapri Tea Co. Ltd ("the Company"), which comprise the Balance Sheet as at 31st March 2026, the Statement of Profit and Loss, the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information. In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March 2026, and profit, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion. We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

ICAI's "according to the explanations given to us" is not a "subject to": the opinion stays unconditional.

Worked examples

Worked example **Bunty's draft, marked in red**

Bunty's draft of the 2025-26 report on Tapri Tea Co. Ltd reads:

1. Title "Audit Report", addressed "To the Board of Directors".
2. Opinion: "In our opinion, subject to the explanations given by management, the financial statements give a true and fair view ...".
3. No Basis for Opinion section, "since the opinion is clean".
4. Signed "Iyer & Associates" only: no partner's name, membership number, UDIN or place.
5. Dated 14 May 2026, the last day of fieldwork; the board approves the financial statements on 22 May 2026.

Point out the deficiencies with reference to SA 700 (Revised).

MODEL ANSWER

Relevant provision. SA 700 (Revised) requires a written report with specific headings: a title indicating an independent auditor; an addressee (for a company, its shareholders); Opinion, directly followed by Basis for Opinion; signature, place and date. An unmodified opinion says "give a true and fair view" or "present fairly, in all material respects", never "subject to". The report is dated no earlier than sufficient appropriate evidence, including evidence that those with the recognised authority have taken responsibility for the financial statements.

Facts and analysis.

1. Title: "Independent Auditor's Report"; addressee: "To the Members of Tapri Tea Co. Ltd".
2. "Subject to" suggests a conditional or weakened opinion; a clean opinion says plainly "give a true and fair view".
3. Basis for Opinion is required with every opinion, as it provides context about the opinion.
4. The engagement partner signs in her personal name and the firm's name, with membership number, firm registration number and UDIN; the place is stated.
5. Until the board approves the statements on 22 May 2026, those with the recognised authority have not taken responsibility for them: 14 May is too early.

Conclusion. The draft does not comply with SA 700 (Revised). Correct each element and date the report no earlier than 22 May 2026.

Worked example **Kesar's favourite corrections**

In Tapri's 2025-26 audit (overall materiality ₹1.50 crore), Iyer & Associates proposed five adjustments. Management booked the two that increase profit (interest on fixed deposits not accrued, ₹31 lakh; an expense entered twice, ₹22 lakh) and refused the three that reduce it (unrecorded credit notes for sales returns, ₹44 lakh; depreciation short-charged, ₹36 lakh; a missed freight accrual, ₹28 lakh). Every estimate sits at the profit-friendly end of an acceptable range.

> **Kesar:** The three you want are only ₹1.08 crore together. Your materiality is ₹1.50 crore. Clean report, please.

Can Lakshmi conclude that the financial statements are free from material misstatement merely because uncorrected misstatements are below materiality? Discuss with reference to SA 700 (Revised).

MODEL ANSWER

Relevant provision. As per SA 700 (Revised), the conclusion on reasonable assurance takes into account the evidence, whether uncorrected misstatements are material individually or in aggregate, and the evaluations, including indicators of possible bias in management's judgments. The cumulative effect of lack of neutrality, together with uncorrected misstatements, may cause the financial statements as a whole to be materially misstated. Indicators include the selective correction of misstatements (correcting those that increase reported earnings but not those that decrease them) and possible bias in accounting estimates.

Facts of the case. Uncorrected misstatements total ₹44 + ₹36 + ₹28 = ₹108 lakh, 72% of materiality. Both corrected items (₹53 lakh) increase profit; all three refused items reduce it; every estimate leans towards higher profit.

Analysis. The arithmetic test is passed, but that is not enough. Correcting only profit-increasing items is the Study Material's own example of lack of neutrality; consistently favourable estimates indicate possible bias. Neither indicator is itself a misstatement, but both bear on the statements as a whole.

Conclusion. No. Lakshmi must evaluate the cumulative effect of the lack of neutrality together with the ₹1.08 crore of uncorrected misstatements. If the financial statements as a whole are materially misstated, she cannot express an unmodified opinion and shall modify it in accordance with SA 705.

Exam angle

In the exam

Where SA 700 appeared, May 2024 to September 2026

SA 700 appeared in 9 of the new-scheme documents read:

- **Descriptive, 3 to 5 marks.** Basis for Opinion: MTP January 2026 Series I Q4(c) (4 marks); May 2026 Q3(b) (1 + 4). Factors in the reasonable assurance conclusion: MTP May 2024 Series II Q4(b) (4). Specific evaluations and fair presentation: MTP May 2026 Series I Q5(a) (5). Management's responsibilities: MTP May 2025 Series I Q4(a) (5). Consistency, flexibility and the objectives: MTP September 2026 Series I Q5(a) (5). Opinion phrases: September 2024 Q4(c) (3).
- **UDIN**: RTP January 2025 Q17; September 2024 MCQ 15 (ICAI's key: UDIN for the export sales certificate, not for balance confirmation letters).
- **Via SA 705**: elements dropped in a disclaimer, January 2025 Q3(c) (4).

Old-scheme RTPs and MTPs asked for the lack-of-neutrality indicators, "with examples".

Trick

Fourteen elements in six moves

"Name it, judge it, flag it, split the blame, add the law, sign it." Title, addressee; opinion, basis; going concern, key audit matters, other information; management's and auditor's responsibilities and where the latter sit; other reporting responsibilities; signature, place, date. Condition: the order for an audit under SAs (SM 8.9); a layout prescribed by law may differ.

Answer frame

"Explain what this section contains"

Heading in quotation marks, its position ("directly following the Opinion section"), its points in ICAI's order and words, then why it matters ("provides important context about the auditor's opinion"). A draft-report case: provision, facts, analysis, the corrected element.

"Distinguish between a fair presentation framework and a compliance framework"

Point	Fair presentation framework	Compliance framework
Compliance with the framework	Required	Required
Disclosures beyond the framework	Acknowledged as possibly necessary	No such acknowledgement
Departure from a requirement	Acknowledged explicitly, extremely rare	No such acknowledgement
Auditor's extra evaluation	Whether fair presentation is achieved	Not required

Common mistakes

Common mistake

Hall of Shame: the clean opinion "subject to" Kesar's explanations

Fix: "give a true and fair view" or "present fairly, in all material respects"; "subject to" suggests a conditional opinion (SM 8.11).

Common mistake

"The opinion is clean, so no Basis for Opinion"

Fix: the Basis for Opinion section is in every report under SA 700, modified or not (SM 8.12, 8.100).

Common mistake

Dating the report on the last day of fieldwork

Fix: no earlier than sufficient appropriate evidence, including that those with the recognised authority have taken responsibility for the statements (SM 8.22).

Practice

Check yourself

1 Case scenario. CA Rohan Desai audits Nagpur Namkeen Ltd: evidence sufficient and appropriate, uncorrected misstatements immaterial, evaluations clear. Which opinion sentence is appropriate?

- **A** "Subject to the explanations given by management, the financial statements give a true and fair view ..."
- **B** "With the foregoing explanation, the financial statements present fairly, in all material respects, ..."
- **C** "The accompanying financial statements give a true and fair view of ... in accordance with [the framework]."
- **D** "Except for the matters explained to us orally, the financial statements give a true and fair view ..."

2 Fieldwork on Masala Mills Ltd ends on 12 May 2026, its board approves the financial statements on 18 May, and the last evidence (a lawyer's reply) arrives on 21 May. What is the earliest date the report may carry?

- **A** 31 March 2026
- **B** 12 May 2026
- **C** 18 May 2026
- **D** 21 May 2026

3 Which statements belong in the Basis for Opinion section? Select all that apply.

- **A** The audit was conducted in accordance with Standards on Auditing
- **B** A reference to the section describing the auditor's responsibilities
- **C** The auditor is independent and has fulfilled other ethical responsibilities
- **D** The materiality figure used in the audit
- **E** Whether the evidence obtained is sufficient and appropriate to provide a basis for the opinion

More than one answer may be right.

4 Where may the description of the auditor's responsibilities NOT be placed?

- **A** An appendix referred to in the report
- **B** An appropriate authority's website, where expressly permitted
- **C** The company's own web page, to shorten the report
- **D** Within the body of the report

Answers: the answer key at the end of this lesson.

Recap

- Objectives: form an opinion from an evaluation of the conclusions drawn from the evidence; express it clearly in a written report.
- Reasonable assurance: sufficient appropriate evidence; uncorrected misstatements not material; the evaluations, including bias.
- Lack of neutrality: selective correction of misstatements; possible bias in estimates.
- Specific evaluations: policies disclosed and appropriate, estimates reasonable, information relevant, reliable, comparable and understandable, disclosures adequate, terminology appropriate.
- Unmodified: "true and fair view" or "present fairly, in all material respects"; never "subject to" or "with the foregoing explanation".
- Fourteen elements, title to date; Basis for Opinion follows the Opinion in every report.
- Dated no earlier than complete evidence; partner's signature, membership number, FRN, UDIN. (No certificate before the check-up.)

Answer key · Check yourself

1 **C "The accompanying financial statements give a true and fair view of ... in accordance with [the framework]."**

"Subject to" and "with the foregoing explanation" suggest a conditional opinion; "except for" is qualified wording.

2 **D 21 May 2026**

Sufficient appropriate evidence, including the board taking responsibility, is complete only on 21 May.

3 **A The audit was conducted in accordance with Standards on Auditing; B A reference to the section describing the auditor's responsibilities; C The auditor is independent and has fulfilled other ethical responsibilities; E Whether the evidence obtained is sufficient and appropriate to provide a basis for the opinion**

SM 8.12's four statements. Materiality is only described, in the auditor's responsibilities section.

4 **C The company's own web page, to shorten the report**

Only the body, an appendix, or an appropriate authority's website where expressly permitted.

8.2 SA 701: key audit matters

Which matters a listed company's auditor describes in the report, how they are filtered from matters discussed with those charged with governance, and what they never replace.

In plain words

"Every report says true and fair. What was hard?"

Tapri Tea Co. Ltd has been listed on NSE and BSE since 2024, and this year's AGM has a sharp shareholder in the second row.

> **Shareholder:** Ms Iyer, your report says "true and fair". Every report says that. What was difficult in this audit?
>
> **Lakshmi:** Turn to the section headed "Key Audit Matters". That is the answer.
>
> **Bunty:** *(whispering)* Ma'am, so those are the problems we qualified?
>
> **Lakshmi:** No, Bunty. The opinion is on the accounts as a whole. These are the places where the audit had to work hardest.

For a listed company the auditor's report has a section of **key audit matters** (KAMs). They are picked in two cuts. Start with everything the auditor discussed with **those charged with governance** (for Tapri, the board and its audit committee). First cut: keep the matters that needed **significant auditor attention**, such as high-risk areas, big judgments and estimates, and the year's big events. Second cut: keep the few that were **of most significance** in this year's audit. Each one gets its own subheading in the report.

A KAM is extra information about the audit. It is not a separate opinion on that item, and it never replaces the company's own disclosures, a modified opinion or going concern reporting.

Think of it like

The pilot's announcement

"We have landed safely" is the opinion. "The parts of the flight that took most of the crew's attention were the crosswind at take-off and the storm over Nagpur" are the key audit matters. The landing is no less safe for the mention, nobody gets a separate certificate for the crosswind, and the announcement does not replace the safety card in your seat pocket. Had the plane landed in the wrong city, mentioning the storm would not do: that needs a very different announcement.

Key idea

Key audit matters are chosen from the matters communicated with those charged with governance: first those that required significant auditor attention, then those of most significance in the current period's audit. They add transparency; they are never a substitute for disclosures, a modified opinion or going concern reporting, and never a separate opinion.

How it works

SA 701, "Communicating Key Audit Matters in the Independent Auditor's Report", deals with the auditor's responsibility to communicate key audit matters in the auditor's report. It addresses both the auditor's judgment as to **what** to communicate and the **form and content** of that communication (SM 8.51).

> **Definition**
>
> **Key audit matters**
>
> Those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period. Key audit matters are selected from matters communicated with those charged with governance (SM 8.52).

1. Purpose

The purpose of communicating key audit matters is to **enhance the communicative value** of the auditor's report by providing **greater transparency about the audit that was performed**. It provides additional information to intended users to help them understand the matters that, in the auditor's professional judgment, were of most significance in the audit of the current period's financial statements. It may also help users understand the entity and the areas of significant management judgment in the audited financial statements (SM 8.52).

2. Objectives

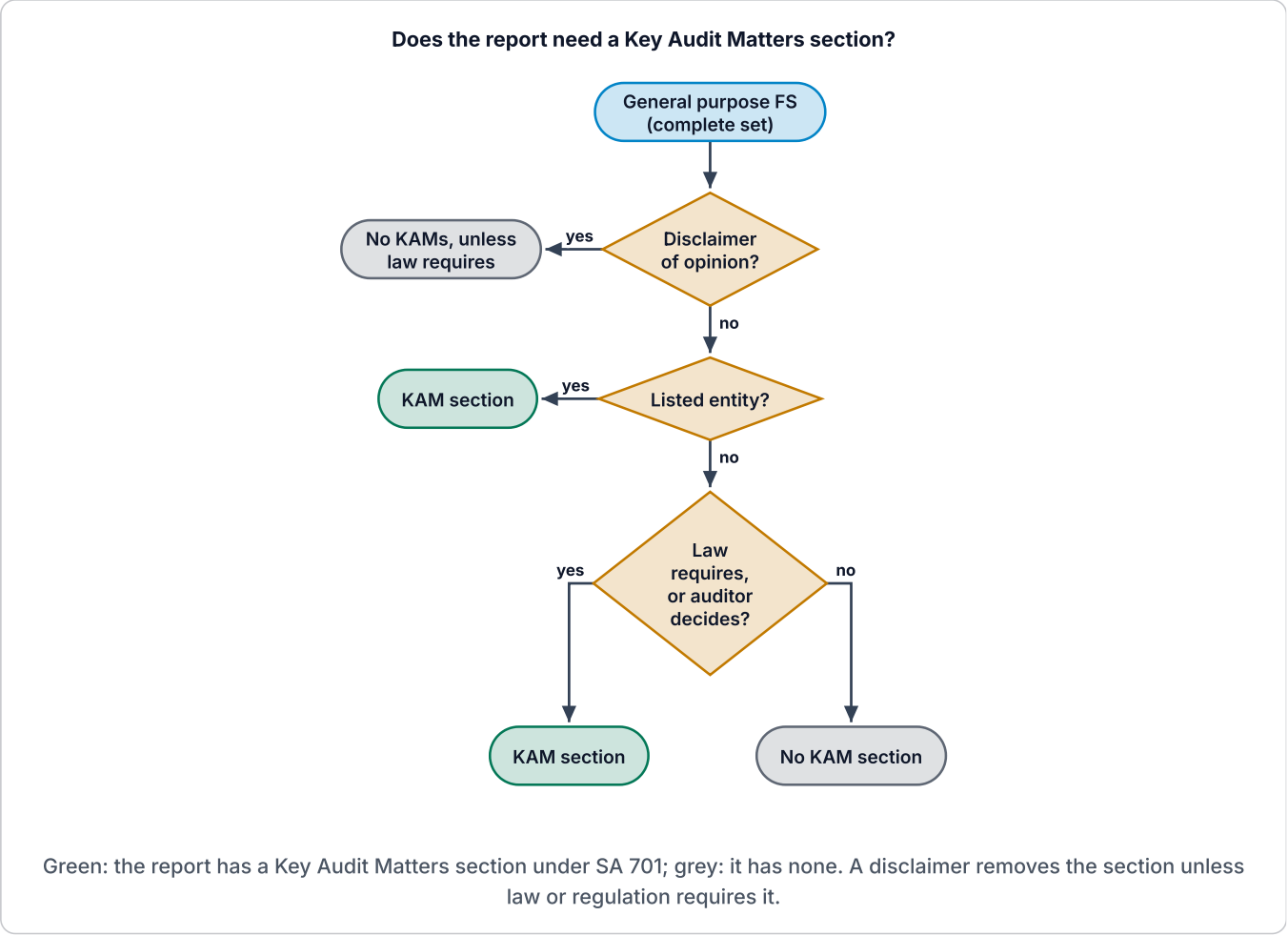
The objectives of the auditor are to **determine** key audit matters and, **having formed an opinion** on the financial statements, **communicate** those matters by describing them in the auditor's report (SM 8.52).

3. Who must, and who may

SA 701 applies to audits of complete sets of general purpose financial statements (SM 8.14, 8.55):

- of **listed entities**: the auditor shall communicate key audit matters;
- where the auditor is **required by law or regulation** to communicate them, for example for entities that law characterises as public interest entities;
- where the auditor **decides** to communicate them, for example for entities of significant public interest because they have a large number and wide range of stakeholders, considering the nature and size of the business: financial institutions (banks, insurance companies, pension funds) and others such as charitable institutions.

The exception: when the auditor **disclaims an opinion**, the report shall not include a Key Audit Matters section, unless law or regulation requires it (SM 8.47, 8.55; SA 705).



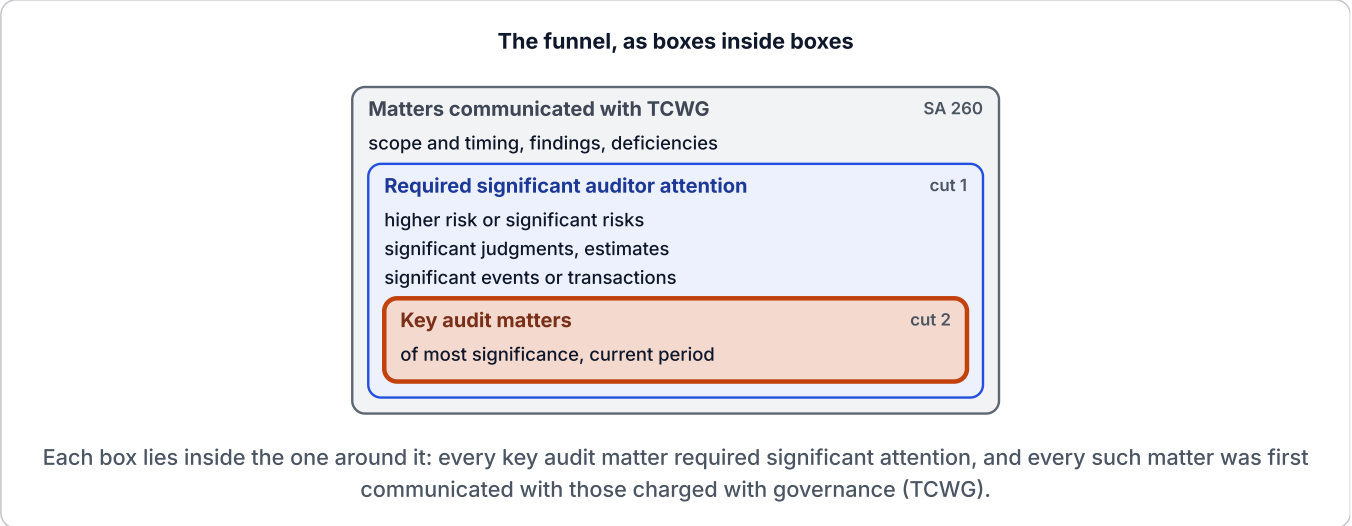
Green: the report has a Key Audit Matters section under SA 701; grey: it has none. A disclaimer removes the section unless law or regulation requires it.

4. Determining key audit matters: two cuts

Cut 1. The auditor shall determine, from the matters communicated with those charged with governance (SA 260), those matters that **required significant auditor attention** in performing the audit, taking into account (SM 8.52–8.53):

- (a) areas of **higher assessed risk of material misstatement**, or **significant risks** identified in accordance with SA 315;
- (b) **significant auditor judgments** relating to areas in the financial statements that involved **significant management judgment**, including accounting estimates identified as having **high estimation uncertainty**; and
- (c) the effect on the audit of **significant events or transactions** that occurred during the period.

Cut 2. The auditor shall determine which of those matters were **of most significance** in the audit of the financial statements of the current period: these are the key audit matters (SM 8.53).



Each box lies inside the one around it: every key audit matter required significant attention, and every such matter was first communicated with those charged with governance (TCWG).

Interactive version: PassBook app, lesson SA 701: key audit matters

5. Communicating key audit matters

The auditor shall describe **each** key audit matter, using an **appropriate subheading**, in a separate section of the report under the heading "**Key Audit Matters**". Its introductory language shall state that (SM 8.53):

- (a) key audit matters are those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements [of the current period]; and
- (b) these matters were addressed in the context of the audit of the financial statements as a whole, and in forming the auditor's opinion thereon, and the auditor **does not provide a separate opinion** on these matters.

In ICAI's illustrative report the section comes directly after the Basis for Opinion (SM 8.27). For listed entities and others reporting KAMs, SA 700 also requires the auditor's responsibilities section to say that the auditor determines key audit matters from the matters communicated with those charged with governance and describes them unless law or regulation precludes public disclosure (SM 8.20).

6. What communicating a key audit matter is not

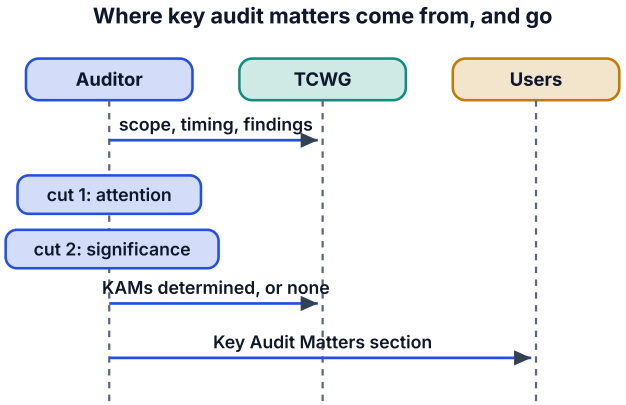
Communicating key audit matters is in the context of the auditor having formed an opinion on the financial statements as a whole. It is **not** (SM 8.54):

- (a) a substitute for **disclosures** in the financial statements that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation;
- (b) a substitute for the auditor expressing a **modified opinion** when required by the circumstances of a specific audit engagement in accordance with SA 705 (Revised);
- (c) a substitute for reporting in accordance with **SA 570** when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern; or
- (d) a **separate opinion** on individual matters.

7. Communication with those charged with governance

The auditor shall communicate with those charged with governance (SM 8.54):

- (a) those matters the auditor has determined to be the key audit matters; or
- (b) if applicable, the auditor's determination that there are **no key audit matters** to communicate in the report.



The matters start in the auditor's communications with those charged with governance (TCWG), are filtered twice, go back to TCWG, and only then reach users through the report.

Formats and formulas

The Key Audit Matters section

Reproduce from memory (SM 8.27, 8.53–8.54).

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

[Description of each key audit matter in accordance with SA 701.]

Each key audit matter goes under an appropriate subheading of its own (SM 8.53).

When there are none (SM 8.54):

Key Audit Matters

[Except for the matter described in the Basis for Qualified (Adverse) Opinion section or Material Uncertainty Related to Going Concern section,] We have determined that there are no [other] key audit matters to communicate in our report.

Worked examples

Worked example **The audit committee's list**

Iyer & Associates audit Tapri Tea Co. Ltd, a listed company, for 2025-26. During the audit they communicated these matters to its audit committee:

1. Revenue from the TapriNow delivery app, about 31 lakh orders a year processed by an automated system with discounts and cashbacks, assessed as a significant risk of material misstatement.
2. Impairment of café assets in six loss-making cities, carrying amount ₹86 crore, where the recoverable amount rests on management's footfall forecasts: an accounting estimate with high estimation uncertainty.
3. The acquisition during the year of Nagpur Samosa Works Pvt Ltd for ₹240 crore.
4. Petty cash at two cafés not counted weekly, with shortages of ₹18,000, reported as a deficiency in internal control.
5. The planned scope and timing of the audit.

Required:

(i) How should the auditor determine which of these are key audit matters, and which are likely to be?

(ii) How are they presented in the report?

(iii) Kesar asks that the impairment be "described as a key audit matter, so that the assumptions need not be disclosed in the notes". Advise.

MODEL ANSWER

(i) Relevant provision. As per SA 701, the auditor determines, from the matters communicated with those charged with governance, those that required significant auditor attention, taking into account areas of higher assessed risk of material misstatement or significant risks identified under SA 315; significant auditor judgments relating to areas involving significant management judgment, including accounting estimates with high estimation uncertainty; and the effect on the audit of significant events or transactions of the period. Of these, the matters of most significance in the audit of the current period are the key audit matters.

Analysis. Matter 1 is a significant risk; matter 2 an estimate with high estimation uncertainty; matter 3 a significant transaction of the year. All three required significant auditor attention. Matter 4 (a petty cash deficiency of ₹18,000) and matter 5 (the routine scope and timing communication) were communicated but did not. Of matters 1 to 3, those of most significance in the current audit, in the auditor's professional judgment, are the key audit matters; all three are likely candidates.

(ii) Presentation. A separate section headed "Key Audit Matters", after the Basis for Opinion, opens with the two introductory statements (most significance in the current period's audit; addressed in the context of the audit as a whole, with no separate opinion). Each matter has its own subheading. The key audit matters determined are first communicated to those charged with governance.

(iii) Advice. Communicating key audit matters is not a substitute for disclosures that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation. The impairment assumptions remain management's disclosure. If a required disclosure is omitted, the auditor considers its effect on the opinion under SA 705. Kesar's request cannot be accepted.

Worked example **Two shortcuts the CFO wants**

CA Farhan Qureshi audits Malwa Masala Mills Ltd, a listed company, for 2025-26 (overall materiality ₹3 crore; profit before tax ₹62 crore; total assets ₹410 crore).

(a) The company has not provided for a customs demand of ₹14 crore that, on the evidence obtained, is a present liability. Nothing else is affected. The CFO proposes: "Describe it in the Key Audit Matters section and keep the opinion clean."

(b) A loan covenant breach creates a material uncertainty that may cast significant doubt on the company's ability to continue as a going concern. The going concern basis is still appropriate and Note 41 discloses the uncertainty adequately. The board wants it mentioned only as a key audit matter.

Advise CA Farhan on each proposal, taking each on its own.

MODEL ANSWER

Relevant provision. As per SA 701, communicating key audit matters is in the context of the auditor having formed an opinion on the financial statements as a whole. It is not a substitute for expressing a modified opinion when required in accordance with SA 705, nor for reporting in accordance with SA 570 when a material uncertainty exists relating to going concern.

(a) Facts and analysis. The unprovided ₹14 crore is a misstatement supported by evidence. It is 4.67 times overall materiality and 22.6% of profit before tax, so it is material; it is confined to provisions and profit, 3.4% of total assets, so it is not pervasive. SA 705 therefore requires a qualified opinion; a KAM cannot replace it.

Conclusion (a). Express a **qualified opinion**, describing and quantifying the matter in the Basis for Qualified Opinion section. If there are no other key audit matters, the KAM section states: "Except for the matter described in the Basis for Qualified Opinion section, we have determined that there are no other key audit matters to communicate in our report."

(b) Facts and analysis. The going concern basis is appropriate and the material uncertainty is adequately disclosed. Under SA 570 the auditor then expresses an unmodified opinion and includes a separate section headed "Material Uncertainty Related to Going Concern", drawing attention to Note 41 and stating that the opinion is not modified in respect of the matter (SM 7.22).

Conclusion (b). The board's proposal cannot be accepted: the separate going concern section is required, and a key audit matter cannot substitute for it. If there are no other key audit matters, the KAM section begins "Except for the matter described in the Material Uncertainty Related to Going Concern section".

Exam angle

In the exam

Where SA 701 appeared, May 2024 to September 2026

In the new-scheme documents read for this lesson, key audit matters were examined in 7 documents:

- **Descriptive.** Definition and how key audit matters are determined: May 2025 Q3(b) (5 marks). Purpose (2 marks) and "not a substitute" (3 marks): September 2025 Q2(b). "Not a substitute": MTP May 2025 Series II Q6(c) (4 marks). Factors in determining, and how they are communicated: RTP May 2025 Q16. Purpose: RTP January 2026 Q17.
- **Multiple choice, 2 marks**, as the tempting wrong option: an adequately disclosed going concern uncertainty goes in the "Material Uncertainty Related to Going Concern" section, not under Key Audit Matters (January 2025 MCQ 15); management refusing a going concern assessment leads to a qualified opinion or disclaimer, not a KAM-only mention (MTP January 2026 Series I MCQ 15).

Old-scheme papers asked the same few things: determining KAMs (November 2020 Q5(c), 3 marks; MTP December 2021 Series I Q6(d), 3 marks); "not a substitute" (MTP May 2022 Series II Q5(d), 3 marks; RTPs November 2019, November 2023); correct-or-incorrect on "a KAM substitutes a modified opinion" (January 2021) and "a KAM is a separate opinion" (May 2023), both incorrect; a disclaimer and the KAM section (November 2023 Q2(a), 4 marks); and a case MCQ where a draft describing revenue cut-off risk and the procedures that addressed it belonged under "Key Audit Matters" (MTP November 2022 Series II, MCQ 1.5).

Trick

Three reasons a matter needs attention: "Risk, Judgment, Event"

Risk (higher assessed or significant risks), **J**udgement (significant judgments on significant management judgment, including high-uncertainty estimates), **E**vent (significant events or transactions of the period). Condition: these decide cut 1 only; cut 2, "of most significance in the current period", is still the auditor's professional judgment.

Trick

Four things a KAM is not: "D-M-G-S"

Disclosure substitute, **M**odified-opinion substitute, **G**oing concern (SA 570) substitute, **S**eparate opinion. Write them in this order: it is ICAI's order (SM 8.54).

Answer frame

"Explain how the auditor determines key audit matters"

1. The definition, in ICAI's words, with "selected from matters communicated with those charged with governance".
2. Cut 1: "required significant auditor attention", with the three considerations (a), (b), (c).
3. Cut 2: "of most significance in the audit of the financial statements of the current period".
4. For "how communicated": separate section, heading "Key Audit Matters", a subheading for each, the two introductory statements.

"Distinguish between a key audit matter and an Emphasis of Matter paragraph"

Point	Key audit matter (SA 701)	Emphasis of Matter (SA 706)
What it is	A matter of most significance in the audit of the current period	A matter presented or disclosed in the statements, fundamental to users' understanding
Where it comes from	Matters communicated with those charged with governance	The statements' presentation or disclosures
When included	Listed entities; or law, or the auditor decides	When the auditor considers it necessary, no modification is required for it, and it is not a key audit matter
Effect on opinion	None; no separate opinion	Opinion not modified in respect of it

Common mistakes

⚠ **Common mistake**

Hall of Shame: the KAM that tried to be a qualification

Bunty describes an unprovided ₹14 crore liability as a key audit matter and leaves the opinion clean. **Fix:** a KAM is not a substitute for a modified opinion required by SA 705. Qualify, describe the matter in the Basis for Qualified Opinion section, and let the KAM section except it ("Except for the matter described in the Basis for Qualified Opinion section...") (SM 8.54).

⚠ **Common mistake**

A Key Audit Matters section in a disclaimer

Fix: when the auditor disclaims an opinion, the report shall not include a Key Audit Matters section, unless law or regulation requires it (SM 8.47).

⚠ **Common mistake**

Stopping at the first cut

Listing every high-risk area, judgment and big event as a KAM. **Fix:** those are only the matters that required significant attention; KAMs are the ones **of most significance** in the current period's audit (SM 8.53).

⚠ **Common mistake**

"KAMs are only for listed companies"

Fix: listed entities must; law or regulation may require them for others; and the auditor may decide to communicate them, for example for banks, insurance companies, pension funds or charitable institutions (SM 8.14).

Practice

Check yourself

1 Case scenario. Bunty's draft Key Audit Matters section in Tapri's 2025-26 report opens: "We give below our opinion on each of the following matters, which the management has identified as the most important matters of the year." What must replace this opening?

- **A** Nothing: SA 701 leaves the wording of the section entirely to the auditor
- **B** Statements that these matters were, in the auditor's professional judgment, of most significance in the audit of the current period, and that they were addressed in the context of the audit as a whole and in forming the opinion, with no separate opinion on them
- **C** The same sentence, with "the management" replaced by "the audit committee"
- **D** A statement that each matter has been given a separate qualified or unmodified opinion, as appropriate

2 CA Ravi Kapoor disclaims an opinion on a listed company's financial statements; no law requires key audit matters. What happens to the Key Audit Matters section?

- **A** It is included, as the company is listed
- **B** It is included, but only for matters unrelated to the disclaimer
- **C** It is not included
- **D** It is replaced by an Other Matter paragraph listing the key audit matters

3 Bunty's list of what the auditor "takes into account" in finding matters that required significant auditor attention. Which item does NOT belong?

- **A** Areas of higher assessed risk of material misstatement, or significant risks under SA 315
- **B** Significant auditor judgments on areas of significant management judgment, including estimates with high estimation uncertainty
- **C** The effect on the audit of significant events or transactions of the period
- **D** Matters that management asks the auditor to highlight to shareholders

4 Communicating key audit matters is NOT which of the following? Select all that apply.

- **A** A substitute for disclosures the framework requires management to make
- **B** A substitute for a modified opinion required under SA 705
- **C** A substitute for reporting under SA 570 on a material uncertainty
- **D** A separate opinion on individual matters
- **E** A way to give greater transparency about the audit that was performed

More than one answer may be right.

5 For which of these is the auditor REQUIRED by SA 701 itself to communicate key audit matters?

A A listed company's complete set of general purpose financial statements

B An unlisted private company, with no law requiring it

C A partnership firm

D A charitable trust, with no law requiring it

Answers: the answer key at the end of this lesson.

Recap

- Key audit matters: matters that, in the auditor's professional judgment, were of most significance in the audit of the current period, selected from matters communicated with those charged with governance.
- Purpose: enhance the communicative value of the report through greater transparency about the audit performed.
- Objectives: determine key audit matters and, having formed an opinion, communicate them by describing them in the report.
- Applies to listed entities; also where law requires or the auditor decides; no KAM section with a disclaimer unless law requires.
- Cut 1, significant attention: higher or significant risks; significant judgments and high-uncertainty estimates; significant events or transactions. Cut 2: of most significance.
- Separate "Key Audit Matters" section, a subheading for each, two introductory statements; no separate opinion.
- Not a substitute for disclosures, a modified opinion or SA 570 reporting; not a separate opinion. Tell those charged with governance the KAMs, or that there are none. (Mentioning the storm never makes a wrong-city landing safe.)

Answer key · Check yourself

1 **B Statements that these matters were, in the auditor's professional judgment, of most significance in the audit of the current period, and that they were addressed in the context of the audit as a whole and in forming the opinion, with no separate opinion on them**

SA 701 prescribes the introductory language: key audit matters are those matters that, in the auditor's professional judgment, were of most significance in the audit of the financial statements of the current period; and they were addressed in the context of the audit as a whole, and in forming the opinion thereon, and the auditor does not provide a separate opinion on them (SM 8.53). The auditor, not management or the audit committee, selects them, from the matters communicated with those charged with governance.

2 **C It is not included**

SA 705: unless law or regulation requires it, a report with a disclaimer has no Key Audit Matters section.

3 **D** **Matters that management asks the auditor to highlight to shareholders**

The three considerations are risk, judgment and significant events or transactions. What management wants highlighted is not one of them.

4 **A** **A substitute for disclosures the framework requires management to make**; **B** **A substitute for a modified opinion required under SA 705**; **C** **A substitute for reporting under SA 570 on a material uncertainty**; **D** **A separate opinion on individual matters**

The first four are SM 8.54's list in ICAI's order; the last is the purpose of communicating key audit matters.

5 **A** **A listed company's complete set of general purpose financial statements**

Listed entities must. Others need a law or regulation, or the auditor's own decision (a charitable institution is an example where the auditor may decide).

8.3 SA 705: qualified, adverse and disclaimer of opinion

When the auditor must modify the opinion, how two questions (misstatement or missing evidence; pervasive or not) pick qualified, adverse or disclaimer, and how each changes the report.

In plain words

Two questions on Lakshmi's desk

Iyer & Associates are finishing the audit of Tapri Tea Co. Ltd. Most years their report says the financial statements give a true and fair view: the **unmodified opinion** of SA 700. Not this year.

> **Kesar:** Lakshmi-ji, it is one small heap of old elaichi premix. Sign the report. Sab adjust ho jayega.
>
> **Lakshmi:** The evidence says ₹2.40 crore of that stock will never sell. If it stays at cost, my report will say so.
>
> **Bunty:** Ma'am, so the whole report is bad?
>
> **Lakshmi:** Two questions decide that, Bunty.

The first question is **what kind of problem** it is: the auditor has evidence that the accounts are wrong (a **misstatement**, like the elaichi stock), or could not get enough evidence to know (Kesar will not let anyone count the samosa stock).

The second is **how big**. A problem is **material** when it could change the decisions of people who rely on the accounts, and **pervasive** when it is not confined to one corner: it spreads across many items, or its one item is a large part of the accounts, or users cannot understand the accounts without it.

The answers give three **modified opinions**. Wrong but confined: **qualified** ("true and fair, except for..."). Wrong and pervasive: **adverse** ("not true and fair"). Unable to check, but confined: again qualified. Unable to check, and pervasive: a **disclaimer of opinion** ("I do not express an opinion").

Think of it like

The second-hand car inspection

A mechanic inspecting a used car can report: fine; fine except for the brakes; not roadworthy; or the owner would not open the bonnet, so I can say nothing about the engine. Those are the unmodified, qualified, adverse and disclaimer opinions. The last does not say the engine is bad: it says nobody was allowed to look.

Key idea

Two things decide the modified opinion: the nature of the matter (misstatement, or no evidence) and whether its effects are pervasive. A disclaimer is not "the worst accounts": it is the opinion for pervasive missing evidence.

How it works

SA 705, "Modifications to the Opinion in the Independent Auditor's Report", deals with the report when the auditor, forming an opinion under SA 700 (Revised), concludes that a modification is necessary (SM 8.34). Its requirements, in the Study Material's order:

1. When the opinion must be modified

The auditor shall modify the opinion when:

- (a) the auditor concludes, based on the audit evidence obtained, that the financial statements as a whole are not free from material misstatement; or
- (b) the auditor is unable to obtain sufficient appropriate audit evidence to conclude that the financial statements as a whole are free from material misstatement.

2. The objective

The objective of the auditor is to express clearly an appropriately modified opinion on the financial statements that is necessary in either of those circumstances (SM 8.35).

3. The three modified opinions

- **Qualified opinion**: (a) having obtained sufficient appropriate audit evidence, the auditor concludes that misstatements, individually or in the aggregate, are material, but not pervasive; or (b) the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion, but concludes that the possible effects of undetected misstatements, if any, could be material but not pervasive.
- **Adverse opinion**: having obtained sufficient appropriate audit evidence, the auditor concludes that misstatements, individually or in the aggregate, are both material and pervasive.
- **Disclaimer of opinion**: the auditor is unable to obtain sufficient appropriate audit evidence on which to base the opinion and concludes that the possible effects of undetected misstatements, if any, could be both material and pervasive. Also, in extremely rare circumstances involving multiple uncertainties, when their potential interaction and possible cumulative effect make an opinion impossible even though evidence was obtained on each.

Definition

Pervasive

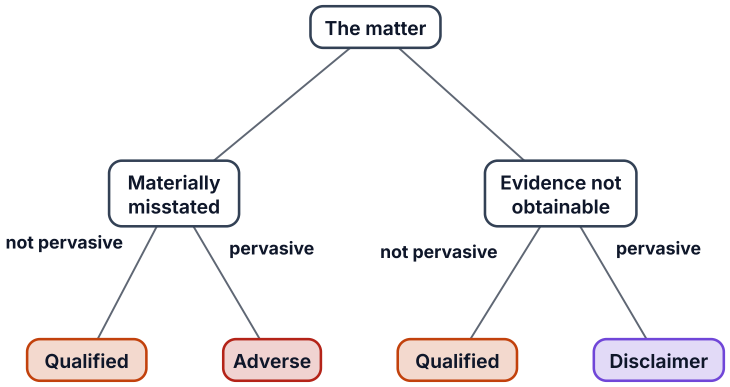
Pervasive effects on the financial statements are those that, in the auditor's judgment (SM 8.37):

- (i) are not confined to specific elements, accounts or items of the financial statements;
- (ii) if so confined, represent or could represent a substantial proportion of the financial statements; or
- (iii) in relation to disclosures, are fundamental to users' understanding of the financial statements.

4. Which opinion: nature, then pervasiveness

The choice depends on (a) the nature of the matter, whether the financial statements are materially misstated or, when evidence cannot be obtained, may be materially misstated; and (b) the auditor's judgment about the pervasiveness of its effects or possible effects (SM 8.39–8.40).

SA 705: which modified opinion?



Orange: qualified opinion ("except for the effects", or "except for the possible effects" when evidence is missing); rose: adverse; violet: disclaimer. Every branch assumes the matter is material: an immaterial matter needs no modification.

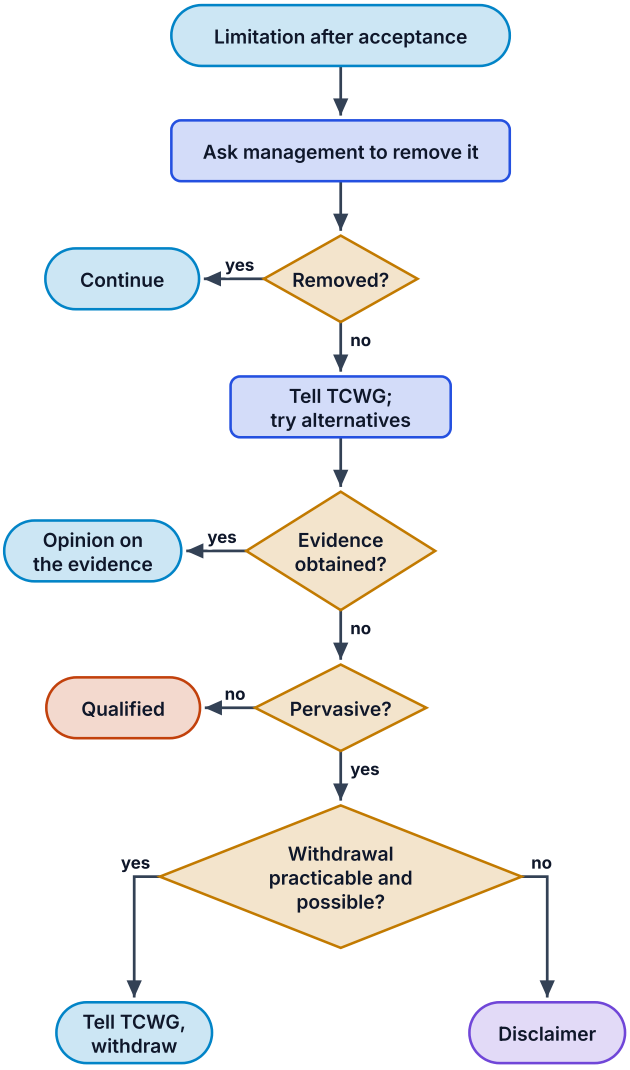
Nature of the matter	Material but not pervasive	Material and pervasive
Financial statements are materially misstated	Qualified opinion	Adverse opinion
Inability to obtain sufficient appropriate audit evidence	Qualified opinion	Disclaimer of opinion

Interactive version: PassBook app, lesson SA 705: qualified, adverse and disclaimer of opinion

5. When management limits the audit after acceptance

If, after accepting the engagement, the auditor finds that management has imposed a limitation on the scope of the audit likely to lead to a qualified opinion or a disclaimer, SA 705 sets these steps, in this order (SM 8.40–8.41):

Management-imposed limitation after acceptance



TCWG: those charged with governance, told unless all of them manage the entity. "Pervasive?" asks whether the possible effects are material and pervasive, so that a qualification would be inadequate to communicate the gravity of the situation. Withdrawal must be practicable and possible under law or regulation; before withdrawing, the auditor tells TCWG of any misstatements found. Orange: qualified opinion; violet: disclaimer.

Interactive version: PassBook app, lesson SA 705: qualified, adverse and disclaimer of opinion

6. Form and content, and communication

The headings, wording and Basis section change as set out in Formats and formulas below (SM 8.43–8.46); a disclaimer also drops the Key Audit Matters section of SA 701 unless law requires it (SM 8.47). When the auditor expects to modify the opinion, the auditor shall communicate with those charged with governance the circumstances and the wording of the modification (SM 8.47).

Formats and formulas

The modified report, section by section

Reproduce this table from memory: each heading and each change carries marks.

Element	Qualified	Adverse	Disclaimer
Opinion heading	Qualified Opinion	Adverse Opinion	Disclaimer of Opinion
Basis heading	Basis for Qualified Opinion	Basis for Adverse Opinion	Basis for Disclaimer of Opinion
Statement that the evidence is sufficient and appropriate	Kept, "qualified" added	Kept, "adverse" added	Left out
Reference to where the auditor's responsibilities are described	Kept	Kept	Left out
Auditor's responsibilities section	As in SA 700	As in SA 700	Three statements only
Key Audit Matters section	Where SA 701 applies	Where SA 701 applies	None, unless law requires

Opinion wording (fair presentation framework):

- **Qualified**: except for the effects of the matter(s) described in the Basis for Qualified Opinion section, the financial statements give a true and fair view; for missing evidence, "except for the **possible** effects".
- **Adverse**: because of the significance of the matter(s) described in the Basis for Adverse Opinion section, the financial statements do not give a true and fair view.
- **Disclaimer**: the auditor (a) does not express an opinion; (b) because of the significance of the matter(s) described in the Basis for Disclaimer of Opinion section, has not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion; and (c) **was engaged to audit** the financial statements (amending SA 700's "have audited").

The Basis section must contain (SM 8.45–8.46):

- Misstated amounts: a **description and quantification** of the financial effects, unless impracticable (and if so, a statement saying so).
- Misstated narrative disclosures: how they are misstated.
- A required disclosure omitted: discuss it with those charged with governance; describe the omitted information; unless law prohibits it, include the disclosure where practicable and supported by sufficient appropriate audit evidence.
- Missing evidence: the **reasons** for the inability.
- Even with an adverse opinion or a disclaimer: any other matters that would have required a modification, and their effects.

A disclaimer's responsibilities section keeps only (a) the responsibility to conduct an audit in accordance with Standards on Auditing and issue a report; (b) that, because of the matter(s)

described, sufficient appropriate audit evidence for an opinion could not be obtained; (c) the independence and ethics statement (SM 8.46).

Worked examples

Worked example **The elaichi premix that will never sell**

Iyer & Associates are the statutory auditors of Tapri Tea Co. Ltd for 2025-26. Inventories of ₹38 crore include ₹2.40 crore of a discontinued elaichi premix, past its best-before date, with no realisable value. Management refuses to write it down, saying festival demand will clear it. Overall materiality is ₹1.50 crore, and no other item is affected.

State, with reasons, the opinion Iyer & Associates should express and what the Basis for Opinion section should contain.

MODEL ANSWER

Relevant provision. As per SA 705, the auditor shall express a qualified opinion when the auditor, having obtained sufficient appropriate audit evidence, concludes that misstatements, individually or in the aggregate, are material, but not pervasive, to the financial statements. Effects are pervasive when not confined to specific elements, accounts or items or, if confined, a substantial proportion of the financial statements. For a misstatement of specific amounts, the Basis for Qualified Opinion section shall describe and quantify its financial effects, unless impracticable.

Facts of the case. ₹2.40 crore of premix with no realisable value is carried at cost; materiality is ₹1.50 crore; nothing else is affected.

Analysis. Inventories and profit are overstated by ₹2.40 crore, above overall materiality: the misstatement is material. It is confined to inventories and, through them, profit and equity, and is not a substantial proportion of the financial statements: it is not pervasive. The auditor has sufficient appropriate audit evidence of it.

Conclusion. Iyer & Associates should express a **qualified opinion**: except for the effects of the matter described in the Basis for Qualified Opinion section, the financial statements give a true and fair view. That section should describe and quantify the matter (inventories, profit and other equity overstated by ₹2.40 crore, before any tax effect) and state that the evidence is sufficient and appropriate to provide a basis for the qualified opinion. The circumstances and wording go first to those charged with governance.

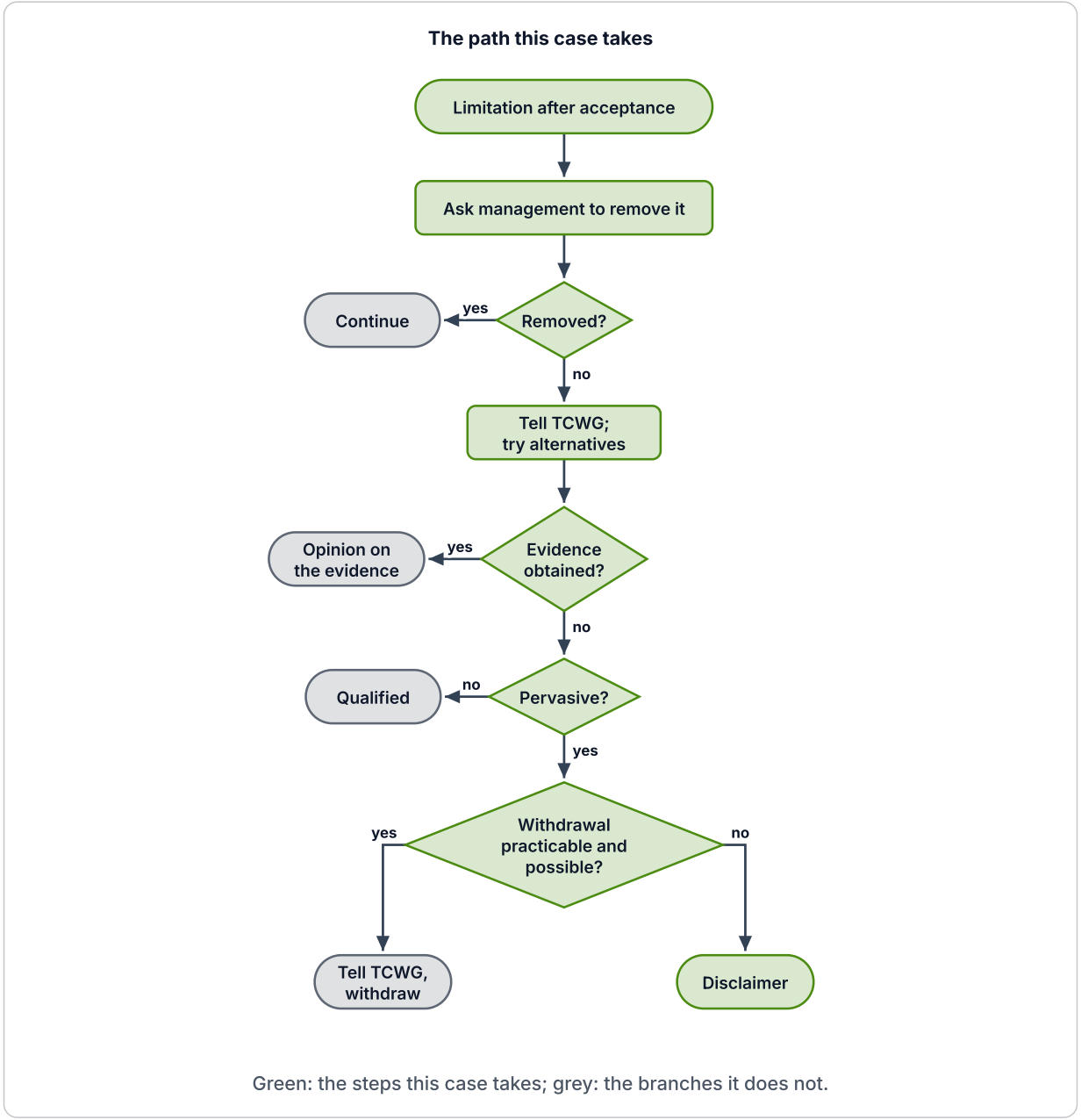
Worked example **Kesar locks the samosa factory**

After the 2025-26 engagement was accepted, Kesar tells his staff not to give Iyer & Associates the books of the samosa factory and the cold-chain division, together 58% of revenue and 61% of total assets. He also forbids attendance at the year-end stock count and confirmation requests to the division's debtors.

> **Kesar:** The factory is my baby. Nobody opens its books, not even you, Lakshmi-ji.
>
> **Lakshmi:** Then nobody can say its numbers are true, Kesar-ji. Including me.

Lakshmi's request, a board meeting and every alternative procedure have produced no evidence, and withdrawing is not practicable. Advise Iyer & Associates on the steps SA 705 requires, the opinion, and how the report differs from an unmodified one.

MODEL ANSWER



Green: the steps this case takes; grey: the branches it does not.

Relevant provision. As per SA 705, if after accepting the engagement the auditor becomes aware of a management-imposed limitation on the scope of the audit likely to result in a qualified opinion or a disclaimer, the auditor shall request management to remove it. If management refuses, the auditor shall communicate the matter to those charged with governance (unless all of them manage the entity) and determine whether alternative procedures can provide sufficient appropriate audit evidence. If not, and the possible effects of undetected misstatements could be both material and pervasive, so that a qualification would be inadequate to communicate the gravity of the situation, the auditor shall withdraw where practicable and possible under applicable law or regulation, or else disclaim an opinion.

Facts of the case. Access to divisions with 58% of revenue and 61% of total assets, the stock count and confirmations are refused; the request, the board meeting and alternative procedures have failed; withdrawal is not practicable.

Analysis. The required steps have been performed. Undetected misstatements could affect revenue, inventories, receivables and many other items, in divisions that are a substantial proportion of the financial statements: the possible effects are both material and pervasive.

Conclusion. Iyer & Associates should express a **disclaimer of opinion**. Compared with an unmodified report:

1. Under "Disclaimer of Opinion": no opinion is expressed; because of the significance of the matters described in the Basis for Disclaimer of Opinion section, sufficient appropriate audit evidence could not be obtained to provide a basis for an audit opinion; the auditor was engaged to audit the financial statements.
2. "Basis for Disclaimer of Opinion" gives the reasons for the inability.
3. The reference to the responsibilities section and the sufficiency statement are left out; the responsibilities section keeps its three statements only.
4. No Key Audit Matters section, unless law or regulation requires it.

The circumstances and wording go first to those charged with governance.

Worked example **Bunty's three files**

Bunty has ticked three files "unmodified". State, with reasons, the correct reporting in each.

(a) Chai Cargo Pvt Ltd, a small Tapri subsidiary, has lost its only customer and its board has resolved to liquidate it, yet its financial statements use the going concern basis.

(b) Kulhad Crafts Ltd's management refuses the written representation that it has fulfilled its responsibility for preparing the financial statements and has provided all information.

(c) Masala Mills Ltd faces a material uncertainty about going concern; the going concern basis is still appropriate, and Note 34 discloses the uncertainty adequately.

MODEL ANSWER

(a) As per SA 570, if management's use of the going concern basis is, in the auditor's judgment, inappropriate, the auditor shall express an adverse opinion (SM 7.22). Liquidation is resolved, so the basis is inappropriate: **adverse opinion**.

(b) As per SA 580, the auditor shall disclaim an opinion in accordance with SA 705 if management does not provide the written representations about its responsibility for preparing the financial statements and for the information provided (SM 7.38). After discussing it with management and re-evaluating management's integrity: a **disclaimer of opinion**.

(c) As per SA 570, with an appropriate basis and an adequately disclosed material uncertainty, the opinion is unmodified, with a separate section headed "Material Uncertainty Related to Going Concern" that draws attention to the note (SM 7.22). Bunty's **unmodified opinion** is right, but the report needs that section, referring to Note 34.

Interactive version: PassBook app, lesson SA 705: qualified, adverse and disclaimer of opinion

Exam angle

In the exam

Where SA 705 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SA 705 was examined 13 times, once in each of 13 documents.

- **Descriptive, 4 or 5 marks.** When each opinion is expressed: MTP January 2025 Series I Q2(b) (5 marks), RTP September 2025 Q17. Circumstances and objective: MTP January 2026 Series II Q4(c) (4 marks), MTP May 2026 Series II Q5(a) (5 marks). Factors deciding the type: MTP September 2026 Series II Q5(c) (4 marks). Management-imposed limitation: MTP January 2026 Series I Q6(a) (5 marks), RTP May 2024 Q19 (a case). A disclaimer case on the Basis section and the SA 700 elements left out: January 2025 Q3(c) (4 marks).
- **Multiple choice, 2 marks each**, usually through another Standard: unreliable or refused written representations (September 2024 MCQ 12; May 2026 MCQ 4, where the wrong action is to treat it as a disagreement and qualify; September 2026 MCQ 6, answers not yet published); an inadequately disclosed going concern uncertainty (January 2026 MCQ 11); an uncounted inventory location, alternative procedures first (MTP September 2025 Series II MCQ 5).

In the exam

How the marks are earned

ICAI's suggested answers quote the provision in the Standard's words, apply it to the facts and end by naming the opinion. The phrases carry marks: "sufficient appropriate audit evidence", "material but not pervasive", "possible effects on the financial statements of undetected misstatements", "inadequate to communicate the gravity of the situation", "those charged with governance".

Trick

Two questions, three opinions

"Evidence or no evidence?", then "Pervasive or not?". Evidence and pervasive: **adverse**. No evidence and pervasive: **disclaimer**. Not pervasive: **qualified**. Condition: the matter must be material; an immaterial one needs no modification.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 705, ..." in the Standard's words, only the parts the case needs.
2. **Facts of the case**: "In the given case, ..." the facts that decide it, with their figures.
3. **Analysis**: misstatement or missing evidence? Material? Pervasive, and why?
4. **Conclusion**: "Hence, the auditor should express a ... opinion", then whatever else is asked (headings, wording, the Basis section, communication).

"Distinguish between a qualified and an adverse opinion"

Point	Qualified opinion	Adverse opinion
When	Misstatements material, not pervasive; or evidence missing and possible effects material, not pervasive	Misstatements both material and pervasive
Evidence	Obtained, or not obtained	Obtained
Wording	"Except for the effects (possible effects) ... give a true and fair view"	"Because of the significance of ... do not give a true and fair view"
Headings	Qualified Opinion; Basis for Qualified Opinion	Adverse Opinion; Basis for Adverse Opinion

Three answers to the samosa-factory case

Loses marks

"Disclaimer of opinion, because Kesar did not co-operate."

Right conclusion; no provision, no reasoning, no steps, no report changes.

Passes

"As per SA 705, when sufficient appropriate audit evidence cannot be obtained and the possible effects could be material and pervasive, the auditor disclaims. The factory and the cold-chain division are 61% of assets, so: disclaimer."

Provision and facts, but no limitation steps and no report changes.

Full marks

The steps in order (request, those charged with governance, alternative procedures, withdraw or disclaim), the facts applied to "material and pervasive", the conclusion, then each change to the report.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the disclaimer for accounts that are merely terrible

Receivables and inventory, 70% of total assets, are not realisable, and Bunty writes "disclaimer, things are really bad". But the auditor has the evidence: the accounts are known to be wrong. **Fix:** a misstatement with evidence, material and pervasive, is **adverse**. A disclaimer is for evidence that could not be obtained.

⚠ **Common mistake**

The "except for" that excepted everything

Qualifying when the matter runs through most of the statements. **Fix:** "except for" works only if the rest can still be relied on; pervasive effects need an adverse opinion or a disclaimer.

⚠ **Common mistake**

Hiding the problem in a key audit matter or an Emphasis of Matter paragraph

Fix: neither replaces a modified opinion the circumstances require (SM 8.50, 8.54).

⚠ **Common mistake**

Jumping straight to the disclaimer

Answering a management-imposed limitation with "disclaimer" alone. **Fix:** write SA 705's steps first (request removal, those charged with governance, alternative procedures, withdrawal); they carry most of the marks.

Practice

Check yourself

1 Case scenario. CA Meera Joshi audits Ujjain Kulhad Works Ltd. A fire destroyed one quarter's purchase invoices. She verified everything else, but no alternative procedure can verify that quarter's purchases of ₹40 lakh. Overall materiality is ₹25 lakh, and no other area is affected. Which of the following is correct?

- A Qualified opinion: "except for the possible effects of the matter"
- B Adverse opinion
- C Disclaimer of opinion
- D Unmodified opinion with an Emphasis of Matter paragraph about the fire

2 Tapri Cold Chain Pvt Ltd has not provided for receivables and inventory that are 70% of its total assets and are not realisable. The auditor has sufficient appropriate audit evidence of this. Which opinion?

- A Qualified opinion
- B Adverse opinion
- C Disclaimer of opinion
- D Unmodified opinion with a key audit matter

3 Which of the following is NOT part of a report containing a disclaimer of opinion?

- A A "Basis for Disclaimer of Opinion" section giving the reasons for the inability
- B A statement that the auditor was engaged to audit the financial statements
- C A statement that the audit evidence obtained is sufficient and appropriate to provide a basis for the opinion
- D The statement on the auditor's independence and other ethical responsibilities

4 After accepting the audit, the auditor finds a management-imposed limitation likely to lead to a disclaimer. Which of these does SA 705 require? Select all that apply.

- A Request management to remove the limitation
- B If management refuses, communicate with those charged with governance, unless all of them manage the entity
- C Determine whether alternative procedures can provide sufficient appropriate audit evidence
- D Obtain a written representation that the limitation does not matter, then issue an unmodified opinion

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Modify when the financial statements as a whole are not free from material misstatement, or when sufficient appropriate audit evidence cannot be obtained to conclude that they are.
- Objective: to express clearly an appropriately modified opinion.
- Material, not pervasive: **qualified** ("except for the effects", or "possible effects" when evidence is missing).
- Misstatement, material and pervasive: **adverse**. Missing evidence, possible effects material and pervasive: **disclaimer** (also multiple uncertainties, extremely rarely).
- Pervasive: not confined to specific items; if confined, a substantial proportion; or disclosures fundamental to users.
- Limitation after acceptance: request removal, tell those charged with governance, try alternatives; then qualify, or withdraw if practicable, else disclaim.
- Disclaimer: "engaged to audit"; reasons in the Basis section; no sufficiency statement, no responsibilities reference, no key audit matters unless law requires.
- Tell those charged with governance the circumstances and wording first. (The mechanic kept out of the bonnet never calls the engine bad.)

Answer key · Check yourself

1 **A Qualified opinion: "except for the possible effects of the matter"**

Evidence is missing; the possible effects are material (above materiality) but confined to one quarter's purchases: the qualified opinion's second limb. Adverse needs evidence of a misstatement, a disclaimer pervasive possible effects.

2 **B Adverse opinion**

With evidence it is a misstatement, and at 70% of total assets material and pervasive. A disclaimer is for missing evidence, however bad the accounts look.

3 **C A statement that the audit evidence obtained is sufficient and appropriate to provide a basis for the opinion**

A disclaimer drops the sufficiency statement and the reference to the responsibilities section; the rest stays.

4 **A Request management to remove the limitation; B If management refuses, communicate with those charged with governance, unless all of them manage the entity; C Determine whether alternative procedures can provide sufficient appropriate audit evidence**

The three steps come before any decision on the opinion; a representation cannot replace the evidence the limitation withholds.

8.4 SA 706: emphasis of matter and other matter paragraphs

How an auditor who has already formed the opinion points users to a matter inside the financial statements (Emphasis of Matter) or outside them (Other Matter), and why neither changes the opinion.

In plain words

The report is clean. Lakshmi still wants to say something.

Iyer & Associates have finished the 2025-26 audit of Tapri Tea Co. Ltd, and the opinion is unmodified: the financial statements give a true and fair view. Then, on 18 May 2026, seven weeks after the year-end and twelve days before the report is due, a cyclone flattens Tapri's cold store at Paradeep in Odisha. Note 46 to the financial statements tells the whole story.

> **Kesar:** The opinion is clean, Lakshmi-ji. Why write anything extra? People will panic.
>
> **Lakshmi:** Not panic, Kesar-ji. Read. Anyone who skips Note 46 misunderstands your year.
>
> **Bunty:** So we qualify the report, Ma'am?
>
> **Lakshmi:** Nothing is wrong with the accounts, Bunty. We point at the note. That is all.

SA 706 gives the auditor two ways of pointing, both added to a report whose opinion has already been decided.

An **Emphasis of Matter paragraph** points at something that is **already inside** the financial statements, presented or disclosed properly, but so important that users cannot understand the statements without it. The cyclone in Note 46 is one.

An **Other Matter paragraph** talks about something that is **not in** the financial statements at all, but helps users understand the audit, the auditor's responsibilities or the report: for example, that some branches were audited by other auditors, or that last year's figures were never audited.

Neither paragraph changes the opinion. And neither may be used to dodge a harder job: if the accounts are wrong, the auditor modifies the opinion; a paragraph pointing at the problem is not enough.

Think of it like

The fitness certificate

A doctor signs "Fit to play" for a fast bowler and adds two notes. "Please see page 3 of the file: a healed stress fracture." That points at something already in the file, so important that a selector must not miss it. "The blood tests were done by another laboratory; I have relied on its report." That is about the examination, not about the bowler. Neither note changes "Fit to play". The first is an Emphasis of Matter; the second an Other Matter.

Key idea

Emphasis of Matter: "look at this, it is already in the financial statements, and it is fundamental". Other Matter: "here is something outside the financial statements about the audit, our responsibilities or this report". Neither modifies the opinion, and an Emphasis of Matter is never a substitute for a modified opinion, a missing disclosure or the going concern section.

How it works

SA 706 (Revised), "Emphasis of Matter Paragraphs and Other Matter Paragraphs in the Independent Auditor's Report", deals with **additional communication** in the auditor's report when the auditor considers it necessary to (SM 8.47–8.48):

- (a) draw users' attention to a matter or matters **presented or disclosed** in the financial statements that are of such importance that they are **fundamental to users' understanding** of the financial statements; or
- (b) draw users' attention to any matter or matters **other than those presented or disclosed** in the financial statements that are relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

1. The objective

As per SA 706 (Revised), the objective of the auditor, having formed an opinion on the financial statements, is to draw users' attention, when in the auditor's judgment it is necessary to do so, by way of clear additional communication in the auditor's report, to (SM 8.48):

- (a) a matter, although appropriately presented or disclosed in the financial statements, that is of such importance that it is fundamental to users' understanding of the financial statements; or
- (b) as appropriate, any other matter that is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report.

The opinion comes first (SA 700, or SA 705 when it is modified); the paragraphs come after it and never decide it.

2. Two definitions

Definition

Emphasis of Matter paragraph

A paragraph included in the auditor's report that refers to a matter appropriately presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements (SM 8.48).

Definition

Other Matter paragraph

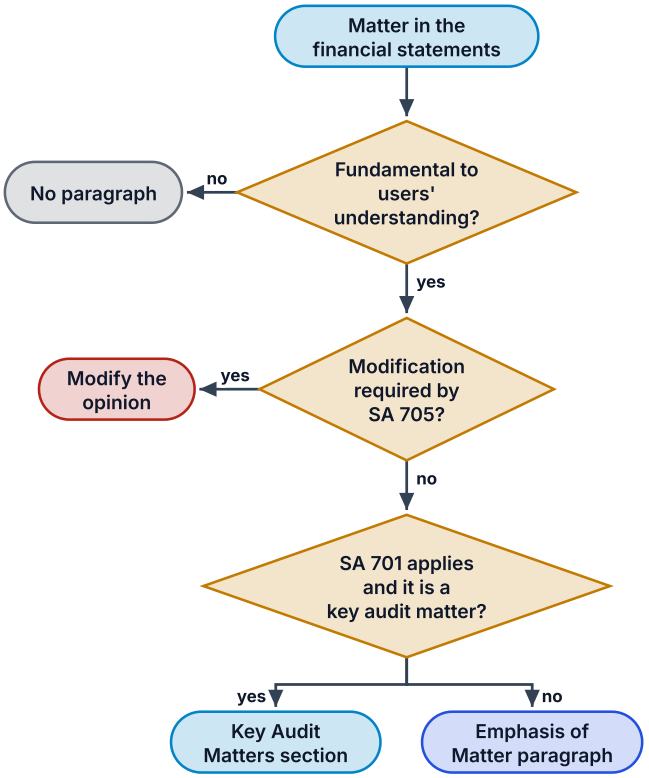
A paragraph included in the auditor's report that refers to a matter other than those presented or disclosed in the financial statements that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report (SM 8.48).

3. Emphasis of Matter: when it is included

If the auditor considers it necessary to draw users' attention to a matter presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements, the auditor **shall** include an Emphasis of Matter paragraph in the auditor's report **provided** (SM 8.49):

- (a) the auditor would not be required to modify the opinion in accordance with SA 705 (Revised) as a result of the matter; and
- (b) when SA 701 applies, the matter has not been determined to be a key audit matter to be communicated in the auditor's report.

Emphasis of Matter: the three gates



Blue: the Emphasis of Matter paragraph; rose: a modified opinion under SA 705, which a paragraph can never replace; sky blue: the Key Audit Matters section, so the matter is described there instead. A material uncertainty on going concern never takes this road: SA 570 gives it its own section.

4. Emphasis of Matter: how it is written

When the auditor includes an Emphasis of Matter paragraph in the auditor's report, the auditor shall (SM 8.49):

- (a) include the paragraph within a **separate section** of the auditor's report with an appropriate heading that includes the term **"Emphasis of Matter"**;
- (b) include in the paragraph a **clear reference** to the matter being emphasized and to where relevant disclosures that fully describe the matter can be found in the financial statements. The paragraph shall refer only to information presented or disclosed in the financial statements; and
- (c) indicate that the auditor's opinion is **not modified** in respect of the matter emphasized.

Examples of circumstances where the auditor may consider it necessary to include an Emphasis of Matter paragraph (SM 8.49):

1. An uncertainty relating to the future outcome of exceptional litigation or regulatory action.
2. A significant subsequent event that occurs between the date of the financial statements and the date of the auditor's report.
3. Early application (where permitted) of a new accounting standard that has a material effect on the financial statements.
4. A major catastrophe that has had, or continues to have, a significant effect on the entity's financial position.

Interactive version: PassBook app, lesson SA 706: emphasis of matter and other matter paragraphs

5. What an Emphasis of Matter is not

The inclusion of an Emphasis of Matter paragraph **does not affect the auditor's opinion**. It is **not a substitute** for (SM 8.50):

- (a) a modified opinion in accordance with SA 705 (Revised) when required by the circumstances of a specific audit engagement;
- (b) disclosures in the financial statements that the applicable financial reporting framework requires management to make, or that are otherwise necessary to achieve fair presentation; or
- (c) reporting in accordance with SA 570 (Revised) when a material uncertainty exists relating to events or conditions that may cast significant doubt on an entity's ability to continue as a going concern.

6. Other Matter: when and how

If the auditor considers it necessary to communicate a matter other than those that are presented or disclosed in the financial statements that, in the auditor's judgment, is relevant to users' understanding of the audit, the auditor's responsibilities or the auditor's report, the auditor shall include an Other Matter paragraph, **provided** (SM 8.51):

- (a) this is not prohibited by law or regulation; and

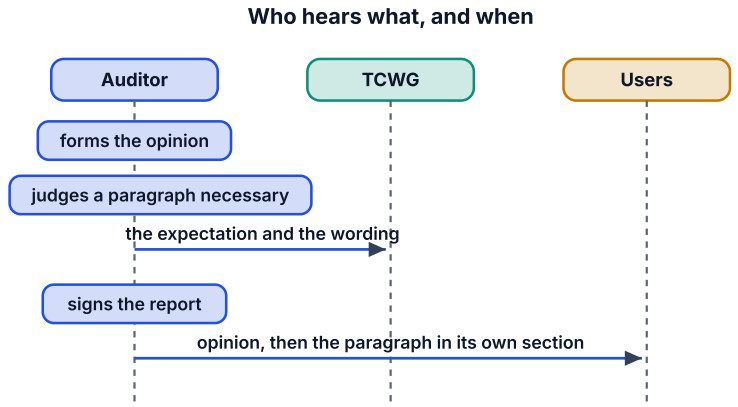
- (b) when SA 701 applies, the matter has not been determined to be a key audit matter to be communicated in the auditor's report.

The auditor shall include the paragraph within a **separate section** with the heading **"Other Matter,"** or other appropriate heading (SM 8.51).

Interactive version: PassBook app, lesson SA 706: emphasis of matter and other matter paragraphs

7. Tell those charged with governance first

If the auditor expects to include an Emphasis of Matter or an Other Matter paragraph in the auditor's report, the auditor shall communicate with **those charged with governance** (the board or its audit committee: the people who oversee the entity's financial reporting) regarding this expectation and the wording of this paragraph (SM 8.51).



TCWG: those charged with governance. The opinion is formed before any paragraph is considered, and the paragraph never changes it.

Formats and formulas

The two drafts, word for word

Reproduce these from memory: the heading, the reference to the note and the last sentence each carry marks.

Emphasis of Matter (ICAI's draft in the Study Material, SM 8.50):

> **Emphasis of Matter – [what the matter is]**
>
> We draw attention to Note [X] of the financial statements, which describes [the matter]. Our opinion is not modified in respect of this matter.

Other Matter (ICAI's illustrative company report, for branches audited by branch auditors, SM 8.30):

> **Other Matter**
>
> We did not audit the financial statements/information of [number] branches included in the standalone financial statements of the Company whose financial statements/financial information reflect total assets of ₹[...] as at 31st March 20XX and the total revenue of ₹[...] for the year ended on that date, as considered in the standalone financial statements/information of these branches have been audited by the branch auditors whose reports have been furnished to us, and our opinion in so far as it relates to the amounts and disclosures included in respect of branches, is based solely on the report of such branch auditors.
>
> Our opinion is not modified in respect of these matters.

The Other Matter text is as printed in the Study Material. In ICAI's illustration it sits after the Auditor's Responsibilities section and before "Report on Other Legal and Regulatory Requirements" (SM 8.30–8.31); the branch side of it is in branch audit and joint audit.

Emphasis of Matter or Other Matter: the side-by-side

Point	Emphasis of Matter	Other Matter
Refers to	A matter presented or disclosed in the financial statements	A matter other than those presented or disclosed
Test	Fundamental to users' understanding of the financial statements	Relevant to users' understanding of the audit, the auditor's responsibilities or the report
Provided	No SA 705 modification is required for it; not a key audit matter	Not prohibited by law or regulation; not a key audit matter
Heading	Includes the term "Emphasis of Matter"	"Other Matter", or other appropriate heading
Content	Clear reference to the matter and to the note; only information in the financial statements; opinion not modified	The matter, in a separate section

("Not a key audit matter" applies when SA 701 applies.)

Worked examples

Worked example **The cyclone, Bunty's creative draft and Kesar's two requests**

Iyer & Associates are the statutory auditors of Tapri Tea Co. Ltd, a listed company, for the year ended 31 March 2026 and have concluded that an unmodified opinion is appropriate. Note 46 to the financial statements describes the Paradeep cyclone of 18 May 2026 as an event after the balance sheet date: building and equipment with a carrying amount of ₹4.35 crore and inventory of ₹2.45 crore were destroyed, an insurance claim has been lodged, and its outcome is uncertain. The report is to be signed on 30 May 2026. Lakshmi judges the matter fundamental to users' understanding of the financial statements. She has

considered it under SA 701 and has not determined it to be a key audit matter, and she asks Bunty to draft an Emphasis of Matter paragraph.

Bunty's draft reads:

> **Qualified Opinion – Cyclone:** We draw attention to the cyclone. From news reports, we estimate that the loss will exceed ₹9 crore, and the insurer is likely to reject the claim.

Kesar makes two requests: (1) add the line "The cold store was fully insured"; and (2) "Tapri is listed, so the report has a Key Audit Matters section anyway. Describe the cyclone there and drop the separate paragraph."

Required:

(i) Examine Bunty's draft with reference to SA 706 (Revised) and redraft the paragraph.

(ii) Comment on each of Kesar's requests.

(iii) State what Iyer & Associates must do before issuing the report.

MODEL ANSWER

Relevant provision. As per SA 706 (Revised), if the auditor considers it necessary to draw users' attention to a matter presented or disclosed in the financial statements that, in the auditor's judgment, is of such importance that it is fundamental to users' understanding of the financial statements, the auditor shall include an Emphasis of Matter paragraph, provided the auditor would not be required to modify the opinion in accordance with SA 705 (Revised) as a result of the matter and, when SA 701 applies, the matter has not been determined to be a key audit matter. A significant subsequent event between the date of the financial statements and the date of the auditor's report, and a major catastrophe with a significant effect on the entity's financial position, are examples of such matters. The auditor shall include the paragraph within a separate section with a heading that includes the term "Emphasis of Matter"; include a clear reference to the matter and to where the relevant disclosures can be found in the financial statements, referring only to information presented or disclosed in the financial statements; and indicate that the opinion is not modified in respect of the matter (SM 8.49). Under SA 701, the auditor determines the key audit matters, from the matters communicated with those charged with governance, as those that required significant auditor attention in performing the audit and were of most significance in the audit of the current period (SM 8.52–8.53). The auditor shall communicate with those charged with governance the expectation of including the paragraph and its wording (SM 8.51).

Facts of the case. The cyclone of 18 May 2026 falls between the balance sheet date (31 March 2026) and the report date (30 May 2026); Note 46 discloses it, with ₹6.80 crore of assets destroyed and an insurance claim of uncertain outcome; no modification is required; the auditor has not determined it to be a key audit matter.

Analysis.

(i) Bunty's draft fails on four counts: the heading says "Qualified Opinion", although the opinion is unmodified and the heading must include the term "Emphasis of Matter"; it does not refer to Note 46, where the disclosures are found; the ₹9 crore estimate and the view on the insurer are not in the financial statements, and the paragraph may refer only to information presented or disclosed there; and it does not state that the opinion is not modified in respect of the matter.

(ii) **Request 1.** Note 46 says that the outcome of the claim is uncertain, and "fully insured" is not information presented or disclosed in the financial statements, so the paragraph cannot carry it. Any further information is management's to disclose in the notes, not the auditor's to add. **Request 2.** Key

audit matters are determined by the auditor, in the auditor's professional judgment, not chosen by management. Lakshmi has not determined the cyclone to be a key audit matter, so it does not belong in the Key Audit Matters section; and because it is not one, the second proviso for an Emphasis of Matter paragraph is met. Had she determined it to be a key audit matter, it would have been described in that section and not given an Emphasis of Matter paragraph as well. The separate Emphasis of Matter section therefore stays.

(iii) Before the report is issued, Iyer & Associates must communicate with those charged with governance (Tapri's audit committee) the expectation of including the paragraph and its wording.

Conclusion. Iyer & Associates should include the following, in a separate section, with the opinion unmodified:

> **Emphasis of Matter – Effects of the Cyclone at the Paradeep Cold Store**
>
> We draw attention to Note 46 of the financial statements, which describes the effects of a cyclone that destroyed the Company's cold store at Paradeep, Odisha, after the balance sheet date. Our opinion is not modified in respect of this matter.

Worked example **Lakshmi's review list**

Bunty has drafted the reporting for four engagements. State, with reasons, the correct reporting in each.

(a) Morena Clay Products Ltd, an unlisted company that does not communicate key audit matters, has lost its largest customer and breached a covenant on its term loan. The auditor has concluded that the going concern basis of accounting is appropriate but that a material uncertainty exists, and Note 31 discloses it adequately. Bunty has drafted an unmodified opinion followed by a paragraph headed "Emphasis of Matter – Going Concern".

(b) For Tapri Tea Co. Ltd, a GST demand of ₹28 crore under appeal required significant auditor attention and has been determined to be a key audit matter. Bunty has described it under Key Audit Matters and again in an Emphasis of Matter paragraph, "to be safe".

(c) Masala Mills Ltd refuses to disclose a corporate guarantee of ₹15 crore given for a related company's bank loan, a disclosure its financial reporting framework requires. Bunty plans an unmodified opinion with an Emphasis of Matter paragraph describing the guarantee.

(d) Mehra Masala Traders, a partnership firm, is audited for the first time for 2025-26 at its bank's request. The 2024-25 figures shown as corresponding figures were never audited. Bunty has said nothing about them.

MODEL ANSWER

(a) As per SA 570 (Revised), if the going concern basis is appropriate, a material uncertainty exists and adequate disclosure is made, the auditor shall express an unmodified opinion and include a separate section under the heading **"Material Uncertainty Related to Going Concern"** to draw attention to the note that discloses the matter and to state that these events or conditions indicate that a material uncertainty exists that may cast significant doubt on the entity's ability to continue as a going concern and that the opinion is not modified in respect of the matter (SM 7.22). An Emphasis of Matter paragraph is not a substitute for reporting in accordance with SA 570 (Revised) (SM 8.50). Bunty's unmodified opinion is right, but the Emphasis of Matter paragraph should be replaced by that section, referring to Note 31.

(b) An Emphasis of Matter paragraph is included only if, when SA 701 applies, the matter has **not** been determined to be a key audit matter (SM 8.49). The GST demand is a key audit matter, so it is described **only** in the Key Audit Matters section; the Emphasis of Matter paragraph should be removed.

(c) An Emphasis of Matter paragraph is not a substitute for disclosures that the framework requires management to make, and it may refer only to information presented or disclosed in the financial statements (SM 8.49–8.50). The omission is a misstatement relating to the non-disclosure of required information, so the opinion is **modified** under SA 705 (qualified or adverse, depending on pervasiveness). The auditor shall discuss the non-disclosure with those charged with governance, describe the nature of the omitted information in the Basis for Opinion section and, unless prohibited by law or regulation, include the omitted disclosure where practicable and supported by sufficient appropriate audit evidence (SM 8.45).

(d) As per SA 710, if the prior period financial statements were not audited, the auditor shall state in an **Other Matter** paragraph that the corresponding figures are unaudited; this does not relieve the auditor of obtaining sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements (SM 8.60). Bunty should add the Other Matter paragraph and complete the opening-balance procedures of SA 510.

In each case where a paragraph is added, the expectation and its wording are communicated first to those charged with governance (SM 8.51).

Exam angle

In the exam

Where SA 706 appeared in the documents read

New scheme, May 2024 to September 2026:

- **Identify and explain.** January 2026 Q3(a): a fire after the year-end, fully disclosed, with an unmodified opinion; identify the paragraph (1 mark), explain its meaning and other circumstances (4 marks). September 2024 MTP Series II Q2(b) (5 marks): litigation with a regulator in the High Court; the considerations when an Emphasis of Matter is included, and two examples.
- **The four examples alone.** MTP January 2026 Series II Q6(a) (5 marks); RTP May 2024 Q18.
- **A case on pending litigation.** January 2025 Q4(c) (4 marks): ICAI's answer combined SA 501 (communication with legal counsel), SA 706 and the section 143(3) statement on pending litigations, and printed an "Alternative Solution" built on SA 706's three requirements alone.
- **Other Matter through SA 710.** May 2026 Q6(b) (2 + 3 marks): a predecessor's report referred to; name the paragraph and list its contents.
- **The tempting wrong option in MCQs.** September 2024 MCQ 1 (inventory count impossible: modify under SA 705, not a representation plus an Emphasis of Matter), MCQ 6 (a dissenting joint auditor issues a separate report, not "a view in the Emphasis of Matter paragraph") and MCQ 12 (unreliable written representations: disclaimer, not an unmodified opinion with a paragraph).

Old scheme: an Emphasis of Matter draft for properties received in barter deals on possession letters (May 2022 Q6(a), 4 marks, with an alternative answer under CARO); a draft describing revenue cut-off risk and the procedures that addressed it, which belonged under Key Audit Matters, not Emphasis of Matter or Other Matter (MTP November 2022 Series II MCQ 1.5); the four examples (MTP December 2021 Series II Q5(d), 3 marks; MTP November 2023 Series I Q4(a), 4 marks); correct-or-incorrect on "an Emphasis of Matter affects the opinion" (RTP November 2023, incorrect).

In the exam

How the marks are earned

ICAI's suggested answers name the paragraph first, then give its definition, the three requirements (separate section with "Emphasis of Matter" in the heading; clear reference to the matter and the note, only information in the financial statements; opinion not modified) and, where asked, the four examples in ICAI's order. A drafted paragraph in ICAI's format ("We draw attention to Note ... Our opinion is not modified in respect of this matter") is how ICAI itself answered the fire and barter cases.

Trick

Four examples: "Litigation, Later event, Early standard, Earthquake"

Litigation or regulatory action (exceptional, uncertain outcome); **L**ater event (significant, between the date of the financial statements and the report date); **E**arly application of a new accounting standard (where permitted, material effect); **E**arthquake, standing for any major catastrophe with a significant effect on the financial position. Condition: these are examples of when the auditor *may* emphasise; the matter must still be disclosed in the statements, need no modification, and not be a key audit matter.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 706 (Revised), ..." the definition or the "provided" conditions, whichever the case turns on.
2. **Facts of the case**: what is disclosed, where (which note), and whether any modification is needed.
3. **Analysis**: inside the statements (Emphasis of Matter) or outside (Other Matter)? A key audit matter? A modification, a missing disclosure or going concern in disguise?
4. **Conclusion**: name the paragraph; draft it in ICAI's format; add the communication with those charged with governance.

"Distinguish between a key audit matter and an Emphasis of Matter"

Use the table in SA 701; add one line that carries marks: a matter determined to be a key audit matter is not also given an Emphasis of Matter paragraph (SM 8.49).

Three answers to "Define an Emphasis of Matter paragraph and state how it is presented"

Loses marks

"A paragraph to highlight important things in the report."

No definition, no "fundamental", no requirements.

Passes

The definition in ICAI's words, and "a separate section, heading Emphasis of Matter".

Two of the three requirements missing.

Full marks

The definition; the three requirements in order (separate section and heading; clear reference, only information in the statements; opinion not modified); the two provisos if the question is a case.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the Emphasis of Matter that tried to be a qualification

Bunty finds an unprovided liability, keeps the opinion clean and "emphasises" it. **Fix:** an Emphasis of Matter is included only if no modification is required, and it is not a substitute for one (SM 8.49–8.50). Modify under SA 705.

⚠ **Common mistake**

The paragraph that told users something the notes do not

Adding the auditor's own estimates, newspaper reports or management's reassurances. **Fix:** the Emphasis of Matter paragraph shall refer only to information presented or disclosed in the financial statements (SM 8.49).

⚠ **Common mistake**

Going concern dressed up as Emphasis of Matter

Fix: an adequately disclosed material uncertainty goes in the separate "Material Uncertainty Related to Going Concern" section; an Emphasis of Matter is not a substitute for SA 570 reporting (SM 7.22, 8.50).

⚠ **Common mistake**

Mixing up the two

Writing an Other Matter paragraph about a disclosed fire, or an Emphasis of Matter about unaudited corresponding figures. **Fix:** ask one question: is the matter presented or disclosed in the financial statements? Yes: Emphasis of Matter. No: Other Matter.

Practice

Check yourself

1 Case scenario. CA Sonal Dubey audits Rewa Agro Ltd, an unlisted company that does not communicate key audit matters. The company has applied a newly notified accounting standard early, as permitted, with a material effect on its financial statements, fully explained in Note 3. Sonal concludes that no modification is needed but wants users not to miss Note 3. Which of the following is correct?

- A Qualified opinion, because the effect is material
- B Unmodified opinion with an Emphasis of Matter paragraph referring to Note 3
- C Unmodified opinion with an Other Matter paragraph referring to Note 3
- D Unmodified opinion with a Key Audit Matters section on Note 3

2 When an Emphasis of Matter paragraph is included, which of these is NOT a requirement of SA 706?

- A Place it in a separate section with a heading that includes "Emphasis of Matter"
- B Refer clearly to the matter and to where the disclosures can be found in the financial statements
- C State that the opinion is not modified in respect of the matter
- D Add the auditor's own estimate of the matter's financial effect where the notes give none

3 An Emphasis of Matter paragraph is not a substitute for which of the following? Select all that apply.

- A A modified opinion required by the circumstances under SA 705
- B Disclosures the applicable financial reporting framework requires management to make
- C Reporting under SA 570 when a material uncertainty on going concern exists
- D An Other Matter paragraph about branches audited by branch auditors

More than one answer may be right.

4 Case scenario. Nine of the eleven branches of Bhopal Snacks Ltd are audited by branch auditors appointed under the Companies Act, 2013, who have sent their reports to the company's auditor, CA Irfan Qureshi. He has dealt with those reports, will express an unmodified opinion, and wants users to know that his opinion relies on them for those branches. Which of the following is correct?

- A An Other Matter paragraph on the branches audited by the branch auditors
- B An Emphasis of Matter paragraph, because the branches' figures are included in the financial statements
- C A qualified opinion, because CA Irfan did not audit those branches himself
- D A Key Audit Matters section listing the procedures the branch auditors performed

5 If the auditor expects to include an Emphasis of Matter or Other Matter paragraph, what must the auditor communicate to those charged with governance?

- A Nothing: the paragraph does not modify the opinion
- B Only the fact that a paragraph will appear, after the report is signed
- C The expectation and the wording of the paragraph
- D The paragraph only if management disagrees with it

Answers: the answer key at the end of this lesson.

Recap

- Emphasis of Matter: refers to a matter **appropriately presented or disclosed** in the financial statements that is **fundamental to users' understanding**.
- Included provided no SA 705 modification is required for it and, when SA 701 applies, it is not a key audit matter.
- Written in a separate section headed with "Emphasis of Matter"; clear reference to the matter and the note; only information in the statements; "our opinion is not modified".
- Examples: exceptional litigation or regulatory action; significant event after the date of the financial statements and before the report; early application of a new standard; major catastrophe.
- Not a substitute for a modified opinion, required disclosures, or SA 570's going concern section.
- Other Matter: a matter **not** presented or disclosed, relevant to understanding the audit, the auditor's responsibilities or the report; provided law does not prohibit it and it is not a key audit matter; heading "Other Matter".
- Tell those charged with governance the expectation and the wording first. (The bowler stays fit to play.)

Answer key · Check yourself

1 **B Unmodified opinion with an Emphasis of Matter paragraph referring to Note 3**

Early application of a new standard with a material effect is one of ICAI's examples for an Emphasis of Matter. The matter is disclosed in the statements, so not Other Matter; there is no misstatement, so no qualification; and the company does not communicate key audit matters.

2 **D Add the auditor's own estimate of the matter's financial effect where the notes give none**

The paragraph shall refer only to information presented or disclosed in the financial statements. The other three are SA 706's requirements, in its order.

3 **A A modified opinion required by the circumstances under SA 705; B Disclosures the applicable financial reporting framework requires management to make; C Reporting under SA 570 when a material uncertainty on going concern exists**

ICAI's list has exactly three items (SM 8.50). The last option is a different paragraph for a different kind of matter, not something an Emphasis of Matter is forbidden to replace.

4 **A An Other Matter paragraph on the branches audited by the branch auditors**

Who audited the branches is not presented or disclosed in the financial statements; it is relevant to users' understanding of the audit, which is the Other Matter test. ICAI's illustrative report carries exactly this Other Matter paragraph (number of branches, their total assets and total revenue, the opinion on them based solely on the branch auditors' reports) with an unmodified opinion (SM 8.30), so using branch auditors' reports is not by itself a reason to qualify. Key audit matters are the matters of most significance in the audit, not a note on who audited what.

5 **C The expectation and the wording of the paragraph**

SA 706 requires communication of the expectation and the wording (SM 8.51), before the report is issued.

8.5 SA 710: comparative information

What the auditor checks in last year's column, and when the report must mention it: corresponding figures (opinion on this year only) versus comparative financial statements (opinion on every year shown).

In plain words

Last year's column

Every page of Tapri Tea Co. Ltd's 2025-26 financial statements has two columns of numbers: 31 March 2026 and, beside it, 31 March 2025. Bunty is ticking only the first.

> **Bunty:** Ma'am, the second column was audited last year. Not my problem.
>
> **Lakshmi:** If that column is wrong, Bunty, every comparison a reader makes this year is wrong.
>
> **Kesar:** But your opinion is on this year, no? Last year is finished.
>
> **Lakshmi:** Usually, Kesar-ji. Unless last year's problem never went away.

Last year's amounts shown in this year's statements are **comparative information**. SA 710 says two things about them.

First, the auditor **checks** them: do they agree with last year's statements, and were the same accounting policies used (or were changes properly accounted for and disclosed)?

Second, the auditor **reports** on them in one of two ways, depending on how they are presented. Usually they are **corresponding figures**: part of this year's statements, meant to be read only alongside this year's numbers. Then the opinion is about **this year only**, and mentions last year's figures only in a few situations: last year's report was modified and the problem is still there; a material misstatement in last year's figures has surfaced and has not been dealt with; last year was never audited; or the auditor chooses to refer to a predecessor auditor's report. Sometimes law or the engagement terms require **comparative financial statements** instead: a full second set of statements, and then the opinion covers **each year** shown.

Think of it like

The cricket commentary

"Rohit made 82 today; he made 45 in the last match." The commentary is about today's match; the 45 is context, there to be read against the 82. That is a corresponding figure. A season review that rates both matches in full, one by one, is comparative financial statements. And if the 45 itself was misreported, today's commentary must say so: a wrong comparison misleads today's listener.

Key idea

Corresponding figures: the opinion refers to the current period only, and mentions the corresponding figures only in the exceptions SA 710 lists. Comparative financial statements: the opinion refers to each period presented. Either way, the auditor audits the comparison.

How it works

SA 710, "Comparative Information – Corresponding Figures and Comparative Financial Statements", deals with the auditor's responsibilities regarding comparative information in an audit of financial statements. When the financial statements of the prior period were audited by a predecessor auditor or were not audited, the requirements of SA 510 on opening balances also apply (SM 8.57).

Definition

Comparative information

The amounts and disclosures included in the financial statements in respect of one or more prior periods in accordance with the applicable financial reporting framework (SM 8.58).

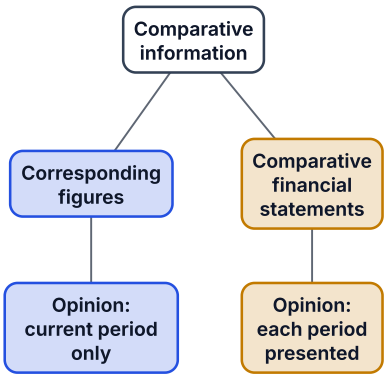
1. Two approaches, one difference

The nature of the comparative information presented depends on the requirements of the applicable financial reporting framework. There are two broad approaches to the auditor's reporting responsibilities: **corresponding figures** and **comparative financial statements**. The approach is often specified by law or regulation, but may also be specified in the terms of engagement (SM 8.57–8.58).

The essential audit reporting differences (SM 8.58):

- (a) for corresponding figures, the auditor's opinion on the financial statements refers to the **current period only**; whereas
- (b) for comparative financial statements, the auditor's opinion refers to **each period** for which financial statements are presented.

Comparative information: two approaches



Blue: corresponding figures, an integral part of the current statements, read only in relation to the current figures; amber: comparative financial statements, a comparable second set, referred to in the opinion if audited.

2. The objectives

As per SA 710, the objectives of the auditor are (SM 8.58):

- (a) to obtain sufficient appropriate audit evidence about whether the comparative information included in the financial statements has been presented, in all material respects, in accordance

with the requirements for comparative information in the applicable financial reporting framework; and

- (b) to report in accordance with the auditor's reporting responsibilities.

3. The audit procedures

These apply under both approaches (SM 8.58–8.59):

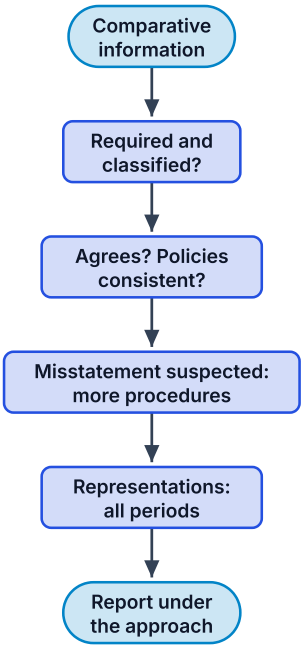
1 **Required and classified?** The auditor shall determine whether the financial statements include the comparative information required by the applicable financial reporting framework and whether such information is appropriately classified.

2 **Agreement and consistency.** For this purpose, the auditor shall evaluate whether (a) the comparative information agrees with the amounts and other disclosures presented in the prior period; and (b) the accounting policies reflected in the comparative information are consistent with those applied in the current period or, if there have been changes in accounting policies, whether those changes have been properly accounted for and adequately presented and disclosed.

3 **A possible material misstatement.** If the auditor becomes aware of a possible material misstatement in the comparative information while performing the current period audit, the auditor shall perform such additional audit procedures as are necessary to obtain sufficient appropriate audit evidence to determine whether a material misstatement exists. If the auditor had audited the prior period's financial statements, the auditor shall also follow the relevant requirements of SA 560.

4 **Written representations.** As required by SA 580, the auditor shall request written representations for **all periods referred to in the auditor's opinion**, and shall also obtain a specific written representation regarding any **prior period item** that is separately disclosed in the current year's statement of profit and loss.

What the auditor does with last year's column



Step 3 applies only if the auditor becomes aware of a possible material misstatement; SA 560 also applies if the auditor audited the prior period. Step 4 adds a specific representation for any prior period item separately disclosed in the current year's statement of profit and loss.

4. Reporting: corresponding figures

Definition

Corresponding figures

Comparative information where amounts and other disclosures for the prior period are included as an integral part of the current period financial statements, and are intended to be read only in relation to the amounts and other disclosures relating to the current period (referred to as "current period figures"). The level of detail presented in the corresponding amounts and disclosures is dictated primarily by its relevance to the current period figures (SM 8.59).

When corresponding figures are presented, the auditor's opinion shall not refer to the corresponding figures except in the following circumstances (SM 8.60–8.61):

1. Prior report modified, matter unresolved. If the auditor's report on the prior period, as previously issued, included a qualified opinion, a disclaimer of opinion, or an adverse opinion and the matter which gave rise to the modification is unresolved, the auditor shall **modify the auditor's opinion on the current period's financial statements**. In the Basis for Modification paragraph, the auditor shall either:

- (a) refer to both the current period's figures and the corresponding figures in the description of the matter giving rise to the modification when the effects or possible effects of the matter on the current period's figures are material; or
- (b) in other cases, explain that the audit opinion has been modified because of the effects or possible effects of the unresolved matter on the comparability of the current period's figures and

the corresponding figures.

2. Prior period misstated, previously unmodified. If the auditor obtains audit evidence that a material misstatement exists in the prior period financial statements on which an unmodified opinion has been previously issued, the auditor shall verify whether the misstatement has been dealt with as required under the applicable financial reporting framework and, if that is not the case, the auditor shall express a **qualified opinion or an adverse opinion** in the auditor's report on the current period financial statements, modified with respect to the corresponding figures included therein.

3a. Prior period not audited. If the prior period financial statements were not audited, the auditor shall state in an **Other Matter paragraph** that the corresponding figures are unaudited. Such a statement does not, however, relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements.

3b. Prior period audited by a predecessor auditor. If the financial statements of the prior period were audited by a predecessor auditor and the auditor is permitted by law or regulation to refer to the predecessor auditor's report on the corresponding figures and decides to do so, the auditor shall state in an **Other Matter paragraph**: (a) that the financial statements of the prior period were audited by the predecessor auditor; (b) the type of opinion expressed by the predecessor auditor and, if the opinion was modified, the reasons therefor; and (c) the date of that report.

5. Reporting: comparative financial statements

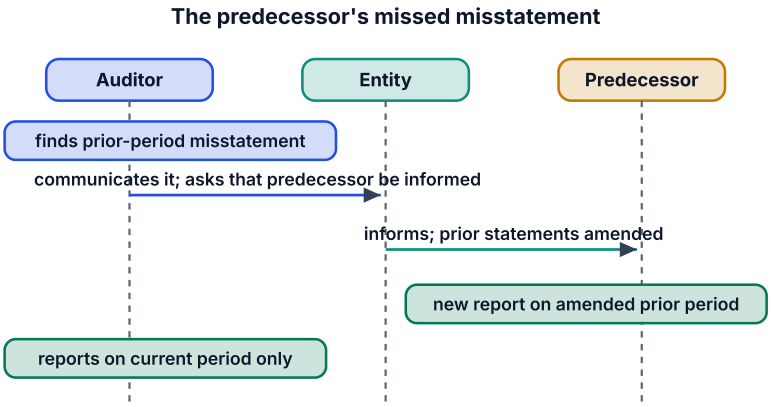
Definition

Comparative financial statements

Comparative information where amounts and other disclosures for the prior period are included for comparison with the financial statements of the current period but, if audited, are referred to in the auditor's opinion. The level of information included in those comparative financial statements is comparable with that of the financial statements of the current period (SM 8.61).

- **Opinion on each period.** When comparative financial statements are presented, the auditor's opinion shall refer to each period for which financial statements are presented and on which an audit opinion is expressed (SM 8.61).
- **A different opinion on the prior period.** When reporting on prior period financial statements in connection with the current period's audit, if the auditor's opinion on them differs from the opinion the auditor previously expressed, the auditor shall disclose the substantive reasons for the different opinion in an **Other Matter paragraph** in accordance with SA 706 (SM 8.61).
- **Predecessor auditor.** If the prior period was audited by a predecessor auditor, in addition to expressing an opinion on the current period's financial statements, the auditor shall state in an Other Matter paragraph: (a) that the prior period was audited by a predecessor auditor; (b) the type of opinion expressed by the predecessor and, if modified, the reasons therefor; and (c) the date of that report, unless the predecessor auditor's report on the prior period's financial statements is revised with the financial statements (SM 8.61–8.62).

- **A misstatement the predecessor missed.** If the auditor concludes that a material misstatement exists that affects the prior period financial statements on which the predecessor had reported without modification, the auditor shall communicate the misstatement with the appropriate level of management and those charged with governance and request that the predecessor auditor be informed. If the prior period financial statements are amended, and the predecessor agrees to issue a new auditor's report on the amended financial statements of the prior period, the auditor shall **report only on the current period** (SM 8.62).
- **Prior period not audited.** The auditor shall state in an Other Matter paragraph that the comparative financial statements are unaudited; this does not relieve the auditor of the requirement to obtain sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements (SM 8.62).



Comparative financial statements; the predecessor had reported on the prior period without modification. Entity: the appropriate level of management and those charged with governance.

Formats and formulas

When the report mentions last year: the master table

Reproduce this table from memory: the situation, the reporting and the paragraph carry the marks.

Situation	Corresponding figures	Comparative financial statements
Normal case	Opinion silent on them	Opinion on each period
Prior opinion modified, matter unresolved	Modify current opinion; refer to both, or to comparability	No separate rule in the Study Material (see Under the hood)
Prior misstatement, prior opinion unmodified	Not dealt with: qualified or adverse, on corresponding figures	(Predecessor's report) communicate; predecessor informed; amended and reissued: report on current period only
Prior period not audited	Other Matter: corresponding figures unaudited	Other Matter: comparative statements unaudited
Predecessor audited prior period	Other Matter, if law permits and the auditor decides to refer	Other Matter, unless the predecessor's report is revised
Auditor's new opinion on prior period differs	Not applicable	Other Matter: substantive reasons

Both Other Matter paragraphs about a predecessor contain the same three things, in this order: **(a)** the prior period was audited by a predecessor auditor; **(b)** the type of opinion expressed and, if modified, the reasons; **(c)** the date of that report.

The Basis for Modification: two ways to write it

Effect on current figures	Basis for Modification paragraph
Material	Refers to both the current and the corresponding figures
Other cases	Explains the modification is due to the effect on comparability

Worked examples

Worked example **The trucks that never wear out**

Narmada Cold Chain Ltd, a refrigerated-transport supplier to Tapri, has charged no depreciation on its reefer trucks since 1 April 2024, which is a departure from the applicable accounting standards. Iyer & Associates qualified their opinion on the 2024-25 financial statements for this reason. The policy continues in 2025-26. The company presents corresponding figures.

Depreciation not charged	Amount (₹ crore)
2024-25	1.65
2025-26	1.80

Overall materiality for 2025-26 is ₹1.20 crore.

Required:

(i) State the reporting responsibility of Iyer & Associates for 2025-26 under SA 710.

(ii) Quantify the matter and draft the Basis for Qualified Opinion paragraph (ignore tax).

MODEL ANSWER

Relevant provision. As per SA 710, when corresponding figures are presented, the auditor's opinion shall not refer to them except in specified circumstances. If the auditor's report on the prior period, as previously issued, included a qualified opinion and the matter which gave rise to the modification is unresolved, the auditor shall modify the opinion on the current period's financial statements. In the Basis for Modification paragraph the auditor shall refer to both the current period's figures and the corresponding figures when the effects of the matter on the current period's figures are material; in other cases, explain that the opinion has been modified because of the effects on comparability.

Facts of the case. The 2024-25 opinion was qualified for non-depreciation; the matter is unresolved; the 2025-26 effect is ₹1.80 crore against materiality of ₹1.20 crore.

Analysis. The prior modification is unresolved, so the current opinion must be modified. The effect on the current period's figures (₹1.80 crore) exceeds materiality, 1.5 times over, so it is material; it is confined to depreciation, property, plant and equipment, and profit, so it is not pervasive.

Effect (before tax)	2025-26 (₹ crore)	2024-25 (₹ crore)
Profit overstated by	1.80	1.65
Property, plant and equipment overstated at year-end by	3.45	1.65

Working: the year-end overstatement accumulates: 1.65 at 31 March 2025; 1.65 + 1.80 = 3.45 at 31 March 2026.

Conclusion. (i) Iyer & Associates should express a **qualified opinion** on the 2025-26 financial statements and, because the effect on the current period's figures is material, refer to **both** the current period's figures and the corresponding figures in the Basis for Qualified Opinion paragraph.

(ii) *Basis for Qualified Opinion:* As stated in Note 2.6, the Company has not provided depreciation on its refrigerated trucks since 1 April 2024, which is a departure from the applicable accounting standards. This matter caused us to qualify our opinion on the financial statements for the year ended 31 March 2025. Had depreciation been provided, the profit for the year would have been lower by ₹1.80 crore for 2025-26 and by ₹1.65 crore for 2024-25, and property, plant and equipment would have been lower by ₹3.45 crore as at 31 March 2026 and by ₹1.65 crore as at 31 March 2025, before tax effects. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Worked example

Four second columns

Iyer & Associates audit four entities for 2025-26, all presenting corresponding figures. State, with reasons, the reporting in each.

(a) Indore Spice Exports Ltd: the 2024-25 report was qualified because a term loan of ₹40 crore, repayable in 2028, was shown as a current liability. The 2025-26 balance sheet classifies it correctly, but the corresponding figures have not been restated. The misclassification has no effect on any 2025-26 amount.

(b) Malwa Dairy Ltd: Iyer & Associates issued an unmodified opinion on 2024-25. This year they find that ₹2.10 crore of sales despatched in April 2025 was recorded in March 2025; 2024-25 materiality was ₹1.00 crore.

(c) Mehra Masala Traders, a partnership firm, has its first audit this year; its 2024-25 accounts were never audited. Bunty proposes to write an Other Matter paragraph saying so and, since users are then warned, to skip all work on the opening balances.

(d) Ujjain Kulhad Works Ltd: Iyer & Associates are newly appointed; the 2024-25 statements were audited by CA Meera Joshi, who expressed an unmodified opinion in a report dated 22 May 2025. Law permits a reference to her report, and Iyer & Associates decide to make it.

MODEL ANSWER

(a) As per SA 710, if the prior period report was qualified and the matter is unresolved, the auditor shall modify the opinion on the current period's financial statements; where the effects on the current period's figures are not material, the Basis for Modification paragraph explains that the opinion has been modified because of the effects of the unresolved matter on the **comparability** of the current period's figures and the corresponding figures (SM 8.60). The matter is unresolved, since the corresponding

figures still show the loan as current, and has no effect on 2025-26 amounts. Hence a **qualified opinion**, with the Basis paragraph explaining the effect on comparability.

(b) As per SA 710, when evidence shows a material misstatement in prior period financial statements on which an unmodified opinion was issued, the auditor shall verify whether it has been dealt with as required under the applicable financial reporting framework; if not, the auditor shall express a qualified or adverse opinion on the current period's financial statements, modified with respect to the corresponding figures (SM 8.60). As the auditor of the prior period, Iyer & Associates shall also follow the relevant requirements of SA 560, and shall obtain a specific written representation for any prior period item separately disclosed in the current year's statement of profit and loss (SM 8.59). The ₹2.10 crore is more than twice the prior period's materiality. If management deals with it as the framework requires, no modification arises on this account; if not, a **qualified opinion** (the misstatement is confined to revenue, receivables, inventories and profit, so not pervasive), modified with respect to the corresponding figures. The same sales belong in 2025-26 revenue, so the auditor also checks that the current period's figures are not misstated on this account; if they are, that misstatement is evaluated under SA 705 as well.

(c) As per SA 710, if the prior period financial statements were not audited, the auditor shall state in an **Other Matter paragraph** that the corresponding figures are unaudited; this does not relieve the auditor of obtaining sufficient appropriate audit evidence that the opening balances do not contain misstatements that materially affect the current period's financial statements (SM 8.60). The firm's report carries that paragraph, but Bunty's plan to skip the opening balances is wrong: the paragraph does not relieve the auditor of that evidence, which is obtained under SA 510 (SM 4.87–4.91).

(d) As per SA 710, if the prior period was audited by a predecessor auditor and the auditor is permitted by law or regulation to refer to the predecessor's report on the corresponding figures and decides to do so, the auditor shall state in an **Other Matter paragraph** (a) that the prior period was audited by the predecessor auditor; (b) the type of opinion expressed and, if modified, the reasons; and (c) the date of that report (SM 8.60–8.61). The paragraph states that the 2024-25 financial statements were audited by CA Meera Joshi, who expressed an unmodified opinion in her report dated 22 May 2025. SA 510 also applies, as this is an initial audit engagement.

Worked example **Two years on one page**

Indore Kulhad Exports Ltd's loan agreement with a foreign bank requires it to present comparative financial statements for 2024-25 and 2025-26, and the terms of the audit engagement require an opinion on each.

(i) Iyer & Associates audited 2024-25 and qualified that opinion because inventory was overvalued by ₹1.10 crore. Management has now amended the 2024-25 financial statements to correct the overvaluation, and the firm concludes that the amended 2024-25 statements give a true and fair view.

(ii) Alternatively, suppose 2024-25 had been audited by Bose & Co., who reported without modification, and Iyer & Associates find that the 2024-25 inventory was materially overvalued.

Advise Iyer & Associates on their reporting in each situation.

MODEL ANSWER

Relevant provision. As per SA 710, when comparative financial statements are presented, the auditor's opinion shall refer to each period for which financial statements are presented and on which an audit opinion is expressed. If the auditor's opinion on the prior period financial statements differs from the

opinion previously expressed, the auditor shall disclose the substantive reasons for the different opinion in an Other Matter paragraph in accordance with SA 706. If the prior period was audited by a predecessor auditor, the auditor shall state in an Other Matter paragraph that the predecessor audited it, the type of opinion expressed (with reasons if modified) and the date of that report, unless the predecessor's report is revised with the financial statements. If the auditor concludes that a material misstatement affects prior period financial statements on which the predecessor reported without modification, the auditor shall communicate it with the appropriate level of management and those charged with governance and request that the predecessor be informed; if the prior period statements are amended and the predecessor agrees to issue a new report on them, the auditor shall report only on the current period.

Facts and analysis.

(i) The approach is comparative financial statements, set by the engagement terms. The firm's opinion on the amended 2024-25 statements (unmodified) differs from the qualified opinion it issued earlier.

(ii) The predecessor reported without modification on statements that contain a material misstatement.

Conclusion.

(i) Iyer & Associates should express an opinion on **each** of 2024-25 and 2025-26, and include an **Other Matter paragraph** giving the substantive reasons for the different opinion on 2024-25: the earlier report was qualified for the ₹1.10 crore overvaluation of inventory, and the statements have since been amended to correct it.

(ii) They should communicate the misstatement to the appropriate level of management and to those charged with governance and request that Bose & Co. be informed. If the 2024-25 statements are amended and Bose & Co. agree to issue a new report on them, Iyer & Associates report **only on 2025-26**. If the statements are not amended, SA 710 in the Study Material gives no further rule; Iyer & Associates express their opinion on 2025-26 with the Other Matter paragraph stating that 2024-25 was audited by Bose & Co., that Bose & Co. expressed an unmodified opinion, and the date of that report. The overvalued closing inventory of 2024-25 is also the opening inventory of 2025-26, so SA 510 applies: if the misstatement materially affects the 2025-26 financial statements and its effect is not properly accounted for or adequately presented and disclosed, they express a qualified or an adverse opinion on 2025-26 (SM 4.91).

Exam angle

In the exam

Where SA 710 appeared in the documents read

New scheme, May 2024 to September 2026:

- **The exceptions for corresponding figures**: MTP May 2025 Series II Q4(a) (5 marks, "what are those exceptional circumstances?"); MTP September 2026 Series I Q4(c) (4 marks, the circumstances and the reporting in each).
- **Prior adverse opinion, comparative financial statements**: January 2025 Q5(b) (5 marks); MTP September 2025 Series II Q4(a) (5 marks), the same facts with new names.
- **Predecessor auditor**: May 2026 Q6(b) (2 marks for naming and explaining the Other Matter paragraph, 3 for its contents).
- **Nature, approaches, definition and procedures**: RTP January 2025 Q16.

Old scheme: the exceptions (November 2019 Q5(a), 4 marks; May 2022 Q6(b), 4 marks; MTP November 2022 Series I Q5(b), 4 marks); the predecessor Other Matter paragraph (MTP November 2022 Series I Q5(a), 3 marks; November 2022 Q5(a), 4 marks, where the predecessor had qualified comparative statements); the two approaches and their essential reporting difference (November 2023 Q4(d), 3 marks). The Study Material's own MCQ asks which Standard deals with comparative information: SA 710, not SA 705 (SM 8.87–8.88).

In the exam

How the marks are earned

The suggested answers reproduce the Standard's numbered circumstances in order, with the two options for the Basis for Modification paragraph written out in full, and the predecessor paragraph's three contents (a), (b), (c). A case answer applies them: which approach, which circumstance, which paragraph.

Trick

The four times the corresponding figures get a mention: "Modified, Misstated, Missing, Mentioned"

Modified last year and still unresolved; **M**isstated last year (prior opinion unmodified) and not dealt with; **M**issing audit (prior period unaudited); the predecessor's report **M**entioned (referred to, where law permits). Condition: corresponding figures only; under comparative financial statements the opinion covers each period anyway.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: "As per SA 710, ..." name the approach, then quote the circumstance the case turns on.
2. **Facts of the case**: which approach the entity uses; last year's opinion; who audited last year; what has been found.
3. **Analysis**: is the matter unresolved? Is the effect on the current period's figures material? Which paragraph?
4. **Conclusion**: the opinion, and the content of the Basis for Modification or Other Matter paragraph.

"Distinguish between corresponding figures and comparative financial statements"

Point	Corresponding figures	Comparative financial statements
Nature	Integral part of the current period statements	Included for comparison with the current period statements
Read	Only in relation to the current period figures	As a set comparable with the current period
Level of detail	Dictated by relevance to the current period figures	Comparable with the current period statements
Opinion refers to	Current period only	Each period presented and audited
Prior period unaudited	Other Matter: corresponding figures unaudited	Other Matter: comparative statements unaudited

Common mistakes

⚠ **Common mistake**

Hall of Shame: "last year's problem is last year's auditor's problem"

Bunty issues a clean 2025-26 opinion although last year's qualification is unresolved. **Fix:** an unresolved prior modification requires the current opinion to be modified, with the Basis paragraph referring to both periods or to comparability (SM 8.60).

⚠ **Common mistake**

The Emphasis of Matter for unaudited comparatives

Fix: that the prior period was not audited is not disclosed in the statements; it is about the audit. The paragraph is an **Other Matter** paragraph (SM 8.60, 8.62).

⚠ **Common mistake**

"Unaudited" as an excuse

Writing the Other Matter paragraph and skipping the opening balances. **Fix:** the statement does not relieve the auditor of obtaining sufficient appropriate audit evidence on opening balances (SM 8.60).

⚠ **Common mistake**

One opinion for two years

Under comparative financial statements, giving an opinion "on the financial statements for the year ended 31 March 2026" only. **Fix:** the opinion refers to each period presented and audited (SM 8.61).

Practice

Check yourself

1 Case scenario. Rajgarh Agro Ltd presents corresponding figures. Its 2024-25 audit report contained a disclaimer of opinion because the auditor could not attend the year-end inventory count. That inventory is the opening inventory for 2025-26, and its possible effect on 2025-26 profit is material. No alternative evidence exists. Which of the following is correct for 2025-26?

- **A** Unmodified opinion with an Other Matter paragraph about the prior year's disclaimer
- **B** Modify the opinion on 2025-26, referring in the Basis paragraph to both the current period's figures and the corresponding figures
- **C** Modify the opinion only on the corresponding figures, keeping the 2025-26 opinion unmodified
- **D** Unmodified opinion with an Emphasis of Matter paragraph on the opening inventory

2 Under the corresponding figures approach, the auditor's opinion refers to:

- **A** The current period only
- **B** Each period presented
- **C** The prior period only, if it was audited by a predecessor
- **D** Both periods, whenever the prior period was audited by the same auditor

3 The prior period financial statements were not audited. Which statements are correct? Select all that apply.

- **A** The auditor states in an Other Matter paragraph that the corresponding figures are unaudited
- **B** The auditor must still obtain sufficient appropriate audit evidence that the opening balances do not materially misstate the current period
- **C** The auditor includes an Emphasis of Matter paragraph referring to the note on the prior period
- **D** The auditor disclaims an opinion on the corresponding figures

More than one answer may be right.

4 Under SA 710, from whom and for which periods does the auditor request written representations?

- **A** From management, for the current period only
- **B** From management, for all periods referred to in the opinion, plus a specific representation for any prior period item separately disclosed in the current statement of profit and loss
- **C** From the predecessor auditor, for the prior period
- **D** From those charged with governance, only when comparative financial statements are presented

5 Case scenario. Comparative financial statements are presented. The predecessor reported without modification on 2024-25. The current auditor finds a material misstatement in 2024-25; management amends those statements, and the predecessor agrees to issue a new report on them. What does the current auditor report on?

A Both periods, with an Other Matter paragraph on the predecessor

B Both periods, with a qualified opinion on 2024-25

C Only the current period

D Only the prior period, since it was amended

Answers: the answer key at the end of this lesson.

Recap

- Comparative information: prior period amounts and disclosures included under the applicable framework. Approach: set by law or regulation, or by the engagement terms.
- Corresponding figures: opinion on the **current period only**. Comparative financial statements: opinion on **each period** presented.
- Procedures: required and classified; agrees with prior period; policies consistent or changes accounted for and disclosed; possible misstatement: extra procedures (and SA 560 if we audited it); representations for all periods, plus prior period items.
- Corresponding figures exceptions: prior modification unresolved (refer to both, or to comparability); prior misstatement not dealt with (qualified or adverse, on the corresponding figures); unaudited (Other Matter); predecessor referred to (Other Matter).
- Predecessor Other Matter contents: predecessor audited; type of opinion (reasons if modified); date of the report.
- Comparative statements: a different opinion on the prior period: Other Matter with the substantive reasons; predecessor's missed misstatement: tell management and TCWG, ask that the predecessor be told; amended and reissued: report on the current period only.
- "Unaudited" never relieves the opening-balance work. (Today's commentary still checks last match's score.)

Answer key · Check yourself

1 **B Modify the opinion on 2025-26, referring in the Basis paragraph to both the current period's figures and the corresponding figures**

The prior modification is unresolved, so the current opinion is modified; because the possible effect on the current period's figures is material, the Basis paragraph refers to both. Under corresponding figures there is no separate opinion on the prior period to modify.

2 **A The current period only**

The essential reporting difference: corresponding figures, current period only; comparative financial statements, each period (SM 8.58).

3 **A The auditor states in an Other Matter paragraph that the corresponding figures are unaudited; B The auditor must still obtain sufficient appropriate audit evidence that the opening balances do not materially misstate the current period**

SA 710 asks for an Other Matter paragraph and keeps SA 510's evidence requirement alive (SM 8.60).

4 **B From management, for all periods referred to in the opinion, plus a specific representation for any prior period item separately disclosed in the current statement of profit and loss**

SA 710 applies SA 580 to all periods in the opinion and adds a specific representation on prior period items (SM 8.59).

5 **C Only the current period**

When the prior period statements are amended and the predecessor agrees to issue a new report on them, the auditor reports only on the current period (SM 8.62).

8.6 Company auditor's reporting under the Companies Act, 2013

What section 143 makes a company's auditor inquire into, state and report: the six inquiries, the section 143(3) and Rule 11 statements, reasons for every "no", CARO and frauds.

In plain words

Four extra pages, and who asked for them

Iyer & Associates are drafting the 2025-26 report on Tapri Tea Co. Ltd. The true and fair opinion fills the first pages. Then comes a second heading, "Report on Other Legal and Regulatory Requirements", and four more pages.

> **Kesar:** Lakshmi-ji, I asked for "true and fair". Who ordered the extra pages?
>
> **Lakshmi:** Parliament did, Kesar-ji. The Companies Act gives a company's auditor duties of its own.
>
> **Bunty:** Ma'am, I have written "we are satisfied" against all six items on the inquiry list.
>
> **Lakshmi:** Then you have written six sentences the law never asked for, Bunty.

The law gives a company's auditor three kinds of duty on top of the Standards on Auditing.

Things to look into, and mention only if something is wrong. Were the MD's personal bills booked as company expenses? Were shares shown as "allotted for cash" when no cash came in? If all is well, the report says nothing about them.

Things to state every year, good or bad. Did the auditor get all the information needed? Are proper books kept? Do the accounts follow the accounting standards? Is any director disqualified? Are internal financial controls adequate? Plus a short list set by the rules (pending litigations, dividends, the software's audit trail and a few more), and, for most companies, a longer government questionnaire, CARO 2020. Every "no" or "yes, but" carries its reasons.

Frauds. If the auditor has reason to believe that officers or employees are committing a fraud, a big one (₹1 crore or more) goes to the Central Government, a smaller one to the audit committee or the board.

Think of it like

The school-bus fitness check

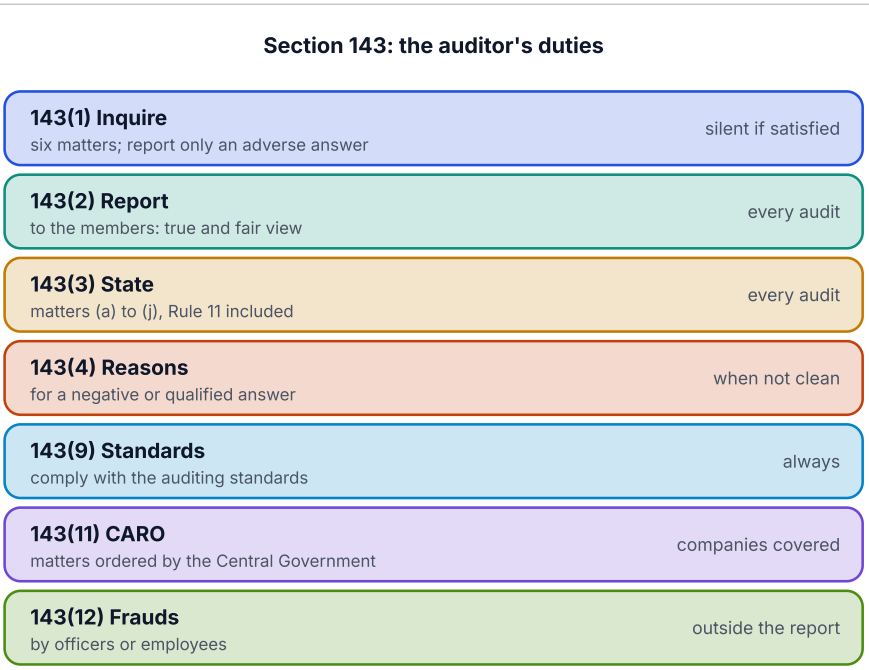
The inspector gives one verdict: fit to run. He also fills the transport department's printed checklist (brakes, speed governor, first-aid box), quietly checks under the seats for a few named dangers and writes about them only if he finds one, writes a reason against every "no", and fills an extra form for heavy vehicles. If he finds the driver drunk, he does not just note it in the report: he calls the authorities. Verdict, checklist, quiet checks, reasons, extra form, call: that is the company audit report.

Key idea

A company's auditor inquires into some matters and speaks only if the answer is adverse; states others every year, with reasons for every negative or qualified answer; and reports frauds by officers or employees outside the report, to the Central Government or to the audit committee or board depending on the amount.

How it works

Section 143 of the Companies Act, 2013 contains, inter alia, the reporting requirements of the auditor of a company in the form of duties (SM 8.68). Its sub-sections, in order:



Read top to bottom: what the auditor looks into, what the report says, how it says "no", and what goes outside the report.

1. Section 143(1): six matters to inquire into

Under section 143(1), the auditor shall inquire into the following matters (SM 8.68–8.69):

- (a) whether **loans and advances made by the company on the basis of security** have been properly secured and whether the terms on which they have been made are prejudicial to the interests of the company or its members;
- (b) whether **transactions of the company which are represented merely by book entries** are prejudicial to the interests of the company;
- (c) where the company not being an investment company or a banking company, whether so much of the assets of the company as consist of **shares, debentures and other securities have been sold at a price less than** that at which they were purchased by the company;
- (d) whether **loans and advances made by the company have been shown as deposits**;
- (e) whether **personal expenses have been charged to revenue account**;
- (f) where it is stated in the books and documents of the company that any **shares have been allotted for cash**, whether cash has actually been received in respect of such allotment, and if no

cash has actually been so received, whether the position as stated in the account books and the balance sheet is correct, regular and not misleading.

How it is reported. The auditor is not required to report on these matters unless he has any special comments to make on any of them. If he is satisfied as a result of the inquiries, he has no further duty to report that he is so satisfied. So the auditor makes a report to the members only when he finds the answer to any of these matters adverse (SM 8.69).

2. Section 143(2): the report to the members

The auditor shall make a report to the **members** on the accounts examined by him and on every financial statement required to be laid before the company in general meeting, taking into account the provisions of the Act, the accounting and auditing standards, and the matters required by the Act, the rules or any order under section 143(11). It states whether, to the best of his information and knowledge, they give a **true and fair view** of the state of the company's affairs at the end of the financial year and of its profit or loss and cash flow for the year, and other matters prescribed under Rule 11 (SM 8.69).

3. Section 143(3): what the report shall also state

In terms of section 143(3), the auditor's report shall also state (SM 8.69–8.70):

- (a) whether he has **sought and obtained all the information and explanations** which to the best of his knowledge and belief were necessary for the purpose of his audit and if not, the details thereof and the effect of such information on the financial statements;
- (b) whether, in his opinion, **proper books of account** as required by law have been kept by the company so far as appears from his examination of those books and proper returns adequate for the purposes of his audit have been received from **branches not visited** by him;
- (c) whether the report on the accounts of any **branch office** of the company **audited under section 143(8)** by a person other than the company's auditors has been sent to him under the proviso to that sub-section and the manner in which he has dealt with it in preparing his report;
- (d) whether the company's balance sheet and profit and loss account dealt with in the report are **in agreement with the books** of account and returns;
- (e) whether, in his opinion, the financial statements **comply with the accounting standards**;
- (f) the **observations or comments** of the auditors on financial transactions or matters which have any **adverse effect on the functioning** of the company;
- (g) whether any **director is disqualified** from being appointed as a director under section 164(2);
- (h) any **qualification, reservation or adverse remark** relating to the maintenance of accounts and other matters connected therewith;
- (i) whether the company has adequate **internal financial controls** with reference to financial statements in place and the operating effectiveness of such controls;
- (j) such **other matters as are prescribed in Rule 11** of the Companies (Audit and Auditors) Rules, 2014.

Clause (i) does not apply to a private company which is a One Person Company, a small company, or a company having turnover less than ₹50 crore as per its latest audited financial statements and aggregate borrowings from banks, financial institutions or any body corporate at any point of time during the financial year less than ₹25 crore (SM 8.70). The exemption, the Annexure A report and who else answers for these controls are in internal financial controls.

> ⚠ **Careful**
>
> The small company limits in section 2(85), which this exemption and CARO 2020 rely on, were raised to paid-up capital not exceeding ₹10 crore and turnover not exceeding ₹100 crore by notification G.S.R 880(E) dated 1 December 2025. ICAI lists this under Paper 2; Paper 5 answers follow the Study Material, which gives no figures. Verify against the Study Material and Statutory Update for your attempt.

4. Rule 11: the six other matters

Rule 11 requires the report to state (SM 8.71–8.72):

- (a) whether the company has **disclosed the impact, if any, of pending litigations** on its financial position in its financial statements;
- (b) whether the company has made provision, as required under any law or accounting standards, for **material foreseeable losses**, if any, on **long term contracts including derivative contracts**;
- (c) whether there has been any **delay in transferring amounts** required to be transferred to the **Investor Education and Protection Fund**;
- (d) (i) whether the management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person(s) or entity(ies), including foreign entities ("**Intermediaries**"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("**Ultimate Beneficiaries**") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; (ii) whether the management has represented that, to the best of its knowledge and belief, other than as disclosed in the notes to the accounts, no funds have been received by the company from any person(s) or entity(ies), including foreign entities ("**Funding Parties**"), with the understanding, whether recorded in writing or otherwise, that the company shall, whether directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries; and (iii) based on such audit procedures that the auditor has considered reasonable and appropriate in the circumstances, nothing has come to their notice that has caused them to believe that the representations under (i) and (ii) contain any material misstatement;
- (e) whether the **dividend declared or paid** during the year is in compliance with **section 123**;
- (f) whether the company has used such accounting software for maintaining its books of account which has a feature of recording **audit trail (edit log)** facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not

been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

5. Reasons, standards and the Central Government's order

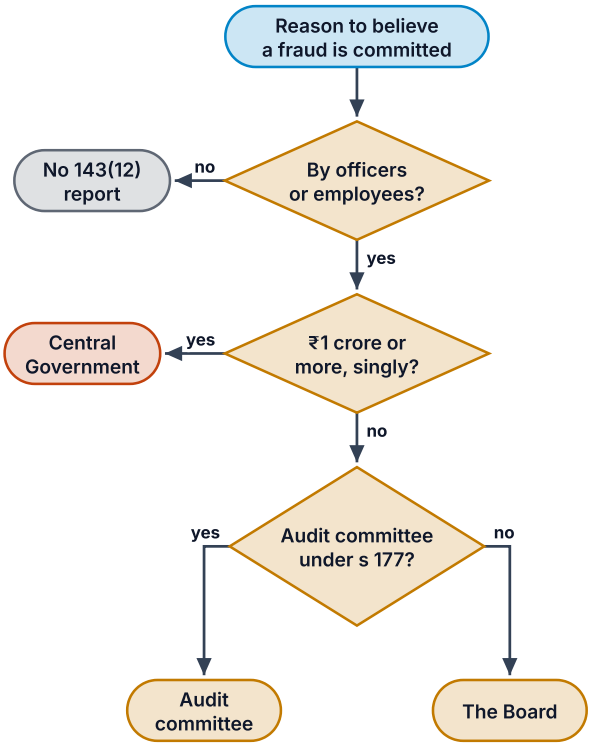
- **Section 143(4)**: where any of the matters required to be included in the audit report is answered in the **negative or with a qualification**, the report shall state the **reasons** for it (SM 8.72).
- **Section 143(9)**: every auditor shall comply with the auditing standards (SM 8.72).
- **Section 143(11)**: the Central Government may, in consultation with the National Financial Reporting Authority, by general or special order, direct that for a specified class of companies the auditor's report shall also include a statement on specified matters. The Companies (Auditor's Report) Order, 2020 is notified under it: see CARO 2020 (SM 8.72).

6. Section 143(12): reporting on frauds

As per section 143(12) read with Rule 13 of the Companies (Audit and Auditors) Rules, 2014 (SM 8.72–8.73):

- **To the Central Government**: if the auditor, in the course of the performance of his duties as auditor, has **reason to believe** that an offence of fraud, which involves or is expected to involve **individually an amount of ₹1 crore or above**, is being or has been committed in the company **by its officers or employees**, he shall report the matter to the Central Government within such time and in such manner as prescribed.
- **To the audit committee or Board**: for a fraud involving **less than ₹1 crore**, the auditor shall report the matter to the audit committee constituted under section 177, or to the Board in other cases, within such time and in such manner as prescribed.
- The auditor also reports frauds under clause (xi) of paragraph 3 of CARO 2020.

Section 143(12): where a fraud report goes



Orange: report to the Central Government (a fraud that involves or is expected to involve ₹1 crore or above, individually); amber: report to the audit committee or Board (less than ₹1 crore); grey: no section 143(12) report. Where CARO applies, every case is also reported under clause (xi), which is wider: any fraud by or on the company noticed or reported during the year.

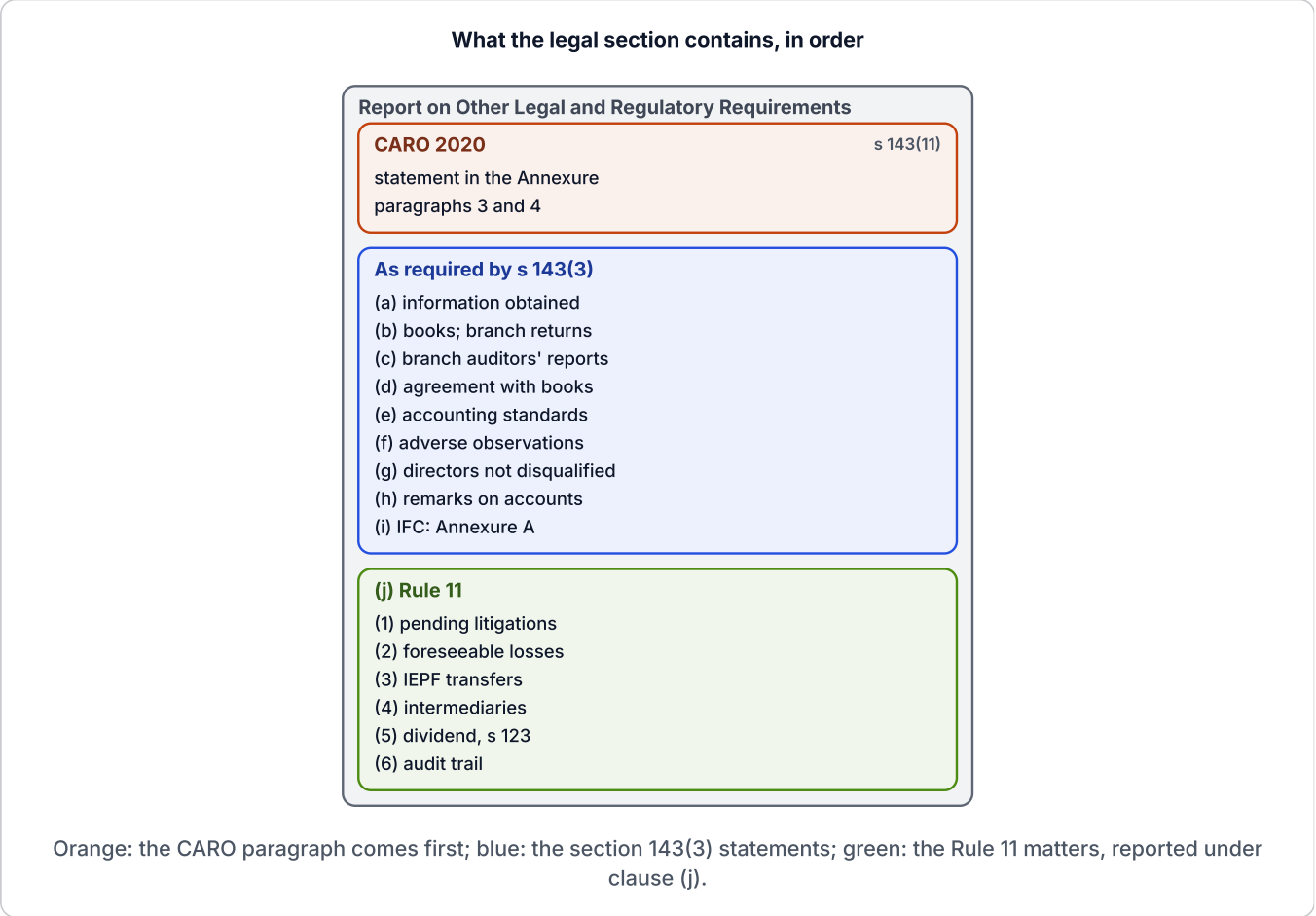
> ⚠ **Careful**
>
> The auditor's fraud report to the Central Government is in Form ADT-4 (CARO clause (xi)(b), SM 8.80). Notification G.S.R 359(E), effective 14 July 2025, requires it to be filed electronically in form ADT-4; ICAI lists this under Paper 2, and Paper 5 answers follow the Study Material. Verify against the Study Material and Statutory Update for your attempt.

Formats and formulas

The "Report on Other Legal and Regulatory Requirements"

ICAI's illustrative report on a listed company (SM 8.31–8.33) puts the Companies Act reporting under

its own heading, after the Report on the Audit of the Financial Statements. Its order:



Orange: the CARO paragraph comes first; blue: the section 143(3) statements; green: the Rule 11 matters, reported under clause (j).

Reproduce this wording from memory. The clean-report wording (SM 8.31–8.33):

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act, 2013, we give in the Annexure a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
2. As required by Section 143(3) of the Act, we report that:
    - (a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
    - (b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books [and proper returns adequate for the purposes of our audit have been received from the branches not visited by us].
    - (c) [The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by branch auditors have been sent to us and have been properly dealt with by us in preparing this report.]
    - (d) The Balance Sheet, the Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account [and with the returns received from the branches not visited by us].
    - (e) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts)

Rules, 2014.

- (f) We do not have any observation or comment on the financial statements or matters which have any adverse effect on the functioning of the company.
- (g) On the basis of the written representations received from the directors as on 31st March, 20XX taken on record by the Board of Directors, none of the directors is disqualified as on 31st March, 20XX from being appointed as a director in terms of Section 164(2) of the Act.
- (h) We do not have any qualification, reservation or adverse remark relating to the maintenance of accounts and other matters connected herewith.
- (i) With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure A".
- (j) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
  - (1) The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note XX to the financial statements;
  - (2) The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note XX to the financial statements;
  - (3) There has been no delay in transferring amounts, required to be transferred, to the Investor Education and Protection Fund by the Company.
  - (4) (i) and (ii) The management's representations on Intermediaries and on Funding Parties, worded as in Rule 11(d) above but beginning "The management has represented that ..."; (iii) Based on such audit procedures that we have considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) contain any material mis-statement.
  - (5) The dividend declared or paid during the year by the company is in compliance with section 123 of the Companies Act, 2013.
  - (6) The company has used such accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has been operated throughout the year for all transactions recorded in the software and the audit trail feature has not been tampered with and the audit trail has been preserved by the company as per the statutory requirements for record retention.

Square brackets mark "where applicable" wording. ICAI also gives alternative versions, as may be applicable: the Company does not have any pending litigations which would impact its financial position; did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses; "following are the instances of delay in transferring amounts ..." to the Fund; or there were no amounts required to be transferred to the Fund (SM 8.32).

Worked examples

Worked example **Bunty's six "satisfied" sentences**

During the 2025-26 audit of Tapri Tea Co. Ltd, Bunty finds that ₹6.80 lakh of Kesar's family holiday in Goa has been booked as "business promotion", and that an advance of ₹2 crore given to a dealer, Malwa Chai Distributors, is shown under "Deposits". The other matters under section 143(1) raise no concern. Bunty's draft report says: "We have inquired into the matters specified in section 143(1) and are satisfied with each of them."

Comment on Bunty's draft and advise how Iyer & Associates should deal with the matters.

MODEL ANSWER

Relevant provision. Under section 143(1) of the Companies Act, 2013, the auditor shall inquire into, among other matters, whether loans and advances made by the company have been shown as deposits and whether personal expenses have been charged to revenue account. The auditor is not required to report on these matters unless he has any special comments to make on any of them; if he is satisfied as a result of the inquiries, he has no further duty to report that he is so satisfied. He should make a report to the members if he finds the answer to any of these matters adverse.

Facts of the case. Kesar's personal holiday of ₹6.80 lakh is charged to revenue as business promotion; an advance of ₹2 crore to a dealer is shown as a deposit; the other four matters are satisfactory.

Analysis. The answers to clauses (d) and (e) are adverse, so the auditor has special comments to make and must report them to the members. "Satisfied with each of them" is wrong for these two and unnecessary for the other four, on which the law requires no statement of satisfaction. Both items are also misstatements to be evaluated for their effect on the opinion under SA 705 if uncorrected.

Conclusion. Bunty's sentence should be deleted. The report should state that personal expenses of ₹6.80 lakh have been charged to revenue account and that advances of ₹2 crore have been shown as deposits, and say nothing about the four satisfactory matters.

Worked example **The potato kickback and the fuel claims**

While auditing Tapri for 2025-26, Lakshmi has reason to believe that three offences of fraud are being committed by Tapri's employees:

(i) The purchase manager of the samosa factory approves a potato supplier's bills at rates above the contract rate and shares the excess with him. The excess paid so far is ₹85 lakh; at the present rate it is expected to reach ₹1.40 crore before the contract ends.

(ii) A café manager in Pune has skimmed ₹18 lakh of cash sales.

(iii) Two fleet supervisors, acting separately, have inflated fuel claims by ₹46 lakh and ₹58 lakh.

Tapri, a listed company, has an audit committee constituted under section 177. State the reporting responsibilities of Iyer & Associates under the Companies Act, 2013 and CARO 2020.

MODEL ANSWER

Relevant provision. As per section 143(12) of the Companies Act, 2013 read with Rule 13 of the Companies (Audit and Auditors) Rules, 2014, if an auditor, in the course of the performance of his duties as auditor, has reason to believe that an offence of fraud, which involves or is expected to involve individually an amount of ₹1 crore or above, is being or has been committed in the company by its officers or employees, the auditor shall report the matter to the Central Government within such time and in such manner as prescribed. In case of a fraud involving less than ₹1 crore, the auditor shall report the matter to the audit committee constituted under section 177, or to the Board in other cases. Clause (xi) of paragraph 3 of CARO 2020 requires the frauds noticed or reported during the year, the filing of any section 143(12) report in Form ADT-4, and the whistle-blower complaints considered, to be reported.

Facts and analysis.

Fraud	Amount (₹)	Test	Report to
Potato over-rate kickback	85 lakh paid; 1.40 crore expected	Expected ≥ ₹1 crore	Central Government
Pune cash skimming	18 lakh	Below ₹1 crore	Audit committee
Fuel claims, A	46 lakh	Each below ₹1 crore	Audit committee
Fuel claims, B	58 lakh	Each below ₹1 crore	Audit committee

The potato fraud has involved only ₹85 lakh so far, but it is **expected to involve** ₹1.40 crore, so it crosses the threshold. The two fuel frauds total ₹1.04 crore, but the threshold applies **individually** to each offence, and each is below ₹1 crore.

Conclusion. Iyer & Associates should report the potato fraud to the Central Government, and the cash skimming and the two fuel-claim frauds to Tapri's audit committee, each within the time and in the manner prescribed. Under CARO clause (xi), they should state the nature and amount of each fraud noticed during the year, whether a report under section 143(12) has been filed by them in Form ADT-4 with the Central Government (here, for the potato fraud), and whether they have considered the whistle-blower complaints, if any, received during the year.

Worked example **Drafting Rule 11 for a year that was not clean**

Iyer & Associates must draft the paragraph under section 143(3)(j) of Tapri's 2025-26 report. The facts:

1. A GST demand of ₹4.20 crore is under appeal; Note 36 discloses it as a contingent liability.
2. Tapri has forward exchange contracts for imported cardamom; Note 41 shows the provision made for material foreseeable losses on them.
3. Unpaid dividend of ₹3.10 lakh, due for transfer to the Investor Education and Protection Fund on 14 November 2025, was transferred on 9 February 2026.
4. Management has given the representations on Intermediaries and Funding Parties; the procedures performed have brought nothing to notice.
5. The interim dividend declared in October 2025 complies with section 123.

6. The audit trail (edit log) feature of the accounting software was switched off from 1 to 21 June 2025 during an ERP upgrade, and the log for that period does not exist.

Draft the statements required and state what section 143(4) adds.

MODEL ANSWER

Relevant provision. Section 143(3)(j) requires the auditor's report to state the other matters prescribed in Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in the order drafted below. Under section 143(4), where any matter required to be included in the report is answered in the negative or with a qualification, the report shall state the reasons for it.

Draft. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:

1. The Company has disclosed the impact of pending litigations on its financial position in its financial statements – Refer Note 36 to the financial statements.
2. The Company has made provision, as required under the applicable law or accounting standards, for material foreseeable losses, if any, on long-term contracts including derivative contracts – Refer Note 41 to the financial statements.
3. The following is the instance of delay in transferring amounts required to be transferred to the Investor Education and Protection Fund by the Company: unpaid dividend of ₹3.10 lakh, due for transfer on 14 November 2025, was transferred on 9 February 2026, a delay of 87 days.
4. (i) and (ii) The management has made the representations on Intermediaries, Funding Parties and Ultimate Beneficiaries; (iii) based on such audit procedures as we considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that these representations contain any material mis-statement.
5. The dividend declared or paid during the year by the Company is in compliance with section 123 of the Companies Act, 2013.
6. The Company has used accounting software for maintaining its books of account which has a feature of recording audit trail (edit log) facility; however, the feature was not operated from 1 June 2025 to 21 June 2025 (21 days) during the upgrade of the software, so the audit trail was not operated throughout the year for all transactions recorded in the software and has not been preserved for that period.

Section 143(4). Items 3 and 6 are answered in the negative, so the report states the reasons, as drafted: the late transfer with its dates, and the ERP upgrade during which the audit trail was not operated.

Exam angle

In the exam

Where this topic appeared

In the new-scheme ICAI documents read for this lesson, section 143 was examined directly in five:

- **Section 143(1), list the inquiries, 5 marks**: MTP September 2024 Series II Q5(a); MTP September 2025 Series I Q4(a), which quoted "not required to report ... unless he has any special comments" and asked for the matters.
- **The section 143(3)(i) exemption for private companies, 2 marks**: September 2025 Q3(a)(i), answered with the One Person Company, small company and ₹50 crore / ₹25 crore conditions.
- **Rule 11 other matters, 5 marks**: September 2026 Q3(a), "Discuss the other matters (excluding the above) on which the auditor is required to report under Section 143(3)(j)", the intermediaries representation being given as "the above" (answers not yet published).
- **A case through Rule 11, 4 marks**: January 2025 Q4(c), a pending appeal before a telecom tribunal; ICAI's answer combined SA 501, SA 706 and the statement on whether the company has disclosed the impact of pending litigations.

Old-scheme papers asked the same: Rule 11 matters (December 2021 Q5(d), 3 marks), the audit trail statement (November 2023 Q2(d), 3 marks), fraud reporting of ₹25 lakh (May 2023 Q5(b), 4 marks), and "an auditor has to report on the matters in section 143(1)" as a true-or-false statement (RTP November 2022; MTP May 2022 Series I), answered **incorrect**.

In the exam

How the marks are earned

ICAI's answers to list questions give the Act's matters in its order and words. In cases they quote the provision, apply it and state what to report and to whom. Phrases that carry marks: "special comments", "reason to believe", "involves or is expected to involve individually", "officers or employees", "answered in the negative or with a qualification".

Trick

Inquire, state, explain, report

143(1) inquire (silent if satisfied); **143(2)** and **143(3)** state (every year); **143(4)** explain (reasons for every "no"); **143(12)** report a fraud outside the report. Condition: 143(3)(i) on internal financial controls has its private-company exemption, and CARO only covers the companies the Order covers.

Answer frame

"State the matters the auditor must inquire into under section 143(1)"

Write the six matters (a) to (f) in the Act's words and order, then the reporting rule: no report unless special comments; no statement of satisfaction; report to the members when an answer is adverse.

A case question on section 143

1. **Relevant provision**: the sub-section in the Act's words (143(1), 143(3) with Rule 11, or 143(12)).
2. **Facts of the case**: the facts that decide it, with amounts and dates.

3. **Analysis**: adverse answer or not; above or below ₹1 crore, individually; negative answer needing reasons.
4. **Conclusion**: what the report states, or to whom the fraud is reported, plus the CARO clause if asked.

"Distinguish section 143(1) from section 143(3)"

Point	Section 143(1)	Section 143(3)
Duty	Inquire into six matters	State matters (a) to (j)
Reporting	Only special comments, when an answer is adverse	Every year, favourable or not
Satisfaction	No duty to say "satisfied"	A statement on each matter
Examples	Personal expenses; loans shown as deposits	Proper books; directors; IFC; Rule 11

Common mistakes

⚠ **Common mistake**

Hall of Shame: the six "we are satisfied" sentences

Bunty reports every section 143(1) matter. **Fix:** inquire into all six; report only the adverse ones, as special comments. Saying "satisfied" is not required.

⚠ **Common mistake**

The two small frauds that became one big one

Adding two separate ₹46 lakh and ₹58 lakh frauds and reporting ₹1.04 crore to the Central Government. **Fix:** the ₹1 crore test is applied individually, to each offence; and an amount the fraud is *expected* to reach counts.

⚠ **Common mistake**

Putting CARO clauses in section 143(3)

Writing "whether the company has an internal audit system" or "statutory dues" as a section 143(3) or Rule 11 matter. **Fix:** those are CARO 2020 clauses (xiv) and (vii). Rule 11 has six matters only: litigations, foreseeable losses, IEPF, intermediaries, dividend, audit trail.

⚠ **Common mistake**

Reporting the internal financial controls of every company

Fix: section 143(3)(i) does not apply to the exempt private companies (One Person Company, small company, or turnover below ₹50 crore with borrowings below ₹25 crore).

Practice

Check yourself

1 Case scenario. While auditing Ujjain Kulhad Works Ltd, CA Meera Joshi has reason to believe that its sales head is diverting cash collections in a fraud expected to involve exactly ₹1 crore. The company has an audit committee constituted under section 177. To whom must she report under section 143(12)?

- **A** The audit committee, because the amount is not above ₹1 crore
- **B** The Board of Directors
- **C** The Central Government
- **D** Nobody; it is disclosed only under CARO clause (xi)

2 Which statement about section 143(1) is correct?

- **A** The auditor must state in the report that he is satisfied with each of the six matters
- **B** The auditor reports on these matters only when he has special comments, that is, when an answer is adverse
- **C** The matters are reported in the CARO annexure
- **D** The inquiry is needed only for listed companies

3 Which of these are matters the auditor's report must state under section 143(3)? Select all that apply.

- **A** Whether any director is disqualified under section 164(2)
- **B** Whether personal expenses have been charged to revenue account
- **C** Whether, in the auditor's opinion, the financial statements comply with the accounting standards
- **D** Whether loans and advances have been shown as deposits
- **E** Whether proper books of account as required by law have been kept

More than one answer may be right.

4 Case scenario. Iyer & Associates list the Rule 11 matters for Tapri's report. Which of the following is NOT a Rule 11 matter?

- **A** Delay in transferring amounts to the Investor Education and Protection Fund
- **B** Use and preservation of an audit trail (edit log) in the accounting software
- **C** Whether the company has an internal audit system commensurate with the size and nature of its business
- **D** Compliance of the dividend declared or paid with section 123

5 Under section 143(4), what must the report contain when a matter is answered in the negative or with a qualification?

- A A disclaimer of opinion
- B The reasons for the negative or qualified answer
- C A separate report to the Central Government
- D Nothing more; the negative answer is enough

Answers: the answer key at the end of this lesson.

Recap

- Section 143(1): inquire into six matters (secured loans, book entries, securities sold below cost, loans shown as deposits, personal expenses, shares allotted for cash); report only special comments.
- Section 143(2): report to the members whether the financial statements give a true and fair view of the state of affairs, profit or loss and cash flow.
- Section 143(3): (a) information, (b) books and branch returns, (c) branch reports, (d) agreement with books, (e) accounting standards, (f) adverse effects, (g) directors under 164(2), (h) remarks on accounts, (i) IFC, (j) Rule 11.
- Rule 11: pending litigations, foreseeable losses, IEPF delay, intermediaries representations, dividend under section 123, audit trail.
- Section 143(4): reasons for every negative or qualified answer; 143(9): comply with auditing standards; 143(11): CARO 2020.
- Section 143(12): fraud by officers or employees, ₹1 crore or above individually (or expected), to the Central Government; less, to the audit committee or Board; also CARO clause (xi).
- In the report: a separate "Report on Other Legal and Regulatory Requirements": CARO annexure, then 143(3) (a) to (j). (The bus inspector calls the authorities, not just the newspaper.)

Answer key · Check yourself

1 **C The Central Government**

The threshold is "₹1 crore or above", and an amount the fraud is expected to involve counts. Exactly ₹1 crore goes to the Central Government; only less than ₹1 crore goes to the audit committee.

2 **B The auditor reports on these matters only when he has special comments, that is, when an answer is adverse**

The auditor inquires into all six but has no duty to say he is satisfied; he reports to the members when an answer is adverse.

3 **A Whether any director is disqualified under section 164(2); C Whether, in the auditor's opinion, the financial statements comply with the accounting standards; E Whether proper books of account as required by law have been kept**

Personal expenses and loans shown as deposits are section 143(1) inquiries, reported only when adverse.

4 **C Whether the company has an internal audit system commensurate with the size and nature of its business**

The internal audit system is CARO 2020 clause (xiv). Rule 11 covers litigations, foreseeable losses, IEPF, intermediaries, dividend and audit trail.

5 **B The reasons for the negative or qualified answer**

Section 143(4) requires the reasons. Whether the opinion itself is modified is decided separately under SA 705.

8.7 CARO 2020

Which companies CARO 2020 covers, the twenty-one matters its paragraph 3 makes the auditor's report state, their thresholds, and how paragraph 4 makes every unfavourable answer carry its basis.

In plain words

Twenty-one questions stapled to the report

Bunty opens the template for the annexure to Tapri Tea Co. Ltd's audit report and counts the questions.

> **Bunty:** Ma'am, twenty-one questions! Does every company answer all of them?
>
> **Lakshmi:** Every company the Order covers answers every question that applies to it. Tapri answers most of them; only a Nidhi answers the Nidhi one.
>
> **Kesar:** And my cousin Sunil's spice company? It is tiny.
>
> **Lakshmi:** That depends on three numbers, Kesar-ji, and on who it belongs to.

The **Companies (Auditor's Report) Order, 2020**, CARO for short, is a list of specific questions the Central Government wants the auditor of most companies to answer, in an annexure to the audit report. It is not about "true and fair": each question targets a known risk. Are fixed assets recorded, counted and in the company's name? Do the stock statements given to the bank match the books? Were loans to others fair, and are they being repaid? Are taxes and provident fund paid on time? Were borrowed and raised funds used as promised? Were there frauds? Can the company pay next year's bills?

Some companies are out: banks, insurers, charitable companies, one-person and small companies, and tiny private companies that pass three size tests and are neither the holding company nor a subsidiary of a public company.

Every unfavourable or qualified answer must give its **basis**. If the auditor cannot answer a question, the report says so and why.

Think of it like

The annual health check-up form

The employer prints the same form for everyone: blood pressure, sugar, eyesight. The doctor answers each line "normal" or writes the reading and what it means. Interns and part-timers below a size are excused. If the patient refuses the blood test, the doctor writes "could not test" and why. The form is not a verdict on the patient's life; it is a fixed checklist, answered line by line.

Key idea

CARO is a fixed checklist, not an opinion: the auditor of every company it covers states each applicable matter, gives the basis for every unfavourable or qualified answer, and says why when no opinion can be given on a matter.

How it works

1. Where the Order comes from

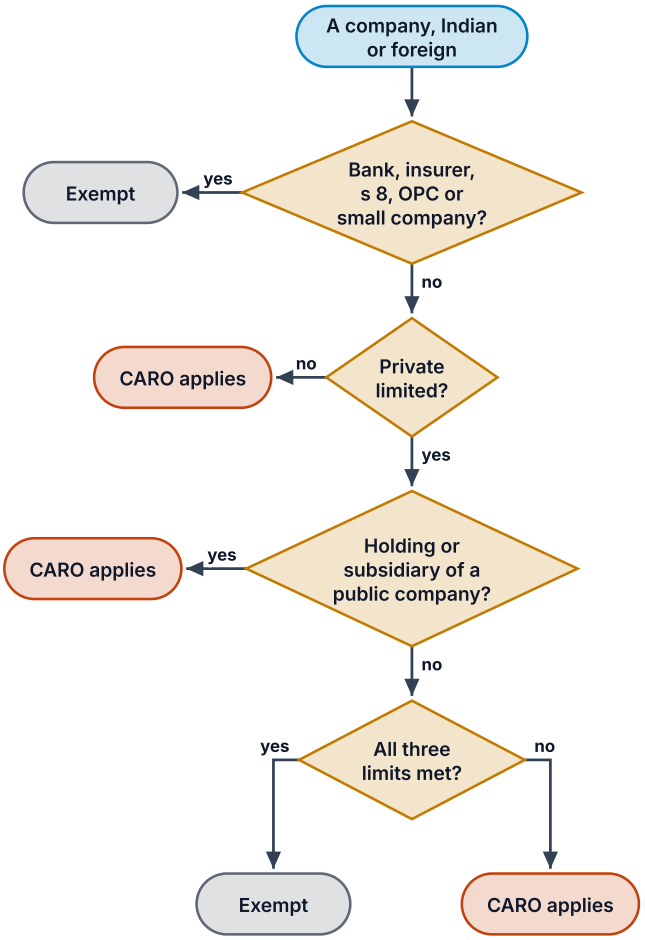
The Central Government made the Order under section 143(11) of the Companies Act, 2013, after consultation with the National Financial Reporting Authority, in supersession of CARO 2016 (SM 8.73). Every report made by the auditor under section 143 on the accounts of every company to which the Order applies, for the **financial years commencing on or after 1 April 2019**, shall in addition contain the matters in **paragraphs 3 and 4**, as may be applicable. The Order does not apply to the report on consolidated financial statements, except clause (xxi) of paragraph 3 (SM 8.75). The audit report refers to it in the Report on Other Legal and Regulatory Requirements: "we give in the Annexure a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable" (SM 8.31; see company auditor's reporting).

2. Who is covered, and who is exempt

The Order applies to **every company including a foreign company** as defined in section 2(42), except (SM 8.73–8.74):

- (i) a **banking company** as defined in section 5(c) of the Banking Regulation Act, 1949;
- (ii) an **insurance company** as defined under the Insurance Act, 1938;
- (iii) a company licensed to operate under **section 8** of the Companies Act, 2013;
- (iv) a **One Person Company** as defined in section 2(62) and a **small company** as defined in section 2(85); and
- (v) a **private limited company**, not being a subsidiary or holding company of a public company, having a **paid up capital and reserves and surplus not more than one crore rupees** as on the balance sheet date, which does not have **total borrowings exceeding one crore rupees from any bank or financial institution at any point of time** during the financial year, and which does not have a **total revenue** as disclosed in Schedule III (including revenue from discontinuing operations) **exceeding ten crore rupees** during the financial year as per the financial statements.

Does CARO 2020 apply?



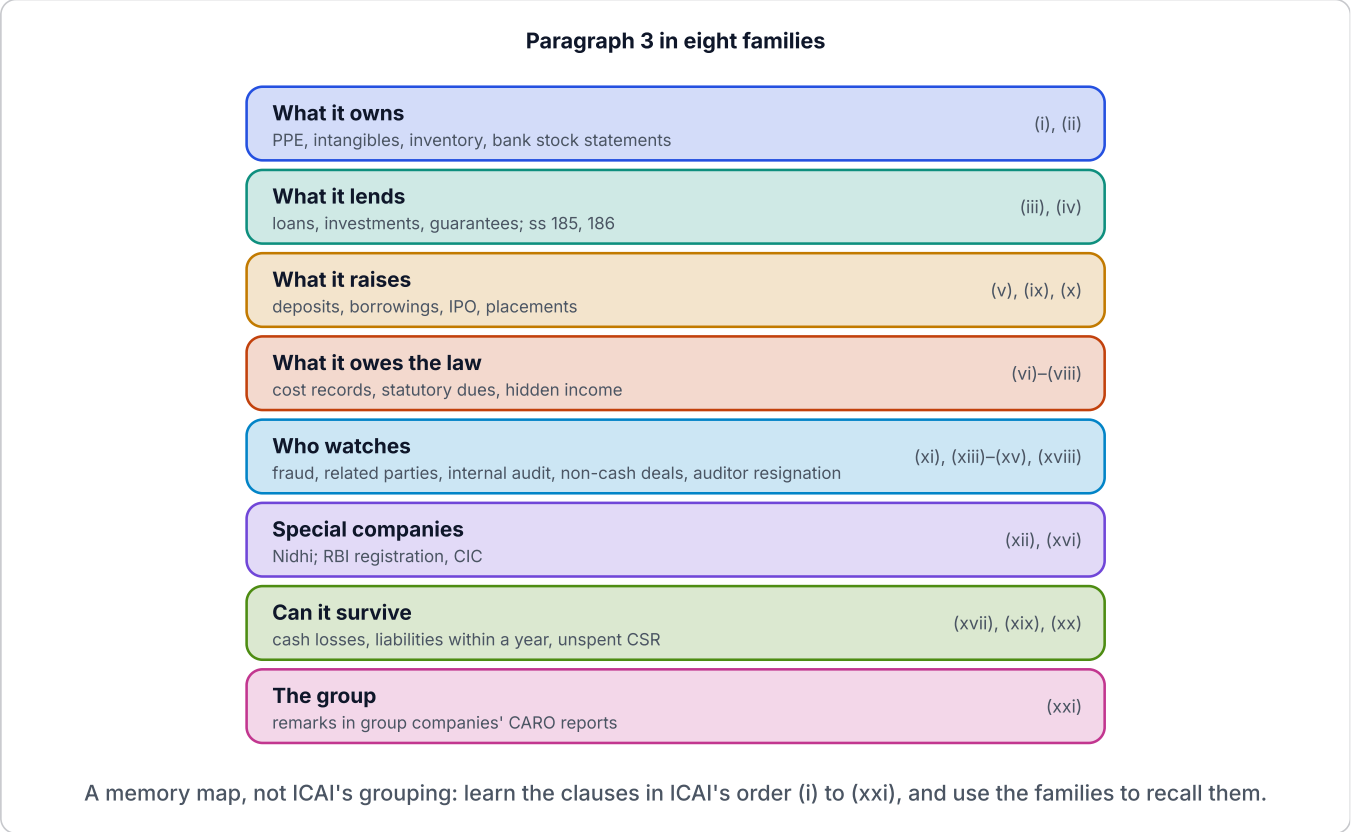
Orange: the Order applies; grey: exempt. The three limits: paid up capital and reserves and surplus not more than ₹1 crore at the balance sheet date; borrowings from banks or financial institutions never above ₹1 crore during the year; total revenue, including discontinuing operations, not above ₹10 crore.

⚠ Careful

The Study Material cites only "a small company as defined in clause (85) of section 2", with no figures. The section 2(85) limits were raised to paid-up capital not exceeding ₹10 crore and turnover not exceeding ₹100 crore by notification G.S.R 880(E) dated 1 December 2025; ICAI lists this under Paper 2, and Paper 5 answers follow the Study Material. Verify against the Study Material and Statutory Update for your attempt.

3. Paragraph 3: the twenty-one matters

The auditor's report on the accounts of a company to which the Order applies shall include a statement on the following matters (SM 8.75–8.82). They fall into families:



A memory map, not ICAI's grouping: learn the clauses in ICAI's order (i) to (xxi), and use the families to recall them.

In ICAI's words (Act numbers trimmed); bold marks the words that decide most case questions.

(i) Property, plant and equipment (PPE) and intangible assets

- (a) (A) whether the company is maintaining proper records showing full particulars, including quantitative details and situation of PPE; (B) whether the company is maintaining proper records showing full particulars of intangible assets;
- (b) whether these PPE have been **physically verified by the management at reasonable intervals**; whether any **material discrepancies** were noticed on such verification and if so, whether the same have been properly dealt with in the books of account;
- (c) whether the **title deeds** of all the immovable properties (other than properties where the company is the lessee and the lease agreements are duly executed in favour of the lessee) disclosed in the financial statements are held in the name of the company; if not, provide the details in the prescribed format (Formats and formulas);
- (d) whether the company has **revalued** its PPE (including Right of Use assets) or intangible assets or both during the year and, if so, whether the revaluation is based on the valuation by a **Registered Valuer**; specify the amount of change, if change is **10% or more in the aggregate of the net carrying value of each class** of PPE or intangible assets;
- (e) whether any proceedings have been initiated or are pending against the company for holding any **benami property** under the Benami Transactions (Prohibition) Act, 1988 and rules made

thereunder; if so, whether the company has appropriately disclosed the details in its financial statements.

(ii) Inventory and working capital limits

- (a) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the **coverage and procedure** of such verification by the management is appropriate; whether any discrepancies of **10% or more in the aggregate for each class of inventory** were noticed and if so, whether they have been properly dealt with in the books of account;
- (b) whether during any point of time of the year, the company has been sanctioned **working capital limits in excess of five crore rupees**, in aggregate, from banks or financial institutions on the basis of security of current assets; whether the **quarterly returns or statements** filed by the company with such banks or financial institutions are in agreement with the books of account; if not, give details.

(iii) Investments, guarantees, security and loans or advances in the nature of loans: whether during the year the company has made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, **secured or unsecured**, to companies, firms, Limited Liability Partnerships or any other parties; if so,

- (a) whether during the year the company has provided loans or advances in the nature of loans, or stood guarantee, or provided security to any other entity [**not applicable to companies whose principal business is to give loans**]; if so, indicate (A) the **aggregate amount during the year, and balance outstanding at the balance sheet date**, with respect to such loans or advances and guarantees or security to **subsidiaries, joint ventures and associates**; (B) the same amounts with respect to **parties other than** subsidiaries, joint ventures and associates;
- (b) whether the investments made, guarantees provided, security given and the terms and conditions of the grant of all loans and advances in the nature of loans and guarantees provided are **not prejudicial to the company's interest**;
- (c) in respect of loans and advances in the nature of loans, whether the **schedule of repayment** of principal and payment of interest has been stipulated and whether the repayments or receipts are **regular**;
- (d) if the amount is overdue, state the total amount **overdue for more than ninety days**, and whether **reasonable steps** have been taken by the company for recovery of the principal and interest;
- (e) whether any loan or advance in the nature of loan granted which has fallen due during the year has been **renewed or extended or fresh loans granted to settle the overdues** of existing loans given to the same parties; if so, specify the aggregate amount of such dues renewed or extended or settled by fresh loans and the **percentage** of the aggregate to the total loans or advances in the nature of loans granted during the year [**not applicable to companies whose principal business is to give loans**];
- (f) whether the company has granted any loans or advances in the nature of loans either **repayable on demand or without specifying any terms or period of repayment**; if so, specify the

aggregate amount, the percentage thereof to the total loans granted, and the aggregate amount of loans granted to **promoters and related parties** as defined in section 2(76).

(iv) Sections 185 and 186: in respect of loans, investments, guarantees, and security, whether provisions of sections 185 and 186 have been complied with; if not, provide the details.

(v) Deposits: in respect of deposits accepted by the company or amounts which are deemed to be deposits, whether the directives issued by the Reserve Bank of India and the provisions of **sections 73 to 76** or any other relevant provisions of the Act and the rules made thereunder, where applicable, have been complied with; if not, the nature of such contraventions be stated; if an order has been passed by the Company Law Board or National Company Law Tribunal or Reserve Bank of India or any court or any other tribunal, whether the same has been complied with or not.

(vi) Cost records: whether maintenance of cost records has been specified by the Central Government under section 148(1) and whether such accounts and records have been so made and maintained.

(vii) Statutory dues

- (a) whether the company is regular in depositing **undisputed** statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of **more than six months from the date they became payable** shall be indicated;
- (b) where statutory dues referred to in sub-clause (a) have not been deposited on account of any **dispute**, the amounts involved and the **forum where dispute is pending** shall be mentioned (**a mere representation to the concerned Department shall not be treated as a dispute**).

(viii) Unrecorded income: whether any transactions not recorded in the books of account have been **surrendered or disclosed as income** during the year in the tax assessments under the Income Tax Act, 1961; if so, whether the previously unrecorded income has been properly recorded in the books of account during the year.

(ix) Borrowings

- (a) whether the company has **defaulted** in repayment of loans or other borrowings or in the payment of interest thereon to any lender; if yes, the period and the amount of default to be reported in the prescribed format;
- (b) whether the company is a declared **wilful defaulter** by any bank or financial institution or other lender;
- (c) whether **term loans** were applied for the purpose for which the loans were obtained; if not, the amount of loan so diverted and the purpose for which it is used may be reported;
- (d) whether **funds raised on short term basis have been utilised for long term purposes**; if yes, the nature and amount to be indicated;

- (e) whether the company has taken any funds from any entity or person on account of or **to meet the obligations of its subsidiaries, associates or joint ventures**; if so, details with the nature of such transactions and the amount in each case;
- (f) whether the company has raised loans during the year on the **pledge of securities held in its subsidiaries, joint ventures or associate companies**; if so, give details and also report if the company has defaulted in repayment of such loans.

(x) Moneys raised

- (a) whether moneys raised by way of **initial public offer or further public offer (including debt instruments)** during the year were applied for the purposes for which those are raised; if not, the details together with delays or default and subsequent rectification, if any, as may be applicable, be reported;
- (b) whether the company has made any **preferential allotment or private placement** of shares or convertible debentures (fully, partially or optionally convertible) during the year and if so, whether the requirements of **sections 42 and 62** have been complied with and the funds raised have been used for the purposes for which the funds were raised; if not, provide details in respect of amount involved and nature of non-compliance.

(xi) Fraud

- (a) whether any **fraud by the company or any fraud on the company** has been noticed or reported during the year; if yes, the nature and the amount involved is to be indicated;
- (b) whether any report under section 143(12) has been filed by the auditors in **Form ADT-4** as prescribed under rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government;
- (c) whether the auditor has considered **whistle-blower complaints**, if any, received during the year by the company.

(xii) Nidhi company

- (a) whether the Nidhi Company has complied with the **Net Owned Funds to Deposits in the ratio of 1:20** to meet out the liability;
- (b) whether the Nidhi Company is maintaining **ten per cent unencumbered term deposits** as specified in the Nidhi Rules, 2014 to meet out the liability;
- (c) whether there has been any **default in payment of interest on deposits or repayment** thereof for any period and if so, the details.

(xiii) Related parties: whether all transactions with the related parties are in compliance with **sections 177 and 188** where applicable and the details have been disclosed in the financial statements, etc., as required by the applicable accounting standards.

(xiv) Internal audit

- (a) whether the company has an **internal audit system commensurate with the size and nature of its business**;

- (b) whether the reports of the Internal Auditors for the period under audit were **considered by the statutory auditor**.

(xv) Non-cash transactions: whether the company has entered into any **non-cash transactions with directors or persons connected with him** and if so, whether the provisions of **section 192** have been complied with.

(xvi) Reserve Bank of India registration

- (a) whether the company is required to be **registered under section 45-IA** of the Reserve Bank of India Act, 1934 and if so, whether the registration has been obtained;
- (b) whether the company has conducted any **Non-Banking Financial or Housing Finance activities without a valid Certificate of Registration** (CoR) from the Reserve Bank of India as per the Reserve Bank of India Act, 1934;
- (c) whether the company is a **Core Investment Company (CIC)** as defined in the regulations made by the Reserve Bank of India; if so, whether it **continues to fulfil the criteria of a CIC**, and in case the company is an **exempted or unregistered CIC**, whether it continues to fulfil such criteria;
- (d) whether the **Group has more than one CIC** as part of the Group; if yes, indicate the number of CICs which are part of the Group.

(xvii) Cash losses: whether the company has incurred **cash losses in the financial year and in the immediately preceding financial year**; if so, state the amount of cash losses.

(xviii) Resignation of statutory auditors: whether there has been any resignation of the statutory auditors during the year; if so, whether the auditor has taken into consideration the **issues, objections or concerns raised by the outgoing auditors**.

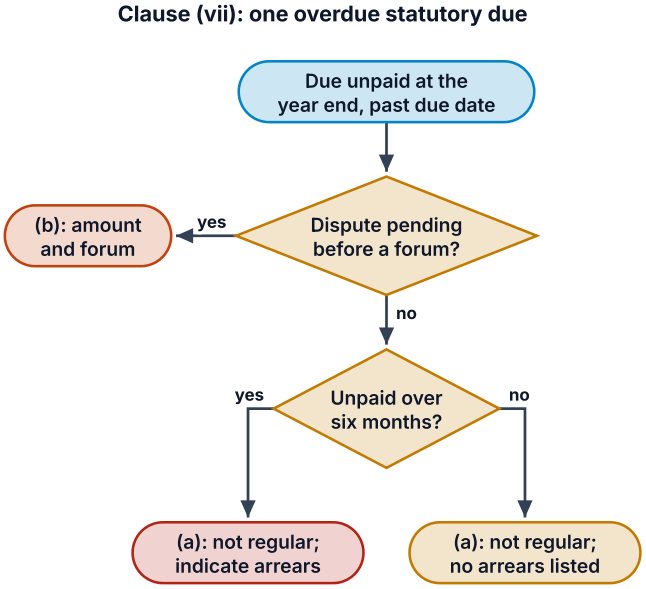
(xix) Meeting liabilities: on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, other information accompanying the financial statements, the auditor's knowledge of the Board of Directors and management plans, whether the auditor is of the opinion that **no material uncertainty exists** as on the date of the audit report that the company is capable of meeting its liabilities existing at the date of balance sheet as and when they fall due **within a period of one year from the balance sheet date**.

(xx) Unspent CSR amount

- (a) whether, in respect of **other than ongoing projects**, the company has transferred unspent amount to a **Fund specified in Schedule VII** within a period of **six months of the expiry of the financial year** in compliance with second proviso to section 135(5);
- (b) whether any amount remaining unspent under section 135(5) pursuant to any **ongoing project** has been transferred to **special account** in compliance with section 135(6).

(xxi) Consolidated financial statements: whether there have been any **qualifications or adverse remarks** by the respective auditors in the CARO reports of the **companies included in the consolidated financial statements**; if yes, indicate the details of the companies and the **paragraph numbers** of the CARO report containing the qualifications or adverse remarks.

Clause (vii), with clause (ii) the most asked in ICAI's papers (Exam angle), for one overdue due:



A mere representation to the Department is not a dispute, so such a due goes down the undisputed path. Six months run from the date the due became payable to the last day of the financial year. Orange: sub-clause (b); rose and amber: sub-clause (a).

4. Paragraph 4: reasons for unfavourable or qualified answers

(1) Where the answer to any question in paragraph 3 is **unfavourable or qualified**, the auditor's report shall also state the **basis** for it. (2) Where the auditor is **unable to express any opinion** on a specified matter, the report shall indicate that fact together with the **reasons** why it is not possible to give an opinion on it (SM 8.82).

Formats and formulas

Reproduce these column headings in order: clauses (i)(c) and (ix)(a) prescribe them (SM 8.76, 8.79).

Clause (i)(c): title deeds not held in the company's name

Column	What it gives
1	Description of property
2	Gross carrying value
3	Held in name of
4	Whether promoter, director or their relative or employee
5	Period held (indicate range, where appropriate)
6	Reason for not being held in name of company (also indicate if in dispute)

Clause (ix)(a): default in repayment of borrowings

Column	What it gives
1	Nature of borrowing, including debt securities
2	Name of lender (lender-wise details for defaults to banks, financial institutions and Government)
3	Amount not paid on due date
4	Whether principal or interest
5	No. of days delay or unpaid
6	Remarks, if any

Worked examples

Worked example **Kesar's cousin and two other private companies**

Iyer & Associates audit three private limited companies for 2025-26. None is a banking, insurance or section 8 company or a One Person Company; ignore the small company definition in section 2(85), whose limits the Paper 5 Study Material does not give. The data below are in ₹ lakh.

Particulars	Mehra Spices	Tapri Namkeen	Saancha Moulds
Holding/subsidiary of public company	No	Subsidiary of Tapri	No
Paid up capital	30	20	50
Reserves, 1 April 2025	58	35	38
Profit (loss) for the year	18	Nil	Nil
Bank loans: highest in year	108	Nil	72
Bank loans: 31 March 2026	40	Nil	72
Loan from a director	Nil	Nil	45
Revenue: continuing	760	420	885
Revenue: discontinuing	Nil	Nil	95

Profit or loss for the year is carried to reserves and surplus. Revenue is total revenue as disclosed under Schedule III.

Ascertain, with reasons, whether CARO 2020 applies to each company.

MODEL ANSWER

Relevant provision. CARO 2020 applies to every company except, among others, a private limited company, not being a subsidiary or holding company of a public company, having a paid up capital and reserves and surplus not more than ₹1 crore as on the balance sheet date, which does not have total borrowings exceeding ₹1 crore from any bank or financial institution at any point of time during the financial year, and which does not have a total revenue as disclosed in Schedule III (including revenue from discontinuing operations) exceeding ₹10 crore during the financial year.

The four tests, company by company

Test	Mehra Spices	Tapri Namkeen	Saancha Moulds
Not holding or subsidiary of a public company	**Met**	**Failed: subsidiary**	**Met**
Capital + reserves ≤ ₹100 lakh	**30 + 76 = 106**	**20 + 35 = 55**	**50 + 38 = 88**
Bank or FI borrowings never > ₹100 lakh	**108 at peak**	**Nil**	**72**
Total revenue ≤ ₹1,000 lakh	**760**	**420**	**885 + 95 = 980**
Result	CARO applies	CARO applies	Exempt

Green: test met; rose: test failed. One failed test is enough for the Order to apply.

Mehra Spices. The capital test is applied as on the balance sheet date: reserves are ₹58 lakh + the profit of ₹18 lakh = ₹76 lakh, so capital and reserves are ₹30 lakh + ₹76 lakh = ₹1.06 crore, above ₹1 crore (the opening ₹88 lakh is irrelevant). Bank borrowings also reached ₹1.08 crore during the year. The test is "at any point of time during the financial year", so the year-end ₹40 lakh does not help. Revenue of ₹7.60 crore is within ₹10 crore, but one failed condition is enough. **CARO 2020 applies.**

Tapri Namkeen. It is a subsidiary of Tapri Tea Co. Ltd, a public company, so the private company exemption is not available whatever its size. **CARO 2020 applies.**

Saancha Moulds. Capital and reserves are ₹88 lakh. Its borrowings from a bank never exceeded ₹72 lakh; the director's ₹45 lakh is not a borrowing from a bank or financial institution, so it is not counted in this test. Total revenue including discontinuing operations is ₹885 lakh + ₹95 lakh = ₹9.80 crore, within ₹10 crore. It is not a holding or subsidiary company of a public company. **CARO 2020 does not apply.**

Worked example

The kulhads that keep breaking

Tapri's management counted all inventory in September 2025 and March 2026. Iyer & Associates attended the March count and found its coverage and procedure appropriate. The March count:

Class of inventory	Book (₹ crore)	Physical (₹ crore)
Tea, spices and milk powder	14.50	13.92
Packing material	3.20	2.78
Finished premix	9.60	9.31

The shortfalls in tea and premix have been written off. The shortfall in packing material (kulhads and pouches) is still in the books ("Kulhads break, sab adjust ho jayega," says Kesar). Narmada Bank has sanctioned working capital limits of ₹45 crore on the security of inventories and trade receivables. The quarterly stock statements agree with the books except December 2025, which shows inventory of ₹31.40 crore against ₹28.90 crore in the books.

State the reporting under clause (ii) of paragraph 3 of CARO 2020.

MODEL ANSWER

Relevant provision. As per clause (ii) of paragraph 3 of CARO 2020, the auditor shall report (a) whether physical verification of inventory has been conducted at reasonable intervals by the management and whether, in the opinion of the auditor, the coverage and procedure of such verification by the management is appropriate; whether any discrepancies of 10% or more in the aggregate for each class of inventory were noticed and if so, whether they have been properly dealt with in the books of account; and (b) whether during any point of time of the year the company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets, and whether the quarterly returns or statements filed with them are in agreement with the books of account, and if not, give details.

Discrepancy by class (₹ crore)

Class	Shortfall	% of book	10% or more?
Tea, spices, milk powder	0.58	4.00	No
Packing material	0.42	**13.13**	**Yes**
Finished premix	0.29	3.02	No

Rose: the one class at 10% or more, which must be reported.

Analysis. Verification at reasonable intervals with appropriate coverage and procedure is favourable. Only packing material shows a discrepancy of 10% or more (₹0.42 crore on ₹3.20 crore, 13.13%), and it has not been dealt with in the books. The working capital limits of ₹45 crore exceed ₹5 crore and are secured on current assets, so the quarterly statements must be compared with the books: the December 2025 statement overstates inventory by ₹31.40 crore − ₹28.90 crore = ₹2.50 crore.

Conclusion. Under clause (ii)(a), the report should state that physical verification was conducted at reasonable intervals with appropriate coverage and procedure, and that a discrepancy of ₹0.42 crore (13.13%) in packing material was noticed and has not been properly dealt with in the books. Under clause (ii)(b), it should state that the quarterly statement for December 2025 is not in agreement with the books, with the details (₹31.40 crore per statement, ₹28.90 crore per books, difference ₹2.50 crore). As the Study Material's own example says, the auditor also considers the impact on the financial statements and reports accordingly (SM 8.83): the unadjusted ₹0.42 crore is a misstatement to evaluate.

Worked example **Tapri Cold Chain and its unpaid dues**

Tapri Cold Chain Pvt Ltd (CARO 2020 applies) has the following statutory dues unpaid on 31 March 2026. GST has been paid on time all year.

Due	Amount (₹ lakh)	Became payable	Position
Provident fund, Aug 2025	14	15 Sep 2025	Unpaid
ESI, Sep 2025	3	15 Oct 2025	Unpaid
Customs duty	9	10 Jul 2025	Waiver letter sent
Income tax demand	110	2 Dec 2025	Under appeal

ESI is employees' state insurance. For the customs duty, the company has only written to the department asking for a waiver. The income tax demand is under appeal before the Commissioner of Income-tax (Appeals).

State the auditor's reporting under clause (vii) of paragraph 3 of CARO 2020.

MODEL ANSWER

Relevant provision. As per clause (vii)(a) of paragraph 3 of CARO 2020, the auditor is required to report whether the company is regular in depositing undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, sales-tax, service tax, duty of customs, duty of excise, value added tax, cess and any other statutory dues to the appropriate authorities and if not, the extent of the arrears of outstanding statutory dues as on the last day of the financial year concerned for a period of more than six months from the date they became payable. As per clause (vii)(b), where dues have not been deposited on account of any dispute, the amounts involved and the forum where the dispute is pending shall be mentioned; a mere representation to the concerned Department shall not be treated as a dispute.

Facts and analysis.

- Provident fund ₹14 lakh: payable since 15 September 2025, 197 days at 31 March 2026: an undisputed arrear of more than six months.
- Employees' state insurance ₹3 lakh: payable since 15 October 2025, 167 days: undisputed and unpaid, but not more than six months old, so it shows irregularity without being listed as a six-month arrear.
- Customs duty ₹9 lakh: a letter asking for a waiver is a mere representation, not a dispute, so the due is undisputed; payable since 10 July 2025, 264 days: an arrear of more than six months.
- Income tax ₹1.10 crore: an appeal is pending before the Commissioner of Income-tax (Appeals): a disputed due.

Conclusion. Under clause (vii)(a), the report should state that the company has not been regular in depositing undisputed statutory dues, and indicate the arrears outstanding at 31 March 2026 for more than six months from the date they became payable: provident fund ₹14 lakh and customs duty ₹9 lakh, together ₹23 lakh. Under clause (vii)(b), it should state the income tax of ₹1.10 crore not deposited on account of a dispute, pending before the Commissioner of Income-tax (Appeals). Paragraph 4 requires the basis for these unfavourable answers to be stated.

Exam angle

In the exam

Where CARO appeared, May 2024 to September 2026

In the new-scheme ICAI documents read for this lesson, CARO 2020 was asked in 17:

- **Past papers**: May 2024 Q5(d), Nidhi company clause (xii), 3 marks; September 2024 Q1(d), GST dues with an objection letter, clause (vii), 3 marks; May 2025 Q2(c), convertible debentures used to repay loans, clause (x), 4 marks; September 2025 Q3(a)(ii), the private company exemption, 3 marks; January 2026 Q2(c), physical verification stopped because of an ERP, clause (ii)(a), 4 marks; May 2026 Q2(c)(i), property bought from a promoter for shares, clause (xv), 2 marks; September 2026 Q5(c), auditor resignation, internal audit and cash losses, 4 marks (answers not yet published).
- **RTP** September 2024 Q17: statutory dues (vii) and related parties (xiii).
- **MTPs**: exempt classes, 5 marks (September 2024 Series I Q3(a); January 2025 Series II Q2(b)); clause (ii) (May 2025 Series I Q6(c); May 2026 Series I Q4(c), 4 marks each); clause (vii) (September 2025 Series I Q6(c), 4 marks); clause (iii) (September 2025 Series II Q6(a), 5 marks); clause (xi) fraud (January 2025 Series I Q3(c), 4 marks); clause (xiv) internal audit (May 2024 Series I Q1(a), 4 marks); clause (ix)(d), the Study Material's cash credit case (May 2024 Series II, 3 marks).

Old-scheme papers asked the applicability numerical (May 2022 Q2(a), 4 marks: reserves after a loss, borrowings from two lenders added, revenue including discontinuing operations), defaults under clause (ix) (May 2023 Q4(b)) and clause (x)(b) (November 2022 Q6(a)).

In the exam

How the marks are earned

ICAI's answers quote the clause almost word for word ("As per clause (vii) of paragraph 3 of CARO 2020, the auditor is required to report ..."), apply it ("In the given case ...") and end with what to report, though some (May 2025 Q2(c)) stop at the clause. Exemption answers list all five classes, with every condition of class (v).

Trick

The private company test: "1, 1, 10, and no public parent"

Capital plus reserves ₹1 crore (at the balance sheet date), bank or FI borrowings ₹1 crore (at any point of time), revenue ₹10 crore (including discontinuing operations), and not a holding or subsidiary company of a public company. Condition: it is only for private limited companies not already exempt as small or One Person companies; failing any one test brings the Order back.

Answer frame

"Which companies are exempt from CARO 2020?"

Open with "CARO 2020 shall apply to every company including a foreign company as defined in section 2(42), except", then the five classes in ICAI's order, writing class (v) with all its conditions.

A case on one clause

1. **Relevant provision**: "As per clause (...) of paragraph 3 of CARO 2020, the auditor is required to report whether ...", in the clause's words.

2. **Facts of the case**: the facts with their amounts, dates and thresholds (10%, ₹5 crore, ninety days, six months).
3. **Analysis**: which sub-clause each fact falls under, and whether the answer is unfavourable.
4. **Conclusion**: what the report should state, with paragraph 4's basis for an unfavourable answer.

An applicability numerical

State the exemption; compute each limit with working (capital plus reserves at the balance sheet date; highest bank or FI borrowing during the year; revenue including discontinuing operations); check the holding or subsidiary condition; conclude for each company.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the foreign company Bunty exempted

Bunty leaves a foreign company out of CARO "because it is not Indian". **Fix:** the Order applies to every company including a foreign company as defined in section 2(42); only the five listed classes are exempt.

⚠ **Common mistake**

Testing borrowings at the year end

Mehra Spices owed the bank ₹40 lakh on 31 March, so "within ₹1 crore". **Fix:** the borrowing limit is tested at any point of time during the financial year; capital and reserves are tested at the balance sheet date; revenue for the year includes discontinuing operations.

⚠ **Common mistake**

Calling a letter a dispute

Reporting a due under clause (vii)(b) because the company wrote to the department. **Fix:** a mere representation to the concerned Department is not a dispute; the due is undisputed and goes under (vii)(a).

⚠ **Common mistake**

Applying all of CARO to consolidated statements

Fix: the Order does not apply to the report on consolidated financial statements, except clause (xxi).

Practice

Check yourself

1 Case scenario. Indore Namkeen Pvt Ltd is not a holding or subsidiary company of a public company, and is not a small or One Person Company. On 31 March 2026 its paid up capital and reserves and surplus total ₹96 lakh. Its bank borrowings never exceeded ₹80 lakh during 2025-26. Total revenue was ₹9.45 crore from continuing operations and ₹0.70 crore from a unit it discontinued. Which of the following is correct?

- **A** CARO 2020 does not apply, as all three limits are met
- **B** CARO 2020 applies, as total revenue including discontinuing operations is ₹10.15 crore
- **C** CARO 2020 does not apply, as revenue from continuing operations is within ₹10 crore
- **D** CARO 2020 applies, as paid up capital and reserves exceed ₹1 crore

2 Which of these are exempt from CARO 2020? Select all that apply.

- **A** A banking company as defined in section 5(c) of the Banking Regulation Act, 1949
- **B** A company licensed to operate under section 8 of the Companies Act, 2013
- **C** A foreign company as defined in section 2(42)
- **D** A One Person Company
- **E** A listed public company whose total revenue is ₹8 crore

More than one answer may be right.

3 Case scenario. Ujjain Cold Chain Pvt Ltd, to which CARO 2020 applies, took a seven-year term loan of ₹6 crore from Narmada Bank to build a cold store. It spent ₹4.50 crore on the cold store and ₹1.50 crore on the year's salaries and diesel bills. Which of the following is correct?

- **A** Report under clause (ix)(d), as funds raised on short term basis were utilised for long term purposes
- **B** Report under clause (ii)(b), as the loan finances working capital
- **C** Nothing to report, as most of the loan was used for its purpose
- **D** Report under clause (ix)(c): the ₹1.50 crore of term loan diverted and the purpose for which it is used

4 Under CARO 2020, which discrepancies found on physical verification are tested against "10% or more in the aggregate for each class"?

- **A** Discrepancies on physical verification of property, plant and equipment
- **B** Discrepancies on physical verification of inventory
- **C** Differences between the quarterly stock statements and the books
- **D** Differences in the net carrying value of a class of PPE on revaluation

5 The auditor cannot form an opinion on clause (iii)(b) because the loan files of a subsidiary were lost in a flood. What does CARO 2020 require?

A Omit clause (iii) from the annexure

B Answer the clause as favourable, relying on management's word

C Indicate in the report that no opinion can be expressed on the matter, with the reasons

D Withdraw from the audit

Answers: the answer key at the end of this lesson.

Recap

- CARO 2020: issued under section 143(11) after consulting NFRA; for financial years commencing on or after 1 April 2019; paragraphs 3 and 4 in the auditor's report, in the Annexure.
- Applies to every company including a foreign company, except banking, insurance, section 8, One Person and small companies, and private limited companies (not holding or subsidiary of a public company) with capital plus reserves ≤ ₹1 crore, bank or FI borrowings ≤ ₹1 crore at all times, and revenue ≤ ₹10 crore including discontinuing operations.
- Not for consolidated financial statements, except clause (xxi).
- Thresholds: revaluation change 10% per class; inventory discrepancies 10% per class; working capital limits above ₹5 crore; loans overdue above ninety days; dues unpaid above six months; Nidhi 1:20 and 10%; liabilities within one year; CSR within six months.
- Clause (vii): undisputed dues under (a) with six-month arrears; disputed dues under (b) with amount and forum; a representation is not a dispute.
- Clause (xi): frauds by or on the company, the ADT-4 filing, whistle-blower complaints.
- Paragraph 4: the basis for every unfavourable or qualified answer; reasons when no opinion can be given. (The doctor still writes "could not test".)

Answer key · Check yourself

1 **B CARO 2020 applies, as total revenue including discontinuing operations is ₹10.15 crore**

Revenue includes discontinuing operations: ₹9.45 crore + ₹0.70 crore = ₹10.15 crore, above ₹10 crore. Capital and reserves (₹96 lakh) and borrowings (₹80 lakh) are within their limits, but failing one test is enough.

2 **A A banking company as defined in section 5(c) of the Banking Regulation Act, 1949; B A company licensed to operate under section 8 of the Companies Act, 2013; D A One Person Company**

The Order applies to every company including a foreign company, except banking, insurance, section 8, One Person and small companies and the qualifying private limited companies. Size never exempts a public company.

3 **D Report under clause (ix)(c): the ₹1.50 crore of term loan diverted and the purpose for which it is used**

Clause (ix)(c) asks whether term loans were applied for the purpose for which they were obtained and, if not, the amount diverted and its use. Clause (ix)(d) runs the other way: short-term funds used for long-term purposes. Clause (ii)(b) concerns quarterly statements under working capital limits above ₹5 crore, and a partial diversion is still reported.

4 **B Discrepancies on physical verification of inventory**

The 10% test for each class applies to inventory under (ii)(a). PPE uses "material discrepancies"; stock statements must simply agree (if not, give details); the 10% in (i)(d) is about the amount of change on revaluation, not discrepancies.

5 **C Indicate in the report that no opinion can be expressed on the matter, with the reasons**

Paragraph 4(2): where the auditor is unable to express any opinion on a specified matter, the report shall indicate that fact with the reasons.

8.8 Branch audit and joint audit

Who may audit a company's branches, how the branch report reaches the company's auditor and how SA 600 lets the principal auditor use it; and how SA 299 splits work, responsibility and the report between joint auditors.

In plain words

Forty cities, one opinion

Tapri Tea Co. Ltd now runs cafés in forty cities, a depot-and-café branch in Guwahati and, since last year, an export branch in Dubai. Iyer & Associates sign one opinion on the whole company. Lakshmi cannot be in Guwahati, Dubai and Indore in the same week, so a branch can be audited by a **branch auditor**, who reports to the company's auditor.

> **Kesar:** For Dubai, my nephew Rehan will do the audit. MBA from Dubai, very sharp. Sab adjust ho jayega.
>
> **Lakshmi:** Then we read what section 143(8) asks of an auditor abroad, Kesar-ji.
>
> **Bunty:** And once the branch auditor sends a report, Ma'am, we just staple it on?
>
> **Lakshmi:** We use it, Bunty. We do not swallow it whole.

That is **branch audit**: the company's auditor still reports on the whole company, using another auditor's work for a part of it. The Standard on Auditing for this is **SA 600, "Using the Work of Another Auditor"**: the company's auditor is the **principal auditor**, the branch auditor is the **other auditor**, and the branch is a **component**.

Joint audit is a different arrangement. Two or more firms are appointed together as the auditors of one entity. They plan together, share the work and normally sign one common report. **SA 299 (Revised), "Joint Audit of Financial Statements"**, says which work each firm answers for alone and which work they all answer for together.

Think of it like

The wedding caterers

At a big wedding, the head caterer may let another caterer run the sweets counter, but tastes before serving: the principal auditor using a branch auditor's work. Or two caterers are hired jointly: each answers for its own dishes, both together for the shared buffet and the guests' plates, and if they cannot agree on the menu card, each prints its own and mentions the other's: a joint audit.

Key idea

Branch audit: the branch auditor's report goes to the company's auditor, who deals with it as he considers necessary, after SA 600 procedures show the work is adequate. Joint audit: each firm answers alone for its allotted work and all jointly and severally for the shared list; a firm that disagrees issues a separate report, and the reports refer to each other.

How it works

Part A: branch audit

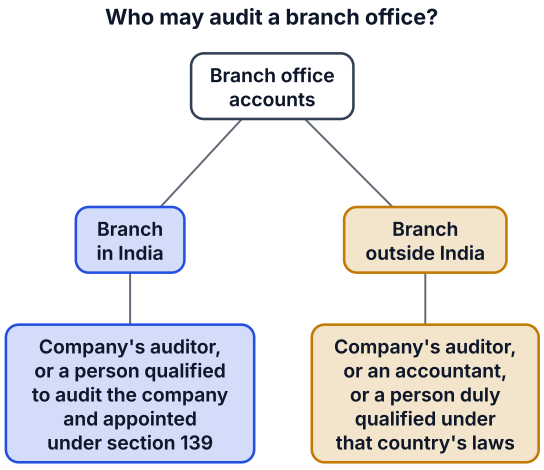
1. BOOKS OF ACCOUNT OF BRANCHES: SECTION 128

As per section 128(1) of the Companies Act, 2013, every company shall prepare and keep at its registered office books of account and other relevant books and papers and financial statement for every financial year which give a true and fair view of the state of the affairs of the company, **including that of its branch office or offices**, if any, and explain the transactions effected both at the registered office and its branches; such books shall be kept on accrual basis and according to the double entry system of accounting (SM 8.62).

- All or any of the books may be kept at such other place in India as the Board of Directors may decide; the company shall, within 7 days of the decision, file with the Registrar a notice in writing giving the full address of that other place. The books may also be kept in electronic mode in the manner prescribed (SM 8.62).
- **Section 128(2):** where a company has a branch office in India or outside India, it shall be deemed to have complied with sub-section (1) if proper books of account relating to the transactions effected at the branch office are kept at that office and **proper summarised returns** periodically are sent by the branch office to the company at its registered office or the other place (SM 8.62–8.63).

2. WHO AUDITS A BRANCH: SECTION 143(8)

Section 143(8) prescribes the duties and powers of the company's auditor with reference to the audit of the branch and the branch auditor. Where a company has a branch office, its accounts shall be audited (SM 8.63):



Blue: a branch in India; amber: a branch outside India. The duties and powers of the company's auditor with reference to the branch audit and the branch auditor are as prescribed.

- **In India:** either by the auditor appointed for the company (the company's auditor), or by any other person qualified for appointment as an auditor of the company under the Act and appointed as such under section 139.

- **Outside India:** either by the company's auditor, or by an accountant, or by any other person duly qualified to act as an auditor of the accounts of the branch office in accordance with the laws of that country.

3. WHERE THE BRANCH REPORT GOES

- The branch auditor shall **prepare a report** on the accounts of the branch examined by him and **send it to the auditor of the company**, who shall **deal with it in his report in such manner as he considers necessary** (SM 8.63).
- As per **rule 12 of the Companies (Audit and Auditors) Rules, 2014**, the branch auditor shall submit his report to the company's auditor, and reporting of fraud by the auditor shall also extend to such branch auditor to the extent it relates to the concerned branch (SM 8.63).

> ⚠ **Careful**
>
> The fraud-reporting procedure itself (section 143(12)) belongs to the company auditor's reporting under the Companies Act. ICAI's Paper 2 amendment list records that the auditor's fraud report is filed electronically in form ADT-4 (G.S.R 359(E), effective 14 July 2025); Paper 5 answers follow the Study Material. Verify against the Study Material and Statutory Update for your attempt.

4. WHAT THE COMPANY'S AUDITOR REPORTS ABOUT BRANCHES

Under section 143(3), the company's auditor's report shall state, among other matters (SM 8.69–8.70):

- (b) whether, in his opinion, proper books of account as required by law have been kept by the company so far as appears from his examination of those books and **proper returns adequate for the purposes of his audit have been received from branches not visited by him**;
- (c) whether the report on the accounts of any branch office of the company audited under sub-section (8) by a person other than the company's auditor **has been sent to him** under the proviso to that sub-section and **the manner in which he has dealt with it** in preparing his report;
- (d) whether the company's balance sheet and profit and loss account dealt with in the report are in agreement with the books of account **and returns**.

ICAI's illustrative report shows where branches appear in the words of the report: see Formats and formulas below.

5. SA 600: USING THE WORK OF ANOTHER AUDITOR

> **Definition**
>
> **Principal auditor, other auditor, component**
>
> **Principal auditor** means the auditor with responsibility for reporting on the financial information of an entity when that financial information includes the financial information of one or more components audited by another auditor. **Other auditor** means an auditor, other than the principal auditor, with responsibility for reporting on the financial information of a component which is included in the financial information audited by the principal auditor. **Component** means a division, branch, subsidiary, joint venture, associated enterprises or other entity whose financial information is included in the financial information audited by the principal auditor (SM 8.63–8.64).

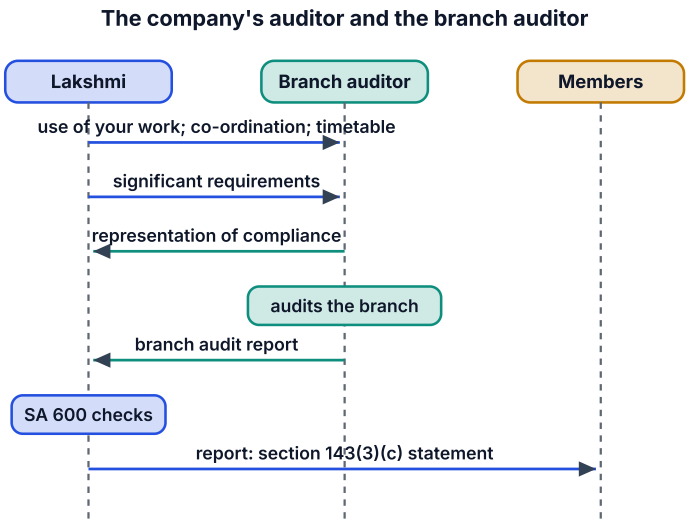
When the accounts of the branch are audited by a person other than the company's auditor, there is need for a **clear understanding** of the role of such other auditor and the company's auditor in relation to the audit of the branch and of the company as a whole, and great necessity for a **proper rapport** between the two for an effective audit. SA 600 deals with these needs (SM 8.64):

1. **Right to visit.** In certain situations, the statute governing the entity may confer a right on the principal auditor to visit a component and examine the books of account and other records of the component, if he thinks it necessary to do so.
2. **Normally entitled to rely.** Where another auditor has been appointed for the component, the principal auditor would normally be entitled to rely upon the work of such auditor, unless there are special circumstances to make it essential for him to visit the component and/or to examine its books of account and other records.
3. **But satisfied first.** The principal auditor should perform procedures to obtain sufficient appropriate audit evidence that the work of the other auditor is adequate for the principal auditor's purposes, in the context of the specific assignment.

When using the work of another auditor, the principal auditor should **ordinarily** perform the following procedures (SM 8.64):

- (a) **advise the other auditor of the use** that is to be made of the other auditor's work and report, and make sufficient arrangements for **co-ordination** of their efforts at the planning stage of the audit. The principal auditor would inform the other auditor of matters such as areas requiring special consideration, procedures for the identification of inter-component transactions that may require disclosure, and the time-table for completion of audit; and
- (b) **advise the other auditor of the significant accounting, auditing and reporting requirements** and **obtain representation** as to compliance with them.

The principal auditor **might discuss** with the other auditor the audit procedures applied, or **review a written summary** of the other auditor's procedures and findings, which may be in the form of a completed questionnaire or check-list. The principal auditor may also wish to **visit the other auditor**. The nature, timing and extent of procedures will depend on the circumstances of the engagement and the principal auditor's knowledge of the professional competence of the other auditor, which may have been enhanced from the review of the previous audit work of the other auditor (SM 8.64–8.65).



Lakshmi: the company's auditor, here the principal auditor. "Significant requirements": the significant accounting, auditing and reporting requirements. "SA 600 checks": procedures to be satisfied that the work is adequate (discussion, a written summary, a visit).

Two consequences in the report: when SA 600 applies, the auditor's responsibilities section states the division of responsibility, indicating the extent to which components audited by other auditors are included, e.g. the number of branches (SM 8.19); and ICAI's illustrative report carries an Other Matter paragraph on the branches audited by branch auditors (SM 8.30; SA 706).

6. THE BRANCH AUDITOR IS A FULL AUDITOR OF THE BRANCH

The Study Material's Case Scenario 6 settles two points (SM 11.58–11.61). A branch auditor of only some branches must still **determine materiality and identify and assess the risks of material misstatement** for the auditee branches, with documentation; substantive procedures alone are not enough. And the company's auditor **can** advise the branch auditor of significant requirements and ask for a representation of compliance: that is SA 600's procedure (b).

Part B: joint audit

7. WHAT IT IS, AND WHY

Joint audit basically implies **pooling together the resources and expertise** of more than one firm of auditors to render an expert job in a given time period which may be difficult to accomplish acting individually. It essentially involves **sharing of the total work** (SM 8.65). Its legal foothold: under section 139(3), the members of a company may resolve to provide that the audit shall be conducted by more than one auditor (SM 8.92).

Advantages (SM 8.65–8.66)	Disadvantages (SM 8.66)
(i) Sharing of expertise	(i) The fees being shared
(ii) Advantage of mutual consultation	(ii) Psychological problem where firms of different standing are associated
(iii) Lower workload	(iii) General superiority complex of some auditors
(iv) Better quality of performance	(iv) Problems of co-ordination of the work
(v) Improved service to the client	(v) Areas of work of common concern being neglected
(vi) For multi-national companies, work spread using local firms better placed for detailed work and local laws and regulations	(vi) Uncertainty about the liability for the work done
(vii) Lower staff development costs	
(viii) Lower costs to carry out the work	
(ix) A sense of healthy competition towards a better performance	

8. SA 299 (REVISED): PLANNING TOGETHER

SA 299 (Revised) lays down the principles for effective conduct of a joint audit to achieve the overall objectives of the auditor laid down in SA 200. It requires that (SM 8.66–8.67):

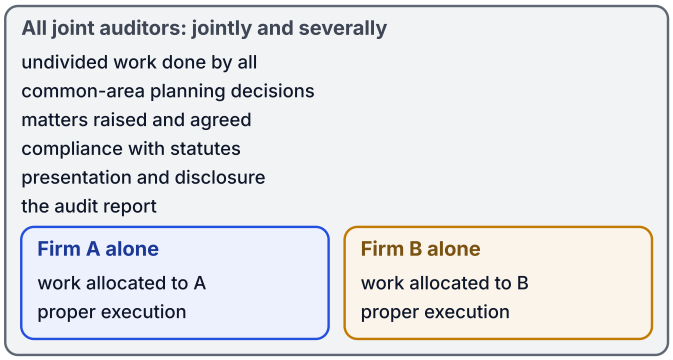
1. the engagement partner and other key members of the engagement team from **each** of the joint auditors should be involved in planning the audit;
2. the joint auditors should **jointly establish an overall audit strategy** which sets the scope, timing and direction of the audit, and guides the development of the audit plan;
3. before the commencement of the audit, the joint auditors should discuss and develop a **joint audit plan**. In developing it, the joint auditors should:
   - (a) identify division of audit areas and common audit areas;
   - (b) ascertain the reporting objectives of the engagement;
   - (c) consider and communicate among all joint auditors the factors that are significant in directing the engagement team's efforts;
   - (d) consider the results of preliminary engagement activities, or similar engagements performed earlier;
   - (e) ascertain the nature, timing and extent of resources necessary to accomplish the engagement;
4. each of the joint auditors should consider and **assess the risks of material misstatement** and communicate them to the other joint auditors;
5. the joint auditors should discuss and document the nature, timing, and extent of the audit procedures for (I) common and (II) specific allotted areas of audit to be performed;
6. the joint auditors should obtain a **common engagement letter** and a **common management representation letter**;

7. the **work allocation document** should be signed by all the joint auditors and communicated to those charged with governance.

9. WHO ANSWERS FOR WHAT

In respect of audit work **divided** among the joint auditors, each joint auditor shall be responsible **only for the work allocated** to such joint auditor, including proper execution of the audit procedures. On the other hand, all the joint auditors shall be **jointly and severally responsible** for (SM 8.67):

- (i) the audit work which is not divided among the joint auditors and is carried out by all joint auditors;
- (ii) decisions taken by all the joint auditors under audit planning in respect of common audit areas;
- (iii) matters which are brought to the notice of the joint auditors by any one of them and there is an agreement among the joint auditors on such matters;
- (iv) examining that the financial statements of the entity comply with the requirements of the relevant statutes;
- (v) presentation and disclosure of the financial statements as required by the applicable financial reporting framework;
- (vi) ensuring that the audit report complies with the requirements of the relevant statutes, applicable Standards on Auditing and other relevant pronouncements issued by ICAI.



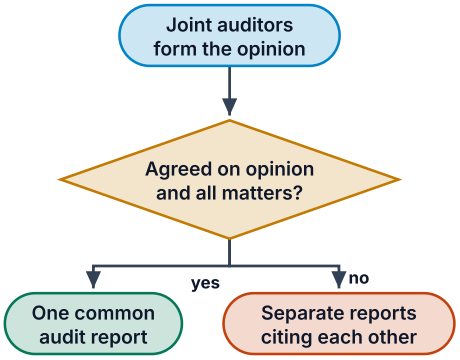
The outer box: what all the joint auditors answer for together. Blue and amber: what each firm answers for alone, the work allocated to it, including proper execution of the audit procedures.

10. TELLING EACH OTHER, AND THE REPORT

- In case a joint auditor comes across matters which are relevant to the areas of responsibility of other joint auditors and which deserve their attention, or which require disclosure or discussion with, or application of judgment by, other joint auditors, the said joint auditor shall **communicate the same to all the other joint auditors in writing prior to the completion of the audit** (SM 8.67–8.68).
- The joint auditors are required to issue a **common audit report**. However, where the joint auditors are in **disagreement** with regard to the opinion or any matters to be covered by the audit report, they shall express their opinion in a **separate audit report**. In such circumstances, the audit

report(s) issued by the joint auditor(s) shall **make a reference to each other's audit report(s)** (SM 8.68).

Joint auditors: one report or two?



Green: the normal case. Orange: disagreement on the opinion or any matter to be covered by the report. There is no majority rule.

Formats and formulas

Branches in the words of the company's report

ICAI's illustrative report (SM 8.26–8.31); reproduce the bracketed branch wording from memory.

Part of the report	Branch wording (ICAI illustration)
Opinion paragraph	"...notes to the financial statements, including a summary of significant accounting policies and other explanatory information [in which are included the Returns for the year ended on that date audited by the branch auditors of the Company's branches located at (location of branches)]"
Other Matter	"We did not audit the financial statements/information of ... (number) branches ...", with their total assets and total revenue, ending "Our opinion is not modified in respect of these matters." (full text in SA 706)
Section 143(3)(b)	"...proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books [and proper returns adequate for the purposes of our audit have been received from the branches not visited by us]"
Section 143(3)(c)	"[The reports on the accounts of the branch offices of the Company audited under Section 143(8) of the Act by branch auditors have been sent to us and have been properly dealt with by us in preparing this report.]"
Section 143(3)(d)	"...in agreement with the books of account [and with the returns received from the branches not visited by us]"

Worked examples

Worked example **Kesar's branch plans**

Tapri Tea Co. Ltd has two branches whose accounts will be audited by persons other than Iyer & Associates

for 2025-26:

- the **Dubai branch**: Kesar proposes his nephew Rehan Mehra, an MBA who is not an accountant and is not qualified to act as an auditor under the laws of the UAE;
- the **Guwahati branch**: the members have appointed CA Priya Barua under section 139; she is qualified for appointment as auditor of the company.

Kesar also wants both branch reports sent "to me and the board only, not to Lakshmi-ji, she has enough to read". During her audit, Priya finds that the Guwahati branch cashier has been diverting cash.

The two branches report total assets of ₹18.40 crore (Guwahati) and ₹11.25 crore (Dubai) at 31 March 2026, and revenue of ₹26.75 crore and ₹14.90 crore for the year.

Required:

(i) Examine whether Rehan Mehra and CA Priya Barua may audit the branches.

(ii) Comment on Kesar's instruction on the branch reports, and on Priya's duty regarding the cash diversion.

(iii) Assuming both branches are finally audited by eligible branch auditors, state how Iyer & Associates deal with the branches in their audit report, with the amounts for the Other Matter paragraph.

MODEL ANSWER

Relevant provision. As per section 143(8) of the Companies Act, 2013, a branch office's accounts shall be audited by the company's auditor or by a person qualified for appointment as auditor of the company and appointed under section 139; for a branch outside India, by the company's auditor or by an accountant or by any other person duly qualified to act as an auditor of the branch accounts under the laws of that country. The branch auditor sends the branch report to the company's auditor, who deals with it in his report as he considers necessary; under rule 12 of the Companies (Audit and Auditors) Rules, 2014, reporting of fraud extends to the branch auditor to the extent it relates to the branch. Section 143(3)(b), (c) and (d) require the company's auditor to report on branch returns and branch reports.

Facts and analysis.

(i) Rehan is neither the company's auditor, nor an accountant, nor a person duly qualified under UAE law: he **cannot** audit the Dubai branch. The Dubai branch may be audited by Iyer & Associates or by an accountant or other person duly qualified under the laws of the UAE. CA Priya Barua is qualified for appointment as the company's auditor and appointed under section 139: she **may** audit the Guwahati branch.

(ii) Kesar's instruction is contrary to section 143(8) and rule 12: the branch auditor **sends the report to the company's auditor**. The report must reach Iyer & Associates, who deal with it in their report as they consider necessary. The cash diversion relates to the Guwahati branch, so the duty to report fraud **extends to Priya** to that extent.

(iii) The branch working, computed:

Branch	Total assets (₹ crore)	Revenue (₹ crore)
Guwahati	18.40	26.75
Dubai	11.25	14.90
Total	**29.65**	**41.65**

Conclusion. Iyer & Associates should: (a) in the Opinion paragraph, state that the financial statements include the returns audited by the branch auditors of the branches at Guwahati and Dubai; (b) include an **Other Matter** paragraph: "We did not audit the financial statements/information of 2 branches included in the standalone financial statements of the Company whose financial statements/financial information reflect total assets of ₹29.65 crore as at 31st March 2026 and the total revenue of ₹41.65 crore for the year ended on that date... our opinion in so far as it relates to the amounts and disclosures included in respect of branches, is based solely on the report of such branch auditors. Our opinion is not modified in respect of these matters."; and (c) make the section 143(3)(b), (c) and (d) statements: proper returns received from the branches not visited, the branch auditors' reports sent to them and properly dealt with, and agreement with the books and the branch returns. The Other Matter paragraph is first communicated, with its wording, to those charged with governance.

Worked example **Two branch auditors, one principal auditor**

For 2025-26, Lakshmi plans to use the work of two branch auditors of Tapri Tea Co. Ltd. CA Priya Barua audits the Guwahati branch; Lakshmi has reviewed Priya's branch audit work for the last four years and found it thorough. CA Arjun Saikia audits the new Shillong branch, opened this year; Lakshmi has never seen his work. Tapri's overall materiality is ₹1.50 crore. Consider each of the following:

(a) Kesar suggests that Lakshmi should not write to the branch auditors before their audits begin: "Wait for their reports. Less paperwork for everyone."

(b) Bunty plans exactly the same set of procedures on the work of both branch auditors, "to be fair to both".

(c) Priya's report on the Guwahati branch is qualified: she could not attend the year-end count of branch inventory of ₹0.42 crore, and no alternative procedure was possible. No other matter affects Tapri's opinion. Bunty proposes to copy Priya's qualification word for word into Tapri's audit report.

(d) Kesar argues that Lakshmi may now either re-audit the whole Shillong branch herself or rely on Arjun's report without doing anything at all.

Advise Lakshmi, with reasons.

MODEL ANSWER

Relevant provision. As per section 143(8), the branch auditor sends the branch report to the company's auditor, who shall deal with it in his report in such manner as he considers necessary (SM 8.63). As per SA 600, "Using the Work of Another Auditor", the principal auditor would normally be entitled to rely on the other auditor's work, unless special circumstances make it essential to visit the component or examine its records, but should perform procedures to obtain sufficient appropriate audit evidence that the work is adequate for the principal auditor's purposes: ordinarily procedures (a) and (b) set out in How it works, and possibly a discussion of the procedures applied, a review of a written summary of procedures and findings, or a visit. Their nature, timing and extent depend on the circumstances and on the principal auditor's knowledge of the other auditor's professional competence, which may have been enhanced from the review of the other auditor's previous audit work (SM 8.64–8.65).

Analysis and conclusion.

(a) Kesar's suggestion would skip both "ordinarily" procedures, which belong to the planning stage. Lakshmi should write to both branch auditors before their audits: the use she will make of their work and reports, the areas requiring special consideration, the procedures for identifying inter-branch transactions that may require disclosure, and the time-table for completion; and the significant accounting, auditing and reporting requirements, with a **representation** of compliance with them.

(b) Procedures (a) and (b) apply to both, but the nature, timing and extent of the rest need not be the same. Four years of reviewing Priya's work have enhanced Lakshmi's knowledge of her competence, so a discussion of the procedures applied may be enough. For Arjun she has no such knowledge and should do more: review a written summary of his procedures and findings (a completed questionnaire or check-list), discuss them and, if necessary, visit him.

(c) The branch report is not copied: Lakshmi deals with it as she considers necessary. Her opinion is on Tapri's financial statements as a whole, so under SA 705 the question is whether the possible effect of the unverified inventory is material to them. At ₹0.42 crore against overall materiality of ₹1.50 crore, with no other matter, it is not, so Tapri's opinion is not modified on this account. Under section 143(3)(c) her report states that the branch report has been sent to her and the manner in which she has dealt with it.

(d) Neither extreme is right. Lakshmi is **normally entitled to rely** on Arjun's work, so no full re-audit unless special circumstances make it essential to visit the branch or examine its records; but she must still obtain sufficient appropriate audit evidence that his work is **adequate** for her purposes, as in (b).

Worked example **The cold-chain company with two auditors**

The members of Narmada Cold Chain Ltd have appointed Iyer & Associates and Bose & Co. as joint auditors for 2025-26. The signed work allocation document gives revenue, receivables, cash and bank to Iyer & Associates, and property, plant and equipment, inventories and payables to Bose & Co.; borrowings, related parties and the presentation and disclosure of the financial statements are common areas.

(a) After the report is issued, inventory at the Nagpur depot is found to have been overstated by ₹0.90 crore. Bose & Co.'s team did not attend that depot's count.

(b) While verifying receivables, Iyer & Associates notice credit notes for goods returned by customers that do not appear in the inventory records.

(c) The financial statements omitted a disclosure the financial reporting framework requires; neither firm noticed.

(d) Bose & Co. propose separate management representation letters, one for each firm's areas.

(e) Iyer & Associates conclude that the opinion must be qualified; Bose & Co. disagree. To avoid confusing the shareholders, Bose & Co. suggest that each firm issue its own report without mentioning the other's.

Comment on each with reference to SA 299 (Revised).

MODEL ANSWER

Relevant provision. As per SA 299 (Revised), for audit work divided among the joint auditors, each joint auditor shall be responsible only for the work allocated to it, including proper execution of the audit procedures; all of them shall be jointly and severally responsible for, among other matters, matters brought to their notice by any one of them and agreed, and presentation and disclosure as required by the applicable financial reporting framework. A joint auditor who comes across matters relevant to another's area shall communicate them to all the other joint auditors in writing prior to the completion of the audit. The joint auditors obtain a common engagement letter and a common management representation letter and issue a common audit report; where they disagree on the opinion or any matter to be covered by the report, each expresses its opinion in a separate audit report, and the reports make a reference to each other's reports.

Analysis and conclusion.

(a) Inventories were allotted to Bose & Co., and the count attendance was part of executing the procedures in that area. **Bose & Co. alone** are responsible.

(b) The matter is relevant to Bose & Co.'s area. Iyer & Associates shall **communicate it in writing** to all the other joint auditors before the audit is completed. Once brought to notice and agreed upon, it becomes a joint and several responsibility.

(c) Presentation and disclosure is a joint and several responsibility, and a common area here: **both firms** are responsible.

(d) SA 299 (Revised) requires a **common management representation letter** (and a common engagement letter); separate letters are not in order.

(e) Disagreement on the opinion does call for a **separate audit report** from each firm, but the reports shall **make a reference to each other's** report: Bose & Co.'s suggestion of silence is not in order.

Exam angle

In the exam

Where branch audit and joint audit appeared in the documents read

New scheme, May 2024 to September 2026:

- **SA 600 procedures**: May 2024 Q4(b) on the principal auditor of OP Ltd whose divisions are audited by other auditors (4 marks); RTP May 2026 Q17 and RTP September 2026 Q17 (the need for co-ordination, and the procedures, including when the principal auditor may visit the component). Test Your Understanding 4 (SM 8.65; answer SM 8.100–8.101): a summary of the branch auditor's procedures and findings is not "an encroachment".
- **Report wording under SA 600**: MTP September 2026 Series II Q5(b) (5 marks), the auditor's responsibilities section and the division of responsibility statement (SM 8.19).
- **Case MCQs on branches**: MTP May 2024 Series I, Case Scenario 2 (the Study Material's Case Scenario 6, SM 11.58–11.61): who audits a branch and where the report goes (MCQ 2.1), the branch auditor's own materiality and risk assessment (MCQ 2.2), the representation of compliance (MCQ 2.4).
- **Joint audit**: the advantages, "any five" (May 2025 Q5(a), 5 marks); the jointly-and-severally list (MTP January 2025 Series II Q6(b), 5 marks; MTP September 2025 Series I Q3(c), 4 marks); the joint audit plan (MTP September 2024 Series I Q2(b), 5 marks; MTP May 2026 Series II Q4(c), 4 marks); a dissenting joint auditor, with the majority's view as the tempting wrong option (September 2024 MCQ 6).

Old scheme: the company's auditor refused access to a branch audited by another auditor (November 2020 Q5(d), 3 marks; ICAI's answer cited the right of access under section 143(1), extending to branch records under section 143(8)); the joint audit plan (November 2019 Q4(b), 4 marks); jointly and severally (November 2022 Q4(b), 4 marks); the advantages (MTP May 2023 Series II Q4(a), 4 marks); joint auditors' disagreement (MTP July 2021 Series I MCQ 6); who may audit a branch in and outside India (RTP May 2020; Theoretical Question 13, SM 8.90).

Careful

The section 143(1) right of access in ICAI's November 2020 answer is not in this edition of the Study Material, which says only that the statute may confer a right on the principal auditor to visit a component (SM 8.64). Verify against the Study Material and Statutory Update for your attempt.

In the exam

How the marks are earned

Branch answers give section 143(8) in ICAI's words (in India / outside India), the report to the company's auditor, and rule 12. SA 600 answers give procedures (a) and (b) and the discuss / review a summary / visit sentence. Joint audit lists are marked point by point in ICAI's order: the five considerations of the joint audit plan, the six jointly-and-severally items, the nine advantages.

Trick

The six joint-and-several items: "Undivided, Decisions, Agreed, Statutes, Presentation, Report"

Read it as one sentence: **U**ndivided work, common-area planning **D**ecisions, matters **A**greed, compliance with **S**tatutes, **P**resentation and disclosure, the **R**eport. Condition: everything *allocated* to one firm, including executing its procedures, is that firm's alone.

Answer frame

A case question: provision, facts, analysis, conclusion

1. **Relevant provision**: section 143(8) and rule 12 for "who audits and to whom"; SA 600 for "what may the principal auditor do"; SA 299 (Revised) for "who is responsible" and "what about the report".
2. **Facts of the case**: where the branch is (India or outside); who was appointed and how; which areas were allotted to whom; what the firms disagree on.
3. **Analysis**: apply the provision line by line.
4. **Conclusion**: eligible or not; report to the company's auditor; responsibility alone or joint and several; one report or separate reports referring to each other.

"Distinguish between a branch auditor and a joint auditor"

Point	Branch auditor	Joint auditor
Appointed for	The accounts of a branch office	The audit of the entity as a whole, with other auditors
Reports to	The company's auditor	The members, in a common report
Responsibility	For the branch report; the company's auditor uses it under SA 600	Allotted work alone; listed matters jointly and severally
Governing rule	Section 143(8), rule 12, SA 600	Section 139(3), SA 299 (Revised)

Common mistakes

⚠ **Common mistake**

Hall of Shame: the majority verdict

Writing "the joint auditor in the minority must agree with the majority". **Fix:** where joint auditors disagree on the opinion or any matter in the report, each expresses its opinion in a separate report, and the reports refer to each other (SM 8.68).

⚠ **Common mistake**

"Anyone can audit a foreign branch"

Fix: outside India, only the company's auditor, an accountant, or a person duly qualified under that country's laws (SM 8.63).

⚠ **Common mistake**

The branch report that went to the board

Fix: the branch auditor sends the report to the company's auditor (section 143(8), rule 12), who deals with it in his report as he considers necessary (SM 8.63).

⚠ **Common mistake**

Relying without checking, or checking without relying

Fix: the principal auditor is normally entitled to rely, but should perform procedures to obtain sufficient appropriate audit evidence that the work is adequate for his purposes (SM 8.64).

Practice

Check yourself

1 Case scenario. Tapri Tea Co. Ltd opens a branch in Colombo, Sri Lanka. The board wants the branch accounts audited locally. Which of the following may audit them under section 143(8)?

- **A** Only Iyer & Associates, the company's auditor
- **B** Iyer & Associates, or an accountant, or any other person duly qualified to act as an auditor of the branch accounts under the laws of Sri Lanka
- **C** Any chartered accountant in India nominated by the managing director
- **D** The branch's own internal audit team, whose report goes to the board

2 Under SA 600, which procedures should the principal auditor ordinarily perform? Select all that apply.

- **A** Advise the other auditor of the use to be made of the other auditor's work and report, and arrange co-ordination at the planning stage
- **B** Advise the other auditor of significant accounting, auditing and reporting requirements and obtain representation as to compliance
- **C** Re-perform every procedure applied by the other auditor before relying on the report
- **D** Obtain photocopies of all the other auditor's working papers as of right

More than one answer may be right.

3 Joint auditors of a company have divided the audit areas. For which of the following are ALL the joint auditors jointly and severally responsible? Select all that apply.

- **A** Decisions taken by all of them under audit planning for common audit areas
- **B** Presentation and disclosure of the financial statements as required by the framework
- **C** Proper execution of audit procedures in an area allotted to one joint auditor
- **D** Ensuring that the audit report complies with the relevant statutes, SAs and ICAI pronouncements

More than one answer may be right.

4 Case scenario. Joint auditors Patel & Co. and Rao & Co. agree that the opinion is unmodified, but disagree on whether the report should include an Other Matter paragraph on branches audited by branch auditors. Which of the following is correct?

A They must issue a common report, because separate reports are allowed only when the opinion differs

B The view of the firm with the larger share of allotted work prevails

C Each expresses its opinion in a separate audit report, and the reports refer to each other

D The matter goes to those charged with governance, whose decision binds both firms

Answers: the answer key at the end of this lesson.

Recap

- Section 128: books at the registered office include the branches'; a branch keeping proper books and sending proper summarised returns periodically is deemed compliance.
- Section 143(8): branch in India: company's auditor or a person qualified to be the company's auditor and appointed under section 139; outside India: company's auditor, an accountant, or a person duly qualified under that country's laws.
- The branch auditor reports to the company's auditor, who deals with it as he considers necessary; rule 12: fraud reporting extends to the branch auditor for the branch.
- Section 143(3)(b), (c), (d): returns from branches not visited; branch reports received and how dealt with; agreement with books and returns.
- SA 600: normally entitled to rely, but procedures to be satisfied the work is adequate; ordinarily (a) advise the use and co-ordinate, (b) advise requirements and obtain representation; discuss, review a summary or visit.
- Joint audit: pooling resources and expertise; nine advantages, six disadvantages; legal foothold in section 139(3).
- SA 299 (Revised): joint planning and strategy; joint audit plan (areas, reporting objectives, significant factors, preliminary results, resources); common engagement and representation letters; signed work allocation communicated to those charged with governance.
- Allocated work: alone. Undivided work, common decisions, agreed matters, statutes, presentation, report: jointly and severally. Disagreement: separate reports referring to each other. (Two caterers, two menu cards, each mentioning the other.)

Answer key · Check yourself

1 **B Iyer & Associates, or an accountant, or any other person duly qualified to act as an auditor of the branch accounts under the laws of Sri Lanka**

Outside India: the company's auditor, an accountant, or a person duly qualified under that country's laws. In India it would be the company's auditor or a person qualified for appointment as auditor of the company and appointed under section 139.

2 **A Advise the other auditor of the use to be made of the other auditor's work and report, and arrange co-ordination at the planning stage; B Advise the other auditor of significant accounting, auditing and reporting requirements and obtain representation as to compliance**

The two "ordinarily" procedures are (a) and (b). The principal auditor is normally entitled to rely, so re-performing everything is not required; the working papers belong to the other auditor.

3 **A Decisions taken by all of them under audit planning for common audit areas; B Presentation and disclosure of the financial statements as required by the framework; D Ensuring that the audit report complies with the relevant statutes, SAs and ICAI pronouncements**

Allocated work, including its execution, is the allotted auditor's alone; the other three are on SA 299's joint and several list.

4 **C Each expresses its opinion in a separate audit report, and the reports refer to each other**

SA 299 (Revised): disagreement "with regard to the opinion or any matters to be covered by the audit report" leads to separate reports, each referring to the other's. There is no majority, seniority or share-of-work rule.

CHAPTER 9

Special Features of Audit of Different Types of Entities

9.1 Government audit and the C&AG

How the C&AG audits public money for Parliament: the Constitution's safeguards, the C&AG's duties and powers, the five standards of expenditure audit, receipts, stores and government companies.

In plain words

The museum with the locked door

Kesar is reading the newspaper aloud in Lakshmi's office, far too happily.

> **Kesar:** "C&AG report: tea heritage museum built for ₹14 crore, still locked after three years." Fourteen crore! And you question my ₹4,000 of miscellaneous expenses, Lakshmi-ji.
>
> **Lakshmi:** The C&AG asked the question I ask you, Kesar-ji. Only the shareholders are everyone who pays tax.
>
> **Bunty:** But Ma'am, if the department followed every rule, what is the objection?
>
> **Lakshmi:** Following the rules is only the first question, Bunty. There are five.

Parliament (or, for a State, the State Legislature) decides how much the government may spend and on what, by voting on the **demands for grants**; the money comes out of the **Consolidated Fund**. Someone must check afterwards that it was spent as Parliament allowed: the **Comptroller and Auditor General of India (C&AG)**, an independent authority whose safeguards are written into the Constitution, working through the Indian Audit and Accounts Department.

Five questions are asked of spending, in this order. Was it allowed by the law and the financial rules? Did someone with the power to approve it approve it? Was money provided for that purpose, and did spending stay within it? Was it sensible, or wasteful even though every rule was followed? And did the big programmes deliver? A locked museum can pass the first three and fail the fourth.

The C&AG reports to the President (Union) or the Governor (State), who has the report laid before the legislature; the report states facts, and the **Public Accounts Committee** takes it from there. For **government companies** the C&AG appoints the statutory auditors, tells them how to audit, and may audit after them.

Think of it like

The family wedding budget

In a joint family the elders' council approves the wedding budget head by head. Chachu spends; afterwards Nani checks every bill. Allowed by family rules? Approved by an elder? Was there money in that head, or did the band's fee come out of the food budget? Sensible? (A gold-plated invitation card can be allowed, approved and within budget, and still be silly.) And did the wedding go well? Then Nani reads her findings to the council and lets them decide. She is the C&AG; the council is Parliament.

Key idea

The C&AG audits public money on behalf of Parliament and the State Legislatures. Expenditure audit applies five standards: rules and orders, sanctions, provision of funds, propriety and performance. The first three check that spending was allowed, approved and provided for; propriety and performance catch spending that is perfectly regular and still wasteful or useless.

How it works

1. What government audit is, and why it exists

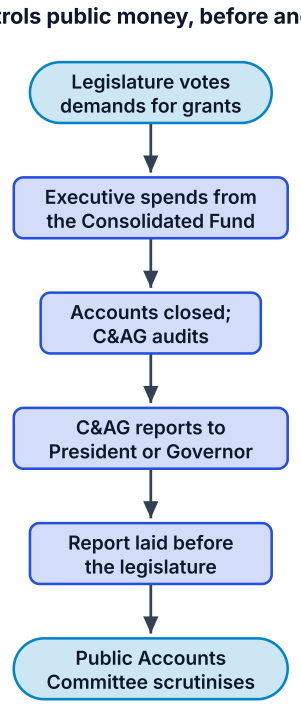
Government audit aims to ensure the accountability of the executive in respect of public revenue and expenditure. Parliament, and in the States the State Legislatures, control all government expenditure by insisting on demands for grants: no expenditure can be incurred unless it has been voted on, and the funds for it must come out of the Consolidated Fund of India or of the State (SM 9.5).

Definition

Consolidated Fund of India

As per Article 266, the Consolidated Fund of India consists of all the revenue received from direct and indirect taxes, all the loans taken by the Government of India and all the amount of repayment of loans received by the Government of India (SM 9.5). All government expenditure is incurred from this fund, and no money can be appropriated out of it except in accordance with law and for the purposes and in the manner provided in the Constitution (SM 9.92).

After the expenditure is incurred and the accounts are closed, the **Appropriation Accounts** are prepared and scrutinised by the **Public Accounts Committee (PAC)**, a committee of selected members of Parliament. So legislative control is exercised both before and after spending (SM 9.5).



Control before spending (the vote) and after it (audit, report, PAC). For a State read State Legislature, Consolidated Fund of the State and Governor (SM 9.5, 9.8, 9.21).

Definition

Government auditing (U.N. Handbook on Government Auditing and Developing Countries)

Government auditing is the objective, systematic, professional and independent examination of financial, administrative and other operations of a public entity, made subsequently to their execution, for the purpose of evaluating and verifying them, presenting a report containing explanatory comments on audit findings together with conclusions and recommendations for future actions by the responsible officials and, in the case of examination of financial statements, expressing the appropriate professional opinion regarding the fairness of the presentation (SM 9.6).

Objectives of government audit (SM 9.6–9.7):

- (a) **Accounting for public funds**: a mechanism for public accounting of government funds.
- (b) **Appraisal of government policies**: public accounting of the operational, management, programme and policy aspects of public administration, and accountability of the officials administering them.
- (c) **Base for corrective actions**: observations based on factual data highlight the lapses of the lower hierarchy, helping supervisory officers take corrective measures.

Administrative accountability. Government audit is neither equipped nor intended to function as an investigating agency pursuing every irregularity to its logical end. Its main objective is a combination of ensuring accountability of administration to legislature and functioning as an aid to administration (SM 9.7).

2. Why the C&AG is independent: the legal framework

The Constitution contains specific provisions on the appointment, salary, duties and powers of the C&AG (SM 9.7–9.8):

1. **Appointment and removal.** Appointed by the President of India; not removed from office except on the ground of proven misbehaviour or incapacity. As for a Judge of the Supreme Court, removal needs each House of Parliament to decide so by a majority of not less than two-thirds of the members of the House present and voting.
2. **Salary and conditions.** Determined by laws of Parliament, and not variable to the C&AG's disadvantage after appointment. The service conditions of the Indian Audit and Accounts Department and the C&AG's administrative powers are determined by the President after consultation with the C&AG.
3. **Tenure.** The Comptroller and Auditor General's (Duties, Powers and Conditions of Service) Act, 1971 fixes the tenure and a salary equal to a Supreme Court Judge's.
4. **Article 149**: the C&AG performs such duties and exercises such powers in relation to the accounts of the Union, the States and any other authority or body as are prescribed by or under any law made by Parliament (the 1971 Act).
5. **Article 150**: the accounts of the Union and of the States shall be kept in such form as **the President** may, on the advice of the C&AG, prescribe.
6. **Article 151**: the C&AG's reports on the accounts of the Union or a State are submitted to **the President or the Governor**, who causes them to be laid before Parliament or the State Legislature.

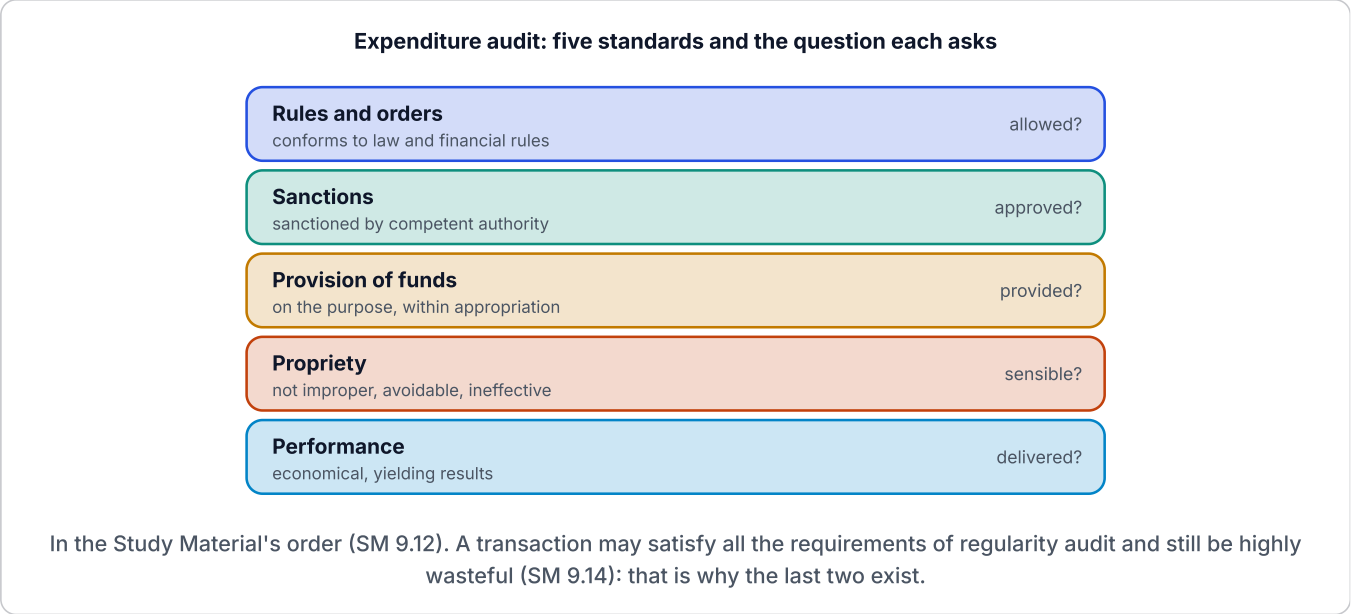
3. Duties and powers of the C&AG under the 1971 Act

Duty	What it covers (SM 9.8–9.11)
(i) Compile and submit accounts	Compile the accounts of the Union and each State from the accounts rendered by treasuries, offices and departments; prepare the annual accounts (including appropriation accounts, for accounts he compiles) and submit them to the President, Governor or Administrator
(ii) General audit	Audit and report on (a) all expenditure from the Consolidated Funds, ascertaining whether the moneys disbursed were legally available for and applicable to the service or purpose to which they were applied, and whether the expenditure conforms to the authority which governs it; (b) all transactions of Contingency Funds and Public Accounts; (c) all trading, manufacturing and profit and loss accounts, balance sheets and subsidiary accounts kept in any department
(iii) Bodies substantially financed	Audit all receipts and expenditure of a body or authority substantially financed by grants or loans from a Consolidated Fund (subject to any law applicable to it), and report on them; the test is under Formats and formulas
(iv) Grants or loans for a specific purpose	Scrutinise the procedures by which the sanctioning authority satisfies itself that the conditions are fulfilled, with a right of access to the body's books after reasonable previous notice (not for a foreign State or international organisation)
(v) Receipts of the Union or States	Audit all receipts payable into the Consolidated Funds; see that the rules secure an effective check on assessment, collection and proper allocation of revenue and are duly observed
(vi) Stores and inventory	Audit and report on the accounts of stores and inventory kept in any office or department
(vii) Government companies	Perform these duties under the Companies Act, 2013: appoint the auditor under section 139(5) or (7) and direct the manner of audit (section 7 below)

Powers (SM 9.11): (a) to inspect any office of accounts under the control of the Union or a State, including offices creating the initial or subsidiary accounts; (b) to require that accounts, books, papers and other documents relevant to the transactions under audit be sent to specified places; (c) to put questions or make observations to the person in charge of the office, and call for information needed for any account or report he must prepare; (d) to dispense with any part of the detailed audit of any accounts or class of transactions and apply such limited checks as he determines.

4. Expenditure audit: the five standards

The audit of government expenditure is one of the major components of government audit. Its basic standards ensure that there is provision of funds authorised by competent authority fixing the limits within which expenditure can be incurred (SM 9.11–9.12); their exact wording is in the table under Formats and formulas.



In the Study Material's order (SM 9.12). A transaction may satisfy all the requirements of regularity audit and still be highly wasteful (SM 9.14): that is why the last two exist.

(1) Audit against rules and orders ensures that the expenditure conforms to the Constitution, the laws and rules made under it, and the financial rules, regulations and orders of a competent authority. It is quasi-judicial work, interpreting the Constitution, statutes and rules, though the final power of interpretation does not vest with the C&AG (SM 9.12). The executive frames the rules and audit sees that subordinate authorities apply them properly; it is not the function of audit to prescribe them. But audit examines the executive's rules, regulations and orders to see that (SM 9.13):

- (a) they are not inconsistent with any provisions of the Constitution or any laws made thereunder;
- (b) they are consistent with the essential requirements of audit and accounts as determined by the C&AG;
- (c) they do not come in conflict with the orders of, or rules made by, any higher authority; and
- (d) in case they have not been separately approved by competent authority, the issuing authority possesses the necessary rule-making power.

(2) Audit of sanctions ensures that each item of expenditure is covered by a sanction, general or special, of the competent authority, and that the sanctioning authority is competent under the Constitution, the law, rules or orders, or the rules of delegation of financial powers (SM 9.13).

(3) Audit against provision of funds ascertains that the expenditure has been on the purpose for which the grant and appropriation had been provided, and that it does not exceed the appropriation made (SM 9.13).

(4) Propriety audit brings out cases of improper, avoidable, or ineffective expenditure even though the expenditure has been incurred in conformity with the existing rules and regulations: a building constructed for a telephone exchange but not used for it (unproductive), or a school building used only five years after completion (avoidable). It looks into the wisdom, faithfulness and economy of transactions. The Audit Code's standards of financial propriety (SM 9.14–9.15):

- (a) The expenditure should not be prima facie more than the occasion demands. Every public officer is expected to exercise the same vigilance over public money as a person of ordinary prudence would over his own.

- (b) No authority should exercise its powers of sanctioning expenditure to pass an order which will be directly or indirectly to its own advantage.
- (c) Public moneys should not be utilised for the benefit of a particular person or section of the community unless:
  - (i) the amount of expenditure involved is insignificant; or
  - (ii) a claim for the amount could be enforced in a Court of law; or
  - (iii) the expenditure is in pursuance of a recognised policy or custom; and
  - (iv) the amount of allowances, such as travelling allowances, granted to meet expenditure of a particular type should be so regulated that the allowances are not, on the whole, sources of profit to the recipients.

Enforcing economy is the executive's responsibility; audit brings wasteful, improper, avoidable and unproductive expenditure to the notice of the proper authorities (SM 9.15).

(5) Performance audit checks that programmes, schemes and projects with large financial expenditure are run economically and yield the results expected. It covers efficiency, economy and effectiveness audit, also called full scope audit (SM 9.15–9.16):

- **Efficiency audit**: whether schemes are executed and operated economically and yield the expected results: the relationship between goods and services produced and the resources used.
- **Economy audit**: whether government acquired its financial, human and physical resources economically, and the sanctioning and spending authorities observed economy.
- **Effectiveness audit**: an appraisal of programmes, schemes and projects against the overall targeted objectives, and of the efficiency of the means adopted.

Its procedure covers **identification of topic, preliminary study, planning, execution of audit, and reporting** (SM 9.16).

5. Audit of receipts

Neither all pervasive nor as old as expenditure audit, it has come to stay in some countries. It checks (SM 9.16–9.17):

- (i) whether all revenues or other debts due to government have been correctly assessed, realised and credited to government account by the designated authorities;
- (ii) whether adequate regulations and procedures have been framed by the department or agency to secure an effective check on assessment, collection and proper allocation of cases;
- (iii) whether such regulations and procedures are actually being carried out;
- (iv) whether adequate checks ensure the prompt detection and investigation of irregularities, double refunds, fraudulent or forged refund vouchers or other loss of revenue through fraud, wilful omission or negligence to levy or collect taxes or to issue refunds;
- (v) a review of systems and procedures to see that they secure correct and regular accounting of demands, collections and refunds and pursuit of dues up to final settlement, and to suggest improvement. **It is more important to look at the general than at the particular**, though

individual cases matter within the test check; judicial decisions of tax authorities are reviewed to judge the assessment procedure;

- (vi) the extent and quantum of audit are determined by the C&AG and are neither negotiable nor questioned; they follow test check, random sampling, general review and in-depth study of specified areas. Primary check is by the auditor, test check by the supervisor, control and direction by the group leader.

6. Audit of stores and inventories

Developed as a part of expenditure audit, it is conducted (SM 9.17–9.18):

- to ascertain whether the regulations governing purchase, receipt and issue, custody, sale and inventory taking of stores are well devised and properly carried out;
- to bring to the notice of the government any deficiencies in quantities of stores held or any defects in the system of control;
- to verify that the purchases are properly sanctioned, made economically and in accordance with the rules for purchase laid down by the competent authority;
- to ensure that the prices paid are reasonable and agree with the supply contract, and that certificates of quality and quantity are furnished by the inspecting and receiving units; uneconomical purchases and losses from defective or inferior stores are specifically brought out;
- to check the accounts of receipts, issues and balances for accuracy, correctness and reasonableness, against the specified norms for consumption and inventory holding. Excess or idle inventory is specifically reported, periodical verification ensures existence, and valuation is seen so that value accounts tally with physical accounts.

7. Commercial accounts and government companies

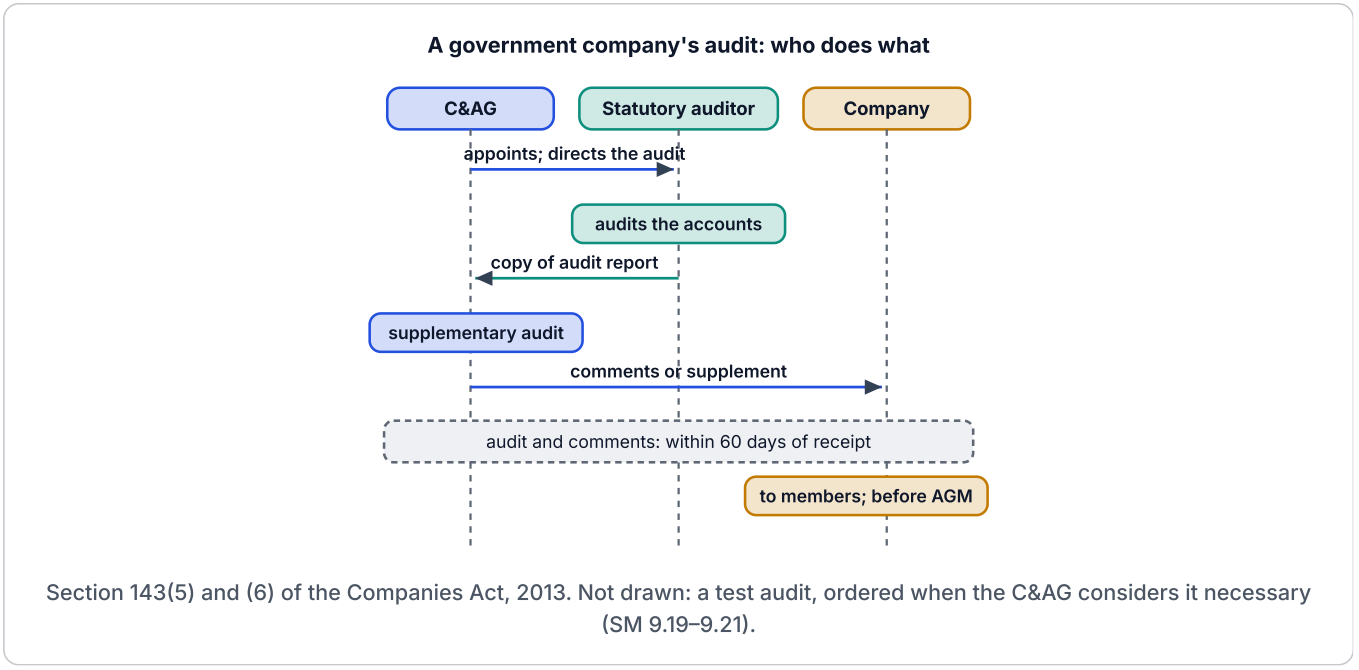
Public enterprises maintain commercial accounts and fall into three categories (SM 9.18–9.19). (For municipalities, see audit of local bodies.)

Category	How it is audited
(a) Departmental enterprises in commercial and trading operations	Like any department where commercial accounts are kept
(b) Statutory bodies and corporations created by specific statutes, mostly government-financed	Depends on the statute; financial audit by the C&AG (where the C&AG compiles the accounts, professional auditors' norms apply mutatis mutandis)
(c) Government companies under the Companies Act, 2013	By their own auditors appointed by the C&AG, plus the C&AG's supplementary test audit, periodical financial audit and appraisal of performance

For performance reviews the C&AG uses an **Audit Board** of audit representatives and government nominees, including functional specialists (SM 9.19). For a government company, or any company owned or controlled, directly or indirectly, by the Central Government, any State Government or

Governments, or partly by both, section 143(5), (6) and (7) of the Companies Act, 2013 give the C&AG three roles (SM 9.19–9.20):

1. **Appoint and direct.** The C&AG appoints the auditor under section 139(5) or (7) and directs the manner of audit; the directions broadly cover the system of book-keeping and accounts, internal control and so on. The auditor submits a copy of the audit report to the C&AG, including the directions, the action taken on them and their impact on the accounts and financial statements.
2. **Supplementary audit and comments.** Within **60 days from the date of receipt of the audit report**, the C&AG has a right to (a) conduct a supplementary audit by persons he authorises, who may require information or additional information; and (b) comment upon or supplement the audit report. The company sends the comments to every person entitled to copies of the audited financial statements under section 136 (every member, every trustee for debenture-holders, and every other person so entitled), and **places them before the AGM at the same time and in the same manner as the audit report**.
3. **Test audit.** For any company covered by section 139(5) or (7), the C&AG may, if he considers it necessary, by an order cause a test audit; section 19A of the 1971 Act applies to its report.



Section 143(5) and (6) of the Companies Act, 2013. Not drawn: a test audit, ordered when the C&AG considers it necessary (SM 9.19–9.21).

Does the board have to answer the C&AG? Section 134(3) requires the board to explain or comment on every reservation, adverse remark or disclaimer in the **auditor's report** and the secretarial audit report. There is no similar provision for the C&AG's comments, so the board is not bound to give information or explanation on them (SM 9.21).

8. Reporting procedures

Reports laid before the legislature under **Article 151** should also be publicised, to build public opinion for remedial action. **In India the reporting is factual and the conclusions are left to the reader**, presumably to ensure total objectivity; nothing debars the C&AG from recommending, but traditionally that has been left to the Public Accounts Committee (SM 9.21–9.22).

Formats and formulas

When is a body "substantially financed"?

∑ **Formula**

Substantially financed (C&AG's duty (iii))

A body or authority is deemed substantially financed by grants or loans from the Consolidated Fund of India, of a State or of a Union Territory having a Legislative Assembly when, **in a financial year**, both hold (SM 9.10):

- the grant or loan is **not less than ₹25 lakh**; and
- the grant or loan is **not less than 75% of the total expenditure** of that body or authority.

Both tests must be met; "not less than" includes exactly ₹25 lakh or 75%.

The five standards, in ICAI's words

Reproduce this table from memory: answers quote the "that ..." clause, then name the audit.

Standard: the auditor ensures	Name of the audit
that the expenditure incurred conforms to the relevant provisions of the statutory enactment and is in accordance with the financial rules and regulations framed by the competent authority	Audit against rules and orders
that there is sanction, either special or general, accorded by competent authority authorising the expenditure	Audit of sanctions
that there is a provision of funds out of which expenditure can be incurred and the same has been authorised by competent authority	Audit against provision of funds
that the expenditure is incurred with due regard to broad and general principles of financial propriety	Propriety audit
that the programmes, schemes and projects where large financial expenditure has been incurred are being run economically and are yielding results expected of them	Performance audit

Worked examples

Worked example **The Tourism Department's very busy year**

The C&AG's audit party is examining the State Department of Tourism for 2025-26 and notes:

(i) A Deputy Director approved a ₹18 lakh contract for event lighting; under the State's delegation of financial powers, his limit is ₹10 lakh.

(ii) ₹42 lakh from the grant for "Development of Rural Homestays" was spent on new cars for the Secretariat.

(iii) A ₹6 crore tourist reception centre, built in full compliance with the rules and completed in 2022, was first used only in 2025, when the access road it needed was finally built.

(iv) A ₹60 crore scheme to train 20,000 youth as tourist guides has run for four years; nobody has examined how many trainees ever found work as guides.

(v) The department's own circular lets officers draw a daily allowance of ₹6,000 while the State's Financial Rules allow ₹3,500; the circular was never approved by the Finance Department, which alone has the rule-making power.

(vi) Under the State's own rules, field officers get a flat conveyance allowance of ₹9,000 a month; their actual conveyance costs average about ₹3,000.

Identify, with reasons, the standard of expenditure audit (and, where relevant, the principle of financial propriety) under which each observation falls.

MODEL ANSWER

Relevant provision. The basic standards of government expenditure audit are audit against rules and orders, audit of sanctions, audit against provision of funds, propriety audit and performance audit (SM 9.12).

(i) Audit of sanctions. Each item of expenditure must be covered by a sanction of the competent authority, competent under the rules of delegation of financial powers. With a limit of ₹10 lakh, the Deputy Director is not competent to sanction ₹18 lakh.

(ii) Audit against provision of funds. Expenditure must be on the purpose for which the grant and appropriation were provided. Cars for the Secretariat are not the purpose of the rural homestays grant.

(iii) Propriety audit. It brings out improper, avoidable or ineffective expenditure even though incurred in conformity with the existing rules and regulations. A building used only years after completion is avoidable expenditure, like the Study Material's school building used five years after it was completed.

(iv) Performance audit. A scheme with large financial expenditure must be run economically and yield the results expected of it; effectiveness is judged against its targeted objective, employment as guides.

(v) Audit against rules and orders. The expenditure must conform to the financial rules. Examining the circular, audit sees that it does not conflict with rules of a higher authority and that, if not separately approved, its issuer has the rule-making power. Neither holds.

(vi) Propriety audit, principle (c)(iv). The payment is regular, but the amount of allowances, such as travelling allowances, should be so regulated that the allowances are not, on the whole, sources of profit to the recipients; ₹9,000 against costs of about ₹3,000 is a source of profit.

Conclusion. Each observation is reported under its standard; (iii) and (vi) are reported even though the payments were regular.

Worked example **Who gets the C&AG's full audit?**

In 2025-26, three bodies received money from the Consolidated Fund of Madhya Pradesh:

Body	Grant received (₹ lakh)	Total expenditure (₹ lakh)	Terms of the grant
Malwa Tea Research Institute	162	210	General grant
Indore Lok Kala Mandal	21	24	General grant
Kulhad Shilpi Co-operative	45	90	For building two kilns

Required: State, with reasons, what the C&AG's duty is in respect of each body under the C&AG's (Duties, Powers and Conditions of Service) Act, 1971.

THE WORKING

Provision. A body is substantially financed when the grant or loan in a financial year is not less than ₹25 lakh and not less than 75% of its total expenditure; the C&AG then audits all its receipts and expenditure. For a specific-purpose grant, the C&AG scrutinises the sanctioning authority's procedures for checking the conditions (SM 9.10).

Body	Grant ≥ ₹25 lakh?	Grant ÷ total expenditure	≥ 75%?	Substantially financed?
Malwa Tea Research Institute	Yes (162)	162 ÷ 210 = 77.14%	Yes	**Yes**
Indore Lok Kala Mandal	No (21)	21 ÷ 24 = 87.50%	Yes	**No**
Kulhad Shilpi Co-operative	Yes (45)	45 ÷ 90 = 50.00%	No	**No**

Malwa Tea Research Institute: both tests are met, so the C&AG shall audit **all its receipts and expenditure** and report on them.

Indore Lok Kala Mandal: the grant is 87.5% of expenditure, but ₹21 lakh is below ₹25 lakh, so it is **not** substantially financed: one test is not enough. Its grant is general, not for a specific purpose, so neither duty arises.

Kulhad Shilpi Co-operative: only 50%, so not substantially financed. But the grant is for a specific purpose (kilns), so the C&AG shall **scrutinise the procedures by which the sanctioning authority satisfies itself** that its conditions are fulfilled, with access to the co-operative's books after reasonable previous notice.

Worked example **Narmada Dairy's annual report**

Narmada Dairy Vikas Nigam Ltd is wholly owned by the Government of Madhya Pradesh; it sells milk to Tapri Tea Co. Ltd. The C&AG appointed Iyer & Associates as its statutory auditors for 2025-26 and directed them to report, among other things, on the system of reconciling milk-procurement subsidies receivable from the State. Their report, which contains a qualification on the subsidy receivable, reached the C&AG on 12 July 2026. On 28 August 2026, after a supplementary audit, the C&AG sent comments supplementing the report on the same receivable.

> **Bunty:** Ma'am, the MD says the C&AG's letter is "just government paperwork".
>
> **Lakshmi:** Paperwork with section numbers in it, Bunty. Read them before you agree with him.

The board proposes (a) to send members the auditor's report but not the C&AG's comments, because "the C&AG is not our auditor", and (b) to give no explanation of the auditor's qualification in the Board's report, because "the C&AG's comments already deal with the same receivable". Advise the board, explaining the C&AG's role in the audit of a government company.

MODEL ANSWER

Relevant provision. Under section 143(5) of the Companies Act, 2013, the C&AG appoints the auditor of a government company and directs the manner of audit; the auditor submits a copy of the audit report to the C&AG, including the directions, the action taken on them and their impact on the accounts. Under section 143(6), within 60 days from the date of receipt of the audit report, the C&AG has a right to conduct a supplementary audit and to comment upon or supplement the audit report; such comments shall be sent by the company to every person entitled to copies of the audited financial statements under section 136 and placed before the annual general meeting at the same time and in the same manner as the audit report. Section 134(3) requires the board to explain every reservation, adverse remark or disclaimer in the auditor's report; there is no similar provision for the C&AG's comments (SM 9.19–9.21).

Facts of the case. The report reached the C&AG on 12 July 2026 and the comments came on 28 August 2026, 47 days later: within the 60-day window. Iyer & Associates' copy to the C&AG must cover the directions on subsidy reconciliation, the action taken and the impact on the financial statements.

Analysis and conclusion.

(a) **Not permissible.** The C&AG's comments must go to every member, every trustee for debenture-holders and every other person so entitled, and before the AGM with the audit report.

(b) **Not permissible.** Section 134(3) requires the board to explain or comment on every reservation in the auditor's report; the C&AG's comments do not replace that explanation. The board is, however, not bound to explain the C&AG's own comments.

Exam angle

In the exam

Where this topic appeared, May 2024 to September 2026

In the 11 new-scheme ICAI documents read for this lesson in which it appears:

- **Expenditure audit standards** (8 documents). Descriptive: the basic standards, MTP May 2024 Series I Q6(b) (4 marks); identify the audit for five observations, RTP May 2025 Q17; what audit checks in the executive's rules, PYQ January 2026 Q6(c) (4 marks). MCQs, 2 marks each: MTP September 2024 Series II MCQ 15; MTP May 2025 Series I MCQs 10–12 and PYQ May 2025 MCQs 1–3 (which audit for which finding; an unused stockyard is propriety audit); MTP January 2026 Series I MCQs 6–9 (the propriety principles); PYQ September 2026 MCQ 15 (answers not yet published).
- **Receipts**: MTP January 2026 Series II Q3(c) (4 marks). **Stores and inventories**: PYQ September 2025 Q6(b) (5 marks), where the Suggested Answer lists the five purposes in ICAI's words.
- **Government companies**: RTP September 2024 MCQ 8 (the supplementary audit is by the C&AG, not "another auditor appointed by the C&AG"); MTP January 2026 Series I Q3(c) (4 marks: test audit, directions, and whether the board must reply to the C&AG).

Old-scheme papers asked the same points (PYQ November 2020 Q5(b), (d); PYQ December 2021 Q6(c)).

In the exam

How the marks are earned

Suggested Answers quote the standard's own "that ..." clause and name the audit, one observation at a time; government-company answers quote section 143(5)–(7), then section 134(3).

Trick

Three checks of form, then two of substance

R-S-F, then P-P: **R**ules and orders, **S**anctions, **F**unds (provision of), then **P**ropriety and **P**erformance. Condition: this is the Study Material's order (SM 9.12), which ICAI's answers follow.

Answer frame

"Identify the type of audit" case

1. **Relevant provision**: the basic standards of expenditure audit, in one sentence.
2. For each observation: **name the audit**, quote its "that ..." clause, apply the fact ("the Deputy Director's limit is ₹10 lakh").
3. **Conclusion**: one line per observation.

"Explain the duties (or powers) of the C&AG"

Start with Article 149 and the 1971 Act; then duties (i) to (vii) as headings with one sentence each (the ₹25 lakh and 75% test under (iii)); then, if asked, powers (a) to (d).

"Distinguish propriety audit and performance audit"

Point	Propriety audit	Performance audit
Question asked	Was the expenditure wise, faithful and economical?	Is the programme run economically and yielding the results expected?
Typical subject	A transaction or item of expenditure	Programmes, schemes, projects with large financial expenditure
What it brings out	Improper, avoidable or ineffective expenditure, even when regular	Efficiency, economy and effectiveness
Study Material example	Building for a telephone exchange not used for it	Metro station sited where ridership is low (case study)

Common mistakes

Common mistake

Hall of Shame: the report that went to the Prime Minister

Bunty writes that C&AG reports go to the Prime Minister and that the Finance Minister prescribes the form of accounts. **Fix:** Article 151: reports go to the **President** (Union) or **Governor** (State), who has them laid before the legislature. Article 150: the **President** prescribes the form, on the C&AG's advice.

⚠ **Common mistake**

Sanction or funds? Mixing up the two

"Paid without approval" and "paid without a budget" are different audits. **Fix:** no sanction by a competent authority, or a sanction beyond the officer's delegated powers: **audit of sanctions**. Spent on a purpose other than the grant's, or beyond the appropriation: **audit against provision of funds**.

⚠ **Common mistake**

Calling every waste "performance audit"

Fix: an avoidable or unproductive item of expenditure, regular but unwise (the locked museum, the unused building), is **propriety audit**. Whether a programme, scheme or project with large expenditure is economical and achieving its expected results is **performance audit**.

⚠ **Common mistake**

"The C&AG audits government companies himself, and the board must answer him"

Fix: the auditor the C&AG appoints and directs does the statutory audit; the C&AG may conduct a supplementary audit (within 60 days of receiving the report) or a test audit, and comment. The board explains the **auditor's** reservations under section 134(3), not the C&AG's comments.

Practice

Check yourself

1 Case scenario. The C&AG's audit of the State Fisheries Department notes: (1) ₹38 lakh of fish-seed purchases charged to the Flood Relief grant; (2) a ₹4.5 crore cold-chain scheme for fishermen, with no study of whether incomes rose or catches reached markets fresher; (3) an ice plant built in full compliance with the rules four years ago and never commissioned. Which matching is correct?

A (1) Audit of sanctions; (2) Propriety audit; (3) Performance audit

B (1) Audit against provision of funds; (2) Performance audit; (3) Propriety audit

C (1) Audit against rules and orders; (2) Performance audit; (3) Audit of sanctions

D (1) Audit against provision of funds; (2) Propriety audit; (3) Performance audit

2 Konkan Seed Board's total expenditure in 2025-26 is ₹80 lakh, and it received a grant of ₹54 lakh from the State's Consolidated Fund. What is the minimum grant (in ₹ lakh) it would have needed to be deemed "substantially financed"?

Answer: _____

3 Which of the following is NOT a right of the C&AG in respect of a government company?

- A Appointing the auditor under section 139(5) or (7) and directing the manner of audit
- B Conducting a supplementary audit within 60 days from the date of receipt of the audit report
- C Requiring the board to explain the C&AG's comments in the Board's report under section 134(3)
- D Causing a test audit of the company's accounts by an order, when he considers it necessary

4 Which statement about the C&AG is correct?

- A Under Article 150, the accounts of the Union are kept in the form the Public Accounts Committee prescribes
- B The C&AG can be removed by the President on the advice of the Union Cabinet
- C Parliament may reduce the C&AG's salary during the term if the budget requires it
- D Under Article 151, the C&AG's reports on the accounts of the Union are submitted to the President, who causes them to be laid before Parliament

5 In the audit of stores and inventories of a government department, the C&AG's audit is conducted to (select all that apply):

- A verify that purchases are properly sanctioned, made economically and in accordance with the purchase rules
- B bring to the government's notice deficiencies in quantities held or defects in the system of control
- C frame the rules for purchase and issue of stores that the department must follow
- D ensure that prices paid agree with the supply contract and that quality and quantity certificates are furnished

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- The C&AG, appointed by the President and removable only like a Supreme Court Judge (two-thirds of members present and voting in each House), audits on behalf of Parliament and the State Legislatures.
- Article 149: duties and powers by law of Parliament (the 1971 Act). Article 150: form of accounts by the President on the C&AG's advice. Article 151: reports to the President or Governor, laid before the legislature.
- Duties, in order: compile accounts, general audit (Consolidated Fund expenditure, Contingency Funds, Public Accounts, departmental trading accounts), bodies substantially financed (grant ≥ ₹25 lakh **and** ≥ 75% of expenditure), specific-purpose grants, receipts, stores, government companies.

- Expenditure audit, in order: rules and orders, sanctions, provision of funds, propriety, performance.
- Propriety: improper, avoidable or ineffective expenditure even when regular; performance: efficiency, economy and effectiveness of large programmes.
- Receipts audit looks at the general more than the particular; its extent is fixed by the C&AG and is not negotiable.
- Government companies: the C&AG appoints and directs the auditor, may do a supplementary audit and comment within 60 days, and may order a test audit; comments go to members and the AGM; the board need not reply to them.
- Reports are factual; conclusions are left to the reader, recommendations to the PAC. (Nani reads the bills out; the council decides.)

Answer key · Check yourself

1 **B (1) Audit against provision of funds; (2) Performance audit; (3) Propriety audit**

(1) is spending on a purpose other than the grant's: provision of funds. (2) is a large scheme judged on its results: performance. (3) is regular but unproductive, like the unused building: propriety.

2 **60**

Not less than ₹25 lakh (passed) and not less than 75% of expenditure: 75% × ₹80 lakh = ₹60 lakh. ₹54 lakh is only 67.5%.

3 **C Requiring the board to explain the C&AG's comments in the Board's report under section 134(3)**

Section 134(3) covers the auditor's (and secretarial auditor's) reservations; there is no similar provision for the C&AG's comments.

4 **D Under Article 151, the C&AG's reports on the accounts of the Union are submitted to the President, who causes them to be laid before Parliament**

Article 150: the President prescribes the form, on the C&AG's advice. Removal is only as for a Supreme Court Judge; salary and conditions cannot be varied to the C&AG's disadvantage after appointment.

5 **A verify that purchases are properly sanctioned, made economically and in accordance with the purchase rules; B bring to the government's notice deficiencies in quantities held or defects in the system of control; D ensure that prices paid agree with the supply contract and that quality and quantity certificates are furnished**

Framing rules is the executive's function; audit sees that they are well devised and properly carried out, but does not prescribe them (SM 9.13, 9.18).

9.2 Audit of local bodies

What a municipality is, how it raises and spends money, why State external audit is the only control over its spending, the five audit objectives and the audit programme.

In plain words

The road that looks like the moon

Tapri's samosa factory stands in Kulhadpur, a small town with a Municipal Council, a lot of potholes and a new musical fountain that has never played a note.

> **Kesar:** The council takes property tax from me, hoarding tax from me, and the road outside my factory looks like the moon.
>
> **Lakshmi:** Then you will like this, Kesar-ji. The State's Local Fund Audit Wing has appointed us to audit the council this year.
>
> **Bunty:** So we check its profit, Ma'am?
>
> **Lakshmi:** A municipality has no profit, Bunty. We check that its money was raised and spent by the rules, and whether the town got value for it.

A **municipality** is local self-government for a town or city: a body representing the local inhabitants, raising part of its money through local taxes (property tax above all), fees, rents and grants from the State, and spending it on local services such as roads, sanitation, public health and schools.

Here is the catch. In the State and Central governments the legislature that votes the money and the executive that spends it are separate. In a municipal council the same body does both, and there is no independent finance officer answerable to it. So the only real check on how a municipality spends comes from outside: the **external audit** arranged by the State government, usually through its **Local Fund Audit Wing**. That auditor reports on whether the accounts are fair, whether financial controls work, whether the law and the administrative rules were followed, whether the town got value for its money, and on error, fraud and misuse.

Think of it like

The housing society committee

In many housing societies the same committee fixes the maintenance charge, spends it and keeps the books. Nobody inside can really check the committee, because the committee is everyone inside. So members insist on an outside auditor, who asks not only "do the books add up?" but "why did the lift repair cost three times the quote, and why does the lift still not work?" A municipality is that committee, for a whole town.

Key idea

A municipal council combines legislative and executive powers, so external audit by the State government is the only instrument of controlling municipal expenditure. The audit reports on fair accounts, financial controls, compliance, value for money, and detects and prevents error, fraud and misuse of resources.

How it works

1. What a local body is

Definition

Municipality and local self-government

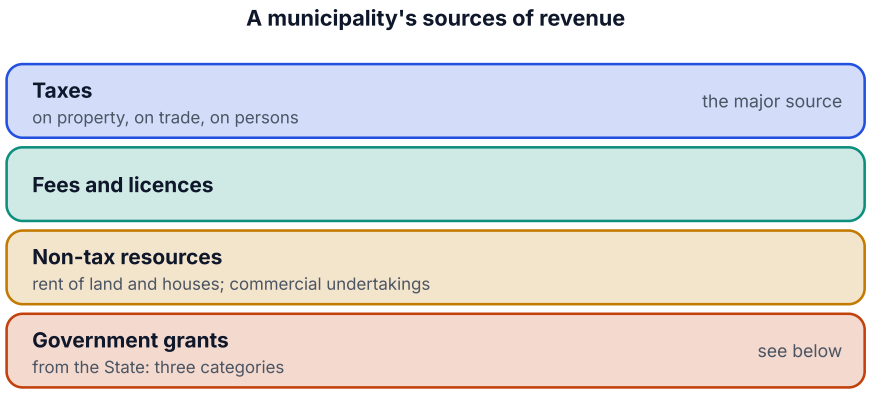
A **municipality** can be defined as a unit of local self-government in an urban area. By **local self-government** is ordinarily understood the administration of a locality (a village, a town, a city or any other area smaller than a state) by a body representing the local inhabitants, possessing fairly large autonomy, raising at least a part of its revenue through local taxation and spending its income on services which are regarded as local and, therefore, distinct from state and central services (SM 9.22).

The Study Material's discussion is based on the article "Audit of Municipal Administration" by R. Chandra Sekharan (SM 9.22). Its main facts (SM 9.23):

- **Five types of urban local authorities**: the municipal corporations, the municipal councils, the notified area committees, the town area committees and the cantonment committees.
- **Three kinds of functions**: (a) regulatory, (b) maintenance and (c) development activities.
- **Six heads of expenditure**: (a) general administration and revenue collection, (b) public health, (c) public safety, (d) education, (e) public works, and (f) others such as interest payments.

2. Where the money comes from

Local bodies derive their revenues from taxes on property, taxes on trade and taxes on persons; fees and licences; non-tax resources such as rent of land and houses and income from commercial undertakings; and government grants (SM 9.23).

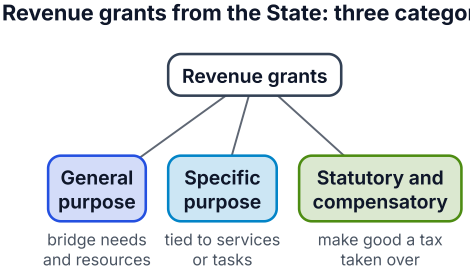


SM 9.23. Property taxes and octroi are the major sources of revenue.

Property taxes and octroi are the major sources of revenue of municipal authorities. Other municipal taxes are profession tax, non-mechanised vehicles tax, taxes on advertisements, taxes on animals and boats, tolls, show-tax and so on. The taxation powers of **corporations** are confined to a few items and are generally compulsive in nature; those of the **other urban local authorities** cover a wider range, are optional, and need the final sanction of the State government before they are imposed (SM 9.23–9.24).

Local bodies may also receive grants from the State administration. Broadly, the **revenue grants** are of three categories (SM 9.24):

- (a) **General purpose grants**: primarily intended to substantially bridge the gap between the needs and resources of the local bodies.
- (b) **Specific purpose grants**: tied to the provision of certain services or the performance of certain tasks.
- (c) **Statutory and compensatory grants**: given under various enactments to local bodies as compensation for loss of any revenue when the State government takes over a tax from the local government.



SM 9.24. Only the specific purpose grant is tied to a service or task, so its use can be traced to that purpose.

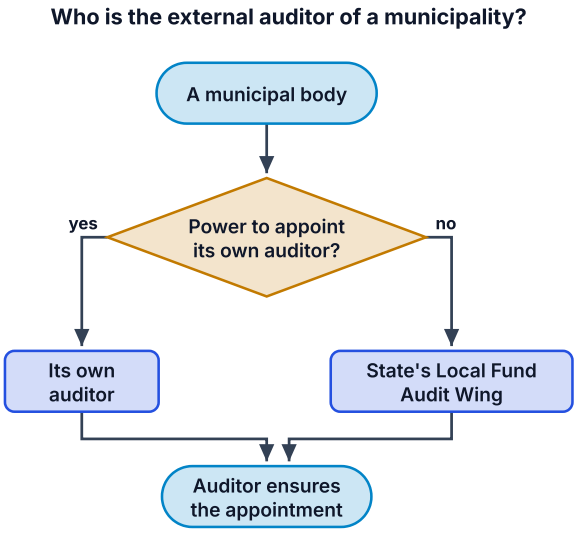
3. Financial administration: what the auditor must understand first

The auditor should understand the financial administration of local bodies before embarking on the audit (SM 9.24–9.25):

1. **Budgetary procedure.** It serves the twin considerations of **financial accountability and control of expenditure**: funds are to be raised and money spent by the executive departments according to the rules and within the limits of sanction and authorisation by the legislature or council. Budget preparation is usually when the levels of taxation and rates and the ceilings on expenditure are fixed. Budget formats and heads of account vary from State to State, and between corporations and municipalities. **There is no strict separation between revenue and capital items**: a head called **"extraordinary items"** usually covers most capital transactions. There are special funds (for example roads), and in some cases separate budgets for specific functions (for example education) or enterprise activities (water supply and sanitation, transport, electricity).
2. **Expenditure control.** In the State and Central governments there is a clear demarcation between legislature and executive. In a municipal council, legislative and executive powers are integrated, which makes it difficult for its executive to act as its inquisitorial body as well, and the separation of executive powers cannot accommodate an independent finance officer responsible to the council or its executive committee. This leaves the system of external audit by state government as the only instrument of controlling municipal expenditure.
3. **Accounting system.** Municipal accounting and budget formats have been criticised as neither simple nor comprehensible, sometimes giving inadequate information and at other times a surfeit of it; neither helps a proper management information system.

4. Who audits, and what for

The **external control of municipal expenditure is exercised by the State governments** through the appointment of auditors to examine municipal accounts. However, the municipal corporations of Delhi, Mumbai and a few others have powers to appoint their own auditors for regular external audit (SM 9.25). The **Local Fund Audit Wing** of the State government is generally in charge of the audit of municipal accounts (SM 9.26).



Delhi, Mumbai and a few other corporations may appoint their own auditors; elsewhere the State appoints them (SM 9.25–9.26). Either way, the first step of the audit programme is to ensure the appointment.

The important objectives of audit (SM 9.25):

- (a) reporting on the fairness of the content and presentation of financial statements;
- (b) reporting upon the strengths and weaknesses of systems of financial control;
- (c) reporting on the adherence to legal and/or administrative requirements;
- (d) reporting upon whether value is being fully received on money spent; and
- (e) detection and prevention of error, fraud and misuse of resources.

Audit and the privilege of ultra vires. Audit is another method of financial control over local governments, coupled with the privilege of ultra vires: an action of the local authority that is **beyond its legal authority can result in "surcharge" by audit**. The procedure is a legacy of colonial days, and even in England it is resorted to less and less, perhaps because local authorities have become more competent (SM 9.25).

Internal audit. The author also opines that every municipal institution should have an internal audit, by its own staff, performed continuously to a well-defined programme. The external auditor should be able to rely on it as part of a complete system of internal financial control. **Where there is no internal audit**, as in small or poorly staffed municipalities, **the external auditor has to do detailed checking himself** (SM 9.26).

Value for money. As in government audit, increasing attention goes to "value for money" audit: whether urban institutions fulfil their responsibilities with **efficiency, economy and effectiveness**, sometimes called "the three Es" (SM 9.26). It is the municipal cousin of the performance audit in government audit.

5. The audit programme for local bodies

1. **Appointment.** The Local Fund Audit Wing of the State government is generally in charge of the audit of municipal accounts; bigger corporations such as Delhi and Mumbai may appoint their own auditors. So the auditor should ensure his appointment.

2. **Auditor's concerns.** Report on the fairness of the contents and presentation of the financial statements, the strengths and weaknesses of the system of financial control, the adherence to legal and/or administrative requirements, and whether value is being fully received on money spent. The objective should be to detect errors and fraud and misuse of resources.

3. **Rules and regulations.** Ensure that the expenditure conforms to the relevant provisions of the law and is in accordance with the financial rules and regulations framed by the competent authority.

4. **Authorisations.** Ensure that all types of sanctions, special or general, are accorded by the competent authority.

5. **Provisioning.** Ensure that there is a provision of funds, that the expenditure is incurred from the provision, and that it has been authorised by the competent authority.

6. **Performance.** Check that the different schemes, programmes and projects where large financial expenditure has been incurred are running economically and getting the expected results.

Steps 3 to 6 are the expenditure-audit standards of government audit (rules and orders, sanctions, provision of funds, performance) applied to a town (SM 9.26–9.27).

Worked examples

Worked example **Kulhadpur's money, sorted**

Kulhadpur Municipal Council's draft accounts for 2025-26 show all its grants from the State, ₹5.20 crore,

under one line "General purpose grants". The grant letters show:

Grant	Amount (₹ lakh)	What the letter says
A	320	To bridge the gap between the council's needs and its own resources
B	85	Only for running six urban health centres
C	115	Compensation for the entertainment tax, whose levy the State has taken over from the council
Total	**520**	

Its expenditure includes salaries of tax-collection staff ₹1.40 crore, anti-malaria fogging ₹35 lakh, the fire brigade ₹60 lakh, municipal schools ₹1.10 crore, road resurfacing ₹2.25 crore and interest on municipal bonds ₹48 lakh.

Required:

(i) Classify the three grants into the categories of revenue grants, and state why the single line matters to the auditor.

(ii) Classify the six items of expenditure under the heads into which municipal expenditure is broadly classified.

MODEL ANSWER

(i) Revenue grants. Local bodies may receive three categories of revenue grants from the State (SM 9.24):

Grant	Category	Reason
A, ₹320 lakh	General purpose grant	Intended to bridge the gap between needs and resources
B, ₹85 lakh	Specific purpose grant	Tied to the provision of a service (health centres)
C, ₹115 lakh	Statutory and compensatory grant	Compensation for loss of revenue on the State taking over a tax

The single line hides grant B, which is tied to a service. The auditor must ensure that there is a provision of funds and that expenditure is incurred from that provision under proper authority (audit programme, provisioning), so he must see that the ₹85 lakh was spent on the six health centres. The draft accounts should show the three categories separately; the total stays ₹520 lakh.

(ii) Heads of expenditure (SM 9.23):

Item	Amount (₹ lakh)	Head
Tax-collection staff salaries	140	General administration and revenue collection
Anti-malaria fogging	35	Public health
Fire brigade	60	Public safety
Municipal schools	110	Education
Road resurfacing	225	Public works
Interest on municipal bonds	48	Others (interest payments)
Total	**618**	

Worked example **The fountain that never danced**

The Local Fund Audit Wing of the State government has appointed Iyer & Associates to audit Kulhadpur Municipal Council for 2025-26. Bunty's working papers note:

(i) A ₹2.80 crore musical fountain was installed in the town square with every approval in place; it has not worked since the day it was inaugurated.

(ii) LED streetlights worth ₹45 lakh were bought on the oral instructions of the council's chairperson; no sanction is on file.

(iii) ₹30 lakh was taken from the Roads Special Fund to pay for the councillors' study tour.

(iv) The council resolved to waive property tax on buildings owned by its own councillors, though the Municipalities Act under which it works gives it no power to grant such a waiver.

(v) Advertisement tax on hoardings is collected in cash; nobody reconciles the hoardings standing in the town with the tax collected.

(vi) The council has no internal audit; two accountants keep all the books.

> **Bunty:** Ma'am, shall I just write "noted" against each?
>
> **Lakshmi:** Write what the audit is for, Bunty. Then decide.

Advise Iyer & Associates how each observation should be dealt with, with reference to the objectives of the audit of a local body and the audit programme.

MODEL ANSWER

Relevant provision. The external control of municipal expenditure is exercised by the State governments through the appointment of auditors to examine municipal accounts; the Local Fund Audit Wing is generally in charge (SM 9.25–9.26). The important objectives of audit are: (a) reporting on the fairness of the content and presentation of financial statements; (b) reporting upon the strengths and weaknesses of systems of financial control; (c) reporting on the adherence to legal and/or administrative requirements; (d) reporting upon whether value is being fully received on money spent; and (e) detection and prevention of error, fraud and misuse of resources. An action beyond the legal authority of the local authority can result in surcharge by audit, and where there is no internal audit the external auditor has to do detailed checking (SM 9.25–9.26).

Facts, analysis and treatment.

Observation	Objective and audit programme step	Treatment
(i) Idle fountain	(d) value for money; performance	Report that value is not being received on ₹2.80 crore
(ii) No sanction	(c) adherence; authorisations	Report expenditure without sanction of the competent authority
(iii) Roads Fund used for a tour	(c), (e); provisioning	Report use of a special fund outside its purpose
(iv) Tax waiver without power	(c); rules and regulations	Ultra vires: may result in surcharge by audit
(v) Cash hoarding tax	(b), (e)	Report the control weakness; extend checks for loss
(vi) No internal audit	(b)	Do detailed checking himself

Conclusion. The auditor first ensures his appointment by the Local Fund Audit Wing, and then reports on all five objectives: the fountain under value for money, the streetlights and the Roads Fund under adherence to legal and administrative requirements, the waiver as an ultra vires act liable to surcharge, and the cash collections and the missing internal audit under the weaknesses of financial control, with detailed checking to detect and prevent error, fraud and misuse of resources.

Exam angle

In the exam

Where this topic appeared

In the one new-scheme document read for this lesson that asks it, **MTP September 2026 Series II Q5(a)** (5 marks), a municipal corporation with weak financial controls, non-compliance, projects without benefits and possible fraud: "Explain the important objectives of audit of municipal accounts and apply them". The Suggested Answer quotes the State-government control sentence, lists objectives (a) to (e) and then applies them in one paragraph.

Old-scheme papers asked it often: reporting areas when the Local Fund Audit Wing appoints you (PYQ December 2021 Q6(a)(ii), 4 marks, answered with the five objectives); the three revenue grants (PYQ November 2020 Q5(c), 3 marks; MTP December 2021 Series II Q6(c)(i), 2 marks); "define municipality" with the six heads of expenditure (PYQ November 2022 Q4(c), 3 marks); the audit programme (MTP November 2023 Series I Q6(b), 4 marks); the objectives (RTP December 2021 Q28(a), RTP May 2023 Q28(b)).

In the exam

Traps ICAI sets

The Study Material's own MCQ offers "to provide better civic amenities to residents" as an objective of the audit: it is not; the audit reports, it does not run the town. Its correct/incorrect statement says the Central Government exercises external control of municipal expenditure: incorrect, it is the State governments (SM 9.84–9.89).

Trick

Five objectives: "F-S-A-V-E"

Fairness of financial statements, **S**ystems of financial control, **A**dherence to legal and administrative requirements, **V**alue for money, **E**rror, fraud and misuse detected and prevented. Condition: this is ICAI's order (a) to (e), and the audit programme's "auditor's concerns" repeat the first four and add the fifth as the objective.

Answer frame

"State the objectives (or reporting areas) of the audit of a local body"

1. Opening sentence: external control of municipal expenditure is exercised by the State governments through the appointment of auditors; Delhi, Mumbai and a few others appoint their own.
2. Objectives (a) to (e), in ICAI's words and order.
3. For a case: one line applying each objective to a fact.

"Draft the audit programme for a local body"

The six steps in order: appointment, auditor's concerns, rules and regulations, authorisations, provisioning, performance; one sentence each, in the Study Material's words.

"Explain the types of revenue grants"

The opening line ("local bodies may receive different types of grants from the state administration"), then general purpose, specific purpose, statutory and compensatory, each with its one-line purpose.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the Centre audits the town

Bunty writes that the Central Government controls municipal spending through the C&AG. **Fix:** external control of municipal expenditure is exercised by the **State governments**, generally through the Local Fund Audit Wing; Delhi, Mumbai and a few other corporations appoint their own auditors.

⚠ **Common mistake**

Four objectives instead of five

Listing only the four "reporting" objectives. **Fix:** the fifth, **detection and prevention of error, fraud and misuse of resources**, is the one the audit programme calls "his objective"; write all five.

⚠ **Common mistake**

Compensatory grant or general grant?

Calling every untied grant "general purpose". **Fix:** a grant that makes good the revenue lost because the State took over a tax is a **statutory and compensatory grant**; a general purpose grant bridges the gap between needs and resources.

⚠ **Common mistake**

Ignoring the missing internal audit

Fix: where a small or poorly staffed municipality has no internal audit, the external auditor cannot rely on one and has to do **detailed checking** himself (SM 9.26).

Practice

Check yourself

1 Case scenario. CA Farida Khan is appointed by the Local Fund Audit Wing to audit Sonpur Municipal Council. She finds that the council spent ₹1.6 crore on a solid-waste plant that has processed no waste in two years, and that its draft accounts lump capital works into a head called "extraordinary items". Which of the following is correct?

- **A** The "extraordinary items" head is itself a misstatement, since municipal budgets must separate revenue and capital items strictly
- **B** The idle plant is outside her scope, because a municipal audit reports only on the fairness of the financial statements
- **C** She should report on whether value is being fully received on money spent on the plant; an "extraordinary items" head for capital transactions is a usual feature of municipal budgets
- **D** She should refer the plant to the C&AG, since only the C&AG may judge value for money

2 Which of the following is NOT one of the five types of urban local authorities?

- **A** Notified area committees
- **B** Cantonment committees
- **C** Gram sabhas
- **D** Town area committees

3 Why is external audit by the State government described as the only instrument of controlling municipal expenditure?

- **A** Because municipalities are not allowed to employ accountants
- **B** Because the municipal council integrates legislative and executive powers and has no independent finance officer responsible to it
- **C** Because the Constitution forbids internal audit in municipalities
- **D** Because municipal corporations of Delhi and Mumbai appoint their own auditors

4 Select all the statements that are correct about the audit of local bodies.

- **A** An action of the local authority beyond its legal authority can result in surcharge by audit
- **B** Where there is no internal audit, the external auditor has to do detailed checking himself
- **C** The taxation powers of municipal corporations cover a wider range of optional items than those of other urban local authorities
- **D** Property taxes and octroi are the major sources of revenue of municipal authorities

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- A municipality is a unit of local self-government in an urban area: representing local inhabitants, fairly autonomous, raising part of its revenue by local taxation, spending on local services.
- Five urban local authorities: municipal corporations, municipal councils, notified area committees, town area committees, cantonment committees. Functions: regulatory, maintenance, development.
- Expenditure heads: general administration and revenue collection, public health, public safety, education, public works, others (interest).
- Property taxes and octroi are the major revenues. Revenue grants: general purpose, specific purpose, statutory and compensatory.
- No strict revenue-capital separation ("extraordinary items"); a council combines legislative and executive powers, so external audit by the State is the only instrument of controlling expenditure.
- Auditors are appointed by the State (Local Fund Audit Wing); Delhi, Mumbai and a few others appoint their own.
- Objectives: fairness of financial statements, financial control systems, adherence to legal and administrative requirements, value for money, error, fraud and misuse. Ultra vires acts can lead to surcharge; no internal audit means detailed checking.
- Programme: appointment, concerns, rules and regulations, authorisations, provisioning, performance. (The fountain still does not dance; now it is in the report.)

Answer key · Check yourself

1 **C She should report on whether value is being fully received on money spent on the plant; an "extraordinary items" head for capital transactions is a usual feature of municipal budgets**

Municipal budgets usually have no strict separation of revenue and capital items, with an "extraordinary items" head covering most capital transactions (SM 9.24). Value for money is one of the five objectives, so the idle plant is squarely her business.

2 **C Gram sabhas**

The five are municipal corporations, municipal councils, notified area committees, town area committees and cantonment committees (SM 9.23). A gram sabha is not in ICAI's list: it is a village-level body, not an urban one.

3 **B Because the municipal council integrates legislative and executive powers and has no independent finance officer responsible to it**

The integration of legislative and executive powers makes it hard for the executive to be its own inquisitor, and there is no independent finance officer answerable to the council (SM 9.25).

4 **A An action of the local authority beyond its legal authority can result in surcharge by audit**; **B Where there is no internal audit, the external auditor has to do detailed checking himself**; **D Property taxes and octroi are the major sources of revenue of municipal authorities**

It is the other way round for taxation powers: corporations' powers are confined to a few items and are generally compulsive; other urban local authorities have a wider, optional range needing the State's final sanction (SM 9.23–9.25).

9.3 Not-for-profit organisations, trusts and societies

How NGOs, charitable institutions, trusts and societies are formed and funded, and what their auditor plans, vouches and reports, from corpus funds and donation boxes to indebted trustees.

In plain words

Kesar starts a foundation

Kesar has decided that Tapri should give back. He sets up **Tapri Foundation**, a public charitable trust in Indore, to train women who run roadside tea stalls and to feed people after disasters. Every kulhad café gets a donation box.

> **Kesar:** It is charity, Lakshmi-ji. No profit, no shareholders, no audit drama. Sab adjust ho jayega.
>
> **Lakshmi:** No profit is exactly why it needs an audit, Kesar-ji. Donors give money for a purpose. Somebody must check it reached that purpose.
>
> **Bunty:** Ma'am, but what do we even tick? There are no sales!
>
> **Lakshmi:** The trust deed, the donor's letter, the receipt book and the donation box, Bunty.

A **non-governmental organisation (NGO)** raises money from members, donors and contributors (and time, energy and skills from volunteers) to achieve social objectives such as education, medical help or disaster relief. In India it usually takes one of three legal forms: a **trust**, a **society**, or a **section 8 company**. Each form has its own law, and on top of that the Income Tax Act decides its tax exemption and the Foreign Contribution (Regulation) Act governs any money from abroad.

With no profit to measure, the audit asks other questions. Is the organisation run as its constitution (the trust deed, or the society's rules) says? Was every rupee received recorded, from cheques to coins in a donation box? Was money given for a purpose (a building, a revolving loan fund, flood relief) used for it? Did any trustee or committee member benefit? Were the special laws, especially for foreign money, complied with?

Think of it like

The wedding gift envelope

At an Indian wedding, envelopes are counted by a trusted uncle with a register: who gave, how much, against which receipt. Some envelopes come with instructions ("this is for the couple's house, not the party"). A careful family keeps that money aside. An NGO audit is checking the uncle's register: every envelope recorded, every instruction followed, and nobody's cousin quietly "borrowing" from the pile.

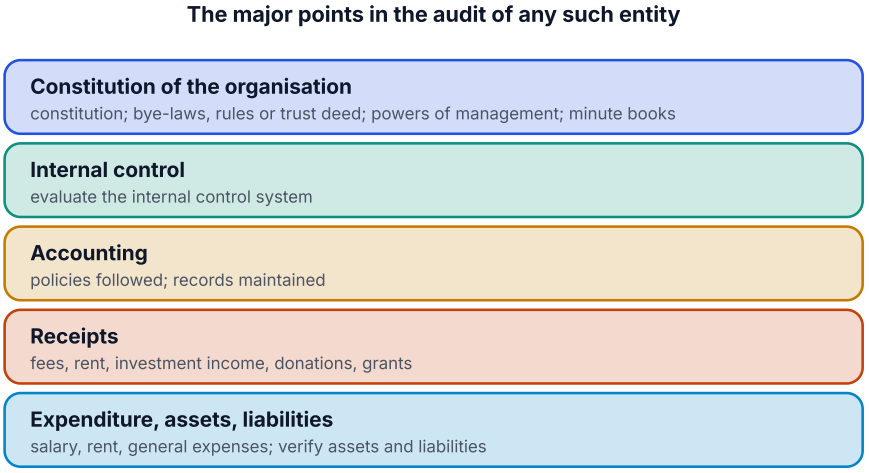
Key idea

In an NGO, trust or society, the auditor's anchor is the constitution and the donor's terms: verify that all receipts (including box collections and foreign contributions) are recorded and banked, that restricted money (corpus, revolving and earmarked funds, specific grants) is used only as directed, that no trustee or committee member benefits, and that the governing laws are complied with.

How it works

1. The frame for every entity in this chapter

For educational institutions, charitable institutions, hospitals, clubs and the like, the Study Material gives one set of major points to keep in mind (SM 9.3), also used in educational institutions, hotels, clubs and hospitals:



Start from the constitution, then controls, accounts, receipts and expenditure (SM 9.3).

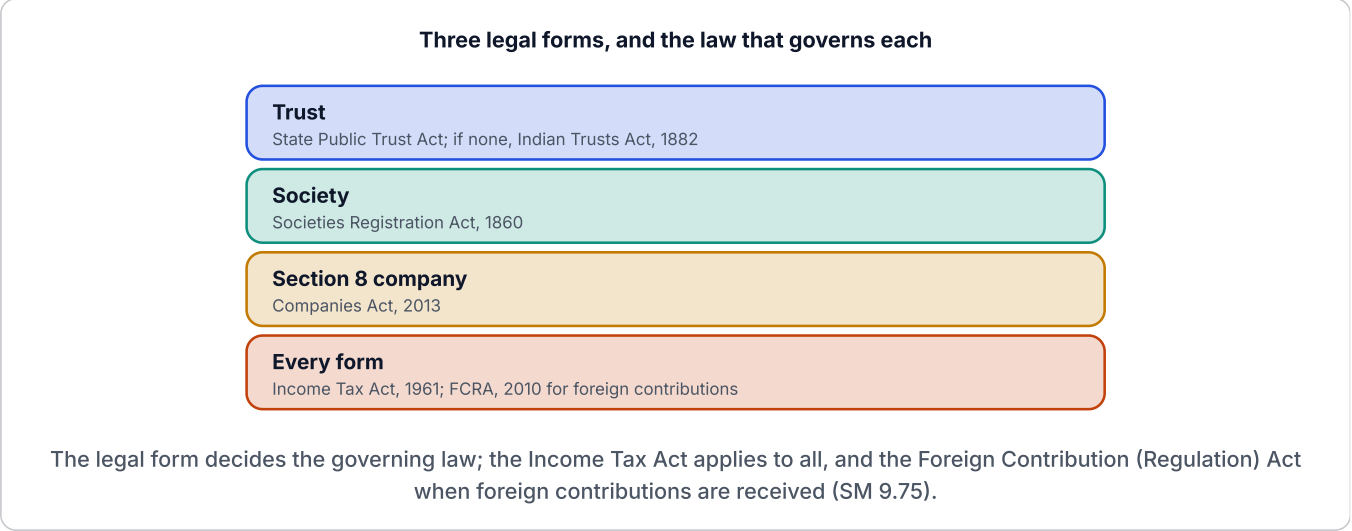
2. What an NGO is and how it is formed

Definition

NGO

NGOs can be defined as non-profit making organisations which raise funds from members, donors or contributors apart from receiving donation of time, energy and skills for achieving their social objectives like imparting education, providing medical facilities, economic assistance to poor, managing disasters and emergent situations (SM 9.27).

It includes religious organisations, voluntary health and welfare agencies, charitable organisations, hospitals, old age homes, research foundations and so on (SM 9.27). There are three basic legal forms of charitable entities under Indian law (SM 9.28, 9.75):



The legal form decides the governing law; the Income Tax Act applies to all, and the Foreign Contribution (Regulation) Act when foreign contributions are received (SM 9.75).

- **Registration.** None of these Acts makes registration mandatory for an NGO. But a trust relating to immovable property worth more than one hundred rupees must comply with section 17(1) of the Registration Act, 1908 read with section 123 of the Transfer of Property Act, 1882, so its registration becomes mandatory. In some States, such as Maharashtra and Gujarat, all charitable trusts must register under their Public Trusts Acts (for example the Bombay Public Trusts Act, 1950). Registration under the Income Tax Act, 1961 and the Foreign Contribution (Regulation) Act, 2010 is also invoked in many cases (SM 9.28).
- **Basis of accounting.** NGOs registered under the Companies Act, 2013 must keep their books on the **accrual basis** (section 128); otherwise it is non-compliance with the Act. NGOs not registered under the Companies Act may keep accounts on either the accrual or the cash basis (SM 9.28).

3. Where the money comes from, and where it goes

The main **sources of funds** are grants and donations, fund raising programmes, advertisements, fees from members, technical assistance fees or fees for services, subscriptions, gifts, and sale of produce or publications. The Study Material then describes five kinds (SM 9.28–9.29):

- (a) **Donations and grants in the nature of promoter's contribution** are capital receipts, shown as **liabilities** in the NGO's balance sheet, either as a corpus contribution or as a contribution to a revolving fund.
- (b) Under **section 11(1)(d) of the Income Tax Act, 1961**, voluntary contributions made with a specific direction that they shall form part of the corpus of the trust or institution are not included in total income.
- (c) **Revolving fund** contributions (defined below).
- (d) **Donations and grants for specific fixed assets**: their primary condition is that the NGO purchases, constructs or otherwise acquires the assets for which they are given.
- (e) **Contributions in kind**: assets such as land, buildings, vehicles and office equipment, and articles for programmes such as food, books, building materials, clothes, beds, and raw material

for training (wool, reeds, cloth).

Definition

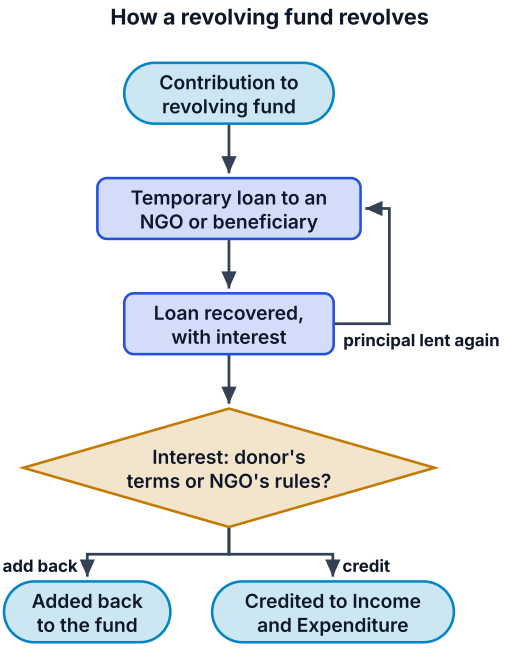
Corpus contribution

A contribution made towards the capital or the corpus of an NGO is known as corpus contribution. The donors are generally required to specify whether the donation or grant given by them shall form part of the corpus of the NGO. Such contributions are generally given with reference to the total funds required by an NGO (SM 9.28).

Definition

Revolving fund

The objective of a contribution or grant towards a revolving fund is to rotate the amount by giving temporary loans from the fund to other NGOs or beneficiaries for their projects, and then recover the loan so as to give temporary loans again, and so on. Any interest earned from the beneficiary on such loans could be either added back to the fund or credited to the Income and Expenditure Account, depending on the restrictions laid down by the authority providing the contribution or by the NGO's own rules (SM 9.29).



The principal goes round again; where the interest goes depends on the contributor's restrictions or the NGO's rules (SM 9.29).

The **application of funds** covers establishment costs, office and administrative expenses, maintenance expenses, programme or project expenses, and charity, donations and contributions given (SM 9.29).

4. Appointment, statutes and planning

The auditors of an NGO registered as a society under the Societies Registration Act, 1860 (or a corresponding State law) or as a trust under the Indian Trusts Act, 1882 are **normally appointed by**

the management of the society or trust; those of a section 8 company **by its members**. Statutes such as the Companies Act, 2013, the Foreign Contribution (Regulation) Act, 2010 and the Income Tax Act, 1961 require the accounts to be audited and submitted to the prescribed authorities, and failure can mean **forfeiture of exemptions and benefits**. The FCRA prescribes the format of the audit report, to be furnished to the Ministry of Home Affairs within 60 days from the close of the financial year, i.e. by 30 May each year (SM 9.29–9.30).

> ⚠ **Careful**
>
> Statutory formats and due dates under the FCRA and the Income Tax Act are version-sensitive. Verify against the Study Material and Statutory Update for your attempt; this lesson states them as the Study Material does.

While planning the audit, the auditor may concentrate on (SM 9.30):

- (i) knowledge of the NGO's work, its mission and vision, areas of operations and the environment in which it operates;
- (ii) updating knowledge of relevant statutes, especially recent amendments, circulars and judicial decisions (the Foreign Contribution (Regulation) Act, 2010, the Societies Registration Act, 1860, the Income Tax Act, 1961 and so on) and the rules under them;
- (iii) reviewing the legal form of the organisation and its Memorandum of Association, Articles of Association, Rules and Regulations;
- (iv) reviewing the NGO's organisation chart, its Financial and Administrative Manuals, Project and Programme Guidelines, funding agencies' requirements and formats, and budgetary policies if any;
- (v) examining the minutes of the Board, Managing Committee, Governing Body or Management, and their committees, to ascertain the impact of any decisions on the financial records;
- (vi) studying the accounting system, procedures, internal controls and internal checks, and verifying their applicability;
- (vii) setting materiality levels for audit purposes;
- (viii) the nature and timing of reports or other communications;
- (ix) the involvement of experts and their reports; and
- (x) reviewing the previous year's audit report.

5. The audit programme: funds, assets, liabilities and expenses

The audit programme should include, in a sequential order, all assets, liabilities, income and expenditure, ensuring that no material item is omitted (SM 9.30–9.32):

Item	What the auditor does
(i) Corpus fund	Vouch contributions towards corpus with special reference to the donors' letters; check interest income with the Investment Register and the investments physically in hand
(ii) Reserves	Vouch transfers from projects and programmes with donors' letters and board resolutions; check transfer of the gross value of assets sold from capital reserve to general reserve, and adjustments during the year
(iii) Earmarked funds	Check the donor institutions' requirements, the board resolution and the rules of the schemes of the earmarked funds (earmarking: setting aside a determined amount for a specific goal)
(iv) Project or agency balances	Vouch disbursements and expenditure as per the agreements with donors, for each balance
(v) Loans	Vouch with the loan agreements and the counterfoils of receipts issued
(vi) Fixed assets	Vouch all acquisitions, sales or disposals, depreciation and their authorisations; check donors' letters or agreements for grants; for immovable property, check title
(vii) Investments	Check the Investment Register and the investments physically, ensuring they are in the NGO's name; verify investments and disinvestments for approval by the appropriate authority, and trace principal and interest in the bank accounts
(viii) Cash in hand	Physically verify cash and imprest balances at the close of the year and agree them with the books
(ix) Bank balances	Check the bank reconciliation statements; ascertain details of old outstanding and unadjusted amounts
(x) Inventory	Verify inventory in hand; obtain a management certificate for quantities and valuation
(xi) Programme and project expenses	Verify the donor agreement for the conditions of the programme; for contracts, ensure income tax is deducted, deposited and returns filed, and verify the contract terms
(xii) Establishment expenses	Verify that provident fund, life insurance premium, employees' state insurance and their administrative charges are deducted, contributed and deposited in time; check postage, stationery, travelling and other office expenses

6. Receipts of income of an NGO

The receipt of income may be checked on these lines (SM 9.32):

- (i) **Contributions and grants for projects and programmes**: check agreements with donors and grant letters to ensure that funds received have been accounted for. Check that all foreign contribution receipts are deposited in the foreign contribution bank account as notified under the FCRA, 2010.
- (ii) **Receipts from fund raising programmes**: verify in detail the internal control system; ascertain who is responsible for collecting funds and the mode of receipt; ensure collections are counted and deposited in the bank daily.

- (iii) **Membership fees**: check with the Membership Register; ensure proper classification between entrance, annual and life membership fees; reconcile fees received with fees receivable for the year.
- (iv) **Subscriptions**: check with the subscription register and receipts issued; reconcile with the printing and dispatch of the corresponding magazines, circulars or periodicals; check against the subscription rate schedule.
- (v) **Interest and dividends**: check those received and receivable with the investments held during the year.

7. Audit of a charitable institution

Attention should be paid to the following matters (SM 9.40–9.42):

1. **General**: (i) study the constitution under which the institution has been set up; (ii) verify whether it is managed in the manner contemplated by the law under which it has been set up; (iii) examine the system of internal check, especially over amounts collected; (iv) verify the income in detail and confirm that amounts received have been deposited in the bank regularly and promptly; (v) examine the Trust Deed or the Regulations.
2. **Subscriptions and donations**: (i) ascertain any changes in the amount of annual or life membership subscription during the year; (ii) whether official receipts are issued:
   - (a) confirm adequate control over unused receipt books;
   - (b) obtain all receipt books covering the period under review;
   - (c) test check the counterfoils with the cash book, looking specially into any cancelled receipts;
   - (d) obtain the printed list of subscriptions and donations and agree it with the total collections in the accounts;
   - (e) examine the internal check over money from box collections, flag days and so on, check amounts received from representatives with the correspondence and official receipts, and pay special attention to the controls ensuring all collections are accounted for;
   - (f) verify total subscriptions and donations with any figures published in the charity's reports.
3. **Legacies**: verify the amounts received with the correspondence and other available information.
4. **Grants**: vouch with correspondence, receipts and minute books; obtain a certificate from a responsible official of the grants received.
5. **Investment income**: (i) vouch with dividend and interest counterfoils; (ii) check calculations of interest on fixed-interest securities; (iii) check that the appropriate dividend is received where an investment is sold ex-dividend or bought cum-dividend; (iv) compare dividends received with the schedule of investments, enquiring into any investment on which no dividend was received.
6. **Rent**: examine the rent roll and tenancy agreements, noting the amounts and due dates of rent; vouch the rent onto the rent roll from the receipt counterfoils and check the cash book totals.
7. **Special functions**: vouch gross receipts and outgoings of concerts, dramatic performances and the like held in aid of the charity; verify that the proceeds of all tickets issued are accounted for, after allowing for returns.
8. **Income-tax refunds**: where tax has been deducted at source from investment income, see that a refund has been obtained, since charitable institutions are exempt from income tax: vouch the

refund with the correspondence with the Income-tax Department and check the calculation of the claims.

9. **Expenditure**: (i) vouch payments of grants and verify that they were paid only for charitable purposes within the objects, and that no trustee, director or member of the Managing Committee has benefited directly or indirectly; (ii) verify the schedules of securities and the inventories of movable and immovable properties, by inspecting securities and title deeds and physically verifying movable properties on a test basis; (iii) verify cash and bank payments; (iv) ascertain that funds contributed for a special purpose have been used for that purpose.

8. Audit of trusts

Charitable and religious trusts should maintain regular books of account; this lets the management demonstrate due discharge of its responsibilities. **The auditor is required to report whether the trust has maintained proper books of account**, including (SM 9.75–9.76): (i) cash book; (ii) ledger; (iii) journal; (iv) copies of bills (machine-numbered or otherwise serially numbered) wherever the trust issues bills, and copies or counterfoils of such serially numbered receipts issued by the trust; (v) original bills wherever issued to the person, and receipts for payments made by the person; (vi) any other book needed to give a true and fair view of the state of affairs and explain the transactions. Every year the trust prepares a balance sheet and income and expenditure statement from its books, in the format prescribed under the respective State law.

Auditor's responsibility (SM 9.76–9.77). Obtain the list of books and records maintained and match it with the mandatory requirements, then verify the records. Comply with the Accounting Standards and Standards on Auditing prescribed and made mandatory by ICAI; use professional skill and apply such audit tests as the circumstances require; apply generally accepted auditing procedures, with **test checks depending on the evaluation of internal control**; keep **materiality** in mind; and keep detailed notes of the evidence relied on, and all working papers.

The auditor of a trust has to ascertain (SM 9.77–9.79):

- (a) whether accounts are maintained regularly and in accordance with the provisions of the applicable Act and the rules;
- (b) whether receipts and disbursements are properly and correctly shown, and money received as donations is applied as per the objects of the trust and as per the donor's specific direction, if any;
- (c) whether the cash balance and vouchers in the custody of the manager or trustee on the date of audit agreed with the accounts;
- (d) whether all books, deeds, accounts, vouchers or other documents or records required by the auditor were produced;
- (e) whether a register of movable and immovable properties is maintained, its changes communicated from time to time to the regional office, and the defects mentioned in the previous audit report complied with and rectified;
- (f) whether the manager, trustee or any other person required to appear before the auditor did so and furnished the necessary information;
- (g) whether any property or funds of the trust were applied for any object or purpose other than the trust's;

- (h) the amounts outstanding for more than one year and the amounts written off, if any;
- (i) whether any money of the public trust has been invested contrary to the provisions of the applicable Act, as came to the auditor's notice;
- (j) all cases of irregular, illegal or improper expenditure, failure or omission to recover money or property of the trust, or loss or waste of its money or property, and whether caused by breach of trust, misapplication or other misconduct of the trustees or any other person managing the trust;
- (k) whether the maximum and minimum number of trustees is maintained;
- (l) whether the meetings are held regularly as provided in the instrument;
- (m) whether the minute books of the proceedings of meetings are maintained;
- (n) whether any of the trustees has any interest in the investments of the trust;
- (o) whether any of the trustees is a debtor or creditor of the trust;
- (p) whether anonymous donations received are properly accounted for, and cash donations are not received above the prescribed limit for accepting cash donations;
- (q) whether the irregularities pointed out by the auditors in the previous year's accounts have been duly complied with by the trustees; and
- (r) any special matter the auditor thinks fit or necessary to bring to the notice of the Deputy or Assistant Charity Commissioner.

9. Audit of societies

The auditor's considerations (SM 9.79–9.80):

- (a) Ascertain the governing legislation of the society, i.e. the Societies Registration Act, 1860 or any applicable State law under which it has been registered.
- (b) Ascertain the object of the society from its memorandum of association or bye-laws; its activities may include charitable, social, cultural or educational activities.
- (c) Ascertain whether it has obtained registration under the Foreign Contribution (Regulation) Act, 2010, in case foreign contributions are received.
- (d) Ascertain whether it is also registered under the relevant provisions of the Income Tax Act, which may make it eligible for tax exemption.
- (e) Obtain an understanding of internal control to design audit procedures, with special reference to donations and to expenditures incurred in relation to achieving the society's objects.
- (f) Evaluate the appropriateness of accounting policies, with special reference to donations and grants, and to specific grants.
- (g) Where expenses incurred by the society are reimbursed by donors, ascertain how these are recognised in the financial statements.
- (h) Ascertain whether any inquiry has been held by the Registrar under the applicable law into the working or financial condition of the society, and its implications for the auditor's opinion.
- (i) Ascertain all cases of irregular, illegal or improper expenditure, failure or omission to recover money or property of the society, or loss or waste of its money or property.
- (j) Ascertain whether such expenditure or waste was caused by breach of trust, misapplication or any other misconduct on the part of the governing body.

Worked examples

Worked example **Four letters, four treatments**

In 2025-26 Tapri Foundation received the following. The accountant's treatment is shown against each:

Receipt	Donor's letter	Accountant's treatment
₹25 lakh from Kesar, a promoter	"shall form part of the corpus of the Foundation"	Income and Expenditure A/c
₹20 lakh from Kamla Mehra, a promoter	"for a revolving fund for loans to women-run tea stalls; interest on the loans to pay trainees' stipends"	Revolving Fund (liability); interest to Income and Expenditure A/c
₹40 lakh from Dev Malhotra	"for the Foundation's good work"	Corpus Fund
₹12 lakh from Malwa Gramin Bank	"for buying a mobile kitchen van"	Income and Expenditure A/c

From the revolving fund the Foundation lent ₹50,000 each to 40 stalls and received interest of ₹84,000. On 31 March 2026 the van had not been bought; the ₹12 lakh was in a fixed deposit.

Required:

(i) Comment on the accountant's treatment of each receipt.

(ii) State how the auditor should verify the corpus fund, the revolving fund and the van grant.

MODEL ANSWER

(i) Treatment (SM 9.28–9.29).

- **Kesar's ₹25 lakh.** Donations in the nature of promoter's contribution are capital receipts shown as liabilities in the balance sheet; a contribution towards the corpus, which the donor has specified shall form part of the corpus, is a corpus contribution. Crediting it to income is wrong: it belongs to the Corpus Fund.
- **Kamla Mehra's ₹20 lakh.** A promoter's contribution towards a revolving fund is a capital receipt shown as a liability: correct. Interest on its loans is added back to the fund or credited to the Income and Expenditure Account depending on the restrictions laid down by the contributor. She directs it to stipends, so crediting the ₹84,000 to income is in order.
- **Dev's ₹40 lakh.** Donors are generally required to specify whether a donation shall form part of the corpus, and section 11(1)(d) of the Income Tax Act also turns on such a specific direction. His letter gives none, so the amount cannot be shown as corpus contribution; it is a general donation of the year.
- **The bank's ₹12 lakh.** A grant for a specific fixed asset, whose primary condition is that the Foundation acquires the van. The condition is unfulfilled at the year-end, so the auditor evaluates whether crediting it to income is an appropriate accounting policy for a specific grant.

(ii) Audit procedures (SM 9.30–9.31).

- **Corpus fund**: vouch the ₹25 lakh with special reference to Kesar's letter; check interest on corpus investments with the Investment Register and the investments physically in hand.
- **Revolving fund**: check the contributor's requirements and the board resolution for the fund; vouch the 40 loans of ₹50,000 (₹20 lakh) with the loan agreements and receipt counterfoils; see that the ₹84,000 is applied to stipends as directed.
- **Van grant**: check the bank's letter; verify the fixed deposit with the Investment Register and the bank, in the Foundation's name, so that the money has not gone to any other purpose; when the van is bought, vouch its acquisition, depreciation and authorisation.

Worked example **The scholarship drive**

In 2025-26 Tapri Foundation ran a "Kulhad Scholarship" drive for children of tea-stall workers. It raised ₹1.40 crore (₹38.40 lakh in donation boxes at 40 cafés, ₹79.60 lakh online and ₹22 lakh from a UK-based diaspora trust) and passed all of it to four partner organisations (₹45, 35, 30 and 30 lakh), which select the students. Bunty's working papers note:

(i) Each café's box is opened and counted by the café manager alone, and the cash is banked weekly. Of 12 receipt books issued to volunteers for a walkathon, 9 have come back.

(ii) The ₹22 lakh from the UK trust was credited to the Foundation's ordinary savings account.

(iii) One ₹30 lakh remittance went by demand draft to Gyan Jyoti Society; the address on the draft differs from its letterhead, and nobody has seen its 80G registration number.

(iv) No partner has acknowledged its remittance; one partner's annual report shows an office "bought from scholarship receipts".

(v) The four partners were chosen on one trustee's recommendation, with no record of how.

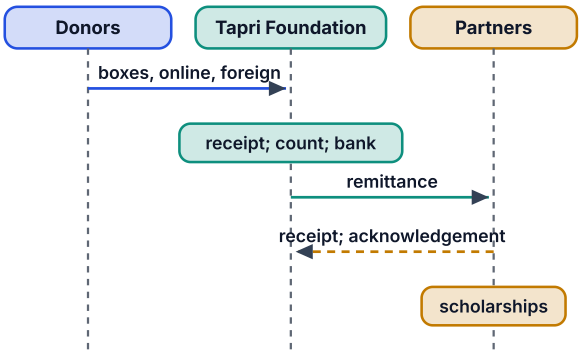
Bunty: Ma'am, ₹1.40 crore in, ₹1.40 crore out. It tallies, I can tick it!

Lakshmi: A tally is where we start, Bunty, not where we stop.

Comment on each observation, stating the audit procedures for the receipt of donations and their remittance to the partners.

MODEL ANSWER

The money trail the auditor follows



Each arrow is a point in the programme: receipts recorded and banked, remittances by account payee cheque, acknowledged, confirmed and used for the purpose.

Relevant provision. The audit programme for receipt of donations covers the internal control system, custody of receipt books, receipt of cheques, bank reconciliation, cash receipts and foreign contributions; for remittance of donations to other NGOs, the mode of sending remittance, confirming receipt of remittance, identity, direct confirmation procedure, donation utilisation and the system of NGOs' selection (SM 9.91–9.92). Collections should be counted and deposited in the bank daily, and all foreign contribution receipts deposited in the foreign contribution bank account notified under the FCRA, 2010 (SM 9.32).

Analysis.

Observation	Point	Comment and procedure
(i) Boxes, receipt books	Internal control; custody of receipt books; bank reconciliation	No division of responsibility and weekly banking: report the weakness; vouch box collections more extensively; reconcile deposits with bank statements and receipt books; trace the 3 missing books and check numbering
(ii) UK money	Foreign contributions	Special attention to FCRA compliance: check registration under the Act; deposit outside the FC account is non-compliance to report
(iii) Demand draft	Mode of remittance; identity	Scrutinise the draft with reference to its recipient; verify that Gyan Jyoti is a genuine entity (address, 80G registration number); send it a confirmation letter
(iv) No acknowledgements; office	Confirming receipt; direct confirmation; utilisation	Obtain receipts and acknowledgements; confirm directly with all four; scholarship money used for an office is not used for its purpose: report
(v) Selection	System of NGOs' selection	Examine the selection system; ascertain whether the trustee has any interest in a partner, since no trustee may benefit directly or indirectly from grants paid (SM 9.42)

Conclusion. The tally is only the start: the auditor reports the weak control over collections, the FCRA non-compliance, the unverified recipient and the diverted scholarship money.

Worked example **Annapurna Trust's awkward audit**

Shri Annapurna Annakshetra Trust is a public charitable trust in Pune running free kitchens, registered under the Bombay Public Trusts Act, 1950. The auditor notes:

(i) The trust deed requires at least five trustees; two have died, and only three remain.

(ii) A trustee's catering firm has owed the trust ₹4.20 lakh of hall rent for 18 months.

(iii) ₹25 lakh of trust money was placed in a private finance company in which another trustee is a director; the Act under which the trust works does not permit such an investment.

(iv) Minutes were not written for two of the year's four trustee meetings.

(v) Last year's audit report pointed out that the register of immovable properties was incomplete; it still is.

What matters should the auditor ascertain and report?

MODEL ANSWER

Relevant provision. The auditor of a public trust has to ascertain the matters listed in the Study Material, (a) to (r), including the number of trustees, trustees' interests and debts, amounts outstanding over one year, investments contrary to the applicable Act, minute books, the register of properties, last year's irregularities, and special matters for the Deputy or Assistant Charity Commissioner (SM 9.77–9.79).

Analysis.

- (i) The minimum number of trustees is not maintained: report under (k).
- (ii) The trustee, through his catering firm, is a **debtor** of the trust (o), and the ₹4.20 lakh has been outstanding for more than one year (h): report both, and enquire into recovery (j).
- (iii) Trust money invested contrary to the applicable Act (i), in which a trustee has an interest (n): report; consider whether it was caused by breach of trust or misconduct of the trustees (j).
- (iv) Minute books not maintained for two meetings (m); whether meetings are held regularly as per the instrument is also checked (l).
- (v) The register of properties is incomplete and the previous audit's defect is not rectified (e), (q).

Conclusion. The auditor should report each matter, and bring the investment in the trustee-linked company and the trustee debtor to the notice of the Deputy or Assistant Charity Commissioner as special matters (r).

Exam angle

In the exam

Where this topic appeared, May 2024 to September 2026

In the 8 new-scheme ICAI documents read for this lesson that examine it:

- **NGO planning points**: MTP May 2025 Series II Q2(b) (5 marks) and RTP May 2026 Q18, both answered with the ten points in order.
- **Receipts of income of an NGO**: PYQ January 2026 Q5(b) (5 marks), answered with the five heads.
- **Corpus contribution and revolving fund**: PYQ May 2024 Q6(a) (4 marks).
- **Donation drive programme**: RTP January 2025 Q18 and MTP September 2025 Series I Q5(b) (5 marks, three points each), answered from the six receipt and six remittance points.
- **Charitable institution**: MTP September 2026 Series I Q3(a) (5 marks): constitution, receipt books, box collections, deposits, published figures.
- **Trusts**: RTP May 2026 MCQ 8 (the auditor's responsibility: test checks based on internal control, materiality, working papers). **Societies**: RTP September 2026 Q18 (the ten considerations, with reimbursed expenses and a Registrar's inquiry in the facts).

Old-scheme papers asked the same lists (PYQ November 2019, May 2023, November 2023).

In the exam

How the marks are earned

These are list questions. Suggested Answers give the Study Material's points in its order with its headings ("Corpus Fund", "Mode of Sending Remittance"); in a case, they add one line tying the facts to the points.

Trick

The NGO planning list: "Kids Use Legos On Monday, Saying 'Make New Easy Puzzles'"

Knowledge of the NGO's work; **U**pdating knowledge of statutes; **L**egal form and MOA/AOA; **O**rganisation chart and manuals; **M**inutes; **S**tudy of accounting system and controls; **M**ateriality; **N**ature and timing of reports; **E**xperts; **P**revious year's audit report. Condition: these are SM 9.30's ten points in ICAI's order.

Answer frame

A list question ("points while planning", "receipts of income", "audit programme")

1. One opening line from the Study Material ("While planning the audit, the auditor may concentrate on the following").
2. ICAI's points, in ICAI's order, each with its heading in bold.
3. In a case: a closing line applying the points to the facts (the weekly banking, the demand draft).

A trust or society case

Relevant provision (the matters the auditor ascertains) → **facts** → **analysis** (each fact to its point, by letter) → **conclusion** (report, and for a public trust any special matter to the Deputy or Assistant Charity Commissioner).

"Distinguish corpus contribution and revolving fund"

Point	Corpus contribution	Revolving fund
Purpose	Capital or corpus of the NGO	Temporary loans to other NGOs or beneficiaries, recovered and lent again
Donor's role	Specifies that it forms part of the corpus	Lays down restrictions, including on interest
Presentation	Capital receipt, liability in the balance sheet	Capital receipt, liability in the balance sheet

Common mistakes

Common mistake

Hall of Shame: the corpus that became income

Bunty sees a corpus donation credited to the Income and Expenditure Account and ticks it, because "donations are income". **Fix:** promoter's contributions towards corpus or a revolving fund are **capital receipts, shown as liabilities**; vouch them with the donors' letters, which carry the corpus direction.

Common mistake

Ticking the total and forgetting the trustees

A trust audit that agrees cash and bank and stops. **Fix:** the list of matters includes the people: the minimum and maximum number of trustees, a trustee's interest in investments, a trustee as debtor or creditor, and any benefit to a trustee or committee member from grants paid.

⚠ **Common mistake**

"Every NGO must use the accrual basis"

Fix: only NGOs registered under the Companies Act, 2013 must (section 128); others may use the accrual or the cash basis.

Practice

Check yourself

1 Case scenario. CA Neha Bansal audits three NGOs, each keeping its books on the cash basis: Asha Trust (a public trust), Sahyog Samiti (a society registered under the Societies Registration Act, 1860) and Prerna Foundation (a section 8 company). Which of the following is correct?

- A All three are non-compliant, since every NGO must keep accrual-basis accounts
- B Only Asha Trust is non-compliant, since public trusts must keep accrual-basis accounts
- C None is non-compliant, since the basis of accounting is a matter for the governing body
- D Only Prerna Foundation is non-compliant, since an NGO registered under the Companies Act, 2013 must keep its books on the accrual basis under section 128

2 A donor gives ₹10 lakh to a charitable trust. What decides whether it is a corpus contribution?

- A Whether the amount exceeds ₹5 lakh
- B Whether the donor specifies that it shall form part of the corpus of the trust
- C Whether the trustees decide to invest it in fixed deposits
- D Whether it is received by cheque

3 Saathi Society's revolving fund earned interest of ₹60,000 on loans to self-help groups. Where should it go?

- A Always to the Income and Expenditure Account, since interest is revenue
- B Always back to the revolving fund, since the fund must keep growing
- C Back to the fund or to the Income and Expenditure Account, depending on the restrictions of the contributing authority or the society's own rules
- D To the corpus fund

4 Select all the matters that the auditor of a public trust has to ascertain.

A Whether any of the trustees is a debtor or creditor of the trust

B Whether the maximum and minimum number of trustees is maintained

C Whether the trust has distributed its surplus among the trustees in proportion to their contributions

D Whether anonymous donations are properly accounted for and cash donations are within the prescribed limit

More than one answer may be right.

5 Navjeevan Welfare Society lets its hall to a firm owned by the president's brother. Rent of ₹3.60 lakh has not been collected for two years, and the governing body has resolved to "drop the matter". What should the auditor do?

A Accept the resolution, since the governing body may waive any amount due to the society

B Ascertain this failure to recover money belonging to the society, and whether it was caused by misconduct on the part of the governing body

C Report it to the Registrar of Societies and withdraw from the audit

D Ignore it, since uncollected rent does not affect a society's Income and Expenditure Account

Answers: the answer key at the end of this lesson.

Recap

- NGO: a non-profit organisation raising funds from members, donors or contributors, plus donated time and skills, for social objectives. Forms: trust (State Public Trust Act, else Indian Trusts Act, 1882), society (Societies Registration Act, 1860), section 8 company; plus the Income Tax Act and, for foreign money, the FCRA, 2010.
- Only NGOs registered under the Companies Act must use the accrual basis (others may use accrual or cash).
- Promoter's contributions (corpus, revolving fund) are capital receipts shown as liabilities; corpus needs the donor's direction; revolving-fund interest follows the contributor's restrictions or the NGO's rules.
- Auditors: appointed by management (trust, society) or members (section 8 company); FCRA report to the Ministry of Home Affairs within 60 days of year-end.
- Planning: ten points (knowledge, statutes, legal form, organisation and manuals, minutes, systems, materiality, reports, experts, previous report). Programme: every asset, liability, income and expenditure in sequence.
- Receipts: grant agreements; foreign contributions in the FCRA account; fund-raising collections counted and banked daily; fees and subscriptions to registers.
- Charitable institutions: constitution, receipt books, box collections, legacies, grants, investment income, rent, special functions, tax refunds, and grants paid only for the objects, with no benefit to

trustees.

- Trusts: proper books; matters (a) to (r), including trustees' numbers, interests and debts, anonymous and cash donations, and special matters for the Charity Commissioner. Societies: governing law, objects, FCRA and tax registration, Registrar's inquiry, misconduct of the governing body. (Every envelope in the uncle's register.)

Answer key · Check yourself

1. **D Only Prerna Foundation is non-compliant, since an NGO registered under the Companies Act, 2013 must keep its books on the accrual basis under section 128**

   NGOs not registered under the Companies Act may keep accounts on the accrual or the cash basis; a section 8 company must use the accrual basis (SM 9.28).

2. **B Whether the donor specifies that it shall form part of the corpus of the trust**

   The donor specifies it; section 11(1)(d) of the Income Tax Act also turns on that specific direction (SM 9.28–9.29).

3. **C Back to the fund or to the Income and Expenditure Account, depending on the restrictions of the contributing authority or the society's own rules**

   It depends on the contributor's restrictions or the NGO's rules (SM 9.29); the auditor checks those documents.

4. **A Whether any of the trustees is a debtor or creditor of the trust; B Whether the maximum and minimum number of trustees is maintained; D Whether anonymous donations are properly accounted for and cash donations are within the prescribed limit**

   Not on the list: distributing surplus to trustees would be property applied for a purpose other than the trust's, reported under (g) (SM 9.77–9.79).

5. **B Ascertain this failure to recover money belonging to the society, and whether it was caused by misconduct on the part of the governing body**

   Considerations (i) and (j): ascertain all cases of failure or omission to recover monies belonging to the society, and whether caused by breach of trust, misapplication or misconduct on the part of the governing body (SM 9.80). The resolution does not end the auditor's duty.

9.4 Educational institutions, hotels, clubs and hospitals

The special audit steps ICAI lists for schools, colleges and universities, hospitals, clubs and hotels: read the constitution, match who should pay with who paid, test every concession and control the stocks.

In plain words

Bunty's week of four buildings

Iyer & Associates do not audit only Tapri Tea. This week Bunty's diary holds four other audits in Indore: Shri Ahilya Vidya Mandir, a school run by a trust; Narmada Seva Hospital, a charitable hospital; the Malwa Gymkhana Club; and Rajwada Residency, the 64-room hotel where Kesar puts up every visiting distributor.

> **Bunty:** Ma'am, a school, a hospital, a club and a hotel. Four different audits?
>
> **Lakshmi:** One audit, four rulebooks. Find out who should have paid, check who did pay, and ask who allowed the difference.
>
> **Kesar:** *(on speaker)* Lakshmi-ji, the hotel gives my distributors a small discount. Sab adjust ho jayega.
>
> **Lakshmi:** Then somebody at the hotel had the power to give it, Kesar-ji. Bunty will find the signature.

All four live on **many small receipts from many people**, so the same three leaks appear in each building:

- **Money that should have been charged and was not**: a student on the class roll with no fee demand, a patient discharged without a bill, a member's drinks never debited to his account, a guest's extra night never charged.
- **Concessions given by someone without the power to give them**: a free studentship, a waived fine, a room let below the standard rate.
- **Things that walk away**: food and liquor in a hotel, medicines and linen in a hospital, crockery and sports goods in a club.

Their rules come from a **constitution** (a trust deed, an Act of the Legislature for a university, bye-laws, the Managing Committee's resolutions), so the auditor reads it before the ledger. Much of their money is **restricted** (a donation for a ward, an endowment for a prize, a grant), so the auditor checks it was used for that purpose, and reports what is wrong to the Managing Committee or the trustees.

Think of it like

The tuition teacher's two notebooks

A home-tuition teacher keeps two notebooks: an attendance diary (who came this month) and a fee notebook (who paid). At month end she compares them. A child who came but did not pay is a leak. A child let off half the fee is fine only if the parent's request was approved by her, not by the child's elder brother who collects the money. And the box of new pencils she bought must still be in the cupboard. Every special step in this lesson is one of those three checks, done with a bigger notebook.

Key idea

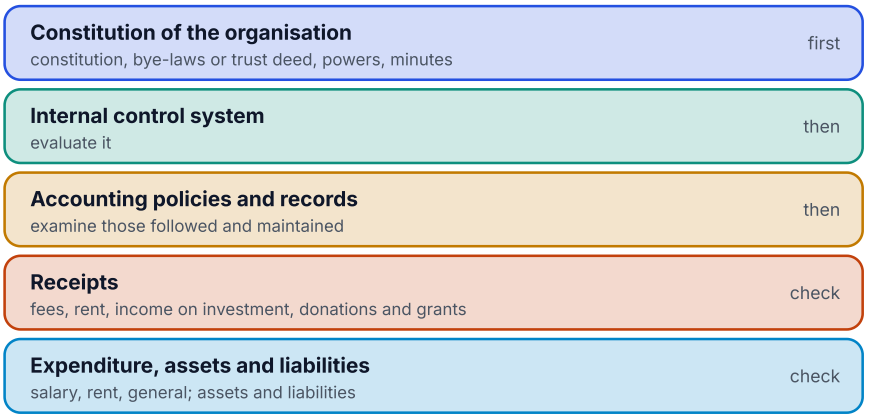
In educational institutions, hospitals, clubs and hotels the auditor first reads the constitution and the minutes, then matches the record of who should pay (class register, patients' attendance record, register of members, guest register) with the record of who paid, checks every concession and every large expense against the authority allowed to sanction it, and controls inventories that are easy to carry off.

How it works

1. The skeleton every one of these audits shares

The Study Material opens the chapter with the major points to keep in mind in the audit of educational institutions, charitable institutions, cinemas, hospitals and similar entities (SM 9.3):

The common skeleton (SM 9.3)



Top to bottom: the order in which the Study Material lists the major points. Under the constitution the auditor examines the constitution itself, the bye-laws or rules and regulations or trust deed, the powers of the members of the management and other officers, and the minute books of the managing committee and of the members' general meeting.

The special steps below fill in this skeleton for each entity. Learn them under the Study Material's own headings: ICAI's suggested answers reproduce them point by point.

2. Educational institutions (school, college or university)

The special steps are the following (SM 9.43–9.46):

(A) General

1. Examine the **Trust Deed or Regulations** in the case of a school or college and note all the provisions affecting accounts. In the case of a **university**, refer to the **Act of Legislature** and the Regulations framed under it.
2. Read the **minutes** of the meetings of the Managing Committee or Governing Body, noting resolutions affecting accounts, to see that they have been complied with, specially the decisions on the operation of bank accounts and the sanctioning of expenditure.

(B) Fee from Students

1. Check the names entered in the **Students Fee Register** for each month or term with the respective **Class Registers** (the names of students on rolls) and test the amount of fees charged; verify that a system of internal check ensures that **demands against the students are properly raised**.
2. Check fees received by comparing the **counterfoils of receipts** with entries in the **Cash Book**, and trace the collections in the Fee Register, to confirm that the revenue from this source has been duly accounted for.
3. Total up the columns of the Fees Register for each month or term to see that **fees paid in advance** have been carried forward and that **irrecoverable arrears** have been written off under the sanction of an appropriate authority.
4. Check **admission fees** with admission slips signed by the head of the institution and confirm that the amount has been credited to a **Capital fund**, unless the Managing Committee has taken a decision to the contrary.
5. See that **free studentship and concessions** have been granted by a person authorised to do so, having regard to the Rules prepared by the Managing Committee.
6. Confirm that **fines** for late payment or absence, etc. have been either collected or remitted under proper authority.
7. Confirm that **hostel dues** were recovered before students' accounts were closed and their deposits of **caution money** refunded.

(C) Other Receipts / Grants and Donations

1. Verify **rental income** from landed property with the rent rolls, etc.
2. Vouch income from **endowments and legacies**, and interest and dividends from investments; inspect the securities for the investments held.
3. Verify any **Government or local authority grant** with the memo of grant. If any expense has been disallowed for purposes of the grant, ascertain the reasons.

(D) Expenditure

1. Verify that the **Provident Fund** money of the staff has been invested in appropriate securities.
2. Vouch **donations** with the list published with the annual report; if some were meant for a specific purpose, see that the money was used for it.
3. Vouch all **capital expenditure** in the usual way and verify it with the sanction of the Committee in the minute book.
4. Vouch all **establishment expenses** and enquire into any unduly heavy expenditure under any head. If an annual **budget** was prepared, see that any excess over the budget under any head was sanctioned by the Managing Committee; if not, bring it to the Committee's notice in the report.
5. See that **increases in the salaries** of the staff have been sanctioned and minuted by the Committee.

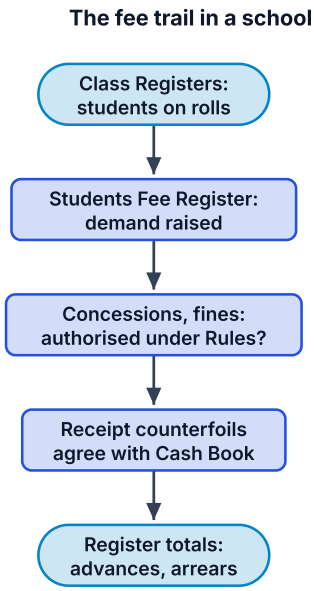
(E) Assets and Liabilities

1. Report any old heavy **arrears** of fees, dormitory rents, etc. to the Managing Committee.
2. Confirm that **caution money** and other deposits paid by students on admission are shown as a **liability** in the balance sheet, not transferred to revenue, unless they are not refundable.

3. See that the investments representing **endowment funds for prizes** are kept separate and that any income in excess of the prizes has been accumulated and invested along with the corpus.
4. Ascertain that the system of inspection on receipt and issue of provisions, foodstuffs, clothing and other equipment is efficient, and that all bills are authorised and passed before payment.
5. Verify the **inventories** of furniture, stationery, clothing, provisions and equipment by reference to the Inventory Register or the previous year's inventories, and test check the values applied.

(F) Compliances

1. Confirm that the **refund of taxes deducted** from income from investments (interest on securities, etc.) has been claimed and recovered, since the institutions are generally exempt from income-tax.
2. Finally, verify the annual statements of account and see that **separate statements of account** have been prepared for the Poor Boys Fund, Games Fund, Hostel and Provident Fund of staff, etc.



Point (B) in one picture: every name on the class roll must carry a demand, every reduction in the demand must be authorised, every rupee collected must reach the Cash Book, and the register totals must carry advances forward and write off irrecoverable arrears only under sanction.

3. Hospitals

The special steps are (SM 9.46–9.48):

1. **Register of Patients**: vouch the Register of patients with copies of the bills issued to them. Verify bills for a selected period with the patients' attendance record to see that they have been correctly prepared, and that bills have been issued to all patients from whom an amount was recoverable under the rules of the hospital.
2. **Collection of Cash**: check cash collections in the Cash Book with the receipts, counterfoils and other evidence, for example copies of patients' bills, counterfoils of dividend and interest warrants, copies of rent bills.
3. **Income from Investments, Rent etc.**: see, with reference to the Property and Investment Register, that all income due by way of rent, dividends and interest on securities has been collected.

4. **Legacies and Donations**: ascertain that legacies and donations received for a **specific purpose** have been applied in the manner agreed upon.
5. **Reconciliation of Subscriptions**: trace all collections of subscriptions and donations from the Cash Book to the registers; reconcile the total subscriptions due (as shown by the Subscription Register) with the amount collected and that still outstanding.
6. **Authorisation and Sanctions**: vouch all purchases and expenses; verify that capital expenditure was incurred only with the **prior sanction of the Trustees or the Managing Committee**, and that appointments and increments to staff were authorised.
7. **Grants and TDS**: verify that grants from Government or a local authority have been accounted for, and that refund of taxes deducted at source has been claimed.
8. **Budgets**: compare the totals of items of income and expenditure with the budgeted amounts and **report significant variations** to the Trustees or the Managing Committee.
9. **Internal Check**: examine the internal check over the receipt and issue of stores, medicines, linen, apparatus, clothing, instruments, etc., so that purchases are recorded in the Inventory Register and issues are made only against proper authorisation.
10. **Depreciation**: see that depreciation has been written off against all the assets at the appropriate rates.
11. **Registers**: inspect the bonds, share scrips and title deeds of properties and compare them with the Property and Investment Registers.
12. **Inventories**: obtain inventories, especially of stocks and stores, at the end of the year; check a percentage of the items physically and compare their total values with the ledger balances.
13. **Management Representation and Certificate**: obtain a proper management representation and certificate on the various aspects covered during the audit (see written representations).

4. Clubs

The special steps are (SM 9.48–9.49):

1. **Entrance Fee**: vouch receipts of entrance fees with members' applications, the counterfoils issued to them and the minutes of the Managing Committee.
2. **Subscriptions**: vouch members' subscriptions with the counterfoils of receipts; trace receipts for a selected period to the **Register of Members**; reconcile the total subscriptions due with the amount collected and that outstanding.
3. **Arrears of Subscriptions**: ensure that arrears of the previous year have been correctly brought over, and that arrears for the year under audit and **subscriptions received in advance** have been correctly adjusted.
4. **Arithmetical accuracy**: check the totals of the columns of the Register of Members and tally them across.
5. **Irrecoverable Member Dues**: see from the Register of Members which members' dues are in arrear and whether steps have been taken to recover them; the amount considered irrecoverable should be **mentioned in the Audit Report**.
6. **Pricing**: verify the internal check over members being charged the price of foodstuffs and drinks provided to them and their guests, and the fees for special services such as billiards and tennis.

7. **Member Accounts**: trace debits for a selected period from the subsidiary registers of supplies and services to confirm that **every member's account has been debited** with the amounts recoverable from him.
8. **Purchases**: vouch purchases of sports items, furniture, crockery, etc. and trace them into the inventory registers.
9. **Margins earned**: vouch purchases of foodstuffs, cigars, wines, etc. and test their sale price to confirm that the **normal rates of gross profit** have been earned; verify the year-end inventory of unsold provisions and stores physically and check its valuation.
10. **Inventories**: check the inventory of furniture, sports material and other assets physically with the inventory registers or the year-end inventories.
11. **Investments**: inspect the share scrips and bonds, check their current values for disclosure in the final accounts, and see that the arrangements for their safe custody are satisfactory.
12. **Management Powers**: examine the **financial powers of the secretary** and, if they have been exceeded, report the specific case for confirmation by the Managing Committee.

5. Hotels

The special considerations in a hotel audit are (SM 9.56–9.58):

(1) Internal Controls. Pilfering is one of the greatest problems in any hotel, and it is management's responsibility to introduce controls that minimise the leakage. Evidence of their success is the preparation of regular, perhaps weekly, **trading accounts for each sales point** and a detailed scrutiny of the resulting profit percentages, with any deviation from the anticipated pattern investigated. The auditor should obtain these trading accounts, examine them and obtain explanations for any apparent deviations. The auditor should verify a few restaurant bills with the **K.O.T.s (Kitchen Order Tickets)** or basic record, to see that the revenue-cycle controls are in order, and should be satisfied that all **taxes collected from occupants** on food and occupation have been paid over to the proper authorities. If internal control is weak or breaks down, a very serious problem exists: because many of the clients' records are transient, the auditor must rely to a very large extent on the **gross margin** shown by the accounts. The scope of the audit tests must then be increased and, if a material margin discrepancy remains unexplained, the auditor will have to **consider qualifying** the report (see SA 705).

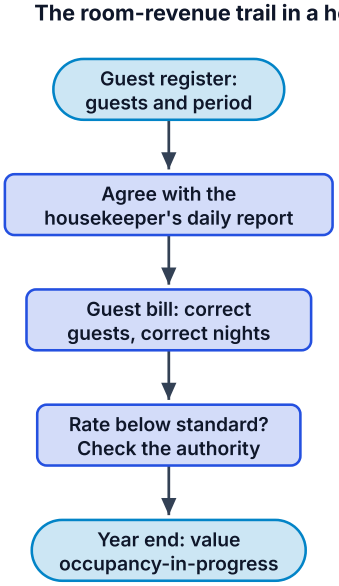
(2) Room Sales and Hall Bookings. The charge for rooms is normally posted to guest bills by the receptionist or front office, or in large hotels by the night auditor, from the **guest register**; tests should ensure that the correct number of guests is charged for the correct period. Any difference between the rates charged and the **standard room rate** should be investigated to see that it was properly authorised. In many hotels the **housekeeper prepares a daily report** of rooms occupied the previous night and the number of beds in each; it tends not to be kept permanently, so the auditor should ensure that enough reports are available to test with the guest register and the individual guest bills. The auditor should ensure that a proper valuation of **occupancy-in-progress** at the balance sheet date is made and included in the accounts, and that proper records are kept of the booking of halls and premises for special parties, recovered on the basis of the tariff.

(3) Inventories. Hotel inventories, particularly food and beverages, are both readily portable and saleable, so all movements and transfers must be properly documented to control each store and sales point; the auditor tests that this documentation is accurately processed. Large stores should be kept locked, the key held by the departmental manager and released only to trusted personnel; unauthorised persons should not enter stores except under constant supervision, and every movement of goods in or out should be checked. Many hotels use **specialised professional valuers** to count and value inventories continuously through the year, and their valuation becomes the balance sheet figure. Although the valuers are independent of the client, the auditor must be satisfied that the amounts are reasonable: the auditor should consider **attending the physical inventory taking** and carrying out some pricing and calculation tests, whose extent can be limited because the figures were prepared independently of the hotel.

(4) Fixed Assets. Accounting policies differ between hotels. Many account for **quasi-fixed assets such as silver and cutlery on an inventory basis**, which can cause confusion with similar items accounted for as assets; detailed definitions of inventory items should exist, and the auditor tests that they have been followed. **Repairs and minor renovation and redecoration** are revenue expenditure; **major alterations and additions** to the building and facilities are capitalised.

(5) Casual Labour. The hotel trade runs to a very large extent on casual labour, whose wage records are frequently inadequate. The auditor should ensure that defalcation does not take place on this account by suggesting proper controls to management.

(6) Travel Agents and Shops. For guests coming through travel agents or booking agencies, bills are usually made on the agency: the auditor should ensure that the money is recovered from them as per the terms of credit allowed, and check any **commission** paid to them with the agreement.



Point (2) in one picture: the source records say who stayed and for how long, the bill must charge them at the standard rate or an authorised lower one, and nights not yet billed at the balance sheet date are valued and included.

6. One idea, four buildings

Check	School	Hospital	Club	Hotel
Who should pay	Class Registers	Patients' attendance record	Register of Members	Guest register, housekeeper's report
Who paid	Fee Register, counterfoils, Cash Book	Bills, counterfoils, Cash Book	Counterfoils, Register of Members	Guest bills, K.O.T.s
Authority checked	Concessions, fines, write-offs	Prior sanction of capital expenditure; increments	Secretary's financial powers	Rate below standard rate
Restricted money	Endowments for prizes, grants	Legacies and donations	—	—
Walk-away stocks	Provisions, clothing	Medicines, linen, instruments	Foodstuffs, wines, crockery	Food and beverages

Formats and formulas

Working layouts for the Study Material's steps, not ICAI pro-formas: in the exam show the working and name the step it serves.

Reconciling subscriptions (clubs, hospitals)

Reproduce the order: due, collected, outstanding, compared with the register.

Particulars	Amount (₹)
Subscriptions due for the year (members on roll × rate, by category)	xxx
Less: collected for the year (cash received less arrears of earlier years and advances for next year)	(xxx)
Outstanding per the books	**xxx**
Outstanding per the Register of Members	xxx
Difference to be explained	**xxx**

Testing gross margin (hotels, clubs)

∑ **Formula**

Expected sales at the normal rate of gross profit

$$\text{Expected sales} = \frac{\text{Cost of goods consumed}}{1 - \text{normal GP ratio}}$$

Cost of goods consumed = opening stock + purchases − closing stock of the sales point; normal GP ratio = the gross profit ÷ sales the entity normally earns at that point. Shortfall = expected sales − recorded sales.

Occupancy-in-progress (hotels)

∑ Formula

Revenue earned but not yet billed at the balance sheet date

$$\text{Occupancy-in-progress} = \sum \text{rooms} \times \text{unbilled nights} \times \text{tariff}$$

Unbilled nights = nights stayed up to and including the night of the balance sheet date and not yet billed; guests billed weekly or at checkout leave such nights at the year end. It is included in the accounts on the accrual basis (SM 9.57, 9.90).

Worked examples

Worked example **Five decisions at Shri Ahilya Vidya Mandir**

Iyer & Associates audit Shri Ahilya Vidya Mandir, a school run by a public trust in Indore, for 2025-26. Bunty's notes:

(i) The Managing Committee resolved on 12 April 2025 that admission fees of the year (₹18,60,000) should be credited to revenue to meet a deficit; the accountant did so.

(ii) Caution money of ₹6,40,000 deposited by students who left in 2023 and 2024, and never claimed, was transferred to income. The school's rules say caution money is refundable on leaving.

(iii) The corpus of the Kamla Joshi Memorial Prize Fund, ₹10,00,000, earned interest of ₹70,000; prizes cost ₹25,000 and the remaining ₹45,000 was spent on annual-day decorations.

(iv) Caution money was refunded to 14 hostel students on leaving, although their hostel dues of ₹1,12,000 were outstanding.

(v) Teachers' salaries were increased from July 2025 on a note approved by the Principal.

Comment on each as the auditor.

MODEL ANSWER

(i) Admission fees. As per the special steps for educational institutions, the auditor checks admission fees with admission slips signed by the head of the institution and confirms that the amount has been credited to a Capital fund, unless the Managing Committee has taken a decision to the contrary. The Committee has so decided, so crediting ₹18,60,000 to revenue is in order; the auditor verifies the resolution in the minute book and tests the admission slips.

(ii) Caution money. Caution money and other deposits paid by students on admission must be shown as a liability in the balance sheet and not transferred to revenue, unless they are not refundable. Under the school's rules they are refundable, so ₹6,40,000 has been wrongly taken to income: income is overstated and liabilities understated. The auditor should ask for the transfer to be reversed and, if it is not, report the matter.

(iii) Prize endowment. The investments representing endowment funds for prizes must be kept separate, and any income in excess of the prizes must be accumulated and invested along with the corpus. The excess of ₹45,000 should have been added to the fund and invested; its use for decorations is a misapplication of a restricted fund, which the auditor should report to the Managing Committee and in the report.

(iv) Hostel dues. The auditor must confirm that hostel dues were recovered before students' accounts were closed and their caution money refunded. Refunds made while ₹1,12,000 of hostel dues were outstanding show a failure of control; the auditor should examine whether the dues are recoverable, see that they are not written off without the sanction of an appropriate authority, and report the weakness.

(v) Salary increases. Increases in the salaries of staff must be sanctioned and minuted by the Committee. A note approved by the Principal alone is not that sanction; the auditor should ask for the Committee's ratification and, failing it, bring the matter to the Committee's notice in the report.

Worked example **The Malwa Gymkhana Club's ₹1,20,000 question**

The Malwa Gymkhana Club, Indore, charges an annual subscription of ₹12,000. For 2025-26 its Register of Members shows 820 members on the roll for the whole year, 40 new members admitted on 1 October 2025 (who pay half the year's subscription), and 30 life members, who pay none. The Cash Book shows subscription receipts of ₹1,05,30,000, of which ₹3,60,000 are arrears of 2024-25 (included in last year's income and receivables) and ₹4,80,000 are subscriptions for 2026-27 received in advance. The club has credited the whole ₹1,05,30,000 to subscription income. The Register of Members shows ₹2,70,000 outstanding for 2025-26.

The club's rules let the secretary sanction expenditure up to ₹1,00,000 on any one item. During the year he sanctioned a new billiards table for ₹3,40,000.

Required:

(a) Reconcile the subscriptions for 2025-26 and comment on the difference.

(b) Comment on the subscription income credited.

(c) State what the auditor should do about the billiards table.

MODEL ANSWER

(a) Reconciliation of subscriptions, 2025-26

Particulars	Amount (₹)
Members on roll for the year: 820 × ₹12,000	98,40,000
New members from 1 October 2025: 40 × ₹6,000	2,40,000
Life members: 30 × nil	0
Subscriptions due for 2025-26	**1,00,80,000**
Cash received ₹1,05,30,000 less arrears ₹3,60,000 less advance ₹4,80,000	(96,90,000)
Outstanding per the books	**3,90,000**
Outstanding per the Register of Members	2,70,000
Difference to be explained	**1,20,000**

₹1,20,000 equals ten members' annual subscriptions. As per the special steps for clubs, the auditor must reconcile the total subscriptions due with the amount collected and that outstanding, and check the totals of the Register of Members. The difference means either ten members' dues were collected but not accounted for, or they were removed from the Register without authority, or the Register is wrong. The auditor should identify the ten members, vouch their receipts with the counterfoils, trace them to the Register, enquire whether any waiver was sanctioned, and report what remains unexplained.

(b) Subscription income. Arrears of the previous year must be correctly brought over, and arrears of the year under audit and subscriptions received in advance correctly adjusted. Income for 2025-26 is the ₹1,00,80,000 due. Crediting the cash received overstates income by ₹4,50,000: the advance of ₹4,80,000 belongs to 2026-27, the arrears of ₹3,60,000 were last year's income, and the ₹3,90,000 still outstanding is this year's (4,80,000 + 3,60,000 − 3,90,000 = 4,50,000). The advance should be shown as a liability and the outstanding amount as a receivable, after considering whether any of it is irrecoverable; the amount considered irrecoverable should be mentioned in the audit report.

(c) Billiards table. The auditor should examine the financial powers of the secretary and, since they have been exceeded, report the specific case for confirmation by the Managing Committee. The auditor should also vouch the purchase and trace the table into the inventory register.

Worked example **The bar that lost its margin at Rajwada Residency**

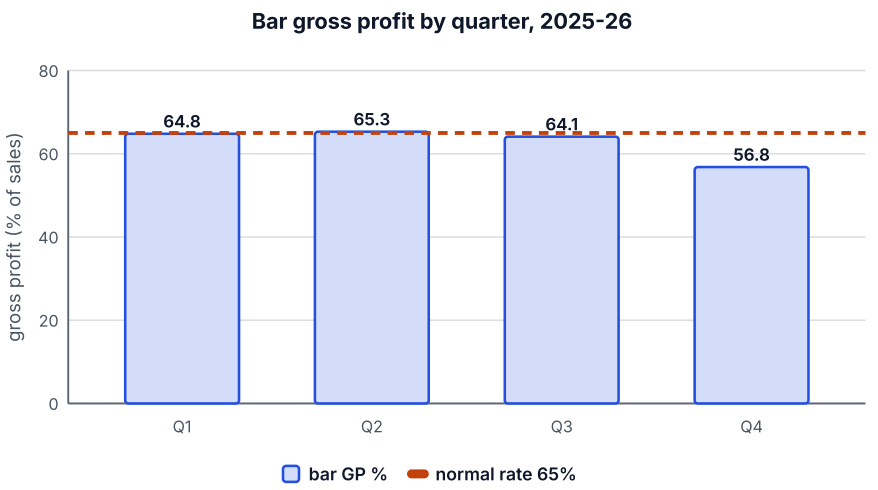
Rajwada Residency Pvt Ltd runs a 64-room hotel in Indore. Its overall materiality for the 2025-26 audit is ₹6,00,000. Bunty extracts the following:

(i) The bar's quarterly trading accounts show a gross profit of 64.8%, 65.3% and 64.1% of sales in the first three quarters; management's normal rate is 65%. For the fourth quarter the cost of liquor consumed was ₹18,40,000 and recorded bar sales were ₹42,60,000. Management explains that a "happy hour" scheme approved by the board reduced bar sales by ₹2,10,000 for the same liquor; it has no other explanation.

(ii) Room revenue is recorded only when a guest checks out. On the night of 31 March 2026: a corporate block of 12 rooms at ₹4,800 a night had checked in on 28 March; 6 rooms at ₹5,500 had checked in on 30 March; a wedding party of 20 rooms at ₹4,200 had checked in on 31 March; and a long-stay guest in a suite at ₹9,000 a night, billed weekly, had been billed up to the night of 23 March. All checked out in April. Each night's room charge belongs to the date on which the night begins.

Required: compute the gross margin and the unexplained shortfall in bar sales and the occupancy-in-progress at 31 March 2026, and advise Iyer & Associates.

MODEL ANSWER



The fourth quarter falls about eight points below the normal rate that the first three quarters confirm.

Working 1: bar gross margin, fourth quarter

Particulars	Amount (₹)
Recorded bar sales	42,60,000
Less: cost of liquor consumed	18,40,000
Gross profit	**24,20,000**
Gross profit ratio: 24,20,000 ÷ 42,60,000	56.81%
Expected sales at 65%: 18,40,000 ÷ 0.35	52,57,143
Shortfall in sales: 52,57,143 − 42,60,000	9,97,143
Less: explained by the approved happy-hour scheme	2,10,000
Unexplained shortfall	**7,87,143**

Working 2: occupancy-in-progress at 31 March 2026

Guests	Rooms × unbilled nights × tariff	Amount (₹)
Corporate block (28–31 March)	12 × 4 × 4,800	2,30,400
Six rooms (30–31 March)	6 × 2 × 5,500	66,000
Wedding party (31 March)	20 × 1 × 4,200	84,000
Long-stay suite (24–31 March)	1 × 8 × 9,000	72,000
Occupancy-in-progress		**4,52,400**

Relevant provision. In a hotel the auditor should obtain the regular trading accounts for each sales point, examine them and obtain explanations for any apparent deviations in the profit percentages. Where internal control is weak, the auditor must rely to a very large extent on the gross margin shown by the accounts; the scope of the audit tests is increased and, if a material margin discrepancy remains unexplained, the auditor will have to consider qualifying the report. The auditor should also ensure that a proper valuation of occupancy-in-progress at the balance sheet date is made and included in the accounts.

Facts of the case. The fourth-quarter gross profit is 56.81% against a normal 65%; after the approved scheme, ₹7,87,143 of expected sales is unexplained, above materiality of ₹6,00,000. Room revenue of ₹4,52,400 earned up to 31 March 2026 is not recorded.

Analysis. The deviation points to pilfering, unrecorded sales or unauthorised free drinks. The auditor should extend the tests: bar bills with K.O.T.s or the basic record, the bar store's movement records and key custody, pricing, and the year-end stock-taking. The unrecorded occupancy breaks the accrual basis: revenue and receivables are understated by ₹4,52,400, not material alone but to be corrected and aggregated with other misstatements.

Conclusion. Iyer & Associates should ask management to include occupancy-in-progress of ₹4,52,400 in the 2025-26 accounts. If, after the extended tests, a material margin discrepancy (here ₹7,87,143) still cannot be explained, they should consider qualifying the report under SA 705, after communicating the matter to those charged with governance.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson, these four entities were examined in 13 new-scheme documents (May 2024 to September 2026):

- **Educational institutions.** Verification of fees from students: January 2025 Q6(a) (5 marks; the Suggested Answer is points (B)1–7 verbatim), MTP January 2026 Series II Q5(c) (4 marks, a college whose fee register and counterfoils were not checked), MTP September 2025 Series II Q5(a) (5 marks), MTP May 2024 Series II Q5(c) (3 marks, concessions). An educational society's tax refunds and separate fund statements: MTP September 2026 Series II MCQ 10.
- **Hospitals.** "Special steps or audit procedures": MTP September 2025 Series I Q3(a) (5 marks) and MTP May 2026 Series II Q3(c) (4 marks), both answered with all 13 points under their headings.
- **Clubs.** Income and expenditure items: MTP January 2025 Series I Q3(b) (5 marks). Irrecoverable member dues and margins earned: September 2026 Q5(b)(i)–(ii) (1 mark each; answers not yet published).
- **Hotels.** Room sales and hall bookings: September 2026 Q5(b)(iii) (3 marks). Inventories of food and beverages: MTP May 2024 Series I Q5(c) (3 marks), RTP January 2026 Q18. Pilfering and internal control: RTP May 2024 Q20. A gift shop using the hotel's amenities: MTP May 2025 Series II Q3(a) (5 marks). Four MCQs on one hotel case (K.O.T.s, unexplained margins, unauthorised discounts, missing housekeeping reports): MTP May 2026 Series II MCQs 4–7 (2 marks each).

Old-scheme papers asked the same lists: a club's receipts (January 2021), a school's assets and liabilities (July 2021), a trust hospital (May 2022), a children's hospital (November 2019).

In the exam

How the marks are earned

The Suggested Answers reproduce the Study Material's points under its headings ("Register of Patients", "Margins earned", "Room Sales & Hall Bookings"). Case questions are marked for applying the right point to each fact. The MCQs test judgment: an unexplained material margin discrepancy leads to wider tests and possibly a qualification, not to reliance on management's explanation.

Trick

The three leaks

For any of these entities, write the points in three bunches if memory fails: **who should pay vs who paid** (registers, counterfoils, Cash Book), **who allowed the difference** (concessions, sanctions, secretary's powers, rates), **what walks away** (inventories, stores, cash). Condition: in a "state the special steps" question still use the Study Material's headings and order where you can; the bunches are a memory aid, not a substitute for the list.

Answer frame

"State the special steps in the audit of a hospital (club, school, hotel)"

1. One opening line: "The special steps involved in the audit of a ... are the following:".
2. The Study Material's points **under its headings, in its order** (for a school, group them under (A) General to (F) Compliances).
3. For the marks available, give about one point per mark, each with its heading and the record it is checked with.

A case on one of these entities

1. **Relevant provision**: the special step that fits each fact, in the Study Material's words.
2. **Facts of the case**: the facts and figures that decide it.
3. **Analysis**: is the treatment in line with the step, the constitution or the Managing Committee's decision? Quantify the effect if the question gives numbers.
4. **Conclusion**: what the auditor should do (verify, ask for correction, report to the Managing Committee, mention in the audit report, consider qualifying).

Three answers to "verify fees from students" (5 marks)

Loses marks

"Check the fee register and the cash book and see that all fees are received."

One vague point; no class registers, no concessions, no admission fees, no caution money.

Passes

Class Registers vs Fee Register; counterfoils vs Cash Book; concessions authorised.

Three correct points, but four of ICAI's seven are missing.

Full marks

All seven points of (B) in order: demands vs Class Registers, counterfoils vs Cash Book, register totals (advance, arrears), admission fees to Capital fund, concessions, fines, hostel dues before caution money refund.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the caution money that became income

Bunty sees years of unclaimed caution money and calls it "obviously income". **Fix:** caution money and deposits paid on admission are a liability, not revenue, **unless they are not refundable** (SM 9.45). Check the rules before you transfer a rupee.

⚠ **Common mistake**

Admission fees always go to Capital fund

Half of it is right. **Fix:** the auditor confirms the credit to a Capital fund **unless the Managing Committee has taken a decision to the contrary** (SM 9.44). A case that mentions a Committee resolution is testing exactly that exception.

⚠ **Common mistake**

Trusting the margin explanation

Writing "management explained the fall in gross profit, so no action" in a hotel case. **Fix:** where controls are weak the gross margin is the auditor's main evidence; increase the scope of tests and, if a material discrepancy stays unexplained, consider qualifying (SM 9.56).

⚠ **Common mistake**

Mixing up the lists

Writing "free studentship" in a club answer or "secretary's powers" in a hospital answer. **Fix:** learn each list with its own headings: the club has the secretary's powers and members' accounts; the hospital has the patients' register, budgets and the management certificate; the school has fees, caution money and separate funds; the hotel has K.O.T.s, room sales and occupancy-in-progress.

Practice

Check yourself

1 Case scenario. Iyer & Associates audit Narmada Seva Hospital, run by a trust. The trustees approved a pharmacy budget of ₹40 lakh for 2025-26; actual pharmacy purchases were ₹52.8 lakh. The excess was approved by the medical superintendent, and the purchases are properly vouched. What does the Study Material require the auditor to do about the budget?

- A Nothing, because the purchases are vouched and budgets are only internal documents
- B Qualify the opinion, because expenditure exceeded the budget
- C Compare income and expenditure with the budget and report significant variations, such as this 32% excess, to the Trustees or the Managing Committee
- D Report the variation to the Registrar of Companies

2 Ujjain Public School's Class Registers show 1,240 students on rolls for July 2025, of whom 60 hold authorised free studentships and 35 hold authorised half-fee concessions. The monthly fee is ₹2,400. The Students Fee Register shows a demand of ₹27,42,000 for July. By how many rupees is the demand short of what should have been raised?

Answer: _____

3 Rajwada Residency's housekeeper prepares a daily report of rooms occupied the previous night but throws it away after a week. What should the auditor do?

- **A** Ignore it, since the guest register is enough evidence
- **B** Ensure that a sufficient number of reports are available to test with the guest register and with individual guest bills
- **C** Ask the housekeeper for a written representation instead
- **D** Treat room revenue as unverifiable and disclaim an opinion

4 Which of the following are special steps in the audit of a club? Select all that apply.

- **A** Examine the financial powers of the secretary and report any excess for confirmation by the Managing Committee
- **B** Trace debits from subsidiary registers to confirm that every member's account has been debited with the amounts recoverable
- **C** See that free studentships have been granted by an authorised person
- **D** Mention the amount of members' dues considered irrecoverable in the audit report

More than one answer may be right.

5 During the year the hotel replaced curtains and repainted 20 rooms (₹9 lakh) and added a new banquet floor (₹2.1 crore). How should these be treated?

- **A** Both capitalised, since both improve the hotel
- **B** Both charged to revenue
- **C** The repainting and curtains as revenue expenditure; the banquet floor capitalised
- **D** The repainting capitalised; the banquet floor deferred

Answers: the answer key at the end of this lesson.

Recap

- Read the constitution first: the Trust Deed or Regulations (an Act of Legislature for a university), bye-laws and the Managing Committee's minutes decide what is allowed.
- School: Fee Register vs Class Registers, counterfoils vs Cash Book, concessions and fines under authority, admission fees to Capital fund unless the Committee decides otherwise.
- School: caution money is a liability unless not refundable; prize endowment income above the prizes is added to the corpus; claim tax refunds; separate statements for each fund.

- Hospital: patients' register vs bills and attendance record, specific-purpose donations applied as agreed, capital expenditure only with prior sanction of the Trustees, budget variations reported, management certificate.
- Club: reconcile subscriptions due, collected and outstanding; adjust arrears and advances; every member's account debited; secretary's excess powers reported; irrecoverable dues mentioned in the report.
- Hotel: pilfering is the big risk; weekly trading accounts per sales point; K.O.T.s; room rates vs standard rate; housekeeper's reports kept; occupancy-in-progress accrued.
- Hotel: an unexplained material margin discrepancy means wider tests and possibly a qualified report. (The bar never drinks its own margin, but somebody does.)

Answer key · Check yourself

1 **C Compare income and expenditure with the budget and report significant variations, such as this 32% excess, to the Trustees or the Managing Committee**

The hospital list's "Budgets" step: report significant variations to the Trustees or the Managing Committee. A vouched over-budget expense is not a misstatement, so it is no ground for qualification by itself.

2 **48000**

Demand due = (1,240 − 60) × 2,400 − 35 × 1,200 = 28,32,000 − 42,000 = ₹27,90,000. Short by 27,90,000 − 27,42,000 = ₹48,000, which is twenty students' full fee: the auditor checks the names in the Fee Register with the Class Registers to find them.

3 **B Ensure that a sufficient number of reports are available to test with the guest register and with individual guest bills**

The report tends not to be kept permanently, so the auditor ensures enough reports are available to test with the guest register and the guest bills. A disclaimer is far beyond what one missing record calls for.

4 **A Examine the financial powers of the secretary and report any excess for confirmation by the Managing Committee; B Trace debits from subsidiary registers to confirm that every member's account has been debited with the amounts recoverable; D Mention the amount of members' dues considered irrecoverable in the audit report**

Free studentship is in the school's list; the other three are the club's "Management Powers", "Member Accounts" and "Irrecoverable Member Dues".

5 **C The repainting and curtains as revenue expenditure; the banquet floor capitalised**

Costs of repairs and minor renovation and redecoration are revenue expenditure; costs of major alterations and additions to the hotel building and facilities are capitalised (SM 9.58).

9.5 Sole traders, partnership firms, LLPs and co-operative societies

Who appoints the auditor and decides the scope, and what is specially examined, in the audit of a sole trader, a partnership firm, an LLP and a co-operative or multi-state co-operative society.

In plain words

Four suppliers, four rulebooks

Kesar's cousin Dolly runs Dolly Packaging as a **sole trader**. The kulhads come from Mehra Brothers, a **partnership firm** of Kesar's uncles. The clay-cup moulds come from Kulhad Kraft LLP, a **limited liability partnership**. The milk comes from Malwa Dugdh Utpadak Sahakari Sanstha, a dairy **co-operative society** of 3,000 farmers. All four want Iyer & Associates.

> **Bunty:** Ma'am, Dolly ji says audit only the bank account and skip the stock.
>
> **Lakshmi:** She may, Bunty: the law does not make her get an audit. Get it in writing.
>
> **Bunty:** And can the dairy tell us what to skip?
>
> **Lakshmi:** No. The Registrar appoints its auditor, and the auditor reports to him.

As you move from the sole trader to the co-operative, **the client decides less and the law decides more**:

- A **sole trader** need not be audited at all; if she wants an audit, she sets its scope, so the scope must be written down.
- A **partnership firm** is audited because the partners or the deed say so. The deed is the rulebook, and the auditor protects every partner, especially the one who does not run the business.
- An **LLP** must be audited under the LLP law unless it is below the size limits; the designated partners appoint the auditor by set dates, and two returns go to the Registrar of Companies each year.
- A **co-operative society**'s auditor is appointed by the **Registrar of Co-operative Societies**, reports to him, tests obedience to the Co-operative Act (shares, loans, borrowings, investments, profits), classifies overdue debts and awards an audit class. Only a chartered accountant may audit a **multi-state** co-operative.

Think of it like

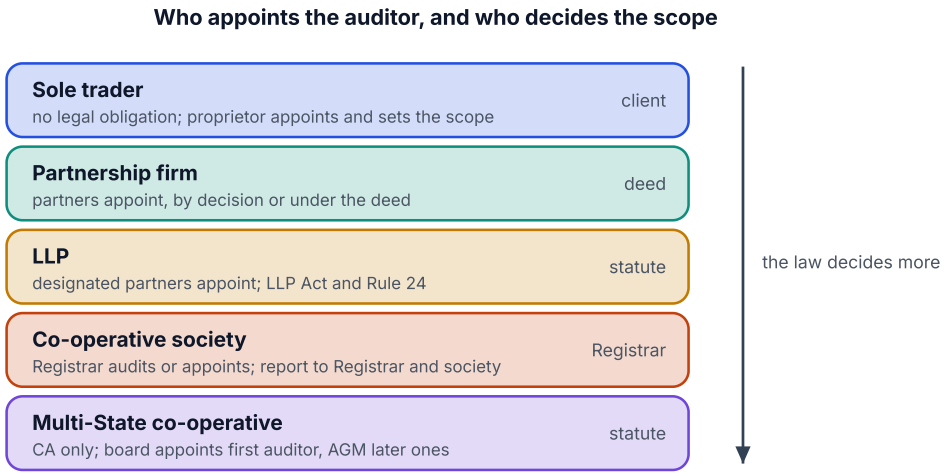
Who sends the umpire

Gully cricket: you pick the umpire and decide which rules count. A club match: the club rulebook binds both sides, and the umpire checks nobody's prize share was cheated. A league match: above a certain level an umpire must be appointed in time, and the scorecard filed by a deadline. A State-association match: the association sends the umpire, and he reports to it, not to the captain.

Key idea

The further from a sole trader, the less the client decides: a proprietor sets the scope (so write it down), a firm's deed governs, the LLP Act and Rules fix an LLP's audit and dates, and the Registrar appoints a co-operative's auditor, who reports to him.

How it works



Top to bottom: the client's say over the audit shrinks and the statute's grows (SM 9.32–9.38, 9.60, 9.69).

1. Sole trader

A sole trader is under **no legal obligation** to have the accounts audited. Many get them audited because of regulatory requirements (for example inventory brokers) or on the specific instructions of a bank for approval of loans (SM 9.32).

- **Appointment**: the auditor is appointed by the sole proprietor; on a change of auditor, the incoming auditor must communicate with the previous auditor.
- **Scope**: the proprietor determines the scope and conditions: for example, only a **partial audit**, certain parts of the accounts left unchecked, the auditor also to **prepare the final statements**, or a **continuous or year-end** audit.
- So the appointment should be **in writing** and clearly define the scope, to prevent misunderstanding. If it is not, the auditor should **write to the client** explaining the scope of duties and stating the limitations on the work, to obtain the client's confirmation (SM 9.33; see terms of audit engagements).

A partnership audit's advantages and procedure apply equally to a proprietorship (SM 9.33).

2. Partnership firm

Appointment. Usually by the partners, by their decision or under a condition in the partnership agreement; they fix the remuneration. The letter of appointment should clearly state the nature and scope of the audit and any limitations; an incoming auditor communicates with the previous auditor (SM 9.33).

Accounting standards. The auditor may particularly ensure the application of the accounting standards prescribed by ICAI. Where the firm must get its accounts audited under a statute, the auditor will have to **qualify the report** for non-compliance with the accounting standards; alternatively, the Study Material says, disclosure of the non-compliance alone would be sufficient, without a qualification (SM 9.33–9.34).

Before starting, examine the partnership agreement for these matters (SM 9.34–9.35):

	Matter in the partnership agreement
1	Name and style of the business
2	Duration of the partnership, if agreed
3	Capital of each partner: fixed or variable
4	Accounting period; profit-sharing and loss-bearing ratios; any partner exempt from losses
5	Books of account; what is deducted before divisible profit (reserves, depreciation); period for reopening accounts for a manifest error
6	Borrowing capacity (when not implied, as in non-trading firms)
7	Interest on capitals and loans; interest on drawings and current accounts
8	Partners' salaries; drawings against shares of profit, and their extent
9	Partners' management duties; the managing partners
10	Who operates the bank account; investment of surplus funds
11	Agreed limits on partners' rights and powers, and on their implied authority to pledge the firm's credit or render it liable

Advantages of audit of a partnership firm (SM 9.35):

1. **Disputes**: a reliable means of settling accounts between partners; usually binding on them unless a manifest error comes to light within a specified period.
2. **Dissolution**: on retirement or death, reliable evidence for the amount due for capital, profits and goodwill.
3. **Reliable**: relied on by banks when lending and by prospective purchasers.
4. **Admission**: help negotiations to admit a partner, especially for several past years.
5. **Control**: a safeguard against undue advantage taken by a working partner, especially for partners not active in the firm.

Matters specially considered in the audit of a partnership (SM 9.35–9.36):

1. **Letter of Appointment**: signed by a partner duly authorised, clearly stating the nature and scope of audit and any limitation.
2. **Partnership Documents**: the minute book, especially minutes authorising extraordinary and capital expenditure, raising of loans, purchase of assets and extraordinary contracts.

3. **Objects of Partnership**: the business carried on is authorised by the partnership agreement, or by an extension or modification agreed later.
4. **Books of Account**: reasonable and adequate for the nature of the business.
5. **Mutual Interest**: the interest of no partner has suffered prejudicially by an activity the firm was not authorised to do under the deed, or by any violation of the agreement.
6. **Provision for Taxes**: the firm's tax is provided for before arriving at the profit divisible among partners.
7. **Division of Profits**: profits and losses are divided in the agreed profit-sharing ratio.

The object of examining the agreement is that the auditor may **report to the partners** if any partner's interest has been prejudicially affected (SM 9.36). When partners change during the year, profits up to the retirement date follow the old terms and later profits the new deed (SM 9.92).

3. Limited liability partnership (LLP)

An LLP is governed by the **Limited Liability Partnership Act, 2008**. It combines the advantages of the company and partnership forms. At least **2 partners** can form an LLP, and at least two must be **designated partners**, who take a **DPIN** (Designated Partner Identification Number); partners' rights and duties are governed by agreement between them (SM 9.37).

> **Definition**
>
> **Small Limited Liability Partnership**
>
> An LLP (a) whose contribution does not exceed twenty-five lakh rupees (₹25,00,000) or such higher amount, not exceeding five crore rupees, as may be prescribed; and (b) whose turnover, as per the Statement of Accounts and Solvency for the immediately preceding financial year, does not exceed forty lakh rupees (₹40,00,000) or such higher amount, not exceeding fifty crore rupees, as may be prescribed (SM 9.37). The audit provisions do not apply to a small LLP, whose financial statements can be signed by the designated partners alone (SM 9.90).

Books of account. An LLP must maintain annual accounts reflecting a true and fair view, with books containing (SM 9.37): (1) particulars of all sums received and expended and the matters to which they relate; (2) a record of assets and liabilities; (3) statements of cost of goods purchased, inventories, work-in-progress, finished goods and cost of goods sold; (4) any other particulars the partners decide.

Audit. The accounts of every LLP shall be audited in accordance with **Rule 24 of the LLP Rules, 2009**. The rule provides that any LLP whose turnover does not exceed, in any financial year, **forty lakh rupees**, or whose contribution does not exceed **twenty-five lakh rupees**, is not required to get its accounts audited; but if its partners decide to get them audited, the audit shall be only in accordance with the rule (SM 9.37).

⚠ **Careful**

One rule, two readings

As the Study Material words Rule 24 (SM 9.37, 9.89–9.90), an LLP is exempt when its turnover **or** its contribution is within the limit. ICAI's MTP January 2025 Series II MCQ 5 keyed the other reading: an LLP "is always required to conduct an audit if either the turnover exceeds ₹40 lakhs or the capital contribution exceeds ₹25 lakhs", so it is exempt only when **both** are within (as for a small LLP). No other ICAI question read decides between the two. With one figure above its limit and one within, quote the rule and state your reading. Verify the limits against the Study Material and Statutory Update for your attempt.

Advantages of an LLP audit (SM 9.38): (1) **detection of errors** and frauds and verification of the financial statements; (2) settling **disputes** between partners; (3) **reliability**: banks and financial institutions lend on audited accounts; (4) **better compliance and management** from the auditor's visits and suggestions; (5) **reconstitution**: settling accounts on admission, death, retirement, insolvency, insanity, etc.

Returns (SM 9.38): the **annual return in Form 11** is filed with the ROC **within 60 days of the close of the financial year** (open to public inspection on payment of fees); the **Statement of Account and Solvency in Form 8** is filed **within thirty days from the end of six months** of the financial year to which it relates.

Appointment of auditor by the **designated partners** (SM 9.38): (1) at any time for the first financial year, but before the end of that year; (2) at least **thirty days before the end** of each later financial year; (3) to fill a casual vacancy; (4) to fill a casual vacancy caused by removal. The **partners** may appoint the auditor if the designated partners have failed to.

An LLP's year: financial year 2025-26

Event	Rule	Last date
Financial year ends		31 March 2026
Form 11: annual return	within 60 days of the close of the year	30 May 2026
Form 8: Statement of Account and Solvency	within 30 days from the end of six months	30 October 2026
Auditor for 2026-27 appointed	at least 30 days before that year ends	1 March 2027

Dates counted from the Study Material's periods (SM 9.38): 60 days after 31 March is 30 May; six months end on 30 September, plus 30 days is 30 October; 30 days before 31 March 2027 is 1 March.

Auditor's duty regarding audit of an LLP (SM 9.39):

1. **Engagement Letter**: definite instructions in writing as to the work to be performed.
2. **Minutes Book**: refer to any resolution on the accounts, if partners maintain one.
3. **LLP Agreement**: note (a) nature of the business; (b) capital contributed by each partner; (c) interest on additional capital contributed; (d) duration of partnership; (e) drawings allowed; (f) salaries, commission etc. payable to partners; (g) borrowing powers; (h) rights and duties of

partners; (i) method of settling accounts on admission, retirement, etc.; (j) loans advanced by partners; (k) profit-sharing ratio.

4. **Reporting**: mention (a) whether the records appear correct and reliable; (b) whether all information and explanations necessary were obtained; (c) whether any restriction was imposed.

4. Co-operative societies

A co-operative is "an autonomous association of persons united voluntarily to meet their common economic, social, and cultural needs and aspirations through a jointly-owned enterprise". The **Co-operative Societies Act, 1912**, a Central Act, contains the fundamental law and applies in many States with or without amendments; States such as Maharashtra, West Bengal and Orissa have their own Acts, so the auditor must know the Act governing the society. A chartered accountant can also offer (1) guidance in accounts writing, (2) installation of the accounting system, (3) internal audit, (4) management accounting services and (5) taxation (SM 9.59).

Section 17 of the 1912 Act (SM 9.60): (1) the **Registrar shall audit or cause to be audited**, by a person authorised by him by general or special order in writing, the accounts of every registered society **at least once every year**; (2) the audit shall include an **examination of overdue debts**, if any, and a **valuation of the assets and liabilities**; (3) the Registrar, the Collector or a person authorised by the Registrar shall at all times have access to all books, accounts, papers and securities, and every officer shall furnish the information required.

Points to keep in mind (SM 9.60–9.64):

1. **Qualifications**: besides a chartered accountant, some State Acts permit holders of a government diploma in co-operative accounts (or co-operation and accountancy) and persons who served as auditors in the government's co-operative department.
2. **Appointment**: by the **Registrar**; the auditor audits on the Registrar's behalf and reports to him and to the society. The society pays fees on the **statutory scale prescribed by the Registrar** for its category.
3. **Books**: under **section 43(h)**, a **State Government** can frame rules prescribing the books. In Maharashtra the Registrar's instructions require records of (i) all sums received and expended and the matters to which they relate, (ii) all sales and purchases of goods, (iii) assets and liabilities. These are not conclusive: the society may keep more. A large society keeps subsidiary books whose daily totals go to the main Cash Book, for example (a) a daily cash sales summary register, (b) a register of collections from debtors where bye-laws allow credit sales, (c) a register of recovery of loans from salaries and directly from members (credit society), (d) a loan disbursement register (credit society), (e) other columnar subsidiaries.
4. **Shareholding (section 5)**: where members' liability is limited, no member other than a registered society may hold more than **20% of the total shares**, or shares of a value over **₹1,000**. The auditor watches for breaches, and for bye-laws contrary to this; State Acts may set other limits.
5. **Loans (section 29)**: a society shall **not lend to a non-member**; with the **special sanction of the Registrar**, it may lend to another registered society. The State Government may add restrictions.
6. **Borrowings (section 30)**: loans and deposits from **non-members** only subject to the restrictions and limits of the **bye-laws**.

7. **Investment of funds (section 32)**: only in (a) the Central or State Co-operative Bank; (b) securities specified in section 20 of the Indian Trusts Act, 1882; (c) shares, securities, bonds or debentures of another society with limited liability; (d) any other co-operative bank approved by the Registrar on specified terms; (e) any other mode permitted by the Central or State Government.
8. **Appropriation of profits (section 33)**: a **prescribed percentage** of profits goes to the **Reserve Fund** before any dividend or bonus.
9. **Charitable contributions (section 34)**: with the **Registrar's sanction**, up to **10% of the net profits remaining after the compulsory transfer to the reserve fund**, for a charitable purpose as defined in section 2 of the Charitable Endowments Act, 1890.
10. **Reserve Fund**: some State Acts allow it to be used (a) as working capital in the business, (b) invested as per the Act, (c) for public purposes likely to promote the society's objects; the auditor ensures strict compliance.
11. **Education Fund**: some State Acts require an annual contribution to the Education Fund of the State Federal Society; it is a charge on profits and not an appropriation.

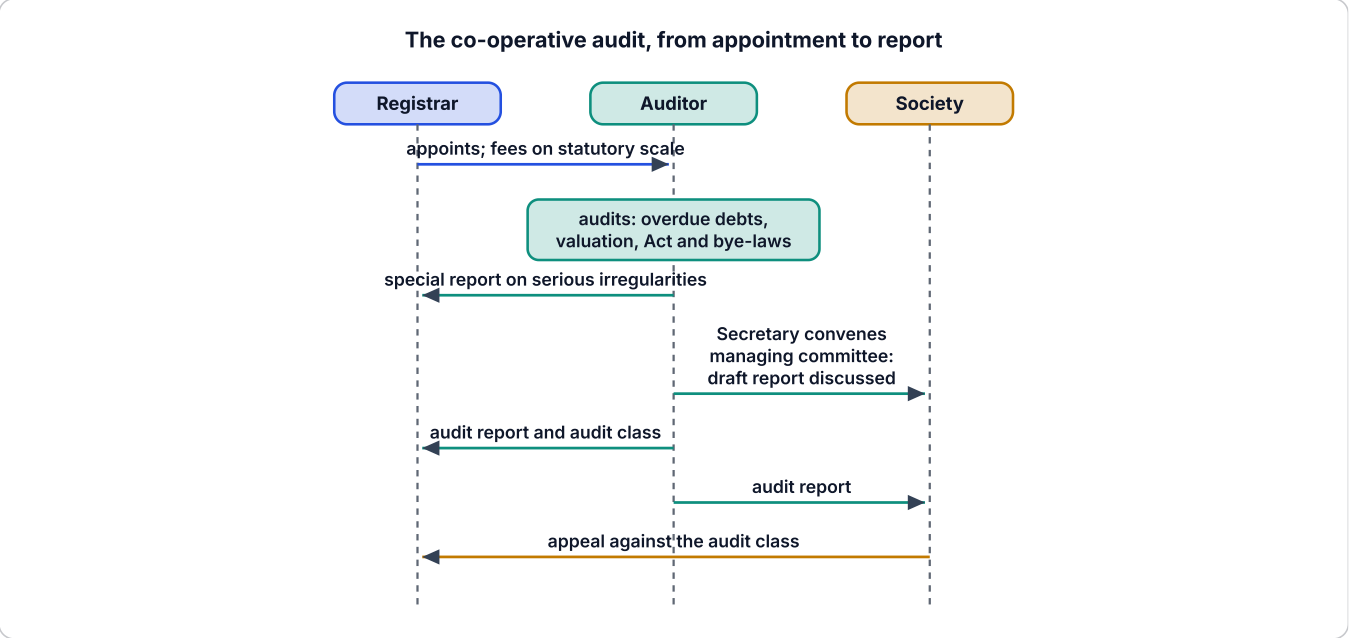
The **General Body**, the supreme authority, must approve appropriations (other reserves, dividends), and the **entries are passed after the date of its approval**: a departure from corporate practice, where proposed appropriations are booked subject to the AGM. Where a State Act calls transfers to a Dividend Equalisation Reserve or Share Capital Redemption Fund "charges", the auditor points out that under generally accepted accounting principles they are appropriations (SM 9.63–9.64).

Special features of co-operative audit (SM 9.64–9.67):

1. **Examination of overdue debts**: classify overdue debts for **6 months to 5 years** and **more than 5 years** and report them; analyse their chances of recovery as good or bad; see that provision for doubtful debts is adequate.
2. **Overdue interest**: exclude it from interest outstanding and accrued while calculating profit; in practice an **overdue interest reserve** is created.
3. **Certification of bad debts**: under the Maharashtra State Co-operative Rules, 1961, bad debts can be written off only when **certified as bad by the auditor**; where no such requirement exists, the **managing committee** must authorise the write-off.
4. **Valuation of assets and liabilities**: no specific provisions, so general principles apply: existence, ownership and valuation; fixed assets at cost less adequate depreciation (incidental and installation costs capitalised; a note of present market value where the difference is significant); current assets at the lower of cost and market price; all known liabilities brought in; contingent liabilities by note.
5. **Adherence to co-operative principles**: how far the objects have been achieved, judged by benefits to members rather than profit; expenses economically incurred, middlemen's commission avoided; the principles of propriety audit are followed.
6. **Observation of the Act and Rules**: point out and report infringements of the Act, Rules and bye-laws, assessing their financial implications; note restrictions on dividends.
7. **Members' Register and pass books**: examine loan entries in members' pass books and confirm balances in person, on a test basis; a safeguard, especially in rural credit societies whose members

may not be literate.

8. **Special report to the Registrar** on serious irregularities, for example: (i) personal profiteering by managing committee members detrimental to the society; (ii) fraud in expenses, purchases, property and stores; (iii) specific mismanagement, decisions against co-operative principles; (iv) in urban co-operative banks, disproportionate advances to vested interests such as relatives of management, negligent recovery, and reckless advancing without adequate security.
9. **Audit classification**: the auditor awards the society a class on criteria specified by the Registrar; the management may **appeal to the Registrar**, who may direct a review.
10. **Discussion of draft audit report**: the auditor asks the **Secretary** to convene a **managing committee** meeting; the report is never finalised without this discussion; minor irregularities are rectified, policy matters discussed.



5. Multi-State co-operative societies

The **Multi-State Co-operative Societies Act, 2002** (in force from August 2002) applies to co-operative societies whose objects are not confined to one State; their funds cannot be used for any political purpose. Under the Multi-State Co-operative Society Rules, 2002, books are kept of (a) all sums received and expended and the matters concerned; (b) all sales and purchases of goods; (c) assets and liabilities; (d) for a society in production, processing and manufacturing, the utilisation of materials, labour and other items of cost as specified in its bye-laws (SM 9.67–9.68).

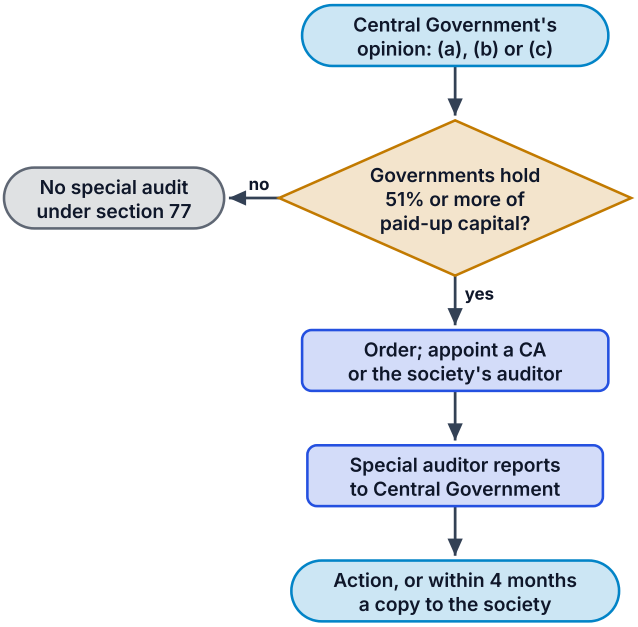
- **Qualification (section 72)**: **only a chartered accountant** within the Chartered Accountants Act, 1949. Not eligible: (a) a body corporate; (b) an officer or employee of the society; (c) a person who is a member, or in the employment, of an officer or employee of the society; (d) a person indebted to the society, or who has given a guarantee or security for a third person's debt to it, for **more than one thousand rupees**. An auditor who becomes disqualified after appointment is **deemed to have vacated** office (SM 9.68–9.69).
- **Appointment (section 70)**: the **first auditor** by the **board within one month of registration**, holding office until the conclusion of the first AGM; if the board fails, the society in general

meeting appoints. **Subsequent auditors** are appointed at each AGM, from its conclusion to the conclusion of the next (SM 9.69).

- **Powers and duties (section 73)**: access at all times to books, accounts and vouchers, at the head office or elsewhere, and the right to require information and explanations. The auditor inquires (a) whether loans and advances on security are properly secured and on terms not prejudicial to the society or its members; (b) whether transactions represented merely by book entries are not prejudicial; (c) whether personal expenses have been charged to revenue account; (d) where shares are stated to be allotted for cash, whether cash was actually received, and if not, whether the books and balance sheet are correct, regular and not misleading (SM 9.69–9.70).
- **Report (section 73(3)–(4))**: to the **members**, on the accounts and every balance sheet, profit and loss account and annexed document laid before the general meeting, stating whether they give the information required by the Act and a true and fair view of the state of affairs at the year end and of the profit or loss for the year. It also states whether (i) all information and explanations were obtained; (ii) proper books were kept and proper returns received from branches not visited; (iii) the report on any branch audited by another person was forwarded and how it was dealt with; (iv) the balance sheet and profit and loss account agree with the books and returns. Any negative or qualified answer must give reasons (SM 9.70–9.71).

Special audit (section 77) (SM 9.71–9.72):

When the Central Government can order a special audit



(a) affairs not managed in accordance with self-help and mutual aid and co-operative principles, prudent commercial practices or sound business principles; (b) managed in a manner likely to cause serious injury to the trade, industry or business concerned; (c) financial position such as to endanger its solvency. The Study Material prints "mutual deed" in (a); ICAI's MTP May 2026 answer writes "mutual aid". The 51% is held by the Central Government, the State Government, or both. With no action within four months, the copy or extract goes to the society to circulate or read at its next general meeting.

The special auditor has the powers and duties of a section 73 auditor but reports to the **Central Government**, including all section 73 matters and anything the Government directs. The expenses, including the special auditor's remuneration, are determined by the Central Government (final) and paid by the society; in default of payment they are recoverable from it as an **arrear of land revenue** (SM 9.72).

Inquiry (section 78) and inspection (section 79) by the Central Registrar, both into the constitution, working and financial condition of the society (SM 9.72–9.74):

Point	Inquiry, section 78	Inspection, section 79
On request of	A federal co-operative to which it is affiliated; a creditor; not less than one-third of the board; or not less than one-fifth of the members	The same
Notice to the society	Fifteen days	Not less than fifteen days
Powers	Free access to books, cash and property, and summon their custodians; require a general meeting on at least seven days' notice, or call it; summon and examine persons on oath	Access to books, papers, vouchers, securities, stock; take them into custody on serious irregularities; verify cash; call a general meeting if necessary; officers and members must furnish information
Report	Within three months of its receipt, to the society, its affiliated financial institutions and the person at whose instance it was held	Copy to the society within three months of completing the inspection

⚠ **Careful**

Version-sensitive

Section numbers, limits and procedures are as the Study Material states them (SM 9.60–9.74). Verify against the Study Material and Statutory Update for your attempt.

Worked examples

Worked example **Mehra Brothers changes its partners**

Mehra Brothers had partners A, B and C sharing profits 3:2:1. C, a sleeping partner, retired on 30 September 2025, and D joined on 1 October 2025; the new deed shares profits among A, B and D in the ratio 2:2:1. Both deeds forbid a partner to pledge the firm's credit without the consent of all partners. The profit for 2025-26, after providing for the firm's tax, is ₹36,00,000, earned evenly through the year. The accountant has divided the whole ₹36,00,000 in the new ratio. In January 2026, A signed a guarantee of ₹40,00,000 on the firm's behalf for a bank loan to his son's company, without asking B or D. The engagement letter was signed by A's son, the office manager, who is not a partner.

Required: compute the correct division of profit and comment on the matters the auditor should consider.

MODEL ANSWER

Division of profit for 2025-26

Partner	1 April to 30 September (3:2:1) ₹	1 October to 31 March (2:2:1) ₹	Correct share ₹	As divided ₹
A	9,00,000	7,20,000	16,20,000	14,40,000
B	6,00,000	7,20,000	13,20,000	14,40,000
C	3,00,000	—	3,00,000	—
D	—	3,60,000	3,60,000	7,20,000
Total	**18,00,000**	**18,00,000**	**36,00,000**	**36,00,000**

Change in constitution. The auditor considers the retirement deed and partnership deed for the dates, and ensures that profits up to retirement are distributed under the old terms and profits after it as per the new deed. The new-ratio division denies C ₹3,00,000 and A ₹1,80,000 and overpays B ₹1,20,000 and D ₹3,60,000; it must be corrected.

Guarantee by A. The auditor must verify that the interest of no partner has suffered prejudicially by an activity the firm was not authorised to do or by any violation of a provision of the partnership agreement. A's guarantee breaches the deed's restriction on pledging the firm's credit and exposes B and D to a liability of up to ₹40,00,000. The auditor should see that it is disclosed as a contingent liability and report the violation to the partners.

Letter of appointment. The auditor should confirm that the letter of appointment is signed by a partner duly authorised and clearly states the nature and scope of the audit and any limitation. A letter signed by a non-partner does not meet this; the auditor should obtain one signed by an authorised partner before proceeding.

Worked example **Kulhad Kraft LLP and the locked minute book**

Kulhad Kraft LLP, in its third financial year, makes Tapri's clay-cup moulds. For 2025-26 its contribution is ₹30,00,000 and its turnover ₹1.6 crore. On 20 February 2026 the designated partners appointed CA Neha Joshi as auditor; the engagement letter, signed by designated partner Arjun, says: "Audit sales and bank only. Partners' accounts are a private matter." The LLP agreement allows interest at 9% a year on additional capital contributed, drawings of up to ₹50,000 a month per partner, and interest at 12% a year on loans advanced by partners. Neha finds:

(i) Partner Bela contributed additional capital of ₹10,00,000 on 1 October 2025; no interest has been credited to her.

(ii) Arjun drew ₹9,00,000 during the year.

(iii) A loan of ₹5,00,000 advanced by partner Chetan on 1 April 2025 is shown as his capital, with no interest provided.

(iv) Arjun refuses to show her the partners' minute book.

Required: state whether the audit is compulsory and the appointment valid; quantify items (i) to (iii); advise CA Neha on her duties and her report.

MODEL ANSWER

Audit requirement. As per Rule 24 of the LLP Rules, 2009, the accounts of every LLP shall be audited; an LLP whose turnover does not exceed ₹40 lakh in any financial year, or whose contribution does not exceed ₹25 lakh, is not required to get them audited. Turnover of ₹1.6 crore and contribution of ₹30 lakh both exceed the limits, so the audit is compulsory on either reading of the rule.

Appointment. For a year other than the first, the designated partners appoint the auditor at least thirty days before the end of the financial year: for 2025-26, by 1 March 2026. The appointment on 20 February 2026 is valid.

Working: amounts under the LLP agreement

Item	Computation	Amount (₹)
(i) Interest due on Bela's additional capital	10,00,000 × 9% × 6/12	45,000
(ii) Drawings allowed to Arjun	50,000 × 12	6,00,000
(ii) Drawings in excess of the agreement	9,00,000 − 6,00,000	3,00,000
(iii) Interest due on Chetan's loan	5,00,000 × 12%	60,000

Engagement letter. The auditor should get definite instructions in writing as to the work to be performed. This letter excludes the partners' accounts; Neha should ask for written instructions without that limitation, and report any restriction that remains.

LLP agreement. The auditor reads the agreement and notes, among other provisions, each partner's capital, interest on additional capital, drawings allowed and loans advanced by partners. Against it: (i) interest of ₹45,000 must be credited to Bela; (ii) Arjun has drawn ₹3,00,000 more than the agreement allows, a breach to be brought to the partners' notice; (iii) Chetan's ₹5,00,000 is a loan, not capital, and must be shown as a loan with interest of ₹60,000 provided.

Minutes book. If partners maintain a minute book, the auditor refers to it for any resolution passed regarding the accounts; withholding it denies her that evidence.

Reporting. Her report should mention whether the records appear correct and reliable (not, until items (i) and (iii) are corrected), whether she obtained all the information and explanations necessary (no: the minute book was withheld) and whether any restriction was imposed on her (yes: the scope limitation and the refusal).

Worked example **The dairy's profit and its five problems**

Malwa Dugdh Utpadak Sahakari Sanstha is a dairy co-operative governed by the Co-operative Societies Act, 1912; its State's rules prescribe a transfer of 25% of profits to the Reserve Fund. The auditor appointed by the Registrar finds, for 2025-26:

(i) Net profit per the accounts is ₹48,00,000, after crediting ₹2,40,000 of interest on members' loans whose principal is overdue, and before a contribution of ₹1,20,000 to the Education Fund of the State Federal Society, which is shown as an appropriation.

(ii) The managing committee proposes ₹4,00,000 for flood relief, and the Registrar's sanction has been applied for.

(iii) ₹8,00,000 was lent to a dairy-equipment dealer who is not a member, without any sanction.

(iv) A dividend of 8% on share capital was entered as a liability on 31 March 2026; the General Body meets in September 2026.

(v) Members' loans of ₹30,80,000 are overdue: ₹18,50,000 for up to 6 months, ₹9,20,000 for 6 months to 5 years, ₹3,10,000 for more than 5 years.

Required: compute the correct profit, the transfer to the Reserve Fund and the maximum charitable contribution; comment on each item.

MODEL ANSWER

Working: profit and appropriations

Particulars	Amount (₹)
Net profit per accounts	48,00,000
Less: overdue interest wrongly credited	(2,40,000)
Less: Education Fund contribution (a charge)	(1,20,000)
Correct net profit	**44,40,000**
Transfer to Reserve Fund at 25%	11,10,000
Net profit remaining after the compulsory transfer	33,30,000
Maximum charitable contribution: 10% of ₹33,30,000	**3,33,000**

(i) Overdue interest and Education Fund. Overdue interest must be excluded from interest outstanding and accrued while calculating profit, and the Education Fund contribution is a charge on profits, not an appropriation. The section 33 Reserve Fund transfer, made before any dividend, is therefore ₹11,10,000.

(ii) Charitable contribution. Under section 34, a society may, with the sanction of the Registrar, contribute not more than 10% of the net profits remaining after the compulsory transfer to the reserve fund. ₹4,00,000 exceeds the maximum of ₹3,33,000 by ₹67,000, which even the Registrar's sanction cannot cover.

(iii) Loan to a non-member. Under section 29, a society shall not lend to any person other than a member (only to another registered society, with the Registrar's special sanction). The ₹8,00,000 loan infringes the Act; the auditor assesses its recoverability and reports the infringement and its financial implications, if serious in a special report to the Registrar.

(iv) Dividend. Appropriations of profit must be approved by the General Body, and the entries are passed after the date of its approval, unlike corporate practice. The 31 March 2026 entry, made before the September meeting, should be reversed and passed after approval.

(v) Overdue debts. ₹9,20,000 (6 months to 5 years) and ₹3,10,000 (more than 5 years) must be classified and reported, analysed as good or bad and adequately provided for; bad debts are written off

only when certified by the auditor where the law so requires, otherwise with the managing committee's authority.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson, these entities were examined in 16 new-scheme documents (May 2024 to September 2026):

- **Partnership firms.** Matters specially considered: RTP September 2025 Q18 (points (i)–(vii)).
- **LLPs.** Auditor's duty: September 2025 Q5(c) (4 marks). LLP agreement and reporting: MTP September 2024 Series II Q3(b) (5 marks). Thresholds, appointment timing, Form 11 and Form 8: MTP January 2025 Series I MCQs 5–9 and Series II MCQ 5. DPIN, ROC and Form 11: January 2026 MCQs 4–5. The incorrect LLP statement: January 2025 MCQ 13, keyed (B)/(C) (a small-LLP definition giving only the turnover limit, and Form 11 "within 30 days").
- **Co-operative societies.** Section 32 investments: January 2025 Q5(c) (4 marks). Section 34 charity limit: September 2024 MCQ 8. Special report to the Registrar: September 2024 Q4(d) (3 marks). Subsidiary books: May 2026 Q6(c) (4 marks), MTP January 2026 Series I Q5(a) (5 marks). Overdue debts: September 2026 MCQ 11. Shareholding and non-member borrowings: MTP January 2025 Series II Q3(b) (5 marks).
- **Multi-State societies.** Section 72(2) disqualifications: MTP September 2024 Series I Q5(c) (4 marks). Section 77 special audit: RTP September 2024 Q18, MTP May 2026 Series I Q5(c). Section 79 inspection: MTP May 2025 Series I Q2(b) (5 marks). Auditor's report: MTP May 2025 Series II Q5(a) (5 marks).

Old-scheme papers asked LLP returns and books, the Education Fund and the first multi-state auditor. No sole-trader question was found.

In the exam

How the marks are earned

Provisions earn marks with their section number and figures ("section 29", "more than one thousand rupees"). Case answers state the provision, apply it and conclude ("investment in blue-chip mutual funds is not permissible"). MCQs pick on numbers: 60 days vs 30 days.

Trick

Numbers that come in pairs

LLP: **25 lakh contribution, 40 lakh turnover**; Form **11 in 60 days**, Form **8 in 30 days after six months**; appoint **30 days before** year end. Co-op: **20% or ₹1,000** of shares; **10%** to charity after reserve. Multi-State: first auditor in **one month**; debt over **₹1,000** disqualifies; **51%** government capital for a special audit; **15 days'** notice; **one-third** of the board or **one-fifth** of members. Condition: the Study Material's figures for January 2027.

Answer frame

A case on a co-operative society or LLP

1. **Relevant provision**: the section and its words ("As per section 29 of the Co-operative Societies Act, 1912, ...").
2. **Facts of the case**: the figures or dates that decide it.
3. **Analysis**: compute where needed (the 10% cap, the deadline date); compare.
4. **Conclusion**: permissible or not; what the auditor does (report, special report to the Registrar, ask for correction, qualify).

"Auditor's duty regarding audit of an LLP" (4 marks)

The four heads in order, each with its content: engagement letter; minutes book; LLP agreement (a)–(k); reporting (records correct and reliable, information obtained, restrictions). ICAI's September 2025 answer is exactly these; an answer that stops at the agreement loses the reporting mark.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the sole trader must be audited

Bunty writes that a proprietor "needs an audit under law". **Fix:** a sole trader is under no legal obligation; the audit serves regulators or banks, and the proprietor sets the scope, so put it in writing (SM 9.32–9.33).

⚠ **Common mistake**

Charity before the reserve

Computing a co-operative's 10% charitable limit on the whole net profit. **Fix:** 10% of the net profits **remaining after the compulsory transfer to the reserve fund**, and only with the Registrar's sanction (SM 9.63).

⚠ **Common mistake**

AGM appoints the first multi-state auditor

Fix: the **board** appoints the first auditor within one month of registration; the general meeting does so only if the board fails, and the AGM appoints the subsequent auditors (SM 9.69, 9.90).

Practice

Check yourself

1 Case scenario. Narmada Kisan Multi-State Co-operative Society operates in three States. It has made large unsecured advances to directors' relatives, and its falling net worth threatens its solvency. The Central Government holds 30% and the State Governments 15% of its paid-up share capital. Can the Central Government order a special audit under section 77?

- **A** Yes, because its financial position endangers its solvency
- **B** Yes, but only on a request from one-fifth of the members
- **C** No, because the Central and State Governments together hold less than 51% of the paid-up share capital
- **D** No, because special audits are ordered only by the Central Registrar

2 A co-operative society's correct net profit is ₹26,00,000 and its rules prescribe a 20% transfer to the Reserve Fund. What is the maximum it may contribute to a charitable purpose with the Registrar's sanction?

Answer: _____

3 CA Farhan audits a multi-state co-operative society. In August he co-signs, as guarantor, his cousin's ₹50,000 loan from the society. What is the position?

- **A** He may continue, because the debt is his cousin's, not his own
- **B** He is deemed to have vacated office, having given a guarantee for a third person's debt to the society exceeding ₹1,000
- **C** He may continue until the next AGM removes him
- **D** He must only disclose the guarantee in his report

4 Which of the following are special features of co-operative audit? Select all that apply.

- **A** Classifying overdue debts for 6 months to 5 years and more than 5 years
- **B** Awarding an audit class on criteria specified by the Registrar
- **C** Obtaining the General Body's approval before the auditor signs the report
- **D** Discussing the draft audit report with the managing committee before finalising it

More than one answer may be right.

5 Rasoi Traders LLP's financial year ended on 31 March 2026. By which date must it file its Statement of Account and Solvency (Form 8)?

- **A** 30 May 2026
- **B** 30 September 2026
- **C** 30 October 2026
- **D** 31 December 2026

Answers: the answer key at the end of this lesson.

Recap

- Sole trader: no legal obligation to audit; the proprietor appoints and sets the scope, so the scope and limitations go in writing (or a letter to the client for confirmation).
- Partnership: partners appoint (decision or deed); study the deed's 11 matters; seven special matters; report if any partner's interest is prejudiced.
- LLP: audit under Rule 24 unless turnover ≤ ₹40 lakh or contribution ≤ ₹25 lakh (SM wording, though ICAI's MTP key reads it as audit if either is exceeded); designated partners appoint (first year before its end, later years 30 days before year end), partners if they fail.
- LLP returns: Form 11 within 60 days of year end; Form 8 within 30 days after six months; auditor's duty: engagement letter, minutes, agreement (a)–(k), reporting.
- Co-operative: Registrar audits or appoints (section 17); shares 20% or ₹1,000; loans only to members; section 32 investments only; reserve before dividend; charity ≤ 10% after reserve; Education Fund a charge.
- Co-operative audit: overdue debts (6 months–5 years, over 5 years), overdue interest out of profit, bad debts certified, special report to the Registrar, audit class, draft discussed with the managing committee.
- Multi-State: CA only; board appoints first auditor within a month; over ₹1,000 indebtedness disqualifies; section 77 special audit needs 51% government capital; inquiry and inspection on 15 days' notice. (The umpire is sent by the association, not chosen by the captain.)

Answer key · Check yourself

1 **C No, because the Central and State Governments together hold less than 51% of the paid-up share capital**

The section 77 circumstances exist, but a special audit needs the Central and/or State Government to hold 51% or more of the paid-up capital: here 30% + 15% = 45%. Members' requests start an inquiry or inspection, not a special audit.

2 **208000**

Reserve 20% × 26,00,000 = 5,20,000; remaining 20,80,000; 10% = ₹2,08,000. Taking 10% of the whole profit (₹2,60,000) is the classic mistake.

3 **B He is deemed to have vacated office, having given a guarantee for a third person's debt to the society exceeding ₹1,000**

Section 72(2)(d) disqualifies a guarantor of a third person's debt to the society above ₹1,000, and an auditor disqualified after appointment is deemed to have vacated office.

4 **A Classifying overdue debts for 6 months to 5 years and more than 5 years; B Awarding an audit class on criteria specified by the Registrar; D Discussing the draft audit report with the managing committee before finalising it**

The managing committee discusses the draft report; the General Body approves appropriations of profit, not the audit report.

5 **C 30 October 2026**

Form 8 is due within thirty days from the end of six months of the financial year: six months end on 30 September 2026, plus 30 days. 30 May 2026 is Form 11's deadline (60 days after the year end).

9.6 Cinemas and hire purchase and leasing companies

The special audit steps for a cinema (tickets, free passes, tax, film hire, advances to distributors) and for hire purchase and leasing companies (the agreements, the documents, finance versus operating lease).

In plain words

Popcorn, scooters and a fleet of vans

Tapri Tea runs kulhad cafés inside Rajmahal Cinemas, a three-screen multiplex in Indore, and pays the cinema a share of the café's takings. Its delivery boys ride scooters bought on **hire purchase** from Narmada Leasing & Hire Purchase Ltd, and its cold-chain vans are **leased** from the same company. Iyer & Associates audit both Rajmahal Cinemas and Narmada Leasing.

> **Bunty:** Ma'am, the cinema is easy. Tickets in, cash out. I will tie the Cash Book to the bank.
>
> **Lakshmi:** And how do you know the Cash Book holds every ticket, Bunty? Or that the "free" seats were free by permission?
>
> **Kesar:** *(from the café counter)* Lakshmi-ji, the leasing people want insurance copies for vans that are parked in my yard!
>
> **Lakshmi:** They own the vans, Kesar-ji. You only drive them.

A **cinema** sells one product, a seat for one show, mostly for cash. So the auditor's whole attention goes to the **ticket**: every person who walks into the hall must hold a printed, serially numbered ticket; at the end of every show the tickets sold must agree with the cash; free passes must be recorded and authorised; and the tax collected must agree with the tickets issued. The big payments go to **film distributors** under agreements, often with advances that must be adjusted once the film has run.

A **hire purchase** or **leasing company** owns goods that sit with someone else. With hire purchase, the hirer pays in instalments and the goods become his with the last one. With a lease, the lessee pays rent for the right to use the asset; in a **finance lease** that rent is really a way of financing the asset, in an **operating lease** it is plain rent. So the auditor reads the agreement, checks that instalments and rentals arrive on time, and sees that the paperwork protecting the owner (proposal form, invoice, acceptance letter, insurance) is on file.

Think of it like

The bus conductor's ticket rolls

A city-bus conductor carries rolls of serially numbered tickets, a separate roll for each fare, and a separate pad for monthly passes. At the end of the trip the depot clerk notes the first and last ticket numbers of each roll, multiplies by the fare and expects exactly that much cash. A staff pass is fine only if the depot issued it. A cinema's ticket control is that depot clerk's job, done for every show and every class of seat.

Key idea

In a cinema, revenue is proved through the tickets: serially numbered, bound, a separate series for each show, class and advance booking, kept in custody, agreed with cash at the end of each show, with free passes authorised and tax reconciled to tickets. In a hire purchase or leasing company, the agreement is the evidence: its terms, the regular receipt of instalments or rentals, the lessee's credit and the documents, and whether the lease is a finance lease or an operating lease.

How it works

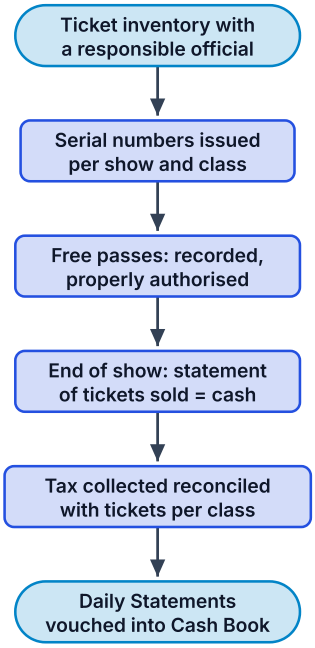
1. Cinemas

The special steps in the audit of a cinema are (SM 9.49–9.51):

1. **Verify the internal control mechanism**:
   - (a) entrance to the cinema hall during a show is **only through printed tickets**;
   - (b) they are **serially numbered** and bound into books;
   - (c) the numbers of tickets issued for each show and class are different, though the numbers of the same class for the show on the same day each week run serially;
   - (d) for **advance booking a separate series** of tickets is issued; and
   - (e) the **inventory of tickets** is kept in the custody of a responsible official.
2. Confirm that at the **end of each show** a statement of tickets sold is prepared and the **cash collected is agreed** with it.
3. Verify that a record is kept of the ‘free passes’ and that these are issued under proper authority.
4. **Reconcile the tax collected** with the total number of tickets issued for each class, and vouch and verify the **tax returns** filed each month.
5. Vouch the **Cash Book** entries for ticket sales of different shows with the **Daily Statements**, themselves test checked as above with the record of tickets issued.
6. Verify the charges collected for **advertisement slides and shorts** with the **Register of Slides and Shorts Exhibited** and the agreements with advertisers.
7. Vouch the expenditure on **advertisement, repairs and maintenance**. **No part of such expenditure should be capitalised.**
8. Confirm that **depreciation** on machinery and furniture has been charged at an appropriate rate.
9. Vouch payments of **film hire** with the distributors' bills, referring to the agreements concerned.
10. Examine the **unadjusted balance of advances paid to distributors** against film hire contracts to see that they are good and recoverable. If a film for which an advance was paid has **already run**, enquire why the advance has not been adjusted; ask management to **provide** for advances considered irrecoverable.
11. Enquire into the arrangement for collecting the cinema's **share of the restaurant income**: a fixed sum or a fixed percentage of the takings may be receivable annually. If the cinema runs the restaurant itself, check its accounts: sales and purchases of foodstuffs, cold drinks, etc., **as in the case of a club** (see clubs and hotels).

Where tickets are booked online, ICAI's suggested answer adds that the auditor verifies the **system for online booking** (MTP May 2024 Series I Q6(c)).

From the ticket to the Cash Book



Points 1 to 5 as one chain: each record is checked against the one before it, so a missing ticket, an unauthorised pass or unbanked cash shows up as a break in the chain.

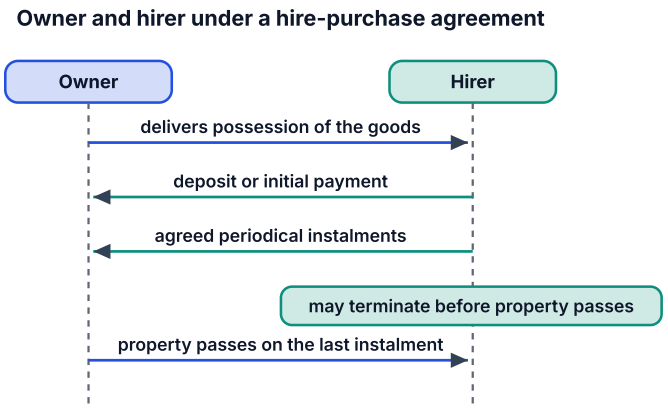
2. Hire purchase

Definition

Hire-purchase agreement

An agreement under which goods are let on hire and under which the hirer has an option to purchase them in accordance with the terms of the agreement, and includes an agreement under which (i) possession of goods is delivered by the owner to a person on condition that such person pays the agreed amount in **periodical instalments**; (ii) the **property in the goods is to pass** to such person on the payment of the **last of such instalments**; and (iii) such person has a **right to terminate** the agreement at any time before the property so passes (SM 9.51).

The **hirer** is the person who obtains possession of goods from an owner under a hire-purchase agreement; the **owner** is the person who lets, or delivers possession of, goods to a hirer under such an agreement (SM 9.51).



Possession moves at the start; ownership moves only with the last instalment.

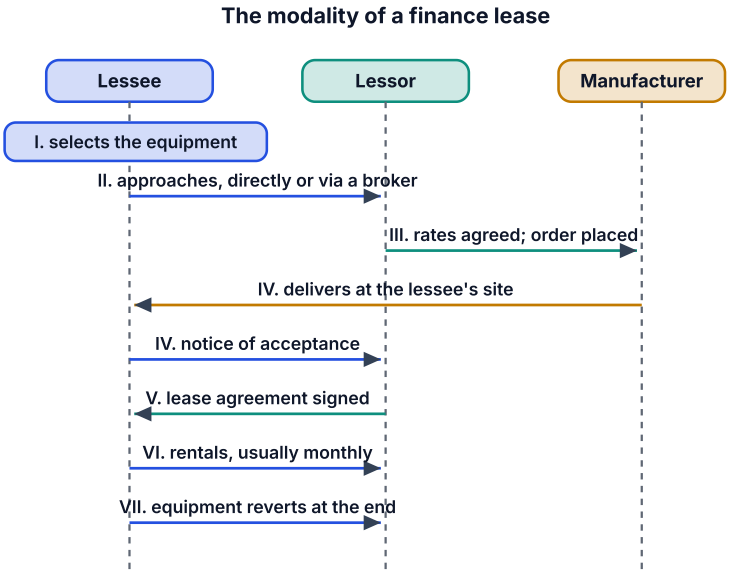
While checking hire-purchase transactions, the auditor may examine that (SM 9.52):

- (i) the agreement is **in writing** and **signed by all parties**;
- (ii) the agreement clearly specifies (a) the **hire-purchase price**; (b) the **cash price**, the price at which the hirer may buy the goods for cash; (c) the date on which the agreement is deemed to have **commenced**; (d) the **number of instalments**, the amount of each, the date (or mode of determining it) on which each is payable, and the person to whom and the place where it is payable; (e) the **goods**, described sufficiently to identify them;
- (iii) **instalment payments are being received regularly** as per the agreement.

3. Leases

In a lease agreement, the **lessee** acquires the right to use an asset for an agreed period in consideration of rent paid to the **lessor**. In some leases the lessor (the leasing company) keeps legal ownership but, in substance, **all the risks and rewards of ownership are transferred to the lessee**: the lease is in effect a **financing arrangement**, a **finance lease**. An **operating lease** is a simple arrangement where, in return for rent, the lessor allows the lessee to use the asset for a certain period (SM 9.52).

How a normal finance lease runs (SM 9.52–9.53):



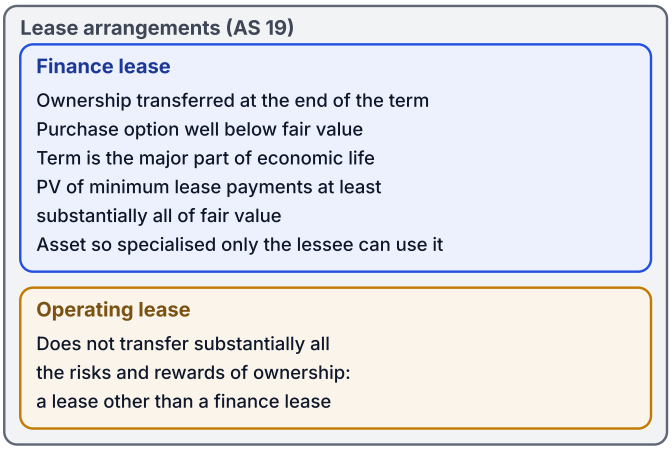
The lessor plays no part in choosing the equipment. During the lease the lessee keeps it in good repair and gets the manufacturer's warranties; leases are normally full pay-out. At the end the lessee may get a renewal right or join in buying the equipment when the lessor sells it, but no purchase option is given in the lease agreement itself.

Auditor's procedures for leasing transactions of a leasing company (SM 9.53–9.54):

1. **Object clause**: see the goods (capital goods, consumer durables, etc.) for which the company can undertake leasing, and whether it can undertake **financing activities**.
2. **Credit analysis**: whether a procedure exists to assess the lessee's ability to meet the commitment, past credit record, capital strength and availability of collateral security.
3. **Lease agreement**: note (i) the description of the lessor, lessee, equipment and its **location** (the equipment not to be removed except for repairs; plates or markings for identification); (ii) the amount and tenure of the lease, dates of payment, late charges, deposits or advances; (iii) whether the equipment is **returned to the lessor on termination**, at the lessee's cost; (iv) whether the agreement **prohibits the lessee from assigning or subletting** the equipment and authorises the lessor to do so.
4. **Lease proposal form** submitted by the lessee.
5. **Invoice** retained safely, as the lease is a long-term contract.
6. **Acceptance letter** from the lessee that the equipment was received in order and is acceptable.
7. **Board resolution** of the lessee authorising a director to execute the lease agreement.
8. **Insurance policies**: copies obtained by the lessor for its records.

4. Finance lease or operating lease

The Study Material asks students to note that AS 19 classifies leases into two types (SM 9.54–9.55):



Blue box: the attributes the Study Material lists for a finance lease, any of which points to one; amber box: everything else is an operating lease.

The broad differences (SM 9.55–9.56), from the lessee's side:

Point	Operating lease	Finance lease
Common examples	Projector, computers, laptops, coffee dispensers	Plant and machinery, land, office building
Ownership	Stays with the lessor for the entire lease period	Ownership transfer option at the end lies with the lessee; title may or may not pass
Accounting treatment	Like renting: payments are operating expenses; the asset is not on the lessee's balance sheet	Like a loan: the asset is treated as the lessee's and appears on its balance sheet
Purchase option	None during the lease period	Purchase option at less than fair market value
Lease term	Generally less than 75% of the projected useful life	Generally more than or equal to the estimated economic life
Running expenses	Lessee pays only the lease payments; no running or administration costs (registration, repairs)	Lessee generally bears insurance, maintenance and taxes
Tax benefit	Payment is an expense; no depreciation for the lessee	Lessee claims both interest and depreciation

Formats and formulas

∑ Formula

Hire-purchase charges

$$\text{Total charges (interest)} = \quad \text{Hire-purchase price} - \text{Cash price}$$

Hire-purchase price = deposit or initial payment + all instalments. Instalments overdue = instalments due to date under the agreement − instalments received.

∑ Formula

Present value test for a finance lease

$$PV = \sum_{t=1}^{n} \frac{L_t}{(1+r)^t}$$

L_t = minimum lease payment of period t; r = discount rate; n = number of periods. If PV is at least substantially all of the fair value of the asset, the lease is a finance lease (SM 9.54).

Worked examples

Worked example **A Sunday at Rajmahal Cinemas**

Iyer & Associates audit Rajmahal Cinemas Pvt Ltd for 2025-26. Ticket prices before tax are ₹450 (Recliner) and ₹250 (Gold); tax on admission is 18% (the rate assumed for this example). For Screen 2 on Sunday, 15 March 2026, the ticket books show:

Show and class	Serial numbers issued	Free passes issued
15:30 Recliner	3,201 to 3,260	2
15:30 Gold	8,451 to 8,630	0
19:00 Recliner	4,101 to 4,170	0
19:00 Gold	9,301 to 9,520	6

The Free Pass Register shows two passes for the 15:30 Recliner show and two for the 19:00 Gold show, signed by the manager. The Daily Statement records collections of ₹1,80,658, including tax of ₹27,558.

Bunty also notes: (a) an advance of ₹6,00,000 to a distributor for a film that ran from 9 to 29 January 2026 is still unadjusted; (b) ₹3,20,000 spent on seat repairs and repainting has been capitalised; (c) Tapri's café pays the cinema 12% of its takings; takings for the year were ₹38,40,000 and the cinema received ₹3,90,000.

Required: compute the collections that should have been recorded for the two shows, and comment on each matter.

MODEL ANSWER

Working: collections due, Screen 2, 15 March 2026

Show and class	Issued	Free	Paid	With tax (₹)
15:30 Recliner (₹531)	60	2	58	30,798
15:30 Gold (₹295)	180	0	180	53,100
19:00 Recliner (₹531)	70	0	70	37,170
19:00 Gold (₹295)	220	6	214	63,130
Total	**530**	**8**	**522**	**1,84,198**

Tax included: 522 paid tickets give ticket revenue of ₹1,56,100 and tax of ₹28,098.

Tickets and cash. The auditor confirms that at the end of each show a statement of tickets sold is prepared and the cash collected agreed with it, and reconciles the tax collected with the tickets issued for each class. Collections should be ₹1,84,198, including tax of ₹28,098; the Daily Statement shows ₹1,80,658 and ₹27,558. The shortfall of ₹3,540 (tax ₹540) equals 12 Gold tickets at ₹295. The auditor should trace the serial numbers to the show-wise statements to find the 12 tickets, examine whether cash was collected and not accounted for, verify the month's tax return, and report the control failure.

Free passes. A record must be kept of free passes and they must be issued under proper authority. Four of the six 19:00 Gold passes (₹1,180 at ₹295 each) are not in the Free Pass Register: they are either unauthorised gifts or sold tickets with unrecorded cash. The auditor should enquire and report.

Advance to the distributor. The unadjusted balance of advances paid to distributors must be examined to see that it is good and recoverable; where the film has already run, the auditor enquires why the advance has not been adjusted, and asks management to provide for any advance considered irrecoverable. The ₹6,00,000 should have been adjusted against film hire for January; if it is not recoverable, a provision is required.

Repairs capitalised. No part of the expenditure on advertisement, repairs and maintenance should be capitalised. The ₹3,20,000 must be charged to revenue; otherwise assets and profit are overstated.

Share of café takings. The auditor enquires into the arrangement for collecting the share in the restaurant income. At 12% of ₹38,40,000 the cinema's share is ₹4,60,800; it received ₹3,90,000, so ₹70,800 is receivable and must be accounted for and followed up.

Worked example

Narmada Leasing's scooters and vans

Narmada Leasing & Hire Purchase Ltd has these transactions with Tapri Tea Co. Ltd in 2025-26; Iyer & Associates audit both companies.

(i) **Hire purchase** of 40 delivery scooters from 1 July 2025, one agreement and one account per scooter: cash price ₹90,000 each; a deposit of ₹12,000 each and 24 monthly instalments of ₹4,000 each, due on the first day of each month from 1 August 2025. By 31 March 2026, 36 scooter accounts show 7 instalments received and 4 show 5 received. The agreement states the hire-purchase price, the instalments and the scooters' chassis numbers but not the cash price.

(ii) **Lease of a refrigerated van fleet** for five years from 1 April 2025: fair value ₹2,40,00,000; five annual rentals of ₹62,00,000 in arrears; estimated economic life of the vans 10 years; Narmada maintains the vans and Tapri insures them; no transfer of ownership and no purchase option; the interest rate implicit in the lease

is 10% a year. Tapri's accountant treats it as an operating lease "because the term is only half the vans' life and the lessor maintains them".

Required: (a) compute the hire-purchase charges per scooter and the instalments overdue at 31 March 2026, and comment; (b) advise on the classification of the van lease and its accounting and tax treatment in Tapri's books.

MODEL ANSWER

(a) Hire purchase

Particulars	Amount (₹)
Hire-purchase price per scooter: 12,000 + 24 × 4,000	1,08,000
Less: cash price	90,000
Hire-purchase charges per scooter	**18,000**

Instalments due by 31 March 2026: August 2025 to March 2026 = 8 per scooter. Overdue: 36 × (8 − 7) + 4 × (8 − 5) = 36 + 12 = 48 instalments, that is **₹1,92,000**.

As per the Study Material, the auditor ensures that instalment payments are being received regularly as per the agreement, and that the agreement is in writing, signed by all parties, and clearly specifies the hire-purchase price, the **cash price**, the commencement date, the instalments (number, amount, due dates, payee and place) and the goods. Overdue instalments of ₹1,92,000, concentrated in four accounts three months behind, call for follow-up of recoverability and adequate provision; the omission of the cash price from the agreement is a deficiency to be reported to management.

(b) The van lease

Test	Facts	Points to
Lease term ÷ economic life	5 ÷ 10 = 50%	Operating (generally below 75%)
Maintenance	Borne by the lessor	Operating (general pointer)
Ownership or purchase option	Neither	Not decisive
PV of minimum lease payments	62,00,000 × 3.7908 = ₹2,35,02,960, about 98% of ₹2,40,00,000	**Finance lease**

(3.7908 is the present value of ₹1 a year for five years at 10%.)

Relevant provision. As per AS 19, an arrangement qualifies as a finance lease where, among the attributes the Study Material lists, at the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; an operating lease is a lease other than a finance lease. The lease term and who bears the running costs appear only in the Study Material's table of broad differences, which states what is generally the case.

Analysis. The term and the lessor's maintenance point towards an operating lease, but the rentals recover about 98% of the vans' fair value: in substance Tapri pays for the vans, the lease is a financing arrangement and the risks and rewards of ownership pass to Tapri.

> **Conclusion.** The van lease is a **finance lease**, and the accountant's treatment is not acceptable. It is treated like a loan arrangement: the vans appear on Tapri's balance sheet, and Tapri can claim both interest and depreciation.

Exam angle

In the exam

Where this topic appeared

In the ICAI documents read for this lesson, these entities were examined in 7 new-scheme documents (May 2024 to May 2026):

- **Cinemas.** Areas covered in verifying the internal control mechanism of a multiplex: May 2025 Q6(b) (5 marks; the answer is point 1(a)–(e)). Receipts from sale of tickets: MTP May 2024 Series I Q6(c) (4 marks; points 1–5 plus the online booking system).
- **Leases.** An 11-year lease over about the asset's economic life with the lessee bearing insurance and maintenance (type, ownership, accounting, tax): May 2024 Q6(d) (3 marks). Two equipment leases to classify, with accounting and tax treatment: May 2026 Q4(b) (1 + 4 marks). Points to note in a finance lease agreement: September 2024 Q5(d) (3 marks). Operating vs finance lease for the lessee (accounting, tax): RTP May 2024 Q21. A leasing company's file reviewed against the eight procedures: MTP January 2026 Series II MCQs 6–9.

Old-scheme papers asked the same multiplex questions (November 2022; MTPs May 2020 and July 2021), and the Study Material asks about a multiplex's agreements with film distributors and whether an operating lease is a financing arrangement (it is not).

In the exam

How the marks are earned

Lists are marked point by point in the Study Material's words. Lease questions are marked for the classification **with reasons** (term vs economic life, who bears insurance and maintenance, purchase option), then the accounting treatment and the tax benefit from the comparison table.

Trick

Five ticket controls: "Print, Number, Separate, Advance, Custody"

Printed tickets only; serially **N**umbered and bound; **S**eparate numbers for each show and class; a separate series for **A**dvance booking; **C**ustody of the ticket inventory with a responsible official. Condition: this is point 1(a)–(e) only; the other ten steps (end-of-show statement, free passes, tax, film hire and so on) are separate points.

Answer frame

"Areas to verify in the internal control mechanism of a cinema" (5 marks)

Write point 1(a)–(e) in order, one mark each; if more is asked ("receipts from sale of tickets"), add the end-of-show statement, free passes, tax reconciliation and Daily Statements to Cash Book, and the online booking system.

"Which kind of lease, and its treatment?"

1. **Provision**: the attributes of a finance lease (or "other than a finance lease") as the Study Material lists them.
2. **Facts**: lease term against economic life; present value of the minimum lease payments against fair value; ownership transfer or purchase option; specialised asset; who bears insurance and maintenance.
3. **Conclusion**: finance or operating lease, then ownership, accounting treatment and tax benefit from the comparison table.

Three answers to "points to note in a finance lease agreement" (3 marks)

Loses marks	Passes	Full marks
"See that the agreement is signed and the rent is received." Neither is one of the four points.	Description of lessor, lessee, equipment and location; tenure, payment dates and late charges. Two of four points.	All four: description and location (no removal except for repairs; plates); amount, tenure, dates, late charges, deposits; return on termination at the lessee's cost; no assigning or subletting by the lessee.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the operating lease that became a loan

Bunty puts leased coffee dispensers (3 years of an 8-year life, the lessor doing repairs) on Tapri's balance sheet "because Tapri uses them". **Fix:** use alone does not make a finance lease; an operating lease is like renting, the asset stays off the lessee's balance sheet and the payments are expenses (SM 9.55).

⚠ **Common mistake**

Capitalising the cinema's repairs

Fix: for a cinema, the Study Material is explicit: vouch advertisement, repairs and maintenance, and **no part of such expenditure should be capitalised** (SM 9.50).

⚠ **Common mistake**

Writing a purchase option into the lease

Saying the leasing company should "ensure the lease agreement gives the lessee an option to buy". **Fix:** in the normal finance lease modality, **no purchase option is given to the lessee in the lease agreement itself**; at the end the lessee may get a renewal right or join in a purchase when the lessor sells (SM 9.53).

Practice

Check yourself

1 Case scenario. At Moti Mahal Talkies, the projectionist hands free seats to his friends by tearing tickets from the current show's book and marking them "complimentary". No register of free passes exists. Which step does the auditor primarily apply?

- **A** Reconcile advertisement charges with the Register of Slides and Shorts Exhibited
- **B** Verify that a record is kept of free passes and that they are issued under proper authority
- **C** Examine unadjusted advances to distributors
- **D** Check that depreciation on projection machinery is at an appropriate rate

2 A hirer bought a machine under a hire-purchase agreement: cash price ₹4,50,000; a deposit of ₹60,000 and 18 monthly instalments of ₹25,000. What are the total hire-purchase charges in rupees?

Answer: _____

3 Ujjwal Prints Ltd leases a printing press for 6 years; the press's economic life is 15 years. The agreement transfers ownership of the press to Ujjwal at the end of the lease term; the lessor bears maintenance. How should Ujjwal treat the lease?

- **A** Operating lease, because the term is only 40% of the economic life
- **B** Operating lease, because the lessor bears maintenance
- **C** Finance lease, because ownership transfers to the lessee at the end of the lease term; the press appears on Ujjwal's balance sheet
- **D** Hire purchase, because ownership passes at the end

4 Which of the following are procedures the Study Material lists for a leasing company's leasing transactions? Select all that apply.

- **A** Examine the lease proposal form submitted by the lessee
- **B** See that the lessee's Board has passed a resolution authorising a director to execute the lease agreement
- **C** Ensure that the lease agreement gives the lessee an option to purchase the equipment
- **D** See that the lessor has obtained copies of the insurance policies

More than one answer may be right.

5 Rajmahal Cinemas paid a distributor an advance for a film that finished its run three months before the year end; the advance is still in the books. What should the auditor do?

- **A** Nothing, because advances are assets until the agreement expires
- **B** Capitalise it as part of film rights
- **C** Enquire why it has not been adjusted and ask management to provide for it if it is irrecoverable
- **D** Qualify the report at once

Answers: the answer key at the end of this lesson.

Recap

- Cinema revenue is proved through tickets: printed, serially numbered and bound, separate numbers for each show and class, a separate series for advance booking, ticket inventory in custody.
- After each show, tickets sold agree with cash; free passes recorded and authorised; tax reconciled with tickets per class; Daily Statements vouched into the Cash Book.
- Cinema expenses: advertisement, repairs and maintenance never capitalised; film hire vouched with distributors' bills and agreements; unadjusted advances for films already run enquired into and provided for; restaurant share followed up.
- Hire purchase: possession now, property with the last instalment, hirer may terminate before; agreement in writing, signed, stating hire-purchase price, cash price, commencement, instalments and goods; instalments received regularly.
- Leasing company: object clause, credit analysis, agreement terms (location, tenure, return, no subletting), proposal form, invoice, acceptance letter, lessee's Board resolution, insurance copies.
- Finance lease transfers substantially all risks and rewards (treated like a loan: asset on the lessee's balance sheet, interest and depreciation); an operating lease is any other lease (rent: expense, no depreciation). (Like the bus conductor, the cinema must account for every ticket on the roll.)

Answer key · Check yourself

1 **B Verify that a record is kept of free passes and that they are issued under proper authority**

Free passes need a record and proper authority. Unrecorded "complimentary" tickets torn from the paid series also distort the end-of-show agreement of tickets and cash, which the auditor tests next.

2 **60000**

Hire-purchase price = 60,000 + 18 × 25,000 = ₹5,10,000; charges = 5,10,000 − 4,50,000 = ₹60,000.

3 **C Finance lease, because ownership transfers to the lessee at the end of the lease term; the press appears on Ujjwal's balance sheet**

Transfer of ownership to the lessee by the end of the lease term is one of the attributes of a finance lease in the Study Material's list, so the short term and the lessor's maintenance do not make it an operating lease (ICAI's May 2024 answer, too, classified a lease on a single attribute). The arrangement is a lease (rent for the right to use), so it is classified as a finance or an operating lease, not as hire purchase.

4 **A Examine the lease proposal form submitted by the lessee; B See that the lessee's Board has passed a resolution authorising a director to execute the lease agreement; D See that the lessor has obtained copies of the insurance policies**

The purchase-option statement is the trap: in the normal finance lease no purchase option is given in the lease agreement itself.

5 **C** **Enquire why it has not been adjusted and ask management to provide for it if it is irrecoverable**

Point 10: for a film that has already run, enquire why the advance is unadjusted; management provides for advances considered irrecoverable. A qualification arises only if a material misstatement then remains.

CHAPTER 10

Audit of Banks

10.1 Bank accounting system and audit approach

Why a bank audit is different, what the auditor must check in a core banking system, the four bases of the audit plan, the six control questions, the team discussion and the stages of conducting a bank audit.

In plain words

Iyer & Associates go to the bank

Iyer & Associates have audited Tapri Tea Co. Ltd for years. This year they are also appointed statutory branch auditors of the Indore Main Branch of **Narmada Bank of India**, a nationalised bank, the same branch where Tapri keeps its current account.

> **Bunty:** Ma'am, a bank audit is the easiest audit in the world. The system prints the NPA list, the provisions and the interest. I just tick.
>
> **Lakshmi:** And who checked that the system knows the RBI's rules?
>
> **Bunty:** The RBI?
>
> **Lakshmi:** We do, Bunty. Evidence first, ticks later.

A bank lives on a simple sum. It accepts deposits and pays interest on them; it lends that money at a higher rate. The gap, the **spread**, pays salaries and rent and leaves the profit. The loans it gives, called **advances**, are its biggest asset, and a loan that stops earning is a **non-performing asset** (NPA).

What makes a bank audit special is scale and machinery: lakhs of transactions a day, branches across the country, dozens of products, almost everything run on one central computer system, the **Core Banking Solution** (CBS), and a strict regulator, the Reserve Bank of India (RBI), watching all of it.

So the auditor does three things before ticking anything. First, check that the system has the RBI's rules built into it, because the system decides which loans are NPAs, what provision they need and how much interest is income. Second, plan the audit around the bank's risks and controls. Third, sit the whole team down to discuss where errors and fraud could hide.

Think of it like

One recipe, forty cities

Tapri's kulhad cafés in 40 cities all brew from one recipe that Indore uploads to every machine. If the recipe says 3 spoons of sugar instead of 1, every cup in every city is wrong in the same way, and tasting one cup in Bhopal will not tell you why. So a careful inspector reads the recipe first, then tastes a few cups to see that the machines follow it. A bank's CBS is that recipe: the auditor checks the settings first, then re-works a sample by hand.

Key idea

In a bank, the system produces the numbers that matter most: asset classification, provisions and interest income. The auditor must obtain evidence that the RBI's norms are built into that system, never assume that system-generated information is correct, and plan the audit around the bank's risks and controls.

How it works

1. Banks and their regulator

India has six kinds of banking institutions (SM 10.4–10.5):

Type	What sets it apart
Commercial banks	Most widespread; two main functions: accepting deposits and granting advances
Regional Rural Banks (RRBs)	Set up in rural areas to serve rural communities' basic banking needs
Co-operative banks	Work like commercial banks, but on co-operative principles, under the State or Multi-State Co-operative Societies Act
Payments banks	Accept restricted deposits; cannot issue loans and credit cards
Development banks	Fund infrastructure for growth ("term-lending institutions"), e.g. IFCI, IDBI, SIDBI
Small finance banks	Basic banking for the unserved and unorganised: small and marginal farmers, small and micro units

The **RBI**, India's central bank, regulates the banking industry. It is responsible for (SM 10.5): the development and supervision of the Indian financial system (banks and non-banking financial institutions); determining, with the Central Government, the monetary and credit policies; and regulating the activities of commercial and other banks. Its functions include issuing currency and regulating its issue, and acting as banker to the Central and State Governments and to commercial and other banks, including term-lending institutions. **No bank can commence banking business or open new branches without a licence from the RBI**, and the RBI can inspect any bank (SM 10.6).

Banking operations are conducted only at the branches. The other offices are controlling or administrative offices: they lay down policies, systems and internal control procedures, fix delegation of powers, responsibility and accountability, and supervise, monitor and control the branches' business, dealing with deviations from the bank's procedures (SM 10.6).

Peculiarities of banking that shape the audit (SM 10.7):

1. Huge volumes and complexity of transactions.
2. Wide geographical spread of the banks' network.
3. Large range of products and services offered.
4. Extensive use of technology.
5. Strict vigilance by the banking regulator.

2. The accounting system: what the auditor must not assume

Banks run on Core Banking Solution platforms, so that customers can bank anytime and anywhere, with their data stored on the bank's servers. With such volumes, the bank must ensure that the recording, transmission and storage of data keep their integrity, and that controls keep the data free of errors, omissions, irregularities and frauds (SM 10.8).

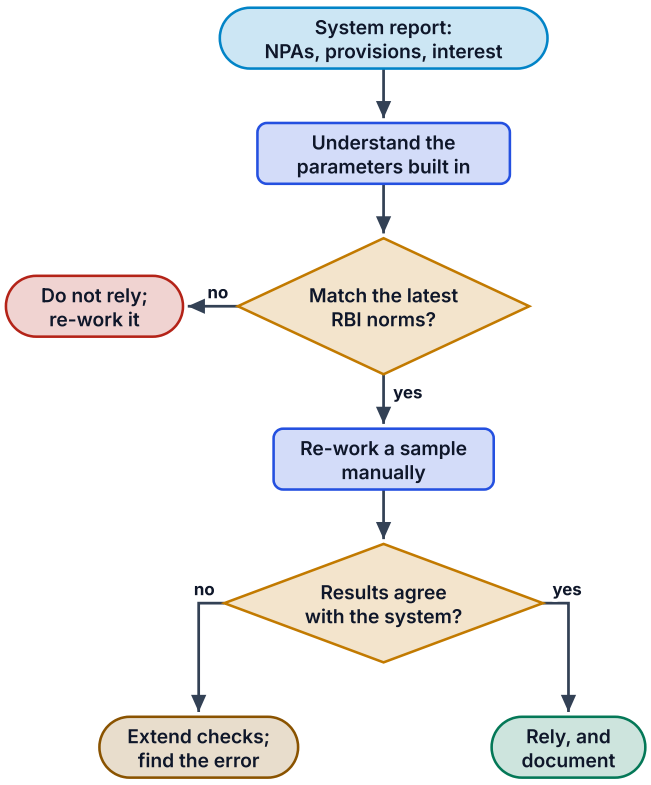
For the auditor, the Study Material sets three duties in a computerised environment (SM 10.8–10.9):

1. **Be familiar with and satisfied** that all the norms and parameters of the latest applicable RBI guidelines are incorporated and built into the system that generates information bearing on **classification, provisions and income recognition**.

2. **Do not assume** that system-generated information is correct and can be relied on, without evidence that it is based on the required parameters.

3. **Use professional skepticism and prudence**: wherever something needs to be performed manually to check the authenticity and consistency of the system's information, perform it, and **document** the results.

Relying on a system-generated report



Green: the system's information can be used, with the manual checks documented; amber: differences found, so the checks are extended to find the cause; rose: the parameters do not match the RBI norms, so the auditor works out the classification, provision or income independently and considers the effect on the report.

3. The form of a bank's financial statements

Sub-sections (1) and (2) of **section 29 of the Banking Regulation Act, 1949** deal with the form and content of a banking company's financial statements and their authentication; they also apply to **nationalised banks, the State Bank of India and Regional Rural Banks**. Every banking company prepares its Balance Sheet and Profit and Loss Account in the forms set out in the **Third Schedule** to the Act, or as near thereto as circumstances admit: **Form A** is the Balance Sheet and **Form B** the Profit and Loss Account (SM 10.11). It also complies with the disclosure requirements of the Accounting Standards specified under section 133 of the Companies Act, 2013, read with Rule 7 of the Companies (Accounts) Rules, 2014, in so far as they apply to banking companies, or the Accounting Standards issued by the ICAI (SM 10.12). The Form B items are in audit of revenue items in banks.

The **income recognition policy** should be objective and based on the record of recovery rather than on subjective considerations: income from an NPA is not accrued but booked only when actually received (SM 10.11).

4. The bank audit approach

The Study Material's "bank audit approach" has three parts (SM 10.9–10.11).

(1) Drawing an audit plan. An audit plan should be drawn up based on:

- the nature and level of operations,
- the nature of adverse features,
- the level of compliance based on previous reports, and
- audit risks based on inadequacy in or breach of internal controls and the familiarisation exercise carried out.

(2) Control environment at the bank. A bank should have appropriate controls to mitigate its risks, including effective segregation of duties (particularly, between front and back offices), accurate measurement and reporting of positions, verification and approval of transactions, reconciliation of positions and results, setting up limits, reporting and approval of exceptions, physical security and contingency planning. For any control activity, the auditor keeps six questions in mind (SM 10.9–10.10):

Question	What the auditor asks
Who	Who performs the control? Has that person the knowledge and authority to perform it?
What	What evidence shows that the control is performed?
When	When, and how often, is it performed? Is that often enough to prevent, detect and correct risks of material misstatement?
Where	Where is the evidence of performance kept, for how long, and is it available for audit?
Why	Why is the control performed? What errors does it prevent or detect?
How	How is it performed, and what are its activities? Can they be bypassed, and would a bypass be detected? How, and how fast, are exceptions resolved?

(3) Engagement team discussions. All personnel performing an engagement, including any experts contracted by the firm for it, are the **engagement team**. The team should hold discussions to gain a better understanding of the bank and its environment, including internal control, and to assess the potential for material misstatement of the financial statements; the discussions are documented. The partner and the team discuss the **susceptibility of the bank's branch financial statements to material misstatement**, ordinarily at the planning stage.

Definition

Matters ordinarily discussed by the engagement team (SM 10.10–10.11)

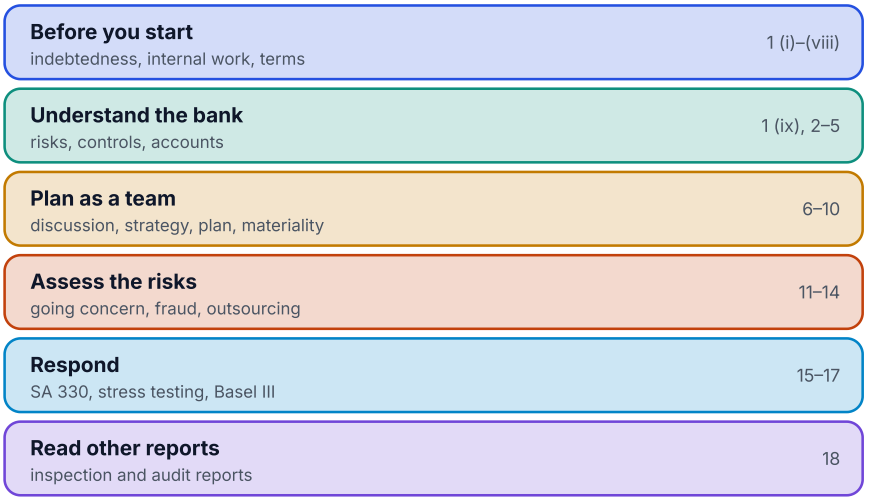
(a) errors that may be more likely to occur; (b) errors identified in prior years; (c) the method by which fraud might be perpetrated by bank personnel or others within particular account balances and/or disclosures; (d) audit responses to engagement risk, pervasive risks and specific risks; (e) the need to maintain professional skepticism throughout the engagement; (f) the need to be alert for information or conditions indicating that a material misstatement may have occurred (for example, the bank's application of accounting policies in the given facts and circumstances).

Advantages of the discussion (SM 10.11): it puts specific emphasis on the susceptibility of the financial statements to material misstatement due to fraud, so the team can plan a response to fraud risks, including those related to engagement, pervasive and specific risks; it enables the partner to delegate the work to experienced team members and to set the procedures to follow when fraud is identified; and the partner may review the need to involve specialists on fraud issues.

5. Conducting the audit, stage by stage

The audit of a bank or its branches runs through these stages (SM 10.15–10.21). The picture groups them; the list keeps the Study Material's numbering.

The stages of a bank audit, grouped



Top to bottom: the order in which a bank audit is built; the right-hand column gives the Study Material's stage numbers.

1. **Initial consideration by the statutory auditor**:

- (i) **Declaration of indebtedness**: before appointing their statutory central or branch auditors, banks obtain a declaration of indebtedness; indebtedness means owing money to the bank in any case whatsoever.
- (ii) **Internal assignments**: an audit firm should not undertake the statutory audit while it is associated with internal assignments in the bank during the same year, like concurrent audits (internal audit conducted monthly). Both are in the bank auditor's appointment.
- (iii) **Planning**: SA 300 requires, before an initial audit, the SA 220 procedures on accepting the client relationship and the engagement, and an understanding of the terms of engagement under SA 210.
- (iv) **Communication with the previous auditor** in writing, under Clause (8) of Part I of the First Schedule to the Chartered Accountants Act, 1949, to know whether there is any objection.
- (v) **Terms of audit engagement** agreed under SA 210 before significant fieldwork, and documented.
- (vi) **Initial engagements**: SA 510 procedures on opening balances; misstatements that materially affect the current period and are not properly accounted for and disclosed lead to a qualified or an adverse opinion.
- (vii) **Assessment of engagement risk**, before acceptance, because it affects the decision to accept and the planning.
- (viii) **Establish the engagement team**: qualified and experienced people; size and composition depend on the size, nature and complexity of the bank's operations.
- (ix) **Understanding the bank and its environment** under SA 315.

2. **Identifying and assessing the risks of material misstatement** at the financial statement level and the assertion level (SA 315).
3. **Understanding the bank and its environment, including internal control**, to identify and assess risk and to develop an audit plan that determines the operating effectiveness of controls and addresses specific risks.
4. **Understanding the bank's accounting process**, which produces information for management and contributes to internal control.
5. **Understanding the risk management process** (see the definition below).
6. **Engagement team discussions** (section 4 above).
7. **Establish the overall audit strategy** (SA 300) before the audit begins, involving key team members and specialists.
8. **Develop the audit plan** (SA 300), involving all key members of the team.
9. **Audit planning memorandum**, summarising the plan: the expected scope and extent of procedures; the significant issues and risks identified, and the decisions on reliance on controls; and evidence that the engagement was planned appropriately and responds to engagement, pervasive and specific risks.
10. **Determine audit materiality**, considering its relationship with audit risk: a matter of professional judgment, depending on the knowledge of the bank, the engagement risk and the reporting requirements.

11. **Consider going concern**: events and conditions that may cast significant doubt on the bank's ability to continue as a going concern.
12. **Assess the risk of fraud, including money laundering** (SA 240), with professional skepticism; the RBI's "Know Your Customer" and anti-money-laundering guidelines require banks to have policies, procedures and controls to deter, recognise and report money laundering.
13. **Assess specific risks**: risks of material misstatement at the financial statement level, which relate pervasively to the financial statements as a whole and potentially affect many assertions.
14. **Risk associated with outsourcing of activities**: banks outsource heavily to cut costs and use outside experts, and must manage the risks this brings.
15. **Response to the assessed risks** (SA 330): overall responses at the financial statement level; further procedures whose nature, timing and extent respond to the assessed risks at the assertion level.
16. **Stress testing**: the RBI requires every commercial bank to put in place a Board-approved stress testing framework that suits it and integrates into its risk management systems.
17. **Basel III framework**: the international banking regulations of the Basel Committee on Banking Supervision, which, among other things, propose minimum criteria for instruments to count as regulatory capital.
18. **Reliance on, and review of, other reports** (see below).

> **Definition**
>
> **An effective risk management system in a bank requires (SM 10.17–10.18)**
>
> (a) **Oversight and involvement by those charged with governance**: the Board of Directors/Managing Director approve written risk management policies, consistent with the bank's objectives and strategies, capital strength, management expertise, regulatory requirements and the types and amounts of risk it accepts. (b) **Identification, measurement and monitoring of risks** against pre-approved limits and criteria. (c) **Control activities**: segregation of duties (particularly between front and back offices), measurement and reporting of positions, verification and approval of transactions, reconciliations, limits, exception reporting, physical security and contingency planning. (d) **Monitoring activities**: risk models, methods and assumptions regularly assessed and updated, possibly by an independent risk management unit. (e) **Reliable information systems** giving timely and consistent financial, operational and compliance information that is easily understood.

Reports to review (stage 18). The auditor takes into account the adverse comments, if any, on advances in (SM 10.21):

1. previous year's audit reports;
2. latest internal inspection reports of bank officials;
3. the Reserve Bank's latest inspection report;
4. concurrent / internal audit reports;
5. the report on verification of security;
6. any other internal reports specially related to particular accounts;
7. the manager's charge-handing-over report when the incumbent is changed.

These are reviewed in detail. The **Statutory Central Auditors** must review the RBI's Annual Financial Inspection report on the bank and ensure that the variations in provisions etc. reported by the RBI have been properly considered by management.

Worked examples

Worked example **The NPA report that was "RBI-compliant"**

During the year, Narmada Bank of India moved its branches to an upgraded version of its CBS. At the Indore Main Branch, the system-generated list of non-performing assets as on 31 March 2026 shows 14 accounts, and the system has worked out their provisions and stopped interest on them. Bunty wants to tick the classification against the list: "The IT department's circular says the new version is RBI-compliant." Lakshmi notices that two cash credit accounts with no credits since November are not on the list.

Advise Iyer & Associates on their responsibility regarding the system-generated information and the procedures they should perform.

MODEL ANSWER

Relevant provision. In a computerised environment, the auditor must be familiar with, and satisfied that, all the norms and parameters of the latest applicable RBI guidelines are incorporated and built into the system that generates information having a bearing on classification, provisions and income recognition. The auditor should not assume that system-generated information is correct and can be relied upon without evidence that it is based on the required parameters, and should use professional skepticism and prudence, perform manually whatever is needed to check the authenticity and consistency of the information, and document the results (SM 10.8–10.9).

Facts of the case. The CBS was upgraded during the year; the NPA list, the provisions and the stopping of interest all come from it; the only support is an internal circular; two cash credit accounts without credits since November are missing from the list.

Analysis. A circular from the bank's own IT department is not evidence that the parameters match the RBI norms. The two missing accounts suggest that a parameter may not be working, for example the out-of-order test for cash credit accounts. Since classification drives both the provision and the interest income, an error in the parameters would misstate advances, provisions and income across the branch.

Conclusion. Iyer & Associates should not rely on the list as it stands. They should:

1. obtain an understanding of the parameters set in the upgraded CBS for classification, provisioning and income recognition, and compare them with the latest RBI norms;
2. re-work the classification manually for a sample of accounts, including the two cash credit accounts and accounts near the thresholds, and compare the results with the system;
3. extend the manual checks if differences appear, and work out the correct classification, provision and income for the accounts affected;
4. document the checks and their results, and report the matter as required.

Worked example **Planning the Indore Main Branch audit**

Before fieldwork, Lakshmi collects these facts about the branch:

- Advances of ₹840 crore, mostly cash credits to traders and small manufacturers; deposits of ₹1,260 crore.
- Last year's audit report and the concurrent auditor's reports comment on irregular cash credit accounts and on stock statements received late.
- The branch manager changed in December 2025.
- ATM cash replenishment has been outsourced to an agency since July 2025.
- The team is the one that audited the branch last year, and the senior proposes to skip the engagement team discussion: "We already know this branch."

Required:

(i) On what bases should the audit plan for the branch be drawn up?

(ii) Which reports should the team review before examining the branch's advances, and which of the facts above brings one of them into play?

(iii) Advise on the senior's proposal, stating what the engagement team discussion should ordinarily cover.

MODEL ANSWER

(i) Bases of the audit plan. As per the Study Material, an audit plan should be drawn up based on the nature and level of operations, the nature of adverse features, the level of compliance based on previous reports, and audit risks based on inadequacy in or breach of internal controls and the familiarisation exercise carried out (SM 10.9). Here: a large advances portfolio dominated by cash credits; adverse features on irregular accounts and late stock statements; the compliance shown in last year's audit report and the concurrent audit reports; and the control risks of a change of manager and of outsourced ATM cash handling (an outsourcing risk the bank must manage, SM 10.20).

(ii) Reports to review. The auditor should take into account the adverse comments on advances in the previous year's audit reports, the latest internal inspection reports of bank officials, the Reserve Bank's latest inspection report, the concurrent/internal audit reports, the report on verification of security, any other internal reports on particular accounts and, since the incumbent changed in December, the **manager's charge-handing-over report** (SM 10.21).

(iii) Engagement team discussion. The proposal should not be accepted. The engagement team should hold discussions to gain a better understanding of the bank and its environment, including internal control, and to assess the potential for material misstatement; the partner and the team discuss the susceptibility of the branch's financial statements to material misstatement, ordinarily at the planning stage, and the discussions are documented (SM 10.10). Last year's knowledge feeds the discussion rather than replacing it: errors identified in prior years are one of its matters, and this year brings new risks (a new manager, outsourced ATM cash handling). The discussion should ordinarily cover: (a) errors more likely to occur; (b) errors identified in prior years; (c) how fraud might be perpetrated by bank personnel or others within particular balances or disclosures; (d) audit responses to engagement, pervasive and specific risks; (e) the need for professional skepticism throughout; (f) the need to be alert for conditions indicating a material misstatement. It also puts specific emphasis on the risk of fraud, lets the partner delegate work to experienced members and set the procedures to follow when fraud is identified, and lets the partner review the need to involve specialists (SM 10.11).

Worked example **Lakshmi's six questions**

The branch's CBS changes a deposit interest rate only after a second officer approves it on screen (a maker-checker control). Bunty must document his understanding of this control for the audit file.

State the questions he should answer, applying them to this control.

MODEL ANSWER

Question	Applied to the maker-checker control on rate changes
Who	Who is the checker? Has that officer the knowledge and the authority (under the delegation of powers) to approve rates?
What	What evidence shows the approval: the system log of maker, checker and time?
When	Is every change approved before it takes effect, and is that often enough to prevent a wrong rate being applied?
Where	Where is the log kept, for how long, and can the auditor access it?
Why	What error does it prevent: a wrong rate on deposits, and so a misstatement of interest expense?
How	How is it performed? Can one user act as both maker and checker, or can a rate be changed outside this screen? Would such a bypass be detected, and how quickly are exceptions resolved?

These are the Study Material's questions for control activities (SM 10.9–10.10); the answers decide how much the auditor can rely on the control.

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the ICAI documents read for this lesson, the bank audit approach was asked in five papers, each time as a 4–5 mark descriptive question built on a short bank scenario:

- **CBS and reliance on controls**: MTP January 2026 Series I Q1(a) (5 marks): a bank whose CBS processes deposits, interest and loans; when tests of controls are needed and what evidence supports reliance.
- **Risk management process**: MTP January 2025 Series II Q3(a) (5 marks): how to evaluate the adequacy of a bank's risk management controls (the five requirements (a) to (e)).
- **Engagement team discussion**: MTP January 2026 Series II Q2(b) (5 marks): a branch audit meeting with a valuation expert; purpose, three matters, two advantages.
- **KYC and going concern**: MTP May 2024 Series I Q3(b) (4 marks): a payments bank barred from new deposits for KYC and money-laundering failures, with an undisclosed material uncertainty.
- **Other reports on advances**: MTP September 2024 Series II Q3(a) (5 marks): a branch auditor whose sample of advances showed nothing unusual asks which documents carry comments on advances; ICAI's answer is the seven reports of stage 18, in the Study Material's order.

The chapter's own Test Your Knowledge asks for four peculiarities of banking, the RBI's role, the importance of KYC norms and the engagement team discussion, and has correct/incorrect statements on relying on system-generated information.

In the exam

How the marks are earned

Suggested answers reproduce the Study Material's lists in its order and words ("nature and level of operations", "segregation of duties (particularly between front and back offices)", "susceptibility of the bank's branch financial statements to material misstatements"), then apply them in one line each to the scenario. For an "Explain ... engagement team discussion" question, the marks sit in three blocks: purpose, matters, advantages.

Trick

Plan on N-A-C-R

The four bases of the audit plan: **N**ature and level of operations, **A**dverse features, **C**ompliance in previous reports, **R**isks from weak or breached internal controls. It works for the audit plan of a bank or a branch; it is not the list for the overall audit strategy under SA 300.

Answer frame

"Explain the auditor's approach in a CBS environment"

1. The duty: be familiar with and satisfied that the latest RBI norms and parameters are built into the system generating classification, provisioning and income recognition data.
2. The prohibition: do not assume system-generated information is correct without evidence.
3. The method: professional skepticism and prudence; manual checks of authenticity and consistency; documentation of the results.

4. Applied to the facts, then the conclusion (rely, or do not rely and re-work).

"Discuss the engagement team discussion in a bank audit"

Block	Points that earn marks
Purpose	Understand the bank and its environment, including internal control; assess the potential for material misstatement; documented; at the planning stage
Who	All personnel on the engagement, including experts contracted by the firm, with the engagement partner
Matters	(a) to (f): likely errors; prior-year errors; how fraud might be perpetrated; responses to engagement, pervasive and specific risks; professional skepticism; alertness to signs of misstatement
Advantages	Emphasis on fraud risk and the response; delegation to experienced members and procedures when fraud is found; need for specialists reviewed

Common mistakes

⚠ **Common mistake**

Hall of Shame: "the system is RBI-compliant, so I ticked it"

Bunty's tick, bank edition. **Fix:** the Study Material says the opposite: the auditor should not assume system-generated information is correct without evidence that it is based on the required parameters; check the parameters, re-work a sample by hand, document it.

⚠ **Common mistake**

Leaving the expert out of the team

Writing that the engagement team discussion is "between the partner and the article assistants". **Fix:** the engagement team is all personnel performing the engagement, including any experts contracted by the firm in connection with it.

⚠ **Common mistake**

Mixing up the plan's bases with SA 300's strategy factors

For "on what basis is a bank audit plan drawn up", writing the SA 300 list (characteristics of the engagement, reporting objectives, significant factors). **Fix:** the bank answer is the Study Material's four bases: nature and level of operations, adverse features, compliance in previous reports, internal control risks.

Practice

Check yourself

1 Case scenario. Iyer & Associates are statutory branch auditors of a nationalised bank's Ujjain branch. The branch manager hands Bunty the system-generated list of NPAs and says the software vendor has certified it. Bunty has seen that three overdue term loans are tagged "standard". Which of the following is the most appropriate course?

- **A** Accept the list, because a vendor certificate is external evidence
- **B** Accept the list, but mention the three loans in the Long Form Audit Report
- **C** Check the parameters against the latest RBI norms, re-work a sample including the three loans manually, and document the results
- **D** Reclassify every loan in the branch manually and ignore the system

2 Which of the following is NOT one of the bases on which a bank audit plan should be drawn up?

- **A** The nature and level of operations
- **B** The level of compliance based on previous reports
- **C** The reporting objectives of the engagement and the bank's timetable for reporting
- **D** The nature of adverse features

3 A branch's new manager took charge on 1 January. Which report specially listed by the Study Material should the auditor review because of this?

- **A** The stress testing framework
- **B** The manager's charge-handing-over report
- **C** The Basel III capital report
- **D** The declaration of indebtedness

4 Select all the matters that the engagement team discussion in a bank audit ordinarily includes.

- **A** The method by which fraud might be perpetrated by bank personnel within particular account balances
- **B** Errors which have been identified in prior years
- **C** The audit fee and the billing schedule for the branch
- **D** The need to maintain professional skepticism throughout the engagement

More than one answer may be right.

5 "Payments banks may accept deposits and issue credit cards, but cannot grant loans." Is this statement correct?

- A Correct
- B Incorrect: payments banks accept restricted deposits and can issue neither loans nor credit cards
- C Incorrect: payments banks cannot accept any deposits
- D Correct, but only with the RBI's prior approval for each card

Answers: the answer key at the end of this lesson.

Recap

- A bank audit is shaped by huge volumes, a wide network, many products, heavy technology and strict RBI vigilance.
- In a CBS environment the auditor must be satisfied that the latest RBI norms are built into the system that generates classification, provisioning and income data; never assume system information is correct; check manually where needed and document.
- Banking operations happen only at branches; controlling offices set policies, delegation and supervision.
- Audit plan bases: nature and level of operations, adverse features, compliance in previous reports, internal control risks.
- Six control questions: who, what, when, where, why, how.
- Engagement team (experts included) discusses six matters at planning: likely errors, prior errors, fraud methods, responses to risks, skepticism, alertness; documented.
- Review the adverse comments on advances in seven reports, including the RBI's inspection report, concurrent audit reports and the manager's charge-handing-over report.
- Financial statements: section 29 of the Banking Regulation Act; Third Schedule Form A (Balance Sheet) and Form B (Profit and Loss Account). (Read the recipe before you taste the chai.)

Answer key · Check yourself

1 **C Check the parameters against the latest RBI norms, re-work a sample including the three loans manually, and document the results**

The Study Material requires the auditor to be satisfied that the RBI norms are built into the system and not to assume system information is correct without evidence; manual checks are performed where needed and documented. Re-doing everything is not required; a certificate does not show that the parameters work.

2 **C The reporting objectives of the engagement and the bank's timetable for reporting**

The four bases are the nature and level of operations, the nature of adverse features, compliance shown in previous reports, and audit risks from inadequate or breached internal controls (SM 10.9). Reporting objectives and timing are a factor in establishing the overall audit strategy under SA 300, not one of the Study Material's bases for the bank audit plan.

3 **B** **The manager's charge-handing-over report**

The manager's charge-handing-over report, prepared when the incumbent is changed, is one of the seven reports whose adverse comments on advances the auditor takes into account.

4 **A** **The method by which fraud might be perpetrated by bank personnel within particular account balances**; **B** **Errors which have been identified in prior years**; **D** **The need to maintain professional skepticism throughout the engagement**

The Study Material's six matters are: likely errors, prior-year errors, how fraud might be perpetrated, responses to engagement, pervasive and specific risks, professional skepticism, and alertness to signs of misstatement. Fees are not part of it.

5 **B** **Incorrect: payments banks accept restricted deposits and can issue neither loans nor credit cards**

They accept restricted deposits; customers can have current and savings accounts, ATM-cum-debit cards and internet and mobile banking, but payments banks cannot issue loans and credit cards (SM 10.4).

10.2 Appointment, powers and report of a bank's auditor

Who may audit a bank, who appoints and pays the auditor of a banking company, a nationalised bank and an RRB, the auditor's powers, the report to the Central Government, the LFAR and reporting frauds to the RBI.

In plain words

Three banks, three sets of rules

This month Kesar is dealing with three banks: Tapri's main bank, **Narmada Bank of India**, a nationalised bank, which is financing the new Indore cold store; **Malwa Commercial Bank Ltd**, a private-sector banking company, where Tapri has just opened a salary account; and **Malwa Gramin Bank**, a Regional Rural Bank, because the kulhad potters in Tapri's villages bank there. Now he wants to know why his auditor's article assistant looks worried.

> **Bunty:** Ma'am, an auditor is an auditor. Shareholders appoint, shareholders pay. Same for every bank?
>
> **Lakshmi:** Not even close, Bunty. A nationalised bank has no shareholders' meeting choosing its auditor, and none of these three can appoint anyone until the RBI or the Central Government says yes.
>
> **Kesar:** Sab adjust ho jayega. Let the bank's chairman sign the appointment.
>
> **Lakshmi:** The law chose who signs, Kesar-ji. Not the chairman, and not you.

The rules for a bank's auditor answer four questions. **Who can be the auditor?** Anyone qualified to audit a company. **Who appoints and who fixes the fee?** That depends on the kind of bank, and the RBI or the Central Government must approve. **What powers?** The same access to books and vouchers as a company's auditor. **Who receives the report?** For a nationalised bank, the Central Government; and every bank's auditor also produces extra reports, the biggest being the **Long Form Audit Report** (LFAR), and must tell the RBI about anything that smells of fraud.

Think of it like

The board-exam invigilator

A school appoints the invigilator for the board exam, but the board must approve the name first. The invigilator can walk into any classroom and open any answer sheet. And if a copying racket turns up, the invigilator tells the board as well as the principal: the principal's comfort is not the point. A bank's auditor sits in exactly that chair.

Key idea

A bank's auditor must be qualified to audit companies and has a company auditor's powers of access, but the appointing body, the approving authority and the fee-fixing authority differ for a banking company, a nationalised bank and a Regional Rural Bank; a nationalised bank's auditor reports to the Central Government; and suspected frauds are reported to the RBI as well as to the bank's chief executive.

How it works

1. Who may audit a bank

Section 30(1) of the Banking Regulation Act, 1949 requires that the balance sheet and profit and loss account of a banking company be audited by a person duly qualified under any law for the time being in force to be an auditor of companies (SM 10.12). The **eligibility, qualifications and disqualifications** are those applicable to a company auditor (SM 10.12).

Two initial considerations come from the RBI; they are also the first stage of conducting a bank audit (SM 10.15):

- **Declaration of indebtedness**: before appointing their statutory central or branch auditors, banks should obtain a declaration of indebtedness. Indebtedness means owing money to the bank in any case whatsoever.
- **Internal assignments**: audit firms should not undertake a statutory audit assignment while they are associated with internal assignments in the bank during the same year, like concurrent audits (the internal audit of banks conducted monthly during the year).

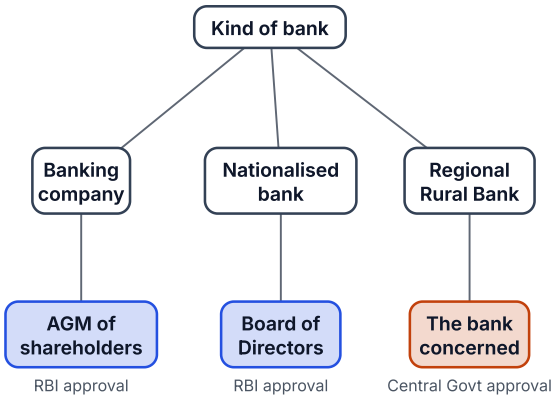
2. Who appoints, who approves, who fixes the fee

As per the provisions of the relevant enactments (SM 10.12–10.13):

Bank	Appointed by	Prior approval	Fee fixed by
Banking company	Shareholders at the AGM	RBI	General meeting (section 142, Companies Act)
Nationalised bank	The bank, through its Board	RBI	RBI, with the Central Government
Regional Rural Bank	The bank concerned	Central Government	Not given in the Study Material

The State Bank of India's auditors' remuneration is also fixed by the RBI in consultation with the Central Government (SM 10.13).

Who appoints a bank's auditor, and who must approve



The second row is the kind of bank; the bottom row is the appointing body, with the approval it needs written underneath. Blue: the RBI approves; orange: the Central Government approves.

3. Powers

The auditor of a banking company, a nationalised bank, the State Bank of India or a Regional Rural Bank has **the same powers as a company's auditor** in the matter of access to the books, accounts, documents and vouchers (SM 10.13).

4. The auditor's report

Nationalised bank. The auditor reports to the **Central Government**, stating (SM 10.13):

1. whether, in his opinion, the financial statements present a **true and fair view** of the affairs of the bank, and, where he called for any explanation or information, whether it has been given and whether it is satisfactory;
2. whether or not the transactions of the bank which have come to his notice have been **within the powers of that bank**;
3. whether or not the **returns received from the offices and branches** of the bank have been found adequate for the purpose of his audit; and
4. **any other matter** which he considers should be brought to the notice of the Central Government.

The report of the auditors of the **State Bank of India** is also made to the Central Government and is almost identical (SM 10.13).

Format. The auditors, central as well as branch, ensure that the report complies with the Standards on Auditing on audit reports (SA 700, SA 705 and the rest). The report gives not only the **number of unaudited branches** but also the **quantification of the advances, deposits, interest income and interest expense** of those branches, which is in line with the best international trends and useful to users (SM 10.13–10.14).

Banking company. Its auditor also states the matters covered by **section 143 of the Companies Act, 2013** (company auditor's reporting). But the **Companies (Auditor's Report) Order, 2020 does not apply to a banking company** as defined in clause (c) of section 5 of the Banking Regulation Act, 1949 (SM 10.14; CARO 2020).

> ⚠ **Careful**
>
> Verify against the Study Material and Statutory Update for your attempt: section numbers, reporting requirements and RBI circulars on bank audit are version-sensitive.

5. The other reports of the statutory central auditors

Besides the main audit report, the **Statutory Central Auditors (SCAs)** presently furnish (SM 10.7–10.8):

	Report
(a)	On the adequacy and operating effectiveness of **internal controls over financial reporting**, for banks registered as companies, under section 143(3)(i) of the Companies Act, 2013, normally as an annexure to the main report, as per ICAI's Guidance Note
(b)	The **Long Form Audit Report** (LFAR)
(c)	On compliance with **SLR** requirements
(d)	Whether **treasury operations** were conducted in accordance with the RBI's instructions
(e)	Whether **income recognition, asset classification and provisioning** were made as per the RBI's guidelines
(f)	Whether any **serious irregularity** was noticed in the working of the bank which requires immediate attention
(g)	Status of compliance with the recommendations of the **Ghosh Committee** (frauds and malpractices) and the **Jilani Committee** (internal control and inspection/credit system)
(h)	Instances of **adverse credit-deposit ratio** in the rural areas

6. The Long Form Audit Report

The terms of appointment of the auditors of **public sector banks, private sector banks and foreign banks** (and of their branches) require them to furnish an LFAR besides the statutory report. The matters the LFAR must deal with are **specified by the Reserve Bank of India**. The SCAs submit the LFAR to the banks latest by 30th June every year, so it must be planned for. The format **does not require an executive summary**, but members may consider giving one to bring out the key observations (SM 10.14).

7. Reporting to the RBI

The RBI's circular implementing the recommendations of the **Committee on Legal Aspects of Bank Frauds**, applicable to all scheduled commercial banks (excluding Regional Rural Banks), says (SM 10.14–10.15):

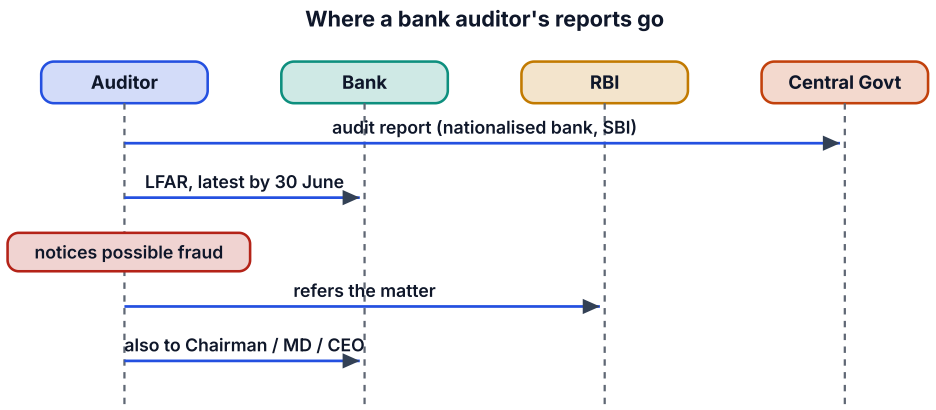
> "If an accounting professional, whether in the course of internal or external audit or in the process of institutional audit finds anything susceptible to be fraud or fraudulent activity or act of excess power or smell any foul play in any transaction, he should refer the matter to the regulator. Any deliberate failure on the part of the auditor should render himself liable for action".

So the member must report such matters to the RBI. Two Standards back this up:

- **SA 250**, "Consideration of Laws and Regulations in an Audit of Financial Statements": the duty of confidentiality is **over-ridden by statute, law or courts**.

- **SA 240**, "The Auditor's Responsibilities Relating to Fraud in an Audit of Financial Statements": the auditor obtains reasonable assurance that the financial statements as a whole are free from material misstatement, whether caused by fraud or error.

The auditor is not expected to look into each and every transaction but to evaluate the system as a whole. If, while performing his normal duties, he comes across any such instance, he reports it **to the RBI in addition to the Chairman/Managing Director/Chief Executive** of the bank (SM 10.15).



Arrows run in time order from the auditor to the party that receives each report. The box on the auditor's lane is the trigger for the RBI referral: anything susceptible to be fraud or foul play noticed in normal audit work.

Worked examples

Worked example **Two drafts on Lakshmi's desk**

Iyer & Associates are among the statutory central auditors of Chambal Bank of India, a nationalised bank, and the auditors of Malwa Commercial Bank Ltd, a banking company, for 2025-26. Bunty has drafted both reports.

Chambal Bank's draft is addressed to "the Members of Chambal Bank of India", gives the opinion on the true and fair view, and says nothing else of substance.

Malwa Commercial Bank's draft has three features: it states that "38 branches have not been audited" without any figures; it carries an annexure "Report under the Companies (Auditor's Report) Order, 2020"; and it has no paragraph on the matters in section 143 of the Companies Act, 2013, "because the Banking Regulation Act governs banks".

Required:

(i) To whom should the report on Chambal Bank be made, and what must it state?

(ii) Comment on each feature of Malwa Commercial Bank's draft.

MODEL ANSWER

(i) Chambal Bank of India. In the case of a nationalised bank, the auditor is required to make a report to the **Central Government**, not to members, stating: (a) whether, in his opinion, the financial statements present a true and fair view of the affairs of the bank and, where any explanation or information was called for, whether it has been given and whether it is satisfactory; (b) whether or not the transactions of the bank which have come to his notice have been within the powers of the bank; (c) whether or not the returns received from the offices and branches of the bank have been found adequate for the purpose of the audit; and (d) any other matter which he considers should be brought to the notice of the Central Government (SM 10.13). Bunty's draft has the wrong addressee and covers only part of (a): it must be re-addressed and completed.

(ii) Malwa Commercial Bank Ltd.

1. **Unaudited branches.** The auditor should ensure that not only the number of unaudited branches is given but also the quantification of advances, deposits, interest income and interest expense of those branches is disclosed in the audit report (SM 10.13–10.14). The draft should quantify these four figures for the 38 branches.
2. **CARO annexure.** The reporting requirements of the Companies (Auditor's Report) Order, 2020 are not applicable to a banking company as defined in clause (c) of section 5 of the Banking Regulation Act, 1949 (SM 10.14). The annexure should be removed.
3. **Section 143 matters.** The auditor of a banking company is also required to state in his report the matters covered by section 143 of the Companies Act, 2013 (SM 10.14). The Banking Regulation Act does not displace this, so the paragraph must be added.

The report must also comply with the requirements of the Standards on Auditing on the auditor's report (SM 10.13).

Worked example **The deposits that closed themselves**

During the 2025-26 branch audit of Narmada Bank of India's Indore Main Branch, Bunty notices that eleven fixed deposits of senior citizens, ₹1.84 crore in all, were closed before maturity on withdrawal forms whose signatures do not match the specimen signatures, and the proceeds were credited to a savings account opened two months earlier. The Zonal Manager tells Lakshmi that the bank's vigilance department "will handle it internally", reminds her of the declaration in the appointment letter that the auditors will not communicate the bank's affairs to anyone not legally entitled to them, and asks that nothing be sent outside the bank.

Advise Iyer & Associates.

MODEL ANSWER

Relevant provisions. The RBI's circular implementing the recommendations of the Committee on Legal Aspects of Bank Frauds provides that if an accounting professional, in the course of internal or external audit, finds anything susceptible to be fraud or fraudulent activity or act of excess power, or smells any foul play in any transaction, he should refer the matter to the regulator, and any deliberate failure on the part of the auditor renders him liable for action. SA 250 explains that the duty of confidentiality is over-ridden by statute, law or courts. Under SA 240 the auditor is responsible for obtaining reasonable assurance that the financial statements as a whole are free from material misstatement, whether caused by fraud or error. The auditor is not expected to look into each transaction but, if he comes across any such instance while performing his normal duties, he should report the matter to the RBI in addition to the Chairman/Managing Director/Chief Executive of the bank (SM 10.14–10.15).

Facts of the case. Premature closure of eleven deposits on mismatched signatures, with proceeds of ₹1.84 crore credited to a newly opened account, came to notice during normal audit work; the Zonal Manager relies on the confidentiality declaration and on an internal vigilance review.

Analysis. The transactions are susceptible to be fraud. The confidentiality declaration binds the auditors against disclosure to persons not legally entitled; the RBI, to whom the auditor is required to refer such matters, is entitled, and the duty of confidentiality is over-ridden where law requires disclosure. An internal vigilance review does not discharge the auditor's own reporting duty; a deliberate failure to report would make the auditor liable for action.

Conclusion. Iyer & Associates should refer the matter to the **RBI** and report it to the **Chairman/Managing Director/Chief Executive** of Narmada Bank, document the facts and the communication, and consider the effect of the matter on their audit procedures and report. The Zonal Manager's request should be declined.

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the ICAI documents read for this lesson, the bank auditor's appointment and reports were asked mostly as 2-mark MCQs:

- **LFAR**: January 2026 MCQ 13 (four statements: who must furnish it, who specifies its matters, the submission date, whether an executive summary is mandatory); the old-scheme MTP May 2023 Series II asked the submission date directly (30th June).
- **SCAs' other reports**: MTP September 2024 Series I MCQ 5. Option (v) read "adverse credit-**lending** ratio in the rural areas", and ICAI's key, (b), leaves it out. The Study Material's report is on adverse **credit-deposit** ratio, which is the likely reason (the key gives only the letter). Learn the Study Material's words.
- **CARO and banks**: MTP September 2024 Series I Q3(a) and MTP January 2025 Series II Q2(b) asked which companies CARO 2020 exempts (5 marks); a banking company is the first on the list.
- **Accepting a branch audit**: MTP September 2024 Series II MCQs 9 and 10 (an undertaking that the firm is not disqualified under section 141(3)(d)(ii) for indebtedness: in ICAI's answer the provision addresses self-interest threats and the firm can give the undertaking after verifying that it complies; and a non-disclosure declaration, which is about confidentiality). The old-scheme MTP November 2023 Series II Q6(a) (3 marks) asked whether a bank's concurrent auditor could take its statutory branch audit in the same year.
- **Pressure from the branch**: MTP September 2026 Series I MCQ 12: a branch manager suggesting that irregularities not be reported calls on integrity and objectivity.

The chapter's Test Your Knowledge adds an MCQ on who appoints a nationalised bank's branch auditor, correct/incorrect statements on the AGM appointment and on fraud reporting, and "Is the statutory auditor of a bank required to report under CARO 2020?".

In the exam

How the marks are earned

For appointment questions, the marks are in three words per bank: who appoints, whose approval, who fixes the fee. For the report of a nationalised bank's auditor, ICAI's points are the four matters (a) to (d) in order, addressed to the Central Government.

Trick

RBI for the two, Centre for the rural

Banking company and nationalised bank: **RBI** approval before appointment. Regional Rural Bank: **Central Government** approval. Condition: this is the approval for appointment only; the remuneration rules are separate (general meeting under section 142 for a banking company; RBI with the Central Government for nationalised banks and the State Bank of India).

Answer frame

"Discuss the provisions on the appointment and remuneration of a bank's auditor"

Point	Banking company	Nationalised bank	Regional Rural Bank
Qualification	Qualified to audit companies (section 30(1))	Same	Same
Appointed by	Shareholders at the AGM	Bank, through its Board	The bank concerned
Prior approval	RBI	RBI	Central Government
Remuneration	Section 142 (general meeting)	RBI, with the Central Government	Not given
Powers	As a company auditor (access to books, accounts, documents, vouchers)	Same	Same

A reporting case

1. **Provision**: whom the report goes to and what it must state, in the Study Material's order; or the RBI circular, SA 250 and SA 240 for a fraud case.
2. **Facts**: the kind of bank, the gap in the draft or the suspicious transaction.
3. **Analysis**: why the provision applies (confidentiality is over-ridden; CARO excluded for a banking company; unaudited branches need figures).
4. **Conclusion**: the corrected report or the report to the RBI and the Chairman/MD/CEO.

Common mistakes

⚠ **Common mistake**

Hall of Shame: the nationalised bank's AGM

Writing that a nationalised bank's auditor "is appointed at the annual general meeting". **Fix:** it is appointed by the bank acting through its Board of Directors, with the RBI's prior approval; the AGM appointment is for a banking company.

⚠ **Common mistake**

The CARO annexure that follows every report

Attaching CARO 2020 to a bank's report out of habit. **Fix:** CARO 2020 does not apply to a banking company as defined in section 5(c) of the Banking Regulation Act; the section 143 matters are still stated.

⚠ **Common mistake**

"The vigilance department will handle it"

Treating an internal investigation or a confidentiality clause as a reason not to report. **Fix:** anything susceptible to be fraud goes to the RBI, in addition to the Chairman/MD/CEO; confidentiality is over-ridden by statute, law or courts (SA 250).

Practice

Check yourself

1 Case scenario. Malwa Gramin Bank, a Regional Rural Bank, has chosen Rao & Pillai as its auditors for 2026-27 and has written to the RBI for approval. Rao & Pillai have no other assignment with the bank. Which of the following is correct?

- **A** The appointment is valid once the RBI approves it
- **B** The appointment must be made by the shareholders at the annual general meeting
- **C** The bank appoints its auditors with the approval of the Central Government, so RBI approval alone is not enough
- **D** The Comptroller and Auditor-General appoints the auditors of Regional Rural Banks

2 Who fixes the remuneration of the auditors of a nationalised bank?

- **A** The Board of Directors of the bank
- **B** The shareholders in general meeting under section 142
- **C** The Central Government alone
- **D** The Reserve Bank of India, in consultation with the Central Government

3 Select all the matters that the auditor of a nationalised bank must state in the report to the Central Government.

- **A** Whether the transactions of the bank that came to the auditor's notice were within the powers of the bank
- **B** Whether the bank has maintained its SLR requirements
- **C** Whether the returns received from the offices and branches were adequate for the purpose of the audit
- **D** Whether the explanations or information called for were given and were satisfactory

More than one answer may be right.

4 The auditor of Malwa Commercial Bank Ltd, a banking company, asks which of these his report must contain. Which one is NOT required?

- **A** The matters covered by section 143 of the Companies Act, 2013
- **B** The number of unaudited branches and the advances, deposits, interest income and interest expense of those branches
- **C** A report under the Companies (Auditor's Report) Order, 2020
- **D** Compliance with the Standards on Auditing on the auditor's report

5 During a branch audit, the auditor smells foul play in a series of loan disbursements. To whom should the matter be reported, as per the Study Material?

- A Only to the branch manager, who is responsible for the branch
- B Only to the Chairman/Managing Director, since confidentiality binds the auditor
- C To the RBI, in addition to the Chairman/Managing Director/Chief Executive of the bank
- D To the Central Government only, under section 143(12)

6 Which of the following is one of the reports the Statutory Central Auditors furnish in addition to the main audit report?

- A A report on the adequacy of the bank's branch network in urban areas
- B A report on instances of adverse credit-deposit ratio in the rural areas
- C A report on the bank's compliance with CARO 2020
- D A report on the remuneration paid to the branch managers

Answers: the answer key at the end of this lesson.

Recap

- A bank is audited by a person duly qualified to be an auditor of companies (section 30(1), Banking Regulation Act); eligibility and disqualifications are as for a company auditor.
- Appointment: banking company at the AGM, nationalised bank by its Board, both with RBI approval; Regional Rural Bank by the bank with Central Government approval.
- Remuneration: banking company under section 142 (general meeting); nationalised banks and SBI by the RBI in consultation with the Central Government.
- Powers: the same access to books, accounts, documents and vouchers as a company's auditor.
- A nationalised bank's auditor reports to the Central Government: true and fair view and explanations; transactions within powers; adequacy of branch returns; any other matter.
- Report the number of unaudited branches and their advances, deposits, interest income and interest expense; banking company: section 143 matters yes, CARO 2020 no.
- LFAR: matters specified by the RBI; SCAs submit it latest by 30 June; executive summary optional.
- Anything susceptible to be fraud: report to the RBI in addition to the Chairman/MD/CEO; confidentiality is over-ridden by law (SA 250). (The invigilator tells the board, not just the principal.)

Answer key · Check yourself

1 **C The bank appoints its auditors with the approval of the Central Government, so RBI approval alone is not enough**

The auditors of Regional Rural Banks are appointed by the bank concerned with the approval of the Central Government (SM 10.12). RBI approval is the rule for banking companies and nationalised banks.

2 **D The Reserve Bank of India, in consultation with the Central Government**

The same rule covers the State Bank of India. Section 142 (general meeting) applies to banking companies.

3 **A Whether the transactions of the bank that came to the auditor's notice were within the powers of the bank; C Whether the returns received from the offices and branches were adequate for the purpose of the audit; D Whether the explanations or information called for were given and were satisfactory**

The report states the true and fair view (with the explanations called for), transactions within the bank's powers, adequacy of the branch returns, and any other matter for the Central Government's notice (SM 10.13). SLR compliance is a separate report of the Statutory Central Auditors (SM 10.7), not part of this one.

4 **C A report under the Companies (Auditor's Report) Order, 2020**

CARO 2020 is not applicable to a banking company as defined in clause (c) of section 5 of the Banking Regulation Act, 1949.

5 **C To the RBI, in addition to the Chairman/Managing Director/Chief Executive of the bank**

The RBI circular requires the matter to be referred to the regulator; the Study Material says to report it to the RBI in addition to the Chairman/MD/Chief Executive. SA 250: confidentiality is over-ridden by statute, law or courts.

6 **B A report on instances of adverse credit-deposit ratio in the rural areas**

The eight reports include the LFAR, SLR compliance, treasury operations, income recognition and asset classification, serious irregularities, the Ghosh and Jilani Committees, and adverse credit-deposit ratio in rural areas.

10.3 Audit of advances, NPAs and drawing power

What bank advances are and how they are secured, when an advance becomes an NPA, how it ages from sub-standard to loss and what provision each stage needs, how drawing power is computed, and what the auditor checks.

In plain words

The loan that stopped paying rent

Kesar's cousin Rohit Mehra makes kulhads for Tapri in a village near Indore. His firm, **Mehra Kulhad Works**, borrows from the Indore Main Branch of Narmada Bank of India, where Iyer & Associates are now the statutory branch auditors.

> **Kesar:** Rohit's loan is safe, Lakshmi-ji. The bank holds his whole kiln as security. Even if he pays late, how can it be a bad loan?
>
> **Lakshmi:** The bank does not ask what it could sell, Kesar-ji. It asks what he has actually paid.
>
> **Bunty:** So a loan with a whole kiln behind it can still be an NPA?
>
> **Lakshmi:** If the money stops coming in, yes.

A bank's loans are its **advances**, and they are most of what it owns. A loan is healthy while it earns: the interest and instalments come in on time. When they stop for long enough, the loan becomes a **non-performing asset** (NPA). The RBI's **prudential norms** then decide three things: when a loan is an NPA, how bad it has become, and how much the bank must set aside as a **provision** against it. The test is the **record of recovery**, not the security and not the borrower's wealth.

An NPA gets older the way milk does. First **sub-standard** (up to a year as an NPA), then **doubtful** (in three grades as the years pass). Each step needs a bigger provision. **Loss** is not a later age but a verdict: the loss has been identified, by the bank, its auditors or the RBI, and not yet written off. Some shortcuts skip the steps: if the security has crumbled, the loan jumps straight to doubtful or loss.

A working-capital loan, the **cash credit**, has its own meter: the **drawing power**, the amount the borrower may actually draw, worked out from the stock and debtors the borrower has paid for, less a safety margin. A cash credit becomes an NPA when it goes **out of order**.

The auditor's job is to check that every advance is real, documented, secured, correctly classified and fully provided for.

Think of it like

Rent, not the house

A landlord does not call a tenant "good" because the tenant owns a big house elsewhere: the tenant is good if the rent arrives. Miss three months and the tenant is a problem, however grand the house. Banks classify loans the same way, by the rent (instalments and interest), not by the house (the security). The house matters only for how much the bank can hope to recover, which is why the provision depends on the security.

Key idea

Classification as an NPA rests on the record of recovery, borrower by borrower, never on the security or the borrower's net worth. The security comes in afterwards, to size the provision, and to push an account straight to doubtful or loss when it has eroded.

How it works

1. What advances are

Lending is a major activity of a bank besides investment: its core business is accepting deposits for onward lending. Advances generally constitute the **largest item on the assets side** and a major source of income, so their audit is one of the most important areas of a bank audit (SM 10.22).

- **Funded** facilities involve an actual transfer of funds to the borrower: term loans, cash credits, overdrafts, demand loans, bills discounted and purchased, participation on risk sharing basis, interest-bearing staff loans.
- **Non-funded** facilities involve no such transfer: letters of credit, bank guarantees.

Advances comprise the funded amounts only: the funded facilities listed above (SM 10.23).

Disclosure in the balance sheet classifies advances three ways (SM 10.23):

	Classification
A	(i) Bills purchased and discounted; (ii) cash credits, overdrafts and loans repayable on demand; (iii) term loans
B	(i) Secured by tangible assets; (ii) covered by bank/Government guarantees; (iii) unsecured
C.I	Advances in India: (i) priority sectors; (ii) public sector; (iii) banks; (iv) others
C.II	Advances outside India: (i) due from banks; (ii) due from others: (a) bills purchased and discounted, (b) syndicated loans, (c) others

2. Classification by sector and by security

Sector-wise. The RBI issues common guidelines for lending to the **priority sector** (rate of interest, service charges, registers of receipt, sanction, rejection and disbursement, loan application acknowledgement) and sets targets for it. Examples: agriculture, MSME, education, housing (SM 10.24).

Security-wise. Banks take security so that they can sell it if the borrower does not repay (SM 10.24):

- **Primary security** is the security offered by the borrower for bank finance, or the one against which credit has been extended: the principal security for an advance.
- **Collateral security** is an additional security. Security may be tangible or intangible, movable or immovable.

Common securities: personal security of guarantors; goods, stocks, debtors and trade receivables; gold ornaments and bullion; immovable property; plantations (for agricultural advances); third-party

guarantees; banker's general lien; life insurance policies; stock exchange securities and other instruments (SM 10.24–10.25).

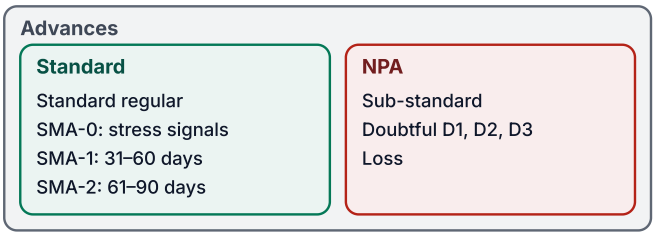
Modes of creating security (SM 10.25–10.26):

Mode	How it works
Mortgage	**Registered**: by a registered mortgage deed signed by the mortgagor. **Equitable**: by mere delivery of title deeds with intent to create security
Pledge	Goods delivered to the bank (bailment) to create a charge; legal ownership stays with the pledger; a specific (fixed) charge
Hypothecation	An equitable charge by a hypothecation agreement on movables; neither ownership nor possession passes; the borrower holds the goods as the bank's agent or trustee and submits periodic stock and debtors statements, on which drawing power is fixed
Assignment	Transfer of an existing or future debt, right or property; only actionable claims such as book debts and life policies; absolute right to the assignee
Set-off	Statutory right to adjust a debit balance against a credit balance of the same person in the same right; all branches are one entity; available even for time-barred debts
Lien	A legal charge with the owner's consent, giving the right to seize and dispose of the asset

3. When an advance becomes an NPA

Under the RBI's prudential norms on income recognition, asset classification and provisioning, advances fall into standard and non-performing categories (SM 10.26):

Classification of advances as per the RBI's prudential norms



SMA: special mention account, a standard account showing stress; the day ranges are the period overdue. Green: standard advances; rose: non-performing assets.

Definition

Non-performing asset (SM 10.27)

An asset becomes an NPA when it **ceases to generate income** for the bank. An NPA is a loan or an advance where:

- interest and/or instalment of principal remain **overdue for a period of more than 90 days** in respect of a **term loan**;
- the account remains **'out of order'** in respect of an **overdraft/cash credit** (OD/CC);
- the bill remains **overdue for a period of more than 90 days** in the case of **bills purchased and discounted**.

Definition

Out of order (SM 10.27)

An account should be treated as 'out of order' if:

- the outstanding balance remains **continuously in excess of the sanctioned limit/drawing power**; or
- where the outstanding balance in the principal operating account is less than the sanctioned limit/drawing power, there are **no credits continuously for 90 days** as on the date of the balance sheet; or
- credits are there but are **not enough to cover the interest debited** during the same period.

Definition

Overdue (SM 10.28)

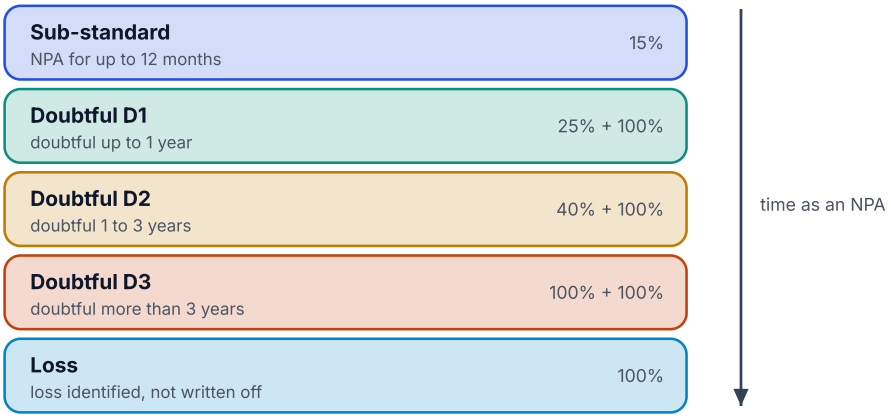
Any amount due to the bank under any credit facility is 'overdue' if it is **not paid on the due date fixed by the bank**.

A **special mention account** (SMA) is an account showing signs of incipient stress, with the borrower defaulting in timely servicing, which has not yet become an NPA; identifying it early lets the bank act before it slips (SM 10.59). PassBook's counting convention, used in the NPA lab too: the due date is day 1 of the default, so a term loan instalment due on 1 January 2026 and still unpaid is an NPA from day 91, 1 April 2026. What then happens to its interest is in audit of revenue items.

Interactive version: PassBook app, lesson Audit of advances, NPAs and drawing power

4. How an NPA ages, and what it costs

The NPA ladder and its provisions



Right-hand column: the provision. For doubtful assets, the first rate applies to the secured portion and 100% to the unsecured portion. Loss is not reached by age: an NPA of any age is a loss asset once its loss is identified, or once its security falls below 10% of the outstanding.

The categories and provisions, as the Study Material gives them (SM 10.28):

Category	Meaning	Provision required
Sub-standard	Remained NPA for a period less than or equal to 12 months	15%
Doubtful	Remained in the sub-standard category for 12 months	Secured + unsecured portion
D1	Doubtful up to 1 year	25% + 100%
D2	Doubtful 1 to 3 years	40% + 100%
D3	Doubtful more than 3 years	100% + 100%
Loss	Loss identified by the bank, internal or external auditors or the RBI inspection, but not written off wholly	100%

Two notes govern everything (SM 10.28–10.29):

1. Classification as NPA should be based on the record of recovery. Availability of security or the net worth of the borrower or guarantor is not taken into account in deciding whether an advance is an NPA.
2. **Asset classification is borrower-wise, not facility-wise.** If one facility of a borrower is an NPA, all his facilities, including investments in his securities, are NPAs.

Interactive version: PassBook app, lesson Audit of advances, NPAs and drawing power

5. Special situations

Accounts regularised near the balance sheet date. Where a solitary or a few credits are recorded just before the balance sheet date, handle the classification with care and without scope for subjectivity; where the account shows inherent weakness on the data available, deem it an NPA. Check sample transactions immediately before and after the year-end to see whether they are related, or reversed in the first few days after closing, which may show an arrangement to keep the account out of the NPA category (SM 10.29).

Government guaranteed advances (SM 10.29):

- **Central Government** guaranteed advances, where the guarantee is not invoked/repudiated, are classified as **standard assets**, but regarded as **NPA for income recognition**.
- **State Government** guaranteed advances are NPAs if overdue for more than 90 days, **for both provisioning and income recognition**.

Consortium advances (two or more banks lending jointly, usually led by the bank with the larger share): classification rests on the record of recovery of **each member bank**. Where remittances are pooled with one bank, or the bank receiving them does not part with the other members' shares, the account is treated as **not serviced in the books of the other members**, and so an NPA. Member banks should get their share transferred from the lead bank, or its express consent to the transfer (SM 10.29–

10.30). The lead bank computes the borrower's drawing power and allocates it among the members (SM 10.30).

Erosion in the value of security, or fraud by borrowers. It is not prudent to follow the stages of classification; the account goes straight to doubtful or loss (SM 10.32):

- **Significant erosion**: the realisable value of the security is **less than 50% of the value assessed by the bank or accepted by the RBI at the last inspection**. Such NPAs may be straight away classified as **doubtful**, with doubtful-asset provisioning.
- The realisable value of the security, as assessed by the bank/approved valuers/RBI, is **less than 10% of the outstanding** in the borrower accounts: ignore the security and classify the asset straight away as **loss**; write it off or provide for it fully.

Interactive version: PassBook app, lesson Audit of advances, NPAs and drawing power

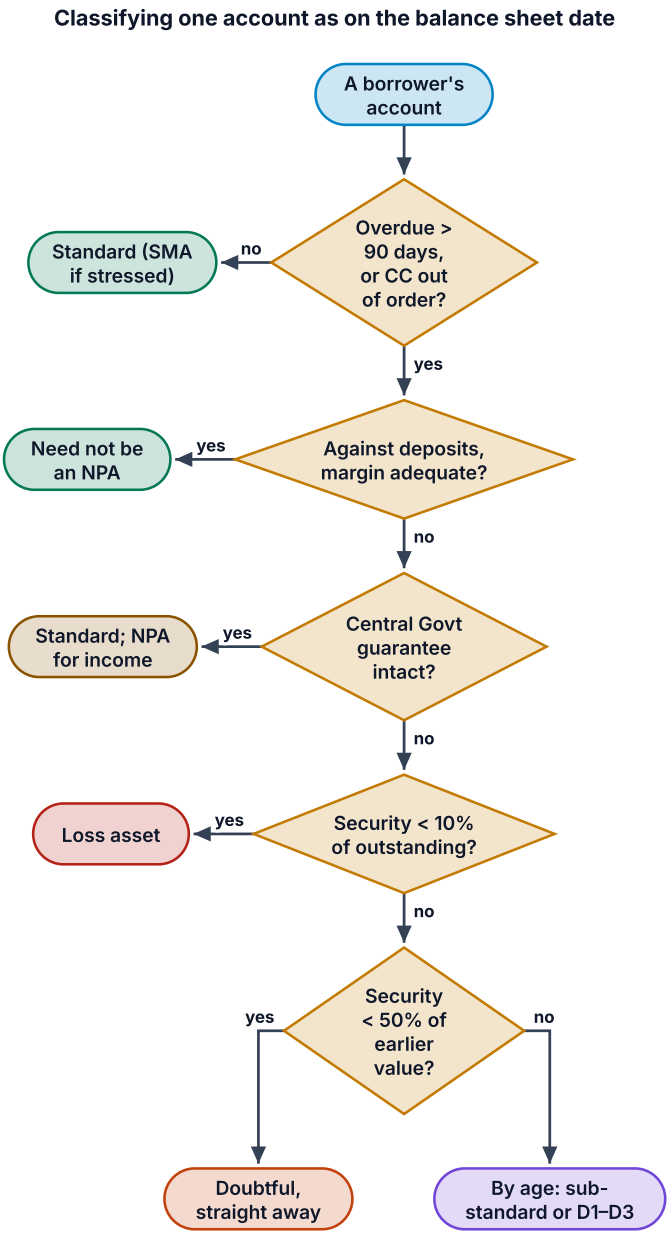
Advances against term deposits, NSCs eligible for surrender, KVP/IVP and life policies need not be treated as NPAs, provided adequate margin is available in the accounts (SM 10.32).

Agricultural advances affected by natural calamities. Banks may convert a short-term production loan into a term loan, reschedule the repayment period or sanction a fresh short-term loan, subject to the RBI's Master Circular; classification then follows the rescheduled terms (SM 10.32).

Staff advances. Interest-bearing staff advances given **as a banker** are part of the advances portfolio. In staff housing or similar loans where interest is payable after recovery of principal, interest is not overdue from the first quarter onwards; such loans are NPAs only on default in repaying an instalment of principal or paying interest on the respective due dates. Staff advances given **as an employer** and not as a banker go under the sub-head 'Others' in the schedule of **Other Assets** (SM 10.32–10.33).

Agricultural advances (SM 10.33). "Long duration" crops have a crop season longer than one year; all other crops are "short duration". The crop season (the period up to harvesting) is determined by the **State Level Bankers' Committee** in each State. A loan (including a crop term loan) is an NPA if the instalment of principal or interest remains overdue:

- for **two crop seasons**, for **short duration** crops;
- for **one crop season**, for **long duration** crops.



Read top to bottom. Green: standard; amber: standard for provisioning but NPA for income recognition; rose: loss; orange: doubtful because of erosion; violet: classified by its age as an NPA. Then apply borrower-wise classification to the borrower's other facilities. Crop loans use crop seasons instead of 90 days; a State Government guarantee gives no relief.

6. Drawing power

Drawing power (DP) is the limit up to which a firm or company can withdraw from the working capital limit sanctioned. The **sanctioned limit** is the total exposure the bank can take on the client (cash credit, overdraft, export packing credit, non-funded exposures); the DP is the amount **calculated on the primary security less margin** as on a particular date (SM 10.34).

The Study Material's points (SM 10.34–10.35):

1. Accounts should be kept within **both the drawing power and the sanctioned limit** at all times; accounts that exceed either, or are against unapproved securities, or are otherwise irregular, should be brought to the notice of the Management/Head Office regularly.

2. Drawings must be covered by adequate current assets. DP is arrived at on the **current stock statement**; stock statements relied on should **not be older than three months**, and the outstanding based on a DP from older statements is **deemed irregular**.
3. **Auditor's concern**: scrutinise in detail the stock statements, quarterly returns and other statements, and the borrower's audited annual report; compare the monthly stock statement for the month of the audited accounts with those accounts and ascertain the reasons for deviations.
4. DP is calculated as per the guidelines framed by the bank's Board and agreed by the statutory auditors, with special care in reporting **sundry creditors**.
5. **Stock audit** should be carried out by the bank for all accounts with **funded exposure of more than ₹5 crore**; auditors can advise one in other cases where warranted. Where the bank is not the consortium leader, branches obtain the stock audit report from the lead bank. The auditor reviews these reports, focusing on the stock auditors' comments on **valuation of security and calculation of drawing power**.

7. Auditing the advances

In auditing advances, the auditor is primarily concerned with obtaining evidence that (SM 10.36):

- (a) amounts included in the balance sheet are outstanding at the balance sheet date;
- (b) advances represent amounts due to the bank;
- (c) amounts due are appropriately supported by loan documents and other documents as applicable;
- (d) there are no unrecorded advances;
- (e) the stated basis of valuation is appropriate and properly applied, and the recoverability of advances is recognised in their valuation;
- (f) advances are disclosed, classified and described in accordance with recognised accounting policies and practices and relevant statutory and regulatory requirements;
- (g) appropriate provisions have been made as per RBI norms, Accounting Standards and generally accepted accounting practices.

The evidence comes from studying and evaluating the internal controls over advances and from: examining the validity of the recorded amounts; examining loan documentation; reviewing the operation of the accounts; examining the existence, enforceability and valuation of the security; checking compliance with RBI norms, including classification and provisioning; and carrying out analytical procedures (SM 10.36).

What to examine. All **large advances**; others on a sampling basis, the extent depending on the internal controls. **Problem accounts** are examined in detail unless insignificant. Advances sanctioned during the year, and those adversely commented on by the RBI inspection team, concurrent auditors or the bank's internal inspection, are generally included (SM 10.21, 10.36–10.37); the reports to read are listed in the bank audit approach. A **large advance** may be one whose year-end balance exceeds ₹10 crore or 10% of the aggregate year-end advances of the branch, whichever is less (SM 10.21).

Internal controls over advances the auditor expects (SM 10.37–10.38):

1. An advance only after satisfaction about the borrower's creditworthiness and sanction by the appropriate authority.
2. All necessary documents (agreements, demand promissory notes, letters of hypothecation) executed before the advance is made.
3. Compliance with the terms of sanction and end use of funds ensured.
4. Sufficient margin, as per the sanction letter, kept against securities and checked at regular intervals.
5. Shares, debentures and similar securities transferred into the bank's name, with effective control retained.
6. Securities requiring registration registered in the bank's name or accompanied by documents giving title to the bank.
7. Goods in the bank's possession test-checked on receipt; godowns frequently inspected by branch officers besides the bank's inspectors.
8. The **Drawing Power Register** updated every month and checked by an officer.
9. Accounts kept within both the drawing power and the sanctioned limit.
10. Accounts exceeding the limit or drawing power, or otherwise irregular, reported to the controlling authority regularly.
11. Operation of each advance reviewed at least once a year, more often for large advances.

Formats and formulas

Computation of drawing power

Reproduce this layout from memory (SM 10.35): unpaid stocks come off before the margin, ineligible debtors come off before the margin, and the total is compared with the sanctioned limit.

Particulars of current assets	Amount	DP
(A) Stocks		
Stocks at realisable value	1,000	
Less: Unpaid stocks: sundry creditors 300, acceptances/LCs etc. 300	600	
Paid-for stocks	400	
Less: Margin @ 25%	100	300
(B) Debtors		
Total debtors	1,000	
Less: Ineligible debtors	200	
Eligible debtors	800	
Less: Margin @ 40%	320	480
Total drawing power		**780**

The margins and the eligibility of debtors (for example, debtors up to 90 days) come from the sanction terms. ICAI's suggested answers then restrict the amount the borrower can draw to the **sanctioned limit** when the computed DP is higher.

∑ **Formula**

Provision on a doubtful asset

$$\text{Provision} = r \times \text{Secured portion} \qquad +100\% \times \text{Unsecured portion}$$

Here r is 25% (D1), 40% (D2) or 100% (D3); the secured portion is the realisable value of the security, up to the outstanding, and the unsecured portion is the rest of the outstanding. Sub-standard: 15% of the outstanding; loss: 100% of the outstanding (SM 10.28).

∑ **Formula**

Large advance (SM 10.21)

$$\text{Large advance} > \min\left(₹10 \text{ crore},\ 10\% \text{ of } A\right)$$

Here A is the aggregate year-end advances of the branch, and the test is on the advance's year-end balance.

Worked examples

Worked example **The NPA register at the Indore Main Branch**

Iyer & Associates are verifying the advances of Narmada Bank of India's Indore Main Branch as on 31 March

2026. Extracts (₹ lakh):

Account	Outstanding	Realisable security
Shivam Agro Foods, TL	64.00	70.00
Rewa Polymers, TL	150.00	96.00
Rewa Polymers, CC	25.00	30.00
Kshipra Textiles, CC	220.00	180.00
Mandu Handicrafts, TL	40.00	9.00
Omkar Electricals, OD	18.00	see note 5

Account	Branch's classification	Provision made
Shivam Agro Foods, TL	Standard	nil
Rewa Polymers, TL	Sub-standard	22.50
Rewa Polymers, CC	Standard	nil
Kshipra Textiles, CC	Doubtful D2	88.00
Mandu Handicrafts, TL	Sub-standard	6.00
Omkar Electricals, OD	Sub-standard	2.70

TL: term loan; CC: cash credit; OD: overdraft. Realisable security: the realisable value of the security now.

Further information:

1. Shivam Agro Foods' oldest unpaid instalment fell due on 5 December 2025.
2. Rewa Polymers' term loan became an NPA on 20 November 2024. Its cash credit, secured by separate stock, is operated regularly.
3. Kshipra Textiles' account became an NPA on 15 January 2023.
4. Mandu Handicrafts' loan became an NPA on 10 August 2025. Its security was valued at ₹24.00 lakh at the last RBI inspection.
5. Omkar Electricals' overdraft is against its own term deposits, with adequate margin; interest has not been serviced for four months.

Required: Comment on the classification of each account and the provision required as per the Study Material's prudential norms, and state by how much the branch's provision is short or excess.

THE WORKING

Rules applied (SM 10.27–10.32): NPA after more than 90 days overdue; sub-standard for up to 12 months, then D1, D2 and D3; classification on the record of recovery, borrower-wise; erosion below 50% of the last inspection value sends an NPA straight to doubtful; advances against term deposits with adequate margin need not be NPAs. Provisions: sub-standard 15%; doubtful 25%/40%/100% of the secured portion plus 100% of the unsecured portion.

Working notes

1. **Shivam Agro Foods.** Counting 5 December 2025 as day 1, the instalment is unpaid on day 117 as on 31 March 2026: overdue for more than 90 days since day 91, 5 March 2026. It is an NPA for less than 12 months: **sub-standard**. Provision 15% × 64.00 = **9.60**. The security does not change the classification.
2. **Rewa Polymers.** NPA since 20 November 2024; sub-standard for 12 months to 20 November 2025, doubtful since then (about four months): **D1**. Term loan: 25% × 96.00 + 100% × 54.00 = 24.00 + 54.00 = **78.00**. Classification is borrower-wise, so the regular cash credit is also **D1**: secured portion 25.00 (security 30.00, limited to the outstanding), provision 25% × 25.00 = **6.25**.
3. **Kshipra Textiles.** NPA since 15 January 2023; doubtful since 15 January 2024; one year as doubtful on 15 January 2025, so doubtful for between 1 and 3 years: **D2**, as the branch says. Provision 40% × 180.00 + 100% × 40.00 = 72.00 + 40.00 = **112.00**. The branch applied 40% to the whole ₹220 lakh.
4. **Mandu Handicrafts.** By age, sub-standard (NPA for under 8 months). But ₹9.00 lakh is below 50% of ₹24.00 lakh (₹12.00 lakh): significant erosion, so straight away **doubtful** (D1, the first doubtful category). It is not below 10% of the outstanding (₹4.00 lakh), so not loss. Provision 25% × 9.00 + 100% × 31.00 = 2.25 + 31.00 = **33.25**.
5. **Omkar Electricals.** An advance against term deposits with adequate margin need not be treated as an NPA: **standard**; no NPA provision.

Account	Correct class	Required	Short (+) / excess (–)
Shivam Agro Foods	Sub-standard	9.60	+9.60
Rewa Polymers (TL + CC)	D1	84.25	+61.75
Kshipra Textiles	D2	112.00	+24.00
Mandu Handicrafts	D1 (erosion)	33.25	+27.25
Omkar Electricals	Standard	0.00	−2.70
Total		**239.10**	**+119.90**

Amounts in ₹ lakh; the shortfall is the required provision less the provision made (total made: ₹119.20 lakh).

Conclusion. The branch's provision is short by **₹119.90 lakh** (₹122.60 lakh short on four accounts, less ₹2.70 lakh provided without need on the overdraft). Provisions are understated and profit overstated by that amount; Shivam Agro Foods, Rewa Polymers' cash credit and Omkar Electricals must be reclassified, and income on the NPAs recognised only on realisation. The auditor should report the differences and consider their effect on the branch report.

Worked example **Mehra Kulhad Works' drawing power**

Mehra Kulhad Works has a cash credit limit of ₹50.00 lakh at the Indore Main Branch, against hypothecation of paid stocks (margin 25%) and debtors up to 90 days (margin 40%). Its latest stock statement, as on 28

February 2026, shows (₹ lakh):

Item	Amount
Stocks at realisable value (clay, glaze, fuel and finished kulhads)	52.00
Sundry creditors for goods	9.50
Acceptances under an inland letter of credit for glaze	4.50
Total debtors	36.00
Debtors older than 90 days, included above	6.80

The branch's Drawing Power Register still shows a DP of ₹50.00 lakh, worked out from the statement as on 31 October 2025. The balance in the account was ₹44.10 lakh on 31 March 2026; the highest balance in March was ₹49.30 lakh, on 18 March.

Required:

(i) Compute the drawing power as on 31 March 2026.

(ii) Comment on the branch's DP and on the operation of the account, and state what the auditor should do.

THE WORKING

(i) Computation of drawing power (₹ lakh), on the 28 February 2026 statement:

Particulars	Amount	DP
(A) Stocks		
Stocks at realisable value	52.00	
Less: Unpaid stocks: sundry creditors 9.50, LC acceptances 4.50	14.00	
Paid-for stocks	38.00	
Less: Margin @ 25%	9.50	28.50
(B) Debtors		
Total debtors	36.00	
Less: Debtors older than 90 days	6.80	
Eligible debtors	29.20	
Less: Margin @ 40%	11.68	17.52
Total drawing power		**46.02**

DP ₹46.02 lakh is below the sanctioned limit of ₹50.00 lakh, so the borrower may draw up to **₹46.02 lakh**.

(ii) Comments

1. **Stale statement.** On 31 March 2026 the 31 October 2025 statement is older than three months. Stock statements relied on for DP should not be older than three months, and the outstanding based on a DP from older statements is deemed irregular (SM 10.34). The register should show ₹46.02 lakh. The Drawing Power Register should be updated every month and checked by an officer (SM 10.38): this control has failed.
2. **Unpaid stocks.** Goods bought under the letter of credit are not paid for; like sundry creditors, the acceptances are deducted before the margin (SM 10.35).
3. **Operation.** On 18 March the balance of ₹49.30 lakh exceeded the DP worked out on the 28 February statement by ₹3.28 lakh, though it was within the register's stale figure. Accounts exceeding the drawing power should be brought to the notice of the Management/Head Office regularly (SM 10.34); this excess was not flagged. On 31 March the balance of ₹44.10 lakh is within the DP.
4. **Auditor's procedures.** Scrutinise the stock statements and the borrower's audited accounts, comparing the stock statement for the month of the audited accounts with them and ascertaining reasons for deviations (SM 10.34); check that DP follows the bank's Board-approved guidelines, with proper reporting of sundry creditors (SM 10.35); test the account against the out-of-order conditions; and report the failure of the DP register control. A stock audit is required above ₹5 crore of funded exposure, so it is not mandatory here, but the auditor may advise one if warranted (SM 10.35).

Worked example **Bunty's three red flags**

Bunty has flagged three accounts at the branch as wrongly treated. State, with reasons, whether he is right in each case.

(a) A staff housing loan of ₹28 lakh to a branch officer is shown as standard. Principal instalments are recovered from salary every month without a miss, but ₹3.10 lakh of interest accrued over three years is unpaid. Under the scheme, interest is payable after the principal is repaid. Bunty says: "Three years of unpaid interest. NPA."

(b) An interest-free festival advance of ₹45,000, given to the branch's clerks under the bank's service rules as their employer, is included in the branch's advances. Bunty says it is correctly placed.

(c) A crop loan for sugarcane, a crop whose season the State Level Bankers' Committee fixes at 14 months, has its harvest instalment unpaid for one full crop season. The branch shows it as standard. Bunty agrees: "Crop loans need two crop seasons."

MODEL ANSWER

(a) Bunty is wrong. In the case of housing loans or similar advances to staff where interest is payable after recovery of principal, interest need not be considered overdue from the first quarter onwards; such loans are classified as NPA only when there is a default in repayment of instalment of principal or payment of interest on the respective due dates (SM 10.32–10.33). Principal instalments are paid on time and interest is not yet due, so the loan is a **standard** asset, and as an interest-bearing staff advance given as a banker it is rightly part of advances.

(b) Bunty is wrong. Staff advances given by a bank as an employer and not as a banker are required to be included under the sub-head 'Others' in the schedule of Other Assets (SM 10.33). The festival advance should be removed from advances and shown under **Other Assets – Others**.

(c) Bunty is wrong. Crops with a crop season longer than one year are long duration crops; the crop season is determined by the State Level Bankers' Committee. A loan for a long duration crop is treated as NPA if the instalment of principal or interest remains overdue for **one** crop season; the two-season rule is for short duration crops (SM 10.33). Sugarcane's 14-month season makes it a long duration crop, so the loan is an **NPA**, to be classified and provided for, with income recognised only on realisation.

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

This is the most examined part of the chapter. In the ICAI documents read for this lesson it appeared in 26 documents:

- **Out of order** (3–5 marks): September 2024 Q3(c) (no credits for two quarters); MTP September 2024 Series I Q6(a) (a CBS account extract with no credit after 31 December); MTP September 2025 Series II Q3(c) (credits not covering interest); MTP May 2026 Series II Q2(b); MTP September 2026 Series II Q4(a).
- **Drawing power computations** (4–5 marks): May 2025 Q5(c); RTP September 2024 Q19; MTP September 2025 Series I Q2(b); MTP September 2026 Series I Q2(b); RTP January 2026 MCQ 5. Three of these end with ICAI's twist: the computed DP exceeds the sanctioned limit, so drawings are restricted to the limit.
- **Provisioning** (usually 5 marks): RTP January 2025 Q19; RTP September 2026 Q19; RTP May 2024 Q23 (a D1 provision); January 2026 Q6(a) (D1 provision, plus a loan secured at under 10%); MTP January 2025 Series II MCQs 6 and 8.
- **Erosion of security**: MTP January 2026 Series I Q2(b) (5 marks); January 2025 MCQ 12; MTP September 2024 Series I MCQ 4.
- **Special rules in MCQs**: Government guarantees (May 2024 Q6(b), 4 marks; January 2025 MCQ 10; MTP September 2024 Series I MCQ 2); consortium advances (January 2025 MCQ 9; May 2026 MCQ 11); SMA (May 2026 MCQ 12; MTP May 2024 Series I MCQ 3.3); borrower-wise classification (MTP January 2025 Series II MCQ 7); crop loans (September 2025 MCQ 13; MTP May 2025 Series II MCQ 10; MTP January 2025 Series II MCQ 9; RTP September 2025 Q19); primary security (MTP September 2026 Series II MCQ 8); advances against NSCs (RTP September 2025 MCQ 8); regularisation before year-end (MTP January 2025 Series I Q3(a), 5 marks; MTP September 2026 Series II MCQ 9); a stale stock statement and stock at a third-party warehouse (MTP May 2026 and September 2026 Series I, the same Case Scenario 3).
- **Audit of advances**: the matters on which the auditor obtains evidence (MTP May 2024 Series II Q1(b), 4 marks).

In the exam

A published answer that differs from the Study Material

MTP January 2026 Series I Q2(b) gives a loan of ₹10 crore whose security is now worth ₹80 lakh against ₹6 crore at the last RBI inspection. ICAI's suggested answer applies the 50% erosion test and classifies it as doubtful. The realisable value is 8% of the outstanding, and the Study Material says that when it is less than 10% of the outstanding the security is ignored and the asset is straight away a loss asset (SM 10.32). This lesson follows the Study Material: test 10% of the outstanding first. ICAI's own January 2026 Q6(a) and January 2025 MCQ 12 apply the 10% rule.

In the exam

How the marks are earned

Suggested answers quote the norm in the Study Material's words ("record of recovery", "remains continuously in excess of the sanctioned limit/drawing power", "straight-away classified as loss asset"), apply it to the figures, and end with the classification and the provision on the secured and unsecured portions. Drawing power answers are a statement in the format above plus a one-line conclusion.

Trick

15, 25, 40, 100

Sub-standard 15; D1 25; D2 40; D3 100; loss 100. For D1, D2 and D3 the rate is on the secured portion, and the unsecured portion is always 100%. Condition: these are the Study Material's rates; sub-standard and loss rates apply to the whole outstanding.

Answer frame

A classification and provisioning case

1. **Provision**: the NPA definition for the facility (term loan, CC, bill, crop loan), the categories and rates, and any special rule the facts touch (borrower-wise, guarantee, erosion, deposits).
2. **Facts**: dates or periods, outstanding, security, what the branch did.
3. **Analysis**: when it became an NPA; its age; any rule that moves it; secured and unsecured portions; the provision.
4. **Conclusion**: classification, provision required, short or excess, and the effect (advances and profit overstated).

"State the matters on which the auditor obtains evidence about advances"

The seven points (a) to (g) of section 7 above, in the Study Material's order and words, each applied in a line if a case is given.

A drawing power question

The statement in the format above, then one line comparing the total with the sanctioned limit and the outstanding, and one on the date of the stock statement.

Common mistakes

⚠ **Common mistake**

Hall of Shame: "fully secured, so not an NPA"

Bunty passes an account with no recovery for six months because the factory behind it is worth twice the loan. **Fix:** classification as NPA is based on the record of recovery; the security and the borrower's net worth are not taken into account.

⚠ **Common mistake**

The good loan of a bad borrower

Classifying only the defaulting facility as an NPA and leaving the borrower's regular cash credit as standard. **Fix:** classification is borrower-wise, not facility-wise.

⚠ **Common mistake**

The doubtful provision on the whole outstanding

Applying 25% or 40% to the entire balance. **Fix:** the rate goes on the secured portion only; the unsecured portion needs 100%.

⚠ **Common mistake**

Testing erosion on the wrong base

Comparing the realisable value with the outstanding for the 50% test, or with the earlier value for the 10% test. **Fix:** 50% is measured against the value assessed by the bank or accepted by the RBI at the last inspection; 10% against the outstanding. Check the 10% test first: if it is met, the asset is loss.

⚠ **Common mistake**

DP on paper the borrower never paid for

Leaving sundry creditors or LC acceptances in the stock before the margin, or using a statement more than three months old. **Fix:** deduct unpaid stocks first, then the margin; use a current statement; restrict drawings to the lower of DP and the sanctioned limit.

Practice

Check yourself

1 A branch's aggregate year-end advances are ₹60 crore. Above what year-end balance (₹ crore) is an advance a "large advance" that the auditor examines in full?

Answer: _____

2 A term loan of ₹90 lakh has been doubtful for 20 months. The realisable value of its security is ₹55 lakh. What is the provision required, in ₹ lakh?

Answer: _____

3 Case scenario. Narmada Bank's Ratlam branch has lent ₹160 lakh to Sanwer Foundry; the account has been an NPA since July 2025. The approved valuer now puts the realisable value of the security at ₹14 lakh; at the last RBI inspection it was valued at ₹20 lakh. The branch keeps it as sub-standard because "the erosion is only 30%". Which of the following is correct?

- **A** The branch is right: the security has not fallen below 50% of its earlier value
- **B** The account should be straight away classified as doubtful
- **C** The security should be ignored and the account straight away classified as a loss asset, written off or fully provided for
- **D** The account should be D1, with 25% on ₹14 lakh and 100% on the rest

4 Case scenario. A ₹2 crore term loan to a sugar mill is guaranteed by a State Government; the guarantee has not been invoked and an instalment has been overdue for 100 days on the balance sheet date. Which treatment is correct?

- **A** Standard asset; interest accrued may be taken to income
- **B** Standard asset, but NPA for income recognition
- **C** NPA for both provisioning and income recognition
- **D** NPA for income recognition only, because the guarantee is intact

5 Bhatt Castings Ltd's term loan has an instalment unpaid for 140 days. The bank also holds ₹50 lakh of its debentures, whose interest is paid on every due date. How are the debentures treated?

- **A** Performing, because their own interest is paid on time
- **B** Special mention account, because the issuer is under stress
- **C** Non-performing, with the term loan: classification is borrower-wise and covers investments in securities
- **D** Performing, because investments are outside the prudential norms

6 Select all the conditions in which a cash credit account is treated as 'out of order'.

- **A** The outstanding balance remains continuously in excess of the sanctioned limit or drawing power
- **B** The balance is within the limit, but there have been no credits continuously for 90 days as on the balance sheet date
- **C** The borrower's net worth has fallen below the outstanding balance
- **D** Credits are there, but they are not enough to cover the interest debited in the same period

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- An NPA is an advance that has ceased to generate income: term loan or bill overdue for more than 90 days, cash credit or overdraft out of order.
- A cash credit is out of order in any of three cases: balance continuously above the limit or DP, no credits for 90 days, or credits below the interest debited.
- Classification rests on the record of recovery, borrower-wise; security and net worth are ignored.
- Sub-standard (NPA up to 12 months) 15%; doubtful D1/D2/D3 25%/40%/100% of the secured portion plus 100% of the unsecured; loss 100%.
- Security below 10% of the outstanding: loss straight away; below 50% of the last inspection value: doubtful straight away.
- Central Government guarantee intact: standard, but NPA for income; State Government: NPA for both. Advances against deposits with adequate margin need not be NPAs.
- Crop loans: NPA after two crop seasons overdue (short duration) or one (long duration, season over a year, fixed by the State Level Bankers' Committee).
- DP = paid-for stocks less margin + eligible debtors less margin, on a statement not older than three months; drawings within both DP and the sanctioned limit; stock audit above ₹5 crore funded exposure. (Rent, not the house.)

Answer key · Check yourself

1 **6**

Lower of ₹10 crore and 10% of ₹60 crore = ₹6 crore (SM 10.21).

2 **57**

Doubtful for 1 to 3 years: D2. 40% × 55 + 100% × 35 = 22 + 35 = ₹57 lakh.

3 **C The security should be ignored and the account straight away classified as a loss asset, written off or fully provided for**

₹14 lakh is below 10% of the outstanding (₹16 lakh), so the 10% rule applies, whatever the erosion against the earlier value (SM 10.32).

4 **C NPA for both provisioning and income recognition**

The standard-asset relief applies only to Central Government guarantees not invoked or repudiated. A State Government guaranteed advance overdue for more than 90 days is an NPA for both provisioning and income recognition (SM 10.29).

5 **C Non-performing, with the term loan: classification is borrower-wise and covers investments in securities**

Asset classification is borrower-wise, not facility-wise: all facilities, including investments in securities, are termed NPA when one is (SM 10.29).

6 **A** **The outstanding balance remains continuously in excess of the sanctioned limit or drawing power**; **B** **The balance is within the limit, but there have been no credits continuously for 90 days as on the balance sheet date**; **D** **Credits are there, but they are not enough to cover the interest debited in the same period**

These are the Study Material's three tests (SM 10.27); net worth plays no part in classification.

10.4 Audit of revenue items in banks

A bank's Profit and Loss Account in Form B, which income it may accrue and which it books only on receipt, how income on NPAs is reversed, and how the auditor checks interest expense, operating expenses and provisions.

In plain words

The interest that was charged but never earned

At the end of March, the CBS of Narmada Bank's Indore Main Branch runs its interest batch: every loan account, good or bad, is debited with a month's interest, and the branch's income goes up by the same amount.

> **Bunty:** Ma'am, interest income is the easiest line. The system charged it to every borrower, so it is all income.
>
> **Lakshmi:** Charging it and earning it are two different things, Bunty.
>
> **Bunty:** But it is on the borrowers' statements.
>
> **Lakshmi:** So are the unpaid instalments.

A bank earns most of its income as **interest** on advances and investments, and the rest as **other income**: commissions, fees, locker rent, profits on investments. It spends on **interest** on deposits and borrowings, on **operating expenses** (salaries, rent, technology) and on **provisions and contingencies** (for bad loans, taxes, falling investments).

Income is normally booked as it is earned (on accrual), because the bank expects to collect it. But a loan that has become an NPA has shown that it may not pay, so the rule changes: **income on an NPA is booked only when it is actually received**, and interest already credited but not realised is taken back out. On the expenses side, the auditor cannot re-compute interest on lakhs of deposits, so the main test is analytical: does the interest paid make sense for the deposits held and the rates offered?

Think of it like

The tapri's credit book

A roadside tapri lets regulars drink on credit and writes each cup in a book. A wise owner counts a regular's cups as earnings because they pay at month-end. When one regular has not paid for four months, the owner stops counting that customer's cups as earnings, crosses out the ones counted earlier and still unpaid, and keeps a separate pencil note of the cups only to remember them. The day the customer pays, the cash becomes earnings. That pencil note is a bank's memorandum account.

Key idea

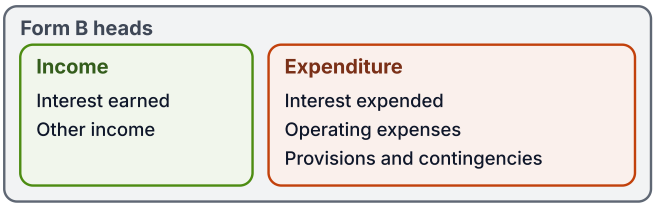
A bank recognises income on accrual, but income from non-performing assets only when actually realised: when an advance becomes an NPA, unrealised interest, fees and commission already credited are reversed or provided for, and further interest is kept in a memorandum account outside income and outside gross advances.

How it works

1. What sits in the Profit and Loss Account

Section 29(1) of the Banking Regulation Act, 1949 requires the Profit and Loss Account to be prepared in **Form B of the Third Schedule**, or as near thereto as circumstances admit (SM 10.38). Its income and expenditure heads (SM 10.40–10.41, 10.45–10.46, 10.49):

The heads of a bank's Profit and Loss Account



Green: the two income heads; orange: the three expenditure heads. Each head has its own schedule, as the format below shows.

Interest earned comprises (SM 10.40): interest/discount on advances/bills; interest income on investments; interest on balances with the RBI and other inter-bank funds; and others (any other interest or discount income).

Other income comprises (SM 10.40–10.41):

- **Commission, exchange and brokerage**: (a) commission on bills for collection; (b) commission/exchange on remittances and transfers (demand drafts, NEFT, RTGS); (c) commission on letters of credit and guarantees, letters of comfort; (d) loan processing, arranger and syndication fees; (e) mobile banking fees; (f) credit/debit card fees, including annual fees, merchant acquiring income and interchange fees; (g) rent from letting out lockers; (h) commission on Government business; (i) commission on other permitted agency business, including consultancy; (j) brokerage on securities; (k) fee on insurance referral; (l) commission on referral of mutual fund clients; (m) service/transaction charges, including for transactions at other branches; (n) income from other services such as custodian, demat, investment advisory and cash management.
- Profit on sale of investments; profit/loss on revaluation of investments.
- Profit on sale of land, buildings and other assets; profit/loss on revaluation of fixed assets.
- Profit on exchange transactions (revaluation gains/losses on forward exchange and derivative contracts, premium on options).
- Dividends etc. from subsidiaries and joint ventures abroad/in India.
- Miscellaneous income.

Income from investments (SM 10.45): interest income on investments includes all interest and dividend from Government securities, bonds, debentures and other investments, except dividends from subsidiaries and joint ventures; **broken period interest paid** on securities purchased and **amortisation of premium on SLR investments** are netted off from it. Investments are dealt in as

banking activity, so the **net** profit or loss on their sale goes to profit and loss; investments are valued periodically as per RBI guidelines and the depreciation or appreciation is taken to profit and loss.

2. Auditing income: the general rules

The Study Material's audit approach for income (SM 10.41–10.42):

1. **Auditor's concern**: reasonable assurance that the recorded income arose from transactions that took place during the period and pertain to the bank, that there is no unrecorded income, and that income is recorded at the appropriate amount.
2. **RBI's direction**: any income which exceeds **one per cent of the total income** of the bank (if reckoned on a gross basis), or **one per cent of the net profit before taxes** (if reckoned net of costs), should be considered on accrual as per AS 9.
3. **Materiality**: an item of income that is not material under these norms may be recognised when received, and the auditors need not qualify their report.
4. **Revenue certainty**: banks recognise interest, fees and commission on accrual, as earned; it is an essential condition for accrual that ultimate collection is not unreasonable to expect. Interest on advances is generated automatically through a batch process in the CBS.
5. **Revenue uncertainty**: because of significant uncertainty about collection, banks should not recognise income on NPAs until it is actually realised. When a facility is classified as an NPA for the first time, interest accrued and credited to income in the corresponding previous year and not realised should be reversed or provided for. This applies to **Government guaranteed accounts** too.
6. **Advances against securities**: interest on advances against term deposits, NSCs, IVPs, KVPs and life policies may be taken to income on the due date, provided adequate margin is available.
7. **Bills purchased**: discount received on bills outstanding at the year-end is apportioned between the two years; the **unexpired discount** (relating to the period after the year-end) is recorded as **"Other Liabilities"**. Interest paid on **rediscounting** bills with other institutions is **not netted off** from the discount earned.
8. **Bills for collection**: the customer's account is credited only after the bill is actually collected from the drawee, and the branch's **commission becomes due only when the bill has been collected**.
9. **Renegotiations**: fees and commissions from re-negotiating or rescheduling debts are recognised on accrual over the period of the re-negotiated or rescheduled credit. The auditor test-checks interest for a sample, and fees and commissions on bills for collection, letters of credit and bank guarantees.

3. Reversal of income on NPAs

The Study Material sets these rules (SM 10.43–10.44):

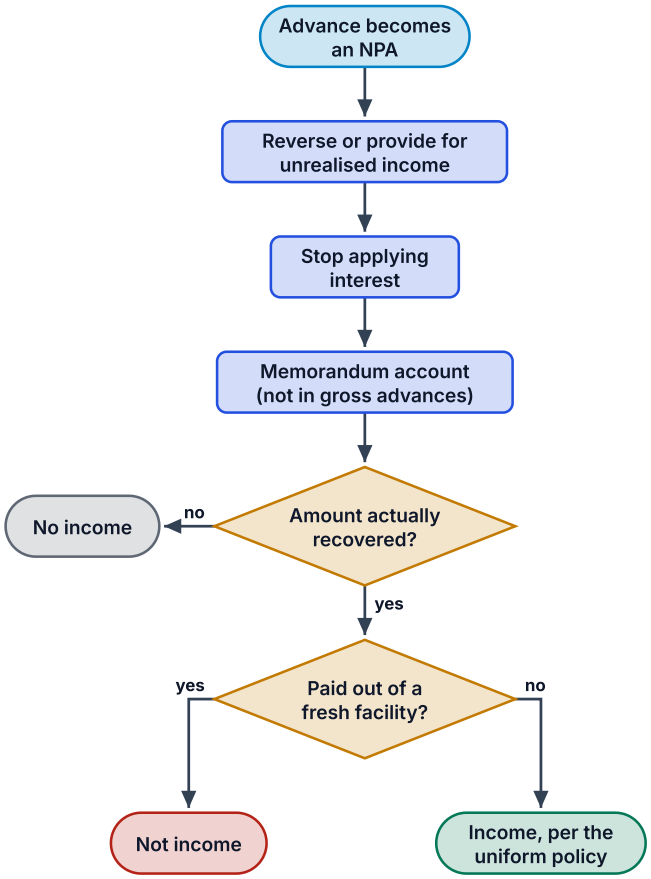
- (a) If any advance, including bills purchased and discounted, becomes an NPA as at the close of any year, the entire interest accrued and credited to income account in the past periods, should be reversed or provided for if the same is not realised. This applies to Government guaranteed accounts also.
- (b) For NPAs, fees, commission and similar income that have accrued should **cease to accrue** in the current period, and be reversed or provided for with respect to past periods, if uncollected.

- (c) Banks that have **wrongly recognised** income in the past should **reverse** the interest if it was recognised in the current year, or **make a provision** for an equivalent amount if it was recognised in previous year(s).
- (d) The auditor should enquire into any **large unexplained debits** in the interest income account, and whether borrowers have written about differences in interest charged and whether action has been taken.

Particular cases:

- **Leased assets**: the finance income component (as defined in AS 19) accrued and credited before the asset became an NPA, and unrealised, is reversed or provided for in the current period.
- **Take-out finance** (a long-term loan, promised for a date or for the completion of a project, that replaces the initial loan; common in property development): if, on the record of recovery, the lending bank classifies the account as an NPA, it should not recognise income unless realised from the borrower or the taking-over institution (if the arrangement so provides).
- **Partial recoveries in NPAs**: without a clear agreement on appropriation (to principal or interest), banks adopt an accounting policy and apply the right of appropriation **uniformly and consistently**; income is recognised as per AS 9 when certainty attaches to realisation. Interest realised in NPAs can be taken to income, but the credits towards interest must **not come out of fresh or additional credit facilities** sanctioned to the borrower.
- **Memorandum account**: on an account turning NPA, banks reverse the interest charged and not collected by debiting profit and loss, and stop applying further interest. They may continue to record the accrued interest in a **memorandum account** for control; it is **not taken into account in computing gross advances**.

When an advance turns NPA: what happens to its income



Green: realised interest taken to income under the bank's uniform appropriation policy; rose: a credit funded by a fresh facility to the same borrower is not income; grey: nothing is recognised until money is received.

4. Auditing the expenses

Expenditure is shown under three heads (SM 10.45–10.46):

- **Interest expended**: interest on deposits; interest on RBI/inter-bank borrowings; others.
- **Operating expenses**: payments to and provisions for employees; rent, taxes and lighting; printing and stationery; advertisement and publicity; depreciation on the bank's property; directors' fees, allowances and expenses; auditors' fees and expenses; legal expenses; postage, telegrams, telephones etc.; repairs and maintenance; insurance; marketing expenses; other expenses.
- **Provisions and contingencies**: provisions for non-performing assets; provisions for taxation; provisions for diminution in the value of investments; provisions for contingencies.

Interest expense (SM 10.46–10.47). The auditor is primarily concerned with the **overall reasonableness** of interest expense, by analysing the ratios of interest paid on different types of deposits and borrowings to the **average quantum** of those liabilities; the entries are generated by a CBS batch process. The procedures:

1. Obtain an analysis of the types of deposits outstanding at the **end of each quarter**, work out a **weighted average interest rate**, compare it with the **actual average rate** paid as per the annual accounts, and enquire into a material difference.

2. Compare the average rate paid with the **previous years'** figures and analyse material differences.
3. Obtain the general ledger break-up of interest on deposits (savings and term) and borrowings each month or quarter; analyse month-on-month (or quarter-on-quarter) costs and document reasons for variances against the benchmark; agree the cost analysis with the ledger; understand and re-compute the average balance on a sample basis.
4. Test check the calculation of interest to ensure that (a) interest has been provided on all deposits up to the balance sheet date; (b) rates are as per the bank's internal regulations, RBI directives and agreements with depositors; (c) interest on savings accounts follows the bank's/RBI's rules; (d) interest on inter-branch balances is at the rates prescribed by the head office/RBI.
5. Ascertain changes in savings and term deposit rates during the period, obtain the **interest rate card** and analyse the cost accordingly; check that interest has been accrued on the **entire borrowing portfolio** and agrees with the ledgers; re-compute the accrual from the term sheet, deal ticket or agreement (frequency, rate, period elapsed).

Operating expenses (SM 10.48): study and evaluate internal control over expenses, including authorisation procedures; examine divergent trends in major items; perform substantive analytical procedures, for example each item's ratio to total operating expenses compared with previous years; verify expenses with supporting documents and check calculations.

Provisions and contingencies (SM 10.48): the auditor should

1. ensure compliance with the regulatory requirements for provisioning in the various circulars;
2. understand how the bank computes provisions on standard assets and NPAs, mainly by checking the basis of classification into standard, sub-standard, doubtful, loss and non-performing assets, verified on a sample basis (advances and NPAs);
3. obtain the detailed break-up of standard and non-performing loans and agree the balances with the general ledger;
4. obtain management's tax provision computation and check that the items debited and credited to profit and loss are appropriately considered in it;
5. examine other provisions for expenses against the circumstances warranting them, and their adequacy, through discussion and explanations from management.

Prior period items (SM 10.49): Form B has no specific line for the impact of prior period items on the current year's profit, so such disclosures, wherever warranted, may be given.

Formats and formulas

Form B: Profit and Loss Account for the year ended 31st March

Reproduce this skeleton from memory (SM 10.39); the schedule numbers are those printed in the format.

Particulars	Schedule
I. Income	
Interest earned	13
Other income	14
Total	
II. Expenditure	
Interest expended	15
Operating expenses	16
Provisions and contingencies	
Total	
III. Net profit for the year	
IV. Appropriations: transfers to statutory reserves, capital reserves, investment reserve account, revenue reserve, special reserve; interim dividend; proposed dividend; dividend tax	
Total	
Accounting policies	17
Notes on accounts	18
Earnings per share (basic and diluted)	

∑ **Formula**

Weighted average interest rate on deposits

$$\bar{r} = \frac{\sum (B \times r)}{\sum B}$$

Here B is the average balance of each type of deposit, worked out from its quarter-end balances, and r is that type's rate. Compare $\bar{r}$ with the actual average rate (interest on deposits as per the accounts ÷ total average deposits) and with the previous year's rate (SM 10.46–10.47).

∑ **Formula**

Discount on a bill purchased, at the year-end

$$\text{Earned} = \text{Discount} \times \frac{\text{Days to year-end}}{\text{Days of the bill}}$$

Earned: the discount income of the year; the rest is unexpired discount, shown under Other Liabilities (SM 10.42). The Study Material gives no day-count rule; this lesson counts from the day after the purchase up to the year-end (15 February to 31 March is 44 days). State the convention in an answer.

Worked examples

Worked example **What the branch may keep as income**

Iyer & Associates are auditing the income of Narmada Bank's Indore Main Branch for 2025-26. The following amounts (₹ lakh) were credited to income during the year and have not been received, except where stated:

1. **Rewa Polymers** (an NPA since 20 November 2024): the CBS went on applying interest, ₹16.80 lakh, all year. Interest of ₹4.10 lakh credited in 2024-25 before the account turned NPA is also unrealised and was never reversed.
2. **Shivam Agro Foods** (an NPA for the first time, from 5 March 2026): interest of ₹5.20 lakh credited during 2025-26.
3. **Omkar Electricals** (overdraft against its own term deposits, adequate margin): interest of ₹1.44 lakh, due and unpaid.
4. **Narmada Sugar Mills** (term loan guaranteed by the Central Government, an instalment overdue for 120 days, guarantee not invoked): interest of ₹3.60 lakh.
5. **Kshipra Textiles** (a doubtful asset): ₹6.00 lakh **received** and credited to interest under the bank's uniform policy of appropriating recoveries first to interest. ₹2.50 lakh of it was drawn from an ad hoc limit sanctioned to Kshipra in February 2026.
6. **Discount** of ₹2.70 lakh, received on a 90-day bill purchased on 15 February 2026 and maturing on 16 May 2026, credited in full.
7. **Commission** of ₹0.85 lakh on bills sent for collection, which had not been collected by 31 March 2026.

Required: State, with reasons, how much of each item may be recognised as income for 2025-26, and the adjustments needed.

THE WORKING

Working notes

1. **Rewa Polymers.** Income on NPAs is not recognised until realised; a bank that has wrongly recognised income should reverse it if recognised in the current year, or make a provision for an equivalent amount if recognised in previous years (SM 10.42–10.43). Reverse ₹16.80 lakh; provide ₹4.10 lakh for the 2024-25 interest. The interest may be kept in a memorandum account for control, outside gross advances.
2. **Shivam Agro Foods.** On becoming an NPA, the entire interest accrued and credited in past periods and not realised is reversed or provided for (SM 10.43). Reverse ₹5.20 lakh.
3. **Omkar Electricals.** Interest on advances against term deposits may be taken to income on the due date, provided adequate margin is available (SM 10.42). Recognise ₹1.44 lakh.
4. **Narmada Sugar Mills.** A Central Government guaranteed advance with the guarantee not invoked is a standard asset but an NPA for income recognition (SM 10.29), and the reversal rules apply to Government guaranteed accounts also (SM 10.43). Reverse ₹3.60 lakh.
5. **Kshipra Textiles.** Interest realised in NPAs can be taken to income under a uniform and consistent appropriation policy, but the credits must not come out of fresh or additional facilities sanctioned to the borrower (SM 10.44). Recognise ₹3.50 lakh; reverse ₹2.50 lakh.
6. **Bill purchased.** 15 February to 31 March is 44 days of the 90. Discount earned = 2.70 × 44 ÷ 90 = **₹1.32 lakh**; unexpired discount ₹1.38 lakh goes to **Other Liabilities** (SM 10.42).
7. **Bills for collection.** The branch's commission becomes due only when the bill has been collected (SM 10.42). Reverse ₹0.85 lakh.

Item	Credited	Recognised	Reversed / deferred
1. Rewa (2025-26)	16.80	0.00	16.80
2. Shivam	5.20	0.00	5.20
3. Omkar	1.44	1.44	0.00
4. Narmada Sugar	3.60	0.00	3.60
5. Kshipra	6.00	3.50	2.50
6. Bill discount	2.70	1.32	1.38
7. Collection commission	0.85	0.00	0.85
Total	**36.59**	**6.26**	**30.33**

Conclusion. Of ₹36.59 lakh credited, only **₹6.26 lakh** is income for 2025-26: ₹28.95 lakh is reversed and ₹1.38 lakh is carried to Other Liabilities. In addition, a provision of **₹4.10 lakh** is made for Rewa Polymers' 2024-25 interest. The CBS parameters that kept applying interest to an NPA should be examined, as the interest batch is system-generated.

Worked example **Lakshmi's test of interest on deposits**

For 2025-26, the branch's deposit analysis at the end of each quarter is (₹ crore):

Type (rate as per rate card)	June	September	December	March
Savings (2.80%)	410	425	440	455
Term deposits up to 1 year (6.40%)	300	310	330	345
Term deposits above 1 year (7.20%)	420	430	445	460

The rates did not change during the year. Interest on deposits as per the accounts is ₹68.20 crore; last year's average rate was 5.31%.

Required: Apply the analytical procedures in the Study Material and state your conclusion.

THE WORKING

Working notes (₹ crore)

Type	Average balance	Rate	Interest at that rate
Savings	432.50	2.80%	12.11
Term deposits up to 1 year	321.25	6.40%	20.56
Term deposits above 1 year	438.75	7.20%	31.59
Total	**1,192.50**		**64.26**

Average balance = sum of the four quarter-end balances ÷ 4 (for savings: 1,730 ÷ 4 = 432.50).

$$\bar{r} = \frac{64.26}{1{,}192.50} = 5.39\%$$

Actual average rate = 68.20 ÷ 1,192.50 = **5.72%**.

Analysis. The actual rate is 0.33 percentage points above the weighted average rate, and above last year's 5.31%, with no rate changes during the year: interest paid exceeds the expected amount by 68.20 − 64.26 = **₹3.94 crore**, which is material.

Conclusion. As per the Study Material, the auditor should enquire into the difference (SM 10.46–10.47): obtain the monthly or quarterly ledger break-up of interest on savings and term deposits and analyse the variances; test check the interest calculation for a sample of accounts against the rate card, the bank's rules and the RBI directives (including savings interest and interest on inter-branch balances); re-compute the average balances on a sample basis; and check that no wrong rates were fed into the system. Until the difference is explained, interest expense, and the branch's profit, may be misstated.

Worked example **Which head, and how to audit it**

Bunty is grouping the year-end entries of Narmada Bank under the Form B heads. State the head for each item and the procedure the auditor should apply to it.

(a) Provision for NPAs worked out by the CBS.

(b) Provision for performance bonus to employees.

(c) Provision for income tax.

(d) Provision for diminution in the value of investments.

(e) Interest accrued on term deposits up to 31 March, not yet paid.

MODEL ANSWER

Item	Head in Form B	Audit procedure (Study Material)
(a) NPA provision	Provisions and contingencies	Ensure compliance with the RBI's provisioning circulars; understand how provisions on standard assets and NPAs are computed, checking the classification on a sample basis; agree the break-up of standard and non-performing loans with the general ledger (SM 10.48)
(b) Bonus provision	Operating expenses (payments to and provisions for employees)	Evaluate the internal control and authorisation over expenses; examine trends and ratios to total operating expenses against previous years; verify with supporting documents and check the calculation (SM 10.48)
(c) Income tax	Provisions and contingencies	Obtain management's tax computation; check that the items debited and credited to profit and loss are appropriately considered in it (SM 10.48)
(d) Diminution in investments	Provisions and contingencies	Examine the provision against the circumstances warranting it and its adequacy, with management's explanations; investments are valued periodically as per RBI guidelines (SM 10.45, 10.48)
(e) Accrued interest on term deposits	Interest expended (interest on deposits)	Ensure interest has been provided on all deposits up to the balance sheet date at the correct rates; re-compute the accrual from the rate, frequency and period elapsed (SM 10.47)

Exam angle

In the exam

What ICAI asked, May 2024 to September 2026

In the ICAI documents read for this lesson, revenue items appeared in 10 documents:

- **Provisions and contingencies, procedures** (4 marks): September 2024 Q6(a) (four provisions of a bank listed); MTP September 2026 Series II Q6(c). The old-scheme MTP November 2020 Series I Q4(a) asked the same for a nationalised bank.
- **Operating expenses**: MTP May 2026 Series I Q2(b) (5 marks): a 28% rise in operating expenses at a 350-branch bank.
- **Income on NPAs**: RTP May 2025 Q18 (procedures to verify reversal of income) and Q19 (partial recoveries without an agreement); RTP May 2024 Q22 (income recognition once a term loan is sub-standard); September 2025 Q3(c) (4 marks: take-out finance and income on an NPA); RTP September 2025 Q19 (interest on a crop loan and on a guaranteed advance).
- **Accrual of particular items**: May 2026 MCQ 10 (interest on advances against deposits, discount on bills purchased spanning the year-end, rediscounting charges); MTP September 2024 Series II MCQ 12 (a letter of credit is non-funded and its commission is not interest earned).
- **CBS and interest**: MTP January 2026 Series I Q1(a) (5 marks): reliance on CBS controls over interest calculations.

The chapter's Test Your Knowledge asks what is included in "Interest earned" (discount on bills), the audit of provisions and contingencies, a short note on reversal of income, and two analytical procedures for interest on deposits.

In the exam

How the marks are earned

Lists are marked in the Study Material's words: "reversed or provided for", "not out of fresh/additional credit facilities", "unexpired discount ... Other Liabilities", "commission ... due only when the bill has been collected", "weighted average interest rate". For a case, each item earns marks for the rule, the amount and the treatment.

Trick

The NPA income checklist: R-S-M-R

Reverse or provide the unrealised; **S**top applying interest; **M**emorandum account, outside gross advances; **R**ecognise only realised amounts, not funded by a fresh facility. It applies to every NPA, including Government guaranteed accounts treated as NPA for income recognition.

Answer frame

"Write a short note on reversal of income"

1. NPA as at the close of any year: entire unrealised interest credited in past periods reversed or provided for; also for Government guaranteed accounts.
2. Fees, commission and similar income cease to accrue and are reversed or provided for, if uncollected.
3. Wrongly recognised income: reverse if in the current year; provide an equivalent amount if in previous years.
4. Enquire into large unexplained debits to interest income and borrowers' complaints about interest charged.
5. Add, where relevant: leased assets, take-out finance, partial recoveries, memorandum account.

"Discuss two analytical procedures to verify interest on deposits"

Procedure	What the auditor does
Weighted average rate	From quarter-end deposit analysis, compute the weighted average rate; compare with the actual average rate as per the accounts; enquire into a material difference
Trend	Compare the average rate paid with previous years; analyse material differences
Period analysis	Month-on-month or quarter-on-quarter cost analysis from the ledger break-up; document reasons for variances

Common mistakes

Common mistake

Hall of Shame: "the system charged it, so it is income"

Bunty's tick on the interest batch. **Fix:** on an NPA, interest is income only when actually realised; unrealised interest already credited is reversed (current year) or provided for (previous years).

⚠ **Common mistake**

The Central Government guarantee that saves the income

Keeping accrued interest on a Central Government guaranteed account because it is a standard asset. **Fix:** it is standard for classification but an NPA for income recognition; the reversal rules apply to Government guaranteed accounts also.

⚠ **Common mistake**

Netting the rediscount

Deducting interest paid on rediscounting bills from the discount earned. **Fix:** the rediscount interest is not to be netted off; and only the discount for the period up to the year-end is income, the unexpired part going to Other Liabilities.

⚠ **Common mistake**

Commission on a bill nobody has paid yet

Crediting commission when a bill is sent for collection. **Fix:** the commission becomes due only when the bill has been collected.

Practice

Check yourself

1 On 10 March 2026, a branch purchased a 60-day bill and received a discount of ₹18,000. How much of the discount (₹) is income for the year ending 31 March 2026?

Answer: _____

2 Case scenario. A term loan of Dhar Packaging became an NPA for the first time on 31 March 2026. Unrealised interest credited to income was ₹4 lakh in 2025-26 and ₹1 lakh in 2024-25. Which treatment is correct?

- A Reverse ₹4 lakh; the 2024-25 interest is a closed year and needs nothing
- B Keep both, as the loan is fully secured
- C Reverse both amounts through the 2024-25 accounts
- D Reverse or provide for the entire unrealised interest credited in past periods, ₹5 lakh

3 Bunty is posting year-end credits of Narmada Bank. Select all that belong under "Interest earned" in the Profit and Loss Account.

- A Interest on a call-money placement with another bank
- B Dividend from Narmada Bank's wholly owned subsidiary, a mutual fund company
- C Dividend on equity shares of an unrelated listed company held as an investment
- D Rent from letting out lockers

More than one answer may be right.

4 A bank recognises a particular fee only when received. The fee is 0.6% of the bank's total income, which is reckoned on a gross basis. What should the auditor do?

- A Qualify the report, because banks must accrue all income
- B Accept it: an item not exceeding 1% of total income need not be accrued, and the report need not be qualified
- C Require accrual, because AS 9 applies to every item of income
- D Ask the bank to treat the fee as an NPA

5 After an account turns NPA, the bank records further interest in a memorandum account. How is that interest treated in computing gross advances?

- A Added to gross advances, because it is still due from the borrower
- B Added to gross advances and fully provided for
- C Not taken into account in computing gross advances
- D Added only if the account is a Central Government guaranteed account

Answers: the answer key at the end of this lesson.

Recap

- Form B has two income heads (interest earned, other income) and three expenditure heads (interest expended, operating expenses, provisions and contingencies).
- Income is accrued when collection is reasonably expected, but income on NPAs only when actually realised; this also covers Government guaranteed accounts.
- On an NPA: reverse or provide for unrealised interest, fees and commission; reverse current-year wrong income, provide for earlier years'; memorandum account outside gross advances.
- Partial recoveries: uniform, consistent appropriation policy; never income if paid out of a fresh facility to the same borrower.
- Advances against deposits, NSCs, KVPs and life policies with adequate margin: interest on the due date.
- Bills purchased: apportion the discount; unexpired part to Other Liabilities; rediscount interest not netted. Bills for collection: commission due when collected.
- RBI 1% norm: accrue items above 1% of total income (gross) or of net profit before tax (net); smaller ones may be on receipt without qualification.
- Interest expense: weighted average rate from quarter-end deposits against the actual average rate and last year's; test checks against the rate card. Provisions: RBI circulars, classification sample, ledger agreement, tax computation. (Cross out the unpaid cups.)

Answer key · Check yourself

1 **6300**

10 March to 31 March is 21 days of the 60: ₹18,000 × 21 ÷ 60 = ₹6,300. The remaining ₹11,700 is unexpired discount, shown under Other Liabilities.

2 **D Reverse or provide for the entire unrealised interest credited in past periods, ₹5 lakh**

When an advance becomes an NPA as at the close of a year, the entire interest accrued and credited in past periods is reversed or provided for if not realised (SM 10.43). Security plays no part.

3 **A Interest on a call-money placement with another bank; C Dividend on equity shares of an unrelated listed company held as an investment**

Interest earned includes interest on balances with the RBI and other inter-bank funds, and interest income on investments, which covers interest **and dividend** from Government securities, bonds, debentures and other investments, except dividends from subsidiaries and joint ventures (SM 10.40, 10.45). The subsidiary's dividend and locker rent are Other Income.

4 **B Accept it: an item not exceeding 1% of total income need not be accrued, and the report need not be qualified**

The RBI's norm requires accrual of income exceeding 1% of total income (gross basis) or 1% of net profit before taxes (net basis); a non-material item may be recognised when received (SM 10.41).

5 **C Not taken into account in computing gross advances**

The memorandum account is for control only; its interest is excluded from gross advances (SM 10.44).

CHAPTER 11

Ethics and Terms of Audit Engagements

11.1 Professional ethics and the fundamental principles

What ethics means for a Chartered Accountant, why the profession needs a code, the principles-based approach, and the five fundamental principles ICAI asks you to spot in a case.

In plain words

The rule Bunty could not find

It is Bunty's first audit kick-off at Tapri Tea Co. Ltd. Kesar is launching "Tapri Gold", a card for unlimited free chai for life, and he hands one to every member of the Iyer & Associates team. That night Bunty searches the whole Code of Ethics for the word "chai".

> **Bunty:** Ma'am, I searched the entire Code. Nothing about chai cards. So it is allowed, no?
>
> **Lakshmi:** Did you also search for the word "judgment"?
>
> **Bunty:** *(scrolling)* There are hundreds of those.
>
> **Lakshmi:** No rule book can list every card a client will ever hand you, Bunty. That is why ours is built on principles.

Bunty has met the first idea of this lesson: **ethics** is not a list of banned objects but a **state of mind**, the habit of acting on moral principles even when nobody has written the rule down. (Whether he may keep that card is a question about threats to independence, answered in the next lesson.)

Why does a Chartered Accountant need it more than most people? Because the whole profession sells **trust**. Society, governments, clients, tax authorities, employees, investors and lenders rely on what a CA signs. An audit report is worth something only if readers believe the person who signed it.

So ICAI has written a **Code of Ethics** for every CA, in practice or in service, and it rests on five **fundamental principles**: be honest (**integrity**), be unbiased (**objectivity**), know your job and do it carefully and on time (**professional competence and due care**), keep what you learn to yourself (**confidentiality**), and do nothing that breaks the law or embarrasses the profession (**professional behaviour**). Break them and ICAI's disciplinary machinery can fine, suspend or remove you.

Think of it like

The umpire

A cricket umpire calls what he sees, not what the crowd wants (integrity). He does not umpire his brother's match (objectivity). He knows this season's rule changes and watches every ball (competence and due care). He does not tell a bookie what he overheard in the dressing room (confidentiality). And he does not dance with the fans after the match in a way that makes umpires look silly (professional behaviour). Nobody gives him a rule for every ball; he is trusted to apply the spirit of the game.

Key idea

A Chartered Accountant shall comply with **each** of the five fundamental principles: integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. Where no specific rule fits, the principles still apply: ICAI expects the spirit of the Code to be followed, not just its letter.

How it works

1. Ethics: a state of mind

Definition

Ethics

The term "Ethics" means moral principles which govern a person's behaviour or his conducting of an activity. It is the branch of knowledge that deals with moral principles. Ethics comes from an individual intrinsically: it is a state of mind to act and perform in accordance with moral principles, and it must be strong enough to withstand any selfish motive or temptation (SM 11.4).

2. Why the profession needs ethics

The Study Material gives these reasons (SM 11.4–11.5):

- **Trust is manifold.** Society in general, governments, clients, taxing authorities, employees, investors, and the business and financial community in particular have reposed tremendous trust in the services rendered by Chartered Accountants.
- **Assurance depends on it.** The purpose of assurance engagements is to enhance the confidence of the intended users, so users need to trust the person providing the service.
- **Public interest.** A distinguishing feature of the accountancy profession is its acceptance of the responsibility to act in the public interest. The respect a profession enjoys depends on the strictness and scrupulousness with which its ethics are adhered to by self-discipline; professional ethics protect the interests of the profession as a whole and act as a shield.
- **Everyone, everywhere.** A Chartered Accountant, in practice or in service, has to follow the fundamental principles; ICAI has codified them in a Code of Ethics.
- **Consequences.** Any deviation brings the disciplinary mechanism into action, which may result in fines, suspension of membership, removal from membership or other disciplinary actions.

3. Principles-based versus rules-based approach

Ethical guidance can be written in two ways (SM 11.5):

Point	Principles-based approach	Rules-based approach
Essence	Compliance with the **spirit** of ethics	Strict compliance with clearly established rules
How a case is decided	Professional judgment in every situation, using professional knowledge, skill and expertise	By looking up the rule that applies
Outlook	Every situation evaluated on its facts	May lead to a narrow outlook; the spirit may be overlooked
New situations	Can deal with them	Rigid: rules cannot cover every practical situation

The Study Material's conclusion: it is necessary that the spirit of the Code is followed (SM 11.5). Bunty's search for "chai" was the rules-based approach; Lakshmi's "judgment" is the principles-based one.

4. The five fundamental principles

The fundamental principles establish the standard of behaviour expected of a professional accountant, and a professional accountant shall comply with each of them (SM 11.5–11.6). Learn the wording: ICAI's answers quote it.

(1) INTEGRITY

Definition

Integrity

A professional accountant shall comply with the principle of integrity, which requires an accountant to be straightforward and honest in all professional and business relationships. Integrity implies fair dealing and truthfulness. A professional accountant shall not knowingly be associated with reports, returns, communications or other information where the accountant believes that the information (a) contains a materially false or misleading statement; (b) contains statements or information provided negligently; or (c) omits or obscures required information where such omission or obscurity would be misleading (SM 11.6).

Notice limb (c): a report in which every number is true can still fail integrity, if it hides something the reader needed.

(2) OBJECTIVITY

Definition

Objectivity

The principle of objectivity requires an auditor not to compromise professional judgment because of bias, conflict of interest or undue influence of others. A professional accountant shall not undertake a professional activity if a circumstance or relationship unduly influences the accountant's professional judgment regarding that activity (SM 11.6–11.7).

(3) PROFESSIONAL COMPETENCE AND DUE CARE

Definition

Professional competence and due care

This principle requires an accountant to (a) attain and maintain professional knowledge and skill at the level required to ensure that a client or employing organization receives competent professional service, based on current technical and professional standards and relevant legislation; and (b) act diligently and in accordance with applicable technical and professional standards. Diligence includes the responsibility to act carefully, thoroughly and on a timely basis in accordance with the requirements of an assignment (SM 11.7).

Two halves, two kinds of failure: not *knowing* (an outdated rule applied) and not *doing* (careless, incomplete or late work).

(4) CONFIDENTIALITY

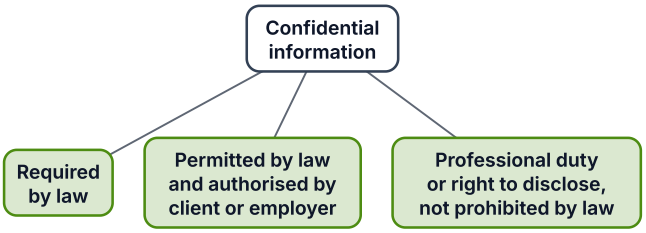
Definition

Confidentiality

The confidentiality principle requires a professional accountant to respect the confidentiality of information acquired as a result of professional or business relationships. Confidentiality serves the public interest because it facilitates the free flow of information from the client or employing organization to the accountant, with the understanding that the information will not be disclosed to a third party (SM 11.7).

It is not absolute. Confidential information **may be disclosed**, for example (SM 11.7):

When confidential information may be disclosed



The Study Material's three examples of permitted disclosure: it says "for example", so they are not a closed list, but without a ground like these the information stays with the accountant. The middle one needs both halves: permission of law and the client's or employer's authority.

(5) PROFESSIONAL BEHAVIOUR

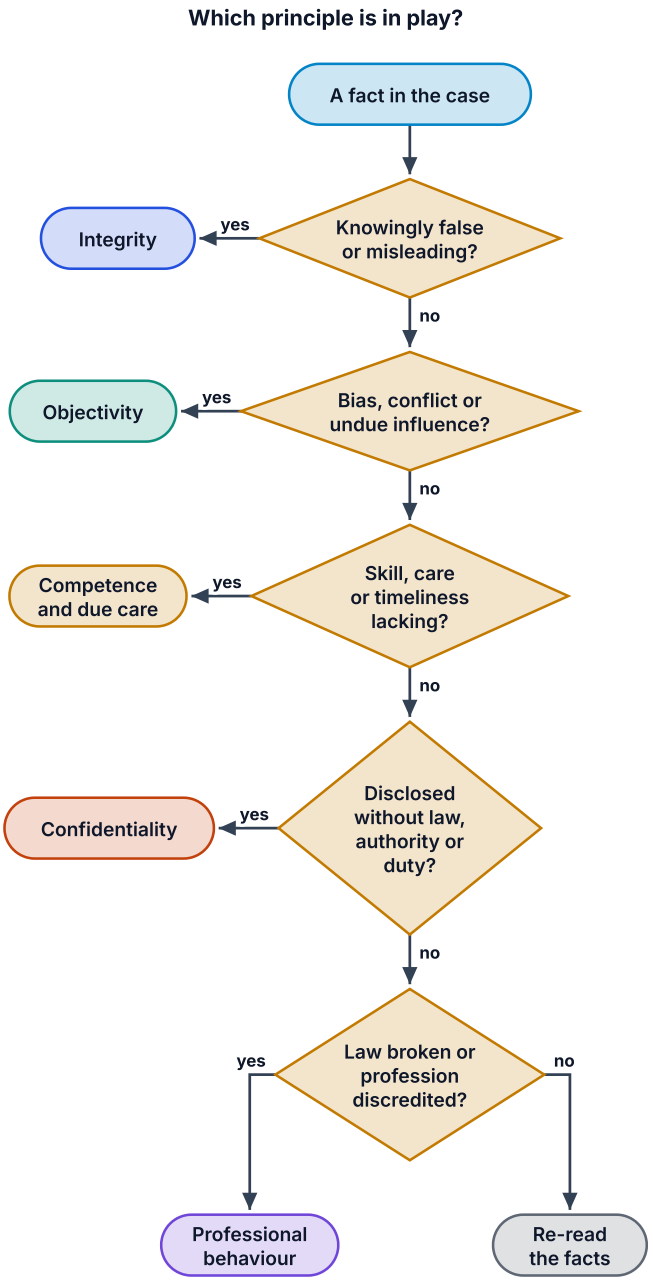
Definition

Professional behaviour

This principle requires an accountant to comply with relevant laws and regulations and avoid any conduct that the accountant knows or should know might discredit the profession. A professional accountant shall not knowingly engage in any employment, occupation or activity that impairs or might impair the integrity, objectivity or good reputation of the profession, and as a result would be incompatible with the fundamental principles (SM 11.7).

5. Spotting the principle in a case

Most ICAI questions describe a situation and ask which principle it involves. Read the facts for the words of each definition:



A study aid, not a rule of the Code: one fact can breach two principles (a report the accountant knows is false, signed to please a relative, fails integrity and objectivity), so after a "yes" check the remaining questions too. "Authority" means permission of law together with the client's or employer's authority.

Words in the facts	Principle
false, misleading, fake, hides a material fact	Integrity
a relative, friend or business tie that sways a judgment; conflict of interest; undue influence	Objectivity
outdated law, no time, careless, incomplete, late	Professional competence and due care
told someone outside (even a friend), shared the client's data	Confidentiality
broke a law, ignored ICAI or the incoming auditor, conduct that discredits the profession	Professional behaviour

A word alone does not decide it: a friend who *asks for a client's insider information* is a confidentiality case in ICAI's May 2024 answer, not objectivity. Ask what the accountant did wrong, then match it to the definition.

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Worked examples

Worked example **Four files on Bunty's desk**

Identify and explain the fundamental principle of professional ethics involved in each of the following situations.

(a) CA Nirmala Rao, a Chartered Accountant in practice, accepted a client's application for a GST refund in January. Busy with audits, she left it untouched until the time limit for filing had expired, and the refund was lost.

(b) CA Harsh Vora, a Chartered Accountant in service as CFO of Ganga Cold Storage Ltd, prepared a loan proposal for a bank. The bank's format asks for all pending tax demands. Harsh listed two small demands and left out a demand of ₹14 crore, knowing that the bank would treat it as decisive.

(c) CA Faisal Khan, a Chartered Accountant in practice, posted in a public social-media group: "Any income-tax notice: we make it disappear. We know the right people."

(d) CA Mehul Shah has been offered the internal audit of Kulhad Crafts Ltd. Its managing director is Mehul's partner in a separate real-estate venture, and Mehul's share of that venture's profit depends on the managing director's goodwill.

MODEL ANSWER

(a) Professional competence and due care. This principle requires an accountant to attain and maintain professional knowledge and skill and to act diligently and in accordance with applicable technical and professional standards. Diligence includes the responsibility to act carefully, thoroughly and on a timely basis in accordance with the requirements of an assignment. CA Nirmala did not act on a timely basis, and the client lost the refund: the principle of professional competence and due care is violated.

(b) Integrity. Integrity requires an accountant to be straightforward and honest in all professional and business relationships. A professional accountant shall not knowingly be associated with information that omits or obscures required information where such omission would be misleading. The bank's format requires all pending demands; Harsh knowingly omitted the ₹14 crore demand, which makes the proposal misleading. Being a Chartered Accountant in service does not exempt him: the principle of integrity is violated.

(c) Professional behaviour. This principle requires an accountant to comply with relevant laws and regulations and avoid any conduct that the accountant knows or should know might discredit the profession. A public claim to make tax notices "disappear" through contacts suggests improper influence over a tax authority and discredits the profession: the principle of professional behaviour is violated.

(d) Objectivity. Objectivity requires an accountant not to compromise professional judgment because of bias, conflict of interest or undue influence of others, and not to undertake a professional activity if a circumstance or relationship unduly influences his professional judgment regarding that activity. Mehul's income from the venture depends on the managing director whose company he would audit internally: a conflict of interest that would unduly influence his judgment. He should not undertake the assignment; accepting it would violate the principle of objectivity.

Worked example **Three requests for Tapri's secrets**

In one week Iyer & Associates, statutory auditors of Tapri Tea Co. Ltd, receive three requests for information about Tapri that they hold from the audit:

(i) A summons issued by the GST department under the GST law, requiring the firm to produce copies of Tapri's records relating to input tax credit.

(ii) BrewBucks, which is negotiating to buy Tapri's samosa factory, asks for the firm's working papers on the factory. Tapri's board has given the firm written authority to share them.

(iii) A loan officer of Tapri's bank phones Bunty and asks him to email Tapri's ageing of trade receivables "just to save time"; Tapri has not been asked and has authorised nothing.

Comment whether Iyer & Associates may disclose the information in each case, with reference to the fundamental principles of professional ethics.

MODEL ANSWER

Relevant principle. The principle of confidentiality requires a professional accountant to respect the confidentiality of information acquired as a result of professional or business relationships. Confidentiality serves the public interest because it facilitates the free flow of information from the client to the accountant, with the understanding that the information will not be disclosed to a third party. However, confidential information may be disclosed, for example, when it is required by law, when it is permitted by law and is authorised by the client or employer, or when there is a professional duty or right to disclose that is not prohibited by law.

(i) GST summons. The disclosure is **required by law**. The firm may produce the records the summons requires, limited to what it requires; doing so does not violate confidentiality.

(ii) BrewBucks. Sharing information with a prospective buyer is permitted by law, and the client has **authorised** it in writing. Disclosure is therefore permitted, within the scope of the authority given. The authority permits the firm to share; it does not take the file out of the firm's hands: unless otherwise specified by law or regulation, engagement documentation is the property of the firm (SQC 1, SM 11.30), so the firm itself decides which portions or extracts to share.

(iii) The bank's phone call. No law requires the disclosure and Tapri has not authorised it. Bunty must not send the ageing; the bank should obtain it from Tapri, or Tapri may authorise the firm. Sending it would violate the principle of confidentiality.

Conclusion. Iyer & Associates may disclose in cases (i) and (ii), within the limits stated, but not in case (iii).

Exam angle

In the exam

Where the fundamental principles appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, the principles were examined in the 15 listed here:

- **Descriptive, 3 to 5 marks.** Situations to classify, "Explain which fundamental principle ... is violated": May 2024 Q5(c) (3 marks, three situations) and RTP January 2026 Q20 (three situations). A principle described in words, "Identify and explain": January 2025 Q6(c) (2 + 2 marks). A confidentiality case for a CA in service: September 2024 Q6(b) (4 marks). Principles-based versus rules-based approach: May 2026 Q1(a)(ii) (2 marks). Meaning of professional behaviour with an example: MTP May 2024 Series I Q5(d) (3 marks). No engagement letter: MTP September 2024 Series I Q4(b) (5 marks).
- **Multiple choice, 2 marks each.** Too little time to do the work, yet a clean report signed: competence and due care (September 2024 MCQ 4). Outgoing auditor's silence: professional behaviour (January 2026 MCQ 1; RTP September 2025 MCQ 1). Non-compliances deliberately left unreported: professional behaviour (RTP September 2026 MCQ 1). A request to present disclosures misleadingly: integrity (MTP May 2025 Series I MCQ 9; MTP September 2025 Series II MCQ 10). A bank's non-disclosure declaration: confidentiality (MTP September 2024 Series II MCQ 10). A situation no rule covers: principles-based approach (MTP January 2026 Series II MCQ 13; MTP May 2026 Series II MCQ 9).

In the exam

How the marks are earned

ICAI's suggested answers name the principle, quote its definition in the Study Material's words ("straightforward and honest", "bias, conflict of interest or undue influence of others", "on a timely basis", "required by law", "might discredit the profession"), apply it to the facts and end with "violated" or "not violated". A bare name earns little.

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Trick

In Our Chai, Cardamom Please

Integrity, **O**bjectivity, professional **C**ompetence and due care, **C**onfidentiality, **P**rofessional behaviour: the five principles in the Study Material's order. Condition: it is a memory aid for the list only; each answer still needs the definition.

Answer frame

"Identify and explain the principle" (1 to 2 marks per situation)

1. **Name the principle** as a heading: "(a) Integrity".
2. **Quote the definition**: only the limb that fits ("shall not knowingly be associated with information that omits required information where such omission would be misleading").
3. **Apply it to the facts**: "In the given case, Harsh knowingly omitted ...".
4. **Conclude**: "Hence, the principle of integrity is violated." (Or "not violated", as in a disclosure required by law.)

"Distinguish between the principles-based and the rules-based approach" (2 marks)

Write the comparison table of §3 as points: essence (spirit versus established rules); professional judgment in every situation versus following rules; narrow outlook and rigidity of rules; conclusion that the spirit of the Code must be followed.

Three answers to file (b)

Loses marks

"Harsh is dishonest."

A judgment, not an answer: no principle named, no definition.

Passes

"Integrity is violated because Harsh hid the demand."

Right principle, but no definition and no link to "misleading".

Full marks

Integrity named; "straightforward and honest" and the omission limb quoted; the facts applied (required by the format, knowingly omitted, decisive to the bank); "Hence, integrity is violated"; in service is no exemption.

Common mistakes

⚠ **Common mistake**

Hall of Shame: independence as the sixth principle

Bunty lists six fundamental principles, the sixth being "independence". **Fix:** there are five: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Independence, its threats and safeguards are a separate topic.

⚠ **Common mistake**

Integrity and objectivity swapped

A knowingly false certificate written up as "objectivity", or a relative's audit written up as "integrity". **Fix:** false or misleading information is integrity; bias, conflict of interest or undue influence is objectivity. When both are present, name both.

⚠ **Common mistake**

Confidentiality as a vow of silence

"The auditor can never disclose client information", even to a court. **Fix:** disclosure is allowed when required by law, when permitted by law and authorised by the client or employer, or under a professional duty or right not prohibited by law.

⚠ **Common mistake**

The client's say-so is not always enough

"The client authorised it, so it is fine." **Fix:** the second exception needs *both* permission of law and the client's authority; and the auditor's working papers remain the firm's, shared at its discretion.

Practice

Check yourself

1 Case scenario. CA Tanvi Bose is the finance controller, a Chartered Accountant in service, of Sevadham Hospital Trust. On 4 April a trustee asks her to issue a donation receipt dated 30 March for a donation received that day, so that the donor can claim it in the earlier year. Which fundamental principle would Tanvi violate if she agrees?

- A Professional competence and due care
- B Confidentiality
- C Integrity
- D None, since she is not in practice

2 Which of the following are fundamental principles of professional ethics in the Study Material? Select all that apply.

- **A** Objectivity
- **B** Professional skepticism
- **C** Professional behaviour
- **D** Independence in appearance
- **E** Confidentiality

More than one answer may be right.

3 CA Vikram signs a stock audit report for a bank showing ₹40 lakh of goods that he knows the borrower has already sold, because the borrower is his school friend. Which principles are violated? Select all that apply.

- **A** Integrity
- **B** Objectivity
- **C** Confidentiality
- **D** None: the bank should have verified the stock itself

More than one answer may be right.

4 Which statement about the principles-based approach to ethics is correct?

- **A** An accountant who complies with every written rule has necessarily acted ethically
- **B** It requires professional judgment in every situation, using professional knowledge, skill and expertise
- **C** It applies only where the law prescribes no penalty
- **D** It is more rigid than the rules-based approach

5 Under the confidentiality principle, in which of these cases may a professional accountant disclose a client's information? Select all that apply.

- **A** A court order requires its production
- **B** A friend asks informally and promises to keep it secret
- **C** The law permits it and the client has authorised it
- **D** The information is more than three years old

More than one answer may be right.

Answers: the answer key at the end of this lesson.

Recap

- Ethics: moral principles governing a person's behaviour; a state of mind strong enough to resist selfish motives.
- Need: society, governments, clients, taxing authorities, employees, investors and the business and financial community trust Chartered Accountants; assurance exists to enhance users' confidence; the profession acts in the public interest.
- Deviation brings the disciplinary mechanism: fines, suspension or removal from membership, or other action.
- Principles-based approach: the spirit of ethics and professional judgment in every situation; rules-based: rigid, may be narrow. Follow the spirit of the Code.
- Five principles: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Comply with each.
- Integrity covers false, negligent **and** misleadingly incomplete information; diligence means carefully, thoroughly and on a timely basis.
- Confidential information may be disclosed when required by law, permitted by law and authorised by the client or employer, or under a professional duty or right not prohibited by law. (The umpire may tell the court; he may not tell the bookie.)

Answer key · Check yourself

1 **C Integrity**

A receipt carrying a false date is information Tanvi knows to be materially false: integrity. It is not a lack of skill or care, nothing confidential is disclosed, and the principles apply to Chartered Accountants in service as much as in practice.

2 **A Objectivity**; **C Professional behaviour**; **E Confidentiality**

The five are integrity, objectivity, professional competence and due care, confidentiality and professional behaviour. Professional skepticism and independence (of mind and in appearance) are covered elsewhere in the chapter.

3 **A Integrity**; **B Objectivity**

He is knowingly associated with a materially false report (integrity), and he let a relationship compromise his judgment (objectivity). Naming only one of them is the commonest slip.

4 **B It requires professional judgment in every situation, using professional knowledge, skill and expertise**

The principles-based approach looks to the spirit of ethics and needs judgment in every situation; the rules-based approach can be narrow and rigid, and complying with its letter does not guarantee ethical conduct.

5 **A A court order requires its production**; **C The law permits it and the client has authorised it**

Disclosure is allowed when required by law, when permitted by law and authorised by the client or employer, or under a professional duty or right to disclose not prohibited by law. Age of the information and a friend's promise change nothing.

11.2 Independence, threats and safeguards

Independence of mind and in appearance, the five threats with ICAI's examples, what an auditor does when a threat exists, and professional skepticism, the questioning mind every audit needs.

In plain words

The gold card, again

Bunty still has Kesar's "Tapri Gold" card: unlimited free chai, for life. He has a theory.

> **Bunty:** Ma'am, I promise you, free chai will not change my view of Tapri's inventory by one rupee.
>
> **Lakshmi:** I believe you. Would Tapri's bank believe you, if it saw you sipping Kesar's chai while ticking Kesar's stock sheets?
>
> **Bunty:** *(slowly)* Maybe not, ma'am.
>
> **Lakshmi:** Then you have just learnt both halves of independence.

Independence means that the auditor's judgment does not bend to the wishes of whoever appointed him, or to his own self-interest. It has two halves. **Independence of mind** is the inside fact: Bunty really is unbiased. **Independence in appearance** is the outside view: a sensible, well-informed outsider who knew all the facts would also believe he is unbiased. An audit report is useful only if both hold, because readers cannot see inside Bunty's head.

Independence is attacked in five familiar ways, and ICAI calls them **threats**:

- **money** for the auditor riding on the client (self-interest);
- the auditor **checking his own work** (self-review);
- the auditor **championing the client's cause** (advocacy);
- the auditor getting **too close** to the client (familiarity);
- the auditor being **bullied** (intimidation).

When a threat exists, the auditor either walks away from the task, removes the threat, or puts **safeguards** in place that bring it down to an acceptable level, and writes them down. If no credible safeguard works, he does not take the work.

The same chapter adds the auditor's working attitude: **professional skepticism**, a questioning mind that stays alert for anything that does not add up. It is not suspicion of everyone; it is refusing to stop thinking.

Think of it like

The examiner and the answer sheets

An examiner should not check her nephew's answer sheet (too close), should not be paid a bonus for every pass (money), should not check answers she herself dictated to the class (her own work), should not campaign for a student's admission while marking him (championing), and should not be told "pass everyone or lose your job" (bullied). A good examiner also does not assume every student cheated. But when two sheets share the same odd spelling mistake on the same line, she looks closer. That second habit is professional skepticism.

Key idea

Independence must exist in fact (independence of mind) **and** appear to exist to a reasonable and informed third party (independence in appearance). Five threats attack it: self-interest, self-review, advocacy, familiarity and intimidation. When one exists, desist, eliminate it, or reduce it to an acceptable level with recorded safeguards; if credible and adequate safeguards cannot be fully implemented, do not accept the work.

How it works

1. What independence means

Definition

Independence

Independence implies that the judgment of a person is not subordinate to the wishes or direction of another person who might have engaged him, or to his own self-interest (SM 11.8).

The Study Material adds (SM 11.8–11.9):

- It is not possible to define "independence" precisely. Rules of professional conduct are framed with an objective, but the rules by themselves cannot create or ensure independence.
- Independence is a condition of mind as well as personal character. It should not be confused with the superficial and visible standards of independence sometimes imposed by law: those may be relaxed or strengthened, but the quality of independence remains unaltered.
- Independence is subjective. One person might be independent in a set of circumstances in which another feels he is not. So it is the duty of every Chartered Accountant to determine for himself whether he can act independently and, quite apart from legal rules, in no case to place himself in a position which would compromise his independence.

There are **two interlinked perspectives** (SM 11.8–11.9):

Definition

Independence of mind and independence in appearance

(a) **Independence of mind**: the state of mind that permits the provision of an opinion without being affected by influences that compromise professional judgment, allowing an individual to act with integrity, and exercise objectivity and professional skepticism.

(b) **Independence in appearance**: the avoidance of facts and circumstances that are so significant that a reasonable and informed third party, having knowledge of all relevant information, including any safeguards applied, would reasonably conclude that a firm's, or a member of the assurance team's, integrity, objectivity or professional skepticism had been compromised.

Independence has not only to exist in fact but also to appear to exist to all reasonable persons. The relationship between auditor and client should be such that, **first**, the auditor is himself satisfied about his independence and, **second**, no unbiased person would be forced to the conclusion, on an objective assessment of the circumstances, that there is likely to be an abridgement of the auditor's independence (SM 11.9).

Point	Independence of mind	Independence in appearance
Asks	Is my judgment actually free of influence?	Would an informed outsider think it is?
Who judges	The auditor himself	A reasonable and informed third party
Fails when	Influences compromise professional judgment	Significant facts suggest integrity, objectivity or skepticism are compromised
Bunty's card	He believes his view is unaffected	The bank would doubt it

Why it matters: as statutory auditor of a listed company, a Chartered Accountant would cease to perform any useful function if those who rely on the accounts had no faith in his independence and integrity. He is expected to be objective, fearless, and capable of expressing an honest opinion (SM 11.9).

2. The five threats

Many circumstances, or combinations of them, can threaten independence, so it is impossible to define every situation and the mitigating action for each; and different assurance engagements may

face different threats needing different safeguards (SM 11.9). The Study Material discusses five types (SM 11.10–11.11):

Five threats to the auditor's independence



Each arrow is one way independence is attacked: money riding on the client (self-interest), reviewing one's own work (self-review), championing the client (advocacy), closeness (familiarity), pressure (intimidation).

(1) SELF-INTEREST THREATS

Self-interest threats occur when an auditing firm, its partner or associate could benefit from a financial interest in an audit client. Examples include (SM 11.10):

- (i) direct financial interest or materially significant indirect financial interest in a client;
- (ii) loan or guarantee to or from the concerned client;
- (iii) undue dependence on a client's fees and, hence, concerns about losing the engagement;
- (iv) close business relationship with an audit client;
- (v) potential employment with the client; and
- (vi) contingent fees for the audit engagement.

(2) SELF-REVIEW THREATS

Self-review threats occur during a review of any judgment or conclusion reached in a previous audit or non-audit engagement, or when a member of the audit team was previously a director or senior employee of the client. **Non-audit services** include any professional services provided to an entity by an auditor, other than audit or review of the financial statements: management services, internal audit, investment advisory service, etc. Instances (SM 11.10):

- (i) an auditor having recently been a director or senior officer of the company;
- (ii) auditors performing services that are themselves subject matters of audit.

(3) ADVOCACY THREATS

Advocacy threats occur when the auditor promotes, or is perceived to promote, a client's opinion to a point where people may believe that objectivity is getting compromised: for example, when an auditor **deals with shares or securities** of the audited company, or becomes the **client's advocate in**

litigation and third party disputes. The auditor can then be perceived as backing and championing the causes of the auditee client (SM 11.10–11.11).

(4) FAMILIARITY THREATS

Familiarity threats are self-evident, and occur when auditors form relationships with the client where they end up being too sympathetic to the client's interests. This can occur in many ways, including (SM 11.11):

- (i) a close relative of the audit team working in a senior position in the client company;
- (ii) a former partner of the audit firm being a director or senior employee of the client;
- (iii) long association between specific auditors and their specific client counterparts; and
- (iv) acceptance of significant gifts or hospitality from the client company, its directors or employees.

The provisions of the Companies Act, 2013 on **rotation of auditors** mainly address these familiarity threats: the auditor is rotated after a certain number of years so that auditors do not become too familiar with their clients (SM 11.11).

Bunty's gold card falls under (iv): unlimited free chai for life is a gift of real value from the client, so keeping it creates a familiarity threat. The cure costs nothing: he returns the card, which eliminates the threat.

(5) INTIMIDATION THREATS

Intimidation threats occur when auditors are deterred from acting objectively with an adequate degree of professional skepticism. They could happen because of (SM 11.11):

- the threat of replacement over disagreements with the application of accounting principles;
- pressure to disproportionately reduce work in response to reduced audit fees; or
- being threatened with litigation.

3. Spotting the threat

Threat	Cue in the facts	Study Material example
Self-interest	The auditor gains or loses money	Contingent audit fee
Self-review	The auditor's own past work or past post	Services that are subject matter of audit
Advocacy	The auditor backs the client in public	Client's advocate in a dispute
Familiarity	Closeness: family, old ties, gifts	Long association
Intimidation	Pressure, threats, fear	Threat of replacement

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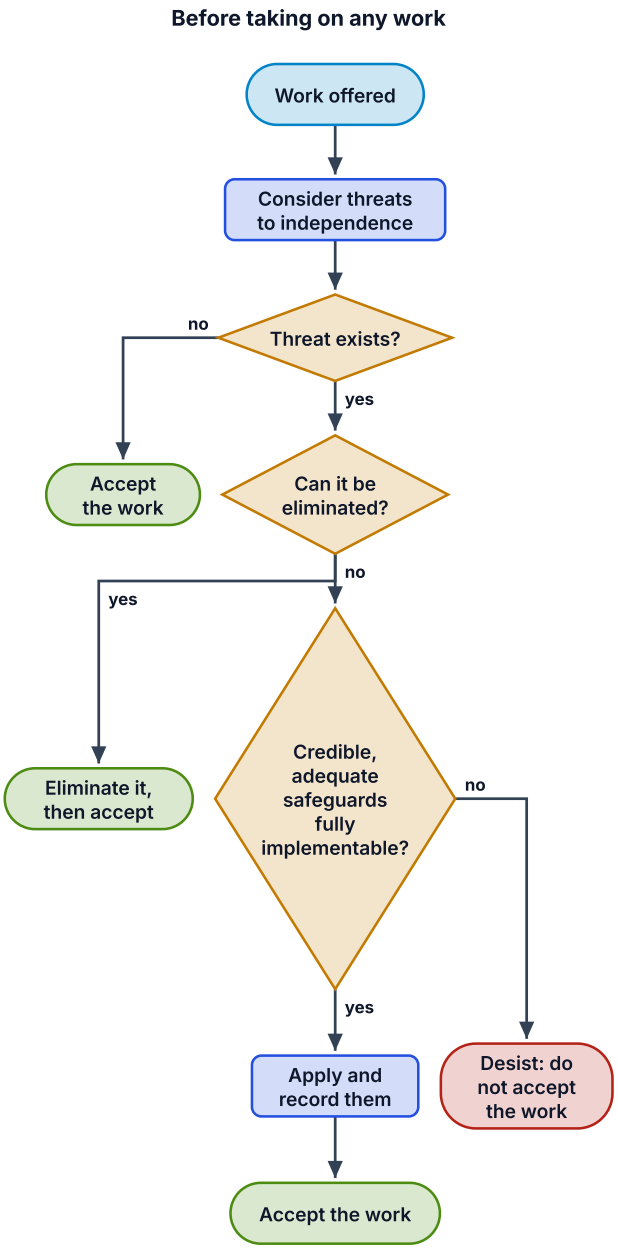
4. Safeguards

Chartered Accountants have a responsibility to remain independent by taking into account the context in which they practise, the threats to independence and the safeguards available to address them (SM 11.11).

> **Definition**
>
> **Safeguards**
>
> Safeguards are actions, individually or in combination, that the professional accountant takes that effectively reduce threats to comply with the fundamental principles to an acceptable level (SM 11.11).

The guiding principles, in the Study Material's order (SM 11.12):

1. For the public to have confidence in the quality of audit, auditors should always be, and appear to be, independent of the entities they audit.
2. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence.
3. When such threats exist, the auditor should either **desist** from the task, or **eliminate** the threat, or at the very least put in place **safeguards** which reduce the threats to an acceptable level. All such safeguard measures need to be **recorded** in a form that can serve as evidence of compliance with due process.
4. If the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work.



The guiding principles of SM 11.12 as a path. Desisting is open at any point; the safeguards must reduce the threat to an acceptable level and be recorded as evidence of due process.

During the audit the engagement partner keeps evaluating compliance with ethical requirements, including independence (SA 300's preliminary engagement activities), and the firm's quality control system collects annual written confirmations of independence (SQC 1 and SA 220).

5. Professional skepticism

Independence of mind lets the auditor exercise **professional skepticism**, and intimidation threats are described as what deters it. The Study Material discusses it right after threats and safeguards (SM 11.12–11.13; it is also part of SA 200's overall conduct of an audit).

Definition

Professional skepticism

Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence (SM 11.12).

It signifies that the auditor has to remain alert throughout: a questioning mind that challenges things in the light of the available evidence. **The auditor shall plan and perform an audit with professional skepticism, recognising that circumstances may exist that cause the financial statements to be materially misstated** (SM 11.12).

Professional skepticism includes being alert to, for example (SM 11.12):

1. Audit evidence that contradicts other audit evidence obtained.
2. Information that brings into question the reliability of documents and responses to inquiries to be used as audit evidence.
3. Conditions that may indicate possible fraud.
4. Circumstances that suggest the need for audit procedures in addition to those required by the SAs.

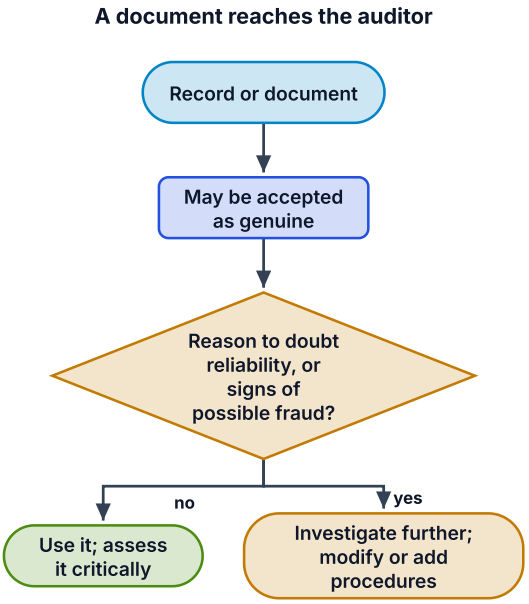
Maintaining it throughout the audit reduces the risks of (SM 11.13):

1. Overlooking unusual circumstances.
2. Over generalising when drawing conclusions from audit observations.
3. Using inappropriate assumptions in determining the nature, timing and extent of the audit procedures and evaluating the results thereof.

Critical assessment of evidence (SM 11.13). Professional skepticism is necessary to the critical assessment of audit evidence. It also includes considering the sufficiency and appropriateness of the evidence in the light of the circumstances: for example, where fraud risk factors exist and a single document, of a nature that is susceptible to fraud, is the sole supporting evidence for a material amount.

Genuine unless there is reason to doubt (SM 11.13). The auditor may accept records and documents as genuine unless he has reason to believe the contrary. Nevertheless, he must consider the reliability of information to be used as audit evidence. In cases of doubt about reliability, or indications of possible fraud, the SAs require the auditor to investigate further and determine what modifications or additions to audit procedures are necessary to resolve the matter.

Past honesty is not a pass (SM 11.13). The auditor cannot be expected to disregard past experience of the honesty and integrity of management and those charged with governance. But a belief that they are honest and have integrity does not relieve the auditor of the need to maintain professional skepticism.



SM 11.13: records may be accepted as genuine unless there is reason to believe the contrary; doubt or fraud indications send the auditor back for more. Past honesty of management does not change the path.

Worked examples

Worked example **Lakshmi's independence register**

Before accepting reappointment as statutory auditors of Tapri Tea Co. Ltd for 2026-27, Ms. Lakshmi Iyer reviews the independence register of Iyer & Associates. It records:

(i) Tapri's audit committee proposes that, besides the fixed audit fee, the firm be paid 1% of any tax saving that the audit team identifies during the audit.

(ii) Meera Khanna, the elder sister of article assistant Bunty, has joined Tapri as Head of Treasury.

(iii) Last year the firm's advisory wing designed and installed the inventory costing module of Tapri's ERP, which computes the closing inventory reported in Tapri's financial statements.

(iv) Kesar insists that the fixed fee be cut by 20% and that, "since the fee is lower", the team attend the year-end inventory count at the Indore plant only, instead of at all six regional warehouses as in earlier years.

(v) Tapri is contesting BrewBucks's claim over the "Kulhad" trademark before a tribunal, and Kesar wants Lakshmi to appear for Tapri and argue its case.

(vi) To help Iyer & Associates buy a new office, Tapri has stood guarantee for the firm's ₹2 crore loan from Tapri's own bank.

Classify, with reasons, the threat to independence in each situation, and state what the firm should do about these threats.

MODEL ANSWER

Classification

Situation	Threat	Reason
(i) Fee linked to tax savings	Self-interest	Contingent fees for the audit engagement: the firm benefits financially from the outcome
(ii) Bunty's sister, Head of Treasury	Familiarity	A close relative of the audit team in a senior position in the client company
(iii) Firm built the inventory costing module	Self-review	Auditors performing services that are themselves subject matters of audit
(iv) 20% fee cut, inventory count cut from six warehouses to one plant	Intimidation	Pressure to disproportionately reduce work in response to reduced audit fees
(v) Arguing Tapri's case before the tribunal	Advocacy	The auditor would become the client's advocate in litigation and third party disputes
(vi) Tapri guarantees the firm's loan	Self-interest	A loan or guarantee to or from the client: the firm benefits from the client's support

What the firm should do. Before taking on any work, an auditor must conscientiously consider whether it involves threats to his independence. When such threats exist, the auditor should either desist from the task, or eliminate the threat, or at the very least put in place safeguards which reduce the threats to an acceptable level, recording all safeguard measures as evidence of compliance with due process. If the auditor is unable to fully implement credible and adequate safeguards, he must not accept the work. Applied here:

- **(i)** Eliminate the threat: refuse the contingent element, so that the fee does not depend on the outcome of the work.
- **(ii)** Safeguard: Bunty should not be on the Tapri engagement team while his sister holds a senior position there; record the step.
- **(iii)** The firm must evaluate whether credible and adequate safeguards (for example, an independent review of the module's output by people who had no role in designing it) can reduce the threat to an acceptable level. Its own service produces a figure it would audit; if such safeguards cannot be fully implemented, it must not accept the reappointment.
- **(iv)** The audit procedures needed to obtain sufficient appropriate audit evidence are decided by the auditor on the risks, not by the size of the fee. The firm should not agree to drop the warehouse counts; if the pressure cannot be reduced to an acceptable level, it must not accept the work.
- **(v)** Desist: decline to act as Tapri's advocate before the tribunal.
- **(vi)** Eliminate the threat: the guarantee should be released (the firm arranges its loan without Tapri's support) before the reappointment is accepted; otherwise the firm must not accept the work.

Every step taken is recorded in a form that can serve as evidence of due process. The firm accepts reappointment only if each threat has been eliminated or reduced to an acceptable level.

Worked example

Bunty's two swings

After being caught ticking vouchers he had not read, Bunty resolves to be "the most skeptical auditor in India". On the 2025-26 audit of Tapri Tea Co. Ltd he records three things:

(a) **Café rent agreements.** He refuses to accept any of the 400 café rent agreements until each landlord re-signs it before a notary. The agreements match the rent paid through the bank and nothing suggests that any is forged. The audit is delayed by three weeks.

(b) **Samosa factory inventory.** Stock sheets show 12,000 kg of frozen potato at 31 March. The cold-chain division's temperature log, obtained by the team, shows that the cold store holding it was switched off for maintenance from 20 to 31 March. The factory manager says the stock was fine. Bunty accepts this, noting that "the stock sheets are signed and stamped by the manager, so they must be right".

(c) **Café cash.** He counted the cash at two cafés in Indore, found no difference, and concluded: "Cash controls at the cafés in all 40 cities are effective."

Examine Bunty's approach in each area in the light of professional skepticism, and state the risks that maintaining professional skepticism throughout the audit reduces.

MODEL ANSWER

Relevant provision. Professional skepticism refers to an attitude that includes a questioning mind, being alert to conditions which may indicate possible misstatement due to error or fraud, and a critical assessment of audit evidence. The auditor shall plan and perform an audit with professional skepticism, recognising that circumstances may exist that cause the financial statements to be materially misstated. It includes being alert to audit evidence that contradicts other audit evidence obtained, and to information that brings into question the reliability of documents and responses to inquiries. The auditor may accept records and documents as genuine unless he has reason to believe the contrary; in cases of doubt about reliability or indications of possible fraud, he shall investigate further and determine what modifications or additions to audit procedures are necessary.

(a) Rent agreements. The agreements are corroborated by the rent paid through the bank and nothing gives reason to believe they are not genuine. Professional skepticism does not require the auditor to treat every document as forged: he may accept records and documents as genuine unless he has reason to believe the contrary. Demanding notarised re-signing of all 400 agreements is not required by skepticism and is not a proper use of the audit's time.

(b) Inventory. The temperature log is audit evidence that contradicts the stock sheets about the condition of the inventory. A signature and a stamp show who prepared the sheets, not that the stock survived the shutdown of the cold store, and the manager's reply is only a response to an inquiry: neither resolves the contradiction. Bunty should have been alert to the contradiction, investigated further and determined the additional procedures needed (for example, examining the condition of the stock and its later use or disposal). Bunty's approach is not in accordance with professional skepticism.

(c) Cash. A conclusion about cafés in 40 cities drawn from observations at two cafés in one city is over generalising when drawing conclusions from audit observations. Bunty should extend his procedures before reaching any conclusion on cash controls across the cafés.

Risks reduced. Maintaining professional skepticism throughout the audit reduces the risks of: (i) overlooking unusual circumstances; (ii) over generalising when drawing conclusions from audit observations; and (iii) using inappropriate assumptions in determining the nature, timing and extent of the audit procedures and evaluating the results thereof.

Conclusion. In (a) Bunty applied more doubt than the facts justified; in (b) and (c) he did not apply professional skepticism. Skepticism is a questioning mind applied to the evidence, not a presumption that everyone is dishonest.

Exam angle

In the exam

Where independence and skepticism appeared, May 2024 to September 2026

In the ICAI documents read for this lesson (cited here and under the hood), threats to independence were examined in 19 documents and professional skepticism in 6.

- **Classify the threats, 3 to 5 marks.** Six observations of a firm, plus what the auditor should do: January 2025 Q2(b) (3 + 2 marks). Five threats from the Study Material's own examples, with reasons: September 2025 Q6(c) (4 marks, an OR question). A partner's shares, a loan to a director, fee dependence, internal audit and consultancy, an ex-Finance Manager on the team: RTP September 2026 Q20. Familiarity threats explained: MTP January 2025 Series II Q5(c) (4 marks), MTP May 2026 Series II Q6 (5 marks, with rotation under the Companies Act), MTP May 2024 Series I (3 marks, free holidays and air travel). Inherited shares before appointment: RTP January 2025 Q20. The threat when one firm audits a listed company for ever, the Companies Act safeguard and the general situations of that threat: September 2026 Q3(b) (1 + 1 + 3 marks; in the Study Material's terms a familiarity threat, addressed by rotation of auditors, SM 11.11; its suggested answer was not yet published when this lesson was checked). A team member's close business relationship with a client executive, the meaning of independence and the engagement partner's responsibilities: September 2026 Q2(c) (1 + 3 marks).
- **Multiple choice, 2 marks each.** Undue fee dependence is self-interest (September 2024 MCQ 5; MTP January 2025 Series I MCQ 12 and Series II MCQ 13). Gifts and a loan (January 2026 MCQ 9). Shares bought to benefit from the opinion; reviewing a method one designed (MTP May 2025 Series I MCQ 6 and 8; MTP September 2025 Series II MCQ 9). A client threatening future work: intimidation (RTP January 2025 MCQ 7; MTP September 2026 Series II MCQ 11). Ten years with a CEO, plus gifts: familiarity (RTP May 2025 MCQ 7). Book-keeping for an audit client: self-review (RTP September 2024 MCQ 6; RTP September 2025 MCQ 3). The engagement partner's steps on threats (January 2026 MCQ 7).
- **Professional skepticism, 3 to 5 marks.** Unusual year-end sales despite invoices, and the risks reduced: May 2026 Q1(a)(i) (3 marks). Contradicting invoices, evasive answers, altered documents: MTP January 2026 Series II (4 marks). One internal document for a material purchase: MTP September 2025 Series II (5 marks). Five examples of skepticism: MTP May 2025 Series II (5 marks). MCQs: reliance on a representation letter alone shows a lack of skepticism (RTP September 2025 MCQ 2), and tracing an undisclosed related party through past annual reports shows skepticism (RTP May 2024 general MCQ 4).

In the exam

How the marks are earned

For a classification question ICAI's answers give a table (situation, threat), each threat's definition as the reason, and then the guiding principles on what to do: desist, eliminate, or safeguards reducing the threat to an acceptable level, recorded; if credible and adequate safeguards cannot be fully implemented, do not accept. For skepticism, the definition, the "alert to" list or the "reduces the risks of" list, and the facts applied.

Interactive version: PassBook app, lesson Independence, threats and safeguards

Trick

Money, Mirror, Megaphone, Mate, Menace

Self-interest (money), self-review (mirror: you see your own work), advocacy (megaphone), familiarity (mate), intimidation (menace). Condition: the cue picks the threat, but the answer must give ICAI's definition and example, and a single fact can create more than one threat.

Answer frame

"Classify the threats and state what the auditor should do"

1. A table: **situation** → **threat**, one line each.
2. For each, the **reason** in the Study Material's words ("could benefit from a financial interest", "services that are themselves subject matters of audit", "client's advocate in litigation", "close relative … in a senior position", "pressure to disproportionately reduce work").
3. **What to do**, in the guiding principles' words: consider threats before taking on work; desist, eliminate, or safeguards to an acceptable level, recorded; if credible and adequate safeguards cannot be fully implemented, do not accept the work.
4. Where marks allow, the specific step for each threat (sell the interest, remove the person, decline the service).

A skepticism case: provision, facts, analysis, conclusion

Definition → the "alert to" item the facts trigger (contradicting evidence, doubtful reliability, fraud conditions) → what the auditor should do (investigate further, modify or add procedures; past honesty does not excuse) → the risks it reduces → conclusion on the auditor's approach.

"Distinguish between independence of mind and independence in appearance"

Point	Independence of mind	Independence in appearance
Meaning	State of mind permitting an opinion without influences that compromise judgment	Avoiding facts and circumstances so significant that an informed third party would conclude independence is compromised
Test	The auditor is himself satisfied	No unbiased person would be forced to conclude independence is likely abridged
Enables	Integrity, objectivity and professional skepticism	Users' confidence in the report

Common mistakes

Common mistake

Hall of Shame: "I know I am independent, so there is no threat"

Bunty's gold-card defence. **Fix:** independence must also exist in appearance: the test is whether a reasonable and informed third party, knowing all the facts, would conclude that integrity, objectivity or skepticism had been compromised.

⚠ **Common mistake**

The share dealer filed under self-interest

Fix: a financial interest in the client is self-interest, but the Study Material's example of an auditor who **deals in the shares or securities** of the audited company is **advocacy**: he is seen to promote the client.

⚠ **Common mistake**

Self-review and familiarity reversed

Fix: the client's former director now on the audit team is self-review; the audit firm's former partner now a director of the client is familiarity.

⚠ **Common mistake**

Safeguards as an afterthought

Writing "the auditor can apply safeguards" and stopping. **Fix:** say which, that they must reduce the threat to an acceptable level and be recorded, and that if credible and adequate safeguards cannot be fully implemented, the work must not be accepted.

⚠ **Common mistake**

Skepticism as suspicion of everyone

Fix: the auditor may accept records and documents as genuine unless he has reason to believe the contrary; skepticism means a questioning mind, alertness and critical assessment, and investigating further when there is reason to doubt.

Practice

Check yourself

1 Case scenario. CA Prakash Rao retired as a partner of Iyer & Associates in March 2026 and joined the board of Tapri Tea Co. Ltd as a director in June 2026. Iyer & Associates continue as Tapri's statutory auditors. Which threat to independence does this create?

- A Self-review threat
- B Self-interest threat
- C Familiarity threat
- D Intimidation threat

2 CA Pooja Nair, a partner of the firm that audits Masala Mills Ltd, appears every week on a business TV channel urging viewers to buy Masala Mills shares, calling it "the best-run company I know". Which threat to independence does her conduct create?

- **A** Self-review threat
- **B** Intimidation threat
- **C** Familiarity threat
- **D** Advocacy threat

3 Professional skepticism includes being alert to which of the following? Select all that apply.

- **A** Audit evidence that contradicts other audit evidence obtained
- **B** The presumption that management is dishonest unless it proves otherwise
- **C** Conditions that may indicate possible fraud
- **D** Circumstances that suggest the need for audit procedures in addition to those required by the SAs

More than one answer may be right.

4 CA Neelam has evaluated the threats in a proposed engagement and concludes that she cannot fully implement credible and adequate safeguards. What should she do?

- **A** Accept, and disclose the threat in her audit report
- **B** Accept, after obtaining a written representation from management
- **C** Accept, and record the threat in her working papers
- **D** Not accept the work

5 Which of the following describes independence in appearance?

- **A** The state of mind that permits an opinion without influences that compromise professional judgment
- **B** The avoidance of facts and circumstances so significant that a reasonable and informed third party would conclude that integrity, objectivity or professional skepticism had been compromised
- **C** Compliance with every legal rule on the auditor's qualifications
- **D** The auditor's own satisfaction that he is unbiased

Answers: the answer key at the end of this lesson.

Recap

- Independence: judgment not subordinate to the wishes or direction of another who engaged him, or to his own self-interest; a condition of mind and character that rules alone cannot create.

- Two perspectives: independence of mind and independence in appearance (the reasonable and informed third party); it must exist in fact and appear to exist.
- Self-interest: financial interest, loan or guarantee, fee dependence, close business relationship, potential employment, contingent audit fees.
- Self-review: reviewing one's own earlier judgment or service; audit team member recently a director or senior employee of the client.
- Advocacy: dealing in the client's shares, acting as its advocate in litigation. Familiarity: close relative in a senior post, former firm partner at the client, long association, significant gifts. Intimidation: threat of replacement, pressure to cut work with fees, threat of litigation.
- Threat exists: desist, eliminate, or safeguards to an acceptable level, recorded; if credible and adequate safeguards cannot be fully implemented, do not accept.
- Professional skepticism: questioning mind, alertness to misstatement from error or fraud, critical assessment of evidence; documents may be accepted as genuine unless there is reason to doubt; past honesty does not excuse it. (Bunty returned the gold card. He now buys his own chai.)

Answer key · Check yourself

1 **C Familiarity threat**

A former partner of the audit firm becoming a director or senior employee of the client is the Study Material's example of a familiarity threat. Self-review is the other direction: a member of the audit team who was previously a director or senior employee of the client.

2 **D Advocacy threat**

She promotes the client to a point where people may believe her objectivity is compromised: she is seen backing and championing the auditee, like an auditor who deals in its shares or acts as its advocate in litigation (SM 11.10). If she also held the shares, that holding would add a self-interest threat; promoting them is advocacy.

3 **A Audit evidence that contradicts other audit evidence obtained; C Conditions that may indicate possible fraud; D Circumstances that suggest the need for audit procedures in addition to those required by the SAs**

The four "alert to" items also include information that questions the reliability of documents and responses to inquiries. Skepticism does not presume dishonesty: records may be accepted as genuine unless there is reason to believe the contrary.

4 **D Not accept the work**

SM 11.12: if the auditor is unable to fully implement credible and adequate safeguards, then he must not accept the work. Disclosure, representations and records do not reduce a threat.

5 **B The avoidance of facts and circumstances so significant that a reasonable and informed third party would conclude that integrity, objectivity or professional skepticism had been compromised**

The first and last options describe independence of mind; legal standards are "superficial and visible standards" that do not themselves create independence.

11.3 SA 210: agreeing the terms of audit engagements

The preconditions the auditor must establish before accepting an audit, the engagement letter and what it contains, refusing a crippling scope limitation, requests to change the terms, and when recurring audits need revised terms.

In plain words

Pammi's audit, with conditions

Kesar's neighbour Pammi Arora runs Arora Mithai & Sons, a partnership firm. Its bank wants audited accounts, so Pammi calls Iyer & Associates.

> **Pammi:** Lakshmi-ji, do the audit. But your team talks only to munim-ji, and controls are his department, not mine.
>
> **Lakshmi:** Before I say yes, Pammi-ji, you will sign that the accounts and the controls are yours, and that my team can see anything and anyone.
>
> **Bunty:** Ma'am, can't we start now and sort the letter out later?
>
> **Lakshmi:** "Later" is where audits go to die, Bunty.

An audit stands on a premise: management prepares the accounts on a recognised basis, runs the controls needed to keep them free of material misstatement, and opens every door to the auditor. The auditor checks before saying yes. These are the **preconditions for an audit**: the accounts are prepared under an **acceptable financial reporting framework**, and management **agrees** that these responsibilities are its own. If either is missing, the auditor does not accept, unless the law requires it.

Then the agreed terms go into an **engagement letter**, sent by the auditor to the client: what the audit covers, who does what, which framework applies, and what the report should look like (warning that it may differ). SA 210 also stops a client from crippling the audit before it starts, or shrinking it midway to escape a bad report. In later years the letter is revised, or the client reminded, when things change.

Think of it like

The tailor's order slip

Before cutting cloth, a good tailor writes an order slip: what will be stitched, from which fabric (he will not promise a suit from cloth that cannot hold one), what the customer must do (bring the cloth, come for trials) and what he will do, and roughly how it will look, with "subject to fitting" at the bottom. A customer who says "no trials" does not get a fitted suit. Switching to "just alter it" midway is fine if the occasion changed; it is not fine because the cloth turned out short. And a regular customer gets a new slip when he wants something new.

Key idea

Accept or continue an audit only when its basis is agreed: the preconditions are present (an acceptable framework, and management's acknowledgement of its responsibilities) and the terms are commonly understood and recorded in an engagement letter or other written agreement.

How it works

1. Scope and objective

SA 210, "Agreeing the Terms of Audit Engagements", deals with the auditor's responsibilities in agreeing the terms of the audit engagement with management and, where appropriate, those charged with governance, including establishing that certain preconditions for an audit, responsibility for which rests with management, are present (SM 11.14).

Objective. To accept or continue an audit engagement only when the basis upon which it is to be performed has been agreed, through (SM 11.15):

- (A) establishing whether the preconditions for an audit are present; and
- (B) confirming that there is a common understanding between the auditor and management and, where appropriate, those charged with governance of the terms of the audit engagement.

2. The preconditions

Definition

Preconditions for an audit

The use by management of an acceptable financial reporting framework in the preparation of the financial statements and the agreement of management and, where appropriate, those charged with governance to the premise on which an audit is conducted (SM 11.15).

To establish whether the preconditions are present, the auditor shall (SM 11.15–11.16):

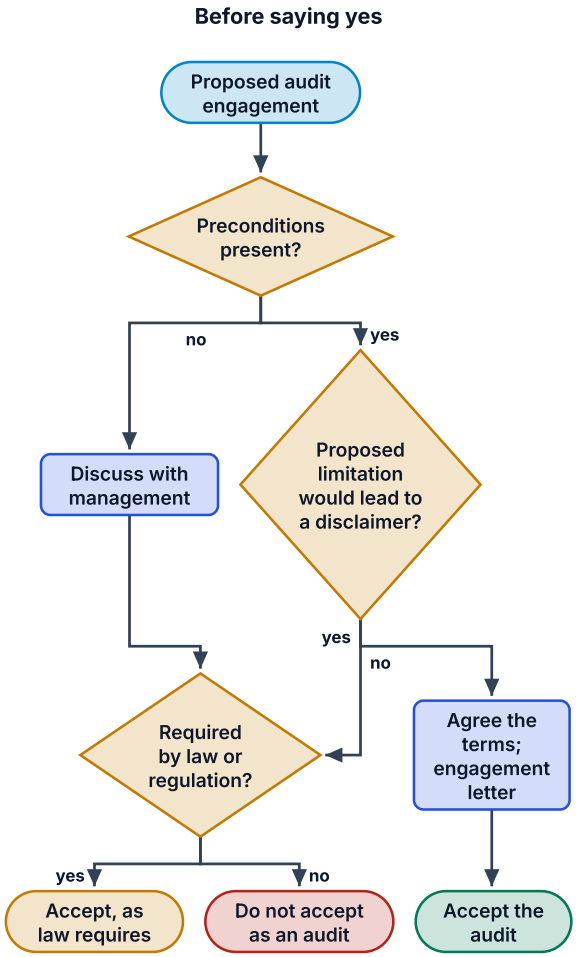
- (a) determine whether the financial reporting framework is acceptable; and
- (b) obtain the agreement of management that it acknowledges and understands its responsibility:
  - (i) for the preparation of the financial statements in accordance with the applicable financial reporting framework, including where relevant their fair presentation;
  - (ii) for such internal control as management considers necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
  - (iii) to provide the auditor with: access to all information of which management is aware that is relevant to the preparation of the financial statements, such as records, documentation and other matters; additional information that the auditor may request for the purpose of the audit; and unrestricted access to persons within the entity from whom the auditor determines it necessary to obtain audit evidence.

3. When the auditor shall not accept

Preconditions not present. The auditor shall discuss the matter with management. Unless required by law or regulation to do so, the auditor shall not accept the proposed audit engagement (SM 11.21):

- (a) if the financial reporting framework to be applied is unacceptable; or
- (b) if management's agreement on its responsibilities (preparation of the financial statements, internal control, access to information and persons) is not obtained.

Limitation on scope before acceptance. If management or those charged with governance impose a limitation on the scope of the auditor's work in the terms of a proposed audit engagement such that the auditor believes it will result in a **disclaimer of opinion**, the auditor shall not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so (SM 11.21). (A limitation imposed *after* acceptance is handled by SA 705.)



Preconditions: an acceptable framework, and management's agreement to its three responsibilities. Green: the normal path. Rose: the auditor does not accept. Amber: the rare case where law or regulation requires acceptance.

4. Agreeing the terms: the engagement letter

Except where law requires accounts to be audited (for example, companies), an audit is a matter of contract between auditor and client; each party should be clear about the nature of the engagement, which must be reduced to writing and should exactly specify the scope of the work (SM 11.16).

The auditor shall agree the terms of the audit engagement with management or those charged with governance, as appropriate. The agreed terms shall be recorded in an **audit engagement letter or other suitable form of written agreement**. The letter is **sent by the auditor to the client**; issuing it is in the interest of both, so that the possibility of misunderstanding is reduced to a great extent (SM 11.16). It includes (SM 11.16–11.17):

- (a) the objective and scope of the audit of the financial statements;
- (b) the responsibilities of the auditor;
- (c) the responsibilities of management;
- (d) identification of the applicable financial reporting framework for the preparation of the financial statements; and
- (e) reference to the expected form and content of any reports to be issued by the auditor, and a statement that there may be circumstances in which a report may differ from its expected form and content.

When law prescribes the terms. If law or regulation prescribes the terms of the audit engagement in sufficient detail, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities (SM 11.17).

Sending the engagement letter is also one of the auditor's **preliminary engagement activities** before planning the audit (SA 300; SM 2.9).

5. A request to change the terms

The auditor shall not agree to a change in the terms of the audit engagement where there is **no reasonable justification** for doing so (SM 11.21).

Why a client asks. A request may result from a change in circumstances affecting the need for the service, a misunderstanding as to the nature of an audit as originally requested, or a restriction on the scope of the engagement, whether imposed by management or caused by other circumstances. The auditor considers the justification, particularly the implications of a scope restriction (SM 11.21–11.22).

- **May be reasonable**: a change in circumstances that affects the entity's requirements, or a misunderstanding concerning the nature of the service originally requested.
- **May not be reasonable**: a change that appears to relate to information that is incorrect, incomplete or otherwise unsatisfactory. ICAI's example: the auditor cannot obtain sufficient appropriate audit evidence regarding receivables, and the entity asks for the audit to be changed to a review engagement to avoid a qualified opinion or a disclaimer of opinion (SM 11.22).

Moving to a lower level of assurance. If, before completing the audit, the auditor is asked to change it to an engagement conveying lower assurance (a review or a related service), the auditor shall determine whether there is reasonable justification, and may also need to assess any legal or contractual implications of the change. If it is justified, the audit work done to date may be relevant to the changed engagement, but the work required and the report issued are those appropriate to the

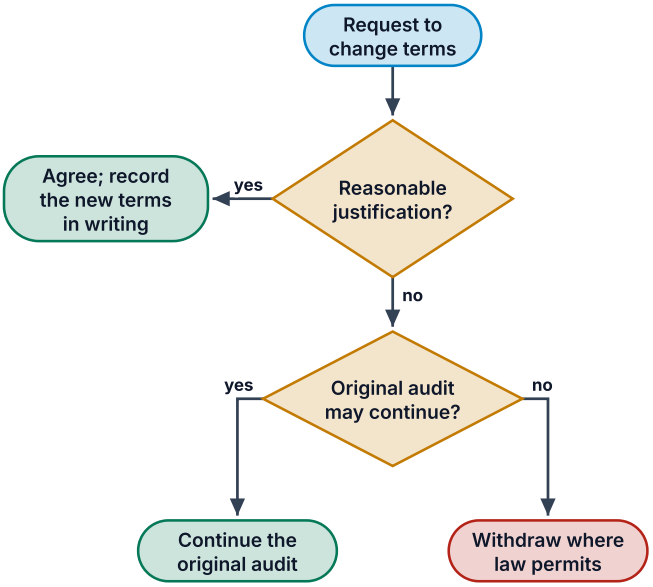
revised engagement. To avoid confusing the reader, the report on the related service would not refer to (a) the original audit engagement or (b) any procedures performed in it, except where the change is to an engagement to undertake agreed-upon procedures, where reference to the procedures performed is a normal part of the report (SM 11.22–11.23).

New terms in writing. If the terms are changed, the auditor and management shall agree on and record the new terms in an engagement letter or other suitable written agreement (SM 11.23).

No agreement, no continuation. If the auditor is unable to agree to a change and is not permitted by management to continue the original audit engagement, the auditor shall (SM 11.23):

- (a) withdraw from the audit engagement where possible under applicable law or regulation; and
- (b) determine whether there is any obligation, either contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators.

A request to change the terms



Before agreeing to a lower level of assurance, the auditor may also need to assess legal or contractual implications; the work and report are those of the revised engagement, and the report does not mention the original audit or its procedures (except for agreed-upon procedures). Rose: withdrawal where possible under law, after which the auditor determines whether to report the circumstances to those charged with governance, owners or regulators.

6. Recurring audits

On recurring audits, the auditor shall assess whether circumstances require the terms to be revised, and whether there is a need to remind the entity of the existing terms. The auditor may decide not to send a new engagement letter or other written agreement each period. The following factors may make it appropriate to **revise the terms or remind the entity** (SM 11.23–11.24):

1. Any indication that the entity misunderstands the objective and scope of the audit.
2. Any revised or special terms of the audit engagement.
3. A recent change of senior management.

4. A significant change in ownership.
5. A significant change in nature or size of the entity's business.
6. A change in legal or regulatory requirements.
7. A change in the financial reporting framework adopted in the preparation of the financial statements.
8. A change in other reporting requirements.

Formats and formulas

ICAI's example engagement letter (SM 11.17–11.20)

Reproduce the headings in order, and the auditor's and management's responsibilities point by point: May 2026 asked for five of the auditor's responsibilities for 5 marks. ICAI's example is from PJ Shrimali & Co. to Pristine Products Limited; the wording below is ICAI's, with Tapri's names put in.

Iyer & Associates, Chartered Accountants, Indore. [Date]

To the Board of Directors of Tapri Tea Co. Ltd

The objective and scope of the audit

You have requested that we audit the financial statements of Tapri Tea Co. Ltd, which comprise the Balance Sheet as at March 31st, 20XX, the Statement of Profit & Loss, Cash Flow Statement for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

We are pleased to confirm our acceptance and our understanding of this audit engagement by means of this letter. The objectives of our audit are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Standards on Auditing (SAs) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

The responsibilities of the auditor

We will conduct our audit in accordance with Standards on Auditing (SAs) issued by the Institute of Chartered Accountants of India (ICAI). Those Standards require that we comply with ethical requirements. As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error,

as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the company's internal control. However, we will communicate to you in writing concerning any significant deficiencies in internal control relevant to the audit of the financial statements that we have identified during the audit.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Because of the inherent limitations of an audit, together with the inherent limitations of internal control, there is an unavoidable risk that some material misstatements may not be detected, even though the audit is properly planned and performed in accordance with SAs.

The responsibilities of management

Our audit will be conducted on the basis that management and, where appropriate, those charged with governance acknowledge and understand that they have responsibility:

- (a) For the preparation of financial statements that give a true and fair view in accordance with the financial reporting Standards. This includes:
  - The responsibility for the preparation of financial statements on a going concern basis.
  - The responsibility for selection and consistent application of appropriate accounting policies, including implementation of applicable accounting standards along with proper explanation relating to any material departures from those accounting standards.
  - The responsibility for making judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the entity at the end of the financial year and of the profit or loss of the entity for that period.
- (b) For such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; and
- (c) To provide us with:
  - (i) Access, at all times, to all information, including the books, accounts, vouchers and other records and documentation, of the company, whether kept at the head office of the company or

elsewhere, of which management is aware that is relevant to the preparation of the financial statements such as records, documentation and other matters;

- (ii) Additional information that we may request from management for the purpose of the audit; and
- (iii) Unrestricted access to persons within the entity from whom we determine it necessary to obtain audit evidence. This includes our entitlement to require from the officers of the company such information and explanations as we may think necessary for the performance of our duties as auditor. As part of our audit process, we will request from management and, where appropriate, those charged with governance, written confirmation concerning representations made to us in connection with the audit.

Fees

Our fees bill for ₹ XXXXXX (plus applicable taxes) and out of pocket expenses will be raised after completion of audit work.

Reporting

We will report to the members of Tapri Tea Co. Ltd as a body, whether in our opinion, the financial statements give the information required by the Companies Act, 2013 in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the company as at March 31, 20XX, and its profit/loss, and its cash flows for the year ended on that date. The form and content of our report may need to be amended in the light of our audit findings.

Please sign and return the attached copy of this letter to indicate your acknowledgement of, and agreement with, the arrangements for our audit of the financial statements including our respective responsibilities.

For Iyer & Associates, Chartered Accountants. Firm's Registration Number. (Signature) (Name of the Member) (Designation)

Worked examples

Worked example **Pammi signs, then adds a line**

Arora Mithai & Sons, a partnership firm whose four partners all work in the business, offers Iyer & Associates the audit of its 2025-26 accounts, which its bank requires under its loan agreement. The partners sign the draft engagement letter, acknowledging every responsibility in it, but Pammi Arora, the managing partner, adds in her own hand: "Excluding the Kanpur factory (70% of the business), run by my brother. Its books will not be shown to the auditors."

Required:

(a) Advise Lakshmi under SA 210 whether to accept the engagement. Does it matter that the bank insists on audited accounts?

(b) Suppose instead that the letter had been signed without the added line, and that three weeks into the audit Pammi's brother refuses the team access to the Kanpur books. How does Lakshmi's position differ?

MODEL ANSWER

(a) Relevant provision. As per SA 210, if management or those charged with governance impose a limitation on the scope of the auditor's work in the terms of a proposed audit engagement such that the auditor believes the limitation will result in the auditor disclaiming an opinion on the financial statements, the auditor shall not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so (SM 11.21).

Facts and analysis. The added line is a limitation imposed in the proposed terms. The Kanpur factory carries 70% of the business, so the possible effects of undetected misstatements there would be both material and pervasive: Lakshmi would expect to disclaim an opinion. The line also takes back, for 70% of the business, the access to information acknowledged above it, a precondition (SM 11.16). The bank's insistence comes from a loan agreement, not from a law or regulation requiring Lakshmi to accept, so the exception does not apply.

Conclusion. Lakshmi should discuss the matter with the partners and, unless the line is withdrawn, **not accept** the engagement as an audit engagement.

(b) After acceptance. A limitation imposed after the auditor has accepted the engagement falls under SA 705 (SA 705; SM 8.40–8.41). Lakshmi shall request the partners to remove it. If they refuse, she communicates the matter to those charged with governance, unless all of them are involved in managing the entity (here all four partners manage it), and determines whether alternative procedures can provide sufficient appropriate audit evidence. If they cannot, the possible effects on 70% of the business are both material and pervasive: she withdraws from the audit where practicable and possible under applicable law or regulation, or, if withdrawal is not practicable or possible, disclaims an opinion.

Worked example **Two requests to change the terms**

Iyer & Associates are three weeks into each of these audits.

(a) Ramesh Kirana Stores, a sole proprietorship that no law or lender requires to be audited, signed an audit engagement letter. It now emerges that Ramesh had wanted his accounts compiled for his income-tax return, believing that this was what an "audit" meant, and he asks for the engagement to be changed to a compilation.

(b) Narmada Agro Traders, a partnership firm, is audited because its loan agreement with Indore Co-operative Bank requires audited accounts every year until the loan is repaid in 2027. The audit has found nothing unusual, but the partners ask for a review instead, "because the audit fee is too high".

Required: Comment on each request under SA 210, and state what Lakshmi should do if, in situation (b), the partners will not let the audit continue.

MODEL ANSWER

Relevant provision. As per SA 210, the auditor shall not agree to a change in the terms of the audit engagement where there is no reasonable justification for doing so. A change in circumstances that affects the entity's requirements, or a misunderstanding concerning the nature of the service originally requested, may be considered a reasonable basis for requesting a change; a change may not be considered reasonable if it appears to relate to information that is incorrect, incomplete or otherwise unsatisfactory. Before agreeing to change an audit engagement to a review or a related service, the auditor may also need to assess any legal or contractual implications of the change (SM 11.21–11.22).

(a) A misunderstanding. Ramesh asked for an audit while wanting a different service: a misunderstanding concerning the nature of the service originally requested, which may be a reasonable basis for the change. Nothing in law or contract requires an audit. Lakshmi may agree. The audit work done may be relevant to the compilation, but the work performed and the report issued will be those appropriate to a compilation, and the report will not refer to the original audit engagement or to the procedures performed in it. The new terms shall be agreed and recorded in an engagement letter or other suitable form of written agreement (SM 11.23).

(b) The fee. The firm's requirements have not changed: the loan agreement still requires audited accounts until 2027, and nobody misunderstood the service. A lower fee is not a change in circumstances affecting the need for an audit, and a review would not meet the bank's requirement, a contractual implication to assess and point out. There is **no reasonable justification**: she should not agree.

If, in (b), the partners do not permit the audit to continue. Being unable to agree to the change and not permitted to continue the original engagement, Lakshmi shall withdraw from the audit engagement where possible under applicable law or regulation, and determine whether there is any obligation, contractual or otherwise, to report the circumstances to other parties, such as those charged with governance, owners or regulators (SM 11.23).

Worked example **Kesar's email before the third year**

Iyer & Associates have audited Tapri Tea Co. Ltd for several years; after Tapri's listing, the terms were revised and recorded in a fresh engagement letter in 2024. Before the 2026-27 audit begins, Kesar emails Lakshmi:

1. "Please include in this year's report your view on whether our 40 new kulhad cafés will be profitable. Investors keep asking."
2. "Our promoter family has sold 26% of Tapri's shares to Saffron Growth Fund, a private equity investor."
3. "We want your report by 15 May 2027 this time, two weeks earlier than usual, so that we can announce results before the festival season."

Bunty says: "We revised the letter in 2024. Nothing to send this year."

Required: Comment, with reference to SA 210.

MODEL ANSWER

Relevant provision. As per SA 210, on recurring audits the auditor shall assess whether circumstances require the terms of the audit engagement to be revised and whether there is a need to remind the entity of the existing terms. The auditor may decide not to send a new audit engagement letter each period, but factors such as any indication that the entity misunderstands the objective and scope of the audit, any revised or special terms of the audit engagement and a significant change in ownership may make it appropriate to revise the terms or to remind the entity of them (SM 11.23–11.24; the eight factors are listed above).

Facts and analysis.

1. **The profitability view.** An audit gives an opinion on whether the financial statements as a whole are free from material misstatement, not a view on whether new cafés will be profitable: the request indicates that the entity misunderstands the objective and scope of the audit.
2. **The private equity investor.** The sale of 26% of the shares is a significant change in ownership.
3. **The earlier deadline.** A report due on 15 May 2027 is a revised term of the engagement.

Conclusion. Bunty's view is not correct: three factors are present. Iyer & Associates should remind Tapri of the objective and scope of the audit, revise the terms, and record them in an engagement letter or other written agreement agreed with management and, as appropriate, those charged with governance.

Exam angle

In the exam

Where SA 210 appeared, May 2024 to September 2026

In the documents read for this lesson, SA 210 was examined in 18.

- **Preconditions, 4 or 5 marks**: May 2025 Q3(c) (4 marks), MTP September 2025 Series I Q4(b), MTP January 2026 Series II Q4(b), MTP May 2026 Series I Q6(b) (5 marks each; refusal to acknowledge responsibilities, access only on request, an internally designed framework), RTP May 2024 Q24 (a partnership firm that calls internal control the auditor's job).
- **The engagement letter, 3 to 5 marks.** What it is and contains: September 2024 Q5(d) (3 marks), MTP May 2024 Series II Q5(d) (3 marks), MTP January 2025 Series I Q2(a) (5 marks, with the law-prescribed exception). The auditor's responsibilities in the letter, any five: May 2026 Q6(a) (5 marks).
- **Change of terms to a review, 5 marks**: September 2026 Q1(a) (inventory inconsistencies found, then a request citing time and cost), MTP January 2025 Series II Q2(a) and MTP September 2026 Series I Q6(b) (receivables unsupported: not justified); RTP May 2025 Q20 (a request after diversification).
- **Recurring audits**: the eight factors, September 2025 Q3(b) (5 marks); RTP September 2025 Q20; MCQs in January 2025 (MCQ 1: the replacement of the engagement partner within the audit firm is not one of the factors), MTP January 2025 Series I MCQ 13, MTP May 2024 Series II MCQ 2.3 (a "modest" change is not a factor: the word is "significant") and RTP September 2026 MCQ 5.
- **Other MCQs**: the letter is sent by the auditor and states that the report may differ, MTP September 2024 Series I MCQ 10; a scope limitation before acceptance, MTP September 2025 Series I MCQ 14 and MTP May 2024 Series II MCQ 2.1 (do not accept).

In the exam

The traps

Who sends the letter (the auditor, to the client: the Study Material's Correct/Incorrect question); "significant", not "modest", change in nature or size; the missing preconditions in MCQ options are usually responsibility for internal control and for preparing the financial statements; and "unless required by law or regulation" belongs in every answer on not accepting.

Trick

Framework + PIA, and "Only Auditors Make Fine Reports"

Preconditions: an acceptable **Framework**, plus management's acknowledgement of **PIA**: **P**reparation of the financial statements, **I**nternal control, **A**ccess (information and persons). The letter's five, in order: **O**bjective and scope, **A**uditor's responsibilities, **M**anagement's responsibilities, **F**ramework, **R**eport (expected form, and that it may differ). Condition: both follow the Study Material's order.

Answer frame

A case question on acceptance or change of terms

1. **Relevant provision**: "As per SA 210, ...": the preconditions and the consequence of their absence; or the reasonable-justification rule and its examples; or the recurring-audit factors.
2. **Facts of the case**: what management refused, limited or requested, and why.
3. **Analysis**: which precondition fails; would the limitation lead to a disclaimer; is the reason a change in circumstances or misunderstanding (reasonable), or unsatisfactory information (not reasonable); which recurring-audit factor is present.
4. **Conclusion**: accept or not (with "unless required by law or regulation"); agree or not, and the consequences (new terms in writing; or withdraw where possible and consider reporting); revise or remind.

"What should the auditor consider before agreeing to change to a lower level of assurance?"

Point	What earns the mark
Justification	Determine whether there is reasonable justification
Implications	Assess any legal or contractual implications
Work done	May be relevant to the changed engagement
Report	Appropriate to the revised engagement; no reference to the original audit or its procedures (except agreed-upon procedures)
Terms	Agree and record the new terms in writing
If refused	Withdraw where possible under law; decide whether to report to those charged with governance, owners or regulators

Common mistakes

⚠ **Common mistake**

Hall of Shame: the engagement letter sent by the client

Fix: the audit engagement letter is sent **by the auditor to the client**. (The Study Material's own Correct/Incorrect question.)

⚠ **Common mistake**

Accepting first, fixing the preconditions later

Starting fieldwork while management refuses to acknowledge its responsibilities. **Fix:** discuss the matter, and unless required by law or regulation, do not accept the engagement.

⚠ **Common mistake**

Agreeing to a review to rescue the client from a qualified opinion

Fix: a request that relates to incorrect, incomplete or unsatisfactory information has no reasonable justification. If the client then refuses to let the audit continue, withdraw where possible under law and consider reporting the circumstances.

⚠ **Common mistake**

"We audit them every year, so no new letter"

Fix: a new letter is not needed every period, but the auditor must assess whether to revise the terms or remind the entity, and the eight factors (a significant change in ownership or business, new laws, a new framework, new reporting requirements ...) make it appropriate.

Practice

Check yourself

1 Case scenario. Konkan Cashews Pvt Ltd asks CA Rao to accept its statutory audit for 2025-26. The proposed terms give the auditor the trial balance and summaries certified by the CFO, but no access to vouchers, bank statements or the general ledger. CA Rao believes the limitation would result in a disclaimer of opinion. Management argues: "A company's audit is compulsory under the Companies Act, so you have to accept." Which is correct?

A Accept, because the company is required by law to be audited, and disclaim the opinion at the end

B Do not accept such a limited engagement as an audit engagement: the exception "unless required by law or regulation" applies when the auditor is required to accept, and nothing requires CA Rao to accept

C Accept, and deal with the restriction under SA 705 as a limitation imposed after acceptance

D Accept, relying on the CFO's certified summaries supported by a written representation

2 Case scenario. Before accepting the audit of Godavari Foods Ltd, CA Joshi sends the draft engagement letter. Management's replies are below. Which reply means that a precondition for an audit is NOT present?

- **A** Management acknowledges responsibility for internal control at the head office only, not at the three factories
- **B** Management asks that requests for additional information go through the CFO's office, with replies within two working days
- **C** Management asks that half the audit fee be paid after the auditor's report is issued
- **D** Management asks that factory visits be moved from the Diwali production peak to November

3 Case scenario. Iyer & Associates are about to begin a recurring audit of Tapri. Which ONE of the following makes it appropriate under SA 210 to revise the terms of the engagement or remind Tapri of them?

- **A** Tapri opened 18 new cafés during the year, taking the total from 412 to 430
- **B** Bunty has been promoted to semi-senior on the engagement team
- **C** Iyer & Associates now record their time on new software
- **D** Dev Malhotra has retired as CFO, and a new CFO took charge in July

4 Case scenario. Three weeks into the audit of Kaveri Handlooms, a partnership firm, the partners agree to sell the business. The buyer needs no audited accounts, only agreed-upon procedures on the debtors' ledger, and the partners ask CA Rao to change the engagement accordingly. She finds reasonable justification. Which statement about the report on the changed engagement is correct?

- **A** It must describe the original audit engagement, so that readers know its history
- **B** It may refer to the procedures performed, which is a normal part of an agreed-upon procedures report, but it does not refer to the original audit engagement
- **C** It must contain an audit opinion on the debtors' ledger, because audit work had been done
- **D** None of the audit work performed before the change may be used

5 Case scenario. The law under which Kaveri Water Board is audited prescribes the terms of its audit engagement in sufficient detail. What does SA 210 still require the auditor to record in writing?

- **A** Nothing at all, since the law already sets out the terms
- **B** A full engagement letter repeating every term the law prescribes
- **C** The fact that such law applies and that management acknowledges and understands its responsibilities
- **D** Only the audit fee and the date by which the report will be issued

Answers: the answer key at the end of this lesson.

Recap

- Objective: accept or continue an audit only when its basis is agreed: preconditions present, terms commonly understood.
- Preconditions: an acceptable framework, and management's acknowledgement of responsibility for preparing the financial statements, for internal control, and for giving access to information and unrestricted access to persons.
- Preconditions absent: discuss; unless required by law or regulation, do not accept. A proposed limitation leading to a disclaimer: do not accept as an audit.
- Terms recorded in an engagement letter (or other written agreement) sent by the auditor to the client: objective and scope; auditor's and management's responsibilities; framework; expected report and that it may differ.
- Law prescribing the terms: record only that the law applies and that management acknowledges its responsibilities.
- Change of terms: only with reasonable justification (changed circumstances, misunderstanding), never to escape a modified opinion; new terms in writing; if refused and the audit is stopped, withdraw where possible and consider reporting.
- Recurring audits: assess revising or reminding; eight factors, from misunderstanding to new reporting requirements.
- No trials, no fitted suit.

Answer key · Check yourself

1 **B Do not accept such a limited engagement as an audit engagement: the exception "unless required by law or regulation" applies when the auditor is required to accept, and nothing requires CA Rao to accept**

A limitation in the terms of a proposed engagement that the auditor believes will result in a disclaimer means the auditor shall not accept such a limited engagement as an audit engagement, unless required by law or regulation to do so. The company's duty to be audited is not a duty on CA Rao to accept a crippled audit. (The terms also withhold the access to information that is a precondition for an audit.) SA 705's route is for limitations imposed after acceptance.

2 **A Management acknowledges responsibility for internal control at the head office only, not at the three factories**

Management must acknowledge its responsibility for the preparation of the financial statements, for the internal control needed for them, and for access to information and persons (SM 11.15–11.16); an acknowledgement that stops at the head office is not that agreement. Routing requests through one office still gives the information; fees and visit timing are terms to agree, not preconditions.

3 **D Dev Malhotra has retired as CFO, and a new CFO took charge in July**

A recent change of senior management is one of SA 210's eight factors (SM 11.24). Growth of about 4% in the number of cafés is not a significant change in the nature or size of the business, and changes inside the audit firm are not among the factors.

4 **B It may refer to the procedures performed, which is a normal part of an agreed-upon procedures report, but it does not refer to the original audit engagement**

To avoid confusing the reader, the report on the changed engagement would not refer to the original audit engagement or to procedures performed in it, except that, for agreed-upon procedures, reference to the procedures performed is a normal part of the report. Audit work done to the date of change may be relevant to the changed engagement.

5 **C The fact that such law applies and that management acknowledges and understands its responsibilities**

If law or regulation prescribes the terms in sufficient detail, the auditor need not record them in a written agreement, except for the fact that such law or regulation applies and that management acknowledges and understands its responsibilities (SM 11.17).

11.4 SQC 1 and SA 220: quality control

Why audit quality needs a system: SQC 1's six elements for the whole firm, SA 220's mirror for each audit and its engagement partner, the engagement quality control review, and the 60-day and seven-year rules.

In plain words

A second pair of eyes for Tapri

Iyer & Associates are about to finish Tapri's audit when Kesar spots a stranger reading the file.

> **Kesar:** Lakshmi-ji, who is this CA Farhan going through my audit? Don't your partners trust you?
>
> **Lakshmi:** They trust me enough to make sure someone checks me. Tapri is listed, so my significant judgments get a second, objective look before I can date the report.
>
> **Kesar:** Like the inspectors I send to my cafés.
>
> **Lakshmi:** Exactly like your café inspectors.

Kesar understands quality better than he admits. Tapri has kulhad cafés in 40 cities. **Head office** writes the recipes, decides whom to hire and how to train them, refuses franchise partners with a bad name, and sends inspectors to check a sample of cafés every quarter. Then, every evening, the **manager of each café** is responsible for what actually reaches the customer's table.

Audit firms work the same way, and ICAI has a pronouncement for each level:

- **SQC 1** (Standard on Quality Control 1) is head office: the **whole firm** must have a **system of quality control** for **all** its engagements: audits, reviews, other assurance and related services.
- **SA 220** is the café manager: for **each audit**, the **engagement partner** (the partner who signs, Lakshmi for Tapri) is responsible for quality on that engagement.

Both cover the same six things, which make up quality: leadership, ethics, which clients to take, people, how the work is done, and checking that the system works (monitoring). SA 220 assumes the firm already has its SQC 1 system, the way a café manager assumes head office has written the recipes.

Two numbers you must know come from SQC 1: the audit file must be assembled within **60 days** after the date of the auditor's report, and kept ordinarily for at least **seven years** from that date.

Think of it like

Head office and the café manager

Head office cannot pour tonight's chai, and the café manager cannot write the recipe book. A burnt kulhad is the manager's fault if he ignored the recipe, and head office's fault if there was no recipe, or no inspector ever visited. SQC 1 is the recipe book and the inspectors; SA 220 is the manager tasting the chai before it goes out.

Key idea

SQC 1 applies to the **entire firm** and to **all** engagements; SA 220 applies to a **particular audit** and is premised on the basis that the firm is subject to SQC 1. Both rest on six elements, and both aim at reasonable assurance that the work complies with professional standards and regulatory and legal requirements and that the reports issued are appropriate in the circumstances.

How it works

1. Audit quality

The purpose of an independent audit is to provide confidence to users of audited financial statements, so high audit quality is essential to maintain confidence in the assurance auditors provide; maintaining it is the auditor's responsibility (SM 11.24). Two pronouncements deal with it:

Point	SQC 1	SA 220
Applies to	All engagements: audits, reviews, other assurance and related services	Audit engagements only
Level	The entire firm	A particular audit engagement
Responsible	The firm; its CEO or managing partners hold ultimate responsibility	The engagement partner
Relationship	The foundation	Premised on the basis that the firm is subject to SQC 1

Two levels of quality control



SA 220 sits inside SQC 1: the engagement team implements, on its audit, the procedures of the firm's system, and gives the firm the information it needs, for example on independence (SM 11.31).

2. SQC 1: the objective

SQC 1 is titled "Quality Control for Firms that Perform Audits and Reviews of Historical Financial Information, and Other Assurance and Related Services Engagements".

Definition

SQC 1: system of quality control

SQC 1 requires that the firm should establish a system of quality control designed to provide it with **reasonable assurance** that (a) the firm and its personnel comply with professional standards and regulatory and legal requirements, and (b) reports issued by the firm or engagement partners are appropriate in the circumstances. The firm's system of quality control should consist of policies designed to achieve these objectives (SM 11.25).

3. SQC 1: the six elements

The firm's system of quality control should include policies and procedures addressing each of the following elements (SM 11.25):

1. **(A)** Leadership responsibilities for quality within the firm
2. **(B)** Ethical requirements
3. **(C)** Acceptance and continuance of client relationships and specific engagements
4. **(D)** Human resources
5. **(E)** Engagement performance
6. **(F)** Monitoring

The policies and procedures should be **documented and communicated** to the firm's personnel. By communicating them, the firm recognises the importance of obtaining feedback on its system from its personnel, so it encourages them to communicate their views or concerns on quality control matters (SM 11.25).

(A) LEADERSHIP RESPONSIBILITIES FOR QUALITY WITHIN THE FIRM (SM 11.26)

- Policies and procedures should promote an **internal culture** based on the recognition that quality is essential in performing engagements.
- They should require the firm's **chief executive officer or managing partners to assume ultimate responsibility** for the firm's system of quality control. The example set by the firm's leadership encourages a culture that recognises high quality work.
- Persons assigned operational responsibility for the system by the CEO or managing partners should have **sufficient and appropriate experience, ability and the necessary authority** to assume that responsibility.

(B) ETHICAL REQUIREMENTS (SM 11.26–11.27)

- Policies should give the firm reasonable assurance that the firm and its personnel comply with the relevant ethical requirements in the **Code of Ethics issued by ICAI**: integrity, objectivity, professional competence and due care, confidentiality and professional behaviour (the fundamental principles).
- Observance of **independence** in all engagements is the basic requirement. Policies should give reasonable assurance that the firm and its personnel (including experts contracted by the firm and network firm personnel) maintain independence where required by the Code. They should enable the firm to: (a) communicate its independence requirements to its personnel; and (b) identify and evaluate circumstances and relationships that create threats to independence, and take

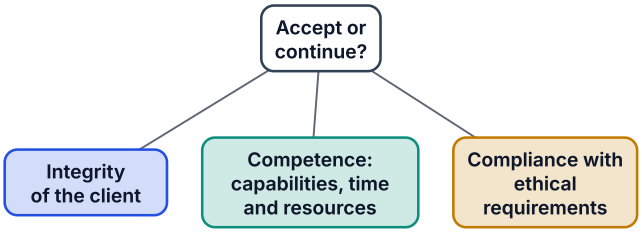
appropriate action to eliminate them or reduce them to an acceptable level by applying safeguards or, if appropriate, withdraw from the engagement (threats and safeguards).

- There should be a **mechanism** by which engagement partners provide the firm with relevant information about client engagements, and personnel promptly notify the firm of circumstances and relationships that create a threat to independence. **All breaches of independence should be promptly notified** to the firm for appropriate action.
- **At least annually**, the firm should obtain **written confirmation** of compliance with its independence policies and procedures from all firm personnel required to be independent under the Code.

(C) ACCEPTANCE AND CONTINUANCE OF CLIENT RELATIONSHIPS AND SPECIFIC ENGAGEMENTS (SM 11.27–11.28)

Before accepting an engagement, the firm should acquire vital information about the client, to help it decide on:

What the firm decides before taking a client



The information is obtained for a new client, when deciding whether to continue an existing engagement, and when considering a new engagement with an existing client. Where issues were identified and the firm still accepts, it documents how they were resolved.

With regard to the **integrity of a client**, the matters the firm considers include, for example (SM 11.28):

1. The identity and business reputation of the client's principal owners, key management, related parties and those charged with its governance.
2. The nature of the client's operations, including its business practices.
3. Information concerning the attitude of the client's principal owners, key management and those charged with governance towards matters such as aggressive interpretation of accounting standards and the internal control environment.
4. Whether the client is aggressively concerned with maintaining the firm's fees as low as possible.
5. Indications of an inappropriate limitation in the scope of work.
6. Indications that the client might be involved in money laundering or other criminal activities.
7. The reasons for the proposed appointment of the firm and non-reappointment of the previous firm.

Any **conflict of interest** between the firm and the client should be properly resolved before accepting. Where the firm obtains information that would have caused it to decline an engagement had it been obtainable earlier, its continuance policies should include consideration of (a) the professional and legal responsibilities that apply, including any requirement to report to the person or persons who

made the appointment or, in some cases, to regulatory authorities; and (b) the possibility of withdrawing from the engagement, or from both the engagement and the client relationship (SM 11.28).

(D) HUMAN RESOURCES (SM 11.29)

Policies should give reasonable assurance that the firm has **sufficient personnel with the capabilities, competence, and commitment to ethical principles** necessary to perform its engagements in accordance with professional standards and regulatory and legal requirements, and to enable the firm or engagement partners to issue appropriate reports. They address recruitment, compensation, training, career development, performance evaluation and so on, with emphasis on **continuing professional development**.

(E) ENGAGEMENT PERFORMANCE (SM 11.29–11.30)

- **Consistency** in the quality of engagement performance is achieved through briefing engagement teams on their objectives, processes for complying with engagement standards, supervision and training, methods of reviewing the work performed, and appropriate documentation.
- **Consultation** should take place on difficult or contentious matters: discussion, at the appropriate professional level, with individuals within or outside the firm who have specialised expertise. A firm without appropriate internal resources may use advisory services of other firms or of professional and regulatory bodies.
- **Engagement quality control review (EQCR).** Significant judgments made in an engagement should be reviewed by an engagement quality control reviewer, for taking an objective view, before the report is issued. The extent of the review depends on the complexity of the engagement and the risk that the report might not be appropriate. The review does not reduce the responsibilities of the engagement partner. EQCR is **mandatory for all audits of financial statements of listed entities**; for other engagements, the firm should devise criteria to determine which require it.
- **Differences of opinion** within the team, with those consulted, or between the engagement partner and the reviewer: the report should be issued only after they are resolved. If the reviewer's recommendations are not accepted by the engagement partner and the matter is not resolved to the reviewer's satisfaction, it is resolved through the firm's established procedures, such as consulting another practitioner or firm, or a professional or regulatory body.
- **Assembly of files.** Engagement teams should complete the assembly of final engagement files on a timely basis after the reports are finalised: for audit engagements, in **not more than 60 days after the date of the auditor's report**; for others, within limits appropriate to the engagement.
- **Custody and ownership.** Policies should maintain the confidentiality, safe custody, integrity, accessibility and retrievability of engagement documentation. Unless otherwise specified by law or regulation, **engagement documentation is the property of the firm**. The firm may, at its discretion, make portions of or extracts from it available to clients, provided this does not undermine the validity of the work performed or, for assurance engagements, the independence of the firm or its personnel.
- **Retention.** Documentation is kept long enough for monitoring procedures to evaluate compliance with the system, or longer if law or regulation requires. For audit engagements the retention

period is ordinarily **no shorter than seven years from the date of the auditor's report or, if later, the date of the group auditor's report**.

(F) MONITORING (SM 11.30)

The firm should ensure that its quality control policies and procedures are **relevant, adequate, operating effectively and complied with in practice**. This includes an ongoing consideration and evaluation of the system, including a **periodic inspection of a selection of completed engagements**.

4. SA 220: quality control for an audit

Based on the firm's system, the engagement team applies the quality control policies to its audit, and the **engagement partner** is responsible for the quality control procedures on that engagement. SA 220 is premised on the basis that the firm is subject to SQC 1: within that system, engagement teams implement the procedures applicable to the audit and provide the firm with the information it needs for the part of the system relating to independence (SM 11.31).

Definition

SA 220: objective of the auditor

To implement quality control procedures at the engagement level that provide the auditor with reasonable assurance that (a) the audit complies with professional standards and regulatory and legal requirements; and (b) the auditor's report issued is appropriate in the circumstances (SM 11.31).

SA 220 is modelled on SQC 1 and sets the engagement partner's responsibilities for six matters (SM 11.31):

Element	SQC 1 (the firm)	SA 220 (engagement partner)
(A)	Leadership responsibilities for quality within the firm	Leadership responsibilities for quality on audits
(B)	Ethical requirements	Relevant ethical requirements
(C)	Acceptance and continuance of client relationships and specific engagements	Acceptance and continuance of client relationships and audit engagements
(D)	Human resources	Assignment of engagement teams
(E)	Engagement performance	Engagement performance
(F)	Monitoring	Monitoring

(A) LEADERSHIP RESPONSIBILITIES FOR QUALITY ON AUDITS (SM 11.31–11.32)

The engagement partner takes responsibility for the **overall quality on each audit engagement**. His actions and appropriate messages to the other members of the team emphasise:

- (a) the importance to audit quality of: (i) performing work that complies with professional standards and regulatory and legal requirements; (ii) complying with the firm's quality control policies and procedures as applicable; (iii) issuing auditor's reports that are appropriate in the

circumstances; and (iv) the engagement team's ability to **raise concerns without fear of reprisals**; and

- (b) the fact that quality is essential in performing audit engagements.

(B) RELEVANT ETHICAL REQUIREMENTS (SM 11.32)

The engagement partner's responsibilities:

- **Identifying** a threat to independence regarding the audit engagement that safeguards may not be able to eliminate or reduce to an acceptable level.
- **Reporting** to the relevant persons within the firm to determine appropriate action, which may include eliminating the activity or interest that creates the threat, or withdrawing from the audit engagement, where withdrawal is legally permitted.

(C) ACCEPTANCE AND CONTINUANCE OF CLIENT RELATIONSHIPS AND AUDIT ENGAGEMENTS (SM 11.32–11.33)

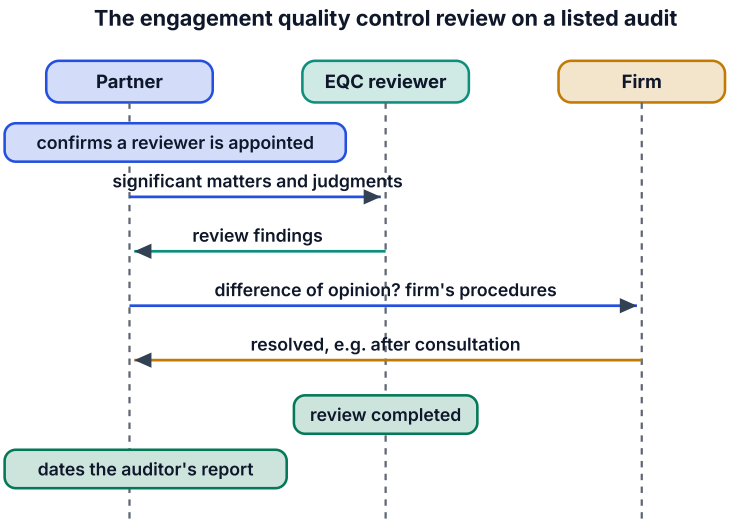
On the lines of SQC 1: information such as the integrity of principal owners, the competence of the engagement team and the necessary capabilities including time and resources, compliance with relevant ethical requirements, and significant matters that arose in the current or previous audit and their implications help the engagement partner determine whether the conclusions on acceptance and continuance are appropriate.

(D) ASSIGNMENT OF ENGAGEMENT TEAMS (SM 11.33)

The engagement partner should be satisfied that the engagement team and any **auditor's experts who are not part of the team**, collectively, have the appropriate competence and capabilities to perform the engagement in accordance with professional standards and regulatory and legal requirements.

(E) ENGAGEMENT PERFORMANCE (SM 11.33)

- The engagement partner is responsible for the **direction, supervision and performance** of the audit in accordance with professional standards and regulatory and legal requirements, and for the auditor's report being appropriate in the circumstances.
- **Reviewing** the audit documentation before the report is issued is his responsibility; he ensures that sufficient appropriate audit evidence has been obtained to support the conclusions reached and the report.
- He is responsible for the team undertaking appropriate **consultation** on difficult or contentious matters, within the team and with others at the appropriate level within or outside the firm.
- For audits of **listed entities**, and other audits for which the firm has determined that an EQCR is required, the engagement partner shall: (a) determine that an engagement quality control reviewer has been appointed; (b) discuss significant matters arising during the audit, including those identified during the EQCR, with the reviewer; and (c) **not date the auditor's report until the completion of the engagement quality control review**.
- If differences of opinion arise within the team, with those consulted or between the engagement partner and the reviewer, the team shall follow the firm's policies and procedures for dealing with and resolving them.



Partner: the engagement partner. Mandatory for audits of listed entities and for audits that meet the firm's criteria. The report is not dated until the review is complete; the review does not reduce the engagement partner's responsibilities.

(F) MONITORING (SM 11.34)

An effective system includes a monitoring process giving the firm reasonable assurance that its policies and procedures are relevant, adequate and operating effectively. The engagement partner shall consider the **results of the firm's monitoring process**, as evidenced in the latest information circulated by the firm and, if applicable, other network firms, and whether deficiencies noted in that information may affect the audit engagement.

What the engagement partner documents (SM 11.34):

1. Issues identified with respect to compliance with relevant ethical requirements and how they were resolved.
2. Conclusions on compliance with independence requirements that apply to the audit engagement, and any relevant discussions with the firm that support these conclusions.
3. Conclusions reached regarding the acceptance and continuance of client relationships and audit engagements.
4. The nature and scope of, and conclusions resulting from, consultations undertaken during the audit.

Formats and formulas

Two clocks that start on the date of the auditor's report

Reproduce this from memory: both limits run from the date of the auditor's report, not from the year-end or the end of fieldwork.

Rule (SQC 1)	Limit	Report dated 22 May 2026
Assembly of the final audit file	Not more than 60 days after the report date	By 21 July 2026
Retention of audit documentation	Ordinarily not shorter than 7 years from the report date (or the group auditor's report, if later)	At least until 22 May 2033

Worked examples

Worked example **The quality partner's inspection notes**

As part of monitoring, the quality partner of Iyer & Associates inspects a selection of completed engagements and the firm's policies. Her notes:

(a) Gwalior Kulhad Works Pvt Ltd (unlisted): the auditor's report is dated 30 May 2026 and the final engagement file was assembled on 10 July 2026.

(b) The firm's policy manual says: "Audit files may be destroyed five years after the end of the financial year audited."

(c) The firm's policy requires an engagement quality control review only where the audit fee exceeds ₹50 lakh. Masala Mills Ltd, listed on BSE, pays ₹18 lakh, so its audit had no review.

(d) The managing partner has handed "all quality matters" to CA Simran Gill, qualified six months ago, without authority to change any procedure, and tells the partners that quality is "now Simran's responsibility, not mine".

(e) Ujjain Agro Foods Pvt Ltd was accepted as a new client on a partner's friend's recommendation. The file holds no information about the client's owners or management, the team's competence and time, or ethical requirements.

Comment on each observation with reference to SQC 1.

MODEL ANSWER

(a) Assembly of the file: complies. SQC 1 requires engagement teams to complete the assembly of final engagement files on a timely basis after the reports are finalised; for audit engagements, in not more than 60 days after the date of the auditor's report. The file was assembled 41 days after the report dated 30 May 2026, within the limit of 29 July 2026.

(b) Retention policy: does not comply. For audit engagements the retention period is ordinarily no shorter than seven years from the date of the auditor's report or, if later, the date of the group auditor's report. The policy is wrong twice: five years instead of seven, and counted from the end of the financial year instead of from the date of the auditor's report. It should be revised.

(c) No review of Masala Mills: does not comply. Engagement quality control review is mandatory for all audits of financial statements of listed entities; only for other engagements may the firm devise criteria, such as a fee level, to decide when a review is needed. Masala Mills is listed, so its audit required a review of significant judgments before the report was issued, whatever the fee. The firm's criteria should be restricted to unlisted engagements.

(d) Leadership: does not comply. SQC 1 requires the firm's chief executive officer or managing partners to assume ultimate responsibility for the system of quality control. Persons assigned operational responsibility should have sufficient and appropriate experience, ability and the necessary authority. The managing partner cannot transfer his ultimate responsibility, and CA Simran lacks both the experience and the authority the role needs.

(e) Acceptance of a new client: does not comply. Before accepting an engagement the firm should acquire vital information to decide on the integrity of the client, its competence (including capabilities, time and resources) to perform the engagement, and compliance with ethical requirements. On integrity it considers matters such as the identity and business reputation of the principal owners, key management and those charged with governance, the nature of operations, attitudes to aggressive interpretation of accounting standards, and the reasons for the appointment and the non-reappointment of the previous firm. A recommendation is not information. The firm should obtain the information now, consider whether to continue, and document how any issues are resolved.

Worked example **Lakshmi's engagement file**

Ms. Lakshmi Iyer is the engagement partner for the 2025-26 audit of Tapri Tea Co. Ltd. A review of her file shows:

(a) The cold-chain division now bills customers through an IoT-based system that records deliveries and temperatures automatically. Lakshmi assigned two article assistants to this area. The firm's IT audit specialist was not involved.

(b) Bunty disagreed with the audit senior over the provision for obsolete premix. The senior told him: "Articles do not raise concerns. Drop it, or your appraisal will show it." The disagreement was never escalated.

(c) The firm's latest monitoring circular reports deficiencies in the inventory sampling template used across the firm. Lakshmi used the template unchanged, saying the deficiencies were "in other partners' files".

(d) When Bunty's sister became Tapri's Head of Treasury, Lakshmi took Bunty off the team. Nothing about the issue or her conclusion on independence is recorded.

Examine, with reference to SA 220, whether Lakshmi has discharged her responsibilities as engagement partner, and what she should do.

MODEL ANSWER

Relevant provision. As per SA 220, the engagement partner is responsible for quality control procedures on the audit, with the objective of reasonable assurance that the audit complies with professional standards and regulatory and legal requirements and that the auditor's report is appropriate in the circumstances.

(a) Assignment of the team: not discharged. The engagement partner should be satisfied that the engagement team and any auditor's experts who are not part of the team collectively have the appropriate competence and capabilities to perform the engagement in accordance with professional standards and regulatory and legal requirements. Two article assistants without IT audit skills cannot collectively provide that competence for an automated billing system. Lakshmi should involve the firm's IT audit specialist and assign team members with the necessary capabilities.

(b) Leadership and differences of opinion: not discharged. The engagement partner's actions and messages must emphasise the engagement team's ability to raise concerns without fear of reprisals. If differences of opinion arise within the team, the team shall follow the firm's policies and procedures for dealing with and resolving them. The senior's threat contradicts this. Lakshmi should make clear that concerns may be raised without reprisal, hear Bunty's point, and resolve the difference under the firm's policies, consulting where the matter is difficult or contentious, before the report is issued.

(c) Monitoring: not discharged. The engagement partner shall consider the results of the firm's monitoring process, as evidenced in the latest information circulated by the firm, and whether deficiencies noted in it may affect the audit engagement. A deficiency in a firm-wide template affects every audit that uses it. Lakshmi should evaluate its effect on Tapri's inventory testing and correct the sample or perform further procedures.

(d) Ethical requirements and documentation: partly discharged. The threat (a close relative of a team member in a senior position at the client) was identified, and a safeguard was applied by removing Bunty from the team; had a safeguard not been enough, the engagement partner would report to the relevant persons within the firm to determine appropriate action. But the engagement partner should document the issues identified with respect to compliance with relevant ethical requirements and how they were resolved, and the conclusions on compliance with independence requirements, with any relevant discussions with the firm. Lakshmi should record the threat, the safeguard applied and her conclusion on independence.

Conclusion. Lakshmi has not fully discharged her responsibilities under SA 220. She should take the steps above, and review the documentation to ensure that sufficient appropriate audit evidence supports the conclusions before the auditor's report is issued.

Exam angle

In the exam

Where SQC 1 and SA 220 appeared, May 2024 to September 2026

In the ICAI documents read for this lesson, SQC 1 or SA 220 was examined in 16 new-scheme documents:

- **Engagement quality control review, 3 to 5 marks.** The engagement partner's duties for an EQCR: May 2024 Q6(a) (4 marks). Direction and review, plus EQCR duties, with management pressing for an early report and a disagreement with the reviewer: January 2026 Q1(a) (5 marks). Why the review is needed and when it is mandatory: MTP May 2024 Series I (3 marks).
- **SQC 1 policies.** Independence mechanism, whether EQCR is mandatory for all engagements, annual written confirmation from an articled clerk: January 2026 Q4(c) (2 + 1 + 1 marks). The six elements and why they are communicated: MTP January 2026 Series I (5 marks). Leadership responsibilities: MTP September 2024 Series I Q3(c) (4 marks). Integrity of a prospective client: September 2025 Q4(b) (5 marks), RTP September 2024 Q20, MTP May 2025 Series I (5 marks), MTP September 2026 Series II (4 marks, OR). Assembly after three months and retention for four years: May 2024 Q1(d) (4 marks); assembly months after an August report: May 2025 Q1(c)(ii).
- **SA 220.** The engagement partner's leadership messages: May 2025 Q4(b) (5 marks), RTP May 2026 Q20. "SA 220 is premised on the basis that the firm is subject to SQC 1": RTP May 2024 Q25. Ethical responsibilities on three threats: MTP May 2026 Series I (5 marks). Leadership and ethics together: MTP September 2026 Series I (5 marks).
- **Multiple choice, 2 marks each.** Statements on the SQC 1 system (May 2026 MCQ 6); what need not be documented under monitoring (May 2026 MCQ 13); the engagement partner's steps on threats (January 2026 MCQ 7); which statements on a prospective client's integrity are correct (September 2026 MCQ 14).

In the exam

How the marks are earned

The answers list the Study Material's points in its order, in its words ("ultimate responsibility", "sufficient and appropriate experience, ability and the necessary authority", "at least annually ... written confirmation", "mandatory for all audits of financial statements of listed entities", "not date the auditor's report until the completion of the engagement quality control review", "without fear of reprisals"), then apply them to the facts with a one-line conclusion.

Trick

Like Every Auditor, Have Every Measure

Leadership, **E**thical requirements, **A**cceptance and continuance, **H**uman resources (SA 220: assignment of engagement teams), **E**ngagement performance, **M**onitoring: the six elements in order. Condition: in SA 220 the fourth element is "assignment of engagement teams", and each element's wording differs slightly between the two pronouncements.

Answer frame

A case on SQC 1 or SA 220

1. **Provision**: "As per SQC 1 ..." or "As per SA 220 ...", only the element the facts touch, in its words.
2. **Facts**: "In the given case, ..." with the dates, the client's status (listed or not) and who did what.

3. **Analysis**: compliant or not, and why (the 41 days, the listed status, the missing authority).
4. **Conclusion and action**: "Hence, the firm has not complied ...; it should ...".

"Distinguish between SQC 1 and SA 220"

Point	SQC 1	SA 220
Scope	All engagements: audits, reviews, other assurance and related services	Audit engagements only
Level	The entire firm	A particular audit engagement
Responsibility	Firm; CEO or managing partners assume ultimate responsibility	Engagement partner
Basis	The firm's system of quality control	Premised on the basis that the firm is subject to SQC 1
Fourth element	Human resources	Assignment of engagement teams

Common mistakes

⚠ **Common mistake**

Hall of Shame: the firm-wide SA 220

Bunty writes "SA 220 applies to the whole firm and SQC 1 to each audit". **Fix:** the reverse. SQC 1 applies to the entire firm and all engagements; SA 220 to a particular audit, and it is premised on SQC 1.

⚠ **Common mistake**

The fee-sized review

"EQCR only for big clients." **Fix:** EQCR is mandatory for all audits of listed entities, whatever the fee; the firm devises criteria only for other engagements.

⚠ **Common mistake**

Clocks started at the year-end

Fix: assembly within 60 days after the date of the auditor's report; retention ordinarily not shorter than seven years from the date of the auditor's report (or the group auditor's report, if later).

⚠ **Common mistake**

The reviewer as the new signatory

"Once the EQC reviewer clears the file, responsibility passes to the reviewer." **Fix:** the review does not reduce the responsibilities of the engagement partner; he still may not date the report until the review is complete.

Practice

Check yourself

1 Case scenario. Iyer & Associates' policy requires an engagement quality control review for every audit of an entity with revenue above ₹500 crore. Dhaba Express Pvt Ltd, an unlisted company, has revenue of ₹720 crore. Its engagement partner wants to date the auditor's report on the day fieldwork ends, two days before the reviewer expects to finish. Which of the following is correct?

- **A** No review is needed, because a review is mandatory only for listed entities
- **B** The report may be dated now, because the review only has to be finished before the file is assembled
- **C** The review is required under the firm's criteria, and the report shall not be dated until it is completed
- **D** The report may be dated now if the reviewer signs a note accepting responsibility for the report

2 An auditor's report is dated 12 June 2026. Under SQC 1, by when should the assembly of the final audit file ordinarily be completed?

- **A** 30 May 2026, 60 days after the year-end
- **B** 11 August 2026
- **C** 12 June 2026, on the date of the report
- **D** 12 June 2033

3 Which of the following is NOT one of the six elements of a firm's system of quality control under SQC 1?

- **A** Assignment of engagement teams
- **B** Ethical requirements
- **C** Monitoring
- **D** Human resources

4 Iyer & Associates are asked to audit Narmada Spices Ltd, a new client. Their acceptance file notes four facts. Which of them bear on the integrity of the client under SQC 1? Select all that apply.

- **A** The promoters want the audit to leave out the company's dealings with their own family firms
- **B** Revenue is expected to double next year after a new export contract
- **C** The previous auditors were not reappointed soon after they questioned the revenue recognition policy
- **D** A newspaper reports that the managing director is under investigation in a hawala case

More than one answer may be right.

5 Under SA 220, the engagement partner's actions and messages to the team emphasise all of the following EXCEPT:

A The team's ability to raise concerns without fear of reprisals

B Issuing auditor's reports that are appropriate in the circumstances

C Complying with the firm's quality control policies and procedures as applicable

D Completing the audit within the hours budgeted for the fee

6 Unless law or regulation specifies otherwise, engagement documentation belongs to:

A The client, which paid for the engagement

B The firm, which may give extracts to the client at its discretion

C The engagement partner personally

D The Institute of Chartered Accountants of India

Answers: the answer key at the end of this lesson.

Recap

- SQC 1: the entire firm, all engagements; SA 220: a particular audit, the engagement partner, premised on SQC 1.
- SQC 1 objective: reasonable assurance that the firm and its personnel comply with professional standards and regulatory and legal requirements, and that reports are appropriate.
- Six elements: leadership, ethical requirements, acceptance and continuance, human resources (SA 220: assignment of engagement teams), engagement performance, monitoring.
- Leadership: CEO or managing partners hold ultimate responsibility; operational people need experience, ability and authority. Independence: communicate, identify and evaluate threats, notify breaches, written confirmation at least annually.
- Acceptance: integrity of the client, competence (capabilities, time, resources), ethical requirements; seven integrity matters, including money laundering indications and why the previous firm left.
- EQCR: mandatory for audits of listed entities; does not reduce the engagement partner's responsibilities; the report is not dated until it is complete.
- Files assembled within 60 days after the report date; retained at least seven years from it (or the group auditor's report, if later); the property of the firm.
- SA 220 engagement partner: overall quality, raising concerns without reprisals, competent team with experts, direction, supervision and review, monitoring results, four documentation matters. (Kesar now calls his café inspectors "EQC reviewers".)

Answer key · Check yourself

1 **C The review is required under the firm's criteria, and the report shall not be dated until it is completed**

A review is mandatory for audits of listed entities and is also required wherever the firm's own criteria say so. For both, SA 220 says the engagement partner shall not date the auditor's report until the review is complete, and the review does not reduce the engagement partner's responsibilities.

2 **B 11 August 2026**

Not more than 60 days after the date of the auditor's report: 12 June plus 60 days is 11 August 2026. Seven years (12 June 2033) is the minimum retention period, a different rule.

3 **A Assignment of engagement teams**

SQC 1's elements are leadership responsibilities, ethical requirements, acceptance and continuance, human resources, engagement performance and monitoring. "Assignment of engagement teams" is SA 220's counterpart of human resources.

4 **A The promoters want the audit to leave out the company's dealings with their own family firms**; **C The previous auditors were not reappointed soon after they questioned the revenue recognition policy**; **D A newspaper reports that the managing director is under investigation in a hawala case**

Leaving out the family-firm dealings is an indication of an inappropriate limitation in the scope of work; the dropped auditors go to the reasons for the non-reappointment of the previous firm; the hawala report is an indication that the client might be involved in money laundering or other criminal activities. All three are integrity matters in SQC 1's list (SM 11.28). Growth prospects say nothing about integrity.

5 **D Completing the audit within the hours budgeted for the fee**

The four matters are compliance with professional standards and legal requirements, the firm's quality control policies, appropriate reports, and raising concerns without fear of reprisals, plus the fact that quality is essential. A fee budget is not among them.

6 **B The firm, which may give extracts to the client at its discretion**

SQC 1: unless law or regulation specifies otherwise, engagement documentation is the property of the firm; it may make portions or extracts available to clients if that does not undermine the validity of the work or, for assurance engagements, the independence of the firm or its personnel. Chapter 6 words the same rule as "the property of the auditor"; where a firm is appointed, the auditor is the firm (SM 11.30 says "the firm"), not a partner personally.